

2020 UNIVERSAL REGISTRATION DOCUMENT

AND ANNUAL FINANCIAL REPORT



GROUPE BPCE

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The Statement of Non-Financial Performance is identified in the summary using the following icon SNFP



2020 UNIVERSAL REGISTRATION DOCUMENT AND ANNUAL FINANCIAL REPORT



Groupe BPCE, the second largest banking group in France, performs a full range of banking and insurance activities.

Its **100,000 employees**, serve **36 million customers** around the world – individuals, professionals, businesses, investors, and local authorities. It provides retail banking and insurance services in France through its two major cooperative networks, Banque Populaire and Caisse d'Épargne. With Natixis, it also provides Asset & Wealth Management, Corporate & Investment Banking and Payment services around the world.

www.groupebpce.com



The English version of this report is a free translation from the original which was prepared in French. All possible care has been taken to ensure that the translation is an accurate presentation of the original. However, in matters of interpretation, views or opinion expressed in the original language version of the document in French take precedence over the translation.

Only the French version of the universal registration document has been submitted to the AMF. It is therefore the only version that is binding in law.

The original universal registration document was filed on March 24, 2021 with the AMF, in its capacity as the competent authority in respect of Regulation (EU) No. 2017/1129, without prior approval pursuant to Article 9 of said regulation. Groupe BPCE's universal registration document may only be used for the purposes of a public offering or admission of securities to trading on a regulated market if it is accompanied by a memorandum pertaining to the securities and, where applicable, an executive summary and all amendments made to the universal registration document. The complete package of documents is approved by the AMF in accordance with Regulation (EU) No. 2017/1129.

Copies of this universal registration document may be obtained free of charge from BPCE, 50, avenue Pierre Mendès-France 75013 Paris.

Message from the Chairman of the Management Board

The year 2020 will remain an exceptional year, marked by the global health crisis and its unprecedented economic and social consequences.

In this context, all of the Group's companies have come together to serve our customers, our employees and, more broadly, society as a whole. The Banques Populaires and the Caisses d'Epargne, Natixis and Banque Palatine have provided extensive support to all our clients, be they individuals, professionals, companies, local authorities or institutions. As a result, nearly 200,000 state-guaranteed loans were granted, representing an amount of €31 billion, and more than 500,000 loan extensions were granted. We have also taken exceptional measures to help the sectors or populations most affected, such as the public hospital sector, professionals, and students and trainees, in particular.

In addition to the attention paid to our customers, our companies took part in the great movement of solidarity towards caregivers, the hospital sector and medical research. Numerous initiatives were launched locally in our various regions to support people made vulnerable by the crisis and local non-profit associations.

In this extraordinary environment, we stayed the course and built on the major transformations under way, notably with the creation of a European leader in 100% SRI fixed-income and insurance-related asset management with Ostrum Asset Management. With this transaction, the Asset and Wealth Management business lines of Natixis now represent a total of €1,100 billion in assets under management.

At the same time, we ramped up our "Digital Inside" strategy in both our networks: today, 80% of our main banking customers use our digital channels and more than six million of them are active on the mobile apps of the Banques Populaires and the Caisses d'Epargne. At the same time, we also completed the digitization of all our credit journeys.

In terms of corporate social responsibility, we accelerated the momentum that the Group's companies have been building for several years to promote a more sustainable economy and more inclusive finance to serve our customers and society. This commitment was praised by the non-financial rating agencies Eiris Vigeo and CDP, which rank us as a leader in the banking sector.

Our Group was able to weather this difficult year thanks to solid fundamentals: our decentralized cooperative model, our robust financial strength, which sets an example in Europe, the strength of our brands, our regional foothold, and the dynamic momentum of our teams. These are all assets that bolster our ability to support the economic recovery as soon as it materializes and to enable our customers to develop their projects.

Laurent MIGNON
Chairman of the Management Board

Groupe BPCE at a glance

A full-service cooperative banking model serving the Group's customers and the economy.

WE BASE OUR PERFORMANCE ON THE STRENGTH OF OUR COOPERATIVE MODEL AND OUR EXPERTISE.

Our solid universal cooperative banking model, built around strong brands, Banque Populaire, Caisse d'Épargne and Natixis, enables us to pursue a long-term approach. Its decentralized structure promotes team spirit and decision-making with close ties to its customers.

The Fédération Nationale des Banques Populaires (FNBP) and the Fédération Nationale des Caisses d'Épargne (FNCE), the bodies that provide deliberation, communication and representation for the two networks and their cooperative shareholders, play an essential role in defining, coordinating and promoting the banks' cooperative spirit and social responsibility initiatives, in accordance with Groupe BPCE's commercial and financial objectives.

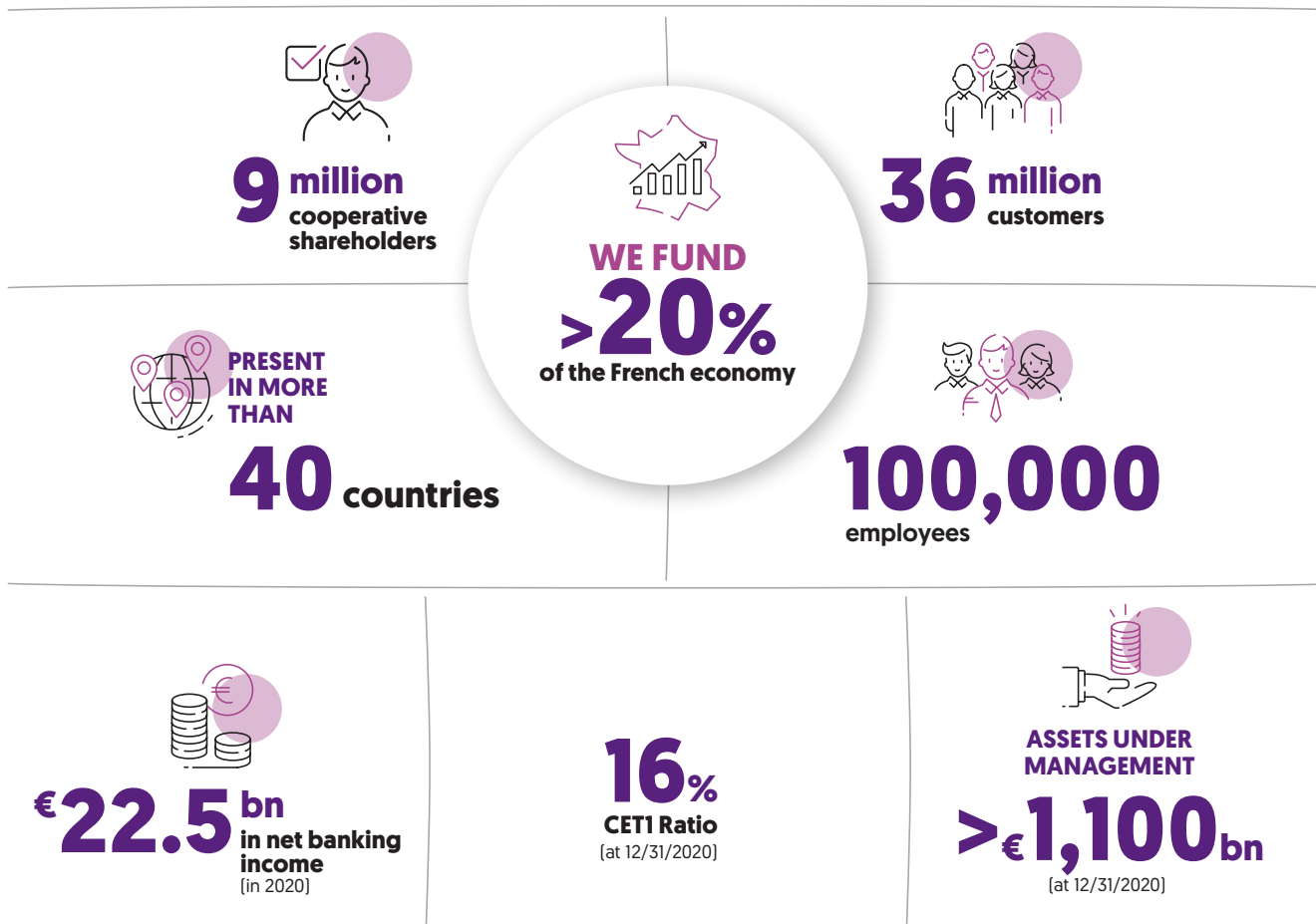
We firmly believe that our cooperative model is open to the future and in tune with society's expectations.

Groupe BPCE is the No. 2 banking group⁽¹⁾ in France, funding more than 20%⁽²⁾ of the French economy.

WE HELP OUR CUSTOMERS ACHIEVE THEIR GOALS

All our customers, be they individuals, professionals, associations, corporate customers of all sizes or institutional customers, have constantly evolving expectations, with increasing demands in terms of availability, feedback, advice and service.

The Group has four main business lines in France and abroad. With this structure, it is able to meet these needs by offering appropriate products and services across all distribution channels: Retail Banking & Insurance, Asset & Wealth Management, Corporate & Investment Banking, and Payments.



[1] Market shares: 22% in customer savings and 21.5% in customer credit (Banque de France Q3-2020 all non-financial customer categories).

[2] 21.5% market shares on total non-financial customer loan outstandings (Banque de France Q3-2020).

Strong, recognized brands



CAISSE D'ÉPARGNE



Diversified business lines in France and internationally



RETAIL BANKING & INSURANCE

Banking and financial services, Insurance, Specialized Financing

Banque Populaire,
Caisse d'Épargne,
Banque Palatine,
Natixis Assurances,
Financial Solutions & Expertise
Oney



ASSET & WEALTH MANAGEMENT

Asset management, Wealth management

Natixis Investment Managers,
Natixis Wealth Management



CORPORATE & INVESTMENT BANKING

Capital markets, Financing, Trade & Treasury Solutions

Natixis

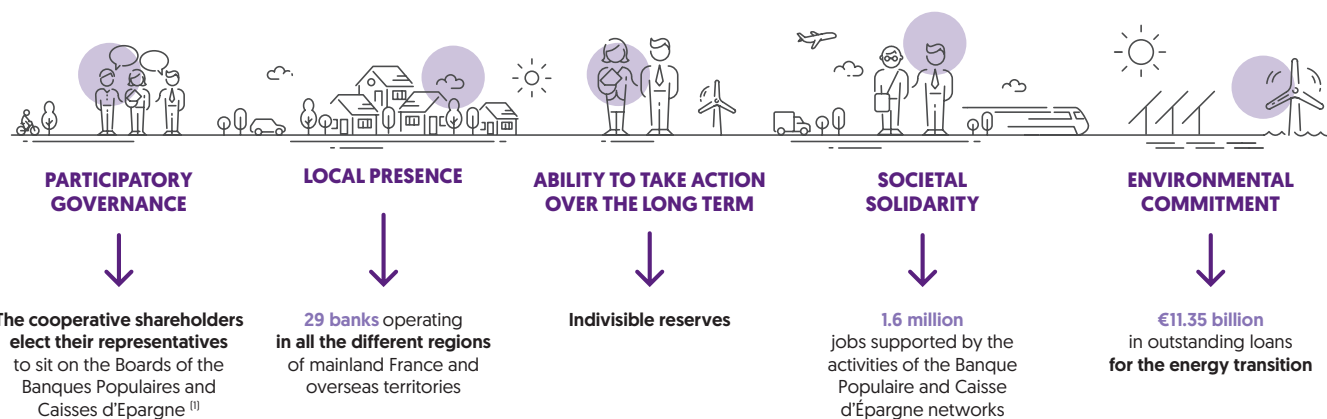


PAYMENTS

Management of domestic, European and international payment instruments

Natixis Payments

The defining characteristics of our banking model



[1] Through the election of directors of Local Savings Companies.

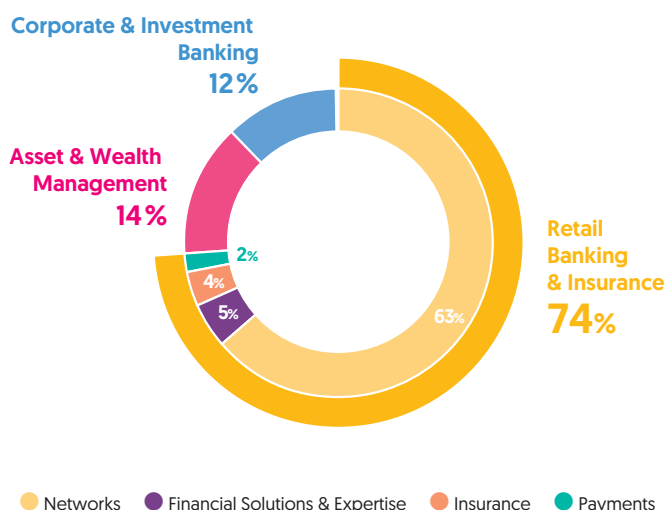
A solid group generating robust performances

A diversified revenue base

GROUPE BPCE – SUMMARY INCOME STATEMENT

<i>in millions of euros</i>	2020	2019	2018
Net banking income	22,540	24,305	24,001
Gross operating income	5,896	6,722	6,314
Cost/income ratio	73.8%	72.3%	73.7%
Cost of risk	(2,998)	(1,367)	(1,299)
Income before tax	2,789	5,538	5,297
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT	1,610	3,030	3,026

BUSINESS LINE CONTRIBUTIONS TO NBI⁽¹⁾ IN 2020 (As a %)



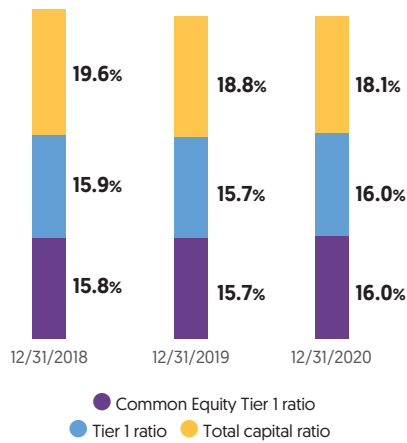
GROUPE BPCE – ACTIVITY

<i>in billions of euros</i>	12/31/2020	12/31/2019	12/31/2018
Balance sheet total	1,446.3	1,321.6	1,273.9
Customer loans (gross loan outstandings)	760.3	706.1	671.9

[1] Excluding the Corporate Center .

High levels of solvency and liquidity

GROUPE BPCE - CAPITAL RATIOS

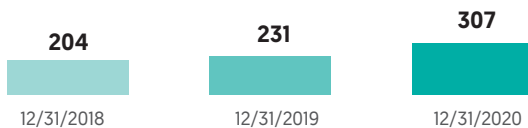


CREDIT RATINGS AT DECEMBER 31, 2020

The following ratings concern BPCE and also apply to Groupe BPCE.

	Fitch Ratings	Moody's	R&I	Standard & Poor's
Long-term rating	A+	A1	A+	A+
Short-term rating	F1	P-1	-	A-1
Outlook	Negative	Stable	Stable	Negative

GROUPE BPCE - LIQUIDITY RESERVE (In €bn)



BPCE SA group indicators ⁽¹⁾

SUMMARY INCOME STATEMENT

in millions of euros	2020	2019	2018
Net banking income	9,816	11,145	10,800
Gross operating income	1,854	2,286	2,005
Income before tax	500	1,923	1,856
EQUITY ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT	176	631	685

FINANCIAL STRUCTURE

in billions of euros	12/31/2020	12/31/2019	12/31/2018
Equity attributable to equity holders of the parent	20.2	20.4	19.6
Tier 1 capital	19.0	19.9	19.0
Tier 1 ratio	10.5%	11.2%	10.9%
Total capital ratio	15.5%	18.6%	19.1%

[1] BPCE SA group includes BPCE SA and its subsidiaries. The Banques Populaires and Caisses d'Epargne do not contribute to the results of BPCE SA group.

Balanced governance

Key Supervisory Board figures

At 12/31/2020

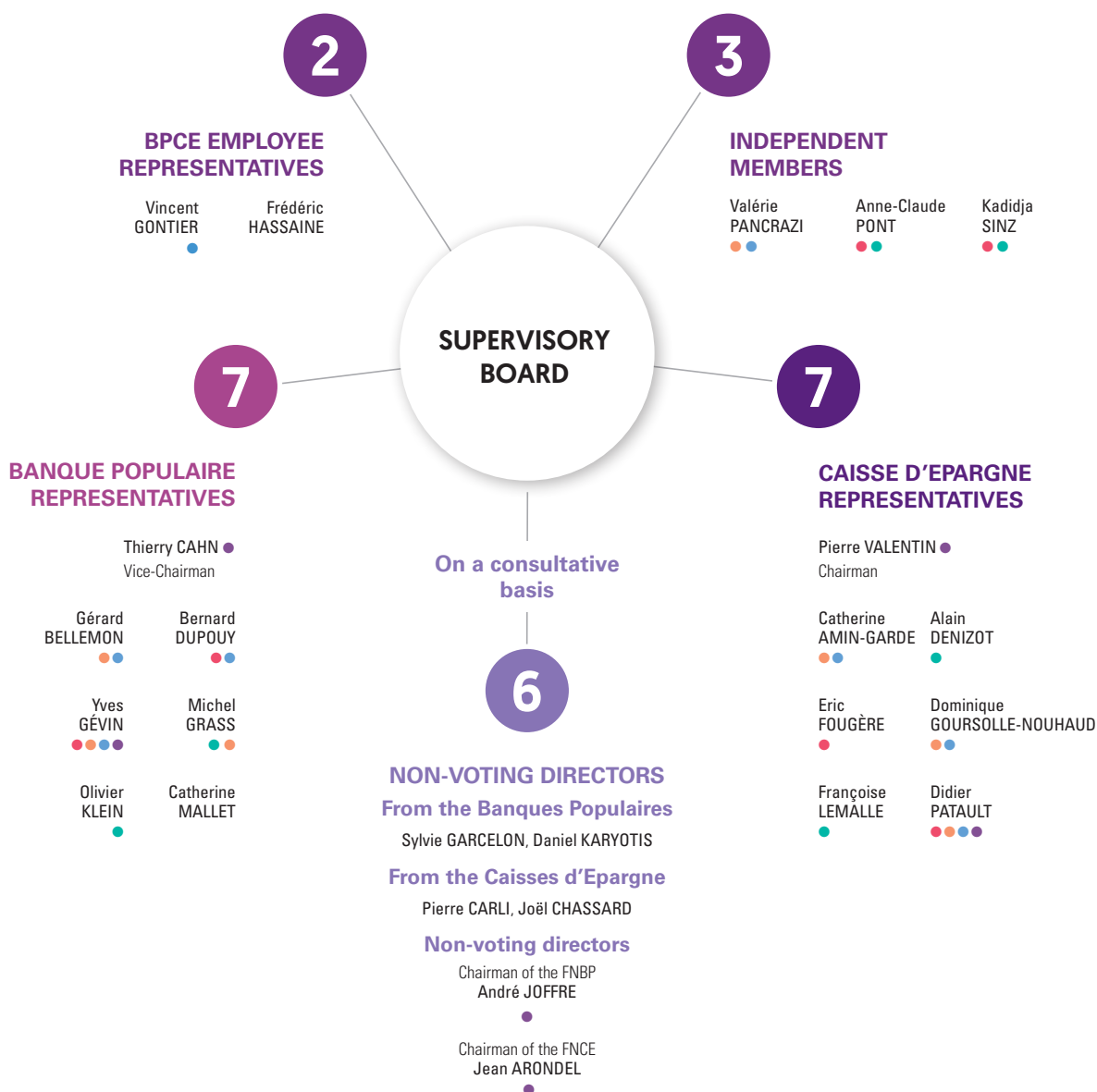
12
meetings

19
members

6
non-voting
directors

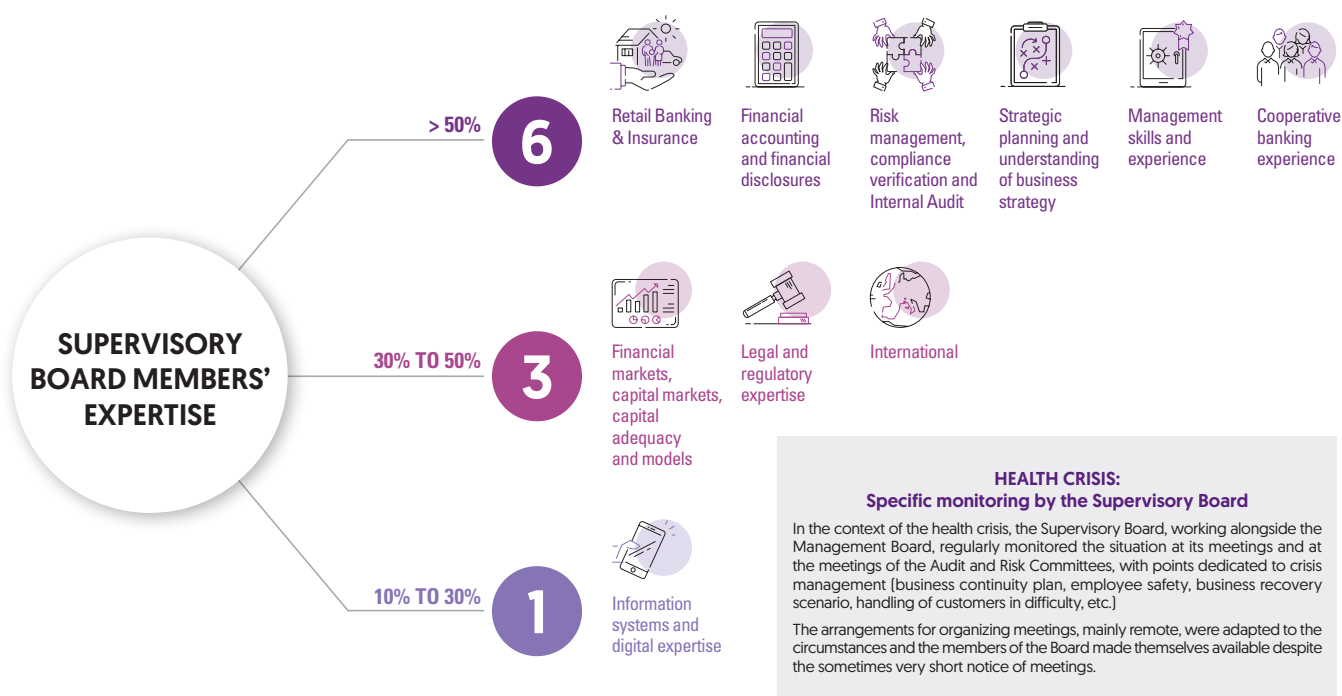
41.2%
diversity rate

98%
attendance
rate



● Audit Committee ● Risk Committee ● Appointments Committee ● Remuneration Committee ● Cooperative and CSR Committee

Supervisory Board members' expertise



The Board's 5 specialized committees

In 2020

AUDIT COMMITTEE	RISK COMMITTEE	APPOINTMENTS COMMITTEE	REMUNERATION COMMITTEE	COOPERATIVE AND CSR COMMITTEE
6 members 6 meetings 100% attendance rate	6 members 9 meetings 96% attendance rate	7 members 3 meetings 100% attendance rate	8 members 4 meetings 91% attendance rate	6 members 2 meetings 92% attendance rate

Management Board members

Since September 14, 2020



Laurent MIGNON
Chairman of the Management Board and CEO



Christine FABRESSE
Head of Retail Banking & Insurance



Catherine HALBERSTADT
Head of Group Human Resources



Jean-François LEQUOY
Head of Group Finance and Strategy



Nicolas NAMIAS
Chief Executive Officer of Natixis



A group more committed than ever

Supporting all players in the economy and supporting customers towards economic recovery

Proximity, solidarity, responsiveness and innovation—all of the Group's companies mobilized throughout the year to find relevant solutions adapted to the needs of their customers and help them prepare for the future.

ADAPTING OUR ORGANIZATION IN RECORD TIME

- The rise of remote working, changes in the organization of work, both to ensure continuity of service and maintain employee security,
- **Nearly 90% of branches open** during the first lockdown,
- **Accelerated adoption and ownership of digital services** by our customers: historical connection records, simplification of current operations, deployment of electronic signatures, etc.

RETAIL BANKING & INSURANCE

- Implementation of the **State-guaranteed loan** in just a few days' time, **automatic deferral of loan maturities by six months**, a one-year extension of the deferred amortization of loan capital for corporate and professional customers who requested it,
- Initiatives in favor of **the most-affected sectors or population** (public hospital sector, younger generations, nursing homes, municipalities, vulnerable customers, etc.),
- Contribution of €60 million to the **economic recovery plan** via the "**Assureurs - Caisse des Dépôts Relance Durable France**" investment program and other market initiatives; implementation of **non-contractual measures to benefit policyholders** in the context of a pandemic,
- **Innovative payment solutions/facilities** provided by Fintechs (PayPlug with sauvetonresto.com, etc.); facilitating merchants' **click & collect experience** through online payments.

ASSET & WEALTH MANAGEMENT

- **Launch of the Natixis Access Series platform** to help clients better understand market issues (webinars, podcasts led by economists, financial market experts and portfolio managers),
- **Labeling of the Mirova Dynamic Job Insertion fund**, to direct savings towards economic recovery plan projects.

CORPORATE & INVESTMENT BANKING

- **Increased commercial focus** on the needs of customers in terms of financing, hedging, and investment solutions,
- **Greater interaction between customers and the economic research team**, including sectoral focuses (Real Estate, Infrastructure, etc.) and sessions dedicated to "C-suites."

SOLIDARITY OPERATIONS ACROSS ALL REGIONS

With donations of masks, financial donations, calls for solidarity to help the most vulnerable people, innovative operations offered on their collection platforms, support for individual operations at the initiative of employees and more. Mutual aid has taken many forms.

KEY FIGURES at 12/31/2020

€30 bn
disbursed

[193,000 loans, of which more than 80,000 signed remotely]

State-guaranteed loans

90%
open

[during the first lockdown]

Branches

80%

Principal active customers on digital channels

+43

(+3 pp vs. 2019)

Digital NPS

Acting responsibly and sustainably for society

In keeping with Groupe BPCE's cooperative values, social and environmental responsibility is at the heart of its business as a banker and insurer. For several years, the Group's companies have been committed to more inclusive finance, a more sustainable and environmentally friendly society.

The current period invites us to accelerate this dynamic. In this context, the Group is strengthening its commitments in all areas and making CSR a strategic priority.

SUPPORTING THE ENERGY AND ENVIRONMENTAL TRANSITION

- Support for our customers in the **transformation of their way of life** (energy renovation, soft mobility) and their business models; **valuing their social or environmental commitment** with innovative and virtuous financing mechanisms (social and environmental impact loans),
- **Renewable energy expertise: €10bn in financing outstandings granted,**
- **Mobilization for the financing of a more sustainable economy:** €6.6bn in outstanding Green, Social and Transition bonds issued by Groupe BPCE.

STEERING SAVINGS TOWARDS A MORE RESPONSIBLE ECONOMY

- **A historical leader in socially responsible investment and solidarity savings** with €140bn in outstandings,
- Promote **innovative savings and investment solutions:** green bond for individual customers, retirement savings, and social engineering.

INCORPORATE ESG CRITERIA INTO OUR FINANCING AND ASSET MANAGEMENT ACTIVITIES

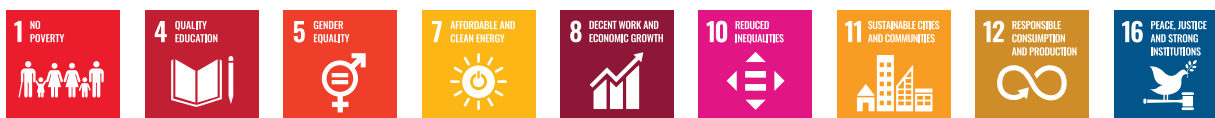
- Signatory to the **Equator Principles** since 2010,
- Integration of ESG criteria in **sector risk policies,**
- **Reinforcement of fossil fuel exclusion policies:** schedule for the total phase-out of coal, exit from financing for shale oil & gas exploration and production projects,
- Integration of ESG criteria in the **investment decisions** and **voting policies** of asset management affiliates.

FOLLOW A TRAJECTORY COMPATIBLE WITH A SECOND SCENARIO

- Work on measuring the carbon footprint and aligning portfolios with the Paris Agreements,
- Natixis Assurances is in line with its objective of aligning the investment portfolio with the Paris Agreements by 2030.

Support for the Sustainable Development Goals (SDGs)

The **SDGs** constitute a reference framework for all actions carried out by Groupe BPCE as part of its CSR policy: **nine priority SDGs** are positively impacted by the Group's actions in its businesses and operations.



Increase in non-financial ratings at 12/31/2020

The Group's greater integration of environmental, social and governance factors into its strategy and operations is recognized by non-financial rating agencies. Groupe BPCE is one of the best-rated banks.

C-Prime
ISS ESG

AA
MSCI

64/100
AVERAGE PERFORMER
SUSTAINALYTICS

60/100
(ADVANCED)
V.E.

In 2020, for its first assessment by CDP, Groupe BPCE obtained an A- rating, one of the highest in the banking sector

PRESENTATION OF GROUPE BPCE

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1.1 Group history

Groupe BPCE was established in 2009 through the merger of Groupe Banque Populaire and Groupe Caisse d'Epargne. This marked the combination of two leading cooperative banks, created in 1878 and 1818 respectively, sharing common values rooted in solidarity, a local presence, democratic governance and a long-term vision.

The first step to forming the Group took place in 2006, with the creation of Natixis from the merger of Ixis and Natexis Banques Populaires.

True to its roots, Groupe BPCE is as committed as ever to bringing about transformations and meeting the pressing challenges of its time, particularly when it comes to the energy and ecological transition.

BANQUE POPULAIRE

1878: FIRST BANQUE POPULAIRE FOUNDED

The Banques Populaires were founded by and for entrepreneurs, to make it easier to finance their projects.

1917: The Banques Populaires quickly become **major players in their region's economy**, working for craftsmen, small retailers, and SMEs.

1962: The Banques Populaires **open their services to individual customers**.

1998: The acquisition of Natexis gives the Groupe Banque Populaire a **listed vehicle**.

CAISSE D'EPARGNE

1818: FIRST CAISSE D'EPARGNE FOUNDED to promote, collect, and manage people's savings.

1835: The Caisses d'Epargne become "private institutions in the public interest."

1895: The Caisses d'Epargne conduct **operations of general interest**.

1983: The Caisses d'Epargne become **not-for-profit credit institutions**.

1999: The Caisses d'Epargne become **cooperative banks**.

2004: By purchasing CDC Ixis, the Groupe Caisse d'Epargne **branches out into investment banking**.

**2006: THE BANQUE POPULAIRE AND CAISSE D'EPARGNE GROUPS
UNITE THEIR STRENGTHS BY CREATING A JOINT SUBSIDIARY, NATIXIS**

2009

GROUPE BPCE ESTABLISHED FROM THE MERGER OF GROUPE BANQUE POPULAIRE AND GROUPE CAISSE D'EPARGNE

2010

The first strategic plan, "Together", mobilizes all Group entities to become the **preferred banks of the French people and their companies**

2014

The strategic plan for 2014-2017, "Another way to grow", is focused on development and transformation, with the goal of constantly striving **to better meet the expectations and needs of customers, while affirming the Group's difference as a cooperative banking structure**

Natixis sets up a **single insurance division**, enabling the Group to become a **fully fledged bancassur**

2018

Caisse d'Epargne Grand Est Europe established

2017

Groupe BPCE launches "TEC 2020", the strategic plan for 2018-2020: a combination of **digital transformation** in order to seize opportunities created by the ongoing technological revolution, **Engagement** towards customers, employees and cooperative shareholders, and **Growth** in all its core businesses

Two new regional bank mergers completed: creation of **Caisse d'Epargne Hauts de France** and **Banque Populaire Grand Ouest**

2016

Two regional bank mergers completed: creation of **Banque Populaire Méditerranée** and **Banque Populaire Auvergne Rhône Alpes**

2019

A CHANGING GROUP:

- Purchase of a **50.1% stake in Oney Bank**
- Talks between Groupe BPCE and La Banque Postale: plan to establish a top-tier European asset manager **specializing in insurance-related asset management** with LBPAM and renewed partnership with CNP Assurances

A STREAMLINED GROUP: integration of Crédit Foncier's activities and expertise and integration of Natixis Specialized Financial Services into BPCE SA

Groupe BPCE is the first Premium Partner of the Olympic and Paralympic Games Paris 2024

Signature of the Principles for Responsible Banking

2020

- **Exceptional mobilization** by all Group companies and all employees throughout the year to find solutions that are pertinent and appropriate to their customers' needs
- Following the finalization of the operation with LBP AM, **creation of a major European player in fixed-income and insurance asset management**, Ostrum Asset Management, which provides asset management and investment services

1.2 Understanding the Group's organization

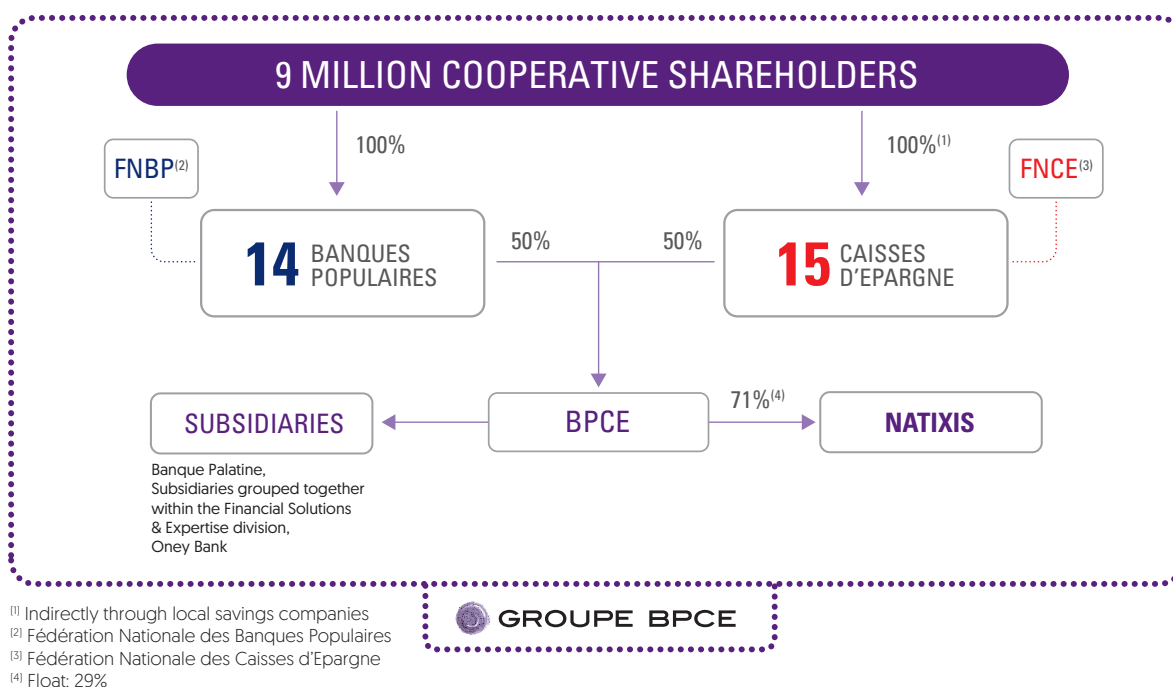
Overview

The Banques Populaires and the Caisses d'Epargne are owned by nine million cooperative shareholders. This highly stable shareholding structure is imbued with a strong cooperative spirit.

BPCE SA, the central institution of Groupe BPCE, is wholly-owned by the 14 Banques Populaires and 15 Caisses d'Epargne. It defines the policies and strategic objectives of the Group and coordinates the sales policies of each network.

The Banques Populaires and Caisses d'Epargne are banks in their own right. They collect deposits and savings, distribute loans and define their priorities.

Important members of their regional economies sit on the Board of Directors of the Banques Populaires and on the Steering and Supervisory Board of the Caisses d'Epargne. Their resources are first and foremost allocated to meet the needs of local areas and regional customers.



Three-pillar structure

1



Under the cooperative banking model, cooperative shareholding customers are the focal point of the Group's governance.

The Banques Populaires and Caisses d'Epargne are credit institutions wholly-owned by their cooperative shareholders (via LSCs – Local Savings Companies – for the Caisses d'Epargne).

Cooperative shareholding customers – both individuals and legal entities – **play an active part in the life, ambitions and development of their bank.**

Being a cooperative shareholder means owning a cooperative share (a percentage of the share capital not quoted on the stock exchange), representing a portion of the share capital in a Banque Populaire or an LSC for a Caisse d'Epargne, and playing a role in the bank's operation by taking part in Annual General Shareholders' Meetings and voting to approve the financial statements and resolutions, validating management decisions and electing Directors.

Each institution is governed by a Board of Directors and a Chief Executive Officer for the Banques Populaires, or a Steering and Supervisory Board and a Management Board for the Caisses d'Epargne.



SEE CHAPTER 3
"CORPORATE GOVERNANCE"



BPCE SA is responsible for the strategy, coordination and organization of the Group as well as each of the networks.

The main duties of the central institution, as defined by the French act of June 18, 2009, are:

- coordinating business policies;
- representing the Group and its networks, and negotiating national/ international agreements on their behalf;
- representing the Group and its networks as an employer;
- taking all necessary measures to ensure the Group's liquidity and solvency, risk management and internal control.

All credit institutions affiliated with the central institution are covered by a guarantee and solidarity mechanism.

The scope of affiliated entities is mainly comprised of the Banque Populaire and the Caisse d'Epargne networks, and Natixis.



SEE CHAPTER 7
"LEGAL INFORMATION"



Natixis boasts several areas of expertise, which are organized into four main business divisions: Asset & Wealth Management, Corporate & Investment Banking, Insurance and Payments. It serves its own customer base of corporates, financial institutions and institutional investors, as well as the individual, professional and SME customers of both Groupe BPCE networks and its subsidiaries.

As a bank for corporate and wealth management customers, **Banque Palatine** helps its customers achieve their personal and professional goals alike.

Oney, a 50.1%-owned subsidiary of Groupe BPCE since October 2019, is a French bank with an international presence that supports the daily lives of its customers by offering in-store and online shopping experiences.

1.3 Highlights

January 2020

The Banques Populaires and the Caisses d'Épargne are among the four financial partners that offer loans guaranteed by the National Initiative for French Agriculture (INAF). It is a structure designed as part of the Major Investment Plan 2018-2022 by the European Investment Fund (EIF), in collaboration with the French Ministry of Agriculture. INAF is expected to catalyze more than €1 billion in investment.

The Banques Populaires and the Caisses d'Épargne are launching a Tour de France dubbed "Entreprendre 2024" to facilitate the access of VSEs and SMEs and social and solidarity economy structures to the opportunities generated by the organization of the Olympic and Paralympic Games Paris 2024. Since its launch, more than 2,000 companies and partners have taken part in these meetings.

February 2020

The Group publishes its first study on the sports economy in France. This unprecedented economic, statistical and behavioral analysis aims to understand what the sports sector represents in France, its economic weight, and its regional disparities and specificities, and to identify its players and its economic challenges.

March 2020

The Banques Populaires and the Caisses d'Épargne mobilize to support their customers facing difficulties related to the health crisis. Numerous immediate measures have been taken, in particular: postponing loan repayments for professional and corporate customers for up to six months, and accelerating the processing of claims and their compensation for insured customers. The Group is also the first French bank to offer the electronic signature of the State-guaranteed loan (SGL).

In financial markets disrupted by the health crisis, Groupe BPCE is the first major European banking group to make a successful return to the bond market with a covered bond issue of €1 billion (issue guaranteed by housing loans originated by the Banque Populaire and Caisse d'Épargne networks).

April 2020

The Group confirms its leadership in digital. It is among the leading European banks in terms of customer satisfaction on mobile applications during the lockdown period (Covid-19 report by the D-Rating agency).

May 2020

Groupe BPCE successfully completes the placement of its first covered bond issue to refinance energy-efficient homes, for an amount of €1.25 billion and a maturity of ten years. It confirms its leading position as a player committed to responsible regional financing.

The Caisses d'Épargne launch a large-scale support plan for public hospitals with an exceptional funding envelope of €1 billion. This support plan, which comes in the context of a health crisis, includes cash loans that can be mobilized within 48 hours,

a medium/long-term financing offer and, finally, a credit solution for very-long-term investment needs over periods of up to 40 years.

The Banques Populaires and the Caisses d'Épargne are launching a support plan for students and apprentices to help them get through the crisis. Concrete actions have been taken, such as the repayment of their multi-risk home insurance for young people for three months, or the granting of a student loan of up to €5,000 at 0%.

July 2020

The Banques Populaires and the Caisses d'Épargne signed an agreement with the EIF to finance loans of €75 million to support the recovery of businesses. This new agreement aims to facilitate access to financing for SMEs, mid-sized companies

and start-ups with fewer than 3,000 employees who invest in innovative, adaptation or transformation projects related to the health crisis.

September 2020

The Banques Populaires and the Caisses d'Épargne offer a new *Individual Retirement Savings Plan* (PERI), created by Natixis Assurances. Composed in the form of a multi-vehicle life insurance policy, denominated in euros and unit-linked funds, this PERI enables everyone to build up standardized retirement savings with a positive social and environmental impact.

The Banques Populaires support the recovery of their professional customers with the *SOCAMA Relance Loan*. This new loan, without a personal guarantee from the manager, his or her family, or a third party, is fully guaranteed by SOCAMA (*société de caution mutuelle artisanale*) and supported by the European Investment Fund (EIF).

October 2020

The Group's rating is confirmed at A+ by the rating agencies Fitch Ratings, R&I, and Standard & Poor's, thus recognizing the Group's financial strength.

The Caisse d'Épargne launches the *Impact Loan*, an offer to promote the social or environmental commitment of its real

estate and social housing customers. For each *Impact Loan* subscribed, the interest rate is indexed to a non-financial social or environmental performance objective of its customers, and the bonus received can be paid back to an association.

November 2020

Natixis and La Banque Postale create Ostrum Asset Management, a European leader in rate and insurance management. The new entity manages more than €430 billion in assets at the end of September 2020, and manages more than

€590 billion through its service platform. As a result of this transaction, Natixis' Asset & Wealth Management businesses represent more than €1,000 billion in assets under management.

December 2020

Throughout the year, the Group pursued its *Digital Inside* strategy: 80% of the main banked customers now use digital channels (web or mobile apps), and 10 million customers logged on at least once with strong authentication branchless banking for an NPS, up three points year-on-year to +43 at the end of December 2020. Remote banking services continued to be enhanced. All loans (real estate, consumer, and professional equipment) have become omnichannel with fully digital processes. With a view to its next strategic plan, the Group is

strengthening its digital system by creating a new Innovation, Data and Digital department.

The Group's non-financial rating was upgraded to "Advanced" by the Vigeo Eris agency. For its first assessment by CDP (an independent international organization that works for the environmental transparency of companies and governments), Groupe BPCE obtained an A- rating, one of the highest in the banking sector.

1.4 TEC 2020: a strategic plan focused on digital transformation, commitment and growth

The strategic plan for the 2018-2020 period, entitled "TEC 2020" focuses on a combination of Digital transformation in order to seize opportunities created by the ongoing technological revolution, Engagement towards the Group's customers, employees and cooperative shareholders, and Growth in all its core businesses.

The Covid-19 health crisis in 2020 impacted the last year of the strategic plan and the Group's businesses. However, it has highlighted the relevance and effectiveness of the systems put in place for business continuity in service of customers and the economy.

Digital transformation

The Group continued its *Digital Inside* strategy, initiated two years ago, which consists in disseminating digital technology in all companies in order to radically transform them. It involves the appropriation of digital technology by all employees by giving them a key role, that of prescriber and actor with customers.

This digital transformation is led by the 89C3 Factory, the dedicated organization in charge of supporting the technological vision and development of digital products, in collaboration with the Banques Populaires, the Caisses d'Epargne, and the IT operators of the I-BP, IT-CE, BPCE-IT group.

The objective is to achieve the best possible scores in terms of customer satisfaction by raising the Group's digital NPS (Net Promoter Score) to the level of pure players.

To achieve this, the Group has developed joint customer interfaces and has raised the account management web spaces to the level of mobile apps, with functionalities that are constantly upgraded (authentication, card management, budget summary, account aggregation, and application process).

The development of the digital spaces has made it possible to achieve the highest level of quality of service and customer satisfaction, with an NPS of +43 at the end of December 2020, an increase of four points since the start of the plan, and scores of 4.4/5 on stores for mobile applications.

Digital application processes have been developed for consumer and home loans for individual customers and equipment loans for professional customers. Thus, in 2020, the share of consumer loans initiated *via* digital channels amounted to 20% for the Caisses d'Epargne and 14% for the Banques Populaires.

All these achievements have contributed to the increased use of digital channels by customers. At the end of 2020, more than 76% of the main customers of the Banques Populaires and Caisses d'Epargne had used one of the digital channels available to them, representing an increase of nearly ten points over the duration of the strategic plan.

The Group also continued to optimize its operating model in retail banking, with the multi-year program to encourage

electronic signatures and paperless documents. In 2020, electronic signatures were used widely for applications and amendments, making life easier for customers and reducing printing costs. In the context of the health crisis, the Sign'it electronic signature solution made it possible to finalize more than 117,000 contracts with companies and professionals, including State-guaranteed loans.

The Group also deployed virtual assistants to automate processes, particularly in the back office, and increase efficiency, and continued to use automatic document recognition and reading technologies.

The Group gradually rolled out Office 365 to facilitate collaboration and sharing, including across businesses and while on the move. New communities were created (digital ambassadors, digital champions, and data management officers) to support, disseminate and bring to life the digital transformation within the Group's companies.

In the context of the health crisis, the widespread deployment of digital tools enabled Group employees to work remotely, wherever they were, while maintaining a high level of safety.

Over the entire duration of the strategic plan, more than 40% of IT investments were dedicated to digital.

The Group also strengthened its technological resources by acquiring a private cloud available to the Banque Populaire and Caisses d'Epargne's IT businesses. MyCloud is part of the DevOps strategy that aims to bring developers and operations teams together. Equipped with a catalog of hosting and development solutions (servers, software, databases, etc.), MyCloud enables institutions to create banking and non-banking applications independently and to manage their private needs (e.g. showcase sites, HRIS, etc.).

Finally, a new organization was put in place around digital, data, artificial intelligence, and innovation in view of the next strategic plan.

Our engagement towards our customers, staff and cooperative shareholders

MORE CONVENIENCE, EXPERTISE AND SOLUTIONS FOR OUR CUSTOMERS

In retail banking, the Banques Populaires and the Caisses d'Épargne continue to develop their multi-channel relationship model that lets customers choose how much or how little support they require. Central to this model, together with developments in online and mobile banking services, are the Group's actions to overhaul branch formats (points of sale and business centers), establishing multi-site branches, refocusing on advisory services, reception areas that foster a "side-by-side" rather than "face-to-face" relationship, and creating collaborative workspaces. In the context of the Covid-19 health crisis, agencies and advisors remained at the service of customers while systematically favoring remote solutions. Customer service expertise was strengthened with the recruitment of more than 1,500 additional specialist advisors. Customer satisfaction increased significantly over the duration of the plan, with an increase in NPS of 20 points for individual customers and of 23 points for professional customers.

In order to offer its customers more expertise and solutions, the Asset & Wealth Management business line is strengthening its position as world leader in active investment strategies thanks to its size, profitability, capacity for innovation, and the development of its international distribution platform via its multi-boutique network. With its 22 affiliated management companies, Natixis Investment Managers offers more than 200 investment strategies.

Meanwhile, Corporate & Investment Banking is developing recognized expertise in four specific sectors: Energy & Natural Resources, Infrastructure, Aviation, Real Estate, and Hospitality. It offers its customers a complete range of tailor-made expertise, with investment and financing solutions adapted to their needs: strategic advice, mergers and acquisitions, capital markets, structured financing, trade finance, and treasury solutions.

A STRONG EMPLOYER PROMISE

As an employer, the Group is committed to enhancing employee value through training and internal mobility, developing its employer brand in order to attract and retain top talent and to continuing its efforts to promote diversity among executives and company directors.

To achieve this, in 2018 the Group signed another three-year Occupation and Skills Forecasting (GPEC) agreement with labor representatives in order to establish a structured framework in today's fast-changing environment undergoing considerable technological innovation. In this respect, major commitments have been adopted, including investing in the development of business skills in order to increase employability, strengthening digital skills, advancing the spirit of service, renewing managerial practices by adapting them to new ways of organizing work, facilitating functional and geographical mobility, and, lastly, improving the employee experience by promoting more participatory methods and optimizing work tools.

An unprecedented training drive is underway, with an increase of more than 25% in the number of hours spent on professional training and an investment of 8.7 million training hours over the duration of the plan.

Further efforts have been made to improve gender equality: the percentage of women in executive roles was 44.5% for a target of 45% at end-2020, and the proportion of female company directors reached 27.9%, an increase of 7.5 points since the start of the plan.

The Group has set up a dedicated intranet platform to facilitate job mobility.

In 2020, Natixis was the only financial institution to appear in the Glassdoor TOP 25 ranking of "Best Employer" and received the TOP EMPLOYER label in France from the Top Employer Institute.

A RESPONSIBLE GROUP, PRODUCTIVELY ENGAGED IN SOCIETY

The Group is committed to serving the wider community by contributing to the regions and local ecosystems, fostering green growth and ESG and providing products and services to vulnerable customers.

As such, the Group finances around 20% of the French economy (housing, transport, energy, telecommunications, universities, hospitals, etc.). Outstanding loans to retail banking customers amounted to €612.5 billion at the end of 2020 (+11.1% compared to 2019), of which €260 billion for the Banques Populaires and €316 billion for the Caisses d'Épargne, the remainder being financed by the subsidiaries of the Financial Solutions & Expertise division (factoring, leasing, etc.).

At the end of 2020, the Group was allocating €11.35 billion to the financing of the energy transition in France and abroad, for a target set at €10 billion. The savings banks launched the *Impact Loan*, a new offer to promote the social or environmental commitment of its customers in the real estate and social housing sector. Natixis is the first bank to actively manage the climate impact of its balance sheet by implementing its internal "Green Weighting Factor" mechanism. This latter favors the most virtuous financing for the climate and the energy transition to a low-carbon economy, and, conversely, penalizes financing that carries environmental risks.

The Group manages €139.8 billion in responsible savings, for an initial target of €35 billion, testifying to its dynamism and commitment.

For its refinancing, the Group is pursuing its policy of issuing green and social bonds for environmentally and socially responsible investors, with issues of €2.2 billion in 2020 and outstandings of €6.6 billion euros at the end of 2020. For the first time, a green bond was issued for individual customers of the Banques Populaires and Caisses d'Épargne. The funds collected are used to finance the construction and renovation of buildings with a low environmental footprint.

Groupe BPCE's CSR commitment has been recognized by the NGO InfluenceMap. The Group is among the trio of financial institutions that work hardest for European regulations on sustainable finance. The rating agency MSCI ESG Research awarded Groupe BPCE an AA rating, recognizing the Group's integration of environmental, social and governance (ESG) issues in its policies (development, human resources, risks, business ethics, cybersecurity, etc.).

Ambitious growth targets in all business lines

The Group has set goals for 2020 for each of its business lines:

FOR RETAIL BANKING

- For the Banques Populaires, developing the civil service market, consolidating our position as the leading bank for SMEs and maintaining a presence alongside company directors.
- For the Caisses d'Épargne, consolidating our position as the preferred bank for individual customers, and particularly those with the potential to become wealth management customers, and continuing our efforts to gain new professional and corporate customers, while maintaining leadership on the institutional market.

→ Over the course of the plan, the number of banked customers increased by 275,000 for individual customers, by more than 26,000 for professional customers, and by 5,000 for corporate and institutional customers.

- For Banque Palatine, developing a high-end offering focusing on dual banking relationships with company directors.
- Digitizing specialized financial services and boosting synergies with the banking networks.

→ Over the course of the plan, BPCE set up the Financial Solutions & Expertise division, acquiring specialized financial service companies from Natixis, to strengthen its proximity to the banking networks. Oney Bank continued to develop its solutions, in particular the "3x4x" split payment offer.

- Becoming a pure player in payments (Natixis).
→ During the plan, Natixis Payments developed a comprehensive range of solutions for all economic players around its three activities—Processing, Digital Payments, and Benefits—and multiplied its revenues by a factor of 1.3.
- Consolidating our position as a top-tier insurer in France (notably as one of the Top 5 in personal insurance) and integrating the entire non-life insurance value chain.

→ Throughout the plan, the Group continued to develop its integrated insurance model, with growth of 815,000 non-life insurance contracts, and life insurance outstandings of €72.7 billion (excluding reinsurance contracts with CNP).

FOR ASSET MANAGEMENT

- Confirming our position as a world leader in active investment strategies in terms of size, profitability and capacity for innovation.
- Developing alternative strategies and solutions.
- Expanding global distribution capacities.

→ On December 31, 2020, assets under management amounted to €1,135 billion, against a target of €1,000 billion, an increase of more than 25% year-on-year, with improved expertise across all classes, particularly ESG thanks to Mirova's expertise.

FOR CORPORATE & INVESTMENT BANKING

- Being recognized as a bank for innovative solutions and strengthening our Originate-to-Distribute model, primarily by expanding our customer base of insurers and investment funds.
- Becoming the go-to bank in four key sectors: Energy and Natural Resources, Infrastructure, Aviation, Real Estate & Hospitality.

→ The health crisis weighed negatively on revenues and cost of risk for Corporate & Investment Banking. In 2020, the Americas and APAC share of revenues amounted to 37% for a target of 40%.

Financial trajectory

Groupe BPCE achieved its TEC 2020 strategic plan in line with its liquidity and solvency targets: during the term of the plan, the CET1 ratio was managed at a level above the target of 15.5% to stand at 16% at the end of 2020; and the TLAC ratio exceeded the target of 21.5%, ending 2020 at 23.6%.

The cost of risk, maintained at 19bp in 2018 and 2019, rose to 41bp in 2020 for an overall target of 20-30bp over the course of the plan.

Risk-weighted assets increased, with an average annual growth rate of 3.7% since the end of 2017, for a target of around 3%.

With regard to cost-income targets⁽¹⁾, the target for Retail Banking & Insurance stood at 63.9% at the end of 2020 compared to a target of around 64%, while that of Asset & Wealth Management stood at 72.6% for an initial target of 68%, and Corporate & Investment Banking at 74.5% for an initial target of around 60%.

The target of cost synergies of €1 billion at the end of 2020 was met, with cost savings of €1.156 billion.

[1] Excluding non-recurring items

New strategic operations

In 2020, BPCE acquired CFF's stake in Crédit Foncier Immobilier (CFI), now BPCE Solutions Immobilières and integrated into BPCE's Financial Solutions & Expertise division.

Discussions that were started in 2019 between Groupe BPCE and La Banque Postale with a view to extending their industrial partnership continued. In 2020, Natixis and La Banque Postale finalized the merger of the interest rate and insurance management activities of Ostrum Asset Management and La Banque Postale Asset Management. This merger marks the creation of a leader in asset management in Europe within Ostrum AM, which is 55% owned by Natixis (through its subsidiary Natixis Investment Managers) and 45% by La Banque Postale.

BPCE took a stake in the European EPI (European Payments Initiative) project launched by 16 major European banks. The objective is to create a unified pan-European payment solution, offering a bank card, a digital wallet, and peer-to-peer payment solutions based on the instant transfer infrastructure.

BPCE has entered into exclusive negotiations with Ripplewood Advisors LLC related to the proposed disposal of the entire share capital of Fidor Bank AG.

Next strategic plan

In a context of uncertainties, but also of opportunities, Groupe BPCE has begun preparing its future strategic plan, which will be communicated in 2021.

In this context, BPCE wants to acquire new strategic manoeuvrability and a simplified operating framework.

Thus, in February 2021, BPCE SA, the majority shareholder of Natixis SA, announced its intention to acquire the 29.3% of the share capital of Natixis SA that it does not hold⁽¹⁾ and filed a simplified takeover bid with the French Financial Markets Authority (AMF).

[1] Based on issued and fully paid-up share capital on December 31, 2020.

1.5 The Group's business lines

RETAIL BANKING, FINANCIAL SOLUTIONS AND EXPERTISE, INSURANCE

**BANQUE
POPULAIRE** 



CAISSE D'ÉPARGNE

**BANQUE
PALATINE** 

oney

- Banking and financial services
- Advisory and specialized financing
- Personal insurance, non-life insurance

ASSET AND WEALTH MANAGEMENT

 **NATIXIS**
INVESTMENT MANAGERS

- Asset management
- Wealth management

 **NATIXIS**
WEALTH MANAGEMENT
BEYOND BANKING

CORPORATE AND INVESTMENT BANKING

 **NATIXIS**
BEYOND BANKING

- Capital markets
 - Financing
- Trade & Treasury Solutions
- Strategy consultant services

PAYMENTS

 **NATIXIS**
PAYMENTS
BEYOND BANKING

- Payment solutions

1.5.1 Retail Banking and Insurance



N°1 ⁽¹⁾
**bank for
SMEs**



N°2 ⁽²⁾
**bank for
individual
customers**



N°2 ⁽³⁾
**bank for
professional
customers
and individual
entrepreneurs**



26% ⁽⁴⁾
**market share
in home loans**



€613 ^{bn}
**in loan
outstandings**



€816 ^{bn} ⁽⁵⁾
**in deposits
and savings**



4.4 ^{/5}
**Banque Populaire and Caisse d'Epargne
Apps ranking in AppStore® in December 2020**

[1] 53% [No. 1] in terms of total penetration rate [Kantar 2019 SME-SMI survey].

[2] Market share: 22.2% in household deposits/savings and 26.1% in home loans [Banque de France, Q3-2020]. Total penetration rate of 29.6% [No. 2] among individual customers [SOFIA Kantar survey, March 2020].

[3] 39.9 % [No. 2] penetration rate among professional customers and individual entrepreneurs [2019-2020 CSA Pépites survey].

[4] Banque de France Q3-2020 - Home loans outstandings.

[5] On- and Off-balance sheet deposits and savings.

Health crisis: Groupe BPCE supports its customers in the long-term

In response to the health crisis, central banks, governments and international institutions took urgent measures to limit the impact of the economic crisis. The entire financial sector, and banks in particular, were actively involved in these crucial measures to protect the economic fabric.

Groupe BPCE played its full part in managing this crisis. It went above and beyond the measures taken by the French government and undertook numerous support initiatives.

The State-guaranteed loans and the deferral of loan maturities (see figures), an activity beyond the Group's conventional scope.

Nearly all branches were kept open: 90% during the first lockdown (between 85 and 95% depending on the region and the intensity of the epidemic) and 100% during the second one.

Service continuity was ensured through remote banking and simplified everyday operations in particular, by sending bank cards and checkbooks to customers, by raising the contactless payment limit, and by accelerating the roll-out of electronic signatures. The Group is the first player in the financial sector to massively develop this solution.

Complementary initiatives were implemented in favor of the most affected sectors or populations: the Caisses d'Épargne banks rolled out an extensive support plan for the **public hospital sector** with funding of €1 billion; Natixis Payments took measures to address the numerous requests for additional cash from **hospitals, nursing homes and municipalities**.

The Banques Populaires introduced the *SOCAMA Relance Loan* to support **professionals** by providing them with a cash financing solution; a system to support **students and trainees** was launched by the Banques Populaires and the Caisses d'Épargne.

In the area of insurance, Natixis Assurances implemented several measures, such as covering the operating expenses of 4,000 professionals in the restaurant sector who are customers of the Banques Populaires, and suspending all formal notice and recovery procedures for SMEs and VSEs in difficulty, as well as retaining all personal risk and non-life insurance cover for professional customers of the Banques Populaires and the Caisses d'Épargne, even in the event of late payments.

Support for the most financially vulnerable: customers receiving social benefits could make use of an unprecedented system enabling them to withdraw money from an automatic teller machine without a bank card, using an SMS or via their banking app.

Solidarity initiatives across all regions were conducted by Group companies. Massive redistribution of masks when they were in short supply, financial donations, calls for solidarity to help the most vulnerable people, innovative operations offered on their collection platforms, support for individual operations at the initiative of employees, and more. Solidarity initiatives have taken many forms.

Groupe BPCE continues to support all its customers – individuals, professionals, companies and public sector – and continues to work with public authorities to implement solutions adapted to everyone's needs.

Banques Populaires

Founded by entrepreneurs for entrepreneurs more than 140 years ago, the Banques Populaires have stayed true to their roots, confirming their position as the leading bank for SMEs in France^[1]. A top-tier banking network with 12 regional Banques Populaires and two national affiliated banks (CASDEN Banque Populaire, dedicated to the civil service sector, and Crédit Coopératif, a bank serving the social and solidarity-based economy), Banque Populaire is also the No. 2 bank of craftsmen and small retailers^[2].

Key figures

- **14 Banques Populaires**
- **4.7 million cooperative shareholders**
- **9.5 million customers**
- **30,500 employees**
- **€322.9bn in deposits and savings**
- **€259.9bn in loan outstandings**
- **€6.3bn in net banking income**

IN 2020

- The level of professional customer satisfaction improved significantly, achieving a Net Promoter Score (NPS) of +6 (+11 points over one year).
- Deployment of *PayPlug*, a new payment solution that allows professional customers to collect their revenue by bank card on their e-commerce site.
- Launch of a new protection offer, *Protection Pro+*, with a fully digitized underwriting process that covers the professional customer in the event of illness or accident.
- In the individual customer market, widespread use of the relationship agreement *CRISTAL*, which boosted daily banking activity for individual customers (+56% gross production in 2020, i.e. 453,400 customers equipped).

INDIVIDUAL CUSTOMERS

The health crisis had a major impact on activity, creating very distinct periods. After a dynamic start to the year on the commercial front, the impact of the lockdown was strongly felt, whether on account opening, consumer credit, or insurance. Despite the context, the teams remained in contact with customers, which enabled real estate loans to hold up well. Post-lockdown, business rebounded sharply, with a historic June in terms of consumer credit, and continued strong real estate lending activity. The second lockdown once again slowed the pace of commercial development, but with good momentum in insurance, driven in particular by the widespread of a program which overhauled completely the offer and application processes in non-life insurance, in line with Groupe BPCE's strategy of becoming a leading Banking & Insurance provider.

In addition, the new relationship agreement *CRISTAL* was widely adopted. This bundled offer of banking services includes a set of products or services for daily current account management. Day-to-day banking activity thus grew significantly, with 453,400 customers equipped, up by 56% over one year.

In terms of financial savings, the year was marked by the launch of a digital financial allocation tool, the *LEA Process*, for use by advisors and customers, and by the launch of a new *Individual Retirement Savings Plan* (PERI). Created by Natixis Assurances, it enables customers to build up retirement savings with a positive social and environmental impact.

Lastly, in the field of consumer credit, a new offer, *Freedom Advance*, was created for wealthy customers who want to keep their savings. In this regard, marketing tools have been strengthened and now make it possible to provide customers with pre-approved consumer credit packages.

€35.5bn in new loans, +14.3%

€129.6bn in loan outstandings, +9.3%

€169.1bn in deposits and savings, +7.7%

344,000 new non-life insurance policies

[1] 43% total penetration rate (Kantar 2019 SME-SMI survey). Banque Populaire: No. 1 bank of SMEs, including the Banques Populaires, Crédit Coopératif, and the regional banks of Crédit Maritime Mutuel.

[2] 2019-2020 Pépites survey (CSA).

PRIVATE BANKING

As the No. 3 player in private banking in France^[1], Banque Populaire accelerated its development in this market, with business in wealthy and high-net-worth customers growing over one year by more than 7.3% in 2020 and assets under management approaching €89.3 billion euros at the end of 2020.

The pace of development among SME executives benefited from the installed national Private Banking system, which includes 45 Private Banking branches and nearly 200 dedicated employees throughout France.

An asset retirement advisory system, including the new individual and group savings plans for wealth management, was made available to entrepreneurial customers and SME managers.

And, for the first time, Banque Populaire received an award from the magazine *Mieux Vivre Votre Argent* for the one-year performance of its collective management offering.

460,000 customers, +5.4%

€89.3bn in AuM, +7.3%

PROFESSIONAL CUSTOMERS

More than 1 million professionals are customers of the Banques Populaires, including nearly 60,000 since 2020. It is a Business Partner approach, combining financing, services, digital solutions, insurance, and employee savings plans, that the Banques Populaires are developing with them to provide them and all their business ventures with daily support.

As a result of the quality of customer support, the level of satisfaction increased significantly to reach a Net Promoter Score (NPS) of +6, an increase of 11 points over one year.

Financing

Loan outstandings reached €66.6 billion, while new medium/long-term loans amounted to €15.7 billion (including State-guaranteed loans).

Sales in branches showed a clear increase (+3.2%), largely related to guidance for professional customers in implementing various government support measures (extension of maturity, State-guaranteed loan, etc.).

New services

A new payment solution was rolled out in conjunction with the partner PayPlug, an omnichannel payment solution that joined Natixis Payments in 2017. It enables professional and corporate customers to collect their revenue (up to €10 million in e-commerce revenue) by bank card on their e-commerce site. This offer completes the *Business Partner* range dedicated to the development of professional customers.

In terms of digital technology, support was offered to craftsmen and small retailers through the provision, on the Banque Populaire website, of an acculturation and awareness-raising kit to help them develop their business.

This approach is fully in line with the government's desire to help one million companies go digital by the end of 2021.

Insurance

Banque Populaire hit the 200,000-customer mark with its retirement and personal protection solutions, designed with Natixis Assurances to protect professional customers as well as their employees and families.

During the second half of the year, a new personal protection offer was launched, *Protection Pro+*. Equipped with a fully digitized subscription process for an enhanced customer and employee experience, this solution covers the professional in the event of illness or accident.

Communication

Communication with customers was adapted to the health context, with various speeches to express support for entrepreneurs, welcome the "raising of the curtain" on the first day of the lift of lockdown in the spring, or recognize the essential role played by artisans and small retailers in everyone's daily lives. These campaigns were rolled out in the media, in the brand's website and the social networks.

1.1 million professional customers

501,400 craftsmen and small retailers

166,000 self-employed professionals

66,500 farmers

€66.6bn in loan outstandings (including State-guaranteed loans)

[1] Private banking survey by Opinion, 2018 [published September 2019].

CORPORATE AND INSTITUTIONAL CUSTOMERS

43% of SMEs and SMIs are customers of Banque Populaire, making the brand the leading bank for SMEs in France, according to the Kantar 2019⁽¹⁾, the benchmark survey on banking for SMEs and SMIs on the market.

Payments

In 2020, work continued to provide a strong authentication system for corporate customers who use the *Cyberplus Payment* system, an online payment solution. This change meets PSD2 regulatory requirements and concerns both the consultation of accounts and so-called sensitive transactions (payments, registration of beneficiaries, ordering of checkbooks, etc.).

Financial Engineering

In 2020, the Banques Populaires maintained a brisk pace in operations despite the health crisis. Thanks to the commitment of the 90 private equity experts, the number of companies in the portfolio increased by 20% compared to last year. The Banque Populaire Ingénierie Financière brand thus

advises business leaders about all of their company's life events, whether developing their assets or securing their assets through capitalization or sale and transfer operations. Grouped interventions make it possible to mobilize a pool of skills bringing together both financial engineers (capitalization and valuation) and private bankers (investments and wealth management).

International

Regionally, the 60 Banque Populaire experts worked on assembling solutions, also capitalizing on the know-how of Groupe BPCE subsidiaries (Natixis, Pramex International) and partners (Stratexio, Connector, Coface, and BPI France).

134,000 corporate customers, +2%

256,000 associations and institutional customers, +2.1%

No. 1 bank for SMEs, 43% are customers⁽¹⁾

€33.6bn in medium/long-term loans (including State-guaranteed loans)

CASDEN BANQUE POPULAIRE

CASDEN Banque Populaire furthered its development, achieving its goal of becoming the leading bank in the civil service sector. In the context of an exceptional health crisis, it continued to strengthen its links with public service organizations in 2020 and was keen to provide its full support to public service employees who were on the front lines during this period. It therefore decided not to hold a media campaign in the spring and to allocate the planned sum to three priorities *via* donations to the Paris Hospitals Foundation - French Hospitals to help caregivers, to the CNRS Foundation

to help with research on Covid-19, and to the Ministry of the Interior to help procure protective equipment for internal security forces (National Police and National Gendarmerie).

Since opening to the entire civil service at the end of 2015, CASDEN Banque Populaire has succeeded in bringing together more than 763,400 new members, of which 124,000 in 2020. And 64.1% of them are civil servants, excluding those in national education. At the end of 2020, they will total more than two million cooperative shareholders.

CRÉDIT COOPÉRATIF

As the leading bank serving the social and solidarity-based economy and engaged citizens, Crédit Coopératif recorded an increase of 17.7% in new loans to individual customers (personal loans and real estate loans). In the context of the health crisis, customers have opted for solidarity savings products: sharing savings accounts have thus increased by 14%.

Crédit Coopératif has strengthened its loan offer for companies and associations to encourage them in their efforts to improve their social and environmental balance sheet, by creating the *Choisir son impact* (Choose Your Impact) loan. The objective is to encourage them to commit to an active approach of social and environmental responsibility for better overall performance of their structure. The achievement of environmental and social indicators, defined jointly when the loan is taken out, thus makes it possible to obtain a subsidized rate.

The year 2020 was marked by an acceleration of Crédit Coopératif's digital transformation with the launch of new

services such as the strong authentication solution *Secur'Pass*, the option of aggregating accounts, SMS withdrawals, consulting the PIN code of the bank card in the mobile application, or the option of increasing card limits oneself. At the same time, a third e-branch was created in Rennes for individual customers, after those in Paris and Bordeaux.

As an asset management company of the Crédit Coopératif Group, Ecofi has been granted the status of a company with a mission. This name, introduced into French corporate law by the Pacte act of 2019, refers to new forms of companies that adopt a social or environmental purpose by statute, in addition to the goal of profitability.

99,000 cooperative shareholders

434,600 customers

€2.60m in donations, raised from solidarity-based products, distributed to 49 associations

(1) 43% total penetration rate (Kantar 2019). Banque Populaire: No. 1 bank of SMEs, including the Banques Populaires, Crédit Coopératif, and the regional banks of Crédit Maritime Mutuel.

Caisses d'Epargne

For more than 200 years, the Caisses d'Epargne have helped finance the French economy. They support their customers in the long-term and in all their life events, with the ambition to "Be Useful" to each and everyone. Individuals, professionals, associations, corporates and local authorities all receive personalized solutions from their Caisse d'Epargne, tailored to their individual needs and objectives. The 15 Caisses d'Epargne are cooperative banks, forming the No. 2 banking network in France.

Key figures

- **15 Caisses d'Epargne**
- **4.5 million cooperative shareholders**
- **18.2 million customers**
- **33,900 employees**
- **€476.7bn in deposits and savings**
- **€315.8bn in loan outstandings**
- **€6.9bn in net banking income**

IN 2020

- Launch of the *Caisse d'Epargne Impact Loan*, which values the social or environmental commitment of customers in the real estate and social housing sector.
- Launch of *IZ e-commerce*, an all-in-one e-commerce website creation solution.
- Launch of the *Individual Retirement Savings Plan* created by Natixis Assurances, which enables customers to build

up retirement savings with a positive social and environmental impact.

- Partnership with Pramex International to provide better support to corporate customers internationally.
- Launch of the new multi-risk residential and *SECUR' Famille 2* range, with improved guarantees.

INDIVIDUAL CUSTOMERS

More than 412,000 new individual customers joined Caisse d'Epargne in 2020.

In terms of savings, the market share increased in the third quarter of 2020 to reach 9.69% (+0.08 point).

In a persistently low-interest-rate environment, the production of new loans remained dynamic, both in real estate loans, with a new production increase of 3%, and in consumer loans. In 2020, the Caisses d'Epargne market share in household loans was 12.58% (+0.27 point).

In 2020, the everyday banking range *Les Formules*, launched in 2019, saw its subscriptions reach more than 1 million contracts. This banking package adapts to the needs of all types of families by extending to the spouse and child(ren).

For the specific needs of young people, the Caisses d'Epargne signed two partnerships with Education First and Futurness. Young people and their families are supported, in particular, by a proposal to finance language programs, as well as coaching and guidance in their choice of studies.

In insurance and personal protection, the Caisses d'Epargne launched a new multi-risk home range in November 2020 and renewed their personal protection range with

SECUR' Famille 2, positioned among the best market standards.

In retirement savings, the Caisses d'Epargne launched a new *Individual Retirement Savings Plan* (PERI) range created by Natixis Assurances, which enables customers to build up retirement savings with a positive social and environmental impact.

Caisse d'Epargne continued to demonstrate its ambition to "Be Useful" to each and everyone through several media communication campaigns and on the brand's communication channels. An opportunity to reaffirm the strength of its model based on usefulness, accessibility, and solidarity. Following the first lift of lockdown, a film was specially designed with the company's positive, responsible and inclusive approach, encouraging everyone to question the world of tomorrow.

€176.2bn in loan outstandings, +6.4%

€360bn in deposits and savings, +3.8%

€9bn in life insurance inflows

5.6 million non-life insurance contracts in the portfolio

PRIVATE BANKING

In 2020, the Caisses d'Épargne recorded 52,000 new asset relationships, bringing assets to €261 billion. This momentum is the direct result of a more personalized relationship, a broad range of solutions, and increasingly cutting-edge expertise. The Caisses d'Épargne have thus intensified and adapted their employee training programs. Recognized university and professional partnerships have been deployed, both in terms of wealth engineering expertise (management, legal and tax advice) and in specific issues for the manager. On a day-to-day basis, there are 2,000 wealth advisors serving high-end customers; 1,000 Private Management account managers serving Private Management customers, and 200 private bankers serving Private Banking customers. Customers also benefit from wealth management engineers who contribute their expertise on specific issues and the know-how of Natixis Investment Managers' affiliates for asset management.

All Caisses d'Épargne are now labeled "Private Banking," with those of Midi-Pyrénées and Loire Drôme Ardèche having joined the system in 2020.

The Caisses d'Épargne distinguished themselves at the 35th annual Corbeille Awards held by *Mieux Vivre Votre Argent* magazine, winning gold in the network banks category, gold in the long-term network banks category, as well as three certificates for SRI management networks over one year, best equity range over one year, and best equity range over five years. This was in recognition of the quality of their products and services and their long-term performance.

No. 2 in France⁽¹⁾

1.6 million of customer relationships

€261bn in assets under management, +2.7%

PROTECTED PERSONS

Nearly half of all protected persons, persons under legal guardianship/supervision, and dependent adults living at home in France are customers of the Caisses d'Épargne. Across France, 150 specialized advisors are on-hand to assist family representatives and legal guardians.

The health crisis has had a strong impact on market activity. The courts were closed for the duration of the first lockdown, and no protective measures were taken. Against this backdrop, the Caisses d'Épargne put in place the measures essential to business continuity for their customers by

ensuring, in particular, the presence of a contact person by their side. Among the services offered during this period was the provision of withdrawal or payment cards, with delivery to the legal representative, for protected persons who were refused payment in cash in stores.

325,000 customers

€9.6bn in managed deposits and savings

No.1 bank for persons under legal guardianship/supervision and dependent adults living at home⁽²⁾

PROFESSIONAL CUSTOMERS

With outstanding loans exceeding €17.2 billion (including State-guaranteed loans), the Caisses d'Épargne once again demonstrated their ability to support professional customers in the realization of their projects.

They enriched their range with the launch of several solutions:

- *Prévoyance Pro*, designed by BPCE Vie and BPCE Prévoyance, to cover non-salaried workers as well as salaried executives in the event of sick leave, disability or death;
- The *Agri-Viti Transition Loan*, for farmers and winegrowers wishing to transform their activity to better meet market expectations, particularly in terms of diversification towards organic crops;
- *Flash Invoices*, for invoice factoring, with no subscription and via a 100% digital process;

- The range of *Premium* payment terminals and development of the *CE Boost Pay Business* range, with a new digital checkout dedicated to the beauty sector;

- *IZ e-commerce*, an all-in-one solution for creating e-commerce websites, created in partnership with Trenta Axome, an agency specializing in e-commerce. It integrates the PayPlug payment solution, which enables entrepreneurs to quickly set up a personalized online store, Shopify.

392,500 professional customers, +2.6%

€17.2bn in loan outstandings

5,200 new employee savings contracts

8,370 new PRO non-life insurance policies

[1] Xerfi/Precepta survey, December 2019.

[2] PLF 2020.

CORPORATE CUSTOMERS

With more than 31,000 SME and ISE customers, the Caisses d'Épargne continued to support the development of companies in 2020 amid boosted investments and robust lending momentum.

Several ranges were launched, such as the *Fiducie* or "Trust" solutions to support customers in their investment or debt reprofiling needs, or to advise them in their IPO (initial public offering) strategy through a partnership with Natixis Equity Capital Market.

Other offers for companies underwent profound changes, such as the collective retirement savings plan under the Pacte act. It now includes a collective employee savings component and a category option with mandatory company payments.

The *Neo Business* system, dedicated to the support and financing of start-ups, continued its development in 2020, with €405 million in loan outstandings (medium/short-term) granted by investment managers specializing in innovation and equity issues. Numerous start-ups from the Next 40 and the French Tech 120 are supported by the Caisses d'Épargne throughout the country. Start-ups have access to a specific innovation range: support with fundraising, financing of tangible and intangible investments, solutions for operations and international presence, and IPO expertise.

31,160 corporate customers

€12bn in medium/long-term commitments (including State-guaranteed loans)

€136.4bn in payment processing flows, +3%

FINANCIAL ENGINEERING

The Caisses d'Épargne offer a full range of financial engineering solutions: private equity, consulting on disposals-business transmissions, and structured financing (arrangement, syndication and management of financing solutions).

Investing in the share capital of companies in their region is a pillar of strategic development for the Caisses d'Épargne, with 17 regional entities and a national venture capital firm, Caisse d'Épargne Développement, which has grown from €100 to €160 million euros; and the creation of *Rebond* ("Rebound") regional funds, as at Caisse d'Épargne Hauts de France (€51 million *Regains 340* fund), Caisse d'Épargne Normandie (€30 million *Normandie Rebond* fund), and Caisse d'Épargne Aquitaine Poitou-Charentes (€20 million *Rebondir Nouvelle Aquitaine* fund). Total assets invested by the Caisses d'Épargne at the end of 2020 amounted to €1.3 billion.

The Caisses d'Épargne continued to develop partnerships signed at the end of 2018 with consulting firms in order to better support managers in their fundraising and merger & acquisition issues. The first closings were completed in 2020.

The Caisses d'Épargne cover the various segments of the structured financing market: syndicated corporate loans, LBOs/acquisition financing, project financing (renewable energy, infrastructure, etc.), and asset financing (rolling stock, long-term real estate, etc.). With a total of €4.2 billion in arranged debt (including 34% in renewable energy and infrastructure, and 66% in structured or syndicated financing, including LBOs) and more than 248 arrangement mandates, the Caisses d'Épargne are a key player in structured finance in the regions.

For the syndication of transactions within Groupe BPCE, they are addressed directly to the other Caisses d'Épargne and the Banques Populaires. They also rely on a dedicated platform specific to the Caisses d'Épargne (*GIE Syndication Risque*), which has continued to grow, with counter-guaranteed loans doubling in two years. In terms of external syndication, they are in contact with the best names in the banking market.

REAL ESTATE PROFESSIONALS

In 2020, the Caisses d'Épargne consolidated their position among the top players in the real estate professionals market.

The Caisses d'Épargne had €6.5 billion in new loans and signed commitments. New loans granted to developers, real estate agents, and planners amounted to €488 million, and those intended for MLT investors, €1 billion. €1 billion in signed commitments were issued.

The year was marked by the launch of the *Caisse d'Épargne Impact Loan*, which measures the social or environmental commitment of real estate and social housing customers by indexing the interest rate of the loan to a non-financial performance criterion. The bonus received can be paid to a non-profit organization.

€4.6bn in new short-term commitments

€1.8bn in new medium/long-term loans

SOCIAL AND SOLIDARITY-BASED ECONOMY (SSE)

As the No. 1 private financier of the SSE, with loan outstandings of €5.8 billion in 2020, the Caisses d'Épargne maintained a steady pace in winning new customers, particularly in the social entrepreneurship market, focusing on the challenges of the environmental transition and short supply chains. There were close to 1,000 new customers in 2020. This development is based on a long-standing partnership with the entire SSE ecosystem and social innovation support networks (ESS France, France Active, the Impact France movement, La Ruche, Nexem, Fehap, etc.).

With solutions that are constantly enriched, and the search for advice with high added value (confirmed by the good levels of customer satisfaction in 2020), the Caisses d'Épargne reaffirmed their ambitions in this market, which they announced in a media campaign and a TV film in November 2020.

No. 1 in SSE financing, with a 20.4% market share⁽¹⁾

€1.1bn medium/long-term loan production (including State guaranteed loans)

PUBLIC SECTOR

The Caisses d'Épargne are a major partner of local authorities and public health institutions. Everyday banking, cash management, bridging loans, and project financing: they provide a full range of solutions.

Business was slowed down under the combined effect of the health crisis and the arrival of new teams for municipalities and intermunicipal authorities following the spring municipal elections.

In 2020, a credit line granted by the European Investment Bank, *Eau & Assainissement III* (water & sanitation), up to a maximum of €150 million, was distributed by Groupe BPCE.

It also supports local authorities with biodiversity and combating flooding and coastal erosion.

The year 2020 was also marked by the operational launch of *Numairic* in all Caisses d'Épargne. This highly innovative digital credit solution enables municipalities with fewer than 5,000 inhabitants to apply for credit directly online, 24 hours a day, seven days a week, and obtain a loan proposal immediately. Over 200 contracts have been applied for, and the tool's capabilities are currently being expanded to accelerate the distribution of this solution.

With €40.1bn in MLT loan outstandings, Caisse d'Épargne ranks No. 1 in public sector financing.

SOCIAL HOUSING AND SEMI-PUBLIC ENTITIES

As historical partners of social housing organizations, with €2.3 billion for medium/long-term financing, the Caisses d'Épargne support their everyday banking, financing and investment needs. The year was marked by the launch of the *Caisse d'Épargne Impact Loan*.

The Caisses d'Épargne are also social housing operators, with Habitat en Région. The organization is a network of 33 social landlords spread across the country, who manage 270,000 homes in which nearly 570,000 people live.

In 2020, profound changes shook up social housing organizations, with capital consolidations, mergers, and the creation of coordination companies as set out in the Elan act. The Habitat en Région group took advantage of the opportunity to create three coordination companies at the end of the year.

The three coordination companies are the leading social landlords in their respective regions, with a total of 80,000 housing units for Petram, 100,000 for Habitat en Région Sud-Est, and 27,000 for Habitat en Région Occitanie.

Lastly, the Caisses d'Épargne renewed their partnership with the Federation of Local Public Enterprises (EPL).

€2.3bn in new loans

€11.9bn in loan outstandings

€529m in inflows

[1] Banque de France: PDM APRI Q3 2020, investment loans.

Banque Palatine

Since its creation, Banque Palatine has been a partner to intermediate-sized enterprises (ISEs) and private company directors. ISEs needing to finance a project, undertake capital transactions, or expand their business internationally can call on Banque Palatine to build tailored solutions and help with its customers' projects based on extensive business and sector expertise. Private Banking experts draw on a comprehensive understanding of their customers' personal and professional environment to construct a suitable long-term wealth strategy in consultation with them.

Banque Palatine maintained strong sales momentum on both markets, with loan outstandings climbing +1.9% overall, in 2020 and customer acquisition up +8.3% among corporate customers and +2.9% among the "Core Target" of the private banking market (-1.4% overall on the private banking market).

The year was marked by the IT migration to Banque Populaire information system. It was the culmination of two years of intense work carried out by Banque Palatine employees with the support of the Group entities concerned.

Banque Palatine published its index on gender equality in the workplace: at 96 points, it placed the bank among the best French companies, all sectors combined. The Fondation Palatine des ETI continued to support its partner associations for the second consecutive year, to develop entrepreneurship as a real driver of social inclusion.

Key figures

- **More than 14,000 corporate customers**
- **More than 60,000 private banking customers**
- **1,243 employees**
- **€16.4bn in deposits and savings**
- **€11.3bn in loan outstandings**

In addition, the entire CSR approach was recognized: the weekly paper *Le Point* and the Statista research institute placed Banque Palatine at No. 2 in the Banking/Finance category.

Palatine Asset Management, Banque Palatine's asset management company, invests in the real economy, in predominantly European companies. In 2020, it made its debut in *Option Finance* list of the 50 asset management companies that count. Created at the end of 2019, its investment fund *Palatine Planète* exceeded €115 million on December 31, 2020. It favors companies whose activities are linked to the environment, particularly those that contribute to the fight against global warming, pollution, and resource scarcity.

As of December 31, 2020, Banque Palatine had disbursed more than 1,600 State-guaranteed loans for a total amount of €1.4 billion.

Oney

For 37 years, Oney has created payment, financing and insurance solutions adapted to the transformation of commerce, that enable millions of Europeans to improve their daily lives. As a retail partner, Oney plays a major role in supporting consumption by making it all possible: equipment needs, work and travel plans, health and education expenses, and the management of unforeseen expenses. Oney deploys an inclusive vision of its businesses, convinced that everyone has the right to consume to improve their daily lives. And because it wants to guarantee sustainable performance and act positively for society, Oney is committed to ensuring that everyone has the power to consume better.

Key figures

- **More than 550 retail partners**
- **More than 7.7 million customers**
- **Operating in 12 countries**
- **2,600 employees**

IN 2020

- On the way to its goal of becoming a European leader in split payment, Oney establishes itself in Germany, and forges new merchant and e-merchant partnerships in the seven countries where its payment solution is offered.
- Faced with the pandemic, Oney mobilized to ensure the safety of its employees, with nearly 100% of teams

working remotely within 24 hours, to support its vulnerable customers with pro-active solutions, and its retail partners on all their channels.

- Oney set up a new, more comprehensive organization of its teams to support its European development strategy.

ACTIVITY

The crisis reaffirmed Oney's strategic direction, with outstandings holding up at €3 billion.

Increasing its share of digital payments: with strong growth of 40% compared to 2019, Oney's split payment activity leveled off during lockdowns and then remained high. Oney's market share in this activity increased significantly in all countries.

Staying accessible to retailers: after the granting of in-store credit slowed down or stopped outright during the lockdown

phases, it saw a strong upturn at the end of the year, with business nearly as brisk as in 2019. Total new loans stayed resilient at -11% compared to 2019.

An activity adapted to the direct market: significant decline (-29% vs. 2019) in direct credit granted in all countries due to the combination of limited customer demand and tightening credit conditions.

CSR

To encourage better consumption, Oney strengthened its role as a partner of circular economy players: the volume of purchases made with its split payment solution in the circular economy increased by 94% in France in 2020.

Oney formally committed to respecting the Paris Agreements and established its carbon reduction trajectory based on the SBTi method.

Oney took part in the society effort in the face of the pandemic through several local actions, such as donating masks and tablets to hospitals and nursing homes in France, and building a field hospital in Romania.

Financial Solutions and Expertise division

Created on April 1, 2019, the Financial Solutions and Expertise (FSE) division comprises the former Natixis Specialized Financial Services [BPCE Factor, BPCE Lease, Compagnie Européenne de Garanties et Cautions, BPCE Financement, and EuroTitres], the former Crédit Foncier subsidiaries specialized in financing for real estate professionals and advisory services [Socfim and BPCE Solutions immobilières, formerly CFI], and Pramex International.

FSE combines expertise in the financing, advisory and custodial services business lines. This division reflects the Group's goal of focusing its activities on retail banking in a bid to accelerate its development for the benefit of its customers.

FINANCING BUSINESS LINES

BPCE Factor

BPCE Factor develops factoring solutions for companies of all sizes, covering their entire growth process (set-up, development, acquisitions, international expansion, etc.).

After a very buoyant first quarter of 2020, BPCE Factor's business was severely affected by the health crisis in the second quarter, before resuming from October, particularly for large accounts and SMEs.

In 2020, BPCE Factor deployed *Flash Invoices*, a fully digital invoicing solution for customers of the Banques Populaires and Caisses d'Epargne.

New account applications were also fully digitized on all of BPCE Factor's developed ranges for professional customers.

Lastly, for the fifth consecutive year, Bureau Veritas Certification confirmed the service certification and labeling of BPCE Factor. It was recognition for the high level of quality received by customers: 91% overall satisfaction and a Net Promoter Score of 20⁽¹⁾.

BPCE Financement

BPCE Financement develops comprehensive revolving and personal loan solutions for the Groupe BPCE networks, with loan outstandings totaling €27.6 billion.

The year was marked by an acceleration in digital, notably with the launch of *Deep Purple*, a new process on the Web and Mobile customer areas for revolving credit.

While financing volumes for consumer loans were immediately affected by the crisis, their growth was very strong during the recovery in June, tying Groupe BPCE, the No. 1 banking player in consumer credit in France⁽²⁾, with Crédit Agricole.

BPCE Lease

BPCE Lease offers a complete range of rental solutions: furniture and property leasing, long-term vehicle leasing, boating or automotive leasing, IT operational leasing, and renewable energy financing. At end-2020, BPCE Lease and its subsidiaries recorded lease outstandings of €14.3 billion, representing an inventory of around 173,300 leases.

The year was marked by the continuation of the *Green Program*, whose ambition is to support companies in their energy transition approach, by offering them solutions adapted to their needs in terms of energy production, energy efficiency, and green mobility.

In the context of the health and economic crisis, and to meet companies' cash flow challenges, BPCE Lease has developed a new securities trust which, alongside the *Real estate and furniture lease back*, complements its portfolio of asset monetization solutions. Lastly, numerous projects have been carried out in the digital field, such as the electronic signature in furniture leasing or the digitization of the ordering process in long-term automotive leasing for professional customers, from the detection of the opportunity by the bank advisor to the order and delivery of the vehicle.

CEGC

Compagnie Européenne de Garanties et Cautions (CEGC) offers a wide range of financial guarantees across all Groupe BPCE markets, including individual, professional and corporate customers, and the real estate, social economy and social housing sectors.

Despite the health crisis, the level of activity of CEGC remained strong with revenue, at the end of December 2020, of more than €604 million, up 16% compared to December 2019. In 2020, a new award score based on artificial intelligence was implemented. It now makes it possible to significantly increase the immediate approval of home loans to individuals.

Lastly, new solutions for the underwriting of home loans for individual and professional customers were put into production.

Socfim

As a leader in the real estate financing market⁽³⁾ (real estate developers, real estate agents, development funds, etc.), with more than 2.3 million m² in commercial real estate and 62,000 homes currently being financed, *i.e.* loan outstandings exceeding €8.4 billion, Socfim covers all the needs of real estate professionals (short-term, long-term, corporate finance, and rounds of financing).

In 2020, the IT migration project to the *Mysys* platform, the Caisses d'Epargne's information system, continued, involving the entire company.

[1] Cumulative Mediatech surveys at 12/15/20.

[2] Athling study, 08/12/20.

[3] Fédération Promoteurs Immobiliers (FPI).

ADVISORY BUSINESSES

Pramex International

Pramex International specializes in advising French start-ups, SMEs and ISEs on international expansion, either through internal growth (creating and overseeing foreign subsidiaries) or external growth (international acquisitions). Originally related to the Banques Populaires, Pramex International extended its services to all of the Group's networks in 2020 through the signing of an agreement with BPCE, putting the company's expertise and know-how at the service of all of the Group's customers.

BPCE Solutions immobilières

In 2020, Crédit Foncier Immobilier became BPCE Solutions immobilières, a wholly-owned subsidiary of BPCE SA.

Its development is based on three business lines – Expertise & Consulting, Residential, and Investment & Transactions – and on the strengthening of partnerships with Groupe BPCE companies. The year 2020 was marked by clear commercial advances in the residential sector, in conjunction with the Banques Populaires and the Caisses d'Épargne.

CUSTODY BUSINESSES

EuroTitres

EuroTitres is the leading French provider of outsourced custody services on the retail market⁽¹⁾. In 2020, EuroTitres delivered exceptional activity on the stock market, thanks to strong mobilization of individual customers. At the end of December 2020, 2.8 million orders had been processed, compared to 1.3 million for the full year of 2019. The internet and mobile transactional site, which was enriched with new

features and a magazine of general recommendations, was the main channel used by customers, with peak in attendance of 1.7 million visits in March. However, in 2020, on collective investment schemes, volumes continued to trend downward (-13%). The same applies to inventory of ordinary securities accounts and custodial equity savings plans, which decreased by 2% over one year. Finally, the integration of the EuroTitres business at BPCE SA was finalized by various IT migrations.

[1] Internal analysis.

1.5.2 Natixis

Natixis is a French international financial institution specializing in asset and wealth management, Corporate & Investment Banking, insurance and payments. A subsidiary of Groupe BPCE, Natixis serves and advises its own customer base of corporates, financial institutions and institutional investors, as well as the customers of the Groupe BPCE networks.

Key figures

- **More than 16,000 employees**
- **Operating in 36 countries**
- **Listed on Euronext Paris**
- **€7.3bn in net banking income, -14%**
- **€7.4bn in business line net banking income, -12%**
- **€101bn in net income attributable to equity holders of the parent**

Changes compared to 2019 figures.

IN 2020

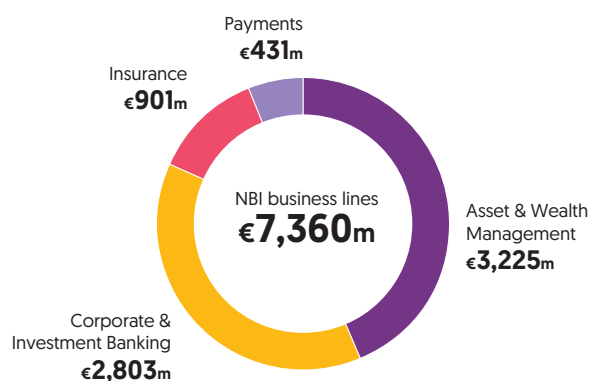
- During the health crisis, Natixis stepped up support for its customers in all its business lines, with adapted products and services and ever more advice.
- In February 2020, Natixis announced the sale of 29.5% of Coface's share capital to Arch Capital Group, a leading specialist insurer in the United States.
- Natixis has made a series of commitments over time to preserve biodiversity and natural capital through its various business lines, by participating in the act4nature international initiative. It also adopted a timetable for the total phase-out of thermal coal, decided to no longer support companies developing new coal-fired power plants or thermal coal mines, and opted for a total phase-out of

shale oil & gas activities in the United States within two years.

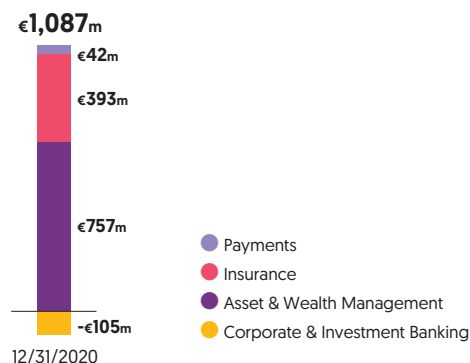
- In order to be part of a long-term growth trajectory and establish a solid foundation for preparing its next strategic objectives for 2024, Natixis adopted three main strategic guidelines in early November 2020: to place its asset management business in a position of growth and development momentum (see below), reduce the volatility of revenues from Corporate & Investment Banking (see below), and strengthen its earning capacity by promoting dynamic cost management. In this context, Natixis has announced the launch of a cost reduction program of around €350 million by 2024.

BUSINESS LINE CONTRIBUTION TO 2020 INCOME BEFORE TAX

NBI business lines



Business line profit before tax



ASSET & WEALTH MANAGEMENT

Asset & Wealth Management develops solutions to meet the deposits and savings, investment, risk management and advisory needs of the various private banking and institutional customers of Natixis and the Groupe BPCE networks.

Its ambition is to consolidate its position as a global leader in active portfolio management.

Asset Management

Ranked among the world's top asset managers (€1,117 billion in assets under management^[1]), Natixis Investment Managers offers a range of diversified solutions to help investors build their portfolios.

With its multi-boutique model, drawing on the expertise of more than 20 affiliated asset management companies worldwide, Natixis Investment Managers is developing the Active Thinking™ approach to help its customers achieve their targets in any market conditions.

The year 2020 was marked by exceptional uncertainty and unprecedented challenges, with significant repercussions on revenues and results. However, Natixis Investment Managers withstood this extreme test and continued to record new inflows and preserve its profitability margins. It once again demonstrated the effectiveness and resilience of the multi-boutique model. Robust and diversified, focused on performance, sources of sustainable growth and the unique needs of savers, Natixis Investment Managers has proven its ability to evolve according to circumstances and has been able to provide advice and services to its customers.

- The announced merger of the rate and insurance management activities of Ostrum AM and La Banque Postale AM was finalized. This marks the creation of a European leader in the support of investors operating with constraints on liabilities and bond management on behalf of large institutional customers, with more than €430 billion in assets under management.
- Natixis Investment Managers and H2O AM announced that they had begun discussions with a view to a gradual and orderly settlement of their partnership by the end of 2021. This change remains subject to review and approval by the relevant regulatory authorities.
- In recent years, Natixis Investment Managers has expanded its offering in real assets, and these activities are now among its main drivers of profitability, driven by strong inflows.
- Following the acquisition of a minority stake in 2019, WCM is now fully integrated into the distribution platform. Since its acquisition, WCM assets under management have increased by more than 130%, to nearly \$82 billion.
- Natixis Investment Managers continues to support the ambitions of its affiliates to strengthen their capacities and pursue their development on a global scale. Loomis Sayles has recruited a European credit team (specializing in A-rated bonds) which will strengthen its global presence. The company ended the year with record assets and profits.
- Natixis Investment Managers enjoys a solid sales momentum in most of the regions where it operates and continues to develop its distribution network. In the United States, Natixis IM has seen strong momentum in retail activity with its main distributors and through its newly

established strategic distribution partnerships. In Europe, an increase in inflows was recorded despite a difficult environment, particularly in private debt. Lastly, Natixis Investment Managers achieved significant growth in Asia, particularly in China, which validates its targeted strategy in the region.

- The company is on track to continue the transition of its customers to a more sustainable investment model. In 2020, Natixis Investment Managers published its first report on responsible investment, *Making a difference*, which presents its approach to ESG and sustainable investment, and its latest thinking on several major challenges facing the company as a responsible investor. The Mirova affiliate, specializing in ESG and impact investing, experienced strong growth in all the regions where it operates, with a 58% increase in its assets under management in 2020 and strong net inflows.

Natixis Investment Managers intends to consolidate its position as a leading player in the asset management sector, thanks to its historic positioning in the United States and France, and will develop its presence in Europe and other key regions, such as Asia-Pacific, the Middle East, and Latin America. The company will also continue to invest in ESG strategies and impact investments, in diversity and inclusion, and to achieve noteworthy and measurable progress in these areas.

Wealth Management

Natixis Wealth Management, with its French and Luxembourg footprint, offers long-term wealth management and financial solutions to support customers who are business owners, executive managers, and wealthy families.

Groupe BPCE's customers or those won directly benefit from a wide range of expertise covering all aspects of their projects, at all stages of their advancement: corporate advisory, origination, vanilla and complex financing, investment, wealth engineering, and asset management. These offers have been enriched by diversification solutions in recent years, notably in Private Equity and life insurance, thanks to the dedicated business unit operating in open architecture. The entire value proposition is tailored to the degree of personalization desired by the customers and is distributed via two BtC and BtB channels.

Natixis Wealth Management relies on its subsidiaries to expand its range of products and services, which can be tailor-made: Vega Investment Managers, its preferred partner for the production of solutions for liquid asset classes, and Massena Partners. Vega Investment Managers' fundamental expertise in collective management, delegated management and fund selection in open architecture is complementary to that of Massena Partners, advising private family groups and family offices, mainly in private equity.

In 2020, Natixis Wealth Management continued to roll out its strategic ambitions as part of its *New Dimension* in order to reposition its direct customer franchise on the "High Net Worth Individuals" segment, while developing its offering to serve the Group. In addition, the progress made in terms of cross-functionality between its entities and digital transformation has enabled it to facilitate and streamline interactions with customers and internally during the health crisis. This resilience contributed to exceeding budget targets in this very unusual year.

[1] On December 31, 2020.

It also marks a turning point in the strengthening of our ESG commitments, with the enhancement of the management processes of Vega Investment Managers, which also launched its second SRI fund, *VEGA Transformation Responsable*, in collaboration with the start-up Impak Finance, a leader in impact rating.

At the end of 2020, Natixis Wealth Management managed €30.7 billion in assets.

Employee Savings

Natixis Interépargne, the reference in employee savings and pension plans for Groupe BPCE, works with companies of all sizes to help them set up and manage their employee savings and pensions as well as their employee shareholding to make them a performance driver.

As a pioneer in innovation for more than 50 years, its ability to adapt to a changing environment, with practices that are constantly in flux, allows it to offer full access to a whole range of employee savings and supplementary pension solutions: company savings plans and pension savings plans in securities account format or, in partnership with Arial CNP Assurances, in insurance format.

The company bases its activities on the range of financial management solutions developed by Natixis Investment Managers, a specialist in active investment strategies for employee savings plans.

In 2020, Natixis Interépargne consolidated its position as the leading provider of employee savings and pensions solutions with 75,000 corporate customers, nearly 3 million savers⁽¹⁾ and a 26.5% market share in employee savings⁽²⁾. With 31.2% of the Finansol & CIES SRI market⁽³⁾, Natixis Interépargne cemented its leadership position in SRI (socially responsible investment) employee savings.

Natixis Interépargne is delivering long-term performance thanks to the quality and consistency of its range and the constant work of its management teams. In 2020 it was awarded first prize at the Corbeilles de l'Épargne Salariale⁽⁴⁾ in the Long-Term Employee Savings category for the management quality of Natixis Investment Managers International and Mirova on the "Avenir" and "Impact SRI" fund ranges.

The year 2020 also marked the development of the pension savings offer for corporate customers, with more than 6,000 collective pension savings plans subscribed⁽⁵⁾.

CORPORATE & INVESTMENT BANKING

Corporate & Investment Banking serves corporates, institutional investors, financial sponsors, public sector entities and the Groupe BPCE networks.

It advises them and offers a diversified range of capital markets, financing, trade finance and cash management solutions. Its objective is to develop a strategic dialog with each of its customers over the long-term and to maintain a close working relationship with them through a strong regional and international presence. It capitalizes on the technical expertise of its teams to design innovative solutions tailored to their strategy.

Corporate & Investment Banking posted NBI of €2.80 billion in 2020, down 16%.

In 2020, Corporate & Investment Banking continued to implement the objectives of the *New Dimension* strategic plan (2018-2020) targets aimed at achieving the following goals: to be recognized as a bank that offers innovative solutions and to become a benchmark bank in its strategic sectors.

Natixis has confirmed its role as a leading player in green and sustainable finance:

- the Natixis *Green Weighting Factor*, a new mechanism for allocating the capital of each financing solution according to its impact on the climate, is now operational. It is applied to loans granted by Natixis all over the world and in all business sectors (excluding the financial sector). All "green" loans receive a discount of up to 50% in their weighted assets, while the weighting of loans generating a negative impact on the climate and the environment is increased by up to 24%. By adjusting the expected return

on each loan depending on its impact on the environment and the climate, Natixis encourages its teams to favor green financing solutions (for an equivalent level of credit risk);

- in addition, the Green & Sustainable Hub, which assists customers in their energy transition, significantly expanded its business in loans and investment solutions, while maintaining growth on the bond market.

Capital Markets

In November 2020, Corporate & Investment Banking announced that it would discontinue the most complex products and lowered the exposure limits for products with a low and moderate risk profile. These products will essentially be offered to Groupe BPCE networks and Natixis' strategic customers, *i.e.* a reduction in the number of customers from over 400 to around 50. Income from the equity business is expected to be approximately €300 million per year with a reduction in the associated cost base.

Strategic financing

The three business lines, Real Assets (covering aviation, infrastructures, real estate & hospitality) and Distribution & Portfolio Management, are the hub of Natixis sector-oriented and originate-to-distribute (O2D) strategy. In 2020, they generated solid results, driven by robust origination and distribution business. The global infrastructure and real estate activities in Europe did especially well. In particular, Natixis was ranked No. 1 bookrunner and MLA⁽⁶⁾ for credit financing in the EMEA region, for the third year in a row.

(1) Association Française de Gestion – 06/30/2020.

(2) Association Française de Gestion – 06/30/2020.

(3) Finansol & CIES.

(4) Awarded each year by the monthly magazine Mieux Vivre Votre Argent, this award is widely recognized on the market for distinguishing the institutions whose funds have achieved the best performance over time.

(5) At 11/30/2020.

(6) Dealogic.

Global Trade

Natixis continued innovating in a bid to facilitate and secure banking transactions for its customers. For example, with *My Tracked Transfer*, financial companies and institutions are able to track their international payment transactions in real time. Customers are now able to initiate credit transfers using *Instant Payment* while securing their bank details with *SEPAmail Diamond*. Global Trade also launched instant payment via API in partnership with Datalog Finance. And, in trade finance and supply chain finance, GT set up electronic signatures for *Dailly* transactions, and further developed its *Receivables Finance* offering on the Marco Polo blockchain platform.

Investment Banking

In 2020, strategic and acquisition finance turned in a very strong performance on a highly competitive market. Natixis was ranked No. 1 bookrunner for sponsored loans in France and No. 6 bookrunner for sponsored loans in the EMEA region⁽¹⁾.

Natixis also completed a number of landmark deals on a highly active global bond market. It maintained and proved its commitment to funding the green transition with all categories of issuers.

It also did a brisk business on the primary equity markets in France. Natixis took part as global coordinator in the IPO of La Française des Jeux (€1.9 billion), France's biggest IPO in 10 years and the first privatization in the last 15 years, named "2020 IPO of the Year" by Euronext.

M&A Advisory

Natixis has an international network of seven boutiques including PJ SOLOMON (United States), Fenchurch Advisory (United Kingdom), Natixis Partners España (Spain), Natixis Partners and Clipperton (France), Vermilion Partners (China), and Azure Capital (Australia). In France, Natixis is tied for No. 1 by number of deals and No. 2 in volume on midcaps⁽²⁾.

INSURANCE

Natixis Assurances designs and manages a comprehensive range of personal insurance products (life insurance, retirement savings vehicles, payment protection insurance, and individual provident insurance) and non-life insurance products (automotive, multi-risk home, supplementary health insurance, personal accident insurance, legal protection, non-banking insurance, etc.). In 2020, it continued to roll out its strategic plan with the aim of becoming the sole insurance platform serving the Banque Populaire and Caisse d'Épargne networks, thus consolidating the Group's position as a leading bancassureurs in France. Initiated in 2016, this strategy is now paying off: Natixis Assurances has made the greatest progress on the French domestic market. It is now one of the top ten insurers and one of the top five bancassureurs. Natixis Assurances has also confirmed its status as a pioneer in terms of climate commitment. It is the only French insurer to have joined the PRI Leaders group this past year, a group of 36 companies considered by the Principles for Responsible Investment (PRI) organization to be at the forefront of climate reporting. Each year, Natixis Assurances devotes 10% of its investments to green assets with a target of 10% of its total investments being in green assets by 2030 at the latest.

Insurance generated NBI of €901 million in 2020, up +8%.

Personal Insurance

In personal insurance, the year was marked by the overhaul of customer experience and by several major launches, including the new *Individual Retirement Savings Plan* (PERI). Comprehensive, accessible to all, and competitive, this new plan meets the needs of customers who want to build up retirement savings with a positive social and environmental impact.

Natixis Assurances also launched new personal protection policies for individual customers of the Caisses d'Épargne (*SECUR' Famille 2*) and new individual insurance policies for professional customers of the Banques Populaires and the Caisses d'Épargne. Lastly, Natixis Life continued its transformation project and began to extend the marketing of its dedicated solutions for high-net-worth customers to the Caisse d'Épargne network.

Outstandings amounted to €72.7 billion (+6% compared to 2019).

[1] Refinitiv.
[2] The Weekly Agefi of January 7, 2021.

Non-life insurance

Since November 2020, Natixis Assurances has been insuring new non-life insurance business for individual customers of the Banques Populaires in addition to those of the Caisses d'Épargne. The auto and home offers have been reinvented to adapt to the market, and processes have been redesigned to be simpler and more fluid.

A new claims reporting portal has been designed, winning the Argus d'Or award in the claims management category. This new portal allows policyholders to report and monitor their claims online; it aims to simplify the lives of customers after a claim. Accessible from the Caisses d'Épargne banking portal, the TEC#CARE portal is available 24 hours a day on all types of devices (PCs, tablets, and smartphones), with intuitive browsing and many features (document download, repair shop selection, photo capture for remote assessment, etc.). It fits with the changing consumption patterns of policyholders.

Following a car accident, 19% of policyholders report their claim online; for home claims, this rate rises to 34%, or even

higher after a weather event. Already, 13,000 claims have been made, all in selfcare mode, without a manager, since the customer is guided step-by-step.

Transformation of Natixis Assurances' non-life business was off to a very promising start, with strong sales momentum.

In non-life insurance, the portfolio increased by 5% compared to last year, to reach 6.4 million policies. Gross sales fell by 2% due to the health crisis and the impact of lockdowns. However, growth in sales was significantly higher than the forecasts made during the year, due to the success of the recovery plan implemented in May 2020 and the successful deployment of the #INNOVATE2020 program in both networks. At €1.65 billion, earned premiums increased by 5% during the year, with similar growth in activity in the Caisse d'Épargne network (+5%) and the Banque Populaire network (+5%). Growth was driven by the core offering, with auto insurance up 5%, multi-risk home insurance up 7%, and Pers. acc./Multi-risk acc. insurance up 5%, in line with growth in the portfolio.

PAYMENTS

Natixis Payments creates "payment as a service" solutions across the entire payment value chain: from issuance to acquisition to omnichannel to processing to employee benefits. It is backed by a robust technological base, highly innovative fintechs, and teams of recognized experts. Natixis Payments' solutions are aimed at retail, professional, corporate and non-profit customers of Groupe BPCE networks, as well as retailers, banks and fintechs:

- online, physical and omnichannel payment solutions (acceptance, fraud prevention, payment terminals, open payment, centralized electronic banking, etc.);
- card payments and issuance processing;
- merchant electronic payment acquisition solutions;
- account-to-account payment (SEPA credit transfers/direct debits, instant payment);
- employee benefits (meal vouchers, gift vouchers) and benefits for works councils.

In 2020, the payments business played an important role during the pandemic. From the start of the crisis, Natixis Payments undertook to guarantee the Banque Populaire and the Caisse d'Épargne networks and their customers the same quality of service in all areas (issuance, acquisition, payment

processing, fraud prevention). The Payments division also supported changes in consumer purchasing and payment behaviors (contactless and smartphone payment). Its experts were mobilized to implement the new ceiling for contactless payment, which was raised to €50 as of May 11, and the increase in the ceiling for meal vouchers in June.

In an unprecedented context of accelerating the digitization of retail, Natixis Payments supported retailers of all sizes in the development of their online sales, thanks to the omnichannel platforms of its fintech Dalenys, whose offers are designed for large retailers and e-retailers, and its fintech PayPlug, which targets SMEs, either directly or in synergy with the Banque Populaire and Caisse d'Épargne networks. With regard to processing activities, ten new banking institutions, including Bank Audi and Volkswagen Financial Services, chose Natixis Payments for the processing and clearing of their electronic payments. This is a migration project of unprecedented scale and technical achievement for the electronic payment outsourcing market.

The division kept the recruitment momentum going in 2020, hiring 150 new employees (all entities combined) to expand its range of expertise in support of the technological advances in its ranges.

1.6 Calendar

May 6, 2021	After market close – Publication of first-quarter 2021 results
May 27, 2021	BPCE Annual General Shareholders' Meeting
August 3, 2021	After market close – Publication of second-quarter and first-half 2021 results
November 4, 2021	After market close – Publication of third-quarter 2021 results

Calendar subject to change

1.7 Contacts

<https://groupebpce.com/>

“Investor Relations” section

Roland Charbonnel,

Head of Group Funding and Investor Relations

NON-FINANCIAL PERFORMANCE STATEMENT

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Introduction

Beyond the core business, offering banking and insurance products and services, the way in which it is carried out is of prime importance. Groupe BPCE ensures that it has long-term vision and targets that account for social and environmental impacts in addition to economic considerations.

This is why, on the strength of its values, the Group has been committed for several years to strengthening its contribution to the Sustainable Development Goals (SDGs) and increasingly contributing to the fight against climate change.

The SDGs are a common language built around 17 global goals, broken down into 169 targets. The Group is part of this dynamic and reports on it in its Non-Financial Performance Statement (DPEF).

Its sustainable development policy focuses, though not exclusively, on the following SDGs:

- transparency and the cooperative business model (SDG 16);
- banking inclusion (SDGs 1 and 10);
- financing the energy, ecological and social transition (SDGs 7, 8 and 12);
- a strong local presence (SDG 11);
- objectives for gender equality in the workplace and the inclusion of persons with disabilities (SDGs 5 and 10);
- boosting employees' employability (SDG 4).

Groupe BPCE has identified strategic targets and monitoring indicators with regard to its actual contribution. To do this, all the initiatives described in the non-financial performance statement and all the risks identified by the Group have been analyzed with regard to the SDGs.

This analysis identified two types of strategic goals for the Group:

- the SDGs for which Groupe BPCE makes a positive contribution, *i.e.* action taken by the Group to facilitate the achievement of the goals by 2030
- the SDGs for which Groupe BPCE has taken action to minimize its identified risks.

This analysis is represented in the diagram below, organized according to the three categories of actions that define the Group: Banking company (in reference to the banking and insurance business), Responsible company (in reference to internal operations), Cooperative company (in reference to the Group's regional roots and cooperative values). The diagram shows the SDGs and the Group's strategic targets, as well as the actions taken, providing a clear, transparent overview of Groupe BPCE's contribution to the Sustainable Development Goals.

Finally, all the indicators included in the NFPS (non-financial performance statement) were studied to identify ten major indicators for monitoring Groupe BPCE's contribution to the SDGs.

Conscious of the important role of financial institutions in the fight against climate change, Groupe BPCE decided to join the CDP and answer its Climate Questionnaire, thereby supporting the internationally-harmonized disclosure of information on climate change. Two parts of the NFPS are devoted to the actions implemented to combat climate change.

A BANKING GROUP

POSITIVE CONTRIBUTION TO THE SDGS		RISK MITIGATION	
	1.4 Banking services for vulnerable customers		3.5 Exclusion policy for tobacco financing and investments (Natixis)
	6.6 New credit line: Eau & Assainissement III (Water & Sanitation III) – €150 million to fund local authorities		8.4 Incorporation of criteria to ensure new investments do not harm the environment 8.7, 8 Recognition of ESG criteria to incorporate human rights and labor law in financial decisions
	7.2 Renewable energy financing 7.3 Special solutions to fund thermal renovations		10.2 Special solutions for persons under legal guardianship and initiatives to facilitate access to banking services for persons with disabilities
	8.10 Specific products ensuring access to banking services for all		12.c Exclusion policy for investments in oil and gas sectors (Natixis) 12.6 Exclusion policies and incorporation of ESG criteria in financing and investments
	9.3 Specific financing solutions and professional microloans for small industrial companies		
	12.6 Questionnaire to assess the appropriation of ESG criteria by business customers and customers in the social and solidarity-based economy		
	13.2, 13.3 Taking into account GHG emissions in investments by implementing a strategy of alignment with the Paris Agreements of certain Natixis affiliate funds (Mirova, DNCA, Ostrum, AM, Thematics, etc.)		
	15.a Mirova funds range specialized in preserving biodiversity		

A RESPONSIBLE GROUP

POSITIVE CONTRIBUTION TO THE SDGS		RISK MITIGATION	
	3.4 Charters and policies to improve well-being in the workplace		3.4 Systems to limit psychosocial risks
	4.3, 4.4 Commitments to develop employee value and professional training		5.1 Raising awareness of gender equality
	5.5 Initiatives to raise the percentage of female executives		8.4 Action to limit the environmental impact of the activity 8.5 Commitment to employment and anti-discrimination recruitment policies
	8.6 Support for young people in the job seeking process		
	16.6 Dialog with stakeholders, and collaborative working and decision-making methods		

A COOPERATIVE GROUP

POSITIVE CONTRIBUTION TO THE SDGS		RISK MITIGATION	
	4.4 FNBP Educational patronage		16.4 Systems to combat fraud and crime 16.5 Fight against corruption 16.6 Initiatives for transparency and responsibility in marketing and relations with suppliers
	8.3, 8.5 Carrying out a study of the socio-economic footprint of CE and BP: 1.6 million jobs supported (2018 figures)		
	11.4 Patronage of cultural heritage and culture		

2.1 Putting our cooperative identity to work for regional development

2.1.1 Drawing on our business model to create sustainable, robust value

OUR MAIN ACTIVITIES

Groupe BPCE conducts all banking and insurance businesses through its two main cooperative networks – Banque Populaire and Caisse d'Épargne – and their subsidiaries.

It is the second largest banking group in France and has a strong local presence. Its 100,000 employees serve 36 million customers, including 9 million cooperative shareholders, performing their duties with a constant eye on the needs of individuals and local areas.

With 14 Banques Populaires, 15 Caisses d'Épargne, Natixis and Banque Palatine and Oney, Groupe BPCE offers its customers a full range of products and services, including deposits and savings, investments, cash management, payment instruments, and fixing, insurance and investment solutions. In keeping with its cooperative structure, the Group builds lasting relationships with its customers and helps them achieve their goals. It contributes to financing more than 20% of the French economy.

For more information, please see Chapter 1 of this document.

THE MAJOR CHALLENGES RELATED TO OUR ENVIRONMENT AND CLIMATE CHANGE

Since 2009, international climate change negotiations and European and French policies on energy transition have relied heavily on the role played by banks and investors to channel financing into initiatives to preserve the climate. New international financial standards are therefore being developed to guide the financing of the economy, control the risks and take advantage of the opportunities linked to climate change, and provide a transparent and common communication framework for all economic players.

At the COP 21 Climate Summit in 2015, Paris was the first financial center to announce its support for the scientific consensus on the impact of greenhouse gas emissions and to take steps to ensure the financial sector contributes to speeding up the transition to a low carbon economy.

The European Commission's sustainable finance strategy and the action plan for its implementation presented in March 2018 aim to redirect financial flows towards a more sustainable economy. This plan includes eight areas of initiatives: establishing a taxonomy of sustainable activities, creating standards and labels, focusing on sustainable projects, integrating sustainability criteria (E, S, G) into financial consulting, integrating the notion of sustainability into comparison methods, and integrating ESG criteria into risk management, whether in terms of rating, duty of information for asset managers and institutional investors, or prudential rules. This strategy was reinforced by the announcement of the Green Deal in 2020.

Our stakeholders – the European Commission, the rating agencies, the regulatory authorities, NGOs, our investors, our customers and our cooperative shareholders – regularly ask what we are doing to tackle climate change and protect biodiversity. Scientists are unanimous on the link between damage to biodiversity and the latest pandemics, and the link between climate change and changes in biodiversity. Three-quarters of current diseases are zoonotic. Tropical diseases (dengue fever, chikungunya, Lyme disease, etc.) are appearing in geographical areas that had so far been spared. The Covid-19 pandemic, which is striking the whole world, illustrates the consequences of biodiversity damage on the economy and our daily lives.

The ongoing climate change is already affecting whole swaths of the economy.

As a banker and insurer, Groupe BPCE is ready to meet these challenges and help its customers in the transition towards a more sustainable economy.

Groupe BPCE's capacity to meet its customers' needs and create value is intrinsically linked to changes in its ecosystem, for example new regulations, environmental issues, societal and social changes, or the consequences of globalization.



INTERNATIONAL ENVIRONMENT, GEOPOLITICAL AND DEMOGRAPHIC RISKS

THE MAIN CHALLENGES

- More frequent health/pandemic risk disrupting the global economy
- Climate risk
- Long-term impacts of low interest rates: risk of growing imbalances already observable (public debt, asset price bubbles leading to a financial crisis, etc.)
- US protectionism, risk of currency war and decline in globalization (competition between China and United States, doubts about multilateralism, organization of supply chains, etc.)
- Risk of an unstable European Union: hard Brexit, Italian government debt, security and migration context
- Emergence of new financial markets or digital currencies, which are competing with existing payment systems (cryptocurrency, libra, etc.)

OUR STRENGTHS / OUR SOLUTIONS

- A cooperative, decentralized and supportive group, with powerful brands driven by regional banks working in the heart of the regions
- A solid and diversified group that has shown it is capable of adapting, being resilient and transforming
- Robust financial strength, ensuring the Group's financial stability and a strong liquidity position
- A prudent risk policy, a sound and diversified loan portfolio
- Active participation in European projects (including the European Payment Initiative)



MACRO-ECONOMIC CONDITIONS

THE MAIN CHALLENGES

- A proactive global response and a complementary system of monetary and budgetary policies to neutralize the risks of systemic deflation arising from the Coronavirus pandemic
- After a very deep global recession in 2020 associated with Covid-19, we are seeing a technical recovery (varying from country to country) in 2021, which is still subject to the effective distribution of vaccines or treatments
- Growth in France of between 5% and 7% per year in 2021, without regaining the level of wealth achieved at the end of 2019 (despite massive budgetary support and recovery plans), after a contraction of around 10% in economic activity; very moderate level of inflation
- A debt monetization strategy implemented by central banks (FED/ECB), forging ahead with their ultra-accommodating policies
- Historically low interest rate environment: pressure on brokerage fee income

OUR STRENGTHS / OUR SOLUTIONS

- Diversifying the Group's revenues: ramping up the bancassurance model, providing solutions to all customer segments: individuals, professionals, companies, associations and local authorities
- Guiding and supporting economic players
- Developing business lines that are less sensitive to interest rates and developing fees and commissions
- Building revenue synergies between business lines and exploring new growth drivers
- Reducing costs by improving operational efficiency and controlling dividend payment costs



CHANGING REGULATORY ENVIRONMENT AND EVER TOUGHER REQUIREMENTS

THE MAIN CHALLENGES

- Tighter regulations in all areas: soundness and security of the banking system, protection of customers and investors, fight against money laundering and the financing of terrorism, fight against corruption
- Incorporation of ESG and climate risks
- Greater demand for transparency
- Unfair competition: regional differences, unregulated players

OUR STRENGTHS / OUR SOLUTIONS

- Proactive measures enabling us to achieve capital adequacy and liquidity positions well above the regulatory requirements
- A strict capital adequacy management policy recognized by financial rating agencies
- Responsible business lines development confirmed by non-financial rating agencies
- A guarantee and solidarity mechanism, enshrined in the French Monetary and Financial Code, to guarantee the liquidity and capital adequacy of the Group and of BPCE's affiliated institutions
- A Code of Conduct and Ethics further strengthening the bonds of trust between Groupe BPCE and its customers



TECHNOLOGICAL INNOVATION, NEW ENTRANTS AND CYBERSECURITY

THE MAIN CHALLENGES

- Presence of new players (fintechs, GAFA, neobanks, etc.), new technologies (Blockchain, AI, Chatbots, etc.)
- Increasing digitalization of the economy and changes in customer practices and needs (remote consumption, real time, responsiveness, simplicity, transparency, customization expectations, etc.)
- Rapid pace of technological change creating big expectations in terms of cybersecurity and data protection
- New operating models (automation, digitalization)

OUR STRENGTHS / OUR SOLUTIONS

- Integrating digital technology across all business lines and customer journeys by creating leading digital services for the satisfaction of our customers (accessibility, ergonomics, simplicity, customization) and ramping up innovation and artificial intelligence, while ensuring compliance with the Responsible Digital Charter
- Adapting the omnichannel distribution model, consulting, and remote transactions
- Enhancing operational efficiency: customer self-service, paperless processes, simplification, process automation, integrated business line platforms and pooled functions
- Enhancing security (authentication, payments, data protection)



CORPORATE SOCIAL RESPONSIBILITY

THE MAIN CHALLENGES

- Global commitment to combating climate change
- Declaration made by French banks to help develop a low-carbon, greener, and more inclusive economy
- Rising inequality, regional imbalances, increasing social unrest
- Inclusion of vulnerable persons amid rising poverty
- The European Commission's sustainable finance action plan and Green Deal

OUR STRENGTHS / OUR SOLUTIONS

- Incorporating ESG criteria in financing, investments and sector policies
- Helping our customers to address climate risk and gear up for the energy transition
- Aligning our portfolios with the Paris Agreement
- Reducing the Group's carbon footprint
- Steering savings towards a more responsible economy
- Developing brokerage of green or social bonds
- Supporting vulnerable customers
- Implementing a responsible HR policy
- Contributing to the promotion of the cooperative model

ECOSYSTEM DIAGRAM

Our economic model

The strength of our model derives from:

- our cooperative, decentralized structure, with 29 regional banks;
- known brands (Banque Populaire, Caisse d'Epargne, Crédit Coopératif, CASDEN, Banque Palatine, Oney, and Natixis). Groupe BPCE is the second-largest banking group in France. It is also operating in 40 countries;
- four business lines: Retail Banking and Insurance, Retail Banking, Asset & Wealth Management, Payments;
- our structure as a full-service bank with a diversified business portfolio dominated by retail banking in France. Our business model has shown its resilience and its ability to gain market share while keeping risks under control.

Groupe BPCE draws on different resources to conduct its businesses:

- human resources refers to:
 - talent, our ability to attract, develop and retain it, and to manage our teams,

- the relationships we maintain with our customers and our cooperative shareholders and, more generally, with all our stakeholders;

- financial resources, corresponding to:

- the Group's own funds, consisting of retained earnings and inflows from the cooperative shares issued by the Banques Populaires and the Caisses d'Epargne,
- deposits and savings inflows,
- market funding,
- for our subsidiary Natixis, own funds arising from the share capital provided by shareholders.

The quality of its fundamentals (solvency and management), as reflected in its top financial ratings, allows Groupe BPCE to develop its business activities.

- Intangible assets means all of Groupe BPCE's own methodologies and processes for carrying out its business.

GRUPE BPCE, A DIVERSIFIED GROUP SERVING THE ECONOMY AND THE REGIONS

2

Our ADN

A universal cooperative banking model serving its 36 million customers

Participatory governance
9 million cooperative shareholders elect their representatives to sit on the boards of regional banks

Long-term strategy and actions

A group committed to society, financing more than 20% of the French economy

Our strengths

- Committed and expert employees**
 - 100,000 women and men, including 91% in France
 - 68,478 employees who have received training
- Local presence**

A decentralized model that favors decision-making as close as possible to its customers: **14 Banque Populaire** banks and **15 Caisses d'Épargne** spread throughout France
- Digital integration in the business lines**

Strong adoption of digital channels that have become essential for our customers

 - 10 million connected customers⁽¹⁾
 - ≈80% of principal active customers on digital channels
- A strong group**
 - CET1 ratio at **16.0%**
 - Financial ratings of four agencies: **A1/A+**
 - Liquidity: reserves of **€307bn**
- Strong and complementary historical brands**

Banque Populaire, Caisse d'Épargne, Natixis, Casden, Crédit Coopératif, Banque Palatine, Oney

Our business lines

- Diversified business lines supporting our customers in all their projects**
 - Retail Banking & Insurance**
74% of NBI
VALUE PROPOSITION
Retail banking
Daily support for customer projects. Long-term relationship of trust
Insurance
Comprehensive life and non-life insurance offer for the Group's network customers
Payments
Control of flows across the entire payment value chain, enhancing the integration of Fintechs
 - Asset and Wealth Management:**
14% of NBI
VALUE PROPOSITION
Combination of an alpha-generating multi-boutique model with an industrial management platform serving large institutional investors
 - Corporate Banking**
12% of NBI
VALUE PROPOSITION
Development of solutions based on solid industry expertise and supporting their transition

Our value creation

- Customers**
 - 2nd retail bank
 - Number one bank for SMEs
 - €760bn in loan outstandings
 - €1,135bn in assets under management
 - €73bn in life insurance assets under management by Natixis
- Employees**
 - 11,600 permanent and fixed-term hires
 - 44.5% of female managers
- Local regions**
 - 1.6 million jobs supported thanks to the activities of the Banque Populaire and Caisse d'Épargne networks
 - Number one funder of the social and solidarity economy (collection and management) with **€15.9bn in outstandings**
 - Leader in personal and professional microloan financing
- Environment**
 - €11.35bn of outstanding financing for the energy transition
 - €2.2bn green, social and bridging bonds issued in 2020 by the Group outstandings (**€6.6bn at end-2020**)
- Company**
 - Loans guaranteed by the State: more than **€30bn** disbursed (approximately **193,000** loans)
 - Support plan for students and apprentices
 - Support plan for public hospitals
 - Increased support for the most vulnerable customers

[1] at least once in strong authentication to the Remote bank.

2.1.2 Contributing to regional development

SOCIO-ECONOMIC FOOTPRINT OF THE BANQUE POPULAIRE AND CAISSE D'ÉPARGNE NETWORKS

In 2019, Groupe BPCE commissioned a review of the socio-economic footprint of its two retail networks, the Banques Populaires and the Caisses d'Épargne. The review was conducted using a LocalFootprint@ certified method (see Chapter 2.5, Methodology) based on data for 2018. It calculated the impact of the two Banque Populaire and Caisse d'Épargne networks' activity (financing and operations) in terms of jobs supported and their contribution to GDP.

Given the stability of the parameters applied to carry out the study, it was not updated in 2020. The study using the LocalFootprint@ method is still based on n-1 data. The update would have been based on 2019 figures and databases.

The LocalFootprint@ method is based on the operating expenses of banking institutions (purchases from suppliers, payroll expenses and tax expenses) as well as the financing granted to customers (medium and long-term loans, leases, and microloans). The volumes committed by Groupe BPCE changed little between 2018 and 2019.

The LocalFootprint@ model consists of five types of parameters:

- the macro-economic parameters of a country or territory (national accounts, imports, exports, etc.);
- the technical coefficients or "production function" of the various sectors (breakdown of expenditure by sector and distribution of value added according to stakeholders);
- sector statistics (Production/Employment sector ratios);
- data on the local economic fabric (INSEE open source data);
- the local calibration algorithm (transitioning from a national to a departmental model).

These five parameters are relatively unresponsive to changes from one year to the next, due to relative macroeconomic stability, technical coefficients considered stable over a five-year period, a stable economic fabric (although the closure or relocation of some large companies may have an impact), and industry statistics updated every 2-3 years. While the input data in the model are stable, the reuse of data from year n-1 to present an impact in year n is entirely valid, with a limited margin of error (<5%).

Thus, if the nature of the amounts analyzed – loans disbursed by market, type of customer, purpose of loans – with the LocalFootprint@ model change little over the year, the results will remain stable.

RESULTS OF THE SOCIO-ECONOMIC FOOTPRINT STUDY (2018 DATA)

FOOTPRINT

**SOCIO-
ECONO-
MIC**

Groupe BPCE decided to measure the socio-economic footprint of its two main networks – the 14 Banques Populaires and the 15 Caisses d'Epargne – on their local regions in 2018.



2



SUPPORTED

1.6 m
JOBS

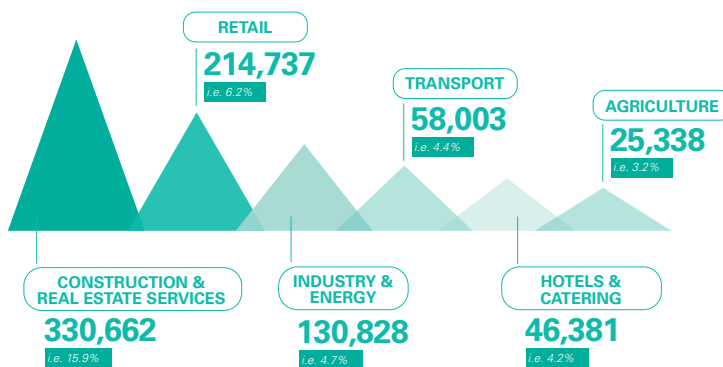
and



GENERATED

€111 bn
in GDP

MAIN BUSINESS SECTORS IMPACTED BY THE TWO NETWORKS' ACTIVITY (IN NUMBER AND % OF JOBS)



The study carried out by **Utopies** using its certified Local Footprint method measured the nationwide impact of the two networks' activity based on amounts paid out in 2018. Activity corresponds to the banks' operating expenses and medium- and long-term loans granted in 2018. The impact is measured in terms of jobs supported (FTE over 12 months) and the contribution to GDP.

FOR
1 EMPLOYEE
OF THE BP AND CE ET NETWORKS

23 JOBS

ADDITIONAL JOBS ARE SUPPORTED IN FRANCE.



SUPPORTS

14 JOBS



LOCAL PROCUREMENT

Groupe BPCE uses suppliers and gives priority to small, medium and intermediate sized companies in its local communities.

	12/31/2020	12/31/2019	Change 2019-2020
SMEs ⁽¹⁾ as a percentage of all suppliers	79%	81%	(2.4%)
ISEs ⁽²⁾ as a percentage of all suppliers	14%	13%	7.7%
Amount of purchases made from SMEs	35%	40%	(12.5%)
Amount of purchases made from ISEs	34%	34%	-
Percentage of local suppliers	71%	74%	(4%)

(1) Definition of SMEs (small and medium-sized enterprises): companies with fewer than 250 employees and revenues below €50 million.

(2) Definition of ISEs (intermediate-sized enterprises): companies with 250 to 5,000 employees and revenues greater than or equal to €50 million and less than €1.5 billion.

OUR COOPERATIVE STRUCTURE

Groupe BPCE intends to participate in the development of all regions. The cooperative nature of the Group is one determining factor in how it conducts its business. The Group wants to help build an environment in which its cooperative shareholders and customers can grow.

Our regional banks have strong community ties, so they are attentive to the needs of all customers. They work with local players, local authorities, associations, business networks, schools and universities to strengthen the local socioeconomic fabric.

The Group's cooperative DNA is the foundation of its CSR strategy.

Each of the networks, Banque Populaire and Caisse d'Épargne, is backed by a federation. They support the network's CSR strategy, facilitate cooperative shareholder relations, provide training for directors and assist with governance. They also promote initiatives in local communities.

THE BANQUES POPULAIRES

The Banques Populaires are cooperative banks, taking into account social, societal and environmental performance and economic performance. They have set out their *raison d'être*: <https://www.fnbp.fr/actualite/banque-populaire-exprime-sa-raison-detre/>. Defining and expressing a purpose is an act of commitment, which guides and informs strategic choices and stimulates long-term collective thinking.

In 2020, despite the health and economic crisis, the Banques Populaires endeavored to maintain a strong relationship with their members and directors, who ensure the vitality of their cooperative model. The 4.7 million cooperative shareholders are the foundation of the cooperative structure of Banques Populaires. They hold their share capital. They vote at Shareholders' Meetings and directly elect the directors who represent them on the Boards of Directors.

For the Shareholders' Meetings, the banks have given their cooperative shareholders the option of attending either remotely or by viewing the recorded proceedings.

Online voting has increased participation. More than 430,900 cooperative shareholders have voted. A total vote rate of 16.6% for the network.

To ensure the continuity of cooperation, online conferences and webinars have maintained the link between the bank and its cooperative shareholders. These latter enjoy access to information channels to keep up to date with news about their banks, including newsletters, magazines, and websites. For the past four years, the Banques Populaires have organized the *Faites de la Coopération* event – a week-long initiative to raise awareness and allow discussion about the cooperative banking model. It is part of Social and Solidarity-Based Economy (SSE) month. Coming up for this 2020 edition: employee training (with the launch of three modules on the BDIGIT application), an online conference about new trends in entrepreneurship, mobilization of bank employees with ADIE, and teaching tools to better explain the cooperative shareholder's role (video, pitch, leaflets). Once again, the cooperative model has demonstrated its resilience amid the crisis. (See the results of the DIFFCOOP survey <https://www.fnbp.fr/actualite/banque-populaire-affirme-difference-cooperative/>)

In 2020, the Banque Populaire network had 221 directors (and 17 non-voting members). They are business leaders, researchers and teachers involved in the economic life of their region.

To meet the regulatory requirements for training directors and evaluating the functioning of the Boards of Directors, the National Federation of Banques Populaires (FNBP) has drawn up:

- a self-assessment tool for the Boards of Directors, available to the entire Banque Populaire network;
- an annual training plan presented to the ACPR: this covers topics related to the seven skills selected by the ECB, as well as CSR and digital topics;
- an annual training report has been set up by Banque Populaire for each director, to track:
 - the number of training sessions completed,
 - the number of training hours completed,
 - the diversity of training courses,
 - the satisfaction rate.

COOPERATIVE INDICATORS: COOPERATIVE SHAREHOLDER BASE

Banques Populaires	At 12/31/2020	At 12/31/2019 ⁽¹⁾	At 12/31/2018	Change 2019-2020
Number of cooperative shareholders (<i>in millions</i>)	4.72	4.58	4.44	3.1%
Percentage of cooperative shareholder customers (<i>as a %</i>) ⁽¹⁾	33%	33% ⁽²⁾	33%	0%
Average value of shares held per cooperative shareholder (<i>in euros</i>)	3,269 ⁽²⁾	3,269 ⁽²⁾	2,235	
TS-I (delta between the ratio of highly satisfied customers to totally dissatisfied customers) ⁽³⁾	28	22	18	31%

(1) Excluding BRED, CASDEN, and Crédit Coopératif.

(2) Data at the end of December 2019.

(3) Data from the BP & CE individual customer satisfaction survey. (Internal source: Group (excluding Crédit Coopératif and CASDEN) Customer Research division).

COOPERATIVE INDICATORS: GOVERNANCE AND DIRECTOR TRAINING

Banques Populaires	2020	2019	2018	Change 2019-2020
Governance bodies				
Number of members of Boards of Directors	221	225	225	(1.78%)
Director attendance rate at Board of Directors Meetings (<i>as a %</i>)	89%	85%	83%	5.50%
Percentage of Board Members who are women (<i>as a %</i>)	46.4%	45.5%	44%	14.47%
Percentage of Board Chairmen and Vice-Chairmen who are women (<i>as a %</i>)	28%	24%	19%	17%
Director training				
Boards of Directors: percentage of members who took at least one training course over the year (<i>as a %</i>)	53%	77%	83%	(30%)
Boards of Directors: average number of training hours per person ⁽¹⁾	4.3	9.3	11.6	(52%)

(1) 2018 data including Audit Committee training courses.

THE CAISSES D'EPARGNE

The Caisses d'Epargne have formulated various areas for strengthening and affirming their cooperative model as part of the 2018-2020 CSR & Cooperatives Guidelines. Several targets were set as part of the "Active Cooperation" initiative, including rebalancing the cooperative shareholding age pyramid, promoting cooperative shareholding to employees to make them ambassadors of the cooperative model, and lastly, involving members in local outreach via the cooperative shareholder portal.

At the end of 2020, the Caisses d'Epargne had 4.417 million cooperative shareholders, the majority of whom were individual customers. The representation of cooperative shareholders is organized by means of 208 local savings companies (SLEs). They are an intermediate step in encouraging the cooperative shareholders' local presence, close relationship, and feedback.

In 2020, the Caisses d'Epargne continued their efforts to get their cooperative shareholders more involved in the life of their bank as key stakeholders. They took action to ensure they had access to their services and kept them informed during the health crisis. They provide them with dedicated information and communication channels, information points in branches, newsletters, and meetings led by Caisse d'Epargne experts. As for the site www.societaires.caisse-epargne.fr, it has undergone a complete overhaul to evolve into a single portal for information and access to the cooperative shareholders' club, which offers them benefits. This new portal is deployed in all Caisses d'Epargne.

These channels provide cooperative shareholders with regular updates on what is happening at their Caisse d'Epargne, as well as regional and national news in general. Some Caisses d'Epargne consult their cooperative shareholders and organize shareholder events such as web conferences. Some Caisses d'Epargne have also implemented initiatives to raise employee awareness of the cooperative model, in particular during the

welcome days for new employees, in order to strengthen and rejuvenate cooperative shareholding. For more information: <https://www.federation.caisse-epargne.fr/des-actions-responsables/societariat/#.X60WG1DZCUK>.

As part of the cooperative governance of the Caisse d'Epargne network, the Fédération Nationale des Caisses d'Epargne (FNCE), in conjunction with BPCE and the Caisses d'Epargne, supports and trains elected representatives in the exercise of their mandate through a dedicated training system. Training programs are designed for directors of local savings companies, members of the Steering and Supervisory Boards (COS), and members of specialized committees. Each audience benefits from a training offer adapted to their office:

- for directors: a welcome seminar focuses on the identity and history of the Caisses d'Epargne, CSR and the Group's business lines. Training is provided to deepen this initial foundation throughout the term of office. General banking culture and digital topics supplement the ongoing training system;
- for members of Boards of Directors and Supervisory Boards, initial regulatory training tackles the six areas established by decree: governance, accounting and financial information, banking and the financial markets, legal and regulatory requirements, risk management and internal control, and strategic planning. In-depth training is offered throughout the term of office;
- for the specialized committees, training courses are offered to members of the Risk, Audit, Appointments, and Remuneration Committees.

In 2020, videoconferencing training sessions were organized, taking the health situation into account.

The distance learning system was supplemented by a wide choice of online training courses, videos, quizzes and fact sheets.

COOPERATIVE INDICATORS: COOPERATIVE SHAREHOLDER BASE

Caisses d'Epargne	At 12/31/2020	At 12/31/2019	At 12/31/2018	Change 2019-2019
Number of individual cooperative shareholders (<i>in millions</i>)	4.42	4.54	4.63	(2.6%)
Percentage of cooperative shareholder customers (<i>as a %</i>) ⁽¹⁾	24%	25%	25%	(0.2%)
Average value of shares held per cooperative shareholder (<i>in euros</i>) ⁽²⁾	3,374	3,255	3,050	3.1%
TS-I (delta between the ratio of highly satisfied customers to totally dissatisfied customers) ⁽³⁾	20	15	10	5

(1) Natural persons only (customers and cooperative shareholders). Figure calculated as the "total number of cooperative shareholders" divided by "total number of customers". Source: cooperative shareholder base dashboard, 2020.

(2) Figures calculated based on the "total number of customers" and "outstanding cooperative shares"; natural persons only. (Internal source: cooperative shareholder base dashboard, 2020).

(3) Data from the BP & CE individual customer satisfaction survey. (Internal source: Group Customer Research division).

COOPERATIVE INDICATORS: GOVERNANCE AND DIRECTOR TRAINING

Caisses d'Epargne	2020	2019	2018	Change 2019-2020
Governance bodies				
Number of members of Steering and Supervisory Boards	284	298	303	(4.70%)
Director attendance rate at Steering and Supervisory Board Meetings (<i>as a %</i>)	96%	94%	93%	1.75%
Percentage of Steering and Supervisory Board Members who are women (<i>as a %</i>)	47%	46%	45%	0.86%
Percentage of Steering and Supervisory Board Chairmen or Vice-Chairmen who are women (<i>as a %</i>)	33%	30%	29%	10%
Director training				
Steering and Supervisory Boards: percentage of members who took at least one training course over the year (<i>as a %</i>)	90%	90%	87%	0%
Steering and Supervisory Boards: average number of training hours per person (basis = 100)	12.5	11.1	9.2	12.9%

COOPERATIVE REVIEW

The French act of September 10, 1947 on the status of cooperatives establishes the principle of a cooperative review every five years. The review is performed by an independent auditor responsible for verifying that the structure and operation of cooperative entities observe cooperative principles and rules. Over the past three years, all Banques Populaires and Caisses d'Epargne have carried out a cooperative review. None of the Banques Populaires or the Caisses d'Epargne was identified as possibly being 'non-compliant' with the cooperative banking model and the auditors voiced no reservations in the course of their audit.

SPONSORSHIP

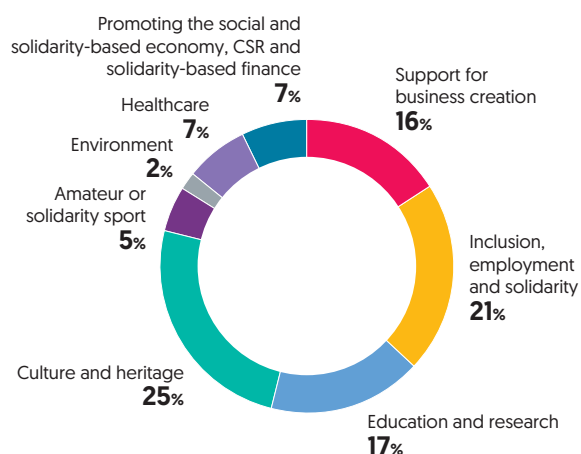
LOCAL PATRONAGE AND PARTNERSHIPS

The Banques Populaires are involved in initiatives in support of civil society. They are highly involved in supporting business creation (through microloans in particular), integration and solidarity, and actively support education and research. In order to take effective action in the local public interest and to structure their patronage, 9 Banques Populaires have their own foundation and/or endowment fund.

Action taken by Crédit Coopératif and its foundation is mainly focused on supporting and promoting the social and solidarity-based economy, while the CASDEN Banques Populaires naturally focus on education and research.

In 2020, patronage activities by the Banque Populaire network represented nearly €12.35 million.

DONATION AMOUNTS BY CATEGORY



National partnerships of the Banque Populaire network

The Fédération Nationale des Banques Populaires inspires and carries out a policy of partnerships and sponsorship – through its endowment fund to finance projects eligible for sponsorship – in line with the actions of the Banques Populaires.

This policy of partnerships and sponsorship strengthens the societal impact of the Banques Populaires. Adie (which finances and supports micro-entrepreneurs) and *Entreprendre pour Apprendre* (which aims to develop the entrepreneurial spirit of young people aged 8 to 25) remain two essential partners. Since 2017, it has funded research projects on the cooperative model, in partnership with the Burgundy School of Business via its Governance Chair, focusing on the challenges of cooperative shareholding. A three-year partnership was established in 2019 with the *Chaire Lyon 3 Coopération* (a research chair on cooperatives as an emerging alternative to the traditional shareholding mode) and the *Chaire de l'immatériel de Paris Sud/Saclay* (European Chair on Intangibles, a regional innovation index).

It is also a partner of the annual thesis contest organized by Institut Universitaire Varenne (an association that promotes the sharing of knowledge) in the “Private law on economic activities and financial cooperatives” category.

The FNBP endowment fund also made it possible in 2020 to train some thirty “ambassador” employees in charge of vulnerable customers. As a member of the *Finances et Pédagogie* association, the FNBP supported its work to help it create a new module for vulnerable customers at the professional level (and not just private individuals). This response anticipates the foreseeable repercussions of the health crisis for many professionals.

Banque Populaire Corporate Foundation

Supporting success has been the mission of the Banques Populaires since their inception. Their Corporate Foundation has been implementing this *credo* since 1992 with a long-term commitment to individual initiative and young people, in the fields of classical music, persons with disabilities, and arts & crafts.

By leveraging its regional presence, the expertise of its juries, and past winners, the Foundation has built up a large network demonstrating that success can mean many things and lies within everyone's reach. In 2020, the Foundation had already supported more than 850 life projects.

For cooperative shareholders, customers and employees alike, the Foundation's winners embody the cooperative and societal commitment of the Banques Populaires by promoting their values of solidarity, entrepreneurial spirit and a taste for innovation. For more information: <https://www.fondationbanquepopulaire.fr/>

LOCAL PATRONAGE AND PARTNERSHIPS AT THE CAISSES D'EPARGNE

A commitment to philanthropic activity lies at the heart of the history, identity and values of the Caisses d'Epargne. The Caisses d'Epargne are among the leading patrons in France. In 2020, sponsorship represented €22.5 million. There were 1,237 local projects supported, mainly in the area of solidarity.

Each Caisse d'Epargne has its own philanthropic strategy based on local needs.

The Caisses d'Epargne share a commitment to following a structured and local approach, focusing on initiatives that have a significant social impact. A network of 15 philanthropy managers builds a common approach through the sharing of tools and best practices. The Caisses d'Epargne and their Federation worked with Le Rameau (an advisory and research laboratory) to complete an in-depth analysis of alliances between companies and non-profits with the goal of developing innovative solutions to local requirements.

National foundations

In addition to initiatives decided upon regionally, the Caisses d'Epargne also support the Caisse d'Epargne network endowment fund and the Fondation Belem.

The Caisse d'Epargne network endowment fund promotes and supports public interest initiatives that aim to:

- eliminate exclusion and financial hardship, in particular banking and financial exclusion;
- support humanitarian programs.

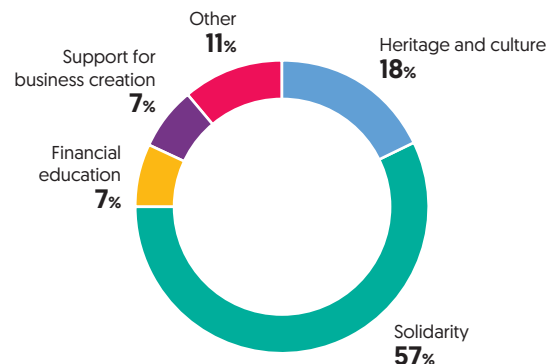
The Caisses d'Epargne network endowment fund also supports Finances et Pédagogie (www.finances-pedagogie.fr). It organizes educational programs on money matters across the country.

The goals of the Fondation Belem (www.fondationbelem.com), recognized as an institution operating in the public interest, are to:

- promote France's maritime history;
- keep the last-remaining major 19th-century sail ship, which has been listed as an historical monument since 1984, among the nation's cultural assets.

The Caisses d'Epargne also support athletics (basketball, handball and skiing: espritbasket.fr, esprithandball.fr and espritglisse.fr) through patronage and sponsorship activities. For more information: <https://www.federation.caisse-epargne.fr/des-actions-responsables/philanthropie/#.X60Wb1DZCUk>

DONATION AMOUNTS BY CATEGORY



NATIXIS

Natixis is involved in a number of solidarity-related projects with a high level of engagement among its staff members.

Since 2013, Natixis has allowed its employees to take humanitarian leave (Congé Solidaire®) to support the non-profit association Planète Urgence. Projects include protecting biodiversity, providing social and educational support for children, and adult skills training in various fields. In 2020, missions were offered in France or remotely. It has funded 150 missions since the project's launch.

Since 2019, Natixis has been offering its employees a simple and participative generosity scheme: salary rounding. With it, they can support one of the five selected associations. The monthly microdonation is deducted directly from the payslip, and Natixis doubles the amount of donations. One year after its launch, more than €64,000 had been paid to the five beneficiary associations.

During the Covid-19 health crisis, a large number of Natixis employees mobilized around the world to combat this pandemic. The specific fundraising operation organized in France raised nearly €100,000 to support caregivers, research and the most disadvantaged people.

In 2020 the Natixis Foundation – a corporate foundation – was created. Its aim is to facilitate the commitment of all Natixis employees to a just transition. Natixis Foundation will support projects and public-interest initiatives that address both environmental protection and solidarity, with the goal of lasting impact.

Natixis Foundation was created on December 1, 2020, and the first proposals for international projects were submitted to employees for a vote. Two projects were selected and will be supported by the foundation:

- a water access project presented in partnership with the NGO Action Against Hunger, which aims to build and/or rehabilitate wells in rural communities in Liberia;
- a project called *Santé & Energie solaire* (Health & Solar Energy), presented in partnership with the NGO *Électriciens Sans Frontières* (Electricians Without Borders), which aims to improve care conditions in rural African villages through solar energy equipment.

The implementation of these projects will begin in the first quarter of 2021

2.2 Applying CSR in the entities, business lines and processes

2.2.1 CSR and Cooperative Guidelines

BANQUES POPULAIRES

Since 2011, the Banques Populaires have used a specialized tool to keep their cooperative shareholders abreast of their initiatives in the areas of societal and cooperative responsibility. The Banques Populaires' Cooperative and Societal Footprint, which is inspired by the ISO 26000 CSR standard, identifies and measures the value in euros of the initiatives taken by each bank for its main stakeholders. The aim is to measure and steer the "cooperative edge" offered by the Banques Populaires each year. A portion of these data are included in Groupe BPCE's open data system. (See the website of the Blue Cooperative and CSR Guide <https://www.guide-rse.banquepopulaire.fr/index.php>)

CAISSES D'ÉPARGNE

The Fédération Nationale des Caisses d'Épargne, the regional Caisses d'Épargne, and external stakeholders have co-constructed four joint ambitions:

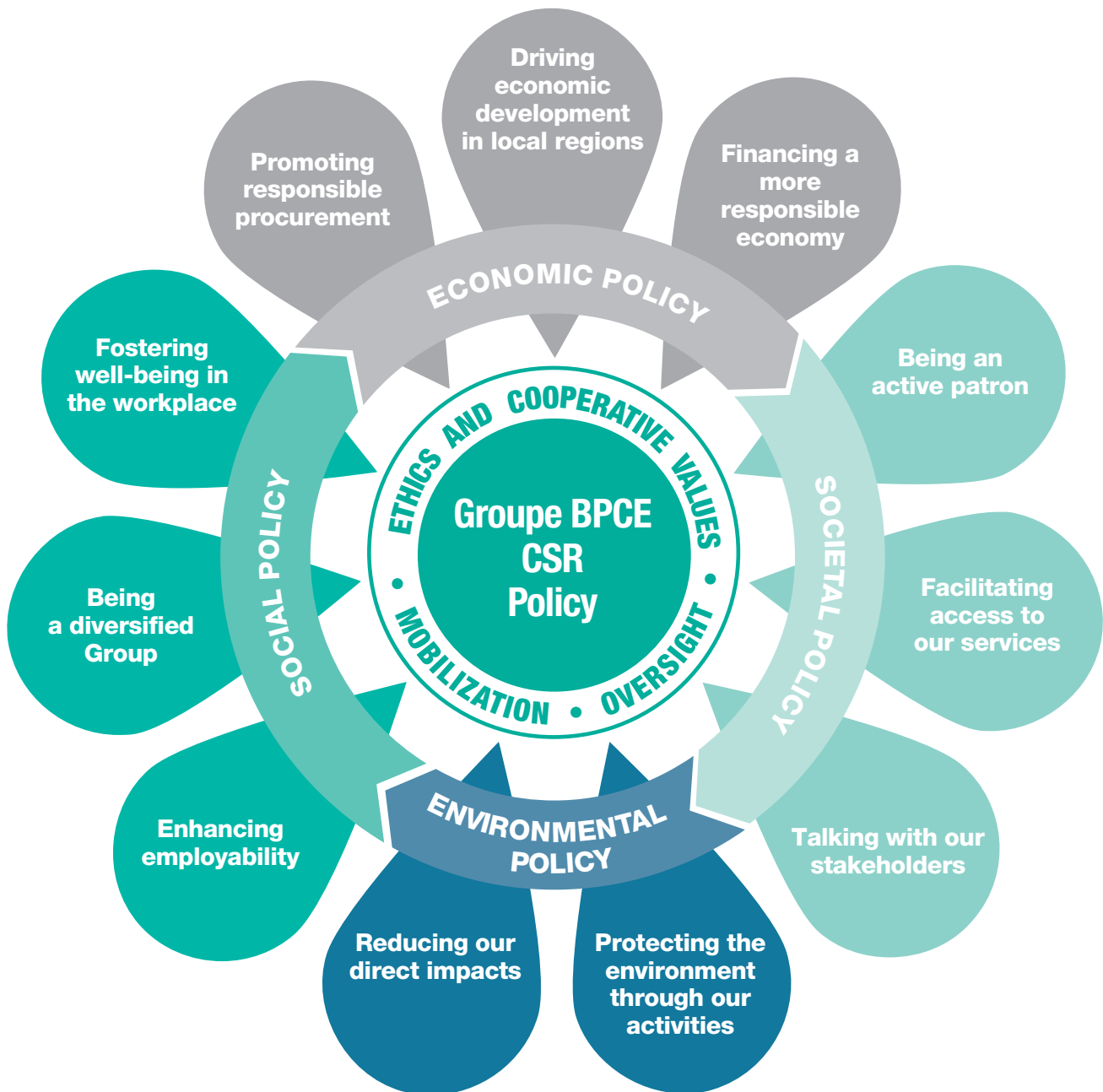
- local footprint: being a key contributor to the transformation of the regions and the local economy;
- active cooperation: encouraging employees and cooperative shareholders to become "cooperative players";
- societal innovation: anticipating the needs of society in order to build progressive solutions;
- global performance: furthering the continuous improvement of CSR policies and their incorporation in all business lines.

These CSR Guidelines, broken down into 11 objectives, provide a common framework in which each Caisse d'Épargne, operating as a fully-fledged cooperative bank, defines its own CSR strategy. This shared framework facilitates the exchange of best practices and achievement of common goals, while respecting the cooperative structure of the Caisses d'Épargne. To find out more about the Caisses d'Épargne's CSR approach and the various actions implemented in the regions, please click on the following link: <https://www.federation.caisse-epargne.fr/la-federation/publications/#.XdvEdXZBhE>.

GROUPE BPCE'S CSR STRATEGY

Groupe BPCE's 2018-2020 CSR strategy was validated by the Management Board and presented to the Group Steering and Supervisory Board in 2018. It is organized into four commitments (economic, social, societal and environmental) and contributes to the Group's general strategy.

Over the past three years, the strategy has been distributed to all the Group's Business Lines and the four commitments have been integrated at the heart of our activities.



2.2.2 Our commitments

Groupe BPCE has made national and international commitments that require it to meet the highest international standards.

INTERNATIONAL COMMITMENTS

Signing date	Commitment	Entities concerned	Pledges made
2003	Global Compact Advanced WE SUPPORT 	Groupe BPCE & Natixis	Respect human rights, international labor standards, environmental protection and the prevention of corruption.
2010	Principles for Responsible Investment <i>Signatory of:</i> 	Natixis	Incorporate environmental, social and corporate governance (including anti-corruption) considerations in investment decisions.
2010	Equator Principles 	Natixis	Evaluate the environmental and social (E&S) risks and impacts of the projects it finances using a methodology accepted by many financial institutions to encourage its customers to manage, minimize, and remedy the impacts they cause.
2018	Act4Nature 	Natixis	Natixis recognizes the essential role of biodiversity in maintaining the balance and resilience of ecosystems, and is committed, within the framework of act4nature international, to preserving biodiversity and raising awareness among its stakeholders through initiatives focusing on its direct and indirect impacts. http://www.act4nature.com/wp-content/uploads/2020/06/NATIXIS_VF-10-06-2.pdf
2019	UNEP FI 	Groupe BPCE & Natixis	Align the business strategy with the United Nations Sustainable Development Goals (SDG) and the Paris Agreement on climate change. Organize activities to foster more inclusive finance and a sustainable economy. Commit to being transparent about their positive and negative impacts on people and the planet. https://newsroom.groupebpce.fr/actualites/le-groupe-bpce-et-natixis-placent-l'action-pour-le-climat-et-le-developpement-durable-au-coeur-de-leurs-activites-atravers-leurs-engagements-aux-principes-pour-une-banque-responsable-22f8-7b707.html
2019	Principles for Responsible Investment <i>Signatory of:</i> 	Palatine Asset Management	Incorporate environmental, social and corporate governance (including anti-corruption) considerations in investment decisions.

PARTICIPATION IN FINANCIAL SECTOR INITIATIVES IN EUROPE AND FRANCE

FINANCIAL SECTOR INITIATIVES

International developments

BIODIVERSITY

Natixis and Mirova have been selected to contribute to the Taskforce on Nature-related Financial risk and Disclosure (TNFD), whose work will start in early 2021 and last two years. The TNFD is the result of a partnership between the Natural Capital Finance Alliance (NCFA), the United Nations Development Program (UNDP) and the World Wide Fund for Nature (WWF), with the support of the British government. With the same model as the Taskforce on Climate-related Financial Disclosures (TCFD), but making it possible to extend to nature-related issues, the TNFD will offer a framework to meet the measurement and data needs of financial institutions so they can better understand dependencies and their impacts on nature.

European developments

SUSTAINABLE FINANCE

After participating in the group of technical experts on sustainable finance (TEG) appointed by the European Commission, Groupe BPCE continues to actively participate in the work launched by the European Commission on sustainable finance. The year 2020 was marked by a significant increase in the consultations launched by the European Commission (EC). These consultations are supplemented, for the more technical aspects, with consultations of the supervisory authorities (EBA, ESMA) or other specially-mandated associations (e.g. EFRAG). Groupe BPCE can respond either directly or by participating in the response of professional associations

Groupe BPCE has contributed to consultations on the following topics (non-exhaustive list):

- new sustainable finance strategy;

- the Taxonomy regulation on sustainable activities: consultations on delegated acts and on various articles of this regulation, its impacts for financial institutions, banks’;
- SFDR (Sustainable Finance Disclosure Regulation), which gave rise to various consultations;
- European Standard for Green Bond Issues;
- non-financial reporting;
- integration of ESG factors in risk management.

In addition to the European consultations, Groupe BPCE may be required to respond to the consultations launched by the French authorities concerning the transposition of European texts.

EUROPEAN PROFESSIONAL ASSOCIATIONS

At the European level, Groupe BPCE is a member of various professional associations, and participates in specific working groups that European banking organizations have set up to help advance Sustainable Finance strategy. These include the European Savings Banks Group (ESBG) and the European Association of Co-operative Banks (EACB).

Groupe BPCE also took part in the EBA’s sensitivity analysis in connection with taxonomy, the first step in developing a stress test.

National developments

ADDRESSING CLIMATE CHANGE

In July 2019, at an industry-wide meeting with the Minister of the Economy and Finance, Bruno Le Maire, the main organizations and federations representing the Paris financial center published a shared declaration setting out new commitments to mitigate climate change and help reach the goal of zero net carbon emissions by 2050, by:

- encouraging members to adopt a coal divestment strategy, with a defined divestment timetable, and to include this in their ESG reporting from 2020;
- working with the supervisory authorities to develop methodologies to assess the exposure of their portfolios to climate risks and to align investment portfolios with a 2°C scenario. The Paris financial center will also contribute to the diffusion and open source standardization of these methodologies;
- monitoring commitments with the creation of an observatory to track the actions and achievements of Paris financial center

members in the realm of green and sustainable finance. The observatory, which will include a scientific committee, will be jointly governed by the main professional bodies (AFG, FBF, FFA, France Invest) and by Finance for Tomorrow.

To this end, the ACPR and the AMF have each set up a Climate and Sustainable Finance Committee, of which Groupe BPCE is a member. The FBF has set up a Climate Committee chaired by Laurent Mignon which brings together representatives from the Risk and CSR departments of all French banking groups.

For Climate Finance Day on October 29, 2020, the French Banking Federation drew up a first factual assessment of energy transition initiatives. This assessment shows that French banks have not only fulfilled their commitments, but also played a leading role in the global banking sector, with a high level of ambition, by integrating climate objectives into their strategy and their decision criteria.

Groupe BPCE responded to the ACPR survey on commitments to combating climate change.

The Paris financial center continues to strengthen its climate ambition by publishing its individual strategies for phasing out coal as part of the assessment by the AMF and the ACPR, and by contributing to the Sustainable Finance Observatory launched on Climate Finance Day 2020. This Observatory aims to provide a high level of transparency and progress toward common definitions and methodologies for evaluating transition plans and associated conditions and analyzing the entire thermal coal value chain.

Natixis was the premium sponsor of the new edition of Climate Finance Day in October 2020, organized by the French Ministry of the Economy and Finance and the Finance for Tomorrow Initiative of Paris EUROPLACE.

PREPARATION OF CLIMATE STRESS TESTS

Groupe BPCE is part of the ACPR’s working group to draw up stress test scenarios pursuant to Article 173-V of the French act of August 17, 2015 on the energy transition for green growth. In 2019, the working group began to review the sectors most exposed to physical and transition risks and to examine existing methodologies in order to propose approaches that can be used for climate stress tests. In 2020, the group participated in the ACPR’s mandatory stress testing.

OTHER NATIONAL COMMITMENTS

Signing date	Commitment	Entities concerned
2010	Corporate Diversity Charter	Groupe BPCE
	Cancer@work Charter	23 Groupe BPCE entities
	Cancer@Work certification	4 Groupe BPCE entities
2010	Responsible Supplier Relations Charter	Groupe BPCE
Starting in 2015	Supplier Relations and Responsible Procurement label backed by the ISO 20400 Responsible Procurement standard	14 Group entities
2017	Work-Life Balance Charter	14 Banques Populaires, 15 Caisses d’Epargne and Natixis
2018	Responsible Purchasing Charter	BPCE Achats for Groupe BPCE
2020	Responsible Digital Charter	Groupe BPCE

TALKING WITH OUR STAKEHOLDERS

Groupe BPCE interacts with its stakeholders in the course of its business. The following diagram shows some of its stakeholders and the ways in which it interacts with them.



2.2.3 Measuring our performance

OUR QUANTITATIVE INDICATORS

Project	Monitoring indicator	2018	2019	2020	2020 targets
Economic engagement					
Funding a more responsible economy	Responsible savings, including SRI ⁽¹⁾ (in billions of euros)	72.5	86.4	139.8 ⁽¹⁾	35
	Group institutions with Responsible Supplier Relations and Procurement certification (number)	9	11	14	14
Developing responsible procurement services	Procurement RFPs incorporating a CSR component ⁽²⁾ (as a %)	34%	36%	36%	80%
	Supplier payment deadlines (in days)	31	32	30	28
Societal engagement					
	Origination of microloans with support for individual customers (in millions of euros)	20	20	18	Consolidating Groupe BPCE's market leadership
Facilitating access to our services	Origination of microloans and other solidarity-based loans for entrepreneurs (in millions of euros)	515.7	536.2	505.4	Consolidating Groupe BPCE's market leadership
Environmental engagement					
Reducing our direct environmental impacts	Carbon emissions (in metric tons of CO ₂ equivalent) – Scope 1, 2 and 3 emissions – excl. data centers	601,587	587,999	521,398	(11%)
Promoting the environment in our business lines	Financing for the energy transition ⁽³⁾ (in billions of euros)	8.7	10.8	11.35	10
Employee benefits					
Attracting and retaining top talent ⁽⁴⁾	Employees recommending the Group as an employer (as a %)	N/A	56%	N/A	70%
Changes in Groupe BPCE's reputation	Featuring among the Top 20 in the Potential Park "Top Employers" ranking	14 th	17 th	N/A ⁽⁴⁾	Top 20
	Women in management roles (as a %)	42.9	43.7%	44.5%	45%
Promoting gender equality	Female company directors (as a %)	26.1	26.4%	27.9%	30%
Developing employability	Number of cumulative training hours over three years (in millions of hours)	2.3	5.5	8.7	10
Promoting mobility	Launch of Mobiliway website	39%	61%	100%	100%
Empowering employees to drive change	Percentage of employees who feel they can drive change	N/A	39%	N/A ⁽⁴⁾	50%
Digitized HR services	Use of electronic signatures in employment contracts (as a %)	81%	92%	92%	80%
Oversight	Number of Group entities audited by an external auditor based on ISO 26000	7	8	9	12
Group-specific indicators					
	MSCI	AA	A	AA	Maintain
	ISS ESG	C/Prime	C/Prime	C/Prime	Maintain
	Sustainalytics	65/100	65/100	64/100	Maintain
	V.E	57/100	57/100	60/100	Maintain
ESG rating	CDP ⁽⁵⁾			A-	

(1) €134.6bn in SRI and €5.2bn in responsible deposits and savings (inclusion and solidarity passbook savings accounts, CODEVair, regional passbook savings accounts, and solidarity passbook savings accounts at Crédit Coopératif.

(2) Included in performance contract.

(3) Renewable energy loan outstandings + building energy renovation loans + environmentally friendly equipment loans for professional customers and SMEs + green car loans.

(4) Unknown. The index is reported in March.

(5) First year of response for Groupe BPCE.

The strategic plan came to an end on December 31, 2020. The results are detailed in 2.3, Supporting the ecological, energy, and social transition in local regions, 2.4.2 Responsible internal and external practices, and 2.4.3, Looking after our employees.

In addition to tracking several existing projects from a quantitative standpoint, the Group had undertaken to complete the following projects by end-2020 under the TEC 2020 strategic plan, in conjunction with the federations:

- measuring the impact of Groupe BPCE institutions on the economic landscape of their regions, while developing accurate teaching tools and programs;
- incorporating ESG criteria into risk policies and publishing sector policies on Group activities;

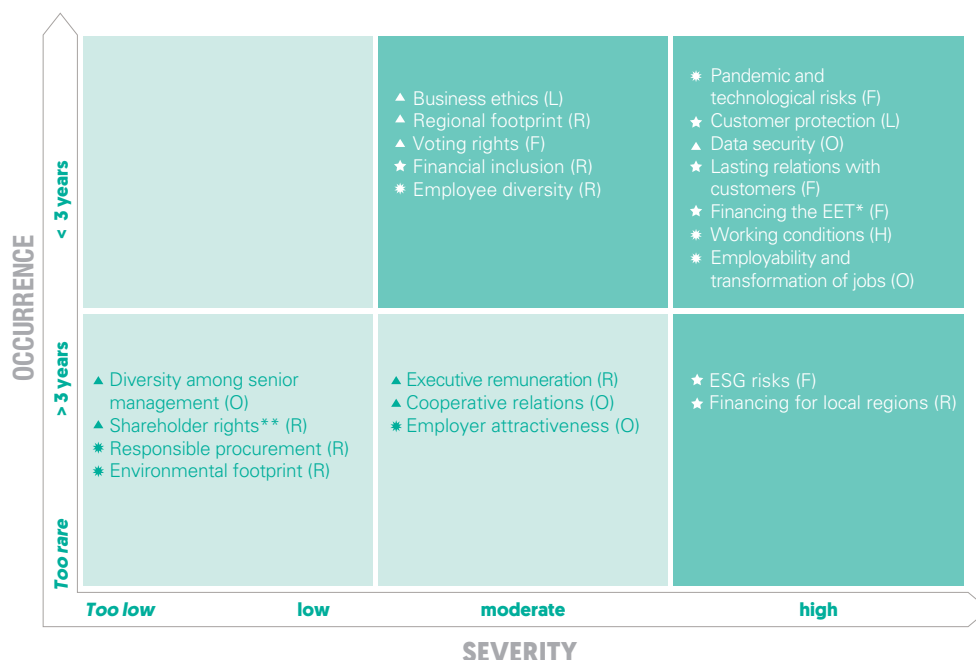
- structuring mechanisms dedicated to:
 - skills sponsorship,
 - action plans targeting vulnerable customers,
 - dialog with stakeholders,
 - ethics, principally by defining behavioral values and standards and publishing a code of conduct;
 - the involvement of company directors and employees: ongoing training on CSR and the cooperative structure;
 - group communication and visibility on CSR: establishing an internal and external communication plan focused on CSR, and incorporating CSR in financial communications.

OUR ACHIEVEMENTS IN 2020

Strategic projects	2020 achievements
1. Measure and promotion of the local socio-economic footprint	Harmonization of processes across the two networks: money flows (savings/loans), distribution of value (regional approach), publication in the non-financial performance statement. Completion in 2019 of seven socio-economic footprint studies based on 2018 data, calculating direct and indirect impacts and those generated by the business activity. A study of the cumulative impact of the two networks, for the Caisse d'Epargne network, for the Banque Populaire network, and for Caisse d'Epargne Aquitaine Poitou-Charentes, Caisse d'Epargne Grand Est Europe, Banque Populaire Aquitaine Centre Atlantique, and Banque Populaire Val de France. Creation of a database as of December 31, 2018 to measure the socio-economic footprint of all the Banques Populaires and the Caisses d'Epargne.
2. Responsible savings	Training and awareness courses on the distribution of SRI funds organized by Mirova for the Banque Populaire and Caisse d'Epargne networks. Work under way to improve transparency and measure the impact of passbook savings accounts.
3. Development of responsible purchasing	Monthly survey to measure payment terms in the Group's banks; creation of a working group to identify, share and implement best practices. Platform for promoting services outsourced to companies working with persons with disabilities by Group entities and services and suppliers that meet CSR criteria. Communication on the impact of regulatory developments for purchases from companies working with persons with disabilities. "Responsible Supplier Relations and Procurement" certification for 14 banks: BPCE SA, BP Sud, CE Hauts de France, BP Grand Ouest, BP Rives de Paris, CE Bretagne Pays de Loire, CE Grand Est Europe, CE Ile-de-France, CE Midi-Pyrénées, CE Aquitaine Poitou Charentes, CE Rhône Alpes, CE Côte d'Azur, BP Alsace Lorraine Champagne, and BP Méditerranée.
4. Inclusive finance	Integration of expanded criteria for identifying financially vulnerable customers, and implementation of quarterly reporting to the OIB. Majority deployment, in the banks, of structures dedicated to receiving and handling specific customer issues. Revision of predictive scoring for identifying the risk of over-indebtedness.
5. Reduction of direct environmental impacts	Working groups to produce an action plan for reducing our emissions in procurement, transport and responsible digital practices. Participation in the first Digital CleanUp day. Employee training in responsible digital technology.

2.2.4 Identifying and managing risks to ensure our development

NON-FINANCIAL RISK MATRIX



Risk category

- ▲ Governance
- ★ Products & Services
- * Internal operations

Main impact

- (F)inancial
- (O)perational
- (L)egal
- (R)eputational
- (H)uman

- * Energy and ecological transition
- ** Relating to Natixis

All the risks featured in the matrix were reviewed. BPCE's various departments and the Group's federations and banks took part in workshops. Following this review, the risk matrix was changed.

- In the "Internal operations" category: one risk renamed, and one rating modified. The risk named "Exposure to the physical risks of climate change" in 2019 was changed to "Exposure to climate, health and technological risks." In recognition of the current pandemic as well as the increase in severe weather events, this risk's rating has been changed: it has moved from low at more than three years to high at fewer than three years.
- In the "Governance" category: a change in rating. The severity of the Business Ethics Risk has been reduced from high to moderate. This risk remains a priority risk for the Group.
- In the "Products and Services" category: a change of category and a change in rating. The "Incorporation of ESG criteria in credit and investment decisions" risk was included in this category with an unchanged rating: high. It was previously classified in the "Governance" category. The severity of the "Customer protection & transparency of the range of products and services" risk increased from moderate to high.

OUR KEY PERFORMANCE INDICATORS

Risk category	Major risks	Definition of risk	Risk/exposure management system	2019		2020	
				Key performance indicators	Results	Key performance indicators	Results
Products & Services	Inclusive finance	Ensuring that products and services are accessible to all in all regions and in technological term	See Chap. 2.4.1, "Responsible internal and external practices – Implementing banking accessibility".	Number of customers equipped with OCF (number and change)	36,805 +35%	OCF gross production ⁽¹⁾ and annual change in inventory	24,379 (33%)
Products & Services	Financing for local regions	Fulfilling our role in financing all types of economic operators (businesses, professionals, local authorities, individuals, members of the social and solidarity-based economy)	See Chap. 2.3.2, "Supporting our customers in the energy, ecological and social transition"	Amount of and change in BP and CE network loans outstanding ⁽²⁾	€475bn 6.8%	Amount of and change in outstanding loans and origination in the BP and CE networks ⁽²⁾	€530.5bn 11.7%
Products & Services	ESG risks	Recognition of ESG criteria and transition and physical risks arising from climate change in sector policies and in financing and investment analysis	See Chap. 2.3.1, "Integrating the fight against climate change and conservation of biodiversity in our development strategy – integration of ESG criteria in financing activities and – in proprietary investment activities"	Percentage of sector lending policies including CSR criteria (as a %)	100%	Number of banks having begun to include ESG criteria in their credit records and number of banks incorporating ESG criteria in their proprietary investment decisions	6 banks 11 banks
Products & Services	Lasting relations with customers	Delivering satisfactory customer service quality over the long term	See Chap. 2.4.2, "Respect business ethics – Customer satisfaction and quality policy"	NPS ⁽⁴⁾ annual individual customer and change	BP (4); +6 CE (10); +7	NPS ⁽⁴⁾ annual individual customer and change	BP 2; +6 CE (6); +4
Products & Services	Customer protection	Ensuring all customers understand our products and services. Providing clear information and selling products and services suited to each client's requirements	See Chap. 2.4.2, "Respect business ethics – Customer protection"	Solutions applied in terms of customer protection and transparency of the range of products and services	Qualitative information	Number of "Information/advice" claims processed in 2020 with a favorable response/Total number of claims processed in 2020. AND Number of "unauthorized transaction" claims processed in 2020 with a favorable response/Total number of claims processed in 2020.	2.9% 0.8%
Products & Services	Financing the energy transition ⁽¹⁾	Lack of financing strategy in projects favorable to the environmental transition.	See Chap. 2.3.2, "Supporting our customers in the energy, ecological and social transition"	Financing for the energy and ecological transition: production (in euros and change) ⁽¹⁾	€196m 16%	Amount of financing for the energy transition (annual production) ⁽³⁾ : And	€201m 2.5%
			See Chap. 2.3.2, "Supporting the energy, ecological and social transition in local regions"	Responsible deposits and savings (in euros and change) ⁽²⁾	€86.43bn 19%	Total SRI funds sold (CE) Total SRI and solidarity funds sold (BP) in euros	€4.2bn €2.1bn
Governance	Data security	Protection against cyber-threats, safeguarding of clients' and employees' personal data and ensuring business continuity.	See Chap. 2.4.2, "Respect business ethics – Information systems security and data protection"	Percentage of new community projects with ISS and Privacy support	87%	Percentage of new community projects with ISS and Privacy support	85%

Risk category	Major risks	Definition of risk	Risk/exposure management system	2019		2020	
				Key performance indicators	Results	Key performance indicators	Results
Governance	Voting rights	Establishing and applying rules governing engagement, voting, support and participation in the Boards of companies in which the Group has an equity holding.	See Chap. 2.3.1, "Integrating the fight against climate change and conservation of biodiversity in our development strategy"	Voting and engagement policies	Qualitative information	Qualitative: Voting and engagement policies	Qualitative information
Governance	Regional footprint	Acting as an employer and purchaser with an appropriate local presence	See Chap. 2.1, "Putting our cooperative identity to work for regional development"	Socio-economic footprint (calculated by Utopies)	1.6 million jobs supported and €111bn contributed to GDP	Socio-economic footprint (calculated by Utopies)	2019 published datat used.
Governance	Business ethics	Compliance with regulatory requirements, anti-corruption and anti-fraud policies, prevention of unethical behavior and access to information	See Chap. 2.4.2, "Respecting business ethics – the Group's Codes of Conduct"	Share of employees having completed code of conduct training	84%	Share of employees having completed code of conduct training	92.7%
Internal operations	Working conditions	Ensure respectful working conditions for employees	See Chapter 2.4.6 "Looking after employees by developing their commitment "	Illness-related absenteeism (in %) AND number of workplace and commute injuries	3.7% 1,144	Illness-related absenteeism (% and change) AND number of workplace and commute injuries AND sickness absenteeism rate due to pandemic	5.3%; +43% 710 1.4%
Internal operations	Employability and transformation of jobs	Matching companies' requirements with employees' needs to address changing business requirements	See Chapter 2.4.6, "Looking after employees by developing their commitment"	Number of hours of training per FTE (in hours per FTE)	33	Number of hours of training per FTE (in hours per FTE)	27
Internal operations	Diversity among employees	Ensure equal treatment of applicants and employees within the company	See Chapter 2.4.6, "Looking after employees by developing their commitment"	Percentage of women in management roles (in %)	43.7%	Percentage of female managers (% and change)	44.5%
Internal operations	Employer appeal	Provide attractive working conditions, career development opportunities and give meaning to employees' duties	See Chapter 2.4.6, "Looking after employees by developing their commitment"	Percentage of resignations	2.9%	Departure rate (resignation rate, according to seniority) and change	Resignation rate: 2.2% Resignation rate – seniority <3 years: 0.8% Resignation rate – seniority >3 years: 1.4%
Internal operations	Environmental footprint	Measure and reduce the environmental footprint	See Section 2.4.4 "Reducing CO ₂ emissions per our carbon footprint"	Annual CO ₂ emissions per FTE (tCO ₂ eq FTE) and change	6.8 (1%)	Annual CO ₂ emissions per FTE (TEQ CO ₂ /FTE) and change	6 (11%)
Internal operations	Pandemic and technological risks	Consequences of health and technological risks that reduce or prevent the use of operating resources, impact employee activity, and result in assets lost.	See Chapter 2.4.3, "Taking into account pandemic and technological risks"	/	/	Annual BCP compliance rate (in %)	92%

OCF: Specific offer for vulnerable customers.

Regional Banques Populaires and Caisses d'Épargne.

(1) Green building loans (EcoPtz + PrevAir + Ecureuil Crédit DD + ProVair loans) + Green mobility loans (AutoVair + Ecureuil auto DD loans).

(2) Assets under management SRI + CODEVair (Banques Populaires) + Compte sur Livret Régional (CSLR) passbook savings accounts (Caisses d'Épargne) + sustainable range of products (Crédit Coopératif).

(3) Renewable energies: (financing of structured projects +100% renewable energy) + green building (= Eco PTZ + PREVair/Ecureuil Crédit DD + PROVair) + decarbonised transport (AUTOVair + Ecureuil Auto DD).

(4) Net Promoter Score.

CSR GOVERNANCE

GROUP CSR GOVERNANCE

The Group's CSR commitments are managed by a dedicated function within BPCE. The Group CSR Director reports directly to the Chairman of the Group's Management Board. This management is carried out in conjunction with the Fédération Nationale des Banques Populaires and the Fédération Nationale des Caisses d'Épargne, which coordinate CSR policy within their respective networks, and in conjunction with the Natixis CSR department.

The purpose of the CSR department, which reports to the General Secretariat of BPCE Retail Banking and Insurance, is to:

- drive and manage the Group's CSR policy and support all banks in the deployment thereof;
- serve as a source of foresight, expertise, and innovation in order to establish Groupe BPCE on markets relating to green growth;
- coordinate the implementation of special regulations and propose adaptations in governance.

Organize into four offices

Green, responsible growth	Responsible business	Monitoring, coordination and communication	Forward-looking
Definition of the green growth strategy (processes, benchmark, action plan). Development of expertise to serve the networks. Development of savings and solidarity-based financing. Contribution to inclusive finance mechanisms.	Coordination of CSR reporting and the Group/institution carbon review. Oversight and monitoring of the Group CSR approach. Dialog with ESG rating agencies, investors and NGOs. Coordination with the Human Resources department on the Responsible Employer component	Organization and oversight of sustainable development and CSR aspects for management projects and in the strategic plan. Regulatory, economic and technical watch. Communication and organization of CSR events. Participation in events organized by other Group departments.	Expansion of the forward-looking expertise and research approach to issues relating to the green economy and CSR, particularly in the economic and technological fields.

One function

The BPA CSR department relies on a CSR division split between the central institution and its subsidiaries, regional banks and Group subsidiaries, including Natixis. It is involved in the various departments (Development, Risks, Logistics, Procurement, Digital divisions and the federations) to promote CSR culture and support the action taken by the CSR officers in each function.

The CSR departments of each entity are responsible for setting out the Group's commitments, managing their internal function, contributing to the implementation of CSR policies and ensuring the reliability of non-financial reporting.

To lead the sector, the CSR department:

- organizes meetings or webinars on specific topics:

- extra-financial reporting,
- green growth,
- direct impacts,
- certification. In 2020, the entities were able to participate in a webinar dedicated to the BCorp label;
- organizes training sessions:
 - CSR fundamentals,
 - Carbon footprint,
 - Green IT/Responsible digital technology;
- publishes a "Live Green and CSR" newsletter, a CSR watch on the Group's CSR publications on social networks, posts in the Yammer groups (CSR, Green Growth, Green IT, climate risks, sustainable finance);
- runs a dedicated intranet site.

Steering committees

Body	Roles
Cooperative and CSR Committee of the Supervisory Board of Groupe BPCE.	Steers and rules on major strategic CSR guidelines. The committee met twice in 2020. The following topics were on the agenda: Green business development program, carbon footprint and direct footprint of the Group, Group membership in the CDP, integration of ESG criteria in the analysis of financing grants, information on the European Green Pact and regulatory changes, climate reporting
Cooperative Shareholder & CSR Committee of the Fédération Nationale des Banques Populaires CSR Commission of the Fédération Nationale des Caisses d'Épargne.	Approve national CSR guidelines and assist with their local implementation.
Local CSR Committees of Group institutions	Monitor and coordinate local implementation of the CSR policy.

CSR GOVERNANCE AT NATIXIS

Natixis' CSR policy is steered by a dedicated CSR department reporting to Natixis' Corporate Secretary, who is a member of the Natixis Senior Management Committee.

In 2020, a new governance structure was instituted with a CSR Committee reporting to the Board of Directors, and a CSR Sponsors Committee bringing together executives from all Natixis business lines and functions.

To enrich its review and steer the implementation of the CSR strategy, CSR now has two steering committees: one dedicated to internal CSR impacts and employee mobilization, the other to sustainable business development and CSR risk management in the business lines.

The CSR team, composed of ten permanent employees, works in coordination with the BPCE CSR department.

It draws on a network of around two hundred officers in all Natixis' business lines and support functions.

The CSR officers in the support functions (Real Estate & Logistics, Human Resources, IT, Compliance, etc.) are involved in projects to incorporate sustainability in the company's operations.

Corporate & Investment Banking has created a Green Hub comprising experts who help issuers and investors all around the world by offering them solutions and expertise in sustainable financing.

In the Asset & Wealth Management and Insurance business lines, CSR officers have implemented CSR initiatives for many years.

ESG RATINGS

Keenly aware of the major role played by ESG rating agencies, Groupe BPCE responds to the requests of these agencies and maintains dialog with them. This is one of the CSR commitments set out in the strategic plan.

In 2020, all of the rating agencies adjusted Groupe BPCE's rating. Two of them, VE and MSCI, raised the overall rating, while the other two remained stable.

<https://groupebpce.com/toute-l-actualite/actualites/2020/msci-esg-research-releve-la-note-du-groupe-bpce-a-aa>

<https://newsroom.groupebpce.fr/actualites/progression-significative-de-la-notation-du-groupe-bpce-de-robust-a-advanced-decernee-par-lagence-de-notation-extra-financiere-vigeo-eiris-v-e-486-d-7b707.html>

<https://newsroom.groupebpce.fr/actualites/pour-sa-premiere-evaluation-par-cdp-le-groupe-bpce-obtient-la-note-de-a-lune-des-plus-hautes-du-secteur-bancaire-0ac1-7b707.html>

The following table shows the most recent assessments of the top ESG rating agencies.

Agency	Current rating	Previous rating
ISS ESG (formerly ISS Oekom)	C – Prime (2020)	C – Prime (2018)
MSCI	AA (August 2020)	A (2019)
SUSTAINALYTICS	64/100 – Average performer (2020)	65/100 – Average performer (2018)
V.E	60/100 – Advanced (2020)	57/100 – Robust (2018)
CDP	A- (first year)	

A REGULAR AUDIT OF CSR REPORTING AND PROCESSES

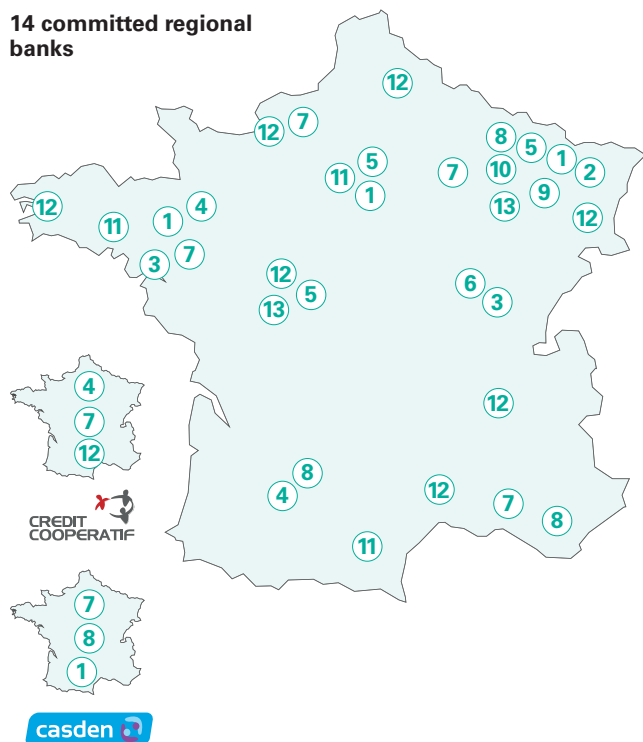
CSR has been an integral part of the multi-year audit plans since 2016. The Internal Audit teams of each Group institution regularly perform an audit of CSR governance, CSR reporting

and coordination of the CSR approach. Audit standards were addressed during a joint project by the CSR teams and the Group's *Inspection Générale* division and are regularly updated in line with regulatory changes.

MAP OF CERTIFIED BANQUES POPULAIRES

BANQUE POPULAIRE BANKS

14 committed regional banks



4 Lucie labels

1 AFNOR CRS committed label

2 banks with customer relationship quality certifications

3 BP sustainable product certifications

16 banks with environmental certification/statements

3 banks with responsible supplier relations labels

8 banks with gender equality certification

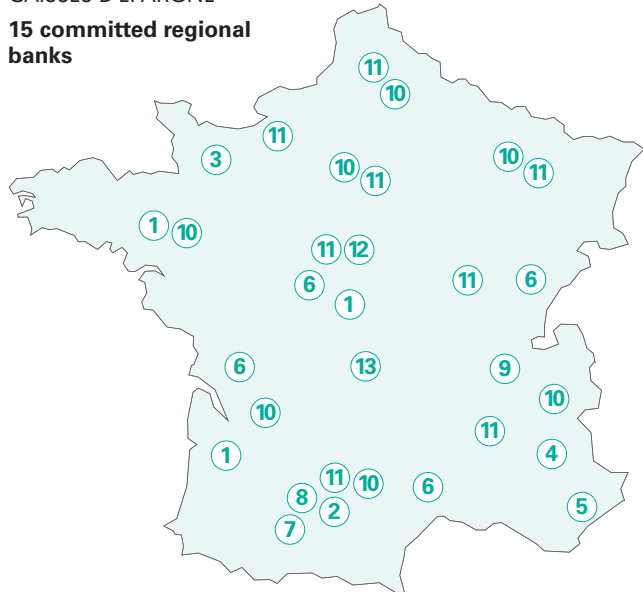
2 cancer@work labels



MAP OF CERTIFIED CAISSES D'EPARGNE

CAISSES D'EPARGNE

15 committed regional banks



Lucie label for **3** banks, AFNOR CRS committed label certification for **1** bank, and B-Corp certification for **1** bank (certification covering the CSR policy as a whole)

1 bank with environmental certification related to energy management (ISO 50 001) and **1** bank given a departmental climate plan award

4 banks with environmental certification: NF HQE / NF Office buildings (French standards) and **2** banks with real estate certification: HPE and BREEAM

7 banks with responsible supplier relations labels

8 banks with gender equality certification, **1** bank with Cancer@Work certification, and **1** bank with a Mixity diversity & inclusion endorsement



2.3 Supporting the energy, ecological and social transition in local regions

In 2017, in its strategic plan (2018/2020), Groupe BPCE adopted its first indicators related to responsible savings and the financing of the energy transition.

Three major objectives were included in this strategic plan:

- to reach €10 billion in outstanding loans to finance green growth by the end of 2020;
- to record €35 billion in responsible deposits and savings;
- to issue at least two sustainable bonds per year with its own assets.

This strategic plan came to an end on December 31, 2020. A final assessment of the achievement of the CSR objectives of the Group's core businesses can now be done.

- financing target: Growth steadily reached €11.35 billion, driven in particular by the renewable energy sector. Despite intense competition and the falling cost of facilities, demand for renewable energy structured finance is not slowing.

This approximately €10.4 billion exposure to these major projects is supplemented by the historical activity of financing the energy transition in retail banking. Groupe BPCE finances energy efficiency projects, including thermal renovations and low-carbon mobility solutions, for individuals, professionals and SMEs. As of the end of 2020, outstanding loans in this area amounted to €950 billion.

GREEN GROWTH FINANCING OUTSTANDINGS

Monitoring of Green Growth assets⁽¹⁾ in billions of euros

	12/30/2018	12/31/2019	12/31/2020	2019/2020 Change as a %
BP	0.6	0.5	0.5	(5.9%)
CE	0.5	0.5	0.4	(4.1%)
ENR	7.5	9.8	10.4	6.1%
TOTAL	8.6	10.8	11.3	5.1%

(1) Renewable energy loan outstandings + building energy renovation loans and environmentally friendly equipment loans for professional customers and SMEs + green car loans.

- Responsible savings: the objectives initially set were exceeded, mainly thanks to the standardization of SRI management.

The enthusiasm for responsible savings is also reflected in an increase in demand for savings accounts. The products distributed by Groupe BPCE's networks are growing by an average of 28% per year, confirming the appeal of these types of products. The next challenge is to adjust the range of solutions to address the issues at stake.

The first priority is to address the themes of re-use, which must correspond to:

- consumers' concerns, which are constantly changing;
- the major CSR priorities set by governments;
- banks' sales targets.

The second priority is to enhance communications on these products to bring them into line with the highest standards of transparency and impact acknowledgement. The identification and traceability of financing for the energy and ecological transition are crucial to achieving the targets set.

RESPONSIBLE SAVINGS OUTSTANDING

Financial and bank savings

	12/31/2018	12/31/2019	12/31/2020	Change (in %)
Resp. financial savings (SRI – sustainable ESG)	69.1	82.4	134.6	63.3%
Resp. bank savings (passbook savings accounts)	3.4	4.0	5.2	30%
Total Resp. Savings	72.5	86.4	139.8	61.8%

- Sustainable bond issues.

Between 2018 and 2020, Groupe BPCE issued two green bonds and five social bonds.

2.3.1 Integrating the fight against climate change and the preservation of biodiversity into our development strategy

Groupe BPCE is aligned with the goals of the Paris Agreement, which are part of the European Union's commitments to achieve carbon neutrality by 2050 and its ambition for greenhouse gas reduction by 2030, through the Green Pact.

Climate change creates risks, both physical and transitional, but also many opportunities. The recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) aim to bring together high-quality, consistent, useful and forward-looking data on climate-related financial impacts. This dissemination of information will give financial institutions a better understanding of the positive and negative impacts of their business on the climate, as well as a more accurate understanding of the climate risks weighing on their business and the opportunities afforded by the transition. Adoption of these recommendations by the greatest number of companies will lead to a more efficient allocation of capital and facilitate the transition to a more sustainable and low-carbon economy.

Groupe BPCE continues to take account of climate change and biodiversity as well as social, societal and regional issues and governance issues in all components of its business and all of the entities.

In 2020, Groupe BPCE took part in the movement to communicate its strategy and actions in favor of the fight against climate change by responding to the CDP questionnaire. <https://www.cdp.net/fr/responses?utf8=%E2%9C%93&queries%5Bname%5D=bpce>

In 2021, Groupe BPCE will publish its first TCFD report.

Groupe BPCE has developed analysis tools to support its clients and invested companies and analyze its portfolios, strengthen its climate governance, and raise awareness among teams.

INCORPORATE ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) CRITERIA INTO FINANCING ACTIVITIES

IN GROUPE BPCE'S UMBRELLA RISK POLICY

The Group's overall risk policy incorporates the consideration of ESG risks, particularly those related to climate change. This umbrella policy is applied in the banks and at the central level in sector policies. The consideration of climate risks is updated at each review of the Group's sector policies.

In sector policies

Since 2020, each sector in the Group's nomenclature has been subject to an analysis of ESG factors to identify high-stakes sectors.

This sector review of ESG risks was carried out by CoREFI (committee on non-financial risks, composed of the teams from the CSR BPA and Climate Risks department) in the first quarter of 2020. CoREFI has developed a sector rating based on ESG criteria, modeled on the ESG methodology described below. This rating was validated by the standards and methods committee. CoREFI's rating resulted a sector classification, which was then approved by the sector monitoring committee, valid in all Group banks.

Thanks to an ESG methodology

Groupe BPCE's Climate Risk division has developed an ESG methodology to integrate Environmental, Social and Governance criteria into risk analysis up to the granting of credit. This methodology was validated by the standards and methods committee on June 12, 2020. The methodology is suitable for sector policy analysis and can also be used for individual analyses.

It is broken down into five components detailed in the Climate risk section of Chapter 6 – Risk Management:

- a background note;
- recommendations and points of attention;
- information on adherence to conventions, national and international standards;
- a non-financial rating;
- taking into account the European Taxonomy, if possible.

IN THE ANALYSIS OF FILES

Retail banking: ESG questionnaire

An ESG questionnaire was developed by Groupe BPCE with the aim of collecting ESG information from SMEs and SMIs, in order to measure their level of exposure and maturity on these issues. Serving as a support for a strategic dialog, it aims to determine the needs of support in the transition and to propose adequate banking and insurance products. This questionnaire will also make it possible to integrate the ESG information collected into the credit granting process, in line with the risk policies that already include them.

The ESG questionnaire covers the three components: Environmental, Social and Governance. The questions were written so that they can be asked of all types of customers except individual customers (VSEs, SMEs, mid-sized companies, ESIs, non-profits, social housing companies and institutional investors, local authorities, etc.), at first contact with a new customer, at an Annual Meeting, or when a customer makes a specific request. The results of the ESG questionnaire are presented in the form of a summary sheet and an overall assessment, thus providing a quick overview of the client's ESG maturity as well as a sector comparison.

Given the cross-functional nature of the questionnaire, the Risk and Commitments, BPA CSR and Business Development departments took part in its construction, and a test phase was begun with pilot sites. The impact of Covid-19 has changed the initial schedule, postponing the end of the test phase to 2021. The pilots are ongoing, drawing on user feedback from the questionnaires. The roll-out period should take place in 2021, taking the pilots' suggestions for improvement into account.

Indicator: Number of institutions that have begun to integrate ESG criteria in their credit files" indicator makes it possible to monitor the deployment of the questionnaire in the BP and CE networks.

At the end of 2020, six of the Group's entities began to interview their customers or certain customer segments on ESG criteria in order to enrich their customer files.

CORPORATE & INVESTMENT BANKING: ESR SCREENING TOOL

Natixis is also working on a new system, called ESR Screening, adapted to its Large Corporate clients. This new system aims to systematically integrate the analysis of ESG risks into the systems for entering into relationships and granting credit, through a two-tiered mechanism:

- the first classifies customers in due-diligence categories according to their operating context, the maturity of their CSR risk management system, the controversies to which they may be subject, and the business relationship they maintain with Natixis;
- the second, focused on counterparties identified as the most sensitive, enables in-depth analysis of the most material ESG risks.

Launched in 2020, this system involves all business lines, the Risk division, compliance, and CSR, and is accompanied by significant training and acculturation work. It will be fully rolled out across all geographies in February 2021.

A POLICY FOR FINANCING AND INVESTMENTS IN SENSITIVE SECTORS

Natixis has set up a risk monitoring team to supervise policies in sensitive sectors. ESG principles are factored into all these policies and exclusion criteria apply. These policies cover the following sectors: coal, defense, tobacco, oil and gas. They are published on the Natixis website.

https://www.natixis.com/natixis/jcms/ala_5415/fr/gestion-des-risques-environnementaux-et-sociaux

Internal CSR policies also cover the nuclear, mining and metals and palm oil sectors.

Coal

In June 2019, then in October 2020, Natixis revised its coal policy by tightening its exclusion criteria.

Natixis has set up a timetable for the total phase-out of thermal coal with a deadline of 2030 for the activities of its customers in the European Union and within the OECD area, and by 2040 for the rest of the world. In addition, Natixis has committed to no longer support companies developing new coal-fired power plants or thermal coal mines.

Shale oil & gas

Natixis also made a commitment in May 2020 to no longer finance shale oil & gas exploration and production projects worldwide, as well as any company whose business is more than 25% based on oil & gas exploration and production using this technology.

In its project financing activity, regardless of its business sector, Natixis applies the **Equator Principles**. Since October 1, 2020, the launch date of the new "EP IV" amendment, Natixis has been implementing stricter assessment conditions, particularly with regard to respect for human rights and the analysis of physical and transition climate risks.

CLIMATE RISK ANALYSIS TOOLS

A new Clim'Ap tool

Physical climate risks were analyzed according to the geographical areas in which the Group's activities are located. The results show the heterogeneous nature of the impacts of climate hazards and a complex assessment of the economic players financed by the Group.

In 2020, a prototype called Clim'Ap was developed to assess the exposure of a geographic area, at the scale of a French urban area, to extreme climatic hazards that could affect economic players in the area considered.

The purpose of this tool is to provide the Risk and Commitments division, as well as the Development departments and business managers, with information on the degree of their clients' exposure to climate risks at the time of contact, as well as in the context of risk monitoring. In 2020, the tool was tested at the scale of an urban area in the Languedoc-Roussillon region concerning the risk of flooding.

The methodology and deployment are detailed in the Climate Risk section of Chapter 6 – Risk Management.

First climate pilot exercise

This is an unprecedented and ambitious exercise, carried out by the ACPR with the aim of raising the awareness of French banking and insurance institutions about the risks of climate change.

This exercise involves the Group for the banking part as well as its insurance activities, and is managed by the BPCE Risk division. The ACPR's results are scheduled for publication in April 2021.

The methodology is detailed in the Climate Risk section of Chapter 6 – Risk Management.

Regulation & taxonomy

Banking regulators and supervisors increased their consultations and publications on climate, environmental, and more general ESG matters in 2020. In France, the French Prudential Control and Resolution Authority (ACPR) published a report on "best practices in climate risk governance and management." At the European level, the European Banking Authority (EBA) and the European Central Bank (ECB) launched consultations, the first for its report on ESG risk management and supervision under Article 98(8) of the CRDV, and the second for its guide to climate and environmental risks.

Groupe BPCE took part in two market initiatives on the application of the Taxonomy:

- the European Banking Federation (EBF) and the United Nations Environment Program Finance Initiative (UNEP FI) launched a project to assess the extent to which the European Union taxonomy on sustainable activities could be applied to banking products. A working group of 25 banks, including Groupe BPCE, is involved in the project;
- the European Banking Authority's (EBA) recent work program on sustainable financing led it to develop a specific climate-related stress test. In 2020, the first step was underway, consisting of a voluntary sensitivity analysis focusing on transition risks. This sensitivity analysis will provide a better understanding of the vulnerabilities of European banking operators to these risks. The Group volunteered to carry out the analysis of its "large corporates" exposures.

Groupe BPCE is now preparing for application of the European taxonomy and is working on the integration of precise criteria and thresholds specific to the activities currently covered in the information systems used within the Group.

The regulations specific to the taxonomy and the methodology for these exercises are detailed in the Climate Risk section of Chapter 6 – Risk Management.

A FUNCTION AND TRAINING

Creation of a Climate Risk division in all Group entities

A Climate Risk division was organized in spring 2020, with one coordinator in each of the entities.

The role of the coordinator is described in the Climate Risk section of Chapter 6 – Risk Management.

Coordinators are informed through a monthly newsletter, quarterly events, and a national day, the aim being to harmonize practices while retaining flexibility in applying Group rules locally.

Climate Risks met for the first time in September 2020.

Employee awareness

This involves supporting employees in order to facilitate the integration of new concepts. The Climate Risk Pursuit is a variation of the Risk Pursuit, a quiz to raise awareness of banking risks, for employees of the Banques Populaires, Caisses d'Épargne, and subsidiaries.

This interactive training tool was developed by the Risk division in conjunction with the RB&I CSR division. This tool aims to raise awareness among all Group employees about climate risks and their impacts, and Environmental, Social and Governance issues. This fun, interactive training module is available on the Group's training platform. Training is mandatory for "material risk takers (MRT)." At December 2020, more than 18,000 employees had registered for this module, and nearly 9,000 had validated their learner status.

Further training on climate risks is being developed. As an online course, it will also be aimed at all employees and, more specifically, at the Risks and Commitments division.

INTEGRATING ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) CRITERIA INTO ASSET MANAGEMENT ACTIVITIES

SUSTAINABLE, RESPONSIBLE, CERTIFIED

Affiliates of Natixis Investment Managers (NIM)

NIM supports affiliates in the deployment of their ESG approach and, since 2020, has prioritized allocating seed capital to strategies incorporating ESG issues. Currently, about one-third of all seed capital is invested in ESG strategies. In 2020, NIM also launched a working group focused on ESG integration, co-led by Ostrum AM, allowing affiliates to share best practices.

NIM's affiliates offer a range of solutions based on the conviction that ESG criteria can play a significant role in identifying potential risks, seizing opportunities and generating returns for investors.

Three levels of application of ESG criteria are proposed according to the different strategies implemented by the managers:

- Responsible investment⁽¹⁾: inclusion of ESG criteria in research, without these criteria having a systematic impact on decision-making and investment strategies, and implementation of an active shareholding policy;
- Sustainable investment⁽²⁾: the investment strategy revolves around ESG issues, aiming to align values, financial outperformance, and societal impact through investment (for example: exclusions, best-in-class or best-in-universe strategies, or ESG-themed investment);
- Impact investing: strategy to address societal challenges, such as those defined by the United Nations Sustainable Development Goals.

In this section, only responsible and sustainable investments are mentioned. Impact funds are detailed in section 6.4.1 of Natixis' URD.

ESG CRITERIA: SUMMARY OF STRATEGIES IMPLEMENTED: RESPONSIBLE/SUSTAINABLE.

Company	Responsible/ Sustainable	Total outstandings in the portfolio (in billions of euros in 2020)	Total outstandings in the portfolio (in billions of euros in 2019)	Percentage of outstandings in 2020 Responsible/ Sustainable	Percentage of outstandings in 2019 Responsible/ Sustainable
Ostrum AM	Responsible/Sustainable	447.9 ⁽¹⁾	274.1	92%/21%	93%/24.3%
Mirova	Responsible/Sustainable	19.5	12.5	100%/100%	100%
DNCA	Responsible/Sustainable	26.3	22.3	100%/29%	71.7%/3.5%
Naxicap Partners	Responsible	3.8	3.6	98%	98%
Seeyond	Responsible/Sustainable	8.8	9.7	50%/10.4%	9.7%
Thematics	Responsible/Sustainable	3	0.6	100%/64%	100%
Ossiam	Sustainable	3.9	4.2	22%	18.3%
AEW Ciloger	Sustainable	33.9	31.6	51%/17%	16% of assets
Loomis Sayles	Responsible	284.2	N/A	100%	N/A
Vega Investment Managers	Responsible/Sustainable	9.6	N/A	28%/1%	N/A
Seventure Partners	Responsible	0.9	N/A	90%	N/A
Dorval Asset Management	Responsible	1.3	N/A	83%	N/A
WCM	Responsible	66.9	N/A	98.6%/0.01%	N/A
Harris Associates	Responsible	84.7	N/A	100%	N/A
Alliance Entreprendre	Responsible	0.5	N/A	82%	N/A
Flexstone	Responsible	6.9	N/A	29%	N/A

(1) After merger with LBPAAM.

(1) See section on "ESG analysis" in the 2019 non-financial performance statement.

(2) See section on "ESG integration" in the 2019 non-financial performance statement.

In addition, the funds can be certified.

Definition of certification: funds certified by recognized third parties: the French SRI Label, Greenfin, Finansol, Febelfin, LuxFlog ESG, Nordic Swan, EcoLabel, and FNG Siegel.

FUNDS CERTIFIED BY ASSET MANAGEMENT COMPANY AFFILIATED WITH NATIXIS INVESTMENT MANAGERS

Company	Amount at 12/31/2020 (in billions of euros)	Amount at 12/31/2020 (in billions of euros)	Change in 2019/2020
DNCA (Beyond range)	7.5	0.8	837%
Ostrum AM	42.6	12.9	230%
Mirova	15	8.9	68.5%
Ossiam	0.6	0.5	11%
Thematics	1.9	/	/
Dorval Asset Management	1.1	/	/
NIM Solutions		/	/

For Real Estate and Infrastructure affiliates, there are no labeled funds, so this category includes assets (buildings or infrastructure) that have received a GRESB assessment and/or have obtained an environmental certification such as BREEAM In-Use, HQE, etc..

AEW Ciloger, AEW Capital Management Vauban Infrastructure Partners

OSTRUM AM

The merger of Ostrum AM and La Banque Postale AM (LBPA) resulted in the creation of the European leader in interest rate and insurance management, with €447.9 billion in assets under management. For fixed-income management, Ostrum AM systematically incorporates ESG dimensions in its analysis whenever they are deemed material. Ostrum AM's responsible management approach covers 100% of emerging sovereign and developed countries and more than 90% of outstanding loans. This recognition is applied to €410 billion of assets under management, i.e. 92% of total assets.

In addition, Ostrum AM has implemented sustainable management for 21% of its assets under management, according to various strategies:

- Best in Class and Positive Screening: selection of the best rated issuers from an investment universe that excludes issuers with a high ESG risk profile;
- Best in Universe: selection of issuers from all sectors with the best ESG performance in the investment universe;
- Bespoke Strategies: strategies co-built with clients for their dedicated funds or discretionary mandates so as to match their ESG philosophy as closely as possible.

Thus, all equity portfolios receive an SRI scoring, and more restrictive management criteria are applied according to client guidelines.

Ostrum obtained SRI certification from two money market funds in 2020, bringing certified assets to 9.5% of total assets, with 25 certified funds.

At the end of 2020, Ostrum AM also managed outstanding green bonds amounting to €11.5 billion, through its funds and mandates, i.e. a doubling of its assets following the merger with LBPA.

LOOMIS SAYLES

A diversified American asset manager, it integrates ESG criteria into its fundamental research by modeling long-term business opportunities and challenges, identifying industrial and sector risks, and using various methods to assess the ESG issues of issuers (including engagement with corporate management teams).

Responsible investment management at 100% of their assets under management.

DNCA

As a leading player in the European equity management market, it uses a proprietary rating model developed in 2018, Above & Beyond Analysis (ABA) for its ESG analysis. This approach has been supplemented by a proprietary impact analysis model that seeks to generate significant and measurable positive environmental and social impacts, in addition to maximizing financial returns. For the time being, this impact assessment only applies to the management of the DNCA Invest Beyond Semperosa fund. Dedicated impact⁽¹⁾ reporting is published each year.

DNCA manages €26 billion, of which €7.5 billion are certified (i.e. 28% of assets under management). In 2020, DNCA obtained SRI certification for five new funds, and aims to have its entire offering (equities and bonds) certified by the end of 2021. DNCA won three awards at the "Responsible Finance Awards," rewarding the performance of its SRI approach.

MIROVA

As an affiliate dedicated to sustainable investment, last year it took another step forward in its specific positioning, focused on impact. In 2020, Mirova received the B-Corp label and changed its bylaws to become a mission-driven company, confirming its commitment to societal value as the core of its operations. Mirova systematically includes ESG criteria in its investment filters across all asset classes, representing €19.5 billion in assets under management, of which €15 billion is certified. The funds managed by the company are 100% SRI, and all of its portfolios are aligned with a 2°C warming trajectory, in line with the Ambitions of the Paris Climate Agreement.

Furthermore, in 2020, Mirova was honored twice at the thirty-fifth Corbeilles Awards: with the Gold Award, Asset Management company, and the Long-Term Award, Asset Management company. The awards distinguish those institutions whose funds achieve the best financial performance over time.

[1] <https://www.dnca-investments.com/fonds/dnca-invest-beyond-semperosa/parts/a-lu1907595398>.

VEGA INVESTMENT MANAGERS

Specializing in tailor-made management solutions for private investors, it has developed expertise in selecting funds using ESG criteria since 2018. The ESG Club manages this selection based on in-depth analysis of the responses to a questionnaire sent to asset management companies that declare they have integrated an ESG process. This SRI/ESG universe of open-architecture fund selection informs VEGA Durable, launched in October 2018 (wealth management funds of funds), and the SRI guidance mandates in personalized AM.

THEMATICS AM

This asset management company, dedicated to innovative thematic equity strategies, incorporates an ESG approach at all stages of its investment process across all its historical strategies, *i.e.* 64% of assets under management (€1.9 billion):

- definition of the universe: in addition to exclusions related to sectoral policies, exclusions specific to each thematic fund are also applied;
- selection: ESG risks are one of the four risk categories analyzed;
- share: positions are calibrated using thresholds that take ESG scores into account.

Following the merger of Ostrum with La Banque Postale Asset Management (LBPAM), Thematics manages two new, formerly Ostrum strategies, resulting in an increase in assets managed by Thematics to €2.98 billion at the end of 2020. An ESG specialist will join Thematics in early 2021 to strengthen the ESG approach on these strategies and the positioning on climate and collaborative engagement.

KEY EVENT 2020

Thematics AM obtains SRI certification for all its thematic strategies

Thematics AM has taken a new step forward in its commitment as a responsible company. In 2020, the portfolio management company was certified SRI for its entire existing range of global thematic strategies, namely these five funds: Thematics AI & Robotics, Thematics Safety, Thematics Subscription Economy, Thematics Water, and Thematics Meta, representing €1.9 billion in assets under management. SRI certification, awarded following a strict certification process conducted by independent organizations, is a unique benchmark for savers wishing to participate in a more sustainable economy and give meaning to their investments.

OSSIAM

This asset management company, specialized in the quantitative management of index funds and ETFs (Exchange Traded Funds), incorporates ESG criteria for €868 million grouped into five funds and one mandate (*i.e.* 22% of assets under management), of which €611 million in assets under management are SRI-certified, *i.e.* 15.7% of assets under management.

ESG (sustainable investment management) criteria are integrated into the strategies by implementing a combination of approaches:

- exclusions (controversies, tobacco, coal, etc.);
- best-in-class approach, which consists of excluding 30% of the securities with the lowest ESG scores for a given business sector;
- and an approach aimed at reducing the carbon footprint.

Any new strategy developed by Ossiam systematically leads to a review of its integration of ESG criteria, as additional market information.

To improve the transparency of information, in 2020 Ossiam increased the number of ESG indicators monitored in the portfolios and drew up ESG fact sheets that will be shared with clients from 2021. These sheets cover ESG issues, as well as, beginning in 2021, the alignment with a 1.5°C scenario, the portfolio's contribution to the SDGs, and the results of the votes and commitments by portfolio.

SEEYOND

As a specialist in active quantitative management, in 2020 Seeyond focused on the accessibility of non-financial raw data in order to integrate it optimally into its investment approaches. Seeyond has also strengthened the governance of ESG issues with the creation of a responsible investment committee. Since 2020, Seeyond has managed a second fund according to a eurozone equity strategy incorporating ESG (sustainable investment management) criteria. The addition of this new fund brings ESG-integrating assets under management to €920 million, *i.e.* 10.4% of total assets and 17.6% of outstanding equities.

DORVAL ASSET MANAGEMENT

A recognized player in flexible strategies and European equities, Dorval incorporates ESG criteria into all the investment processes of its open-ended funds, for which it was SRI-certified in 2020. Internal and external ESG research is integrated at several levels in the construction and management of the investment funds. Integrated into the macro-analysis and the sector approach, this research plays a part in defining the eligible investment universe, contributes to the construction of portfolios, and guides stock-picking around a proprietary non-financial rating methodology.

HARRIS ASSOCIATES

Harris Associates uses a bottom-up fundamental research process to identify companies that are trading at a significant discount to their estimated intrinsic value. As part of this process, all material risks and opportunities are taken into account, including ESG issues. These are taken into account in the estimation of intrinsic value and, where applicable, are discussed during the engagement with the management teams of the portfolio companies.

WCM

WCM has been methodically developing its ESG approach for more than ten years. WCM goes beyond the financial statements and takes into account industry-specific ESG criteria that impact long-term financial results. All funds incorporate these principles, and three specific ESG strategies were launched in 2020: two within mutual funds (non-US and emerging markets) and one as part of a global equity mandate.

NAXICAP PARTNERS

A French player in private equity, Naxicap Partners is involved in all business sectors, in LBO and development capital transactions. An ESG analysis is applied to portfolio companies in which the total amount invested exceeds €5 million, which represents more than 98% of assets under management. Pre-investment ESG analyses are mandatory, and are performed by external auditors who provide in-depth analysis of the main ESG issues aimed at defining the level of materiality and the action plan for the coming years.

SEVENTURE PARTNERS

As a private equity operator, Seventure Partners is aware of its responsibility in directing its investments towards projects, companies or sectors that present fewer ESG risks and that support the development of a more sustainable economy. Under the guidance of the ESG steering committee, ESG issues have been integrated into the investment policy, in particular by:

- defining a responsible investment policy excluding sectors with high ESG risks;
- systematically analyzing ESG risks prior to each investment and throughout the duration of the relationship;
- having a pragmatic approach to the ESG challenges and objectives of the investments in view of their size and development challenges;
- engaging in a systematic dialog on ESG with the managers of the portfolio companies.

FLEXSTONE

As a private equity operator, Flexstone relies on systematic formalized ESG analysis throughout its investment process. In 2020, Flexstone worked on the evolution of this ESG analysis grid by adding new indicators and taking account of priority SDGs when assessing each investment. Flexstone also published its first overall ESG policy in 2020 following the merger of its three entities^[1].

ALLIANCE ENTREPRENDRE

An expert in private equity for SMEs and mid-sized companies, Alliance Entreprendre takes ESG criteria into account throughout the investment cycle, depending on the materiality of the issues. The ESG assessment is presented to the Investment Committee and, when the situation allows, an ESG clause is included in the shareholders' agreements, including the commitment to send an annual assessment of the ESG indicators. Alliance Entreprendre's responsible investment policy applies to all assets managed by the asset management company.

VAUBAN INFRASTRUCTURE PARTNERS

As an affiliate specializing in infrastructure investments, Vauban's investments mainly concern the energy transition, social issues, mobility, and access to digital technology. ESG issues are systematically analyzed for all assets using a proprietary methodology, and this analysis is carried out in line with the SDGs.

AEW CILOGER AND AEW CAPITAL MANAGEMENT

AEW CILOGER, in Europe, and AEW Capital Management, in the United States, are asset managers specializing in real estate. During the acquisition phase for direct investments, ESG aspects are examined and discussed with the investment committee.

Before making any investment decisions, the investment team looks at:

- ESG strategy;
- certifications;
- renewable energy on site or renewable energy certificates purchased;
- risks relating to the water supply and water quality.

AEW CILOGER offers systematic integration of ESG criteria on 17% of its assets (€5.9 billion), and in 2020 it created an SRI module on the energy performance monitoring portal to track action plans for improving the ESG performance of all assets.

AEW CILOGER set up a working group within the French association of investment property companies (ASPIM) to create a real estate SRI label in France incorporating criteria covering all environmental, social and governance issues. After local work carried out in 2019, the certification resulted in a ministerial decree and was published in July 2020. In this vein, the SRI certification of two consumer funds is pending. It should take place at the beginning of the 2021 financial year.

To assess ESG performance, the AEW Capital Management securities team has developed a proprietary ESG rating system based on measurable environmental indicators, governance indicators and social performance assessed by third-party non-financial rating agencies.

AEW Capital Management acquired over US \$1 billion in gross property values in 2020, all of which include ESG analysis.

AEW Capital Management is committed to integrating the 17 SDGs into the activities of the entire company portfolio, to ensure that its ESG program contributes to a more sustainable world. This integration is monitored and measured by the ESG Committee and a third-party ESG consultant. The results are published each year in the sustainable development report.

NIM INTERNATIONAL

NIM International is a service and fund distribution platform, offering its clients a range of solutions combining the requirement of financial performance with robust non-financial analysis. The ESG approach is broken down according to the types of management activities: assets under management delegated to affiliates, assets managed by NIM Solutions, and tailored investment solutions (structuring activity).

For the management activity, NIM Solutions has developed a quantitative and qualitative internal ESG analysis methodology:

- definition of the investment universe, applying a quantitative filter;
- proprietary scoring to identify the best ESG funds;
- qualitative proprietary analysis (including ESG experience of the investment team, integration of ESG into the investment process of the underlying funds, and voting practices).

In 2020, NIM Solutions launched a range of three SRI-certified ESG funds of funds. This range gives clients access to all the socially responsible expertise of NIM affiliates in the form of funds of funds, whereas this type of offer is very rare on the market (only two funds of funds were previously SRI-certified).

For more information on the ESG policies of Natixis affiliates, please refer to Chapter 6.4.1.3, "Socially responsible investment," of the Natixis URD.

[1] In 2018, Flexstone Partners was created by the merger of three private equity houses: Caspian Private Equity, Euro-PE, and Eagle Asia Partners.

ECOFI

Ecofi – Crédit Coopératif's asset management subsidiary – is pursuing its commitment. In 2020, Ecofi strengthened its SRI process, applied to 100% of its open-ended funds, notably by:

- applying a new methodology for excluding controversial weapons, including seven new types of weapons;
- improving its coal policy by reinforcing the exclusion of companies involved in coal, from a maximum of 20% down to 10% of revenue;
- and including new criteria required by the AMF doctrine on SRI.

In 2020 Ecofi obtained the SRI Label for the *Epargne Ethique Monétaire*, *Epargne Ethique Flexible*, *Ecofi Agir pour le Climat*, and *Choix Solidaire* funds, following the EY audit process. Ecofi holds seven SRI-certified funds, if we also take into account the three funds already certified in 2019, *Epargne Ethique Actions*, *Epargne Ethique Obligation*, and *Ecofi Enjeux Futurs*.

Moreover, in 2020, Ecofi enhanced its monthly impact reporting model for all of its open-ended funds with an indicator on the alignment of portfolios with the 2° climate scenario by 2050.

After having created the first sharing fund in 1983, Ecofi is still involved in the management of solidarity funds with 17 Finansol-certified funds that invest part of their assets in more than 70 unlisted structures with very high social value.

Since June 2020, Ecofi has become a mission-driven company with four statutory objectives focused on social responsibility and the social and solidarity economy.

Palatine Asset Management (PAM)

Palatine Asset Management (PAM) has been committed to taking climate risks into account in its investment choices for

many years, anticipating the value of investing in sustainable (low-carbon) development models to combat global warming since 2005. Today Palatine Planète, which is continuing the work of Palatine Or Bleu (created in 2006 and focused on the theme of water), is open to all global issues and offers a more diversified portfolio.

In terms of management policy, PAM combines thematic investment and ESG analysis. Convinced there was an ecological and climate emergency, PAM invests in companies providing concrete solutions for another type of growth, companies whose approach to progress is in itself part of the solution. This is why it seemed obvious that the teams should develop SRI expertise in order to better identify risks and opportunities related to a security, but also address global warming (management of climate-related risks and contribution to the financing of the green economy, with the support of Trucost). PAM selects companies that seek to deliver long-term performance in the best interest of its clients: traditional fundamental analysis (strategic positioning, financial structure, quality of governance) is supplemented by our rigorous non-financial analysis, which relies on data from Vigeo Eiris and Ethifinance to refine the selection by ensuring that companies implement their strategy by mobilizing all their environmental and social resources in a responsible manner.

The SRI approach complies with the AFG-FIR Transparency Code and has been certified since 2009.

SRI management at PAM has accelerated since 2019, in particular with adherence to the United Nations Responsible Investment Principles (PRI) to reinforce our commitments in terms of asset management. Likewise, at the end of 2020 PAM established a coal policy to align its investment strategies with the Paris Agreements.

Palatine Asset Management managed €276 million in SRI assets under management at December 31, 2020.

GROUP BPCE OVERVIEW: CHANGE IN THE PROPORTION OF ASSETS UNDER MANAGEMENT INCORPORATING ESG CRITERIA INTO SUSTAINABLE INVESTMENT DECISIONS

Indicator (as a %)	2020	2019	2018	Change 2019-2020
NIM Affiliates				
Ostrum AM	21%	24.3%	21%	(13.5%)
Mirova	100%	100%	100%	/
DNCA	29%	3.5%	2.2% ⁽¹⁾	728%
Seeyond	10.4%	9.7%	7.2% ⁽¹⁾	6.7%
WCM ⁽¹⁾	0.01%	/	/	/
Ossiam	22%	18.3%	N/A	20%
Thematics	64%	100%		(36%)
Vega Investment Managers	1%	N/A	N/A	
Nim Solutions	9%	N/A	N/A	
AEW Ciloger	17%	16%	N/A	
Group's other management companies				
Palatine Asset Management	5.8%	3.5%	2.1%	65.7%
Ecofi	77.4%	73.4%	57.9%	5.4%

(1) First year of data collection.

EXCLUSION POLICIES

Exclusion policies of a societal nature: Natixis has adopted exclusion policies for sectors and issuers that do not respect certain human rights and fundamental principles of corporate responsibility. DNCA, Ostrum AM, Mirova, Seeyond, Thematics AM, Ossiam and Natixis Assurances, in particular, apply these policies to their management; this approach is fully in line with the fiduciary responsibility towards their clients. The following are excluded:

- controversial weapons;
- tobacco⁽¹⁾;
- companies deemed the worst offenders (companies that do not observe the principles of the United Nations Global Compact or the OECD Guidelines for Multinational Enterprises)⁽²⁾;
- Blacklisted countries (included on the FATF list or under US or European embargo).

VOTING AND ENGAGEMENT POLICIES

Voting and engagement policies

Ostrum AM, Mirova, Seeyond, DNCA, Thematics AM, Dorval and Ossiam have placed engagement with issuers at the heart of their responsible investor approach.

Ongoing constructive dialog is established with investee companies to encourage them to take better account of environmental, social and governance issues in their strategic planning.

Their voting and engagement policies are based on two complementary principles:

- individual ongoing engagement by using voting rights and maintaining dialog with issuers;
- collaborative engagement alongside other investors aimed at raising awareness of the importance of ESG among issuers, government authorities and regulators. In 2020, DNCA supported two new commitments related to climate change: CA100+ and the SBTi campaign of CDP, while Ostrum supported several new commitments on the traceability of livestock supply chains⁽³⁾.

Naxicap Partners

After performing pre-investment ESG audits, Naxicap Partners systematically includes an ESG clause in its shareholders' agreements. This clause includes a commitment by the company to implement a detailed action plan and provide regular information and responses to ESG questionnaires (120 indicators). Naxicap Partners works with the management of the companies in its portfolio to establish a plan to reduce greenhouse gas emissions and adapt to climate change. In 2020, Naxicap set up a CSR Committee to assess the degree of progress of the ESG action plans and the support needs of portfolio companies. This systematic and regular review of the portfolio aims to better target short- and long-term equities and to provide investment teams with ESG mapping of the companies in the portfolio. Depending on the results and where applicable, more operational support is offered to these companies, whether conducted by the Naxicap ESG team or by external service providers.

With regard to voting rights, the asset management company systematically participates in the General Meetings of companies in which the investment vehicles under management hold stakes. Failing that, it entrusts a proxy to other shareholders of the company for the purpose of representing it.

KEY EVENT 2020

Mirova and Ostrum call for a gender equality action plan

Mirova, Ostrum AM, Amundi, AXA IM, La Banque Postale AM and Sycomore AM, representing nearly €3,000 billion in assets under management, created the "30% Club France Investor Group" in November 2020, to promote greater gender diversity within the governing bodies of SBF 120 companies. The objective is to increase the representation of women on the SBF 120 governing bodies to at least 30% by 2025. The Club does not aim to impose mandatory quotas, but supports a voluntary approach aimed at achieving significant and lasting change within companies (dialog with the management bodies of companies, analysis of recruitment processes, use of voting rights to encourage companies to act when the measures taken are deemed insufficient).

ECOFI

The voting policy and dialog are central to Ecofi's responsible investment strategy; it has updated its voting policy with more stringent requirements in terms of ESG. As provided for by this policy, Ecofi has engaged in regular individual dialog with several companies involved in serious controversies that are considered to be emblematic for the energy transition. It also actively contributes to the shareholder coalitions it has joined to influence companies on the front line in terms of the energy transition.

Palatine Asset Management

Palatine Asset Management exercises its voting rights on all the shares held in the portfolio.

To this end, the asset management company has been relying since 2015 on the expertise of ISS (Institutional Shareholder Services Europe SA) to broaden its voting scope. During the financial year 2020, Palatine Asset Management exercised its voting rights at the General Meetings which concerned the whole of Europe excluding POA (Power of Attorney) countries. The objective is to promote best ESG practices within those companies in which the funds managed by Palatine Asset Management are shareholders in order to encourage these latter to adopt an approach of progress and responsibility.

The principles of this voting policy are available at www.palatine-am.com

[1] Except Seeyond and DNCA for their certified funds only.

[2] Except Seeyond and Thematics AM for their index funds only.

[3] <https://www.fairr.org/article/global-investor-engagement-on-meat-sourcing/>

INCORPORATING ENVIRONMENTAL, SOCIAL, AND GOVERNANCE (ESG) CRITERIA INTO PROPRIETARY INVESTMENT ACTIVITIES

BANQUES POPULAIRES AND CAISSES D'ÉPARGNE BALANCE SHEETS

BPCE is working with the Banques Populaires and the Caisses d'Épargne to align the management of bond portfolios with ESG criteria.

An analysis of bond portfolios has been offered by BPCE to institutions since June 2020. The purpose of these analyses is to provide institutions with information on the ratings assigned by a non-financial rating agency to issuers. This information enables institutions to manage their portfolios from an ESG point of view in addition to financial management and to be able to report on their integration of ESG criteria.

Based on data from a non-financial rating agency, a dozen portfolios of institutions have already been analyzed. The aim is to continue these analyses with voluntary institutions and to generalize the process in order to obtain a Group vision of all investment portfolios.

Secondly, it will be a question of having a vision of alignment of the portfolios with the Paris Agreements and of moving towards the objectives of the 2° trajectory.

The indicator "Number of institutions incorporating ESG criteria in their proprietary investment decisions" makes it possible to monitor the commitment of the Banques Populaires and the Caisses d'Épargne.

At the end of 2020, eleven institutions included ESG criteria in their analysis of bond portfolios.

NATIXIS ASSURANCES

Natixis Assurances monitors and reports the proportion of its real estate investments with an environmental label each year. At the end of 2020, 49% (by surface area) of real estate assets under management mandate were certified (HQE, BREEAM). In 2019, Natixis Assurances extended ESG integration to its real estate portfolio and ultimately aims to fully integrate ESG criteria. To this end, an energy convergence plan and continued certification of its portfolio assets will be implemented. Identifying, monitoring and managing indicators related to sustainable development are part of the asset acquisition policy. In addition to regulations, Natixis Assurances intends to contribute fully to the challenges of ESG for a sustainable city.

In 2018, Natixis Assurances made a proactive and concrete commitment to combat global warming by aligning its investment policy with the objectives of the 2°C trajectory set by the Paris Agreement. Each year, Natixis Assurances will devote nearly 10% of its new investments to green assets, with a target of 10% of its total investments being in green assets by 2030.

In 2020, Natixis Assurances achieved its target by October, and more than €880 million was invested in green assets during the year. With this policy, Natixis Assurances intends to encourage and favor economic stakeholders contributing to the energy and environmental transition. Its commitment covers all its investment portfolios (excluding unit-linked policies).

ALIGNING OUR BALANCE SHEETS WITH THE PARIS AGREEMENTS

BANQUES POPULAIRES AND CAISSES D'ÉPARGNE BALANCE SHEETS

Financing outstandings: use of the PACTA method

This year, Groupe BPCE launched a new initiative to measure the alignment of its portfolio with the objectives set by COP21, aimed at limiting the increase in temperature to two degrees by 2050. This work was carried out in collaboration with the think tank 2 Degrees Investing Initiative (<https://2degrees-investing.org/>) which developed the PACTA calculation engine (Paris Agreement Capital Transition) already used today by 1,500 financial institutions.

The methodology is applicable to the following six sectors: electricity production, automotive construction, mining, steel production and cement production.

The PACTA tool is based on the database built by 2 Degrees Investing Initiative which contains the production plans for 2025 and the technological mixes of more than 40,000 companies. By matching the lines of our loan portfolio to this database, we can calculate the technological mix of our portfolio in 2020 for each of the activities analyzed.

The change in the technological mix, resulting from the transfer made by our counterparties to less emitting technologies, is also calculated for a 2025 horizon. This technological mix is then compared with the scenarios defined by the International Energy Agency (IEA), which can be used as proxies for temperature increases by 2050. The calculation engine also makes it possible to compare, by technology, the alignment of the relative evolution of our portfolio with the market and with the IEA scenarios.

The PACTA calculation engine was installed at BPCE and integrated into a visualization tool to calculate the current alignment and technological mix, and will be extended in 2024 to each Group establishment.

The exercise focused in particular on electricity production, which represents a total of €14.88 billion, excluding structured financing, of which 71% was matched with the PACTA database. This sector is analyzed on the basis of the following underlying technologies: coal, oil, nuclear, hydroelectric, and renewable (solar and wind).

In 2020, after weighting by the technology mix of the PACTA database, 50.63% of our assets under management related to renewable technologies. This proportion, on a constant portfolio basis, remains stable in 2025 and brings our portfolio in line with the IEA's Beyond 2°C Scenario (B2DS), *i.e.* limitation of global warming to 1.75° in 2100.

NATIXIS BALANCE SHEET

Financing outstandings

The Green Weighting Factor (GWF) implemented in 2019 will enable Natixis to decarbonize its balance sheet and gradually align the impact of its financing with the objectives of the Paris Climate Agreement, *i.e.* a rise in temperatures of less than 2°C compared to the pre-industrial era. Natixis intends to achieve this long-term objective while continuing to finance all economic sectors, by increasing the proportion of green in its financing and by supporting the transition of its customers to less carbon-intensive activities⁽¹⁾.

The GWF rating methodology was finalized in 2019 for all sectors financed by the bank, except for the financial sector. Following on from methodological development and a proof-of-concept phase, the GWF was implemented in the

[1] See "Introduction of Green Weighting Factor in section 6.4.2.1.

bank's IT systems and integrated into the bank's processes throughout the loan value chain. The GWF is gradually being rolled out globally across all business sectors. As of December 31, 2020, the GWF tool is applied to the bank's entire balance sheet excluding the financial sector, *i.e.* outstandings in the amount of €154 billion, of which 70% had been rated.

Additional work is underway to translate the combination of balance sheet ratings derived from the GWF methodology into a temperature trajectory. Natixis is committed to using the GWF initiative to set climate impact targets for all its banking activities. The objectives in terms of climate impact will be set with different time horizons (short-, medium- and long-term) bank-wide, and for each business line in 2021.

Asset & Wealth Management: aligning investment portfolios

Several Natixis entities have also committed to aligning their investments with the trajectory of the Paris Agreement. NIM also helps its affiliates to better take into account climate issues in their strategies, in particular through a specific working group, co-led by Loomis Sayles, enabling affiliates to exchange best practices.

Ostrum AM

As the integration of climate issues is key for Ostrum AM, a review of the carbon measurement of the portfolios has been under way since 2019, and a new alignment methodology with the IPCC temperature scenarios was initiated in 2020, so it could report to its clients on the impact of their portfolio.

Dedicated training courses have been set up, and the climate theme is systematically incorporated into direct discussions with company management.

On open-ended funds (*i.e.* 13% of assets under management), the carbon intensity of Ostrum's portfolios amounted to 185.8 tCO₂eq per million euros of revenue at the end of 2020.

In addition, a TCFD report will be published in 2021.

AEW CILOGER

In 2017, AEW CILOGER calculated the carbon footprint of its portfolio of institutional assets in France, which equals 824 buildings. The international GHG Protocol method was used; the results obtained in terms of carbon intensity were 10.4teqCO₂/millions of euros and 28.3kgeqCO₂/m². Since 2018 this calculation has been carried out for two of our investors.

The average carbon emissions for the managed portfolio of buildings equipped with remote reading meters for 2019 are, by type, as follows: logistics 5kgeqCO₂/m², offices 12kgeqCO₂/m², shops 15kgeqCO₂/m².

Since 2018, reporting on climate risk and alignment with the 2°C objective has been carried out for several investors, using the Science Based Target (SBT) method. These portfolios are aligned with the objectives of the Paris Agreement.

To learn more about Natixis' affiliate alignment strategies, please refer to Chapter 6.3.2.6, Alignment with the Paris Agreement targets, in Natixis' URD.

KEY EVENT 2020

DNCA launches the DNCA Invest Beyond Climate fund.

DNCA places the climate issue at the heart of the management strategy of this SRI fund launched in April 2020, by applying a management methodology based on a two-tiered analysis:

- a transition analysis conducted on the way in which the company decarbonizes its own activities to reach a minimum trajectory of 2°C (carbon footprint on Scopes 1, 2 and 3, brown share of revenue, alignment of 2°C according to SBT);
- a contribution analysis to measure the positive contribution made by the company's products and services (green share of revenue, R&D spending or green capex, carbon emissions avoided).

DNCA Invest Beyond Climate meets the requirements of the Paris Agreements by excluding companies with a negative green contribution and limiting the share of companies without contribution to 30%.

ECOFI

Since October 2020, Ecofi has published the alignment with the 2°C climate scenario by 2050 for all its open-ended funds. The calculation methodology is based on the difference between the following two factors, provided by ISS ESG:

- the annual emissions of a company by 2050 (estimated on the basis of past emissions, adherence to the Science Based Target, and the quality of the climate strategy) with
- the carbon budget allocated to the same company for the 2°C scenarios (2DS), estimated on the basis of the sector budget

forecast by the International Energy Agency (IEA report: "World Energy Outlook") and recalculated on the basis of the company's market share in the sector.

The carbon emissions budget for each company is calculated through the allocation by sector and then by company according to market shares, based on the Sectoral Decarbonization Approach (SDA), developed by the Science Based Target initiative.

The percentage of aligned assets is included in the monthly impact reporting of all Ecofi open-ended funds and compared to the performance of the ESG universe for each fund.

SUMMARY OF METHODS ADOPTED

Company	Calculation method	Percentage of portfolio	Carbon footprint	Global warming scenario
Mirova	Proprietary model	All of its equity, bond, and infrastructure portfolios	Assessment of the carbon footprint	Global warming due to portfolio = 1.5°C
DNCA	Scopes 1 and 2 carbon footprint for portfolio companies tCO ₂ eq/€m of revenue	69% of portfolio	195 tCO ₂ eq per €m in revenues	
Naxicap	Initial estimate of the carbon intensity (Scopes 1 and 2) of portfolio companies tCO ₂ eq/€m invested	54% of the portfolio Net Asset Value	62 tCO ₂ eq per €m invested (based on 2018 data)	
Ossiam	Carbon footprint measurement TCO ₂ eq/€m of revenue	12.3% of assets under management	3 funds: 241 tCO ₂ eq per €m in revenues Mandate: 209 tCO ₂ eq per €m in revenues	
Ostrum	Carbon footprint measurement	Open-ended funds 13% of portfolio	185.8 tCO ₂ eq per €m in revenues	Methodology of alignment with IPCC temperature scenarios
ECOFI	Scope 1 and 2 carbon intensity (tCO ₂ eq/€m of revenue) Scope 1 and 2 carbon footprint (tCO ₂ eq* % of share capital)	The indicator is published for 100% of open-ended fund	For all open UCIs	Calculation of the percentage of assets assessed, as aligned with the 2° climate scenario by 2050
PAM ⁽¹⁾	Carbon footprint per €m in revenues held	48% of assets under management	48% of assets under management	Calculation of the green and fossil share of the three SRI funds – Trucost database
AEW Capital Management	SBTi: reduction of the carbon footprint – Scopes 1 and 2 (GHG, water, energy, waste)	44% of the US real estate portfolio		SBTi Method trajectory

(1) PAM: Palatine Asset Management.

Portfolios not listed above are not currently subject to a consolidated assessment in terms of their alignment with global warming scenarios or carbon footprint.

COMPLIANCE WITH INTERNATIONAL COMMITMENTS

Natixis' commitment to the Collective Commitment to Climate Action within the framework of the Principles for Responsible Banking (PRB)

As part of its commitment to the PRBs, Natixis joined the Collective Commitment to Climate Action of the United Nations, alongside 30 other banks, which defines concrete and time-bound actions to support the energy transition. Natixis then undertook to:

- align its portfolios to reflect and finance a low-carbon and resilient economy, necessary to limit global warming to below 2°C, by striving to reach 1.5°C;
- take concrete action within one year of joining and use its products, services and customer relationships to facilitate the economic transition needed to achieve climate neutrality;
- report publicly on its impact on the climate and the progress made in relation to these commitments.

The implementation of the Green Weighting Factor (GWF) will enable Natixis to meet these targets. It is a management tool that can be replicated by all banks wishing to engage in the transition of their portfolio. Natixis will gradually share it with its peers, notably with the banks committed to the climate brought together by the United Nations Environment Program Finance Initiative (UNEP FI), among the signatories of the Principles for Responsible Banking (PRB) [See Section 6.4.2.1 GWF: an innovative solution to greening the financing portfolio, in Natixis' URD].

Growing commitment of Natixis' management companies to the Principles for Responsible Investment (PRI)

Twenty-one affiliates of Natixis Investment Managers, jointly holding 93% of all assets managed by NIM affiliates, are signatories to the PRI as of December 31, 2020: AEW CILOGER, AEW Capital Management, Alliance Entreprendre, Dorval Asset Management, DNCA, Flexstone Partners, Harris Associates L.P., Investors Mutual Limited, Loomis Sayles, Mirova, MV Credit, Naxicap Partners, Ossiam, Ostrum AM, Seeyond, Seventure Partners, Thematics Asset Management, Vega Investment Managers, Vauban Infrastructure Partners, Vaughan Nelson IM WCM Investment Managers. NIM Solutions, a fund distribution and services platform, is also a signatory.

HIGHLIGHTS FOR 2020: MIROVA AND NATIXIS ASSURANCES NAMED LEADERS BY PRI

In 2020, Natixis Assurances and Mirova were named among the most advanced players in the field of sustainable finance. In 2020, the PRI identified a group of 36 leaders, composed of 16 institutional investors (4% of total PRI signatories) and 20 asset management companies (1% of total signatories), including Mirova and Natixis Assurances. This announcement rewards the work carried out by Mirova since 2016 on calculating the carbon footprint of its investments. For its part, Natixis Assurances confirms its status as a pioneer in terms of climate commitment. Its objective of devoting 10% of its investments to green assets was exceeded in 2019 and 2020: its investments amounted to nearly 15% in fiscal year 2020.

PROTECTING AND DEVELOPING NATURAL CAPITAL

CONSIDERATION OF BIODIVERSITY IN FINANCING

The Green Weighting Factor initiative, implemented since September 2019, now makes it possible to systematically assess the impact of financing on biodiversity in sectors for which this issue is material, as well as the impact of dedicated financing (project or asset financing) in Key Biodiversity Areas.

Natixis already incorporates an in-depth analysis of the impact on biodiversity in its project financing transactions, and will continue to take into account the challenges related to the preservation of natural capital in all of its activities in 2021.

In accordance with the the Equator Principles, Natixis requires its clients to study all the risks and potential impacts of their projects from an environmental, social, health and safety perspective, and to implement all the necessary means to minimize and correct potential impacts. Damage to biodiversity is an integral part of this vigilance.

Groupe BPCE's umbrella risk policy is applied in the banks and at the central level in the sector policies. These include a section dedicated to the impacts on biodiversity.

OSSIAM FOOD FOR BIODIVERSITY: LAUNCH OF THE FIRST EFT BIODIVERSITY FUND

Ossiam launched this strategy in 2020 which applies to the entire food sector including the entire supply chain, from agricultural products to restaurants. It focuses on the impact on biodiversity, by optimizing the Means Species Abundance (MSA) under minimum constraints of liquidity, diversification, and reduction of the carbon impact. The fund has a higher non-financial performance compared to the benchmark, with a lower biodiversity impact and lower GHG emissions.

The fund's assets amounted to US \$24.4 million at the end of 2020.

THEMATIC INVESTMENT IN NATURAL CAPITAL

Since 2017, Mirova has had a platform specializing in investment for the conservation of biodiversity and natural capital. Mirova is developing innovative investment solutions dedicated to mitigating and adapting to climate change, protecting territories, biodiversity, soils and maritime resources, with €510 million dedicated to natural capital.

The Land Degradation Neutrality (LDN) fund, developed by the United Nations^[1] and Mirova, invests in three key sectors: sustainable agriculture, sustainable forestry and, depending on the opportunities, other projects such as green infrastructure and ecotourism.

In 2020, the LDN fund continued to raise funds to reach \$140 million.

After supporting a first project in Peru in favor of agroforestry systems for small-scale coffee producers, three land restoration projects in 2019, Mirova invested in three new projects in 2020: a social enterprise that helps local populations to plant trees, an agroforestry project in Bhutan, and a sustainable forestry company in Ghana and Sierra Leone.

The LDN Fund has set itself the objectives of enabling, through its investments, the sustainable management of 500,000 hectares worldwide, the reduction of carbon emissions by 35 Mt, and the creation or improvement of jobs for more than 100,000 people.

Mirova's Althelia Sustainable Ocean Fund (SOF) invests in companies that harness the ocean's natural capital in a sustainable way, strengthen the resilience of coastal ecosystems, and are sources of sustainable economic growth. SOF is developing a mixed portfolio in the sustainable seafood, the circular economy, and conservation sectors. The fund focuses on emerging markets and small island states.

Launched in 2018, Mirova finalized the fundraising of \$132 million in 2020. The SOF is already involved in the financing of seven projects, in particular in 2020 the support of the development of Nextprotein (production of alternative insect-based proteins) or of Recycling Technologies (supplier specializing in plastic recycling technologies).

[1] United Nations Convention to Combat Desertification (UNCCD).

HIGHLIGHT: SUSTAINABLE AMBITION

In 2020, Natixis launched the first 100% sustainable Banque Populaire et Caisse d'Épargne campaign, *Ambition durable* (Sustainable Ambition), combining a green bond and the Water & Ocean index developed in 2019.

The Green Bond aims to finance green buildings and is directed towards loans originated by Groupe BPCE entities (development of new buildings or acquisition of existing buildings, renovation or improvement of energy efficiency).

The Euronext Water & Ocean Europe Index 40 is composed of 40 European companies selected for their contribution to the preservation of water resources and the oceans (equipment and services contributing to the resolution of water-related problems, reduction of pressure on water resources, management of water pollution risks).

2.3.2 Supporting our customers in the energy, ecological and social transition

The main challenge for a bank of Groupe BPCE's size is to be able to incorporate environmental issues into its customer relations. This is reflected in the definition of five action pillars:

- the development of a differentiating product and service offering;
- developing expertise, through training and partnerships;
- the establishment of an organization to support the development of green markets, with development plans in each of the priority markets, and a coordinated network;

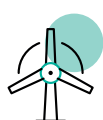
- an investment in data and management, in service of development;
- enhanced communication to promote the approach to customers and other stakeholders.

These pillars serve the identified channels and customer segments:

MATURE ACTIVITIES WITH POTENTIAL



Energy efficiency
in buildings



Renewable
energy



Sustainable
farming



Low carbon
mobility

CROSS-SECTOR ACTIVITIES



Energy management,
storage and transport



Blue
growth



Recycling
and reuse



Biodiversity

SUPPORTING HOUSEHOLDS

IN THEIR PROJECTS

Groupe BPCE supports its customers in their search for energy savings and responsible protection.

Financing energy renovation projects

Groupe BPCE works on a daily basis to enable its customers to take action to improve the energy efficiency of their homes. In 2020, the Group is the third largest contributor in France to the distribution of Eco-PTZ in France.

One in four individual Eco-PTZs is carried out by the Banque Populaire and Caisse d'Épargne networks. The Group also plays a major role in the renovation of condominiums, being one of the only two establishments, *via* Caisse d'Épargne Ile-de-France, to distribute the Eco-PTZ condominiums.

In addition to the Eco-PTZ, the networks distribute loans specifically dedicated to energy renovation work (PREVair for the Banques Populaires, Crédit Développement Durable Travaux for the Caisses d'Épargne).

The renovation offer of each of the networks will evolve in early 2021.

Insuring ecological projects

Through Natixis Assurance's expertise, the Multirisque Habitation policy for private individuals covers buildings with a "green" trend without additional premiums: timber frame houses, thatched roofs, as well as the coverage of renewable energy production equipment. In all plans, an "Ecologique A+" retrofit is planned for movable assets covered in the event of a claim.

In addition, policyholders benefit from support services to achieve energy savings, in particular by having access to a network of RGE certified craftsmen (Recognized Guarantor of the Environment: qualified professionals for energy renovation work).

Operational Liability and Professional Liability policies cover the financial consequences of liability incurred as a result of accidental damage to the environment (e.g. contamination of soil, water, and air; damage to protected species and habitats).

Supporting access to soft mobility

Groupe BPCE networks have adapted their offers to support the transition to soft mobility. The Multirisque Habitation contract offers an option to insure new means of urban transport: electric bicycle, electric scooter, gyropod, etc.

The new Auto Banque Populaire and Caisse d'Épargne products cover all types of "green" vehicles (hybrid, electric, LPG) and offer a specific price for electric vehicles (up to -30%) and small-wheeled vehicles (reduction of up to 10% if they travel less than 8,000 kilometers).

Finally, to encourage responsible behavior, an eco-driving course (fuel-efficient driving) is organized once a year.

Natixis Assurances is also committed to limiting the consumption of resources: when it comes to insurance of multimedia devices, Natixis Assurances favors repairs to replacement whenever possible. In the event of a replacement, the policyholder is offered a refurbished device rather than a new refit.

At the end of 2020, Natixis Assurances began a project on the use of re-used parts after a car accident, with the aim of developing, in 2021, a test in conjunction with the networks of experts, garages and scrap yard-recyclers.

GREEN FINANCING PRODUCTS MARKETING BY THE BANQUES POPULAIRES AND THE CAISSES D'ÉPARGNE: PRODUCTION

	2020		2019		2018	
	Number	Outstandings	Number	Outstandings	Number	Production
<i>in thousands of euros</i>						
Regulated green loans (outstandings in euros)						
PREVair (loans backed by LDD deposits) and CODEVair	79	574	158	1,483	242	2,463
Ecureuil Crédit DD (loans backed by LDD deposits)	2,549	30,741	3,237	37,814	3,141	32,052
Eco-PTZ (interest-free eco-loans)	9,361	106,767	6,705	78,368	4,354	62,727
Total green home loans	11,989	138,082	10,100	117,664	7,738	97,243
PREVair Auto (car loan)	1,510	25,182	1,955	28,327	2,100	28,284
Ecureuil Auto DD (car loan)	2,084	27,178	3,290	36,809	3,203	34,923
Total zero carbon mobility loans	3,594	52,360	5,245	65,136	5,303	63,207
PROVair	122	10,239	98	13,433	62	8,961
TOTAL GREEN FINANCING	15,705	200,681	15,443	196,233	13,103	169,411

This green financing only represents the share of specific financing distributed by Groupe BPCE. The Group is also supported through its "traditional" financing offer for home loans or consumer loans.

IN THEIR INVESTMENTS

Passbook savings accounts

CODEVair is a Finansol-certified product distributed by the Banques Populaires, aimed at encouraging customers to put their savings into the energy transition. Launched in 1999 by the Banque Populaire d'Alsace, it is now distributed by eight Banques Populaires and Crédit Coopératif. At December 31, 2020, assets under management amounted to €2 billion. The inventory amounted to 37,583 projects financed for €483 million, notably low-energy housing and clean vehicles.

The Compte sur Livret Régional (CSLR) passbook savings account, distributed by the 13 Caisses d'Épargne. Funds collected are used to finance local support and development initiatives. Each Caisse d'Épargne chooses to use the funds to finance digital development, healthcare or employment.

Outstanding savings in CSLR accounts total €2 billion, invested by 92,382 customers who can ask to be informed of the projects financed by their savings.

Crédit Coopératif, an expert in solidarity finance in France, has developed a range of products, AGIR, including a bank card and six solidarity savings accounts. The flagship product is the Livret AGIR, which donates 50% of accrued interest to one of the 25 beneficiary associations approved by the bank. In 2020, €2.6 million in donations were made via Crédit Coopératif solidarity-based products and Ecofi solidarity-based investment funds. With the Coopération pour ma région passbook savings account, savers can put their deposits to work in funding the social and solidarity-based economy in the region of their choice. The REV3 account is used to finance projects in the Hauts de France region that are part of the third industrial revolution.

RESPONSIBLE PASSBOOK SAVINGS ACCOUNTS

Production of responsible savings accounts <i>in millions of euros</i>	2020		2019		2018		Change 2019-2020	
	Number	Outstandings	Number	Outstandings	Number	Outstandings	Number	Outstandings
LDD sustainable development passbook savings account	277,007	1,408	293,138	1,347	304,616	1,269	(5.5%)	4.5%
CODEVair passbook savings account	10,757	627	9,608	587	8,871	687	12%	6.8%
Regional passbook savings account	19,684	848	17,009	613	12,422	422	15.7%	38.3%
Crédit Coopératif solidarity savings accounts	4,726	165	1,927	86	N/A	N/A	145%	92%

Off-balance sheet D&S

Groupe BPCE offers a wide choice of SRI funds through its Banque Populaire, Caisse d'Épargne, Crédit Coopératif and Banque Palatine networks. The development and management of these funds is carried out by various asset managers: Banque Palatine, Ecofi (Crédit Coopératif Group) and affiliates of Natixis Investment Managers (NIM). Among these affiliates are Ostrum AM, Mirova, Seeyond, DNCA, Ossiam and Thematics.

On the strength of these diverse areas of expertise, Groupe BPCE manages €134.62 billion in SRI funds at December 31, 2020.

SUPPORTING BUSINESSES FROM CRAFTSMEN, FARMERS TO MULTINATIONALS

IN THEIR INVESTMENTS

Bringing craftspeople and SMEs towards sustainable development: a challenge for competitiveness

In its loyal commitment to the SME and craftsmen market, Banque Populaire offers a special financing tool to aid them in their ecological transformation. This facility is used to improve the energy efficiency of buildings and manufacturing equipment. Beneficiaries can also address waste management problems or polluting discharges, or adopt renewable energy solutions. At December 31, 2020, 1,136 such projects had been financed for a total of €119 million.

The Professional Multirisk contract insures the premises of professionals and companies whose green electricity production equipment is attached to the insured buildings (wind turbines with power of less than 20kW and solar collectors with a surface area of less than 300 m²). The "damage to exterior fittings" option makes it possible to insure the same equipment even if it is not attached to the insured buildings.

Auto pro insurance (for professionals) also makes it possible to insure vehicles with a low environmental impact, such as electric vehicles, and rewards eco-responsible behavior. Carpooled passengers are automatically covered without the need to declare them.

In the agriculture-viticulture sector, the Banque Populaire and Caisse d'Épargne networks have set up service and financing offers for the agricultural transition to a more sustainable model, notably with counter-loans guaranteed by the European Investment Fund – INAF program (National Initiative for French Agriculture) as well as the regional offers Foster (Banques Populaires Occitane et Sud) and Alter'na (Banque Populaire ACA). 80% of these loans are guaranteed free of charge for the beneficiaries. In this way, €136 million were generated in projects promoting the installation and sustainable transition of operations, on the following themes:

- the development of additional revenues through the installation of renewable energies;
- strengthening quality channels and short supply chains;
- support for the transition to sustainable or organic farming;
- investment programs to reduce energy and/or water consumption.

Financing companies through "green bonds" and "green loans"

In 2020, Natixis arranged 34 green bond issue transactions, totaling €15.9 billion, confirming a solid position in this market, particularly in Europe.

Natixis acted as Sole Green Structuring Advisor and Joint Bookrunner for the Engie green bond, in the amount of €2.5 billion. The funds will be used for the production of renewable energy, energy storage, transmission and distribution infrastructures, energy efficiency, and CO₂ capture.

Since 2018, Natixis has developed green or sustainable financing (green loans or sustainable loans), in two forms: loans earmarked for the financing of environment-related projects (in the form of term loans called "green loans"), and syndicated loans backed by

ESG criteria (in the form of "Revolving Credit Facilities," or Green RCF, called "sustainability-linked loans" or "ESG-linked loans"). 31 transactions were completed in 2020. In addition, in 2020 Natixis organized two green REPOs for the first time.

KEY EVENT IN 2020: STRUCTURING OF A FIRST LOW-CARBON ALUMINUM FINANCING PLATFORM

Natixis is committed to extending the scope of sustainable finance to all financing instruments, including trading activities. Thus, Natixis supported Trafigura in the design and structuring of a first "Low-Carbon Aluminum" type financing platform of up to \$500 million. This platform was designed to meet the growing demand from downstream manufacturers for low-carbon aluminum and to help upstream producers accelerate their transition to low-carbon technologies.

The environmental transition of many industries will largely rely on the creation of a low-carbon aluminum value chain from extraction to end-use. This financing is the first step in this process, notably by mobilizing the key players in this value chain.

IN THEIR INVESTMENT OR DEBT ISSUANCE, INCLUDING GREEN AND SOCIAL BONDS AND EMPLOYEE SAVINGS PLANS

Groupe BPCE offers green index investment solutions for the professional, corporate, institutional, and social & solidarity economy markets of the Group's networks.

In particular, ECOtrésor is a debt security issued by Natixis CIB, indexed to the Climate Objective 50 Euro Equal Weight Decrement 5 index, and made up of 50 major equities in the Euro zone, selected for their commitment to the energy transition.

As part of diversification, this committed offer provides customers with a responsible and sustainable investment by meeting SDGs 13 – Measures to combat climate change and 7 Clean and affordable energy.

In addition, eco-responsible financial savings investment proposals enrich the investment universe of the B2B markets with a range of SRI/ESG funds and funds of funds.

To enable our clients in the professional, corporate, institutional and social economy markets to find a solution in terms of sustainable and responsible investments, Groupe BPCE provides a range of SRI-certified funds. This range draws on the expertise of Natixis IM's asset management companies by offering a variety of asset classes that meet ESG criteria.

RETIREMENT SAVINGS AND SOCIAL ENGINEERING

With the employee savings and pension plans offered by Natixis Intérépargne (NIE), employees of professionals, companies and institutions can benefit from investment offers that systematically include one or more ranges of ESG/SRI funds. Historically a player in this activity, NIE carries this commitment through its leadership position in these products and will continue to enhance ESG/SRI within its offers.

2.3.3 Supporting local regions in the transition

PUBLIC OPERATORS: LOCAL AUTHORITIES AND SOCIAL LANDLORDS

The Banques Populaires and the Caisse d'Épargne are major sources of funding for local authorities, social housing operators and structures in the social and solidarity-based economy.

Groupe BPCE is the leading financier of the social economy: non-profits, foundations, mutual insurers, social entrepreneurs and cooperative groups. Among the Banques Populaires, Crédit Coopératif makes a particularly substantial contribution to this field.

Meanwhile, the Caisse d'Épargne network is:

- the number one private bank in the social housing sector. It is also a social housing operator via the *Habitat en Région* network, which manages 290,000 housing units and 593,000 individuals. The Caisses d'Épargne are involved as partners in the governance of social housing landlords. They are on the Boards of one out of three organizations in France (public housing offices, social housing companies, cooperatives, non-profits, etc.).

In 2020, €2,714 million in loans were granted to social housing operators;

- a major partner of the public sector: €4,083 million in loans were granted in 2020 both for investment in the local public sector and public health and for their cash flow.

The Caisses d'Épargne are longstanding partners of local authorities and finance their investment projects. To better support them, Groupe BPCE regularly negotiates envelopes with the European Investment Bank (EIB) to be distributed on specific topics.

Thus, in 2021 Groupe BPCE will distribute a credit facility granted in November 2019 by the EIB: *Eau et Assainissement III*, in the amount of €150 million. This credit line will allow the Group to finance local authority investments in water and wastewater treatment, biodiversity, flood defense systems, and curbing coastal erosion.

Two new credit lines are being negotiated with the EIB for 2021:

- one is intended to finance investment projects in the energy efficiency of public infrastructure. Its estimated amount is €300 million in three tranches of €100 million;

- the other, for a projected amount envisaged of €80-€100 million over two years, is intended to finance local authority projects related to sustainable mobility, in equipment and infrastructure.

FINANCING FOR THE REGIONAL PUBLIC SECTOR, SOCIAL HOUSING, AND THE SOCIAL ECONOMY BY GROUPE BPCE

Indicators <i>in millions of euros</i>	2020	2019	2018	Change 2019-2020
Total annual new regional public sector loans	4,546	4,309	4,067	5.97%
Total annual new social housing loans	2,837	2,524	3,057	(17.42%)
Total annual new social economy loans	2,241	1,490	1,746	(14.63%)

LAUNCH OF THE IMPACT LOAN

In 2020, Caisse d'Épargne launched the Impact Loan, a new offer designed to promote the social or environmental commitment of its customers in the real estate and social housing sector. For each Impact Loan subscribed, the interest rate will be indexed to a non-financial social or environmental performance objective of its customers, and the bonus received may be paid back to a non-profit.

The first Impact Loan, in the amount of €25 million, was made on October 1 by Caisse d'Épargne Ile-de-France to the Régie Immobilière de la Ville de Paris, the second largest social landlord in Paris, with 60,700 housing units located mainly in Paris and the suburbs. Thanks to this innovative financing mechanism, it will benefit from an interest rate subsidy of 15 basis points (0.15%), once at least 20% of the housing units assigned annually from the approved housing stock are allocated to a priority public, as defined by the DALO Act⁽¹⁾.

The Caisse d'Épargne Ile-de-France and the Régie Immobilière de la Ville de Paris have jointly agreed to donate 50% of the subsidy to the Fondation Abbé Pierre.

FOCUS ON HEALTH ALLOCATIONS

As the leading private financier of the public hospital sector, the Caisses d'Épargne are mobilizing to meet the new challenges of the health crisis and are thus setting up a large-scale financial support plan for the public hospital sector with a special financing allocation of one billion euros.

Launched in May 2020, this support plan includes cash loans that can be mobilized within 48 hours, a medium- and long-term financing offer, and, finally, a credit solution for very-long-term investment needs over periods of up to 40 years.

FINANCING INFRASTRUCTURE AND TRANSITION PROJECTS, RENEWABLE ENERGY, AND MOBILITY

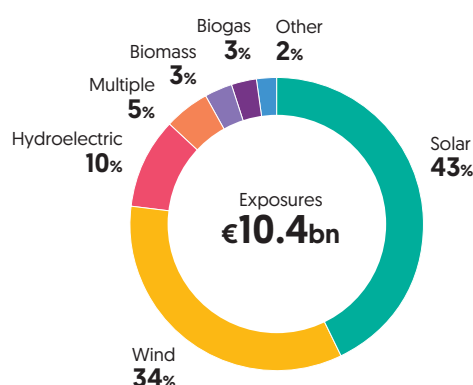
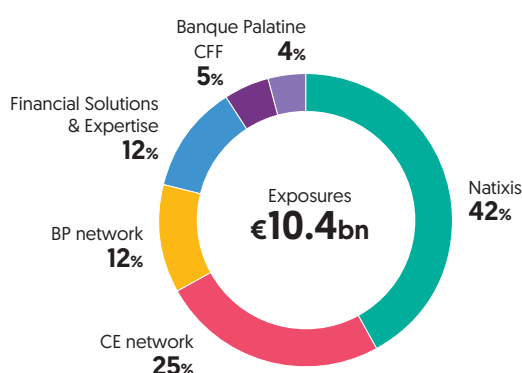
RENEWABLE ENERGY

Groupe BPCE is one of the leaders in renewable energy financing for all sizes of projects in France through its different entities.

The Banques Populaires and the Caisses d'Épargne are key sources of financing for local projects. The two networks draw

on the expertise of several specialized subsidiaries, such as Grand Ouest Environnement, Hypéria Finance and BPCE Energéco.

Groupe BPCE's renewable energy outstandings amounted to €10.4 billion as of September 30, 2020. The portfolio is concentrated on solar (43%) and wind (34%), and mainly in France (56%).



[1] DALO: right to housing.

Energéco

For over 15 years, BPCE Energéco has helped finance more than 4.8 GW in electricity and heat production from renewable sources. In 2020, it arranged financing for 31 deals representing

a total of €485 million. Located in France, most of these transactions will enable the installation of an additional 113 MW of power.

BPCE ENERGÉCO FLAGSHIP ACHIEVEMENT IN 2020

BPCE Energéco, in partnership with Hélia Conseil, a financial engineering structure created by Caisse d'Épargne Aquitaine Poitou-Charentes and Caisse d'Épargne Bretagne Pays de Loire, arranged the refinancing of the acquisition of 14 hydroelectric power plants located in the French West Indies, for the Valorem Group. This operation is helping to rebalance the energy mix in Guadeloupe, which is still largely dependent on fossil fuels. It also allows this operator, based in the Nouvelle-Aquitaine region, to assert its position as the leading producer of renewable electricity in the West Indian archipelago.

Crédit Coopératif

Crédit Coopératif is mainly active in the solar and photovoltaic segments, as well as hydroelectricity production, and has more recently extended its expertise to biogas and heating networks. In addition to financing renewable energy projects, Crédit Coopératif has positioned itself as a funder of the energy transition.

Crédit Coopératif participated in the financing of a portfolio developed by NEWHEAT of five solar thermal plants representing 28 MWthp for a total investment of €15 million. This financing operation includes the establishment of bank financing, as well as the participation of three regional energy transition funds as minority shareholders of the holding company grouping the projects: Terra Energies (Nouvelle-Aquitaine Region), AREC Occitanie (Occitanie Region), and OSER ENR (Auvergne Rhône Alpes Region). Thanks to this operation, we are supporting NEWHEAT in its ambition to massively decarbonize the heating sector in France. The power plants are expected to avoid around 2,925 tonnes of CO₂ emissions per year (i.e. 58,516 tonnes over 20 years).

Crédit Coopératif co-arranged, with Helia Conseil, the financing of the Bordeaux St-Jean-de-Belcier heating network as part of the "Bordeaux-Euratlantique" urban project promoted by the French government as a national interest operation.

The total amount of the operation amounts to €25 million and will make it possible to connect 800,000 m² of activities and 15,000 housing units through a network 19 km long and supplied by so-called "recoverable" energy, mainly from the treatment of household waste from the Bègles incineration plant.

The network will therefore be supplied 90% by renewable and recovered energy, making it one of the most virtuous heating networks in France. Thanks to this network, 8,900 tonnes of CO₂ per year are not emitted into the atmosphere, i.e. the equivalent of 350 Paris-Bordeaux round-trip flights per year.

Banque Palatine

Banque Palatine finances the construction of renewable energy production infrastructures: mainly solar photovoltaic and onshore wind.

This specialized financing activity represents an annual loan production of between €60 and €90 million, depending on the year. The projects financed are located in France, including Corsica and the French Overseas Territories, representing approximately 12 to 15 projects per year.

Banque Palatine is referenced with the main French sponsors (project leaders), in particular medium-sized companies in the sector.

The bank regularly uses synergies with the Group to increase its response capacity.

In line with its commercial positioning, Banque Palatine's strategy is to leverage its financing to provide its customers with global support, particularly in terms of interest rate hedging, documentary credits (for the purchase of equipment), and bank guarantees (under calls for tenders organized by the French Ministry for the Ecological and Inclusive Transition).

Today, the bank's renewable energy project financing portfolio represents approximately €200 million.

Caisse d'Épargne Provence-Alpes-Corse

CEPAC (Caisse d'Épargne Provence-Alpes-Corse) has been the main institution among the Caisses d'Épargne in this area since 2015. Through its action, it has become a recognized operator to local renewable energy players and major national developers in both wind and solar power. In 2019, CEPAC arranged and co-arranged a total of €667 million in transactions. In the first half of 2020, in the context of the Covid-19 health and economic crisis, the momentum did not slow down, as CEPAC arranged an additional €351 million in operations.

URBAN MOBILITY

An innovation facilitating urban mobility: deployment of contactless payment services

This service allows travelers to use their contactless payment medium in several forms (payment card, smartphone, connected watch, etc.) as the ticket to an entire mobility network. In doing so, it facilitates access to public transport, encouraging its use while giving the network a modern image.

Caisse d'Épargne relies on the electronic banking expertise of Natixis Payments (the payment operator of Groupe BPCE) in charge of transaction acquisition, and on Worldline's expertise in Open Payment.

The service was rolled out in 2020 with the Caisse d'Épargne Rhône Alpes on the Lyon Public Transport network (TCL): metro lines, tramways, buses, funiculars, and park-and-ride facilities.

With Caisse d'Épargne Provence-Alpes-Corse, Open Payment is also gradually being rolled out on the Aix-en-Provence bus network, with the aim of a roll-out to the entire La Métropole Mobilité network of the Aix-Marseille Provence metropolitan area.

SUSTAINABLE AGRICULTURE

With the aim of supporting the transformation process in agriculture towards a sustainable agricultural model that feeds the population with high volumes of high-quality food, preserves landscapes, biodiversity and resources, and also promotes decent working conditions and contributes to the health of the local economy, Banque Populaire launched the "Agri-Acting" movement in 2020.

The principle of the Agri-Acting movement is to bring value to farms, farmers and agriculture through the implementation of offers and services, such as the establishment of loans counter-guaranteed by the EIF (European Investment Fund) known as INAF (National Initiative for French Agriculture).

The Agri-Acting movement contributes to the preservation of resources by encouraging clean investments, the production of renewable energy (biogas, photovoltaic, hydraulic) as well as investments related to the limitation of energy consumption (fuel oil, electricity) and water.

The actions implemented consist of:

- Providing international experts, corporate partners, or webinars to support farmer clients in their transition;
- developing e-commerce advisory services for human resources development solutions (PEE) to address labor shortage issues;
- bringing financial and economic value to the farmer and the farm by developing Business Partner support and prescribing revenue development opportunities to our customers through partners;
- supporting agricultural start-ups, for example, through a partnership with CoFarming, a grouping of start-ups aiming to promote the digital transformation of farmers to improve the efficiency of supply chains and farms.
- organizing and communicating about the French national award for agricultural dynamics for 29 years, and this year, the bioeconomics trophy in partnership with the French Ministry of Agriculture and Food.

2.3.4 Groupe BPCE's response to its investors

ISSUANCE POLICY

Groupe BPCE's sustainable development bond program, initially published in 2018 and updated in April 2020, enables the issuance of green bonds and social bonds that align financing activities with the requirements and missions of sustainable development of our organization. The Group is also anticipating opportunities to broaden its current investor base by creating a scheme for investors seeking sustainable investment opportunities.

OBJECTIVES AND APPLICABLE PRINCIPLES

The Green Bond Principles "GBP" and Social Bond Principles "SBP," collectively referred to as "the Principles," are used to raise capital and invest in new and existing projects with environmental and/or social benefits. The GBP and SBP, published by the International Capital Markets Association (ICMA) Secretariat, are voluntary guidelines that promote transparency and disclosure and promote integrity in the

development of green bond and social bond markets by clarifying the approach to issuing those bonds.

These principles are intended to allow wide use by the market. They provide guidance to issuers on the main elements involved in the launch of a credible green or social bond; they help investors by ensuring the availability of the information necessary to assess the environmental or social impacts of their green bond and social bond; and they assist underwriters by moving the market towards expected disclosures that will facilitate transactions.

In addition to the Green Bond Principles (GBP), Social Bond Principles (SBP) and Sustainability Bond Guidelines, Groupe BPCE closely monitors any potential changes in the regulation of the sustainable finance market, constantly striving to comply with the best market practices. BPCE intends to align its framework document, as far as possible, with the European Union standard on green bonds, in order to comply with the recommendations of the European Commission.

Lastly, Groupe BPCE is aware of the preparation by certain market associations of green standards that will apply to specific financial products. This is notably the case of the European Covered Bond Council (ECBC) which intends to define energy efficiency benchmarks that will apply to mortgages included in the pool of covered bonds and define the scope of assets to be associated with a green Covered Bond.

Groupe BPCE has developed three types of bond programs:

- green bonds relate to environmental sustainability. The refinanced loans are expected to contribute to reducing the effects of climate change (CO₂ emissions) or other environmental challenges (e.g. sustainable agriculture, biodiversity, waste, water) through clean energy production, energy savings or other types of action;
- social bonds – Human Development respond to the challenges of social sustainability through contributions to economic systems that are essential for human development (education, healthcare, social inclusion, social housing) and that could potentially benefit people who live and work in areas or communities that are economically and/or socially disadvantaged;
- social bonds – Local Economic Development support the development and resilience of regions and communities by funding small businesses, SMEs, local authorities and non-profit organizations that seek to benefit people who live and work in areas or municipalities that are economically and/or socially disadvantaged.

ACHIEVEMENTS

After issuing its first Green Bond to finance renewable energy projects in December 2015, Groupe BPCE doubled down on its green bond activity with a new €500 million Green Bond issue in November 2019. This issue was a big success and was oversubscribed more than four times.

As part of its sustainability bond program, Groupe BPCE has also completed several issues in other formats referred to as Social Bonds (Human Development Bonds and Local Economic Development Bonds) in 2017 and 2018, where three issues were issued in this category.

In January 2019, Groupe BPCE issued a Local Economic Development bond for ¥50 billion (€404 million) on the Japanese domestic market.

In 2020, Groupe BPCE pursued its strategy of issues dedicated to sustainable development in the various markets, with the issuance in May of a Green Covered Bond, a first in this format, dedicated to the financing or refinancing of loans intended for the construction of highly energy-efficient housing. This issue of €1.5 billion aroused exceptional enthusiasm, as investors expressed their interest with an order book of €6.4 billion. Groupe BPCE was recognized for this emblematic program with the “Euro Deal of the Year” award given by The Covered Bond Report Awards for Excellence 2020.

Through its issuance policy, Groupe BPCE contributes to the development of responsible finance by constantly innovating and respecting its ESG commitments. Since 2015, BPCE SA has issued €5.4 billion in green and social bonds.

INVESTOR EXPECTATIONS

Investor expectations are growing in terms of companies' environmental and social responsibility. Their questions relate to the ESG policy of issuers and, in particular, their contribution to reducing greenhouse gases in the fight against climate change.

They call for the development and deployment of robust impact measures in order to establish a baseline for continuous improvement, so as to direct capital towards sustainable investments and thus contribute to meeting current challenges (e.g. climate change, poverty, access to health and housing).

2.3.5 Steering customers' deposits and savings towards a more responsible economy

SOLIDARITY-BASED SAVINGS ARE PART OF GROUPE BPCE'S DNA

The Banques Populaires and the Caisses d'Épargne are regional cooperative banks that channel most of their customers' savings and deposits into local projects.

Groupe BPCE is a leading operator in solidarity savings in France: it is the leading collector and manager, according to the latest Finansol professional survey.

<https://www.finansol.org/2020/09/10/zoom-finance-solidaire-2020-edition-en-ligne/>

At December 31, 2019, Groupe BPCE managed nearly 36% of total solidarity-based savings (€4.5 billion out of €12.6 billion).

OUTSTANDINGS OF SRI AND SOLIDARITY FUNDS AND FCPE SRI OR SOLIDARITY FUNDS MARKETED BY THE BP AND CE NETWORKS

<i>in billions of euros</i>	12/31/2018	12/31/2019	12/31/2020	Change %
Banque Populaire	2.1	2.5	5.8	132%
Caisse d'Épargne	1.1	1.5	4.6	207%

BANQUE POPULAIRE AUVERGNE RHÔNE ALPES CREATES THE ENERGY TRANSITION BANK

This structure, launched on September 15, 2020, is entirely dedicated to the collection of green savings and the financing of initiatives in favor of the energy transition in the Auvergne Rhône Alpes region. It is organized around a fundamental issue: guaranteeing the traceability of the use of green savings towards identifiable energy transition projects.

Its four strong commitments:

- traceability: the Energy Transition Bank guarantees the traceability of the use of green savings towards identifiable energy transition projects;
- territoriality: all programs financed by savings are located in the Auvergne Rhône Alpes region as well as Hautes-Alpes, Alpes-de-Haute-Provence and Corrèze;
- short financing circuit: the Banque de la Transition Énergétique (Energy Transition Bank) promotes links between savers and energy project developers in the Auvergne Rhône Alpes region;
- partnership approach: projects carried out in constant collaboration with all regional, private and public players in the energy transition.

This initiative will build on the strength of the Banque Populaire Auvergne Rhône Alpes network, which is already very involved in the financing of energy renovation and renewable energies with more than one hundred million euros in loans granted throughout its territory. A dedicated team of experts has been set up, as well as an Advisory Committee whose members are all players involved in the energy transition in the region; they will contribute their expertise to identify the financing needs of the sector and anticipate its rapid changes (storage, hydrogen, smart grids, eco-mobility, eco-construction, etc.).

The creation of the Energy Transition Bank, through its ability to collect green savings and the creation of a dedicated team, will greatly amplify this dynamic of taking environmental issues into account in the orientation of customer savings.

The use of the savings collected and the details of the projects financed are available on the website: www.banquetransitionenergetique.bpaura.fr

2.4 Being a responsible group in its internal and external practices

In 2020, Groupe BPCE continued its actions in terms of inclusive finance through several systems ensuring access to banking products and services adapted to the diversity of its customers' situations: the right to hold an account, a specific offer for

vulnerable customers (OCF), prevention of the risk of over-indebtedness, personal or professional microloan, accessibility for customers with disabilities, and banking services for protected persons.

2

2.4.1 Implementing banking accessibility

Firstly, Groupe BPCE banks implement the right to an account, which gives access to basic banking services (BBS), free of charge.

As such, at the end of 2020, 54,456 of the Group's customers were benefiting from this offer. This stock is comparable to that at the end of 2019 (53,375), indicating that the system is reaching maturity.

COMMITMENTS RELATING TO VULNERABLE CUSTOMERS

Because each individual may be faced with financial difficulties at some point in his or her life, several systems have been deployed within Groupe BPCE, in particular those dedicated to customers in financial difficulty.

Groupe BPCE banks identify their financially vulnerable individual customers on the basis of one of the following four criteria:

- Criterion 1: at least 15 incident or irregularity costs for three consecutive months and a maximum amount credited to the account during this three-month period, equal to three times the monthly net minimum wage;
- Criterion 2: at least five incident or irregularity fees during one month and a maximum amount credited to the account during this one-month period equal to the monthly net minimum wage;
- Criterion 3: for three consecutive months, registration of at least one unpaid check or a declaration of bank card withdrawal in the Banque de France file centralizing check payment incidents (FCC);
- Criterion 4: admissibility of an application submitted to an over-indebtedness commission pursuant to Article L. 722-1 of the French Consumer Code.

As of December 31, 2020, 588,445 customers of the Group were identified as being in a situation of financial vulnerability. To better support these customers, a training system (e-learning

and virtual classes) for advisors was renewed in 2020: 19,173 employees attended modules on the vulnerable customer offer (13,048 in 2019). In addition, 19 Banques Populaires and Caisses d'Épargne have a structure dedicated to the reception, treatment and monitoring of customers in difficulty (compared to just nine in 2019).

Identified vulnerable customers receive an offer in the mail to subscribe to the Vulnerable Customer Offer (OCF) and thus benefit from:

- a full range of daily banking services billed at a controlled rate of three euros per month;
- a cap on fees related to payment incidents and irregularities in the operation of the account set at €16.50/month;
- and the specific cap on service charges, per transaction, provided for in Article R. 312-4-2 of the French Monetary and Financial Code.

As of December 31, 2020, 132,898 Group customers had this offer.

Customers identified as vulnerable who do not wish to subscribe to the OCF nevertheless benefit from a ceiling on fees related to payment incidents and irregularities in the operation of the account, set at €25/month.

Since January 1, 2020, more than 112,700 vulnerable customers have benefited from a fee cap.

STEPPING UP THE PREVENTION OF OVER-INDEBTEDNESS

As part of the implementation of the Banking Inclusion and Over-indebtedness Prevention Charter, Groupe BPCE updated its predictive scoring tool in April 2020. On the Caisse d'Épargne side, the new score extends the scope of customers to holders of home loans and revolving loans. For both networks, a new predictive score will be put into production in 2021 to broaden the scope of customers to active customers and over a wider horizon.

HOW BPCE FINANCEMENT MANAGES THE FINANCIAL VULNERABILITY OF ITS CUSTOMERS

As a finance company and subsidiary of BPCE SA, BPCE Financement manages consumer loans (personal loans and revolving loans) for customers of the Banques Populaires and the Caisses d'Épargne.

As the third largest player in France (with 2.8 million customers), BPCE Financement has set up a specific process for managing customers identified as vulnerable by a predictive score.

The detection triggers contact by sending a paper letter inviting the customer to call BPCE Financement back, so that a telephone interview can be scheduled with the dedicated customer relations center, to provide an update on their situation. The interview makes it possible to rule out or confirm the customer's vulnerable situation and to propose appropriate solutions. (deferral of monthly payment, declaration of loss to insurance, adjustment of the BPCE Financement receivable, change in the date of withdrawal).

If necessary, BPCE Financement can also inform the customer of the existence of third-party non-profit organizations that can support it.

SUPPORTING PERSONAL AND PROFESSIONAL MICROLOANS IN PARTNERSHIP WITH SUPPORT NETWORKS

Partnerships with the networks

In 2020, Groupe BPCE remained the number one bank in France in personal and professional microloans with support, with nearly one-third of the market⁽¹⁾.

It confirms its position as the leading financier of the three major microloan support networks with €118.7 million disbursed or refinanced to 13,737 beneficiaries, thus testifying to very resilient operations, despite Covid-19. For other solidarity-based loans, which are not considered microloans due to their higher

amounts (the Lagarde Act should have a capital A of July 1, 2010 caps microloans at €46,000), the Group's market share is the same.

These loans qualify as solidarity-based loans because their approval is not based on standard bank scoring criteria, particularly for project sponsors who are out of work or cannot put up personal collateral. Financing is secured by appropriate financial support: interest-free loans, delegated public guarantees, reinforced advantages for specific groups (women, young people, residents of the city's political districts, etc.). Project leaders receive support provided by a solidarity financier in partnership with a Banque Populaire or Caisse d'Épargne.

SUMMARY OF MICROLOANS⁽²⁾ WITH GROUP SUPPORT

Type of loan <i>in thousands of euros</i>	New loans in 2020		New loans in 2019		New loans in 2018		Change 2019-2020 <i>(in %)</i>	
	Number	Amount	Number	Amount	Number	Amount	Number	Amount
Personal banking microloans	3,621	10,859	4,988	14,504	5,361	14,966	(27%)	(25%)
Personal non-banking microloans	1,944	7,060	1,545	5,138	1,787	5,705	26%	37%
Secured professional banking microloans, o/w guaranteed by France Active	2,110	79,104	2,242	74,050	2,407	71,749	(6%)	7%
Professional non-banking microloans	6,062	21,727	6,514	24,516	5,570	20,442	(7%)	(11%)
GROUPE BPCE TOTAL (CAISSES D'ÉPARGNE, BANQUES POPULAIRES, CRÉDIT COOPÉRATIF)	13,737	118,750	15,289	118,208	15,125	112,861	(10%)	0%

"NACRE" (NOUVEL ACCOMPAGNEMENT À LA CRÉATION ET À LA REPRISE D'ENTREPRISE OR NEW SUPPORT FOR THE CREATION AND TAKEOVER OF A BUSINESS) TOP-UP LOANS, SUPERVISED AT THE NATIONAL LEVEL BY BPI FRANCE

Issuing network <i>in thousands of euros</i>	New loans in 2020		New loans in 2019		New loans in 2018		Change 2019-2020	
	Number	Payments	Number	Payments	Number	Payments	Number	Payment
GROUPE BPCE TOTAL	287	9,328	547	20,440	1,109	40,019	(48%)	(54%)

[1] Sources: Report by the Fonds de cohésion sociale (social cohesion fund), Adie reporting, France Active, Initiative France and France Active disclosures on NACRE financing.

[2] Microloans: loans issued to borrowers in vulnerable situations covered by a guarantee and supported by a public interest organization. Caps on funds issued as established by the Lagarde Act of July 1, 2010.

TOP-UPS FOR START-UP LOANS PROVIDED BY INITIATIVE FRANCE

Issuing network <i>in thousands of euros</i>	New loans in 2020		New loans in 2019		New loans in 2019		Change 2019-2020	
	Number	Payments	Number	Payments	Number	Payments	Number	Payment
GROUPE BPCE TOTAL⁽¹⁾	5,001	395,312⁽²⁾	5,295	417,200	5,216	377,804	(6%)	(5%)

(1) Including the Caisses d'Épargne, the Banques Populaires, and Crédit Coopératif.

(2) 2020 estimates provided by Initiative France.

Sources: Report by the Fonds de cohésion sociale (social cohesion fund), Adie reporting, France Active, Initiative France and France Active disclosures on NACRE financing.

Contribution of the Caisses d'Épargne to microloans

In 2020, the Caisses d'Épargne continue to be a major player in personal microloans by developing innovative offers and supporting entrepreneurship through professional microloans. The Parcours Confiance associations and the Créa-Sol microfinance institute are dedicated to microloan subscribers. Fifty advisors are dedicated to this activity across France, alongside over 600 partners providing support for borrowers.

As part of the Caisses d'Épargne's 2018-2020 CSR & Cooperative Guidelines, they wanted to diversify their microloan offering for people with less access to traditional credit. The actions put in place in 2020 fully meet the objective of "co-constructing new solutions for financial inclusion."

In 2020, 3,294 personal microloans and 1,343 professional microloans were granted by the Caisses d'Épargne, as well as 444 microloans through Créa-Sol.

In partnership with Renault and the Action Tank Entreprises et Pauvreté (ATEP), more than 300 vehicles (final number to come)

were delivered to the beneficiaries of the "Mobilize" offer in 2020. This offer allows people in difficulty to access a new vehicle thanks to a lease-to-buy option financed by a microloan.

The Caisses d'Épargne have also developed so-called inclusive offers. Two pilots are being prepared to promote digital inclusion and promote zero-carbon mobility:

- in partnership with Orange, an offer of Internet access and equipment at cost price and free digital workshops;
- in partnership with Mobeflex and Wimoov, an offer facilitating the purchase of a second-hand electrically-assisted bicycle supported by a personal microloan.

At the national level, they are represented on the Steering and Supervisory Board of the Fonds de cohésion sociale (social cohesion fund) (COSEF). Internationally, they are involved with the European Microfinance Network (EMN), and Paris Europlace, which has dedicated a special group to the subject.

WOMEN ENTREPRENEURS, THE CHOICE OF THE CAISSES D'EPARGNE

In 2020, Caisse d'Épargne continued to implement the framework agreement (2017-2020) signed with the French government in favor of women entrepreneurs. It includes actions to support and promote business creation networks, whether specifically dedicated (Actionnelle, Les Premières, Force Femmes, ESSEC's *entreprendre au féminin* (entrepreneurship for women) program) or general: Boutiques de gestion-BGE, Initiative France, and France Active. The Caisses d'Épargne also grant a zero-interest loan to female entrepreneurs benefiting from the Fonds de Garantie pour l'Insertion des Femmes (Women's Integration Guarantee Fund) (FGIF). These commitments of the Caisses d'Épargne. Out of 408,748 professional customers, 138,090 are women, i.e. 34% of this market. Of these clients, 52% obtained a loan guaranteed by the French government. They also account for 48% of *Décollage PRO* loans granted via the aforementioned support organizations.

Contribution of the Banques Populaires to microloans

The local and regional Banques Populaires have long forged close ties with business creation support networks and economic organizations in their region, including Adie (French association for the right to economic initiative), Initiative France, France Active, Réseau Entreprendre, BGE (formerly Boutiques de Gestion), etc. In line with their entrepreneurial positioning, the Banques Populaires are focusing their actions on professional microloans.

In 2020, with 25% of the refinancing lines granted to 7,562 beneficiaries, the Banques Populaires remained the leading refinancing company for Adie microloans. They also provide top-ups to start-up loans requiring no personal

guarantees for young people, as set up by Adie. In addition to this financing, the Banques Populaires and their federation, the FNBP, are supporting the new online training program for young people, called *Je construis mon projet* (I'm building my project), which was launched at the start of the 2020 academic year. The Banques Populaires are also partners in the advertising campaigns set up three times a year by Adie and are involved in the organization of the Créadie Jeunes – Banque Populaire award, given in the regions and nationwide, in support of young entrepreneurial project leaders. The FNBP's Chief Executive Officer is a member of Adie's Board of Directors. This partnership and these actions are long-term and have lasted for more than 23 years.

2020 HIGHLIGHT: MOBILIZATION IN SUPPORT OF ADIE

The Banque Populaire network mobilized strongly in May 2020 to respond to the appeal launched by Adie (Association for the right to economic initiative), of which it is the leading financial partner, to support the recovery of entrepreneurs afterwards. the lockdown period: Banque Populaire contributed more than €1 million to the honorary loan fund and is the leading contributor to this plan. By mobilizing strongly, the Banque Populaire network confirms its commitment to the development of a sustainable and inclusive economy in the current crisis.

Promoting financial education: partnership with Finances et Pédagogie

The Caisses d'Épargne support the Finances et Pédagogie association, which is rolling out an educational program targeting priority groups. <https://www.finances-pedagogie.fr>

The objective is not only to provide support on recurrent topics involving money (managing a budget, relations with the bank, knowing how to talk about money, planning for life events, etc.), but also to address new challenges: digital money, sustainable development, professional retraining, setting up a business, sustainable consumption, etc.

The two lockdowns suffered in 2020 and the effects induced by the various partners weighed on its activity (-30% of interns) but resulted in a strong increase in its ability to train remotely, *i.e.* nearly 20% of its activity.

To face the current economic and social crisis, the association quickly redeployed to strengthen its remote intervention capacity, which represented 20% of its interventions at the end of 2020.

In addition, in order to facilitate access to the rights granted by the government mechanisms for combating the effects of the crisis, both for individuals and professionals, all branches are deploying dedicated information sessions for partners and target audiences.

Lastly, in conjunction with sponsors, collective information and support initiatives are being developed for people made vulnerable by the crisis.

Initiatives implemented and their results.

- In 2020, 2,292 sessions were held for 26,109 trainees. They included:
 - 10,471 young people from schools and vocational training centers;
 - 11,938 people receiving assistance from entities in the social and solidarity-based economy or other social organizations;
 - more than 499 social workers and volunteers, mainly from the Social Services divisions of associations, guardianship organizations and local governments.

All of these actions are concrete responses to the priorities of banking inclusion and the prevention of over-indebtedness. The initiatives take the form of workshops/training sessions that combine theoretical learning and practical experience:

- 36.5% covered everyday budgeting and money issues;

- 53% covered banking and payment instruments;
- and 10.5% covered issues related to credit, microloans and excessive debt.

Finances & Pédagogie works closely with more than a thousand different public, private and non-profit partners all around the country. This figure, an indicator of partner loyalty, is constant despite the uncertainties of the current year.

The association has set itself the goal of continuing and strengthening, in 2021, support for victims of the crisis, from individuals to entrepreneurs, by facilitating information and appropriation of government support mechanisms. It will also roll out programs for front-line players, particularly hospital staff. For more information: <https://www.finances-pedagogie.fr/les-formations>.

Finances et Pédagogie is also a partner of the FNBP, which financed in 2020, *via* its endowment fund, the training of around thirty "ambassador" employees in charge of vulnerable customers. The FNBP supported its work to help it create a new module for vulnerable customers at the professional level (and not just private individuals). This response anticipates the foreseeable repercussions of the health crisis for many professionals.

The association is a member of the Operational Committee for National Financial Education Strategy run by the Banque de France. Its educational materials are available on the Finances & Pédagogie website and are also published on the national portal "*Mes questions d'argent*" (My questions about money). It is also approved by the French Ministry of Education and has been designated a socially responsible company. Its key teaching materials are validated and incorporated in the educational library of the INC (French National Consumer Institute).

FACILITATING ACCESS TO OUR SERVICES FOR PEOPLE WITH DISABILITIES

Visually-impaired customers can receive account statements and check books in Braille on request. ATMs have been adapted for their use.

On July 1, 2019, BPCE Procurement renewed its nationwide master agreement with Delta Process to facilitate access to telephone banking for a period of three years. The contract provides for videophone interpreting services between bank employees and the customers concerned. They are available in all disability-accessible Groupe BPCE contact points (customer relations centers, branches and e-branches).

BRANCH ACCESSIBILITY

	2020	2019	2018	2017	Change 2018-2019
Percentage of accessible branches (2005 Disability Act) (in %)	100%	99%	87%	63%	14%

SECURING THE BANKING OFFER OF PROTECTED PERSONS

In France, 800,000 adults receive legal or social protection under a ruling by a guardianship judge. The extent of the measures that apply depends on the individual's degree of autonomy. This affects banks for the management of protected persons' bank accounts in conjunction with their legal representative.

The Caisse d'Epargne network is the leader in this customer segment with 312,000 protected adults at the end of 2020, representing a penetration rate of 39%. Spread across the country, there are 170 experts dedicated to protected persons offering solutions that meet their specific needs. Thus, during the lockdown of spring 2020, and to respond to the difficulties encountered by these customers, the network strengthened its offering of secure bank cards for withdrawals and payment.

Legal representatives can also access a range of services to help them manage the protected person's account. The Caisse d'Epargne also publish practical guides for representatives and legal guardians.

As the Group's number-two provider in this area, Crédit Coopératif serves 130,000 protected adult customers with services and management solutions dedicated to their situation. Crédit Coopératif maintains a relationship of trust with legal guardians and guardians' associations. It has extended its solutions by establishing a clear distinction between the services offered to guardians and those available to the adult customers. A specific customer onboarding charter has been drafted for protected persons. It is appended to the Agreement which governs all relations between the establishment and legal representatives, concerning the use of the services provided.

2

2.4.2 Respecting business ethics

THE GROUPE BPCE CODE OF CONDUCT AND ETHICS

Groupe BPCE adopted a "Group code of conduct and ethics" in 2018. It was reviewed by the Cooperative and CSR Committee then approved by the Executive Management Committee and the Supervisory Board.

<http://guide-ethique.groupebpce.fr/>

The Code is rooted in international values and standards, and provides a practical guide with clear illustrative examples. It includes a message from Executive Management and sets out

the Group's ethical standards in three areas: the interests of customers, employer responsibility and social responsibility, with practical business-oriented examples.

The Code applies to all members of staff in all Groupe BPCE entities. In view of its specific activities, Natixis also published a code of conduct in early 2018 – a master document setting out the main guidelines to be followed by employees in their relations with Natixis' stakeholders: its clients, teams and shareholders, as well as society at large.

https://www.natixis.com/natixis/jcms/rpaz5_65439/en/code-of-conduite

GUIDING PRINCIPLES

These rules of conduct are illustrated with real-life situations that may be encountered by any stakeholder, including employees, managers, directors and other parties. When contradictory influences are at play, it is important that employees have clear rules to help them make the right decision.

The Code of conduct and internal policies and procedures provide clear instructions on how to behave, but they cannot provide a solution for all situations. Members of staff must exercise their judgment to make the right decision, drawing on the principles set out in the Code of conduct.

If they have any doubts about what they are about to do, employees should ask themselves the following questions:



WHISTLEBLOWING

Groupe BPCE employees can use the internal whistleblowing procedures in place in all Group entities to report breaches of the rules before they become serious risks.

The Group protects whistleblowers. Under no circumstances may they be subject to any disciplinary action or legal proceeding, provided they have acted impartially and in good faith.

A dedicated e-learning training course to ensure that everyone is familiar with the principles of the Code has been developed and put online since the first quarter of 2019. This training was made mandatory for all Group employees and for all new hires within 12 months of their arrival. Thus, at the end of December 2020, nearly 92.7% of registered employees, including those of Natixis, had followed the training.

Another training course entitled "The Essentials of Ethics" completes the system; composed of skits illustrating specific cases of behavior to be prohibited, it was supplemented by three additional skits in 2020, bringing the total to 15.

Since the end of 2019, a "code of conduct" dashboard, covering the Group's scope, lists 36 indicators collected from all Group entities, and is presented twice a year to the Supervisory Board's Cooperative and CSR Committee (third edition, presented at the end of 2020). It collects data and information on the deployment of the system, incidents, disciplinary sanctions and types of breaches.

PREVENTION OF CORRUPTION

Groupe BPCE condemns corruption in all its forms (active, passive, influence peddling, facilitation payments) and in all circumstances. It is a signatory of the United Nations Global Compact, whose tenth principle states that "Businesses should work against corruption in all its forms, including extortion and bribery."

ANTI-CORRUPTION MEASURES

The Group's employees are required to comply with the internal rules and procedures that help to prevent and detect behaviors likely to characterize acts of corruption or influence peddling. These rules and procedures are intended to identify risky situations and constitute a system that aims to comply with the requirements introduced by Article 17 of the Act of December 9, 2016 on transparency, the prevention of corruption, and the modernization of the economy ("Sapin 2"). The prevention of corruption is part of the financial security mechanisms of the Group's activities, notably through:

- taking measures against money laundering, corruption (monitoring the transactions of "politically-exposed persons," considering countries at risk), and fraud;
- ensuring that employees observe the Code of conduct and professional rules of compliance and ethics by applying policies governing conflicts of interest, exchanges of gifts, benefits and invitations, confidentiality, and professional secrecy. Disciplinary sanctions have been defined for any failure to respect professional rules governing the activities conducted by Group companies;
- exercising due diligence when making contributions to political campaigns or to government agents, donations, patronage and sponsorship, or lobbying;
- supervising relations with intermediaries and business introducers via groupwide standardized contracts describing the reciprocal services and obligations, and committees for approving and contractually establishing compensation terms;
- a mapping of exposure to the risks of corruption in the activities of the Group entities, the methodology of which is being overhauled in order to improve its effectiveness;

- an entry-level policy with suppliers, based on a mapping of the exposure of purchasing categories to the risk of corruption, and rules for assessing suppliers, which are common to the Group's entities. This policy and the associated KYS system are implemented by BPCE Achats for Tier 1 suppliers (purchases over €50,000);
- regulatory training on professional ethics and the fight against corruption in the form of e-learning, mandatory for all new employees and, in 2021, for all staff. This training was enriched in 2020 to present concrete examples of behaviors likely to constitute acts of corruption;
- a system for collecting professional alerts is included in the internal regulations. Employees and external service providers have a procedure in place for implementing the whistleblowing system.

The Group also has a comprehensive corpus of standards and procedures setting out the rules governing the strict separation of operating and control functions, including:

- a tiered system of delegation of authority for granting loans;
- standards and procedures governing KYC and due diligence procedures used for customer classification and supervision purposes.

In the interest of organizing the internal control system, whistleblowing/detection tools and permanent control plans serve to bolster the security of this system. In 2021, the elements of this system will be explicitly flagged towards the risks of corruption identified by the business lines in the new risk mapping.

BPCE also has accounting policies and procedures in place in line with professional standards. The Group's internal control system for accounting information is based on a structured audit process to check the conditions in which such information is assessed, recorded, stored and made available, in particular by verifying the existence of the audit trail. This control system is part of the fraud, corruption and influence-peddling prevention and detection plan. In 2020, a Group repository of dedicated controls was formalized.

From a more general standpoint, these systems are formalized and detailed in the Umbrella Charter governing the organization of Group internal control and the Risk, Compliance and Permanent Control Charter. These charters apply to parent company affiliates and all BPCE subsidiaries.

FIGHTING AGAINST MONEY LAUNDERING AND PREVENTING FRAUD

Financial security covers anti-money laundering and terrorist financing (AML-TF) measures as well as adherence to international sanctions aimed at individual persons, entities or countries.

Groupe BPCE works to prevent money laundering and terrorist financing through:

CORPORATE CULTURE

Promoted across all levels of the company, corporate culture is built on:

- customer relations principles aimed at preventing risks, which are formalized and regularly communicated to the employees;

- a harmonized training program for Group employees, conducted at least once every two years, and specialized training for the Financial Security function.

ORGANIZATIONAL STRUCTURE

In accordance with Groupe BPCE's charters, each institution has its own financial security unit. Within the General Secretariat, a department is responsible for the prevention of money laundering and the financing of terrorism. It determines the financial security policy for the entire Group, establishes and obtains approval for standards and procedures, and ensures that money laundering and terrorism financing risks are taken into account in the Group's procedures for approving new products and services.

SPECIALIZED DUE DILIGENCE

In accordance with regulations, the institutions have largely automated means of detecting atypical transactions, adapted to their risk classification. Alerts are mainly handled by the networks, as close as possible to KYC. Those that are identified as giving rise to a doubt that could not be resolved are usually referred automatically to financial security, enabling it to carry

out, if necessary, the reinforced examinations and the necessary declarations to Tracfin (processing and action against illegal financial circuits) as soon as possible. The declarations are made in respect of money laundering or terrorist financing and/or tax fraud. The Group risk classification incorporates the issue of "at-risk" countries, whether in terms of money laundering, terrorism, tax fraud, or corruption, as well as the politically exposed status of the client or its beneficial owners, for legal entities. The transactions of high-risk customers are subject to particular vigilance. It enhanced its systems in 2018 with the introduction of a set of standards and automated scenarios tailored to the specific features of terrorist financing. With respect to compliance with restrictive measures related to international sanctions, Group institutions are equipped with screening tools that generate alerts on customers (asset freezes on certain individuals or entities) and international flows (asset freezes and countries subject to European and/or US embargoes).

SUPERVISION OF OPERATIONS

Internal reports on the prevention of money laundering and terrorist financing are submitted to company directors and governing bodies, as well as to the central institution.

ACTIVITIES IN 2020

In the area of international financial sanctions and embargoes, a central team has been set up to pool part of the processing of alerts on behalf of the Group's institutions and strengthen the effectiveness of the system. The Group has launched a program to update its knowledge of its customers according to the risks of money laundering and the financing of terrorism.

ANTI-MONEY LAUNDERING

EMPLOYEES TRAINED IN ANTI-MONEY LAUNDERING PROCEDURES

	2020	2019	2018	2017	Change 2018-2019
Percentage of employees trained in their entity's anti-money laundering policies and procedures (based on reports from the entities) ⁽¹⁾	99%	77%	79%	90%	28.6%

(1) Number of employees (on permanent, fixed-term or work-study contracts) who have received anti-money laundering training in the last two years.

FIGHTING AGAINST INTERNAL FRAUD

Groupe BPCE has set up a common system to combat internal fraud, non-compliance with internal regulations and breaches of ethics, in line with the Group's Code of conduct and ethics.

This system makes it possible to meet the requirements of the supervisory authorities and to pool the resources and work carried out by the institutions.

It is formalized in a framework procedure and consists of the following elements:

- requests for detection, in particular of potentially fraudulent transactions of which vulnerable customers could be victims, supplemented by additional sources for reporting alerts;
- a fraud management tool;
- awareness-raising and information tools (depending on their specific nature, the banks may implement their own awareness-raising actions);
- a training program;
- a psychological support system;
- a declaration and reporting system;
- anti-corruption measures.

CUSTOMER PROTECTION

Groupe BPCE protects its customers' interests by tasking committees with the approval of new products, services and sales processes and any upgrades. The organization and missions of the Group Compliance department in charge of the compliance of banking and insurance products and financial products are detailed in the section Non-compliance risks and security of Chapter 6 – Risk Management.

In 2010, Groupe BPCE introduced an approval procedure for new banking and financial products and services. This procedure is designed to manage the risks associated with the sale of products and services and the implementation of new sales processes (digitalization, etc.) and to take into account the regulatory requirements aimed at protecting customers' interests and personal data. The approval procedure includes contributions from the competent experts and business lines within BPCE. This procedure must be completed before the new product or sales process is presented to the Group's approval committees prior to marketing or development. The approval system was overhauled in 2020 with the holding of a first Market Validation Committee on September 18.

In terms of banking and insurance product monitoring, five committees were held in the fourth quarter of 2020: BTC daily banking, BtC (business to customer) loans, BtC bank savings, non-life insurance and BtB (business to business) banking products. The purpose of these committees is to constantly monitor the marketing of products throughout their life cycle in order to guarantee that the interests, objectives and characteristics of the customer initially targeted at the time of their approval continue to be duly taken into account.

Within the scope of investment services, BPCE's marketing process incorporates the obligations arising from the Markets in Financial Instruments directive and regulation (MiFID II), the Insurance Distribution directive (IDD) and the Packaged Retail Investment and Insurance-based Products Regulation (PRIIPs). Remediation has continued since the entry into force of these regulations. The governance and monitoring of products introduced by MIF2 and DDA resulted in the implementation of:

- a committee for the validation of model portfolios relating to financial instruments led by the Retail Banking and Insurance division (BPA): monitoring the performance of risky asset pockets, macroeconomic review, allocation analyses and outlook;
- a Product Governance and Supervision Committee working alongside manufacturers to exchange information between manufacturers and distributors, and to oversee complaints and the distribution strategy in line with sales reporting, product changes and investor protection, etc. For 2020, this committee met on October 2;
- providing customers with clear, accurate and truthful information.

The Group ensures it provides its customers with accurate information (in-branch displays; contractual, pre-contractual and commercial documentation; product subscription process). To this end, Groupe BPCE has a system for approving national sales material, which includes approval by the Compliance department, Legal department and Tax department, where applicable. Local communications are validated by the Group's establishments, which have at their disposal documentation listing the obligations in this area (standards and "essential" sheets).

Compliance is careful to ensure that sales procedures, processes and policies guarantee that compliance and ethics rules are observed at all times for all customer segments, and in particular that customers are given suitable advice with respect to their situation and their needs.

With regard to CSR offers (environmental products and solidarity and social products), the Group has set up a specific range of financial products. It should be noted that since 2018, several European consultations related to sustainable finance and the incorporation of ESG criteria (in particular in product governance but also in client advice) have been launched. The AMF has also drawn up doctrines: the Position recommendation 2010-05 updated in October 2018 and introducing an exemption from criterion No. 4 for products on ESG-themed indices; position recommendation 2020-03 details the information related to the consideration of extra-financial criteria that may be communicated by French collective investment schemes and foreign UCITS authorized for marketing in France (provisions set out in the various regulatory and commercial documents).

In 2020, as part of its banking inclusion policies, Groupe BPCE strengthened its support system for financially vulnerable customers, in accordance with the decree of July 20, 2020.

Employee training

Group employees regularly receive training on customer protection, the right to hold an account and vulnerable customers. Training on the Group's Code of ethics and compliance, entitled "Fundamentals of professional ethics", has been set up for all employees.

Supervision of sales challenges

Group Compliance coordinates the approval of national sales challenges, ensures that conflicts of interest are managed properly and guarantees that customer interests always come first. Local challenges are coordinated by local Compliance teams.

Addressing market abuse and financial activities

With the transposition of the Market Abuse directive and regulation, the Group began using a market abuse alert analysis and reporting tool covering the Banques Populaires, the Caisses d'Épargne and their subsidiaries. A virtual assistant helps staff members analyze alerts reported by the Group's information systems.

The Group's market abuse memorandum has been updated and compliance staff are given special training to enhance their skills and due diligence in the analysis of market abuse alerts.

Lastly, the SRAB KPI measurement methods (regarding the separation of banking activities) recommended by the AMF and ACPR were implemented throughout the Group.

COMPLAINT MANAGEMENT

The complaints handling process

Complaints are handled at three successive levels:

- level 1: the branch or business center in charge of the relationship;
- level 2: the Customer Relations department of the bank or the subsidiary if the complaint has not been resolved at level 1;
- level 3: the mediator, if the complaint persists despite the level 2 intervention.

The mediator is an independent body. It has its own website. A form allows clients to submit their requests for mediation.

All Groupe BPCE entities have a department that handles customer complaints.

The procedure for discussing or transferring complaints between the Customer Relations departments of Group institutions, and those of the subsidiaries, is organized to ensure that each complaint is addressed as quickly as possible.

Informing customers about the complaints handling process

Customers are informed of the complaints handling process and how to contact the bank:

- on the websites of the Group's establishments;
<https://www.banquepopulaire.fr/portailinternet/Editorial/Services/Pages/Exprimer-une-reclamation.aspx?vary=0-0-0>;
- <https://www.caisse-epargne.fr/bourgogne-franche-comte/service-relations-clientele-des-particuliers>;
- in fee guides;
- in the general terms and conditions.

Monitoring of the complaints handling process

This monitoring covers:

- the reasons for complaints;
- the products and services involved;
- processing times.

Key indicators are regularly submitted to Groupe BPCE bank directors, Internal Control departments and all sales structures.

Among the reasons for complaints, we monitor indicators that may reveal discrepancies between the service expected by the customer and the service provided, such as:

- information and advice 2.9% of complaints processed in 2020 and unauthorized transactions 0.8%⁽¹⁾.

These indicators are calculated as follows:

- number of "Information/advice" complaints processed in 2020 with a favorable response/Total number of complaints processed in 2020;
- number of "unauthorized transaction" complaints processed in 2020 with a favorable response/Total number of complaints processed in 2020.

In 2020, we continued to significantly improve our complaint processing times:

- 67% of complaints were addressed in less than 10 days.

The average processing time in 2020 was 10.3 days⁽²⁾.

	2020	2019	2018
Average processing time	10.3 days	13 days	16 days
% under ten days	67%	63%	60%

Analysis and use of information about complaints

Group entities analyze complaints in order to detect failures, shortcomings and bad practices.

This analysis allows them to establish corrective measures to be implemented with the relevant divisions.

The Group is working on developing research into the causes of complaints.

This continuous improvement process is also aided by customer comments shared through satisfaction surveys and observed by monitoring online and social media activity and customer opinions.

CUSTOMER SATISFACTION AND QUALITY POLICY

In 2019, Groupe BPCE committed to providing a customer experience aligned with the highest standards on the market.

The "simple and close" and "committed expert" program makes it possible to activate all the levers that promote the satisfaction of our customers in the daily use of banking, in physical, remote or digital mode, but also to offer personalized advice, accompanying the moments of life of our customers.

Customer satisfaction is measured using the NPS (net promoter score).

The Group uses customer surveys to help the brands – from the branches to the head office – effectively boost customer satisfaction on all markets.

These surveys allow us to contact all customers once a year and each time they are in contact with their advisor, enabling us to capture customer satisfaction in real time and make improvements to their mobile experience or their experience in

their branch or with their advisor. In total, nearly 20 million of our customers are surveyed on a full-year basis across all our markets. All members of staff can now access a mobile phone app that shows customer satisfaction levels in real time – the app records over 100,000 visits per year.

The year 2020 marks a very strong year of growth in our results, in a context of the health crisis that has impacted our customers and our establishments.

In the course of 2020, the retail market increased by six points for BP and four for works councils, allowing us to confirm that in a difficult context, our branches and our advisers provided a good level of service.

In the professional and corporate markets, our results jumped by around ten points for our two brands, revealing the appreciation by our customers of the solutions and service offered to them during this period.

Lastly, the changes since 2018 reflect the momentum initiated by the Group and its establishments, placing customer interest and service at the center of all its projects.

The detailed results of the actions carried out at the end of 2020 show the following progress:

- accessibility: +8 points for the Banques Populaires and +7 points for the Caisses d'Epargne;
- responsiveness: +6 points for the Banques Populaires and +3 points for the Caisses d'Epargne;
- change of advisor: +2 points for the Banques Populaires and +1 point for the Caisses d'Epargne;
- assessment of the advisor: +5 points for the Banques Populaires and +5 points for the Caisses d'Epargne.

(1) Improvements are being studied for 2021 to obtain a greater degree of precision on these indicators.

(2) Source: Complaint monitoring tools.

NPS PROGRESS

The Net Promoter Score is the difference between the number of promoters (score of 9 or 10) and the number of detractors (score from 0 to 6).

	Individual customers					Professional customers					Corporate customers				
	2020	2019	2018	2020-2019	2020-2018	2020	2019	2018	2020-2019	2020-2018	2020	2019	2018	2020-2019	2020-2018
Banque Populaire	+2	(4)	(10)	+6	+12	+7	(5)	(12)	+12	+19	+14	4	2	+10	+16
Caisse d'Epargne	(6)	(10)	(17)	+4	+11	+1	(7)	(24)	+8	+25	+9	0	(10)	+9	+19

INFORMATION SYSTEMS SECURITY AND DATA PROTECTION

Preventing risks relating to cyber threats, safeguarding the information systems and protecting data – in particular the personal data of our customers, employees and all our stakeholders – are key priorities and the focus of Groupe BPCE's concerns.

Trust lies at the heart of the Group's digital transformation, and it firmly believes that cyber security is essential for its businesses.

CYBER SECURITY STRATEGY

In response to the new challenges of IT transformation and to achieve the goals it has set, the Group has a cyber security strategy with four priorities:

- support the Group's digital transformation and growth:
 - raise customer awareness of how to manage cyber risks, and provide support,
 - accelerate and standardize security, personal data protection and fraud support in business projects with an appropriate level of security as part of a security and data protection approach from the design of new offers and new products,
 - improve the user experience in terms of digital security for both customers and employees;
- provide governance and observe regulations:
 - implement governance and a common reference framework for security matters,
 - strengthen and automate permanent controls,
 - define a risk appetite model for cyber risk management,
 - manage the risks brought by third parties (partners, service providers, etc.), including in terms of personal data protection;
- to continually improve understanding of the information systems' assets and improve their protection:
 - apply and reinforce security basics,
 - strengthen the protection of the most sensitive assets in line with the risk appetite model, and in particular data protection,
 - establish enhanced governance of identities, i.e. people (employees, service providers, partners, etc.) accessing its information systems and the authorizations assigned to them,
 - develop cyber culture within the Group, and the associated tools and methods for different target populations;

- continually improve its cyber attack detection and response capabilities;
- strengthen cyber security monitoring systems, particularly through the Groupe BPCE CERT⁽¹⁾.

IMPLEMENTATION

To accelerate its implementation, this strategy was included among the twelve components of the Tech and Digital Action Plan and received an additional budget of €16 million under this plan.

In 2020, despite the health situation, the deployment of this cyber security strategy continued at a steady pace through the following major projects:

- first implementations of the Identity and Rights Management (IAM) roadmap through a dedicated Group program whose objectives are to:
 - establish a Group database of individuals, applications and organizations,
 - implement Group IAM governance,
 - integrate, if possible, all the Group's applications in the IAM with an automated allocation of access rights and a consolidated view of rights;
- increased security of access to the Group's IS:
 - implementation and deployment of a single sign-on portal for Group employees, with a high level of security, while allowing a significant reduction in costs. At the end of 2020, more than 50,000 of the 100,000 employees used this portal for all their access,
 - generalization of strong authentication. At the end of 2020, more than 40,000 employees had a means of enhanced authentication (smartphone, biometrics, etc.);
- continued implementation of the Group Awareness Plan:
 - delivery of a new awareness-raising kit to all of the Group's establishments to host Cyber Security Month, comprising five educational videos, two podcasts, ten "Golden rules" sheets and a poster,
 - generalization of the operational deployment of the developer self-training tool for the development of secure applications without vulnerabilities. 690 developers, or 95% of the target, completed the entire self-training course,
 - conducting regular phishing awareness campaigns with Group employees. Nine campaigns conducted in 2020, each targeting between 34,000 and 48,000 employees,
 - development of customer awareness content, 29 frequently asked questions (FAQs) produced,
 - awareness of the GDPR Regulation followed by all new entrants. Specific training for project managers has also been rolled out within the central institution;

[1] CERT [Computer Emergency Response Team] or CSIRT [Computer Security Incident Response Team]: Alert and reaction center for computer attacks.

- acceleration of the Security Operations Center (SOC), organizational structure in charge of detecting, analyzing and processing cyber security incidents:
 - establishment of a team of experts called Ethical Hackers (Red Team) whose mission is to test the security of information systems. By the end of 2020, this team will have carried out a first appraisal mission on a complete application chain,
 - continued improvement of the collection of events in the centralized management of information and security events (SIEM). At the end of 2020, 67% of infrastructure equipment was covered, representing 175 billion events collected, and 98 detection scenarios had been defined and implemented;
- review of the Group's IT network security model:
 - implementation of a new "airport"-type network security model allowing, among other things, to control the compliance with the security requirements of equipment and users accessing IS, as well as finer, more precise and more agile protection of information system resources,
 - overall strengthening of the surveillance system using intrusion detection sensors;
- continuation of the mapping of the exhaustiveness of the Group's IS:
 - this mapping includes the private information systems of the institutions. To date, the ISS mapping is 84% complete for the 28 most critical business processes in a scope of 36 institutions;
- development of a new Group Security Master Plan for the period 2021/2024:
 - this master plan confirms the continuation of the structuring projects already under way and sets new ambitions through new projects,
 - like the previous one, this master plan aims to define the Group's cyber security ambitions and takes into account IT security, IT continuity and a strengthening of the data protection area;
- strengthening the fight against cybercrime:
 - in order to respond to the increase in reports of vulnerabilities by researchers and hackers on the Group's websites since 2019, Groupe BPCE CERT has set up a responsible disclosure service (VDP). This is a reward program for people who report bugs, especially those associated with vulnerabilities. This service, commonly known as Bug Bounty, is based on the platform of a major player in the field and makes it possible to supervise the reports of researchers. Sixty-eight alerts have been processed since the implementation of this system,
 - a tool for sharing indicators of compromise (IOC) between Groupe BPCE's CERT and the Group's SOC was rolled out in 2020. It improves responsiveness in detecting and blocking attacks,
 - Groupe BPCE CERT is strengthening its presence in TF-CSIRT, an organization that brings together European CERTs and CSIRTs, by moving to "accredited" status;
- strengthening the fight against external fraud:
 - implementation of a system to improve the detection of high-risk IBANs in remote banking in order to reduce fraud,
 - development of Fregat, the tool for collecting external fraud incidents (attempted and proven fraud) which will be put into production in early 2021. It provides a qualitative and quantitative view of fraud by both major categories and detailed fraud cases,
 - the program to combat check fraud is entering its final stage with the implementation of Community rules. However, developments will continue with the creation of a score engine developed to combat external fraud,
 - in order to meet the need for expertise in the External Fraud division, a Group training course will be offered in 2021 to all its players.

HIGHLIGHTS OF 2020: COVID AND CYBERATTACKS

The risks in terms of IT security related to the massive use of teleworking were assessed and resulted in a set of measures and systems, the main ones being:

- raising employee awareness of the cyber security risks associated with teleworking;
- accelerating the deployment of a unified remote access solution coupled with an authenticator to secure the connection (MFA);
- improved management of cybercrime services (monitoring, detection and response to incidents);
- the establishment of a weekly meeting between Groupe BPCE CERT⁽¹⁾ and SOC⁽²⁾ of the main IT systems;
- automation enhanced by SOC of IOC⁽³⁾ processing for preventive blocking (malicious domain names or email addresses);
- daily monitoring of fraud and remote banking operations;
- implementation of daily customer phishing indicators;
- support for return on site in terms of cyber risk (reinstallation of IT workstations, application of patches).

No major or significant cyber security incidents were reported in 2020.

[1] Groupe BPCE CERT: Distributed response team for cyber security incidents.

[2] SOC: Operational teams for the detection and response to IT security alerts and incidents.

[3] IOC: Compromise indicators; technical elements used in cyber security incidents or frauds.

PERSONAL DATA PROTECTION

The GDPR Project continued to disseminate the Personal Data Protection culture within BPCE, networks and subsidiaries.

The monitoring of this compliance with the General Data Protection Regulation (GDPR) continues to benefit from a high level of sponsorship, with the presence of three members of BPCE's CDG (General Management Committee) on the quarterly Executive Steering Committee.

A Group data protection policy has been put in place, setting out the standard organization, the roles of the various stakeholders, and the application of the main lines of the GDPR within the Group. Adoption of the tool DRIVE/ARCHER, also common to the security of information systems, the fight against cybercrime and business continuity, will make it possible to optimize the synergies between these different activities. From the first quarter of 2021, this tool will host the registers of each of the Group's entities, and will enable the formalization of GDPR permanent controls and the monitoring of the associated action plans.

The Group has also begun to comply with the new regulation on cookies, and the implementation of a consent for tracers justifying it.

The exercise of rights remains at a reasonable level with 625 requests across the entire scope excluding Natixis and its subsidiaries, including 200 requests for access rights and 227 rights of opposition in 2020. Portability rights are virtually non-existent. At the same time, 24 incidents requiring notification of personal data breaches to the French Data Protection Authority (CNIL) were identified, and only one case was the subject of a CNIL response.

The organization and missions of the Security department are detailed in the section – Non-compliance risk and security in Chapter 6 – Risk Management.

POLICY ON COMBATING TAX EVASION AND GROUP TAX POLICY

Groupe BPCE conducts most of its activities in France, under a regional cooperative business model. Through its subsidiary Natixis, the Group serves multinational enterprises and has thus established commercial operations all around the world.

Its presence in different jurisdictions is justified for such business reasons and not for the purpose of enjoying any specific tax advantages.

FISCAL PARTNERSHIP WITH THE FRENCH MINISTRY OF ACTION AND PUBLIC ACCOUNTS SINCE 2019

BPCE SA, acting on behalf of itself and its wholly-owned subsidiaries, signed the Tax Partnership with the Minister of Public Action and Accounts at its official launch on March 14, 2019. https://www.economie.gouv.fr/files/files/PDF/2019/Guide_ProtocolesQRV6.pdf

The "Tax Partnership" involves regular, transparent dialog with the tax authorities on a voluntary basis and is aimed at large corporations and intermediate sized enterprises, which are subject to frequent tax audits.

It allows the companies concerned to obtain a clear response from the authorities on complex tax matters that can cause financial or legal risk, in exchange for more transparency.

Groupe BPCE was the first bank to be admitted to this new system. To date, nearly 200 Group entities have joined the fiscal partnership, in particular all of the Banques Populaires and Caisses d'Epargne.

As a reminder, BPCE was a pioneer in this area in 2013 when it joined the experimental 'trusted relationship' scheme set up by the tax authority.

CREATION OF A TAX LIABILITY MAP WITHIN THE GROUP

France has stepped up the prosecution of tax fraud offenses by the law of October 23, 2018. The tax authorities now have the obligation to transmit tax fraud cases to the criminal justice system (when the amount of the increased duties is greater than €100,000 and applies the highest penalties). The criminal justice system can then prosecute without the agreement of the tax authorities and will be free to determine which persons are prosecuted (e.g. subsidiary, parent company, executives).

As part of the management of these risks, the Group has carried out tax liability mapping based on three actions:

- the development of a "fiscal responsibility" charter within the Group's various entities that would be signed by each person responsible for the tax position of the Group entity (CFO, Accounting Director, Tax Director, etc.);
- each entity would be responsible for its tax obligations and would undertake to put in place processes to control and validate tax treatments in order to avoid any risk of tax fraud;
- the implementation of delegations of authority or delegations of signature.

ESTABLISHMENT OF A FISCAL CODE OF CONDUCT

Groupe BPCE has drafted a fiscal code of conduct setting out the principles and general framework to be used as a guide to the Group's own taxation and the taxation applicable to its customers within their relations with the Group, as well as with the tax authorities.

This Code will be issued to all members of staff and will be applicable to all. This fiscal code of conduct will be available on the groupebpce.com website from the end of April 2021.

GROUPE BPCE TRANSFER PRICING POLICY

Groupe BPCE's transfer pricing policy observes OECD recommendations and does not give rise to indirect profit shifting.

The general underlying goal is for profits to be taxed wherever value is created, in line with OECD transfer pricing guidelines and with local tax rules.

Groupe BPCE applies the "arm's length principle" to ensure that the parties to intragroup transactions are paid the amount they would normally receive on the open market, that transfer pricing methods are applied consistently, and that transactions are performed responsibly and transparently.

Groupe BPCE prepares transfer pricing documentation for its intragroup transactions to comply with local transfer pricing documentation requirements in the countries where its entities are located.

TRANSFER PRICING TAX COMPLIANCE

French legislation requires the completion of several specific tax returns and disclosures on transfer pricing.

At the end of the 2020 fiscal year BPCE signed the new country-by-country statement for fiscal year 2019. This report was created for the implementation of Action 13 of the OECD called BEPS (Base Erosion and Profit Shifting) for a coordinated international approach to combating tax evasion by multinational companies.

The French General Tax Code requires the arm's length principle be applied to intragroup transactions.

Groupe BPCE entities are subject to regular tax audits during which the authorities review the compliance of its transfer pricing policy.

Financial institutions are also subject to specific annual reporting requirements (under the European CRD IV directive), calling for an itemized disclosure of corporate tax paid in all countries of operation. This report is included in Groupe BPCE's annual registration document.

MINOR COMMERCIAL BUSINESS IN NON-COOPERATIVE STATES OR TERRITORIES

Groupe BPCE conducts minor amounts of commercial business in Panama, Oman, Fiji, Vanuatu and the Bahamas, considered non-cooperative countries and territories.

Every year, the French tax authorities publish a list of non-cooperative states or territories pursuant to Article 238-0 A of the French General Tax Code. The latest list published per the decree of January 6, 2020 includes the following countries and territories: Vanuatu, Fiji, Guam, the US Virgin Islands, Oman, American Samoa, Samoa, and Trinidad and Tobago.

IMPLEMENTATION OF DIRECTIVE (EU) 2018/822 ON THE AUTOMATIC AND MANDATORY EXCHANGE OF INFORMATION IN THE TAX FIELD IN RELATION TO CROSS-BORDER ARRANGEMENTS THAT MUST BE DECLARED (KNOWN AS "CAR 6")

This directive requires any person who designs, organizes or markets a potentially aggressive cross-border tax planning scheme to declare it to the tax authorities of their country within a period of 30 days.

In practical terms, financial institutions must conduct due diligence to determine their obligations when acting on their own behalf or for their clients.

This new reporting obligation, applicable from July 1, 2020, has been postponed for six months due to the Covid-19 crisis.

The Group has developed a general methodology for applying the rules laid down by this regulation for Groupe BPCE establishments located in France.

FINANCING OF PUBLIC LIFE AND REPRESENTATION OF INTEREST

FINANCING OF PUBLIC LIFE

Groupe BPCE does not directly support any specific political party, whether in the form of donations, sponsorship or any other means. The Group respects strict neutrality in political matters. On the other hand, as a leading banking player in France, Groupe BPCE institutions contribute to the financing of public life, in accordance with the strict legislative and regulatory framework existing in France in this area, and in compliance with the rules on KYC, Anti-Money Laundering (AML), and Politically Exposed Persons (PEP). Its involvement is therefore at two levels:

As account keeper: the Group's institutions comply with the obligations of Articles L. 52-6 and L. 52-6-1 of the French Electoral Code, which stipulate in particular that any fiscal agent appointed by their candidate during an election campaign is entitled to open a campaign account, and to the necessary means of payment as supplied by the bank keeping the account. This principle is applied directly by the banking institution when it has accepted the opening of an account, or as part of a forced Banque de France procedure. As a reminder, the control of this right to hold an account is ensured in France by the ACPR (French Prudential Control Authority). Finally, it should be noted that the accounts of the proxy holder at the end of the election are appended to the candidate's campaign account, which will ultimately be submitted to the control of the National Commission for Campaigns and Political Financing (CNCCFP);

As a provider of financing: *via* loans granted to candidates who are natural persons who have applied to the institution. These loans are granted in accordance with the rules in force in banks, in accordance with national and European legislation and regulations. In this respect, as with all loans, our institutions apply a risk and responsible lending policy, combined with an analysis of the borrower's creditworthiness, its personal ability to repay and a guarantee (personal or third-party, real property, pledging of securities, borrower insurance, etc.). In addition, due to the specific nature of the financing, the institutions also take into account the expenditure ceiling, as well as the uncontrollable risk of invalidation of campaign accounts and non-reimbursement to the candidates concerned of a portion of the costs by the French government. Lastly, as with account management, institutions ensure compliance with anti-money laundering and Politically Exposed Persons (PEP) rules.

Lastly, Groupe BPCE is in constant contact with the mediation of loans to candidates and political parties set up by Article 28 of Law No. 2017-1339 of September 15, 2017, for Trust in Political Life.

REPRESENTATION OF INTERESTS

As a cooperative bank committed to serving its customer-shareholders, in the very heart of the regions, Groupe BPCE's institutions intend to make a constructive contribution to the public debate by providing decision-makers and civil society with information on socio-economic changes at the regional, national or international level, as well as in the banking sector and its developments. BPCE's objective is to actively contribute to the space for reflection and to participate as a stakeholder in collective, fair and informed decision-making. Groupe BPCE's lobbying initiatives are therefore strictly within this framework. In terms of lobbying, in addition to respecting its ethical rules and its cooperative values, BPCE applies all the regulations in force, as well as all the codes of ethics with which its public contacts, and the various financial market associations of which it is a member, are required to comply.

In addition, in France, BPCE is registered in the "AGORA" Lobbyist Register, in accordance with the legal obligations arising from Law No. 2016-1691 of December 9, 2016, Regarding Transparency, the Fight against Corruption, and Modernization of Economic Life, as well as the directives of the High Authority for Transparency in Public Life (HATVP). In this context, BPCE reports its actions, commitments and expenses to the HATVP with the information required by law. <https://www.hatvp.fr/fiche-organisation/?organisation=493455042>

Lastly, at the European level, BPCE is also listed in the European Commission transparency register. As a reminder, this register is a database that lists organizations that attempt to influence the law-making and policy implementation process of the EU institutions. <https://ec.europa.eu/transparencyregister/public/consultation/displaylobbyist.do?id=179370613236-62>

DUE DILIGENCE OBLIGATIONS

REGULATORY FRAMEWORK

Law No. 2017-399 of March 27, 2017 Duty of Care of Parent Companies and Ordering Companies applies to BPCE. This law requires the establishment and implementation of a vigilance plan aimed at identifying and preventing the risks of serious violations of human rights and fundamental freedoms, the health and safety of people, and the environment.

The Group sees this new regulatory obligation as an opportunity to reiterate and continuously improve its existing due diligence plan.

Human rights and fundamental freedoms issues	Discrimination, infringement of equality, respect for private and family life, the right to strike, freedom of assembly and association as well as infringement of freedom of opinion;
Issues related to the health and safety of people	Health-related risk, failure to observe legal working conditions, forced labor, child labor, violation of worker safety, and unequal access to healthcare;
Environmental issues	Risk of pollution (water, sea, soil), undermining the fight against global warming, damage to biodiversity, waste management.

The Group is committed to promoting compliance with a number of principles and standards that form the foundation of its activities, such as the United Nations Sustainable Development Goals (SDGs), the ten principles of the United Nations Global Compact, and the standards defined by the International Labor Organization (ILO).

With regard to the monitoring system, existing risk assessment and control tools, the deployment and effectiveness of the actions carried out by group are monitored *via* KPIs formulated as part of the TEC2020 strategic plan or in the framework of its non-financial disclosures. They are summarized in tables (summary of the identified risk universe in the context of the DPEF/most relevant focus areas for Groupe BPCE/mitigation measures/monitoring indicators).

GOVERNANCE, METHODOLOGY AND SCOPE OF THE DUE DILIGENCE PLAN

In view of the issues covered by the due diligence system and the scope of risks covered, a number of divisions were involved in drafting the due diligence plan: CSR, Risks, Compliance and Permanent Control, Human Resources, Procurement, and Legal, as well as representatives from Natixis, a BPCE subsidiary also subject to the law on due diligence.

The study of the main risks that may result from its activities has enabled us to select two mapping universes:

- one related to the operation and activities of BPCE and its subsidiaries, addressed in the "Activities" pillar (namely, its employees and its main activities as a banker);
- the other specific to the Procurement function, addressed in the "Procurement" pillar (*i.e.* its suppliers and subcontractors).

In light of these identified risks, and given the obligation to provide results, reasonable due diligence measures intended to prevent the risks were identified and/or enhanced.

The overall rollout of the due diligence plan is coordinated by the divisions listed above and implemented under their responsibility. The plan is designed to adapt over time as new issues and risks are identified.

As part of the development of its due diligence action plan, the following issues were identified:

"Activities" pillar

EMPLOYEES

As part of the management of its employees, BPCE is aware that its primary area of responsibility is internal and therefore pursues a responsible policy with its employees, most of whom are located in France. These issues are already strictly monitored under existing legislation in France, in particular the Labor Code. Groupe BPCE's human resources management policies provide a response to the challenges of achieving a fairer society, and address the transformation of its business activities over time. A series of voluntary charters, agreements and operational systems ensure the protection and safety of employees in performing their duties.

Topics covered by the ESG risk analysis in the non-financial performance report under the title “diversity among employees,” “employability and transformation of jobs,” and “working conditions.”

Subject	Mitigating measures	Monitoring indicator
Preventing discrimination and promoting equal opportunities for men and women	See Chapter 2.4.3, “Ensuring equality – developing gender equality, promoting diversity”	Percentage of women among executives: 42.9% (in 2018), 43.7% (in 2019), and 44.5% in 2020, Target: 45% Percentage of women among company directors: 26.1% (in 2018) 26.4% (in 2019), and 27.9% in 2020, Target: 30%
Promoting equal opportunities	See Chapter 2.4.3, “Equal opportunities”	No specific indicators at present
Preventing discrimination against persons with disabilities	See Chapter 2.4.3, “Ensuring equality – a commitment to persons with disabilities”	N/A for 2020. The rate will be known in June 2021 at the time of the first declaration <i>via</i> the DSN.
Facilitating social dialog and the freedom of association	See Chapter 2.4.3, “Dialog with employee representatives at the Groupe BPCE level and review of collective bargaining agreements”	Number of Group committees in 2020: 2 Number of Strategic Committee Meetings in 2020: 1
Non-compliance with legal working conditions	See Chapter 2.4.3, “Improving quality of life in the workplace”	No specific indicators at present
Health and safety in the workplace	See Chapter 2.4.3, “Occupational health and safety conditions and workplace accidents”	Numbers of work/commuting accidents: 1,144 in 2019 and 710 in 2020

As a responsible company, Groupe BPCE ensures it applies ethical business practices by fostering a compliance culture among all members of staff through the Groupe BPCE code of conduct and ethics. This is rounded out by a responsible

compliance approach implemented by Financial Security and Compliance, covering anti-money laundering, anti-fraud and anti-corruption systems.

Topics covered by the ESG risk analysis in the non-financial performance report under the title “Business ethics.”

Subject	Mitigating measures	Monitoring indicator
Business ethics	See Chapter 2.4.2, “Prevention of money laundering and fraud”	% of employees trained in the code of conduct and ethics. At end-Dec. 2020, 92.7% of employees registered by their entities were trained in the code of conduct and ethics

FINANCIAL PRODUCTS AND SERVICES

Regarding the risks relating to discrimination against customers arising with the distribution of financial products and services, the topics identified are presented in the table below along with the mitigating measures applied by Groupe BPCE.

Topics covered by the ESG risk analysis in the non-financial performance report under the title “Financial inclusion,” “financing the regions” and more generally, via the risk relating to the “sustainable customer relationship” and “customer protection.” Risks regarding customers’ right to privacy, data protection and cybersecurity were also identified. These risks are covered in the non-financial performance report under “Data security”.

Subject	Mitigating measures	Monitoring indicator
Preventing discrimination and promoting equal opportunities for men and women	See Chapter 2.4.1, “Promoting banking accessibility”	Women accounted for 48% of entrepreneurs supported with a professional microloan by the Banques Populaires and the Caisses d’Epargne (<i>via</i> our partner France Active)
Promoting equal opportunities for visible minorities	See Chapter 2.3.2, “Supporting our customers in the energy, ecological and social transition” and Chapter 2.2.1, “Our commitments”	It is not possible to report on visible minorities because this would involve the application of criteria requiring the production of sensitive data under the terms of the GDPR
Data security and confidentiality	See Chapter 2.4.2, “Information systems security and data protection”	Percentage of new community projects with ISS and Privacy support: 85%

More generally, as part of its business as a banker, Groupe BPCE is subject to a series of regulations (anti-money laundering, anti-corruption, embargoes, etc.) which form an integral part of its activity.

Over and above these requirements, ESG criteria are gradually being incorporated into the Group’s risk policies to take into account the impact of the activities it finances. A section on climate risk and strengthening CSR principles was added to the Group’s credit risk policy in 2018. A paragraph on the

Environmental, Social and Governance (ESG) risk assessment and ratings (high, moderate, or low risk) has also been added to supplement sector policies (agri-food, automotive, construction and public works, communications and media, transport sectors, etc.). The non-financial performance report addresses this risk under “ESG criteria” (see Chapter 2.3.1, “Integrating the fight against climate change and the protection of biodiversity in our development strategy”).

In its financing activities, for several years now, Groupe BPCE, including Natixis, has addressed the human rights and environmental risks incurred by some of its financing activities, most notably by applying the Equator Principles for project financing and specific policies for sensitive sectors. (See Chapter 2.2.1, "Our commitments" and Chapter 2.3.1, "Integrating the fight against climate change and the protection of biodiversity in our development strategy.").

As a signatory of the Equator Principles, for the past several years, Natixis has applied a system for measuring and managing risks related to human rights and the environment in its project financing activities.

For the most sensitive sectors, CSR policies have been introduced and integrated into the risk policies of the business lines working in the sectors concerned. These policies at Natixis cover the following sectors: coal, defense, tobacco, and oil and gas industries. The nuclear, mining & metals, and palm oil sectors are covered by policies for internal use.

In addition to these procedures, Natixis has developed an internal screening tool, called the ESR Screening Tool, for the assessment of Environmental, Social and Governance (ESG) risks.

The ESR Screening Tool, a mandatory system, systematizes the analysis of ESG risks for new customers and the granting of credit for corporate clients of the Large Bank, where a level of due diligence is assigned according to four criteria (ESG controversies of which the client is a subject/geographies and activities in which the client operates/maturity of its ESG risk management system/business relationship with Natixis.). It aims in particular to comply with the new obligations introduced by the French due diligence act (see Ch and ap. 2.3.1 – Integrating the fight against climate change and the preservation of biodiversity into our development strategy.).

Procurement pillar

In a concerted approach, BPCE Procurement, acting on behalf of Groupe BPCE, and three other banking groups decided to map out their CSR risks by procurement category using shared classifications covering around a hundred sourcing categories. The CSR risk map and the corresponding due diligence plan were presented to the Procurement and CSR functions in 2018. The map identifies risks of serious violations and prioritizes the necessary actions in each category. It also incorporates the risk associated with the country in which the majority of the added value on each product and service is generated.

Mapping identifying 13 categories of purchases with high or very high risks regardless of country risk, which can minimize or maximize intrinsic risk

Indicators are used to monitor the rollout of the due diligence process for high and very high risk procurement categories:

Framework of the consultations managed by BPCE Achats on behalf of the Groupe BPCE companies	For these categories, a specific system has been put in place. Under this procedure, suppliers must complete a questionnaire specific to each category and provide details of the action taken to mitigate the risks and prevent major violations. BPCE Procurement assesses these actions and assigns a CSR rating, which is included in the supplier's overall rating. Depending on the results, an improvement plan is established with the chosen suppliers, subject to review at the six-month point.	At the end of 2020, 62% of relevant procurement categories had been assessed. These are the following categories of purchases: • servers • ATMs • bank cards • relationship marketing • furniture • long-term vehicle leasing • acquisition vehicles • vehicle taxes
System outside the framework of the consultations managed by BPCE Achats on behalf of the Groupe BPCE companies	This system can be implemented for suppliers already listed or generating significant revenue with Groupe BPCE.	100% of BPCE Procurement buyers responsible for these procurement categories have received training.

Whistleblowing

Groupe BPCE has a whistleblowing system in place setting out the applicable procedure at all Group entities, as provided for in the Act of December 9, 2016 (Sapin 2 Act) and the Ministerial Order of November 3, 2014 on internal control of banking sector companies. The current whistleblowing procedure applies to all internal employees, as well as to external and occasional staff, who may use the procedure should they become aware of any crime, offence, major violation of the law, threat or major breach of general interest or any conduct or situation that breaches the code of conduct. Groupe BPCE entities protect whistleblowers. Under no circumstances may they be subject to any disciplinary action or legal proceeding, provided they have acted impartially and in good faith.

The entire system, which also takes into account the duty of care, is available on the Group's website: <https://groupebpce.com/le-groupe/ethique-et-conformite>. The system is expected to see further developments as part of the transposition of directive (EU) 2019/1937.

RESPONSIBLE PROCUREMENT POLICY

CSR is one of the priorities of the 2020 procurement strategic plan followed by BPCE Procurement and the procurement function. The Group achieved most of the objectives set:

- number of Group companies awarded the Supplier Relations and Responsible Purchasing label increased to 14 companies as planned, i.e. double compared to the start of the expired strategic plan;
- improvement of supplier payment terms (30 days), establishment of a multidisciplinary working group to identify and implement best practices;
- made progress in integrating CSR into its procurement actions.

ENGAGING STAKEHOLDERS WITH THE RESPONSIBLE PROCUREMENT POLICY

Since 2018, the Responsible Procurement Charter, a joint initiative by BPCE Procurement on behalf of Groupe BPCE and leading French banks and insurers, has been one of the reference documents included in tender documentation sent to suppliers. The aim is to involve suppliers in the application of diligence measures in this area.

Applying the responsible procurement policy in daily procurement activities

The CSR roadmap and the action plan produced by the “developing responsible procurement” project implemented under the Groupe BPCE CSR policy, set out three priority objectives: optimizing the environmental and social impact of purchases, contributing to the economic and social development of the regions and promoting best business practices. A responsible-procurement working-group run by BPCE Procurement and comprising procurement and CSR representatives discusses these three objectives and implements the action plan.

CSR is incorporated:

- in the Groupe BPCE procurement policy: developing responsible procurement is one of the three priorities of the Group’s procurement policy;
- in the procurement process: the responsible procurement policy has been adapted and included in the different tools used in the procurement process;
- in supplier relations: analysis considered how to find a simple, quantifiable way of measuring suppliers’ CSR performance. Procurement teams can include a voluntary CSR performance assessment questionnaire for suppliers and their products in order to identify CSR risks and opportunities in the tender process and incorporate this performance in their overall assessment;
- in purchasing files by including CSR levers in decision-making processes. In 2021, the current CSR questionnaire will be reworked to strengthen the environmental aspects with associated tools and methods. The Group’s procurement managers are instructed to apply and circulate this policy within their companies and among their supplier panels.

Promoting sustainable, balanced relationships with suppliers

In 2020, three Groupe BPCE companies applied for the Supplier Relations and Responsible Purchasing label in cooperation with BPCE Procurement: Banque Populaire Méditerranée, Banque Populaire Alsace Lorraine Champagne, and Caisse d’Epargne Côte d’Azur.

Banque Populaire du Sud and Caisse d’Epargne Hauts de France have been certified, and Banque Populaire Rives de Paris, Caisse d’Epargne Ile-de-France, Caisse d’Epargne Midi-Pyrénées have renewed their certification for three years.

In line with the Responsible Supplier Relations Charter and the responsible procurement standard ISO 20400, the Responsible Supplier Relations and Procurement certification is awarded by the company mediator (under the auspices of the French Ministry for the Economy) and the CNA (French association of purchasing managers). It aims to single out French companies that have established lasting, balanced relations with their suppliers.

The certification is awarded for a period of three years and an annual audit is performed to verify that best practices in responsible supplier relations (respect for supplier interests, integration of environmental and social criteria in procurement procedures, quality of supplier relations, etc.) are constantly applied by the certified entities.

Fourteen Groupe BPCE companies have committed to this label, reflecting the responsible procurement strategy coordinated by BPCE Procurement and the integration of CSR at the center of the procurement function and in relations with suppliers.

Payment terms

Since April 2020, BPCE Procurement has put in place surveys to measure supplier payment terms, which have been carried out twice a month until the end of June and then monthly since September, which have made it possible to monitor payment terms.

The objective of the strategic plan was set at 28 days at the end of 2020; at the end of December 2020, the average payment terms observed, all companies combined, were 30 days from the date of issue of the invoices.

BPCE Procurement has set up a “Supplier payment terms” working group, bringing together buyers and accountants from eight Group companies.

The objectives of this working group are as follows:

- understand the heterogeneous results in the Group (whose organizations and practices are very diverse);
- improve the flow of invoice processing;
- share best practices;
- reduce the time it takes to process and validate invoices;
- reduce the stock of invoices older than 60 days;
- create a white paper of recommendations (in particular on legal and organizational aspects) and/or commitments for all companies by the beginning of 2021.

Raising awareness of responsible procurement

In 2019, two e-learning training courses on ethics in procurement and responsible procurement were published for the procurement and CSR departments.

Due diligence action plan

The initiatives implemented in accordance with parent company and client company due diligence requirements are detailed in section 2.4.1 of this chapter, “Due diligence obligations”.

Outlook

The Group aims to continue to systematically incorporate CSR considerations in Procurement decisions by 2024, through implementation of the associated tools and procedures and the sharing of best practice.

Sub-contracting policy

In accordance with the responsible procurement policy, the Group’s suppliers are required to comply with current CSR rules and regulations and to encourage their own suppliers and sub-contractors to do the same. These commitments are included in the Responsible Procurement Charter, which is one of the reference documents included in RFP documentation.

Outlook

The Group’s ambition is to continue to deploy and systematize CSR in Procurement decision-making by 2024, through the implementation of related tools and methods, and the sharing of best practices.

Disability and responsible procurement policy ("PHARE")

Since July 2010, when it launched the responsible purchasing and disabilities policy (Politique Handicap et Achats Responsables, or PHARE), Groupe BPCE has contributed to the professional and social inclusion of persons with disabilities by sub-contracting some operations to companies working with disabled persons.

To develop purchasers' expertise and independence when purchasing from companies working with people with disabilities, an e-learning training course is available to the procurement function and the Group's disability officers.

Groupe BPCE currently works with over 300 suppliers in this sector who provide different types of services both directly and via co-contracting agreements.

USE OF THE SHELTERED AND ADAPTED

	2020 ⁽¹⁾	2019 ⁽¹⁾	2018
Number of full-time equivalent positions in companies working with disabled persons (2019 estimate)	N/A	499	518
Purchases from companies working with persons with disabilities (2020 estimate) (in thousands of euros)	N/A	15,025	15,169

(1) The 2020 data will be available in July 2021 following the change in the regulatory calculation method.

In Chap. 2.4.3, Looking after our employees – Supporting employees with disabilities, you will find additional information on Groupe BPCE's disability policy and regulatory changes.

2.4.3 Reflecting pandemic and technology risks**A MARKET APPROACH**

In 2007, the Robustesse group wanted to incorporate climate, health and technological crisis scenarios into its working hypotheses, and to prepare market players in the event of such events occurring.

Financial institutions regularly mobilize by participating in large-scale exercises, with the aim of testing the collective resilience of the Paris marketplace. Climatic, health and technological topics are widely discussed during these events: the power failure in 2008, the pandemic in 2009, and the Seine flood in 2010 and then in 2016.

Groupe BPCE has always been present at these meetings.

CONSIDERATION OF THESE RISKS IN THE BUSINESS CONTINUITY POLICY

These environmental scenarios are integrated into the Group's business continuity policy, which encourages Institutions to take the necessary measures to cover this type of situation.

A DAILY REALITY

The Group's establishments are regularly confronted with climatic, health or technological events of varying magnitude, whether of a national scope, such as the snow events of 2010, 2013 or 2018, the Xynthia storm in 2010, or the preparation for the occurrence of a pandemic in 2009; lesser in geographical scope, such as the recurring flooding in the southeast, or the flooding of the Seine in 2016 and 2018; or very localized, such as the industrial incidents at AZF in Toulouse in 2001 or at Lubrizol in Rouen in France in 2019, the pre-alert during the Marcoule nuclear power plant incident in 2011, or the Brétigny rail incident in 2013, which disrupted the daily lives of Group employees.

These examples retrace the impacts for mainland France, to which should be added recurring, violent weather events often coupled with technological impacts in the French Overseas Territories, and some notable events for establishments abroad.

The update of the policy, at the beginning of 2019, reinforces this requirement by imposing a systematic risk analysis, necessary to identify the exogenous factors depending on the place of exercise of the activities.

A COMPLETE TOOLBOX

The Group has created a documentary base that it constantly reinforces and updates, consisting of plans and reflex sheets.

The first version of the influenza pandemic plan dates back to 2008; the current version will be enriched by the lessons of the current crisis.

Reflex sheets are also made available to establishments in the Group's crisis management tool. In 2019, reports were produced on the heatwaves, electrical blackouts, earthquakes, sudden floods and storms. Documents specific to ultra-marine areas are also available on cyclones and typhoons. The year 2020 was devoted to adjusting and reinforcing the files relating to the treatment of a pandemic situation and add the extreme cold file. Fact sheets should soon be available on the topics of industrial risks and nuclear, radiological, biological and chemical (NRBC) threats. Almost all institutions have incorporated all or part of this information into their business continuity system.

In addition, the Group has set up a geographical information system, deployed for the first time during the preparation of the fiscal year in 2016, on the Seine flood.

This tool, controlled by the Group's business continuity, was gradually used to understand the different types of risk by comparing the official maps of the regional and interdepartmental departments of the environment and energy with the map of the Group's locations. The risks analyzed cover climate risks (flooding, earthquakes, etc.) and technological risks (seveso zone, nuclear exclusion zone, etc.).

In addition to the six establishments benefiting from a complete mapping in 2019 (mainland France and overseas territories), four establishments were added in 2020. Two other establishments also have partial mapping to date.

Between the work carried out at Group level and that carried out directly by the institutions, 90% of the institutions have at least a partial identification of the risks to which they are exposed.

BUSINESS CONTINUITY KPI

The Business Continuity KPI is structured around five themes:

- the governance of the business continuity system, which includes preparing employees for crisis situations through awareness-raising actions, and participating in exercises for some of them;
- risk analysis, whether inherent or exogenous to the institution's activities;
- the implementation of the system which ensures that the resources to be mobilized are in line with the defined continuity objectives;
- its control of the system;
- a specific topic dedicated to supplier monitoring.

Once a year, the institutions fill in the 42 control points making up the business continuity control questionnaire in the Group's permanent control management tool (PRISCOP). The KPI reports the results of these responses. It stands at 92% for 2020 compared to 85% the previous year, when the business continuity policy was updated and the KPI structure adjusted. The KPI reflects more broadly the new requirements of the risk management policy.

FIRST LESSONS FROM THE COVID-19 CRISIS

Covid-19 is the first crisis requiring massive, widespread and persistent use of business continuity provisions. It is already possible to draw some lessons that can be transposed to other major climate, health or technological risks.

The handling of the crisis is largely governed by the decisions of the public authorities, of almost immediate application and which partly replace the methods defined in the plans at the level of the economic agents.

They must then operate with great agility in order to comply with the directives of the public authorities, as was the case with the generalized lockdown for which the Group has anticipated and strengthened its remote access system for its employees and taken the opportunity to expand its catalog of end-to-end digital customer service offers.

In addition, whatever the level of preparation, which must be maintained at the highest level of requirement, government decisions, such as the possible requisition of certain categories of masks, may limit the effectiveness of the actions initially planned. However, the Group did not wait for this requisition to bring its stock to healthcare workers.

In the initial phase of the crisis, Groupe BPCE had to deal with the impacts of Covid-19 on its Asian operations, learning from the measures enacted by local government authorities.

Drawing on this experience and the pandemic plan put together after previous avian and swine flu outbreaks, the Group launched a rapid, appropriate and proportionate response in the rest of the world, and particularly in mainland France.

Four areas of concern guided the Group's decision-making:

- protection of people (employees and customers);
- guaranteeing customers access to banking services and adapting the relationship to the crisis situation;
- securing the Group's refinancing;
- participation in the resilience of the financial market.

The Group's crisis management system, initially mobilized for observation purposes, transitioned to operational mode and was ultimately incorporated in the crisis decision-making body (Group executives) as the crisis grew worse, in accordance with the Group crisis plan.

Telework infrastructures, already operational, were expanded to address the Group's needs during the projected lockdown period. Information system security, including GDPR aspects, compliance considerations and anti-fraud controls, was adapted for telework conditions across all relevant operational processing chains. Group HR and communication resources were heavily mobilized to adapt nominal working conditions for staff and enhance social cohesion during lockdown.

At the same time, Group institutions rolled out their crisis management system, staying connected at all times and in line with the Group crisis management system. Centered on the Group Coordination Unit, special business line crisis units were added in order to meet the specific challenges of each business line (Retail Banking and Insurance, Finance, etc.).

Structural measures were initiated to ensure the continuous management of the Group's liquidity position and make the switch to a massive, secure telework environment. The Group's suppliers and service providers were informed and called on to guarantee their own system, incorporating our measures for employees required to work on our premises. A legal and social watch was conducted throughout this event to ensure that the Group met the expectations of government authorities.

During lockdown, and now that the lockdown is gradually being lifted, Group institutions are making every effort to ensure the safety of employees and external agents by implementing collective and individual measures, while also constantly emphasizing the proper social distancing practices to be employed.

The Group has also made protecting its customers a top priority, starting with their physical protection by promoting technological solutions such as "contactless payment" in stores and contactless identification for welfare benefits, but also by immediately deploying government economic measures (in particular state-guaranteed loans (SGL), postponement of loan maturities, customer subscription to online banking solutions including remote signature and contracting, mailing check books, etc.). However, the branches remained open to customers with no other access to banking services.

2.4.4 Reducing Groupe BPCE's carbon footprint

Reducing the environmental footprint of the Group's own operations is one of the key pillars of the 2018-2020 CSR strategy and the Group has set a goal of reducing its carbon emissions by 10% in relation to 2017.

To this end, it has established a Group environmental reporting system and organized several campaigns to raise awareness of best practices.

The Group's training catalog offers CSR-specific sessions. These training courses are open to all Group employees:

- awareness of CSR, energy and climate issues: a session on the CSR basics was provided to Group employees;
- CSR reporting: one session was held to raise employee awareness of the organization of CSR data collection and the use of IT tools for preparing and publishing the CSR report.

CLIMATE CHANGE

The Group's target was to cut its greenhouse gas emissions by 10%, from 602,629 tCO₂eq at end-2017 to 542,366 tCO₂eq at end-2020.

To monitor progress on initiatives subject to clear targets, the Group CSR & BPA division has used a special tool since 2013 to review its greenhouse gas (GHG) emissions. The tool is based on a methodology compatible with that used by the ADEME (the French environment and energy management agency), ISO 14064 and the Greenhouse Gas Protocol.

After eight years spent collecting carbon data using a stable benchmark shared by all Group companies, the tool is able to provide:

- an estimate of each company's greenhouse gas emissions;
- a map of GHG emissions:
 - by source: energy use, procurement of goods and services, business travel, fixed assets and other,
 - by scope: Indirect emissions caused by the Group's products and services are excluded from the scope of this analysis, but work is underway on this subject (see Chapter 2.3, "Supporting the energy, ecological and social transition in local regions – Integrating the fight against climate change").

The entities that currently perform carbon review represent 87% of the Group's permanent staff.

Each year, the Group provides stable benchmark indices covering the entire Group and each individual entity. The indices are used to define local GHG emission reduction plans and drive national initiatives.

SUMMARY OF OBJECTIVES IN TERMS OF REDUCING THE CARBON FOOTPRINT OF OUR OWN ACTIVITIES

In 2020, the targets set, -10%, as part of the TEC2020 strategic plan were achieved.

Total Group emissions (excluding its datacenters) amounted to 521,398 tCO₂eq, down 11% in relation to 2019 and by 13% compared to 2017. Emissions per employee came to 6 tCO₂eq/FTE, down by 13% against 2017.

RESULTS OF GROUPE BPCE'S CONSOLIDATED CARBON ASSESSMENT [EMISSIONS IN TCO₂EQ]

Indicators (tCO ₂ eq)	2020	2019	2018	Change 2019-2020
Direct greenhouse gas emissions – Scope 1	21,022	27,877	28,869	(25%)
Indirect greenhouse gas emissions – Scope 2	16,489	18,747	24,689	(12%)
Indirect greenhouse gas emissions – Scope 3 ⁽¹⁾	483,885	541,376	548,029	(11%)
Total (excl. data centers)	521,398	587,999	601,587	(11%)
Total tCO ₂ eq/FTE	6	6.8	6.9	(11%)

(1) Excluding indirect emissions from banking products and services.

The data centers made up 1.4% of total Group emissions in 2020.

Indicator	2020	2019	2018	Change 2019-2020
Data center emissions	7,292	10,064	11,281	(11%)
% of Group carbon emissions (recorded in the carbon review) generated by data centers	1.4%	1.7%	1.9%	(12%)

The main sources of emissions in 2020 were:

- travel: 27% *versus* 32% in 2019;
- purchases: 31% *versus* 28% in 2019;
- fixed assets: 26% *versus* 25% in 2019.

GROUPE BPCE CONSOLIDATED CARBON FOOTPRINT RESULTS – BY SOURCE [EMISSIONS IN TCO₂EQ]

GROUPE BPCE CARBON EMISSIONS IN 2020

521,398 tCO₂eq

SOURCE	2020 (tCO ₂ eq)	SHARE OF TOTAL	CHANGE 2019-2020
 TRAVEL	139,981	27%	[26%]
Daily work commute	82,700	16%	[17%]
Business travel	28,474	5%	[42%]
Customer and visitor travel	28,807	6%	[29%]
 PROCUREMENT	162,062	31%	[2%]
Goods and services purchased			
 FIXED ASSETS	136,998	26%	[5%]
IT equipment, buildings, vehicles, ATMs			
 TRANSPORT	50,272	10%	[2%]
Mail, cash transport			
 ENERGY	31,720	6%	[14%]
Electricity, natural gas, heating oil, heating network			
 WASTE	365	10.1%	[24%]
Non-hazardous and recycled waste, WEEE			

ANALYSIS OF THE GROUP'S CARBON FOOTPRINT FOR 2020

The decrease in the Group's carbon footprint is mainly due to the reasons detailed below.

Impacts of the pandemic

The Covid-19 pandemic has had a strong impact on the operations of all Group entities. The most significant impacts relate primarily to travel, both business travel and customer travel to our branches.

Covid has changed ways of working and, beyond the general lockdown, has led to the gradual spread of teleworking for head office activities. Branches remained open even during the lockdowns. However, we have seen a decline in customer traffic. The use of remote appointments has greatly increased, regardless of the customer segment. Likewise, remote service and management meetings have become the rule.

Fixed assets

The Group has invested heavily in mobile IT equipment suitable for teleworking (laptops, headsets, etc.). The change in the number of devices was offset by the reduction in emissions factors taken into account in the calculation. Ademe's adjustment of these factors is explained by a significant reduction in the carbon footprint, analyzed according to the life cycle of the product.

The number of certified or eco-labeled buildings increased by 11%, or 361,928 sq.m., which represents 12% of the total sq.m. used by the Group.

Procurement

The structure of the Procurement line item changed in 2020, with opposite effects that ultimately virtually cancel each other out. For example, household expenses have increased sharply to meet health requirements, while marketing and events expenses have been almost zero.

Emissions factors

For energy and fixed assets (IT equipment), emissions factors have been revised downwards by Ademe. These revised emissions factors were integrated into the information system to calculate the Group's carbon footprint.

THE GROUP SIGNS THE RESPONSIBLE DIGITAL CHARTER

Groupe BPCE is committed to reducing its digital environmental footprint and developing services that are accessible to all, inclusive, and sustainable. This signature, which took place on October 8, 2020, is an extension of the actions already initiated by the Group to limit the impact of technology on the environment and act in favor of a more inclusive digital approach.

There are several goals: optimizing digital tools to limit their environmental impact and consumption; developing services that are accessible to all, inclusive, and sustainable; disseminating ethical and responsible purchasing and digital practices; helping make digital technology measurable, transparent, and readable; and encouraging the emergence of new behaviors and values.

The Charter was drawn up by the *Institut du Numérique Responsable* (French institute for responsible digital technology), in partnership with the General Commission for Sustainable Development under the French Ministry for the Ecological and Inclusive Transition, WWF, ADEME, and Fing (a leading think tank on digital transformations). Launched in June 2019, its signatories include companies and associations as well as VSEs/SMEs or public stakeholders.

There are various best practices for reducing emissions, some of which are described below.

Energy consumption

The Group's energy consumption amounted to 168 kW/h in 2020 per m² in 2020 versus 180 kW/h per m² in 2019. A series of measures were taken to reduce our energy consumption in 2020:

- better energy-use management, in particular with the installation of automated controllers in branches: since 2016, an energy-saving solution has been available to the companies in the Group. The software identifies energy savings and implements energy reduction initiatives with the assistance of energy manager;
- launch of an IOT solution to collect information about temperatures in our branches, replacing the previous "plugged-in" solution;
- launch of the Group's energy assessment;
- continued replacement of incandescent light bulbs with LED bulbs and installation of motion detectors in most head office buildings;
- less use of heating oil (-21% from 2019 to 2020) in our networks. This decline reflects the gradual replacement of heating oil by low carbon energy sources.

Datacenters

- At the two Albireo sites: In 2020, the following initiatives were put in place:
 - change of a next-generation humidifier being tested at a cold production at Saphir [sic];
 - optimization of ventilation by managing the temperature of the bays as closely as possible using mobile sensors;
 - study of solar production in self-consumption.

Albireo's PUE was stabilized at an average of 1.58.

- At the two Antarès sites: Initiatives were delayed in 2020 by the health crisis; certain initiatives are still in development. Changes to the air recovery systems in server rooms to avoid hot aisle/cold aisle air recycling: currently in testing in IT Rooms SIR 12 – SIR 14 at the SIRIUS site were ongoing.

As a result of all the steps taken to optimize energy consumption, in 2020, the average PUE at the Sirius site was 1.71 and the average PUE (after resale) at the Vega site was 1.70.

For all datacenters, employees are encouraged to limit energy use at the main regional locations: information on environmentally friendly practices, dedicated Intranet site, etc.

FOCUS ON PPA

At the end of 2019, Albiant-IT, which manages the four data centers, signed a PPA (Power Purchase Agreement) with ENGIE with effect from January 1, 2020. It covers 44% of the electricity needs of the datacenters, *i.e.* in 2020, 32,259,755 kWh.

The signing of this contract made it possible to avoid 1,342 tCO₂eq, which represents 32% of the emissions currently calculated, which do not take into account the PPA (CO₂ emission = 4,186 tCO₂eq).

Taking this contract into account, Albiant-IT's CO₂ emissions in 2020 were 2,845 tCO₂eq.

ENERGY CONSUMPTION

Indicator	2020	2019	2018	2017	Change 2019-2020
Total energy consumption per m ² (in kWh/m ²)	168	180	164	172	(6%)
Total final energy consumption (in MWh) ⁽¹⁾	501,301	540,693	575,138	547,846	(7%)
o/w data centers (in kWh)	15%	13%	12%	12%	16%
Share of renewable energy in total final energy consumption (in MWh)	149,080	104,726	112,589	179,405	42%

(1) Sum of: (kWh electricity + kWh HHV of gas/1.11 + liters heating oil x 9.86 + kWh steam + kWh cold)/total m².

Indicator	2020	2019	2018	2017	Change 2019-2020
Number of buildings with environmental or other certification	49	44	42	32	11%
Surface area of buildings with environmental or other certification (m ²)	361,928	333,201	175,071	148,688	9%

REDUCING ENERGY CONSUMPTION FROM TRANSPORTATION

Based on the carbon reviews conducted by the Group, business travel and commuting are one of the highest sources of total estimated CO₂ emissions (averaging nearly one-third of total emissions each year).

The pandemic had a disproportionate effect on all travel, throughout the year. For Groupe BPCE, air and train travel was cut by nearly 300%. This decline heralds a profound and lasting change in practices in terms of travel patterns.

Indicator	2020	2019	2018	Change 2019-2020
Total fuel consumption for business travel in cars ⁽¹⁾ (in liters)	8,650,224	12,962,075	12,732,243	(33%)
Average grams of CO ₂ per km (as stated by manufacturer) for company cars and fleet cars (grams of CO ₂ /km)	99	100	99	(1%)
Business travel by train (in km)	17,772,464	62,421,532	58,800,471	(72%)
Business travel by plane (in km)	13,755,610	61,860,708	66,027,131	(78%)

(1) Sum of indicators: gasoline consumption by company and fleet cars + diesel consumption by company and fleet cars + business travel in private cars; km-to-liter conversion for the private car indicator using the ratio from the carbon review user guide.

WASTE REDUCTION AND RECYCLING

Thanks to initiatives aimed at promoting recycling and re-use, the Group's total volume of non-hazardous industrial waste per FTE fell by 21%. 51% of this waste is recycled.

The waste categories concerned include non-hazardous industrial waste and waste electrical and electronic equipment (WEEE). Entities have undertaken multiple initiatives to recycle different types of waste and certain types of products.

Banking-related waste

The decrease in the overall volume of waste in 2020 (21%) was due to fewer people present in the buildings, as a result of the decrease in work and relocations.

The decrease in the number of printer ink cartridges collected was due to the percentage of staff working remotely and the accelerated digitization of contractual documents.

PAPER CONSUMPTION

Indicator	2020	2019	2018	2017	Change 2019-2020
Total recycled and/or certified A4 paper (in kg per FTE)	26	33	51	51	(23%)
Total non-recycled/non-certified A4 paper (in kg per FTE)	2	3	15	25	(30%)
Percentage of recycled and/or certified reams of A4 paper	93%	92%	86%	74.5%	1%

SUSTAINABLE USE OF RESOURCES

In 2020, paper use amounted to 2,397 metric tons or 28 kg/FTE, compared with 3,128 metric tons or 36.40 kg/FTE in 2019.

The reduction in paper consumption is achieved by:

- shared printers, with printout confirmation on the spot. This avoids unused printouts;
- accelerated dematerialization, particularly in customer relations (in-branch electronic signature, remote selling, paperless account statements and general terms and conditions of sale);
- a procurement policy encouraging the use of responsible paper (derived from recycling or sustainably managed forests), i.e. containing over 50% recycled paper or PEFC-certified (Program for the Endorsement of Forest Certification schemes) or FSC-certified (Forest Stewardship Council) paper.

2.4.5 A socially-responsible company

Groupe BPCE, aware that its primary scope of responsibility is internal, incorporates the consideration of social and environmental criteria in its day-to-day operations through a threefold approach:

- responsible and committed management of its employees;

- control of its direct environmental impacts;
- supporting its suppliers in a social, environmental and societal responsibility approach: this approach is described in detail in section 6.3.

2.4.6 Looking after employees by developing their commitment

Groupe BPCE plays a major role in the economic and social development of the nation in all its diversity and in all the regions where it operates. This situation is the result of the active mobilization of all Group employees for the benefit of our customers.

They must also be able to thrive in their professional activities and in the daily relationships they have with their clients and work colleagues.

Thus, in order to meet these requirements, the Group has adopted a code of conduct and ethics (<http://guide-ethique.groupebpce.fr/>) to guide all professional practices and the daily actions of employees, enabling us to carry out our work in the best possible way by giving priority to our ability to communicate, interact and grow with our customers, the first principles of our cooperative group's values.

In addition, and more generally, Groupe BPCE conducts its development in accordance with fundamental human and social rights wherever it operates.

Each entity monitors compliance with rules on freedom of association and working conditions in respect of its international activities.

In accordance with the Group's adherence to the Global Compact, each entity abstains from using forced or compulsory labor or child labor, according to definitions in International Labor Organization conventions, even if local laws authorize such practices.

In its procurement policy, Groupe BPCE refers to its sustainable development policy, to its adherence to the Global Compact and to such founding texts as the Universal Declaration of Human Rights and the international conventions of the International Labor Organization (ILO).

Suppliers undertake to respect these agreements in their countries of operation by signing contracts containing specific clauses to that end.

One of the commitments of the Global Compact concerns respect for Human Rights.

All the quantified elements of the Human Resources policy actions presented below are in full compliance with all of these provisions. They reflect a proactive policy that is resolutely respectful of an ethical framework for the benefit of each Group employee.

Full quantitative human resources indicators for Groupe BPCE are available at: <https://groupebpce.com/en/csr/employees>.

Group headcount

The total number of employees of Groupe BPCE was 100,344 registered at December 31, 2020, 91% of whom work in France.

The headcount of the Banques Populaires represents 30% of the Group's headcount and that of the Caisses d'Epargne 34%.

The total headcount is down 4.6% compared to 2019.

GROUP HEADCOUNT

Total headcount	2020	2019	2018	Change
Banques Populaires	30,470	30,985	30,807	(1.7%)
Caisses d'Epargne	33,931	34,300	35,001	(1.1%)
Natixis	17,696	21,414	23,539	(17.4%)
BPCE Community	8,767	8,624	1,619	1.7%
Subsidiaries, other retail banks and joint ventures	9,480	9,809	14,492	(3.4%)
GROUP TOTAL	100,344	105,132	105,458	(4.6%)

Permanent and fixed-term staff, excl. work-study contracts at December 31.

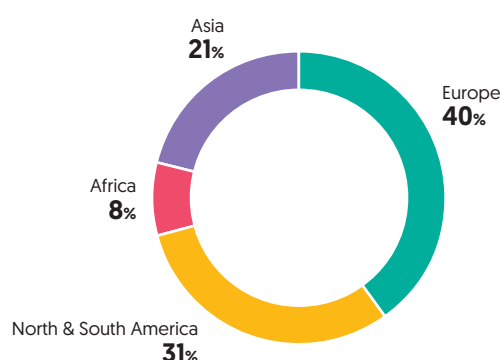
GEOGRAPHIC BREAKDOWN OF HEADCOUNT

9% of Groupe BPCE's workforce is located outside France.

HEADCOUNT OUTSIDE OF FRANCE

	Natixis	Other subsidiaries	Total	
	Number	Number	Number	%
Europe	1,952	1,582	3,534	40%
North & South America	2,807		2,807	31%
Africa	86	672	758	8%
Asia	898	939	1,837	21%
GROUP TOTAL	5,743	3,193	8,936	100%

Permanent and fixed-term staff, excl. work-study contracts at December 31.



PROTECTION AND SUPPORT OF GROUP EMPLOYEES: A PRIORITY AS 2020 WAS MARKED BY A SUDDEN AND UNPRECEDENTED HEALTH CRISIS

The sudden onset of the health crisis was immediately managed by Groupe BPCE through a daily crisis unit with, first and foremost, the protection of people (employees and customers) in mind, as the banks were being forced to maintain their activity to support the economy and ensure customer service.

Strong initiatives to prevent physical and psychological risks have been implemented, such as:

- the increase in teleworking and the implementation of remote working for all functions that allowed it, and in particular all support functions, up to 90%;
- the opening of branches when the security conditions, particularly health related, allowed it, with privileged opening measures by appointment at certain times, and the strengthening of remote banking transactions, to manage customer flows;
- the implementation of all barrier measures with the provision of equipment (gel, masks, wipes) and health protocols for the management of "Covid" or "contact" cases;
- the strengthening of the psychological counseling unit for all employees in order to respond to their concerns of all kinds;
- improved communication to employees on the situation and its management by the company and the Group, both in terms of human resources and activity. A managerial communication to inform, reassure and in particular maintain the link with the employees at a distance.

The Group HR department, in consultation with the Association Française des Banques (AFB), and the HR departments of all the companies of the Group intensified the social dialog with weekly exchanges with the trade unions of the Banques Populaires and Caisses d'Épargne, as well as with each Corporate Social and Economic Committee (CSE). This strengthened social dialog, from a distance, focused on changes in the health situation and the measures implemented on a daily basis to deal with changes in the situation in each of the regions, as well as in government (e.g. Ministries of Health and Labor) regulations and directives as well as for the human management of the various situations in which employees found themselves (teleworking, work on site, inability to work for health reasons or childcare, etc.).

Groupe BPCE decided not to have recourse to the subsidies granted by the French government in the context of partial activity and to maintain in all its companies the remuneration of employees who are unable to work.

The Group HR department held remote meetings on a weekly basis with all Group companies HR departments in order to share updates about the health situation and jointly take appropriate measures, as well as discuss measures specific to their local context.

Quality of Life at Work (QVT) officers were also asked to support the new work organizations made necessary by the need for social distancing, the monitoring of identified "Covid" cases, and the definition of intervention protocols. This situation has led to more intensive and remote management of the QVT function, to facilitate the sharing of practices and respond quickly to needs and questions. The Group's Quality of Life at Work website has been enhanced with a specific "Covid" section to provide real-time information and to disseminate tools and practices (confinement, remote working, remote management, barrier gestures, etc.).

As part of the psychosocial risk prevention systems, special attention has been paid to the consequences of remote working on a large scale, with the support of listening platforms and the distribution of guides providing managers and employees with benchmarks to ensure they can perform their duties and protect themselves effectively.

Sustained social dialog at Groupe BPCE level

Social dialog at Groupe BPCE level takes place through two bodies, committees and a forum:

- the Group Committee, a forum for information, discussion and dialog, which met three times in 2020. The topics addressed included the economic situation, and the financial and social audit of the Group's financial statements, prepared in advance by the economic and employment/training committees;
- the Strategic Committee, a body for sharing strategy planning and vision;
- an economic and social forum was organized at the end of 2020 to share lessons learned from the health crisis on a societal and social level.

Most of the collective bargaining agreements signed in 2020 were the result of negotiations conducted locally with the Group companies. These agreements cover the following main topics: professional equality between men and women, mandatory annual negotiations, quality of life at work and in particular teleworking, and employees savings and retirement.

Groupe BPCE has the characteristic of leading two professional divisions within it that are very active in social negotiations and professional training.

It is worth noting the particularly intense and rich nature of the social dialog in this exceptional year, in view of the context of the health crisis and in particular on the subjects of risk prevention and support for employees.

Improving quality of life in the workplace

In 2020, companies' adherence to the Cancer@work Charter continued with 22 signatory companies (20 in 2019). And three companies obtained the Cancer@Work certification: Banque Populaire Alsace Lorraine Champagne, Crédit Foncier, and Banque Populaire Val de France. This initiative highlights their particular commitment to the "cancer, chronic diseases and work" initiative launched by the Group HR department in 2016 and their strong desire to implement practical actions to take cancer and chronic diseases into account in their policy at all levels.

As an extension of Cancer@work, a guide designed by the Group for caregiver employees has been widely distributed by the companies. It supported the policies already implemented in 11 companies of the Group to support caregiver employees. The Cap'Handéo caregiver certification obtained by Banque Palatine, and the signing of a collective agreement on caregiver employees by BPCE Infogérance & Technologies, underscore the quality of the systems and the importance attached to this issue within the Group.

Preventing occupational risks

In order to ensure the safety and protect the health of employees, each company organizes the assessment of occupational risks, and targets appropriate preventive actions and solutions to address specific risks.

The Single Occupational Risk Assessment Document (DUERP) lists and ranks the risks present and is thus a decisive tool in the prevention of occupational risks. Its accessibility to all and its updating in the case of an event or a significant change in health and safety or working conditions (human, technical or organizational transformation) is a guarantee of the effectiveness of the risk prevention policy.

Each company must therefore conduct an overall analysis of all the risks to which employees are exposed. This assessment makes it possible to plan and implement the prevention actions formalized in the Annual Plan for the Prevention of Occupational Risks and the Improvement of Working Conditions (PAPRIACT).

Anxious to establish a culture of prevention to cope with regulatory and societal changes, at the level of the Group and each company, the Group has implemented:

- synergies between Prevention, Quality of Life at Work, and Occupational Health and Safety, which are responsible actions that drive progress and contribute to Groupe BPCE's overall performance;
- harmonization and centralization of prevention tools;
- as well as the management of prevention indicators.

Within the Group, all companies have a CSE and a Health, Safety and Working Conditions Commission (CSSCT). One of their missions is to protect the health and safety of employees. Each CSE Committee oversees improvements in safety and working conditions as well as compliance with applicable legal and regulatory provisions. The policies and associated budgets for health and safety are the responsibility of each of the companies and CSE.

According to the Caisse Nationale d'Assurance Maladie (French national health insurance fund), 2020 was a record year for the decrease in claims. Groupe BPCE has registered a strong improvement in the number of workplace accident reports. In the context of the health crisis, efforts to adapt technology and organization in favor of remote working have largely contributed to this result.

NUMBER OF ABSENCES DUE TO WORKPLACE/COMMUTING ACCIDENTS

	2020			2019			2018		
	Women	Men	Total	Women	Men	Total	Women	Men	Total
Non-management	351	125	476	585	169	754	606	174	780
Management	147	87	234	247	143	390	194	115	309
TOTAL	498	212	710	832	312	1,144	800	289	1,089

Absenteeism among employees with permanent and fixed-term contracts due to workplace/commuting accidents during the year.

Absenteeism

Absenteeism is a real concern for the Group and its companies. Thus, the Group provides companies with a dynamic dashboard enabling them to monitor absenteeism data and manage the policies implemented.

The most recent evaluation of overall absenteeism (including maternity/paternity leave, illness, family events and other

reasons) remains close to 9% of which 1.4% is related to "Covid-19" pandemic.

Since absenteeism rates include maternity leave, in a Group with a predominantly female workforce, it makes sense that the rate of absence is higher among women.

The Group is not able to differentiate absences related specifically to occupational illness, which are rare in the banking sector.

ABSENTEEISM DUE TO ILLNESS ACCORDING TO GENDER AND CATEGORY

	2020			2019			2018		
	Women	Men	Total	Women	Men	Total	Women	Men	Total
Non-management	8.2%	5.1%	7.3%	5.5%	3.4%	4.8%	5.7%	3.4%	4.9%
Management	4.0%	2.3%	3.1%	3.2%	1.9%	2.4%	3.3%	2.0%	2.5%
TOTAL	6.7%	3.4%	5.3%	4.7%	2.5%	3.7%	5.0%	2.6%	4.0%

ABSENTEEISM DUE TO PANDEMIC-RELATED ILLNESS, ACCORDING TO GENDER AND CATEGORY

	2020		
	Women	Men	Total
Non-management	2.4%	1.5%	2.1%
Management	0.7%	0.4%	0.5%
TOTAL	1.8%	0.8%	1.4%

Absenteeism among employees with permanent and fixed-term contracts as per Group Human Resources data.

Supporting transformations

Human Impact Measurement (HIM) aims to identify the perception by employees of the effects of a transformation on their activity, to better take them into account and facilitate the transformation. This approach is particularly important in a context of crisis where organizational changes require employees to adapt. This is why Groupe BPCE wishes to spread this practice among companies, particularly through distance training workshops. In 2020, despite the context, four HIM were carried out, three of which were entirely remote. This approach is now operational in 15 companies of the Group.

The TEC 2020 strategic plan had set targets intended to meet growth ambitions and challenges, and achieve the corresponding transformations in all of our business lines.

The HR commitments set out in the TEC 2020 plan focus on three key areas:

- ensuring equality: developing gender equality, promoting diversity;
- developing employee value: fostering skills development and enhancing career paths with mobility;
- attracting and retaining top talents: developing the Group's employer image and turning employees into agents of change.

ENSURING EQUALITY

For Groupe BPCE, it is essential that each of its companies ensure that it acts fairly, reducing inequalities and developing an environment that respects the differences arising from each individual's social identity (age, gender, ethnic group, etc.).

Naturally, the Group has set targets and taken concrete steps to promote diversity ever since it was founded.

In order to lead and manage this policy, the Group has had a diversity manager within the Group Human Resources department since 2015, who is also supported by a community of gender equality and diversity coordinators in each company.

As a major illustration of its commitment to Diversity, in 2019 Groupe BPCE created its diversity footprint, enabling it to

make a precise and transparent assessment of the actions already undertaken but also the improvements to be pursued.

<https://www.mixity.co/structure/groupe-bpce/public/>

Our commitments focus on several major areas:

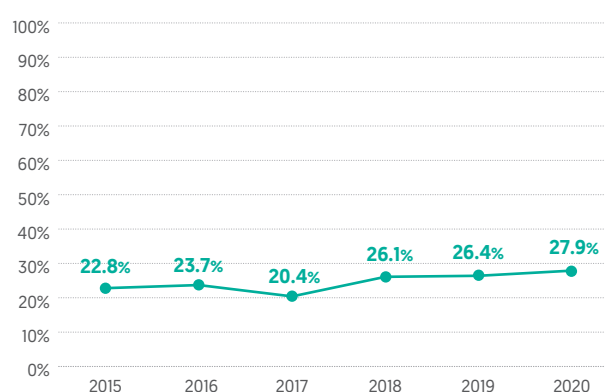
Pursuing actions to promote gender equality

INCREASING THE NUMBER OF FEMALE COMPANY DIRECTORS

This ambition involves stepping up efforts to identify and support women with the potential to hold senior management positions. This aims to reinforce their identification and to pay particular attention to supporting female employees:

- female employees identified during the Potential Reviews and relevant support to implement defined;
- gender parity in the Group's career development programs;
- individualized courses offered if necessary;
- individual interviews during breakfast meetings organized by "Les Elles de BPCE".

PERCENTAGE OF FEMALE COMPANY DIRECTORS



INCREASING THE NUMBER OF FEMALE EXECUTIVES

At end-2020, 57.1% of all Group employees were women. The number of women executives has always been an important indicator for the Group. The number of women executives increased from 36.2% in 2010 to 44.5% at the end of 2020, representing a very sharp rise of 8.3 basis points.

<https://groupebpce.com/toute-l-actualite/actualites/2020/mixite-dans-le-groupe-bpce-ou-en-sommes-nous-en-2020>

PERCENTAGE OF WOMEN EXECUTIVES



A GENDER EQUALITY POLICY THAT IS PART OF A CONTINUOUS IMPROVEMENT APPROACH AND STRIVES TO SPREAD A CULTURE OF GENDER EQUALITY IN ALL OUR ESTABLISHMENTS

To bolster the agreements and action plans in place at each company in the Group, two gender equality agreements were signed in June 2018 – one for the Banques Populaires and one for the Caisses d'Épargne. These agreements establish a framework for companies in both networks. They provide support for the networks in their internal negotiations and allow for concrete actions to promote gender equality.

The renewal of the Professional Equality Label, which is now obtained for four years after an on-site audit, and an interview with a joint committee is undeniable proof of the companies' continuous improvement approach. To date, eight companies have been awarded the professional equality label, and a dozen others are involved in the process. This certification meets the requirements set out in the specifications and expert opinion.

A methodology for detecting pay gaps between women and men is carried out in each company with the aim of reducing gaps and harmonizing salaries upon hiring, particularly in the highest categories. This approach is reflected in an equal pay index of 91/100 on March 1, 2020 for Groupe BPCE (compared to 83/100 in 2019).

The Group HR department is continuing to support all of the Group's companies in promoting gender diversity policies through awareness-raising tools available to managers, employees and management teams: Gender Equality Guide, Co-Parenting Guide, awareness-raising videos, quizzes, etc.

<http://newsrse.fr/guide-2020-egalite-mixite-diversite-des-entreprises-a-limage-de-la-societe/>

Lastly, because a respectful environment between men and women is also essential for better gender balance, we have appointed and trained CSE HR & Harassment officers in each institution and provided companies with an awareness-raising questionnaire on sexism, so that each employee can anonymously question their own stereotypes and test their sensitivity to sexism in the company.

WOMEN'S NETWORKS, MAJOR PLAYERS IN PROMOTING GENDER EQUALITY

Created in 2012, the women's network of Groupe BPCE (*"Les Elles de BPCE,"* or *"The Women of BPCE"*) currently has a membership of over 430 women and 30 local networks. In line with the HR policy promoting gender equality, these networks are valuable forums for discussion and mutual assistance. In particular, they offer training sessions, mentoring, workshops and training modules. Among the recent initiatives proposed by the network, the partnership with the Capital Filles association enables Group employees to support young girls in their highschool final year in rural areas or priority neighborhoods.

<https://www.lesellesdebpce.fr/>

Supporting employees with disabilities

As part of their commitment to diversity and the promotion of equal opportunities, companies of Groupe BPCE have implemented a policy to promote the social and professional integration of people with disabilities since 2006.

It is based on clear commitments, enshrined in group, employee representative networks or company agreements (the Banque Populaire and Caisse d'Épargne employee representative networks, BPCE community, Natixis, etc.) in accordance with the legal provisions provided for under the French obligation to employ workers with disabilities (OETH) and more generally the law of 2005.

In 2019, Groupe BPCE renewed its commitment to employing people with disabilities through the signing of four agreements for the period from 2020 to 2022.

For the most part, they are in line with previous agreements and reflect the desire of stakeholders to consolidate and expand the disability policy in the following areas:

- recruiting and integrating people with disabilities;
- maintaining employees with disabilities in employment through training, career development and taking into account the need to accommodate their disability;
- supporting the change of attitude for better inclusion and quality of life at work for employees with disabilities;
- supporting people with disabilities working in the protected and adapted work sector through a proactive procurement policy.

These agreements were concluded in a particular context as the law for the freedom to choose one's professional future, known as the *"Pénicaud Act,"* has profoundly modified the obligation to employ disabled workers. Among the changes that impact the situation of companies, we note:

- removal from the calculation of the employment rate of beneficiary units linked to collaboration with adapted and protected structures. The purchase of products or services from Adapted Companies (EA), Service and Work Assistance Establishments (ESAT) or Disabled Self-Employed (TIH) therefore no longer contribute to the increase in the employment rate;

- the modification of the methods for counting employees with disabilities. The impact of these changes will only be able to be measured at the end of the first reporting exercise via the DSN implemented in 2020, i.e. in June 2021. As a reminder, the employment rate for 2020 will only relate to the direct employment of disabled employees.

For reference, at the end of 2019, the overall employment rate (direct and indirect employment rate) of people with disabilities was 4.87% for the Group, while the legal target is 6%.

In 2020, Groupe BPCE implemented initiatives to promote direct and indirect employment and the retention of people with disabilities, including:

- sourcing actions to help companies with their recruitment: In'2 Job event (<https://www.talenteo.fr/recruter-sensibiliser-handicap-bpce-in2job/>), sourcing partnership with the adapted company Aktisea, partnership for the automatic distribution of offers on www.Agefiph.fr;
- communication and awareness-raising measures: launch of an online awareness-raising scheme for all employees (Hand'E passports) and creation of a communication kit on the recognition of disability;
- tools to promote job retention: implementation of a "Disability & work life" hotline for employees;
- continued partnership with the GESAT Network in order to continue to use the services of the protected and adapted work sector.

In each company of Groupe BPCE, a disability coordinator supports people with disabilities throughout their career in the company (recruitment, integration, training, job retention, support in the process of recognizing their disability, etc.) in conjunction with human resources managers, managers and occupational health services.

Promoting equal opportunities

Following on from action taken since 2010 with the *Nos quartiers ont du talent* (Our Neighborhoods Have Talent) association, Groupe BPCE participated in the national plan in support of disadvantaged neighborhoods and the "PaQte" agreement between the government and corporations. Several priority actions have therefore been deployed in our companies:

<http://www.paqte.fr/wp-content/uploads/2020/04/R-Reporting-PAQTE-2019-GROUPE-BPCE.pdf>

- raising awareness of working life among young people through internships and school presentations by employees;
- facilitating access to apprenticeships to allow young people from disadvantaged neighborhoods to enter employment and to diversify the Group's talent pool. In 2019, we had 5.7% of apprentices from the QPV;
- continuation of our non-discrimination training for recruiters;
- more broadly, raising the awareness of all employees about non-discrimination and the fight against sexism through the provision of self-assessment tools and videos on stereotypes.

DEVELOPING EMPLOYABILITY

Fostering skills development

Transforming our businesses by creating conditions to develop skills and enhance employee value is a priority.

Professional training initiatives in 2020 followed on from measures taken under the TEC 2020 strategic plan in 2018.

BREAKDOWN OF PERMANENT STAFF TRAINED BY GENDER AND CATEGORY

Employees trained	2020			2019			2018		
	Women	Men	Total	Women	Men	Total	Women	Men	Total
Non-management	26,372	12,587	38,959	27,357	13,577	40,934	27,397	13,290	40,687
Management	13,085	16,434	29,519	11,812	15,783	27,595	11,699	16,286	27,985
TOTAL	39,457	29,021	68,478	39,169	29,360	68,529	39,096	29,576	68,672
Number of hours/FTE	27			33			32		

Permanent contracts present or departed on December 31 – In 2020, the method of counting employees trained has changed (see CSR reporting methodology).

In a context largely disrupted by the Covid-19 health crisis, the Group has greatly accelerated the transformation of its face-to-face training courses to adapt them to distance, while prioritizing business training (examples: flow hunters, banking, etc.) and all regulatory training.

In addition, and in accordance with the guidelines it had set for itself, in 2020 Groupe BPCE continued training in the following main areas:

- Boosting expertise to support the transformation:
 - Management of omni-channel relationships: Training for all customer advisors in 2020 focused on the appropriation of omni-channel business relationships (the capacity to serve, inform and advise customers across all distribution channels).

- Specialized advisors: Continued efforts to significantly increase the number of specialist advisors led to:
 - certifying the pathways leading to professional client manager, private banking manager, corporate affairs manager and specialized market manager;
 - creating and rolling out a degree course (master's level), in partnership with ESSEC, for all Senior Corporate Affairs officers.
- Banking penetration and account fees: To meet customer requirements, new offerings to increase banking penetration rates have been rolled out, with the "Cristal" range at the Banques Populaires and *Les Formules* for the Caisses d'Epargne. Training was provided to accompany the launch of these products.

- Constantly adapting to new regulatory requirements:

Since 2018, the companies of the Group have made considerable investments to comply in full with increasing regulatory requirements. In 2020, they supplemented their system with training to support the Group's code of ethics.

- Putting customer satisfaction first:

The service-minded approach involves adopting attitudes that are aligned with our customer segmentation. In addition to the reference framework for corporate client markets, delivered under the HR Lab program, an "Excellence in customer relations" program has begun to be rolled out in Group companies.

- Enabling employees to co-write their career paths:

The Group continues to invest in providing its employees opportunities to self-train at their own pace and according to their personal needs. Mobile Learning solutions offer short training sessions available on all devices (videos, quizzes, etc.). This format has been chosen by the Group to enhance its employees' digital acculturation with B'digit.

In 2019, the Group laid the foundations for a self-learning organizational model by rolling out a solution to enable all employees to share their knowledge, experience and practical advice with their peers by posting short video explanations, for example.

The Group also set up a process to generalize Workplace Training Initiatives (AFEST program) as required in the French Future Career Planning Act of September 6, 2018. This way of learning delivers excellent results. It is fully aligned with participants' requirements, does not disrupt the unit's operations and therefore helps improve customer satisfaction.

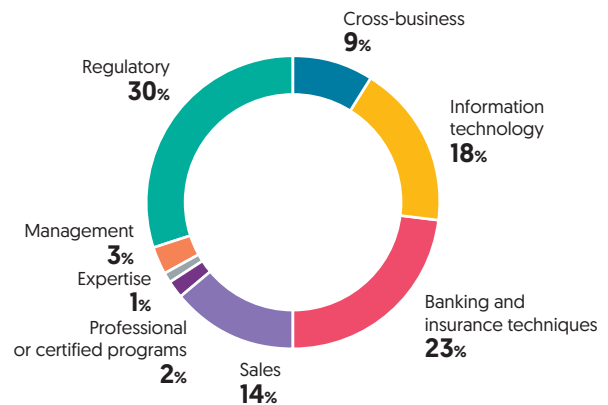
- Investment banking activity:

In 2019, Natixis launched the concept of Learning Days open to all employees worldwide. Ten days of events in September to promote the learning culture across the company, teams and employees. The Learning Days program combines "inspirational" conferences, workshops for discussion and practice, challenges, experiments and demonstrations as well as numerous testimonials. Two editions have already taken place:

- "We love Learning" in 2019 face-to-face and "Digital Video BEST OF" https://www.youtube.com/watch?v=M7MxJVY7_5E&feature=youtu.be;
- "Unlock your potential, we all have something to share" in 2020, as a fully digital teaser: <https://www.youtube.com/watch?v=Eb62YzMNEPw&feature=youtu.be>.

The opportunity to test and deploy many innovative learning formats such as virtual classrooms, podcasts, mobile learning, or the radio format. Two projects that were a resounding success with nearly 5,000 participating in the different formats, a satisfaction rate of 90% overall, and an operation conducted mainly internally by the Learning & Development teams.

BREAKDOWN OF PERMANENT STAFF TRAINED, BY AREA OF TRAINING



Training is primarily focused on regulatory issues, followed by banking and insurance techniques and IT.

Facilitating internal transfers

Since 2017, Groupe BPCE has had a website designed to support employees in all stages of their mobility project: from their reflection to their future integration by benefiting from advice, tutorials, presentations and quizzes, business videos, and articles to discover our business lines.

On Mobiliway you can find all the key information you need to work on your internal or group mobility project and JUMP. The site is updated and enriched with new content.

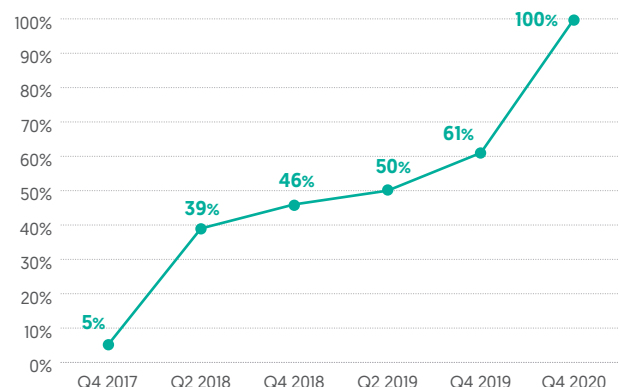
Mobiliway is accessible to all Group employees *via* two channels:

- the Group Intranet page Group Mobility;
- the Group Job Exchange with an insert attached to each job posting.

It is also accessible locally on the HR portals of 25 of our companies that have integrated Mobiliway on their local intranet.

Mobiliway, the platform dedicated to employee mobility support, is accessible to 100% of employees, in accordance with the Group's commitments.

ROLLOUT OF MOBILIWAY



At the same time, the companies of the Group have built on the momentum achieved in inter-company mobility by signing a new Strategic Workforce Planning agreement, which incorporates a new set of common rules. These rules facilitate inter-company transfers through a simplified hiring process, support measures, mobility programs and coordination meetings between HR directors in the local regions.

In addition to the job exchange, the job-skills framework JUMP, and the site Mobiliway, Groupe BPCE has implemented several tools to promote functional and geographical mobility and thus encourage professional development and career paths.

Since its inception in 2019, *Le vivier se déclarer mobile* (the pool for declaring yourself mobile) enabled 682 employees to share

their mobility plans with recruiters in Group entities. Employees can submit their resumes and discuss their career plans by targeting the regions and companies of the Group of their choice.

Over the course of 2020, more than 531 inter-company transfers were carried out. This figure is decreasing compared to 2019, primarily because of the health crisis.

Transfers between functions were once again high in 2020, at nearly 9,808.

Staff departures for mobility reasons (transfers) fell from 9.1% of all departures in 2018 to 8.9% in 2020, due to the health situation.

DEPARTURES OF PERMANENT-CONTRACT EMPLOYEES ACCORDING TO REASON AND GENDER

	2020				2019		2018	
	Women	Men	Total		Total		Total	
	Number	Number	Number	%	Number	%	Number	%
Departures, permanent staff								
Resignation	980	733	1,713	28.7%	2,270	29.3%	2,073	29.9%
Dismissal	493	378	871	14.6%	1,075	13.9%	882	12.7%
Transfer	274	257	531	8.9%	1,343	17.3%	635	9.1%
Retirement	797	793	1,590	26.7%	1,562	20.1%	1,695	24.4%
Mutually-agreed termination	289	211	500	8.4%	584	7.5%	586	8.4%
Departure during a trial period	317	319	636	10.7%	739	9.5%	452	6.5%
Other reasons	59	61	120	2.0%	185	2.4%	618	8.9%
TOTAL	3,209	2,752	5,961	100.0%	7,758	100.0%	6,941	100.0%

Permanent staff, incl. work-study contracts.

Rising employee engagement in a constantly improving working environment should allow the Group to retain its talented staff and limit the number of resignations among staff with permanent employment contracts. That rate has been stable for the past three years.

RESIGNATION RATE

	2020	2019	2018
Resignation rate	2.2%	2.9%	2.6%

The resignation rate breaks down into 0.8% for employees with less than three years of service at the time of their departure and 1.4% for others.

MAKE THE GROUP ATTRACTIVE: ATTRACT AND RETAIN TALENT

Groupe BPCE hired over 5,451 people with permanent contracts in 2020, playing an important role in offering jobs to young graduates from different backgrounds (business schools, universities, apprentice training centers, elite universities, etc.). New hires with fixed-term employment contracts totaled 6,154 in 2020.

BREAKDOWN OF NEW HIRES ACCORDING TO TYPE OF CONTRACT

	2020		2019		2018	
	Number	%	Number	%	Number	%
Permanent + fixed-term hires						
Permanent staff, incl. work-study contracts	5,451	47.0%	6,903	48.7%	5,623	40.0%
Fixed-term staff, incl. work-study contracts	6,154	53.0%	7,282	51.3%	8,430	60.0%
TOTAL	11,605	100.0%	14,185	100.0%	14,053	100.0%

Permanent and fixed-term staff at December 31.

Developing the Group's employer image

In its TEC 2020 plan, Groupe BPCE has undertaken to develop the Group's employer image in a bid to attract and retain talented individuals.

To achieve this, an employer brand platform has been established that complements and is consistent with the existing brands. The objective of the Groupe BPCE employer brand is to create a strong, structured, and unique positioning in order to:

- attract priority targets;
- inspire employee engagement and retain the best talent by better meeting today's changing expectations and job relations (employee/applicant experience).

NEW AND IMPROVED HIRING METHODS

Optimizing sourcing

In response to changing candidate behavior and the impact of digital on sourcing activities, Groupe BPCE is implementing hiring practices intended to increase visibility among candidates.

For example, in order to develop our Employer Brand among students, we have set up the Groupe BPCE Ambassador Program on the My Job Glasses platform.

- A community of 50 ambassadors representing 12 of our companies was created and is led by the Group HR department.
- 100,000 students and 48,000 professionals, mostly from CAC 40 companies, are registered on the platform.
- 3,000 companies are partners of the program.

Our objectives: to discuss and support students in their career choices, to answer all their questions about the banking sector, to represent with pride, kindness and professionalism our companies, the Group and all the employment opportunities that work-study students and interns can find by joining our companies.

A NEW APPLICANT EXPERIENCE

The Group's recruitment website has been revamped to focus on applicants, with videos taking center stage to:

- showcase real employees instead of presenting a corporate text drafted by HR;
- provide sections where applicants can submit their resume, prepare for an interview, define their career path, etc.;
- employees in promoting their profession, their company, the Group's values (social networks, co-opting, videos).

The number of visits and pages viewed at <https://recrutement.bpce.fr/> is monitored for information purposes.

Empowering employees to drive change

This requires support from managers, who must listen and provide direction. This is also reflected in the development of collaborative working methods.

Two major assessment and monitoring systems were set up to gauge the impact and perception of these initiatives:

MEASURING SATISFACTION AT KEY STAGES OF AN EMPLOYEE'S CAREER

The TEC 2020 strategic plan places particular emphasis on the quality of the employee experience, as well as the customer experience. Employee satisfaction is measured and monitored at key stages in their careers (recruitment, mobility, promotion to management level).

Nearly 85% of companies used this system in 2020, and more than 27 key employee moments were analyzed during this particular period.

EMPLOYER SURVEY

To measure employees satisfaction, an internal opinion survey (Diapason) is conducted in Group companies every two years. Renewed in 2020, the new edition addressed four themes: Confident and committed to a common project, Accomplished in their relationship to work, Involved in change, Effective together, as well as a Covid-19 Review.

54,000 employees in 40 companies had the opportunity to freely, individually and directly express their satisfaction and their expectations concerning their professional life and their support for the Group's strategy.

HR LAB

The HR LAB was set up following the decision made in the TEC 2020 strategic plan to co-construct HR solutions for the Group. The HR LAB started with an HR Hackathon that brought together forty employees from different backgrounds assisted by coaches to upgrade HR operating methods and develop a service-minded approach, as well as to roll out the Workplace Training Initiative program (AFEST) and feedback in 2020.

Full quantitative human resources indicators for Groupe BPCE are available at <https://groupebpce.com/en/csr/employees>

2.5 CSR reporting methodology

This section explains the methodology applied by Groupe BPCE in its CSR reporting.

2.5.1 CSR reporting structure

Sustainable development indicators based on the Global Reporting Initiative (GRI) guidelines are used to complete the non-financial performance report, in line with the ESG risk analysis performed by the Group in 2020 (see Chapter 2.2.4). The indicator guidelines were also updated to incorporate the 2018 regulatory changes, the expectations of our stakeholders (rating agencies, investors, NGOs, etc.), feedback from CSR officers in charge of reporting, and the recommendations of the independent third party for fiscal year 2019.

ENVIRONMENTAL INDICATORS

For fiscal year 2020, the internal environmental indicators were collected from the entities' CSR officers in collaboration with their logistics officers, *via* the SPIDER data entry tool.

For the carbon review, the Group uses the methodology defined in ISO 14064. Data are collected annually by each entity's CSR officers, and are reported in the COGNOS tool, rolled out in 2015.

Most of the emissions factors are based on those set by the French Environment and Energy Management Agency (ADEME) and are updated annually. In accordance with the general principles of carbon accounting, the integration of emission factors specific to Groupe BPCE is encouraged in the following cases:

- to compensate for a lack of appropriate factors;
- to replace ADEME's emissions factors (or factors from any other public or semi-public source) when they are not relevant or sufficiently detailed.

Environmental transition indicators are business indicators (eco-loans) collected from centralized databases for both networks. Indicators on outstanding renewable energy loans are collected from the Group Risk division.

HUMAN RESOURCES INDICATORS

No major changes were made to the human resources indicators so as to ensure stability and to allow for comparison.

Human resources data (excluding training) are extracted from two centralized information systems managed by the Group HR Data Management and Information Systems division, namely the "Services" data center and "My Link RH" for companies in the Caisse d'Épargne network, and the "Perse" data center for all other entities.

The data extracted from the two information systems are verified following a regular control process at Group level, according to the human resources indicators published in the registration document.

Permanent contracts include work-study contracts with an indefinite term. Fixed-term contracts include fixed-term work-study contracts (professionalization contracts and apprenticeships). Employees included in the headcount at December 31 of each year include those departing on that date and those whose contracts have been suspended.

New hires data refer to new hires on permanent and fixed-term contracts signed between January 1, and December 31, including work-study contracts (professionalization and apprenticeships).

Departures data include staff on permanent contracts leaving between December 31 of the previous year and December 30 of the current year broken down by reason: dismissal, resignation, departure during a trial period, mutually-agreed termination, transfer within the Group and retirement. The departure rate corresponds to the number of departures among permanent staff in year N divided by the total number of permanent staff at December 31 in year N-1.

Entries and exits in the context of transfers between different Group companies are taken into account in the new hires and departures totals for the year.

Absenteeism figures are calculated at December 31 of year N, based on absences recorded at that date and recorded in the HR information system at the time of data extraction for the scope under review.

Absenteeism is calculated as per the Group human resources data. It corresponds to the ratio between the number of days of absence in year N and the number of days due to be worked in the same year.

The "pandemic" absenteeism rate takes into account all absences linked to the Covid epidemic (illness-pandemic, medical emergency absences, partial activity, childcare, etc.).

Since 2020, the indicators relating to training have been extracted from the "Click and Learn" training information system and concern all attributable training sessions allocated to the plan for year N and validated by the training departments of the companies in the scope in question on the date of data extraction.

SOCIETAL INDICATORS

Societal indicators are mainly business indicators, such as socially responsible investments and loans to local authorities, to social housing operators and to the social and solidarity-based economy. Data are extracted from centralized databases. Their accuracy is regularly verified at Group level. Indicators related to patronage, microloans and cooperative identity are provided by the two networks' federations and by the Group's outside partners (Adie, France Active, Initiative France). Procurement indicators are provided by BPCE Procurement.

For assets under management, three levels of application of ESG criteria are proposed according to the different strategies implemented by the managers:

- responsible investing: Recognition of ESG criteria in research, where these criteria have no systematic impact on investment strategies or decision-making, and establishment of an active shareholding policy;
- sustainable investment: the investment strategy revolves around ESG issues, aiming to align values, financial outperformance, and societal impact through investment (for example: exclusions, best-in-class or best-in-universe strategies, or ESG-themed investment);
- impact investing: strategy to address societal challenges, such as those defined by the United Nations Sustainable Development Goals.

BUSINESS MODEL

The Group's business model is described in Chapter 2.1.1, "Drawing on our business model to create sustainable, robust value." It sets out our main activities, the main challenges in our business environment, our business model and what stands us apart from our peers. The business model is updated each year as often as necessary.

MEASURING OUR SOCIO-ECONOMIC FOOTPRINT

The aim of the socio-economic footprint is to measure the impact that the Banques Populaires and Caisses d'Épargne have

on employment and GDP. The review covers the banks' operating expenses (purchases from suppliers, payroll expenses and taxes) and the loans they grant to their customers (medium and long-term loans, lease financing, microloans). It does not include:

- impacts generated by short-term financing;
- impacts generated by off-balance sheet financing (guarantees, sureties, etc.);
- impacts generated by investments in the financial markets, equity investments and insurance compensation payouts;
- productivity or competitiveness gains that the loans granted may generate for their beneficiaries;
- the impact of support provided to customers by employees of the Caisse d'Épargne and Banque Populaire networks.

To carry out this assessment, Groupe BPCE relied on the expertise of Utopies. The model used is the LOCAL FOOTPRINT® model. This model uses departmental input/output tables. It enables the functioning of the economy to be reproduced as closely as possible. However, the results must be interpreted in light of the assumptions inherent to the model.

LOCAL FOOTPRINT® quantifies the jobs supported and the GDP generated in the economic sectors and departments, across the supply chain, by household consumption and public administration expenditure. Consistency checks are carried out for the different calculation steps.

SOURCES AND DETAILS OF BUSINESS MODEL DATA (CHAPTER 2.1)

Information	References
2 nd largest banking group in France	Market share: 22.2% in customer deposits and savings; 21.5% in customer loans (Banque de France, Q3 2020) (all non-financial customer segments).
No. 2 bank for individual customers	Market share: 22.2% in household deposits and savings; 26.1% in home loans (Banque de France, Q3 2020). Global penetration rate of 29.6% (rank 2) among individuals (SOFIA Kantar study, March 2020).
Change in Net Promoter Score	2018/2019 change in NPS (expressed in points).
26.1% market share in home loans	(Banque de France, Q3 2019) – Quarterly SURFI reports – home loan outstandings.
We fund over 20% of the French economy	21.5% market share in loan outstandings, all non-financial sector customers (Banque de France, Q3 2020).
No. 1 lender to the social economy	CE APRI lending market share: 21.2% (Source: Banque de France, end-June 2019).
No. 1 bank for SMEs	53% (No. 1) in terms of total penetration rate (2019 Kantar-TNS survey of SMEs).
69% of our employees are engaged	Diapason 2018 employee survey.

REPORTING STRUCTURE

CSR reporting is organized by the CSR BPA division, which coordinates the required tasks each year (updating the guidelines, indicators and user guides; advising the banks in the drafting of their own CSR annual report; etc.).

Like every year, it worked with the Group's operational divisions (IT, Human Resources, Real Estate & Logistics, Procurement, etc.) and federations (FNBP, FNCE) in order to make better use of centralized databases.

More specifically, in preparing the 2020 non-financial performance report, the Group CSR BPA division worked with the Group Risk division and its regional functions.

Various initiatives were taken in this respect in 2020, in collaboration with all of the contributors to the non-financial performance report, to facilitate the appropriation of this new process by all Group entities:

- groupwide distribution of a memorandum going over regulations and detailing the reporting process for the business lines;
- organization of two days of seminars for the CSR function:
 - a one-day presentation of the tool box used to implement the non-financial performance report in their entities and the methodology, attended by the four independent third parties working with the Group,
 - a one-day conference for all CSR officers from every entity to inform them about the importance of CSR reporting and answer their questions about the data collection process;
- awareness-raising among the Group's business functions about CSR reporting issues through visits by the sustainable development team (the credit exposure managers club, real estate & logistics conference, national procurement meeting, etc.);
- two carbon review training sessions (beginners and advanced levels), a CSR reporting training session and two sessions on the basics of CSR;
- two conference calls attended by nearly all of the sustainable development officers to provide advice and answer questions about the non-financial performance report and the collection of CSR data.

REPORTING TOPICS

The following topics are considered relevant in terms of the bank's indirect impacts: circular economy, reducing food waste, combating food poverty, improving animal welfare and ensuring responsible, fair, sustainable food supplies.

These topics are not addressed in specific paragraphs in this report but are covered by the bank's ESG risk analysis procedures. For its lending business, these topics are covered in sector policies. For investment and asset management activities, they are covered by the ESG ratings methodologies for fund management.

ROLE OF METHODOLOGY TOOLS

Risk analysis matrix

The matrix used to rate the 21 non-financial risks provides a rating system for gross risks based on their frequency and severity over a three-year period. It also measures the Group's net risk exposure in terms of the risk management systems (processes/quality, resources, controls) used.

User Guides

The user guide, addressed to all contributors to the Group CSR reporting processes, was updated for 2020. With respect to the universal registration document (but also for each entity, *i.e.* annual management report or URD), it defines the following:

- the regulatory environment;
- the timeline;
- the reporting process (scope, rules on extrapolation for incomplete data, consolidation rules and the information control process);
- a glossary.

This guide also relies on a CSR reporting standard that specifies all of the indicators published, their definitions, their units, the corresponding GRI reference, their sources, how they are calculated and collected, and examples of controls to carry out.

The Group carbon-review user guide was also updated in 2020. The guide is intended to promote the carbon-review system. The purpose of this guide is to:

- present the general principles of the method developed by the Group;
- review the system's history and the most recent changes to the system;
- offer a uniform presentation of the reporting rules for Groupe BPCE's greenhouse gas emissions reviews (reporting period, scope, extrapolation rules, etc.);
- enable departments to establish action plans for carbon reduction while meeting the requirements of Article 75 of the Grenelle 2 Act, which concerns greenhouse gas emissions reviews and the Local Climate-Energy Plan ("PCET") plan.

In 2019, the Group published three methodology memos for Travel, Fixed Assets and Procurement.

Reporting period

Published data cover the period from January 1, 2020 to December 31, 2020. Where physical data are not comprehensive for the period, contributors make approximate calculations to estimate the value of the missing data from average ratios provided by Groupe BPCE (in the user guides) based on FTEs and/or the surface area covered. The contributors review the estimates used and send their comments along with the information provided and approved by the Group.

Comparability

For 2019, Groupe BPCE chose only to report figures for a single year for some indicators, namely those that have undergone a major change in definition since 2019 and some that were newly introduced in 2020.

Controls

The "ESG information quality control framework" defines the organization of control systems for ESG information within Groupe BPCE, and describes the main policies in place on this subject. It applies to all Groupe BPCE entities in the consolidated scope: the central institution, its direct and indirect subsidiaries, all BPCE affiliates and their subsidiaries.

Each entity is responsible for the accuracy of its CSR data. The same applies to Groupe BPCE's operational divisions.

At Group level, all data collected are verified and subject to a careful review of units and data consistency. Contributors are asked for an explanation where figures appear unjustified.

The third level of control is the Internal Audit, which performs checks on entities' CSR reporting as part of its multi-annual audit plan (since 2017).

If any data published in the management report for the previous year prove inaccurate, a correction is made with an accompanying explanation on the bottom of the same page.

2.5.2 Reporting scope for 2020

Groupe BPCE's long-term objective is to meet the regulatory requirement of producing CSR reporting for the statutory scope of consolidation (the same as used for the publication of the Group's consolidated financial statements). The scope established for 2020 was defined as reasonably as possible under the circumstances. This scope varies depending on the type of indicator. The scope will expand every year, with the aim of covering the entire statutory scope of consolidation.

HUMAN RESOURCES INDICATORS – REPORTING SCOPE

In 2020, the reporting scope reviewed for human resources indicators (excluding training and absenteeism) included the following:

- the Banques Populaires;
- the Caisses d'Épargne;
- the Banque de Savoie;
- the subsidiaries of Crédit Coopératif;
- SBE;
- IT organizations I-BP, IT-CE and BPCE-IT;
- BPCE SA and Natixis SA;
- BPCE Lease, BPCE Car Lease, BPCE Factor, BPCE Financement;
- Natixis Payment Solutions, Natixis Interépargne;
- ONEY.

The human resources reporting scope covers over 90% of the Group's headcount in France.

With respect to training and absenteeism data, the scope is limited to the Banques Populaires, the Caisses d'Épargne, BPCE SA group and the IT subsidiaries of Groupe BPCE. It represents over 90% of permanent staff (incl. work-study contracts) covered by the human resources data.

ENVIRONMENTAL AND SOCIETAL INDICATORS – REPORTING SCOPE

For 2020, the reporting scope covers 87% of Groupe BPCE's permanent headcount.

It includes the following entities (barring specifically-mentioned exceptions):

- the 14 companies of the Banque Populaire network, composed of the Banques Populaires and their subsidiaries in France;
- the 15 companies of the Caisse d'Épargne network and their subsidiaries;
- BPCE, BPCE Factor, BPCE Financement, BPCE Lease, Compagnie Européenne de Garanties et de Cautions, BPCE IT, I-BP, IT-CE, Natixis SA and its subsidiaries in France, Banque Palatine and its subsidiaries in France, Crédit Foncier, and Oney France;

The methodologies and scopes related to BRED Banque Populaire, Crédit Coopératif and Natixis are outlined in their respective management reports.

DIFFICULTIES AND LIMITATIONS

It is difficult to analyze and interpret the data owing to the large number of information systems in use within Groupe BPCE. The reporting scopes vary according to the type of data (human resources, environmental, societal or business data).

2.6 Report of one of the Statutory Auditors, appointed as an independent third party, on the consolidated statement of non-financial performance included in the Group management report

For the year ended December 31, 2020

To the Shareholders,

In our capacity as Statutory Auditor of BPCE SA, appointed as independent third party and accredited by COFRAC under number 3-1048 (scope of accreditation available at www.cofrac.fr), we hereby report to you on the consolidated non-financial statement for the year ended December 31, 2019 (hereinafter the "Statement"), presented in the Group management report pursuant to the legal and regulatory provisions of Articles L. 225-102-1, R. 225-105 and R. 225-105-1 of the French Commercial Code (Code de commerce).

Company's responsibility

The Board of Directors is responsible for preparing a Statement pursuant to legal and regulatory provisions, including a presentation of the business model, a description of the main extra-financial risks, a presentation of the policies implemented with respect to these risks as well as the results of these policies, including key performance indicators. The Statement has been prepared by applying the company's procedures (hereinafter the "Guidelines"), summarized in the Statement and available on the company's website or on request from its headquarters.

Independence and quality control

Our independence is defined by the requirements of article L. 822-11-3 of the French Commercial Code and the French Code of Ethics for Statutory Auditors (Code de déontologie). In addition, we have implemented a system of quality control including documented policies and procedures regarding compliance with the ethical requirements, French professional standards and applicable legal and regulatory requirements.

Responsibility of the Statutory Auditor appointed as independent third party

Based on our work, our responsibility is to express a limited assurance conclusion on:

- the compliance of the Statement with the requirements of article R. 225-105 of the French Commercial Code;
- the fairness of the information provided pursuant to part 3 of sections I and II of Article R. 225-105 of the French Commercial Code, i.e. the outcomes of policies, including key performance indicators, and measures relating to the main risks, hereinafter the "Information."

However, it is not our responsibility to provide any conclusion on the company's compliance with other applicable legal and regulatory provisions, particularly with regard to the duty of vigilance, anti-corruption and taxation nor on the compliance of products and services with the applicable regulations.

Nature and scope of procedures

We performed our work in accordance with Articles A.225-1 et seq. of the French Commercial Code defining the conditions under which the independent third party performs its engagement and the professional guidance issued by the French Institute of Statutory Auditors (Compagnie nationale des commissaires aux comptes) relating to this engagement and with ISAE 3000 (Assurance engagements other than audits or reviews of historical financial information)..

We conducted procedures in order to assess the Statement's compliance with regulatory provisions, and the fairness of the Information:

- We familiarized ourselves with the Group's business activity and the description of the principal risks associated.
- We assessed the suitability of the Guidelines with respect to their relevance, completeness, reliability, neutrality and clarity, taking into account, where appropriate, best practices within the sector.
- We verified that the Statement covers each category of information stipulated in section III of Article L. 225-102-1 governing social and environmental affairs, as well as in the second paragraph of Article L. 22-10-36 regarding the respect for human rights and the fight against corruption and tax evasion.
- We verified that the Statement provides the information required under article R. 225-105 II of the French Commercial Code, where relevant with respect to the principal risks, and includes, where applicable, an explanation for the absence of the information required under article L. 225-102-1 III, paragraph 2 of the French Commercial Code.

- We verified that the Statement presents the business model and a description of principal risks associated with all the entity's activities, including where relevant and proportionate, the risks associated with its business relationships, its products or services, as well as its policies, measures and the outcomes thereof, including key performance indicators associated to the principal risks.
- We referred to documentary sources and conducted interviews to :
 - assess the process used to identify and confirm the principal risks as well as the consistency of the outcomes, including the key performance indicators used, with respect to the principal risks and the policies presented, and
 - corroborate the qualitative information (measures and outcomes) that we considered to be the most important⁽¹⁾;
- We verified that the Statement covers the consolidated scope, i.e. all companies within the consolidation scope in accordance with Article L. 233-16, with the limits specified in the Statement;
- We obtained an understanding of internal control and risk management procedures the entity has put in place and assessed the data collection process to ensure the completeness and fairness of the Information.
- We carried out, for the key performance indicators and other quantitative outcomes⁽²⁾ that in our judgment were of most significance:
 - analytical procedures that consisted in verifying the correct consolidation of collected data as well as the consistency of changes thereto,
 - substantive tests, on a sampling basis, that consisted in verifying the proper application of definitions and procedures and reconciling data with supporting documents. These procedures were conducted for a selection of contributing entities⁽³⁾ and covered between 12% and 100% of the consolidated data for the key performance indicators and outcomes selected for these tests;
 - we assessed the overall consistency of the Statement in relation to our knowledge of the company.

We believe that the procedures we have performed, based on our professional judgment, are sufficient to provide a basis for a limited assurance conclusion; a higher level of assurance would have required us to carry out more extensive procedures.

Means and resources

Our work engaged the skills of nine people between November 2020 and March 2021.

To assist us in conducting our work, we referred to our corporate social responsibility and sustainable development experts. We conducted around ten interviews with people responsible for preparing the Statement.

Conclusion

Based on our work, nothing has come to our attention that cause us to believe that the non-financial statement does not comply with the applicable regulatory provisions and that the Information, taken as a whole, is not fairly presented in accordance with the Guidelines.

Paris-La Défense, March 5, 2021

One of the Statutory Auditors,

Deloitte & Associés

Marjorie Blanc Lourme

Partner, Audit

Julien Rivals

Partner, Sustainability Services

[1] Voting and Engagement Policies, Methodologies adopted by the Group's asset management companies for carbon footprint and climate alignment measurement, Recognition of ESG criteria and transition and physical risks arising from climate change in financing and investment decisions.

[2] OCF gross production and annual change in inventory, Amount of and change in outstanding loans and origination in the BP and CE networks, Number of banks having begun to include ESG criteria in their credit records and number of banks incorporating ESG criteria in their proprietary investment decisions, NPS annual individual customer and change, Number of "Information/advice" claims processed in 2020 with a favorable response/Total number of claims processed in 2020, Number of « unauthorized transaction » claims processed in 2020 with a favorable response/Total number of claims processed in 2020, Amount of financing for the energy transition (annual production), Total SRI funds sold (CE) and Total SRI and solidarity funds sold (BP) in euros, Percentage of new community projects with ISS and Privacy support, Socio-economic footprint, Share of employees having completed code of conduct training, Illness-related absenteeism (% and change), Number of workplace and commute injuries, Sickness absenteeism rate due to the pandemic, Number of hours of training per FTE (in hours per FTE), Percentage of female managers (% and change), Departure rate (resignation rate, according to seniority) and change, Annual CO2 emissions per FTE (TEQ CO2/FTE) and change, Annual BCP compliance rate (in %).

[3] Nataxis SA, Banque Populaire Centre Atlantique, Banque Populaire du Nord

2.7 Cross-reference table of the main social, environmental and societal information

Major gross ESG risks ⁽¹⁾	GRI 4 equivalent	Article 173 LTECV ⁽²⁾	Global Compact	Sustainable Development Goals	Chapter
Business ethics, transparency and respect for law	G4-S6; G4-41; G4-SO4 and FS4		10	16	2.4.2
Data security and confidentiality	G4-PR8				2.4.2
Lasting relations with customers	FS3; FS5; G4-PR8; G4-24; G4-26				2.4.2
Financing for the energy transition, green and blue growth and solidarity-based growth	G4-EC2; FS1; G4-EN27; FS15	III IV VI ⁽³⁾	8, 9	6, 7, 8, 9, 11, 12, 13, 14, 15	2.3
Working conditions	G4-LA4; G4-LA5; G4-LA6; G4-LA8; G4-HR4; G4-HR5; G4-HR6		3	3, 4, 8, 16	2.4.5
Employability and transformation of jobs	G4-LA9; G4-LA10		3	4, 8, 13	2.4.5
Integration of ESG criteria in lending/investment decisions	G4-EC2; G4-EN27; FS1; FS2; FS3; FS11;	III V	7, 8	6, 7, 8, 9, 10, 11, 12, 14	2.3
Financing for local regions	G4-EN27; G4-EN28; G4-EN29; G4-EN30; G4-EC7; FS8; FS7			2, 4, 7, 8, 11, 12, 13, 14, 16	2.3.3
Regional footprint	G4-SO1; G4-SO2; G4-9; FS13; G4-EC1; G4-EC9			1, 2, 8, 9	2.1.2
Accessibility of products and services & inclusive finance	FS7; FS14; FS16; G4-9			1, 8, 10, 11	2.4.1
Customer protection and transparency of the range of products and services	G4-PR5				2.4.2
Diversity among employees	G4-10; G4-LA1; G4-HR3; G4-HR8		1, 2, 3, 4, 5, 6	5, 8, 10	2.4.5
Involvement in the governance of investment targets	G4-16; FS5				2.3.1
Pandemic and technological risks					2.4.3

(1) Based on the risk analysis performed in Chapter 2.2.4 pursuant to directive 2014/95/EU, enacted into French law by Ministerial Order No. 2017-1180 of July 19, 2017 and Decree No. 2017-1265 of August 9, 2017, amending Articles L. 225-102-1 and R. 225-104 to R. 225-105-2 of the French Commercial Code initially established by Article 225 of the Grenelle 2 Act of 2010 and its 2012 implementing decree.

(2) French Energy Transition for Green Growth Act.

(3) Information required in accordance with Article 173, Section VI, of the French Energy Transition for Green Growth Act, available on the reports published by the companies in question.

REPORT ON CORPORATE GOVERNANCE

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3.1 Introduction

Dear shareholders,

In addition to the management report and in accordance with Article L. 225-68 of the French Commercial Code, this report by the Supervisory Board contains information on:

- the composition of the Supervisory Board and implementation of the principle of balanced representation of women and men;
- the conditions governing the preparation and organization of the Supervisory Board's work during the year ended December 31, 2020;

- the principles and rules governing the determination of all types of pay and benefits granted to corporate officers.

This report was reviewed by the Remuneration Committee on February 10, 2021, then approved by the Supervisory Board at its meeting of February 11, 2021.

The external Statutory Auditors will issue a specific report, appended to their report on the annual financial statements, attesting to the provision of other information required by law in the report on corporate governance (Article L. 225-235 of the French Commercial Code).

3.2 Corporate Governance Code

In preparing this report, BPCE referred to the Corporate Governance Code for listed companies published in December 2008 and revised in January 2020 by the *Association française des entreprises privées* (AFEP – French Private Companies Association) and the *Mouvement des entreprises de France* (MEDEF – French Business Confederation), hereinafter referred to as the AFEP-MEDEF Code, including the October 2008 recommendations on executive pay, as set out in Article L. 225-68 of the French Commercial Code.

Only certain provisions were not followed, insofar as they are not deemed to apply to BPCE's operating procedures as the central institution of a cooperative group and its equal ownership by the Banque Populaire and Caisse d'Epargne networks, which is reflected in the composition of its board. These provisions were as follows: terms of office, the proportion of independent directors on the Supervisory Board and its committees, Board member ownership of a material number of shares and the publication of the CEO pay ratio.

Regarding terms of office, unlike the maximum four-year term recommended in the AFEP-MEDEF Code, the statutory term of office of BPCE Supervisory Board Members is six years, *i.e.*, the maximum permitted by law. The benefit of a four-year term, as presented by the AFEP-MEDEF Code, is that it gives shareholders sufficiently frequent opportunity to provide an opinion on Board Member performance. However, this is unnecessary for BPCE, as its shareholders are limited to Banques Populaires and Caisses d'Epargne, which are already amply represented on the Supervisory Board as voting or non-voting directors. Accordingly, a shorter term of office would not substantially change the composition of the Supervisory Board. In addition, BPCE staggers reappointments, renewing the terms of office of half of the Supervisory Board members every three years, in order to avoid mass reappointments and promote a smooth Board member reappointment process. This gives shareholders sufficiently frequent opportunity to provide an opinion on Supervisory Board members, as recommended in the AFEP-MEDEF Code.

Regarding Supervisory Board member ownership of a material number of shares, BPCE's Articles of Association take into account the fact that, in accordance with act No. 2008-776 of August 4, 2008, Supervisory Board members are no longer required to own shares in the company. As a result, BPCE

Supervisory Board members do not own a material number of shares and are not shareholders in a personal capacity, but the two categories of shareholders are represented through their appointment, which ensures that the company's interests are respected.

Concerning the proportion of independent directors on the board and its committees, BPCE does not follow the recommendation of the AFEP-MEDEF Code, under which independent directors must represent half of the members of the boards of companies that are not under control, as defined by Article L. 233-3 of the French Commercial Code. In fact, this recommendation is not compatible with Article L. 512-106 of the French Monetary and Financial Code, which stipulates that the representatives of cooperative shareholders proposed by the Chairmen of the Steering and Supervisory Boards of the Caisses d'Epargne and the Chairmen of the Boards of Directors of the Banques Populaires account for a majority of the Supervisory Board of BPCE. In addition to this legal rule, good governance rules result from Groupe BPCE's unique structure: a balance of power must be maintained, as well as balanced representation of the Banque Populaire and Caisse d'Epargne networks. However, this organizational structure does not compromise the quality of the work and discussions of the board, an objective of the AFEP-MEDEF Code recommendation.

However, BPCE wishes to demonstrate the independence of the members of its Supervisory Board representing the cooperative shareholders proposed by the Chairmen of the Steering and Supervisory Boards of the Caisses d'Epargne and the Chairmen of the Boards of Directors of the Banques Populaires. The report "*Coopératives et mutuelles: un gouvernement d'entreprise original*" [Cooperatives and mutual insurance companies: original corporate governance], drafted within the framework of the French Institute of Directors in January 2006, explains why the elected directors of the cooperative companies that are the Banques Populaires and the Caisses d'Epargne fully meet the definition of "independent director." Thus, the question of "independent directors" concerns a specific type of company, which is the listed company. (...) In cooperative enterprises, the form of government is radically different. (...) The legitimacy and control of a mutual manager, and therefore his independence, depend on the office he holds through his election. Removing a director from the electoral process would dissociate him from the

interests of the organization and its cooperative shareholders. From another perspective, it is a fact that the directors of cooperatives and mutual societies commit themselves out of conviction and not out of financial interest. They devote a significant portion of their time and energy to their responsibilities as directors. They are wide open to the local, nonprofit and/or political world. These are all characteristics that make them truly independent directors, an independence that does not have to be called into question, but is continually reinforced by an authentic democratic process".

Similarly, with regard to the succession plan for company directors, there is currently only one succession procedure applicable only to the Chairman of the Management Board, in accordance with our internal rules.

For Supervisory Board Meetings and committee meetings, BPCE does not apply the recommendation on the organization of an annual meeting without the presence of executive company directors. However, the deliberations of the Supervisory Board and the opinions of the Board committees concerning the executive company directors take place without their presence.

In addition, the Fédération Nationale des Banques Populaires and the Fédération Nationale des Caisses d'Epargne, bodies that organize discussions, hear ideas and provide representation,

each hold annual meetings bringing together all the Chairmen of the Boards of Directors and the Chief Executive Officers of the Banques Populaires and all the Chairmen of the Boards of Directors and Supervisory Boards of Caisses d'Epargne without the presence of Statutory Auditors and the company directors of BPCE. These meetings, which guarantee the free expression of all participants, who represent BPCE's shareholders, promote strategic discussions and, accordingly, protect the interests of the institutions they represent.

Furthermore, regarding information on company director pay, BPCE does not apply the recommendation which stipulates that information on pay ratios should be published, thereby enabling comparison of company director pay and employee pay. In fact, the legislator's aim in drafting this legal provision, now taken up by the AFEP-MEDEF Code recommendation, which is to enable shareholders or investors of publicly-traded corporations to assess company director pay against the company's performance, is not relevant in light of BPCE's capital structure, under which the Banques Populaires and Caisses d'Epargne together hold all of the share capital and voting rights.

Finally, with the exception of the CEO pay ratio, BPCE formally adheres to and implements the AFEP-MEDEF Code recommendations on executive pay.

STATEMENT OF NON-COMPLIANCE WITH THE AFEP-MEDEF CODE⁽¹⁾

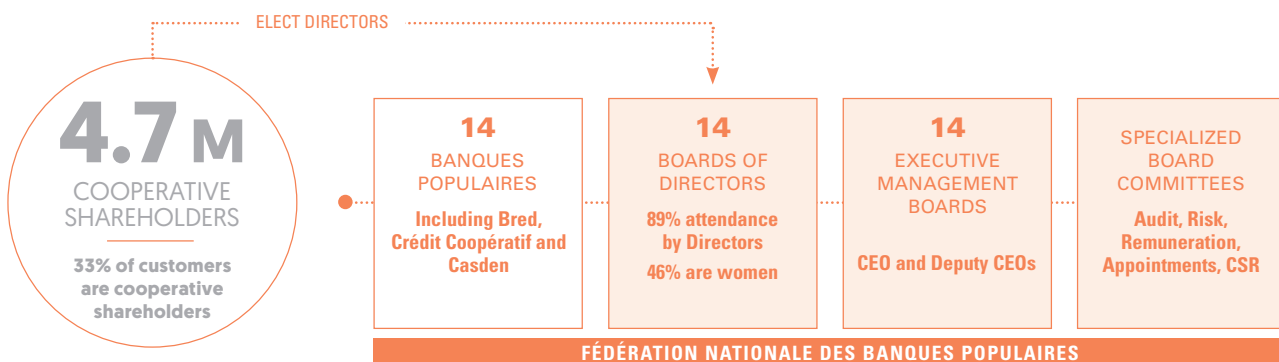
Independent directors	Recommendations partly implemented (not followed regarding proportion of independent directors on the board)
Board Meetings and committee meetings	Recommendations partly implemented (not followed regarding the organization of an annual meeting without the presence of executive company directors)
Directors' terms of office	Recommendations partly implemented (not followed regarding the six-year term)
Audit Committee	Recommendations partly implemented (not followed regarding proportion of independent directors on the committee)
Committee responsible for appointments	Recommendations partly implemented (not followed regarding proportion of independent directors on the committee)
Committee responsible for pay	Recommendations partly implemented (not followed regarding proportion of independent directors on the committee or succession plan for company directors)
Shareholding obligation of company directors	Recommendations not implemented
Information on pay awarded to company directors	Recommendations partially implemented (not followed with regard to the publication of the equity ratio)

[1] BPCE has implemented the provisions of the AFEP-MEDEF Code, adapting them to its Management Board/Supervisory Board governance model.

3.3 Management and Supervisory Bodies

3.3.1 Groupe BPCE's governance organization chart

BANQUES POPULAIRES



The cooperative shareholders: own cooperative shares⁽¹⁾

The **BOARD OF DIRECTORS** of the Banques Populaires and **STEERING AND SUPERVISORY BOARDS** of the Caisses d'Épargne:

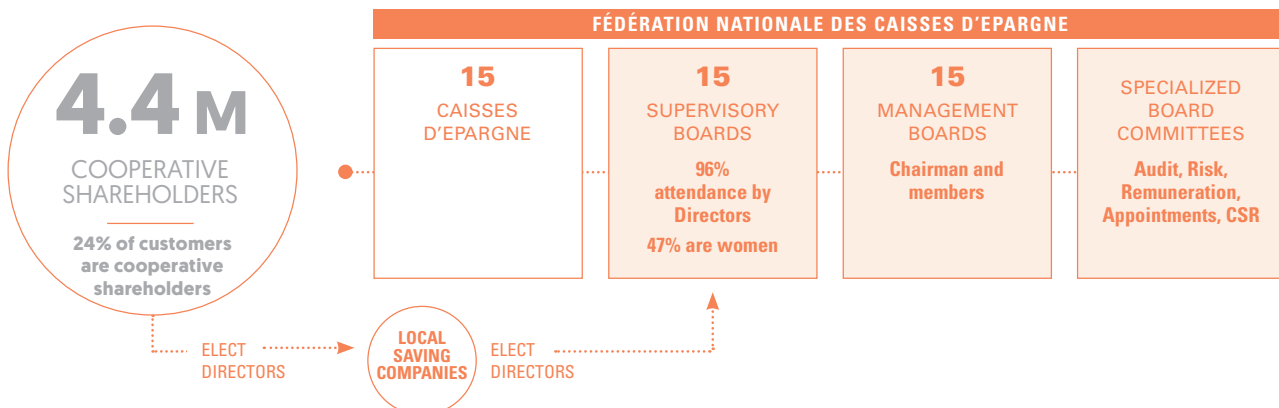
- represent the cooperative shareholders (via the LSCs for the Caisses d'Épargne);
- ensure that the regions and civil society are adequately represented;
- review the management activities of the Management Boards and Chief Executive Officers.

The **EXECUTIVE MANAGEMENT** teams of the Banques Populaires and **MANAGEMENT BOARDS** of the Caisses d'Épargne:

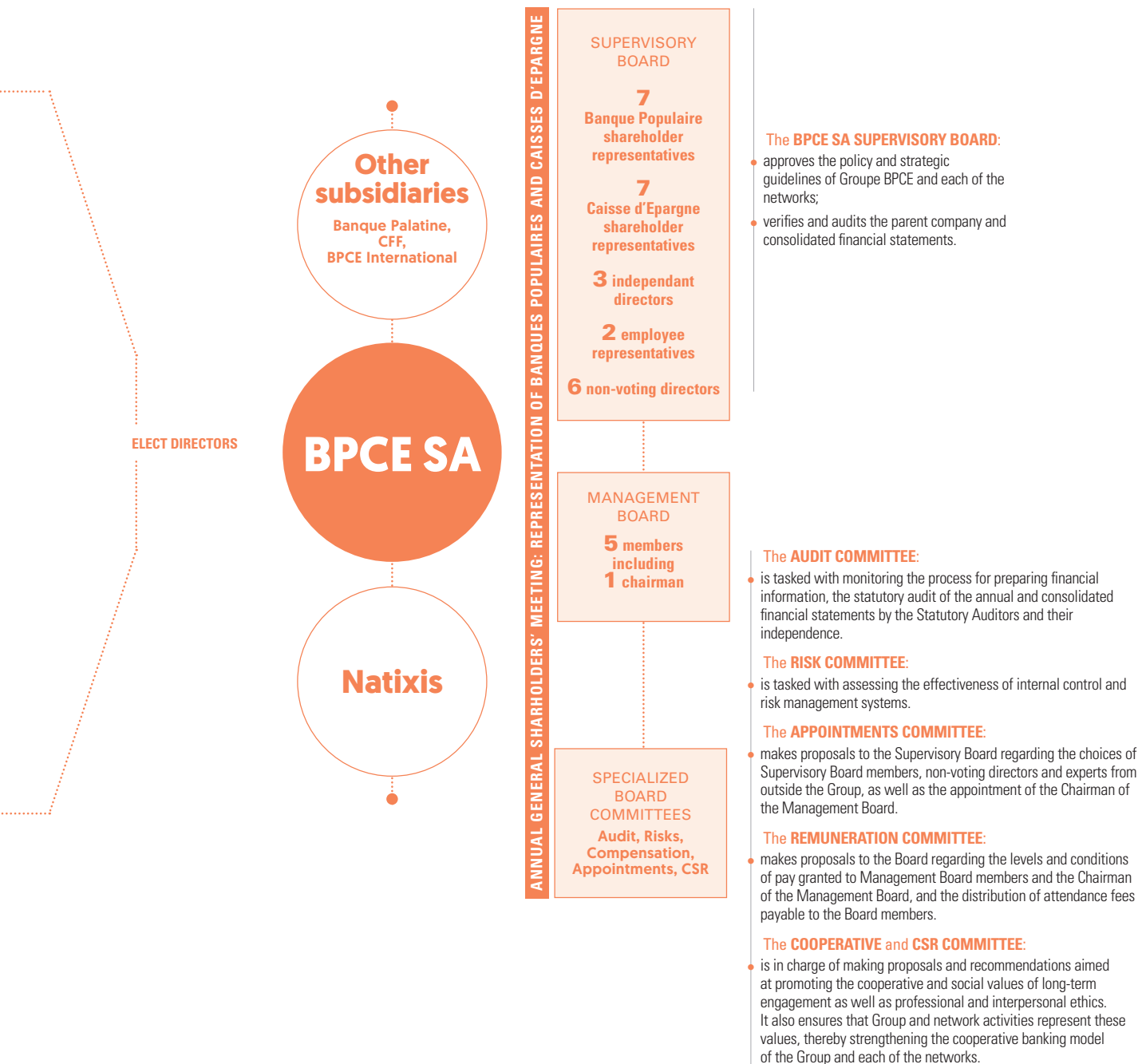
- Attend SSB/Board of Directors meetings, on invitation;
- run the company;
- oversee the budgets.

The **SPECIALIZED BOARD COMMITTEES**:

- make recommendations to the Board and prepare its decisions.



CAISSES D'ÉPARGNE



3.3.2 Supervisory Board

The terms of the BPCE Supervisory Board Members were renewed at the Ordinary General shareholders' Meeting of May 22, 2015 for a period of six years, *i.e.* until the Annual General shareholders' Meeting called to approve the financial statements for the year ending December 31, 2020. Furthermore, under the staggered reappointment procedure for Supervisory Board members, the Supervisory Board acknowledged the resignation of eight of its members at its meeting of May 17, 2018. The Combined General Meeting held on May 25, 2018 subsequently appointed eight new members for a period of six years, *i.e.* until the Annual General shareholders' Meeting called to approve the financial statements for the year ending December 31, 2023.

In accordance with Article L. 225-79-2 of the French Commercial Code, two employee representative members were appointed on April 28 and 30, 2015 by the two unions that received the most votes in the first round of elections referred to in Articles L. 2122-1 and L. 2122-4 of the French Labor Code, namely Fédération CFDT des banques et assurances and Fédération de la finance et de la banque CFE-CGC.

GUIDELINES

Under Article 21 of the Articles of Association as amended on December 31, 2020, the BPCE Supervisory Board is made up of 10 to 19 members: seven representatives of Category A shareholders (the Caisses d'Épargne et de Prévoyance), seven representatives of Category B shareholders (the Banques Populaires), three independent members as defined by the AFEP-MEDEF Code^[1] and two members representing employees of BPCE and its direct or indirect subsidiaries headquartered in France.

The Supervisory Board includes six Non-Voting Directors acting in an advisory capacity.

Among the Non-Voting Directors, the Chairman of Fédération Nationale des Caisses d'Épargne and the Chairman of Fédération Nationale des Banques Populaires, who cannot be members of the Supervisory Board, are Non-Voting Directors as of right, in accordance with Article 28.1 of BPCE's Articles of Association.

The other four Non-Voting Directors are appointed by the Ordinary General shareholders' Meeting in accordance with Article 31.9 of BPCE's Articles of Association: two from among the candidates proposed by Category A shareholders and two from among the candidates proposed by Category B shareholders.

The Non-Voting Directors are tasked with ensuring that BPCE fulfills its assigned responsibilities, particularly those set out by law, without interfering or getting involved in BPCE's management.

In accordance with Article L. 2312-72 of the French Labor Code, the Articles of Association also stipulate the presence of one non-voting representative from the company's Works Council.

The Supervisory Board includes a committee consisting of the Chairman, the Vice-Chairman, a Chairman of the Management Board of a Caisse d'Épargne and a Chief Executive Officer of a Banque Populaire bank. The Supervisory Board Committee serves as a forum for exchange and discussion about important matters before they are presented to the Supervisory Board. It is not a decision-making body.

APPOINTMENT

During the company's life and subject to co-opting, Supervisory Board Members are appointed by the shareholders at the Ordinary General shareholders' Meeting, as indicated in Article 21 of BPCE's Articles of Association, on a motion by Category A or B shareholders, depending on the category in question.

Independent members are proposed by the Appointments Committee to the Supervisory Board, which asks the Management Board to put their appointment to a vote at the Ordinary General shareholders' Meeting.

The two members representing employees of BPCE and its subsidiaries are appointed by each of the two unions that received the most votes in the first round of elections referred to in Articles L. 2122-1 and L. 2122-4 of the French Labor Code.

Supervisory Board Members hold office for a term of six years. Their duties end at the close of the Ordinary General shareholders' Meeting convened to rule on the financial statements for the past fiscal year, held during the year in which their term expires.

The Supervisory Board is partially reappointed every three years, and for the first time since the Annual General shareholders' Meeting that approved the financial statements for the year ended December 31, 2017.

Solely for the purposes of beginning to stagger Supervisory Board reappointments, the terms of eight members ended early upon the conclusion of the Annual General shareholders' Meeting that approved the financial statements for the year ended December 31, 2017. That same meeting also appointed the same number of Supervisory Board Members for a period of six years.

The Supervisory Board Members are eligible again under the conditions set out by the Articles of Association, specifically the provisions of Article 21 regarding the completion of a half-term without reaching the mandatory age limit of 70. They are automatically deemed to have resigned once they no longer carry out the responsibilities set out in Article 21 of the Articles of Association. Furthermore, no persons may be appointed as members of the Supervisory Board if, from the date of their appointment, they cannot complete at least half of their term before reaching the above-cited age limit.

DIVERSITY POLICY

In accordance with the law and Articles of Association as well as the Internal Rules, the Appointments Committee is tasked with making proposals regarding the choice of Group outsiders and Supervisory Board Members suggested to it.

To that end, the Appointments Committee verifies the fitness of Supervisory Board candidates with respect to their integrity, skills, and independence while pursuing a goal of diversity within the Supervisory Board, meaning a situation where the characteristics of the Supervisory Board Members differ to an extent that ensures a variety of viewpoints within the Supervisory Board, given that the cooperative nature of the Group greatly helps to promote diversity.

[1] A complete description of the shareholder categories is provided in section 7.2.2 "Category A and B shares".

As such, the Appointments Committee checks the following criteria: education, professional experience, age, balanced geographic representation, representation of different market types, representation of the different socio-professional categories of the Group's cooperative shareholder base, and a minimum 40% target for the representation of the underrepresented gender.

With respect to these criteria, when assessing a candidate for the Supervisory Board, the Appointments Committee strives to maintain or achieve a balance and have a skill set appropriate for the Group's activities and strategic plan, as well as the technical responsibilities assigned to the various Supervisory Board Committees.

None of these criteria on its own, however, is sufficient to mark the presence or absence of diversity, which is assessed collectively within the Supervisory Board. This is because the Appointments Committee prioritizes the synergy of technical skills, cultural diversity, and diverse experience in order to achieve a set of profiles that enhances the angles of analysis and viewpoints on which the Supervisory Board may rely when conducting its discussions and making its decisions, thereby encouraging good governance.

Finally, the Appointments Committee reports to the Supervisory Board any changes that it recommends making to the composition of the Supervisory Board in order to achieve the goals set out in the diversity policy.

GENDER EQUALITY

At December 31, 2020, with seven women on its Supervisory Board out of a total of nineteen members, BPCE had a proportion of 41.17% women, it being specified that, in accordance with Article L. 225-79 of the French Commercial Code, the members representing the employees of BPCE and its direct or indirect subsidiaries having their registered office in France are not taken into account in this calculation. At December 31, 2020, BPCE respected the minimum proportion of 40% of members of each sex on its Supervisory Board, and thus complies with the provisions of Article L. 225-69-1 of the French Commercial Code.

INDEPENDENCE

In keeping with the corporate governance guidelines and best practices set out in the Supervisory Board's internal rules adopted on July 31, 2009 and amended on December 20, 2018, Supervisory Board Members:

- take care to maintain their independence of judgment, decision and action in all circumstances. They avoid being influenced by anything that is contrary to the company's interests, which it is their duty to defend;
- undertake to avoid any conflict that may exist between their moral and material interests and those of the company. They inform the Supervisory Board of any conflict of interest that may affect them. In such cases, they abstain from taking part in any discussions and decisions on the matters in question.

In addition, the Supervisory Board and each of its committees include elected or co-opted independent members. The definition below is based on the AFEP-MEDEF Code recommendations. However, BPCE does not follow the AFEP-MEDEF Code recommendations concerning the proportion of independent directors on the Supervisory Board and its committees: because of Groupe BPCE's cooperative structure, the proportion of directors representing the Banque Populaire and Caisse d'Épargne networks is larger than the proportion of independent directors as defined in the AFEP-MEDEF Code (three in number).

The criteria stated below are designed to define a member's independent status. The guiding principle is that "members are independent if they have no relations of any sort with the company, its group or its management, which might compromise the free exercise of their judgment."

An independent member must not:

- be an employee or executive corporate officer of the company or Groupe BPCE, or an employee or director of one of the company's shareholders, and must not have been so during the previous five years;
- be an executive corporate officer of a company in which the company directly or indirectly holds a directorship or in which a designated employee or an executive corporate officer of the company (either currently or in the last five years) holds a directorship;
- be a customer (or directly or indirectly linked to a customer), supplier, investment banker or commercial banker, if the business relationship is such that it could compromise the free exercise of the member's judgment;
- have close family ties with an executive or non-executive corporate officer of the company or its group;
- have been an auditor, accountant, or permanent or alternate Statutory Auditor of the company or of any Groupe BPCE companies during the last five years;
- have been a non-executive corporate officer of the company for longer than 12 years; or
- receive or have received any substantial additional pay from the company or Groupe BPCE, excluding attendance fees and including participation in any stock option package or any other performance-based pay package.

The Supervisory Board may find that one or more of its members, although meeting the criteria above, should not be classified as independent given their individual situation or that of the company, with regard to their shareholdings or for any other reason.

Pursuant to Article 3.2 of the Internal Rules, at its meeting of December 10, 2020, the Appointments Committee reviewed and confirmed the independent status of Valérie Pancrazi, Anne-Claude Pont and Kadidja Sinz, based on the criteria defined by the Supervisory Board's Internal Rules.

AVAILABILITY

Pursuant to the requirements set by the European Central Bank (ECB), at its meeting of December 19, 2019, BPCE's Supervisory Board acknowledged a fit and proper policy governing in particular the assessment of Board member availability. This policy implements a system to ensure that Board members dedicate sufficient time to their roles and responsibilities.

To that end, the Appointments Committee assesses the availability of potential Board members by checking the number of corporate offices held and determining the amount of time allotted to each office.

ASSESSMENT

Pursuant to the AFEP-MEDEF Code and in accordance with the EBA/ESMA governance guidelines, a formal audit was conducted in 2019 by law firm FIDAL, under the direction of the Appointments Committee.

Some of FIDAL's recommendations have already been implemented (start time of the Supervisory Board Meeting, prioritization of strategic subjects on agenda etc.). The other areas for improvement are being implemented, such as an annual meeting devoted to the strategy of BPCE and its subsidiaries, in particular Natixis, and in the case of the Cooperative and CSR Committee, the improvement of work reports and greater involvement of operational teams.

In 2020, in accordance with the French Monetary and Financial Code and the AFEP-MEDEF Code, an internal assessment was carried out, without the involvement of a firm, on the basis of a questionnaire to which the members of the Supervisory Board and the non-voting directors were asked to respond.

The summary of the responses to the questionnaire was returned to the Supervisory Board Meeting on December 17, 2020 in the presence of the Management Board.

The assessment revealed elements of satisfaction, and in particular, the commitment of the members of the Supervisory Board to the service of the Group and its independence, the fact that the members act together in favor of collective intelligence, and the recognition of efficient work supported by the quality of the information and files sent and by improved access to documents.

Several themes emerged as priorities to be addressed, including the Group's positioning in European and international banking environments, the strengthening of the Group's CSR policy, and the frequency and duration of the Risk Committee meetings.

Some areas for improvement have already been implemented or are in the process of being implemented, such as the increase in the length of Risk Committee meetings in 2021, the organization of an annual strategic seminar, and the increase in the handling of CSR topics as part of the work on the strategic plan.

TRAINING

In compliance with Article L. 511-53 of the French Monetary and Financial Code, BPCE is committed to training the members of its Supervisory Board.

The main components of the training program were defined by considering the experience and needs of the members of the board, as well as the proposals made during the Board audit.

As such, the training program takes into consideration that Board members working within a Banque Populaire bank or Caisse d'Epargne already benefit from training programs organized by the network Federations.

Furthermore, Natixis' training modules are open to members of BPCE's Supervisory Board and are designed to be consistent with the existing module specific to members of BPCE's Supervisory Board.

Board members who are employee representatives also receive additional training provided by a third-party training firm in accordance with applicable legal and regulatory provisions.

There are three core components to BPCE's training program:

- a core curriculum open to all Board members;
- a training program for new Board members;
- ongoing training.

Training may be provided by internal and/or external providers.

The "ongoing training" component was enhanced as follows:

- access to a document library;
- MOOC (Massive Open Online Course) and e-learning courses introduced;
- personal coaching sessions, virtual classes, simulations and one-to-one interviews can now be organized;
- current topics can also be added to the initial program as they arise.

At its meeting of August 2, 2019, the Board approved a multi-year training program for 2019-2021, with the goal of complying with the marketplace best practices and standards (EBA, ESMA, IFA) and consolidating Board member expertise.

An acclimation program for new Board members appointed in 2021 was implemented and will include meetings with heads of Internal Control functions and the main business lines.

During fiscal year 2020, members of BPCE's Supervisory Board had the opportunity to receive training on the following subjects:

- new payment instruments;
- review of internal models;
- crisis management, recovery and resolution;
- Natixis' capital market activities: positioning, objectives and risks for the Group;
- Natixis' asset management business;
- Natixis' insurance business;
- IT and Digital: assessment of digital customer spaces after three to four years; Data in the service of banking business development; The new approaches of the post-Covid customer relationship: the Visio Client project.

A new multi-year training program will be submitted to the Supervisory Board for 2021/2023.

MEMBERS

MEMBERS OF THE SUPERVISORY BOARD AT DECEMBER 31, 2020

SB: Supervisory Board

BD: Board of Directors

SSB: Steering and Supervisory Board

Office	Personal information			Experience		Position on the Board				Participation in Board committees
	Age	Gender	Nationality	No. of shares	Number of offices held in listed companies	Independence	Date of initial appointment/reappointment	Term of office ends	Length of tenure on the Board	
Chairman of the Supervisory Board							05/24/2019	2021		
Pierre Valentin Chairman of the SSB of Caisse d'Epargne Languedoc-Roussillon	67	M	Fr	0	0		07/31/2009 Reappointed 05/22/2015	2021	11 years	Yes: Cooperative and CSR Committee
Vice-Chairman of the Supervisory Board							05/24/2019	2021		
Thierry Cahn Chairman of the BD of Banque Populaire Alsace Lorraine Champagne	64	M	Fr	0	0		07/31/2009 Reappointed 05/22/2015 and 05/25/2018	2024	11 years	Yes: Cooperative and CSR Committee
Banque Populaire Representatives										
Gérard Bellemon Chairman of the BD of Banque Populaire Val de France	66	M	Fr	0	0		06/19/2018	2024	2 years	Yes: Appointments Committee Remuneration Committee
Bernard Dupouy Chairman of the BD of Banque Populaire Aquitaine Centre Atlantique	65	M	Fr	0	0		08/02/2018	2024	2 years	Yes: Audit Committee Remuneration Committee
Yves Gevin Chief Executive Officer of Banque Populaire Rives de Paris	62	M	Fr	0	0		05/22/2015 Reappointed 05/25/2018	2024	5 years	Yes: Audit Committee Appointments Committee Remuneration Committee Cooperative and CSR Committee
Michel Grass Chairman of the BD of Banque Populaire Bourgogne Franche-Comté	63	M	Fr	0	0		05/22/2015	2021	5 years	Yes: Risk Committee Appointments Committee
Olivier Klein Chief Executive Officer of BRED Banque Populaire	63	M	Fr	0	0		01/01/2019	2021	2 years	Yes: Risk Committee
Catherine Mallet Chairman of the BD of Banque Populaire Occitane	51	F	Fr	0	1		05/17/2018	2021	2 years	No
Caisse d'Epargne Representatives										
Catherine Amin-Garde Chairman of the SSB of Caisse d'Epargne Loire Drôme Ardèche	65	F	Fr	0	0		07/31/2009 Reappointed 05/22/2015 and 05/25/2018	2024	11 years	Yes: Appointments Committee Remuneration Committee
Alain Denizot Chairman of the Management Board of Caisse d'Epargne Rhône Alpes	60	M	Fr	0	0		12/20/2018	2021	2 years	Yes: Risk Committee
Dominique Goursole-Nouhaud Chairman of the SSB of Caisse d'Epargne Aquitaine Poitou-Charentes	68	F	Fr	0	0		08/02/2018	2021	2 years	Yes: Appointments Committee Remuneration Committee

Office	Personal information			Experience		Position on the Board				Participation in Board committees
	Age	Gender	Nationality	No. of shares	Number of offices held in listed companies	Independence	Date of initial appointment/reappointment	Term of office ends	Length of tenure on the Board	
Françoise Lemalle Chairman of the SSB of Caisse d'Epargne Côte d'Azur	55	F	Fr	0	0		Initially appointed 05/22/2015 Reappointed 05/25/2018	2024	5 years	Yes: Risk Committee
Didier Patault Chairman of the Management Board of Caisse d'Epargne Île-de-France	59	M	Fr	0	0		07/31/2009 Reappointed 05/22/2015 Reappointed 05/25/2018	2024	11 years	Yes: Audit Committee Appointments Committee Remuneration Committee Cooperative and CSR Committee
Éric Fougère Chairman of the SSB of Caisse d'Epargne Bourgogne Franche-Comté	53	M	Fr	0			12/19/2019	2021	1 year	Yes: Audit Committee
Independent Members										
Valérie Pancrazi Independent advisor VAP Conseils	57	F	Fr	0	0	X	05/09/2019	2024	1 year	Yes: Appointments Committee Remuneration Committee
Kadidja Sinz Head of Europe – Liberty Specialty Markets	63	F	Fr	0	0	X	08/02/2018	2021	2 years	Yes: Audit Committee Risk Committee
Anne-Claude Pont Chairman and Co-Founder of wilov	60	F	Fr	0	0	X	03/29/2018	2021	2 years	Yes: Audit Committee Risk Committee
Members representing employees of BPCE and its subsidiaries										
Vincent Gontier Fédération CFDT des Banques et Assurances	66	M	Fr	0	0		04/28/2015	2021	5 years	Yes: Remuneration Committee
Frédéric Hassaine Fédération de la Finance et de la Banque CFE-CGC	54	M	Fr	0	0		04/30/2015	2021	5 years	No
Non-Voting Directors										
Jean Arondel⁽¹⁾ Chairman of Fédération Nationale des Caisses d'Epargne	70	M	Fr	0	1		05/06/2015	2021	5 years	Yes: Cooperative and CSR Committee
Pierre Carli Chairman of the Management Board of Caisse d'Epargne de Midi-Pyrénées	65	M	Fr	0	0		07/31/2009 Reappointed 05/22/2015	2021	11 years	No
Joël Chassard Chairman of the Management Board of Caisse d'Epargne Provence-Alpes-Corse	63	M	Fr	0	0		05/17/2018	2021	2 years	No
Sylvie Garcelon Chief Executive Officer of CASDEN Banque Populaire	55	F	Fr	0	1		12/20/2018	2021	2 years	No
André Joffre⁽¹⁾ Chairman of Fédération Nationale des Banques Populaires	67	M	Fr	0	0		06/19/2018	2021	2 years	Yes: Cooperative and CSR Committee
Daniel Karyotis Chief Executive Officer of Banque Populaire Auvergne Rhône Alpes	59	M	Fr	0	1		11/08/2016	2021	4 years	No

(1) Non-voting Directors as of right.

SUPERVISORY BOARD – DISTRIBUTION OF EXPERTISE

Areas of expertise	> 50%	30% to 50%	10% to 30%
Retail banking & Insurance	X		
Financial markets, capital markets, capital adequacy and models		X	
Financial accounting and financial disclosures	X		
Risk management, compliance verification and Internal Audit	X		
Legal and regulatory expertise		X	
Strategic planning and understanding of business strategy	X		
Management skills and experience	X		
International		X	
Information systems and digital expertise			X
Cooperative banking experience	X		

COMPOSITION OF BOARD COMMITTEES AT DECEMBER 31, 2020

AUDIT COMMITTEE

The Audit Committee's members were chosen for their expertise in accounting, finance and internal control:

Since August 2, 2018, the Audit Committee has been chaired by Kadidja Sinz, independent member, Head of Europe, Liberty Specialty Markets.

The other members are:

- Bernard Dupouy, Chairman of the Board of Directors of Banque Populaire Aquitaine Centre Atlantique;
- Yves Gevin, Chief Executive Officer of Banque Populaire Rives de Paris;
- Didier Patault, Chairman of the Management Board of Caisse d'Epargne Île-de-France;
- Éric Fougère, Chairman of the Steering and Supervisory Board of Caisse d'Epargne Bourgogne Franche-Comté;
- Anne-Claude Pont, independent member, Chairman of wilov.

The Chairman and Vice-Chairman of the Supervisory Board are permanent guests of the Audit Committee.

The heads of Group Inspection Générale, Risk Management, Compliance and Permanent Control are invited to the meetings of the Audit Committee as non-voting participants.

The biographies of Audit Committee members are available in section 3.3.5.

RISK COMMITTEE

The Risk Committee's members were chosen for their knowledge, skills and expertise that enable them to understand and monitor corporate strategy and risk appetite.

Since March 29, 2018, the Risk Committee has been chaired by Anne-Claude Pont, independent member, Chairwoman of wilov.

The other members are:

- Alain Denizot, Chairman of the Management Board of Caisse d'Epargne Rhône Alpes;
- Michel Grass, Chairman of the Board of Directors of Banque Populaire Bourgogne Franche-Comté;
- Olivier Klein, Chief Executive Officer of BRED Banque Populaire;
- Françoise Lemalle, Chairwoman of the Steering and Supervisory Board of Caisse d'Epargne Côte d'Azur;

- Kadidja Sinz, independent member, Head of Europe, Liberty Specialty Markets.

The Chairman and Vice-Chairman of the Supervisory Board are permanent guests of the Risk Committee.

The heads of Group Inspection Générale, Risk Management, Compliance and Permanent Control are invited to the meetings of the Risk Committee as non-voting participants.

The biographies of Risk Committee members are available in section 3.3.5.

APPOINTMENTS COMMITTEE

The Appointments Committee's members were chosen for their expertise and professional experience.

Since May 9, 2019, the Appointments Committee has been chaired by Valérie Pancrazi, independent member, Independent Advisor of VAP Conseils.

The other members are:

- Catherine Amin-Garde, Chairman of the Steering and Supervisory Board of Caisse d'Epargne Loire Drôme Ardèche;
- Gérard Bellemon, Chairman of the Board of Directors of Banque Populaire Val de France;
- Yves Gevin, Chief Executive Officer of Banque Populaire Rives de Paris;
- Dominique Goursolle-Nouhaud, Chairman of the Steering and Supervisory Board of Caisse d'Epargne Aquitaine Poitou-Charentes;
- Michel Grass, Chairman of the Board of Directors of Banque Populaire Bourgogne Franche-Comté;
- Didier Patault, Chairman of the Management Board of Caisse d'Epargne Île-de-France.

The Chairman and Vice-Chairman of the Supervisory Board are permanent guests of the Appointments Committee.

When invited by the Chairman of the Appointments Committee, the Head of the Group human resources function attends meetings of the Appointments Committee as a non-voting participant.

The biographies of Appointments Committee members are available in section 3.3.5.

REMUNERATION COMMITTEE

The Remuneration Committee's members were chosen for their expertise and professional experience.

Since May 9, 2019, the Remuneration Committee has been chaired by Valérie Pancrazi, independent member, Independent Advisor of VAP Conseils.

The other members are:

- Catherine Amin-Garde, Chairman of the Steering and Supervisory Board of Caisse d'Epargne Loire Drôme Ardèche;
- Gérard Bellemon, Chairman of the Board of Directors of Banque Populaire Val de France;
- Bernard Dupouy, Chairman of the Board of Directors of Banque Populaire Aquitaine Centre Atlantique;
- Yves Gevin, Chief Executive Officer of Banque Populaire Rives de Paris;
- Vincent Gontier, employee representative;
- Dominique Goursolle-Nouhaud, Chairman of the Steering and Supervisory Board of Caisse d'Epargne Aquitaine Poitou-Charentes;
- Didier Patault, Chairman of the Management Board of Caisse d'Epargne Île-de-France.

The Chairman and Vice-Chairman of the Supervisory Board are permanent guests of the Remuneration Committee.

When invited by the Chairman of the Remuneration Committee, the Head of the Group human resources function attends meetings of the Remuneration Committee as a non-voting participant.

The biographies of Remuneration Committee members are available in section 3.3.5.

COOPERATIVE AND CSR COMMITTEE

The Cooperative and CSR Committee's members were chosen for their expertise and professional experience:

Since June 16, 2020, the Cooperative and CSR Committee has been chaired by André Joffre, non-voting director as of right, Chairman of the Fédération Nationale des Banques Populaires.

The other members are:

- Jean Arondel, non-voting director as of right, Chairman of the Fédération Nationale des Caisses d'Epargne;
- Thierry Cahn, Chairman of the Board of Directors of Banque Populaire Alsace Lorraine Champagne, Vice-Chairman of the Supervisory Board of BPCE;
- Yves Gevin, Chief Executive Officer of Banque Populaire Rives de Paris;
- Didier Patault, Chairman of the Management Board of Caisse d'Epargne Île-de-France;
- Pierre Valentin, Chairman of the Steering and Supervisory Board of Caisse d'Epargne Languedoc-Roussillon, Chairman of the Supervisory Board of BPCE.

The biographies of Cooperative and CSR Committee members are available in section 3.3.5.

3.3.3 Management Board

GUIDELINES

The Management Board consists of between two and five individuals, who may or may not be selected from among the shareholders.

The age limit for serving on the Management Board is 65. When members reach the age limit, they are deemed to have resigned as of the date of the next meeting of the Supervisory Board, which decides on a replacement.

The Supervisory Board appoints the Chairman of the Management Board, who then provides it with recommendations on the other members to be appointed to the Management Board.

Members of the Management Board are appointed for four-year terms, with their terms of office ending at the conclusion of the Ordinary General shareholders' Meeting to approve the financial statements for the previous year and held during the year in which their term of office expires.

DIVERSITY POLICY

At its meeting of December 19, 2019, the Supervisory Board adopted a diversity policy applicable to members of the Management Board.

Accordingly, and in compliance with the Internal Rules, the Appointments Committee:

- is in charge of submitting motions to the Supervisory Board on potential candidates for the office of Management Board Chairman;
- regularly reviews and assesses the integrity and expertise of candidates for the office of Management Board member (appointed by the Board based on motions from the Chairman of the Management Board).

The Appointments Committee regularly reviews and assesses candidates for the office of Management Board member in

terms of their integrity, expertise, independent judgement and availability while pursuing a goal of diversity within the Management Board.

To that end, the Appointments Committee examines the following criteria: education; professional experience; age; and strategic, managerial, business and financial expertise, while making every effort to achieve balanced gender representation on the Management Board.

With respect to these criteria,

- when assessing a candidate for the office of Management Board member, the Appointments Committee strives to maintain or achieve a balance and have a skill set appropriate for the Group's activities and strategic plan; and
- ensures that at all times the members of the Management Board collectively have the necessary skills to understand the risks, challenges and potential developments involved in running a cooperative banking group.

SUCCESSION PROCEDURE FOR THE CHAIRMAN OF THE MANAGEMENT BOARD

In accordance with Article 3.2 of the Internal Rules, the Appointments Committee drafted a succession procedure for the Chairman of the Management Board, which was adopted by the Supervisory Board at its meeting of December 20, 2018.

The purpose of this procedure is to define the terms under which the Chairman of the Management Board is to be replaced in the event of a temporary or permanent absence. Specifically, it stipulates that:

- a legal representative may be appointed for the replacement period in the event of a temporary absence;
- candidate(s) should be sought from within the Group and, if necessary, outside the group in the event of a permanent absence.

MEMBERS

COMPOSITION OF THE MANAGEMENT BOARD FROM JANUARY 1, 2020 TO AUGUST 3, 2020

Laurent Mignon , Chairman of the Management Board
Christine Fabresse , Member of the Management Board – Head of Retail Banking and Insurance
Catherine Halberstadt , Member of the Management Board – Head of Group human resources
Nicolas Namias , Member of the Management Board – Head of Group Finance and Strategy
François Riahi , Member of the Management Board – Chief Executive Officer of Natixis

At its meeting on August 3, 2020, the Supervisory Board of BPCE:

- acknowledged the departure of François Riahi, member of the Management Board of BPCE and Chief Executive Officer of Natixis, with effect from August 3, 2020;
- acknowledged the appointment, by the Board of Directors of Natixis on August 3, 2020, of Nicolas Namias as Chief Executive Officer of Natixis with effect from August 3, 2020, to replace François Riahi;

- acknowledged that, from August 4, 2020, Nicolas Namias will no longer be Head of Finance and Strategy at BPCE but will remain a BPCE Management Board Member as Chief Executive Officer of Natixis, with the same scope of responsibilities as his predecessor.

COMPOSITION OF THE MANAGEMENT BOARD FROM AUGUST 4, 2020 TO SEPTEMBER 13, 2020

Laurent Mignon , Chairman of the Management Board
Christine Fabresse , Member of the Management Board – Head of Retail Banking and Insurance
Catherine Halberstadt , Member of the Management Board – Head of Group human resources
Nicolas Namias , Member of the Management Board – Chief Executive Officer of Natixis

At its meeting of September 7, 2020, the Supervisory Board appointed Jean-François Lequoy as Management Board Member in charge of Group Finance and Strategy with effect from September 14, 2020 and until the end of the Annual General Meeting called to approve the financial statements for the year ended December 31, 2022.

COMPOSITION OF THE MANAGEMENT BOARD SINCE SEPTEMBER 14, 2020

Laurent Mignon , Chairman of the Management Board
Christine Fabresse , Member of the Management Board – Head of Retail Banking and Insurance
Catherine Halberstadt , Member of the Management Board – Head of Group human resources
Jean-François Lequoy , Member of the Management Board – Head of Group Finance and Strategy
Nicolas Namias , Member of the Management Board – Chief Executive Officer of Natixis

3.3.4 Executive Management Committee – BPCE governing body

EXECUTIVE MANAGEMENT COMMITTEE MEMBERS (AS OF DECEMBER 31, 2020)

- Laurent Mignon, Chairman of the Management Board.
- Christine Fabresse, Member of the Management Board – Head of Retail Banking and Insurance.
- Catherine Halberstadt, Member of the Management Board – Head of Group human resources.
- Jean-François Lequoy, Member of the Management Board – Head of Group Finance and Strategy.
- Nicolas Namias, Member of the Management Board – Chief Executive Officer of Natixis.
- Laurent Benatar, Chief Technology and Operations Officer.

- Jacques Beyssade, Secretary General of Groupe BPCE in charge of Legal, Governance, Compliance, Permanent Control and Market Relations.
- Géraud Brac de La Perrière, Chief Risk Officer.
- Jean-Yves Forel, Chief Executive Officer⁽¹⁾ – Head of retail banking Europe and Paris 2024 Project.
- Dominique Garnier, Chief Executive Officer⁽¹⁾ - Head of SFE, Solutions and Financial Expertise.
- Yves Tyrode, Chief Innovation, Digital, and Data Officer.
- Furthermore, Stéphanie Paix, who reports directly to Laurent Mignon, is Deputy Chief Executive Officer in charge of the Group Inspection Générale division.

[1] The title of Chief Executive Officer is not governed by Article L. 225-66 of the French Commercial Code.

GENDER EQUALITY

At December 31, 2020, two out of the total five members of the Management Board were women (*i.e.* 40%), which meets the minimum legal requirement stipulated in the French Commercial Code for members of the Supervisory Board.

Pursuant to the provisions of the AFEP-MEDEF Code, as amended in January 2020, the Supervisory Board has drawn up

a diversity policy including gender equality targets that will be applied to all governing bodies.

At December 31, 2021, 32% of the top 10% of senior management positions were held by women, *i.e.* 77 women out of 241 people.

3.3.5 Directorships and offices held by corporate officers

SUPERVISORY BOARD

Pierre VALENTIN

BORN 02/06/1953

CHAIRMAN OF THE STEERING AND SUPERVISORY BOARD OF CAISSE D'ÉPARGNE LANGUEDOC-ROUSSILLON
CHAIRMAN OF THE SUPERVISORY BOARD AND MEMBER OF THE COOPERATIVE AND CSR COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Chairman of the Supervisory Board and member of the Cooperative and CSR Committee of BPCE** (since May 24, 2019)
- **Chairman of the Steering and Supervisory Board of Caisse d'Épargne Languedoc-Roussillon (CELR)** (since May 30, 2006)
- **Chairman of the Board of Directors:** CE Holding Participations (since June 17, 2019), SLE Alès Gard Rhodanien (since October 25, 2019)
- **Director:** CE Holding Participations (since June 30, 2010), FNCE

Outside Groupe BPCE

- **Director:** Maison de Santé Protestante d'Alès
- **Manager:** SCI Les Trois Cyprès (since January 1, 1988)

Pierre Valentin has a degree in private law and a postgraduate degree from the Institut des Assurances d'Aix-Marseille. He is an entrepreneur and began his career at Mutuelle d'Assurances du Bâtiment et des Travaux Publics in Lyon in 1978. In 1979, he set up Société Valentin Immobilier. Pierre Valentin quickly formed a long-standing commitment to the Caisse d'Épargne network. In 1984, he became a consulting advisor to Caisse d'Épargne d'Alès. In 1991, he served as a consulting advisor to Caisse d'Épargne Languedoc-Roussillon. He was appointed Chairman of local savings company Vallée des Gardons in 2000. He has been a member of the Steering and Supervisory Board of Caisse d'Épargne Languedoc-Roussillon since 2000 and was Chairman of the Audit Committee from 2003 to 2006. In 2006, he was appointed Chairman of the Steering and Supervisory Board of Caisse d'Épargne Languedoc-Roussillon, and was re-appointed to this office in 2009 and 2015.

Since 2008, Pierre Valentin has been on the Board of Directors of FNCE and has actively participated in the Group's governance. He also served as a director, Chairman of the Audit Committee and Vice-Chairman of the Supervisory Board of Banque Palatine between 2008 and 2013, and then as director of listed company Natixis from 2013 to 2015.

Pierre Valentin, a member of the BPCE Supervisory Board since 2009 and a member of the Audit and Risk Committee from 2013 to 2015, served as Chairman of the BPCE Supervisory Board from May 22, 2015 to May 19, 2017. He was a member of the Audit Committee from June 21, 2017 to May 24, 2019.

On May 24, 2019, the Supervisory Board appointed Pierre Valentin as Chairman of the Supervisory Board of BPCE.

OFFICES EXPIRED IN 2020

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
	Member: BPCE Audit Committee (from 06/21/2017)		(until 05/24/2019)
Chairman of the Supervisory Board of BPCE (from 05/22/2015)	(until 05/19/2017)		
Manager: les Amendières ⁽²⁾ (from 05/18/2005 to 11/15/2016)			

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

Thierry CAHN

BORN 09/25/1956

CHAIRMAN OF THE BOARD OF DIRECTORS OF BANQUE POPULAIRE ALSACE LORRAINE CHAMPAGNE

VICE-CHAIRMAN OF THE SUPERVISORY BOARD AND MEMBER OF THE COOPERATIVE AND CSR COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Vice-Chairman of the Supervisory Board and member of the Cooperative and CSR Committee of BPCE** (since 05/24/2019)
- **Chairman of the Board of Directors of Banque Populaire Alsace Lorraine Champagne** (since 11/27/2014)
- **Member of the Supervisory Committee:** Banque BCP Luxembourg (since 07/03/2018)

Outside Groupe BPCE

-

Thierry Cahn has been a member of the Board of Directors of Banque Fédérale des Banques Populaires (Groupe Banque Populaire's central institution) since 2008. He also served as a member of the Board of Directors of Banques Populaires Participations from July 2009 to August 2010 and of Natixis from January 2013 to May 2020. He is an attorney at the Colmar Court of Appeals and Honorary Chairman of the Confédération Nationale des Avocats (CNA – French National Federation of Attorneys) and a former Chairman of the Bar. Since 2003, he has been Chairman of the Board of Directors of Banque Populaire Alsace Lorraine Champagne.

A member of the BPCE Supervisory Board since July 2009, Thierry Cahn was elected Vice-Chairman of the Supervisory Board of BPCE on May 24, 2019.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Member of the Board of Directors:** Natixis⁽¹⁾ (from 01/28/2013 to 05/25/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
N/A	N/A	N/A	N/A

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FBNP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

FOR THE BANQUE POPULAIRE NETWORK
Gérard BELLEMON

BORN 10/01/1954

CHAIRMAN OF THE BOARD OF DIRECTORS OF BANQUE POPULAIRE VAL DE FRANCE
MEMBER OF THE SUPERVISORY BOARD, THE APPOINTMENTS COMMITTEE AND THE REMUNERATION COMMITTEE OF BPCE
OFFICES HELD AT DECEMBER 31, 2020
Within Groupe BPCE

- **Member of the Supervisory Board, the Appointments Committee, and the Remuneration Committee of BPCE** (since 6/16/2018)
- **Chairman of the Board of Directors of Banque Populaire Val de France**

Outside Groupe BPCE

- **Chairman:** SAS SOGEBEST, SAS Suard Bellemon

Age 66, a graduate of the École de Commerce IDRAC, Gérard Bellemon is Chairman of the Board of Directors of Banque Populaire Val de France. He is also Chairman of SAS Suard Bellemon.

He was a director at Natixis Investments Managers and BPCE VIE.

OFFICES EXPIRED IN 2020
Within Groupe BPCE

- **Director:** BPCE Vie (from 3/28/2017 to 6/16/2020), Natixis Investment Managers (from 10/20/2016 to 12/9/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Director: Natixis Assurances (since 10/1/2008) (until 3/23/2017)			
Director: Fondation d'Entreprise Banque Populaire (until 6/14/2016)			

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

Bernard DUPOUY

BORN 09/19/1955

CHAIRMAN OF THE BOARD OF DIRECTORS OF BANQUE POPULAIRE AQUITAINE CENTRE ATLANTIQUE

MEMBER OF THE SUPERVISORY BOARD, THE REMUNERATION COMMITTEE AND THE AUDIT COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Supervisory Board** (since 8/2/2018), **the Remuneration Committee, and the Audit Committee of BPCE** (since 5/24/2019)
- **Chairman of the Board of Directors of Banque Populaire Aquitaine Centre Atlantique** (since 11/8/2011)
- **Vice-Chairman:** FNBP (since 6/9/2015)

Outside Groupe BPCE

- **Chairman of the Board of Directors, Chief Executive Officer:** Groupe DUPOUY SA (since 7/22/1993), Établissements DUPOUY SBCC (since 2/1/2004)
- **Director:** Union Maritime du Port de Bordeaux, Société Centrale des Caisses de Crédit Maritime Mutuel
- **Manager:** SCI BADIMO (since 1/26/2000)

A graduate of École Supérieure de Commerce et d'Administration et des Entreprises de Bordeaux, Bernard Dupouy joined the Board of Directors of Banque Populaire du Sud-Ouest (BPSO) in 1996 as a director. He was appointed Secretary in 2006, then Vice-Chairman in 2009. In November 2011, BPSO became Banque Populaire Aquitaine Centre Atlantique (BPACA). At that time, Bernard Dupouy became Deputy Vice-Chairman, then Chairman of the Board of Directors in January 2015.

He also chaired the Board of Directors of Crédit Commercial du Sud-Ouest, a subsidiary of BPSO, from 2008 to 2011. From 2011 to 2015, he was Chairman of its Audit and Risk Committee, while also serving as a director.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Director:** Natixis⁽¹⁾ (from 8/1/2017 to 5/20/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
		Member of the Appointments Committee: BPCE (since 8/2/2018)	(until 5/24/2019)
			Permanent Representative of BPACA, Director: Bordeaux Grands Événements (until 4/25/2019)
Vice-Chairman of the Board of Directors: Congrès et Expositions de Bordeaux Association ⁽²⁾			(until 3/18/2019)
Director: Natixis Interépargne (since 11/30/2016)		(until 8/3/2018)	
	Director of the Board of Directors: BPCE Vie (since 3/23/2017)	(until 8/3/2018)	
Elected member: CCI Bordeaux ⁽²⁾ (until 11/23/2016)			

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

Yves GEVIN

BORN 09/02/1958

CHIEF EXECUTIVE OFFICER OF BANQUE POPULAIRE RIVES DE PARIS**MEMBER OF THE SUPERVISORY BOARD, THE AUDIT COMMITTEE, THE APPOINTMENTS COMMITTEE, THE REMUNERATION COMMITTEE AND THE COOPERATIVE AND CSR COMMITTEE OF BPCE****OFFICES HELD AT DECEMBER 31, 2020****Within Groupe BPCE**

- **Member of the Supervisory Board, the Audit Committee, the Appointments Committee, the Remuneration Committee and the Cooperative and CSR Committee of BPCE** (since 05/22/2015)
- **Chief Executive Officer of Banque Populaire Rives de Paris** (since 05/01/2012)
- **Chairman of the Board of Directors:** TURBO SAS (since 07/23/2019), BP Développement (since 06/10/2018), Rives Croissance (since 04/13/2015)
- **Member of the Supervisory Board:** Naxicap Partners (since 05/29/2013)
- **Director:** Banque Populaire Corporate Foundation (since 06/14/2016), Banque Populaire Rives de Paris Corporate Foundation (since 2006)
- **Manager:** Equinoxe (since 07/27/2016)
- **Permanent Representative of Banque Populaire Rives de Paris, Director:** i-BP

Outside Groupe BPCE

- **Chairman of the Board of Directors:** ESSCA (since 06/01/2016)

Yves Gevin earned an engineering degree from Institut National des Sciences Appliquées (INSA) in Lyon in 1981. He also holds an MBA from EM Lyon Business School (CESMA), awarded in 1982. He joined Groupe Banque Populaire in 1987. He joined Banque Populaire Franche-Comté, Maçonnais et Ain, where he served as Head of Organization and Information Technology and, beginning in 1995, Deputy Chief Executive Officer. In 1998, Mr. Gevin was appointed Chief Executive Officer of Banque Populaire Anjou Vendée. In 2002, he led the merger of Banque Populaire Anjou Vendée and Banque Populaire Bretagne Atlantique, which became Banque Populaire Atlantique. In 2008, he was appointed Chairman of the Management Board of Foncia Group. He has served as Chief Executive Officer of Banque Populaire Rives de Paris since 2012.

OFFICES EXPIRED IN 2020**Within Groupe BPCE**

- **Director:** Compagnie Européenne de Garanties et Cautions (CEGC) (from 02/16/2009 to 07/09/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
N/A	N/A	N/A	N/A

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FBNP: Fédération Nationale des Banques Populaires

Michel GRASS

BORN 11/12/1957

CHAIRMAN OF THE BOARD OF DIRECTORS OF BANQUE POPULAIRE BOURGOGNE FRANCHE-COMTÉ

MEMBER OF THE SUPERVISORY BOARD, THE RISK COMMITTEE AND THE APPOINTMENTS COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Supervisory Board** (since 5/22/2015), **the Risk Committee and the Appointments Committee of BPCE** (since 5/24/2019)
- **Chairman of the Board of Directors of Banque Populaire Bourgogne Franche-Comté** (since 6/22/2000)

Outside Groupe BPCE

- **Town councillor** of the City of Sens (since March 2014)
- **Councillor** of the Greater Senonais agglomeration (since March 2014)

Michel Grass holds a Master's Degree in Management from Université de Paris 1. He began his career in 1983 as a Clinic Director in the healthcare sector in Sens. From 1987 to 2010, he created and ran a small regional group of private clinics. In 2000, he became a Director at Banque Populaire de Bourgogne and has served as a commercial court judge since 2009.

Mr. Grass has been Chairman of the Board of Directors of Banque Populaire Bourgogne Franche-Comté since 2010.

Michel Grass was Chairman of the Supervisory Board of BPCE from May 2017 to May 2019.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

-

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
	Chairman of the Supervisory Board and member of the BPCE Cooperative and CSR Committee (from 05/19/2017)		(until 05/24/2019)
Director: Natixis ⁽¹⁾ (from 02/19/2014)	(until 05/24/2017)		
Director: Natixis Investment Managers (from 02/14/2012 to 09/13/2016)			
Director: Banque Palatine (from 02/14/2014 to 09/12/2016)			
Director: SA HLM Brennus Habitat ⁽²⁾ (from 08/05/2015)	(until 08/24/2017)		

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

Olivier KLEIN

BORN 06/15/1957

CHIEF EXECUTIVE OFFICER OF BRED BANQUE POPULAIRE
MEMBER OF THE SUPERVISORY BOARD AND THE RISK COMMITTEE OF BPCE
OFFICES HELD AT DECEMBER 31, 2020
Within Groupe BPCE

- **Member of the Supervisory Board and the Risk Committee of BPCE** (since 01/01/2019)
- **Chief Executive Officer of BRED Banque Populaire** (since 09/28/2012)
- **Managing Director:** COFIBRED (since 11/16/2012)
- **Member of the Supervisory Board:** PREPAR VIE (since 12/11/2012)
- **Director:** BRED Gestion (since 05/14/2013), BIC-BRED (since 05/16/2013), BRED Bank Fiji Ltd (since 10/23/2013), BRED Bank Cambodia (since 10/22/2015), Banque FRANCO LAO (since 03/07/2014), BIC BRED – Suisse SA (since 07/29/2015), COFIBRED (since 11/19/2013), Promepar Asset Management (since 10/04/2012)
- **Permanent representative of BRED BP on the Board:** BCI Mer Rouge (since 10/25/2012), BCI NC (since 10/03/2012)

Outside Groupe BPCE

- **Director:** Rexecode (since 01/01/2018), Unigestion Asset Management (since 06/22/2015)

A graduate of ENSAE and the HEC postgraduate cycle in finance, Olivier Klein holds various responsibilities at BFCE, where he created and manages the investment bank specializing in mergers and acquisitions and private equity. He joined Groupe Caisse d'Epargne in 1998 and became Chairman of the Management Board of Caisse d'Epargne Ile-de-France Ouest in 2000. In 2007, he was appointed Chairman of the Management Board of Caisse d'Epargne Rhône Alpes. Olivier Klein is a former Chairman of the Caisses d'Epargne National retail banking Commission. He has also been a director of Natixis, CNP and Nexity, and Chairman of the Board of Banque Palatine.

From April 2010 to October 2012, Olivier Klein was a member of the Management Board of BPCE, in charge of Commercial Banking and Insurance.

Since September 2012, he has been Chief Executive Officer of BRED Banque Populaire. He is also Chairman of the French section of the Ligue Européenne de Coopération Économique (LECE), director of Rexecode, member of the Supervisory Board and of the Risk Committee of BPCE and First Vice-Chairman of the Fédération Nationale des Banques Populaires. In addition, he is an associate professor at HEC in Economics and Finance, and is co-responsible for the Major (Master 2) of the Grande Ecole Managerial and Financial Economics and the Master in Managerial and Financial Economics.

OFFICES EXPIRED IN 2020
Within Groupe BPCE

- **Vice-Chairman of the Supervisory Board:** SOCFIM (from 03/29/2013 to 05/27/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Director: PREPAR IARD (from 12/11/2012)			(until 03/29/2019)
Director: Natixis Investment Managers (from 12/11/2012)		(until 12/20/2018)	
Chairman of the Board of Directors: PROMEPAR Asset Management ⁽²⁾ (from 10/04/2012)	(until 03/30/2017)		
Member of the Supervisory Board: Tikehau ⁽²⁾ (from 06/30/2015)	(until 03/07/2017)		
Chairman: Adaxtra (from 10/23/2012 to 06/09/2016)			
Chairman: Perspectives Entreprises (from 11/05/2015)		(until 12/10/2018)	
Permanent representative of BRED BP, Director: SOFIAG, (since 05/11/2012)			(until 03/01/2019)
Permanent representative of BRED BP, Director: SOFIDER (from 11/05/2012)			(until 04/08/2019)
Permanent Representative of COFIBRED, Director: Click and Trust (from 01/08/2013)			(until 03/15/2019)

(1) Listed company

(2) Non-Group company

Catherine MALLET

BORN 05/29/1969

CHAIRWOMAN OF THE BOARD OF DIRECTORS OF BANQUE POPULAIRE OCCITANE MEMBER OF THE SUPERVISORY BOARD OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Supervisory Board of BPCE** (since 05/17/2018)
- **Chairman of the Board of Directors of Banque Populaire Occitane** (since 05/14/2018)
- **Director**: FNBP (since 05/14/2018)

Outside Groupe BPCE

- **Deputy CEO**: Actia Group SA⁽¹⁾ (since 10/30/2020)
- **Chairwoman of the Management Board**: LP2C (since 10/19/2020)
- **Member of the Management Board**: LP2C (since 07/11/2002)
- **Chairwoman of the Board of Directors**: ACTIA Telecom (since 11/24/2020), ACTIA PCs (since 07/12/2018)
- **Co-Manager**: SCI Oratoire (since 11/17/2020) and SCI de Pouvoirville (since 11/24/2020)
- **Director**: ACTIA PCs (since 03/17/2015), ACTIA Systems (since 10/30/2015), ACTIA China (since 04/07/2015), ACTIA Italia (since 04/26/2018), ACTIA De Mexico (since 04/06/2016), CIP ACTIA (since 04/19/2016), ACTIA Corp (since 03/08/2016), ACTIA Inc. (since 03/08/2016), ACTIA India (since 09/29/2016), ACTIA Do Brasil (since 11/03/2015), ACTIA UK (since 08/01/2017), ACTIA Telecom (since 11/24/2020), ACTIA Electronics (since 12/15/2018), ACTIA Group (since 10/30/2020), ACTIA Africa (since 04/06/2018), Middlenext (since 03/18/2020)
- **Permanent representative of LP2C, Director**: ACTIA 3E (since 03/18/2019), ACTIA Systems (since 10/19/2020), ACTIA Engineering Services (since 10/19/2020)
- **Permanent Representative of Action Logement Immobilier (MEDEF), Director**: Promologis SA HLM (since 06/22/2018)
- **Member of the Board**: Toulouse Place Financière (since 04/07/2015)

A graduate of École Supérieure de Commerce de Toulouse, Catherine Mallet has been a Management Board member in charge of Finance and Communication for ACTIA Group, which specializes in manufacturing electronic components and systems for the automotive, telecommunications, and energy sectors, since 2003. In 2015, she was appointed a director of the Board of the Banque Populaire Occitane, then Chairman of the Board of Directors on May 14, 2018.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

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Outside Groupe BPCE

- **Member of the Management Board**: Actia Group SA⁽¹⁾ (from 11/12/2002 to 11/30/2020)
- **Permanent representative of ACTIA Group SA⁽¹⁾, Director**: ACTIA Telecom (from 11/16/2019 to 11/24/2020)

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
MEDEF permanent representative : CILEO (from 2009 to 2016)			
Permanent representative of Action Logement Immobilier (MEDEF) : Ma Nouvelle Ville SA (from 2009)			(until 2019)

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

FOR THE CAISSE D'EPARGNE NETWORK
Catherine AMIN-GARDE

BORN 03/08/1955

CHAIRWOMAN OF THE STEERING AND SUPERVISORY BOARD OF THE CAISSE D'EPARGNE LOIRE DRÔME ARDÈCHE
MEMBER OF THE SUPERVISORY BOARD, THE APPOINTMENTS COMMITTEE AND THE REMUNERATION COMMITTEE OF BPCE
OFFICES HELD AT DECEMBER 31, 2020
Within Groupe BPCE

- **Member of the Supervisory Board, the Appointments Committee and the Remuneration Committee of BPCE** (since 07/31/2009)
- **Chairwoman of the Steering and Supervisory Board of the Caisse d'Epargne Loire Drôme Ardèche** (since 04/29/2009)
- **Chairwoman of the Board of Directors:** SLE Drôme Provençale Centre (since 02/02/2009); Solidaire à fond(s), the Caisse d'Epargne Loire Drôme Ardèche endowment fund (since 12/24/2015)
- **Director:** FNCE (since 05/04/2009), CE Holding Participations (since 06/30/2010)

Outside Groupe BPCE

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Catherine Amin-Garde holds advanced degrees in both History and European Studies. She joined Groupe Caisse d'Epargne in 1984.

She is currently Chairman of the Steering and Supervisory Board of Caisse d'Epargne Loire Drôme Ardèche.

OFFICES EXPIRED IN 2020
Within Groupe BPCE

- **Director:** Natixis Interépargne (from 09/30/2010 to 05/15/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
N/A	N/A	N/A	N/A

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FNBPF: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

Alain DENIZOT

BORN 10/01/1960

CHAIRMAN OF THE MANAGEMENT BOARD OF CAISSE D'EPARGNE RHÔNE ALPES MEMBER OF THE SUPERVISORY BOARD AND THE RISK COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Supervisory Board and the Risk Committee of BPCE** (since 12/20/2018)
- **Chairman of the Management Board of Caisse d'Epargne Rhône Alpes** (CERA) (since 11/12/2018)
- **Chairman of the Board of Directors:** Banque du Léman (since 11/30/2018)
- **Chairman of the Supervisory Board:** Rhône Alpes PME Gestion (since 01/25/2019)
- **Director:** FNCE, CE Holding Participations (since 05/09/2019)
- **Non-voting Director:** Société des Trois Vallées (since 01/18/2019)
- **Permanent Representative of CERA, Chairman of the Board:** HUB612 (since 11/12/2018)
- **Permanent Representative of CERA, Chairman:** Rework Place (since 11/12/2018)
- **Permanent Representative of CERA, Director:** IT-CE (since 11/12/2018), Fondation d'entreprise CERA (since 11/12/2018), GIE BPCE-IT (since 12/07/2018)

Outside Groupe BPCE

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A graduate of IAE Paris with a degree in Agricultural Economics, and holding another degree in Accounting, Alain Denizot began his career at Crédit du Nord, followed by SG Warburg France and then Société Marseillaise de Crédit. In 1990, he joined Caisse d'Epargne Île-de-France-Ouest as manager and then Director of Financial Management. In 1995, he became a member of the Management Board in charge of the Risk and Finance division, then in 1999 a member of the Management Board in charge of the Network and Development. In 2000, he joined Caisse d'Epargne de Flandre as Chief Executive Officer and Management Board member in charge of the Network and Banking Development. In 2003, he became CEO of Ecureuil Assurance IARD. He was appointed Chairman of the Management Board of Caisse d'Epargne Picardie in early 2008. And in 2011 he joined Caisse d'Epargne Nord France Europe, now Caisse d'Epargne Hauts de France (CEHDF), as Chairman of the Management Board. He was appointed Chairman of the Management Board of Caisse d'Epargne Rhône Alpes (CERA) on November 12, 2018.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Director:** BPCE Factor (from 10/13/2010 to 05/25/2020)
- **Permanent representative of CERA, Director:** Erilia (from 12/14/2018 to 06/19/2020)
- **Permanent representative of CERA, Manager:** Garibaldi Office (from 11/12/2018 to 02/11/2020), Lafayette Bureaux (from 11/12/2018 to 02/11/2020), SCI Le ciel (from 11/12/2018 to 02/11/2020), SCI Le Relais (from 11/12/2018 – to 02/11/2020), SCI Dans la ville (from 11/12/2018 – to 02/11/2020)

Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Non-voting Director: CE Holding Participations (from 11/17/2016)			(until 05/09/2019)
Chairman of the Board of Directors: BATIXIA (from 06/17/ 2011)			(until 01/20/2019)
Director: NATIXIS ⁽¹⁾ (from 05/19/2015)		(until 12/20/2018)	
	Chairman of the Management Board: CEHDF (from 05/01/2017)	(until 11/11/2018)	
Chairman of the Board of Directors: SIA Habitat (from 06/01/2016)		(until 11/11/2018)	
Chairman of the CENFE Management Board: CENFE (from 02/10/2011)	(until 05/01/2017)		
	Member of the Supervisory Board: SIGH (from 10/16/2017)	(until 11/11/2018)	
	Permanent representative of CEHDF, member of the Supervisory Board: EuraTechnologies (from 06/29/2017)	(until 11/11/2018)	
Permanent representative of CENFE, then CEHDF Director: IT-CE (from 12/31/2011), BPCE-IT, FINORPA Financement (from 05/05/2014) FINORPA SCR (from 05/05/2014) Hi SA (from 06/17/2014)		(until 11/11/2018)	
Permanent representative of CENFE and CEHDF, ex-officio member: Fondation Agir et Réussir Ensemble (from 12/14/2015)		(until 11/11/2018)	
Permanent representative of CENFE, then CEHDF, member of the Supervisory Board: GIE IT-CE (from 11/31/2011)		(until 11/11/2018)	
Permanent representative of CENFE, then CEHDF, Treasurer: Fondation des Possibles (from 12/17/2016)		(until 11/11/2018)	
Permanent representative of CE Holding Participations, director: Habitat en Région Participations (from 02/10/2011)		(until 11/11/2018)	
Permanent representative of CENFE, Chairman: Foncière Ceptentrion (from 04/04/2011)	(until 05/01/2017)		
Permanent representative of Foncière Ceptentrion, Chairman: Euroissy, SCI Château Remparts, SCI Ephimmo, SCI Harrison (from 04/27/2015 to 09/19/2016)			

(1) Listed company
(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne
FNBP: Fédération Nationale des Banques Populaires
SLE: Société locale d'épargne (local savings company)

Eric FOUGÈRE

BORN 08/13/1967

CHAIRMAN OF THE STEERING AND SUPERVISORY BOARD OF CAISSE D'EPARGNE BOURGOGNE FRANCHE-COMTÉ
MEMBER OF THE SUPERVISORY BOARD AND THE AUDIT COMMITTEE OF BPCE**OFFICES HELD AT DECEMBER 31, 2020****Within Groupe BPCE**

- **Member of the Supervisory Board and the Audit Committee of BPCE** (since 12/19/2019)
- **Chairman of the Steering and Supervisory Board of Caisse d'Epargne Bourgogne Franche-Comté** (since 04/3/2019)
- **Chairman of the Board of Directors:** SLE Sud Côte d'Or

Outside Groupe BPCE

- **Member of the Management Board:** SA Louis LATOUR
- **Director:** SLE Sud Côte d'Or, Louis LATOUR – Inc., Louis LATOUR – Ltd., Louis LATOUR – Vins Fins Henry FESSY

A graduate of the specialized Master's program in Banking Senior Management at the Centre d'études supérieures bancaires in Paris, Éric Fougère has been Chief Financial Officer and member of the Management Board of Groupe Louis Latour in Beaune since 2006. He began his career at Le Crédit Lyonnais (LCL) group where he was Head of Corporate Banking.

Since 2013, he has actively participated in the governance of Caisse d'Epargne de Bourgogne Franche-Comté, initially as a director of local savings company (LSC) Sud Côte d'Or, before becoming Chairman of this same LSC in January 2015. He was appointed as a member of the Steering and Supervisory Board in April of the same year and subsequently became Chairman of the Risk Committee.

OFFICES EXPIRED IN 2020**Within Groupe BPCE**

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Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
NA	NA	NA	NA

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FBNP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

Dominique GOURSOLLE-NOUHAUD

BORN 04/22/1952

CHAIRWOMAN OF THE STEERING AND SUPERVISORY BOARD OF THE CAISSE D'EPARGNE AQUITAINE POITOU-CHARENTES
MEMBER OF THE SUPERVISORY BOARD, THE APPOINTMENTS COMMITTEE AND THE REMUNERATION COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Supervisory Board, the Appointments Committee and the Remuneration Committee of BPCE** (since 08/02/2018)
- **Chairwoman of the Steering and Supervisory Board of the Caisse d'Epargne Aquitaine Poitou-Charentes** (since 12/20/2017)
- **Chairwoman of the Board of Directors**: SLE Dordogne Périgord
- **Director**: CE Holding Participations (since 06/18/2019)

Outside Groupe BPCE

- **Chairwoman** SAS ESCE (since 01/30/1990)

After earning a degree in accounting and finance, and another from IAE Bordeaux 3 in management and administration, Dominique Goursolle-Nouhaud was head of urban transport in Périgeux and the Gonthier-Nouhaud transportation company for many years. She was also Vice-Chairman of CESER Nouvelle Aquitaine and Chairman of URSSAF Aquitaine until late 2017. She has been CEO and then Chairwoman of the holding company SAS ESCE specializing in real estate management and art dealing since 1990.

Dominique Goursolle-Nouhaud has been a member of the Steering and Supervisory Board of Caisse d'Epargne Aquitaine Poitou-Charentes since 2009 and was elected its Chairman on December 20, 2017. Since August 2, 2018, Dominique Goursolle-Nouhaud has been a member of the Supervisory Board, the Appointments Committee and the Remuneration Committee of BPCE.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Director**: BPCE Financing (from 12/22/2016 to 11/25/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
NA	NA	NA	NA

(1) Listed company
(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne
FBNP: Fédération Nationale des Banques Populaires
SLE: Société locale d'épargne (local savings company)

Françoise LEMALLE

BORN 01/15/1965

**CHAIRWOMAN OF THE STEERING AND SUPERVISORY BOARD OF THE CAISSE D'EPARGNE CÔTE D'AZUR
MEMBER OF THE SUPERVISORY BOARD AND THE RISK COMMITTEE OF BPCE****OFFICES HELD AT DECEMBER 31, 2020****Within Groupe BPCE**

- **Member of the Supervisory Board and the Risk Committee of BPCE** (since 05/22/2018)
- **Chairwoman of the Steering and Supervisory Board of the Caisse d'Epargne Côte d'Azur** (CECAZ) (since 04/23/2015)
- **Chairwoman of the Board of Directors**: SLE CECAZ (SLE Ouest des Alpes-Maritimes) (since 01/19/2015)
- **Director**: CE Holding Participations (since 09/09/2015), BELEM Foundation (since 06/30/2020)
- **Representative of CECAZ, Director**: FNCE
- **Treasurer**: Association Benjamin Delessert

Outside Groupe BPCE

- **Chief Executive Officer**: LEMALLE ARES-XPRT
- **Director**: MFI Créa-Sol⁽²⁾

A chartered accountant since 1991 (and the youngest Chartered Accountant in the PACA region that year), Françoise Lemalle registered with the Compagnie des Commissaires aux Comptes in 1993. She runs an accounting and auditing firm of 25 people, located in Mougins. She regularly hosts training sessions for small retailers, craftsmen and self-employed professionals, mostly within management bodies.

In 1999, she became a founding director of local savings company SLE de Cannes, before being elected as its Chairman in 2009. She was on the Steering and Supervisory Board of Caisse d'Epargne Côte d'Azur as a Non-Voting Director, then from 2009 as LSC Chairman, joining the Audit Committee at that time as well. Françoise Lemalle was appointed Chairwoman of the Steering and Supervisory Board on April 23, 2015.

Since 2013, she has also been a director and member of the Audit Committee of association IMF Créa-Sol⁽²⁾.

OFFICES EXPIRED IN 2020**Within Groupe BPCE**

- **Director**: Natixis⁽¹⁾ (from 07/30/2015 to 02/06/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS**2016****2017****2018****2019**

Director: Fondation Caisses d'Epargne pour la Solidarité (from October 2015 to October 2016)

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FNBP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

Didier PATAULT

BORN 02/22/1961

CHAIRMAN OF THE MANAGEMENT BOARD OF CAISSE D'ÉPARGNE ÎLE-DE-FRANCE

MEMBER OF THE SUPERVISORY BOARD, THE AUDIT COMMITTEE, THE APPOINTMENTS COMMITTEE, THE REMUNERATION COMMITTEE AND THE COOPERATIVE AND CSR COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- Member of the Supervisory Board, the Audit Committee, the Appointments Committee, the Remuneration Committee and the Cooperative and CSR Committee of BPCE (since 07/31/2009)
- Chairman of the Management Board of Caisse d'Épargne Île-de-France (CEIDF) (since 04/25/2013)
- Chairman of the Supervisory Board: Banque BCP (France) (since 06/17/2013)
- Chairman of the Board of Directors: BNC (since 06/24/2019), BT (since 06/20/2019)
- Director: CE Holding Participations (since 06/30/2010)
- Permanent Representative of CEIDF, Chairman of the Board of Directors: Bicentenaire Caisse d'Épargne (association) (since 06/30/2015)
- Permanent representative of CEIDF, Director: FNCE (since 04/25/2013)
- Permanent representative of CEIDF, member of the Supervisory Board: IT-CE (since 05/24/2013)
- Legal Representative of CEIDF, Chairman: SAS Immobilière Thoinard Île-de-France (since 06/30/2016)

Outside Groupe BPCE

-

Chairman of the Caisse d'Épargne Île-de-France Management Board since 2013, Didier Patault is also a member of the BPCE Supervisory Board. A graduate of École Polytechnique and the École Nationale des Statistiques et de l'Administration Économique (ENSAE), after starting at Caisse des Dépôts et Consignations, Mr. Patault has spent his career at Groupe BPCE since 1992.

After holding several financial and sales positions at Caisse d'Épargne des Pays du Hainaut (1992-1999), in 1999 he joined Caisse Nationale des Caisses d'Épargne as Head of Financial Activities, then Head of Group Development Strategy in local markets.

In 2000, he was appointed Chairman of the Management Board of Caisse d'Épargne des Pays du Hainaut, then Chairman of the Management Board of Caisse d'Épargne des Pays de la Loire (2004-2008) and Chairman of the Management Board of Caisse d'Épargne Bretagne Pays de Loire (2008-2013). He has been Chairman of the Management Board of Caisse d'Épargne Île-de-France since 2013.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- Director: Natixis Coficiné (from 10/20/2010 to 04/03/2020), Natixis Investment Managers (from 06/29/2018 to 12/09/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Permanent representative of CEIDF, Director: Fondation de France ⁽¹⁾ (since 01/01/2016)			(until 08/25/2019)
Director as a qualified person (for CEIDF): Paris Habitat – OPH (since 10/17/2013)			(until 09/09/2019)

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

EMPLOYEE REPRESENTATIVES

Vincent GONTIER

BORN 07/29/1954

MEMBER OF THE SUPERVISORY BOARD AND THE REMUNERATION COMMITTEE OF BPCE – EMPLOYEE REPRESENTATIVE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE– **Member of the Supervisory Board and the Remuneration Committee of BPCE – Employee representative** (since 05/22/2015)**Outside Groupe BPCE**– **Chairman of SAS:** Compagnie des Algorithmes (since 10/22/2018)

Vincent Gontier graduated from the HEC business school after working briefly at a sales and acquisitions firm. He worked for eight years in the Financial Services and Economic Modeling departments at EDF-GDF Group. He subsequently joined Crédit Agricole Group, first as Deputy Head of the fixed income trading desk (bonds, treasuries, forward options) and later as Chief Executive Officer of brokerage firm Bertrand Michel SA. In 1991, he joined Crédit National (which later became Natixis), where he held a series of positions in Asset management (Chief Executive Officer of Alfi Gestion, Corporate Secretary of the discretionary Asset management subsidiary, Chief Executive Officer of Interépargne) and in capital markets activities (acting Head of Capital Markets Activities, Head of Equity Derivatives). He currently works at Natixis on the Capital Market Advisory team.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

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Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
NA	NA	NA	NA

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FBNP: Fédération Nationale des Banques Populaires

Frédéric HASSAINE

BORN 05/22/1966

MEMBER OF THE SUPERVISORY BOARD OF BPCE – EMPLOYEE REPRESENTATIVE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE– **Member of the Supervisory Board of BPCE – Employee representative** (since 05/22/2015)**Outside Groupe BPCE**

-

Frédéric Hassaine is a graduate of the Toulouse Business School with a postgraduate degree in tax law and another in accounting and finance. He began his career at Arthur Andersen, where he worked as an auditor, then at a law firm as a tax specialist. In 1998, he became a lead auditor at BNP Paribas, where he worked in business engineering. He joined Société Générale in 2001, followed by Ixis CIB (now Natixis) in 2004 to start up and develop financial engineering and accounting for large corporates.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

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Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
NA	NA	NA	NA

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FBNP: Fédération Nationale des Banques Populaires

INDEPENDENT MEMBERS

Valérie PANCRAZI

BORN 02/02/1963

CHAIRWOMAN OF VAP CONSEILS

MEMBER OF THE SUPERVISORY BOARD, CHAIRWOMAN OF THE APPOINTMENTS COMMITTEE AND CHAIRWOMAN OF THE REMUNERATION COMMITTEE OF BPCE – INDEPENDENT MEMBER

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Supervisory Board, Chairwoman of the Appointments Committee and Chairwoman of the Remuneration Committee of BPCE – Independent Member** (since 05/09/2019)
- **Independent director:** Crédit Foncier de France (Since 05/02/2016)

Outside Groupe BPCE

- **Chairwoman:** VAP Conseils SASU (since 10/03/2009)
- **Independent member of the Supervisory Board:** GAGEO SAS (since December 2017)
- **Independent director on the Board of Directors:** Poclair SAS (since 2015)

A graduate of École Polytechnique, with a post-graduate degree in the Financial Markets from Université Paris Dauphine and École Nationale des Ponts et Chaussées, Valérie Pancrazi began her professional career in 1988 as the Head of securitization transactions and international finance for Compagnie Bancaire Group (Paribas). In June 1992, she became Chief Executive Officer of Bear Stearns Finance SA. From February 1999 to October 2004, Valérie Pancrazi worked at AXA RE, first as Deputy Chief Executive Officer of AXA RE Finance, then special advisor to the Chairman and finally Head of Corporate Finance. From November 2004 to June 2007, she was Head of private equity investment mandates for French and international AXA group entities at AXA Private Equity (now ARDIAN). Since 2009, Valérie Pancrazi has been an independent advisor (VAP Conseils) and, since 2012, an expert in corporate finance and international financial transactions at the Paris Court of Appeal.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

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Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Independent director: Frey SA ⁽¹⁾⁽²⁾ (from 2013)	(until 05/09/2017)		
Independent director: Quantel SA ⁽¹⁾⁽²⁾ (from 2014)	(until 07/10/2017)		

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

Anne-Claude PONT

BORN 05/15/1960

CHAIRWOMAN OF WILOV**MEMBER OF THE SUPERVISORY BOARD, CHAIRWOMAN OF THE RISK COMMITTEE AND MEMBER OF THE AUDIT COMMITTEE OF BPCE – INDEPENDENT MEMBER****OFFICES HELD AT DECEMBER 31, 2020****Within Groupe BPCE**

- **Member of the Supervisory Board, Chairwoman of the Risk Committee and member of the Audit Committee of BPCE – Independent Member** (since 03/29/2018)
- **Director**: Compagnie Européenne de Garanties et Cautions (CEGC) (since 07/09/2020)

Outside Groupe BPCE

- **Chairwoman**: wilov (since 08/19/2016)

Anne-Claude Pont has nearly 30 years' experience in corporate finance and management. After graduating from ESCP, she started at Crédit Lyonnais in the United States. When she returned to France, she joined Compagnie Bancaire (Groupe Paribas) where she was put in charge of International Cash Management. She continued her career at German Group HVB, where she became Chief Executive Officer in France, head of Markets, human resources, and Information Systems. In 2007 Anne-Claude Pont joined RBS to grow its FI (Financial Institutions) business in France, Belgium, and Luxembourg, as a Managing Director and member of the Executive Committee. Finally, in 2016, she co-founded wilov, the first 100% smartphone-connected auto insurer, where the price adjusts to daily usage levels ("Pay when you drive").

Anne-Claude Pont is a certified director (Sciences-Po-IFA 2015) and a member of several networks (including IFA, FBA, France Digitale and France Fintech).

In March 2018, she was appointed as an independent member of the BPCE Supervisory Board, Chairwoman of the Risk Committee and member of the Audit Committee.

OFFICES EXPIRED IN 2020**Within Groupe BPCE**

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Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Director : Crédit Foncier de France (from 02/17/2015)		(until 11/07/2018)	
Vice-Chairwoman : Women Business Angels ⁽²⁾ (from 05/31/2016)		(until 05/24/2018)	

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FBNP: Fédération Nationale des Banques Populaires

Kadidja SINZ

BORN 04/29/1957

CHIEF EXECUTIVE OFFICER OF LIBERTY SPECIALTY MARKETS EUROPE

MEMBER OF THE SUPERVISORY BOARD, CHAIRWOMAN OF THE AUDIT COMMITTEE AND MEMBER OF THE RISK COMMITTEE OF BPCE – INDEPENDENT MEMBER

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

– **Member of the Supervisory Board, Chairwoman of the Audit Committee and member of the Risk Committee of BPCE – Independent Member** (since 08/02/2018)

Outside Groupe BPCE

– **Chief Executive Officer:** Liberty Specialty Markets Europe

Kadidja Sinz holds an advanced degree in private international law and an Executive MBA. She also graduated from Institut d'Études Politiques de Paris in international relations and the Centre des Hautes Études en Assurance.

She began her career in the United States at Chubb, a US firm specializing in political risks. Later, she joined AIG in France to hone her skills at the European level before joining ACE, then XL (bought out by AXA) in 2010. In 2016, she joined US insurer Liberty Mutual, which specializes in corporate risk, as Chief Executive Officer for Europe.

Kadidja Sinz was appointed as an independent member of the BPCE Supervisory Board in August 2018, Chairwoman of the Audit Committee, and member of the Risk Committee.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

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Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
N/A	N/A	N/A	N/A

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

NON-VOTING DIRECTORS

Jean ARONDEL

BORN 04/12/1950

CHAIRMAN OF THE STEERING AND SUPERVISORY BOARD OF CAISSE D'EPARGNE LOIRE-CENTRE
CHAIRMAN OF THE BOARD OF DIRECTORS OF FÉDÉRATION NATIONALE DES CAISSES D'EPARGNE

NON-VOTING DIRECTOR OF THE SUPERVISORY BOARD AND MEMBER OF THE COOPERATIVE AND CSR COMMITTEE OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Non-voting director as of right of the Supervisory Board and member of the Cooperative and CSR Committee of BPCE** (since 05/06/2015)
- **Chairman of the Steering and Supervisory Board of Caisse d'Epargne Loire-Centre (CELC)** (since 04/16/2009)
- **Chairman of the Board of Directors: Fédération Nationale des Caisses d'Epargne (FNCE)** (since 01/05/2015)
- **Chairman of the Board of Directors: SLE Pays Chartrain et Drouais**
- **Chairman: Association pour l'Histoire des CEP**
- **Director: Coface SA⁽¹⁾** (since 11/21/2012), CE Holding Participations (since 09/09/2015), Fondation d'entreprise Caisse d'Epargne Loire-Centre (since 05/03/2016)
- **Permanent representative of CELC, co-manager: SNC Ecureuil 5 rue Masseran** (since 06/23/2015)
- **Permanent Representative of CELC, Director: Fondation d'entreprise Caisse d'Epargne Loire-Centre**

Outside Groupe BPCE

- **Vice-Chairman:** World Savings Banks Institute (WSBI)
- **Observer** (alternate) at the Annual General shareholders' Meeting and on the Board of Directors of European Savings Banks Group (ESBG)

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Chairman of the BPCE Cooperative and CSR Committee** (from 06/19/2018 to 06/16/2020)

Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Director: BPCE Lease (from 09/25/2010 to 08/24/2016)			

Director: BPCE Lease (from 09/25/2010 to 08/24/2016)

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FNBP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

Pierre CARLI

BORN 08/21/1955

CHAIRMAN OF THE MANAGEMENT BOARD OF CAISSE D'EPARGNE MIDI-PYRÉNÉES
NON-VOTING DIRECTOR ON THE SUPERVISORY BOARD OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Non-Voting Director on the Supervisory Board of BPCE** (since 7/31/2009)
- **Chairman of the Management Board of Caisse d'Epargne Midi-Pyrénées (CEMP)** (since 7/22/2003)
- **Chairman of the Supervisory Board:** Capitole Finance-Tofinso (since 01/16/2006), Midi 21 (since 12/20/2005)
- **Chairman of the Board of Directors:** Midi Epargne (since 10/30/2007), Midi Foncière (since 12/30/2005)
- **Chairman:** SOREPAR SAS (since 04/29/2008)
- **Vice-Chairman of the Board of Directors:** IRDI, PROMOLOGIS
- **Director:** FNCE, CE Holding Participations (since 06/30/2010), GROUPE PROMO MIDI
- **Permanent representative of CEMP, member of the Supervisory Board:** GIE IT-CE, TOFINSO INVESTISSEMENT, GIE CE SYNDICATION RISQUE

Outside Groupe BPCE

- **Chairman of the Supervisory Board:** Sotel
- **Chairman of the Board of Directors:** Association TOULOUSE 2030
- **Chairman:** Comité Régional Fédération Bancaire de Midi-Pyrénées
- **Director:** Toulouse School of Management (since 10/06/2017)
- **Permanent representative of the CEMP, member of the Supervisory Board:** IRDI GESTION
- **Permanent Representative of SOREPAR, member of the Board of Directors:** SEM OPPIDEA
- **Vice-Chairman of the Board of Directors:** IRDI Midi-Pyrénées

OFFICES EXPIRED IN 2020

Within Groupe BPCE

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Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Chairman of the Board of Directors: Ecureuil Immo (from 12/20/2011)		(until 01/09/2018)	
Permanent Representative of the CEMP, Director: EDENIS (until 09/20/2017)		Permanent Representative of CEMP, Director: Habitat en région (until 02/01/2018)	
Member of the Supervisory Board: Ecureuil Service SAS (from 12/05/2005)			(until 01/01/2019)
Director: GIE BPCE Achats (from 06/15/2010)			(until 12/31/2019)
Permanent representative of CEMP, Director: Fondation d'Entreprise du Toulouse Football Club (from 11/04/2010)			(until 01/01/2019)
		Permanent Representative of Midi Foncière, Director: SAINT-EXUPERY MONTAUDRAN (until 01/01/2019)	
		Chairman of the Board of Directors: IDEI Association, Fondation Espace Ecureuil (until 01/01/2019)	

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FNBP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

Joël CHASSARD

BORN 01/28/1957

CHAIRMAN OF THE MANAGEMENT BOARD OF CAISSE D'EPARGNE PROVENCE-ALPES-CORSE
NON-VOTING DIRECTOR OF THE SUPERVISORY BOARD OF BPCE

OFFICES HELD AT DECEMBER 31, 2020**Within Groupe BPCE**

- **Non-voting director of the Supervisory Board of BPCE** (since 05/17/2018)
- **Chairman of the Management Board of Caisse d'Epargne Provence-Alpes-Corse – CEPAC** (since 03/30/2018)
- **Chairman of the Board of Directors:** Erilia (since 06/14/2019), SAC Habitat en Région Sud-Est (since 10/21/2020)
- **Chairman of the Supervisory Board:** Sogima (since 04/18/2018)
- **Director:** CE Holding Participations (since 06/25/2018), GIE BPCE Achats
- **Permanent representative of CEPAC, Director:** FNCE (from 10/30/2018), GIE IT-CE (since 04/25/2018)
- **Permanent representative of CEPAC, Chairman of the Management Board:** CEPAC I-D (since 03/30/2018)
- **Permanent representative of CEPAC, ex-officio member of the Supervisory Board:** France Active PACA (since 04/17/2019)
- **Permanent representative of CEPAC, associate manager:** PY and ROTJA (since 03/30/2018)

Outside Groupe BPCE

- **Manager:** SCI Dojo (since 09/12/2018)

OFFICES EXPIRED IN 2020**Within Groupe BPCE**

- **Director:** BPCE Lease (from 09/28/2010 to 07/08/2020), BPCE Assurances (from 05/23/2015 to 07/02/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
		Permanent representative of CEPAC, Director: (until 05/27/2019) Erilia (from 03/30/2018)	
		Chairman of the Board of Directors: Logirem (until 12/13/2019) (from 04/25/2018)	
Non-voting Director: SEMI Zénith Caen (from 01/01/2016)		(until 12/12/2018)	
Chairman of the Management Board: Caisse d'Epargne Normandie - CEN (from 06/02/2008)		(until 04/23/2018)	
	Chairman: CEN Innovation (from 11/28/2017)	(until 04/23/2018)	
Director: CEGC (from 02/16/2009 to 10/24/2016)			
Permanent representative of CEN, member of the Supervisory Board: GIE IT-CE (from 12/31/2011)		(until 04/30/2018)	
Permanent representative of CEN, Director: Surassur (from 06/04/2007)		(until 12/31/2018)	
Erilia (from 06/16/2016)		(until 04/24/2018)	
Habitat en Région Services (from 05/31/2011)		(until 04/24/2018)	
Caisse d'Epargne Normandie Fund for Solidarity Initiative (from 01/01/2016)		(until 04/24/2018)	

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FNB: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

Sylvie GARCELON

BORN 04/14/1965

CHIEF EXECUTIVE OFFICER OF CASDEN BANQUE POPULAIRE
NON-VOTING DIRECTOR ON THE SUPERVISORY BOARD OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Non-Voting Director on the Supervisory Board of BPCE** (since 12/20/2018)
- **Chief Executive Officer of CASDEN Banque Populaire** (since 05/27/2015)
- **Director:** Natixis⁽¹⁾ (since 02/10/2016), Fondation d'Entreprise Banque Populaire (since 06/22/2016), FBNP (since 04/04/2017)

Outside Groupe BPCE

- **Director:** CNRS (since 04/04/2017)

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Director:** Banque Palatine (from 10/05/2016 to 05/26/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Chief Executive Officer: BMF ⁽²⁾ (from 03/22/2013)	(until 10/20/2017)		

Chief Executive Officer: Société d'Exploitation MAB⁽²⁾
(from 05/22/2012 to 11/21/2016)

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FBNP: Fédération Nationale des Banques Populaires

André JOFFRE

BORN 12/31/1953

CHAIRMAN OF THE BOARD OF DIRECTORS OF BANQUE POPULAIRE DU SUD**CHAIRMAN OF THE BOARD OF DIRECTORS OF FÉDÉRATION NATIONALE DES BANQUES POPULAIRES****NON-VOTING DIRECTOR OF THE SUPERVISORY BOARD AND CHAIRMAN OF THE COOPERATIVE AND CSR COMMITTEE OF BPCE****OFFICES HELD AT DECEMBER 31, 2020****Within Groupe BPCE**

- **Non-voting director as of right of the Supervisory Board** (since 06/19/2018) and **Chairman of the Cooperative and CSR Committee of BPCE** (since 06/16/2020)
- **Chairman of the Board of Directors of Banque Populaire du Sud (BPSUD)** (since 04/23/2009)
- **Chairman of the Board of Directors of Fédération Nationale des Banques Populaires (FNBPF)** (since 06/06/2018)
- **Director: BPCE Factor** (since 10/13/2010)

Outside Groupe BPCE

- **Director: Tecsol** (since 07/17/2010)

OFFICES EXPIRED IN 2020**Within Groupe BPCE**

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Outside Groupe BPCE

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OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Chairman of the Board of Directors: Banque MARZE ⁽²⁾ (from 11/25/2016)			(until 06/01/2019)
Chairman of the Board of Directors: Banque Dupuy, de Parseval ⁽²⁾ (from 07/27/2008)			(until 06/01/2019)
Managing Director: Tecsol Presse ⁽²⁾ (from 10/16/2002)		(until 06/22/2018)	
Chairman and Chief Executive Officer: Tecsol ⁽²⁾ (from 06/29/2013)		(until 06/22/2018)	
Managing Director: Sunergie ⁽²⁾ (from 11/06/1990)		(until 06/08/2018)	
Member of the Supervisory Board: BPCE (from 05/25/2015)		(until 06/06/2018)	

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBPF: Fédération Nationale des Banques Populaires

Daniel KARYOTIS

BORN 02/09/1961

CHIEF EXECUTIVE OFFICER OF BANQUE POPULAIRE AUVERGNE RHÔNE ALPES
NON-VOTING DIRECTOR ON THE SUPERVISORY BOARD OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Non-Voting Director on the Supervisory Board of BPCE** (since 11/08/2016)
- **Chief Executive Officer of Banque Populaire Auvergne Rhône Alpes** (BPAURA) (since 05/01/2016)
- **Chairman of the Board of Directors:** Banque de Savoie (since 05/10/2017)
- **Chairman:** BTE (since 06/02/2020)
- **Director:** COFACE SA⁽¹⁾ (since 02/08/2017)
- **Permanent representative of BPAURA, Director:** i-BP (since 10/XX/2016)
- **Permanent representative of BPAURA, Chairman:** Garibaldi Capital Développement (since 05/29/2017), SAS Sociétariat BPA (since 12/07/2016)
- **Permanent representative of BPAURA, non-voting director:** Siparex (since 09/28/2017)

Outside Groupe BPCE

-

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Permanent representative of BPAURA, Director:** Pramex International (from 10/11/2016 to 06/10/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Permanent representative of Banque Populaire Auvergne Rhône Alpes, Chairman: SAS Sociétariat BPMC			(until 08/09/2019)
Member of the Management Board in charge of Finance, Risks and Operations of BPCE (from 12/01/2012 to 05/02/2016)			
Deputy Chief Executive Officer: CE Holding Promotions (from 04/29/2013 to 05/03/2016)			
Permanent representative of BPCE, Director: CE Holding Promotions (from 04/29/2013 to 05/03/2016), Crédit Foncier (from 12/11/2012 to 05/01/2016), Natixis ⁽¹⁾ (from 01/28/2013 to 05/01/2016)			

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Épargne

FNBP: Fédération Nationale des Banques Populaires

SLE: Société locale d'épargne (local savings company)

MANAGEMENT BOARD

Laurent MIGNON

BORN 12/28/1963

CHAIRMAN OF THE MANAGEMENT BOARD OF BPCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Chairman of the Management Board of BPCE** (since 06/01/2018 and member of the Management Board since 08/06/2013)
- **Chairman of the Board of Directors:** Natixis⁽¹⁾ (since 06/01/2018)
- **Chairman:** SAS CE Holding Participations (since 06/06/2018)

Outside Groupe BPCE

- **Director:** Arkema⁽¹⁾ (since 10/27/2009), AROP (Association pour le Rayonnement de l'Opéra National de Paris) (since 12/10/2015), CNP Assurances⁽¹⁾⁽²⁾ (since 06/01/2018)
- **Non-voting Director:** ODDO BHF SCA (since 03/29/2019), FIMALAC (since 04/16/2019)
- **Member of the Executive Committee:** Fédération Bancaire Française (since 09/01/2019)

A graduate of the HEC business school and Stanford Executive Program, Laurent Mignon worked in several divisions of Banque Indosuez over a period of more than ten years, including positions on the trading floor and in investment banking. In 1996, he joined Schroders in London before moving to AGF in 1997 as Chief Financial Officer, where he was appointed as a member of the Executive Committee in 1998. In 2002, he was successively appointed as Head of Investment at Banque AGF, AGF Asset Management and AGF Immobilier, and in 2003 he was put in charge of the life insurance and Financial Services division and of Credit Insurance. In 2006, he was made Chief Executive Officer and Chairman of the Executive Committee. From September 2007 to May 2009, he was a managing partner at Oddo et Cie.

In 2009, he was appointed Chief Executive Officer of Natixis and member of the Management Board of BPCE as of 2013.

Since June 1, 2018, he has been Chairman of the Management Board of BPCE.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Director:** Sopassure (from 06/18/2018 to 02/02/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
		Chairman of the Board of Directors: Crédit Foncier (from 05/17/2018)	(until 07/31/2019)
		Chairman: Association Française des Etablissements de Crédit et des Entreprises d'Investissement ⁽²⁾ (from 09/01/2018)	(until 08/31/2019)
Director: Peter J. Solomon Company LP (from 06/08/2016)		(until 05/30/2018)	
	Director: Peter J. Solomon GP, LLC (from 12/15/2017)	(until 05/30/2018)	
	Chairman of the Board of Directors: Natixis Assurances (from 03/23/2017)	(until 06/07/2018)	
		Vice-Chairman: Fédération Bancaire Française ⁽²⁾ (from 06/01/2018 to 08/31/2018)	

(1) Listed company

(2) Non-Group company

Christine FABRESSE
BORN 05/24/1964

MEMBER OF THE MANAGEMENT BOARD OF BPCE IN CHARGE OF RETAIL BANKING AND INSURANCE

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Management Board of BPCE in charge of Retail Banking and Insurance** (since 11/01/2018)
- **Chairwoman of the board of Directors:** Banque Palatine (since 11/19/2018)
- **Permanent representative of BPCE, Director:** Natixis Investment Managers (since 11/01/2018)
- **Permanent Representative of BPCE Maroc, Director:** Banque Centrale Populaire Maroc (BCP)

Outside Groupe BPCE

- **Permanent representative of BPCE, member of the Prospective Commission:** Fédération Bancaire Française (FBF) (since November 2018)
- **Member of the Executive Board, qualified person:** MEDEF (since January 2020)

A graduate of Montpellier Business School, Christine Fabresse joined Crédit Lyonnais in 1987, where she worked as a sales manager, business center director, international cash management specialist, Head of Retail and Professional markets, then beginning in 2001 as Head of HR Development at Crédit Lyonnais, and finally in 2003 as Head of HR Policies and Mobility at Crédit Agricole SA. In 2006, she joined the Executive Management Committee of LCL as Head of Sales in retail banking. In 2008, she joined the Executive Committee of Caisse Nationale des Caisses d'Epargne (CNCE), leading the Sales Development division. Later, at Groupe BPCE, she became Head of Development at Caisses d'Epargne, and was appointed as a member of the Executive Committee in 2011. In June 2013, she was appointed Chairman of the Management Board of Caisse d'Epargne Languedoc-Roussillon, before being appointed, effective November 1, 2018, as a member of the BPCE Management Board, Head of Retail Banking and Insurance.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Director:** Crédit Foncier (from 05/03/2013 to 07/24/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Chairman of the Management Board of CEP Languedoc-Roussillon (from 04/25/2013)		(until 10/30/2018)	
Director: Ellisphere (from 12/14/2015)	(until 04/13/2017)		
	Director: BPCE Vie (from 03/28/2017)	(until 12/12/2018)	
		Vice-Chairman of the Board of Directors: FNCE (until 10/31/2018)	
		Director: Bastide Le Confort Médical (until 10/31/2018)	
		Director: Compagnie de Financement Foncier (from 05/16/2018 to 11/01/2018)	
Permanent representative of CEP Languedoc-Roussillon, Director: Erilia (from 06/03/2016)		(until 10/31/2018)	
Permanent representative of CEP Languedoc-Roussillon, Director: BPCE-IT (from 07/17/2015)		(until 10/15/2018)	
Permanent representative of CEP Languedoc-Roussillon, Director: IT-CE (from 12/31/2011)		(until 03/25/2013)	
Permanent representative of CEP Languedoc-Roussillon, Director: FNCE (from 06/03/2016)		(until 10/25/2018)	
		Permanent representative of CEP Languedoc-Roussillon, Co-Manager: SNC Ecoreuil (from 04/24/2018 to 10/25/2018)	

(1) Listed company

(2) Non-Group company

FNCE: Fédération Nationale des Caisses d'Epargne

FNBP: Fédération Nationale des Banques Populaires

Catherine HALBERSTADT

BORN 10/09/1958

MEMBER OF THE MANAGEMENT BOARD OF BPCE IN CHARGE OF GROUP HUMAN RESOURCES
OFFICES HELD AT DECEMBER 31, 2020
Within Groupe BPCE

- **Member of the Management Board of BPCE in charge of Group human resources** (since 01/01/2018)
- **Permanente Representative of BPCE, director:** Natixis ⁽¹⁾ (since 01/01/2018)

Outside Groupe BPCE
Director: Bpifrance Financement (since 07/12/2013)

Catherine Halberstadt has a postgraduate degree in Accounting and another in Business, Administration and Finance from École Supérieure de Commerce de Clermont-Ferrand. In 1982, she joined Banque Populaire du Massif Central, where she was Head of human resources, then Chief Financial Officer, Chief Operations Officer and, starting in 2000, Deputy Chief Executive Officer. In 2008, Ms. Halberstadt became Chief Executive Officer of Natixis Factor.

From September 1, 2010 to March 25, 2016, Catherine Halberstadt was Chief Executive Officer of Banque Populaire du Massif Central.

Since January 1, 2016, Catherine Halberstadt has served as the BPCE Management Board Member in charge of human resources, Internal Communications and the Corporate Secretary's Office of BPCE. She was reappointed effective November 1, 2018 as BPCE Management Board Member, Head of human resources.

OFFICES EXPIRED IN 2020
Within Groupe BPCE

- **Director:** Crédit Foncier (05/10/2012 to 12/02/2020)

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Chief Executive Officer of Banque Populaire du Massif Central (from 09/01/2010 to 03/31/2016)			
Permanent representative of Banque Populaire du Massif Central, Chairman: SAS Sociétariat BPMC (from 09/05/2006 to 12/07/2016)			
Permanent representative of Banque Populaire du Massif Central, Director: i-BP (from 06/28/2012 to 12/07/2016)			
Permanent representative of Banque Populaire du Massif Central, Director: Association des Banques Populaires pour la Création d'Entreprise (until 12/07/2016)			
Permanent representative of Banque Populaire du Massif Central, Chairman: SAS Sociétariat BPMC (until 12/07/2016)			

 (1) Listed company
 (2) Non-Group company

 FNCE: Fédération Nationale des Caisses d'Épargne
 FBNP: Fédération Nationale des Banques Populaires

Jean-François LEQUOY

BORN 04/09/1961

MEMBER OF THE MANAGEMENT BOARD OF BPCE IN CHARGE OF GROUP FINANCE AND STRATEGY (SINCE SEPTEMBER 14, 2020)

OFFICES HELD AT DECEMBER 31, 2020

Within Groupe BPCE

- **Member of the Management Board of BPCE in charge of Group Finance and Strategy** (since 09/14/2020)
- **Chairman of the Board of Directors:** BPCE Assurances: (since 05/17/2019), BPCE Vie (since 09/27/2015), SURASSUR (since 12/12/2016), REACOMEX (since 12/12/2016), BPCE Prévoyance (since 05/23/2017), Crédit Foncier (since 10/02/2020), GIE BPCE Services Financiers (since 10/15/2020)
- **Deputy Chief Executive Officer:** CE Holding Participations (since 12/17/2020)
- **Permanent representative of BPCE, Director:** CE Holding Participations (since 12/17/2020)
- **Permanent representative of Natixis⁽¹⁾, Director:** Compagnie Européenne de Garanties et Cautions (CEGC) (since 07/09/2020)
- **Permanent representative of Natixis Assurances, Director:** BPCE IARD (since 06/27/2017)

Outside Groupe BPCE

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Graduate of the École Polytechnique, ENSAE and Institut des Actuaire, Jean-François Lequoy began his career as an Insurance Commissioner in the department of the French Ministry of Finance in 1986.

In 1991, he was appointed Deputy Director of the Insurance department of Compagnie de Suez, then in 1994, Managing Director of the insurance broker J&H Marsh & McLennan, before becoming in 1998 Director and General Manager of La Mondiale Partenaire (formerly known as La Hénin Vie).

He joined AGF (Allianz Group) in 2001 as Chief Financial Officer, then became a member of the Executive Committee in 2003 and was appointed Deputy Chief Executive Officer in 2004.

From 2008 to 2014 he held the position of General Director of Federation Française des Sociétés d'Assurances (the French Insurers' Federation- FFSA). In 2014, he became a member of the Natixis Senior Management Committee in charge of insurance activities, then, in 2019, Chairman of the French Bancassureurs' Federation (GFB).

On September 14, 2020, Jean-François Lequoy was appointed member of the BPCE Management Board in charge of Group Finance and Strategy.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Chief Executive Officer:** Natixis Assurances (from 03/23/2014 to 09/21/2020)
- **Director:** Natixis Assurances (from 03/18/2014 to 09/21/2020)
- **Chairman:** SAS Ecuireuil Vie Développement (from 01/01/2016 to 12/31/2020)

Outside Groupe BPCE

- **Permanent representative of BPCE Vie, Director:** Fonds Stratégiques de Participations (from 04/27/2017 to 09/14/2020)
- **Chairman:** Groupement Français des Bancassureurs (from 7/7/2019 to 9/15/2020)
- **Vice-Chairman:** French Insurance Federation (from 7/7/2019 to 10/6/2020)

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Chairman of the Board of Directors: Natixis Assurances (from 03/18/2014) (until 03/23/2017)			
Chief Executive Officer: BPCE Assurances (from 03/15/2016 to 11/01/2016)			
Director: MPO International from 01/08/2013 to 09/20/2016)			

(1) Listed company

(2) Non-Group company

Nicolas NAMIAS

BORN 03/25/1976

CHIEF EXECUTIVE OFFICER OF NATIXIS⁽¹⁾**MEMBER OF THE MANAGEMENT BOARD OF BPCE****OFFICES HELD AT DECEMBER 31, 2020****Within Groupe BPCE**

- **Member of the Management Board of BPCE** (since 06/01/2018)
- **Chief Executive Officer of Natixis⁽¹⁾** (since 08/03/2020)
- **Chairman of the Board of Directors:** Natixis Assurances (since 09/21/2020), Natixis Investment Managers (since 08/28/2020), Natixis Payment Solutions (since 09/10/2020)

Outside Groupe BPCE

- **Chairman of the Board of Directors:** Coface SA⁽¹⁾ (since 09/09/2020)
- **Director:** Peter J. Solomon GP LLC (since 09/14/2020)

An alumnus of the elite École Nationale d'Administration (ENA) with degrees from Stanford Graduate School of Business (Executive Program), ESSEC and Institut d'Études Politiques de Paris, Nicolas Namias began his career in 2004 in the Treasury department of the French Ministry of Economy and Finance. He was first tasked with preparing for the international financial summits of the G8 and G20, before being named as the Government's Substitute Commissioner to the *Autorité des marchés financiers* (AMF). In June 2008, he joined the Finance division of Groupe BPCE, then became Head of Planning for Commercial Banking and Insurance. In 2012, he was named Technical Advisor to the Prime Minister for the funding of the economy, businesses, and international economic affairs.

Nicolas Namias returned to Groupe BPCE in 2014 as Head of Strategic Planning at Natixis and a member of the Executive Committee. In this role, he has coordinated all acquisitions carried out by Natixis since 2014. In September 2017, he was appointed Chief Executive Officer and Head of Strategic Planning, and as a member of the Natixis Executive Management Committee.

In June 2018, Nicolas Namias was appointed as a member of the BPCE Management Board in charge of Finance, Strategy, Legal Affairs and the Secretary's Office of the Supervisory Board. As of November 2018, he is a member of the BPCE Management Board in charge of Group Finance and Strategy.

Nicolas Namias has been Chief Executive Officer of Natixis and a member of the BPCE Management Board since August 3, 2020.

OFFICES EXPIRED IN 2020**Within Groupe BPCE**

- **Member of the BPCE Management Board in charge of Group Finance and Strategy** (from 05/17/2018 to 08/03/2020)
- **Chairman of the Board of Directors:** Crédit Foncier (from 07/31/2019 to 10/02/2020), GIE BPCE Services Financiers (from 04/18/2019 to 10/14/2020)
- **Director:** Natixis Coficiné (from 02/07/2018 to 05/05/2020)
- **Deputy Chief Executive Officer:** CE Holding Participations (from 06/06/2018 to 12/01/2020)
- **Representative of BPCE, Director:** CE Holding Participations (from 06/06/2018 to 12/01/2020)
- **Representative of Natixis, Director:** IFCIC from 12/16/2016 to 06/16/2020

Outside Groupe BPCE

-

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
		Representative of BPCE, Director: Crédit Foncier (from 06/01/2018)	(until 07/31/2019)
Director: Natixis Partners (from 05/13/2015)		(until 07/10/2018)	
	Director: Natixis Assurances (from 01/26/2017)	(until 06/19/2018)	
		Representative of Natixis, Director: Natixis Coficiné (from 02/07/2018 to 11/08/2018)	
	Representative of Natixis, Director: Natixis Investment Managers (from 12/11/2017)	(until 09/06/2018)	
	Representative of Natixis, Director: COFACE SA ⁽¹⁾ (from 12/11/2017)	(until 09/06/2018)	
Director: Natixis Partners Iberia (from 01/21/2016)		(until 01/17/2018)	
Chief Executive Officer: Natixis HCP (from 09/30/2014)	(until 06/27/2017)		
Chairman of the Board of Directors: HCP NA LLC (from 10/30/2014 to 03/31/2016)			
Permanent representative of Natixis HCP, Director: Ellipse (from 09/30/2014)	(until 04/13/2017)		

(1) Listed company

(2) Non-Group company

François RIAHI
BORN 04/08/1973

MEMBER OF THE MANAGEMENT BOARD OF BPCE (UNTIL AUGUST 3, 2020)

OFFICES HELD AT DECEMBER 31, 2020

Outside Groupe BPCE

- **Chief Executive Officer:** FINANCIERE LOV⁽²⁾ (since 11/02/2020)
- **Manager:** SNC TEA and EMMA⁽²⁾ (since 08/01/2012)

A graduate of École Centrale de Paris, IEP Paris and Stanford, an alumnus of the elite École Nationale d'Administration (ENA) and a former Inspector of Public Finances, François Riahi joined Groupe BPCE in March 2009 as Deputy Chief Executive Officer in charge of Group Strategy, then Head of the Asia Pacific platform of Natixis Corporate & Investment Banking.

From 2016 until the end of 2017, François Riahi was a member of the Natixis Executive Management Committee, co-heading the Corporate & Investment Banking division. Since January 1, 2018, he has been a member of the BPCE Management Board in charge of Group Finance, Strategy, Legal Affairs and Secretary's Office of the Governing Bodies.

From June 1, 2018 to August 3, 2020, he was Chief Executive Officer of Natixis and a member of the Management Board of BPCE.

OFFICES EXPIRED IN 2020

Within Groupe BPCE

- **Member of the Management Board of BPCE** (from 01/01/2018 to 08/03/2020)
- **Chief Executive Officer of Natixis⁽¹⁾** (from 06/01/2018 to 08/03/2020)
- **Chairman of the Board of Directors:** Natixis Assurances (from 06/07/2018 to 09/21/2020), Natixis Investment Managers (from 06/07/2018 to 08/04/2020), Natixis Payment Solutions (from 09/21/2018 to 08/03/2020)

Outside Groupe BPCE

- **Chairman of the Board of Directors:** Coface SA⁽¹⁾ (from 06/15/2018 to 08/04/2020)
- **Director:** Peter J. Solomon GP LLC (from 06/01/2018 to 08/03/2020)

OFFICES EXPIRED IN PREVIOUS YEARS

2016	2017	2018	2019
Chairman of the Supervisory Board: Natixis Pfandbriefbank AG (from 06/01/2016)		(until 02/28/2018)	
Director: Natixis North America LLC (from 05/31/2016)		(until 01/15/2018)	
	Director: Natixis Assurances (from 10/26/2017 to 12/31/2017)		
Director: Natixis Japan Securities Co Ltd (from 09/07/2012) (until 12/22/2017)	(until 12/22/2017)		
Director: Natixis Asia Ltd (from 09/04/2012 to 09/23/2016)			
Director: Natixis AUSTRALIA PTY LTD (from 09/03/2012 to 07/18/2016)			

(1) Listed company

(2) Non-Group company

3.4 Role and operating rules of governing bodies

3.4.1 Supervisory Board

DUTIES AND POWERS

The Supervisory Board performs the duties attributed to it by law. It carries out all checks and controls it deems appropriate and may request any documents it regards as expedient in fulfilling its mission.

The Supervisory Board:

- receives a report from the Management Board on the company's business activities once every quarter;
- examines and checks the parent company and consolidated financial statements prepared and presented by the Management Board within three months of the end of the fiscal year, along with a written report on the position and activities of the company and its subsidiaries during the past year;
- presents to the Ordinary General shareholders' Meeting a report on corporate governance that states the makeup of the managerial and supervisory bodies, the role and operation of the governing bodies, the diversity policy applied to Supervisory Board members, the principles and rules for determining pay and benefits of any kind given to corporate officers, and including its observations on the management report prepared by the Management Board and the financial statements for the previous fiscal year.

In addition to these powers, the Supervisory Board has the authority to:

OWN POWERS

- appoint the Chairman of the Management Board;
- appoint the other members of the Management Board, based on motions by the Chairman of the Management Board;
- set the method and amount of pay received by each Management Board member;
- grant the status of Chief Executive Officer to one or more members of the Management Board, based on a motion by the Chairman of the Management Board, and withdraw said status as applicable;
- propose the appointment of the Statutory Auditors at the Annual General shareholders' Meeting, after they are recommended by the Audit Committee;
- decide to move the registered office to another location within the same *département* or to an adjacent *département*, subject to ratification of the decision by the next Ordinary General shareholders' Meeting.

DECISIONS SUBJECT TO A SIMPLE MAJORITY VOTE

The following operations proposed by the Management Board must receive prior authorization from the Supervisory Board, acting by simple majority of its present or represented members:

- approval of the policy and strategic guidelines of Groupe BPCE and each of the networks;
- authorization of any transaction⁽¹⁾ exceeding €100 million;
- authorization of any transaction⁽²⁾ proposed by BPCE that is not part of the BPCE strategic plan, regardless of the transaction amount;
- approval of the company's annual budget and definition of the rules for calculating contributions due from affiliated institutions;
- authorization of related-party agreements pursuant to the French Commercial Code;
- approval of Groupe BPCE's internal solidarity mechanisms;
- approval of the national and international agreements involving each of the networks and Groupe BPCE as a whole;
- approval of the general criteria that must be met by the directors of Groupe BPCE's affiliated institutions, including age limits, which may not exceed:
 - 65 for Chief Executive Officers or members of the Management Board, or
 - 70 for Chairmen of Boards of Directors and Steering and Supervisory Boards, it being stipulated that no individuals may be appointed Chairman of a Board of Directors or a Steering and Supervisory Board if they cannot, on the date of first appointment, complete at least half the term as Chairman before reaching this age limit; however, the age limit remains set at 68 for offices currently held on the date of the Supervisory Board Meeting that approved the age limit set in this section;
- authorization of the directors of affiliated institutions as well as the withdrawal of such authorization and all other dismissals as set out in Article L. 512-108 of the French Monetary and Financial Code;
- approval of the creation or elimination of a Banque Populaire or Caisse d'Épargne, including through the merger of two or more Banques Populaires or two or more Caisses d'Épargne;

[1] Refers to any proposed capital investment or divestment, contribution, merger, spin-off, restructuring, joint venture or partnership by the company or its subsidiaries, and the negotiation or signing of any national or international agreements on behalf of the Caisses d'Épargne, the Banques Populaires and affiliates and, in each instance, any related or ancillary transactions. Also refers to (i) acquisitions, disposals, and equity investments or divestments by the Banques Populaires and the Caisses d'Épargne in credit institutions, financial companies, Insurance companies, investment service providers, portfolio or fund management firms, acquisitions or disposals of bank branches or branches targeting specific customer segments, whether directly or indirectly (ii) equity investments or divestments in industrial or commercial companies by the Banques Populaires and the Caisses d'Épargne; and (iii) equity investments or divestments by the Banques Populaires and the Caisses d'Épargne in companies, regardless of their form or purpose, whose articles of association or legal form entail undefined liability for the partners (not limited to the amount of their contribution).

[2] Same as above.

- examination and approval of the main risk limits applicable to Groupe BPCE and each network, as defined by the Management Board; regular examinations and checks on Groupe BPCE's risks, any changes therein and the systems and procedures used to control them; examination of Internal Control audits and finding, and the main conclusions of audits performed by the Group's Inspection Générale division;
- appointment of BPCE's representatives to the Natixis Board of Directors. Representatives from the Caisses d'Épargne and from the Banques Populaires will be of identical number and will together hold, at a minimum, the majority of seats on the Board;
- upon recommendation from the Appointments Committee, examination and assessment of the integrity and skills of candidates for the Supervisory Board and the non-voting directors, Chairman, and other members of the Management Board;
- adoption of the board's Internal Rules.

DECISIONS SUBJECT TO A QUALIFIED MAJORITY VOTE (13 OF 19 MEMBERS)

The following operations proposed by the Management Board are subject to the prior authorization of the Supervisory Board and a favorable vote from at least thirteen of its nineteen present or represented members:

- any decision to subscribe for or acquire (or any agreement binding the company therein), by any means (including by transfer of assets to the company), securities or rights of any kind whatsoever, be they issued by a company or any other entity and directly or indirectly representing an investment or contribution of more than €1 billion;
- any decision to transfer (or any agreement binding the company therein), by any means, securities or rights of any kind whatsoever held by the company and representing a divestment of more than €1 billion for the company;
- any decision by the company to issue equity securities or shares giving immediate or eventual access to the company's capital, without pre-emptive rights;
- any merger, demerger, spin-off, or related decision involving the company;
- any decision relating to the admission of company shares or shares in any of its main direct or indirect subsidiaries to trading on a regulated market;
- any transaction related or connected to the aforementioned cases;
- any decision to appoint the Chairman or remove the Chairman of the company's Management Board from office;
- any decision to submit to the Annual General shareholders' Meeting any changes to the Articles of Association with regard to the company that amend the terms of governance;
- any decision to approve the disposal of securities.

INTERNAL RULES

The Internal Rules of the Supervisory Board, adopted at the Board Meeting of July 31, 2009 and amended at the Board Meeting of December 20, 2018, form the Supervisory Board's Governance Charter, which sets out its internal operating procedures, notably for the purpose of ensuring that governing bodies interact efficiently and operate smoothly.

The Internal Rules enhance the quality of the work done by Supervisory Board members by promoting the application of corporate governance principles and best practices in the interest of ethics and efficiency.

Their purpose is also to supplement the Articles of Association, notably by:

- specifying the procedures for convening Supervisory Board and Supervisory Board Committee Meetings, as well as the rules under which they are to deliberate;
- specifying the general and specific powers of the board under the law, as set out in Articles 27.1 and 27.2 of the company's Articles of Association;
- specifying those instances requiring the board's prior approval for material transactions ("Important Decisions" and "Key Decisions"), as set out in Articles 27.3 and 27.4 of the company's Articles of Association;
- specifying the rules governing the information of Board members;
- specifying the duties of the various committees, for which they serve as the internal rules;
- specifying the professional secrecy and confidentiality obligations binding the members of the Supervisory Board and its committees;
- defining the penalties that apply in the event members of the Supervisory Board or of a committee fail to comply with any of their obligations.

ETHICS AND COMPLIANCE CHARTER

The Supervisory Board of BPCE adopted an Ethics and Compliance Charter for its members at its meeting of June 22, 2016. The Ethics and Compliance Charter is divided into four main Chapters that set out good governance principles, in addition to reiterating several laws and regulations.

Chapter 1 covers the Board Members' professionalism, as expressed in different ways:

- the total number of offices held by Supervisory Board Members and their availability (time spent preparing for meetings and reviewing issues);
- expertise, *i.e.* consolidation of knowledge and understanding of information that may be used in performing their duties;
- diligence and effectiveness (active participation);
- duty to intervene and raise the alarm, *i.e.* expressing viewpoints and participating in discussions;
- respect for corporate responsibility and good faith.

Chapter 2 covers ethics, as expressed by:

- respect for the law and the company's Articles of Association;
- integrity (lack of a criminal record, incompatibility with certain duties);
- good credit history, which is checked by the Risk Management division of the institution or network in which the member also holds office, under the authority of the BPCE Risk Management division (except for independent members, whose credit history is checked using any rating either internal or external to the company in which they play a primary role);
- benefits (soliciting or accepting direct or indirect benefits is prohibited).

Chapter 3 covers confidentiality:

- banking secrecy and the duty of discretion;
- management of inside information (with the understanding that all members are on the list of permanent insiders);
- reporting of transactions in financial instruments issued by BPCE and Groupe BPCE companies (if the total exceeds €5,000 in one calendar year);
- compliance with blackout periods on financial instruments issued by Groupe BPCE companies.

Chapter 4 covers conflicts of interest:

- independence of judgment;
- incompatibility with the duties performed on their own behalf in other investment banks or investment companies outside Groupe BPCE (unless explicitly approved by the Management Board of BPCE);
- due diligence in business relationships.

ACTIVITY OF THE SUPERVISORY BOARD

In accordance with Article 25.1 of the Articles of Association, the Supervisory Board meets as often as the company's interests, laws and regulations require, and at least once every quarter in order to examine the Management Board's quarterly report. Board Meetings may be convened by its Chairman, its Vice-Chairman or by one half of its members and take place at the registered office or any other location stated in the notice of meeting.

In accordance with Article L. 823-17 of the French Commercial Code, the Statutory Auditors are invited to Board Meetings examining full-year and half-year financial statements.

The BPCE Supervisory Board met 12 times between January 1 and December 31, 2020. In 2020, the average attendance rate for Supervisory Board Members was 98.25%. In addition to the topics discussed regularly – quarterly reports of the Management Board, regulated agreements, management approvals, Covid-19 news items relating to the Group's management of the crisis and miscellaneous questions for information – the main topics discussed during the Board Meetings were as follows:

GOVERNANCE – INTERNAL OPERATING PROCEDURES OF THE BOARD

- presentation of the Supervisory Board's corporate governance report;
- determination of the variable pay of Management Board Members for 2019 and establishment of fixed pay and the criteria (amount, trigger, qualitative and quantitative criteria) for determining the variable pay of Management Board Members for 2020;
- approval of the 2020 executive pay policy;
- determination of the total amount of pay allocated for the work of the members of the Supervisory Board and the new rules for allocating the amount among the members of the Board and the committees as from the 2021 fiscal year;
- adoption of the amended Group standards on risk-takers;
- appointment, at its meeting of February 6, 2020, of Dominique Duband as a representative from the Caisse d'Épargne Group on the Board of Directors of Natixis, replacing Françoise Lemalle;

- appointment, at its meeting of June 16, 2020, of André Joffre as Chairman of the Cooperative and CSR Committee to replace Jean Arondel, for a period of two years, *i.e.* until June 30, 2022 at the latest; acknowledged at its meeting of August 3, 2020 (i) the departure of François Riahi, member of the Management Board, Chief Executive Officer of Natixis, effective August 3, 2020, (ii) the appointment, by the Board of Directors of Natixis on August 3, 2020, of Nicolas Namias as Chief Executive Officer of Natixis, replacing François Riahi and (iii) the fact that, as of August 4, 2020, Nicolas Namias will no longer be in charge of Finance and Strategy at BPCE but will remain a member of the Management Board of BPCE in his capacity as Chief Executive Officer of Natixis and with a scope of responsibilities identical to that of his predecessor;
- appointment, at its meeting on September 7, 2020, of Jean-François Lequoy as Management Board Member in charge of Group Finance and Strategy with effect from September 14, 2020 and until the end of the Annual General Meeting called to approve the financial statements for the year ending December 31, 2022;
- approval of the training program for the employee representative members of the Supervisory Board;
- acknowledgement of BPCE's policy on professional and wage equality in 2019;
- monitoring of the Board's self-assessment process on the basis of a questionnaire filled in by Supervisory Board members and non-voting directors and review of the report;
- review of the dashboard of persons comprising the "regulated population";
- annual review of independent member status on the Board;
- annual review of the diversity policy applicable to Board members;
- annual review of the diversity policy applicable to members of the Management Board.

STRATEGIC OPERATIONS

- authorisation for Natixis to sell 29.5% of Coface's share capital and voting rights to Arch Capital Group;
- authorisation for the implementation of the wide-ranging proposal for the creation between Natixis and La Banque Postale of a major player in insurance management through the grouping of their fixed income and insurance management activities within Ostrum Asset Management;
- review of the proposed sale of BPCE's entire stake in Fidor Bank AG;
- approval of the merger by absorption of Holassure by BPCE.

FINANCE

- presentation of BPCE's annual financial statements for the year ended December 31, 2019;
- presentation of BPCE's 2020 quarterly and half-year financial statements;
- acknowledgment of budget trends and the amended 2020 budget;
- approval of the 2021 budget;
- review of the rules for contributions due by affiliated institutions;
- review and follow-up on Groupe BPCE's capital adequacy and liquidity ratios;
- statement relating to the financial equation and its structural consequences on BPCE's budget and validation of the resulting changes to the rules for calculating contributions.

AUDIT – COMPLIANCE – RISKS

- follow-up on the reports and investigations of the Autorité de contrôle prudentiel et de résolution (ACPR – French Prudential Supervisory and Resolution Authority) and the European Central Bank (ECB);
- risk monitoring: monitoring of consolidated risks, review of the impact of conditions in Europe and the health crisis on the Group, forward-looking risk management approach, monitoring of the Group's internal ceilings and limits, monitoring of risk governance and annual review and reconsideration of Groupe BPCE's risk appetite, modification of operational limits;
- annual review of the system for reporting significant incidents and assessment of the 2019 reports;
- review of the report on internal control prepared in accordance with Article 258 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies and the report on risk measurement and supervision, prepared in accordance with Article 262 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies: work carried out by the Inspection Générale division, annual compliance report (annual report of the investment services compliance officer (RCSI), report on the annual check control program, report on credit risks), update on accounting risks;
- examination of the annual reports on the organization of internal control systems for the fight against money laundering and terrorist financing and the freezing of assets, on a parent-company and consolidated basis, for the 2019 fiscal year;
- presentation of the annual review of the Group General Inspection unit's assignments and validation of the remediation plans;
- acknowledgment of the measures taken in 2019 to ensure the control of essential outsourced services, including the monitoring of critical or important services and review of the 2020 outsourcing policy;

- approval of changes to the Internal Liquidity Adequacy Assessment Process (ILAAP) report and review of the Liquidity Adequacy Statement (LAS);
- evaluation of the group's internal control functions (audit, risk and compliance);
- proposal for the appointment of BPCE's Statutory Auditors;
- approval of the update of the framework for the intervention of the Statutory Auditors in the Group;
- examination of the independence and fees of Statutory Auditors;
- approval of the update to Groupe BPCE's Recovery Plan (RP) for 2020;
- follow-up on the ICAAP (Internal Capital Adequacy Assessment Process) for 2020, the methods used within this framework and the results of internal stress tests used to determine figures for 2020;
- follow-up to the ILAAP (Internal Liquidity Adequacy Assessment Process) report;
- follow-up on the Supervisory Review and Evaluation Process (SREP);
- review of the senior management report on the effectiveness of the enhanced compliance mechanism, drawn up by the Management Board (Senior Management) and implemented in accordance with the Volcker rule's specifications;
- determination of the methods of communication and frequency of information concerning compliance with the limits;
- statement of the half-yearly forward-looking risk analysis.

Depending on the type of matters submitted to the Supervisory Board, discussions were held and decisions made on the basis of the reports presented by the relevant Board Committees.

3.4.2 Specialized committees

The Supervisory Board has instituted five specialized committees in charge of preparing its decisions and making recommendations. Their duties, resources, operating procedures and composition are set out in the Supervisory Board's internal rules.

As far as possible, and depending on applicable circumstances, any discussion by the Supervisory Board that falls within the remit of a committee created by the board is preceded by the referral of the matter to said committee and a decision may only be made after that committee has issued its recommendations or motions.

Under no circumstances may the specialized committees be consulted either for the purpose of delegating powers to said committees, powers that are allocated to the Supervisory Board by law or the Articles of Association, or to reduce or limit the Management Board's powers.

Whenever it is necessary to consult a committee, the Chairman of that committee receives from the Management Board, within a reasonable time frame (given the circumstances), all of the items and documents that will enable the committee to carry out its work and formulate its opinions, recommendations and motions relating to the Supervisory Board's upcoming agenda.

Committee members are chosen by the Supervisory Board based on a motion made by the Chairman of the Board from among its members. Members may be dismissed by the Supervisory Board.

The term of office of committee members coincides with their term of office as Supervisory Board Members. The renewal of both terms of office may take place concomitantly.

Each committee is made up of at least three and at most seven members, except for the Remuneration Committee which has eight members, including one employee representative as stipulated by Article L. 225-79-2 of the French Commercial Code.

The Supervisory Board may also appoint a person from outside Groupe BPCE or a Non-Voting Director to any of these committees. The Cooperative and CSR Committee includes both Non-Voting Directors as of right among its members.

A Chairman is in charge of organizing the work conducted by each committee. The Chairman of each committee is appointed by the Supervisory Board.

AUDIT COMMITTEE

DUTIES

The Audit Committee assists the Supervisory Board in verifying and reviewing the financial statements and the Management Board report on the company's business.

The Audit Committee is tasked with overseeing the process for preparing financial information, the statutory audit of the annual and consolidated financial statements by the Statutory Auditors and their independence.

Accordingly, it ensures the quality of information provided to shareholders and, more generally, fulfills the duties set out in the French Commercial Code.

The Audit Committee is also responsible for reviewing the strategic operations undertaken by Groupe BPCE.

The Audit Committee oversees:

Preparation of financial information

In this respect, its duties include:

- reviewing the quarterly, half-year and annual consolidated financial statements of the company and Groupe BPCE, as well as the parent company financial statements, which are presented by the Management Board prior to their review by the Supervisory Board;
- verifying that the information provided is clear;
- reviewing the scope of consolidated companies and supporting evidence thereof;
- assessing the appropriateness of accounting methods adopted in preparing the company's individual financial statements and the consolidated financial statements of the company and Groupe BPCE;
- reviewing the draft of the Supervisory Board Chairman's report on internal control and risk management procedures as regards preparing and processing accounting and financial information;
- reviewing the prudential and accounting impacts of any material acquisition by the company or Groupe BPCE.

Statutory audit of the annual and consolidated financial statements, and of the Statutory Auditors' independence

In this respect, its duties include:

- ensuring that the "Framework for Statutory Auditor Assignments at Groupe BPCE", approved by BPCE's Supervisory Board on June 27, 2012 and which defines the rules and principles aimed at guaranteeing Statutory Auditor independence in Groupe BPCE companies, is observed and updated;
- ensuring that the Statutory Auditor selection procedure is observed and issuing an opinion on the Statutory Auditors proposed for appointment at the Annual General shareholders' Meeting;
- in accordance with applicable regulations, authorizing services (other than certification of the financial statements) that are provided by the Group's Statutory Auditors;
- ensuring that the Statutory Auditors are independent, specifically by reviewing fees paid to them by Group companies as well as fees paid to any network to which they might belong and by overseeing, on a quarterly basis, any services that do not fall within the strict framework of the statutory audit;
- reviewing the Statutory Auditors' work schedule, the results of their audits and recommendations, and any follow-up action.

Groupe BPCE strategic operations

The Audit Committee is asked to review and issue a prior opinion on any material internal or external growth operations submitted for the approval of the Supervisory Board, including in particular:

- any material equity investments or divestments, contributions, mergers, spin-offs, restructuring operations, joint ventures, strategic deals, alliances or partnerships entered into by BPCE or its subsidiaries;
- any material acquisitions or disposals, including acquisitions or disposals of Equity interests, carried out by the Banques Populaires and the Caisses d'Épargne, specifically reviewing the associated terms and conditions as well as the prudential and accounting impacts.

ACTIVITY

The Audit Committee met six times between January 1 and December 31, 2020. The average attendance rate at these meetings was 100%.

The main issues that it addressed were as follows:

- presentation of BPCE's annual financial statements for the year ended December 31, 2019 and review of the 2021 budget;
- presentation of BPCE's 2020 quarterly and half-year financial statements;
- IFRS 17 update;
- review and examination of Groupe BPCE's capital adequacy and liquidity ratios;
- oversight of the management of intra-group prudential ratio requirements;
- monitoring of cost of risk;
- monitoring of the impacts of the health crisis;
- monitoring of the impact on the financial statements of the Group's transformation initiatives;
- regular information on the results of BPCE's main subsidiaries;
- monitoring of the work performed by the Statutory Auditors, reviewing their independence and fees, approving the services carried out by the Statutory Auditors other than certifying financial statements;
- appointment of BPCE's new Statutory Auditors: monitoring of the tender process and opinion to the Supervisory Board;
- reviewing the strategic operations undertaken by the Group.

INFORMATION ON THE TENDER PROCEDURE FOR THE RENEWAL OF THE STATUTORY AUDITORS' TERM OF OFFICE

In anticipation of the expiring terms of office of the statutory audit firms PwC and Deloitte at the end of the fiscal year ended December 31, 2020 for BPCE and the fiscal year ended December 31, 2021 for Natixis, it was decided, in accordance with Regulation (EU) N° 537/2014, to submit the renewal of the Statutory Auditors of BPCE and Natixis to a call for tenders. This call for tenders also made it possible to renew the list of Statutory Auditors for the Group's institutions.

The main deadlines of the call for tenders were as follows: launch of the call for tenders in April 2020, choice of firms on the list of approved Statutory Auditors proposed to the Group's institutions in July 2020, choice of firms by BPCE and Natixis panels in November 2020, and appointment of BPCE's Statutory Auditors at the 2021 General Meeting.

The BPCE and Natixis Audit Committees were regularly informed of the progress of the call for tenders procedure, and the Chairmen of each Audit Committee took part in the selection hearings of the Statutory Auditors.

After reviewing the responses to the call for tenders, BPCE's Audit Committee initially decided, at its meeting of July 31, 2020, on the list of Statutory Auditors for the Group's institutions.

With regard to the renewal of BPCE's Statutory Auditors, the Audit Committee made a recommendation to the Supervisory Board in November 2020 on maintaining a three-firm college, with the renewal of Deloitte and PwC in 2021. The Board Meeting of November 5, 2020 decided, in accordance with the recommendation of the Audit Committee, to submit to the BPCE General Meeting scheduled to approve the financial statements at December 31, 2020, the renewal of Deloitte and PwC for a term of six years.

RISK COMMITTEE

DUTIES

The Risk Committee assists the Supervisory Board with respect to BPCE's overall strategy and risk appetite, both current, future and when the Supervisory Board reviews the strategy's implementation. Accordingly, it is tasked with assessing the effectiveness of the internal control and risk management systems and, more generally, fulfills the duties set out in Articles L. 511-92 et seq. of the French Monetary and Financial Code and by the Ministerial Order of November 3, 2014 on internal control of banking sector companies.

In this respect, its duties include:

- conducting a regular review of the strategies, policies, procedures, systems, tools and limits referred to in Article 148 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies and the underlying assumptions, and sharing its findings with the Supervisory Board;
- reviewing the total risk exposure of company and Groupe BPCE activities, based on the associated reports;
- advising the Supervisory Board on the company's overall strategy and risk appetite, both current and future;
- assisting the Supervisory Board when it reviews the implementation of this strategy by the members of the Management Board and the Head of Risk Management;
- assisting the Supervisory Board in regularly reviewing the policies established to comply with the provisions of the Ministerial Order of November 3, 2014 on internal control of banking sector companies, assessing the effectiveness of these policies and that of the provisions and procedures implemented for the same purposes as well as any corrective measures undertaken in the event of failures;
- reviewing the annual report(s) on risk measurement and supervision and on the conditions under which internal control is conducted throughout the Group;
- proposing to the Board the materiality criteria and thresholds referred to in Article 98 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies, *i.e.* the criteria and thresholds used to identify incidents that must be brought to the Board's attention;
- ensuring the independence of Groupe BPCE's Inspection Générale division, which is authorized to request or access all items, systems, or information required for the successful completion of its duties;
- reviewing the annual schedule of the Group's Inspection Générale division;

- ensuring that the findings of audits performed by the *Autorité de contrôle prudentiel et de résolution* (ACPR – French Prudential Supervisory and Resolution Authority) and/or the ECB and the Group's Inspection Générale division, whose summaries regarding the company and Groupe BPCE entities are disclosed to it, are addressed;
- reviewing the follow-up letters sent by the ACPR and/or by the ECB and issuing an opinion on the draft replies to these letters;
- determining, in accordance with its purview, if the prices of products and services (referred to in Books II and III of the French Monetary and Financial Code: financial instruments, savings products, banking transactions, investment services) offered to customers are compatible with the company's risk strategy and, if not, to present an action plan to the Supervisory Board to remedy the situation;
- determining if incentives provided by the company's pay practices and policy are compatible with the risks incurred by the company, its capital and liquidity and the likelihood that the expected benefits will vest, as well as their staggered vesting over time.

ACTIVITY

The Risk Committee met nine times between January 1 and December 31, 2020. The average attendance rate at these meetings was 96.30%.

The main issues that it addressed were as follows:

- follow-up on the reports and investigations of the *Autorité de contrôle prudentiel et de résolution* and the European Central Bank (ECB), and on the recommendations made by the Group's Inspection Générale division;
- analysis and follow-up of the Supervisory Board Chairman's report on internal control and risk management;
- review of reports on internal control prepared in accordance with Article 258 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies and on risk measurement and supervision, prepared in accordance with Article 262 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies: work carried out by the Group's Inspection Générale division, annual compliance report (annual report of the investment services compliance officer [RCSI], report on the annual check control program, report on credit risks), update on accounting risks;
- review of the annual review of the system for reporting significant incidents and assessment of the 2019 reports;
- study of the BCBS 239 issues for the Group and the governance system implemented;
- monitoring of the impact of the health crisis (risks, treatment of customers in difficulty, effectiveness of the liquidity management plan in a crisis situation);
- review of compliance work;
- review of the work performed by the Group's Inspection Générale division and presentation of the 2021 audit plan;
- review of risk management and measurement work, and particularly the review of Group risk monitoring mechanisms (monitoring of consolidated risks, review of the impact of conditions in Europe on the Group, forward-looking risk management approach, oversight of the Group's market and credit limits);
- monitoring of the measures taken in 2019 to ensure the control of essential outsourced services, including the monitoring of critical or important services and review of the 2020 outsourcing policy;
- analysis of Group risk measurement and quantification systems, and review of their performance;

- review of the ALM risk limit criteria (Article 98 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies);
- updates on Groupe BPCE's anti-money laundering efforts and review of the annual reports on the organization of internal control systems for the fight against money laundering and terrorist financing and the freezing of assets, on a parent-company and consolidated basis, for the 2019 fiscal year;
- review of Groupe BPCE's risk governance;
- annual review and reconsideration of Groupe BPCE's risk appetite;
- review of the architecture and tools used to monitor interest rate and liquidity risks;
- review of the results of alternative crisis scenarios and measures taken on liquidity;
- review of Groupe BPCE's overall credit risk policy;
- review of the group's provisioning policy on healthy loans;
- update on the integration and monitoring of risk management at Oney Bank and the FSE division;
- regular analysis of BPCE International's various exposures in the non-transferred scope of consolidation;
- regular monitoring of points concerning Natixis (cost of risk, fund performance, reporting of significant incidents, H2O, etc.);
- monitoring of the service voucher market (meal vouchers);
- review of the 2020 and 2021 stress scenarios;
- review of the methods and results of the annual ICAAP (Internal Capital Adequacy Assessment Process) process intended to analyze capital adequacy;
- review of the economic viability of the transactions and credit risks of Groupe BPCE's banking institutions, in accordance with Article L. 511-94 of the French Monetary and Financial Code;
- monitoring of internal caps and Group limits (credit risks, market risks, interest rate risks and liquidity risks);
- review of the senior management report (SMR) on the effectiveness of the compliance mechanism in accordance with the Volcker rule's specifications;
- review of the Contingency and Business Continuity Plan (CBCP);
- updates on cyber security and cybercrime issues;
- update on Leveraged Finance;
- update to Groupe BPCE's Recovery Plan (RP);
- status reports on the progress of the "New definition of default" project.

APPOINTMENTS COMMITTEE

DUTIES

The Appointments Committee is in charge of submitting motions to the Supervisory Board concerning:

- the choice of members of the Supervisory Board and Non-Voting Directors who come from outside Groupe BPCE. Supervisory Board Members from inside Groupe BPCE are appointed in compliance with the company's Articles of Association and Article L. 512-106 of the French Monetary and Financial Code;
- the appointment of the Chairman of the Management Board.

Furthermore, the Appointments Committee:

- regularly reviews and assesses the integrity and skills of candidates for the Supervisory Board and the Non-Voting Directors, Chairman, and other members of the Management Board;
- assesses the balance and diversity of knowledge, skills and experience individually and collectively held by the members of the Supervisory Board;
- specifies the duties and qualifications required for positions on the Supervisory Board and assesses the amount of time that should be spent on Supervisory Board duties;
- sets a target for the balanced representation of men and women on the Supervisory Board and creates a policy to achieve this target;
- writes, submits to the Supervisory Board, and annually reviews a diversity policy applicable to Supervisory Board Members with respect to criteria such as age, gender, or qualifications and professional experience, as well as a description of the goals of that policy, its terms of implementation, and the results achieved during the past year;
- periodically, and at least once a year, assesses:
 - the structure, size, composition and effectiveness of the Supervisory Board with respect to its assigned tasks, and submits all useful recommendations to the Board,
 - the knowledge, skills and experience of the members of the Supervisory Board, both individually and collectively, and reports on this assessment to the Board;
- periodically reviews the policies of the Supervisory Board governing the selection and appointment of Management Board members and the Head of Risk Management and makes appropriate recommendations;
- ensures that the Supervisory Board is not dominated by any one person or small group of people under conditions that are detrimental to the company's interests;
- writes and periodically reviews a succession procedure for company directors, which it submits to the Supervisory Board.

ACTIVITY

The Remuneration Committee met three times between January 1 and December 31, 2020. The average attendance rate at these meetings was 100%.

The main issues that it addressed were as follows:

- examination of the good reputation and skills of a candidate member of the BPCE Management Board;
- implementation of the recommendations of the previous Supervisory Board evaluation;
- launch of the Supervisory Board's annual audit process, and analysis of the audit report and distribution of expertise among members of the Supervisory Board;
- annual review of independent member status on the Supervisory Board;
- review of the conflicts of interest management process for independent members;
- review of diversity policies for members of the Management and Supervisory Boards.

REMUNERATION COMMITTEE

DUTIES

The Remuneration Committee is in charge of submitting motions to the Supervisory Board concerning:

- the amounts and conditions of pay, compensation and benefits of any kind awarded to members of the company's Management Board, including benefits in kind, provident Insurance and pension plans;
- the pay granted to the Chairman of the Supervisory Board and, where applicable, the Vice-Chairman;
- the distribution of attendance fees among members of the Supervisory Board and committees and the total amount of attendance fees submitted for approval at the company's Annual General shareholders' Meeting.

Furthermore, the Remuneration Committee:

- conducts an annual review:
 - of the principles of the company's pay policy,
 - of the pay, compensation and benefits of any kind granted to corporate officers of the company,
 - of the pay policy for categories of personnel, including Management Board Members, risk takers, persons exercising control duties and any employees who, as a result of their total income, are in the same pay bracket, whose professional activities have a material impact on the company's or Group's risk profile;
- directly controls the pay granted to the Head of Risk Management, referred to in Article L. 511-64 of the French Monetary and Financial Code and, where applicable, the Head of Compliance;
- reports regularly on its work to the Supervisory Board;
- examines the draft of the Supervisory Board's corporate governance report;
- gives its opinion to the Board on the policy for granting stock options or similar securities and on the list of beneficiaries;
- is informed of Groupe BPCE's pay policy, particularly the policy regarding the main company directors of affiliated institutions;
- reviews and issues opinions on the Insurance policies taken out by the company covering the liability of company directors;
- gives its opinion to the Board on the section of the annual report covering issues within the remit of the Remuneration Committee.

ACTIVITY

The Remuneration Committee met four times between January 1 and December 31, 2020. The average attendance rate at these meetings was 90.63%.

The main issues that it addressed were as follows:

- variable pay of Management Board members for 2019 and the amounts and conditions of fixed and variable pay for Management Board members for 2020 (definition of deferral and payment conditions, definition of quantitative and qualitative criteria);
- pay policy guidelines for persons belonging to the "regulated population" of BPCE and Groupe BPCE credit institutions (review of Group standards on risk takers, identification of

BPCE's risk takers for 2019, establishment of a minimum capital threshold that must be met for variable components to be received, establishment of a penalty based on financial position, review of the system of penalties for bad behavior in 2019, review of the pay policy's compliance with SRAB regulations and the Volcker rule);

- review of pay for the BPCE SA Risk and Compliance functions;
- review of the report on internal control of Groupe BPCE credit institutions regarding the policy and practices governing pay in respect of 2019 granted to members of the executive body and persons whose professional activities have a material impact on the corporate risk profile, pursuant to Article 266 of the Ministerial Order of November 3, 2014 on internal control of banking sector companies;
- pay of a member of the Management Board following a change in position;
- total amount of pay allocated for the work of the members of the Supervisory Board and the new rules for allocating the amount among the members of the Board and the committees as from the 2021 fiscal year.

COOPERATIVE AND CSR COMMITTEE

DUTIES

The Cooperative and CSR Committee is in charge of submitting motions and recommendations aimed at promoting the cooperative and social values of long-term commitment and professional and interpersonal ethics. It also ensures that Group and network activities represent these values, thereby strengthening the cooperative banking model of the Group and each of the networks.

To this end, the Cooperative and CSR Committee monitors cooperative share sales and dividend practices exercised by the Banques Populaires and the Caisses d'Épargne, changes to their share capital and fair distribution among cooperative shareholders.

ACTIVITY

The Cooperative and CSR Committee met twice between January 1 and December 31, 2020. The average attendance rate at these meetings was 91.67%.

The main issues that it addressed were as follows:

- review of the group conduct and ethics reporting;
- review of Groupe BPCE's non-financial performance report and ESG ratings;
- presentation of the latest deliverables of the green business development program;
- monitoring of the work site relating to the environmental issues of the strategic plan;
- presentation of the current status and outlook for Groupe BPCE's carbon footprint and direct environmental footprint;
- group membership of the Carbon Disclosure Project;
- examination of proposals for priorities and reflections on the operation of the Cooperative and CSR Committee;
- presentation of the new cooperative shareholder portal;
- review of climate risk impacts;
- updates on the FNBP and FNCE projects.

3.4.3 Attendance of Supervisory Board and Specialized Committee Meetings

	Supervisory Board	Audit Committee	Risk Committee	Appointments Committee	Remuneration Committee	Cooperative and CSR Committee	Total	Individual attendance rate
Members of the Supervisory Board								
	Meetings attended/number of meetings							
Pierre Valentin, Chairman of the Supervisory Board	12/12	N/A	N/A	N/A	N/A	2/2	14/14	100%
Thierry Cahn, Vice-Chairman of the Supervisory Board	12/12	N/A	N/A	N/A	N/A	1/2	13/14	92.86%
Caisse d'Épargne Representatives								
Catherine Amin-Garde	12/12	N/A	N/A	3/3	4/4	N/A	19/19	100%
Alain Denizot	12/12	N/A	9/9	N/A	N/A	N/A	21/21	100%
Éric Fougère	12/12	6/6	N/A	N/A	N/A	N/A	18/18	100%
Dominique Goursolle-Nouhaut	12/12	N/A	N/A	3/3	4/4	N/A	19/19	100%
Françoise Lemalle	10/12	N/A	9/9	N/A	N/A	N/A	19/21	90.48%
Didier Patault	12/12	6/6	N/A	3/3	4/4	2/2	27/27	100%
Banque Populaire Representatives								
Gérard Bellemon	12/12	N/A	N/A	3/3	4/4	N/A	19/19	100%
Bernard Dupouy	11/12	6/6	N/A	N/A	2/4	N/A	19/22	86.36%
Yves Gevin	12/12	6/6	N/A	3/3	3/4	2/2	26/27	96.30%
Michel Grass	12/12	N/A	9/9	3/3	N/A	N/A	24/24	100%
Olivier Klein	11/12	N/A	7/9	N/A	N/A	N/A	18/21	85.71%
Catherine Mallet	12/12	N/A	N/A	N/A	N/A	N/A	12/12	100%
Independent Members								
Valérie Pancrazi	12/12	N/A	N/A	3/3	4/4	N/A	19/19	100%
Anne-Claude Pont	12/12	6/6	9/9	N/A	N/A	N/A	27/27	100%
Kadidja Sinz	12/12	6/6	9/9	N/A	N/A	N/A	27/27	100%
Employee Representatives								
Vincent Gontier	12/12	N/A	N/A	N/A	4/4	N/A	16/16	100%
Frédéric Hassaine	12/12	N/A	N/A	N/A	N/A	N/A	12/12	100%
Non-Voting Directors								
Jean Arondel – FNCE	NA	N/A	N/A	N/A	N/A	2/2	2/2	100%
André Joffre – FBNP	NA	N/A	N/A	N/A	N/A	2/2	2/2	100%
Pierre Carli	N/A	N/A	N/A	N/A	N/A	N/A	NA	NA
Joël Chassard	N/A	N/A	N/A	N/A	N/A	N/A	NA	NA
Sylvie Garcelon	N/A	N/A	N/A	N/A	N/A	N/A	NA	NA
Daniel Karyotis	N/A	N/A	N/A	N/A	N/A	N/A	NA	NA
TOTAL	224/228	36/36	52/54	21/21	29/32	11/12	373/383	
AVERAGE	98.25%	100%	96.30%	100%	90.63%	91.67%	97.39%	

3.4.3 Management Board

In accordance with Article 18 of BPCE's Articles of Association, the Management Board has the broadest powers to act under all circumstances in the company's name, within the corporate purpose and subject to decisions requiring prior authorization by the Supervisory Board and the Annual General shareholders' Meeting, in accordance with the law or the Articles of Association.

In particular, the Management Board:

- performs duties as the company's central institution as specified by law and, where applicable, after receiving prior authorization from the Supervisory Board, as specified by the company's Articles of Association;
- exercises all banking, financial, administrative and technical powers;
- approves the appointment of executive management at the company's main direct and indirect subsidiaries;
- appoints the person or persons tasked with temporary Management or Control functions for an affiliated institution in the event the Supervisory Board decides to dismiss any persons referred to in Article L. 512-108 of the French Monetary and Financial Code;
- decides, in an emergency, to suspend one or more executive managers of an affiliated institution as a protective measure;
- uses the Group's internal solidarity mechanisms, notably by calling on the guarantee and solidarity funds of the Networks and the Group;

- approves the Articles of Association of affiliated institutions and local savings companies and any changes thereto;
- determines the rules governing the pay granted to executive managers of affiliated institutions, including any contingent pay and benefits granted to such individuals on or after termination of employment;
- authorizes any transaction of less than €100 million;
- issues general internal directives to affiliated institutions, covering the objectives defined in Article L. 511-31 of the French Monetary and Financial Code.

The Management Board is required to comply with the limitations of powers defined in Articles 27.1, 27.2, 27.3 and 27.4 of BPCE's Articles of Association, which set out the duties of the Supervisory Board.

The Chairman of the Management Board represents the company in its dealings with third parties.

On the recommendation of the Chairman of the Management Board, the Supervisory Board may grant the same power of representation to one or more Management Board members,

who shall then bear the title of Chief Executive Officer. The Chairman of the Management Board and the Chief Executive Officer or officers, if any, are authorized to appoint a special representative to deputize them in respect of part of their powers.

With the authorization of the Supervisory Board, the members of the Management Board may, on the recommendation of the Chairman of the Management Board, divide management tasks between them. However, in no event should this division have the effect of removing the Management Board's capacity as a collegial management body.

Once every three months, the Management Board presents a written report to the Supervisory Board on the company's performance. Within three months of the end of each accounting period, the Management Board completes the parent company financial statements and presents them to the Supervisory Board for verification and control. It also submits the consolidated financial statements to the Supervisory Board within this same period.

3.4.4 Annual General shareholders' Meetings

The provisions governing the participation of shareholders at the Annual General shareholders' Meeting (Article 30 of BPCE's Articles of Association) are as follows:

- 1° Annual General shareholders' Meetings are called and convened in accordance with regulations in force.

Annual General shareholders' Meetings take place at the registered office or at any other location specified in the notice of meeting.

The Ordinary General shareholders' Meeting called to approve the annual financial statements for the previous fiscal year convenes within five months of the end of the fiscal year.

- 2° Only Category "A" shareholders, Category "B" shareholders and owners of ordinary shares are entitled to take part in the Annual General shareholders' Meetings.

Their participation is subject to the registration of the shares in the name of the shareholder by the second business day preceding the Annual General shareholders' Meeting at twelve midnight, Paris time, in the registered share accounts maintained by the company.

- 3° Shareholders unable to personally attend the Annual General shareholders' Meeting may select one of the following three options:

- to grant a proxy to another shareholder or, if the shareholder is a natural person, to the shareholder's spouse; or
- to vote by absentee ballot; or
- to send a power of attorney to the company without designating a representative.

- 4° Annual General shareholders' Meetings are chaired by the Chairman of the Supervisory Board or, in the Chairman's absence, by the Vice-Chairman. In the absence of both the Chairman and Vice-Chairman, Annual General shareholders' Meetings are chaired by a member of the Supervisory Board specially appointed for this purpose by the Supervisory Board. Failing this, the Annual General shareholders' Meeting elects its own Chairman.

The Annual General shareholders' Meeting appoints its officers.

The duties of scrutineer are performed by two consenting shareholders representing, themselves or as proxies, the greatest number of shares. The officers of the Annual General shareholders' Meeting appoint a Secretary, who may be selected from outside the shareholders' ranks.

A register of attendance is kept in accordance with regulations in force.

- 5° The Ordinary General shareholders' Meeting convened on first notice may validly transact business if the shareholders present or represented own at least one-fifth of the voting shares. The Ordinary General shareholders' Meeting convened on second notice may validly transact business regardless of the number of shareholders present or represented.

Resolutions of the Ordinary General shareholders' Meeting are carried by majority vote of the shareholders present or represented, including shareholders who have voted by absentee ballot.

The Ordinary General shareholders' Meeting called to approve the financial statements for the past fiscal year is consulted on the components of pay due or granted for the fiscal year ended to the Chairman of the Management Board and to each member of the Management Board.

It is consulted on the overall budget for pay of any kind paid during the fiscal year ended to the company's executive managers and to categories of staff referred to in Article L. 511-71 of the French Monetary and Financial Code, whose professional activities have a material impact on the company or Group risk profile.

The Ordinary General shareholders' Meeting may, in accordance with Article L. 511-78 of the French Monetary and Financial Code, resolve to raise the variable pay to an amount greater than the fixed pay amount, within the limit of double the fixed pay amount, for the company's executive managers, as well as for categories of staff referred to in Article L. 511-71 of said Code whose professional activities have a material impact on the company or Group risk profile. This resolution is carried by a two-thirds majority of the votes of the shareholders present or represented, including the shareholders having voted by absentee ballot. If at least half the shareholders are not present or represented, the resolution is carried by a three-quarters majority vote.

6° The Extraordinary shareholders' Meeting convened on first notice may validly transact business only if the shareholders present or represented own at least one-quarter of the voting shares.

The Extraordinary shareholders' Meeting, convened on second notice, may validly transact business only if the shareholders present or represented own at least one-fifth of the voting shares.

Resolutions of the Extraordinary shareholders' Meeting are carried by a two-thirds majority of the votes of the shareholders present or represented, including shareholders who have voted by absentee ballot.

7° Copies or extracts of the minutes of the Annual General shareholders' Meeting are validly certified by the Chairman of the Supervisory Board, by the Vice-Chairman, a member of the Management Board, or by the Secretary of the Annual General shareholders' Meeting.

8° Ordinary and Extraordinary shareholders' Meetings exercise their respective powers in accordance with regulations in force.

3.5 Rules and principles governing the determination of pay and benefits

3.5.1 Pay policy, components of pay, benefits in kind, loans, guarantees and attendance fees received by members of the Supervisory Board of BPCE⁽¹⁾

At the Combined General Meeting on May 19, 2017, the total amount of pay allocated to members of BPCE's Supervisory Board for attendance at meetings was set at €700,000. This pay is detailed in the statement regarding pay collected by the non-executive corporate officers of BPCE.

At the meeting on May 19, 2017, the Supervisory Board set the pay for the Chairman and Vice-Chairman of the Supervisory Board as well as the terms for distributing pay for attendance at meetings among the Supervisory Board Members.

Aside from the Chairman, who receives annual fixed pay, Supervisory Board Members are paid based on their attendance at meetings.

PAY GRANTED TO THE CHAIRMAN OF THE SUPERVISORY BOARD

- annual fixed pay: €400,000;
- variable pay: €0.

PAY GRANTED TO SUPERVISORY BOARD MEMBERS

Pay granted to the Vice-Chairman of the Supervisory Board:

- annual fixed pay: €80,000;
- variable pay for each meeting attended, up to a limit of nine meetings during the fiscal year: €1,500.

Other members of the Supervisory Board:

- annual fixed pay: €8,200;
- variable pay for each meeting attended, up to a limit of nine meetings during the fiscal year: €1,200.

ADDITIONAL PAY GRANTED TO BOARD COMMITTEE MEMBERS

Pay granted to the Chairman of the Audit Committee:

- annual fixed pay: €23,900;
- variable pay for each meeting attended, up to a limit of four meetings during the fiscal year: €2,400.

Other members of the Audit Committee:

- annual fixed pay: €750;
- variable pay for each meeting attended, up to a limit of four meetings during the fiscal year: €875.

Pay granted to the Chairman of the Risk Committee:

- annual fixed pay: €23,900;
- variable pay for each meeting attended, up to a limit of six meetings during the fiscal year: €2,400.

Other members of the Risk Committee:

- annual fixed pay: €750;
- variable pay for each meeting attended, up to a limit of six meetings during the fiscal year: €875.

Pay granted to the Chairman of the Appointments Committee:

- annual fixed pay: €13,100;
- variable pay for each meeting attended, up to a limit of three meetings during the fiscal year: €1,650.

Other members of the Appointments Committee:

- annual fixed pay: €750;
- variable pay for each meeting attended, up to a limit of three meetings during the fiscal year: €600.

Pay granted to the Chairman of the Remuneration Committee:

- annual fixed pay: €13,100;
- variable pay for each meeting attended, up to a limit of five meetings during the fiscal year: €1,650.

Other members of the Remuneration Committee:

- annual fixed pay: €750;
- variable pay for each meeting attended, up to a limit of five meetings during the fiscal year: €600.

Pay granted to the Chairman of the Cooperative and CSR Committee:

- annual fixed pay: €13,100;
- variable pay for each meeting attended, up to a limit of two meetings during the fiscal year: €1,650.

Other members of the Cooperative and CSR Committee:

- annual fixed pay: €750;
- variable pay for each meeting attended, up to a limit of two meetings during the fiscal year: €600.

[1] The figures presented in this section are gross amounts.

As a reminder, the Chairman and Vice-Chairman of the Supervisory Board do not receive any pay for participating in the Cooperative and CSR Committee.

PAY GRANTED TO NON-VOTING DIRECTORS

Pursuant to Article 28.3 of the Articles of Association, the Supervisory Board has resolved to compensate non-voting directors by making a deduction from the pay for attendance at meetings allocated to Supervisory Board Members at the Annual General shareholders' Meeting.

Non-Voting Directors receive:

- annual fixed pay: €4,000;
- variable pay for each meeting attended, up to a limit of nine meetings during the fiscal year: €600.

RULES GOVERNING PAY GRANTED TO THE MEMBERS OF THE SUPERVISORY BOARD

Attendance fees were eliminated by Article 185 of the PACTE Act (act No. 2019-486 of May 22, 2010), which replaced them with "pay" that may be paid to directors and members of the Supervisory Board of a French limited liability company (*société anonyme*).

The change in legal terminology has no impact on the tax or social security charges applicable to the sums paid to directors and members of the Supervisory Board.

As such, any references to "attendance fees" below should be construed from a legal point of view as "pay".

Attendance fees are subject to single mandatory withholding tax at the global rate of 30%, consisting of a non-discharging flat 12.80% of the income tax plus social security contributions at the global rate of 17.20%.

Taxpayers may, if they so choose, opt for the progressive income tax scale instead of the flat 12.80% when filing their tax return. This option can be used for the full amount, provided that

it applies to all income and gains that fall within the scope of the single flat-rate withholding tax, which are collected or earned during a single year by all members of the tax household.

The following taxation conditions apply:

- withholdings:
 - a non-exempting flat-rate withholding tax, serving as income tax, at a rate of 12.8%. This tax entitles taxpayers to a tax credit that can be applied to the tax calculated for the year in which the attendance fees are collected at either the flat rate or using the progressive scale, as per their choice. Taxpayers may ask to be exempted from this withholding if they provide the attendance fee distributing company with a sworn statement that the baseline tax income thresholds set out by law have been met, no later than November 30 of the year preceding the year in which the attendance fees are paid,
 - social security charges at rates applicable on the date of the levy (17.2% since January 1, 2018, including a CSG [contribution sociale généralisée – general social security tax] of 6.8% deductible from taxable income for the year of the payment, if the taxpayer has opted for the progressive scale),
 - declaration of attendance fees on the 2042 income tax return and taxation at the flat rate of 12.80% or, optionally, using the progressive income tax scale. The tax credit attributed for the non-exempting flat withholding tax is determined in this way.

OTHER PAY

Other pay consists of total pay for attendance at meetings received by corporate officers in respect of their duties on the boards of Group companies during the period in question.

Each payment relates to the corporate officer's presence at Board Meetings and is calculated on the basis of the total budget for attendance at meetings set by each company's Annual General shareholders' Meeting.

TABLE ON PAY RECEIVED BY BPCE'S NON-EXECUTIVE CORPORATE OFFICERS FROM JANUARY 1 TO DECEMBER 31, 2020 (AMF TABLE 3)

	Fiscal year 2019		Fiscal year 2020	
	Amounts due ⁽¹⁾	Amounts paid ⁽²⁾	Amounts due ⁽³⁾	Amounts paid ⁽⁴⁾
Pierre Valentin Chairman of the Supervisory Board since May 24, 2019				
Annual fixed pay	€240,860.19	€240,860.19	€400,000.00	€400,000.00
BPCE pay	€11,310.75	€11,310.75	N/A	N/A
Other pay	€3,000.00	€3,000.00	€2,400.00	€2,400.00
Thierry Cahn Vice-Chairman of the Supervisory Board since May 24, 2019				
BPCE pay	€65,182.79	€65,182.79	€93,500.00	€93,500.00
Other pay	€29,000.00	€29,000.00	€10,452.46	€10,452.46
Caisse d'Epargne Representatives				
Catherine Amin-Garde				
BPCE pay	€23,500.00	€23,500.00	€24,700.00	€24,700.00
Other pay	€6,600.00	€5,700.00	€3,900.00	€3,900.00
Alain Denizot				
BPCE pay	€25,000.00	€25,000.00	€25,000.00	€25,000.00
Other pay	€2,400.00	€3,300.00	€3,000.00	€3,000.00
Eric Fougère (since December 19, 2019)				
BPCE pay	N/A	N/A	€23,250.00	€23,250.00
Other pay	N/A	N/A	N/A	N/A
Dominique Goursolle-Nouhaud				
BPCE pay	€23,500.00	€23,500.00	€24,700.00	€24,700.00
Other pay	€40,400.00	€37,400.00	€9,500.00	€11,000.00
Françoise Lemalle				
BPCE pay	€23,800.00	€23,800.00	€25,000.00	€25,000.00
Other pay	€35,000.00	€35,000.00	€6,045.36	€6,045.36
Didier Patault				
BPCE pay	€29,700.00	€29,700.00	€30,900.00	€30,900.00
Other pay	€7,800.00	€6,600.00	€11,400.00	€7,800.00
Nicolas Plantrou (Vice-Chairman of the Supervisory Board until May 24, 2019 and member until December 14, 2019)				
BPCE pay	€51,158.20	€51,158.20	N/A	N/A
Other pay	€15,500.00	€16,500.00	€8,100.00	€13,100.00
Banque Populaire Representatives				
Gérard Bellemon				
BPCE pay	€23,500.00	€23,500.00	€24,700.00	€24,700.00
Other pay	€8,900.00	€11,400.00	€10,300.00	€6,950.00
Bernard Dupouy				
BPCE pay	€24,650.00	€24,650.00	€25,200.00	€25,200.00
Other pay	€26,194.52	€27,994.52	€13,319.13	€13,319.13
Yves Gevin				
BPCE pay	€29,975.00	€29,975.00	€30,300.00	€30,300.00
Other pay	€2,400.00	€3,000.00	€1,200.00	€2,400.00
Michel Grass (Chairman of the Supervisory Board until May 24, 2019)				
Annual fixed pay	€159,139.77	€159,139.77	N/A	N/A
BPCE pay	€16,215.86	€16,215.86	€27,550.00	€27,550.00
Other pay	N/A	N/A	N/A	N/A
Olivier Klein				
BPCE pay	€25,000.00	€25,000.00	€25,000.00	€25,000.00
Other pay	N/A	€2,400.00	N/A	N/A
Catherine Mallet				
BPCE pay	€19,000.00	€19,000.00	€19,000.00	€19,000.00
Other pay	N/A	N/A	N/A	N/A

	Fiscal year 2019		Fiscal year 2020	
	Amounts due ⁽¹⁾	Amounts paid ⁽²⁾	Amounts due ⁽³⁾	Amounts paid ⁽⁴⁾
Independent Members				
Maryse Aulagnon (until April 19, 2019)				
BPCE pay	€17,315.56	€17,315.56	N/A	N/A
Other pay	N/A	N/A	N/A	N/A
Valérie Pancrazi (since May 9, 2019)				
BPCE pay	€33,051.08	€33,051.08	€56,750.00	€56,750.00
Other pay	€46,500.00	€44,500.00	€48,500.00	€46,500.00
Anne-Claude Pont				
BPCE pay	€61,550.00	€61,550.00	€61,550.00	€61,550.00
Other pay	N/A	€35,500.00	€1,200.00	€0.00
Kadidja Sinz				
BPCE pay	€58,500.00	€58,500.00	€58,500.00	€58,500.00
Other pay	N/A	N/A	N/A	N/A
Employee representatives				
Vincent Gontier⁽⁵⁾				
BPCE pay	€20,950.00	€20,950.00	€22,150.00	€22,150.00
Other pay	N/A	N/A	N/A	N/A
Frédéric Hassaine⁽⁵⁾				
BPCE pay	€19,000.00	€19,000.00	€19,000.00	€19,000.00
Other pay	N/A	N/A	N/A	N/A
Non-Voting Directors				
Jean Arondel (FNCE)				
BPCE pay	€25,800.00	€25,800.00	€18,575.00	€18,575.00
Other pay	€79,000.00	€71,200.00	€92,689.00	€84,889.00
Pierre Carli				
BPCE pay	€7,600.00	€7,600.00	€9,400.00	€9,400.00
Other pay	€13,800.00	€13,800.00	€15,000.00	€15,000.00
Joël Chassard				
BPCE pay	€9,400.00	€9,400.00	€9,400.00	€9,400.00
Other pay	€23,900.00	€26,100.00	€25,300.00	€25,900.00
Sylvie Garcelon				
BPCE pay	€9,400.00	€9,400.00	€9,400.00	€9,400.00
Other pay	€43,000.00	€43,000.00	€35,000.00	€35,000.00
André Joffre (FNBP)				
BPCE pay	€11,350.00	€11,350.00	€18,575.00	€18,575.00
Other pay	€1,800.00	€2,700.00	€2,700.00	€1,800.00
Daniel Karyotis				
BPCE director pay	€9,400.00	€9,400.00	€9,400.00	€9,400.00
Other pay	€23,000.00	€16,100.00	€26,000.00	€18,200.00
TOTAL PAY	€1,421,453.72	€1,509,003.72	€1,417,505.94	€1,399,155.94

(1) Amounts due in respect of 2019: all amounts owed in respect of 2019, regardless of the date of payment.

(2) Amounts paid in 2019: all amounts paid and received in 2019 (due in 2018 and paid in 2019 and due in 2019 and paid in 2019) excluding withholding taxes (amounts actually received by members include withholding taxes).

(3) Amounts due in respect of 2020: all amounts owed in respect of 2020, regardless of the date of payment.

(4) Amounts paid in 2020: all amounts paid and received in 2020 (due in 2019 and paid in 2020 and due in 2020 and paid in 2020) excluding withholding taxes (amounts actually received by members include withholding taxes).

(5) Both employee representatives have waived their BPCE pay in favor of their unions.

N/A Not Applicable

3.5.2 Corporate officer pay policy for fiscal year 2021

The pay policy described below was defined by the Supervisory Board on February 11, 2021, based on a motion by the Remuneration Committee.

This policy sets the principles and criteria for determining, distributing and granting the fixed, variable and non-recurring items making up the total pay and benefits of any kind that may be granted to members of the Management Committee for the 2021 fiscal year.

The Chairman of the Management Board is paid solely in respect of his corporate office.

The other members of the Management Board, except the Chief Executive Officer of Natixis, receive an employment contract. Their pay is divided 90%/10% respectively between the employment contract and corporate office.

Given his duties as Chief Executive Officer of Natixis, the member of the BPCE Management Board who is also CEO of Natixis is paid solely for his corporate office at Natixis. As such, he does not collect any pay from BPCE.

The principles and rules for determining their pay and other benefits granted in respect of their office and employment contract are approved by the Supervisory Board based on a motion by the Remuneration Committee.

The terms and conditions of payment of annual variable pay granted to Management Board Members comply with the provisions applicable to governing the pay granted to persons whose professional activities have a material impact on the corporate risk profile as set out by the corpus of texts "CRD IV" consisting of directive 2013/36/EU ("CRD 4" directive).

These measures have, among other things, been amended by directive No. 2019/878 ("CRD 5" directive).

This regulation was transposed into French law in the French Monetary and Financial Code (in particular by Order No. 2014-158 of February 20, 2014 and Order No. 2020-1635 of December 21, 2020, as well as by regulatory provisions, amended by Decree No. 2020-1637 of December 22, 2020 and an order of the same day).

PAY POLICY APPLICABLE TO THE CHAIRMAN OF THE MANAGEMENT BOARD

Pay component	Principles and criteria adopted
Fixed pay	In accordance with Article 19 of BPCE's Articles of Association and on the recommendation of the Remuneration Committee, the Supervisory Board determines the pay of the Chairman of the Management Board. It takes into account the special responsibilities of the Chairman of the Management Board in relation to the other members of the Management Board. This pay primarily reflects the professional experience related to the position held and the responsibilities exercised, and is determined by comparison to market practices. Since January 1, 2018, it has included a special supplement equal to 20% of the Chairman's fixed pay in respect of the Article 82 supplemental pension scheme. The fixed pay of the Chairman of the Management Board is periodically reviewed.
Annual variable pay	For the Chairman of the Management Board: variable pay is determined based on target pay equal to 100% of fixed pay (including the special supplement) for the fiscal year, with a maximum of 120%. Variable pay is determined based on the quantitative and qualitative criteria previously validated by the Supervisory Board. It is awarded if the criterion for triggering variable pay is met, specifically pertaining to the Group Basel III Common Equity Tier 1 ratio. For 2021, this level corresponds to the minimum CET1 level, plus the P2R, the P2G and the phase-in combined buffers as requested by the ECB. This level was confirmed by the ECB in its letter of November 17, 2020 and reflects the Decision of April 8, 2020 on the composition of the P2R (which amends the SREP decision of December 20, 2019). No variable pay is granted if this criterion is not met⁽¹⁾. Quantitative criteria account for 60% of variable pay and are defined based on quantitative factors that reflect how well a number of the Group's financial fundamentals are being satisfied. These criteria are defined by the Supervisory Board, and take into account⁽²⁾: • net income attributable to equity holders of the parent (30%); • the Group's cost/income ratio (20%); • the Group's net banking income (10%). For each of these criteria, if the target as set by the Supervisory Board is reached, Management Board Members would be entitled to receive the entire fixed percentage. In respect of fiscal year 2021, qualitative criteria account for 40% (of which 10% for CSR cross-business performance and 10% for Digital & IT cross-business performance) of variable pay and are determined based on key targets in terms of: • Retail Banking and Insurance; • Financial Solutions and Expertise; • Group human resources; • Finance and Strategy; • Supervision – control – governance; • Information systems and digital; • And two CSR (10%) and Digital & IT (10%) cross-business performances; Only quantitative criteria can be used to determine outperformance. In compliance with the regulations applicable to effective managers, between 40% and 60% of the variable pay of the Chairman of the Management Board is deferred in equal installments over five years (i.e. between 2023 and 2027 for deferred variable pay awarded in 2021), depending on the variable pay amount⁽³⁾. In addition, at least half of the variable pay awarded to the Chairman of the Management Board is indexed. The methods for indexing portions of deferred variable pay will be set by the Supervisory Board allocating variable pay for fiscal year 2021. The payment of the deferred portions of the variable pay awarded for the year 2021 is conditional on the achievement of a financial criterion representative of the Group's financial position, which will be approved by the Supervisory Board awarding the variable pay for fiscal year 2021.
Multi-year variable pay	The Chairman of the Management Board does not receive any multi-year variable pay.
Exceptional pay	The Chairman of the Management Board does not receive any exceptional pay.
Grants of stock options/preference shares	The Chairman of the Management Board does not receive any stock options or preference shares.
Grants of bonus shares	The Chairman of the Management Board does not receive any bonus shares.
Attendance fees	The Chairman of the Management Board does not collect attendance fees.
Sign-on bonus	The Chairman of the Management Board does not receive a sign-on bonus.
Benefits in kind	Based on a motion by the Remuneration Committee, the Supervisory Board may resolve to grant an annual housing allowance to the Chairman of the Management Board. In the wake of the bases for contributions to R2E and CGP supplementary pension plans being capped at eight times the annual ceiling for social security annuities as of January 1, 2020, additional CGP and R2E compensation has been implemented at the same cost to the employer. This fixed compensation is not included in the calculation bases that determine the special supplement, variable pay, retirement bonuses and involuntary-termination severance pay. The Supervisory Board has also decided to grant the Chairman of the Management Board the benefit of collective and mandatory pension plans (incapacity, disability, death) and additional reimbursement of healthcare costs applicable to BPCE SA employees.

(1) The CET1 ratio requirement set by the ECB, including the "Pillar II Guidance" component, is not subject to disclosure.

(2) The Supervisory Board has established specific expected targets for these quantitative goals, but for confidentiality reasons, they are not publicly disclosed.

(3) All of the variable pay allocated by Group companies for the year in question is taken into account when determining the percentage of deferred variable pay. This particularly applies to company directors who may take up new offices during the year.

POST-EMPLOYMENT BENEFITS FOR THE CHAIRMAN OF THE MANAGEMENT BOARD

The commitment made in favor of Laurent Mignon, Chairman of the Management Board, relating to the involuntary-termination severance pay was authorized by the Annual General shareholders' Meeting held on October 4, 2018 in compliance with the related-party agreements and commitments procedure.

The commitment relating to the retirement bonus was authorized by the Supervisory Board on October 4, 2018, and was last amended by the Supervisory Board on February 11, 2021. This commitment and amendment were carried out in accordance with the related-party agreements procedure.

Pay component	Principles and criteria adopted
Involuntary-termination severance pay and retirement bonus	The Chairman of the Management Board, under certain conditions, receives a severance or bonus when his duties cease. The Chairman of the Management Board, under certain conditions, receives involuntary-termination severance pay equal to at least 12 months' pay (fixed and variable portions), and up to 24 months, earned for 12 years' seniority with the Group. Payment is subject to the following conditions: ● Conditions for receiving involuntary-termination severance pay The severance cannot be paid unless termination is involuntary (involuntary end to term of office due to removal by the Annual General shareholders' Meeting, withdrawal of approval, involuntary resignation, or non-renewal by the Supervisory Board), other than for serious misconduct or a change of position within Groupe BPCE. It cannot be paid in the event of a departure from the Group at the company director's initiative. Payment of involuntary-termination severance causes former director to lose any entitlement to the retirement bonus he otherwise may have claimed (it being specified that he does not benefit from a defined-benefit pension plan). If he is re-assigned to another position with Groupe BPCE under an employment contract, the termination of said employment contract, with notification given more than 12 months after he is forcibly removed from his corporate office, entitles him – barring gross negligence or willful misconduct – to receive the severance pay provided for in the applicable collective bargaining agreement. Conversely, if the employment contract is terminated with notification given less than 12 months after he is forcibly removed from corporate office, he is entitled – barring gross negligence or willful misconduct – to receive involuntary-termination severance pay, minus any compensation liable to be paid in respect of the termination of the employment contract. Finally, involuntary-termination severance pay is only due if the Group generated positive net income in the last fiscal year preceding the termination of the corporate office. ● Determination of involuntary-termination severance pay The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding the special supplement and benefits) granted for the last calendar year of work preceding the termination and the average of the variable pay (whether paid immediately or deferred) for the last three calendar years of work preceding the termination. Amounts in respect of the relevant corporate office are taken into account. The amount of involuntary-termination severance pay is equal to: <i>Monthly benchmark pay x (12 months + 1 month per year of seniority with the Group)</i> Seniority is calculated in years and fractions of a year. The amount of involuntary-termination severance pay is capped at 24 times the monthly benchmark pay, which corresponds to a period of 12 years' seniority with the Group. Where at least 50% of the maximum variable component is awarded on average during the last three years of the corporate office in progress (or during the term of office served, plus the previous term of office served if the term was renewed), the involuntary-termination severance pay will be paid in full. Where at least 33.33% of the maximum variable component is not awarded on average over this period, no involuntary-termination severance pay is granted. Between 33.33% and 50%, the amount of involuntary-termination severance pay is calculated on a straight-line basis, at the discretion of the Supervisory Board. Regardless, any compensation paid for termination of an employment contract is deducted from the amount of involuntary-termination severance pay. Upon a decision made by the Supervisory Board, the Chairman of the Management Board may receive a retirement bonus equal to no less than six months' and no more than 12 months' salary, provided he has at least 10 years' seniority, without any minimum presence conditions. Payment is subject to the following conditions: ● Conditions for receiving a retirement bonus Payment of a retirement bonus is subject to the same conditions as those applicable to involuntary-termination severance pay, <i>i.e.</i>: ● the Group must have generated positive net income in the fiscal year preceding the termination of the corporate office; and ● beneficiaries must have been awarded a minimum percentage of variable pay on average during the last three years of the current term of office. The retirement bonus may only be paid when the social security pension is drawn, provided that the beneficiary falls within the applicable scope (defined below) at the time the pension is drawn. Payment of the retirement bonus is at the discretion of the Supervisory Board after consultation with the Remuneration Committee. Payment of the retirement bonus is exclusive of the payment of any other departure bonus. As such, if involuntary-termination severance is paid, the company director will not be entitled to the retirement bonus.

Pay component	Principles and criteria adopted
Involuntary-termination severance pay and retirement bonus (<i>continued</i>)	● Amount of the retirement bonus The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding benefits and the special supplement) granted for the last calendar year of work preceding the termination and the average of the top three variable pay amounts (whether paid immediately or deferred) for the last five calendar years of work. The amount of involuntary-termination severance pay is equal to: <i>Monthly benchmark pay x (6 + 0.6 A)</i> where A is the number, which may be a fraction, of years served in a corporate office within the relevant scope (i.e. the terms of office served as Chief Executive Officer of Banque Populaire, Chairman of the Management Board of Caisse d'Epargne, Chief Executive Officer of CFF until November 6, 2019, Chief Executive Officer of BPCE I (until December 31, 2018), Chairman of the Management Board of Banque Palatine, and member of the Management Board of BPCE SA group). For an executive benefiting from this scheme who is then appointed to the Executive Management Committee of Natixis or who, following a transfer to BPCE SA, holds the position of CEO or Deputy CEO at BPCE SA, the terms during which these offices are held will be taken into account when determining A. Conversely, the terms during which these offices are held before the executive becomes a beneficiary of this scheme will not be taken into account. Should the offices included in the calculation of A be held simultaneously, these terms will be counted only once (no double-counting). The amount is capped at 12 times the monthly benchmark pay corresponding to a total term of office of 10 years. Regardless, any compensation paid for termination of an employment contract is deducted from the retirement bonus.
Supplementary pension plan	The Chairman of the Management Board is entitled to: ● the mandatory CGP collective supplementary defined-contribution pension plan for all BPCE employees and by extension applicable to BPCE company directors. The contribution rate is 6% from Bracket A and 4% from the pensionable portion of pay in excess of Bracket A and capped at eight times the annual ceiling for social security annuities; 70% of this contribution is paid by the company and 30% by the employee; ● the mandatory R2E collective supplementary defined-contribution pension plan for all BPCE senior executives (AFB agreement) and by extension applicable to BPCE company directors. The contribution rate is 3.5% of pensionable pay capped at eight times the annual ceiling for social security annuities. This contribution is funded entirely by the company. If the Chairman of the Management Board is not on the Group's supplementary executive pension plan, he is entitled to participate in the pension plan through a group insurance policy under Article 82 of the French General Tax Code, in which company directors of Groupe BPCE who do not benefit from the "Pension plan for company directors of Groupe BPCE" may participate, as this policy is funded solely through voluntary payments by the company directors who have decided to participate therein. On February 8, 2017, the Supervisory Board authorized BPCE to join this "Article 82" Insurance plan. The Chairman of the Management Board participates in this plan. As such, the Chairman's fixed pay includes a 20% special supplement.

PAY POLICY APPLICABLE TO THE MEMBERS OF THE MANAGEMENT BOARD (EXCEPT FOR THE CHAIRMAN OF MANAGEMENT BOARD AND THE CHIEF EXECUTIVE OFFICER OF NATIXIS)

Pay component	Principles and criteria adopted
Fixed pay	Based on a motion by the Remuneration Committee, the Supervisory Board sets the pay granted to the members of the Management Board. Fixed pay primarily reflects the professional experience related to the position held and the responsibilities exercised, and is determined by comparison to market practices. The fixed pay of the members of the Management Board is periodically reviewed.
Annual variable pay	For members of the Management Board, variable pay is determined based on target pay equal to 80% of their fixed pay (including the special supplement, if applicable) for the fiscal year, with a maximum of 100%. Variable pay is determined based on the quantitative and qualitative criteria previously validated by the Supervisory Board. It is awarded if the criterion for triggering variable pay is met, specifically pertaining to the Group Basel III Common Equity Tier 1 ratio. For 2021, this level corresponds to the minimum CET1 level, plus the P2R, the P2G and the phase-in combined buffers as requested by the ECB. This level was confirmed by the ECB in its letter of November 17, 2020 and reflects the Decision of April 8, 2020 on the composition of the P2R (which amends the SREP decision of December 20, 2019). No variable pay is granted if this criterion is not met⁽¹⁾. Quantitative criteria account for 60% of variable pay and are defined based on quantitative factors that reflect how well a number of the Group's financial fundamentals are being satisfied. These criteria are defined by the Supervisory Board, and take into account⁽²⁾: • net income attributable to equity holders of the parent (30%); • the Group's cost/income ratio (20%); • the Group's net banking income (10%). For each of these criteria, if the target as set by the Supervisory Board is reached, Management Board Members would be entitled to receive the entire fixed percentage. In respect of fiscal year 2021, qualitative criteria account for 40% (of which 10% for CSR cross-business performance and 10% for Digital & IT cross-business performance) of variable pay and are determined based on key targets in terms of: • Retail Banking and Insurance; • Financial Solutions and Expertise; • Group human resources; • Finance and Strategy; • Supervision – control – governance; • Information systems and digital; • and two CSR (10%) and Digital & IT (10%) cross-business performances; Only quantitative criteria can be used to determine outperformance. In compliance with the regulations applicable to effective managers, between 40% and 60% of the variable pay of members of the Management Board is deferred in equal installments over five years (<i>i.e.</i> between 2023 and 2027 for deferred variable pay awarded in 2021), depending on the variable pay amount⁽³⁾. In addition, at least half of the variable pay awarded to the members of the Management Board is indexed. The methods for indexing portions of deferred variable pay will be set by the Supervisory Board allocating variable pay for fiscal year 2021. The payment of the deferred portions of the variable pay awarded for the year 2021 is conditional on the achievement of a financial criterion representative of the Group's financial position, which will be approved by the Supervisory Board awarding the variable pay for fiscal year 2021.
Multi-year variable pay	Members of the Management Board do not receive any multi-year variable pay.
Exceptional pay	Members of the Management Board do not receive any exceptional pay.
Grants of stock options/preference shares	Members of the Management Board do not receive any stock options or preference shares.
Grants of bonus shares	Except when related to the nature of the corporate office, members of the Management Board do not receive any bonus shares.
Attendance fees	Members of the Management Board do not collect attendance fees.
Sign-on bonus	Members of the Management Board do not receive a sign-on bonus.
Benefits in kind	Based on a motion by the Remuneration Committee, the Supervisory Board may resolve to grant an annual housing allowance to members of the Management Board. In the wake of the bases for contributions to R2E and CGP supplementary pension plans being capped at eight times the annual ceiling for social security annuities as of January 1, 2020, additional CGP and R2E compensation has been implemented at the same cost to the employer. This compensation benefits the members of the Management Board in office on January 1, 2020. This fixed compensation is not included in the calculation bases that determine the special supplement, variable pay, retirement bonuses and involuntary-termination severance pay. The Supervisory Board has also decided to grant members of the Management Board collective and mandatory insurance plans (incapacity, disability, death) and additional reimbursement of healthcare costs applicable to BPCE SA employees.

(1) The CET1 ratio requirement set by the ECB, including the "Pillar II Guidance" component, is not subject to disclosure.

(2) The Supervisory Board has established specific expected targets for these quantitative goals, but for confidentiality reasons, they are not publicly disclosed.

(3) All of the variable pay allocated by Group companies for the year in question is taken into account when determining the percentage of deferred variable pay. This particularly applies to company directors who may take up new offices during the year.

POST-EMPLOYMENT BENEFITS

The commitments made in favor of Catherine Halberstadt and Christine Fabresse relating to the involuntary-termination severance pay were authorized by the Supervisory Board on October 4, 2018, in compliance with the related-party agreements procedure. The commitments relating to retirement pay were authorized by the Supervisory Board on October 4, 2018, and last amended by the Supervisory Board on February 11, 2021. This amendment was made in compliance with the related-party agreements procedure.

The commitments made to the benefit of Jean-François Lequoy relating to the forced departure and retirement benefits were approved by the Supervisory Board on September 15, 2020 in accordance with the related-party agreements procedure. The commitment relating to the retirement benefit was amended by the Supervisory Board on February 11, 2021 in accordance with the same procedure.

Pay component	Principles and criteria adopted
Involuntary-termination severance pay and retirement bonus	Members of the Management Board, under certain conditions, receive a severance or bonus when their duties cease. Members of the Management Board are entitled to involuntary-termination severance pay equal to at least 12 months' pay (fixed and variable portions), and up to 24 months, earned for 12 years of seniority with the Group. Payment is subject to the following conditions: • Conditions for receiving involuntary-termination severance pay The severance cannot be paid unless termination is involuntary (involuntary end to term of office due to removal by the Annual General shareholders' Meeting, withdrawal of approval, involuntary resignation, or non-renewal by the Supervisory Board), other than for serious misconduct or a change of position within Groupe BPCE. This severance is not paid if the company director leaves the Group at his own initiative. Persons receiving involuntary-termination severance pay lose any entitlement under the defined-benefit plan, subject to employment by the company at the time of retirement, provided for under Article L. 137-11 of the French Social Security Code, and/or to any retirement bonus they may claim. If he is re-assigned to another position with Groupe BPCE under an employment contract, the termination of said employment contract, with notification given more than 12 months after he is forcibly removed from his corporate office, entitles him – barring gross negligence or willful misconduct – to receive the severance pay provided for in the applicable collective bargaining agreement. Conversely, if the employment contract is terminated with notification given less than 12 months after they are forcibly removed from corporate office, they are entitled – barring gross negligence or willful misconduct – to receive involuntary-termination severance pay, minus any compensation liable to be paid in respect of the termination of the employment contract. Finally, involuntary-termination severance pay is only due if the Group generated positive net income in the last fiscal year preceding the termination of the corporate office. • Determination of involuntary-termination severance pay The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding the special supplement and benefits) granted for the last calendar year of work preceding the termination of the corporate office or employment contract and the average of the variable pay (whether paid immediately or deferred) for the last three calendar years of work preceding the termination of the corporate office or employment contract. Amounts in respect of the relevant corporate office and employment contract are taken into account. The amount of involuntary-termination severance pay is equal to: <i>Monthly benchmark pay x (12 months + 1 month per year of seniority with the Group)</i> Seniority is calculated in years and fractions of a year. The amount of involuntary-termination severance pay is capped at 24 times the monthly benchmark pay, which corresponds to a period of 12 years' seniority with the Group. Where at least 50% of the maximum variable component is awarded on average during the last three years of the corporate office in progress (or during the term of office served, plus the previous term of office served if the term was renewed), the involuntary-termination severance pay will be paid in full. Where at least 33.33% of the maximum variable component is not awarded on average over this period, no involuntary-termination severance pay is granted. Between 33.33% and 50%, the amount of involuntary-termination severance pay is calculated on a straight-line basis, at the discretion of the Supervisory Board. Regardless, any compensation paid for termination of an employment contract is deducted from the amount of involuntary-termination severance pay. Upon a decision made by the Supervisory Board, members of the Management Board may benefit from a retirement bonus equal to no less than six months' and no more than 12 months' salary, for 10 years of seniority, without any minimum presence conditions. Payment is subject to the following conditions: • Conditions for receiving a retirement bonus Payment of a retirement bonus is subject to the same conditions as those applicable to involuntary-termination severance pay, i.e.: • the Group must have generated positive net income in the fiscal year preceding the termination of the corporate office; and • beneficiaries must have been awarded a minimum percentage of variable pay on average during the last three years of the current term of office. The retirement bonus may only be paid when the social security pension is drawn, provided that the beneficiary falls within the applicable scope (defined below) at the time the pension is drawn. Payment of the retirement bonus is at the discretion of the Supervisory Board after consultation with the Remuneration Committee. If involuntary-termination severance is paid, the company director will not be entitled to the retirement bonus.

Pay component	Principles and criteria adopted
Involuntary-termination severance pay and retirement bonus <i>(continued)</i>	● Amount of the retirement bonus The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding benefits and the special supplement) granted for the last calendar year of work preceding the termination of the corporate office or employment contract and the average of the top three variable pay amounts (whether paid immediately or deferred) for the last five calendar years of work preceding the termination of the corporate office or employment contract. Amounts in respect of the relevant corporate office and employment contract are taken into account. The amount of involuntary-termination severance pay is equal to: <i>Monthly benchmark pay x (6 + 0.6 A)</i> where A is the number, which may be a fraction, of years served in a corporate office within the relevant scope (i.e. terms of the offices served as Chief Executive Officer of Banque Populaire, Chairman of the Management Board of Caisse d'Epargne, Chief Executive Officer of CFF until November 6, 2019, Chief Executive Officer of BPCE I until December 31, 2018, Chairman of the Management Board of Banque Palatine, and members of the Management Board of BPCE SA group). For an executive benefiting from this scheme who is then appointed to the Executive Management Committee of Natixis or who, following a transfer to BPCE SA, holds the position of CEO or Deputy CEO at BPCE SA, the terms during which these offices are held will be taken into account when determining A. Conversely, the terms during which these offices are held before the executive becomes a beneficiary of this scheme will not be taken into account. Should the offices included in the calculation of A be held simultaneously, these terms will be counted only once (no double-counting). The amount is capped at 12 times the monthly benchmark pay corresponding to a total term of office of 10 years. Regardless, any compensation paid for termination of an employment contract is deducted from the retirement bonus.
Supplementary pension plan	Members of the Management Board receive: ● the mandatory CGP collective supplementary defined-contribution pension plan for all BPCE employees and by extension applicable to BPCE company directors. The contribution rate is 6% from Bracket A and 4% from the pensionable portion of pay in excess of Bracket A and capped at eight times the annual ceiling for social security annuities; 70% of this contribution is paid by the company and 30% by the employee; ● the mandatory R2E collective supplementary defined-contribution pension plan for all BPCE senior executives (AFB agreement) and by extension applicable to BPCE company directors. The contribution rate is 3.5% of pay capped at eight times the annual ceiling for social security annuities. This contribution is funded entirely by the company. Management Board Members were also able to vest entitlements under this plan during their previous careers as Group employees or company directors. Furthermore, there are other supplementary pension plans offered to members of the Management Board, based on their professional career spent with the Group, namely: Pension plan for company directors of Groupe BPCE: pension plan governed by Article L. 137-11 of the French Social Security Code: ● until June 30, 2014, Chairmen of Caisse d'Epargne Management Boards, Members of the Management Board of the former CNCE and Chief Executive Officers of Crédit Foncier, Banque Palatine and BPCE International could benefit from a supplementary defined-benefit pension plan entitling them to additional retirement income based on their salary; ● until June 30, 2014, Banque Populaire Chief Executive Officers could benefit from a differential defined-benefit pension plan. Effective July 1, 2014, these two pension plans were harmonized under a single supplementary pension plan, now closed to new members and subject to conditions: ● they must end their career with Groupe BPCE. This condition is met when beneficiaries are Group employees on the day before their social security pension is drawn following voluntary retirement; ● they must have served in an executive management position for at least the required minimum period (seven years) at the date on which their social security pension is drawn. Beneficiaries who meet the above conditions are entitled to an annuity set at 15% of benchmark pay, <i>i.e.</i> their average annual pay earned in the three highest-paid years during the five calendar years before the date on which their social security pension is drawn and capped at four times the annual ceiling for social security annuities. Annual pay refers to the sum of the following types of pay received for the year in question: ● fixed pay, excluding benefits in kind or duty-related bonuses; ● variable pay – not exceeding 100% of fixed pay – and defined as the total variable amount paid, including the portion that may have been deferred over several years and subject to attendance and performance requirements, in accordance with regulations on variable pay granted by credit institutions. Once drawn, this supplementary pension may be paid to a spouse or former non-remarried spouse, at a rate of 60%. This plan, which is funded entirely by the Group, is covered by two Insurance policies taken out with the Quatrem and Allianz Insurance companies, with a target obligation coverage rate of 80% of assets and 100% of pension recipients. Expenses paid by the company consist of the 32% contribution on annuities paid by the insurer to the beneficiaries. The pension plan for company directors of Groupe BPCE, which is a supplementary pension plan subject to Article L. 137-11 of the French Social Security Code, is governed by the provisions of section 25.6.2 of the AFEP-MEDEF Code. It complies with the principles governing the capacity of beneficiaries, overall establishment of base pay, seniority conditions, the progressive increase in potential entitlements depending on seniority, the reference period used to calculate benefits and the prevention of artificially inflated pay. For the members of the Management Board who benefit from this plan, the annual vesting of conditional entitlements is contingent on Groupe BPCE generating a net profit for the period considered. Members of the Management Board who are not on the Group's supplemental executive pension plan are entitled to participate in the pension plan through a group insurance policy under Article 82 of the French General Tax Code, in which company directors of Groupe BPCE who do not benefit from the "Pension plan for company directors of Groupe BPCE" may participate, as this policy is funded solely through voluntary payments by the company directors who have decided to participate therein. As such, the fixed pay of the Management Board Members on that plan includes a 20% special supplement.

PAY POLICY APPLICABLE TO THE CHAIRMAN AND MEMBERS OF THE SUPERVISORY BOARD

Pay component	Principles and criteria adopted
Annual fixed pay	The total amount of pay allocated to members of BPCE's Supervisory Board for attendance at meetings is set by the Annual General shareholders' Meeting. Based on recommendations from the Remuneration Committee, the Supervisory Board sets the guidelines for allocating pay between the members of the Supervisory Board. Aside from the Chairman, who receives annual fixed pay, Supervisory Board Members are paid based on their attendance at meetings. Fixed pay granted to the members of the Supervisory Board Board members, with the exception of the Chairman, receive an annual fee. The annual fixed pay received by the Vice-Chairman is increased compared to that received by the other members of the Board (excluding the Chairman). Additional pay granted to Board Committee Members Members and Chairmen of the Audit Committee, the Risk Committee, the Appointments Committee, the Remuneration Committee and the Cooperative and CSR Committee also collect an additional annual amount for their work on these committees. Pay granted to Non-Voting Directors Pursuant to Article 28.3 of the Articles of Association, the Supervisory Board has resolved to compensate non-voting directors by making a deduction from the pay allocated to Supervisory Board Members at the Annual General shareholders' Meeting. As such, Non-Voting Directors receive an annual amount.
Variable pay	Variable pay granted to members of the Supervisory Board In addition to an annual fixed sum, the members of the Supervisory Board, except for the Chairman, collect a fee for each meeting they attended, within the limit of eleven meetings during the fiscal year. This supplemental portion of variable pay is greater than the annual fixed sum. Exceptionally, the annual fixed sum received by the Vice-Chairman is larger than the supplemental portion. Additional pay granted to Board Committee Members In addition to an annual fixed sum, the Board Committee Members (including Chairmen) collect a fee for each meeting they attended: • for the Audit Committee, within the limit of six meetings during the fiscal year; • for the Risk Committee, within the limit of nine meetings during the fiscal year; • for the Appointments Committee, within the limit of four meetings during the fiscal year; • for the Remuneration Committee, within the limit of five meetings during the fiscal year; • for the Cooperative and CSR Committee, within the limit of two meetings during the fiscal year. For the Committee Chairmen, the annual fixed sum that they collect is greater than the supplemental portion of variable pay, given their unique responsibilities. Pay granted to Non-Voting Directors In addition to an annual fixed sum, the Non-Voting Directors collect a fee for each meeting they attended, within the limit of eleven meetings during the fiscal year.
Benefits in kind	The Chairman and members of the Supervisory Board and of the Board Committees do not receive benefits in kind.

3.5.3 Pay and benefits awarded to executive corporate officers for 2020

The pay awarded to executive corporate officers of BPCE SA in respect of fiscal year 2020 complies with the pay policy defined by the Supervisory Board on February 6, 2020, based on the motions of the Remuneration Committee and approved by the Annual General shareholders' Meeting held on May 29, 2020 called to approve the financial statements for fiscal year 2019.

The Chairman of the Management Board is paid solely in respect of his corporate office.

Given his duties as Chief Executive Officer of Natixis, the member of the BPCE Management Board who is also CEO of Natixis is paid solely for his corporate office at Natixis. As such, he does not collect any pay from BPCE.

The other members of the Management Board (excluding the Chairman of the Management Board) receive an employment contract. Their pay is divided 90%/10% respectively between the employment contract and corporate office. The implementation of the employment contract of Catherine Halberstadt was authorized and approved by the Supervisory Board on February 13, 2018. The implementation of the employment contract of Nicolas Namias was authorized and approved by the Supervisory Board on May 17, 2018. The implementation of the employment contract for Christine Fabresse was authorized and approved by the Supervisory Board on October 4, 2018. The implementation of the employment contract of Jean-François Lequoy was authorized and approved by the Supervisory Board on September 7, 2020.

Pay received by the Chairman and members of the Management Board for fiscal year 2020:

FIXED PAY FOR 2020

	Annual fixed pay*	Comments
Laurent Mignon Chairman of the Management Board	€1,200,000 (including a special supplement in respect of the supplemental pension scheme pursuant to Article 82 of the French General Tax Code)	Unchanged in 2020
Christine Fabresse Member of the Management Board, Retail Banking and Insurance division	€500,009	The increase of €9/year compared to 2020 is the result of a company agreement that applied to BPCE employees starting on July 1, 2020
Catherine Halberstadt Member of the Management Board, Group human resources	€500,024	The increase of €24/year compared to 2020 is the result of a company agreement that applied to BPCE employees starting on July 1, 2020
Nicolas Namias Member of the Management Board, Group Finance and Strategy until August 3, 2020	€600,000 (including a special supplement in respect of the supplemental pension scheme pursuant to Article 82 of the French General Tax Code)	Unchanged in 2020
Jean-François Lequoy Member of the Management Board, Group Finance and Strategy from September 14, 2020	€600,000 (including a special supplement in respect of the supplemental pension scheme pursuant to Article 82 of the French General Tax Code)	
François Riahi Member of the Management Board and Chief Executive Officer of Natixis until August 3, 2020	€0	François Riahi was compensated solely for his corporate office at Natixis
Nicolas Namias Member of the Management Board and Chief Executive Officer of Natixis from August 4, 2020	€0	From August 4, 2020, Nicolas Namias will be compensated exclusively for his corporate office at Natixis.

* Excluding benefits in kind.

ANNUAL VARIABLE PAY IN RESPECT OF 2020

ACHIEVEMENT OF TARGETS SET FOR FISCAL YEAR 2020

Annual variable pay in respect of 2020 was determined based on quantitative and qualitative criteria that were the same for all Board Members and had previously been submitted to the Remuneration Committee for review on February 5, 2020, then validated by the Supervisory Board on February 6, 2020 and submitted to the Annual General shareholders' Meeting on May 29, 2020.

The achievement rates for performance criteria, validated by the Supervisory Board on February 11, 2021 after receiving the opinion of the Remuneration Committee on February 10, 2021, was as follows:

- the trigger criterion is observation of the Group Basel III Common Equity Tier 1 ratio. This level corresponds to the minimum threshold of the CET1 level, plus the P2R, the P2G

and the phase-in combined buffers set by the ECB. No variable pay is granted if this criterion is not met. This criterion was verified at December 31, 2020 and had been met;

- quantitative criteria account for 60% of variable pay: net income attributable to equity holders of the parent (30%), the Group's cost/income ratio (20%), and the Group's net banking income (10%). The achievement rate for quantitative criteria was 29.22%;
- qualitative criteria account for 40% of variable pay and are associated with the performance of Retail Banking and Insurance, Financial Solutions and Expertise, Group human resources; Finance and Strategy; supervision, control and governance; and information systems and the digital transformation. The achievement rate for qualitative criteria was 40%.

Taken together, the achievement rate for all criteria was 69.22%.

	Variable pay	Variable pay awarded in respect of fiscal year 2020
Laurent Mignon Chairman of the Management Board	Target at 100% of fixed pay including the special supplement, with a maximum of 120%	69.22% x 100% or €830,640
Christine Fabresse Member of the Management Board, Retail Banking and Insurance division	Target at 80% of fixed pay, with a maximum of 100%	69.22% x 80% or €276,885
Catherine Halberstadt Member of the Management Board, Group human resources	Target at 80% of fixed pay, with a maximum of 100%	69.22% x 80% or €276,894
Nicolas Namias Member of the Management Board, Group Finance and Strategy until August 3, 2020	Target at 80% of fixed pay including the special supplement, with a maximum of 100% The amount is calculated on a pro rata basis according to the period of presence within BPCE in 2020, as a member of the Management Board.	69.22% x 80% pro-rated or €195,051
Jean-François Lequoy Member of the Management Board, Group Finance and Strategy from September 14, 2020	Target at 80% of fixed pay including the special supplement, with a maximum of 100% The amount is calculated on a pro rata basis according to the period of presence within BPCE in 2020 as a member of the Management Board.	69.22% x 80% pro-rated or €99,358
François Riahi Member of the Management Board and Chief Executive Officer of Natixis until August 3, 2020	€0	€0
Nicolas Namias Member of the Management Board and Chief Executive Officer of Natixis from August 4, 2020	€0	€0

TERMS AND CONDITIONS OF PAYMENTS

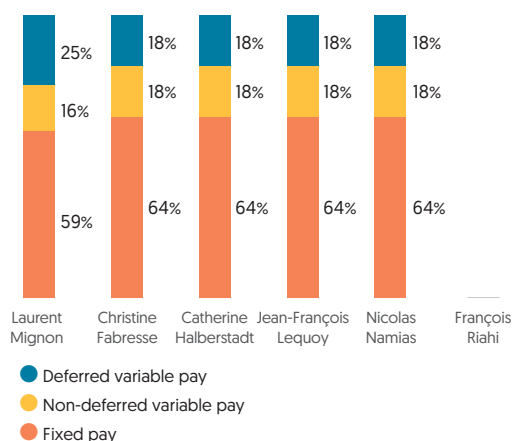
In accordance with the pay policy approved by the Annual General shareholders' Meeting held on May 29, 2020, a portion of the variable pay awarded to members of the Management Board is deferred in equal installments over three years (*i.e.* 2022, 2023 and 2024 for the variable pay awarded in respect of 2020). For the Chairman of the Management Board, 60% of variable pay awarded in respect of 2020 is deferred; and for the other members of the Management Board, 50% is deferred.

The deferred variable portion is indexed to the change in net income attributable to equity holders of the parent (for fiscal years before 2016, it was indexed to the change in net income attributable to equity holders of the parent, calculated after neutralizing the impact of the revaluation of own debt). Indexing coefficients are calculated by applying the underlying net income attributable to equity holders of the parent over the last three calendar years preceding the allocation year and the payment year. Indexation coefficients are rounded to the fourth decimal place.

Payment of the deferred portion is contingent upon attaining a standard Return on Equity (ROE) for core Group businesses (Retail Banking and Insurance, AWM, CIB) that is at least equal to 4% during the fiscal year before payment falls due.

PAY MIX FOR FISCAL YEAR 2020

The pay mix for members of the Management Board for fiscal year 2020 is as follows:



In accordance with Article L. 511-73 of the French Monetary and Financial Code, the BPCE Annual General shareholders' Meeting will be consulted in 2021 on the budget for all types of remuneration paid during the previous fiscal year to members of the Management Board and other BPCE employees whose professional activities have a material impact on the company or Group risk profile.

OTHER ITEMS

The amount of the CGP/R2E compensation allowance for 2020 is:

€140,529 for Laurent Mignon, €42,154 for Catherine Halberstadt, €39,456 for Christine Fabresse and €30,505 for Nicolas Namias

Members of the Management Board receive a company car allowance.

Catherine Halberstadt receives an annual housing allowance of €40,000, plus an allocation of €4,466 paid under a collective company agreement which came into force in 2020.

Regarding the supplementary pension plan for executive directors, the estimated annual amount of the annuity resulting from potential entitlements reported at December 31, 2020 is €141,758 for Catherine Halberstadt and €121,977 for Christine Fabresse.

STANDARDIZED TABLES SUMMARIZING PAY GRANTED TO EXECUTIVE CORPORATE OFFICERS, IN ACCORDANCE WITH AMF RECOMMENDATIONS

AMF TABLE 1

STATEMENT OF PAY, STOCK OPTIONS AND SHARES GRANTED TO EACH EXECUTIVE CORPORATE OFFICER FROM JANUARY 1 TO DECEMBER 31, 2020

		Fiscal year	Total pay due in respect of the period (fixed and variable) (Table 2)	Total pay received during the period (fixed and variable) (Table 2)	Value of multi-year variable pay received during the year ⁽¹⁾	Value of stock options allocated during the year (Table 4)	Value of performance shares granted during the year (Table 6)
Laurent Mignon		2019	€2,458,800	€1,428,837	€0	€0	€0
	Chairman of the Management Board	2020	€2,171,169	€1,901,439	€0	€0	€0
	Member of the Management Board – Chief Executive Officer of Natixis ⁽²⁾ (until May 31, 2018) and Chairman of the Natixis Board of Directors since June 1, 2018	2019	€300,000	€1,300,371 ⁽³⁾	€0	€0	€0
		2020	€300,000	€839,924 ⁽³⁾	€0	€0	€0
Christine Fabresse	Member of the Management Board – Retail Banking and Insurance	2019	€968,746	€588,746	€0	€0	€0
		2020	€825,306	€792,727	€0	€0	€0
Catherine Halberstadt	Member of the Management Board – Group human resources	2019	€963,680	€907,710	€0	€0	€0
		2020	€867,606	€1,038,007	€0	€0	€0
Nicolas Namias	Member of the Management Board – Group Finance and Strategy (until August 3, 2020)	2019	€1,112,599	€773,164	€0	€0	€0
		2020	€672,548	€753,322	€0	€0	€0
	Chief Financial Officer of Natixis ⁽⁴⁾ (from January 1, 2018 to May 31, 2018) and member of the Management Board – Chief Executive Officer of Natixis (since August 4, 2020)	2019	€0	€173,996	€0	€0	€0
		2020	€525,119	€414,485	€0	€0	€0
François Riahi	Member of the Management Board – Chief Executive Officer of Natixis ⁽⁵⁾ (until August 3, 2020)	2019	€1,790,646	€1,551,632	€0	€0	€160,000 ⁽⁷⁾
		2020	€474,743	€1,256,143	€0	€0	€160,000 ⁽⁷⁾
	In respect of his duties as Member of the Management Board in charge of Group Finance from January 1, 2018 to May 31, 2018	2019	€0	€111,585	€0	€0	€0
		2020	€0	€57,450	€0	€0	€0
Jean-François Lequoy	Member of the Management Board – Group Finance and Strategy (since September 14, 2020)	2019	N/A	N/A	N/A	N/A	N/A
		2020	€280,629	€181,271	€0	€0	€0
	In respect of his position at Natixis as Director of the Insurance division ⁽⁶⁾ (from January 1, 2020 to September 13, 2020)	2019	N/A	N/A	N/A	N/A	N/A
		2020	€679,250	€885,601	€0	€0	€40,000 ⁽⁸⁾

- (1) No multi-year variable pay or bonus share plan were granted during the 2019 and 2020 fiscal years, except for Laurent Mignon, (Chief Executive Officer of Natixis from January 1 to May 31, 2018), François Riahi (Chief Executive Officer of Natixis from June 1, 2018 to August 3, 2020), Nicolas Namias (Chief Financial Officer of Natixis and member of the Natixis Executive Management Committee from January 1 to May 31, 2018 and then Chief Executive Officer of Natixis since August 4, 2020), and Jean-François Lequoy (Director of the Insurance Division at Natixis from January 1 to September 13, 2020), in respect of their duties at Natixis.
- (2) Laurent Mignon received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Chief Executive Officer of Natixis, and receives remuneration from Natixis for his duties as Chairman of the Board of Directors of Natixis.
- (3) This amount includes the payment and awarding of shares related to deferred variable pay in respect of previous years and granted for his duties as Chief Executive Officer of Natixis. Deliveries of shares relating to the long-term incentive plans for members of the Natixis Executive Management Committee are presented in AMF Table 7.
- (4) Nicolas Namias received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Chief Financial Officer of Natixis from January 1 to May 31, 2018, and for his duties as Chief Executive Officer since August 4, 2020.
- (5) François Riahi does not receive pay for his duties as a member of the BPCE Management Board - Chief Executive Officer of Natixis. François Riahi received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Chief Executive Officer of Natixis from January 1 to August 3, 2020.
- (6) Jean-François Lequoy received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Director of the Insurance Division from January 1 to September 13, 2020.
- (7) Value of the shares at the grant date, i.e. a fair value of €73,116 for 2020 and €79,587 for 2019.
- (8) Value of the shares at the grant date, i.e. a fair value of €18,278 for 2020.

AMF TABLE 2

Summary statement of pay granted and paid to each executive corporate officer

In the following statements:

The expression "amount granted" corresponds to the pay and benefits granted to a corporate officer in respect of their duties during the fiscal year, regardless of the date of payment;

The expression "amount paid" corresponds to the pay and benefits actually paid to a corporate officer in respect of their duties during the fiscal year, regardless of the grant date.

PAY STATEMENT: LAURENT MIGNON

	Fiscal year 2019		Fiscal year 2020	
	Amounts allocated	Amounts paid	Amounts allocated	Amounts paid
Chairman of the Management Board				
Fixed pay	€1,200,000	€1,200,000	€1,200,000	€1,200,000
Annual variable pay	€1,258,800 ⁽¹⁾	€228,837 ⁽²⁾	€830,640 ⁽³⁾	€560,910 ⁽⁴⁾
Multi-year variable pay	€0	€0	€0	€0
Exceptional pay	€0	€0	€0	€0
Benefits in kind (company car, housing and other benefits)	€0	€0	€0	€0
Attendance fees	€0	€0	€0	€0
Other pay	€0	€0	€140,529 ⁽⁵⁾	€140,529 ⁽⁵⁾
TOTAL	€2,458,800	€1,428,837	€2,171,169	€1,901,439
Other pay for Laurent Mignon for his duties at Natixis ⁽⁶⁾	€300,000	€1,300,371⁽⁷⁾	€300,000	€839,924⁽⁷⁾

(1) Variable pay in respect of 2019, of which €377,640 (30%) paid in 2020 and the balance deferred over three years in equal shares of €293,720 before indexation and performance conditions.

(2) Amount paid in 2019 for the variable portion due in respect of 2018.

(3) Variable pay in respect of 2020, of which €332,256 (40%) paid in 2021 and the balance (60%) deferred over three years in equal shares of €166,128 before indexation and performance conditions.

(4) Amount paid in 2020 for the variable portion due in respect of 2019 (€377,640) and the deferred portion of variable pay in respect of 2018 (€183,270).

(5) CGP/R2E compensatory allowance.

(6) Laurent Mignon received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Chief Executive Officer of Natixis, and receives pay from Natixis for his duties as Chairman of the Board of Directors of Natixis.

(7) This amount includes the payment and awarding of shares related to deferred variable pay in respect of previous years and granted for his duties as Chief Executive Officer of Natixis. Deliveries of shares related to long-term incentive plans for members of the Natixis Executive Management Committee are presented in AMF Table 7.

PAY STATEMENT: CHRISTINE FABRESSE

	Fiscal year 2019		Fiscal year 2020	
	Amounts allocated	Amounts paid	Amounts allocated	Amounts paid
Member of the Management Board – Retail Banking and Insurance				
Fixed pay	€500,000	€500,000	€500,004	€500,004
Annual variable pay	€419,600 ⁽¹⁾	€36,330 ⁽²⁾	€276,885 ⁽³⁾	€222,270 ⁽⁴⁾
Multi-year variable pay	€0	€0	€0	€0
Exceptional pay	€0	€0	€0	€0
Benefits in kind (company car, housing and other benefits)	€49,146 ⁽³⁾	€49,146 ⁽³⁾	€8,961 ⁽⁶⁾	€8,961 ⁽⁶⁾
Attendance fees	€0	€0	€0	€0
Other pay	N/A ⁽⁴⁾	€3,270 ⁽⁵⁾	€39,456 ⁽⁸⁾	€61,492 ⁽¹⁰⁾
TOTAL	€968,746	€588,746	€825,306	€792,727

(1) Variable pay in respect of 2019, of which €209,800 (50%) paid in 2020 and the balance (50%) deferred over three years in equal shares of €69,933 before indexation and performance conditions.

(2) Amount paid in 2019 for the variable portion due in respect of 2018.

(3) Variable pay in respect of 2020, of which €138,442.5 (50%) paid in 2021 and the balance (50%) deferred over three years in equal shares of €46,147.5 before indexation and performance conditions.

(4) Amount paid in 2020 for the variable portion due in respect of 2019 (€209,800) and the deferred portion of variable pay in respect of 2018 (€12,470).

(5) Company car allowance of €9,104 and move-in bonus of €40,042.

(6) Company car allowance of €8,961

(7) Under her employment contract, Christine Fabresse benefits from BPCE's profit-sharing agreement ("accord d'intéressement"). The individual amount granted to Christine Fabresse for the year in question is not yet known as of the publication date of the universal registration document for the year in question.

(8) Under her employment contract, Christine Fabresse benefits from BPCE's profit-sharing agreement paid in 2019 in respect of fiscal year 2018.

(9) CGP/R2E compensatory allowance, i.e. €39,456, plus the profit-sharing granted to Christine Fabresse for the fiscal year (not yet known as of the publication date of the universal registration document).

(10) CGP/R2E compensatory allowance, i.e. €39,456. Christine Fabresse also benefits from BPCE's profit-sharing agreement paid in 2020 in respect of 2019 in the amount of €22,036.

PAY STATEMENT: CATHERINE HALBERSTADT

	Fiscal year 2019		Fiscal year 2020	
	Amounts allocated	Amounts paid	Amounts allocated	Amounts paid
Member of the Management Board, Group human resources				
Fixed pay	€500,000	€500,000	€500,012	€500,012
Annual variable pay	€419,600 ⁽¹⁾	€352,158 ⁽²⁾	€276,894 ⁽³⁾	€425,259 ⁽⁴⁾
Multi-year variable pay	€0	€0	€0	€0
Exceptional pay	€0	€0	€0	€0
Benefits in kind (company car, housing and other benefits)	€44,080 ⁽⁵⁾	€44,080 ⁽⁵⁾	€44,080 ⁽⁵⁾	€44,080 ⁽⁵⁾
Attendance fees	€0	€0	€0	€0
Other pay	N/A ⁽⁶⁾	€11,473 ⁽⁷⁾	€46,620 ⁽⁸⁾	€68,656 ⁽⁹⁾
TOTAL	€963,680	€907,710	€867,606	€1,038,007

- (1) Variable pay in respect of 2019, of which €209,800 (50%) paid in 2020 and the balance (50%) deferred over three years in equal shares of €69,933 before indexation and performance conditions.
- (2) Amount paid in 2019 for the variable portion due in respect of 2018 (€217,985), the deferred portion of variable pay in respect of 2017 (€76,769) and the deferred portion of variable pay in respect of 2016 (€57,404).
- (3) Variable pay in respect of 2020, of which €138,446.8 (50%) paid in 2021 and the deferred balance (50%) over three years in equal shares of €46,149.9 before indexation and performance conditions.
- (4) Amount paid in 2020 for the variable portion due in respect of 2019 (€209,800), the deferred portion of variable pay in respect of 2018 (€74,820), and the deferred portion of variable pay in respect of 2017 (€79,129), and the deferred portion of variable pay in respect of 2016 (€61,510).
- (5) Housing allowance of €40,000 and company car allowance of €4,080.
- (6) Under her employment contract, Catherine Halberstadt benefits from BPCE's profit-sharing agreement ("accord d'intéressement"). The individual amount granted to Catherine Halberstadt for the year in question is not yet known as of the publication date of the registration document / universal registration document for the year in question.
- (7) Under her employment contract, Catherine Halberstadt benefits from BPCE's profit-sharing agreement paid in 2019 in respect of fiscal year 2018.
- (8) CGP/R2E compensatory allowance, i.e. €42,154 and an allocation of €4,466 paid under a company collective agreement, plus the profit-sharing granted to Catherine Halberstadt for the fiscal year (not yet known as of the publication date of the universal registration document).
- (9) CGP/R2E compensatory allowance, i.e., €42,154 and an allocation of €4,466 paid under a company collective agreement. Catherine Halberstadt also benefits from BPCE's profit-sharing agreement paid in 2020 in respect of 2019 in the amount of €22,036.

PAY STATEMENT: NICOLAS NAMIAS

	Fiscal year 2019		Fiscal year 2020	
	Amounts allocated	Amounts paid	Amounts allocated	Amounts paid
Member of the Management Board – Group Finance and Strategy (until August 3, 2020)				
Fixed pay	€600,000	€600,000	€352,230	€352,230
Annual variable pay	€503,520 ⁽¹⁾	€152,612 ⁽²⁾	€195,051 ⁽³⁾	€253,789 ⁽⁴⁾
Multi-year variable pay	€0	€0	€0	€0
Exceptional pay	€0	€0	€0	€0
Benefits in kind (company car, housing and other benefits)	€9,079 ⁽⁵⁾	€9,079 ⁽⁵⁾	€5,369 ⁽⁵⁾	€5,369 ⁽⁵⁾
Attendance fees	€0	€0	€0	€0
Other pay	N/A ⁽⁶⁾	€11,473 ⁽⁷⁾	€119,898 ⁽⁸⁾	€141,934 ⁽⁹⁾
TOTAL	€1,112,599	€773,164	€672,548	€753,322
Other compensation for Nicolas Namias for his duties at Natixis⁽¹⁰⁾	€0	€173,996	€525,119	€414,485

- (1) Variable pay in respect of 2019, of which €201,408 (40%) paid in 2020 and the balance (60%) deferred over three years in equal shares of €100,704 before indexation and performance conditions.
- (2) Amount paid in 2019 for the variable portion due in respect of 2018 (€152,612).
- (3) Variable pay in respect of 2020, of which €97,525.3 (50%) paid in 2021 and the balance (50%) deferred over three years in equal shares of €32,508.5 before indexation and performance conditions.
- (4) Amount paid in 2020 for the variable portion due in respect of 2019 (€201,408) and the deferred portion of variable pay in respect of 2018 (€52,381).
- (5) Company car allowance of €9,079 in 2019 and €5,369 in 2020.
- (6) Under his employment contract, Nicolas Namias benefits from BPCE's profit-sharing agreement ("accord d'intéressement"). The individual amount granted to Nicolas Namias for the year in question is not yet known as of the publication date of the universal registration document of the year in question.
- (7) Under his employment contract, Nicolas Namias benefits from BPCE's profit-sharing agreement paid in 2019 in respect of fiscal year 2018.
- (8) CGP/R2E compensatory allowance, i.e. €30,505 and payment of CET to Nicolas Namias upon termination of his employment contract with BPCE on August 3, 2020, i.e. €89,393, plus the profit-sharing granted to Nicolas Namias for the year (amount unknown as of universal registration document publication date).
- (9) CGP/R2E compensatory allowance, i.e. €30,505, and payment of CET to Nicolas Namias upon termination of his employment contract with BPCE on August 3, 2020, i.e. €89,393. Nicolas Namias also benefits from BPCE's profit-sharing agreement paid in 2020 in respect of 2019 in the amount of €22,036.
- (10) Nicolas Namias received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Chief Financial Officer of Natixis from January 1 to May 31, 2018, as well as compensation for his duties as Chief Executive Officer of Natixis since August 4, 2020. The amounts paid include payment and share deliveries in respect of the deferred variable pay installments of previous years at Natixis and granted for other duties.

PAY STATEMENT: JEAN-FRANCOIS LEQUOY

Member of the Management Board - Group Finance and Strategy (from September 14, 2020)	Fiscal year 2019		Fiscal year 2020	
	Amounts allocated	Amounts paid	Amounts allocated	Amounts paid
Fixed pay	N/A	N/A	€179,424	€179,424
Annual variable pay	N/A	N/A	€99,358 ⁽¹⁾	€0
Multi-year variable pay	N/A	N/A	€0	€0
Exceptional pay	N/A	N/A	€0	€0
Benefits in kind (company car, housing and other benefits)	N/A	N/A	€1,847 ⁽²⁾	€1,847 ⁽²⁾
Attendance fees	N/A	N/A	€0	€0
Other pay	N/A	N/A	NA ⁽³⁾	€0
TOTAL	N/A	N/A	€280,629	€181,271
Other pay granted to Jean-François for his duties at Natixis⁽⁴⁾	N/A	N/A	€679,250	€885,601

(1) Variable pay in respect of 2020, of which €49,678.9 (50%) paid in 2021 and the balance (50%) deferred over three years in equal shares of €16,559.6.

(2) Company car allowance of €1,847.

(3) Under his employment contract, Jean-François Lequoy benefits from BPCE's profit-sharing agreement ("accord d'intéressement"). The individual amount granted to Jean-François Lequoy for the year in question is unknown as of the publication date of the universal registration document of the year in question.

(4) Jean-François Lequoy received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Director of the Insurance Division from January 1, to September 13, 2020. The amount paid also includes payment and shares deliveries in respect of the deferred variable pay installments of previous years at Natixis.

PAY STATEMENT: FRANÇOIS RIAHI

Member of the Management Board – Chief Executive Officer of Natixis (until August 3, 2020)	Fiscal year 2019		Fiscal year 2020	
	Amounts allocated	Amounts paid	Amounts allocated	Amounts paid
Fixed pay	€0	€0	€0	€0
Annual variable pay	€0	€0	€0	€0
Multi-year variable pay	€0	€0	€0	€0
Exceptional pay	€0	€0	€0	€0
Benefits in kind (company car, housing and other benefits)	€0	€0	€0	€0
Attendance fees	€0	€0	€0	€0
Other pay	€0	€0	€0	€0
TOTAL	€0	€0	€0	€0
Other pay granted to François Riahi for his duties at BPCE (before the date he was appointed as member of the Management Board and Chief Executive Officer of Natixis)	€0	€111,585⁽¹⁾	€0	€57,450⁽²⁾
Other pay granted to François Riahi for his duties at Natixis⁽³⁾	€1,790,646⁽⁴⁾	€1,551,632⁽⁵⁾	€474,743⁽⁴⁾	€1,256,143⁽⁵⁾

(1) Amount paid to François Riahi in 2019 for the variable portion due in respect of 2018 (non-deferred portion) in respect of his duties as Member of the Management Board – Group Finance (held from January 1, 2018 to May 31, 2018) prior to the date of his appointment as a member of the Management Board – Chief Executive Officer of Natixis.

(2) Amount paid to François Riahi in 2020 for the variable portion due in respect of 2018 (deferred portion) in respect of his duties as Member of the Management Board - Group Finance (held from January 1, 2018 to May 31, 2018) prior to the date of his appointment as a member of the Management Board – Chief Executive Officer of Natixis.

(3) François Riahi received pay from Natixis, a company under the control of BPCE as defined by Article L. 233-16 of the French Commercial Code, for his duties as Chief Executive Officer of Natixis.

(4) François Riahi, in respect of his position as Chief Executive Officer of Natixis, was also allocated 31,708 performance shares, valued at €160,000 at the grant date, at the Board of Directors' meeting on May 28, 2019, and 77,783 performance shares valued at €160,000 at the grant date at the Board of Directors' meeting on May 20, 2020.

(5) This amount includes payment and shares deliveries in respect of the deferred variable pay installments of previous years and granted for other duties. Deliveries of shares related to long-term incentive plans for members of the Natixis Executive Management Committee are presented in AMF Table 7.

AMF TABLE 4

STOCK OPTIONS ALLOCATED TO EXECUTIVE CORPORATE OFFICERS DURING FISCAL YEAR 2020

No stock options were granted during fiscal year 2020.

AMF TABLE 5

STOCK OPTIONS EXERCISED BY EXECUTIVE CORPORATE OFFICERS DURING FISCAL YEAR 2020

No stock options were exercised during fiscal year 2020.

AMF TABLE 6

FREE SHARES GRANTED TO EXECUTIVE CORPORATE OFFICERS DURING FISCAL YEAR 2020

FREE SHARES GRANTED BY THE NATIXIS ANNUAL GENERAL SHAREHOLDERS' MEETING DURING THE FISCAL YEAR TO EACH EXECUTIVE CORPORATE OFFICER BY THE ISSUER AND BY EACH COMPANY IN THE GROUP

Name of executive corporate officer	Date of plan	Number of shares granted during the fiscal year	Value of shares based on the method used for consolidated financial statements	Vesting date	End of lock-up period	Performance conditions
François Riahi	5/20/2020	77,783 ⁽¹⁾	€73,116	5/19/2024 ⁽²⁾	5/19/2024	Yes
Jean-François Lequoy	5/20/2020	19,445 ⁽³⁾	€18,278	5/19/2024	5/19/2024	Yes

(1) Performance shares granted by Natixis to François Riahi in respect of his duties as Chief Executive Officer of Natixis.

(2) The presence condition was lifted by a decision of the Natixis Board of Directors of August 3, 2020 on all elements of deferred variable compensation previously granted to François Riahi and in the process of vesting; the other vesting conditions were maintained.

(3) Performance shares granted by Natixis to Jean-François Lequoy in respect of his position as Director of the Insurance Division at Natixis and Member of the General Management Committee of Natixis.

AMF TABLE 7

BONUS SHARES THAT BECAME TRANSFERABLE DURING THE PERIOD FOR EACH EXECUTIVE CORPORATE OFFICER

Name of executive corporate officer	Number and date of the plan	Number of shares vested during the fiscal year	Vesting conditions
Laurent Mignon	4/13/2018	28,258 ⁽¹⁾	(2)
	4/10/2017	35,894 ⁽¹⁾	(2)
	7/28/2016	37,970 ⁽¹⁾	(2)
François Riahi	4/13/2018	18,525 ⁽¹⁾	(2)
	4/10/2017	37,656 ⁽¹⁾	(2)
	4/13/2018	3,817 ⁽¹⁾	(2)
Nicolas Namias	4/10/2017	2,633 ⁽¹⁾	(2)
	4/13/2018	10,148	(2)
	4/10/2017	21,436	(2)
Jean-François Lequoy	7/28/2016	9,492	(2)
TOTAL	-	205,829	-

(1) 30% of vested shares are subject to a lock-up period until the end of the corporate officer's term of office.

(2) See presentation of the guidelines for corporate officers' pay in section 2.3.1.3 of the Natixis universal registration document.

AMF TABLE 8

PAST GRANTS OF STOCK OPTIONS OR CALL OPTIONS DURING FISCAL YEAR 2020

Natixis has granted no stock options to Group employees (Natixis, BPCE, Caisse d'Épargne, Banque Populaire) since 2009.

AMF TABLE 9

STOCK OPTIONS OR CALL OPTIONS GRANTED TO TOP TEN NON-CORPORATE OFFICER EMPLOYEES AND OPTIONS EXERCISED BY THEM

No subscription or call options were granted to or exercised by BPCE employees during fiscal year 2020.

AMF TABLE 10

PAST BONUS SHARE ALLOCATIONS TO EXECUTIVE CORPORATE OFFICERS

Name of executive corporate officer	Date of Natixis Annual General shareholders' Meeting	Date of Natixis Board of Directors meeting	Total number of bonus shares granted ⁽¹⁾	Vesting date	End of holding period ⁽²⁾	Number of shares vested at 12/31/2020	Total number of shares canceled or lapsed	Bonus shares outstanding or lapsed at period end
Laurent Mignon ⁽³⁾	05/24/2016	07/28/2016	47,463	07/28/2020	07/28/2020	37,970	9,493	0
Laurent Mignon	05/24/2016	04/10/2017	35,894 ⁽⁴⁾	03/01/2020	10/01/2020	35,894	-	0
Laurent Mignon	05/24/2016	05/23/2017	29,911	05/23/2021	05/23/2021	-	-	29,911
Laurent Mignon	05/24/2016	04/13/2018	28,258 ⁽⁴⁾	03/01/2020	10/01/2020	28,258	-	0
Laurent Mignon	05/24/2016	04/13/2018	56,517 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	56,517
Laurent Mignon	05/24/2016	05/23/2018	11,661	05/23/2022	05/23/2022	-	-	11,661
Laurent Mignon	05/24/2016	04/12/2019	10,172 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	10,172
Laurent Mignon	05/24/2016	04/12/2019	20,345 ⁽⁴⁾	03/01/2022	10/01/2022	-	-	20,345
François Riahi ⁽⁵⁾	05/24/2016	10/04/2017	37,656 ⁽⁴⁾	03/01/2020	10/01/2020	37,656	-	0
François Riahi	05/24/2016	05/23/2017	7,399	05/23/2021	05/23/2021	-	-	7,399
François Riahi	05/24/2016	04/13/2018	18,525 ⁽⁴⁾	03/01/2020	10/01/2020	18,525	-	0
François Riahi	05/24/2016	04/13/2018	37,050 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	37,050
François Riahi	05/24/2016	08/02/2018	13,605	05/23/2022	05/23/2022	-	-	13,605
François Riahi	05/24/2016	05/28/2019	31,708	05/28/2023	05/27/2023	-	-	31,708
François Riahi	05/24/2016	04/12/2019	11,461 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	11,461
François Riahi	05/24/2016	04/12/2019	22,924 ⁽⁴⁾	03/01/2022	10/01/2022	-	-	22,924
François Riahi	05/24/2016	05/20/2020	77,783 ⁽⁴⁾	05/19/2024	05/19/2024	-	-	77,783
Nicolas Namias	05/24/2016	04/10/2017	2,633 ⁽⁴⁾	03/01/2020	10/01/2020	2,633	-	0
Nicolas Namias	05/24/2016	04/13/2018	3,817 ⁽⁴⁾	03/01/2020	10/01/2020	3,817	-	0
Nicolas Namias	05/24/2016	04/13/2018	7,634 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	7,634
Nicolas Namias	05/24/2016	05/23/2018	2,125	05/23/2022	05/23/2022	-	-	2,125
Nicolas Namias	05/24/2016	04/12/2019	2,993 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	2,993
Nicolas Namias	05/24/2016	04/12/2019	5,986 ⁽⁴⁾	03/01/2022	10/01/2022	-	-	5,986
Jean-François Lequoy	05/24/2016	07/28/2016	11,865	07/28/2020	07/28/2020	9,492	2,373	0
Jean-François Lequoy	05/24/2016	04/10/2017	21,436 ⁽⁴⁾	03/01/2020	10/01/2020	21,436	-	0
Jean-François Lequoy	05/24/2016	05/23/2017	6,231	05/23/2021	05/23/2021	-	-	6,231
Jean-François Lequoy	05/24/2016	04/13/2018	10,148 ⁽⁴⁾	03/01/2020	10/01/2020	10,148	-	0
Jean-François Lequoy	05/24/2016	04/13/2018	20,297 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	20,297
Jean-François Lequoy	05/24/2016	05/23/2018	5,830	05/23/2022	05/23/2022	-	-	5,830
Jean-François Lequoy	05/24/2016	04/12/2019	12,460 ⁽⁴⁾	03/01/2021	10/01/2021	-	-	12,460
Jean-François Lequoy	05/24/2016	04/12/2019	24,919 ⁽⁴⁾	03/01/2022	10/01/2022	-	-	24,919
Jean-François Lequoy	05/24/2016	05/28/2019	7,927	05/28/2023	05/28/2023	-	-	7,927
Jean-François Lequoy	05/24/2016	05/20/2020	19,445	05/20/2024	05/20/2024	-	-	19,445

(1) All bonus shares granted during fiscal years 2016 to 2020 (inclusive) are subject to performance conditions.

(2) Natixis corporate officers are subject to a lock-up period on 30% of shares until the end of their term of office at Natixis for grants prior to 5/20/2020; as of that date, the lock-up period applies to 100% of the shares.

(3) For Laurent Mignon, the following were granted and vested before the fiscal year 2020: 90 shares by the Board of Directors meeting of November 6, 2013, vested on March 1, 2016; 31,955 shares by the Board of Directors meeting of July 31, 2014, vested on August 1, 2018; 27,321 shares by the Board of Directors meeting of February 18, 2015, vested on February 18, 2019; 28,755 shares by the Board of Directors meeting of July 28, 2016, vested on March 1, 2018; 57,510 shares by the Board of Directors meeting of July 28, 2016, vested on March 1, 2019; 17,947 shares by the Board of Directors meeting of April 10, 2017, vested on March 1, 2019. Thirty percent of these shares are subject to a lock-up obligation until the end of his term of office, except for the 90 shares granted in 2013 for which the holding obligation applies to all shares vested until the end of his term of his corporate office.

(4) Shares granted under the annual deferred variable pay plan in respect of offices held previous years at Natixis.

(5) The attendance condition was lifted by a decision of the Natixis Board of Directors of August 3, 2020 on all elements of deferred variable compensation previously granted to François Riahi and in the process of vesting; the other vesting conditions were maintained.

AMF TABLE 11

SITUATION OF COMPANY DIRECTORS

Name of company director	Term of office		Employment contract	Supplementary pension plan	Compensation or benefits due or potentially due as a result of termination of/change in duties	Compensation related to a non-compete clause
	Start (or reappointment)	End				
Laurent Mignon Chairman of the Management Board	11/01/2018	2023	no	CGP, R2E, Group System for Article 82	yes	no
Catherine Halberstadt Member of the Management Board, Group human resources	11/01/2018	2023	yes	CGP, R2E, Pension plan for company directors of Groupe BPCE	yes	no
Nicolas Namias Member of the Management Board, Group Finance and Strategy (until August 3, 2020)	11/01/2018	08/03/2020	yes	CGP, R2E, Group System for Article 82	yes	no
Jean-François Lequoy Member of the Management Board, Group Finance and Strategy (from September 14, 2020)	09/14/2020	2023	yes	CGP, R2E, Group System for Article 82	yes	no
Christine Fabresse Member of the Management Board Retail banking & Insurance	11/01/2018	2023	yes	CGP, R2E, Pension plan for company directors of Groupe BPCE	yes	no
François Riahi⁽¹⁾ Member of the Management Board Chief Executive Officer of Natixis (until August 3, 2020)	11/01/2018	08/03/2020	no	Group System for Article 82	no ⁽²⁾	no ⁽²⁾
Nicolas Namias⁽¹⁾ Member of the Management Board Chief Executive Officer of Natixis (from August 4, 2020)	08/04/2020	2023	no		no ⁽²⁾	no ⁽²⁾

(1) The member of the BPCE Management Board - Chief Executive Officer of Natixis (François Riahi, then Nicolas Namias) does not receive benefits.

(2) The Chief Executive Officer of Natixis (François Riahi, then Nicolas Namias) receives severance and non-compete pay in respect of his company directorship at Natixis, which was approved at the Annual General shareholders' Meeting of Natixis.

3.5.4 Procedure for enforcing pay policies and practices covered by Articles L. 511-71 to L. 511-88 of the French Monetary and Financial Code

Information on the policies and practices on pay granted to members of the executive body and persons whose professional activities have a material impact on the corporate risk profile will be the subject of a report published on the BPCE website prior to the Annual General shareholders' Meeting, in accordance with the same terms applicable to the registration document.

3.6 Potential conflicts of interest

3.6.1 Members of the Supervisory Board

INTEGRITY OF MEMBERS

Pursuant to Article L. 511-98 of the French Monetary and Financial Code, the integrity and expertise of all newly appointed members are subject to review by the Appointments Committee.

In accordance with the Internal Rules of BPCE's Supervisory Board, Supervisory Board members must perform their duties with loyalty and professionalism.

They must not take any initiatives intended to harm the company's interests and they must act in good faith in all circumstances.

Furthermore, all members of the Supervisory Board and its committees, as well as anyone who may be invited to attend their meetings, are bound by an obligation of professional secrecy, as provided for in Article L. 511-33 of the French Monetary and Financial Code and by a duty of discretion regarding their discussions and any confidential information or information presented as confidential by the Chairman of the meeting, as provided for in Article L. 225-92 of the French Commercial Code.

The Chairman of the Board stresses that the proceedings of a meeting are confidential whenever regulations or the interests of the company or Groupe BPCE may require it. The Chairman of each Board Committee does the same.

The Chairman of the Board or one of its committees takes the measures necessary to ensure the confidentiality of discussions. This may require all persons taking part in a meeting to sign a confidentiality agreement.

If a member of the Board or one of its committees fails to comply with an obligation, in particular the obligation of confidentiality, the Chairman of the Supervisory Board refers the matter to the Board in order to issue a warning to said member, independently of any measures taken under the applicable legal, regulatory or statutory provisions. Said member is given advance notice of the penalties being considered, and will be able to present observations to the Supervisory Board.

In addition, Supervisory Board Members:

- undertake to devote the necessary time and attention to their duties;

- attend all meetings of the Supervisory Board and the committees of which they are members, unless this is impossible;
- stay informed about the company's business lines, activities, issues and values;
- endeavor to maintain the level of knowledge they need to fulfill their duties;
- request and make every effort to obtain, in a timely manner, the information deemed necessary to be able to hold informed discussions at Supervisory Board Meetings.

Finally, Supervisory Board Members participate in the training programs set up for them.

CONFLICTS OF INTEREST

To the company's knowledge:

- there are no potential conflicts of interest between the duties of the Supervisory Board Members with regard to the issuer and other private duties or interests. If required, the Supervisory Board's internal rules and the Ethics and Compliance Charter govern the conflicts of interest of any member of the Supervisory Board;
- there is no arrangement or agreement with an individual shareholder, customer, supplier, or other, under which any of the Supervisory Board's members has been selected;
- there are no family ties between the Supervisory Board Members;
- no restriction, other than legal, is accepted by any of the Supervisory Board Members regarding the disposal of their equity interest in the company.

DISCLOSURE OF CONVICTION

To the company's knowledge, to date, no member of BPCE's Supervisory Board has been convicted of fraud in the last five years. To the company's knowledge, to date, no member of BPCE's Supervisory Board has been declared bankrupt or in liquidation, or had assets placed in receivership, in the last five years.

3.6.2 Members of the Management Board

INDEPENDENCE AND INTEGRITY

Pursuant to Article L. 511-98 of the French Monetary and Financial Code, the integrity and expertise of all newly appointed members are subject to review by the Appointments Committee.

Members of the Management Board may hold other offices subject to laws and regulations in force. A Management Board Member may not perform duties similar to those of Chief Executive Officer or Deputy Chief Executive Officer at a Caisse d'Épargne or a Banque Populaire.

CONFLICTS OF INTEREST

To the company's knowledge:

- there are no conflicts of interest between any duties of Management Board Members with respect to the issuing entity and their private interests or other duties;

- there are no family ties between Management Board Members.

At the filing date of this document, no member of the Management Board was linked to BPCE or any of its subsidiaries by a service agreement offering benefits.

DISCLOSURE OF CONVICTION

To the company's knowledge, to date, no member of the Management Board has, for at least the previous five years, been convicted of fraud, associated with bankruptcies, receiverships or liquidations, convicted of a crime or subject to an official public sanction handed down by statutory or regulatory authorities, or disqualified by a court from acting as a member of the administrative, management or supervisory bodies of an issuer or from participating in the management or conduct of the affairs of any issuer.

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4.1 Foreword

The financial data for the fiscal year ended December 31, 2020 and the comparative data for 2019 were prepared under IFRS as adopted by the European Union and applicable at that date, excluding some provisions of IAS 39 on hedge accounting.

This management report discusses the results of Groupe BPCE and BPCE SA group, built around the central institution, BPCE,

which was established on July 31, 2009 following the merger of Groupe Banque Populaire and Groupe Caisse d'Épargne.

BPCE SA group results are summarized because the operations and results of the two groups are closely related. The main differences in scope relative to Groupe BPCE concern the exclusion of the contributions of the Banques Populaires and the Caisses d'Épargne.

4.2 Significant events of 2020

4.2.1 Economic and financial environment

2020: AN UNPRECEDENTED GLOBAL RECESSION LINKED TO COVID-19

In 2020, the coronavirus pandemic profoundly changed the international and French environment. Most governments, especially in the euro zone, applied strict lockdown measures, sometimes lasting at least two months: this affected more than 40% of the world's population in April. This lockdown was renewed in Europe and France due to the emergence of a second epidemic wave. This essentially political decision, made solely for health reasons, created an unprecedented, stunning, and unexpected exogenous shock, with production brought to a halt around the world due to a sudden drop in the available workforce. This led to a "managed" collapse of the real economy in the first half of the year on both sides of the Atlantic, then in the fourth quarter in Europe, with severe contraction in the services sector. In addition, oil prices (Brent) first collapsed in March-April (below \$20 a barrel on April 21) during the health crisis, mainly due to a historically unprecedented demand shock. They then recovered slowly beginning in May, reaching \$51.7/barrel on December 31, due to an exceptional reduction in OPEC+ production (-9.7 million barrels per day) and, starting in November, hopes of an effective and rapid vaccine. In addition, the no-deal Brexit, another uncertainty in 2020 after the US presidential election of Joe Biden on November 3, did not take place. An incomplete last-minute compromise was finally reached on December 24. In addition to resolving the issue of UK fishing grounds, it preserves reciprocal access, without quotas or tariffs, to markets for goods and services.

This unprecedented recession could automatically trigger a process of systemic deflation and destroy the viability of the economic and social fabric. This highly plausible fear forced political authorities and central bankers around the world to respond with an ultra-rapid, extremely massive, tacitly coordinated, and substantially complementary monetary and budgetary response. The aim was to protect private employees against immediate loss of income due to the sudden rise in unemployment, to avoid a systemic financial panic and bankruptcies of healthy companies due to lack of liquidity, then

to revive activity in the long-term, such as the €750 billion European plan and the €100 billion French plan. Central banks have become buyers of last resort for the public and private debt issued, with the long-term retention in their balance sheet amounting to an implicit monetization of these new Covid-19 debts. Probably ahead of the ECB, the Fed has even revised its doctrine for an "average" inflation target, thus bringing the growth objective to the fore. This makes its monetary policy even more accommodating, thus weakening the dollar against the euro. This "whatever the cost," proactive approach, which violates the rules of fiscal and monetary orthodoxy from economic history, is the other singularity in this crisis. Long-term rates were automatically greatly affected by the impact of monetary policies that had become more ultra-accommodating than before, and by the deflationary environment. The 10-year fungible French Treasury bond (OAT) stood at -0.15% on average in 2020 (yet -0.34% in December), compared with 0.13% in 2019. There was also a violent stock market crash in March (down 38.6% on the CAC40 from February 19 to March 18), before a relatively spectacular rise in the equity markets (CAC40 at 5,551 points on December 31, compared with 5,978 points at the end of 2019, a decline of only -7.1%), due to the extensive additional support for budgetary and monetary policies, and then to the announcement of vaccines.

France, whose GDP ultimately fell by around 8.2% in 2020 according to the INSEE, suffered two successive lockdowns, the first, from March 17 to May 11, having a much more severe economic impact than the second, from the end of October to December 15. In fact, its terms and conditions were a little less restrictive and its duration shorter than in the spring. The estimated loss of activity compared to the end of 2019 was -12% in November, then -8% in December, compared to -31% in April. The contraction in activity was more dramatic than Germany's in the first half of the year, reaching -18.9% compared to the fourth quarter of 2019, before a strong technical rebound reduced this gap to -3.7% in the third quarter. It benefited from strong public budget support, which allowed household consumption to return to a level close to its pre-crisis level at the beginning of the summer.

The dip in the fourth quarter then interrupted this catch-up momentum.

This deep recession, however, caused a one-time impressive increase in the savings rate and, as a result, in household financial investments, due to an unprecedented contraction in consumption (forced savings, then precautionary savings) and the preservation of purchasing power. It only fell by 0.3%,

thanks to the decline in inflation (an annual average of 0.5%, compared with 1.1% in 2019) and, above all, partial unemployment benefits. The latter allowed employment to fall by only 2.3%, much less than activity. The corporate margin rate lost almost four points on average over the year. Finally, most of the revenue losses due to the crisis were borne by the general government, with public debt amounting to 120% of GDP.

4.2.2 Significant events of the fiscal year

The year 2020 was marked by the management of the coronavirus health crisis. Groupe BPCE entered the crisis with extremely solid fundamentals in terms of its solvency, liquidity and risks, and it took several initiatives to address the consequences of the crisis. It did better than withstand the crisis and its expected prolongation, in particular thanks to the very good level of activity in the two major Banque Populaire and Caisse d'Épargne networks. All its teams were mobilized to support customers as closely as possible and work with them to find the best financial solutions to face this crisis. The business continuity plan was implemented to protect employees' health and safety, facilitate operations for customers (branch opening, ATMs, communications, and the application of the new health protection measures), and maintain internal processes (funding, accounting, compliance with regulations, etc.). Massive use of digital technology became necessary, and the rollout of digital solutions was ramped up.

To support the economy and its customers, Groupe BPCE announced an automatic six-month deferral, with effect from March 20, 2020, of investment loans to companies and professionals most affected by the health crisis: more than 425,000 repayment moratoria were signed in 2020. The initial repayment moratoria for the tourism, hotel and catering sectors have been extended for six months. The retail networks ensured that eligible business and professional customers could benefit from the State-guaranteed loan mechanism by undertaking to review all applications rapidly. As a result, 193,000 loans totaling €30 billion were disbursed in 2020. Groupe BPCE was the first player in France to extensively rollout the Sign'it electronic signature service for State-guaranteed loans issued by the Banques Populaires and the Caisses d'Épargne. To support the recovery of businesses, Banque Populaire and Caisse d'Épargne signed an agreement with the European Investment Fund (EIF) to finance loans of €75 million. This agreement aims to facilitate access to financing for SMEs, mid-cap companies, and start-ups with fewer than 3,000 employees that invest in projects of an innovative, adaptive, or transformational nature in relation to the current health crisis.

For individual customers, a number of services were enhanced to ensure service continuity and quality. Basic services continued, with bank cards and checkbooks automatically sent to customers' homes, daily monitoring of ATM cash stocks and checks to ensure online banking services remained accessible. Customers were encouraged to use mobile apps for all their everyday banking transactions, and to use text messages to contact their branch. Efforts to facilitate customers' daily lives were stepped up, for example by raising the contactless payment limit from €30 to €50, offering cash withdrawals by text message to all customers, which is particularly useful for those without a bank card, and managing cancellations and complaints regarding direct debits issued by the tax authorities

(DGFIP). To better protect customers against phishing (theft of login details or passwords) and means of payment fraud (transfers, card payments, checks), a communications and awareness campaign was organized for employees and customers. The Banques Populaires and the Caisses d'Épargne launched a support plan for students and apprentices to help them get through the crisis.

As far as business activity is concerned, the Banques Populaires recorded extremely favorable banking mobility scores, with a gain of 52,600 new customers over the year. All the Banques Populaires extended the Cristal range of everyday banking services they offer, with more than 453,000 customers set up. In non-life insurance, the new Innove2020 offer entered the general rollout phase and was successfully deployed for the first time at three Banques Populaires in September.

In the professional and corporate markets, the priority remained the provision of customer support. This support was highly appreciated and was reflected in customer satisfaction barometers, which rose sharply. Customers emphasized accessibility, responsiveness and pro-activity as key qualities. New business volumes were also up sharply compared to 2019. Banque Populaire helped drive the recovery in its professional customers' business activity with the SOCAMA Relance loan, a loan without personal guarantee from the manager, their family or a third party, 100%-guaranteed by SOCAMA (*Société de caution mutuelle artisanale*) and supported by the European Investment Fund (EIF). The omnichannel e-commerce payment solution PayPlug was rolled out across the network and offered free of charge to doctors in the context of the health crisis. A Leaseback offer developed by BPCE Lease was launched, allowing customers to refinance investments in recently acquired equipment or assets with a long lifespan. Finally, Banque Populaire was awarded a prize by the magazine *Mieux Vivre Votre Argent* for the one-year performance of its collective investment range, taking third place (out of thirteen institutions) at the Corbeille d'Or awards.

The Caisses d'Épargne continued to support the economy, with more than €68 billion in new loans granted to households and businesses over the year. The negative trend in banking mobility was reversed, with nearly 13,000 new customers gained during the year. The new everyday banking solution, *Les Formules*, recorded a very strong year, with over a million contracts signed and a very positive range of subscription types. With regard to home insurance, a new MRH (multi-risk home insurance) was successfully launched.

A new turnkey e-commerce offer for professional customers, IZ e-commerce, was rolled out, providing a platform for creating, managing and developing an e-commerce site; access to advice, support and e-commerce expertise; and a simple and secure payment solution.

The Caisses d'Épargne launched a large-scale financial support plan for hospitals, with an exceptional financial package of €1 billion. In the real estate sector, the group launched a new offer: resale of real estate as furnished property managed for the benefit of Caisses d'Épargne's investor customers. For social housing landlords and property developers, the Caisse d'Épargne launched the "Prêt à Impact" (Impact Loan), a new financing offer with an interest rate indexed to the customer's non-financial performance, whether environmental or social. For each Impact Loan taken out, an indicator is chosen. When this indicator is reached or exceeded, the client benefits from an interest rate rebate that can be paid to a non-profit organization. The first Impact Loan was signed by Caisse d'Épargne Ile-de-France with the *Régie Immobilière de la Ville de Paris*, for the benefit of the Fondation Abbé Pierre.

In the local authorities market, Numairic, the first online digital loan solution for small local authorities, won an Innovation Award at the Grand Est public decision-makers fair for its design, technical features and functionalities, and its user satisfaction rate of 92.7%.

Business remained brisk at the SEF (Financial Solutions and Expertise) division over the period, thanks to highly active collaboration and the implementation of new partnerships with the Group's establishments. The rollout of products and services across the retail networks (in particular the Pramex range and FlashFactures by BPCE Factor) continued to drive this trend. In addition, BPCE Factor made a commitment to the corporate and professional customers of the Banques Populaires, the Caisses d'Épargne, and Banque Palatine to adopt the mechanism for strengthening factoring financing launched jointly by the French Association of Financial Companies (ASF) and the Ministry of the Economy, Finance and Recovery. The innovation approach made active progress with, for example, the creation of new 3x4x fractioned payment solutions in collaboration with Oney, the complementary offer of financing through a security trust provided alongside BPCE Lease, and the development of selfcare. On March 31, 2020, BPCE SA finalized the acquisition of Crédit Foncier's stake in Crédit Foncier Immobilier (CFI). CFI, which provides real estate services (valuations and sales), joined BPCE's Financial Solutions and Expertise business line to boost its business relations with the Banque Populaire and Caisse d'Épargne networks.

In the Digital segment, Groupe BPCE pursued its Digital Inside strategy, thereby embedding its digital capacity even more deeply into everyday banking, and integrating digital into its banking product marketing processes. Everyday banking transactions are now largely digital, and 80% of its main bank customers use digital channels (web or mobile applications) to access their accounts, subscribe to new offers, and carry out their transactions independently. These uses were reflected in our figures: more than six million customers actively use the Banque Populaire and Caisse d'Épargne mobile applications; more than 152 million transfers were made (+38% in one year); and 6.5 million beneficiaries were added (+49% in one year).

Our digital spaces continued to evolve to offer customers new types of usage, always with full autonomy, such as the possibility of viewing their secret PIN code, accessing life insurance, activating revolving credit facilities, and using the new account aggregator, for customers having already opted for the new account presentation. Other functionalities, such as the management of beneficiaries' cards (blocking, unblocking,

lowering or raising ceilings) and foreign currency transfers (via the partnership with TransferWise) were developed. In order to better support individual customers in the use of these functionalities, a Frequently Asked Questions section on selfcare was set up for mobile applications.

In terms of access and security of operations, Groupe BPCE implemented a wide scale rollout of its strong authentication solution Secur'Pass for accessing online banking (mobile and web) and, specifically, making online payments. Secur'Pass enrollment saw strong growth, with more than four million customers enrolled during the year.

More generally, Groupe BPCE continued to enhance its remote banking services. All loans (mortgages, consumer, professional equipment) are now provided in omnichannel format, involving digital pathways, from simulation through to business proposal, automatic collection and control of supporting documents, and electronic signature. The volume of production of personal loans initiated on the digital platform thus increased sharply. In addition, new services were developed, such as the possibility for Banque Populaire customers to choose a direct debit account during the online subscription process and for Caisse d'Épargne customers, the online collection of documents and supporting documents directly from the mobile application with immediate control.

The collective commitment of its teams confirmed Groupe BPCE's leadership in digital solutions. In a survey published by D-Rating on April 27⁽¹⁾ on the evolution of the use of mobile banking in sixteen major retail banks in France, Italy, Spain and the United Kingdom in the early weeks of the Covid-19 crisis, Banque Populaire and Caisse d'Épargne came first among French banks in terms of traffic, engagement and satisfaction, outstripping their French peers with stronger positions in terms of mobile banking app usage. They joined the ranks of players that have traditionally been the most advanced in this area.

For group employees but also for customers, the second lockdown accelerated the rollout of Office 365 licenses and collaborative tools, in particular the use of the Visio Client, which enables Caisse d'Épargne advisors to share their PC screens with their customers on Teams and those of Banques Populaires to do so from their tablets. Support with managing day-to-day usage was strengthened, as was the quality of the communication networks.

In terms of organization and in preparation for its future strategic plan, Groupe BPCE strengthened its digital system, setting a new course for Innovation, Data and Digital combining its digital, data and artificial intelligence activities.

Throughout 2020, Natixis made extensive efforts to cope with the coronavirus crisis. Starting in January, the group implemented the necessary measures in Asia to protect the health and safety of its employees, maintain its activity and guarantee the service provided to customers. When the lockdown was implemented at national level in France in mid-March, Natixis successfully implemented its business continuity plan (with 98% of employees working from home and up to 16,000 people logged on at the same time in the first week of lockdown). In this exceptional context, Natixis' businesses worked closely with their customers, particularly in terms of providing advice, innovation and the development of digital solutions.

[1] <https://www.d-rating.com/post/2020/04/16/evolution-of-the-use-of-mobile-banking-in-the-context-of-the-Covid-19-crisis-in-spain-fra>

In order to secure a sustainable growth trajectory and establish a solid foundation for preparing its next strategic plan for 2024, Natixis adopted three major strategic orientations in early November 2020:

- put its Asset Management business on track for vibrant growth and development: to this end, Natixis Investment Managers announced the operational implementation of the merger between Ostrum AM and La Banque Postale AM, and initiated discussions with a view to a gradual and orderly unwinding of its partnership with H2O AM;
- reduce the volatility of revenues from the Corporate & Investment Banking business: Natixis has decided to reposition its equity derivatives business by discontinuing its most complex product lines and refocusing on its strategic clients and those of the Groupe BPCE networks;
- strengthen its earning power and promote dynamic cost management, notably to support future investments. With these goals in mind, Natixis announced the launch of a program to cut costs by around €350 million by 2024.

In February 2021, Natixis also finalized the sale of 29.5% of Coface's share capital to Arch Capital Group, a leading specialty insurer in the United States. This followed the lifting of all conditions precedent (specifically, obtaining the approval of regulators in the countries in which Coface operates).

In Asset & Wealth Management, the merger of Ostrum Asset Management and La Banque Postale Asset Management's fixed income and insurance activities was completed, creating a European leader in asset management for large institutional clients, with more than €415 billion in assets under management. As a result of this transaction, Natixis Investment Managers now ranks second among European asset managers with more than €1.1 trillion in assets under management. DNCA Finance and Thematics Asset Management's equity management were strengthened through the repositioning of equity expertise from Ostrum AM. Investment management firm Loomis, Sayles & Company also announced that it has recruited a European credit team based in the Netherlands and launched three euro credit investment strategies: Loomis Sayles Euro Investment Grade Credit, Loomis Sayles Euro Sustainable Investment Grade Credit and Loomis Sayles Euro High Yield. Finally, Natixis Investment Managers continued to develop its ESG (Environmental, Social and Governance) policy within its multi-affiliate model as well as its initiatives to support diversity and inclusion, one of its strategic priorities.

In wealth management, Natixis Wealth Management optimized its cross-functional operating structure across all of its business lines and entities in France and Luxembourg. Its subsidiary, VEGA Investment Managers, strengthened its ESG commitments by launching its first impact fund, "VEGA Transformation Responsable."

Natixis Interépargne, the benchmark in employee savings and retirement plans, and Arial CNP Assurances combined their expertise to offer companies a comprehensive range of employee savings and retirement plans incorporating the new company retirement savings plans (PER) created by the Pacte law. Natixis Interépargne was also the first employee savings firm in France to offer savers a company savings account aggregator.

The Corporate & Investment Banking business has remained very close to its clients during the Covid-19 crisis. Its teams' dedication meant it was able to respond quickly to its clients' needs. It stepped up its advisory role and made all its sector expertise and its economic research teams available to its clients to help them understand the situation and plan for the future. To meet its clients' liquidity requirements, Natixis offered a range of financing solutions, some of which were made available under government support packages, for example the State-guaranteed loan in France, for a total of €2.7 billion in 2020.

Natixis Assurances pledged its support to help craft workers, retailers, self-employed professionals and very small enterprises face the coronavirus crisis. It is committed to helping customers in the hotel and catering sector deal with their operating losses. Natixis Assurances also continued to implement its business plan with the goal of becoming the sole insurance platform serving the Banque Populaire and Caisse d'Épargne networks. In personal protection insurance, it launched new policies for individual customers of the Caisses d'Épargne (*Secur'Famille 2*) and new individual insurance policies for professional customers of the Banques Populaires and the Caisses d'Épargne. Meanwhile, Natixis Life pushed ahead with its transformation project: digital subscription pathways with electronic signatures are being rolled out across the company, along with a workflow tool facilitating the processing and monitoring of files. In non-life insurance, the emblematic #innove2020 project was extended to all establishments and is off to a very promising start, notably bringing strong sales momentum. Finally, Natixis Assurances was awarded new labels of excellence for "*Quintessa*," "*Assur BP Santé*," "*Garantie Santé Côté Je*," "*Assur BP Auto*," and "*Assurance Auto*," as well as the "*Sécur'Famille 2*," "*Assurance Famille*," and "*Autonomis*" policies.

The Payments business played an important role during the pandemic. From the start of the crisis, Natixis Payments undertook to guarantee the Banque Populaire and Caisse d'Épargne networks and their customers the highest possible service quality in all areas (issuance, acquisition, payment processing, and fraud prevention). The Payments division also helped support the change in consumer purchasing and payment behavior. Its experts were mobilized to implement the new ceiling for contactless payment, which was raised to €50 as of May 11, and the increase in the ceiling for meal vouchers in June. Natixis Payments has also supported merchants of all sizes in developing their online sales, thanks to its fintech Dalenys' omnichannel platforms for large merchants and its fintech PayPlug, designed for SMEs, either directly or in synergy with the Banque Populaire and Caisse d'Épargne networks.

Groupe BPCE continued efforts to firmly embed its commitment to society and the environment into its businesses and decision-making processes. For example, it launched "*Ambition Durable*," a green bond aimed at individual customers of the Banques Populaires and the Caisses d'Épargne. The funds raised are being used to finance the construction and renovation of buildings with a small environmental footprint. In the area of retirement planning, Banque Populaire and Caisse d'Épargne distributed a new Individual Retirement Savings Plan range created by Natixis Assurances, enabling customers to build up retirement savings with a positive social and environmental impact. Comprehensive, accessible to all, and competitively priced, it meets the needs of customers wanting to prepare for retirement in a more responsible manner.

With regard to the fight against climate change, Natixis announced the strengthening of fossil fuel exclusion policies, with the exit from shale oil & gas exploration and production and all thermal coal activities by 2030 for OECD countries and by 2040 for the rest of the world. It also decided to stop supporting companies developing new coal-fired power plants or thermal coal mines, and opted for a total phase-out of shale oil & gas activities in the United States within two years. As part of its involvement in the Act4nature International initiative, Natixis also adopted a series of concrete commitments to preserve biodiversity and natural capital through its various business activities, and to make biodiversity a focal point of its ESG policy and its relationship with customers.

By signing the Responsible Digital Charter, Groupe BPCE has also affirmed its commitment to an ethical and environmentally friendly digital transition. In particular, it is committed to reducing its digital environmental footprint and developing services that are accessible to all, inclusive, and sustainable.

Reflecting these advances in ESG, MSCI raised Groupe BPCE's rating to AA, recognizing the Group's integration of environmental, social and governance (ESG) issues into its policies (development, human resources, risks, business ethics, cybersecurity, etc.), and V. E. raised the Group's non-financial rating from "Robust" to "Advanced" with, in particular, an increase in the rating awarded in terms of environmental strategy (+13 points) and reduction in the impact of its business lines on the climate (+9 points) and reduction of its direct footprint thanks to its mobility policy (+20 points).

In addition, on August 3, 2020, Groupe BPCE announced it was entering into exclusive negotiations with Ripplewood Advisors LLC for the sale of the entire share capital of Fidor Bank AG. Closure of this deal is planned for the first half of 2021, pending regulatory authorizations.

On December 31, 2020, Groupe BPCE finalized the sale of its subsidiary Fidor Solutions to Sopra Banking Software, a subsidiary of the Sopra Steria group, with no additional impact on consolidated income.

4.3 Groupe BPCE financial data

4.3.1 Groupe BPCE results⁽¹⁾

Groupe BPCE posted solid revenues of €22.5 billion, down by 4.5% compared to 2019 despite the economic and health situation. Net income came to €1.6 billion, including a resolutely prudent provisioning policy and the Group's ongoing transformation.

	Groupe BPCE			
			Chg. 2020/2019 pf	
<i>in millions of euros</i>	2020	2019 pf	€m	%
Net banking income	22,540	23,593	(1,053)	(4.5%)
Operating expenses	(16,644)	(17,065)	421	(2.5%)
Gross operating income	5,896	6,528	(632)	(9.7%)
Cost/income ratio	73.8%	72.3%	--	1.5 pt
Cost of risk	(2,998)	(1,365)	(1,633)	x2.2
Share in income of equity-accounted associates	227	265	(38)	(14.4%)
Gains or losses on other assets	(144)	(1)	(143)	ns
Change in the value of goodwill		(88)	88	ns
Income before tax	2,982	5,338	(2,357)	(44.1%)
Income tax	(1,045)	(1,748)	703	(40.2%)
Non-controlling interests (minority interests)	(191)	(604)	412	(68.3%)
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT - excl. Coface net contribution	1,745	2,986	(1,241)	(41.6%)
Net contribution by Coface	(136)	44	(180)	ns
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT	1,610	3,030	(1,420)	(46.9%)

NET BANKING INCOME

On December 31, 2020, Groupe BPCE's net banking income was resilient in the face of the health crisis, at €22.5 billion, underpinned by strong commercial momentum in retail banking, within the networks in particular, coupled with robust growth in the Insurance and Financial Solutions & Expertise business lines.

Retail banking and Insurance posted revenue growth, with net banking income up by 2.5% to €16.5 billion, demonstrating the robust model anchored across the regions, in a context where the low-interest-rate banking environment is weighing on loan outstandings.

Loan outstandings increased by 11.1% year-on-year to €613 billion at the end of December 2020, with home loans up 8.1%, consumer loans up 2.2%, and equipment loans up 7.0%.

At the end of December 2020, deposits and savings excluding centralized regulated savings amounted to €522 billion (+13.9%), while demand deposits showed an increase of 28.1% year-on-year.

Net banking income in the Asset & Wealth Management division decreased by 14.2% in 2020 (-13.4% at constant exchange rates) to €3.2 billion compared to 2019. Asset Management revenues in 2020 were impacted by the decline in performance fees (mainly H2O), management fees (concentrated in the United States), and financial products. At the same time, Wealth Management revenues rose significantly by 19.5% year-on-year, benefiting in particular from a high level of performance fees; and income from employee savings fell by just 1.1%.

Corporate & Investment Banking generated net banking income of €2.8 billion in 2020, down 16.0% (-15.3% at constant exchange rates) compared to 2019, impacted by a difficult financial environment in the first half.

OPERATING EXPENSES

Operating expenses stood at -€16.6 billion, down by 2.5% compared to 2019 (-2.7% restated for the contribution to the Single Resolution Fund). This positive development is the result of continued cost reductions, thanks to optimized operational performance and good cost control.

The Group's transformation costs, related to synergy-creating transactions such as mergers of institutions and migrations of IT platforms for digital transformation, are included in operating expenses.

Retail banking & Insurance operating expenses, excluding transformation costs, were up slightly by 0.5% in connection with the development of its activities, resulting in a positive scissors effect. Most of the decrease in operating expenses was concentrated in the Asset & Wealth Management and Corporate & Investment Banking divisions.

The Group headcount dipped 4.5% in relation to 2019, to 100,344 employees on December 31, 2020.

Gross operating income amounted to nearly €6 billion in 2020, a decrease of 9.7% on 2019. Restated for non-recurring items, the cost/income ratio stood at 72.0% in 2020, a deterioration of 1.5 points.

(1) Segment information has been restated for the net contribution of Coface, now isolated in the income statement presentation in net income attributable to equity holders of the parent of -€136 million in 2020 and +€44 million in 2019.

INCOME BEFORE TAX

Groupe BPCE's cost of risk amounted to €3 billion, 2.2 times higher than in 2019 due to increased provisioning of performing loans in the context of the Covid-19 crisis for all business lines, including around 45% of provisions for expected losses. As a percentage of outstanding customer loans, Groupe BPCE's cost of risk is an annual average of 41 basis points. The rate of non-performing loans to gross outstandings was 2.5% on December 31, 2020, a decrease in relation to 2019. The coverage rate for non-performing loans, including collateral on impaired loan outstandings, came to 66.2% on December 31, 2020 *versus* 74.8% on December 31, 2019. In retail banking, the Banque Populaire network has a cost of risk of 34 basis points (19 basis points in 2019) and 30 basis points for the Caisse d'Epargne network (15 basis points in 2019). The cost of risk also deteriorated for Corporate & Investment Banking, with a cost of risk of 126 basis points (49 basis points in 2019).

Gains or losses on other assets amounted to -€144 million in connection with Fidor Bank and H2O.

Most of the change in the value of goodwill in 2019 was due to goodwill impairment on Fidor Bank AG.

NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT

The Group's income tax totaled €1,045 million, a decrease of 40% compared to 2019. The decrease was mainly attributable to the reduction in pre-tax income and in the French ordinary tax rate.

Coface's contribution, now isolated in the income statement presentation, reached a net income of -€136 million in 2020, including the one-off impacts related to the disposal (-€146 million in gains or losses on other assets, -€47 million under the equity method and €56 million in non-controlling interests), compared to +€44 million in 2019.

Net income attributable to equity holders of the parent amounted to €1.6 billion, down by 46.9% compared to 2019.

SOLVENCY

The Common Equity Tier 1 ratio was 16.0% on December 31, 2020 *versus* 15.7% on December 31, 2019.

The change in the Common Equity Tier 1 ratio in 2020 can also be attributed to:

the increase in Common Equity Tier 1 capital, driven in particular by earnings taken to reserves (+30 basis points) and cooperative share inflows (+28 basis points);

the increase in weighted risks (-35 basis points), with the impact of the early implementation of CRR2 allowing a lower weighting of SME exposures (+17 basis points), and the impact of TRIM Corporate at Natixis (-21 basis points).

At 16.0%, Groupe BPCE's Common Equity Tier 1 ratio on December 31, 2020 was significantly higher than the ECB's minimum requirement, as defined by the European Central Bank (ECB) during the 2020 Supervisory Review and Evaluation Process (SREP). The total capital ratio stood at 18.1% on December 31, 2020, *i.e.* above the ECB's minimum requirement.

TLAC (Total Loss Absorbing Capacity) amounted to €101.8 billion at end-December 2020. The TLAC ratio was 23.6% on December 31, 2020 *versus* 23.3% on December 31, 2019 and a target of 21.5% for early 2019, as defined in the TEC 2020 strategic plan.

The leverage ratio came out at 5.6% on December 31, 2020 *versus* 5.3% on December 31, 2019.

LIQUIDITY

Groupe BPCE's total liquidity reserves amounted to €307 billion on December 31, 2020, including €105 billion in available assets eligible for central bank funding, €56 billion in LCR-eligible assets, and €146 billion in liquid assets placed with central banks.

Short-term funding decreased from €127 billion on December 31, 2019 to €106 billion on December 31, 2020.

On December 31, 2020, Groupe BPCE's total liquidity reserves covered 246% of all short-term funding as well as short-term maturities of MLT debt (*versus* 155% at end-2019).

The Liquidity Coverage Ratio (LCR) is well above the regulatory requirements of 100%, standing at 166% on the basis of the average of end-of-month LCRs in the fourth quarter of 2020.

4.3.2 The Group's business lines

The Group has three core businesses:

Retail Banking and Insurance, which is central to the transformation, includes:

- the Banque Populaire network, comprising the fourteen Banques Populaires and their subsidiaries, Crédit Maritime Mutuel, and the Mutual Guarantee Companies;
- the Caisse d'Epargne network, consisting of the fifteen Caisses d'Epargne;

- Financial Solutions and Expertise, a sub-division encompassing the specialized financing activities: Factoring, Leasing, Consumer Financing, Sureties & Financial Guarantees, and the "retail securities" business, in addition to Socfim, BPCE Solutions Immobilières, and Pramex;
- Insurance, a Natixis business line serving the Groupe BPCE networks and their customers;
- Payments, which offers a full range of payment and prepaid solutions to local businesses, online and *via* mobile devices;
- Other Networks, which include Oney Bank and Banque Palatine.

Asset & Wealth Management, a Natixis business line consisting of:

- Asset Management, which operates on several international markets, combining expertise in investment management and distribution;
- Wealth Management, with Natixis Wealth Management, which offers wealth management and financing solutions for large private-sector investors;
- employee savings with "Natixis Interépargne," a top-tier player in employee savings plan management in France.

Corporate & Investment Banking, a division of Natixis:

- Corporate & Investment Banking advises and supports corporate customers, institutional investors, insurance companies, banks, public-sector entities, and financing for the movie industry.

The Corporate center, which primarily includes:

- the Group's central institution and holding companies;

- run-off activities of Crédit Foncier and BPCE International;
- cross-business activities;
- items related to goodwill impairment and the amortization of valuation differences, as these items form part of the Group's acquisition and investment strategy;
- the contribution to the Single Resolution Fund.

Segment reporting for Groupe BPCE has been restated as from the first quarter of 2019 and takes account of the transfer of the subsidiaries Banque de Tahiti, Banque de Nouvelle Calédonie, Société Havraise de Calédonie from Groupe BPCE International to the Caisse d'Épargne network.

The segment information also accounts for changes during the fourth quarter of 2020 to the rules for BPCE SA's re-invoicing of expenses recognized in respect of its duties as a central institution. As a result, and for comparison purposes, the income statement for the retail banking & Insurance and Corporate Center divisions for 2019 were restated.

4.3.3 Income statement by sector

	Retail Banking & Insurance		Asset Management		Corporate & Investment Banking		Corporate center		Groupe BPCE	
<i>in millions of euros</i>	2020	2019 pf	2020	2019	2020	2019	2020	2019 pf	2020	2019 pf
Net banking income	16,457	16,050	3,225	3,760	2,803	3,337	55	447	22,540	23,593
Operating expenses	(10,813)	(10,713)	(2,387)	(2,492)	(2,099)	(2,235)	(1,345)	(1,626)	(16,644)	(17,065)
Gross operating income	5,644	5,337	838	1,268	704	1,102	(1,290)	(1,179)	5,896	6,528
Cost/income ratio	65.7%	66.7%	74.0%	66.3%	74.9%	67.0%	ns	ns	73.8%	72.3%
Cost of risk	(2,042)	(1,028)	(27)	(8)	(819)	(312)	(110)	(18)	(2,998)	(1,365)
Share in income of equity-accounted associates	4	45	1	1	10	10	212	209	227	265
Gains or losses on other assets	10	8	(45)	13		(15)	(109)	(6)	(144)	(1)
Change in the value of goodwill								(88)		(88)
Income before tax	3,615	4,362	768	1,273	(105)	786	(1,296)	(1,083)	2,982	5,338
Income tax	(1,173)	(1,429)	(226)	(353)	33	(212)	321	246	(1,045)	(1,748)
Non-controlling interests (minority interests)	(114)	(87)	(209)	(447)	14	(176)	119	106	(191)	(604)
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT - EXCL. COFACE NET CONTRIBUTION	2,328	2,846	332	473	(57)	397	(858)	(731)	1,745	2,986
Net contribution by Coface							(136)	44	(136)	44
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT	2,328	2,846	332	473	(57)	397	(993)	(687)	1,610	3,030

Net banking income in the Group's three business lines was down 2.9% on 2019, impacted by the health crisis.

Retail banking & Insurance posted solid performances in the second half of the year with the resumption of activities after the first lockdown and less stringent health restrictions in the fourth quarter, as a result of which the division's revenues

increased by 2.5% in 2020. The relative contribution of Retail Banking and Insurance to net banking income, as compared to the contribution of the Group business lines, was 73% versus 14% for Asset & Wealth Management and 13% for Corporate & Investment Banking.

4.3.4 Retail banking & Insurance

	Banques Populaires		Caisses d'Epargne		Financial Solutions and Expertise		Insurance		Payments		Other Networks		Retail banking & Insurance		Change	
<i>in millions of euros</i>	2020	2019 pf	2020	2019 pf	2020	2019 pf	2020	2019	2020	2019	2020	2019 pf	2020	2019 pf	€m	%
Net banking income	6,315	6,305	6,917	6,919	1,134	1,109	901	846	431	423	760	448	16,457	16,050	408	2.5%
Operating expenses	(4,242)	(4,294)	(4,549)	(4,616)	(604)	(628)	(491)	(478)	(391)	(370)	(537)	(326)	(10,813)	(10,713)	(100)	0.9%
Gross operating income	2,072	2,012	2,369	2,303	530	481	410	368	39	52	223	121	5,644	5,337	307	5.8%
Cost/income ratio	67.2%	68.1%	65.8%	66.7%	53.2%	56.6%	54.5%	56.5%	90.9%	87.6%	70.7%	72.9%	65.7%	66.7%	--	(1.0) pt
Cost of risk	(828)	(417)	(914)	(419)	(117)	(79)			2	(2)	(185)	(111)	(2,042)	(1,028)	(1,014)	98.7%
Share in income of equity-accounted associates	20	34					(17)	10			-	1	4	45	(41)	(91.8%)
Gains or losses on other assets	8	3	9	(3)	(1)					-	(6)	7	10	8	2	28.3%
Income before tax	1,273	1,632	1,464	1,881	413	402	393	378	42	50	31	18	3,615	4,362	(747)	(17.1%)

The Retail Banking & Insurance division's income before tax fell by 17.1% compared to 2019, with however the increase in net banking income across almost all of the sub-divisions. Operating expenses (excluding transformation costs) were up 0.5% compared to 2019 due to growth in the sub-divisions' activity. The cost of risk doubled compared to 2019, averaging 35 basis points in 2020.

The Banque Populaire and Caisse d'Epargne networks accounted for 76% of the Retail banking & Insurance division's income before tax in 2020.

BANQUE POPULAIRE BANKS

The Banque Populaire network maintained resilient sales activity in 2020 despite the economic and health context, drawing on the expansion and equipment of its customer base. The Banques Populaires thus recorded an increase of +0.8% in their principal active customers, of which +2.6% for customers stock set up with banking services. The number of active professional customers increased by +0.8%; however, the number of corporate customers fell by -0.6% year-on-year.

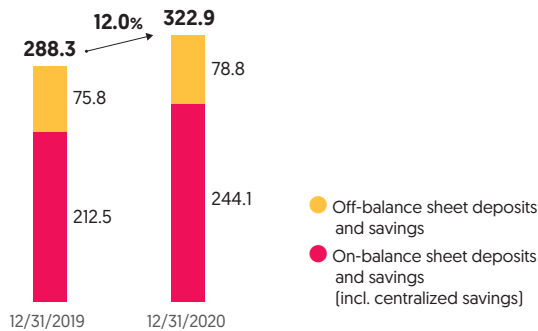
GROWTH OF 14.6% IN ON-BALANCE SHEET DEPOSITS AND SAVINGS (EXCLUDING CENTRALIZED SAVINGS)

The Banques Populaires posted robust inflows in what remained a highly competitive economic environment. On-balance sheet deposits and savings (excluding centralized savings) climbed 14.6% to €229.0 billion. Off-balance sheet deposits and savings totaled €78.8 billion at end-2020 (+4.0%), underpinned by UCI, which increased by €1.7 billion (+11.3%), as well as by life insurance outstandings which rose by €1.1 billion (+2.1%).

Despite the context of the health and economic crisis, deposits increased by +7.7% in the individual customer market and by +17.1% in the professional, corporate, and institutional customer markets.

Risk aversion and the desire to build up precautionary savings during the year 2020 directed the investments of individual customers towards balance sheet savings (+11.6%). Growth was driven by passbook savings accounts (+12.3% to €51.1 billion at end-2020), in particular the Livret Jeune (youth passbook) and ordinary passbook savings accounts, the outstandings of which increased by 14.7% to €23.2 billion, and the Livret A passbook savings account, which grew by +€1.8 billion to €13.6 billion at the end of 2020. Outstandings of LDD sustainable development passbook savings accounts increased by +€0.9 billion (+9.9%) to €9.6 billion at the end of 2020. Demand deposits also contributed to the growth in on-balance sheet savings and deposits over the year, with a substantial increase of €5.4 billion (+18.4%), taking total demand deposit outstandings to €35.0 billion at the end of 2020. Home savings plans PEL/CEL grew by €0.6 billion over the year (+2.9% to €22.0 billion). In view of the low-interest-rate environment, term deposits continued to decline, with outstandings falling by -19.1% to reach €1.2 billion at the end of 2020.

Professional, corporate, and institutional customers made a significant contribution to the growth in on-balance sheet savings. In particular, it continued to favor demand deposits (+32.4% or +€22.2 billion, i.e. outstandings of €90.7 billion at the end of 2020), partly funded by payments from State-guaranteed loans; and passbook savings accounts (+16.9% or +€1.7 billion to €11.9 billion). Term deposits fell by -€3.9 billion or -13.7% to reach €24.8 billion at the end of December 2020.

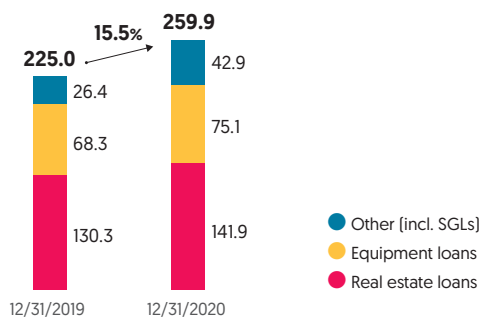
CUSTOMER DEPOSITS AND SAVINGS *(in billions of euros)*

LOAN OUTSTANDINGS UP 15.5% IN AN ENVIRONMENT OF LOW INTEREST RATES

The Banques Populaires consolidated their active role in financing the economy, with an annual increase of +15.5% in loan outstandings to €259.9 billion at end-2020.

The growth in loan outstandings in the individual customer market (+9.3% to €129.6 billion) was buoyed by robust growth in home loan outstandings (+10.0% to €117.7 billion), amid low interest rates which bolstered demand. Consumer loans also contributed to the rise in total loan outstandings, with growth of +3.6% to €11.5 billion at end-2020.

On the professional, corporate, and institutional markets, growth in outstandings was very strong (+22.5%), bringing them to €130.3 billion at the end of 2020, due in particular to State-guaranteed loans, outstandings of which amounted to €16.9 billion at the end of 2020, and equipment loans (+10.2% to €71.4 billion).

LOAN OUTSTANDINGS *(in billions of euros)*

FINANCIAL RESULTS (PRO FORMA VIEW)

The Banque Populaire network's net banking income totaled €6.3 billion in 2020, a slight increase (+0.1%) compared to 2019 (+0.6% excluding the change in the home savings provision).

The interest margin⁽¹⁾ was €3.7 billion, up +89.2 million year-on-year. In an environment of persistently low interest rates, the interest margin was carried by strong momentum in business volumes and a declining cost of inflows, very low or even negative-rate refinancing in the form of TLTROs, and, lastly, compensation measures such as Tiering mechanism, despite the negative impacts of changes in fair value observed on certain financial assets.

Fees were down (-3.4%) to €2.5 billion, specifically account management fees (-14.0%), impacted by the decrease in the number of payment incidents and transaction flows, in the context of the health crisis. However, loan fees and commissions increased (+1.4%), driven by payment protection insurance to +11.3%, as well as payment instrument fees and commissions (+0.7%). Centralized savings fees and commissions recorded a more dynamic trend (+18.4%), as well as financial savings (+4.0%).

Income and expenses from other activities deteriorated (-€7.2 million), due to a favorable 2019 base-line effect for a BRED subsidiary (Sofider subsidy).

Net income from insurance activities, which concern BRED's Prépar Vie and Prépar IARD subsidiaries, increased significantly (+€16.9 million or +12.7%), due to the reversal of provisions on the risk coverage floor guarantee of €16 million.

Operating expenses fell significantly (+€51.4 million, or -1.2%) to -€4.2 billion, reflecting good cost control by the institutions. Payroll expenses were virtually stable (+€3.2 million, *i.e.* -0.1%) at -€2.5 billion amid a reduction in the headcount, particularly in those institutions that had recently merged. Accordingly, Banque Populaire Aquitaine Centre Atlantique, Banque Populaire Auvergne Rhône Alpes, Banque Populaire Grand Ouest, and Banque Populaire Méditerranée together registered a decrease of 439 FTEs. On the other hand, BRED's headcount increased by 96 FTEs, in line with its development needs. The decline in other operating expenses (+€48.1 million, *i.e.* -2.6%) was mainly driven by savings on external services and savings resulting from the health and economic context.

Transformation costs were down significantly to -€32.0 million in 2020 compared to -€80.5 million in 2019 (*i.e.* -60.2%) and are spread across all the institutions, except for CASDEN. The main institutions affected were BRED (-€6.7 million), Crédit Coopératif (-€4.1 million), Banque Populaire du Nord (-€3.3 million), Banque Populaire Auvergne Rhône Alpes (-€3.2 million), and Banque Populaire Rives de Paris (-€3.1 million), bringing the transformation costs of the Banques Populaires network to -20.4 million, or 63.8% of the total.

Gross operating income came out at €2.1 billion, increasing by +3.0%, while the cost/income ratio improved 0.9 of a point to 67.2% in 2020.

(1) Fees and commissions on centralized savings have been restated from net interest income and included in fee and commission income.

The cost of risk doubled to -€828.3 million (vs. -€416.7 million in 2019), as a result of prudent provisioning. In the end, the cost of risk reached 13.12% of GNP (vs. 6.61% in 2019). Divided by loan outstandings, it stood at 34bp in December 2020, up 15bp compared to 2019.

The Banques Populaires contributed €1.3 billion to the retail banking & Insurance division's income before tax, down -22.0% relative to 2019.

CAISSES D'ÉPARGNE

During the financial year, the Caisses d'Épargne kept up a brisk business, with €68 billion in new loans granted to finance the economy, *i.e.* +11% compared to 2019. As a result of the health crisis, the principal active customers decreased by -0.8% over the year 2020. On the other hand, active professional customers grew by +2.3% and active corporate customers by +2.6% compared to 2019, at a slower pace than in previous years.

GROWTH OF 13.8% IN ON-BALANCE SHEET DEPOSITS AND SAVINGS (EXCLUDING CENTRALIZED SAVINGS)

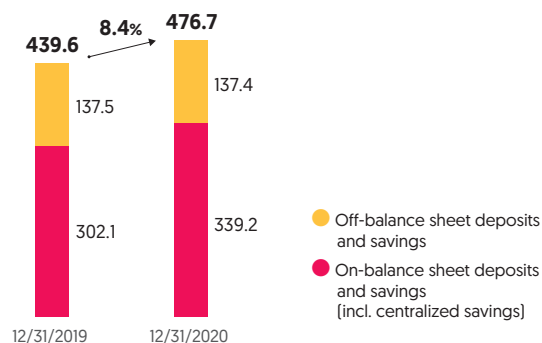
In a still-competitive savings market combined with a health and economic crisis, the Caisses d'Épargne saw their inflows increase significantly compared to 2019, to reach €281.0 billion in on-balance sheet outstandings excluding centralized savings (+13.8% or +€34.1 billion). Outstandings increased by +3.8% in the individual customer market and by +25.7% in the professional, corporate, and institutional customer markets.

Risk aversion and the desire to build up precautionary savings during the year 2020 directed the investments of individual customers towards balance sheet savings. It increased by +6.3% to €230.8 billion (*i.e.* +€13.6 billion) under the combined effect of the growth in outstanding demand deposits to €48.1 billion (+17.6% or +€7.2 billion) and passbook savings accounts, up +5.9% to €118.5 billion (*i.e.* +€6.6 billion). Thus Livret A savings accounts posted a strong increase in outstandings (+5.0% or +€3.6 billion), as did the Livret Jeune and Livret B accounts (+15.6% or +€2.5 billion). In Home Savings, outstandings continued to grow albeit in more limited proportions (+2.5% or +€1.5 billion), mainly due to scheduled payments and capitalization.

Professional, corporate, and institutional customers also made a significant contribution to the growth in balance sheet savings. In these markets, it amounted to €108.4 billion at the end of 2020 (+27.7%, or +€23.5 billion). In particular, it continued to favor demand deposits (+39.3%, or +€18.8 billion, for outstandings of €66.5 billion), partly funded by payments from State-guaranteed loans; passbook savings accounts (+9.9%, or +€1.6 billion to €17.7 billion); and, finally, term deposits (+18.4%, or +€3.2 billion), despite the low-interest-rate environment.

Off-balance sheet deposits and savings were down slightly to €137.4 billion in 2020 (-0.1%), impacted by the decline in mutual fund outstandings (-16.3%, or -€1.0 billion), not offset by the increase in life insurance outstandings (+0.7% or +€0.9 billion).

CUSTOMER DEPOSITS & SAVINGS (in billions of euros)



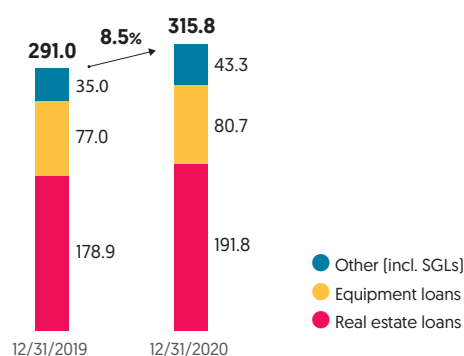
2020: ANOTHER VERY STRONG YEAR FOR LENDING ACTIVITY (+8.5%)

The Caisse d'Épargne network was as committed as ever to its role in funding the economy and the regions, with robust growth in loan outstandings, to €315.8 billion (+8.5% or +€24.8 billion).

Individual customer loan outstandings increased 6.4% on 2019 to €176.2 billion, driven in particular by an upturn in home loans (+7.0% *i.e.* +€10.3 billion), the outstandings of which came to €158.2 billion in 2020, with activity boosted by low interest rates. Consumer loans also contributed to the rise in total loan outstandings, with growth of +2.3% to €17.8 billion at end-2020, showing remarkable resilience for the year in spite of lockdowns.

On the professional, corporate, and institutional customer markets, growth in outstandings was strong (+11.3% or +€14.2 billion), bringing them to €139.6 billion at the end of 2020, due in particular to State-guaranteed loans, outstandings of which amounted to €8.7 billion, as well as home loans at €33.7 billion (+8.1% or +€2.5 billion) and equipment loans at €80.7 billion (+4.8% or +€3.7 billion).

LOAN OUTSTANDINGS (in billions of euros)



FINANCIAL RESULTS (PRO FORMA VIEW)

The Caisse d'Épargne network generated a net banking income of €6.9 billion in 2020, stable compared to 2019, amid an economic and health crisis.

Net interest⁽¹⁾ income fell by -1.7% to €3.8 billion. Restated for the home savings provision, the net interest margin increased by +0.6%. The sales momentum ensured high growth in customer outstandings, producing a positive volume effect on loans to which was added an accelerated decrease in the cost of customer resources, linked to the favorable trend in the structure of outstandings and to the decline in the Livret A rate. Financial investment income was down compared to 2019, penalized by the impact of changes in the fair value of certain financial assets.

Fees and commissions, up +1.1% compared to 2019, were mainly driven by credit activity (+5.8% of which +7.0% on payment protection insurance fees) and fees on payment instruments (+7.2%), while account management fees were down by -10.2%, mainly due to the drop in incidents.

Operating expenses fell -1.5% to -€4.5 billion, reflecting the decrease in headcount, lower variable compensation, and a reduction in expenses on employee benefit obligations. Transformation costs were down to -€40.2 million in 2020 vs. -€51.3 million in 2019 (*i.e.* -21.6%), spread across all Caisses d'Épargne. The main institutions concerned are Caisse d'Épargne Hauts de France (-€9.0 million), Caisse d'Épargne Bretagne Pays de Loire (-€8.2 million), Caisse d'Épargne Provence Alpes Corse (-€5.9 million), and Caisse d'Épargne Rhône Alpes (-€3.3 million), for a cost of -€26.3 million, *i.e.* 65.5% of the total.

As a result, gross operating income stood at €2.4 billion for fiscal year 2020, up +2.9% compared to 2019. The cost/income ratio improved by +1.0 point to 65.8%.

Cost of risk for the Caisses d'Épargne, -€0.9 billion, more than doubled compared to 2019, to take into account the future impacts of the worsening economic environment. In the end, the cost of risk came out at 13.21% of NBI (*vs.* 6.05% in 2019). Divided by loan outstandings, it stood at 30bp in December 2020, up 15bp compared to 2019.

The Caisses d'Épargne contributed €1.5 billion to the Retail banking & Insurance division's income before tax in 2020, down 22.2% compared to 2019.

FINANCIAL SOLUTIONS AND EXPERTISE (SEF)

The Financial Solutions & Expertise businesses continued to grow in 2020, with excellent commercial momentum with the Banque Populaire and Caisse d'Épargne networks, particularly in the first quarter.

Although penalized by the lockdown periods, consumer financing stayed strong, with historic outstandings of €27.6 billion at the end of the year, up +5%. This growth, driven by personal loans, enabled it to gain market share.

The sureties and financial guarantees business also had a record year, with a 16% increase in written premiums. This evolution was driven by home loan guarantees for individual customers (+18%), in line with Groupe BPCE's home loan business and the increased penetration rate within the Banque Populaire network.

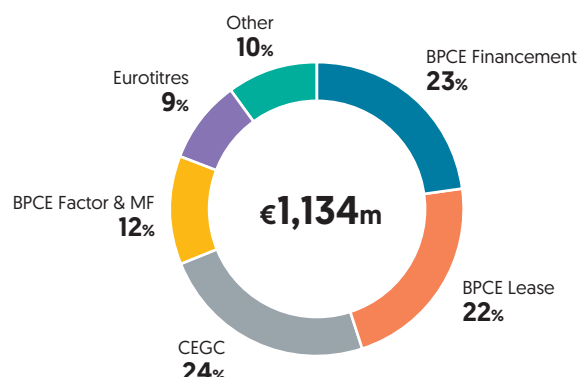
Leasing saw continued growth with the Caisse d'Épargne and Banque Populaire networks, driven by the good level in movable property leasing, with outstandings up 8% year-on-year.

The Securities business was driven by high volatility in the financial markets, which led to a doubling of the number of stock market transactions compared to last year.

Socfin maintained a sustained level of activity, with average outstandings up by 37% over the year.

Finally, factoring showed good resilience in a very unfavorable context. Impacted by the excess liquidity of French companies, revenue factored with the Banque Populaire and Caisse d'Épargne networks decreased by 9% in 2020.

BREAKDOWN OF 2020 SEF NBI BY BUSINESS LINE



The Financial Solutions and Expertise division's net banking income rose by 2.2% to reach €1,134 million at the end of 2020, driven by real estate development financing (+26%), securities custody services (+8%), sureties (mainly real estate loan guarantees) (sureties +6%), as well as leasing (+2%), particularly equipment leasing.

At the same time, the measures taken at the start of the crisis and maintained throughout the year allowed for strict control of expenses, down by 3.9% compared to 2019.

Gross operating income therefore benefited from a positive scissors effect and rose by 10.2%, with a cost/income ratio up by 3.4 pts.

The cost of risk amounted to €117m, an increase of 48.4%, reflecting prudent risk management in the context of the health crisis.

As a result, pre-tax income increased by 2.5% compared to 2019 and stood at €413 million at the end of 2020.

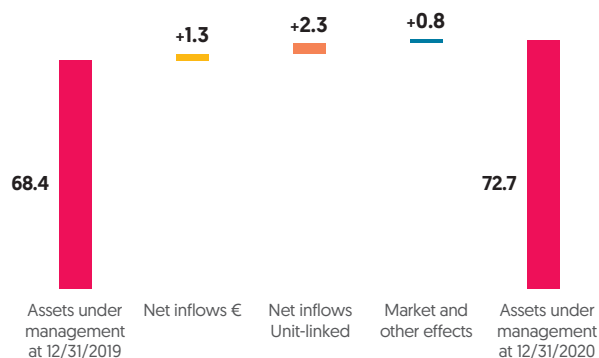
INSURANCE

The year was marked by the Covid-19 pandemic, with the consequence of a significant slowdown in commercial activity during the first lockdown, between March and May.

With €8.1 billion in premiums in direct business, gross inflows from life insurance fell by 19% compared to 2019. Unit-linked premiums amounted to €2.9 billion and represented 35.4% of total gross inflows, an increase of five points compared to 2019 and one point higher than the Market at the end of December. Gross inflows invested in the "Euro" fund decreased by 25% to €5.3 billion.

(1) Fees and commissions on centralized savings have been restated for net interest income and included in fee and commission income.

CHANGE IN LIFE INSURANCE ASSETS UNDER MANAGEMENT, EXCLUDING OUTSTANDINGS RELATED TO CNP (in billions of euros)



At €1,053 million, contributions to Personal Protection and Payment Protection Insurance continued to increase (+6%). Contributions to Personal Protection for individual customers were up by 10%. Payment Protection Insurance was up 5%, with no material impact from the Bourquin amendment or the health crisis.

In non-life insurance, the portfolio grew by 5% year-on-year to reach 6.4 million contracts. Gross sales decreased by 2% due to the health crisis and the impact of lockdowns, yet benefited from the success of the recovery plan put in place in May 2020. Earned premiums increased by 5% over the year, with similar growth in activity on both networks, at €1,654 million.

Net banking income for the Insurance business lines totaled €901 million, up 6.5% compared with 2019, resulting from:

- growth of 11% in NBI in personal insurance, which benefited from the 6% increase in outstandings and was little impacted by the health crisis and the decline in financial markets. The growth in net revenues also attributable to the resistance of the Personal Protection Insurance and Payment Protection Insurance, with a drop in the claims expense for ADE (in connection with the update of final accounts for the previous year) and deterioration in Protection insurance claims due to work cessation guarantees;
- a 3% increase in property & casualty insurance with a decrease in the claims expense for individual customer products on account of the two lockdowns, in particular in the Auto segment. The overall combined ratio stood at 89.2%, an improvement compared to 2019 (89.6%);
- the exceptional contribution to the Solidarity Fund set up by the government of €14 million.

Operating expenses amounted to €491 million, up by 2.5%. This change reflects the implementation of the New Dimension plan: support for business growth and implementation of strategic projects.

Gross operating income rose 11.6% to €410 million.

Net income of associates was impacted by:

- the payment default by Lebanon: an impairment loss of €23 million was recorded on bank-insurer ADIR, which is 34% owned;
- a contribution from BPCE IARD of €5 million (compared to €7 million in 2019), mainly due to the deterioration of claims expenses for operating loss cover for restaurant owners following the health crisis.

PAYMENTS

Activity in 2020, penalized by the health crisis linked to Covid-19, appears to be mixed, the various lockdowns having impacted consumption. The resilience of the Payments business is mainly illustrated by:

(i) the contained drop in Natixis Payment Solutions' legacy e-payment activities of 4.5% in the volume of card payments (after the 19% drop in Q2 2020 compared to Q2 2019);

(ii) the limited decline in Natixis Intertitres' legacy restaurant voucher issuance business (-2.6% of the volume of securities issued compared to 2019), which continued with the ramp-up of digitization and accelerated its commercial development (+13% more beneficiaries compared to 2019), while the other entities (Titres Cadeaux, Comitéo, Lakooz) showed good resistance, allowing a decline in the overall volume of business issued by the Prepaid & Issuing Business Unit at -3%;

(iii) the outperformance of Merchant Solutions Business Unit's e-commerce fintech PayPlug, which recorded growth of 125.2% in its business volume due to its strong commercial development.

Revenues in Payments (€431 million) were up by 1.9% (+€8 million) compared to 2019, with growth mainly driven by historical electronic payment activities as well as the contribution of Fintechs of the Merchant Solutions BU. For the Prepaid & Issuing BU, the good performance of the Gifts business was more than offset by NIT (Natixis Intertitres) revenues, which were penalized by the closure of acceptance sites.

Expenses in the Payments division, at €391 million, were up by 5.7% (+€21 million), in line with the staff and IT investments made, combined with actions taken to control costs.

Overall, gross operating income decreased 25.0% to €39 million.

Income before tax came to €42 million, down 16.8%.

OTHER NETWORKS

ONEY BANK GROUP

Oney Bank's pre-tax income stood at €61 million in 2020. The resilience of its activities in a difficult environment was attributable to the split-payment dynamic in France, the development of partnerships, the gradual increase in activities deployed in recent years, and very good control of expenses. The cost of risk remained contained in 2020.

BANQUE PALATINE

Banque Palatine contributed -€25 million to the division's income before tax, down by 25% compared to 2019. Net banking income down by 1.7%, and slightly lower operating expenses impacted by IT migration costs, led to a decline in gross operating income, down -10% to €76 million.

4.3.5 Asset & Wealth Management

in millions of euros	Asset & Wealth Management			
	2020	2019	Chg. 2020/2019	
			€m	%
Net banking income	3,225	3,760	(535)	(14.2%)
Operating expenses	(2,387)	(2,492)	104	(4.2%)
Gross operating income	838	1,268	(430)	(33.9%)
Cost/income ratio	74.0%	66.3%	--	7.8 pts
Cost of risk	(27)	(8)	(19)	N/S
Share in income of equity-accounted associates	1	1	0	50.1%
Gains or losses on other assets	(45)	13	(57)	N/S
Income before tax	768	1,273	(506)	(39.7%)

Revenues in the Asset & Wealth Management division were down by 13.4% compared to the full-year 2019 at constant exchange rates (-14.2% at current exchange rates), to €3.2 billion.

Expenses decreased by 3.2% at constant exchange rates (-4.2% at current exchange rates) and amounted to €2.4 billion.

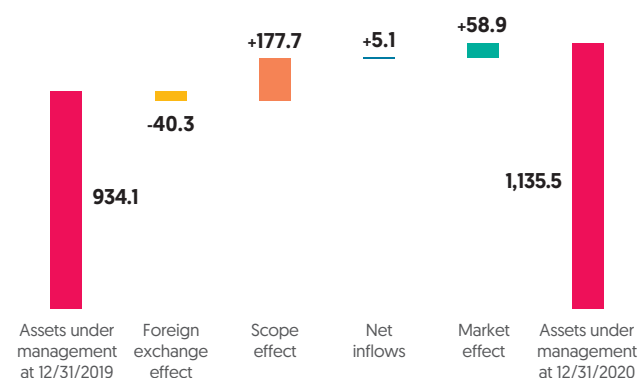
Gross operating income fell by 33.4% at constant exchange rates (-33.9% at current exchange rates) to €0.8 billion.

ASSET MANAGEMENT

Assets under management stood at €1,135.5 billion at the end of December 2020, an increase of 22% at current exchange rates (+27% at constant exchange rates) versus December 31, 2019, underpinned by a very positive scope effect (+€177.7 billion) mainly due to LBPAM contributions, the market effect (+€58.9 billion), and net inflows (+€5.1 billion), partly offset by a negative foreign exchange effect (-€40.3 billion).

YEAR-ON-YEAR CHANGE IN ASSETS UNDER MANAGEMENT

(in billions of euros)



The business line recorded net inflows of €5.1 billion at current exchange rates:

- in the United States, net inflows amounted to €7.4 billion, mainly at Loomis Sales & Co. (+\$13.2 billion, fixed income), at WCM Investment Management (+\$12.4 billion, equity products), and at AEW Capital Management (+\$2.7 billion, real estate products), partially offset by outflows at Harris Associates (-\$19.8 billion, mainly equity products) and Gateway Investment Advisers, LLC (-\$1.6 billion, alternative products);

- Private Equity companies reported net inflows of €2.7 billion;
- the Europe region recorded net outflows of €2.6 billion, with net inflows at Mirova (+€5.5 billion, equity and bond products), AEW Europe (+€1.5 billion, real estate products), and Ostrum (+€1.3 billion, mainly money market products) more than offset by H2O (-€7.3 billion, mainly bond products) and DNCA Finance (-€3.6 billion, diversified and bond products);
- there was a net outflow of funds in Asia (-€1.3 billion), mainly in equity products;
- for Retail, outflows of €1.0 billion mainly relate to Dynamic Solutions on diversified products (-€0.5 billion), structured products (-€0.5 billion), and equities (-€0.4 billion).

Average outstandings of €881.1 billion on December 31, 2020 were up (+3.5% or stable restated for the LBPAM contribution) compared to last year, at constant exchange rates. The rate of return on outstandings, at 26.7 points, was down by 9.4% compared to December 31, 2019 at constant exchange rates, a more limited decline restated for the LBPAM contribution (-6.6%).

On December 31, 2020, net banking income of €2,948.0 million was down by €562.7 million (-16.0%) compared to December 31, 2019 (-15.1% at constant exchange rates) with a scope effect related to LBPAM contributions limited to €4.4 million in 2020. The change in net banking income over one year was penalized by the sharp decrease in performance fees, mainly in Europe at H2O, and to a lesser extent, in management fees in the United States and Europe in connection with the fall in the rate of return, as well as the decline in financial income.

Expenses amounted to €2,156.5 million, down by €94.8 million (-4.2%) compared to December 31, 2019, (-3.2% at constant exchange rates) with an LBPAM scope effect of €5.5 million in 2020. The favorable change in expenses is due to the significant decrease in variable compensation (mainly in the United States, Europe, and the Federation) in line with the change in results and, to a lesser extent, operating expenses. Fixed internal personnel costs were up, driven by the growth in headcount, while premises and logistics were also up compared to 2019.

An additional provision following the announcement of the proposed disposal of the subsidiary H2O was recorded in the fourth quarter on the basis of the estimated capital loss, bringing the total annual impact recorded in losses on other assets to -€47.6 million.

WEALTH MANAGEMENT

The Wealth Management activity recorded net inflows of €919 million in 2020, underpinned mainly by strong activity in the private B-to-B segment thanks to the networks and significant institutional inflows in Luxembourg.

Assets under management stood at €30.7 billion, up 1% year-on-year, supported by inflows that more than offset the negative market effect (very unfavorable market effect recorded in the first quarter).

At the same time, outstanding loans increased by 6% to reach €2.2 billion, with an increase concentrated in France.

In 2020, net banking income totaled €177.8 million, up 19.5% (+€29.0 million) on 2019. This increase can be attributed mainly to strong performance fees, momentum on transaction fees and fees on assets under management, and the resilient financial margin.

Expenses amounted to €153.7 million, down by 2.4% compared to 2019, reflecting the actions implemented to control costs.

EMPLOYEE SAVINGS

Assets under management at the end of December 2020 amounted to €28.2 billion, up by €1.2 billion or 4% compared to December 31, 2019, underpinned by a positive market effect (+0.7 billion) and a favorable investment effect (+0.5 billion).

Average assets under management amounted to €25.8 billion over the year, down (-10%) year-on-year, mainly penalized by the loss of Sanofi assets at the end of 2019.

On December 31, 2020, net banking income at €99.1 million was down by €1.1 million, or -1.1% compared to December 31, 2019, due to the transfer of Car Lease remote sales activities to BPCE Lease from June 2020, partially offset by the increase in net subscription fees (savers' arbitrage).

Expenses amounted to €77 million and were down by €5.9 million or 7.1% compared to December 31, 2019, mainly with lower net IT expenses and lower operating expenses (impact of Covid-19 and cost control efforts).

4.3.6 Corporate & Investment Banking (CIB)

in millions of euros	Corporate & Investment Banking			
	2020	2019	Chg. 2020/2019	
			€m	%
Net banking income	2,803	3,337	(533)	(16.0%)
Operating expenses	(2,099)	(2,235)	136	(6.1%)
Gross operating income	704	1,102	(397)	(36.1%)
Cost/income ratio	74.9%	67.0%	--	7.9 pts
Cost of risk	(819)	(312)	(507)	N/S
Share in income of equity-accounted associates	10	10	(1)	(5.1%)
Gains or losses on other assets		(15)	15	(100.0%)
Income before tax	(105)	786	(890)	N/S

In 2020, Corporate & Investment Banking's net banking income totaled €2,803 million, down 15.3% compared to 2019 at constant exchange rates (-16.0% at current exchange rates).

Capital market revenues totaled €1,085 million in 2020, a decrease of 27.9% compared with 2019 at constant exchange rates.

Revenues from Fixed Income, Forex, Credit, Commodities, and Treasury activities stood at €1,114 million in 2020, stable on 2019 at constant exchange rates. The following changes were observed in each segment:

- income from the Fixed Income and Foreign Exchange activities was up by 2.5% to €325 million, with Fixed Income activities down by 9.4% to €183 million, due to a slowdown in commercial activity, with interest rates remaining low and foreign exchange activities up sharply by 23.5% to €142 million in a context of high currency volatility over the first four months of the year, which generated strong customer demand for hedging;

- revenues from Credit activities were down by 9.1% compared to 2019 at €304 million, penalized by a slowdown in the securitization market in the first half, its recovery in the second half making it possible to minimize the downturn compared to 2019;

- revenues from Repo activities, now split 50/50 between Fixed Income and Equity, amounted to €314 million, down 21% compared to 2019, with business slowing down particularly in the second half following the implementation of the new TRTLO operation by the Central Bank in June offering abundant liquidity.

With negative revenues of €263 million in 2020, the Equity business lines suffered from extreme market conditions in the first half of the year, with very high volatility in the equity markets, and changes in dividend payout policies (cancellations) that strongly affected the exposure of the Equity Derivatives business line.

Revenues in joint venture activities (*i.e.* whose results are also shared between Global Markets and Investment Banking to ensure the alignment of teams) experienced good performance in 2020.

Strategic and Acquisition Financing posted revenue up by 4.7% to €157 million, driven by strong demand for loans, notably through State-guaranteed loans from Corporate customers, which offset the slowdown in the primary market, particularly in the United States.

Bond market syndication recorded revenues of €135 million, up 17.9% compared to 2019 in an extremely dynamic primary bond market over the year and across customer segments.

At €1,300 million, Financing revenues including TTS (Trade & Treasury Solutions) and the cinema financing activities (Coficiné) decreased by 6.5% at constant exchange rates in relation to 2019.

Origination and syndication activities had €189 million in revenues, down 28.2% compared to 2019, impacted by the sharp slowdown in activity in the various sectors: commodities, with an average price per barrel of oil remaining lower than in 2019; Aviation, amid the health crisis; and the real estate financing securitization market in the United States, which remained closed for much of 2020. At €752 million in 2020, revenues from the financing portfolio were almost stable at constant exchange rates. The decline in the interest margin on structured financing portfolio outstandings in a context of reduced origination was mitigated by the increased margin on the Corporate portfolio, supported by a level of drawdown on liquidity lines which increased sharply in the first half and remained high in the second half, and by new loans granted.

Revenues from the ENR (Energy & Natural Resources) Trade Finance activity fell by 13.9% at constant exchange rates to €133 million, hurt by a lower average oil price per barrel than last year, as well as the strategic refocusing done on this activity by choosing to reduce the number of customers.

Revenues from Investment Banking, including M&A activities, were up 8.3% year-on-year at constant exchange rates to €424 million. M&A activity remained dynamic in 2020, particularly in the second half of the year, with annual revenues of €208 million, up 7.5% at constant exchange rates.

In 2020, Corporate & Investment Banking's expenses totaled €2,099 million, down 5.4% at constant exchange rates compared to 2019 (-6.1% at current exchange rates) in line with the decline in variable expenses and increased cost discipline.

Gross operating income totaled €704 million, down 35.6% compared with 2019 at constant exchange rates and 36.1% at current exchange rates. The cost/income ratio stood at 74.9% in 2020, a deterioration of 7.9 points compared to 2019 (67.0%).

At €819 million, the cost of risk was up sharply compared to 2019, including a deterioration in risk on several accounts in the aviation sector and large French corporate customers, as well as the impact of fraud and IFRS 9 provisioning.

Income before tax was negative at €105 million, compared to a positive result of €786 million in 2019 at current exchange rates, which included a capital loss on the disposal of the subsidiary in Brazil for -€14.5 million, recognized in the first quarter of 2019 as an exceptional item in the line item Gains and losses on other assets.

4.3.7 Corporate center

in millions of euros	Corporate center			
	2020	2019 pf	Chg. 2020/2019 pf	
			€m	%
Net banking income	55	447	(392)	(87.8%)
Operating expenses	(1,345)	(1,626)	281	(17.3%)
Gross operating income	(1,290)	(1,179)	(111)	9.4%
Cost of risk	(110)	(18)	(92)	N/S
Share in income of equity-accounted associates	212	209	4	1.7%
Gains or losses on other assets	109	(6)	(103)	N/S
Income before tax	(1,296)	(1,083)	(213)	19.7%

The Corporate center generated income before tax of -€1,296 million in 2020 *versus* -€1,083 million in 2019 (pro forma). In 2020, the Corporate Center included the following activities and items:

- the contribution of the Crédit Foncier Group, which was up by +€17 million. The decrease in net banking income due to the discontinuation of activities was partially offset by a lower expense related to the ineffectiveness of portfolio hedges than in 2019. Operating expenses decreased in line with the cessation of activities, but the cost of risk increased in the health context;

- the contribution of BPCE International, which was down by -€22 million year-on-year, reflecting the slowdown in activity and a base effect in 2019 following the disposal of investments. The cost of risk is impacted by a guarantee provision;
- a decrease in the valuation of assets in investment activities (-€238 million in NBI compared to 2019);
- the contribution of €217 million by CNP Assurances, down €10 million (-4.4%);

- the contribution to the Single Resolution Fund of -€400 million in operating expenses, an increase of -€23 million compared with 2019;
- finally, the division included the contributions of the Group's central institution, BPCE SA group, apart from Natixis'

Corporate Center, income from private equity activities and from various other investment companies, central resource or support companies, and property management companies.

4.3.8 Analysis of the Groupe BPCE consolidated balance sheet

in billions of euros	12/31/2020	12/31/2019*	Change	
			€bn	%
Cash and amounts due from central banks	153.4	80.2	73.2	91.2%
Financial assets at fair value through profit or loss	196.3	210.7	(14.4)	(6.8%)
Hedging derivatives – Positive FV	9.6	9.3	0.3	3.5%
Financial assets at fair value through other comprehensive income	49.6	44.6	5.0	11.2%
Financial assets at amortized cost	863.6	811.8	51.7	6.4%
Loans and receivables due from banks	90.0	89.7	0.4	0.4%
Loans and receivables due from customers	746.8	693.3	53.6	7.7%
Debt securities at amortized cost	26.7	28.9	(2.2)	(7.6%)
Revaluation differences on interest rate risk-hedged portfolios	8.9	7.7	1.3	16.5%
Insurance business investments	124.6	119.0	5.5	4.6%
Current and deferred tax assets and other assets	28.0	25.3	2.7	10.6%
Fixed assets (excluding goodwill)	8.0	8.3	(0.3)	(3.3%)
Goodwill	4.3	4.7	(0.4)	(7.7%)
ASSETS	1,446.3	1,321.6	124.6	9.4%
Amounts due to central banks	0.0	0.0	(0.0)	ns
Financial liabilities at fair value through profit or loss	191.4	193.4	(2.1)	(1.1%)
Hedging derivatives – Negative FV	15.3	15.1	0.2	1.3%
Financial liabilities at amortized cost (excluding subordinated debt)	997.5	875.7	121.7	13.9%
Amounts due to banks	138.4	76.7	61.8	80.6%
Amounts due to customers	630.8	559.7	71.1	12.7%
Debt securities	228.2	239.3	(11.1)	(4.7%)
Revaluation difference on interest rate risk-hedged portfolios	0.2	0.2	0.0	1.9%
Current and deferred tax liabilities and other liabilities	26.3	25.5	0.8	3.2%
Liabilities related to insurance contracts	114.6	110.7	3.9	3.5%
Provisions	6.2	6.2	0.1	0.9%
Subordinated debt	16.4	17.5	(1.1)	(6.4%)
Shareholders' equity	78.4	77.3	1.1	1.4%
Equity attributable to equity holders of the parent	72.7	69.9	2.8	4.0%
Non-controlling interests	5.7	7.4	(1.7)	(22.9%)
LIABILITIES	1,446.3	1,321.6	124.6	9.4%

* Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received.

On December 31, 2020, the consolidated balance sheet of Groupe BPCE totaled €1,446.3 billion, up 9.4% compared with December 31, 2019. The return on assets stood at 12 basis points in 2020.

CHANGES IN SIGNIFICANT ASSET ITEMS

The main asset items are loans and receivables due from customers (51.6% of total assets on December 31, 2020) and banks (6.2%), financial assets at fair value through profit or loss (13.6%), cash and net balance of accounts with central banks

(10.6%), and insurance business investments (8.6%). Taken together, these items account for nearly 90.7% of the Group's assets.

CASH AND AMOUNTS DUE FROM CENTRAL BANKS

Cash and central bank accounts amounted to €153.4 billion on December 31, 2020, up by 91.2% compared to December 31, 2019 (€80.2 billion). This change is mainly due to the increase in balances with central banks (+€73.2 billion).

FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

These financial assets include negotiated transactions for trading. Total financial instruments measured at fair value through profit or loss increased by €14.4 billion compared to December 31, 2019. This includes:

- a decrease in securities received under repurchase agreements from customers (–€11.1 billion);
- a decrease in shares and other equity instruments held for trading (–€4.7 billion);
- a decrease in securities and assets purchased under resale agreements from banks for trading purposes (–€3.9 billion);
- an increase in Treasury bills and equivalent (+€4.9 billion).

LOANS AND RECEIVABLES DUE FROM BANKS

Loans and receivables due from banks (net of provisions) amounted to €90.0 billion on December 31, 2020, up by €0.4 billion *versus* December 31, 2019. They are broken down between security deposits paid at amortized cost, term loans and advances and demand loans and advances. Non-performing loan outstandings and recognized impairments were relatively stable over the period.

LOANS AND RECEIVABLES DUE FROM CUSTOMERS

Loans and receivables due from customers are comprised of customer loans, finance leases, factoring, and repurchase agreements. Net outstanding loans and receivables due from customers amounted to €746.8 billion, up €53.6 billion over the fiscal year (+7.7%). This change was mainly due to the good performance of the Group's businesses, in particular retail banking & Insurance. This performance can be attributed to the Banque Populaire network for +€34.7 billion and the Caisse d'Épargne network for +€25.0 billion. This momentum was mainly propelled by short-term credit facilities (+€30.8 billion) under the effect of the State-guaranteed loan mechanism; home loans (+€19.0 billion); and equipment loans (+10.8 billion). Other customer loans saw a decline of –€1.5 billion. Non-performing loans accounted for 2.5% of gross loan outstandings on December 31, 2020.

INSURANCE BUSINESS INVESTMENTS

These financial assets comprise available-for-sale investments, including investments at fair value through profit or loss, loans and receivables due from customers, and the shares held by cedents and retrocessionaires in liabilities related to insurance policies and financial contracts. This portfolio totaled €124.6 billion on December 31, 2020 *versus* €119.0 billion in fiscal year 2019. The increase of €5.5 billion reflects the good business performance (+4.6%). 2020 saw strong momentum across all insurance segments. Natixis, which accounted for 89.8% of outstandings on December 31, 2020, recorded inflows of €8.3 billion in life insurance, while its non-life and provident insurance activities saw gains of +4.9% and +9.9% respectively.

CHANGES IN SIGNIFICANT LIABILITY ITEMS

FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

On the liabilities side, this portfolio consists of debt instruments carried at fair value at the reporting date, with an offsetting entry on the income statement. On December 31, 2020, these liabilities amounted to €191.4 billion, down by €2.1 billion (–1.1%) over the period. This change is due to the decrease in financial liabilities held for trading (–€7.9 billion) and debt securities designated at fair value through profit or loss (–€2.4 billion). In addition, 2019 is amended to reflect the presentation of premiums on options payable or receivable in the amount of –€8.1 billion.

AMOUNTS DUE TO BANKS

Amounts due to banks consist mainly of term borrowings and to a lesser extent current accounts. They amounted to €138.4 billion, representing a strong increase of €61.8 billion over the year (+80.6%). This change mainly includes the increase in term loans and deposits with credit institutions (+€57.9 billion) including long-term refinancing operations (TLTRO3) and, to a lesser extent, the increase in repurchase agreements to banks (+€3.6 billion).

AMOUNTS DUE TO CUSTOMERS

Amounts due to customers mainly comprise regulated savings accounts, current accounts in credit, customer accounts and repurchase agreements. They totaled €630.8 billion on December 31, 2020, an increase of €71.1 billion compared to December 31, 2019. This increase can mainly be broken down as follows:

- a sharp increase in current accounts in credit (+€55.3 billion);
- higher investments in regulated savings accounts (+€17.7 billion), underpinned by inflows from Livret A passbook savings accounts (+€6.8 billion), Livret B passbook savings accounts (+€7.3 billion), LDD Sustainable Development passbook (+€2.0 billion) and a strong performance in home savings plans (+€1.8 billion);
- an increase in other debts due to customers (factoring) (+€1.3 billion).

DEBT SECURITIES

These are mainly comprised of bonds, certificates of deposit, treasury notes, commercial paper and senior non-preferred debt. These debts amounted to €228.2 billion on December 31, 2020, down by €11.1 billion compared to fiscal year 2019. This change was mainly due to the decline in certificates of deposit (–€12.3 billion) and commercial paper (–€3.2 billion), which was only slightly offset by an increase in Outstanding Senior Non-Preferred Debt (+€3.8 billion);

LIABILITIES RELATED TO INSURANCE CONTRACTS

This category mainly includes technical liabilities relating to insurance contracts and financial contracts. These debts amounted to €114.6 billion on December 31, 2020, an increase of +€3.9 billion. It was increased by +€3.3 billion respectively by technical debts relating to insurance contracts and, to a lesser extent, by profit-sharing of +€0.7 billion.

SHAREHOLDERS' EQUITY

Equity attributable to equity holders of the parent totaled €72.7 billion on December 31, 2020 compared to €69.9 billion on December 31, 2019. This increase resulted from:

- net income for the period: +€1.6 billion;
- changes in shares of +€1.2 billion (+€743 million for the Banque Populaire network and + €448 million for the Caisse d'Épargne network) of which +€230 million corresponding to dividends paid in shares;
- -€337 million in dividends paid, of which -€129 million by the Banque Populaire network and -€208 million by the Caisse d'Épargne network.

4.4 BPCE SA group financial data

4.4.1 BPCE SA group results

BPCE SA group's income is calculated after restating the contribution of non-consolidated entities.

In 2020, the transition from Groupe BPCE's net income to BPCE SA group's net income can be broken down as follows:

<i>in millions of euros</i>	2020
Groupe BPCE net income - excl. Coface net contribution	1,745
Entities not consolidated or consolidated under a different method*	(1,508)
Other items	(14)
BPCE SA group net income - excl. Coface net contribution	223

* Including the Banques Populaires, Caisses d'Épargne and their consolidated subsidiaries

BPCE SA group posted pro forma net income attributable to equity holders of the parent of €223 million. Down by €444 million on a pro forma basis compared to 2019, it reflects the impact of the Covid-19 health crisis and a prudent provisioning policy.

	Retail Banking & Insurance		Asset Management		Corporate & Investment Banking		Corporate center		BPCE SA group	
<i>in millions of euros</i>	2020 pf	2019 pf	2020	2019	2020	2019	2020 pf	2019 pf	2020 pf	2019 pf
Net banking income	3,175	2,780	3,225	3,760	2,803	3,337	563	724	9,766	10,600
Operating expenses	(2,013)	(1,810)	(2,387)	(2,492)	(2,099)	(2,235)	(1,548)	(1,888)	(8,047)	(8,425)
Gross operating income	1,162	969	838	1,268	704	1,102	(985)	(1,164)	1,719	2,175
Cost/income ratio	63.4%	65.1%	74.0%	66.3%	74.9%	67.0%	ns	ns	82.4%	79.5%
Cost of risk	(250)	(149)	(27)	(8)	(819)	(312)	(108)	(20)	(1,204)	(489)
Share in income of equity-accounted associates	(17)	11	1	1	10	10	212	209	206	231
Gains or losses on other assets	(7)	7	(45)	13	(0)	(15)	(111)	(15)	(163)	(10)
Change in the value of goodwill								(82)		(82)
Income before tax	889	839	768	1,273	(105)	786	(993)	(1,073)	558	1,825
Income tax	(263)	(275)	(226)	(353)	33	(212)	314	277	(142)	(563)
Non-controlling interests (minority interests)	(110)	(78)	(209)	(447)	14	(176)	113	106	(193)	(595)
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT - EXCL. COFACE NET CONTRIBUTION	515	486	332	473	(57)	397	(567)	(690)	223	667

In Retail Banking & Insurance, net income attributable to equity holders of the parent increased by €29 million compared to 2019, driven by the improvement in the results of the Financial Expertise Solutions and Insurance sub-divisions.

The Asset & Wealth Management division, with a result of €332 million, was down by 29.8% compared to 2019.

Corporate & Investment Banking posted net income of -€57 million.

The Corporate center's net income attributable to equity holders of the parent included the contributions of the BPCE SA group central institution, Natixis, Groupe Crédit Foncier, and BPCE International, as well as the -€207 million contribution to the Single Resolution Fund.

4.4.2 Analysis of BPCE SA group's consolidated balance sheet

in billions of euros	12/31/2020	12/31/2019 ⁽¹⁾	Change	
			€bn	%
Cash and amounts due from central banks	148.7	72.6	76.1	104.8%
Financial assets at fair value through profit or loss	190.8	204.8	(13.9)	(6.8%)
Hedging derivatives – Positive FV	7.9	7.9	-	0.4%
Financial assets at fair value through other comprehensive income	17.8	17.1	0.7	4.0%
Financial assets at amortized cost	335.0	321.7	13.3	4.1%
Loans and receivables due from banks	149.9	129.4	20.5	15.8%
Loans and receivables due from customers	171.2	177.3	(6.1)	(3.4%)
Debt securities at amortized cost	13.9	15.0	(1.1)	(7.6%)
Revaluation differences on interest rate risk-hedged portfolios	6.8	6.0	0.8	13.5%
Insurance business investments	117.1	111.8	5.3	4.8%
Current and deferred tax assets and other assets	17.9	15.6	2.3	14.8%
Fixed assets (excluding goodwill)	3.1	3.3	(0.2)	(6.0%)
Goodwill	3.7	4.1	(0.4)	(8.8%)
ASSETS	848.9	764.9	84.0	11.0%
Amounts due to central banks	0.0	0.0	-	ns
Financial liabilities at fair value through profit or loss	199.6	200.1	(0.5)	(0.2%)
Hedging derivatives – Negative FV	10.0	10.1	(0.1)	(0.7%)
Financial liabilities at amortized cost (excluding subordinated debt)	471.2	387.8	83.3	21.5%
Amounts due to banks	208.3	113.1	95.2	84.2%
Amounts due to customers	50.7	50.2	0.5	1.1%
Debt securities	212.2	224.6	(12.4)	(5.5%)
Revaluation difference on interest rate risk-hedged portfolios	0.2	0.2	-	7.9%
Current and deferred tax liabilities and other liabilities	16.3	16.0	0.3	2.0%
Liabilities related to insurance contracts	106.9	103.0	3.9	3.8%
Provisions	2.6	2.7	-	(0.8%)
Subordinated debt	16.2	17.3	(1.1)	(6.4%)
Shareholders' equity	25.8	27.7	(1.9)	(6.8%)
Equity attributable to equity holders of the parent	20.2	20.4	(0.2)	(0.8%)
Non-controlling interests	5.6	7.3	(1.7)	(23.4%)
LIABILITIES	848.9	764.9	84.0	11.0%

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received.

On December 31, 2020, the consolidated balance sheet of BPCE SA group totaled €848.9 billion, up 11.0% compared with December 31, 2019.

The growth in the balance sheet reflects the disparity between the increase in financial assets at fair value through profit or loss (+€76.1 billion), loans and receivables due from credit institutions recorded at amortized cost (+€20.5 billion), and insurance investments (+€5.3 billion); to the detriment of financial assets at fair value through profit or loss (-€13.9 billion) and loans and receivables due from customers (-€6.1 billion).

Moreover, Equity attributable to equity holders of the parent totaled €20.2 billion on December 31, 2020, representing a slight decrease compared to December 31, 2019. The change over the period was mainly due to:

- the incorporation of income for the period: +€0.2 billion;
- dividends paid: -€0.9 billion;
- a change in share capital: +€0.3 billion;
- the impact of acquisitions and disposals on non-controlling interests: +€0.4 billion;
- changes in gains and losses recognized directly in other comprehensive income: -€0.1 billion.

4.5 Investments

4.5.1 In 2020

BPCE made no material investments (*i.e.* investments of more than €1 billion requiring the approval of the qualified majority of the Supervisory Board) during the fiscal year.

4.5.2 In 2019

Acquisition by BPCE of Natixis SA's Factoring, Sureties & Guarantees, Leasing, Consumer Finance and Securities Services business lines for €2.7 billion on March 31, 2019.

Acquisition by BPCE of a 50.1% stake in Oney Bank SA from Auchan Holding for €371 million on October 20, 2019.

4.5.3 In 2018

BPCE made no material investments (*i.e.* investments of more than €1 billion requiring the approval of the qualified majority of the Supervisory Board) during the fiscal year.

4.6 Post-balance sheet events

On February 9, 2021, Groupe BPCE announced a plan to simplify its organization. With this in mind, BPCE SA, the majority shareholder of Natixis SA, will acquire the 29.3% of the share capital of Natixis SA that it does not hold and file a

simplified takeover bid with the French Financial Markets Authority (AMF). The simplified takeover bid will, where applicable, be followed by a squeeze-out if implementation conditions are met.

4.7 Outlook for Groupe BPCE

4.7.1 2021 Outlook: a still partial and uncertain mechanical rebound

In 2021, the path of economic recovery in developed countries remains very uncertain and vulnerable, particularly to a recurring upsurge in Covid-19 with a risk of the virus mutating and, consequently, new lockdowns, especially in Europe, even if vaccination programs promise herd immunity to the disease. However, the more or less rapid implementation of these programs, depending on the country, would accentuate the strong geographical heterogeneity of the economic impact of the pandemic, as France, for example, would not be able to achieve this immunity before the beginning of 2022. It is therefore unlikely that the pre-crisis level of activity in Western economies will be restored before 2022, especially since more lockdowns in Europe and France, even if they are more flexible or shorter than before, will affect increasingly weakened economies. In addition, health and economic uncertainty, by continuing at least into the first half of the year, or even by materializing potentially deflationary "stop and go" mechanisms, would naturally lead to more restrictive spending behavior. For households, this translates into a desire to save more as a precaution, to protect themselves against a possible loss of jobs, and, for companies, in a decrease in investment and a reduction in costs, often in the form of a reduction in headcount.

In the proposed trend scenario, global GDP would grow by 4.9% after -3.8% in 2020, exceeding its level of 2019 mainly thanks to the Asian rebound in general and China in particular. China is expected to return to a growth rate close to that of 2019, despite fears about corporate debt and the rise of the yuan. The United States, which remains constrained by a persistent epidemic, would benefit from the depreciation of the dollar and especially from the new fiscal stimulus, or even the adoption of an even more ambitious recovery plan, thanks to political support from the Biden administration. The combination of unlimited monetary policy easing by central banks and the prospect of huge fiscal stimulus, in a lasting environment of extremely low interest rates (still close to zero), would support the mechanical recovery expected on both sides of the Atlantic, especially starting in the second half of the year, once the measures to contain a new epidemic have passed.

The outflow of liquidity, accentuated by the ECB with the amplification of its Pandemic Emergency Purchase Program, and the absence of a hike in key rates would only allow an insignificant rise in long-term rates, despite the economic improvement and the slight increase in inflation, which are mainly oil-related. Oil prices would, in fact, be driven to around \$55 per barrel by the renewal of the OPEC+ agreement to cut oil production. The risk of deflation, which is more likely in Europe than in the United States, still appears to be higher than the risk of any resurgence of real inflation this year, apart from the probable emergence of financial and real estate bubbles. Real long-term interest rates should remain negative, eliminating any risk of a "snowball" effect on public debt.

French growth is unlikely to return to its pre-crisis level in 2021, with its mechanical and partial rebound being closer to 5% than to 7%, despite the stimulus from the recovery plan, amounting to one point of GDP. This incomplete catch-up would be far from wiping out the previous loss of wealth of about -8.2%, leading to major risks of a lack of social understanding. In particular, we are likely to see a surge in the unemployment rate (10.6%), which is often a delayed consequence of the economic situation. This surge would then be clearly out of step with the apparent recovery in economic activity. This perception would fuel a prolonged behavior of precautionary savings, if not a social ferment to be stopped. The household savings rate already exceeded 20% of their income last year, this sharp increase being mainly due to involuntary (forced) savings, linked to the difficulty of consuming during the two lockdowns. A substantial mechanical decline is expected in 2021, but not enough to boost activity more clearly, remaining at a high level of close to 17% (compared to 14.9% in 2019). This wait-and-see attitude would also be motivated by prudence and health uncertainty, and even by a decline in more essential spending, despite the relative strength of purchasing power. Despite the deterioration in the labor market, the latter would still benefit from the various aid mechanisms put in place by the State and a moderate rise in inflation to around 1%, in line with the economic improvement and the rise in oil prices.

Productive investment by companies fell less than GDP in 2020, thanks to the preservation of liquidity reserves through credit. Supported by the stimulus plan, it should rebound cautiously, due to the weakening of the cash position, the need for massive capital reinforcement, and a traditional effort to tighten costs and even reduce debt after such a shock. Finally, despite the restrictions on mobility weighing on tourism and the aeronautics industry, the contribution from the outside world is expected to gradually improve, due to the upturn in global trade and the European economy. In addition, emergency measures on an unprecedented scale, followed by the ramp-up of the recovery plan, combined with the weakness of economic recovery, will continue to significantly deteriorate the State's deficit and debt.

OUTLOOK FOR THE GROUP AND ITS BUSINESS LINES

After a year impacted by the global health emergency caused by Covid-19, and its consequences on almost all sectors of the real economy, 2021 could bring an exit from the crisis carried by the hope of a medical solution. However, alongside a recovery in supply and demand, 2021 should also be a year of transition, adaptation and even survival for many economic players, requiring solutions to meet the new needs that have emerged during the crisis.

In a context of uncertainties, but also of opportunities, Groupe BPCE has begun preparing its future strategic plan, which will be communicated in 2021.

The Group will have to deal with numerous challenges that were already affecting the banking sector prior to the crisis: the low level of interest rates, which has become structural and is weighing on the revenues of various banking and insurance products; the new social order, with changes in society and people's life paths, a return to the local level, fostering the development of players rooted in regional territories, the search for meaning, and increased client expectations regarding social and environmental responsibility; technological upheavals, which open up new opportunities and impose new standards; and also regulations, spurring the emergence of new players (DSP2), strengthening bank capital requirements (Basel IV), and heightening the protection of customer data (GDPR).

The Group will position itself to tackle the new questions emerging from the Covid-19 crisis: the global health crisis raises questions about globalization, the state of healthcare systems and the connection to sustainability issues; the halting of most traffic flows raised questions about consumption patterns and the nature of production chains; and finally, the crisis in the real economy raises questions about the way companies are financed and the role of the State in the economy.

A host of unanswered questions remains in terms of the duration and extent of the expected disruptions to come, particularly on the health and economic fronts. However, the current crisis will have permanently anchored certain accelerations and shifts in trends, in particular the transformations linked to remote consumption patterns, increased attention to the health sector and the environment, the future of work, and the strengthening of government action.

In this context, the Group's strategic plan will focus on the growth and development of its businesses by asserting their "essential" character and their ethical positioning, by supporting the regions, individual customers and companies, in particular with regard to retailers. challenges of environmental transition and health financing, and by supporting the economy alongside public authorities.

The Group will explore ways to improve its performance and ensure it is sustainable, by strengthening its operational efficiency through economies of scale and pooling, through digitalization and automation, and by developing data usage.

The Group will seek to maintain strong fundamentals in terms of financial resilience (solvency and liquidity) and be able to absorb the likely growth in the cost of risk in a context of pressure on revenues.

Its strategic project will also focus on new modes of remote interaction with customers, while maintaining proximity, and the ramp-up in future ways of working.

Lastly, the Group will be attentive to consolidation trends in Europe, particularly in businesses requiring sufficient critical mass to ensure their profitability.

DEFINITIONS AND NOTES ON METHODOLOGY

OPERATING EXPENSES

Operating expenses are the aggregation of operating expenses as presented in the registration document (Note 4.7 to the Groupe BPCE consolidated financial statements) and "Depreciation, amortization and impairment of property, plant and equipment and intangible assets."

COST OF RISK

Cost of risk is expressed in basis points and measures the level of risk by business division, as a percent of the volume of loan outstandings. It is calculated by dividing the net allowance for credit risk over the period by gross customer loan outstandings at the start of the period.

LOAN OUTSTANDINGS, CUSTOMER SAVINGS AND DEPOSITS

The following restatements were carried out for the transition from accounting capital to loan outstandings and customer savings & deposits:

- customer savings and deposits: outstandings exclude debt securities (certificates of deposit and savings bonds);
- loan outstandings: outstandings exclude equivalents of loans and receivables due from customers and other financial activity equivalents.

SOLVENCY

Common Equity Tier 1 is determined in accordance with the applicable CRR/CRD IV rules after deduction, on the supervisor's instructions, of irrevocable payment commitments; non phased-in capital is presented without applying phase-in measures. – Additional Tier 1 capital includes subordinated debt issues which have become ineligible for deferred tax assets, capped at the phase-out rate in force. – The leverage ratio is calculated using the rules of the Delegated Act published by the European Commission on October 10, 2014, without phase-in arrangements. Securities financing operations carried out with clearing houses are offset on the basis of the criteria set forth in IAS 32, without consideration of maturity and currency criteria. Subsequent to the ruling of the European Court of Justice on July 13, 2018, Groupe BPCE once again applied for ECB approval to exclude centralized regulated savings from the calculation of the ratio's denominator.

TOTAL LOSS ABSORPTION CAPACITY

The amount of liabilities eligible for the TLAC numerator is determined in accordance with our interpretation of the FSB term sheet published on November 9, 2015, "Principles on Loss-Absorbing and Recapitalisation Capacity of G-SIBs in Resolution." This amount is comprised of the following four items:

- Common Equity Tier 1 capital, in accordance with applicable CRR/CRD IV rules;
- Additional Tier 1 capital, in accordance with applicable CRR/CRD IV rules;
- Tier 2 capital, in accordance with applicable CRR/CRD IV rules;
- subordinated debt not recognized in the above categories, with a residual maturity of more than 1 year, *i.e.*:
 - the share of AT1 instruments not recognized in capital (*i.e.* taken in phase-out),
 - the share of the prudential discount on Tier 2 instruments with a residual maturity of more than 1 year,
 - the nominal amount of senior non preferred debt with a maturity of more than 1 year.

Eligible amounts vary somewhat from the amounts included in the numerator of solvency ratios; these eligible amounts are determined in accordance with the principles of the FSB term sheet of November 9, 2015.

LIQUIDITY

Total liquidity reserves include:

- central bank-eligible assets: ECB-eligible securities not eligible for the LCR, taken for their ECB valuation (after ECB haircut), securities held (securitization and covered bonds) that are available and ECB-eligible, taken for their ECB valuation (after ECB haircut) and private debt available and eligible for central bank funding (ECB and Federal Reserve), net of central bank funding;
- LCR eligible assets comprising the Group's LCR reserve taken for their LCR valuation;
- liquid assets placed with central banks (ECB and the Federal Reserve), net of US MMF (Money Market Funds) deposits, plus fiat money.

Short-term funding comprises funding with an initial maturity of less than or equal to 1 year, and the short-term maturities of medium-/long-term debt comprise debt with an initial maturity of more than 1 year maturing within the next 12 months.

The following adjustments were made to customer deposits:

- addition of issues placed by the Banque Populaire and Caisse d'Epargne networks with customers, and certain transactions carried out with counterparties considered equivalent to customer deposits;
- removal of short-term deposits by certain financial customers collected by Natixis in its brokerage activities.

FINANCIAL REPORT

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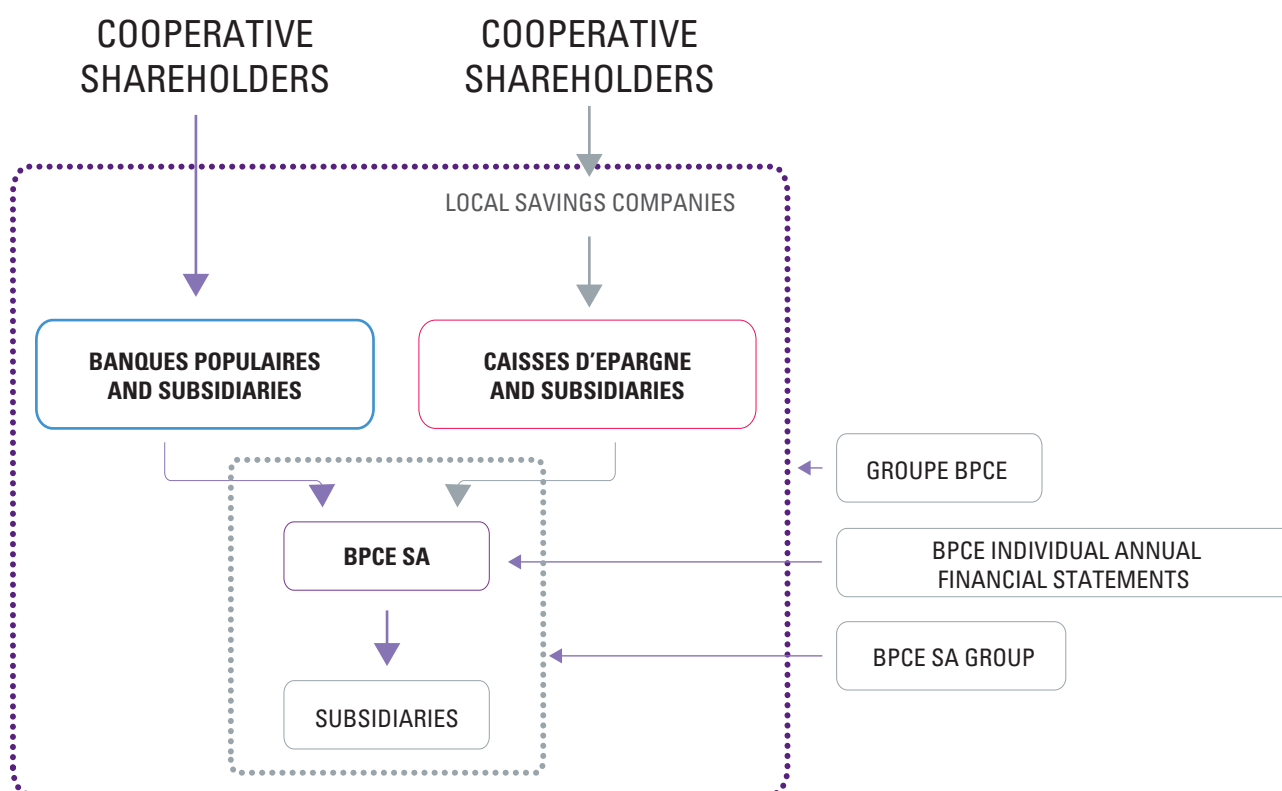


Groupe BPCE and BPCE SA group scopes of consolidation

The scope of consolidation of both groups, organized around the central institution, is presented in the diagram below.

In addition to BPCE SA group, Groupe BPCE includes the Banques Populaires, the Caisses d'Epargne and their respective subsidiaries.

BPCE SA group comprises BPCE and its subsidiaries. The main difference in terms of consolidation perimeter stems from the contributions of the parent companies, which do not contribute to BPCE SA group's net income.



5.1 IFRS Consolidated Financial Statements of Groupe BPCE as at December 31, 2020

5.1.1 Consolidated income statement

<i>in millions of euros</i>	<i>Notes</i>	Fiscal year 2020	Fiscal year 2019
Interest and similar income	4.1	22,295	24,145
Interest and similar expenses	4.1	(13,125)	(15,485)
Commission income	4.2	10,802	11,607
Commission expenses	4.2	(1,615)	(2,022)
Net gains or losses on financial instruments at fair value through profit or loss	4.3	1,140	2,223
Net gains or losses on financial instruments at fair value through other comprehensive income	4.4	230	198
Net gains or losses arising from the derecognition of financial assets at amortized cost	4.5	18	11
Net income from insurance businesses	9.2.1	2,550	3,306
Income from other activities	4.6	1,120	1,316
Expenses from other activities	4.6	(875)	(994)
Net banking income		22,540	24,305
Operating expenses	4.7	(15,327)	(16,309)
Depreciation, amortization and impairment for property, plant and equipment and intangible assets		(1,317)	(1,273)
Gross operating income		5,896	6,722
Cost of credit risk	7.1.1	(2,998)	(1,367)
Operating income		2,898	5,355
Share in net income of associates and joint ventures	12.4.2	180	265
Gains or losses on other assets	4.8	(289)	1
Change in the value of goodwill			(84)
Income before tax		2,789	5,538
Income tax	11.1	(1,045)	(1,801)
Net income		1,744	3,737
Non-controlling interests	5.16.1	(134)	(707)
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT		1,610	3,030

5.1.2 Comprehensive income

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Net income	1,744	3,737
Items recyclable to net income	(184)	912
Foreign exchange rate adjustments	(410)	175
Revaluation of financial assets at fair value through other comprehensive income recyclable to profit or loss	98	237
Revaluation of available-for-sale financial assets of insurance businesses	259	476
Revaluation of derivatives hedging items that can be recycled to profit or loss	(35)	100
Share of gains and losses of associates recognized directly in other comprehensive income	1	184
Related taxes	(97)	(261)
Items not recyclable to net income	40	(103)
Revaluation (or actuarial gains and losses) in respect of defined-benefit plans	4	(240)
Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss	(23)	(235)
Revaluation of equity financial assets recognized at fair value through other comprehensive income	49	282
Share of gains and losses of associates recognized directly in other comprehensive income	(4)	(9)
Other items recognized through other comprehensive income on items not recyclable to profit or loss		1
Related taxes	14	98
GAINS AND LOSSES RECOGNIZED DIRECTLY IN OTHER COMPREHENSIVE INCOME	(144)	810
COMPREHENSIVE INCOME	1,600	4,546
Attributable to equity holders of the parent	1,504	3,706
Non-controlling interests	96	840

For information, items not recyclable to profit or loss transferred to retained earnings amounted to -€31 million for 2020 and +€110 million for 2019.

5.1.3 Consolidated balance sheet

ASSETS

<i>in millions of euros</i>	Notes	12/31/2020	12/31/2019
Cash and amounts due from central banks	5.1	153,403	80,244
Financial assets at fair value through profit or loss ⁽¹⁾	5.2.1	196,260	210,679
Hedging derivatives	5.3	9,608	9,286
Financial assets at fair value through other comprehensive income	5.4	49,630	44,630
Securities at amortized cost	5.5.1	26,732	28,922
Loans and receivables due from banks and similar at amortized cost	5.5.2	90,018	89,656
Loans and receivables due from customers at amortized cost	5.5.3	746,809	693,257
Revaluation differences on interest rate risk-hedged portfolios		8,941	7,673
Insurance business investments	9.1.1	124,566	119,046
Current tax assets		747	864
Deferred tax assets	11.2	3,667	3,597
Accrued income and other assets ⁽¹⁾	5.6	16,366	15,998
Non-current assets held for sale	5.7	2,599	578
Investments in associates	12.4.1	4,586	4,247
Investment property	5.8	770	769
Property, plant and equipment	5.9	6,222	6,448
Intangible assets	5.9	1,038	1,089
Goodwill	3.5.1	4,307	4,665
TOTAL ASSETS		1,446,269	1,321,648

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

LIABILITIES

<i>in millions of euros</i>	Notes	12/31/2020	12/31/2019
Financial liabilities at fair value through profit or loss ⁽¹⁾	5.2.2	191,371	193,448
Hedging derivatives	5.3	15,262	15,068
Debt securities	5.10	228,201	239,341
Amounts due to banks and similar	5.11.1	138,416	76,653
Amounts due to customers	5.11.2	630,837	559,713
Revaluation differences on interest rate risk-hedged portfolios		243	238
Current tax liabilities		485	788
Deferred tax liabilities	11.2	1,239	1,400
Accrued expenses and other liabilities ⁽¹⁾	5.12	22,662	22,789
Liabilities associated with non-current assets held for sale	5.7	1,945	528
Liabilities related to insurance policies	9.1.2	114,608	110,697
Provisions	5.13	6,213	6,156
Subordinated debt	5.14	16,375	17,487
Equity		78,412	77,341
Equity attributable to equity holders of the parent		72,683	69,909
Share capital and additional paid-in capital	5.15.1	27,481	26,740
Retained earnings		42,547	38,972
Gains and losses recognized directly in other comprehensive income		1,045	1,168
Income for the period		1,610	3,030
Non-controlling interests	5.16	5,728	7,431
TOTAL LIABILITIES AND EQUITY		1,446,269	1,321,648

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

5.1.4 Statement of changes in equity

<i>in millions of euros</i>	Share capital and additional paid-in capital		Perpetual deeply subordinated notes	Retained earnings
	Share capital (Note 5.15.1)	Additional paid-in capital (Note 5.15.1)		
SHAREHOLDERS' EQUITY AT JANUARY 1, 2019	19,679	3,834	683	41,386
Dividend payments				(375)
Capital increase (Note 5.15.1)	3,227			(1,594)
Issue & redemption of deeply subordinated notes (Note 5.15.2)			(683)	(64)
Interest on deeply subordinated notes				(73)
Impact of acquisitions and disposals on non-controlling interests (Note 5.16.2)				(382)
Total activity arising from relations with shareholders	3,227		(683)	(2,488)
Gains and losses recognized directly in shareholders equity (Note 5.17)				
Capital gains and losses reclassified to retained earnings				110
Net income for the period				
Comprehensive income				110
Other changes ⁽¹⁾				(37)
SHAREHOLDERS' EQUITY AT DECEMBER 31, 2019	22,906	3,834		38,971
Allocation of net income for 2019				3,030
SHAREHOLDERS' EQUITY AT JANUARY 1, 2020	22,906	3,834		42,001
Dividend payments ⁽¹⁾				(337)
Capital increase (Note 5.15.1)	743			448
Impact of acquisitions and disposals on non-controlling interests (Note 5.16.2)				450
Total activity arising from relations with shareholders	743			561
Gains and losses recognized directly in shareholders equity (Note 5.17)				
Capital gains and losses reclassified to retained earnings				(27)
Net income for the period				
Comprehensive income				(27)
Other changes ⁽²⁾		(2)		12
SHAREHOLDERS' EQUITY AT DECEMBER 31, 2020	23,649	3,832		42,547

(1) On July 27, 2020, the European Central Bank issued Recommendation ECB/2020/35 reiterating its position announced on March 27, 2020 recommending that credit institutions abstain from paying out dividends in cash until January 1, 2021. As of September 30, 2020, the Banques Populaire and the Caisses d'Epargne distributed interest on shares for a total amount of €337 million, including:

- €230 million in the form of new shares (see Note 5.15.1). This distribution was made through the delivery of new shares in place of full payment in cash;
- €107 million in cash.

(2) Other changes include interest on perpetual deeply subordinated notes for the portion subscribed for by non-controlling interests.

Gains and losses recognized directly in other comprehensive income								Total equity attributable to equity holders of the parent	Non-controlling interests	Total consolidated equity
Recyclable				Non-recyclable						
Foreign exchange rate adjustments	Debt financial assets recognized at fair value through other comprehensive income	Available-for-sale financial assets of insurance businesses	Change in fair value of hedging derivatives	Equity financial assets recognized at fair value through other comprehensive income	Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss	Revaluation differences on employee benefits	Net income attributable to equity holders of the parent			
196	90	745	(262)	(30)	47	(175)		66,194	7,212	73,406
								(375)	(1,031)	(1,406)
								1,633		1,633
								(747)		(747)
								(73)		(73)
		20	(31)					(393)	406	13
		20	(31)					45	(625)	(580)
100	171	385	74	245	(123)	(175)		677	133	809
				(110)						
							3,030	3,030	707	3,737
100	171	385	74	135	(123)	(175)	3,030	3,707	840	4,546
								(37)	5	(32)
296	261	1,150	(219)	105	(76)	(350)	3,030	69,909	7,431	77,341
							(3,030)			
296	261	1,150	(219)	105	(76)	(350)		69,909	7,431	77,341
								(337)	(174)	(511)
								1,191	1	1,192
2		(55)				8		405	(1,587)	(1,182)
2		(55)				8		1,259	(1,760)	(501)
(388)	84	227	(40)	30	(13)	(6)		(106)	(38)	(144)
				27						
							1 610	1,610	134	1,744
(388)	84	227	(40)	57	(13)	(6)	1,610	1,504	96	1,600
								10	(39)	(29)
(90)	345	1,322	(258)	162	(89)	(348)	1,610	72,683	5,728	78,412

5.1.5 Consolidated cash flow statement

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Income before tax	2,789	5,538
Net depreciation and amortization of property, plant and equipment, and intangible assets	1,440	1,447
Goodwill impairment	0	84
Net charge to provisions and provisions for impairment (including insurance companies' technical reserves)	5,557	8,928
Share in net income of associates	(232)	(150)
Net cash flows generated by investing activities	(591)	(1,687)
Other changes	(2,008)	(1,544)
Total non-monetary items included in net income before tax	4,167	7,077
Net increase (decrease) arising from transactions with banks	61,239	(11,250)
Net increase (decrease) arising from transactions with customers	16,464	(1,614)
Net increase (decrease) arising from transactions involving financial assets and liabilities	(11,012)	(3,845)
Net increase (decrease) arising from transactions involving non-financial assets and liabilities	763	720
Income taxes paid	(1,389)	(1,529)
Net increase (decrease) in assets and liabilities resulting from operating activities	66,064	(17,518)
Net cash flows generated by operating activities (A)⁽³⁾	73,020	(4,904)
Net increase (decrease) related to financial assets and equity investments	2,455	6,785
Net increase (decrease) related to investment property	(65)	(189)
Net increase (decrease) related to property, plant and equipment, and intangible assets	(1,074)	(1,322)
Net cash flows generated by investing activities (B)⁽³⁾	1,317	5,274
Net increase (decrease) arising from transactions with shareholders ⁽¹⁾	680	154
Other increases (decreases) generated by financing activities ⁽²⁾	(449)	(576)
Net cash flows generated by financing activities (C)⁽³⁾	231	(423)
Impact of changes in exchange rates (D)⁽³⁾	(1,704)	275
Cash flow on assets and liabilities held for sale (E)⁽³⁾	(1,025)	0
TOTAL NET CASH FLOWS (A+B+C+D+E)	71,839	223
Cash and net balance of accounts with central banks	80,246	76,450
Cash and net balance of accounts with central banks (assets)	80,246	76,450
Net balance of demand transactions with banks	(5,080)	(1,506)
Current accounts with overdrafts ⁽⁴⁾	6,706	7,941
Demand accounts and loans	50	105
Demand accounts in credit	(9,389)	(7,364)
Demand repurchase agreements	(2,446)	(2,188)
Opening cash and cash equivalents	75,167	74,944
Cash and net balance of accounts with central banks	153,403	80,246
Cash and net balance of accounts with central banks (assets)	153,403	80,246
Net balance of demand transactions with banks	(6,396)	(5,080)
Current accounts with overdrafts ⁽⁴⁾	5,780	6,706
Demand accounts and loans	5	50
Demand accounts in credit	(9,471)	(9,389)
Demand repurchase agreements	(2,710)	(2,446)
Closing cash and cash equivalents	147,006	75,167
NET CHANGE IN CASH AND CASH EQUIVALENTS	71,839	223

(1) Cash flows from or to the shareholders mainly include:

- net changes in share capital and additional paid-in capital of the Banques Populaires and Caisses d'Épargne amounting to +€1,191 million (+€1,633 million in 2019);
- dividend payouts amounting to -€511 million (-€1,406 million in 2019).

(2) Cash flows from financing activities mainly include the impact of redemptions of subordinated notes and loans for -€449 million (-€576 million in 2019).

(3) In 2020, a change in presentation was made to improve the readability of cash flow on assets and liabilities held for sale, by reporting these as a separate item.

(4) Current accounts with overdrafts do not include Livret A, LDD and LEP savings accounts centralized with the Caisse des Dépôts et Consignations.

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Note 1 General framework

1.1 GROUPE BPCE

Groupe BPCE comprises the Banque Populaire network, the Caisse d'Epargne network, the BPCE central institution and its subsidiaries.

TWO BANKING NETWORKS: THE BANQUES POPULAIRES AND THE CAISSES D'EPARGNE

Groupe BPCE is a cooperative group whose shareholders own the two retail banking networks: the 14 Banques Populaires and the 15 Caisses d'Epargne. Each of the two networks owns an equal share in BPCE, the Group's central institution.

The Banque Populaire network consists of the Banques Populaires and the Mutual Guarantee Companies which grant them the exclusive benefit of their guarantees.

The Caisse d'Epargne network consists of the Caisses d'Epargne and the local savings companies (LSCs).

The Banques Populaires are wholly-owned by their cooperative shareholders.

The capital of the Caisses d'Epargne is wholly-owned by the LSCs. Local savings companies are cooperative structures with open-ended share capital owned by cooperative shareholders. The LSCs are tasked with coordinating the cooperative shareholder base, in line with the general objectives defined by the individual Caisse d'Epargne with which they are affiliated, and cannot perform banking transactions.

BPCE

BPCE, a central institution as defined by the French Banking Law and a credit institution licensed to operate as a bank, was created pursuant to Act No. 2009-715 of June 18, 2009. BPCE was incorporated as a French limited liability company governed by a Management Board and a Supervisory Board, whose share capital is owned jointly and equally by the 14 Banques Populaires and the 15 Caisses d'Epargne.

BPCE's corporate mission embodies the continuity of the cooperative principles underlying the Banques Populaires and the Caisses d'Epargne.

Specifically, BPCE represents the interests of its various affiliates in dealings with the supervisory authorities, defines the range of products and services offered by them, organizes depositor protection, approves key appointments of company directors and oversees the smooth operation of the Group's institutions.

As a holding company, BPCE is the head entity of the Group and holds the joint ventures between the two networks in retail banking and insurance, corporate banking and financial services, and their production units. It defines the Group's corporate strategy and growth and expansion policies.

The network and BPCE's main subsidiaries, including Natixis, a 70.662%-owned listed company, are organized around three core business lines:

- Retail Banking and Insurance, which includes the Banque Populaire network, the Caisse d'Epargne network, the Financial Solutions & Expertise business line (including factoring, consumer finance, leasing, sureties & financial guarantees, securities services and "retail securities"), the Natixis' Payments and Insurance business lines and Other networks (primarily Banque Palatine) and the Oney group;
- Asset & Wealth Management;
- Corporate & Investment Banking.

In respect of the Group's financial functions, BPCE is responsible, in particular, for the centralized management of surplus funds, for the execution of any financial transactions required to develop and fund the Group, and for choosing the most appropriate counterparty for these transactions in the broader interests of the Group. BPCE also provides banking services to the other Group entities.

1.2 GUARANTEE MECHANISM

Pursuant to Articles L. 511-31 and L. 512-107-6 of the French Monetary and Financial Code, the guarantee and solidarity mechanism was set up to ensure the liquidity and capital adequacy of the Group and its associates, and to organize financial support within the Group.

BPCE is tasked with taking all measures necessary to guarantee the capital adequacy of the Group and each of the networks, including implementing the appropriate internal financing mechanisms within the Group and establishing a Mutual Guarantee Fund common to both networks, for which it determines the operating rules, the conditions for the provision of financial support to the existing funds of the two networks, as well as the contributions of associates to the fund's initial capital endowment and reconstitution.

BPCE manages the Banque Populaire Network Fund and the Caisse d'Epargne Network Fund and has established the Mutual Guarantee Fund.

The Banque Populaire Network Fund was formed by a deposit made by the Banques Populaires of €450 million that was booked by BPCE in the form of a 10-year term account which is indefinitely renewable.

The deposit made to the **Caisse d'Epargne Network Fund** by the Caisses d'Epargne of €450 million was booked by BPCE in the form of a 10-year term account which is indefinitely renewable.

The Mutual Guarantee Fund was formed by deposits made by the Banques Populaires and the Caisses d'Epargne. These deposits were booked by BPCE in the form of 10-year term accounts which are indefinitely renewable. The amount of the deposits by network was €176 million at December 31, 2020.

The total amount of deposits made to BPCE in respect of the Banque Populaire Network Fund, the Caisse d'Epargne Network Fund and the Mutual Guarantee Fund may not be less than 0.15% and may not exceed 0.3% of the Group's total risk-weighted assets.

The booking of deposits in the institutions' individual accounts under the guarantee and solidarity system results in the recording of an item of an equivalent amount under a dedicated capital heading.

The Mutual Guarantee Companies (*sociétés de caution mutuelle*), whose sole corporate purpose is to guarantee loans issued by Banques Populaires, are covered by the liquidity and capital adequacy guarantee in their capacity as affiliates of the central institution.

The liquidity and capital adequacy of the local savings companies are secured, firstly, at the level of each individual local savings company by the Caisse d'Epargne of which the local savings company in question is a shareholder.

BPCE's Management Board holds all the requisite powers to mobilize the resources of the various contributors without delay and in accordance with the agreed order, on the basis of prior authorizations given to BPCE by the contributors.

1.3 SIGNIFICANT EVENTS

COVID-19

2020 was marked by the Covid-19 health crisis. The rapid spread of the virus, which the World Health Organization qualified as a pandemic on March 11, 2020, caused a slump in the global economy, affecting many business sectors and having major repercussions on economic activity in many countries. Restrictions on mobility in the affected regions and the disruption to supply chains caused by the closure of industrial and commercial companies had considerable effects on economic value chains in the regions and business sectors that were impacted (tourist revenue, air transport, local sales, etc.).

To support their economies during the public health crisis, national governments announced measures to provide financial and non-financial assistance to affected sectors.

The Covid-19 crisis also spread to the world of finance, with extremely high levels of volatility and erratic fluctuations on the financial markets. Against a backdrop of high uncertainty, Groupe BPCE took into account the effects of the crisis – as far as they could be understood at the reporting date – when measuring its financial assets and liabilities and the impairment and provisions recorded in its accounts at December 31, 2020.

The impact of the crisis on the financial statements at December 31, 2020 is described in Note 1.5.

DISPOSAL OF COFACE GROUP

On February 25, 2020, Natixis announced it had signed an agreement with Arch Capital Group (a listed insurer and reinsurer in the United States) for the sale of 29.5% of the capital and voting rights in Coface, for a price of €10.70 per share. This price was revised on August 28, 2020 to €9.95 per share, which increased the loss on disposal recognized to €146 million. Completion of the transaction is contingent on regulatory approval.

The signing of this agreement led Natixis to review the nature of its control of Coface. As the criteria for exclusive control under IFRS 10 are no longer met, Natixis, and hence, the Groupe BPCE, decided that as of February 25, 2020, it no longer exercised exclusive control over Coface and should therefore no longer apply the full consolidation method.

However, it does continue to exercise significant influence. Accordingly, the residual 12.7% holding in Coface was consolidated under the equity method from January 1, 2020, to simplify calculations and better reflect the impact of this transaction in the consolidated financial statements.

The transaction comprised two parts: first, the full disposal of shares in the subsidiary, and second, a new investment corresponding to the interest retained by the Group.

At December 31, 2020, this loss of exclusive control led the Group to recognize the following in its financial statements:

- income from the disposal recorded on the date control was lost (January 1, 2020), increased by the impact of the adjusted price above, amounting to -€146 million, recognized under "Gains or losses on other assets" in the consolidated income statement;

- the 29.5% interest sold to Arch Capital Group, measured at the sale price less disposal costs directly related to the sale, presented on the separate line on the balance sheet under "Non-current assets held for sale", for €466 million;
- the residual 12.7% interest, which is not covered by the sale agreement, continues to be consolidated under the equity method and is shown in the balance sheet under "Investments in associates", in the amount of €159 million at December 31, 2020, after a -€57 million impairment charge based on Coface's closing price of €8.21 per share. This impairment is recorded on the line "Share in net income of companies accounted for by the equity method" in the consolidated income statement.

H2O

In Q4 2020, the group entered negotiations on the sale of its entire stake in H2O, i.e. 50.01% of the share capital, via an own share buyback.

At December 31, 2020, H2O remained fully consolidated within the Group. In accordance with IFRS 5 "Non-current assets held for sale and discontinued operations", all assets and liabilities belonging to H2O were reclassified as, respectively, "Non-current assets held for sale" for €282 million and "Liabilities associated with non-current assets held for sale" for €55 million.

The sale was suspended pending regulatory approval. At December 31, 2020, the net loss on disposal was estimated at -€48 million. This loss is booked under "Gains or losses on other assets" excluding tax effects.

NATIXIS - BANQUE POSTALE PARTNERSHIP

On October 31, 2020, following the granting of regulatory approval, Natixis and La Banque Postale (LBP) completed the merger of the fixed-income and insurance asset management activities of Ostrum Asset Management and La Banque Postale Asset Management (LBP AM) announced in 2019. The deal took the form of a transfer of LBP AM's assets to Ostrum.

Following the transfer, Natixis holds a 55% stake in Ostrum and La Banque Postale the other 45%. Before the merger, Ostrum's activities unrelated to fixed-income and insurance asset management were transferred to other companies in the Natixis IM group.

Regarding IFRS 10, the Group exercises exclusive control over the company which is therefore fully consolidated in its financial statements.

The deal is treated in two stages for accounting purposes:

- a takeover of LBP AM booked as an acquisition giving rise to goodwill of €52 million at December 31, 2020;
- a reduction in Ostrum AM's percentage interest without loss of control due to the dilution of its holding, booked in "Equity attributable to equity holders of the parent" for +€12 million.

Furthermore, LBP AM has a put option granted by Natixis on all the shares it holds. An €80 million non-controlling shareholder put option was therefore booked under liabilities at December 31, 2020.

DISPOSAL OF FIDOR GROUP SOLUTIONS AND PROPOSED DISPOSAL OF FIDOR BANK

In the first half of 2020, Groupe BPCE performed an in-depth strategic review of its holding in Fidor group.

As of June 30, 2020, insofar as pursuing Fidor's activity no longer seemed feasible within Groupe BPCE, it was deemed that the conditions required to apply IFRS 5 were met.

As a result, all the assets and liabilities of Fidor Bank AG and Fidor Solutions were reclassified to "Non-current assets held for sale" and "Liabilities associated with non-current assets held for sale" on the consolidated balance sheet. In accordance with IFRS 5, these assets were measured at the lower of their book value and fair value net of selling costs, and a loss on disposal estimated at €141 million was provisioned, with a balancing entry in "Gains or losses on other assets".

On August 3, 2020, Groupe BPCE announced it had been entering into exclusive negotiations with Ripplewood Advisors LLC for the sale of the entire share capital of Fidor Bank AG. Closure of this deal is planned for the first half of 2021, pending regulatory authorizations.

On December 31, 2020, Groupe BPCE finalized the sale of its subsidiary Fidor Solutions to Sopra Banking Software, a subsidiary of the Sopra Steria group, with no additional impact on consolidated income.

1.4 POST-BALANCE SHEET EVENTS

FILING OF A SIMPLIFIED PUBLIC TENDER OFFER FOR NATIXIS SHARES

On February 9, 2021, BPCE SA announced its intention to acquire the share capital of Natixis SA that it did not hold, i.e. approximately 29.3% at December 31, 2020, and to file a simplified tender offer with the French Financial Markets Authority (AMF).

This proposed takeover bid, at a price of €4 per share (*cum* dividend), will be submitted to the AMF for review and will, if necessary, be followed by a squeeze-out if the conditions for its implementation are met.

The takeover, done with Natixis's non-controlling shareholders has no impact on the control already exercised by BPCE SA and should lead to an overall reduction in equity, under IFRS 3, resulting in an estimated -70 bp reduction in the CET1 ratio. This transaction has no impact on Groupe BPCE's consolidated financial statements at December 31, 2020.

NATIXIS AND ARCH CAPITAL GROUP LTD. ANNOUNCE THE SALE OF 29.5% OF COFACE

On February 10, 2021, following approval by the competent competition and regulatory authorities, Natixis and Arch Capital Group Ltd. announced the sale by Natixis of a 29.5% stake in Coface to Arch Financial Holdings Europe IV Limited, a subsidiary of Arch Capital Group Ltd. for €9.95 per share (*cum* dividend).

Natixis will no longer sit on Coface's Board of Directors as Arch takes over its four former seats. Natixis retains a residual 12.7% stake in Coface as an equity interest.

This transaction has no impact on the Group's consolidated financial statements at December 31, 2020.

1.5 IMPACT OF THE HEALTH CRISIS ON THE FINANCIAL STATEMENTS

The impact of the health crisis on Groupe BPCE's consolidated financial statements is described in the following paragraphs and in Credit Risk section of Pillar III.

1.5.1 ECONOMIC SUPPORT MEASURES

On March 15, 2020, before the announcement of the lockdown in France, the French Banking Federation (FBF), confirmed that French banks were fully committed to supporting customers – in particular retailers, self-employed professionals, and SMEs – facing difficulties due to the spread of the Covid-19 epidemic, which could impact their business.

Accordingly, Groupe BPCE helped its professional and business customers who were facing cash flow problems by actively implementing the economic support measures set up by the government:

- granting moratoria on loan repayments for businesses, without penalties or additional fees,
- issuing State-guaranteed loans.

The measures taken to support the economy in fiscal year 2020 are described below. Information on loans and advances subject to moratorium is presented in Pillar 3.

1.5.1.1 State-guaranteed loans

The State-guaranteed loan (SGL) is a support scheme set up under Article 6 of the amended French Finance Act for 2020 (Act No. 2020-289 of March 23, 2020) and the ministerial order issued by the Minister of the Economy and Finance on March 23, 2020 establishing a state guarantee for credit institutions and financing companies from March 16, 2020, to meet the cash flow requirements of companies impacted by the Covid-19 health crisis. The measure was extended until June 30, 2021 by the 2021 French Finance Act. The State-guaranteed loan is subject to common eligibility criteria applicable by all institutions issuing the loan, as set out by law.

It is a one-year loan with capital repayments deferred for this period. Beneficiary companies may decide, at the end of the first year, to amortize the State-guaranteed loan over a further one to five years or to begin capital amortization only from the second year of the amortization period by only paying the interest and the cost of the State's guarantee.

For eligible companies, the amount of the State-guaranteed loan is generally capped at 25% of the company's turnover (excluding innovative and recently created companies, and excluding the Seasonal SGL for our Tourism/Hotels/Restaurants clients, for example). The government provides a guarantee covering between 70% and 90% of the loan, depending on the size of the company. The issuing bank incurs the residual risk. The state guarantee covers a portion of the total amount due on the loan (principal, interest and incidental expenses) until it becomes due. The State guarantee may be enforced before the loan is due if a credit event should occur.

The prepayment penalty is set in the contract, at a reasonable level (2% of the principal amount outstanding during the initial loan period, then 3%-6% of the principal amount outstanding during the repayment period). The terms and conditions for extending the loan are not set in advance but are established two to three months before the extension option expires, in line with market conditions.

A State-guaranteed loan may not be covered by another collateral security or guarantee besides the state guarantee, with the exception of those granted pursuant to a ministerial order by the Minister of the Economy and Finance. The self-employed professional or business leader may request or be offered loan repayment insurance, but such insurance is not mandatory.

In view of these features, the State-guaranteed loan meets the criteria of a basic lending arrangement (see Note 2.5.1). These loans are therefore recognized at amortized cost, because they are managed in a hold-to-collect business model (see Note 2.5.1). On subsequent balance sheet dates, they will be measured at amortized cost using the effective interest method.

The State guarantee is considered to be an integral part of the terms of the loan and is taken into account when calculating impairment for expected credit losses. The guarantee fee paid to the government by Groupe BPCE on granting the loan is recorded in income over the initial term of the loan, using the effective interest method. The impact is recognized in net interest income.

A State-guaranteed loan granted to a borrower considered to be non-performing on inception (Stage 3) is classified as a POCI (purchased or originated credit-impaired) asset.

However, the grant of a State-guaranteed loan to a given counterparty is not in itself evidence of deterioration in risk, requiring a downgrade to Stage 2 or 3 of the other outstandings of this counterparty.

At December 31, 2020, Groupe BPCE had issued approximately 197,000 State-guaranteed loans for an amount of approximately €31 billion (of which nearly 193,000 were disbursed as of December 31, 2021 for an amount of approximately €30 billion).

Information on the segmentation of loans granted under State-guaranteed schemes in response to the Covid-19 crisis is presented in the Credit Risk section of Pillar III.

1.5.1.2 Loan repayment moratoria and other loan restructuring

Due to the Covid-19 crisis, Groupe BPCE offered to grant a range of concessions to its retailer, professional, SME and large corporate clients (including temporarily suspending repayments, revising repayment schedules or renegotiating loan terms), to help them address temporary cash flow difficulties caused by the crisis.

GENERAL MEASURES

When the lockdown was announced in France, the Banque Populaire and Caisse d'Épargne networks offered all their professional and SME customers in certain business sectors the possibility of postponing their loan repayments (principal and interest) for six months. Other general measures were subsequently applied in specific sectors, for example, a moratorium of up to twelve months on loan repayments for SMEs in the tourism, hotel and catering sectors.

The terms of these moratoria observed the general moratorium provisions described in Article 10 of the EBA guidelines (EBA/GL/2020/02) published on April 2, 2020 and amended on December 2, 2020 (EBA/GL/2020/15).

In France, the market protocol has not been updated with regard to this latest amendment.

In accordance with these guidelines, the widespread granting of moratoria to counterparties not experiencing financial difficulties before the Covid-19 crisis, without applying any specific conditions, is not in itself an indicator of a material increase in credit risk. As such, the implementation of a general moratorium to address temporary liquidity problems arising from the Covid-19 crisis does not automatically lead to loans classified as Stage 1 pre-crisis being downgraded to Stage 2 (or Stage 3 where the loss is more than 1% of the difference between net present value before and after restructuring).

In 2020, Groupe BPCE had granted six-month moratoria for 426,889 loans representing €25,233 million (including €13,991 million granted to small and medium-sized enterprises). The moratorium may be extended to twelve months for businesses in the tourism, hotel and catering sectors.

In addition, €1,785 million of loans granted a moratorium are classified as Stage 2 and €460 million of loans granted a moratorium are classified as Stage 3.

More detailed information on the moratoria in the context of State-guaranteed schemes in response to the Covid-19 crisis is presented in the Credit Risk section of Pillar III.

INDIVIDUAL MEASURES

Groupe BPCE also individually support its customers by granting various types of concessions (moratoria, rescheduling or other amendments to loan terms), with the terms and conditions established according to each customer's individual situation. When granting such a concession, a specific analysis is performed to verify whether the borrower shows evidence of financial difficulties on that date. In the presence of such an indicator, the outstandings are downgraded to Stage 2 (or Stage 3 when the loss is greater than 1% of the difference between the net present value before restructuring and the net present value after restructuring), which results in an adjustment to its provisioning level.

Moratoria granted by the Group's banks are generally charged at the loan's initial interest rate, meaning that interest continues to accrue during the moratorium. At the end of the moratorium, this interest is added to the loan principal and repaid over the remaining term of the loan (which is extended due to the moratorium). In this case, the moratorium does not imply a loss of cash flow for the bank. No income statement impact is therefore to be recognized. In practice, the granting of a moratorium does not lead to the loan's derecognition insofar as it does not significantly affect the net economic value of the loan.

1.5.2 IMPACT ON THE USE OF ESTIMATES

1.5.2.1 Credit risk impairment

For 2020, Groupe BPCE's cost of credit risk amounted to €2,998 million, a significant increase compared to fiscal year 2019, mainly due to the increase in expected credit losses in the context of the Covid-19 crisis.

The health crisis has heavily impacted the economy, with major repercussions for many sectors. Owing to the exceptional circumstances and uncertainties, Groupe BPCE used various communications from ESMA, the EBA, the ECB and the IASB as guidance when determining expected credit losses in the context of the Covid-19 crisis.

Accordingly, Groupe BPCE revised its forward-looking economic forecasts to take account of the Covid-19 situation and the economic support measures taken in response. The Group applied three main scenarios to calculate its IFRS 9 provisions with projections to 2023:

- the core scenario was updated based on the scenarios determined by the Group's economists in September 2020;

- a pessimistic scenario, corresponding to a more severe deterioration in the macro-economic variables defined in relation to the core scenario;
- an optimistic scenario, corresponding to an improvement in the macro-economic variables defined in relation to the core scenario.

Following the historic economic shock from Covid-19 in 2020, the core scenario sees a sharp recovery in GDP as from 2021, returning gradually to a more normal long-term economic growth trend over the years that follow. Economic activity should get back to pre-crisis (2019) levels by 2023.

We show below the 4-year projections for key economic variables used, based on the scenario of the Group's economists for each range limit:

	Optimistic			Core			Pessimistic		
	GDP	Unemp.	10Y yld.	GDP	Unemp.	10Y yld.	GDP	Unemp.	10Y yld.
2020	(5.8%)	7.4%	0.30%	(9.6%)	8.5%	(0.11%)	(12.3%)	11.5%	(0.60%)
2021	10.0%	8.7%	0.70%	7.2%	10.0%	0.01%	4.0%	12.5%	(0.40%)
2022	4.3%	7.9%	0.82%	2.6%	9.3%	0.13%	0.9%	11.7%	(0.28%)
2023	2.8%	7.6%	0.94%	1.6%	9.0%	0.25%	0.4%	11.4%	(0.16%)

In addition, Groupe BPCE has extended and adapted this approach by adjusting for a number of factors specific to certain scopes or significant markets: Each scenario is therefore weighted based on how close it is to the consensus forecast for the main economic variables in each scope or significant market of the Group.

For Retail Banking, projections are calculated using the main economic variables such as GDP, unemployment and interest rates on 10-year French sovereign debt. For Corporate & Investment Banking, the economic variables applied relate to the international situation and make greater use of financial and market data.

For Retail Banking, economic scenarios have been adapted to take account of uncertainties surrounding economic forecasts and economic support measures (SGL, partial furlough, tax breaks). The result of these adaptations is to:

- mitigate the suddenness and intensity of the crisis with a 60% moderating factor applied to GDP impacts under the scenarios. For instance, in the central scenario, the GDP figure projected is a weighted average of the scenario's starting value (-9.6% weighted 40%) and long-term growth in France (+1.4%, weighted 60%). This adjustment is consistent with the ECB's communications on accounting for the Covid-19 under IFRS 9 and the EBA's guidance on moratoria; and
- spread the effects of the crisis over a longer period, pushing back the scenario by nine months, which means it takes an additional nine months for the worsening of GDP and other variables to feed through to probabilities of default.

These adjustments reflect the positive impacts of the various measures taken by the government to prop up the economy: most notably defaults are reduced and delayed.

In addition, due to the difficulty of accurately assessing the risk situation of counterparties, additional conservative adjustments to ECL were made for an amount of €239 million:

- for Medium-sized Companies' credit portfolios, which do not have automatic ratings, the ratings of certain counterparties have been downgraded using a rating scale distributed within the Group's institutions. Ratings take into account the debtor's additional debt resulting from their recourse to economic support measures (such as SGLs);
- on the credit portfolios of Professionals and Small Enterprises, which are automatically rated, the mechanical improvement of ratings under the effect of government support measures (positive impact of the moratoria and SGLs on the cash position of these counterparties) was neutralized and the lowest rating since March 2020 has been taken into account.

Lastly, additional provisions amounting to €795 million have been recognized by the entities within Groupe BPCE to cover specific risks in their portfolios, in addition to the provisions described above and calculated using Group tools.

These provisions mainly concern the tourism, hotel, restaurant, specialized retailing and aeronautics sectors. With the Covid-19 crisis, the Group has considerably strengthened the monitoring of the affected sectors. A sector-based approach to monitoring market developments in each economic sector and sub-sector has been implemented. It aims to improve on the existing sector monitoring framework and is applied centrally by the risk management department with monthly updates.

In summary, the main changes made in 2020 to the calculation of expected credit loss were on:

- updating of economic scenarios in September to better reflect changes in forecasts (pre-crisis, scenarios were only updated annually, in June);
- adaptation of the method for weighting economic scenarios to reflect the high levels of uncertainty in current circumstances, which translate as widely disparate upper and lower limits for each scenario;

- adaptation of economic variables to take into account economic uncertainties and the impact of government support measures;
- for Retail Banking, neutralization of the automatic improvement in the ratings of Professional and SME portfolios due to the effect of government support measures;
- for Corporate & Investment Banking, the sector-based adjustment of the probabilities of default replaces the use of the change in the rating of the sector as a criterion for monitoring the deterioration of the risk. This more granular approach better captures the influence of the sector on credit risk by making counterparty ratings more important as a discriminatory factor. It also helps mitigate the pro-cyclical effects of the previous methodology, which systematically downgraded to Stage 2 all counterparty contracts in a sector whose rating had fallen below a given threshold;
- in consumer finance, the introduction of a model that translates the new economic assumptions into a more granular segmentation of portfolios.

Based on the scenarios mentioned above and after taking into account the methodological adjustments and support measures, the calculation of expected credit losses led Groupe BPCE to recognize a cost of credit risk of €1,358 million in 2020, an increase of €1,348 million compared to 2019.

ECL SENSITIVITY ANALYSIS

The sensitivity of Retail Banking's expected credit loss to uncertainty about the level of the moderating factor and a 3-month delay to the economic scenario has been estimated:

- a variation of the moderating factor of +/- 10% around the scenario value of 60% has an impact of approximately +/- €34 million;
- an additional three-month delay, to twelve months, would result in an additional allocation of approximately €83 million;
- an increase in the probability of occurrence of the pessimistic scenario by 5%, at the expense of the central scenario, would result in the recognition of an additional allocation of €6 million.

1.5.2.2 Fair value of financial assets impacted by the public health crisis

In view of the impact of the Covid-19 health emergency on the financial markets, the value of some products was affected by illiquid markets during the year 2020.

In this context, Natixis' Corporate & Investment Banking activities were exposed to significant adjustments on certain valuation inputs, for example the "dividend" component:

- the suspension of dividend payments by many companies practically wiped out most short-term dividends and was also reflected in the consensus values used to revalue this component;
- as the stressed market environment generated wide fluctuations, the "volatility" input was also revalued for all transactions concerned.

Equity interests in unlisted private equity funds are valued according to the International Private Equity and Venture Capital Valuation (IPEV) Guidelines, which are also recommended by Invest Europe. The value of Groupe BPCE's holdings in unlisted funds (around €3 billion) was subject to an in-depth review at December 31, 2020. In the absence of a recent net asset value (NAV) established by the management company, or when it does not (or only partially) incorporate the effects of the crisis, a discount determined on the basis of a sector-based approach has been applied to the last available NAV.

The valuation of investments held in real estate funds was also reviewed at December 31, 2020 and a discount was applied where appropriate to reflect the impact of the crisis on the valuation of the underlying assets. Any property discounts are based on estimates by BPCE Solutions Immobilières, which are calculated using macro-economic and property indicators (GDP per region, household disposable income per department, rent forecasts, rate of return forecasts, risk premium forecasts).

Note 2 Applicable accounting standards and comparability

2.1 REGULATORY FRAMEWORK

The consolidated financial statements of Groupe BPCE were prepared under International Financial Reporting Standards (IFRS) as adopted by the European Union and applicable at the reporting date, excluding certain provisions of IAS 39 relating to hedge accounting.

2.2 ACCOUNTING STANDARDS

The standards and interpretations used and detailed in the annual financial statements as at December 31, 2019 were complemented by standards, amendments and interpretations whose application is mandatory for reporting periods starting from January 1, 2020.

IFRS 9 replaced IAS 39 on January 1, 2018. It defines the new rules for classifying and measuring financial assets and liabilities, the new impairment methodology for the credit risk of financial assets, and hedge accounting, except for macro-hedging, which the International Accounting Standards Board (IASB) is currently studying in a separate draft standard.

Groupe BPCE used the option available in IFRS 9 not to apply the provisions of the standard relative to hedge accounting, and to continue to apply IAS 39 as adopted by the European Union for the recognition of these transactions, *i.e.* excluding certain provisions relating to macro-hedging. In view of the limited volume of asset reclassifications, most transactions recognized using hedge accounting under IAS 39 continue to be disclosed in the same way from January 1, 2018. However, IFRS 7 amended by IFRS 9 requires additional information on hedge accounting to be provided in the Notes.

On November 3, 2017, the European Commission adopted the amendment to IFRS 4 applying IFRS 9 “Financial instruments” with IFRS 4 “Insurance contracts” with specific provisions for financial conglomerates, applicable from January 1, 2018. European regulations therefore allow European financial conglomerates to opt to defer application of IFRS 9 for their insurance activities until January 1, 2021 (effective date of new IFRS 17, Insurance contracts), provided they:

- do not transfer financial instruments between the insurance sector and other sectors of the conglomerate (with the exception of financial instruments designated at fair value through profit or loss for the two sectors affected by the transfer);
- indicate the insurance entities that apply IAS 39;
- disclose specific additional information in the notes to the financial statements.

At its meeting on March 17, 2020, the IASB decided to defer its application by two years, as clarifications still need to be given regarding certain key aspects of the standard. It also decided to defer the expiry of insurance companies’ temporary exemption from IFRS 9 to January 1, 2023, to align it with the application of IFRS 17. An amendment was published on June 25, 2020. This amendment improves the application of IFRS 17.

As Groupe BPCE is a financial conglomerate, it elected to apply this provision to its insurance businesses, which continue to be covered by IAS 39. The main entities affected by this measure are CEGC, the insurance subsidiaries of COFACE, Natixis Assurances, BPCE Vie and its consolidated funds, Natixis Life, BPCE Prévoyance, BPCE Assurances, BPCE IARD, Muracef, Surassur, Oney Insurance, Oney Life, Prépar Vie and Prépar IARD.

In accordance with the Implementing Regulation of November 3, 2017, the Group took the necessary steps to prohibit any transfer of financial instruments between its insurance sector and the rest of the Group that would lead to derecognition for the transferring entity; this restriction is not, however, required for transfers of financial instruments measured at fair value through profit or loss by the two sectors involved.

Regulation (EU) 2017/2395 dated December 12, 2017 relating to transitional arrangements for mitigating the impact of the introduction of IFRS 9 on capital and for the large exposures treatment of certain public-sector exposures was published in the Official Journal on December 27, 2017. Groupe BPCE has decided not to opt to neutralize IFRS 9 transitional impacts at the prudential level due to the limited impact when applying the standard.

IFRS 16

IFRS 16 “Leases” replaces IAS 17 “Leases” and the interpretations applicable from January 1, 2019.

At its meeting of November 26, 2019, the IFRS Interpretation Committee (IFRS IC) issued clarifications on the application of IFRS 16 pertaining to lease terms. On July 3, 2020, the *Autorité des normes comptables* published a summary of conclusions on the application of IFRS 16, replacing that published on February 16, 2018.

As a result, the Group reviewed the way it applied accounting principles to determine the terms of French law commercial leases with automatic renewal. The changes made had no material impact on the financial statements.

Amendments to IAS 39 and IFRS 9: interest rate benchmark reform (phase 1 and phase 2)

Note that, in September 2019, the IASB published amendments to IFRS 9 and IAS 39 to provide relief for instruments eligible for hedge accounting in the lead up to the interest rate benchmark reform (phase 1). These amendments were adopted by the European Commission on January 16, 2020 and apply from January 1, 2020, with early adoption possible. Groupe BPCE chose to apply the amendment early as of December 31, 2019.

On August 27, 2020, the IASB published amendments dealing with issues related to the replacement of benchmark rates by their alternative benchmark rate (phase 2). These amendments involved IFRS 9, IAS 39, IFRS 7, IFRS 4, and IFRS 16 regarding modifications of financial assets and financial liabilities (including lease liabilities), whether or not these are related to the enforcement of existing contractual clauses (*i.e.* fallback clauses), hedge accounting, and disclosures. These amendments were adopted by the European Commission on January 13, 2021. Their application date is January 1, 2021 and they may be applied early. Groupe BPCE chose to apply the amendment early as of December 31, 2020.

The uncertainties related to the benchmark rate reform and the organization implemented by Groupe BPCE are presented in Note 5.20.

New definition of default

Guidelines issued by the European Banking Authority (EBA) on the application of the definition of default under Article 178 of European Regulation 575/2013, effective from January 1, 2021, and Regulation (EU) 2018/1845 of the European Central Bank on the threshold for assessing the materiality of credit obligations past due, effective by December 31, 2020 at the latest, will make European banks more consistent in the way they identify loans in default.

The definition of loans in default is tightened up by the introduction of relative and an absolute thresholds for past due payments to identify defaults, clearer criteria for returning to performing status with the introduction of a probationary period and explicit criteria for classifying restructured loans as in default.

Groupe BPCE applied these new methods for identifying loans in default from October 22, 2020.

The new method for identifying loans in default is consistent with the criteria used to classify non-performing loans in Stage 3 under IFRS 9 rules for recognizing expected loss due to credit risk. Changes resulting from the new rules on loans in default have no material impact on the consolidated financial statements.

The other standards, amendments and interpretations adopted by the European Union did not have a material impact on the Group’s financial statements.

NEW STANDARDS PUBLISHED AND NOT YET APPLICABLE

IFRS 17

IFRS 17 “Insurance contracts” was published by the IASB on May 18, 2017 and will replace IFRS 4 “Insurance contracts”. Initially applicable on January 1, 2021, with a comparison at January 1, 2020, this standard is only expected to come into force from January 1, 2023. At its meeting on March 17, 2020, the IASB decided to defer its application by two years, as clarifications still need to be given regarding key aspects of the standard. It also decided to defer the expiry of insurance companies’ temporary exemption from IFRS 9 to January 1, 2023, to align it with the application of IFRS 17. An amendment was published on June 25, 2020. This amendment improves the application of IFRS 17. Regulation (EU) 2020/2097 of

December 15, 2020 adopts the amendments made to IFRS 4 to extend the exemption from applying IFRS 9 for insurers.

IFRS 17 establishes the principles of recognition, measurement, presentation and disclosure for the insurance contracts and investment contracts with discretionary profit sharing provisions that fall within its scope.

Currently measured at historic cost, contract obligations shall be recognized at present value, in accordance with IFRS 17. To that end, insurance contracts will be measured based on their future cash flows, including a risk margin in order to factor in the uncertainty relating to these cash flows. IFRS 17 also introduces the concept of contractual service margin. This represents the insurer's unearned profit and will be released over time as the services are rendered to the policyholder. The standard demands a more detailed level of granularity in calculations as it requires estimates by group of contracts.

These accounting changes could modify the profile of insurance income (in particular for life insurance) and also introduce greater volatility in income.

Groupe BPCE's insurance entities have set up project teams to address the changes brought about by the standard and are continuing their preparatory work. This work includes making decisions and documenting the choices made pertaining to the standard, modeling, adapting systems and organizations, producing financial statements and the switchover strategy, financial disclosures and change management.

2.3 USE OF ESTIMATES AND JUDGMENTS

Preparation of the financial statements requires Management to make estimates and assumptions in certain areas with regard to uncertain future events.

These estimates are based on the judgment of the individuals preparing these financial statements and the information available at the balance sheet date.

Actual future results may differ from these estimates.

With respect to the financial statements for the period ended December 31, 2020 in particular, accounting estimates requiring assumptions were mainly used for the following measurements:

- the fair value of financial instruments determined on the basis of valuation models (Note 10);
- the amount of expected credit losses on financial instruments as well as on loan and guarantee commitments the results of hedge effectiveness tests (note 7.1);
- the results of hedge effectiveness tests (Note 5.3);
- provisions recorded under liabilities in the balance sheet and more specifically the provision for home savings products (Note 5.15) and provisions for insurance policies (Note 9);
- calculations related to the cost of pensions and future employee benefits (Note 8.2);
- uncertainties relating to the tax treatment of income taxes (Note 11);
- deferred tax assets and liabilities (Note 11);
- uncertainties related to the application of certain provisions of the regulations regarding benchmarks (Note 5.20);
- goodwill impairment tests (Note 3.5.2).

Judgment must also be exercised to assess the business model and the basic characteristics of a financial instrument. The procedures are described in the relevant paragraphs (Note 2.5.1).

The adoption of IFRS 16 led Groupe BPCE to extend its use of judgment to estimate the term of leases in order to recognize the right of use of lease assets and to record lease liabilities.

Uncertainties arising from the Covid-19 crisis are described in Note 1.5.

BREXIT

On June 23, 2016, the UK decided to leave the European Union (Brexit) following a referendum. After the triggering of Article 50 of the treaty on European Union on March 29, 2017, the United Kingdom and the 27 other member countries of the European Union gave themselves two years to prepare for the country's effective withdrawal. The Brexit date was postponed three times and finally set at January 31, 2020. A transition period followed until December 2020, during which the future deal on goods and services was negotiated while existing European rules remained in force.

On December 24, 2020, the United Kingdom and European Union reached an exit deal, which set out a framework for future trade once the transition period ended. However, the deal does not cover financial services. Groupe BPCE therefore applied, as from January 1, 2021, the measures prepared for a no-deal Brexit, which had no material impact on its business. The two parties (UK and EU) gave themselves 3 months, until March 31, 2021, to negotiate specific rules for the financial sector. Groupe BPCE is keeping a close eye on the outcome of these negotiations, in order to incorporate them, where necessary, in the assumptions and estimates used in preparing the consolidated financial statements. Lastly, the risk of European regulations not recognizing UK clearing houses is no longer a short-term risk. On September 21, 2020 ESMA announced an extension of the temporary equivalence period to June 30, 2022.

2.4 PRESENTATION OF THE CONSOLIDATED FINANCIAL STATEMENTS AND CLOSING DATE

As no specific format is required under IFRS, the presentation used by the Group for summarized statements follows Recommendation No.2017-02 issued by the *Autorité des normes comptables* (ANC – French national accounting standards authority) on June 2, 2017.

The consolidated financial statements are based on the financial statements at December 31, 2019. The Group's consolidated financial statements for the period ended December 31, 2020 were approved by the Management Board on February 9, 2021. They will be presented to the Annual General Shareholders' Meeting on May 27, 2021.

The amounts presented in the financial statements and in the notes are shown in millions of euros, unless otherwise indicated. Rounding may lead to differences between the amounts shown in the financial statements and those referred to in the notes.

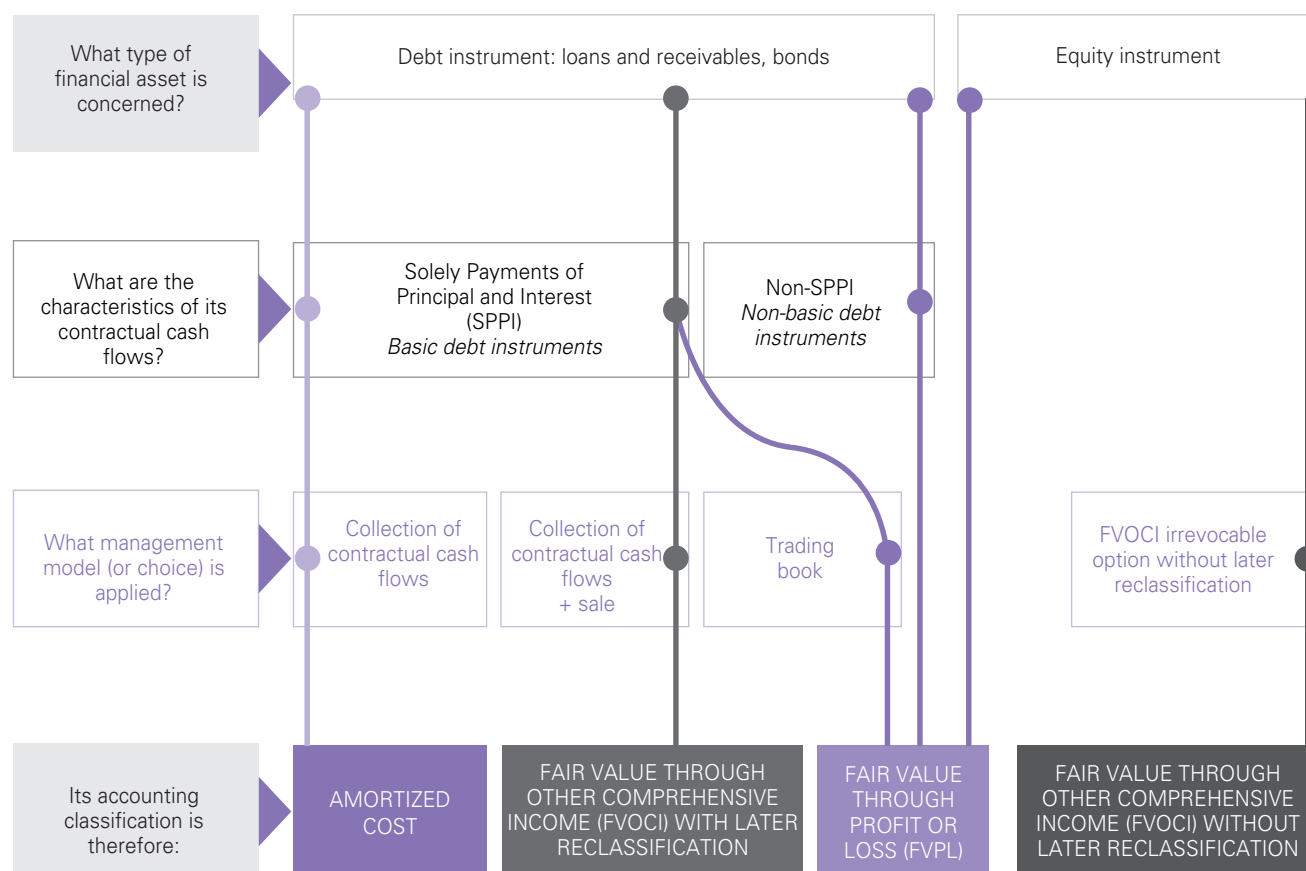
2.5 GENERAL ACCOUNTING PRINCIPLES AND MEASUREMENT METHODS

The general accounting principles set out below apply to the main items of the financial statements. Specific accounting principles are presented in the Notes to which they refer.

2.5.1 CLASSIFICATION AND MEASUREMENT OF FINANCIAL ASSETS

IFRS 9 is applicable to Groupe BPCE excluding the insurance subsidiaries, which continue to apply IAS 39.

On initial recognition, financial assets are classified at amortized cost, at fair value through other comprehensive income, or at fair value through profit or loss, according to the type of instrument (debt or equity), the characteristics of their contractual cash flows and how the entity manages its financial instruments (its business model).



Business model

The entity's business model represents the way in which it manages its financial assets to produce cash flow. Judgment is exercised to ascertain the business model.

The choice of business model must take into account all information regarding the manner in which cash flows were generated in the past, along with all other relevant information.

For example:

- the way in which the performance of financial assets is assessed and presented to the main company directors;
- risks having an impact on the business model's performance, in particular the way in which these risks are managed;
- the way in which directors are paid (for example, if pay is based on the fair value of assets under management or on the contractual cash flows received);
- the frequency of, volume of and reason for sales.

Moreover, the choice of business model must be made at a level which reflects the way in which groups of financial assets are managed collectively with a view to achieving a given economic objective. The business model is therefore not decided on an instrument by instrument basis, but rather at a higher level of aggregation, by portfolio.

The standard provides for three business models:

- a business model whose objective is to hold financial assets in order to receive contractual cash flows ("hold to collect model"). This model, under which the concept of "holding" is relatively similar to holding to maturity, remains valid if disposals occur under the following conditions:
 - the disposals are due to an increase in credit risk,
 - the disposals occur just before maturity and at a price that reflects the contractual cash flows that are still owed,
 - other disposals may also be compatible with the "hold to collect" model's objectives if they are infrequent (even if their value is significant) or if their value is insignificant when considered both individually and overall (even if they are frequent).

For Groupe BPCE, the “hold to collect” model applies to financing activities (excluding the loan syndication activity) carried out by retail banking, Corporate & Investment Banking and Specialized Financial Services;

- a mixed business model under which assets are managed with the objective of both receiving contractual cash flows and disposing of financial assets (“hold to collect and sell model”). Groupe BPCE applies the hold to collect and sell model primarily to the portion of portfolio management activities for securities in the liquidity reserve that is not managed solely under a hold to collect model;
- a model intended for other financial assets, especially those held for trading, for which the collection of contractual cash flows is incidental. This business model applies to the loan syndication activity (for the portion of outstandings to be sold that was identified at the outset) and to the capital market activities carried out primarily by Corporate & Investment Banking.

Types of contractual cash flows: the SPPI (Solely Payments of Principal and Interest) test

A financial asset is classified as generating solely payments of principal and interest if, on specific dates, it gives rise to cash flows that are solely payments of principal and interest on the outstanding amount due. The SPPI test should be performed for each financial asset on initial recognition.

The principal amount is defined as the financial asset’s fair value at its acquisition date. Interest is the consideration for the time value of money and the credit risk incurred on the principal amount, as well as other risks such as liquidity risk, administrative costs and the profit margin.

The instrument’s contractual terms must be taken into account to assess whether contractual cash flows are solely payments of principal and interest. All elements that may cast doubt as to whether only the time value of money and credit risk are represented must therefore be analyzed. For example:

- events that would change the amount and date of the cash; any contractual option that creates risk exposure or cash flow volatility that is not consistent with a basic lending arrangement, such as exposure to fluctuations in the price of stocks or of a market index, or the introduction of leverage, would make it impossible to categorize contractual cash flows as SPPI;
- the applicable interest rate features (for example, consistency between the rate refixing period and the interest calculation period. If a clear determination cannot be made through qualitative analysis, a quantitative analysis (a benchmark test) is carried out. This test involves comparing the contractual cash flows for the asset in question with the contractual cash flows of a benchmark asset;
- early redemption and extension conditions. For the borrower or lender, a contractual option permitting prepayment of financial instruments does not violate the SPPI test for contractual cash flows if the prepayment amount mainly represents the unpaid amounts of principal and interest and, if applicable, a reasonable additional compensation for the early termination of the contract.

Furthermore, although they do not strictly meet the criteria for compensation of the time value of money, certain assets with a regulated interest rate are classified SPPI if this regulated rate provides consideration that corresponds substantially to the passage of time and presents no exposure to a risk that would be inconsistent with a basic lending arrangement. This is the case in particular for financial assets representing the portion of Livret A passbook savings account inflows that is centralized with Caisse des Dépôts et Consignations.

Financial assets that generate SPPI are debt instruments such as fixed rate loans, floating rate loans without an interest rate tenor mismatch or that are not linked to a security or to a market index, and fixed rate or floating rate debt securities.

Non-SPPI financial assets include UCITS units, convertible bonds and mandatory convertible bonds with a fixed conversion ratio and structured loans to local authorities.

To qualify as SPPI assets, the securities held in a securitization vehicle must meet specific conditions. The contractual terms of the tranche must meet the SPPI criterion. The pool of underlying assets must meet the SPPI conditions. The risk inherent in the tranche must be lower than or equal to the exposure to the vehicle’s underlying assets.

A non-recourse loan (e.g. infrastructure financing-type project financing) is a loan secured only by physical collateral. If there is no possible recourse to the borrower, the structure of other possible recourses or protection mechanisms for the lender in the event of default must be examined in order to categorize these loans as SPPI assets: acquisition of the underlying asset, collateral provided (security deposits, margin call, etc.), enhancements provided.

Accounting categories

Debt instruments (loans, receivables or debt securities) may be measured at amortized cost, at fair value through other comprehensive income recyclable to profit or loss or at fair value through profit or loss.

A debt instrument is valued at amortized cost if it meets the following two conditions:

- the asset is held under a hold to collect business model; and
- the contractual terms of the financial asset define it as generating SPPI within the meaning of the standard.

A debt instrument is valued at fair value through other comprehensive income if it meets the following two conditions:

- the asset is held under a hold to collect and sell business model; and
- the contractual terms of the financial asset define it as generating SPPI within the meaning of the standard.

Equity instruments are, by default, recorded at fair value through profit or loss unless they qualify for an irrevocable option for valuation at fair value through other comprehensive income not recyclable to profit or loss (provided they are not held for trading purposes and accordingly classified as financial assets at fair value through profit or loss), without subsequently being reclassified through profit or loss. If opting for the latter category, dividends continue to be recognized in income.

All other financial assets are recorded at fair value through profit or loss. These financial assets include financial assets held for trading, financial assets at fair value through profit or loss and non-SPPI assets. Financial assets may only be designated at fair value through profit or loss in order to eliminate or significantly reduce an accounting mismatch. This option enables the elimination of accounting mismatches stemming from the application of different valuation rules to instruments managed under a single strategy.

Embedded derivatives are no longer recognized separately to their host contract when these are financial assets, such that the entire hybrid instrument must now be recognized at fair value through profit or loss when it does not meet the SPPI criterion.

For financial liabilities, the classification and measurement rules set out in IAS 39 are carried forward to IFRS 9 unchanged, with the exception of those applicable to financial liabilities that the entity chooses to record at fair value through profit or loss (fair value option), for which revaluation adjustments related to changes in own credit risk are recorded under gains and losses recognized directly in other comprehensive income, without being subsequently reclassified through profit or loss.

The provisions of IAS 39 on the derecognition of financial assets and liabilities remain unchanged in IFRS 9. The amendment to IFRS 9 of October 12, 2017 clarified the treatment under IFRS 9 of modifications of liabilities recognized at amortized cost if the modification does not result in derecognition: the profit or loss resulting from the difference between the original cash flows and the modified cash flows discounted at the original effective interest rate must be recognized in profit or loss.

Note 3 Consolidation

3.1 CONSOLIDATING ENTITY

Due to the Group's structure as described in Note 1, Groupe BPCE's consolidating entity includes:

- the Banques Populaires, namely the 12 Banque Populaire regional banks, CASDEN Banque Populaire and Crédit Coopératif;
- the 15 Caisses d'Epargne;
- the Mutual Guarantee Companies (*sociétés de caution mutuelle*) collectively affiliated with the Banques Populaires to which they are linked;
- the Group's central institution, BPCE.

In addition, the Group comprises:

- the subsidiaries of the Banques Populaires;
- the subsidiaries of the Caisses d'Epargne, including CE Holding Participations and its subsidiaries;
- the subsidiaries owned by the central institution, including Natixis, Crédit Foncier, Banque Palatine, the entities of the Financial Solutions and Expertise unit, BPCE International and Oney.

2.5.2 TRANSACTIONS IN FOREIGN CURRENCIES

The method used to account for assets and liabilities relating to foreign currency transactions entered into by the Group depends upon whether the asset or liability in question is classified as a monetary or a non-monetary item.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency of the Group entity on whose balance sheet they are recognized, at the exchange rate prevailing at the balance sheet date. All resulting foreign exchange gains and losses are recognized in income. However, there are two exceptions to this rule:

- only the portion of the foreign exchange gains and losses calculated based on the amortized cost of financial assets at fair value through other comprehensive income is recognized in income, with any additional gains and losses being recognized in "Gains and losses recognized directly in other comprehensive income";
- foreign exchange gains and losses arising on monetary items designated as cash flow hedges or as part of a net investment in a foreign operation are recognized in "Gains and losses recognized directly in other comprehensive income".

Non-monetary assets carried at historic cost are translated using the exchange rate prevailing at the transaction date. Non-monetary assets carried at fair value are translated using the exchange rate in effect at the date on which the fair value was determined. Foreign exchange gains and losses on non-monetary items are recognized in profit or loss if gains and losses relating to the items are recorded in profit or loss, and in "Gains and losses recognized directly in other comprehensive income" if gains and losses relating to the items are recorded in "Gains and losses recognized directly in other comprehensive income".

3.2 SCOPE OF CONSOLIDATION – CONSOLIDATION AND VALUATION METHODS

The Group's financial statements include the financial statements of all the entities over which it exercises control or significant influence, whose consolidation had a material impact on the aforementioned financial statements.

The scope of entities consolidated by Groupe BPCE is described in Note 13 – Scope of consolidation.

3.2.1 ENTITIES CONTROLLED BY THE GROUP

The subsidiaries controlled by Groupe BPCE are fully consolidated.

Definition of control

Control exists when the Group has the power to govern an entity's relevant activities, when it is exposed to or is entitled to variable returns due to its links with the entity and has the ability to exercise its power over the entity to influence the amount of returns it obtains.

The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing the control exercised. These potential voting rights may result, for example, from share call options traded on the market, debt or equity instruments that are convertible into ordinary shares, or equity warrants attached to other financial instruments. However, potential voting rights are not taken into account to calculate the percentage of ownership.

Exclusive control is presumed to exist when the Group holds directly or indirectly either the majority of the subsidiary's voting rights, or at least half of an entity's voting rights and a majority within the management bodies, or is in a position to exercise significant influence.

Special case: structured entities

Entities described as structured entities are those organized in such a way that voting rights are not a key criterion when determining who has control. This is the case in particular when voting rights only apply to administrative duties and relevant activities are managed through contractual agreements.

A structured entity frequently exhibits some or all of the following characteristics:

- (a) well-defined activities;
- (b) a specific and well-defined aim, for example: implementing a lease eligible for specific tax treatment, carrying out research and development, providing an entity with a source of capital or funding, or providing investors with investment options by transferring associated risk and advantages to the structured entity's assets;
- (c) insufficient equity for the structured entity to finance its activities without subordinated financial support;
- (d) financing through the issue, to investors, of multiple instruments inter-related by contract and which create concentrations of credit risk or other risks ("tranches").

The Group therefore considers, among others, collective investment undertakings within the meaning of the French Monetary and Financial Code and equivalent bodies governed by foreign law as structured entities.

Full consolidation method

The full consolidation of a subsidiary in the Group's consolidated financial statements begins at the date on which the Group takes control and ends on the day on which the Group loses control of this entity.

The portion of interest which is not directly or indirectly attributable to the Group corresponds to a non-controlling interest.

Income and all components of other comprehensive income (gains and losses recognized directly in other comprehensive income) are divided between the Group and non-controlling interests. The comprehensive income of subsidiaries is divided between the Group and non-controlling interests, including when this division results in the allocation of a loss to non-controlling interests.

Changes to the percentage interest in subsidiaries that do not lead to a change in control are recognized as transactions affecting equity.

The effects of these transactions are recognized in equity at their after-tax amount and therefore do not impact consolidated income attributable to equity holders of the parent.

Exclusion from the scope of consolidation

Non-material controlled entities are excluded from the scope in accordance with the principle set out in Note 13.5.

Employee pension funds and supplementary health insurance plans are excluded from the scope of consolidation insofar as IFRS 10 does not apply to either post-employment benefit funds or other long-term employee benefit plans, to which IAS 19, "Employee Benefits", applies.

Likewise, interests acquired with a view to their subsequent short-term disposal are recorded as available for sale and recognized in accordance with the provisions of IFRS 5 "Non-current assets held for sale and discontinued operations".

3.2.2 INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

Definition

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of an entity, without exercising control or joint control over those policies. It is presumed to exist if the Group holds, directly or indirectly, 20% or more of the voting rights of an entity.

A joint venture is a partnership in which the parties which exercise joint control over the entity have rights over its net assets.

Joint control is the contractually agreed sharing of control over a company, which exists only when the strategic decisions require the unanimous consent of the parties sharing control.

Equity method

Income, assets and liabilities of investments in associates and joint ventures are accounted for in the Group's consolidated financial statements using the equity method.

An investment in an associate or a joint venture is initially recognized at its acquisition cost and subsequently adjusted for the Group share in the income and other comprehensive income of the associate or joint venture.

The equity method is applied from the date on which the entity becomes an associate or a joint venture. On the acquisition of an associate or a joint venture, the difference between the cost of investment and the Group's share in the net fair value of the entity's identifiable assets and liabilities is recognized in goodwill. When the net fair value of the entity's identifiable assets and liabilities is higher than the cost of investment, the difference is recognized in income.

The share of net income of entities accounted for under the equity method is included in the Group's consolidated income.

When a Group entity carries out a transaction with a Group joint venture or associate, the profit or loss resulting from this transaction is recognized in interests held by third parties in the associate or joint venture.

The net investment in an associate or joint venture is subject to impairment testing if there is objective evidence of impairment arising from one or more events occurring after the initial recognition of the net investment and if the events have an impact on estimated cash flows, provided this impact can be reliably calculated.

In such cases, the total carrying amount of the investment (including goodwill) is subject to impairment testing in accordance with the provisions of IAS 36 "Impairment of assets".

Exception to the equity method

When the investment is held by a venture capital organization, an investment fund, an investment company with variable share capital or a similar entity such as an insurance asset investment fund, the investor may choose not to recognize the investment using the equity method. In this case, revised IAS 28 "Investments in associates and joint ventures" authorizes the investor to recognize the investment at its fair value (with changes in fair value recognized in income) in accordance with IFRS 9.

These investments are therefore recognized as "Financial assets at fair value through profit or loss".

The Natixis group's private equity subsidiaries have chosen to measure their investments in this way, considering that this valuation method provides more relevant information.

3.2.3 INVESTMENTS IN JOINT ACTIVITIES

Definition

A joint activity is a partnership where parties that have joint control over an entity have direct rights over the entity's assets, and obligations for its liabilities.

Accounting treatment of joint activities

An investment in a joint enterprise is accounted for by integrating all interests held in the joint activity, *i.e.* the entitled share in each asset and liability and item of income. These interests are allocated by nature to the various lines of the consolidated balance sheet, consolidated income statement and the statement of net income and gains and losses recognized directly in other comprehensive income.

3.3 CONSOLIDATION RULES

The consolidated financial statements are prepared using uniform accounting policies for reporting similar transactions in comparable circumstances. Where material, consolidation adjustments are made to ensure the consistency of the measurement methods applied by consolidated entities.

3.3.1 FOREIGN CURRENCY TRANSACTIONS

The consolidated financial statements are expressed in euros.

Balance sheet items of foreign subsidiaries and branches whose functional currency is not the euro are translated using the exchange rate in force at the balance sheet date. Income and expense items are translated at the average exchange rate for the period, which is the approximate value of the transaction price if there are no significant fluctuations.

Foreign exchange rate adjustments arise from a difference in:

- net income for the period translated at the average rate and at the closing rate;
- equity (excluding net income for the period) translated at the historic exchange rate and at the year-end rate.

The portion attributable to equity holders of the parent is recorded in equity under "Foreign exchange rate adjustments" and the portion attributable to minority shareholders under "Non-controlling interests".

3.3.2 ELIMINATION OF INTRA-GROUP TRANSACTIONS

The impact of intercompany transactions on the consolidated balance sheet and consolidated income statement is eliminated. Dividends, as well as gains and losses on intercompany asset disposals, are also eliminated. Where appropriate, capital losses from asset disposals resulting in impairment are maintained.

3.3.3 BUSINESS COMBINATIONS

In accordance with revised IFRS 3, "Business combinations" and IAS 27, "Consolidated and separate financial statements":

- combinations between mutual insurers are included within the scope of IFRS 3;
- costs directly linked to business combinations are recognized in net income for the period;
- contingent considerations payable are included in the acquisition cost at their fair value at the date of acquisition of a controlling interest in an entity, even if they are only potential. Depending on the settlement method, transferred considerations are recognized against:
 - capital and later price revisions will not be booked,
 - or debts and later adjustments are recognized against income (financial debts) or according to the appropriate standards (other debts outside the scope of IFRS 9);
- on an entity's acquisition date, non-controlling interests may be valued:
 - either at fair value (method resulting in the allocation of a share of the goodwill to non-controlling interests),
 - or at the share in the fair value of the identifiable assets and liabilities of the entity acquired (method similar to that applicable to transactions prior to December 31, 2009).

The choice between these two methods must be made for each business combination.

Whatever method is chosen when the acquisition is made, increases in the percentage of interest in an entity already controlled are systematically recognized in capital:

- when an entity is acquired, any share previously held by the Group must be revalued at fair value through profit or loss. Consequently, in the event of a step acquisition, goodwill is determined by referring to the fair value at the acquisition date;
- when the Group loses control of a consolidated company, any share previously held by the Group must be revalued at fair value through profit or loss.

All business combinations that occurred prior to the revisions of IFRS 3 and IAS 27 are accounted for by applying the purchase method, except business combinations involving two or more mutual insurers or entities under joint control, as these transactions were explicitly excluded from the scope of application.

3.3.4 PURCHASE COMMITMENTS GRANTED TO MINORITY SHAREHOLDERS OF FULLY CONSOLIDATED SUBSIDIARIES

The Group has entered into commitments with minority shareholders of certain fully consolidated Group subsidiaries to buy out their shares. These buyback commitments are optional commitments (sales of put options). The exercise price for these options may be an amount fixed contractually, or may be established according to a calculation formula defined upon the acquisition of the subsidiary's securities and taking into account its future activity, or may be set as the fair value of the subsidiary's securities on the day on which the options are exercised.

For accounting purposes, these commitments are treated as follows:

- pursuant to the provisions of IAS 32, the Group recognizes a financial liability with respect to the put options sold to minority shareholders in fully-consolidated entities. This liability is initially recognized at the discounted value of the put option exercise price under "Other liabilities";
- the obligation to record a liability even though the put options are not exercised means, for purposes of consistency, that the same accounting treatment as that for transactions related to non-controlling interests must be applied. As a result, the corresponding entry for this liability is deducted from "Non-controlling interests" underlying the options and the balance is deducted from "Retained earnings attributable to equity holders of the parent";
- subsequent changes in this liability relating to any change in the estimated exercise price of the options and the carrying amount of "Non-controlling interests" are fully booked as "Retained earnings attributable to equity holders of the parent";
- in the event of a buyback, the liability is settled by the cash payment related to the acquisition of minority shareholders' stakes in the subsidiary in question. However, when the commitment expires, if the buyback does not take place, the liability is written off against non-controlling interests and "Retained earnings attributable to equity holders of the parent" according to their respective amounts;
- as long as the options have not been exercised, results from non-controlling interests subject to put options are included in the consolidated income statement as "Non-controlling interests".

3.3.5 CONSOLIDATED ENTITIES' BALANCE SHEET DATE

The entities included in the scope of consolidation close their accounts on December 31.

3.4 CHANGES IN THE SCOPE OF CONSOLIDATION DURING FISCAL YEAR 2020

The main changes in the scope of consolidation in the 2020 fiscal year are presented below:

CHANGES IN THE OWNERSHIP INTEREST IN SUBSIDIARIES (WITH NO IMPACT ON CONTROL)

Change in the Group's ownership interest in Natixis

Following a number of transactions involving its own shares, the Group's stake in Natixis stood at 70.66% at December 31, 2020 (versus 70.68% at December 31, 2019). The impact of this change on Equity attributable to equity holders of the parent was not material.

LOSS OF CONTROL

Change in the method of consolidation of Coface by Natixis

Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3).

OTHER CHANGES IN SCOPE

Newly consolidated entities

Creation of the entity Loomis Sayles Operating Services LLC by Natixis in the second quarter of 2020. This entity provides operational support for asset management activities (services, IT infrastructure).

During the third quarter of 2020, consolidation of Loire Centre Immo in the scope of Caisse d'Epargne Loire Centre and of Val de France Transactions in that of Banque Populaire Val de France.

During the fourth quarter, consolidation of SAS Foncière BFCA, SAS Sud Croissance, Oney GmbH, CE Développement II and Teora.

In the fourth quarter 2020, AEW Capital Management set up the vehicle Seaport Strategic Property Program I Co-Investors, LLC, as part of the creation of a new US real estate investment fund. The new entity is 100% owned by AEW Capital Management and consolidated from December 31, 2020.

Deconsolidated entities

Sale of Oney Bank Russia in the fourth quarter 2020.

Sale of FIDOR Solution AG on December 31, 2020. This holding has been reported under IFRS 5 since the second quarter 2020.

Liquidation of LuxEquip Bail SA, a leasing subsidiary within the scope of Banque Populaire Alsace Lorraine Champagne, Oney China and FIDEPPP.

Dissolution of Sopassure: pending the creation of a new bancassurance entity incorporating CNP Assurances and Banque Postale, at the end of 2019, BPCE and La Banque Postale signed a new agreement in their capacity as shareholders of CNP Assurances (with stakes of 16.11% and 62.13% respectively). The new agreement, which expires in 2030, led to the winding up in January 2020 of their joint holding company, Sopassure, without this having any impact on Groupe BPCE's percentage holding in CNP Assurances or its significant influence over this group.

Deconsolidation of investments in Société d'Exploitation MAB (SEMAB), Thematics Meta Fund, Thematics AI and Robotics Fund, Selection Protection 85, SCI Marcel Paul Ecureuil, SCI Noyelles and SCI Lavoisier Ecureuil, after they fell below the threshold for consolidation.

Mergers and full transfers of assets and liabilities

Merger of Holassure into BPCE SA on December 14, 2020, making BPCE a direct shareholder in CNP.

Absorption of Fipromer by INGEPAR, SA Baltiq by COFIBRED, SCI Ecureuil du Plan Sarrain by Caisse d'Epargne Côte d'Azur, Oney Service, Oney Invest, FR FNP and NAT SEC by Oney Bank, and ID Expert by Oney Trust.

Restructuring

Natixis Investment Managers (NIM) simplified the organizational structure of its asset management holding companies in the United States.

As of January 1, 2020, Natixis US Holdings, Inc. absorbed Natixis Investment Managers LLC, a holding company with a non-material interest (1%) in Natixis Investment Managers LP, a company whose remaining capital (99%) was wholly owned by Natixis US Holdings Inc.

As part of this transaction, Natixis US Holdings Inc. was transformed into Limited Liability Company (LLC) and then renamed Natixis Investment Managers US Holdings LLC.

On January 1, 2020, Natixis Investment Managers LP absorbed Natixis Investment Managers Holdings LLC, a holding company with a non-material indirect interest (1% to 2%) in various US affiliates (including Loomis, Harris, AEW Capital Management, Vaughan Nelson). The remaining capital in these affiliates was wholly owned by Natixis Investment Managers LP.

As part of this transaction, Natixis Investment Managers LP was transformed into a Limited Liability Company (LLC) and renamed Natixis Investment Managers LLC.

In the first quarter of 2020, Natixis ASG Holdings Inc. absorbed Alternative Strategies Group LLC, a wholly owned subsidiary. Alternative Strategies Group LLC was previously the holding company of AlphaSimplex Group LLC, of which it held all the capital.

3.5 GOODWILL

3.5.1 VALUE OF GOODWILL

in millions of euros

	12/31/2020	12/31/2019
Opening net value	4,665	4,489
Acquisitions	52	233
Disposals ⁽¹⁾	(282)	(2)
Impairment		(88)
Other changes		(1)
Foreign exchange rate adjustments	(128)	34
CLOSING NET VALUE	4,307	4,665

(1) Acquisition of a 55% stake in La Banque Postale AM following the merger of Natixis IM's fixed-income and insurance asset management activities with the latter.

(2) The Disposals line includes the goodwill booked following the loss of control of Coface (see Note 1.3).

At December 31, 2020, gross goodwill stood at €4,775 million and total impairment came to -€468 million.

Certain goodwill items recognized in the United States give rise to tax amortization over 15 years leading to a difference

between the carrying amount of the goodwill and its tax base. This difference in treatment generated a deferred tax liability of €321 million at December 31, 2020, compared with €347 million at December 31, 2019.

Breakdown of goodwill

	Carrying amount	
<i>in millions of euros</i>	12/31/2020	12/31/2019
Regional Banks ⁽¹⁾	633	633
Banque BCP France	42	42
Other	8	8
Retail banking	683	683
Oney Bank	170	170
Other Networks	170	170
Financial Solutions & Expertise	20	20
Insurance	39	39
Equity interests (Coface)⁽²⁾		282
Payments	137	137
Retail Banking and Insurance	1,049	1,331
Asset & Wealth Management	3,123	3,190
Corporate & Investment Banking	135	144
TOTAL GOODWILL	4,307	4,665

(1) Regional banks: Banque de Savoie, goodwill carried by Banque Populaire du Sud (transfer of Banque Dupuy, de Parseval's and Banque de Marze's goodwill, post-merger), goodwill carried by Banque Populaire Aquitaine Centre Atlantique (transfer of the goodwill of CCSO – Pelletier post-merger) and goodwill carried by Banque Populaire Méditerranée (transfer of Banque Chaix's goodwill, post-merger).

(2) Including +€138 million recognized on the acquisition of Oney Bank by BPCE in 2019 and +€32 million in goodwill recorded on the books of Oney Bank.

(3) Including -€282 million corresponding to the cancellation of goodwill following the loss of control of Coface (see Note 1.3).

(4) Including +€52 million following the acquisition of a 55% stake in La Banque Postale AM following the merger of Natixis IM's fixed-income and insurance asset management activities with the latter (see Note 1.3).

3.5.2 GOODWILL IMPAIRMENT TESTS

All of the goodwill underwent impairment testing, based on the value in use of the Cash Generating Units (CGU) they are related to.

At December 31, 2020, the Regional Banks CGU represents the sum of the CGUs of the following banks: BP Aquitaine Centre Atlantique, Retail Banque Populaire Sud CGU, Retail Groupe Banque Populaire Auvergne Rhône Alpes CGU and Banque Populaire Méditerranée. Goodwill is allocated to groups of CGUs (and non-CGUs) and the financial assumptions presented for each group are averages of the assumptions for their component CGUs.

Key assumptions used to determine recoverable value

The determination of the values in use was mainly based on a discounted cash flow (DCF) of the estimated future cash flows of the CGUs, based on the latest forecasts of the business line's earnings, adjusted to take account of the health crisis. For Corporate & Investment Banking, in an extremely uncertain environment (impact of the crisis on market and credit activities, regulatory changes, etc.), in which a DCF valuation was deemed insufficient for this CGU at December 31, 2020, the impairment test was rounded out by an earnings multiple valuation for the scope of the M&A activity (which bears all goodwill at December 31, 2020), as this approach is more meaningful.

The following assumptions were used:

	Discount rate	Long-term growth rate
Retail Banking & Insurance		
Regional banks	7.0% - 7.5%	2.0%
Insurance	7.6%	2.5%
Payments	6.7%	2.5%
Financial Solutions & Expertise;	8.0%	2.0%
Asset & Wealth Management	7.6%	2.0%
Corporate & Investment Banking	9.5%	2.5%

- estimated future cash flows: data from the most recent multi-year earnings projections for each business line, drawn up in the course of preparing Natixis's strategic plan;
- perpetual growth rate: set at 2.5% for the Insurance and Payments CGUs and for Corporate & Investment Banking's M&A activity, based on the growth outlook supported by their level of activity and resilience in the face of the crisis. The perpetual growth rate is unchanged at +2% for the Asset & Wealth Management CGU in a context still marked by intense stock market volatility. The perpetual interest rate was set at +2% for all CGUs for the June 30, 2020 test;
- discount rate: a different rate was applied to each CGU: 7.6% for Asset & Wealth Management (versus 9.1% at December 31, 2019), 9.5% for Corporate & Investment Banking (versus 11.4% at December 31, 2019), 7.6% for Insurance (versus 10.6% at December 31, 2019) and 6.7% for Payments (versus 6.9% at December 31, 2019).

Market data are now calculated on a 5-year historical basis (was 10 years) to reflect a period more representative of current trading conditions for the CGUs, notably the constant fall in interest rates since the euro zone crisis. This change in methodology is the main reason for the reduction in discount rates this year.

And, in more detail, the discount rates were determined by factoring in the following:

- for the Insurance and Payments CGUs, the 10-year OAT risk-free rate of return averaged over a depth of 5 years;
- for the Asset & Wealth Management and Corporate & Investment Banking CGUs, the average of the 10-year OAT and the US 10-year, averaged over a depth of 5 years. This is then increased by a risk premium based on a sample of representative companies in the CGU, averaged over a depth of 5 years;

- for the Financial Solutions & Expertise CGU, a risk-free rate (10-year OAT) over a depth of 9 years, plus a risk premium calculated based on a sample of listed European banks with a similar banking business, while factoring in the specific characteristics of these institutions;
- for the Regional Bank CGU, a risk-free rate (10-year OAT) over a depth of 9 years, plus a risk premium calculated based on a sample of listed European banks with a similar banking business, while factoring in the specific characteristics of these institutions.

These tests did not lead to the recognition of any impairment at December 31, 2020.

Sensitivity of recoverable values

A 50 bp increase in discount rates (assumption based on the historical annual variability observed over one year using 2012-2020 historical data) combined with a 50 bp reduction in perpetual growth rates would reduce the value in use of CGUs by:

- -13% for the Asset & Wealth Management CGU;
- -12% for the Corporate & Investment Banking CGU (M&A activity);
- -14% for the Insurance CGU;
- -17% for the Payments CGU;
- -6.3% for the Financial Solutions & Expertise CGU.
- -7.1% for the Regional Banks CGU.

and would not lead to the recognition of any impairment losses for these CGUs.

Similarly, the sensitivity of these CGUs' future cash flows, as forecast in the business plan, to changes in the main assumptions would not significantly affect their recoverable value:

- for Asset & Wealth Management, a 10% decline in the equity markets (a uniform decline across all years) would have a -10% negative impact on the CGU's recoverable value and would not lead to the recognition of impairment;
- for Corporate & Investment Banking, sensitivity to the dollar or to higher liquidity costs would have a limited impact on net banking income and would not result in the recognition of impairment;
- for the Insurance CGU:

the main vector of sensitivity for life insurance is interest rates and the financial markets but various steps are being taken to reduce their impact (diversification of investments, reserves, hedging of equity positions, etc.). Accordingly, the impact on the income statement is limited and would not significantly affect the CGU's value;

for non-life insurance, the main vector of sensitivity is the loss ratio, which is notably measured *via* the combined ratio. The New Dimension strategic plan, sets this ratio at below 94%. A one-point deterioration in this ratio over all years would lead to

a limited decline of 3% in the value of the CGU, with no impact on impairment;

- for the Payments CGU, in terms of business activity, the division's business model is diversified, with i) a historic payments business line for the Groupe BPCE networks, posting a highly recurring business volume over the years (and strong momentum in electronic payments) and ii) a portfolio of fintechs offering multiple products to Group and external customers (book entry securities, merchant solutions, e-commerce, solutions for Works Councils, etc.). This business model generates lower volatility in earnings trends;
- for Financial Solutions & Expertise, the sensitivity of future cash flows, as forecast in the business plan, to a 5%-point fall in recurring net income combined with an increase in the target prudential ratio of 25 basis points would have a negative impact on the CGU's value of 5.3% and would have no impact in terms of impairment;
- for the Regional Banks, the sensitivity of future cash flows, as forecast in the business plan, to a 5%-point fall in recurrent net income combined with an increase in the target prudential ratio of 25 basis points would have a negative impact on the CGU's value of 4.5% and would have no impact in terms of impairment.

Note 4 Notes to the income statement

Key points

Net banking income (NBI) includes:

- interest income and expenses;
- fees and commissions;
- net gains or losses on financial instruments at fair value through profit or loss;
- net gains or losses on financial instruments at fair value through other comprehensive income;
- net gains or losses resulting from the derecognition of financial assets at amortized cost;
- net income from insurance businesses;
- income and expenses from other activities.

4.1 INTEREST AND SIMILAR INCOME AND EXPENSES

Accounting principles

Interest income and expenses are recognized in the income statement for all financial instruments measured at amortized cost using the Effective Interest Method, which include interbank and customer items, the portfolio of securities at amortized cost, subordinated debt and lease liabilities. This item also includes interest receivable on fixed income securities classified as financial assets at fair value through other comprehensive income and hedging derivatives, it being specified that accrued interest on cash flow hedging derivatives is taken to income in the same manner and period as the accrued interest on the hedged item.

Interest income also consists of interest on non-SPPI debt instruments not held under a trading model as well as interest on the related economic hedges (classified by default as instruments at fair value through profit or loss).

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to the net carrying amount of the financial asset or financial liability.

The effective interest rate calculation takes account of all transaction fees paid or received as well as premiums and discounts. Transaction fees paid or received that are an integral part of the effective interest rate of the contract, such as loan set-up fees and commissions paid to financial partners, are treated as additional interest.

Over the 2020 fiscal year, negative interests are presented as follows:

- when income from a financial asset is negative, it is deducted from interest income;
- when income from a financial liability is negative, it is deducted from interest income.

For the year 2019, negative interest was presented net of positive interest on financial assets and liabilities, respectively.

	Fiscal year 2020			Fiscal year 2019		
	Interest income	Interest expenses	Net	Interest income	Interest expenses	Net
<i>(in millions of euros)</i>						
Loans to/borrowings from banks ⁽¹⁾	1,510	(817)	693	1,123	(597)	526
Loans to/borrowings from customers	14,557	(3,768)	10,789	15,965	(4,738)	11,227
Bonds and other debt securities held/issued	780	(3,309)	(2,529)	915	(4,323)	(3,408)
Subordinated debt		(624)	(624)		(664)	(664)
Lease liabilities		(17)	(17)		(25)	(25)
Financial assets and liabilities at amortized cost (excluding finance leases)	16,847	(8,535)	8,312	18,003	(10,347)	7,656
Finance leases	462	///	462	467	///	467
Debt securities	462		462	587		587
Financial assets at fair value through other comprehensive income	462		462	587		587
TOTAL FINANCIAL ASSETS AND LIABILITIES AT AMORTIZED COST AND AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME⁽²⁾	17,771	(8,535)	9,236	19,057	(10,347)	8,710
Non-standard financial assets held for trading	119		119	114		114
Hedging derivatives	4,135	(4,357)	(222)	4,306	(4,751)	(445)
Economic hedging derivatives	270	(132)	138	668	(386)	282
Other interest income and charges		(101)	(101)			
TOTAL INTEREST INCOME AND EXPENSES	22,295	(13,125)	9,170	24,145	(15,484)	8,661

(1) Interest income from loans and receivables with banks consists of €613 million (€737 million in 2019) collected on the Livret A, LDD and LEP passbook savings accounts, which are deposited with Caisse des Dépôts et Consignations.

(2) Interest income from financial assets with a known credit risk (S3) amounted to €430 million in 2020 (versus €493 million in 2019), of which €429 million in financial assets at amortized cost (€490 million in 2019).

4.2 FEE AND COMMISSION INCOME AND EXPENSES

Accounting principles

Under IFRS 15 "Revenue from contracts with customers", recognition of revenue from ordinary activities reflects the transfer of control of goods and services promised to customers in an amount corresponding to the consideration that the entity expects to receive in exchange for these goods and services. The recognition of this revenue calls for a five-step approach:

- identification of contracts with customers;
- identification of specific performance obligations (or items) to be recognized separately from one another;
- determination of the overall transaction price;
- allocation of the transaction price to the various specific performance obligations;
- recognition of revenue when performance obligations are met.

This approach applies to contracts entered into by an entity with its customers, with the exception of leases (covered by IFRS 16), insurance contracts (covered by IFRS 4) and financial instruments (covered by IFRS 9). If specific stipulations relating to revenue or contract costs are given under a different standard, these will first be applied.

This method primarily applies to the following Group activities:

- fee and commission income, notably that relating to banking services when this income is not included in the effective interest rate, or that relating to asset management or financial engineering services;
- income from other activities (see Note 4.6), in particular for services included in leases.

As a result, fees and commissions are recorded based on the type of service rendered and on the method of accounting for the financial instruments to which the service relates.

This line includes mainly fees and commissions receivable or payable on recurring services (payment processing, custody fees, etc.) and occasional services (fund transfers, late payment penalties, etc.), fees and commissions receivable or payable on execution of significant transactions, and fees and commissions receivable or payable on trust assets held or managed on behalf of the Group's customers.

However, fees and commissions that form an integral part of the effective yield on a contract are recorded under "Net interest income".

Commissions on services

Commissions on services are analyzed to separately identify their different items (or performance obligations) and to assign the appropriate share of revenues to each item. Each item is then recorded in the income statement by type of service provided, and according to the method used to recognize the associated financial instrument:

- commissions payable or receivable on recurring services are deferred over the period in which the service is provided (payment processing, custody fees, etc.);
- commissions payable or receivable on occasional services are recognized in full in income when the service is provided (fund transfers, payment penalties, etc.);
- commissions payable or receivable on execution of a significant transaction are recognized in full in income on completion of the transaction.

When there is some uncertainty about the amount of a commission (incentive fee in asset management, variable financial engineering commission, etc.), only the amount that the Group is already certain to receive, given the information available at the end of the fiscal year, is recognized.

Fees and commissions that form an integral part of the effective yield on an instrument, such as fees on loan commitments given or loan set-up fees, are recognized and amortized as an adjustment to the effective interest rate over the estimated term of the applicable loan. These fees and commissions are recognized as "Interest income" rather than "Fee and commission income".

Fiduciary and similar fees and commissions are those that result in assets being held or invested on behalf of individual customers, pension schemes or other institutions. Trust-management services mainly cover asset management business and custody services on behalf of third parties.

	Fiscal year 2020			Fiscal year 2019		
	Income	Expense	Net	Income	Expense	Net
<i>in millions of euros</i>						
Cash and interbank transactions	58	(47)	11	24	(55)	(31)
Customer transactions	2,725	(29)	2,696	2,986	(38)	2,948
Financial services	407	(159)	248	515	(604)	(89)
Sales of life insurance products	1,242	///	1,242	1,222	///	1,222
Payment services	1,720	(508)	1,211	1,754	(599)	1,155
Securities transactions	270	(186)	84	222	(139)	83
Trust management services ⁽¹⁾	3,545	(10)	3,535	4,133	(4)	4,128
Financial instruments and off-balance sheet transactions	533	(472)	61	446	(110)	336
Other fee and commission income/(expense)	302	(203)	99	305	(474)	(169)
TOTAL FEE AND COMMISSION INCOME AND EXPENSES⁽²⁾	10,802	(1,615)	9,187	11,607	(2,022)	9,585

(1) Including performance fees of €314 million (of which €286 million for Europe) in 2020 compared to €627 million (of which €537 million for Europe) in 2019.

(2) At December 31, 2019, Coface contributed net fees and commissions of -€127 million (+€59 million in income and -€186 million in expenses, primarily recorded under Other).

4.3 NET GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

This item includes gains and losses (including the related interest) from financial assets and liabilities classified as held for trading or designated at fair value through profit or loss.

“Gains and losses on hedging transactions” include gains and losses arising from the revaluation of derivatives used as fair value hedges, as well as gains and losses from the revaluation of the hedged item in the same manner, the revaluation at fair value of the macro-hedged portfolio and the ineffective portion of cash flow hedges.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Gains and losses on financial instruments mandatorily recognized at fair value through profit or loss⁽¹⁾	1,612	5,974
Gains and losses on financial instruments designated at fair value through profit or loss	(689)	(3,739)
• Gains and losses on financial assets designated at fair value through profit or loss	(14)	(9)
• Gains and losses on financial liabilities designated at fair value through profit or loss	(675)	(3,730)
Gains and losses on hedging transactions	(57)	(305)
• Ineffective portion of cash flow hedges (CFH)	(8)	(2)
• Ineffective portion of fair value hedges (FVH)	(49)	(303)
<i>Changes in fair value hedges</i>	<i>(161)</i>	<i>(822)</i>
<i>Changes in hedged items</i>	<i>112</i>	<i>519</i>
Gains and losses on foreign exchange transactions	274	293
TOTAL NET GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	1,140	2,223

(1) In 2020, “Gains and losses on financial instruments mandatorily recognized at fair value through profit or loss” included:

- impairments taken against the fair value of CDS entered into with monoline insurers: an increase of €5 million was recorded in 2020 versus a decrease of €2 million in 2019 (excluding currency effects), taking cumulative impairment to €30 million at December 31, 2020 compared to €25 million at December 31, 2019;
- changes in the fair value of derivatives, in the amount of -€37 million, arising from the increase in impairment for counterparty risk (Credit Valuation Adjustment – CVA), in the amount of -€58 million due to the consideration of non-performance risk in the valuation of derivative financial liabilities (Debit Valuation Adjustment – DVA), and in the amount of -€24 million due to the inclusion of an adjustment for funding costs (Funding Valuation Adjustment – FVA).

DAY ONE PROFIT

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Day one profit at the start of the year	122	87
Deferred profit on new transactions	137	118
Profit recognized in income during the year	(95)	(84)
DAY ONE PROFIT AT YEAR-END	164	122

4.4 NET GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Accounting principles

Financial assets at fair value through other comprehensive income include:

- SPPI debt instruments managed under a hold to collect and sell business model at fair value through other comprehensive income recyclable to profit or loss. If they are sold, changes in fair value are taken to income;
- equity instruments at fair value through other comprehensive income not recyclable to profit or loss. In the event of disposal, changes in fair value are not transferred to profit or loss but are taken directly to retained earnings. Only dividends affect income when they correspond to a return on investment.

Changes in the value of SPPI debt instruments managed under a hold to collect and sell business model recognized at fair value through other comprehensive income recyclable to profit or loss include:

- income and expenses recognized in net interest income;
- net gains or losses on derecognized debt financial assets at fair value through other comprehensive income;
- impairment/reversals recognized in "Cost of credit risk";
- gains and losses recognized directly in other comprehensive income.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Net gains or losses on debt instruments	92	28
Net gains or losses on equity instruments (dividends)	138	170
TOTAL GAINS OR LOSSES ON FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	230	198

4.5 NET GAINS OR LOSSES ARISING FROM THE DERECOGNITION OF FINANCIAL ASSETS AT AMORTIZED COST

Accounting principles

This item includes net gains or losses on financial assets at amortized cost arising from the derecognition of financial assets at amortized cost (loans and receivables, debt securities) and financial liabilities at amortized cost.

<i>in millions of euros</i>	Fiscal year 2020			Fiscal year 2019		
	Gains	Losses	Net	Gains	Losses	Net
Loans or receivables due from banks	13		13	98	(60)	38
Loans or receivables due from customers	5	(2)	3	22	(3)	19
Debt securities	52	(54)	(2)	174	(161)	13
Gains and losses on financial assets at amortized cost	70	(56)	14	294	(224)	70
Amounts due to banks	1	(15)	(14)	66	(122)	(57)
Debt securities	21	(3)	18	1	(4)	(3)
Gains and losses on financial liabilities at amortized cost	22	(18)	4	67	(126)	(59)
TOTAL GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT AMORTIZED COST	92	(74)	18	361	(350)	11

4.6 INCOME AND EXPENSES FROM OTHER ACTIVITIES

Accounting principles

Income and expenses from other activities mainly include:

- income and expenses on investment property (rental income and expense, gains and losses on disposals, depreciation, amortization and impairment);
- income and expenses on operating leases;
- income and expenses on real estate development activities (revenues, purchases used).

in millions of euros	Fiscal year 2020			Fiscal year 2019		
	Income	Expense	Net	Income	Expense	Net
Income and expenses from real estate activities	8	(3)	5	5	(1)	4
Income and expenses from leasing transactions	491	(433)	58	584	(517)	67
Income and expenses from investment property	99	(69)	30	142	(62)	80
Share of joint ventures	9	(15)	(7)	36	(13)	23
Transfers of expenses and income	9	(8)	1	7	(5)	2
Other operating income and expenses	485	(347)	138	504	(396)	108
Net additions to/reversals from provisions to other operating income and expenses	18		18	38		38
Other income and expenses	522	(370)	152	586	(414)	171
TOTAL INCOME AND EXPENSES FROM OTHER ACTIVITIES	1,120	(875)	245	1,316	(994)	322

Income and expenses from insurance businesses are presented in Note 9.

4.7 OPERATING EXPENSES

Accounting principles

Operating expenses include mainly payroll costs (wages and salaries net of rebilled amounts), social security charges, and employee benefit expenses such as pension costs. Operating expenses also include the full amount of administrative expenses and external service costs.

in millions of euros	Fiscal year 2020	Fiscal year 2019
Payroll costs	(10,029)	(10,555)
Taxes other than on income ⁽¹⁾	(924)	(893)
External services and other operating expenses	(4,374)	(4,861)
Other administrative costs	(5,298)	(5,754)
TOTAL OPERATING EXPENSES⁽²⁾	(15,327)	(16,309)

(1) Taxes other than on income include, in particular, the contribution to the SRF (Single Resolution Fund) for an annual amount of €400 million in 2020 (compared to €375 million in 2019) and the TSC (Tax for the Support of Local Authorities) for an annual amount of €21 million in 2020 (compared to €19 million in 2019).

(2) Operating expenses include €425 million in transformation and restructuring costs in 2020 compared to €440 million in 2019.

The breakdown of payroll costs is provided in Note 8.1.

Contributions to banking resolution mechanisms

The procedure for financing the deposit and resolution guarantee fund was changed by a Ministerial Order dated October 27, 2015. For the Deposit Guarantee Fund, the cumulative amount of contributions made to the fund by the Group for deposit, collateral and securities guarantee mechanisms amounts to €982 million. Contributions (which are non-refundable in the event of a voluntary withdrawal of approval to operate) represent €239 million. Contributions paid in the form of partner or association certificates and cash security deposits, recognized as assets on the balance sheet, total €743 million.

European directive 2014/59/EU, known as the BRRD (the Bank Recovery and Resolution directive), which sets out a framework for the recovery and resolution of banks and investment firms, and European Regulation 806/2014 (the Single Resolution Mechanism (SRM) Regulation) set up a resolution fund from 2015. In 2016, this fund became a Single Resolution Fund (SRF) between the Member States participating in the Single Supervisory Mechanism (SSM). The SRF is a resolution funding mechanism available to the resolution authority (Single Resolution Council). The latter may draw on this fund in the context of the implementation of the resolution procedures.

The Single Resolution Board set the level of contributions for 2020 in accordance with Delegated Regulation 2015/63 and Implementing Regulation 2015/81 supplementing the BRRD on *ex-ante* contributions to bank resolution financing mechanisms. The amount of contributions paid by the Group totaled €470 million, of which €400 million recognized as an expense and €70 million in cash security deposits recognized as assets on the balance sheet (15% of funds in cash security deposits). The cumulative amount of contributions recognized as assets on the balance sheet totaled €330 million at December 31, 2020.

4.8 GAINS OR LOSSES ON OTHER ASSETS

Accounting principles

This item includes gains and losses on disposals of property, plant and equipment and intangible assets, as well as gains and losses on disposals of consolidated investments in associates.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Gains or losses on disposals of property, plant and equipment and intangible assets used in operations	14	10
Gains or losses on disposals of consolidated investments	(303)	(9)
TOTAL GAINS OR LOSSES ON OTHER ASSETS	(289)	1

In 2020, gains or losses on disposals of consolidated investments mainly reflect the sale of Coface and H2O and the transactions in the Fidor group (see Note 1.3).

Note 5 Notes to the balance sheet

5.1 CASH AND CENTRAL BANKS

Accounting principles

This item mainly includes cash and assets held with central banks at amortized cost.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Cash	2,739	2,924
Central banks	150,664	77,320
TOTAL CASH AND CENTRAL BANKS	153,403	80,244

5.2 FINANCIAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

Financial assets and liabilities at fair value through profit or loss comprise instruments held for trading, including derivatives; certain assets and liabilities that the Group chose to recognize at fair value at their date of acquisition or issue using the fair value option available under IFRS 9; and non-SPPI assets.

Date of recognition

Securities are recorded in the balance sheet on the settlement-delivery date.

Temporary sales of securities are also recorded on the settlement/delivery date.

When such transactions are recorded under "Assets and liabilities at fair value through profit or loss", the commitment is recorded as an interest rate derivative.

The first-in, first-out (FIFO) method is applied to any partial disposals of securities, except in special cases.

5.2.1 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

Financial assets at fair value through profit or loss are:

- financial assets held for trading, *i.e.* securities acquired or issued principally for the purpose of selling them in the near term;
- financial assets that the Group has chosen to recognize at fair value through profit or loss at inception using the fair value option available under IFRS 9. The qualifying criteria used when applying this option are described above;
- non-SPPI debt instruments;
- equity instruments measured by default at fair value through profit or loss (which are not held for trading purposes).

These assets are measured at fair value at the date of initial recognition and at each balance sheet date. Changes in fair value over the period, interest, dividends, and gains or losses on disposals on these instruments are recognized in "Net gains or losses on financial instruments at fair value through profit or loss", with the exception of non-SPPI debt financial assets whose interest is recorded in "Interest income".

Financial assets in the trading book mainly include proprietary securities transactions, repurchase agreements and derivative instruments contracted by the Group to manage its risk exposure.

Assets designated at fair value through profit or loss

IFRS 9 allows entities to designate financial assets at fair value through profit or loss on initial recognition. However, an entity's decision to do so may not be reversed.

Compliance with the criteria stipulated by the standard must be verified prior to any recognition of an instrument using the fair value option.

This option may only be applied to eliminate or significantly reduce an accounting mismatch. Applying the option eliminates accounting mismatches stemming from the application of different valuation rules to instruments managed under a single strategy.

Financial assets in the trading book mainly include proprietary securities transactions, repurchase agreements and derivative instruments contracted by the Group to manage its risk exposure.

	12/31/2020				12/31/2019			
	Financial assets mandatorily recognized at fair value through profit or loss		Financial assets designated at fair value through profit or loss ⁽¹⁾	Total	Financial assets mandatorily recognized at fair value through profit or loss		Financial assets designated at fair value through profit or loss ⁽¹⁾	Total
	Financial assets considered part of a trading activity	Other financial assets ⁽²⁾⁽³⁾			Financial assets considered part of a trading activity	Other financial assets ⁽²⁾⁽³⁾		
<i>in millions of euros</i>								
Treasury bills and equivalent	12,053			12,053	7,170	2		7,172
Bonds and other debt securities	9,893	8,089	21	18,002	10,804	6,647	43	17,495
Debt securities	21,945	8,089	21	30,055	17,975	6,649	43	24,667
Loans to banks (excluding repurchase agreements)		20	3	23	13	69	2	84
Customer loans (excluding repurchase agreements)	2,932	3,199		6,132	4,599	3,163		7,762
Repurchase agreements ⁽⁴⁾	65,947			65,947	80,921			80,921
Loans	68,880	3,219	3	72,102	85,533	3,232	2	88,767
Equity instruments	36,278	2,251	///	38,529	40,928	2,063	///	42,991
Trading derivatives⁽⁴⁾⁽⁵⁾	40,233	///	///	40,233	39,464	///	///	39,464
Security deposits paid	15,340	///	///	15,340	14,790	///	///	14,790
TOTAL FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	182,677	13,560	23	196,260	198,689	11,945	45	210,679

(1) Only in the case of an accounting mismatch.

(2) Consisting of non-SPPI assets that fall outside the scope of a trading activity including units of UCITS and private equity investment funds presented in bonds and other debt securities (€7,280 million at December 31, 2020 vs. €5,481 million at December 31, 2019). Loans to customers include some structured loans to local authorities. This category also includes equity instruments the Group decided not to recognize through other comprehensive income for a total of €2,251 million at December 31, 2020 vs. €2,063 million at December 31, 2019.

(3) The criteria used by Groupe BPCE to categorize financial assets at fair value through profit or loss if they do not meet the SPPI criterion are provided in Note 2.5.1.

(4) This information is presented after netting effects, in accordance with IAS 32 (see Note 5.18.1).

(5) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

5.2.2 FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

These are financial liabilities held for trading or classified in this category on a voluntary basis at initial recognition using the fair value option available under IFRS 9. The trading book includes liabilities arising from short-selling transactions, repurchase agreements and derivative instruments. The qualifying criteria used when applying this option are described above.

These liabilities are measured at fair value at the date of initial recognition and at each balance sheet date.

Fair value fluctuations over the period, interest, and gains or losses related to these instruments are booked as "Net gains or losses on financial instruments at fair value through profit or loss", except for fair value fluctuations attributable to the change in own credit risk for financial liabilities at fair value through profit or loss, which have been booked, since January 1, 2016, in "Revaluation of own credit risk of financial liabilities designated at fair value through profit or loss" within "Gains and losses recognized directly in other comprehensive income". If the liability is derecognized before its maturity (early redemption, for example), fair value gains or losses attributable to own credit risk are directly transferred to retained earnings.

Financial liabilities designated at fair value through profit or loss

IFRS 9 allows entities to designate financial liabilities at fair value through profit or loss on initial recognition. However, an entity's decision to do so may not be reversed.

Compliance with the criteria stipulated by the standard must be verified prior to any recognition of an instrument using the fair value option.

In practice, this option may be applied only under the specific circumstances described below:

Elimination of or significant reduction in an accounting mismatch

Applying the option eliminates accounting mismatches stemming from the application of different valuation rules to instruments managed under a single strategy.

Harmonization of accounting treatment for management and performance measurement

The option applies for liabilities managed and measured at fair value, provided that such management is based on a formally documented risk management policy or investment strategy, and that internal monitoring also relies on a fair value measurement.

Hybrid financial instruments containing one or more embedded derivatives

An embedded derivative is a component of a financial or non-financial hybrid (combined) instrument that qualifies as a derivative. It must be separated from the host contract and accounted for as a derivative if the hybrid instrument is not measured at fair value through profit or loss, and if the economic characteristics and risks associated with the derivative are not closely related to those of the host contract.

The fair value option may be applied to a financial liability when the embedded derivative substantially modifies the cash flows of the host contract and when the separate recognition of the embedded derivative is not specifically prohibited by IFRS 9 (e.g. an early redemption option embedded in a debt instrument). The option allows the entire instrument to be measured at fair value, and therefore avoids the need to extract, recognize or separately measure the embedded derivative.

This accounting treatment applies in particular to some structured debt issues containing material embedded derivatives.

Financial liabilities in the trading book include liabilities arising from short-selling transactions, repurchase agreements and derivative instruments.

	12/31/2020			12/31/2019		
	Financial liabilities issued for trading	Financial liabilities designated at fair value through profit or loss	Total	Financial liabilities issued for trading	Financial liabilities designated at fair value through profit or loss	Total
<i>in millions of euros</i>						
Short sales	22,474	///	22,474	19,984	///	19,984
Trading derivatives ^{(1) (2)}	37,276	///	37,276	38,218	///	38,218
Interbank term accounts and loans		157	157		103	103
Customer term accounts and loans		120	120		140	140
Non-subordinated debt securities	295	23,856	24,151	297	26,254	26,550
Subordinated debt	///	99	99	///	100	100
Repurchase agreements ⁽¹⁾	93,233	///	93,233	95,536	///	95,536
Guarantee deposits received	10,312	///	10,312	9,090	///	9,090
Other	///	3,549	3,549	///	3,727	3,727
TOTAL FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	163,590	27,782	191,371	163,124	30,324	193,448

(1) This information is presented after netting effects, in accordance with IAS 32 (see Note 5.18.2).

(2) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

These liabilities are measured at fair value on the reporting date with changes in value, including coupon, recorded in the "Net gains or losses on financial instruments at fair value through profit or loss" line on the income statement, with the exception of changes in fair value attributable to own credit risk associated with financial liabilities designated at fair value through profit or loss, which are recognized in "Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss" in accordance with IFRS 9.

Conditions for designating financial liabilities at fair value through profit or loss

At Group level, financial liabilities designated at fair value through profit or loss are mostly held by Natixis. They mainly comprise issues originated and structured for customers and for which the risks and hedges are managed collectively. These issues include significant embedded derivatives for which changes in value are offset by those of the derivative instruments hedging them.

Financial liabilities accounted for under the fair value option, excluding Natixis, also include some structured debt issues and structured deposits containing embedded derivatives (e.g. structured medium-term notes and equities for personal savings plans).

	12/31/2020			12/31/2019		
	Accounting mismatches	Fair value measurement	Financial liabilities designated at fair value through profit or loss	Accounting mismatches	Fair value measurement	Financial liabilities designated at fair value through profit or loss
<i>in millions of euros</i>						
Interbank term accounts and loans	12		158	13		103
Customer term accounts and loans			120			140
Non-subordinated debt securities	19,030		23,856	20,570		26,254
Subordinated debt			99			100
Other	3,549		3,549	3,727		3,727
TOTAL	22,591		27,782	24,310		30,324

Financial liabilities designated at fair value through profit or loss and credit risk

	12/31/2020			12/31/2019		
	Carrying amount	Contractual amount due at maturity	Difference between the carrying amount and the contractual amount due at maturity	Carrying amount	Contractual amount due at maturity	Difference between the carrying amount and the contractual amount due at maturity
<i>in millions of euros</i>						
Interbank term accounts and loans	158	146	12	103	92	12
Customer term accounts and loans	119	119		140	141	(1)
Non-subordinated debt securities	23,856	23,335	521	26,254	25,327	927
Subordinated debt	99	100	(1)	100	100	
Other	3,549	3 549		3,727	3,726	1
TOTAL	27,782	27,249	533	30,324	29,386	939

In 2020, the Group did not reclassify any changes in fair value of instruments classified as "Financial liabilities designated at fair value through profit or loss" to the "Retained earnings" item.

The amount contractually due on loans at maturity comprises the outstanding principal amount at the balance sheet date plus

accrued interest not yet due. In the case of securities, the redemption value is generally used.

At December 31, 2020, the revaluations attributable to own credit risk amounted to +€159 million (including +€160 million for debt securities).

5.2.3 TRADING DERIVATIVES**Accounting principles**

A derivative is a financial instrument or other contract with all three of the following characteristics:

- its value changes in response to the change in a specific interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, this variable may not be specific to one of the parties to the contract;
- it requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors;
- it is settled at a future date.

All derivative financial instruments are recognized on the balance sheet at the trade date and are measured at fair value at inception. They are remeasured at their fair value at each balance sheet date regardless of whether they were acquired for trading or hedging purposes.

Trading derivatives are recognized on the balance sheet under "Financial assets at fair value through profit or loss" and "Financial liabilities at fair value through profit or loss". Realized and unrealized gains and losses are taken to income on the "Net gains or losses on financial instruments at fair value through profit or loss" line.

The notional amounts of derivative instruments are merely an indication of the volume of the Group's business in financial instruments and do not reflect the market risks associated with such instruments. Positive or negative fair values represent the replacement value of these instruments. These values may vary significantly depending on changes in market parameters.

Change in presentation of option premiums

As of December 31, 2020, the Group changed the way it presented option instruments bought or sold with a premium paid in stages or on expiry.

Before this change, premiums receivable or payable were presented on the balance sheet, respectively, under accrual accounts and other assets or accrual accounts and other liabilities, separately from the financial asset and liability items where the associated derivatives were reported.

As these premiums are in fact inseparable from the derivatives, the way they are presented was changed: premiums payable or receivable are now included in the value of the bought or sold options to which they relate (under Financial assets and liabilities at fair value through profit or loss).

These instruments are mainly currency and interest rate options. The change had no impact on the income statement.

This affected a number of items, as follows:

	12/31/2020			12/31/2019		
	Before modification	Modification	After modification	Before modification	Modification	After modification
<i>in billions of euros</i>						
ASSETS						
Financial assets at fair value through profit or loss	203.9	(7.6)	196.3	218.8	(8.1)	210.7
Accrued income and other assets	24.3	(7.9)	16.4	24.3	(8.3)	16.0
TOTAL	228.1	(15.5)	212.6	243.1	(16.4)	226.7
LIABILITIES						
Financial liabilities at fair value through profit or loss	199.3	(7.9)	191.4	201.8	(8.3)	193.4
Accrued expenses and other liabilities	30.3	(7.6)	22.7	30.9	(8.1)	22.8
TOTAL	229.5	(15.5)	214.0	232.7	(16.4)	216.2

At December 31, 2020:

- the amount of premiums payable included in the value of options reported under "Financial assets at fair value through profit or loss" was €7.6 billion (€8.1 billion at December 31, 2019);
- the amount of premiums receivable included in the value of options reported under "Financial liabilities at fair value through profit or loss" was €7.9 billion (€8.3 billion at December 31, 2020).

	12/31/2020			12/31/2019		
	Notional amount	Positive fair value	Negative fair value	Notional amount	Positive fair value	Negative fair value
<i>in millions of euros</i>						
Interest rate derivatives ⁽¹⁾	4,263,661	18,540	13,827	3,133,604	24,476	21,555
Equity derivatives	128,810	2,422	2,846	148,102	1,748	3,114
Currency derivatives ⁽¹⁾	703,248	8,915	9,503	683,015	12,437	11,411
Other instruments	51,098	739	589	46,971	193	227
Forward transactions⁽¹⁾	5,146,817	30,616	26,765	4,011,692	38,854	36,307
Interest rate derivatives	532,467	6,963	6,845	544,545	10,046	11,257
Equity derivatives	72,657	1,245	1,551	119,795	1,804	1,808
Currency derivatives	211,299	125	649	253,649	4,032	4,304
Other instruments	31,032	451	399	46,021	302	374
Options	847,455	8,784	9,444	964,010	16,184	17,743
Credit derivatives	45,232	833	1,067	30,139	602	824
TOTAL TRADING DERIVATIVES⁽¹⁾	6,039,504	40,233	37,276	5,005,841	55,640	54,874
<i>o/w on organized markets</i>	<i>369,860</i>	<i>935</i>	<i>642</i>	<i>471,689</i>	<i>1,444</i>	<i>979</i>
<i>o/w over-the-counter transactions</i>	<i>5,669,644</i>	<i>39,298</i>	<i>36,634</i>	<i>4,534,152</i>	<i>46,108</i>	<i>45,567</i>

(1) Amounts restated with respect to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received.

5.3 HEDGING DERIVATIVES

Accounting principles

A derivative is a financial instrument or other contract with all three of the following characteristics:

- its value changes in response to the change in a specific interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, this variable may not be specific to one of the parties to the contract;
- it requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors;
- it is settled at a future date.

All derivative financial instruments are recognized on the balance sheet at the trade date and are measured at fair value at inception. They are remeasured at their fair value at each reporting period date regardless of whether they were acquired for trading or hedging purposes.

Changes in the fair value of derivatives are recognized in income for the period, except for derivatives qualifying as cash flow hedges or as hedges of net investments in foreign operations for accounting purposes.

Derivatives may only be designated as hedges if they meet the criteria set out in IAS 39 at inception and throughout the term of the hedge. These criteria include formal documentation that the hedging relationship between the

derivatives and the hedged items is both prospectively and retrospectively effective.

Fair value hedges mainly consist of interest rate swaps that protect fixed-rate financial instruments against changes in fair value attributable to changes in market rates of interest. They transform fixed-rate assets or liabilities into floating-rate instruments and include mostly hedges of fixed-rate loans, securities, deposits and subordinated debt.

Fair value hedging is also used to manage the overall interest rate risk position.

Cash flow hedges fix or control the variability of cash flows arising from floating-rate instruments. Cash flow hedging is also used to manage the overall interest rate risk position.

The notional amounts of derivative instruments are merely an indication of the volume of the Group's business in financial instruments and do not reflect the market risks associated with such instruments.

The hedging relationship qualifies for hedge accounting if, at the inception of the hedge, there is formal documentation of the hedging relationship identifying the hedging strategy, the type of risk hedged, the designation and characteristics of the hedged item and the hedging instrument. In addition, the effectiveness of the hedge must be demonstrated at inception and subsequently verified.

Derivatives contracted as part of a hedging relationship are designated according to the purpose of the hedge.

Groupe BPCE used the option available in IFRS 9 not to apply the provisions of the standard relative to hedge accounting, and to continue to apply IAS 39 as adopted by the European Union for the recognition of these transactions, *i.e.* excluding certain provisions relating to macro-hedging.

Fair value hedges

Fair value hedges are intended to reduce exposure to changes in the fair value of an asset or liability carried on the balance sheet, or of a firm commitment, in particular the interest rate risk on fixed-rate assets and liabilities.

The gain or loss on the revaluation of hedging instruments attributable to the risk being hedged is recognized in income in the same manner as the gain or loss on the hedged item. The ineffective portion of the hedge, if any, is recorded in the income statement under "Net gains or losses on financial instruments at fair value through profit or loss".

Accrued interest on the hedging instrument is taken to income in the same manner as the accrued interest on the hedged item.

Where identified assets or liabilities are hedged, the revaluation of the hedged component is recognized on the same line of the balance sheet as the hedged item.

The ineffective portion relating to the dual-curve valuation of collateralized derivatives is taken into account when calculating the effectiveness of a hedge.

If a hedging relationship ceases (investment decision, failure to fulfill effectiveness criteria, or because the hedged item is sold before maturity), the hedging instrument is transferred to the trading book. The revaluation difference recorded in the balance sheet in respect of the hedged item is amortized over the residual life of the initial hedge. If the hedged item is sold before maturity or redeemed early, the cumulative amount of

the revaluation gain or loss is recognized in income for the period.

Cash flow hedges

The purpose of cash flow hedges is to hedge the exposure to the variability of cash flow that is attributable to a particular risk associated with a recognized asset or liability or with a future transaction (hedge of interest rate risk on floating-rate assets or liabilities, hedge of conditions relating to future transactions such as future fixed interest rates, future prices, exchange rates, etc.).

The portion of the gain or loss on the hedging instrument that is deemed to be an effective hedge is recognized on a separate line of "Gains and losses recognized directly in other comprehensive income". The ineffective portion of the gain or loss on the hedging instrument is recorded in the income statement under "Net gains or losses on financial instruments at fair value through profit or loss".

Accrued interest on the hedging instrument is taken to income under interest income in the same manner as the accrued interest on the hedged item.

The hedged items are accounted for using the treatment applicable to their specific asset category.

If a hedging relationship ceases (because the hedge no longer meets the effectiveness criteria, the derivative is sold or the hedged item ceases to exist), the cumulative amounts recognized in other comprehensive income are transferred to the income statement as and when the hedged item impacts profit or loss, or immediately if the hedged item ceases to exist.

Special case: portfolio hedging (macro-hedging)

Documentation as cash flow hedges

Some Group institutions document their macro-hedging of interest rate risk as cash flow hedges (hedging of portfolios of loans or borrowings).

In this case, the portfolios of assets or liabilities that may be hedged are, for each maturity band:

- floating-rate assets and liabilities; the entity incurs a risk of variability in future cash flows from floating-rate assets or liabilities insofar as future interest rate levels are not known in advance;
- future transactions deemed to be highly probable (forecasts): assuming total outstandings remain constant, the entity is exposed to the risk of variability in future cash flows on future fixed-rate loans insofar as the interest rate at which the loan will be granted is not yet known. Similarly, the Group may be exposed to the risk of variability in future cash flows on the funding that it will need to raise in the market.

Under IAS 39, hedges of an overall net position of fixed-rate assets and fixed-rate liabilities with similar maturities do not qualify for hedge accounting. The hedged item is therefore deemed to be equivalent to a share of one or more portfolios of identified floating-rate instruments (portion of deposit outstandings or floating-rate loans); the effectiveness of the hedges is measured by creating a hypothetical instrument for each maturity band and comparing its changes in fair value from inception to those for the documented hedging derivatives.

The characteristics of this instrument model those of the hedged item. Effectiveness is then assessed by comparing the changes in value of the hypothetical instrument with the actual hedging instrument. This method requires the preparation of a maturity schedule.

The effectiveness of the hedge must be shown prospectively and retrospectively.

The hedge is effective prospectively if, for each target maturity band, the nominal amount of items to be hedged is higher than the notional amount of the hedging instruments.

The retrospective test calculates the retrospective effectiveness of a hedge initiated at various balance sheet dates.

At each balance sheet date, changes in the fair value of hedging instruments, excluding accrued interest, are compared with those of hypothetical instruments. The ratio of their respective changes should be between 80% and 125%.

If the hedged item is sold or the future transaction is no longer highly probable, the cumulative unrealized gain or loss recognized in other comprehensive income is transferred immediately to profit or loss.

When the hedging relationship ceases, if the hedged item is still shown on the balance sheet, or if it is still highly probable, unrealized cumulative gains and loss in comprehensive income are amortized on a straight-line basis. If the derivative has not been canceled, it is reclassified as a trading derivative, and subsequent changes in its fair value are recognized in income.

Documentation as fair value hedges

Some of the Group's institutions document their macro-hedging of interest rate risk as fair value hedges by applying the carve-out arrangements under IAS 39 as adopted by the European Union.

The version of IAS 39 adopted for use by the European Union does not include certain hedge accounting provisions that appear incompatible with the strategies implemented by European banks to reduce their overall exposure to interest rate risk. In particular, this carve-out allows the Group to make use of hedge accounting for interbank interest rate risk on customer transactions at fixed rates (loans, savings accounts and demand deposits). The Group mainly uses plain vanilla interest rate swaps designated at inception as fair value hedges of fixed-rate deposits or loans.

Macro-hedging derivatives are accounted for in the same manner as derivatives used to hedge the fair value of specific transactions (micro-hedging).

Fair value hedges mainly consist of interest rate swaps that protect fixed-rate financial instruments against changes in fair value attributable to changes in market interest rates. They transform fixed-rate assets or liabilities into floating-rate instruments.

Fair value macro-hedges are used to manage the overall interest rate risk position, in particular to hedge:

- fixed-rate loan portfolios;
- demand deposits;

In a macro-hedging relationship, gains and losses on the revaluation of the hedged item are recorded in "Revaluation differences on interest rate risk-hedged portfolios", under balance sheet assets for hedges of a portfolio of financial assets and under balance sheet liabilities for hedges of a portfolio of financial liabilities.

The hedges are deemed effective if the derivatives offset the interest rate risk on the underlying fixed-rate portfolio. The ineffective portion relating to the dual-curve valuation of collateralized derivatives is taken into account.

Effectiveness is tested in two ways:

- asset-based testing: for plain vanilla swaps designated as hedging instruments at inception, the Group verifies that no over-hedging exists both prospectively at the date the hedging relationship is designated and retrospectively at each balance sheet date;
- quantitative testing: for other swaps, the change in the fair value of the actual swap must offset the changes in the fair value of a hypothetical instrument that exactly reflects the underlying hedged item. These tests are conducted prospectively at the date the instrument is designated as a hedge and retrospectively at each balance sheet date.

If a hedging relationship ceases, the revaluation adjustment is amortized on a straight-line basis over the remaining term of the initial hedge, if the hedged item has not been derecognized. It is taken directly to income if the hedged item is no longer recorded in the balance sheet. In particular, derivatives used for macro-hedging may be disqualified for hedge accounting purposes when the nominal amount of the hedged items falls below the notional amount of the hedging instruments, for example in the case of observed and modeled prepayment of loans or the withdrawal of deposits.

Hedges of net investments in foreign operations

A net investment in a foreign operation is the amount of the investment held by the consolidating entity in the net assets of the operation.

The purpose of a hedge of a net investment in a foreign operation is to minimize the foreign exchange effect for a consolidating entity of an investment in an entity whose functional currency is different from the presentation currency of the consolidating entity's financial statements. Net investment hedges are accounted for in the same manner as cash flow hedges.

Unrealized gains and losses initially recognized in other comprehensive income are taken to income when the net investment is sold in full or in part (or when partially sold with loss of control).

- PEL home savings deposits;
- the inflation component of Livret A passbook savings accounts.

Fair value micro-hedges are notably used to hedge:

- fixed-rate liabilities;
- fixed-rate liquidity reserve securities and inflation-indexed securities.

Cash flow hedges fix or control the variability of cash flows arising from floating-rate instruments. Cash flow hedging is also used to manage the overall interest rate risk position.

Cash flow hedges are mainly used to:

- hedge floating-rate liabilities;
- hedge the risk of changes in value of future cash flows on liabilities;
- provide macro-hedging of floating-rate assets.

The main causes of ineffective hedging are related to:

- inefficiency due to dual-curve valuations: the value of collateralized derivatives (with margin calls yielding EONIA) is based on the EONIA discount curve, while the fair value of the hedged component of item hedged is calculated using a EURIBOR discount curve;

- the time value of options;
- over-hedging for asset-based testing of macro-hedges (notional amounts of hedging derivatives higher than the nominal amount of the hedged items, in particular where prepayments on the hedged items were higher than expected);
- credit value adjustments and debit value adjustments linked to credit risk and own credit risk on derivatives;
- differences in interest rate fixing dates between the hedged item and the hedge.

The notional amounts of derivative instruments are merely an indication of the volume of the Group's business in financial instruments and do not reflect the market risks associated with such instruments.

	12/31/2020			12/31/2019		
	Notional amount	Positive fair value	Negative fair value	Notional amount	Positive fair value	Negative fair value
<i>in millions of euros</i>						
Interest rate derivatives	413,111	8,433	12,710	471,390	7,696	12,029
Currency derivatives	484	376	797	739	360	1,009
Forward transactions	413,595	8,809	13,507	472,129	8,057	13,038
Interest rate derivatives	6,040	1	21	6,603	3	19
Options	6,040	1	21	6,603	3	19
Fair value hedges	419,635	8,810	13,528	478,732	8,060	13,058
Interest rate derivatives	27,447	160	410	28,736	216	456
Currency derivatives	22,493	637	1,323	24,054	1,009	1,554
Forward transactions	49,940	797	1,733	52,790	1,225	2,009
Interest rate derivatives	83	1	1	118	2	1
Options	83	1	1	118	2	1
Cash flow hedges	50,023	798	1,734	52,908	1,227	2,010
TOTAL HEDGING INSTRUMENTS	469,658	9,608	15,262	531,640	9,286	15,068

All hedging derivatives are included in "Hedging derivatives" in balance sheet assets and liabilities.

Currency swaps are documented both as interest rate fair value hedges and as currency cash flow hedges. Total fair value is nevertheless recorded under currency derivatives. These

derivatives were mainly recorded under currency fair value hedges and are now mainly recorded under currency cash flow hedges in order to better reflect the weight of the currency component (associated with the cash flow hedge) in total fair value.

MATURITY OF THE NOTIONAL AMOUNT OF HEDGING DERIVATIVES AS AT DECEMBER 31, 2020

	12/31/2020				12/31/2019			
	< 1 year	1 to 5 years	6 to 10 years	> 10 years	< 1 year	1 to 5 years	6 to 10 years	> 10 years
<i>in millions of euros</i>								
Interest rate risk hedging	65,045	180,727	109,020	91,888	63,866	216,818	124,655	101,507
Cash flow hedges	5,960	2,232	12,073	7,264	3,505	7,864	7,802	9,683
Fair value hedges	59,085	178,495	96,947	84,624	60,361	208,954	116,854	91,824
Currency risk hedging	4,359	9,847	6,038	2,733	1,553	13,902	6,108	3,230
Cash flow hedges	4,026	9,766	6,038	2,663	1,309	13,480	6,108	3,157
Fair value hedges	333	81		70	244	422		73
TOTAL	69,405	190,574	115,058	94,621	65,419	230,722	130,763	104,737

Currency swaps are documented both as interest rate fair value hedges and as currency cash flow hedges. Total fair value is nevertheless recorded under currency derivatives. These derivatives are mainly recorded under currency cash flow

hedges in order to better reflect the weight of the currency component (associated with the cash flow hedge) in total fair value.

HEDGED ITEMS

Fair value hedges

	Fair value hedges				
	12/31/2020				
	Interest rate risk hedging			Currency risk hedging	
	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾	Hedged component remaining to be recognized ⁽²⁾	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾
<i>in millions of euros</i>					
ASSETS					
Financial assets at fair value through other comprehensive income	38,352	1,181		405	
Debt securities	38,352	1,181		405	
Financial assets at amortized cost	149,024	11,861	252	4,439	830
Loans and receivables due from banks	23,995	548		555	
Loans and receivables due from customers	116,001	9,506	4	86	17
Debt securities	9,029	1,808	247	3,799	813
LIABILITIES					
Financial liabilities at amortized cost	153,772	9,479	50	7,147	447
Amounts due to banks	33,218	1,440	3		
Amounts due to customers	7,939	199	(200)		
Debt securities	98,186	6,760	248	6,442	442
Subordinated debt	14,428	1,080		705	5
TOTAL – FAIR VALUE HEDGES	341,148	22,521	302	11,991	1,277

(1) Excluding accrued interest.

(2) Declassification, end of hedging relationship.

The ineffective portion of hedging for the period is presented in Note 4.3 “Net gains or losses on financial instruments at fair value through profit or loss” or in Note 4.4 “Net gains or losses on financial instruments at fair value through other comprehensive income” for shareholder’s equity instruments classified at fair value through non-recyclable shareholders’ equity.

	Fair value hedges				
	12/31/2019				
	Interest rate risk hedging			Currency risk hedging	
	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾	Hedged component remaining to be recognized ⁽²⁾	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾
<i>in millions of euros</i>					
ASSETS					
Financial assets at fair value through other comprehensive income	35,151	835		659	(0)
Debt securities	34,942	835		652	(1)
Shares and other equity instruments	209			8	
Financial assets at amortized cost	164,604	10,382	300	5,474	989
Loans and receivables due from banks	28,327	475		552	
Loans and receivables due from customers	126,180	8,155	1	91	17
Debt securities	10,096	1,752	299	4,831	971
LIABILITIES					
Financial liabilities at amortized cost	160,196	7,543	314	7,734	424
Amounts due to banks	37,370	1,091	3		
Amounts due to customers	6,891	(1)			
Debt securities	101,138	5,660	311	6,710	424
Subordinated debt	14,796	794		1,024	6
TOTAL – FAIR VALUE HEDGES	359,950	18,759	613	13,867	1,413

(1) Accrued interest excluded.

(2) Declassification, end of hedging relationship.

Cash flow hedges

	12/31/2020				12/31/2019			
	Fair value of the hedging derivative	O/w effective portion of hedges not due ⁽²⁾	O/w ineffective portion	Balance of hedges due and remaining to be recognized ⁽¹⁾	Fair value of the hedging derivative	O/w effective portion of hedges not due ⁽²⁾	O/w ineffective portion	Balance of hedges due and remaining to be recognized ⁽¹⁾
<i>in millions of euros</i>								
Interest rate risk hedging	(249)	(243)	(6)	34	(239)	(226)	(13)	36
Currency risk hedging	(687)	(702)	15		(544)	(556)	12	
TOTAL CASH FLOW HEDGES	(936)	(945)	9	34	(783)	(782)	(1)	36

(1) Declassification, end of hedging relationship.

(2) Booked to other items recognized in other comprehensive income or to profit or loss for the recycled portion with a corresponding entry to hedged items.

The ineffective portion of the hedge is recorded in the income statement under "Net gains or losses on financial instruments at fair value through profit or loss", see Note 4.3.

The "Cash flow hedges" reserve corresponds to the effective portion of hedges not due and the balance of hedges that are

due and remaining to be recognized, before tax, including the portion attributable to non-controlling interests.

Recycling from "Cash flow hedges" to profit or loss is included either in net interest income or in income on derecognition of the hedged item in the same way as the line impacted by the hedged item.

Cash flow hedges – Details of other items recognized in other comprehensive income

	01/01/2020	Change in the effective portion	Reclassification of the effective portion in income	Hedged item partially or fully extinguished	12/31/2020
<i>in millions of euros</i>					
Amount of equity for cash flow hedging	(310)	(46)	4	7	(345)
TOTAL	(310)	(46)	4	7	(345)

	01/01/2019	Change in the effective portion	Reclassification of the effective portion in income	Hedged item partially or fully extinguished	12/31/2019
<i>in millions of euros</i>					
Amount of equity for cash flow hedging	(408)	73	19	6	(310)
TOTAL	(408)	73	19	6	(310)

5.4 FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Accounting principles

Financial assets at fair value through other comprehensive income are initially recognized at fair value, plus any transaction costs.

Debt instruments measured at fair value through other comprehensive income recyclable to profit or loss

For each reporting period, these instruments are carried at their fair value and changes in fair value (excluding accrued interest) are recorded under "Gains and losses recognized directly in other comprehensive income recyclable to profit or loss" (as the foreign currency assets are monetary assets, changes in the fair value of the foreign currency component affect income). The principles used to determine fair value are described in Note 10.

These instruments are subject to IFRS 9 impairment requirements. Information about credit risk is provided in Note 7.1. If they are sold, these changes in fair value are taken to income.

Interest income accrued or received on debt instruments is recorded under "Interest and similar income" based on the effective interest method. This method is described in Note 5.3 – Assets at amortized cost.

Equity instruments measured at fair value through other comprehensive income not recyclable to profit or loss

For each reporting period, these instruments are carried at their fair value and changes in fair value are recorded under "Gains and losses recognized directly in other comprehensive income not recyclable to profit or loss" (as the foreign currency assets are not monetary assets, changes in the fair value of the foreign currency component do not affect income). The principles used to determine fair value are described in Note 10.

The designation at fair value through other comprehensive income not recyclable to profit or loss is an irrevocable option that is applied on an instrument-by-instrument basis only to equity instruments not held for trading purposes. Realized and unrealized losses continue to be recorded in other comprehensive income with no impact on income. These financial assets are not impaired.

In the event of disposal, changes in fair value are not transferred to profit or loss but are taken directly to retained earnings.

Only dividends affect income when they correspond to a return on investment. They are recorded in "Net gains or losses on financial instruments at fair value through other comprehensive income" (Note 4.4).

<i>in millions of euros</i>	12/31/2020	12/31/2019
Loans and receivables	19	45
Debt securities	46,231	41,497
Shares and other equity securities ⁽¹⁾	3,380	3,089
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	49,630	44,630
Q/w impairment for expected credit losses ⁽²⁾	(86)	(81)
Q/w gains and losses recognized directly in other comprehensive income (before tax) ⁽³⁾	672	495
• <i>Debt instruments</i>	448	350
• <i>Equity instruments</i>	224	145

(1) Shares and other equity securities include strategic equity interests and certain long-term private equity securities. As these securities are not held for sale, their classification as equity instruments designated at fair value through other comprehensive income is appropriate.

(2) Details are provided in Note 7.1.1.

(3) Including the portion attributable to non-controlling interests (+€53 million at December 31, 2020, compared with +€6 million at December 31, 2019).

EQUITY INSTRUMENTS DESIGNATED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Accounting principles

Equity instruments designated at fair value through other comprehensive income can include:

- investments in associates;
- shares and other equity securities.

On initial recognition, equity instruments designated at fair value through other comprehensive income are carried at fair value plus any transaction costs.

On following accounting dates, changes in the fair value of the instrument are recognized in other comprehensive income (OCI).

These changes in fair value that accrue to other comprehensive income will not be reclassified to profit or loss in subsequent years (other comprehensive income not recyclable to profit or loss).

Dividends are only taken to income when they meet the required conditions.

	12/31/2020				12/31/2019			
		Dividends recognized over the period	Derecognition over the period			Dividends recognized over the period	Derecognition over the period	
		Equity instruments held at the end of the period	Fair value at the disposal date	Total profit or loss at the disposal date		Equity instruments held at the end of the period	Fair value at the disposal date	Total profit or loss at the disposal date
<i>in millions of euros</i>	Fair value				Fair value			
Investments in associates	2,794	133	18	(31)	2,631	153	232	124
Shares and other equity securities	586	6			458	17	175	(14)
TOTAL	3,380	139	18	(31)	3,089	170	407	110

Investments in associates include strategic holdings, “tool” entities (e.g. IT) and certain long-term private equity securities. As these securities are not held for sale, their classification as equity instruments designated at fair value through other comprehensive income is appropriate.

The cumulative amount of changes in fair value reclassified to “Retained earnings” during the period relates primarily to the liquidation of non-consolidated securities in the amount of €31 million in 2020.

5.5 ASSETS AT AMORTIZED COST

Accounting principles

Assets at amortized cost are SPPI financial assets managed under a hold to collect business model. Most loans originated by the Group are classified in this category. Information about credit risk is provided in Note 7.1.

Financial assets at amortized cost include loans and receivables due from banks and customers as well as securities at amortized cost such as treasury bills and bonds.

Loans and receivables are initially recorded at fair value plus any costs and less any income directly related to the arrangement of the loan or to the issue.

When loans are extended under conditions that are less favorable than market conditions, a discount corresponding to the difference between the nominal value of the loan and the sum of future cash flows discounted at the market interest rate is deducted from the nominal value of the loan. The market interest rate is the rate applied by the vast majority of local financial institutions at a given time for instruments and counterparties with similar characteristics.

On subsequent balance sheet dates, these financial assets are measured at amortized cost using the effective interest method.

The effective interest rate is the rate that exactly discounts estimated future cash flows (payments or receipts) to the carrying amount of the loan at inception. This rate includes any discounts recorded in respect of loans granted at below-market rates, as well as any external transaction income or costs directly related to the implementation of the loans, which are treated as an adjustment to the effective yield on the loan. No internal cost is included in the calculation of amortized cost.

Loan renegotiations and restructuring

When contracts are modified, IFRS 9 requires the identification of financial assets that are renegotiated, restructured or otherwise modified (whether or not as a result of financial hardship), but not subsequently derecognized. Any profit or loss arising from the modification of a contract is recognized in income. The gross carrying amount of the financial asset must be recalculated so it is equal to the present value of the renegotiated or amended contractual cash flows at the initial effective interest rate. The materiality of the modifications is, however, analyzed on a case by case basis.

“Restructured” amounts correspond to loans where an arrangement has been reached that represents a concession to debtors in financial hardship or in danger of being so. “Restructured” amounts therefore require a combination of two elements: a concession and financial difficulties.

To qualify as a “restructuring”, an arrangement must result in a more favorable situation for the debtor (e.g. suspended payments of interest or principle, extension of maturities, etc.) and take the form of additional clauses to an existing contract or the full or partial refinancing of an existing loan.

Financial difficulty is measured by a number of criteria, such as payments more than 30 days past due or an at-risk classification. The arrangement of a restructuring does not necessarily mean the counterparty in question is classed as in default by Basel standards. Whether they are classed as in default depends on the viability test carried out during the counterparty’s restructuring.

Under IFRS 9, the treatment of loans restructured due to financial hardship is similar to that applied under IAS 39: a discount is applied to loans restructured following a credit loss event (impaired, Stage 3) to reflect the difference between the present value of the contractual cash flows expected at inception and the present value of expected principal and interest repayments after restructuring. The discount rate used is the original effective interest rate. This discount is expensed to "Cost of credit risk" in the income statement and offset against the corresponding item on the balance sheet. It is written back to net interest income in the income statement over the life of the loan using an actuarial method. If the discount is immaterial, the effective interest rate on the restructured loan is adjusted and no discount is recognized.

The restructured loan is reclassified as performing (not impaired, Stage 1 or Stage 2) when no uncertainty remains as to the borrower's capacity to honor the commitment.

For substantially restructured loans (for example, the conversion of all or part of a loan into an equity instrument), the new instruments are booked at fair value. The difference between the carrying amount of the derecognized loan (or portion of the loan) and the fair value of the assets received in exchange is taken to income under "Cost of credit risk". Any previously established impairment loss on the loan is adjusted. It is fully reversed in the event of full conversion of the loan into new assets.

The widespread moratoria granted to business customers in response to temporary cash flow difficulties arising from the Covid-19 crisis modified these loans' repayment schedules without substantially modifying their features. These loans were therefore amended without being derecognized. In addition, the granting of the moratorium is not in itself an

indication of financial distress for the companies in question (see Note 1.5).

Fees and commissions

Costs directly attributable to the arrangement of loans are external costs which consist primarily of commissions paid to third parties such as business provider fees.

Income directly attributable to the issuance of new loans principally comprises set-up fees charged to customers, rebilled costs and commitment fees (if it is more probable than improbable that the loan will be drawn down). Commitment fees received that will not result in any drawdowns are apportioned on a straight-line basis over the life of the commitment.

Expenses and income arising on loans with a term of less than one year at inception are deferred on a *pro rata* basis with no recalculation of the effective interest rate. For floating or adjustable-rate loans, the effective interest rate is adjusted at each rate refixing date.

Date of recognition

Securities are recorded in the balance sheet on the settlement-delivery date.

Temporary sales of securities are also recorded on the settlement/delivery date.

The first-in, first-out (FIFO) method is applied to any partial disposals of securities, except in special cases.

For repurchase transactions, a loan commitment given is recorded between the transaction date and the settlement-delivery date.

5.5.1 SECURITIES AT AMORTIZED COST

in millions of euros

	12/31/2020	12/31/2019
Treasury bills and equivalent	14,959	15,734
Bonds and other debt securities	11,953	13,373
Impairment for expected credit losses	(180)	(185)
TOTAL SECURITIES AT AMORTIZED COST	26,732	28,922

The fair value of securities at amortized cost is presented in Note 10.

The classification of outstanding loans and impairment for credit losses by impairment stage is detailed in Note 7.1.

5.5.2 LOANS AND RECEIVABLES DUE FROM BANKS AND SIMILAR AT AMORTIZED COST

in millions of euros

	12/31/2020	12/31/2019
Current accounts with overdrafts	5,786	6,713
Repurchase agreements	2,155	5,032
Accounts and loans ⁽¹⁾	76,257	72,725
Other loans or receivables due from banks and similar	57	50
Security deposits paid	5,807	5,197
Impairment for expected credit losses	(44)	(61)
TOTAL LOANS AND RECEIVABLES DUE FROM BANKS	90,018	89,656

(1) Livret A, LDD and LEP savings accounts centralized with Caisse des Dépôts et Consignations and recorded under "Accounts and loans" amounted to €73,557 million at December 31, 2020 versus €68,187 million at December 31, 2019.

The fair value of loans and receivables due from banks and similar is presented in Note 10.

The classification of outstanding loans and impairment for credit losses by impairment Stage is detailed in Note 7.1.

5.5.3 LOANS AND RECEIVABLES DUE FROM CUSTOMERS AT AMORTIZED COST

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts with overdrafts	11,251	13,077
Other facilities granted to customers	742,565	683,623
Loans to financial sector customers	10,615	10,464
Short-term credit facilities ⁽¹⁾	114,682	83,877
Equipment loans	180,459	169,619
Home loans	384,789	365,788
Export loans	2,646	3,773
Repurchase agreements	6,901	6,566
Finance leases	19,742	18,309
Subordinated loans	565	536
Other loans	22,165	24,690
Other loans or receivables due from customers	5,488	8,635
Security deposits paid	1,042	732
Gross loans and receivables due from customers	760,347	706,067
Impairment for expected credit losses	(13,538)	(12,810)
TOTAL LOANS AND RECEIVABLES DUE FROM CUSTOMERS	746,809	693,257

(1) State-guaranteed loans are included in short-term credit facilities and totaled €30 billion at December 31, 2020 (see Note 1.5).

The fair value of loans and receivables due from customers is presented in Note 10.

The classification of outstanding loans and impairment for credit losses by impairment stage is detailed in Note 7.1.

5.6 ACCRUED INCOME AND OTHER ASSETS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Collection accounts	851	1,705
Prepaid expenses	496	474
Accrued income	956	1,013
Other accruals	6,070	3,624
Accrued income and prepaid expenses	8,373	6,816
Settlement accounts in debit on securities transactions	158	186
Other accounts receivable ⁽¹⁾	7,835	8,996
Other assets	7,993	9,182
TOTAL ACCRUED INCOME AND OTHER ASSETS	16,366	15,998

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

5.7 NON-CURRENT ASSETS HELD FOR SALE AND ASSOCIATED LIABILITIES

Accounting principles

Where a decision is made to sell non-current assets and it is highly probable that the sale will occur within twelve months, these assets are shown separately on the balance sheet on the "Non-current assets held for sale" line. Any liabilities associated with these assets are also shown separately on the balance sheet on the "Liabilities associated with non-current assets held for sale" line.

Once classified in this category, non-current assets are no longer depreciated/amortized and are measured at the lowest of their carrying amount or fair value less sales costs. Financial instruments continue to be measured in accordance with IFRS 9.

A non-current asset (or group of assets) is held for sale when its carrying amount is recovered by its sale. The asset (or group of assets) must be immediately available for sale and it must be highly likely that the sale will be completed within the next twelve months.

At December 31, 2019, "Non-current assets held for sale" and "Liabilities associated with non-current assets held for sale" included the assets and liabilities of Banque Tuniso-Koweïtienne, which are in the process of being sold.

At December 31, 2020, the assets and liabilities of Banque Tuniso-Koweïtienne were maintained in the lines "Non-current

assets held for sale" and "Liabilities associated with non-current assets held for sale".

In addition, the assets and liabilities of Fidor Bank AG, Coface and H2O are classified in accordance with IFRS 5, in the context of the disposal described in paragraph 1.3.

Figures relating to the entities held for sale are shown below:

<i>in millions of euros</i>	12/31/2020	12/31/2019
Cash and amounts due from central banks	1,310	15
Financial assets at fair value through profit and loss	141	
Financial assets at fair value through other comprehensive income	54	47
Loans and receivables due from banks and similar at amortized cost	141	72
Loans and receivables due from customers at amortized cost	389	403
Current tax assets	1	1
Deferred tax assets	18	10
Accrued income and other assets	79	10
Investments in associates	446	
Investment property	13	12
Property, plant and equipment	3	6
Intangible assets	3	2
NON-CURRENT ASSETS HELD FOR SALE	2,599	578
Debt securities	44	29
Amounts due to banks and similar	63	161
Amounts due to customers	1,601	282
Current tax liabilities	(1)	0
Deferred tax liabilities	15	12
Accrued expenses and other liabilities	109	28
Provisions	108	12
Subordinated debt	7	4
LIABILITIES ASSOCIATED WITH NON-CURRENT ASSETS HELD FOR SALE	1,945	528

5.8 INVESTMENT PROPERTY

Accounting principles

In accordance with IAS 40, investment property is property held to earn rent or for capital appreciation, or both.

The accounting treatment for investment property is identical to that used for property, plant and equipment for all Group entities except for certain insurance entities, which recognize the property they hold as insurance investments at fair value, with any adjustment to fair value recorded in income. Fair value is calculated using a multi-criteria approach, by capitalizing rent at market rates and through comparisons with market transactions.

The fair value of the Group's investment property is based on regular expert valuations, except in special cases significantly affecting the value of the relevant asset.

Investment property leased under an operating lease may have a residual value that will reduce the depreciable amount of the asset.

Gains or losses on the disposal of investment property are recognized in income on the "Net income or expenses on other activities" line, with the exception of insurance businesses, which are recognized in "Income from insurance businesses".

	12/31/2020			12/31/2019		
	Gross amount	Accumulated depreciation and impairment	Net amount	Gross amount	Accumulated depreciation and impairment	Net amount
<i>in millions of euros</i>						
Property recognized at historic cost	1,378	(608)	770	1,365	(596)	769
TOTAL INVESTMENT PROPERTY			770			769

Investment property held by the insurance subsidiaries is reported with insurance investments (see Note 9).

The fair value of investment property came to €1,162 million at December 31, 2020 (vs. €1,091 million at December 31, 2019).

The fair value of investment property is classified in Level 3 of the fair value hierarchy in accordance with IFRS 13.

5.9 PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS

Accounting principles

This item includes property owned and used in the business, equipment acquired under operating leases, property acquired under finance leases and temporarily unleased assets held under finance leases. Interests in non-trading real estate companies (SCIs) are accounted for as property, plant and equipment.

In accordance with IAS 16 and IAS 38, property, plant and equipment and intangible assets are recognized as assets only if they meet the following conditions:

- it is probable that the company will enjoy future economic benefits associated with the asset;
- the cost of the asset can be measured reliably.

Property, plant and equipment and intangible assets used in operations are initially recognized at cost plus any directly attributable acquisition costs. Software developed internally that fulfills the criteria for recognition as a non-current asset is recognized at its production cost, which includes external charges and the payroll costs of employees directly assigned to the project.

The component-based approach is applied to all buildings.

After initial recognition, property, plant and equipment and intangible assets are measured at cost less any accumulated depreciation, amortization or impairment. The depreciable amount of the asset takes account of its residual value where this is material and can be measured reliably.

Property, plant and equipment and intangible assets are depreciated or amortized in order to reflect the pattern in which the asset's future economic benefits are expected to be consumed by the entity, which generally corresponds to the asset's useful life. Where an asset consists of a number of

components that have different uses or economic benefit patterns, each component is recognized separately and depreciated over a period that reflects the useful life of that component.

The depreciation and amortization periods used by the Group are as follows:

- buildings: 20 to 60 years;
- internal fixtures and fittings: 5 to 20 years;
- furniture and special equipment: 4 to 10 years;
- computer equipment: 3 to 5 years;
- software: not more than 5 years.

Other items of property, plant and equipment are depreciated over their estimated useful life, which generally ranges from five to ten years.

Property, plant and equipment and intangible assets are tested for impairment whenever there is any evidence that they may be impaired at the balance sheet date. If this is the case, the revised recoverable amount of the asset is compared to its carrying amount. If the revised recoverable amount of the asset is lower than its carrying amount, an impairment loss is recognized in income.

This loss is reversed in the event of a change in the estimated recoverable amount or if there is no longer any evidence of impairment.

Equipment leased under operating leases (Group as lessor) is recognized as an asset on the balance sheet under property, plant and equipment.

	12/31/2020			12/31/2019		
	Gross amount	Accumulated depreciation and impairment	Net amount	Gross amount	Accumulated depreciation and impairment	Net amount
<i>in millions of euros</i>						
Property, plant and equipment	11,627	(7,579)	4,048	11,720	(7,570)	4,150
Real estate assets	4,214	(2,136)	2,077	4,324	(2,167)	2,158
Movable assets	7,413	(5,443)	1,971	7,396	(5,403)	1,993
Property, plant & equipment leased under operating leases	782	(269)	513	733	(255)	478
Movable assets	782	(269)	513	733	(255)	478
Right-of-use assets for lease contracts⁽¹⁾	2,644	(982)	1,661	2,388	(568)	1,820
Real estate assets	2,621	(969)	1,651	2,352	(556)	1,795
o/w contracted during the period	2		2	138	(24)	114
Movable assets	23	(13)	10	36	(12)	24
o/w contracted during the period				6	(1)	5
TOTAL PROPERTY, PLANT & EQUIPMENT	15,053	(8,830)	6,222	14,841	(8,393)	6,448
Intangible assets	3,792	(2,755)	1,038	3,906	(2,817)	1,089
Software	3,014	(2,431)	582	2,990	(2,344)	646
Other intangible fixed assets	778	(323)	456	915	(472)	443
TOTAL INTANGIBLE ASSETS	3,792	(2,755)	1,038	3,906	(2,817)	1,089

(1) The application of the IFRS IC decision in 2019 would have resulted in the recognition of an additional amount of +€126 million in right-of-use assets (net book value at December 31, 2019).

5.10 DEBT SECURITIES

Accounting principles

Issues of debt securities not classified as financial liabilities at fair value through profit or loss or through other comprehensive income are initially recognized at fair value less any transaction costs. They are subsequently measured at amortized cost at each balance sheet date using the effective interest method.

These instruments are recognized on the balance sheet under "Amounts due to banks", "Amounts due to customers" or "Debt securities".

Debt securities are classified based on the nature of the underlying, with the exception of subordinated notes presented under "Subordinated debt".

Securities are recorded in the balance sheet on the settlement-delivery date.

The first-in, first-out (FIFO) method is applied to any partial disposals of securities, except in special cases.

A new category of liabilities eligible for the numerator in the TLAC (Total Loss Absorbing Capacity) calculation has been introduced by French law and is commonly referred to as "senior non-preferred debt". These liabilities rank between own funds and other senior preferred debt.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Bonds	126,207	125,036
Interbank market instruments and negotiable debt securities	76,768	92,180
Other debt securities that are neither preferred nor subordinated	1,970	2,266
Senior non-preferred debt	22,065	18,297
Total	227,010	237,779
Accrued interest	1,191	1,562
TOTAL DEBT SECURITIES	228,201	239,341

The fair value of debt securities is presented in Note 10.

5.11 AMOUNTS DUE TO BANKS AND SIMILAR AND CUSTOMERS

Accounting principles

These liabilities, which are not classified as financial liabilities at fair value through profit or loss, are carried at amortized cost under "Amounts due to banks" or "Amounts due to customers".

Issues of debt securities (which are not classified as financial liabilities at fair value through profit or loss or through other comprehensive income) are initially recognized at fair value less any transaction costs. They are subsequently measured at amortized cost at each balance sheet date using the effective interest method.

These instruments are recognized on the balance sheet under "Amounts due to banks", "Amounts due to customers" or "Debt securities" (see Note 5.10).

Temporary sales of securities are recorded on the settlement/delivery date.

For repurchase transactions, a loan commitment received is recorded between the transaction date and the settlement-delivery date when such transactions are recorded as "Liabilities".

Use of the ECB's long-term refinancing facility (TLTRO3) was booked at amortized cost in accordance with IFRS 9. Interest is recognized in the income statement by the effective interest rate method estimated based on the assumption that the eligible loan targets fixed by the ECB are met. As these loans are remunerated via an adjustable rate, the effective interest rate used may change from one period to another. This means the -0.50% interest bonus has been booked as income for the 12-month period concerned.

5.11.1 AMOUNTS DUE TO BANKS AND SIMILAR

<i>in millions of euros</i>	12/31/2020	12/31/2019
Demand deposits	9,471	9,389
Repurchase agreements	2,710	2,446
Accrued interest	6	5
Amounts due to banks and similar – repayable on demand	12,187	11,840
Term deposits and loans ⁽¹⁾	117,556	59,631
Repurchase agreements	7,607	3,968
Accrued interest	(373)	(122)
Amounts due to banks and similar – repayable at agreed maturity dates	124,790	63,476
Guarantee deposits received	1,439	1,336
TOTAL AMOUNTS DUE TO BANKS AND SIMILAR	138,416	76,653

(1) The liability related to the TLTRO3 long-term refinancing with the ECB amounted to €82 billion at December 31, 2020 and resulted in the recognition of interest income in interest and similar income on the basis a bonus rate of -1% over the period, as the Group considers it highly probable that it will achieve the target of stable loans outstanding set by the ECB.

The fair value of amounts due to banks and similar is presented in Note 10.

5.11.2 AMOUNTS DUE TO CUSTOMERS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts	266,086	210,815
Livret A savings accounts	100,781	93,963
Regulated home savings products	82,058	79,985
Other regulated savings accounts	99,839	91,078
Accrued interest	3	3
Regulated savings accounts	282,681	265,029
Demand deposits and loans	13,917	12,741
Term accounts and loans	59,118	63,174
Accrued interest	1,339	1,601
Other customer accounts	74,374	77,516
Repurchase agreements	5,225	5,148
Other amounts due to customers	2,453	1,180
Guarantee deposits received	18	25
TOTAL AMOUNTS DUE TO CUSTOMERS	630,837	559,713

The fair value of amounts due to customers is presented in Note 10.

5.12 ACCRUED EXPENSES AND OTHER LIABILITIES

<i>in millions of euros</i>	12/31/2020	12/31/2019
Collection accounts	1,621	2,534
Prepaid income	1,504	1,556
Accounts payable	2,606	2,663
Other accruals	6,612	5,878
Accrued expenses - liabilities	12,343	12,631
Settlement accounts in credit on securities transactions	1,882	601
Other accounts payable ⁽¹⁾	6,719	7,709
Lease liabilities	1,719	1,848
Other liabilities	10,320	10,158
TOTAL ACCRUED EXPENSES AND OTHER LIABILITIES	22,662	22,789

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of the premiums on options to be paid or received (see Note 5.2.3)

5.13 PROVISIONS

Accounting principles

Provisions other than those relating to employee benefit commitments and similar, regulated home savings products, off-balance sheet commitments, and insurance policies mainly consist of provisions for restructuring, claims and litigation, fines and penalties, and tax risks (excluding income tax).

Provisions are liabilities for which the timing or amount is uncertain, but can be reliably estimated. They correspond to current obligations (legal or implicit), resulting from a past event, and for which an outflow of funds will probably be necessary to settle them.

The amount recognized in provisions is the best estimate of the expense required to extinguish the present commitment at the balance sheet date.

Provisions are discounted when the impact of discounting is material.

Changes in provisions are recognized in the income statement on the lines corresponding to the nature of the future expenditure.

Provisions on regulated home savings products

Regulated home savings accounts (Comptes d'Épargne Logement – CEL) and regulated home savings plans (Plans d'Épargne Logement – PEL) are retail products marketed in France governed by the 1965 law on home savings plans and accounts, and subsequent implementing decrees.

Regulated home savings products generate two types of commitments for establishments selling them:

- a commitment to provide a loan to the customer in the future at a rate set on inception of the contract (for PEL products) or at a rate contingent upon the savings phase (for CEL products);

- a commitment to pay interest on the savings in the future at a rate set on inception of the contract for an indefinite period (for PEL products) or at a rate set on a half-yearly basis according to an indexing formula regulated by law (for CEL products).

Commitments with potentially unfavorable consequences are measured for each generation of regulated home savings plans and for all regulated home savings accounts.

A provision is recognized for the associated risks by discounting future potential earnings from at-risk outstandings:

- at-risk saving deposit outstandings correspond to the uncertain future level of savings for plans in existence at the date the provision is calculated. This is estimated on a statistical basis for each future period taking account of historical investor behavior patterns, and corresponds to the difference between the probable outstandings and the minimum expected outstandings;
- at-risk loans correspond to the loan outstandings granted but not yet due at the calculation date plus statistically probable loan outstandings based on historical customer behavior patterns as well as earned and future rights relating to regulated home savings accounts and plans.

The commitments are estimated using the Monte Carlo method in order to reflect the uncertainty of future interest rate trends and their impact on customer behavior models and at-risk outstandings. On this basis, a provision is recorded for a given generation of contracts in the event of a situation liable to be detrimental for the Group, with no netting between generations.

The provision is recognized under liabilities in the balance sheet and changes are recorded in net interest income and expenses.

<i>in millions of euros</i>	12/31/2019	Increase	Used	Reversals unused	Other movements ⁽¹⁾	12/31/2020
Provisions for employee benefits ⁽²⁾	2,184	167	(80)	(124)	27	2,174
Provisions for restructuring costs ⁽³⁾	261	50	(136)	(12)	(11)	152
Legal and tax risks ⁽⁴⁾	1,302	125	(25)	(115)	(80)	1,208
Loan and guarantee commitments ⁽⁵⁾	710	723	(6)	(490)	(82)	855
Provisions for regulated home savings products	579	53		(19)		613
Other operating provisions	1,120	345	(27)	(170)	(56)	1,211
TOTAL PROVISIONS	6,156	1,463	(275)	(929)	(203)	6,213

(1) Other movements include the revaluation differences of post-employment defined-benefit plans (+€3 million before tax) and the currency translation adjustments (-€71 million).

(2) Including €2,043 million for post-employment defined-benefit plans and other long-term employee benefits.

(3) At December 31, 2020, provisions for restructuring costs notably included:

- €120 million for the voluntary redundancy plan initiated at Crédit Foncier (compared to €191 million at December 31, 2019);
- €7 million for the employment protection plan for BPCE International (compared to €20 million at December 31, 2019).

(4) Provisions for legal and tax risks include €503 million for the net exposure on the Madoff fraud.

(5) Provisions for credit losses on loan and guarantee commitments given are detailed in Note 7.1.3.

5.13.1 DEPOSITS COLLECTED FOR REGULATED HOME SAVINGS PRODUCTS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Deposits collected for regulated home savings plans (PEL)		
• plans less than 4 years old	4,507	4,480
• plans more than 4 years but less than 10 years old	46,899	44,399
• plans more than 10 years old	23,371	24,197
Deposits collected for regulated home savings plans (PEL)	74,777	73,076
Deposits collected for regulated home savings accounts (CEL)	5,896	5,676
TOTAL DEPOSITS COLLECTED FOR REGULATED HOME SAVINGS PRODUCTS	80,673	78,752

5.13.2 LOANS GRANTED ON REGULATED HOME SAVINGS PRODUCTS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Loans granted on regulated home savings plans (PEL)	22	33
Loans granted on regulated home savings accounts (CEL)	81	120
TOTAL LOANS GRANTED ON REGULATED HOME SAVINGS PRODUCTS	103	153

5.13.3 PROVISIONS FOR REGULATED HOME SAVINGS PRODUCTS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Provisions for home savings plans (PEL)		
• plans less than 4 years old	67	72
• plans more than 4 years but less than 10 years old	165	203
• plans more than 10 years old	336	282
Provisions for home savings plans (PEL)	568	557
Provisions for regulated home savings accounts (CEL)	46	24
Provisions for home savings plan (PEL) loans		(1)
Provisions for home savings account (CEL) loans	(1)	(1)
Provisions for home savings loans	(1)	(2)
TOTAL PROVISIONS FOR REGULATED HOME SAVINGS PRODUCTS	613	579

5.14 SUBORDINATED DEBT

Accounting principles

Subordinated debt differs from other debt and bonds in that it will be repaid only after all the senior and unsecured creditors, but before the repayment of participating loans and securities and deeply subordinated notes.

Subordinated debt which the issuer is obliged to repay is classified as debt and initially recognized at fair value less any transaction costs. It is subsequently measured at amortized cost at each balance sheet date using the effective interest method.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Subordinated debt designated at fair value through profit or loss	100	100
SUBORDINATED DEBT AT FAIR VALUE THROUGH PROFIT OR LOSS	100	100
Term subordinated debt	14,457	15,859
Perpetual subordinated debt	303	303
Mutual guarantee deposits	121	130
Subordinated debt and similar	14,881	16,292
Accrued interest	409	396
Revaluation of the hedged component	1,085	799
SUBORDINATED DEBT AT AMORTIZED COST	16,375	17,487
TOTAL SUBORDINATED DEBT⁽¹⁾	16,475	17,587

(1) Including €251 million for the insurance entities at December 31, 2020, versus €672 million at December 31, 2019. Coface contributed -€389 million at December 31, 2019 (see Note 1.3).

The fair value of subordinated debt is presented in Note 10.

CHANGES IN SUBORDINATED DEBT AND SIMILAR DURING THE YEAR

<i>in millions of euros</i>	12/31/2019	Issuance	Redemption ⁽¹⁾	Change in consolidation scope ⁽²⁾	Other changes ⁽³⁾	12/31/2020
Subordinated debt designated at fair value through profit or loss	100					100
SUBORDINATED DEBT AT FAIR VALUE THROUGH PROFIT OR LOSS	100					100
Term subordinated debt	15,859	350	(449)	(392)	(911)	14,457
Perpetual subordinated debt	303					303
Mutual guarantee deposits	130	8	(15)		(2)	121
SUBORDINATED DEBT AT AMORTIZED COST⁽⁴⁾	16,292	358	(464)	(392)	(913)	14,881
SUBORDINATED DEBT AND SIMILAR	16,392	358	(464)	(392)	(913)	14,981

(1) Redemptions of subordinated loans and notes were due to the maturing of such borrowings.

(2) Relates on the one hand to the Fidor group, reported under IFRS 5, and on the other to the Coface group, which is now accounted for by the equity method (see Note 5.7).

(3) Other changes mainly included the revaluation of debts subject to hedging, foreign exchange fluctuations and variations in intra-group securities held by Natixis Funding for the purposes of market-making on Natixis' debt on the secondary market.

(4) Excluding accrued interest and revaluation of the hedged component.

Deeply subordinated notes qualifying as equity instruments are presented in Note 5.15.2.

5.15 ORDINARY SHARES AND EQUITY INSTRUMENTS ISSUED

Accounting principles

Financial instruments issued by the Group qualify as debt or equity instruments depending on whether or not the issuer has a contractual obligation to deliver cash or another financial asset to the holder of the instrument, or to exchange the instrument under conditions that are potentially unfavorable to the Group. This obligation must arise from specific contractual terms and conditions, not merely economic constraints.

In addition, when an instrument qualifies as equity:

- its remuneration impacts equity. However, in accordance with the amendment to IAS 12 of December 2017, which applies from January 1, 2019, the tax consequences of dividend payments can be recognized in retained earnings, gains and losses recognized directly in other comprehensive income, or in income, depending on the source of the amounts paid. Accordingly, when the payment corresponds to the notion of a dividend within the meaning of IFRS 9, the tax consequence is taken to

income. This rule applies to interest on perpetual deeply subordinated notes, which is treated as a dividend for accounting purposes;

- it cannot be an underlying instrument eligible for hedge accounting;
- if the issue is in a foreign currency, the instrument is fixed at its historical value resulting from its conversion to euros at its initial date of transfer to equity.

Finally, when these instruments are issued by a subsidiary, they are included in "Non-controlling interests". When their remuneration is of a cumulative nature, it is charged to "Income attributable to equity holders of the parent" and increases the income of "Non-controlling interests". However, when their remuneration is not of a cumulative nature, it is drawn from retained earnings attributable to equity holders of the parent.

5.15.1 COOPERATIVE SHARES

Accounting principles

IFRIC 2 "Members' Shares in Co-operative Entities and Similar Instruments" clarifies the provisions of IAS 32. In particular, it stipulates that the contractual right of the holder of cooperative shares in cooperative entities to request redemption does not, in itself, automatically give rise to an obligation for the issuer. Rather, the entity must consider all of the terms and conditions of the financial instrument in determining its classification.

Based on this interpretation, cooperative shares are classified as equity if the entity has an unconditional right to refuse redemption of the cooperative shares or if local laws,

regulations or the entity's articles of association unconditionally prohibit or curtail the redemption of cooperative shares.

Based on the existing provisions of the Group's articles of association relating to minimum capital requirements, cooperative shares issued by the Group are classified as equity.

As the local savings companies (LSCs) are considered to be fully consolidated structured entities, their consolidation impacts retained earnings.

At December 31, 2020, the share capital is broken down as follows:

- €11,245 million in cooperative shares fully subscribed for by the cooperative shareholders of the Banques Populaires (compared to €10,502 million at December 31, 2019), o/w +€82 million in interest distribution on cooperative shares;
- €12,404 million in cooperative shares fully subscribed for by the cooperative shareholders of the Caisses d'Epargne (compared to €12,404 million at December 31, 2019).

Since January 1, 2020, the Banques Populaires have carried out capital increases of €743 million (€3,227 million in 2019 by the Banques Populaires and the Caisses d'Epargne), resulting in an increase in the item "Share capital". The shareholders' equity of the local savings companies is also included in "Retained earnings" after the elimination of the Caisses d'Epargne cooperative shares held. The emissions of cooperative shares by the local savings companies since January 1, 2020 resulted in an increase in retained earnings of +€448 million, o/w +€148 million in interest distributions on cooperative shares.

At December 31, 2020, additional paid-in capital is broken down as follows:

- €947 million linked to cooperative shares subscribed for by the cooperative shareholders of the Banques Populaires;
- €2,885 million linked to cooperative shares subscribed for by the cooperative shareholders of the Caisses d'Epargne.

5.15.2 PERPETUAL DEEPLY SUBORDINATED NOTES CLASSIFIED AS EQUITY

At December 31, 2020, Groupe BPCE had no more deeply subordinated notes classified in other comprehensive income.

5.16 NON-CONTROLLING INTERESTS

5.16.1 MATERIAL NON-CONTROLLING INTERESTS

At December 31, 2020, material non-controlling interests with regard to the Group's equity mainly comprised the share of non-controlling interests in Natixis group, non-controlling interests within Natixis group (including H20) and the share of non-controlling interests in Oney Bank.

		Fiscal year 2020						
		Non-controlling interests			Summary financial information for 100% equity interests			
Entity name	Percentage ownership of non-controlling interests	Income attributed to holders of non-controlling interests during the period	Amount of non-controlling interests in the subsidiary	Dividends paid to holders of non-controlling interests	Assets	Liabilities	Net income attributable to equity holders of the parent	Comprehensive income attributable to equity holders of the parent
Natixis group	29.34%	128	5,326	166	495,320	475,924	101	(81)
O/w H20 ⁽¹⁾	49.99%	30	122	124	282	55	60	38
Oney Bank	49.90%	22	243		4 363	3 748	70	70
Other entities		(16)	159	8				
TOTAL AT DECEMBER 31, 2020		134	5,728	174				

(1) Non-controlling interests in Natixis.

		Fiscal year 2019						
		Non-controlling interests			Summary financial information for 100% equity interests			
Entity name	Percentage ownership of non-controlling interests	Income attributed to holders of non-controlling interests during the period	Amount of non-controlling interests in the subsidiary	Dividends paid to holders of non-controlling interests	Assets	Liabilities	Net income attributable to equity holders of the parent	Comprehensive income attributable to equity holders of the parent
Natixis group	29.32%	693	7,023	1,011	513,169	492,343	1,897	2,127
O/w Coface ⁽¹⁾	57.52%	118	1,174	68	7,387	5,462	147	241
O/w H20 ⁽¹⁾	49.99%	211	229	186	675	225	423	454
Oney Bank⁽²⁾	49.90%	(8)	225		3,713	3,261	12	13
Other entities		22	183	20				
TOTAL AT DECEMBER 31, 2019		707	7,431	1,031				

(1) Non-controlling interests in Natixis.

(2) Income since the takeover in October 2019.

5.16.2 TRANSACTIONS MODIFYING THE SHARE OF NON-CONTROLLING INTERESTS IN RETAINED EARNINGS

	Fiscal year 2020		Fiscal year 2019	
	Attributable to equity holders of the parent	Attributable to non-controlling interests	Attributable to equity holders of the parent	Attributable to non-controlling interests
<i>in millions of euros</i>				
Put options on non-controlling interests				
Acquisitions/Disposals ⁽¹⁾	(13)	(5)	(31)	(13)
Revaluations and others	16	10	9	4
Change in ownership interests with no change of control	5	7	(273)	189
Loss of control of Coface⁽²⁾	(53)	(1,196)		
Acquisition of Oney Bank				233
Other⁽³⁾	450	(403)	(98)	(7)
TOTAL IMPACT OF ACQUISITIONS AND DISPOSALS ON NON-CONTROLLING INTERESTS	405	(1,587)	(393)	406

- (1) Sale by Natixis of 45% of Ostrum's securities to La Banque Postale in 2020 and acquisition of Thematics Asset Management, Azure Capital and Flextone Partners in 2019.
- (2) The loss of control of Coface meant the deconsolidation of -€1,174 million of reserves attributable to non-controlling interests and the recycling to income of unrealized reserves on available-for-sale assets (-€55 million attributable to equity holders of the parent and -€23 million attributable to non-controlling interests) and currency translation adjustments (+€2 million attributable to equity holders of the parent and +€1 million attributable to non-controlling interests).
- (3) The revision of reserves attributable to non-controlling interests resulted in 2020 in a +€409 million transfer between reserves attributable to equity holders of the parent and those attributable to non-controlling interests.

5.17 CHANGES IN GAINS AND LOSSES RECOGNIZED DIRECTLY IN OTHER COMPREHENSIVE INCOME

Accounting principles

In the event of disposal of equity financial assets recognized in other comprehensive income, changes in fair value are not transferred to profit or loss. These items are described as being not recyclable to profit or loss.

	12/31/2020			12/31/2019		
	Gross	Tax	Net	Gross	Tax	Net
<i>in millions of euros</i>						
Foreign exchange rate adjustments	(410)	///	(410)	175	///	175
Revaluation of financial assets at fair value through other comprehensive income recyclable to profit or loss	98	(13)	85	237	(64)	174
Revaluation of available-for-sale financial assets of insurance businesses	259	(63)	196	476	(123)	353
Revaluation of derivative hedging items that can be recycled to profit or loss	(35)	3	(32)	100	(30)	70
Items of the share of gains and losses of associates recognized directly in other comprehensive income	1	(24)	(23)	184	(44)	140
Items recyclable to profit or loss	(87)	(97)	(184)	1,173	(261)	912
Revaluation (or actuarial gains and losses) in respect of defined-benefit plans	4	(4)		(240)	57	(183)
Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss	(23)	6	(17)	(235)	63	(172)
Revaluation of equity financial assets recognized at fair value through other comprehensive income	49	12	61	282	(21)	261
Items of the share of gains and losses of associates recognized directly in other comprehensive income	(4)		(4)	(9)	2	(7)
Other items recognized through other comprehensive income not recyclable to profit or loss				1	(3)	(2)
Items not recyclable to profit or loss	26	14	40	(201)	97	(103)
TOTAL GAINS AND LOSSES RECOGNIZED DIRECTLY IN SHAREHOLDERS' EQUITY (AFTER TAX)	(61)	(83)	(144)	972	(163)	810
Attributable to equity holders of the parent			(106)			676
Non-controlling interests			(38)			133

5.18 OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Accounting principles

Financial assets and liabilities were offset on the balance sheet in accordance with IAS 32. Under this standard, a financial asset and financial liability are offset and a net balance is recorded in the balance sheet if and only if:

- the Group has the legally enforceable right to offset the recorded amounts; and
- it has the intention either to settle the net amount or to simultaneously realize the asset and settle the liability.

Within Groupe BPCE, most offset amounts are the result of repurchase agreements and derivatives transactions largely carried out by Natixis with clearing houses, which meet the requirements of IAS 32:

- for listed derivatives, the positions recorded under the respective asset and liability items for:
 - index options and futures options are offset by maturity and by currency,
 - equity options are offset by ISIN code and maturity date;
- for OTC derivatives, this comprises the netting, by currency, of the asset valuations and liability valuations of the derivatives;
- for repurchase agreements, the amount recorded in the balance sheet corresponds to the net value of repurchase and reverse repurchase agreements:
 - entered into with the same clearing house, and which:
 - have the same maturity date,
 - are for the same depository (unless the depository uses the T2S platform),
 - are denominated in the same currency,
 - for which the settlement / delivery is carried out by the same depository whose services make it possible to ensure the link, at the settlement date, between contracts concluded with the same counterparty and whose maturity and currency are identical,
 - represent asset switch transactions that have similar nominal amounts and identical maturities and currencies, the Group presents these as a single financial asset or liability.

At December 31, 2020, OTC derivatives traded by Natixis with the clearing houses LCH Clearnet Ltd, Eurex Clearing AG and CME Clearing are not subject to netting within the meaning of IAS 32, but are settled daily (application of the Settlement to Market principle as provided for by these three clearing houses, which treats margin calls as daily settlement for derivatives instead of collateral as previously).

Financial assets and liabilities under netting agreements may only be offset if they meet the restrictive netting criteria set by IAS 32.

Offsetting may not be performed for derivatives or OTC repurchase agreements subject to master agreements that do not meet the net settlement criteria or where the realization of a simultaneous settlement of the asset and liability cannot be demonstrated or for which the offsetting right can only be exercised in the event of default, insolvency or bankruptcy by one of the parties to the agreement. However, the impact of such agreements in terms of reducing the exposure is presented in the second table.

For these instruments, the “Related financial assets and financial instruments received as collateral” and “Related financial liabilities and financial instruments pledged as collateral” columns include in particular:

- for repurchase agreements:
 - loans or borrowings resulting from reverse repurchase agreements with the same counterparty, and securities pledged or received as collateral (for the fair value of said securities),
 - margin calls in the form of securities (for the fair value of said securities);
 - for derivatives, the fair values of reverse transactions with the same counterparty, as well as margin calls in the form of securities.

Margin calls received or paid in cash are shown in “Margin calls received (cash collateral)” and “Margin calls paid (cash collateral)”.

5.18.1 FINANCIAL ASSETS

Impact of offsetting on financial assets under netting agreements in the balance sheet

	12/31/2020			12/31/2019 ⁽²⁾		
	Gross amount of financial assets ⁽¹⁾	Gross amount of financial liabilities offset in the balance sheet	Net amount of financial assets recognized in the balance sheet	Gross amount of financial assets	Gross amount of financial liabilities offset in the balance sheet	Net amount of financial assets recognized in the balance sheet
<i>in millions of euros</i>						
Derivatives (trading and hedging)	54,811	4,970	49,841	88,653	31,815	56,838
Repurchase agreements	81,096	15,149	65,947	101,531	20,610	80,921
Financial assets at fair value	135,908	20,119	115,789	190,184	52,425	137,759
Repurchase agreements (loans and receivables portfolio)	14,113	5,057	9,056	12,698	1,100	11,598
TOTAL	150,021	25,176	124,845	202,882	53,525	149,357

(1) Includes the gross amount of financial assets subject to netting or an enforceable master netting agreement or similar and financial assets not subject to any agreement.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

Impact of netting agreements on financial assets not recognized in the financial statements

	12/31/2020				12/31/2019 ⁽²⁾			
	Net amount of financial assets recognized in the balance sheet	Related financial liabilities and financial instruments received as collateral ⁽¹⁾	Margin calls received (cash collateral)	Net exposure	Net amount of financial assets recognized in the balance sheet	Related financial liabilities and financial instruments received as collateral	Margin calls received (cash collateral)	Net exposure
<i>in millions of euros</i>								
Derivatives (trading and hedging)	49,841	33,133	7,126	9,582	56,838	39,195	5,757	11,886
Repurchase agreements	75,003	74,518	88	397	92,519	88,309	90	4,120
TOTAL	124,845	107,651	7,214	9,980	149,357	127,504	5,847	16,006

(1) Including collateral received in the form of securities.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

The net exposure does not reflect the accounting position, because it takes into account the reduced exposure arising from agreements that do not meet the restrictive netting criteria set by IAS 32.

5.18.2 FINANCIAL LIABILITIES

Impact of offsetting on financial liabilities under netting agreements in the balance sheet

	12/31/2020			12/31/2019 ⁽²⁾		
	Gross amount of financial liabilities ⁽¹⁾	Gross amount of financial assets offset in the balance sheet	Net amount of financial liabilities recognized in the balance sheet	Gross amount of financial liabilities	Gross amount of financial assets offset in the balance sheet	Net amount of financial liabilities recognized in the balance sheet
<i>in millions of euros</i>						
Derivatives (trading and hedging)	57,048	4,510	52,538	93,429	31,815	61,614
Repurchase agreements	108,382	15,149	93,233	116,146	20,610	95,536
Financial liabilities at fair value	165,430	19,659	145,771	209,575	52,425	157,150
Repurchase agreements (debt portfolio)	20,607	5,057	15,550	12,662	1,100	11,562
TOTAL	186,496	25,176	161,320	222,237	53,525	168,712

(1) Includes the gross amount of financial liabilities subject to netting or an enforceable master netting agreement or similar and financial liabilities not subject to any agreement.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

Impact of netting agreements on financial liabilities not recognized in the financial statements

	12/31/2020				12/31/2019 ⁽²⁾			
<i>in millions of euros</i>	Net amount of financial liabilities recognized in the balance sheet	Related financial assets and financial instruments pledged as collateral ⁽¹⁾	Margin calls paid (cash collateral)	Net exposure	Net amount of financial liabilities recognized in the balance sheet	Related financial assets and financial instruments pledged as collateral	Margin calls paid (cash collateral)	Net exposure
Derivatives (trading and hedging)	52,538	34,875	15,462	2,201	61,614	39,705	11,847	10,062
Repurchase agreements	108,782	107,958	32	792	107,098	101,652	74	5,372
TOTAL	161,320	142,833	15,494	2,993	168,712	141,357	11,921	15,434

(1) Including collateral received in the form of securities.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

The net exposure does not reflect the accounting position, because it takes into account the reduced exposure arising from agreements that do not meet the restrictive netting criteria set by IAS 32.

5.19 TRANSFERRED FINANCIAL ASSETS, OTHER FINANCIAL ASSETS PLEDGED AS COLLATERAL AND ASSETS RECEIVED AS COLLATERAL THAT CAN BE SOLD OR REPLEDGED

Accounting principles

A financial asset (or group of similar financial assets) is derecognized when the contractual rights to the asset's future cash flows have expired or when such rights are transferred to a third party, together with virtually all of the risks and rewards associated with ownership of the asset. In such case, rights and obligations created or retained as a result of the transfer are recorded in a separate line under financial assets and liabilities.

When a financial asset is derecognized, a gain or loss on disposal is recorded in the income statement reflecting the difference between the carrying amount of the asset and the consideration received.

In the event that the Group has neither transferred nor retained virtually all of the risks and rewards, but has retained control of the asset, the asset continues to be recognized on the balance sheet to the extent of the Group's continuing involvement.

In the event that the Group has neither transferred nor retained virtually all of the risks and rewards and has not retained control of the asset, the asset is derecognized and all of the rights and obligations created or retained as a result of the transfer are recorded in a separate line under financial assets and liabilities.

If all the conditions for derecognizing a financial asset are not met, the Group keeps the asset in the balance sheet and records a liability representing the obligations arising when the asset is transferred.

The Group derecognizes a financial liability (or a part of a financial liability) only when it is extinguished, i.e. when the obligation specified in the contract is discharged, terminated or expires.

Repurchase agreements

Securities sold under repurchase agreements are not derecognized in the vendor's accounts. A liability representing the commitment to return the funds received is identified and recognized under "Securities sold under repurchase agreements". This debt is a financial liability recorded at

amortized cost or at fair value through profit or loss when this liability is considered part of a trading business model.

The assets received are not recognized in the purchaser's books, but a receivable is recorded with respect to the vendor representing the funds loaned. The amount disbursed in respect of the asset is recognized under "Securities purchased under resale agreements". On subsequent balance sheet dates, the securities continue to be accounted for by the vendor in accordance with the rules applicable to the category in which they were initially classified. The receivable is valued according to methods specific to its category: at amortized cost when classified in "Loans and receivables", or at fair value through profit or loss when it is considered part of a trading business model.

Outright securities lending

Securities loaned under outright securities lending transactions are not derecognized in the vendor's accounts. They continue to be recognized in their original accounting category and are valued accordingly. For the borrower, the securities borrowed are not recognized.

Transactions leading to substantial changes in financial assets

When an asset is subject to substantial changes (in particular following renegotiation or remodeling due to financial hardship) there is derecognition, since the rights to the initial cash flows have essentially expired. The Group considers that this is the case for:

- changes leading to a change of counterparty, especially if the new counterparty has a very different credit quality than the previous counterparty;
- changes intended to move from a very structured to basic indexing, as the two assets are not exposed to the same risks.

Transactions leading to substantial changes in financial liabilities

A substantial change to the terms of a lending instrument must be recorded as the extinguishment of the existing debt

and its replacement with a new debt. The amendment to IFRS 9 of October 12, 2017 clarified the treatment under IFRS 9 of modifications of liabilities recognized at amortized cost if the modification does not result in derecognition: the profit or loss resulting from the difference between the original cash flows and the modified cash flows discounted at the original effective interest rate must be recognized in profit or loss. To assess the substantial nature of the change, IFRS 9

includes a threshold of 10% based on discounted cash flows, integrating potential costs and fees: when the difference is greater than or equal to 10%, all of the costs or fees incurred are recognized as profit or loss on debt extinguishment.

The Group may consider other changes to be substantial, such as a change of issuer (even within the same group) or a change in currency.

5.19.1 TRANSFERRED FINANCIAL ASSETS NOT FULLY DERECOGNIZED AND OTHER FINANCIAL ASSETS PLEDGED AS COLLATERAL

in millions of euros	Carrying amount				12/31/2020
	Outright securities lending	Repurchase agreements	Assets transferred or pledged as collateral	Securitizations	
Financial assets at fair value through profit or loss – Held for trading	3,852	9,038	441	373	13,704
Financial assets at fair value through profit or loss – Non-SPPI			9		9
Financial assets at fair value through other comprehensive income	6,581	575	1,857		9,013
Financial assets at amortized cost	1,132	1,208	127,151	38,167	167,658
TOTAL FINANCIAL ASSETS PLEDGED AS COLLATERAL	11,566	10,820	129,457	38,541	190,383
<i>o/w transferred financial assets not fully derecognized</i>	<i>11,566</i>	<i>10,820</i>	<i>121,654</i>	<i>38,541</i>	<i>182,580</i>

The amount of liabilities associated with financial assets pledged as collateral for repurchase agreements came to €10,161 million at December 31, 2020 (€9,555 million at December 31, 2019).

The fair value of assets pledged as collateral for non-deconsolidating securitization transactions was €38,580 million at December 31, 2020 (€40,678 million at December 31, 2019) and the amount of related liabilities came to €22,851 million at December 31, 2020 (€12,470 million at December 31, 2019).

Transferred financial assets not fully derecognized and other financial assets pledged as collateral at December 31, 2019

in millions of euros	Carrying amount				12/31/2019
	Outright securities lending	Repurchase agreements	Assets transferred or pledged as collateral	Securitizations	
Financial assets at fair value through profit or loss – Held for trading	4,537	9,238	3,893	448	18,117
Financial assets at fair value through profit or loss – Non-SPPI		105	10		115
Financial assets at fair value through other comprehensive income	6,077	265	1,607		7,949
Financial assets at amortized cost	947	238	94,925	40,125	136,235
TOTAL FINANCIAL ASSETS PLEDGED AS COLLATERAL	11,562	9,846	100,435	40,573	162,416
<i>o/w transferred financial assets not fully derecognized</i>	<i>11,562</i>	<i>9,846</i>	<i>88,099</i>	<i>40,573</i>	<i>150,080</i>

5.19.1.1 Comments on transferred financial assets

SECURITIES REPURCHASING AND LENDING

Groupe BPCE repurchases and loans securities.

Under the terms of the agreements, the securities may be sold on by the purchaser throughout the duration of the repurchase or lending agreement. The purchaser must nevertheless return them to the vendor at the end of the agreement. Cash flows generated by the securities are also transferred to the vendor.

The Group believes that it retains almost all of the risks and benefits of securities under repurchase or loan agreements. They are therefore not derecognized. Financing has been recorded in liabilities for the repurchasing or lending of financed securities.

SALES OF RECEIVABLES

Groupe BPCE sells receivables as security (Articles L. 211-38 or L. 313-23 *et seq.* of the French Monetary and Financial Code) under guaranteed refinancing operations, notably with the central bank. This type of disposal for security involves the legal transfer of the associated contractual rights, and therefore a “transfer of assets” as per the amendment to IFRS 7. The Group nevertheless remains exposed to virtually all the risks and benefits, and as such the receivables are maintained on the balance sheet.

CONSOLIDATED SECURITIZATIONS

Securitizations consolidated with outside investors constitute an asset transfer according to the amendment to IFRS 7.

The Group has an indirect contractual obligation to transfer to outside investors the cash flow from assets transferred to the securitization fund (although these assets are included in the Group's balance sheet through the consolidation of the fund).

In the interest of transparency, for consolidated securitization transactions:

- the share of receivables sold attributable to external investors is considered to be pledged as collateral to third parties;
- the share of receivables sold attributable to units and bonds subscribed for by the Group, and eliminated on consolidation, is not considered to be pledged as collateral unless these securities were brought to Groupe BPCE's single treasury and central bank collateral management pool and used as part of a refinancing mechanism.

The securitization transactions performed by BPCE in 2014 (BPCE Master Home Loans), 2016 (BPCE Consumer loans 2016_5) and 2017 (BPCE Home Loans 2017_5) were fully subscribed for by the Group, while the senior tranches of the BPCE Home Loans FCT 2018 and BPCE Home Loans FCT 2019, BPCE Home Loans FCT 2020 and BPCE Financement Purple Master Credit Card securitizations were subscribed for by external investors (Note 13.1).

5.19.1.2 Comments on financial assets pledged as collateral but not transferred

Financial assets provided as collateral but not transferred are generally pledged. The main mechanisms involved are the CRH (Caisse de Refinancement de l'Habitat), the ESNi industry-wide funding mechanism and securities pledged as collateral for ECB refinancing operations.

Moreover, in accordance with French law, the intrinsic guarantees attached to issues of covered bonds are not recognized under guarantee commitments given. The covered bonds issued by BPCE SFH and Compagnie de Financement Foncier benefit from a legal privilege comprised of eligible assets.

5.19.1.3 Financial assets received as collateral that can be sold or repledged

This heading covers financial assets received as security under financial guarantee agreements with the right to reuse the assets in the absence of any default on the part of the owner of the guarantee.

The fair value of the financial assets received as collateral that Groupe BPCE may sell or repledge amounted to €210 billion at December 31, 2020, compared to €233 billion at December 31, 2019.

The fair value of the financial assets received as collateral that were actually sold or repledged amounted to €151 billion at December 31, 2020, compared with €167 billion at December 31, 2019.

5.19.2 FULLY DERECOGNIZED FINANCIAL ASSETS FOR WHICH THE GROUP RETAINS AN ONGOING COMMITMENT

Fully derecognized transferred financial assets for which the Group retains an ongoing commitment consist of asset transfers to a deconsolidated securitization vehicle in which Groupe BPCE has an interest or an obligation, although this does not call into question the transfer of almost all of the benefits and risks relating to the assets transferred.

Ongoing commitments retained by the Group in relation to securitization vehicles were not significant on December 31, 2020.

5.20 FINANCIAL INSTRUMENTS SUBJECT TO BENCHMARK INDEX REFORM

Accounting principles

In accordance with the amendments to IFRS 9 and IAS 39 relating to the reform of benchmark interest rates (phase 1), until the uncertainties relating to the reform disappear, it is considered that:

- transactions designated as cash flow hedges are considered "highly probable", as it is assumed that the cash flows will not change as a result of the reform;
- prospective effectiveness tests of fair value hedges and cash flow hedges are not affected by the reform, and in particular hedge accounting can continue if retrospective assessment results are outside the 80%-125% range during the transition period, while the ineffective portion of hedging relationships shall continue to be recognized in the income statement;
- hedged risk components determined using a benchmark rate are considered to be separately identifiable.

Groupe BPCE considers that all its hedging agreements with a BOR or EONIA component are concerned by the reform and therefore qualify for the amendments for as long as there is uncertainty as to the contractual changes required by

regulations or regarding the replacement benchmark to be used or the application period of temporary rates. Groupe BPCE's exposure primarily lies with its derivatives contracts and lending and borrowing contracts that use the EURIBOR, EONIA or US LIBOR interest rates. Hedging transactions are presented in Note 5.3.

The amendments of phase 2, after implementation of the alternative rates, introduce a practical expedient, which consists of modifying the effective interest rate prospectively without impact on net income in cases where the changes in flows of financial instruments are exclusively related to the reform and make it possible to maintain an economic equivalence between the old flows and the new ones.

They also introduce, if these conditions are met, relaxations in the eligibility criteria for hedge accounting in order to be able to maintain the hedging relationships concerned by the reform. These provisions relate in particular to the impacts related to hedge redocumentation, portfolio hedging, treatment of the OCI reserve for the CFH hedging, identification of an identifiable risk component, retrospective effectiveness tests.

European Regulation (EU) 2016/1011 of June 8, 2016 on the indexes used as benchmarks ("the Benchmark Regulation" or "BMR") introduces a common framework aimed at guaranteeing the accuracy and integrity of the indexes used as benchmarks for financial instruments and contracts, or to measure the performance of investment funds within the European Union.

The purpose of the Benchmark Regulation is to regulate the provision of benchmarks, the provision of data underlying benchmarks, and the use of benchmarks, within the European Union. It provides for a transition period for administrators, which have until January 1, 2022 to be approved or registered. After this date, the use by entities supervised by the EU of benchmarks whose administrators are not approved or registered (or, if they are not located in the EU, are not subject to equivalent or otherwise recognized or approved regulations) will be prohibited.

Under the BMR, the interest rate benchmarks EURIBOR, LIBOR and EONIA have been declared critical.

Uncertainties relating to the definition of new benchmark rates in the euro zone were partially resolved in the first half of 2019. Work to propose new indexes has been completed for the EONIA, which became an €STR tracker from October 1, 2019 to December 31, 2021. The €STR will replace the recalibrated EONIA beginning on January 1, 2022.

The introduction of a new calculation approach aimed at transitioning to a hybrid methodology for the EURIBOR, which has been recognized by the Belgian regulator as being consistent with the requirements laid down by the Benchmark Regulation, was finalized in November 2019. Currently, modest doubts persist as to the continuation of the EURIBOR, given the limited number of banks which contribute to setting the index. Two consultations were launched in November 2020 by the European working group on alternative benchmark rates, to help banks with drafting fallback clauses. These consultations deal

with identifying trigger events for the permanent closure of EURIBOR and the best methods for determining rates based on the €STR, which would then replace it.

The degree of uncertainty regarding derivatives or hedged items indexed to the EURIBOR or EONIA rates, which account for most of Groupe BPCE's hedging activities, is less pronounced than the uncertainty surrounding those indexed to the LIBOR.

Regarding LIBOR, at the moment alternative "risk-free" rates have been defined for GBP, USD, CHF and JPY LIBOR.

However, work is ongoing to define the way to transition to these rates. Legislative solutions are also on the cards at European, UK and US levels, for contracts benchmarked to LIBOR, which would not have to be renegotiated at the end of the transition period.

In the first half of 2018, Groupe BPCE established a project team tasked with anticipating the impacts of the benchmark reform, from a legal, commercial, financial, risk, systemic and accounting viewpoint.

During the year 2019, work focused on the reform of the EURIBOR and the transition from the EONIA to the €STR and the strengthening of contractual clauses regarding the termination of indices. In 2020, a more operational phase began, focused on the transition and reducing exposures to the benchmark rates that are likely to disappear. This includes the use of new indexes, addressing existing exposures and more active communications with the Bank's clients. However, the vast majority of contracts affected by the reform will only be amended to include alternative rates in 2021.

Information on non-derivative financial assets, non-derivative financial liabilities and derivatives outstanding that will need to be transitioned is presented in the section on "Liquidity, Interest Rate and Exchange Rate Risks" in chapter 6 "Risk Management".

Note 6 Commitments

Accounting principles

Commitments are materialized by the existence of a contractual obligation and are binding.

It must not be possible for commitments included in this item to be deemed financial instruments falling within the scope of IFRS 9 for classification and measurement purposes. However, loan commitments and guarantees given are covered by IFRS 9 provisioning rules, as set out in Note 7.

The effects of the rights and obligations covered by such commitments must be subject to the occurrence of conditions or subsequent transactions. Commitments are broken down into:

- loan commitments (confirmed credit facilities or refinancing agreements);
- guarantee commitments (off-balance sheet commitments or assets received as collateral).

The amounts shown correspond to the nominal value of commitments given.

6.1 LOAN COMMITMENTS

in millions of euros

	12/31/2020	12/31/2019
Loan commitments given to:		
• banks	994	1,328
• customers	142,792	135,184
<i>Credit facilities granted</i>	133,142	125,649
<i>Other commitments</i>	9,650	9,535
TOTAL LOAN COMMITMENTS GIVEN	143,786	136,512
Loan commitments received from:		
• banks	36,943	56,020
• customers	1,018	1,989
TOTAL LOAN COMMITMENTS RECEIVED	37,961	58,009

6.2 GUARANTEE COMMITMENTS

in millions of euros

	12/31/2020	12/31/2019
Guarantee commitments given to:		
• banks	7,653	6,724
• customers ⁽¹⁾	35,468	35,607
TOTAL GUARANTEE COMMITMENTS GIVEN	43,121	42,331
Guarantee commitments received from:		
• banks	22,162	23,538
• customers	177,210	147,038
TOTAL GUARANTEE COMMITMENTS RECEIVED	199,373	170,576

(1) Guarantees given by CEGC in connection with its activity are treated as insurance policies for accounting purposes, in accordance with IFRS 4 "Insurance contracts". They are recorded on the liabilities side of the balance sheet and are not included in guarantees given to customers shown in the table above.

Guarantee commitments are off-balance sheet commitments.

GUARANTEES ISSUED TO UCITS BY NATIXIS

Natixis guarantees the capital and/or returns on units in certain UCITS. The guarantees are only enforced if, on the maturity date, the net asset value of each unit is below the guaranteed net asset value.

Capital and/or performance guarantees given by Natixis to certain UCITS are recognized as derivatives and measured at fair value in accordance with IFRS 13.

Note 7 Exposure to risks

The risk exposures reported below include credit risk, market risk, overall interest rate risk, foreign exchange risk and liquidity risk.

Information relating to capital management and regulatory ratios is presented in the "Risk Management" section.

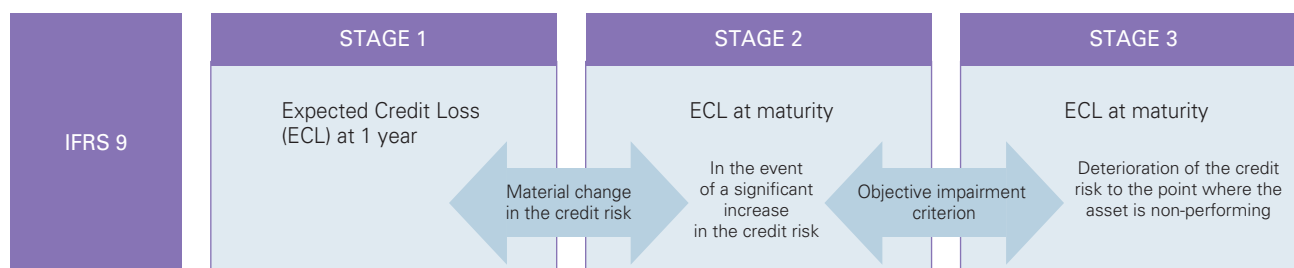
Information on adjustments on account of financial difficulties is provided in the section on "Credit Risk" in Chapter 6 "Risk Management".

Information on liquidity risk (analysis of financial assets and liabilities and commitments by contractual maturity date) is provided in the section on "Liquidity, Interest Rate and Exchange Rate Risks" in Chapter 6 "Risk Management".

7.1 CREDIT RISK

Key points

Credit risk is the risk that one party to a financial transaction fails to fulfill its obligations, causing the other party to incur a financial loss.



Certain disclosures relating to risk management required by IFRS 7 are also provided in the risk management report. They include:

- the breakdown of gross exposures by category and approach (separation of credit and counterparty risk);

- the breakdown of gross exposure by geographic region;
- concentration of credit risk by borrower;
- the breakdown of exposure by credit rating.

This information forms an integral part of the financial statements certified by the Statutory Auditors.

7.1.1 COST OF CREDIT RISK

Accounting principles

Cost of risk applies to debt instruments classified as financial assets at amortized cost or at fair value through other comprehensive income recyclable to profit or loss as well as to loan commitments and financial guarantees given that are not recognized at fair value through profit or loss. It also applies to receivables relating to leasing contracts, business loans and contract assets.

This item therefore covers net impairment and provision charges for credit risk.

Credit losses related to other types of instruments (derivatives or securities designated at fair value through profit or loss) recorded as a result of the default of the counterparty of the credit institution are also included under this item.

Irrecoverable loans not covered by provisions for impairment are loans that have acquired the character of permanent loss before being provisioned in Stage 3.

Cost of credit risk for the period

in millions of euros

	Fiscal year 2020	Fiscal year 2019
Net charge to provisions and provisions for impairment	(2,901)	(1,280)
Recoveries of bad debts written off	35	69
Irrecoverable loans not covered by provisions for impairment	(132)	(156)
TOTAL COST OF CREDIT RISK	(2,998)	(1,367)

Cost of credit risk for the period by type of asset

in millions of euros

	Fiscal year 2020	Fiscal year 2019
Interbank transactions	(72)	8
Customer transactions	(2,864)	(1,320)
Other financial assets	(62)	(54)
TOTAL COST OF CREDIT RISK	(2,998)	(1,367)

This item also includes impairment charges potentially recognized when there is a known risk of counterparty default on financial instruments traded over-the-counter and recorded as financial assets at fair value through profit or loss, for €33 million in 2020.

7.1.2 CHANGE IN GROSS CARRYING AMOUNTS AND EXPECTED CREDIT LOSSES ON FINANCIAL ASSETS AND COMMITMENTS

Accounting principles

General principles

Expected credit losses are represented by impairments of assets classified at amortized cost and at fair value through other comprehensive income, and by provisions for loan and guarantee commitments.

The financial instruments concerned (see Note 7.1.1) are impaired or covered by a provision for expected credit losses (ECL) as of the date of initial recognition.

When the financial instruments do not individually show objective evidence of loss, impairment or provisions for expected credit losses are measured based on past losses and reasonable and justifiable discounted future cash flow forecasts.

Financial instruments are divided into three categories (Stages) depending on the increase in credit risk observed since initial recognition. A specific credit risk measurement method applies to each category of instrument:

Stage 1 (S1)

- these are performing loans for which credit risk has not increased materially since the initial recognition of the financial instrument;
- the impairment or the provision for credit risk corresponds to 12-month expected credit losses;
- interest income is recognized in income using the effective interest method applied to the gross carrying amount of the instrument before impairment.

Stage 2 (S2)

- performing loans for which credit risk has increased materially since the initial recognition of the financial instrument are transferred to this category;
- the impairment or the provision for credit risk is determined on the basis of the financial instrument's lifetime expected credit losses;

- interest income is recognized in income, as for Stage 1 assets, using the effective interest method applied to the gross carrying amount of the instrument before impairment.

Stage 3 (S3)

- these are loans for which there is objective evidence of impairment loss due to an event which represents a known credit risk occurring after the initial recognition of the instrument in question. As was the case under IAS 39, this category covers receivables for which a default event has been identified as defined in Article 178 of the EU Regulation no. 575/2013 of June 26, 2013 on prudential requirements for credit institutions. Default situations are now more tightly identified for significant amounts outstandings (introduction of relative and an absolute thresholds for past due payments) and the criteria for a return to non-defaulted status have been clarified with the introduction of a probation period and of explicit criteria for a classification as default of restructured loans;
- the impairment or the provision for credit risk is calculated based on the financial instrument's lifetime expected credit losses on the basis of the recoverable amount of the receivable, *i.e.* the present value of estimated recoverable future cash flows;
- interest income is recognized through profit or loss using the effective interest method applied to the net carrying amount of the instrument after impairment;
- financial assets purchased or originated and impaired for credit risk on their initial recognition because the entity does not expect to recover all the contractual cash flows (purchased or originated credit-impaired (POCI) are also Stage 3). These assets may be transferred to Stage 2 if their credit risk improves.

For operating or finance lease receivables (which fall within the scope of IFRS 16), the Group has elected not to make use of the option of applying the simplified approach as set out in IFRS 9 paragraph 5.5.15.

Method for measuring the increase in credit risk and expected credit losses

The principles for measuring the increase in credit risk and expected credit losses applicable to most of the Group's exposures are described below. Only a few portfolios held by Group entities – representing a limited volume of exposures – cannot be treated according to the methods described below and are subject to appropriate valuation techniques.

Significant increase in credit risk

A significant increase in credit risk is measured on an individual basis for each instrument by taking into account all reasonable and supportable information and by comparing the default risk on the financial instrument at the reporting date with the default risk on the financial instrument at the date of initial recognition. A counterparty-based approach (applying the contagion principle to all outstanding loans to the counterparty in question) is also possible, in particular with regard to the watchlist criterion.

In accordance with IFRS 9, a counterparty with a significant deterioration in credit risk (Stage 2) that has just been originated will be classified as Stage 1.

Assessment of increases in credit risk involves comparing the probability of default or ratings on the initial recognition date with those applicable at the reporting date. The same principles as those used to classify an exposure in Stage 2 are applied in case of a decline in the material deterioration in credit risk.

The standard also includes a rebuttable presumption that credit risk has significantly increased since initial recognition if contractual payments are more than 30 days past due.

In particular, the moratoria granted as a general measure to support businesses facing cash flow problems, and the granting of State-guaranteed loans, do not in themselves constitute evidence of financial hardship calling into question the counterparty's capacity to honor its contractual agreements on maturity. As a result, the principles described above apply in full depending on each counterparty's specific situation.

In most cases, a measurement showing an increase in risk leads to the asset's transfer to Stage 2 before it is individually impaired (Stage 3).

Assessment of a material increase in credit risk is made at the level of each instrument, based on indicators and thresholds that vary according to the type of exposure and counterparty.

More specifically, the change in credit risk is measured on the basis of the following criteria:

- for loans to Individual Customers, Professional Customers, SMEs, Public Sector entities and Social Housing entities, measurement of the increase in credit risk relies on a combination of quantitative and qualitative criteria. The quantitative criterion is based on the change in the probability of default over one year (mid-cycle average) from initial recognition. Additional qualitative criteria are used to classify as Stage 2 all contracts with payments more than 30 days past due (the presumption that amounts are past-due after 30 days is therefore not rebutted), rated at-risk, undergoing adjustments due to financial hardship if the declassification in default criteria are not met;
- for loans to Large Corporates, Banks and Sovereigns, the quantitative criterion is based on changes in the credit rating since initial recognition. The same qualitative criteria apply as for Individual Customers, Professional Customers and SMEs, along with additional criteria based on the sector rating and the level of country risk;
- for Specialized Financing, the criteria applied vary according to the characteristics of the exposures and the related ratings system. The exposures rated by the tool dedicated to large exposures are treated in the same way as Large Corporates; other exposures are treated in the same way as SMEs.

For all these loan books, the ratings used to measure the increase in risk correspond to the ratings produced by internal systems when they are available, as well as external ratings, particularly when an internal rating is not available.

The standard provides that the credit risk of a financial instrument has not increased materially since its initial recognition if this risk is considered to be low at the end of the fiscal year. This provision is applied to certain investment-grade debt securities that are managed as part of the liquidity reserve, as required by Basel III regulations. Investment grade ratings are those equal to or above BBB- or its equivalent by Standard and Poor's, Moody's or Fitch.

In accordance with IFRS 9, the recognition of guarantees and collateral does not influence the assessment of a material increase in credit risk, which depends on changes in credit risk relating to the debtor without taking into account such guarantees.

Measurement of expected credit losses

Expected credit losses are defined as being an estimate of credit losses (*i.e.* the present value of cash flow shortfalls) weighted by the probability of occurrence of these losses over the expected lifetime of the financial instrument in question. They are calculated individually for each exposure.

In practice, for Stage 1 and Stage 2 financial instruments, expected credit losses are calculated as the product of a number of inputs:

- cash flows expected over the lifetime of the financial instrument, discounted at the valuation date – these flows are determined according to the characteristics of the contract, its effective interest rate and, for home loans, the level of prepayment expected on the contract;
- loss given default (LGD);
- the probability of default (PD) over the coming year for Stage 1 financial instruments and to maturity for Stage 2 financial instruments.

The Group's methodology draws on existing concepts and mechanisms to define these inputs, and in particular on internal models developed to calculate regulatory capital requirements (Basel framework) and projection models used in the stress test system. Certain adjustments are made to comply with the specifics of IFRS 9:

- IFRS 9 inputs aim to provide an accurate estimate of expected credit losses for accounting provision purposes, whereas prudential inputs are more cautious for regulatory framework purposes. Several of the safety buffers applied to prudential inputs are therefore restated;
- IFRS 9 inputs must allow expected credit losses to be estimated until the contract's maturity, whereas prudential inputs are defined to estimate 12-month expected losses. 12-month inputs are thus projected over long periods;
- IFRS 9 parameters must be forward-looking and take into account the expected economic environment over the projection period, whereas prudential parameters correspond to mid-cycle estimates (for PD) or bottom-of-the-cycle estimates (for LGD and the cash flows expected over the lifetime of the financial instrument). Prudential PD and LGD inputs are therefore also adjusted to reflect forecasts of future economic conditions.

Expected credit loss calculations take into account assets pledged as collateral and other credit enhancements that form an integral part of the instrument's contractual conditions and that the entity does not recognize separately. The estimate of expected cash flow shortfalls on a financial instrument reflects the amount and schedule for enforcing collateral.

Recognition of forward-looking information

Groupe BPCE uses forward-looking data to estimate any significant increase in credit risk and to measure expected credit losses.

The amount of expected credit losses is calculated using an average ECL by scenario, weighted by probability of occurrence, taking into consideration past events, current circumstances and reasonable and justifiable forecasts of the economic environment.

To determine a significant increase in credit risk, as well as applying rules based on the comparison of risk parameters between the initial recognition date and the reporting date, the calculation is supplemented by forward-looking information such as sector or geographical macro-economic scenarios, which may increase the amount of expected credit losses on certain exposures. Group entities therefore assess the exposures in question in terms of the local and sector characteristics of their portfolio.

In the context of the Covid-19 crisis, additional provisions were booked to cover specific risks in certain sectors, mainly tourism, hotels, restaurants, specialized retailing sector and aeronautics. In this context, the Group has considerably strengthened the monitoring of the affected sectors. The sector monitoring approach allows central classification of economic sectors and sub-sectors by Groupe BPCE's Risk division with monthly updates.

In the context of the health crisis and the difficulty of assessing as accurately as possible the risk situation of counterparties, conservative adjustments were made:

- for medium-sized companies' credit portfolios, which do not have automatic ratings, the ratings of certain counterparties have been downgraded using a rating scale distributed within the Group's institutions. Ratings take into account the debtor's additional debt resulting from their recourse to economic support measures (such as SGLs);
- on the credit portfolios of Professionals and Small Enterprises, which are automatically rated, the mechanical improvement of ratings under the effect of government support measures (positive impact of the moratoria and SGLs on the cash position of these counterparties) was neutralized and the lowest rating since March 2020 has been taken into account.

Methodology for calculating expected losses

The parameters used to measure expected credit losses, are adjusted to economic conditions by defining three economic scenarios over a three-year period:

- the core scenario was updated based on the scenarios determined by the Group's economists in September;

- a pessimistic scenario, corresponding to a deterioration in macro-economic variables defined in relation to the core scenario;
- an optimistic scenario, corresponding to an improvement in macro-economic variables in relation to the core scenario;

The variables defined in each of these scenarios allow for the distortion of the PD and LGD inputs and the calculation of an expected credit loss for each economic scenario. Inputs for periods longer than three years are projected using the mean reversion principle over the medium-long term. The models used to distort the PD and LGD inputs are based on those developed for the stress test system for consistency reasons. The economic scenarios are associated with probabilities of occurrence, making it possible to calculate the average probable loss, which is used as the amount of the IFRS 9 expected credit loss.

Groupe BPCE has extended and adapted this approach by adjusting for a number of factors specific to certain scopes or significant markets. Each scenario is therefore weighted based on how close it is to the consensus forecast for the main economic variables in each scope or significant market of the Group.

For Retail Banking, projections are calculated using the main economic variables such as GDP, unemployment and interest rates on 10-year French sovereign debt. For Corporate & Investment Banking, the macroeconomic variables applied relate to the international situation and make greater use of financial and market data.

These scenarios and their review are defined using the same organization and governance as those used for the budget process, requiring a quarterly review since the start of the Covid-19 crisis based on proposals from the Economic Research department and approval by the Executive Management Committee. The probability of occurrence of each scenario is reviewed on a quarterly basis by the Group Watchlist and Provisions Committee. The inputs thus defined allow expected credit losses for all rated exposures to be valued, regardless of whether they belong to a scope approved using an internal method or are processed using the standardized method for the calculation of risk-weighted assets.

The IFRS 9 model validation process is fully aligned with the Group's existing model validation process. Models are reviewed by an independent unit responsible for internal validation and the unit's conclusions are then examined by the Group Models Committee. Subsequent recommendations are monitored up by the validation unit.

Method for measuring assets classified as Stage 3

Exposures for which there is objective evidence of impairment loss due to an event representing a counterparty risk and occurring after initial recognition are classified as Stage 3. The criteria for identifying assets are in line with the definition of default under Article 178 of European Regulation 575/2013, of June 26, 2013, on prudential requirements for credit institutions, consistent with EBA guidelines (EBA/GL/2016/07) on the application of the definition of default, and Delegated Regulation (EU) 2018/1845 of the European Central Bank on the threshold for assessing the materiality of credit obligations past due, effective by December 31, 2020.

Loans and receivables are considered as impaired and are classified as Stage 3 if the following two conditions are met:

- there is objective evidence of impairment on an individual or portfolio basis: there are "triggering events" or "loss events" identifying counterparty risk occurring after the initial recognition of the loans in question. Objective evidence of impairment includes :
 - any payments that are past due by at least three consecutive months (at least six consecutive months for receivables from local authorities) for which the amount is above the absolute threshold (by €100 for a retail exposure, otherwise €500) and relative threshold of 1% of counterparty exposures;
 - or the restructuring of loans if certain criteria are met, or regardless of whether any payment has been missed, the observation of financial hardship experienced by the counterparty leading to the expectation that some or all of the amounts owed may not be recovered. Restructured loans are classed as Stage 3 when the loss is greater than 1% of the difference between the net present value before restructuring and the net present value after restructuring;
 - or the launch of legal proceedings;
- these events are liable to lead to the recognition of incurred credit losses, that is, expected credit losses for which the probability of occurrence has become certain.

Debt instruments such as bonds or securitized transactions (ABS, CMBS, RMBS, cash CDOs) are considered impaired and are classified as Stage 3 when there is a known counterparty risk.

The Group uses the same impairment indicators for Stage 3 debt securities as those used for individually assessing the impairment risk on loans and receivables, irrespective of the portfolio to which the debt securities are ultimately designated. For perpetual deeply subordinated notes (TSSDI) that meet the definition of financial liabilities within the meaning of IAS 32, particular attention is also paid if, under certain conditions, the issuer may be unable to pay the coupon or extend the issue beyond the scheduled redemption date.

Impairment for expected credit losses on Stage 3 financial assets is determined as the difference between the amortized cost and the recoverable amount of the receivable, i.e. the present value of estimated recoverable future cash flows, whether these cash flows come from the counterparty's activity or from the potential activation of guarantees. For short-term assets (maturity of less than one year), there is no discounting of future cash flows. Impairment is determined globally, without distinguishing between interest and principal. Expected credit losses arising from Stage 3 off-balance sheet commitments are taken into account through provisions recognized on the liability side of the balance sheet. They are calculated on the basis of the maturity schedules determined based on historic recoveries for each category of receivable.

For the purposes of measuring expected credit losses, pledged assets and other credit enhancements that form an integral part of the contractual conditions of the instrument and that the entity does not recognize separately are taken into account in the estimate of expected cash flow shortfalls.

Recognition of impairment of assets classified at amortized cost and at fair value through other comprehensive income, and of provisions for loan and guarantee commitments.

For debt instruments recognized on the balance sheet in the financial assets at amortized cost category, impairment is recorded against the line on which the asset was initially shown for its net amount (regardless of whether the asset is S1, S2, S3 or POCI). Impairment charges and reversals are recognized in the income statement under "Cost of credit risk".

For debt instruments recognized as financial assets at fair value through other comprehensive income on the balance

sheet, impairment is carried on the liabilities side of the balance sheet at the level of other comprehensive income recyclable to profit or loss, with a corresponding entry on the income statement under "Cost of credit risk" (regardless of whether the asset is classified S1, S2, S3 or POCI).

For loan and financial guarantee commitments given, provisions are recorded on the liabilities side of the balance sheet under "Provisions" (irrespective of whether the commitment given is classified S1, S2, S3 or POCI). Additions to/reversals from provisions are recognized in the income statement under "Cost of credit risk".

7.1.3 CHANGE IN EXPECTED CREDIT LOSSES ON FINANCIAL ASSETS AND COMMITMENTS

As of December 31, 2020 the POCI are presented by segmentation S2 POCI and S3 POCI.

7.1.3.1 Change in credit losses on financial assets through other comprehensive income

	Stage 1		Stage 2		Stage 3		Purchased or originated credit-impaired (S3 POCI) assets		TOTAL	
	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
<i>in millions of euros</i>										
BALANCE AT 12/31/2019	41,420	(4)	114	(1)	6	(5)	82	(71)	41,623	(81)
Origination and acquisitions	6,821				///	///	-		6,821	
Derecognition (redemptions, disposals and debt forgiveness)	(8,396)		(27)				-		(8,423)	
Impairment (write-off)	///	///	///	///			(1)		(1)	
Transfers of financial assets	87		(87)	(1)			-			(1)
<i>Transfers to S1</i>	<i>98</i>		<i>(99)</i>						<i>(1)</i>	<i>-</i>
<i>Transfers to S2</i>	<i>(11)</i>		<i>12</i>	<i>(1)</i>					<i>1</i>	<i>(1)</i>
Other changes ⁽¹⁾	6,303	(6)	14	1	-	-	-	1	6,317	(4)
BALANCE AT 12/31/2020	46,234	(10)	15	(1)	6	(5)	81	(70)	46,336	(86)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments), exchange rate fluctuations and IFRS 5 impacts.

In order to improve the readability of the financial statements, the POCI amounts have been reported in a separate column at December 31, 2020. They were presented as Stage 3 as of December 31, 2019

7.1.3.2 Change in credit losses on debt securities at amortized cost

	Stage 1		Stage 2		Stage 3		Purchased or originated credit-impaired (S3 POCI) assets		TOTAL	
<i>in millions of euros</i>	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
BALANCE AT 12/31/2019	26,795	(7)	2,111	(7)	139	(117)	63	(54)	29,107	(185)
Origination and acquisitions	2,439	(3)	516		///	///	46		3,001	(3)
Derecognition (redemptions, disposals and debt forgiveness)	(3,798)	1	(141)	1	(8)	3			(3,947)	5
Impairment (write-off)	///	///	///	///	(9)	8			(9)	8
Transfers of financial assets	4	1	(30)		3				(23)	1
Transfers to S1	451		(454)	2					(3)	2
Transfers to S2	(447)	1	427	(2)					(20)	(1)
Transfers to S3			(3)		3					
Other changes ⁽¹⁾	139	(3)	(1,364)		3	(2)	5	(1)	(1,217)	(7)
BALANCE AT 12/31/2020	25,578	(11)	1,092	(6)	129	(108)	114	(55)	26,912	(180)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments) and exchange rate fluctuations.

7.1.3.3 Change in credit losses on loans and receivables due from banks at amortized cost

Loans and receivables to credit institutions registered in Stage 1 include in particular funds centralized at the Caisse des Dépôts et Consignations, i.e. €73,557 million at December 31, 2020, compared to €68,187 million at December 31, 2019.

	Stage 1		Stage 2		Stage 3		TOTAL	
<i>in millions of euros</i>	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
BALANCE AT 12/31/2019	88,811	(3)	853	(5)	53	(53)	89,717	(61)
Origination and acquisitions	1,281	(1)	16		///	///	1,298	(1)
Derecognition (redemptions, disposals and debt forgiveness)	(5,959)	1	(29)		(1)	1	(5,990)	2
Impairment (write-off)	///	///	///	///	(19)	17	(19)	17
Transfers of financial assets	(16)		9	(1)			(7)	(1)
Transfers to S1	68		(68)					
Transfers to S2	(83)		78	(1)			(5)	(1)
Transfers to S3	(1)		(1)				(2)	
Other changes ⁽¹⁾	5,290	(1)	(230)	(1)	3	1	5,063	(1)
BALANCE AT 12/31/2020	89,406	(3)	620	(7)	35	(34)	90,061	(44)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments) and exchange rate fluctuations.

7.1.3.4 Change in credit losses on loans and receivables due from customers at amortized cost

Financial instruments are divided into three categories (Stages) depending on the increase in credit risk observed since initial recognition. This increased risk is measured by ratings at the closing date, including if ratings have been automatically improved by government support measures (positive impact of the moratoria and SGLs described below and in Note 1.5.2). A total of €2.4 billion in outstandings have been affected by this automatic uplift and could be transferred to Stage 2. This transfer would have no impact on cost of risk as the

improvement was neutralized in the impairment calculations described below.

Furthermore, additional provisions amounting to €795 million were recorded in 2020 to cover the risks of significant deterioration in credit risk in the tourism, hotel, restaurant, specialized retailing and aeronautics sectors. In the absence of a proven downgrade in their rating at December 31, 2020, the outstandings covered by these provisions were partially maintained in S1. They will be closely monitored in 2021, as described in Note 1.5.2.1.

	Stage 1		Stage 2		Stage 3		Purchased or originated credit impaired (\$2 POCL) assets		Purchased or originated credit-impaired (\$3 POCL) assets		TOTAL	
	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
<i>in millions of euros</i>												
BALANCE AT 12/31/2019	618,123	(1,058)	66,306	(1,913)	20,926	(9,482)	85	(1)	626	(356)	706,067	(12,810)
Origination and acquisitions	131,856	(480)	5,223	(83)	///	///			632	(78)	137,711	(641)
Derecognition (redemptions, disposals and debt forgiveness)	(71,859)	66	(6,668)	64	(3,041)	147	(2)		(430)	282	(81,999)	559
Impairment (write off)	///	///	///	///	(1,789)	1,668			(33)	33	(1,822)	1,701
Transfers of financial assets	(7,078)	772	2,794	(791)	3,486	(615)	58	(1)	(58)	1	(798)	(634)
Transfers to S1 ⁽¹⁾	19,962	(122)	(19,733)	238	(538)	20					(309)	136
Transfers to S2	(24,021)	635	25,116	(1,342)	(1,403)	160	58	(1)	(58)	1	(309)	(547)
Transfers to S3	(3,018)	260	(2,589)	313	5,426	(795)					(181)	(222)
Other changes ⁽²⁾	4,148	(726)	(4,088)	(14)	1,173	(975)	(30)		(13)	2	1,189	(1,714)
BALANCE AT 12/31/2020	675,190	(1,424)	63,566	(2,738)	20,755	(9,257)	112	(2)	724	(117)	760,347	(13,538)

(1) Including a reclassification of €3.7 billion in outstandings carried by Corporate & Investment Banking and certain Retail Banking and Insurance business lines from Stage 2 to Stage 1 by the Natixis group, as a downgrade to a sector's rating ceased to be a reason to move it to Stage 2, and a reclassification of €2.0 billion in outstandings carried by Retail Banking from Stage 2 to Stage 1, due to better quality segmentation criteria.

(2) Other changes include amortization of receivables, changes in credit risk parameters (including partial repayments), currency fluctuations and IFRS 5 impacts (particularly -€2 billion related to Coface, now reported by the equity method).

The change in outstanding loans and receivables due from customers includes State-guaranteed loans (SGLs) granted in 2020 for €30.1 billion (see Note 1.5.1.1).

7.1.3.5 Change in credit losses on loan commitments given

	Stage 1		Stage 2		Stage 3		Purchased or originated credit-impaired (\$2 POCI) assets	Purchased or originated credit-impaired (\$3 POCI) assets	TOTAL	
<i>in millions of euros</i>	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
BALANCE AT 12/31/2019	126,676	(127)	9,483	(134)	344	(119)	9		136,512	(380)
Origination and acquisitions	40,997	(106)	1,844	(12)	///	///	1	2	42,844	(119)
Derecognition (redemptions, disposals and debt forgiveness)	(20,642)	5	(1,164)	3	(142)		(4)		(21,953)	8
Transfers of financial assets	(1,746)	25	1,581	(43)	105	(7)			(60)	(25)
Transfers to S1	2,711	(11)	(2,601)	15	(30)	0			81	4
Transfers to S2	(4,346)	35	4,297	(58)	(15)	0			(65)	(23)
Transfers to S3	(111)	1	(114)		149	(7)			(76)	(6)
Other changes ⁽¹⁾	(11,419)	1	(2,195)	19	51	45	1	6	(13,558)	65
BALANCE AT 12/31/2020	133,866	(202)	9,549	(167)	357	(81)	6	8	143,786	(450)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments), exchange rate fluctuations and IFRS 5 impacts.

7.1.3.6 Change in credit losses on guarantee commitments given

	Stage 1		Stage 2		Stage 3		Purchased or originated credit-impaired (S2 POCl) assets		Purchased or originated credit-impaired (S3 POCl) assets		TOTAL	
<i>in millions of euros</i>	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
BALANCE AT 12/31/2019	32,441	(42)	4,793	(59)	982	(229)	2		1		38,220	(331)
Origination and acquisitions	7,888	(19)	341	(4)	///	///					8,229	(24)
Derecognition (redemptions, disposals and debt forgiveness)	(7,252)	6	(1,036)	12	(174)	10					(8,463)	28
Impairment (write-off)	///	///	///	///	(3)	3					(3)	3
Transfers of financial assets	(632)	22	434	(45)	156	(23)					(41)	(46)
Transfers to S1	780	(3)	(794)	12	(17)	1					(31)	11
Transfers to S2	(1,321)	23	1,335	(60)	(19)	1					(6)	(36)
Transfers to S3	(91)	3	(106)	2	193	(26)					(5)	(21)
Other changes ⁽¹⁾	(706)	(21)	(716)	21	327	(35)			(1)		(1,097)	(35)
BALANCE AT 12/31/2020	31,740	(54)	3,817	(75)	1,287	(275)	2				36,845	(405)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments), exchange rate fluctuations and IFRS 5 impacts.

7.1.4 MEASUREMENT AND MANAGEMENT OF CREDIT RISK

Credit risk arises whenever a counterparty is unable to meet its payment obligations and may result from a reduction in credit quality or default by the counterparty.

Commitments exposed to credit risk consist of existing or potential receivables and particularly loans, debt securities, equities, performance swaps, performance bonds, or confirmed or undrawn facilities.

Credit risk management procedures and assessment methods, risk concentration, the quality of performing financial assets, and the analysis and breakdown of outstandings are described in the risk management report.

7.1.5 GUARANTEES RECEIVED ON IFRS 9 IMPAIRED INSTRUMENTS

The statement below shows the credit and counterparty risk exposure for all Groupe BPCE's financial assets. This exposure to credit risk (determined without taking into account the impact of any unrecognized netting or collateral agreements) and to counterparty risk is based on the carrying amount of the financial assets.

<i>in millions of euros</i>	Maximum risk exposure	Impairment	Maximum exposure net of impairment	Guarantees
Debt securities at amortized cost	243	(163)	79	
Loans and receivables due from banks at amortized cost	35	(34)	2	
Loans and receivables due from customers at amortized cost	21,479	(9,374)	12,105	10,815
Debt securities – Fair value through OCI recyclable to profit or loss	86	(75)	11	
Loan commitments	365	(81)	284	32
Guarantee commitments	1,287	(275)	1,012	329
TOTAL IMPAIRED FINANCIAL INSTRUMENTS (S3)	23,495	(10,002)	13,493	11,176

7.1.6 CREDIT RISK MITIGATION MECHANISMS: ASSETS OBTAINED BY TAKING POSSESSION OF COLLATERAL

The policy followed by Groupe BPCE entities is to sell assets obtained by taking possession of collateral as soon as possible. The amount of these assets was non-material at December 31, 2020..

7.2 MARKET RISK

Market risk refers to the possibility of financial loss due to market trends, such as:

- interest rates: interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market rates of interest;
- exchange rates;
- prices: market price risk is the risk of a potential loss resulting from changes in market prices, whether they are caused by factors specific to the instrument or its issuer, or by factors affecting all market traded instruments. Variable-income securities, equity derivatives and commodity derivatives are exposed to this type of risk;
- and more generally, any market parameter involved in the valuation of portfolios.

Systems for the measurement and monitoring of market risks are presented in the risk management report.

The information provided in the risk management report required under IFRS 7 and relating to the management of market risk comprises:

- VaR for the Groupe BPCE scope;
- the conclusions of the global stress tests.

7.3 INTEREST RATE RISK AND EXCHANGE RATE RISK

Interest rate risk is the risk that unfavorable changes in interest rates will adversely impact the Group's annual results and net worth. Exchange rate risk is the risk of losses resulting from changes in exchange rates.

The Group's approach to the management of overall interest rate risk and foreign exchange risk is discussed in Chapter 6 "Risk Management – Liquidity, Interest Rate and Exchange Rate Risks".

7.4 LIQUIDITY RISK

Liquidity risk is the risk that the Group will be unable to honor its payment commitments as they fall due and replace funds when they are withdrawn.

The funding procedures and liquidity risk management arrangements are disclosed in the risk management report.

Disclosures relating to the management of liquidity risk required by IFRS 7 are provided in Chapter 6 "Risk Management – Liquidity, Interest Rate and Exchange Rate Risk".

Note 8 Employee benefits and similar

Accounting principles

There are four categories of employee benefits:

- short-term employee benefits such as wages, salaries, paid annual leave, bonuses, and profit sharing and incentive schemes which are expected to be paid within 12 months of the end of the period in which the employee renders the service are recognized in expenses;
- post-employment benefits paid to retired staff break down into two categories: defined-contribution plans and defined-benefit plans.

Defined-contribution plans such as French national plans are those for which Groupe BPCE's obligation is limited to payment of a contribution; there is no obligation for the employer regarding a certain level of benefits. Contributions paid into these plans are recognized as an expense for the period.

Defined-benefit plans are those for which Groupe BPCE has undertaken to provide a given amount or level of benefits.

Defined-benefit plans are subject to provisions calculated based on an actuarial assessment of the amount of the obligation, taking into account demographic and financial assumptions. When these plans are funded by external funds

meeting the definition of plan assets, the amount of the provision is reduced by the fair value of these assets.

The cost of defined-benefit plans recorded in expenses for the period includes: the service cost (representing the rights acquired by beneficiaries over the period), the past service cost (revaluation differences on actuarial liabilities following an amendment or reduction in the plan), the net financial cost (effect of unwinding the discount on the net obligation for interest income generated by plan assets) and the effect of pension drawdowns.

Revaluation differences on actuarial liabilities caused by changes in demographic and financial assumptions and past-experience effects are recorded in gains and losses recognized directly in other comprehensive income not recyclable to profit or loss.

- Other long-term employee benefits include awards accruing to current employees and payable 12 months or more after the end of the period in which the employee renders the related service. They mainly include long-service awards and deferred variable remuneration payable in cash and not indexed to the share price.

These benefits are calculated using the same actuarial method as that applied for defined-benefit pension plans. The accounting method differs in terms of revaluation differences on actuarial liabilities, which are recorded under expenses.

- Termination benefits are granted to employees on termination of their employment contract before the normal retirement date, either as a result of a decision by the Group to terminate a contract or a decision by an employee to terminate a contract in exchange for a severance package. They are covered by a provision.

Termination benefits that are not expected to be paid within the 12 months following the balance sheet date are discounted to present value.

Share-based payments include payments in equity instruments or cash where the amount of the cash payment is indexed to the share price.

A personnel expense is systematically recorded for an amount equal to the fair value of the benefit awarded, spread over the period over which the rights are acquired.

8.1 PAYROLL COSTS

Payroll costs include all personnel expenses and the associated social security contributions and taxes.

They include expenses for employee benefits and share-based payments.

Information on employees by category is presented in Chapter 2, "Non-financial performance disclosures."

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Wages and salaries	(6,325)	(6,692)
Expenses for defined-benefit and defined-contribution pension plans and other long-term employee benefits	(728)	(681)
Other social security costs and payroll-based taxes	(2,421)	(2,585)
Profit sharing and incentive schemes	(555)	(597)
TOTAL PAYROLL COSTS	(10,029)	(10,555)

8.2 EMPLOYEE BENEFITS

Groupe BPCE grants its staff a variety of employee benefits.

The Banques Populaires private supplementary pension plan, managed by Caisse Autonome de Retraite des Banques Populaires (CAR-BP), covers the pension benefits deriving from the closure of the Banques Populaires banking pension scheme at December 31, 1993.

The pension plans managed by CAR-BP are partially covered by insurance for annuities paid to beneficiaries over a certain age, and for obligations in respect of beneficiaries below this age.

The annuities paid to beneficiaries over the reference age are managed under the insurer's (CNP) general pension plan. The assets in this general plan are reserved for the insurer's pension obligations and their composition is adjusted in line with foreseeable payment trends. They mostly comprise fixed income instruments so as to enable the insurer to apply the capital guarantee that it is obliged to provide for this type of assets. The insurer is responsible for the fund's asset/liability management.

Other obligations are managed in a diversified fund managed as a unit-linked policy and are not covered by any particular guarantee from the insurer. The management of these obligations is based on a target strategic allocation that mostly invests in debt instruments (60%, over 95% of which are government bonds), but which also includes equity investments (40%, with 20% invested in the euro zone). The allocation is adjusted to optimize the portfolio's expected performance, subject to a risk constraint comprising many criteria. The corresponding asset/liability reviews are performed each year and are presented to the CAR-BP Technical, Financial and Risk Committee and to the Groupe BPCE Employee Benefits Monitoring Committee for information. The relatively aggressive asset allocation is made possible by the long-term investment

horizon and by the regulation mechanisms integrated in the plan's financial management system.

The Caisses d'Epargne's former private supplementary pension plan (a retained-benefit plan), previously managed by Caisse Générale de Retraite des Caisses d'Epargne (CGRCE), is now incorporated within Caisse Générale de Prévoyance des Caisses d'Epargne (CGP). Beneficiaries' rights were maintained on the date of the plan's closure, on December 31, 1999. The strategic guidelines for the management of the Caisses d'Epargne retained-benefit plan are set by the CGP Board of Directors based on asset/liability reviews submitted first to a Joint Investment Committee. The Groupe BPCE Employee Benefits Monitoring Committee also receives the reviews for information purposes.

The bond allocation is a decisive component of the plan's assets. To manage interest rate risk, the CGP is obliged to replicate expected payouts with equivalent assets via a matching process. Liability constraints require the holding of long-term assets to ensure the duration is as close as possible to the duration of liabilities. The wish to be able to review annuities on an annual basis, which is decided by the CGP Board of Directors, means the portfolio holds a large portion of inflation-indexed bonds.

The CAR-BP and CGP plans are presented under "Supplementary pension benefits and other".

Other employee benefits include:

- pensions and other post-employment benefits such as end-of-career awards and other benefits granted to retirees;
- other benefits such as long-service awards and other long-term employee benefits.

8.2.1 ANALYSIS OF EMPLOYEE-RELATED ASSETS AND LIABILITIES RECORDED IN THE BALANCE SHEET

	Post-employment defined-benefit plans		Other long-term employee benefits		12/31/2020	12/31/2019
	Supplementary pension benefits and other	End-of-career awards	Long-service awards	Other		
<i>in millions of euros</i>						
Actuarial liabilities	8,244	1,026	280	266	9,816	9,623
Fair value of plan assets	(8,019)	(609)	(10)		(8,638)	(8,559)
Fair value of reimbursement rights	(476)	(29)			(505)	(495)
Effect of ceiling on plan assets	865				865	964
Net amount reported on the balance sheet	614	388	270	266	1,538	1,533
Employee benefit commitments recorded in the balance sheet	1,090	417	270	266	2,043	2,028
Plan assets recorded in the balance sheet ⁽¹⁾	476	29			505	495

(1) Mostly recorded on the assets side of the balance sheet under "Accrued income and other assets".

Actuarial liabilities represent the Group's obligation in respect of beneficiaries. They are calculated by independent actuaries using the projected unit credit method based on demographic and financial assumptions that are reviewed on a regular basis and at least once a year.

When these plans are funded by assets meeting the definition of plan assets, the amount of the provision corresponds to actuarial liabilities less the fair value of these assets.

Plan assets no longer meeting the definition of plan assets are recorded under assets.

8.2.2 CHANGES IN AMOUNTS RECOGNIZED ON THE BALANCE SHEET

Changes in actuarial liabilities

	Post-employment defined-benefit plans		Other long-term employee benefits		Fiscal year 2020	Fiscal year 2019
	Supplementary pension benefits and other	End-of-career awards	Long-service awards	Other		
<i>in millions of euros</i>						
Actuarial liabilities at start of year	8,164	1,000	281	178	9,623	8,520
Service cost	15	58	20	19	112	112
Past service cost	(13)	3	1		(9)	(28)
Interest cost	73	6	1		80	149
Benefits paid	(215)	(41)	(13)	(39)	(308)	(314)
Other items recorded in income	1	11		1	13	19
Changes recorded in income	(139)	37	9	(19)	(112)	(62)
Revaluation adjustments – Demographic assumptions	(6)	(2)			(8)	(1)
Revaluation adjustments – Financial assumptions	303	44			347	1,214
Revaluation adjustments – Past-experience effect	(43)	(22)			(65)	(61)
Changes recognized directly in other comprehensive income not recyclable to profit or loss	254	20			274	1,152
Foreign exchange rate adjustments	(28)			(3)	(31)	4
Changes related to non-current assets held for sale ⁽¹⁾	(21)	(36)	(9)	(3)	(69)	
Other changes ⁽²⁾	14	5	(1)	113	131	9
ACTUARIAL LIABILITIES AT END OF YEAR	8,244	1,026	280	266	9,816	9,623

(1) Deconsolidation of Coface recognized under IFRS 5 using the equity method.

(2) Including €115 million in term savings accounts reclassified as long-term benefits.

Change in plan assets

	Post-employment defined-benefit plans	Other long-term employee benefits		
	Supplementary pension benefits and other	End-of-career awards	Long-service awards	
<i>in millions of euros</i>				
				Fiscal year 2020
				Fiscal year 2019
Fair value of plan assets at start of year	8,443	601	10	9,054
Interest income	76	3		79
Plan participant contributions	16	16		32
Benefits paid	(182)	(4)		(186)
Other items recorded in income	(3)	1		(2)
Changes recorded in income	(93)	16		(77)
Revaluation adjustments – Return on plan assets	160	9		169
Changes recognized directly in other comprehensive income not recyclable to profit or loss	160	9		169
Foreign exchange rate adjustments	(24)			(24)
Changes related to non-current assets held for sale ⁽¹⁾	(1)	(1)		(2)
Other changes ⁽²⁾	10	13		23
FAIR VALUE OF PLAN ASSETS AT END OF YEAR⁽¹⁾	8,495	638	10	9,143
				9,054

(1) Deconsolidation of Coface under IFRS 5 using the equity method.

(2) O/w €476 million in reimbursement rights included in supplementary retirement benefits and €29 million included in end-of-career benefits.

Amounts paid in cash to beneficiaries reduce the amount of provisions recorded to this end by an equivalent amount. A total of €186 million was charged against pension plan assets.

Interest income on plan assets is calculated by applying the same discount rate as that used to discount commitments. The difference between the actual return at the balance sheet date and this interest income is a revaluation difference recorded in equity not recyclable to profit or loss for post-employment benefits.

8.2.3 EXPENSES FOR DEFINED-BENEFIT PENSION PLANS AND OTHER LONG-TERM EMPLOYEE BENEFITS

Expenses for defined-benefit pension plans and other long-term employee benefits

The various components of the expense recognized for defined-benefit plans and other long-term benefits are included under "Payroll costs".

<i>in millions of euros</i>	Post-employment defined-benefit plans	Other long-term employee benefits	Fiscal year 2020	Fiscal year 2019
Service cost	(63)	(40)	(103)	(84)
Net interest cost		(1)	(1)	2
Other (o/w asset ceiling)	(22)	(1)	(23)	(41)
Expense for the period	(85)	(42)	(127)	(123)
Benefits paid	70	52	122	132
Plan participant contributions	32		32	55
Change in provisions due to contributions	102	52	154	187
TOTAL	17	10	27	64

Gains and losses on defined-benefit plans recorded directly in other comprehensive income

<i>in millions of euros</i>	Supplementary pension benefits and other	End-of-career awards	Fiscal year 2020	Fiscal year 2019
Revaluation adjustments at end of period	461	62	523	281
Revaluation adjustments over the period	94	10	104	445
Changes related to non-current assets held for sale ⁽¹⁾	(16)	(19)	(35)	
Adjustments to asset ceiling	(107)		(107)	(203)
REVALUATION ADJUSTMENTS AT END OF PERIOD	432	53	485	523

(1) Deconsolidation of Coface recognized under IFRS 5 using the equity method.

8.2.4 OTHER INFORMATION

Main actuarial assumptions

	Fiscal year 2020		Fiscal year 2019	
	CAR-BP	CGP-CE	CAR-BP	CGP-CE
Discount rate	0.38%	0.61%	0.62%	0.86%
Inflation rate	1.60%	1.60%	1.60%	1.60%
Life tables used	TGH05-TGF05	TGH05-TGF05	TGH05-TGF05	TGH05-TGF05
Duration	14 years	18 years	14 years	18 years

Sensitivity of actuarial liabilities to changes in the principal assumptions

At December 31, 2020, a 0.5% change in the discount rate and the inflation rate would have the following impact on actuarial liabilities:

	12/31/2020				12/31/2019			
	CAR-BP		CGP-CE		CAR-BP		CGP-CE	
	%	Amount	%	Amount	%	Amount	%	Amount
as a % and in millions of euros								
+0.5% change in the discount rate	(6.68%)	(56)	(8.38%)	(542)	(6.73%)	(57)	(8.48%)	(538)
-0.5% decrease in the discount rate	7.48%	63	9.56%	618	7.54%	64	9.68%	614
+0.5% increase in the inflation rate	6.79%	57	7.56%	489	6.88%	59	7.77%	493
-0.5% decrease in the inflation rate	(5.64%)	(48)	(6.85%)	(443)	(5.71%)	(49)	(7.03%)	(446)

Payment schedule – (non-discounted) amounts paid to beneficiaries

	12/31/2020		12/31/2019	
	CAR-BP	CGP-CE	CAR-BP	CGP-CE
in millions of euros				
Year N+1 to N+5	182	819	183	785
Year N+6 to N+10	171	918	175	900
Year N+11 to N+15	154	930	159	932
Year N+16 to N+20	130	854	137	870
Year > N+20	256	2,217	283	2,368

Breakdown of fair value of CAR-BP plan assets (including reimbursement rights) and CGP-CE plan assets

	12/31/2020				12/31/2019			
	CAR-BP		CGP-CE		CAR-BP		CGP-CE	
	Weighting by category	Fair value of plan assets	Weighting by category	Fair value of plan assets	Weighting by category	Fair value of plan assets	Weighting by category	Fair value of plan assets
as a % and in millions of euros								
Cash	1.30%	6	1.00%	73	2.70%	13	1.10%	80
Equities	37.70%	179	8.40%	616	42.20%	197	9.00%	658
Bonds	51.70%	246	88.40%	6 481	55.10%	258	87.90%	6,425
Real estate			2.20%	161			2.00%	146
Investment funds	9.30%	44						
TOTAL	100.00%	476	100.00%	7 332	100.00%	468	100.00%	7,310

8.3 SHARE-BASED PAYMENTS

Accounting principles

Share-based payments are those based on shares issued by the Group, regardless of whether the transactions are settled in the form of equity or cash indexed to the share price.

The cost to the Group is calculated on the basis of the fair value at the grant date of the share purchase or subscription options granted by certain subsidiaries. The total cost of the plan is determined by multiplying the unit value of the option by the estimated number of options that will have vested at the end of the vesting period, taking account of the likelihood that the beneficiaries will still be employed by the Group, and of any non-market performance conditions that may affect the plan.

The cost to the Group is recognized in income from the date the employees are notified of the plan, without waiting for the vesting conditions, if any, to be satisfied (for example, in the case of a subsequent approval process), or for the beneficiaries to exercise their options.

The corresponding adjustment for the expense recorded under equity-settled plans is an increase in equity.

The Group recognizes a liability for cash-settled plans. The related cost is taken to income over the vesting period and a corresponding fair value adjustment is booked to a liability account.

The main plans settled in the form of shares are presented below.

LOYALTY AND PERFORMANCE PLANS WITH SHARE-BASED COMPENSATION

Each year since 2010, a share-based payment plan has been awarded to certain categories of Natixis group staff, in compliance with regulations.

Regarding the plans approved at February 11, 2021, as the allocations had not been formally completed on the balance sheet date, the cost assessment was based on the best possible estimate of the inputs on the balance sheet date, both in terms of the share value and dividend assumptions.

Natixis subsidiaries may also establish their own share-based payment plans. The impacts of these plans, taken individually, are not material at the Natixis consolidated level. The features of these plans are thus not detailed in the section below.

LONG-TERM CASH-SETTLED PAYMENT PLANS INDEXED TO NATIXIS SHARES

Payments under these plans are subject to presence and performance criteria.

Year of plan	Grant date	Number of units granted at inception ⁽¹⁾	Vesting date	Number of units vested by beneficiaries	Fair value of indexed cash unit at valuation date <i>in euros</i>
2015 plan	02/10/2016	6,084,435	March 2018 March 2019	1,081,907 1,787,527	6.11
2016 plan	04/10/2017	2,835,311	March 2019 March 2020	868,417 2,124,062	5.47
2017 plan	04/13/2018	2,660,487	March 2020 March 2021	1,154,437	2.79
2018 plan	04/12/2019	3,260,945	March 2021 March 2022		2.68
2019 plan	04/10/2020	5,867,435	March 2022 March 2023		2.50
2020 plan	01/20/2021	1,353,434	March 2023 March 2024		2.73

(1) The expected number of units at the vesting date is funded by equity swaps.

SHORT-TERM CASH-SETTLED PAYMENT PLAN INDEXED TO NATIXIS SHARES

Year of plan	Grant date	Vesting date	Value of indexed cash unit (in euros)	Number of indexed cash units granted at inception	Number of probable indexed cash units at vesting date	Fair value of indexed cash unit at valuation date (in euros)
2020 plan	01/20/2021	01/03/2021	3.17	3,504,747	3,504,747	3.17

The expense associated with the short-term plan is fully recognized in the 2020 financial statements in the amount of €11 million, *versus* €28 million at December 31, 2019.

SHARE-BASED PAYMENT PLANS

Payments under these plans are subject to presence and performance criteria.

Year of plan	Grant date	Number of shares granted at inception	Vesting date	Number of units vested by beneficiaries	Bonus share price on the grant date (in euros)	Fair value of the bonus share at the valuation date (in euros)
2014 plan	02/18/2015	95,144	February 2019		6.18	3.45
2015 plan	07/28/2016	3,081,642	March 2018 March 2019		3.43	2.80
2016 plan	07/28/2016	151,283	July 2020		3.43	1.62
2016 plan	04/10/2017	3,012,307	March 2019 March 2020		5.70	4.28
2017 plan	05/23/2017	79,369	May 2021		6.44	3.32
2017 plan	04/13/2018	2,943,516	March 2020 March 2021		6.65	5.04
2018 plan	04/12/2019	2,600,406	March 2021 March 2022		4.99	3.41
2019 plan	04/10/2020	3,598,382	March 2022 March 2023		2.24	1.35
2020 plan	01/20/2021	1,562,732	March 2023 March 2024		2.79	2.40

EXPENSE FOR THE YEAR REPRESENTED BY LOYALTY AND PERFORMANCE PLANS

in millions of euros	Fiscal year 2020			Fiscal year 2019
	Plans settled in shares	Plans settled in cash indexed to Natixis shares	TOTAL	
Previous loyalty plans	(7)	1	(6)	(24)
Loyalty plans from the fiscal year		(5)	(5)	(3)
TOTAL	(7)	(4)	(11)	(27)

VALUATION INPUTS USED FOR THE COST ESTIMATE FOR THESE PLANS

	12/31/2020	12/31/2019
Share price	2.79	3.96
Risk-free interest rates	(0.56%)	(0.66%)
Dividend payout ratio	7.17%	12.83%
Loss of rights rate	4.55%	4.72%

LOYALTY AND PERFORMANCE PLANS SETTLED IN CASH

Some employees are awarded deferred cash-settled loyalty and performance bonus benefits. These bonuses are subject to presence and performance conditions. In terms of accounting treatment, they are accounted for under "Other long-term

employee benefits". The estimated expense takes into account an actuarial estimate of these conditions being met. It is spread over the rights vesting period. The amount recognized in respect of fiscal year 2020 was:

Year of plan	Grant date	Vesting date	Fiscal year 2020 (in millions of euros)	Fiscal year 2019 (in millions of euros)
2016 plan	04/10/2017	March 2018 March 2019		(1)
2017 plan	02/23/2018	March 2019 March 2020	(1)	(9)
2018 plan	02/26/2019	March 2020 March 2021	(5)	1
2019 plan	01/22/2020	March 2021 March 2022	(3)	(12)
2020 plan	01/20/2021	March 2022 March 2023	(8)	
TOTAL			(17)	(21)

Note 9 Insurance businesses

Key points

Insurance businesses cover life insurance and non-life insurance activities. In Groupe BPCE these activities are performed by dedicated subsidiaries subject to the specific regulations applicable to the insurance sector.

On November 3, 2017, the European Commission adopted the amendment to IFRS 4 applying IFRS 9 "Financial instruments" with IFRS 4 "Insurance contracts" with specific provisions for financial conglomerates, applicable as of January 1, 2018.

European regulations therefore allow European financial conglomerates to opt to defer application of IFRS 9 for their insurance activities until January 1, 2021 (effective date of the new IFRS 17, Insurance contracts). At its meeting on March 17, 2020, the IASB decided to defer application of the standard by two years, as clarifications still need to be given regarding key aspects of it. It also decided to defer the expiry of insurance companies' temporary exemption from IFRS 9 to January 1, 2023, to align it with the application of IFRS 17. An amendment was published on June 25, 2020. This amendment improves the application of IFRS 17.

As Groupe BPCE is a financial conglomerate, it elected to apply this provision to its insurance businesses, which continue to be covered by IAS 39. The entities concerned are listed in Note 14.4 on the scope of consolidation.

Financial assets and liabilities of insurance businesses are therefore recognized in accordance with the provisions of IAS 39. They are classified into categories defined by this standard, which calls for specific approaches to measurement and accounting treatment.

Pending amendments to IFRS 4, insurance liabilities continue to be measured broadly in line with French GAAP.

In accordance with Phase I of IFRS 4, insurance contracts are classified into three categories:

- policies that expose the insurer to a significant insurance risk within the meaning of IFRS 4: this category comprises policies covering provident insurance, pensions, property and casualty and unit-linked savings carrying a minimum guarantee. These policies continue to be measured under the rules provided under local GAAP for measuring technical reserves;
- financial contracts such as savings contracts that do not expose the insurer to a significant insurance risk are recognized in accordance with IFRS 4 if they contain a discretionary profit sharing feature, and continue to be measured in accordance with the rules for measuring technical reserves provided under local GAAP;
- financial contracts without a discretionary profit sharing feature, such as unit-linked policies without a non-unit-linked component and without a minimum guarantee, are accounted for in accordance with IAS 39;
- most financial contracts issued by Group entities contain discretionary profit sharing features.

The discretionary profit sharing feature grants life insurance policyholders the right to receive a share of the financial income generated, in addition to guaranteed benefits. For these contracts, in accordance with shadow accounting principles defined by IFRS 4, the provision for deferred profit sharing is adjusted to include the policyholders' share in the unrealized capital gains or losses on financial instruments measured at fair value in application of IAS 39. The share of the gains or losses attributable to policyholders is determined on the basis of the characteristics of contracts likely to generate such gains or losses.

Any change in deferred profit sharing is taken to other comprehensive income where it results from changes in the value of available-for-sale financial assets and to profit or loss where it arises from changes in the value of financial assets at fair value through profit or loss.

At each balance sheet date, the Group tests the adequacy of its recognized insurance liabilities based on the estimated present value of future cash flows from its insurance policies and investment contracts containing a discretionary profit sharing feature. The liability adequacy test shows the economic value of the liabilities corresponding to the average derived from stochastic analyses. If the sum of the surrender

value and deferred profit sharing is lower than the fair value of the technical reserves, the shortfall is recognized in income.

Groupe BPCE has decided to apply the option available under ANC recommendation No. 2017-02 of presenting the insurance businesses separately on the balance sheet and income statement.

9.1 NOTES TO THE BALANCE SHEET

Accounting principles

The "Insurance business investments" line on the assets side of the balance sheet includes insurance business assets representative of:

- financial investments (*i.e.* in financial instruments) including advances to policyholders;
- financial investments in unit-linked products;
- derivatives;
- revaluation differences on interest rate risk-hedged portfolios.

Other balances related to the insurance business are aggregated with the balances related to the other balance sheet items by type.

On the liabilities side of the balance sheet, the "Liabilities related to insurance policies" line consists of:

- the technical reserves of insurance companies (as defined in Appendix A to IFRS 4);
- insurance and reinsurance liabilities, including amounts due to policyholders;
- insurance-related derivatives;
- shares of the revaluation of interest rate risk-hedged portfolios;
- the deferred profit sharing liability.

9.1.1 INSURANCE BUSINESS INVESTMENTS

Accounting principles

Loans and receivables due from banks and customers and certain securities not listed in an active market are recorded in "Insurance business investments".

Loans and receivables are initially recorded at fair value plus any costs directly related to their issuance, less any proceeds directly attributable to issuance. On subsequent balance sheet dates, they are measured at amortized cost using the effective interest method.

The effective interest rate is the rate that exactly discounts estimated future cash flows (payments or receipts) to the value of the loan at inception. This rate includes any discounts recorded in respect of loans granted at below-market rates, as well as any external transaction income or costs directly related to the issue of the loans, which are treated as an adjustment to the effective yield on the loan. No internal cost is included in the calculation of amortized cost.

When loans are extended under conditions that are less favorable than market conditions, a discount corresponding to the difference between the nominal value of the loan and the sum of future cash flows discounted at the market interest rate is deducted from the nominal value of the loan. The market interest rate is the rate applied by the vast majority of local financial institutions at a given time for instruments and counterparties with similar characteristics.

A discount is applied to loans restructured following a loss event as defined by IAS 39, to reflect the difference between the present value of the contractual cash flows at inception and the present value of expected principal and interest repayments after restructuring. The discount rate used is the original effective interest rate. This discount is expensed to "Cost of credit risk" (for the insurer's net share) in the income

statement and offset against the corresponding outstanding on the balance sheet. It is written back to net interest income in the income statement over the life of the loan using an actuarial method. The restructured loan is reclassified as performing based on expert opinion when no uncertainty remains as to the borrower's capacity to honor the commitment.

External costs consist primarily of commissions paid to third parties in connection with the arrangement of loans. They essentially comprise commissions paid to business providers.

Income directly attributable to the issuance of new loans principally comprises set-up fees charged to customers, rebilled costs and commitment fees (if it is more probable than improbable that the loan will be drawn down). Commitment fees received that will not result in any drawdowns are apportioned on a straight-line basis over the life of the commitment.

Expenses and income arising on loans with a term of less than one year at inception are deferred on a *pro rata* basis with no recalculation of the effective interest rate. For floating or adjustable rate loans, the effective interest rate is adjusted at each rate refixing date.

Securities recorded as assets are classified into four categories as defined by IAS 39:

- financial assets at fair value through profit or loss;
- held-to-maturity financial assets;
- loans and receivables;
- available-for-sale financial assets.

Impairment of securities

An impairment loss is recognized on an individual basis against securities, with the exception of securities classified as financial assets at fair value through profit or loss, when there is objective evidence of impairment resulting from one or more loss events having occurred since the initial recognition of the asset and where the impact of these events on estimated future cash flows can be reliably measured.

Different rules are used for the impairment of equity instruments and debt instruments.

For equity instruments, a lasting decline or a significant decrease in value are objective indicators of impairment.

A decline of over 50% or lasting for over 36 months in the value of a security by comparison with its historic cost is an objective indicator of permanent impairment, leading to the recognition of an impairment loss in income.

In addition, these impairment criteria are also supplemented by a line-by-line review of the assets that have recorded a decline of over 30% or for more than six months in their value by comparison with their historic cost or if events occur that are liable to represent a material or prolonged decline. An impairment charge is recorded in the income statement if the Group determines that the value of the asset will not be recovered in its entirety.

For unlisted equity instruments, a qualitative analysis of their situation is carried out.

Impairment losses recognized on equity instruments may not be reversed and nor may they be written back to income. Losses are recorded under "Net income from insurance businesses". A subsequent increase in value is taken to "Gains and losses recognized directly in other comprehensive income" until disposal of the securities.

Impairment losses are recognized on debt instruments such as bonds or securitized transactions (ABS, CMBS, RMBS, cash CDOs) when there is a known counterparty risk.

The Group uses the same impairment indicators for debt securities as those used for individually assessing the impairment risk on loans and receivables, irrespective of the portfolio to which the debt securities are ultimately designated. For perpetual deeply subordinated notes (TSSDI), particular attention is also paid if, under certain conditions, the issuer may be unable to pay the coupon or extend the issue beyond the scheduled redemption date.

In the event of an improvement in the issuer's financial position, impairment losses taken on debt instruments must be written back to the income statement. Impairment losses and write-backs are recorded in "Cost of credit risk" (for the insurer's net share).

Impairment of loans and receivables

IAS 39 defines the methods for calculating and recognizing the impairment of loans.

A loan or receivable is deemed to be impaired if the following two conditions are met:

- there is objective evidence of impairment on an individual or portfolio basis: there are "triggering events" or "loss events" identifying counterparty risk occurring after the initial recognition of the loans in question. On an individual level, the criteria for deciding whether or not a credit risk has been incurred include the existence of past due payments;
- these events are likely to lead to the recognition of incurred losses.

Impairment is determined as the difference between the amortized cost and the recoverable amount of the receivable, i.e. the present value of estimated recoverable future cash flows taking into account the impact of any collateral.

in millions of euros

	12/31/2020	12/31/2019
Investment property	1,842	1,887
Financial assets at fair value through profit or loss	30,209	25,217
Available-for-sale financial assets	59,737	58,546
Loans and receivables due from banks	393	747
Loans and receivables due from customers	12,379	13,017
Held-to-maturity financial assets	1,274	1,622
Share held by cedents and retrocessionaires in liabilities relating to insurance policies and financial contracts	16,569	15,269
Receivables arising from insurance and assumed reinsurance activities	1,768	2,243
Receivables arising from ceded reinsurance activities	35	93
Deferred acquisition costs	361	405
TOTAL INSURANCE BUSINESS INVESTMENTS⁽¹⁾	124,566	119,046

(1) At December 31, 2019, Coface contributed €3,987 million to Insurance business investments.

9.1.1.1 Investment property

	12/31/2020			12/31/2019		
	Gross amount	Accumulated depreciation and impairment	Net amount	Gross amount	Accumulated depreciation and impairment	Net amount
<i>in millions of euros</i>						
Investment property recognized at historic cost	44	(15)	29	44	(14)	30
Investment property recognized at fair value ⁽¹⁾	1,419		1,419	1,455		1,455
Investment property (unit-linked vehicles)	394		394	402		402
TOTAL INVESTMENT PROPERTY	1,857	(15)	1,842	1,901	(14)	1,887

(1) Changes in fair value give rise to symmetrical recognition of a provision for deferred profit-sharing averaging, at December 31, 2020, 87% of the calculation base in question versus 89% at December 31, 2019.

The fair value of investment property came to €1,873 million at December 31, 2020 versus €1,915 million at December 31, 2019.

The fair value of investment property is classified in Level 3 of the fair value hierarchy in accordance with IFRS 13.

9.1.1.2 Financial assets at fair value through profit or loss

Accounting principles

This asset category includes:

- financial assets held for trading, *i.e.* securities acquired or issued principally for the purpose of selling them in the near term; and
- financial assets that the Group has chosen to recognize at fair value through profit or loss at inception using the fair value option available under IAS 39.

These assets are measured at fair value at the date of initial recognition and at each balance sheet date. Changes in fair value over the period, interest, dividends, gains or losses on disposals on these instruments are recognized in "Net income from insurance businesses".

Financial assets and liabilities designated at fair value through profit or loss

The amendment to IAS 39 adopted by the European Union on November 15, 2005 allows entities to designate financial assets and liabilities at fair value through profit or loss on initial recognition. However, an entity's decision to designate a financial asset or liability at fair value through profit or loss may not be reversed.

Compliance with the criteria stipulated by the standard must be verified prior to any recognition of an instrument using the fair value option.

In practice, this option may be applied only under the specific circumstances described below:

Elimination of or significant reduction in an accounting mismatch.

Applying the option eliminates accounting mismatches stemming from the application of different valuation rules to

instruments managed under a single strategy. This treatment applies in particular to unit-linked policy assets and liabilities.

Harmonization of accounting treatment for management and performance measurement.

The option applies for a group of assets and/or liabilities managed and measured at fair value, provided that it is based on a formally documented risk management or investment strategy, and information about the Group is also reported internally on a fair value basis.

Hybrid financial instruments containing one or more embedded derivatives

An embedded derivative is a component of a financial or non-financial hybrid (combined) instrument that qualifies as a derivative. It must be separated from the host contract and accounted for as a derivative if the hybrid instrument is not measured at fair value through profit or loss, and if the economic characteristics and risks associated with the derivative are not closely related to those of the host contract.

The fair value option may be applied when the embedded derivative(s) substantially modify the cash flows of the host contract and when the separate recognition of the embedded derivative(s) is not specifically prohibited by IAS 39 (*e.g.* an early redemption option at cost embedded in a debt instrument). The option allows the entire instrument to be measured at fair value, and therefore avoids the need to extract, recognize or separately measure the embedded derivative.

This treatment applies in particular to certain financial instruments containing material embedded derivatives (convertible bonds, indexed bonds and structured securities).

<i>in millions of euros</i>	12/31/2020	12/31/2019
UCITS	5,669	2,285
Financial assets held for trading	5,669	2,285
Trading derivatives	17	19
Hedging derivatives	29	
Bonds	1,710	2,054
Equities	1,268	1,092
UCITS	3,512	277
Investments backed by unit-linked policies	18,004	19,490
Financial assets designated at fair value	24,494	22,913
TOTAL FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	30,209	25,217

CONDITIONS FOR DESIGNATING INVESTMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

<i>in millions of euros</i>	12/31/2020				12/31/2019			
	Accounting mismatches	Fair value measurement	Embedded derivatives	Financial assets designated at fair value	Accounting mismatches	Fair value measurement	Embedded derivatives	Financial assets designated at fair value
Bonds	553	26	1,131	1,710	645	27	1,381	2,053
Equities	499	768		1,268	507	585		1,092
UCITS	3,512			3,512			277	277
Investments backed by unit-linked policies	15,922	1 510	573	18,005	17,762	1,338	390	19,490
TOTAL	20,486	2 304	1,704	24,494	18,915	1,950	2,048	22,913

9.1.1.3 Available-for-sale financial assets

Accounting principles

Available-for-sale financial assets are all securities not classified in the previous three categories.

Available-for-sale financial assets are initially recognized at fair value, plus any transaction costs.

On the balance sheet date, they are carried at their fair value and changes in fair value are recorded under "Gains and losses recognized directly in other comprehensive income" (except for foreign currency monetary assets, for which changes in the fair value of the foreign currency component affect income).

If they are sold, these changes in fair value are taken to income.

Interest income accrued or received on fixed income securities is recorded under "Net income from insurance businesses". Income from variable-income securities is recorded under "Net income from insurance businesses".

<i>in millions of euros</i>	12/31/2020	12/31/2019
Bonds	48,636	47,735
Equities	4,379	4,588
UCITS	7,007	6,480
Available-for-sale financial assets, gross	60,023	58,803
Impairment of debt instruments	(57)	(50)
Impairment of equity instruments ⁽¹⁾	(229)	(208)
TOTAL AVAILABLE-FOR-SALE FINANCIAL ASSETS⁽²⁾	59,737	58,546

(1) In 2020, permanent impairment of variable-income securities came to €171 million (€63 million in 2019). This expense was 87% offset by the profit sharing mechanism (89% in 2019). The 2020 expense can be broken down into an additional impairment loss on previously impaired securities for €144 million (€16 million in 2019) and an allowance for newly impaired securities for €27 million (€47 million in 2019).

(2) Coface contributed €2,911 million to Available-for-sale financial assets at December 31, 2019.

9.1.1.4 Loans and receivables

Accounting principles

The portfolio of loans and receivables included in "Insurance business investments" comprises non-derivative financial assets with fixed or determinable payments and which are not quoted in an active market. In addition, these assets must not be exposed to a risk of material losses unrelated to a deterioration in their credit quality.

Some securities not quoted in an active market may be classified in this portfolio. These are initially recognized at fair value, plus any transaction costs and less any transaction income. Securities classified in this category comply with the rules for recognition, measurement and impairment applicable to loans and receivables.

When a financial asset recorded under loans and receivables is sold before its maturity, the income from the disposal is recorded under "Net income from insurance businesses".

<i>in millions of euros</i>	12/31/2020	12/31/2019
Loans and receivables due from banks ⁽¹⁾	393	747
Loans and receivables due from customers ⁽²⁾⁽³⁾	12,379	13,017
TOTAL LOANS AND RECEIVABLES	12,772	13,764

(1) Coface contributed €17 million to Loans and receivables due from banks at December 31, 2019.

(2) Including €11,089 million for guarantee deposits made for the acceptance of reinsurance treaties versus €11,602 million at December 31, 2019.

(3) Coface contributed €59 million to Loans and receivables due from customers at December 31, 2019.

9.1.1.5 Held-to-maturity financial assets

Accounting principles

Held-to-maturity (HTM) financial assets are securities with fixed or determinable payments and fixed maturity dates that the Group has the intention and ability to hold until maturity.

IAS 39 does not permit the sale or transfer of these securities before maturity except in certain specific circumstances. In the event that the securities are sold before maturity, all held-to-maturity assets must be reclassified and the held-to-maturity category cannot be used during the current year or the following two years. Exceptions to the rule apply in the following cases:

- a material deterioration in the issuer's credit quality;
- a change in tax regulations canceling or significantly reducing the tax exemption on interest earned on investments held-to-maturity;
- a major business combination or significant withdrawal of activity (sale of a sector, for example) requiring the sale or transfer of held-to-maturity investments in order to maintain the entity's existing situation in terms of interest rate risk or its credit risk policy;

- a change in legal or regulatory provisions significantly modifying either the definition of an eligible investment or the maximum amount of certain types of investment, requiring that the entity dispose of a held-to-maturity asset;
- a significant increase in capital requirements forcing the entity to restructure by selling held-to-maturity assets;
- a significant increase in the risk weighting of held-to-maturity assets in terms of prudential capital regulations.

In the exceptional cases described above, the income from the disposal is recorded under "Net income from insurance businesses".

The hedging of these securities against interest rate risk is not permitted. However, hedges against exchange rate risk or the inflation component of certain held-to-maturity financial assets are allowed.

Held-to-maturity financial assets are recognized at fair value at inception, plus any transaction costs directly attributable to their acquisition. They are subsequently measured at amortized cost using the effective interest method, including any premiums, discounts and acquisition fees, where material.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Treasury bills and equivalent	507	636
Bonds and other fixed-income securities	769	987
Gross amount of held-to-maturity investments	1,275	1,623
Impairment	(1)	(1)
TOTAL HELD-TO-MATURITY FINANCIAL ASSETS	1,274	1,622

9.1.1.6 Fair value hierarchy of financial assets at fair value

The principles used to assess fair value are described in Note 10.

in millions of euros	12/31/2020				12/31/2019			
	Level 1	Level 2	Level 3	TOTAL	Level 1	Level 2	Level 3	TOTAL
ASSETS								
Assets held for trading (equities and UCITS)	5,669			5,669	2,202	84		2,286
Financial assets held for trading	5,669			5,669	2,202	84		2,286
Currency derivatives	2	2		4	5	4		9
Equity derivatives	13			13	8			8
Derivatives excl. hedging derivatives (positive fair value)	15	2		17	14	5		19
Securities designated at fair value through profit or loss	3,762	1,210	1,518	6,490	695	1,442	1,286	3,422
Bonds	115	77	1,518	1,710	125	642	1,286	2,053
Equities and UCITS	3,647	1,133		4,780	569	800		1,370
Investments backed by unit-linked policies	14,787	3,216	1	18,004	16,198	3,292		19,490
Financial assets designated at fair value through profit or loss	18,549	4,426	1,519	24,494	16,893	4,734	1,286	22,913
Interest rate derivatives		29		29				
Hedging derivatives		29		29				
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	24,232	4,458	1,519	30,209	19,109	4,822	1,286	25,217
Investments in associates			150	150			263	263
Other available-for-sale securities	49,328	6,818	3,441	59,586	49,054	5,835	3,194	58,083
Bonds	41,831	3,713	3,035	48,579	41,525	3,136	2,824	47,485
Equities and UCITS	7,497	3,105	406	11,007	7,529	2,699	370	10,598
AVAILABLE-FOR-SALE FINANCIAL ASSETS	49,328	6,818	3,591	59,737	49,054	5,835	3,457	58,345

BREAKDOWN OF FINANCIAL ASSETS AT FAIR VALUE CLASSIFIED IN LEVEL 3 OF THE FAIR VALUE HIERARCHY

in millions of euros	01/01/2020	Gains and losses recognized during the period			Transactions carried out during the period		Transfers during the period		Deconsolidated entities	Other changes	12/31/2020
		In the income statement			Purchases/Issues	Sales/Redemptions	To another reporting category	From and to another level			
		On transactions in progress at the reporting date	On transactions removed from the balance sheet at the reporting date	In other comprehensive income							
ASSETS											
Securities designated at fair value through profit or loss	1,286	(12)	(2)		60	(167)		352			1,518
<i>Bonds</i>	1,286	(12)	(2)		60	(167)		352			1,518
Investments backed by unit-linked policies								1			1
Financial assets designated at fair value through profit or loss	1,286	(12)	(2)		60	(167)		353			1,519
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS											
	1,286	(12)	(2)		60	(167)		353			1,519
Investments in associates	263			(5)	20	16	22		(142)	(23)	150
Other available-for-sale securities	3,194	(4)	(3)	(4)	645	(240)		(34)		(113)	3,441
<i>Bonds</i>	2,824	(4)	(4)	(6)	559	(207)		(34)		(92)	3,035
<i>Equities and UCITS</i>	370		1	2	86	(33)				(21)	406
AVAILABLE-FOR-SALE FINANCIAL ASSETS	3,457	(4)	(3)	(9)	664	(225)	22	(34)	(142)	(136)	3,591

BREAKDOWN OF FAIR VALUE HIERARCHY TRANSFERS

	Fiscal year 2020					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
ASSETS						
Securities designated at fair value through profit or loss					513	160
<i>Bonds</i>					513	160
Financial assets designated at fair value through profit or loss					513	160
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS					513	160
Other available-for-sale securities		300		52	351	385
<i>Bonds</i>		300		52	351	385
<i>Equities and UCITS</i>						
AVAILABLE-FOR-SALE FINANCIAL ASSETS		300		52	351	385

	Fiscal year 2019					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
ASSETS						
Securities designated at fair value through profit or loss						31
<i>Bonds</i>						31
Financial assets designated at fair value through profit or loss						31
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS						31
Other available-for-sale securities		401	15	844	700	572
<i>Bonds</i>		99	15	564	700	572
<i>Equities and UCITS</i>		302		280		
AVAILABLE-FOR-SALE FINANCIAL ASSETS		401	15	844	700	572

9.1.1.7 Fair value of investments from insurance activities carried in the balance sheet at amortized cost

The principles used to assess fair value are described in Note 10.

	12/31/2020				12/31/2019			
	Fair value	Level 1	Level 2	Level 3	Fair value	Level 1	Level 2	Level 3
<i>in millions of euros</i>								
Investments of loans and receivables due from banks	393	5	388		747	68	679	
Investments of loans and receivables due from customers	12,379		12,379		13,017	51	12,964	2
Held-to-maturity investments	1,714	1,504	208	3	2,050	1,822	226	2
INSURANCE BUSINESS INVESTMENTS AT AMORTIZED COST	14,487	1,509	12,975	3	15,814	1,942	13,869	4

9.1.2 LIABILITIES RELATED TO INSURANCE POLICIES

<i>in millions of euros</i>	12/31/2020	12/31/2019
Technical reserves relating to insurance policies	58,518	57,241
Technical reserves relating to unit-linked policies	15,202	13,172
Technical reserves relating to insurance policies	73,720	70,413
Technical reserves relating to financial contracts with a discretionary profit sharing feature	19,561	20,161
Technical reserves relating to unit-linked financial contracts	5,356	5,094
Technical reserves relating to financial contracts	24,917	25,255
Deferred profit sharing liabilities ⁽¹⁾	5,204	4,499
Liabilities arising from insurance and assumed reinsurance activities, and liabilities arising from ceded reinsurance activities	10,756	10,438
Trading derivatives	5	81
Hedging derivatives	5	
Other liabilities	1	11
TOTAL LIABILITIES RELATED TO INSURANCE POLICIES⁽²⁾	114,608	110,697

(1) O/w €5,120 million in deferred profit sharing recognized in other comprehensive income including the share attributable to non-controlling interests (€4,396 million at December 31, 2019).

(2) At December 31, 2019, Coface contributed €2,022 million to liabilities related to insurance policies.

The information required by IFRS 7 is presented for:

- financial liabilities at fair value through profit or loss in Note 5.2.2;
- debt securities in Note 5.10;
- amounts due to banks and customers in Note 5.11;
- subordinated debt in Note 5.14.

9.2 NOTES TO THE INCOME STATEMENT

9.2.1 NET INCOME FROM INSURANCE BUSINESSES

Accounting principles

Net income from insurance businesses includes:

- revenues from the insurance businesses, which consist of premiums written and the change in unearned premium reserves for insurance policies and investment contracts containing a discretionary profit sharing feature within the meaning of IFRS 4;
- investment income net of expenses:
 - investment income including income from investment property,
 - investment expenses and other financial expenses excluding financing expenses,
 - gains and losses on the sale of investments including on investment property,
 - depreciation, amortization and impairment reversals on investments (including investment properties) and other assets (including assets provided under operating leases), recognized at amortized cost,
 - the change in fair value of investments (including investment property) recognized at fair value through profit or loss;
- amortization of acquisition costs;
- the external costs of benefits and claims paid on policies which include paid benefits and claims on insurance policies and on investment contracts containing a discretionary profit sharing feature (paid benefits and claims, changes in technical reserves), including policyholder compensation (deferred profit sharing), as well as changes in the value of investment contracts, particularly for unit-linked policies;
- income from reinsurance cessions, defined as the sum of ceded premiums, net of ceded claims and benefits paid and commissions;
- where applicable:
 - net gains or losses resulting from the derecognition of financial assets at amortized cost,
 - net gains or losses resulting from the reclassification of financial assets at fair value through other comprehensive income to financial assets at fair value through profit or loss.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Premiums written	12,061	15,291
Change in unearned premiums	(296)	(214)
Earned premiums	11,765	15,077
Revenues and other income from insurance businesses	25	187
Income from investments	1,714	2,005
Expenses on investments	(298)	(282)
Gains or losses on disposals of investments less reversals of impairment and amortization	144	225
Change in fair value of investments recognized at fair value through profit or loss	362	1,931
Change in impairment for investments	(178)	(77)
Income from investments net of expenses	1,745	3,803
Amortization of acquisition costs	(13)	(3)
Claims and benefits expenses	(11,059)	(15,684)
Income from reinsurance cessions	3,214	3,531
Expenses on reinsurance cessions	(3,126)	(3,605)
Net income or expenses on reinsurance cessions	88	(74)
NET INCOME FROM INSURANCE BUSINESSES⁽¹⁾	2,550	3,306

(1) During 2019, Coface contributed €850 million to NET income from insurance businesses.

9.2.2 TRANSITION BETWEEN THE PRESENTATION APPLICABLE TO INSURANCE COMPANIES AND TO BANKS

The statement shown below provides a transition between the financial statements of insurance companies included in the scope of consolidation and their translation into the financial statements of Groupe BPCE in accordance with the presentation applicable to banks.

	2020 Banking Format						
	NBI						
	Net income from insurance businesses ⁽¹⁾	Other items of net banking income (excluding net income from insurance businesses)	Operating expenses	Gross operating income	Other items	2020 Insurance format	2019 Insurance format
<i>in millions of euros</i>							
Earned premiums	11,711	44	(1)	11,754	(65)	11,689	14,950
Revenues or income from other activities	13			13	(9)	4	170
Other operating income		2	11	13	11	24	78
Net financial income before finance costs	1,745	87	(15)	1,817	15	1,832	3,922
TOTAL REVENUE FROM ORDINARY ACTIVITIES	13,469	133	(5)	13,597	(48)	13,549	19,120
Claims and benefits expenses	(11,023)	(48)	(104)	(11,175)	(29)	(11,204)	(15,832)
Expenses from other activities		(6)		(6)		(6)	(15)
Net income from reinsurance cessions	88	67		155	7	162	(60)
Policy acquisition costs	(14)	(652)	(137)	(803)	(36)	(839)	(1,062)
Administrative expenses		(582)	(150)	(732)		(732)	(903)
Other recurring operating income and expenses		(56)	(183)	(239)		(239)	(372)
TOTAL OTHER RECURRING INCOME AND EXPENSES	(10,949)	(1,277)	(574)	(12,800)	(58)	(12,858)	(18,245)
OPERATING INCOME	2,520	(1,144)	(579)	797	(106)	691	876

(1) Net income from insurance businesses does not include income from the Prêt Viager Hypothécaire, a reverse mortgage for seniors offered by Crédit Foncier.

9.3 INFORMATION TO BE PROVIDED ON THE TEMPORARY EXEMPTION OF INSURANCE BUSINESSES FROM IFRS 9

<i>in millions of euros</i>	12/31/2020		12/31/2019	
	Fair value	Change in fair value over the period	Fair value	Change in fair value over the period
SPPI financial assets	48,241	982	49,129	2,408
Other financial assets	8,900	183	5,689	166
TOTAL INSURANCE BUSINESS INVESTMENTS⁽¹⁾	57,142	1,165	54,818	2,574

(1) Excluding UCITS classified as available-for-sale assets for €6,312 million at December 31, 2020 versus €5,994 million at December 31, 2019. Coface contributed €2,447 million to the total fair value at December 31, 2019.

This table does not include financial assets recognized at fair value through profit of loss or reinsurance activities.

Credit risk associated with insurance businesses is presented in Chapter 6, "Risk Management – Insurance Risks – Asset Management and Financial Conglomerate".

Note 10 Fair value of financial assets and liabilities

Key points

This section sets out the principles for measuring the fair value of financial instruments as defined in IFRS 13 "Fair Value Measurement" and the methods used by Groupe BPCE entities to measure the value of their financial instruments."

Financial assets and liabilities are recorded in the balance sheet either at fair value or at amortized cost. An indication of the fair value of items measured at amortized cost is provided in the notes.

For instruments traded on an active market with a quoted price, the fair value is equal to the quoted price, corresponding to Level 1 in the fair value hierarchy.

The fair value of other financial instruments not traded on an active market, including in particular loans, borrowings and derivatives traded over the counter, is calculated using valuation techniques that rely on widely used models and observable data, corresponding to Level 2 in the fair value hierarchy. When internal data or proprietary models are used (Level 3 in the fair value hierarchy), independent controls are used to validate the value obtained.

DETERMINATION OF FAIR VALUE

General principles

The fair value of an instrument is the price that would be received to sell an asset or paid to transfer a liability in a standard arm's length transaction between market participants at the measurement date.

Fair value is therefore determined using the exit price.

On first recognition, fair value is usually the transaction price and is thus the price paid to purchase the asset or the price received to assume the liability.

In subsequent measurements, the estimated fair value of assets and liabilities must be based primarily on observable market data, while ensuring that all inputs used in the fair value calculation are consistent with the price that market participants would use in a transaction.

In this case, fair value consists of a mid-market price and additional valuation adjustments determined according to the instruments in question and the associated risks.

The mid-market price is obtained based on:

- the instrument's quoted price, if the instrument is quoted on an active market. A financial instrument is regarded as quoted on an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and these prices represent actual and regularly occurring transactions on the principal market or, failing that, on the most favorable market, on an arm's length basis;
- if the market for a financial instrument is not active, fair value is established using valuation techniques. The techniques used must maximize the use of relevant observable entry data and minimize the use of non-observable entry data. They may refer to observable data from recent transactions, the fair value of similar instruments, discounted cash flow analysis and option pricing models, proprietary models in the case of hybrid instruments or non-observable data when no pricing or market data are available.

Additional valuation adjustments include factors related to valuation uncertainties, such as market and credit risk premiums, in order to recognize the costs incurred by a divestment transaction on the principal market. Likewise, an adjustment (Funding Valuation Adjustment – FVA) for using assumptions to recognize costs related to the financing costs of future cash flows on uncollateralized or partially collateralized derivatives is also taken into account.

The main additional adjustments are as follows:

BID/ASK ADJUSTMENT – LIQUIDITY RISK

This adjustment is the difference between the bid price and the ask price corresponding to the selling costs. It reflects the cost requested by a market player in respect of the risk of acquiring a position or of selling at a price proposed by another market player.

MODEL UNCERTAINTY ADJUSTMENT

This adjustment takes into account imperfections in the valuation techniques used, and in particular risk factors not considered even though observable market inputs are available. This is the case when the risks inherent in the instruments differ from those incurred by the observable market data used to determine their valuation.

INPUT UNCERTAINTY ADJUSTMENT

Observing certain prices or inputs used in valuation techniques may be difficult or the price or input may not be available on a sufficiently regular basis to determine the selling price. Under these circumstances, an adjustment may be necessary to reflect the probability of different values being used by market participants for the same inputs when measuring the fair value of the financial instrument in question.

CREDIT VALUATION ADJUSTMENT (CVA)

This adjustment applies to valuations that do not account for the counterparty's credit quality. It corresponds to the risk of loss linked to the risk of default by a counterparty and aims to take into account the fact that the Group may not recover the full market value of the transactions.

The method for determining the CVA is primarily based on the use of market inputs in connection with professional market practices, for all segments of counterparties subject to this calculation. In the absence of liquid market inputs, proxies by type of counterparty, rating and geographic area are used.

DEBIT VALUATION ADJUSTMENT (DVA)

The DVA is symmetrical to the CVA and represents the risk of loss, from the counterparty's perspective, on liability valuations of derivatives. It reflects the impact of the Group's credit quality on the valuation of these instruments. The DVA is assessed by observing the Group's "credit" market input. At Natixis, the main contributor for the Group, this involves observing the credit spreads of a sample of comparable banking institutions, taking into account the liquidity of the spread on Natixis' CDS during the period. The DVA adjustment is established after taking into account the funding valuation adjustment (FVA).

DETERMINATION OF AN ACTIVE MARKET

The following criteria are used to determine whether or not a market is active:

- the level of activity and trend of the market (including the level of activity on the primary market);
- the length of historical data on prices observed in similar market transactions;
- scarcity of prices recovered by a service provider;
- wide bid-ask price spread;
- steep price volatility over time or between different market participants.

Valuation control systems are presented in section 6.8, "Market risks".

Fair value hierarchy

For financial reporting purposes, IFRS 13 requires fair value measurements applied to financial and non-financial instruments to be allocated to one of three fair value levels:

LEVEL 1: VALUATION USING PRICES QUOTED ON A LIQUID MARKET

Level 1 comprises instruments whose fair value is determined based on directly usable prices quoted on active markets.

This mainly includes securities listed on a stock exchange or traded continuously on other active markets, derivatives traded on organized markets (futures, options, etc.) whose liquidity can be demonstrated, and units of UCITS that calculate and report their net asset value on a daily basis.

LEVEL 2: VALUATION USING OBSERVABLE MARKET INPUTS

Level 2 fair value comprises instruments other than those mentioned in Level 1 fair value and instruments measured using a valuation technique incorporating inputs that are either directly observable (prices) or indirectly observable (derived from prices) through to maturity. This mainly includes:

Simple instruments

Most over-the-counter derivatives, swaps, credit derivatives, forward rate agreements, caps, floors and plain vanilla options are traded in active markets, *i.e.* liquid markets in which trades occur regularly.

These instruments are valued using generally accepted models (discounted cash flow method, Black & Scholes model, interpolation techniques), and on the basis of directly observable inputs.

For these instruments, the extent to which models are used and the observability of inputs has been documented.

Instruments measured using Level 2 inputs also include:

- securities that are less liquid than those classified as Level 1, whose fair value is determined based on external prices put forward by a reasonable number of active market makers and which are regularly observable without necessarily being directly executable (prices mainly taken from contribution and consensus databases); where these criteria are not met, the securities are classified as Level 3 fair value;
- securities not quoted on an active market whose fair value is determined based on observable market data (for example, using market data for listed peers or the earnings multiple method based on techniques widely used in the market);

- Greek sovereign securities, whose fair value is recorded under Level 2;
- shares of UCITS that do not calculate and report their net asset value on a daily basis but which are subject to regular reporting or which offer observable data from recent transactions;
- issued debt instruments designated at fair value are classified as Level 2 when the underlying derivatives are classified as Level 2;
- “issuer credit risk” is also considered to be observable. It is measured using the discounted future cash flows method, using parameters such as the yield curve and revaluation spreads. For each issue, this valuation represents the product of the notional amount outstanding and its sensitivity, taking into account the existence of calls and the difference between the revaluation spread (based on the BPCE cash reoffer curve at December 31, 2020, as for previous closing dates) and the average issue spread. Changes in own credit risk are generally not material for issues with an initial maturity of less than one year.

Complex instruments

Certain hybrid and/or long-maturity financial instruments are measured using a recognized model on the basis of market inputs derived from observable data such as yield curves, implied volatility layers of options, market consensus data or active over-the-counter markets.

The main models for determining the fair value of these instruments are described below by type of product:

- **equity products:** complex products are valued using:
 - market data,
 - a payoff, *i.e.* the formula of positive or negative flows attached to the product at maturity,
 - a model of changes in the underlying asset.

These products can have single or multiple underlyings or be hybrids (fixed income/equity for example).

The main models used for equity products are local volatility models, local volatility combined with a Hull & White 1 factor (H&W1F) model, and Local Stochastic Volatility (LSV).

The local volatility model treats volatility as a function of time and the price of the underlying. Its main property is that it considers the implied volatility of the option (derived from market data) relative to its exercise price.

The local volatility hybrid model, paired with the H&W1F, consists of pairing the local volatility model described above with a Hull & White 1 factor type fixed income model, described below (see fixed income products).

The LSV model is based on the joint diffusion of the underlying asset and its volatility (two factors in total), with a local volatility function (known as a decorator), to ensure consistency with all vanilla options;

- **fixed income products:** fixed income products generally have specific characteristics which determine the choice of model. Underlying risk factors associated with the payoff are taken into account.

The main models used to value and manage fixed income products are Hull & White models (one-factor (HW1F) and two-factor (HW2F) models or a one-factor Hull & White stochastic volatility model (HW1FVS)).

The HW1F model is used to model the yield curve with a single Gaussian factor, calibrated on vanilla interest rate options.

The HW2F model is used to model the yield curve with two factors, calibrated on vanilla interest rate options and spread-option type instruments.

The HW1VS model is used to model both the Gaussian factor representing the yield curve and its volatility (like the LSV model for Equity);

- **foreign exchange products:** foreign exchange products generally have specific characteristics which determine the choice of model.

The main models used to value and manage foreign exchange products are local and stochastic volatility models (like the LSV model for Equity), as well as hybrid models, which combine modeling of the underlying foreign exchange transaction with two Hull & White 1-factor models of the yield curves of domestic and foreign economies.

Inputs relating to all such Level 2 instruments were demonstrated to be observable and documented. From a methodology perspective, observability is based on four inseparable criteria:

- inputs are derived from external sources (primarily a recognized contributor, for example);
- they are updated periodically;
- they are representative of recent transactions;
- their characteristics parameters are identical to the characteristics of the transaction. If necessary, a proxy may be used, provided that the relevance of such an arrangement is demonstrated and documented.

The fair value of instruments obtained using valuation models is adjusted to take account of liquidity risk (bid-ask), counterparty risk, the risk relating to the cost of financing uncollateralized or partially collateralized derivatives, own credit risk (measurement of liability derivative positions), and modeling and input risk.

The margin generated when these instruments begin trading is immediately taken to profit or loss.

LEVEL 3: VALUATION USING UNOBSERVABLE MARKET INPUTS

Level 3 comprises instruments measured using unrecognized models and/or models based on unobservable market data, where they are liable to materially impact the valuation. This mainly includes:

- unlisted shares whose fair value could not be determined using observable inputs;
- private equity securities not listed on an active market, measured at fair value with models commonly used by market participants, in accordance with International Private Equity Valuation (IPEV) standards, but which are sensitive to market fluctuations and whose fair value determination necessarily involves a judgment call;
- structured securities or securities representative of private placements, held by the Insurance business line;
- hybrid interest rate and currency derivatives and credit derivatives that are not classified in Level 2;
- loans to be syndicated for which there is no secondary market price;
- loans in the securitization process for which fair value is determined based on an expert appraisal;
- investment property whose fair value is calculated using a multi-criteria approach, by capitalizing rent at market rates and through comparisons with market transactions;
- instruments with a deferred day one margin;

- units of UCITS for which the fund has not published a recent NAV at the valuation date, or for which there is a lock-up period or any other constraint calling for a significant adjustment to available market prices (NAV, etc.) in respect of the low liquidity observed for such shares;
- issued debt instruments designated at fair value are classified as Level 3 when the underlying derivatives are classified as Level 3. The associated “issuer credit risk” is regarded as observable and it is therefore classified as Level 2;
- CDS contracted with credit enhancers (monoline insurers), for which the valuation model used to measure write-downs is similar to the Credit Valuation Adjustment (CVA) used for counterparty risk. The model also takes into account the expected amortization of exposures and the counterparty spread implicit in market data;
- plain vanilla derivatives are also classified as Level 3 fair value when exposure is beyond the liquidity horizon determined by underlying currencies or by volatility surface (e.g. certain foreign currency options and volatility caps/floors).

In accordance with the Ministerial Order of February 20, 2007, as amended by the Order of November 23, 2011 on capital requirements for credit institutions and investment companies and pursuant to the European Regulation of June 26, 2013 (CRR) on the Basel III requirements, for each of the models used, a description of crisis simulations applied is provided in Chapter 3 “Risk Management”.

Under IFRS 9, day one profit should be recognized only if it is generated by a change in the factors that market participants would consider in setting a price, *i.e.* only if the model and parameters input into the valuation are observable.

If the selected valuation model is not recognized by current market practices, or if one of the inputs significantly affecting the instrument's valuation is not observable, the trading profit on the trade date cannot be recognized immediately in the income statement. It is taken to income on a straight-line basis over the life of the transaction or until the date the inputs become observable. Any losses incurred at the trade date are immediately recognized in income.

As of December 31, 2020, given the health crisis, BPCE conducted an exhaustive review of its portfolio.

At December 31, 2020, instruments for which the recognition of day one profit/loss has been deferred mainly included:

- multi-underlying structured equity and index products;
- mono-underlying structured products indexed to sponsored indexes;
- synthetic loans;
- options on funds (multi-assets and mutual funds);
- structured fixed income products;
- securitization swaps.

These instruments are almost all located at Natixis.

The table below provides the main unobservable inputs and the value ranges for these instruments at December 31, 2020:

Instrument class	Main types of products	Valuation techniques used	Main unobservable data	Unobservable data ranges min - max (DEC20)
Interest rate derivatives	Sticky CMS/Volatility Bonds	Interest rate options valuation models	Mean reversion inputs	[1.75%; 5%]
Interest rate derivatives	Callable Spread Options and Corridor Callable Spread Options	Model representing several yield curve factors	Mean reversion spread	[0%; 30%]
Interest rate derivatives	Bermuda Accreting		Accreting Factor	[69.5%; 94%]
Interest rate derivatives	Volatility caps/floors	Interest rate option valuation models	Interest rate volatility	[5.46% ; 87.46%]
			Equity volatility	[1.00% ; 171.79%]
			Fund volatility	[1.5%; 40.27%]
Equity	Simple and complex equity, equity basket or fund derivatives	Different valuation models for equity, equity basket or fund options	Stock/stock correlation	[18.50%; 96.28%]
			Repo of general baskets	[-0.76%; 0.91%]
Forex	Exchange rate derivatives	Exchange rate option valuation models	Currency volatility	[7.3%; 12.739%]
			Correlation between foreign exchange rates and interest rates as well as long-term volatility levels	[11.5%; 32.8%]
Forex	Long-term PRDC/PRDKO/TARN	Hybrid currency/interest rate options valuation model		[7.3% ; 12.739%]
	Helvetix: Strip of long-term options, Strip of quanto options, Strip of digital options	Black & Scholes model	EURCHF/EURUSD correlations	[23.46%; 38.90%]
				USDCHF volatility: [8.0701%; 11.0529%]
				EURCHF volatility: [7.3352%; 8.8223%]
Forex	Helvetix: Options spread and digital options spread	Gaussian copula	Long-term USD/CHF & EUR/CHF volatility	
Credit	CDO	The default rates are based on the market prices of the underlying PFI bonds and the recovery rates are based on historical ratings agency data	Correlation between the assets, base spread between the cash asset and derivative asset, recovery rate	80%
Credit	Securitization swaps	Discounted expected cash flows based on early redemption assumptions on the underlying portfolio	Prepayment rate	[3.3%; 40.0%]
			Equity-FX correlations	[63.23%; 59.54%]
			Equity/FI correlations	[-40%; 45%]
Hybrids	Hybrid equity/fixed income/forex (FX) derivatives	Hybrid models coupled with equity, forex and interest rate diffusion	FI-FX correlations	[-35%; 35%]

Policy concerning fair value hierarchy transfers

Transfers between fair value levels are reviewed and validated by *ad hoc* committees at Natixis comprising representatives of various functions, particularly Finance, Risk and Business Lines. The committees consider various indicators of market activity and liquidity as described in the General Principles.

A review is undertaken for any instrument that ceases to meet these criteria or once again complies with the criteria. Transfers to and from Level 3 must be approved in advance.

Main reclassifications at December 31, 2020 were as follows:

- Bermudan accreters (in AUD), with residual maturities between 10 and 20 years were transferred to fair value Level 2, due to the immateriality of the accreting factor variable (see table above);
- mono underlying equity indices were transferred to fair value Level 3 following a review of the observability of the underlyings.

In fiscal year 2019, the main reclassifications involved accreting Bermudan swaptions (in euros and in Australian dollars), specific

complex derivatives with single or multiple underlyings structured on indexes and the associated liabilities designated at fair value. These instruments were reclassified from Level 2 to Level 3 of the fair value hierarchy due to an examination of observability during the period which demonstrated an absence of observable prices for the corresponding inputs and products, leading to their reclassification to Level 3 of the fair value hierarchy.

Instruments affected by the financial crisis

Instruments affected by the financial crisis and carried at fair value on the balance sheet are essentially held by Natixis, which calculates their fair value using the models described below:

CDS CONTRACTED WITH CREDIT ENHANCERS (MONOLINE INSURERS AND CDPCS)

Since December 31, 2015, the valuation model used to measure write-downs on CDSs contracted with monoline insurers has been similar to the Credit Valuation Adjustment (CVA) used for counterparty risk. The model also takes into account the expected amortization of exposures and the counterparty spread implicit in market data.

TRUST PREFERRED SECURITIES (TRUPS) CDOS

In 2018, Trups CDOs were valued using a valuation model. The latter was based on projections of future cash flows and default rates determined using a statistical approach that deduced the probability of default of banking institutions on the basis of their financial ratios. For other sectors, default rates were estimated considering the current ratings of assets.

As the number of contributions was sufficient, Trups CDOs were marked-to-market at December 31, 2019.

Instruments not carried at fair value on the balance sheet

IFRS 13 requires disclosure in the notes to the financial statements of the fair value, and the associated fair value levels, of all financial instruments carried at amortized cost, including loans. The valuation methods used to determine the fair value disclosed in the notes to the financial statements are described below.

ASSETS AND LIABILITIES OF NATIXIS BUSINESS LINES, THE BPCE CASH MANAGEMENT POOL, AND THE CAISSES D'EPARGNE FINANCIAL PORTFOLIOS

Credit and loans recognized at amortized cost and amounts payable under finance leases

The fair value of these instruments is determined by discounting future cash flows. The discount rate applied for a given loan is the rate at which the Group would grant a loan with similar characteristics to a similar counterparty at the reporting date. The interest rate and counterparty risk components are re-assessed.

The fair value of repurchase agreements is calculated by discounting expected cash flows at the market rate on the closing date and adding a liquidity spread.

If there is a quoted price that meets the criteria of IFRS 13, the quoted price is used.

The fair value of loans with an initial term of less than one year is considered to be their carrying amount. This is generally the case for financial assets with a term of one year or less and current accounts. The corresponding receivables are classified in Level 2 of the fair value hierarchy. Loans and receivables granted to affiliates are also classified in Level 2.

BORROWINGS AND SAVINGS

At Natixis, the assessment of the fair value of securities borrowings and debts is based on the method of discounting future cash flows using inputs on the reporting date such as the interest rate curve of the underlyings and the spread at which Natixis lends or borrows.

The fair value of debts maturing in less than one year is considered to be the carrying amount. In this situation, they are classified in Level 2 of the fair value hierarchy, as are debts payable to affiliates.

The fair value of other amounts due to banks and customers with a term of over one year is deemed to be equal to the present value of future cash flows discounted at the interest rate observed at the balance sheet date, plus the own credit risk of Groupe BPCE.

INVESTMENT PROPERTY RECOGNIZED AT COST

The fair value of investment property (excluding investment property held by insurance companies) is determined using the rent capitalization method, which is widely used by real estate professionals. The capitalization rate applied to the property depends on a number of factors such as location, the quality and type of building, use, type of ownership, quality of lessee and characteristics of the lease, the interest rate and competition in the real estate market.

Financial instruments of the retail banking business lines

For financial instruments not measured at fair value on the balance sheet, fair value calculations are provided for information purposes and must only be interpreted as estimates.

In most cases, the values indicated are not liable to be realized and generally may not be realized in practice.

These fair values are thus only provided for information purposes in the notes to the financial statements. They are not indicators used in the interest of overseeing retail banking activities, for which the business model is mainly based on the collection of contractual cash flows.

Consequently, the following simplified assumptions were used:

The carrying amount of the assets and liabilities is deemed to be their fair value in certain cases.

These notably include:

- short-term financial assets and liabilities (whose initial term is one year or less) provided that sensitivity to interest-rate risk and credit risk is not material during the period;
- demand liabilities;
- floating-rate loans and borrowings;
- transactions in a regulated market (particularly regulated savings products), whose prices are set by the public authorities.

FAIR VALUE OF LOANS TO RETAIL CUSTOMERS

The fair value of loans is measured using internal valuation models that discount future payments of recoverable capital and interest over the remaining loan term. Except in special cases, only the interest rate component is remeasured, as the credit margin is established at the outset and not subsequently remeasured. Prepayment options are factored into the model *via* an adjustment to loan repayment schedules.

FAIR VALUE OF LOANS TO LARGE CORPORATES, LOCAL AUTHORITIES AND BANKS

The fair value of loans is measured using internal valuation models that discount future payments of recoverable capital and interest over the remaining loan term. The interest rate component is remeasured, as is the credit risk component (where it is an observable piece of data used by customer relationship managers). Failing that, the credit risk component is established at the outset and not subsequently remeasured, as with loans to retail customers. Prepayment options are factored into the model *via* an adjustment to loan repayment schedules.

FAIR VALUE OF DEBT

The fair value of fixed-rate debt owed to banks and customers with a term of over one year is deemed to be equal to the present value of future cash flows discounted at the interest rate observed at the balance sheet date. Own credit risk is not generally taken into account.

10.1 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

10.1.1 FAIR VALUE HIERARCHY OF FINANCIAL ASSETS AND LIABILITIES

The following table provides a breakdown of financial instruments by type of price and valuation model:

<i>in millions of euros</i>	12/31/2020			
	Level 1	Level 2	Level 3	Total
FINANCIAL ASSETS				
Debt instruments	18,358	85,510	2,298	106,166
Loans due from banks and customers		82,257	1,964	84,221
Debt securities	18,358	3,253	334	21,945
Equity instruments	35,840	438		36,278
Shares and other equity securities	35,840	438		36,278
Derivatives	1,048	36,468	1,817	39,332
Interest rate derivatives	29	24,026	661	24,715
Equity derivatives	445	2,678	544	3,667
Currency derivatives		8,498	428	8,926
Credit derivatives		650	184	833
Other derivatives	574	616		1,190
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾	55,246	122,415	4,115	181,776
Derivatives		873	28	901
Interest rate derivatives		759	28	787
Currency derivatives		114		114
Financial assets at fair value through profit or loss – Economic hedges		873	28	901
Debt instruments		2	21	23
Loans due from banks and customers		2		2
Debt securities			21	21
Financial assets designated at fair value through profit or loss		2	21	23
Debt instruments	4,413	1,102	5,794	11,309
Loans due from banks and customers		934	2,285	3,219
Debt securities	4,413	168	3,509	8,089
Financial assets at fair value through profit or loss – Non-standard	4,413	1,102	5,794	11,309
Equity instruments	460	31	1,760	2,251
Shares and other equity securities	460	31	1,760	2,251
Financial assets at fair value through profit or loss – Excluding assets held for trading	460	31	1 760	2,251
Debt instruments	43,054	2,627	569	46,250
Loans due from banks and customers		3	16	19
Debt securities	43,054	2,624	552	46,231
Equity instruments	304	715	2,361	3,380
Shares and other equity securities	304	715	2,361	3,380
Financial assets at fair value through other comprehensive income	43,358	3,342	2,930	49,630
Interest rate derivatives		8,595		8,595
Currency derivatives		1,013		1,013
Hedging derivatives		9,608		9,608
TOTAL FINANCIAL ASSETS AT FAIR VALUE	103,477	137,373	14,649	255,498

(1) Excluding economic hedging.

<i>in millions of euros</i>	12/31/2020			
	Level 1	Level 2	Level 3	Total
FINANCIAL LIABILITIES				
Debt securities	22,446	92,982	574	116,002
Derivatives	749	33,491	1,467	35,708
• Interest rate derivatives	4	19,056	369	19,429
• Equity derivatives	294	3,476	601	4,371
• Currency derivatives		9,626	226	9,852
• Credit derivatives		804	263	1,067
• Other derivatives	451	529	8	988
Other financial liabilities		10,312		10,312
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾	23,195	136,785	2,042	162,021
Derivatives	1	1,007	561	1,569
Interest rate derivatives		706	536	1,242
Equity derivatives	1		25	26
Currency derivatives		301		301
Financial liabilities at fair value through profit or loss – Economic hedges	1	1,007	561	1,569
Debt securities		15,478	8,754	24,232
Other financial liabilities	3,045	500	4	3,549
Financial liabilities designated at fair value through profit or loss	3,045	15,978	8,758	27,782
Interest rate derivatives		13,141		13,141
Currency derivatives		2,120		2,120
Hedging derivatives		15,261		15,262
TOTAL FINANCIAL LIABILITIES AT FAIR VALUE	26,241	169,031	11,360	206,633

(1) Excluding economic hedging.

<i>in millions of euros</i>	12/31/2019			
	Level 1	Level 2	Level 3	Total
FINANCIAL ASSETS				
Debt instruments	13,419	101,173	3,706	118,297
Loans due from banks and customers		97,500	2,823	100,323
Debt securities	13,419	3,673	883	17,975
Equity instruments	40,683	185	60	40,928
Shares and other equity securities	40,683	185	60	40,928
Derivatives	1,080	43,479	2,066	46,624
Interest rate derivatives ⁽²⁾	2	29,434	860	30,296
Equity derivatives	834	2,452	265	3,551
Currency derivatives ⁽²⁾		10,968	712	11,680
Credit derivatives		374	229	603
Other derivatives	243	252		495
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾	55,181	144,837	5,831	205,849
Derivatives		916	12	928
Interest rate derivatives		702	12	714
Currency derivatives		214		214
Financial assets at fair value through profit or loss – Economic hedges		916	12	928
Debt instruments		45		45
Loans due from banks and customers		2		2
Debt securities		43		43
Financial assets designated at fair value through profit or loss		45		45
Debt instruments	2,662	1,015	6,205	9,881
Loans due from banks and customers		687	2,545	3,232
Debt securities	2,662	327	3,660	6,649
Financial assets at fair value through profit or loss – Non-standard	2,662	1,015	6,205	9,881
Equity instruments	259	52	1,752	2,063
Shares and other equity securities	259	52	1,752	2,063
Financial assets at fair value through profit or loss – Excluding assets held for trading	259	52	1,752	2,063
Debt instruments	38,895	2,123	524	41,541
Loans due from banks and customers		5	39	45
Debt securities	38,895	2,117	484	41,497
Equity instruments	347	522	2,220	3,089
Shares and other equity securities	347	522	2,220	3,089
Financial assets at fair value through other comprehensive income	39,242	2,645	2,743	44,630
Interest rate derivatives		7,913		7,913
Currency derivatives		1,370		1,370
Hedging derivatives		9,283		9,283
TOTAL FINANCIAL ASSETS AT FAIR VALUE	97,345	158,793	16,544	272,681

(1) Excluding economic hedging.

(2) Amounts not restated compared to the financial statements published in 2019, following a change to the presentation of premiums on options to be paid or received (see Note 5.2.3).

in millions of euros	12/31/2019			
	Level 1	Level 2	Level 3	Total
FINANCIAL LIABILITIES				
Debt securities	19,963	95,045	809	115,817
Derivatives	736	42,810	1,685	45,232
• Interest rate derivatives ⁽²⁾		27,036	593	27,629
• Equity derivatives	498	4,108	315	4,922
• Currency derivatives ⁽²⁾		10,796	460	11,256
• Credit derivatives		508	316	824
• Other derivatives	238	361	1	600
Other financial liabilities		9,090		9,090
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾	20,699	146,945	2,494	170,138
Derivatives		881	433	1,314
Interest rate derivatives		721	434	1,154
Currency derivatives		160		160
Financial liabilities at fair value through profit or loss – Economic hedges		881	433	1,314
Debt securities		17,231	9,366	26,597
Other financial liabilities	3,696	29	2	3,727
Financial liabilities designated at fair value through profit or loss	3,696	17,260	9,368	30,324
Interest rate derivatives		12,505		12,505
Currency derivatives		2,563		2,563
Hedging derivatives		15,068		15,068
TOTAL FINANCIAL LIABILITIES AT FAIR VALUE	24,395	180,153	12,296	216,844

(1) Excluding economic hedging.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

10.1.2 BREAKDOWN OF FINANCIAL ASSETS AND LIABILITIES CLASSIFIED IN LEVEL 3 OF THE FAIR VALUE HIERARCHY

in millions of euros	Gains and losses recognized during the period			Transactions carried out during the period		Transfers during the period			12/31/2020	
	In the income statement ⁽¹⁾			Purchases/ Issuance	Sales/ Redemptions	To another reporting category	From and to another level ⁽²⁾	Other changes ⁽³⁾		
	On transactions in progress at the reporting date	On transactions removed from the balance sheet at the reporting date	In other comprehensive income							
01/01/2020										
FINANCIAL ASSETS										
Debt instruments	3,706	(56)	431		9,497	(11,703)		512	(88)	2,298
Loans due from banks and customers	2,823	55	21		5,276	(6,585)		433	(59)	1,964
Debt securities	883	(111)	409		4,222	(5,119)		78	(29)	334
Equity instruments	60								(60)	
Shares and other equity securities	60								(60)	
Derivatives	2,066	32	28		516	(346)	(2)	(288)	(188)	1,817
Interest rate derivatives	860	213	(274)		25	(51)		(108)	(3)	662
Equity derivatives	265	(179)	316		489	(254)		(13)	(80)	544
Currency derivatives	712	23	(12)			(25)		(176)	(95)	428
Credit derivatives	229	(25)	(2)		2	(16)	(2)	9	(11)	184
Financial assets at fair value through profit or loss – Held for trading ⁽⁴⁾										
	5,831	(24)	459		10,013	(12,050)	(2)	223	(336)	4,115
Derivatives	12	19			8	(12)	(1)	6	(4)	28
Interest rate derivatives	12	19			8	(12)	(1)	6	(4)	28
Financial assets at fair value through profit or loss – Economic hedges										
	12	19			8	(12)	(1)	6	(4)	28
Debt instruments		(13)				(6)		40		21
Debt securities		(13)				(6)		40		21
Financial assets designated at fair value through profit or loss										
		(13)				(6)		40		21
Debt instruments	6,205	(159)	185		538	(969)	26	11	(42)	5,794
Loans due from banks and customers	2,545	24	1		215	(442)		(6)	(51)	2,285
Debt securities	3,660	(182)	184		322	(527)	26	17	(9)	3,509
Financial assets at fair value through profit or loss – Non-standard										
	6,205	(159)	185		538	(969)	26	11	(42)	5,794
Equity instruments	1,752	(61)	30		294	(280)	(24)	20	28	1,760
Shares and other equity securities	1,752	(61)	30		294	(280)	(24)	20	28	1,760
Financial assets at fair value through profit or loss – Excluding assets held for trading										
	1,752	(61)	30		294	(280)	(24)	20	28	1,760
Debt instruments	524	8	(3)	8	240	(182)		(19)	(8)	569
Loans due from banks and customers	39	1		8	3	(36)				16
Debt securities	484	8	(3)		237	(146)		(19)	(8)	552
Equity instruments	2,220	311	128	(393)	272	(89)	(41)		(47)	2,361
Shares and other equity securities	2,220	311	128	(393)	272	(89)	(41)		(47)	2,361
Financial assets at fair value through other comprehensive income										
	2,743	319	125	(385)	512	(270)	(41)	(19)	(55)	2,930

		Gains and losses recognized during the period		Transactions carried out during the period		Transfers during the period		
		In the income statement ⁽¹⁾						
		On trans- actions in progress at the reporting date	On trans- actions removed from the balance sheet at the reporting date	Purchases/ Issuance	Sales/ Redemp- tions	To another reporting category	From and to another level ⁽²⁾	Other changes ⁽³⁾
<i>in millions of euros</i>	01/01/2020							
FINANCIAL LIABILITIES								
Debt securities	809	16	(26)	524	(748)			574
Derivatives	1,685	201	(240)	297	(186)		(76)	(215)
• Interest rate derivatives	593	41	(179)	5	(29)		(55)	(5)
• Equity derivatives	315	167	(30)	289	(164)		45	(20)
• Currency derivatives	460	10	(11)		13		(71)	(175)
• Credit derivatives	316	(20)	(20)	4	(4)		1	(13)
• Other derivatives	1	3			(1)		4	
Financial liabilities at fair value through profit or loss – Held for trading ⁽⁴⁾								
	2,494	217	(266)	821	(933)		(76)	(215)
Derivatives	433	119	1	6	(93)	4	89	
Interest rate derivatives	433	38	1	6	(36)	4	89	
Equity derivatives		81			(56)			
Financial liabilities at fair value through profit or loss – Economic hedges								
	433	119	1	6	(93)	4	89	
Debt securities	9,366	(20)	422	4,627	(5,376)		(53)	(212)
Other financial liabilities	2						2	
Financial liabilities designated at fair value through profit or loss								
	9,368	(21)	422	4,627	(5,376)		(51)	(212)

(1) The main impacts recognized in the income statement are mentioned in Note 4.3.

(2) The main transfers to and from Level 3 are described in Note 10.1.3.

(3) Other changes mainly include the impact of changes in the consolidation scope and foreign exchange gains and losses.

(4) Excluding economic hedging.

	Gains and losses recognized during the period			Transactions carried out during the period		Transfers during the period			12/31/2019 ⁽⁵⁾	
	01/01/2019	In the income statement ⁽¹⁾		In other comprehensive income	Purchases/ Issuance	Sales/ Redemp- tions	To another reporting category	From and to another level ⁽²⁾		Other changes ⁽³⁾
		On trans- actions in progress at the reporting date	On trans- actions removed from the balance sheet at the reporting date							
<i>in millions of euros</i>										
FINANCIAL ASSETS										
Debt instruments	3,630	66	149		9,099	(8,824)	(130)	(97)	(188)	3,706
Loans due from banks and customers	2,936	92	169		7,225	(7,386)	(122)	(116)	25	2,823
Debt securities	694	(26)	(20)		1,874	(1,438)	(8)	19	(213)	883
Equity instruments	9				60				(8)	60
Shares and other equity securities	9				60				(8)	60
Derivatives	1,729	951	(334)		401	(903)	1	140	81	2,066
Interest rate derivatives	236	330	(5)		10	(80)		368	1	860
Equity derivatives	406	643	(251)		155	(768)		85	(5)	265
Currency derivatives	943	(66)	(86)		214	(54)		(315)	76	712
Credit derivatives	144	44	8		22		1	1	9	229
Financial assets at fair value through profit or loss – Held for trading ⁽⁴⁾	5,368	1,017	(185)		9,559	(9,727)	(128)	43	(115)	5,831
Derivatives	80	(1)	(17)			(23)			(26)	12
Interest rate derivatives	71	(1)	(17)			(23)			(17)	12
Currency derivatives	9								(9)	
Financial assets at fair value through profit or loss – Economic hedges	80	(1)	(17)			(23)			(26)	12
Debt instruments		(4)			4					
Debt securities		(4)			3					
Financial assets designated at fair value through profit or loss		(4)			4					
Debt instruments	5,485	341	49		473	(819)	29	(111)	756	6,205
Loans due from banks and customers	2,604	82	3		30	(206)	(85)	(57)	174	2,545
Debt securities	2,881	260	46		443	(613)	114	(54)	582	3,660
Financial assets at fair value through profit or loss – Non-standard	5,485	341	49		473	(819)	29	(111)	756	6,205
Equity instruments	751	6	83		356	(199)	146		608	1,752
Shares and other equity securities	751	6	83		356	(199)	146		608	1,752
Financial assets at fair value through profit or loss – Excluding assets held for trading	751	6	83		356	(199)	146		608	1,752
Debt instruments	189	(2)		(2)	253	(209)	2	86	206	524
Loans due from banks and customers	21	1			28	(12)	2			39
Debt securities	169	(2)		(2)	224	(197)		86	207	484
Equity instruments	1,992	181	34	80	651	(579)	(12)	(188)	61	2,220
Shares and other equity securities	1,992	181	34	80	651	(579)	(12)	(188)	61	2,220
Financial assets at fair value through other comprehensive income	2,181	179	34	78	904	(789)	(10)	(102)	268	2,743

		Gains and losses recognized during the period		Transactions carried out during the period		Transfers during the period			
		In the income statement ⁽¹⁾							
		On trans- actions in progress at the reporting date	On trans- actions removed from the balance sheet at the reporting date	Purchases/ Issuance	Sales/ Redemp- tions	To another reporting category	From and to another level ⁽²⁾	Other changes ⁽³⁾	12/31/2019 ⁽⁵⁾
in millions of euros									
FINANCIAL LIABILITIES									
Debt securities	1,176	37	(37)	1,161	(1,526)		(2)		809
Derivatives	1,757	(75)	(219)	185	(290)	72	192	65	1,685
• Interest rate derivatives	262	64	(20)	45	(41)		281	2	593
• Equity derivatives	569	(249)	(218)	114	(188)		277	9	315
• Currency derivatives	686	73	10	24	(9)		(368)	44	460
• Credit derivatives	239	36	8	2	(52)	72	1	11	316
• Other derivatives		1							1
Financial liabilities at fair value through profit or loss – Held for trading ⁽⁴⁾									
	2,932	(38)	(256)	1,346	(1,816)	72	190	65	2,494
Derivatives	576	120	(27)		(214)			(22)	433
Interest rate derivatives	553	(28)	(27)		(43)			(22)	433
Equity derivatives	23	148			(171)				
Financial liabilities at fair value through profit or loss – Economic hedges									
	576	120	(27)		(214)			(22)	433
Debt securities	188	473	(2)	3,339	(1,905)	2	4,975	2,296	9,366
Other financial liabilities	3	(1)							2
Financial liabilities designated at fair value through profit or loss									
	191	473	(2)	3,339	(1,905)	2	4,975	2,296	9,368

(1) The main impacts recognized in the income statement are mentioned in Note 4.3.

(2) The main transfers to and from Level 3 are described in Note 10.1.3.

(3) Other changes mainly include the impact of changes in the consolidation scope and foreign exchange.

(4) Excluding economic hedging.

(5) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received.

10.1.3 BREAKDOWN OF FAIR VALUE HIERARCHY TRANSFERS

The amounts of transfers indicated in this table are those of the last valuation preceding the transfer.

	Fiscal year 2020					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
		Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
FINANCIAL ASSETS						
Debt instruments		936		104	527	16
Loans due from banks and customers					433	
Debt securities		936		104	94	16
Equity instruments		3				
Shares and other equity securities		3				
Derivatives		113		27	26	315
Interest rate derivatives						108
Equity derivatives		111		12	16	29
Currency derivatives						176
Credit derivatives					10	1
Other derivatives		2		15		
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾		1,053		131	554	330
Debt instruments					40	
Debt securities					40	
Financial assets at fair value through profit or loss					40	
Debt instruments				13	29	18
Loans due from banks and customers						6
Debt securities				13	29	12
Financial assets at fair value through profit or loss – Non-standard				13	29	18
Equity instruments					20	
Shares and other equity securities					20	
Financial assets at fair value through profit or loss - Excluding assets held for trading					20	
Debt instruments		502		712	8	27
Debt securities		502		712	8	27
Equity instruments		2				
Shares and other equity securities		2				
Financial assets at fair value through other comprehensive income		504		712	8	27

(1) Excluding economic hedging.

	Fiscal year 2020					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
FINANCIAL LIABILITIES						
Debt securities		4				
Derivatives		40			161	238
• Interest rate derivatives						55
• Equity derivatives		37			57	12
• Currency derivatives					94	165
• Credit derivatives					1	
• Other derivatives		3			10	5
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾		44			161	238
Derivatives					1	
Interest rate derivatives					1	
Financial liabilities at fair value through profit or loss – Economic hedges					1	
Debt securities					503	556
Other financial liabilities					2	
Financial liabilities designated at fair value through profit or loss					505	556

(1) Excluding economic hedging.

	Fiscal year 2019					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
FINANCIAL ASSETS						
Debt instruments		290		146	19	116
Loans due from banks and customers		54				116
Debt securities		236		146	19	
Equity instruments		2				
Shares and other equity securities		2				
Derivatives		16		111	486	346
Interest rate derivatives					381	13
Equity derivatives		16		109	90	5
Currency derivatives					13	328
Credit derivatives					1	
Other derivatives				2		
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾		308		256	505	462
Debt instruments				17	98	142
Loans due from banks and customers					60	117
Debt securities				17	38	25
Financial assets at fair value through profit or loss – Non-standard				17	98	142
Debt instruments		354	122	966	15	41
Debt securities		354	122	966	15	41
Equity instruments					(20)	168
Shares and other equity securities					(20)	168
Financial assets at fair value through other comprehensive income		354	122	966	(5)	209

(1) Excluding economic hedging.

Fiscal year 2019

in millions of euros

FINANCIAL LIABILITIES

	From	Level 1	Level 1	Level 2	Level 2	Level 3	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1	Level 2
Debt securities				83			2
Derivatives		12		116	598		406
• Interest rate derivatives					302		20
• Equity derivatives		12		115	287		10
• Currency derivatives					8		376
• Credit derivatives					1		
• Other derivatives				1			
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾		12		199	598		408
Derivatives					(1)		
Interest rate derivatives					(1)		
Financial liabilities at fair value through profit or loss – Economic hedges					(1)		
Debt securities					4,975		
Financial liabilities designated at fair value through profit or loss					4,975		

(1) Excluding economic hedging.

10.1.4 SENSITIVITY OF LEVEL 3 ASSETS AND LIABILITIES TO CHANGES IN THE PRINCIPAL ASSUMPTIONS

At December 31, 2020, Natixis calculated the sensitivity of the fair value of financial instruments measured using unobservable inputs. With the aid of probable assumptions, this sensitivity was used to estimate the impacts of market fluctuations in uncertain economic environments. This estimate was made using assumptions of additional valuation adjustments for fixed-income, currency and equity instruments; *i.e.* a potential impact of €48 million on the income statement, including €21 million in equity instruments and derivatives.

10.2 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES AT AMORTIZED COST

For financial instruments not measured at fair value on the balance sheet, fair value calculations are provided for information purposes and must only be interpreted as estimates.

In most cases, the values indicated are not liable to be realized and generally may not be realized in practice.

These fair values are thus only provided for information purposes in the notes to the financial statements. They are not indicators used in the interest of overseeing retail banking activities, for which the management model is based on the collection of expected cash flows.

The simplified assumptions used to measure the fair value of instruments at amortized costs are presented in Note 10.1.

in millions of euros

FINANCIAL ASSETS AT AMORTIZED COST

	12/31/2020			
	Fair value	Level 1	Level 2	Level 3
Loans and receivables due from banks	90,168	83	24,158	65,927
Loans and receivables due from customers	769,098	428	130,248	638,422
Debt securities	26,484	14,607	6,883	4,994
FINANCIAL LIABILITIES AT AMORTIZED COST				
Amounts due to banks	137,145		47,485	89,660
Amounts due to customers	631,848		340,216	291,633
Debt securities	228,511	78,943	143,904	5,737
Subordinated debt	17,072	10,810	5,519	743

<i>in millions of euros</i>	12/31/2019			
	Fair value	Level 1	Level 2	Level 3
FINANCIAL ASSETS AT AMORTIZED COST				
Loans and receivables due from banks	90,504	139	30,930	59,434
Loans and receivables due from customers	708,873	298	131,618	576,958
Debt securities	28,246	15,246	9,331	3,670
FINANCIAL LIABILITIES AT AMORTIZED COST				
Amounts due to banks	77,900		64,072	13,828
Amounts due to customers	560,680		309,543	251,137
Debt securities	239,983	71,800	161,305	6,877
Subordinated debt	18,597	10,765	7,131	701

Note 11 Income taxes

11.1 INCOME TAX

Accounting principles

Income tax includes all domestic and foreign taxes payable on the basis of taxable profits. Income tax also includes taxes, such as withholding taxes, which are payable by a subsidiary, an associate or a joint arrangement on distributions of dividends to the entity that draws up financial statements. The CVAE (Business Added Value Tax) is not considered an income tax.

Income tax includes:

- current taxes, which are the amount of income taxes payable on taxable profit or recoverable on a tax loss over a given period. They are calculated on the taxable income for the period for each fiscal entity in the tax consolidation scope by applying the applicable tax rates and rules set by the tax authorities and on the basis of which tax shall be paid (received);
- deferred tax assets and liabilities (see 11.2).

Where it is probable that one of the Group's tax positions will not be accepted by the tax authorities, this situation is reflected in the financial statements when calculating current tax (due or recoverable) and deferred tax (asset or liability).

IAS 12 "Income taxes" gave no particular details on how to account for uncertainties in income taxes, and was clarified by IFRIC 23 "Uncertainty over Income Tax Treatments", which was adopted by the European Commission on October 23, 2018 with effect from January 1, 2019.

The Interpretation clarifies how to apply the deferred income tax recognition and measurement requirements when there is uncertainty over income tax treatments. If there is doubt as to the acceptability of the income tax treatment by the tax authority under tax law, then this tax treatment is an uncertain

tax treatment. Assuming it is likely that the tax authority will not accept the income tax treatment used, IFRIC 23 states that the amount of the uncertainty to be reflected in the financial statements shall be estimated using the method that will better predict the resolution of the uncertainty. To determine this amount, two approaches may be used: the most likely amount or the expected value of the tax treatment (that is, the weighted average of the different scenarios possible). Furthermore, IFRIC 23 requires the measurement of tax uncertainties to be reassessed if facts and circumstances change or new information arises.

The Group reflects uncertainties regarding its tax treatment for income tax in its financial statements when it deems it probable that the tax authority will not accept its treatment. To ascertain whether a tax position is uncertain and to assess its effect on the amount of tax, the Group assumes that the tax authority will examine all amounts reported and have full knowledge of all related information. It bases its judgment on administrative policy, case-law and on the existence of any corrections made by the administration relating to similar tax uncertainties. The Group revises the estimate of the amount it expects to pay or recover from the tax authority due to tax uncertainties in the event of changes in the associated facts and circumstances, as these changes may result from (including, but not limited to) changes in tax law, the expiry of a statutory limitation period, or the outcome of audits and measures conducted by the tax authorities.

Tax uncertainties are reported as assets or liabilities and according to whether they relate to a current or deferred tax under the balance sheet headings "Deferred tax assets", "Current tax assets", "Deferred tax liabilities" and "Current tax liabilities".

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Current income tax expense	(1,287)	(1,727)
Deferred tax assets and liabilities	242	(75)
INCOME TAX	(1,045)	(1,801)

RECONCILIATION BETWEEN THE TAX CHARGE IN THE FINANCIAL STATEMENTS AND THE THEORETICAL TAX CHARGE

	Fiscal year 2020		Fiscal year 2019	
	<i>in millions of euros</i>	Tax rate	<i>in millions of euros</i>	Tax rate
Net income attributable to equity holders of the parent	1,610		3,030	
Change in the value of goodwill			84	
Non-controlling interests	134		707	
Share in net income of associates	(180)		(265)	
Income taxes	1,045		1,801	
INCOME BEFORE TAX AND CHANGES IN THE VALUE OF GOODWILL	2,609		5,356	
Effects of permanent differences ⁽¹⁾⁽²⁾	643		883	
Consolidated taxable income (A)	3,252		6,239	
Standard income tax rate in France (B)		32.02%		34.43%
Theoretical income tax expense (income) at the tax rate applicable in France (A*B)	(1,041)		(2,148)	
Impact of the change in unrecognized deferred tax assets and liabilities	(12)		(81)	
Reduced rate of tax and tax-exempt activities	(44)		36	
Difference in tax rates on income taxed outside France			212	
Tax on prior periods, tax credits and other tax ⁽³⁾	86		97	
Other items ⁽⁴⁾	(34)		84	
INCOME TAX EXPENSE (INCOME) RECOGNIZED	(1,045)		(1,801)	
EFFECTIVE TAX RATE (INCOME TAX EXPENSE DIVIDED BY TAXABLE INCOME)		32.13%		28.87%

- (1) For the first time, as of December 31, 2020, they are recognized at base value and restated for consolidated taxable income. This removes the effect of permanent differences from the difference between effective and theoretical tax rates. The data for 2019 have been modified for comparability.
- (2) The permanent differences mainly include the impact of the contribution to the SRF (Single Resolution Fund), which is a non-deductible expense (see Note 4.7), and the reintegration of the share of expenses on dividends received. This removes the effect of permanent differences from the difference between effective and theoretical tax rates.
- (3) Tax on prior periods, tax credits and other tax mainly includes tax credits and the impact of tax audits and the resolution of current disputes.
- (4) Other items mainly include the effects of the tax consolidation of BPCE and Natixis, for +€77 million, provisions for tax adjustments, for -€18 million, and the effect of changes in tax rates on the valuation of the Group's deferred tax assets for -€98 million.

11.2 DEFERRED TAX ASSETS AND LIABILITIES

Accounting principles

Deferred tax assets and liabilities are recognized when temporary differences arise between the carrying amount of assets and liabilities on the balance sheet and their tax base, irrespective of when the tax is expected to be recovered or settled.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability settled based on tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax assets and liabilities are offset at the level of each tax entity. The tax entity may either be a single entity or a tax consolidation group. Deferred tax assets are recognized only to the extent that it is probable that the entity will be able to recover them in the foreseeable future.

Deferred tax assets and liabilities are recognized as tax income or expense in the income statement, except for those related to:

- revaluation differences on post-employment benefits;
- unrealized gains and losses on financial assets at fair value through other comprehensive income;
- changes in the fair value of derivatives used as cash flow hedges.

for which the corresponding deferred tax assets and liabilities are recognized as unrealized gains and losses directly in other comprehensive income.

Deferred tax assets and liabilities are not discounted to their present value.

Deferred tax assets and liabilities on temporary differences arise from the recognition of the items listed in the statement below (positive figures indicate deferred tax assets, while negative figures in brackets represent deferred tax liabilities):

<i>in millions of euros</i>	12/31/2020	12/31/2019
Unrealized capital gains on UCITS	31	34
Fiscal EIGs	(29)	(75)
Provisions for employee-related liabilities	210	232
Provisions for regulated home savings products	161	159
Provisions on a portfolio basis	556	395
Other non-deductible provisions	317	381
Changes in fair value of financial instruments recorded in equity	(32)	(98)
Other sources of temporary differences ⁽¹⁾	382	294
Deferred tax related to timing differences	1,596	1,322
Deferred tax assets and liabilities arising on the capitalization of tax loss carryforwards	1,962	1,719
Unrecognized deferred tax assets and liabilities	(1,131)	(844)
NET DEFERRED TAX ASSETS AND LIABILITIES	2,428	2,196
Recognized		
As assets in the balance sheet	3,667	3,597
As liabilities in the balance sheet	(1,239)	(1,400)

(1) A deferred tax liability of €316 million was recognized at December 31, 2020 (€347 million at December 31, 2019) on certain goodwill items recorded in the United States giving rise to tax amortization over 15 years.

The 2019 Finance Act in France led Groupe BPCE to revalue its net deferred tax position:

Deferred tax assets and liabilities of French companies are calculated by applying the tax rate that will be in force when the temporary difference is reversed. Tax rates will be gradually lowered through to 2022 (including the social security

contribution on profits), 28.41% in 2021 to 25.83% in 2022 and thereafter for taxable profit taxed at the normal rate.

At December 31, 2020, deductible temporary differences, tax losses and unused tax credits for which no deferred tax asset has been recorded in the balance sheet amounted to €1,131 million.

Note 12 Other information

12.1 SEGMENT REPORTING

The Group has three core businesses:

Retail Banking and Insurance, which is central to the transformation, includes:

- the Banque Populaire network, comprising the fourteen Banques Populaires and their subsidiaries, Crédit Maritime Mutuel, and the Mutual Guarantee Companies;
- the Caisse d'Epargne network, consisting of the fifteen Caisses d'Epargne;
- Financial Solutions and Expertise, a sub-division encompassing the specialized financing activities: Factoring, Leasing, Consumer Finance, Sureties & Financial Guarantees, and Retail Securities Services, in addition to Socfim, BPCE Solutions Immobilières and Pramex;
- Insurance, a Natixis business line serving the Groupe BPCE networks and their customers;
- Payments, which offer a full range of payment and prepaid solutions to local businesses, online and via mobile devices;

- Other networks, which include Oney Bank and Banque Palatine.

Asset & Wealth Management, a Natixis business line consisting of:

- Asset Management, which operates on several international markets, combining expertise in investment management and distribution;
- Wealth Management, with Natixis Wealth Management, which offers wealth management and financing solutions for large private-sector investors;
- employee savings, Natixis Interépargne is a top-tier player in employee savings plan management in France.

Corporate & Investment Banking, a division of Natixis:

- Corporate & Investment Banking advises and supports corporates, institutional investors, insurance companies, banks, public sector entities and Film and Audiovisual Financing.

The Corporate Center, which primarily includes:

- the Group's central institution and holding companies;
- run-off activities of Crédit Foncier and BPCE International;
- cross-business activities;
- items related to goodwill impairment and the amortization of valuation differences, as these items form part of the Group's acquisition and investment strategy;
- the contribution to the Single Resolution Fund.

Segment reporting for Groupe BPCE has been restated as of the first quarter of 2019 and takes account of the transfer of the subsidiaries Banque de Tahiti, Banque de Nouvelle Calédonie and Société Havraise de Calédonie from Groupe BPCE International to the Caisse d'Epargne network.

The segment information also takes into account the changes during the fourth quarter of 2020 to the rules for BPCE SA's re-invoicing of expenses recognized in respect of its duties as a central institution. As a result, the 2019 and 2020 quarterly income statements for the Retail Banking & Insurance and Corporate Center divisions were restated for comparison purposes.

12.1.1 SEGMENT ANALYSIS OF THE CONSOLIDATED INCOME STATEMENT

Results by division⁽¹⁾

	Retail Banking and Insurance		Asset Management		Corporate & Investment Banking		Corporate center		Groupe BPCE	
<i>in millions of euros</i>	2020	2019 pf	2020	2019	2020	2019	2020	2019 pf	2020	2019 pf
Net banking income	16,457	16,050	3,225	3,760	2,803	3,337	55	447	22,540	23,593
Operating expenses	(10,813)	(10,713)	(2,387)	(2,492)	(2,099)	(2,235)	(1,345)	(1,626)	(16,644)	(17,065)
Gross operating income	5,644	5,337	838	1,268	704	1,102	(1,290)	(1,179)	5,896	6,528
Cost/income ratio	65.7%	66.7%	74.0%	66.3%	74.9%	67.0%	ns	ns	73.8%	72.3%
Cost of risk	(2,042)	(1,028)	(27)	(8)	(819)	(312)	(110)	(18)	(2,998)	(1,365)
Share in income of equity-accounted associates	4	45	1	1	10	10	212	209	227	265
Gains or losses on other assets	10	8	(45)	13	(0)	(15)	(109)	(6)	(144)	(1)
Change in the value of goodwill		0						(88)		(88)
Income before tax	3,615	4,362	768	1,273	(105)	786	(1,296)	(1,083)	2,982	5,338
Income tax	(1,173)	(1,429)	(226)	(353)	33	(212)	321	246	(1,045)	(1,748)
Non-controlling interests (minority interests)	(114)	(87)	(209)	(447)	14	(176)	119	106	(191)	(604)
Net income attributable to equityholders of the parent – excl. netcontribution by Coface	2,328	2,846	332	473	(57)	397	(858)	(731)	1,745	2,986
Net contribution by Coface							(136)	44	(136)	44
REPORTABLE NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT	2,328	2,846	332	473	(57)	397	(993)	(687)	1,610	3,030

Results of the Retail Banking and Insurance sub-divisions

	Banques Populaires		Caisses d'Epargne		Financial Solutions and Expertise		Insurance		Payments		Other networks		Retail Banking and Insurance	
<i>in millions of euros</i>	2020	2019 pf	2020	2019 pf	2020	2019 pf	2020	2019	2020	2019	2020	2019 pf	2020	2019 pf
Net banking income	6,315	6,305	6,917	6,919	1,134	1,109	901	846	431	423	760	448	16,457	16,050
Operating expenses	(4,242)	(4,294)	(4,549)	(4,616)	(604)	(628)	(491)	(478)	(391)	(370)	(537)	(326)	(10,813)	(10,713)
Gross operating income	2,072	2,012	2,369	2,303	530	481	410	368	39	52	223	121	5,644	5,337
Cost/income ratio	67.2%	68.1%	65.8%	66.7%	53.2%	56.6%	54.5%	56.5%	90.9%	87.6%	70.7%	72.9%	65.7%	66.7%
Cost of risk	(828)	(417)	(914)	(419)	(117)	(79)			2	(2)	(185)	(111)	(2,042)	(1,028)
Share in income of equity-accounted associates	20	34					(17)	10				1	4	45
Gains or losses on other assets	8	3	9	(3)	(1)						(6)	7	10	8
Income before tax	1,273	1,632	1,464	1,881	413	402	393	378	42	50	31	18	3,615	4,362

(1) Sector information is restated for the impact of the net contribution by Coface as net income attributable to equity holders of the parent, +€136 million in 2020 and -€44 million in 2019.

12.1.2 SEGMENT REPORTING OF THE BALANCE SHEET

	Retail Banking		Asset & Wealth Management		Corporate & Investment Banking		Corporate Center		Groupe BPCE	
<i>in millions of euros</i>	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019 ⁽¹⁾	12/31/2020	12/31/2019	12/31/2020	12/31/2019
Segment assets	1,004,435	894,272	2,203	2,940	296,328	338,679	143,303	102,173	1,446,269	1,338,064
Segment liabilities	1,004,435	894,272	2,203	2,940	296,328	338,679	143,303	102,173	1,446,269	1,338,064

(1) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

	Banques Populaires		Caisses d'Epargne		SEF		Payments		Insurance		Other networks		Retail Banking	
<i>in millions of euros</i>	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019
Segment assets	378,163	327,917	459,109	412,669	32,707	30,990	402	363	112,223	103,920	21,831	18,413	1,004,435	894,272
Segment liabilities	378,163	327,917	459,109	412,669	32,707	30,990	402	363	112,223	103,920	21,831	18,413	1,004,435	894,272

12.1.3 SEGMENT REPORTING BY GEOGRAPHIC REGION

The geographic analysis of segment assets and results is based on the location where business activities are recognized.

Net banking income

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
France	18,434	18,492
Rest of Europe	1,132	1,876
North America	2,251	2,678
Rest of world	722	1,259
TOTAL	22,540	24,305

Note: the net banking income by geography for 2020 and 2019 is presented without restatement for Coface's contribution and the change in re-invoicing for central services.

Total segment assets

<i>in millions of euros</i>	12/31/2020	12/31/2019
France	1,334,747	1,213,704
Rest of Europe	28,881	30,759
North America	44,443	60,060
Rest of world	38,199	33,541
TOTAL	1,446,269	1,338,064

12.2 INFORMATION ON LEASES

12.2.1 LEASES AS LESSOR

Accounting principles

Leases are analyzed to determine whether in substance and economic reality they are operating leases or finance leases.

Finance leases

A finance lease is a lease that transfers to the lessee most of the risks and rewards incidental to ownership of an asset.

IFRS 16 gives five examples of situations that (individually or collectively) lead to a lease being classified as a finance lease:

- the lease transfers ownership of the asset to the lessee by the end of the lease term;
- the lease provides the lessee with the option to purchase the asset at a price that is expected to be sufficiently below the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- the lease term covers most of the economic life of the asset even if there is no transfer of ownership;
- at the inception of the lease, the present value of lease payments amounts to at least virtually all of the fair value of the leased asset;
- the leased assets are of such a specialized nature that only the lessee can use them without major modifications.

IFRS 16 also describes three indicators that may also individually or collectively lead to a lease being classified as a finance lease:

- if the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the change in the fair value of the residual value accrue to the lessee;
- the lessee has the ability to extend the lease at a rent that is substantially lower than the market rent.

At the start of the contract, assets under finance leases are recorded in the lessor's balance sheet in the form of a receivable equal to the net investment in the lease contract. The net investment corresponds to the amount of lease payments receivable from the lessee, discounted at the interest rate implicit in the lease plus any unguaranteed

residual value of the asset accruing to the lessor. More specifically, the lease payments used to calculate the net investment include fixed payments less any lease incentives payable and variable payments that depend on an index or rate.

IFRS 16 requires unguaranteed residual values to be reviewed on a regular basis. A reduction in the estimated unguaranteed residual value modifies the income allocation over the lease term. In this case, a new payment schedule is drawn up and a charge is recorded to adjust the amount of financial income already recorded.

Any impairment recorded for counterparty risk on receivables in respect of finance leases is calculated in accordance with IFRS 9 using the same method as for financial assets at amortized cost (Note 5.5). This impairment is recorded on the income statement under "Cost of credit risk".

Finance lease income is considered to be interest and is recognized in the income statement under "Interest and similar income". This income is recognized using the interest rate implicit in the lease, which reflects a constant periodic rate of return on the lessor's net investment. The rate of return implicit in the lease is the discount rate that makes the following two items equal:

- the net investment;
- and the initial value of the asset (the fair value at the inception of the lease, plus any direct initial costs comprising expenses incurred specifically by the lessor to set up the lease).

Operating leases

A lease which is not considered to be a finance lease is classified as an operating lease.

Assets provided under operating leases are shown in the balance sheet under property, plant and equipment or intangible assets in the case of equipment leases, and investment property in the case of property leases. Lease income from operating leases is recognized in the income statement on a straight-line basis over the lease term, under "Income or expenses from other activities".

Schedule of finance lease receivables

<i>in millions of euros</i>	12/31/2020	12/31/2019
FINANCE LEASES		
Non-discounted lease payments (amount of gross investments)	19,067	19,648
< 1 year	4,415	4,353
1-5 years	10,334	10,266
> 5 years	4,319	5,029
Discounted lease payments (amount of net investments)	17,079	17,610
< 1 year	4,176	4,128
1-5 years	9,383	9,429
> 5 years	3,520	4,053
Financial income not received	1,989	2,039
OPERATING LEASES	373	449
< 1 year	74	91
1-5 years	205	227
> 5 years	94	131

12.2.2 LEASES AS LESSEE

Accounting principles

IFRS 16 applies to contracts that, irrespective of their legal form, meet the definition of a lease as laid down by the standard. The standard requires the identification of an asset and that the lessee controls the right to use this asset for a period of time. Control is established if the lessee holds the following two rights throughout the period of use:

- the right to obtain almost all of the economic benefits arising from use of the asset;
- the right to decide how the asset is used.

The existence of an identified asset requires that the lessor has no substantive rights to substitute alternative assets, with this requirement being assessed according to facts and circumstances in place at the start of the contract. If the lessor can freely substitute the leased asset, the contract becomes a non-lease contract whose purpose is to provide capacity rather than an asset.

The asset can be comprised of a portion of a larger asset, such as a floor within a building. However, a portion of an asset that is not physically distinct within a grouping without a pre-determined location is not an identified asset.

With certain exceptions, lessees are required under IFRS 16 to record leases in the balance sheet as a right-of-use asset under "Property, plant and equipment" or "Investment property", and as lease liabilities under "Other liabilities".

On the date of initial recognition, no deferred tax is reported if the value of the asset is equal to the value of the liability. Deferred tax is recorded for subsequent net temporary differences arising from changes in amounts recognized as right-of-use assets and lease liabilities.

At the commencement date, the lessee measures the lease liability at the present value of the lease payments that are not paid at that date.

These payments include fixed lease payments and in-substance fixed lease payments, variable lease payments calculated on an index or a rate calculated using the latest

index or rate in force, any residual value guarantees and, where appropriate, any amount to be paid to the lessor under options that are reasonably certain to be exercised.

Lease payments used to determine the lease liability exclude variable payments that are not based on an index or a rate, taxes such as VAT, whether recoverable or not, and the housing tax.

Right-of-use is recognized as an asset on the commencement date of the lease for an amount equal to the lease liability on that date, adjusted for any payments made to the lessor at or before that date and not taken into account for the measurement of the lease liability, less any lease incentives received. If appropriate, this amount is adjusted for initial direct costs incurred by the lessee and an estimate of costs to be incurred in dismantling or restoring the asset if required by the terms and conditions of the lease, as long as the outflow of cash is probable and can be determined in a reliable manner.

The right-of-use asset is amortized on a straight-line basis and the lease liability is calculated on an actuarial basis over the term of the lease using the lessees' incremental borrowing rate mid-way through the contract.

The amount of lease liabilities is subsequently readjusted to take into account variations in the indices or rates to which the leases are indexed. As this adjustment reflects the right of use, it has no impact on the income statement.

For entities that are part of the financial solidarity mechanism that centralize their funding with the Group Treasury, the rate is calculated at Group level and adjusted, as applicable, to the currency applicable to the lessee.

The lease term is the non-cancellable period for which a lessee has the right to use an underlying asset, together with the periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option; and the periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option.

For French "3/6/9" commercial leases, the term used is usually nine years. The reasonable certainty of whether the options relating to the lease term will be exercised is assessed by considering Group entities' real estate management strategy.

At the end of the lease, the contract is no longer enforceable and the lessee and the lessor each has the right to terminate the lease without permission from the other party with no more than an insignificant penalty.

The term of leases that are not extended or canceled at the end of the term (leases with automatic renewal) is determined

by expert appraisal and, in the absence of specific information, assigned a reasonable term of three years.

For leases recognized in the balance sheet, the expense relating to the lease liability is reported as an interest expense under net banking income while the depreciation expense on the right-of-use asset is recognized as a depreciation expense under gross operating income.

Lease contracts not recognized in the balance sheet and variable payments not included in lease liabilities are recorded as an expense for the period under operating expenses.

Impact of lease contracts on the income statement – lessee

in millions of euros

	12/31/2020	12/31/2019
EXPENSES FROM LEASES	(553)	(524)
Interest expenses on lease liabilities	(17)	(25)
Depreciation of right-of-use assets ⁽²⁾	(470)	(395)
Variable lease expenses not included in measurement of lease liabilities	(34)	(35)
Expenses on short-term leases ⁽¹⁾⁽²⁾	(26)	(62)
Expenses on underlying assets of low value ⁽¹⁾	(6)	(6)
INCOME FROM SUB-LEASING/OPERATING LEASES	30	14

(1) Related to leases not recognized in the balance sheet.

(2) The application of the IFRS 16 decision in 2019 would have resulted in the recognition of an amount of -€54m on the line "Depreciation and amortization for right-of-use assets" instead of "Expenses on short-term leases".

When the Group sub-lets all or part of an asset it leases, the sub-letting contract is analyzed, in substance, using the same approach as that applied by lessors, separating operating leases from finance leases.

Income on these contracts is presented using the same approach as lessors: as income from other activities for operating leases and as interest income for finance leases.

Schedule of lease liabilities

in millions of euros

	12/31/2020	12/31/2019
Amounts of non-discounted future payments	1,711	1,845
< 1 year	411	396
1-5 years	862	997
> 5 years	438	452

Commitments on leases not yet recognized in the balance sheet

In accordance with IFRS 16, future minimum payments relating to leases to which the Group is committed but whose underlying assets have not yet been made available are not recognized on the balance sheet prior to their commencement date. The following table shows the minimum payments expected on these contracts.

in millions of euros

	12/31/2020	12/31/2019
Amounts of non-discounted future payments	362	382
< 1 year	0	3
1-5 years	105	65
> 5 years	257	314

12.3 RELATED-PARTY TRANSACTIONS

For Groupe BPCE, related parties are considered to be all consolidated companies, including companies carried under the equity method, and the Group's key management personnel.

The Social Housing Companies in which the Group is the sole major shareholder are also covered.

12.3.1 TRANSACTIONS WITH CONSOLIDATED COMPANIES

All intercompany transactions carried out during the period and balances outstanding at the end of the period with fully consolidated companies are eliminated in full on consolidation.

The statement below only provides data on intercompany transactions concerning:

- companies over which the Group exercises joint control (joint operations) in respect of the non-eliminated portion: no significant transactions were identified in this category;
- entities over which the Group exercises significant influence and which are equity-accounted (associates). The significant transactions that have been identified were carried out with CNP Assurances group:
 - under a sales agreement, the Group received commission income amounting to €1,039 million in 2020 (€1,100 million in 2019),
 - for the management of the Group's pension plans, reimbursement rights of €476 million were recorded to cover post-employment benefits (see Note 8.2.2),
 - under a partnership agreement that took effect on January 1, 2016, a cash deposit of €11 billion was recorded under "Loans and receivables due from customers" (see Note 9.1.1.4). This cash deposit is backed by technical reserves recognized for an identical amount under liabilities in the balance sheet representing commitments to insured parties. Insurance expenses and income relating to reinsured policies are recorded as "Income and expenses from other activities" (see Note 4.6),
 - a list of fully consolidated subsidiaries is presented in Note 13, "Scope of consolidation".

12.3.2 TRANSACTIONS WITH COMPANY DIRECTORS

The Group's company directors are the members of the Management Board and Supervisory Board of BPCE. The short-term benefits, post-employment benefits, long-term benefits and termination benefits of BPCE's company directors are described in the "Pay, benefits in kind, loans, guarantees and attendance fees received by BPCE company directors" section of Chapter 3 of the registration document, on Corporate Governance.

Short-term employee benefits

Short-term benefits paid out to the Group's company directors amounted to €7 million in 2020 (vs. €7 million in 2019).

These include remuneration, directors' attendance fees and benefits paid to members of the Management Board and Supervisory Board.

Post-employment benefit commitments, long-term benefits and termination benefits

Post-employment benefit commitments, long-term benefits and termination benefits of BPCE's company directors are described in the "Rules and principles governing the determination of pay and benefits" section in Chapter 3 of the registration document on Corporate Governance. The amount provisioned by BPCE SA group in respect of retirement bonuses came to €3 million at December 31, 2020 (€3 million at December 31, 2019).

12.3.3 RELATIONS WITH SOCIAL HOUSING COMPANIES

Groupe BPCE is a longstanding partner in the HLM social housing movement in France and a key player in the social housing production process. The Group acts as an operator (the leading privately-owned bank involved in the construction of social housing which it finances in particular through Livret A passbook savings account deposits) and is one of the main distributors of subsidized loans and intermediary rental loans for the construction of rental housing for low-income families. The Group is also the sole major shareholder in certain social housing companies.

In view of the economic substance of the Group's dealings with the social housing sector, where organizations are subject to specific regulations, some social housing companies have been classified as related parties.

Banking transactions with social housing companies

<i>in millions of euros</i>	12/31/2020	12/31/2019
Loans outstanding	2,011	1,860
Commitments given	617	377
Deposit account balances	922	774
Outstanding financial investments (UCITS and securities)	38	42

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Interest income from loans	49	49
Interest expense on bank deposits	7	9

12.4 PARTNERSHIPS AND ASSOCIATES

12.4.1 INVESTMENTS IN ASSOCIATES

12.4.1.1 Partnerships and other associates

The Group's main investments in joint ventures and associates are as follows:

<i>in millions of euros</i>	12/31/2020	12/31/2019
CNP Assurances (group) ⁽¹⁾	2,938	2,731
EDF Investments Group (EIG)	521	520
Coface ⁽²⁾	158	///
Banque Calédonienne d'Investissement	168	163
Socram Banque	40	49
Other	611	639
Financial sector companies	4,436	4,102
Other	150	145
Non-financial companies	150	145
TOTAL INVESTMENTS IN ASSOCIATES	4,586	4,247

(1) Application of IFRS 9 (IFRS 4 amendment) postponed to January 1, 2022 (see Note 9 on Insurance activities).

(2) Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3).

12.4.1.2 Financial data for the main joint arrangements and associates

Summarized financial data for material joint ventures and/or companies under notable influence are as follows (based on the last available data published by the entities in question):

<i>in millions of euros</i>	Associates				
	CNP Assurances (group)	Socram Banque	Coface ⁽²⁾	EDF Investment Group (EIG)	Banque Calédonienne d'Investissement
DIVIDENDS RECEIVED				11	
MAIN AGGREGATES					
Total assets	442,540	1,608	7,553	6,969	3,173
Total liabilities	421,860	1,376	5,554	41	2,837
Income statement					
Operating income or net banking income	2,307	3	128	202	91
Income tax	(689)	(1)	(45)	(50)	(15)
Net income	1,618	2	83	152	17
CARRYING VALUE OF INVESTMENTS IN ASSOCIATES					
Equity of associates ⁽¹⁾	20,680	232	1,701	6,927	337
Percentage of ownership	16.11%	33.42%	12.70%	7.54%	49.90%
VALUE OF INVESTMENTS IN ASSOCIATES	2,938	40	158	521	168
O/w goodwill					2
MARKET VALUE OF INVESTMENTS IN ASSOCIATES	1,458	///	158	521	///

(1) The equity used by Groupe BPCE to consolidate CNP Assurances (group) via the equity method is subject to restatement (deeply subordinated notes).

(2) Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3). In addition, Coface's equity value was written down by €57 million.

Groupe BPCE has no interest in any joint venture that has a material impact on the consolidated financial statements.

Summarized financial data for non-material joint ventures and companies under significant influence at December 31, 2020 is as follows:

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Value of investments in associates	761	784
Total amount of share in:		
Net income	1	37
Gains and losses recognized directly in other comprehensive income	(1)	(9)
COMPREHENSIVE INCOME	(1)	28

12.4.1.3 Nature and scope of major restrictions

Groupe BPCE has not been faced with any major restrictions relating to interests held in associates and joint ventures.

12.4.2 SHARE IN NET INCOME OF ASSOCIATES

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
CNP Assurances (group)	217	227
EDF Investment Group	10	10
Coface ⁽¹⁾⁽²⁾	(47)	///
Socram Banque ⁽³⁾	(9)	(25)
Banque Calédonienne d'Investissement	9	15
Other ⁽⁴⁾	(3)	33
Financial sector companies	176	260
Other	4	5
Non-financial companies	4	5
SHARE IN NET INCOME OF ASSOCIATES	180	265

(1) Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3).

(2) Net income shown for Coface includes the impairment of -€57 million representing the Group's equity value.

(3) Net income shown for Socram Banque includes the impairment of -€10 million representing the Group's equity value.

(4) Net income from other entities includes an impairment of -€16 million on Adir.

12.4.3 IMPAIRMENT TESTS ON ASSOCIATES

At December 31, 2020, CNP Assurances group was consolidated using the equity method based on the Group's 16.11% holding.

Value in use applied when testing for impairment is based mainly on Market Consistent Embedded Value (MCEV), *i.e.* the sum of restated net asset value, present value of future profits on existing insurance policies, less cost of capital, without taking new business into account. BPCE's share is based on the latest available MCEV published by CNP at the reporting date.

At December 31, 2020, this test led to no impairment of CNP's equity accounted value.

12.5 INTERESTS IN NON-CONSOLIDATED STRUCTURED ENTITIES

12.5.1 NATURE OF INTERESTS IN NON-CONSOLIDATED STRUCTURED ENTITIES

A non-consolidated structured entity is a structured entity that is not controlled and is therefore not accounted for using the full consolidation method. As a result, the interests held in a joint venture or associate which is classed as a structured entity falls within the scope of this note.

The same is true of controlled structured entities that are not consolidated due to holding threshold reasons.

This includes all structured entities in which Groupe BPCE holds an interest and intervenes in one or more of the following capacities:

- originator/structurer/arranger;
- placement agent;
- manager;
- in any other capacity that has a major impact on the structuring or management of the transaction (*e.g.* provision of financing, guarantees or structuring derivatives, tax investor, major investor, etc.).

An interest in an entity corresponds to all types of relationships, contractual or not, that expose Groupe BPCE to a risk of fluctuations in returns relating to the entity's performance. Interests in another entity may be evidenced by, among others, the holding of equity instruments or debt securities, as well as, by other types of relationships, such as financing, short-term credit facilities, credit enhancement, the provision of guarantees or structured derivatives.

As a result, the following are not included in the scope of this note:

- structured entities which are associated with Groupe BPCE through a current transaction alone. This corresponds to an unstructured financial instrument which generally does not have a material impact on the variability of the structured entity's returns and which could be concluded by Groupe BPCE with structured entities or classically governed entities alike. The main kinds of current transactions are:

- plain vanilla fixed income, foreign exchange and other underlying derivatives, as well as securities lending/borrowing and repurchase transactions,
- plain vanilla guarantees and financing granted to family non-trading real estate companies (SCI) or to certain holdings;
- external structured entities in which Groupe BPCE simply acts as an investor.

These consist of:

- investments in external UCITS that the Group does not manage, except for those in which the Group owns almost all the shares;
- a limited scope of interests held in securitization vehicles (exposures on these funds are included in the information published in Chapter 6 “Risk Management – Securitizations”);
- interests held in external real estate funds or private equity funds in which Groupe BPCE acts as a simple minority investor.

The structured entities with which the Group has a relationship can be divided into four categories: entities involved in asset management, securitization vehicles, entities created for structured financing purposes, and entities created for other types of transactions.

Asset Management

Financial Asset Management (also known as portfolio management) consists of managing equity or funds entrusted by investors by investing in shares, bonds, cash SICAV or hedge funds, etc.

The Asset Management line of business which uses structured entities is represented by collective investment management or fund management. More specifically, it encompasses collective investment vehicles within the meaning of the French Monetary and Financial Code (other than securitization structures) as well as equivalent bodies governed by foreign law. These notably include entities such as UCITS, real estate funds and private equity funds.

Securitization

Securitization transactions are generally established as structured entities in which assets or derivatives representing credit risk are isolated.

These entities serve to diversify the underlying credit risks and to split them into various levels of subordination (tranches) with a view, generally, to sell them to investors seeking a certain level of return, according to the degree of risk accepted.

These vehicles' assets and the liabilities that they issue are rated by the rating agencies, which monitor that the level of risk associated with each tranche of risk sold is commensurate with the attributed rating.

The kind of securitization transactions used and which require the intervention of structured entities are as follows:

- transactions where the Group (or a subsidiary) sells on its own behalf to a dedicated vehicle, in cash or synthetic form, the credit risk associated with one of its asset portfolios;
- securitization transactions performed on behalf of third parties. These transactions consist of housing in a dedicated structure (generally a Special Purpose Entity (SPE)) the assets belonging to another company. The SPE issues shares that can, in certain cases, be subscribed for directly by investors, or subscribed for by a multi-seller conduit which refinances the acquisition of these shares through the issue of short-term notes (commercial paper).

Structured financing (of assets)

Structured financing covers the range of activities and products set up to provide financing to economic players while reducing risks through the use of complex structures. These include the financing of movable assets (pertaining to aeronautic, marine or terrestrial transport, telecommunications, etc.), real estate assets and the acquisition of targeted companies (LBO financing).

The Group may need to create a structured entity that houses a specific financing transaction on behalf of a customer. This is a contractual and structural organization. The particularities of these types of financing are related to risk management, with the use of notions such as limited recourse or waivers of recourse, standard and/or structural subordination and the use of dedicated legal vehicles used in particular to carry a single-contract finance lease representing the financing granted.

Other activities

This comprises all remaining activities.

12.5.2 NATURE OF RISKS ASSOCIATED WITH INTERESTS HELD IN NON-CONSOLIDATED STRUCTURED ENTITIES

Assets and liabilities recognized in the Group's various balance sheet accounts relating to interests in non-consolidated structured entities contribute to determining the risks associated with these entities.

The values recorded under the balance sheet assets, along with financing and guarantee commitments given less guarantee commitments received and provisions recorded in liabilities, are used to assess the maximum exposure to risk of losses.

The “notional amounts” line corresponds to the notional amount of options sold to structured entities.

The data are presented below, aggregated based on their activity classification.

At December 31, 2020

Excluding insurance business investments <i>in millions of euros</i>	Securitization	Asset Management	Structured Financing	Other activities
Financial assets at fair value through profit or loss	217	3,018	1,384	654
Trading derivatives	112	42	529	517
Trading financial instruments (excluding derivatives)	48	29	640	63
Financial assets at fair value through profit or loss – Non-SPPI	50	2,831	209	24
Financial instruments designated at fair value through profit or loss		28		
Equity instruments not held for trading	6	88	6	51
Financial assets at fair value through other comprehensive income	9	164	6	279
Financial assets at amortized cost	6,255	1,148	12,895	1,296
Other assets	15	37	19	8
TOTAL ASSETS	6,496	4,367	14,305	2,237
Financial liabilities at fair value through profit or loss	10	82	140	249
Provisions	5	1	26	7
TOTAL LIABILITIES	15	83	166	256
Loan commitments given	7,089	302	2,346	572
Guarantee commitments given⁽¹⁾	161	243	3,557	109
Guarantees received	233	9	4,399	211
Notional amount of derivatives	1,200		6,738	281
MAXIMUM LOSS EXPOSURE	14,708	4,901	22,521	2,982

(1) For the Asset Management activity, Natixis guarantees the capital and/or returns on units in certain UCITS. These guarantees were recognized as derivatives at 12/31/2020 (see Note 6.2 Guarantee commitments).

At December 31, 2019

Excluding insurance business investments <i>in millions of euros</i>	Securitization	Asset Management	Structured Financing	Other activities
Financial assets at fair value through profit or loss	714	2,784	1,292	696
Trading derivatives	131	109	370	456
Trading financial instruments (excluding derivatives)	497	445	689	128
Financial assets at fair value through profit or loss – Non-SPPI	80	1,963	216	13
Financial instruments designated at fair value through profit or loss		93		
Equity instruments not held for trading	6	175	17	100
Financial assets at fair value through other comprehensive income	10	156	20	223
Financial assets at amortized cost	6,384	1,389	13,195	1,105
Other assets	18	43	7	8
TOTAL ASSETS	7,126	4,373	14,514	2,032
Financial liabilities at fair value through profit or loss	54	90	903	182
Provisions	2	2	43	6
TOTAL LIABILITIES	56	92	946	189
Loan commitments given	5,554	247	3,304	526
Guarantee commitments given	225	255	3,814	54
Guarantees received	243	14	4,232	86
Notional amount of derivatives	1,190		5,226	377
MAXIMUM LOSS EXPOSURE	13,849	4,860	22,583	2,897

At December 31, 2020**Insurance business investments**
in millions of euros

	Securitization	Asset Management	Other activities
Financial assets at fair value through profit or loss		14,353	
Trading financial instruments (excluding derivatives)		7,046	
Financial instruments designated at fair value through profit or loss		7,307	
Available-for-sale financial assets	498	4,975	
TOTAL ASSETS	498	19,328	
TOTAL LIABILITIES			
Loan commitments given	55	510	
MAXIMUM LOSS EXPOSURE	553	19,838	

At December 31, 2019**Insurance business investments**
in millions of euros

	Securitization	Asset Management	Other activities
Financial assets at fair value through profit or loss		9,820	
Trading financial instruments (excluding derivatives)		3,428	
Financial instruments designated at fair value through profit or loss		6,392	
Available-for-sale financial assets	557	3,809	
TOTAL ASSETS	557	13,630	
TOTAL LIABILITIES			
Loan commitments given	53	297	
MAXIMUM LOSS EXPOSURE	611	13,926	

At December 31, 2020*in millions of euros*

	Securitization	Asset Management	Structured Financing	Other activities
SIZE OF STRUCTURED ENTITIES	80,039	426,060	87,416	2,976

At December 31, 2019*in millions of euros*

	Securitization	Asset Management	Structured Financing	Other activities
SIZE OF STRUCTURED ENTITIES	66,998	394,309	90,392	6,701

Securitization transactions in which Groupe BPCE is simply an investor are listed in Chapter 6 "Risk Management – Securitizations".

The size criterion used varies according to the types of structured entities:

- securitization, the total amount of issues recorded in the entities' liabilities;
- Asset Management: the net assets of collective investment vehicles (other than securitization);
- structured financing: the total amount of financing outstandings remaining due by the entities;
- other activities, total assets.

12.5.3 INCOME AND CARRYING AMOUNT FROM ASSETS TRANSFERRED TO SPONSORED NON-CONSOLIDATED STRUCTURED ENTITIES

A structured entity is sponsored by a Group entity when the two following indicators are both satisfied:

- it is involved in the creation and structuring of the structured entity;
- it contributes to the success of the entity by transferring assets to it or by managing relevant activities.

When the Group entity's role is limited to one of advisor, arranger, custodian or placement agent, the structured entity is not considered to be sponsored.

Groupe BPCE plays the role of sponsor for:

- UCITS initiated by an investment management company belonging to Groupe BPCE and in which Groupe BPCE holds no investment or any other interest. Reported income includes management and incentive fees charged by Groupe BPCE entities, as well as profit or loss from ordinary business with these funds;
- a US activity involving the origination and disposal of portfolios of home loans to securitization vehicles created by the Natixis group with third parties and in which Natixis group holds no interests. Reported income includes structuring fees as well as gains or losses on the disposal of receivables.

For the non-consolidated structured entities that the Group sponsors without holding any interests, the impact on the financial statements is presented below:

Fiscal year 2020

<i>in millions of euros</i>	Securitization	Asset Management
Net interest income	18	126
Net interest income	3	
Net fee and commission income	1	139
Net gains or losses on financial instruments at fair value through profit or loss	14	(13)
Carrying amount of assets transferred to the entity during the fiscal year	252	

Fiscal year 2019

<i>in millions of euros</i>	Securitization	Asset Management
Income from entities	32	185
Net interest income	1	
Net fee and commission income	(1)	142
Net gains or losses on financial instruments at fair value through profit or loss	31	43
Carrying amount of assets transferred to the entity during the fiscal year	948	

12.6 LOCATIONS BY COUNTRY

12.6.1 NET BANKING INCOME AND HEADCOUNT BY COUNTRY

Information on employees by category is presented in Chapter 2, "Non-financial performance disclosures."

	Fiscal year 2020			FTE headcount ⁽³⁾ 12/31/2020
	Net banking income <i>(in millions of euros)</i>	Profit or loss before tax <i>(in millions of euros)⁽¹⁾</i>	Income tax <i>(in millions of euros)⁽²⁾</i>	
European Union Member States				
Germany	111	(81)	(16)	132
Belgium	29	20	(6)	13
Denmark	10	4	(1)	
Spain	114	44	(11)	394
France ⁽⁴⁾	18,434	2,451	(917)	88,294
United Kingdom	433	172	(24)	628
Hungary	7			116
Ireland	7	(22)	8	
Italy	108	36	(15)	126
Luxembourg	125	39	(13)	316
Malta	30	25	(1)	29
Netherlands	1			10
Poland	18	(6)	(1)	417
Portugal	75	30	(7)	1,152
Czech Republic				2
Romania	3	1		132
Sweden				1
Other European Countries				
Jersey	0	(0)	(0)	
Monaco	9	(12)	3	43
Russia	9	3	(1)	33
Solomon Islands	4			68
Switzerland	39	9	(3)	124
Ukraine				12

	Fiscal year 2020			FTE headcount ⁽³⁾ 12/31/2020
	Net banking income (in millions of euros)	Profit or loss before tax (in millions of euros) ⁽¹⁾	Income tax (in millions of euros) ⁽²⁾	
Africa and Mediterranean Basin				
Algeria	57	26	(6)	750
Saudi Arabia				3
Djibouti	21	1		240
United Arab Emirates	31	(25)		48
Morocco	3	2		4
Tunisia	27	(3)	(4)	435
North & South America				
Brazil				11
Canada	8	7		5
United States	2,243	327	(59)	2,686
Cayman Islands	0	0	0	
Mexico				7
Uruguay	1			2
Asia and Oceania				
Australia	45	20	(7)	102
Cambodia	12	(2)		238
China	19	2	(1)	73
South Korea	2	1		3
Fiji	10	(1)		143
Hong Kong	192	18	26	455
India				4
Japan	49	16	(3)	101
Laos	8	1		164
Malaysia	3	2		4
New Caledonia	66	15	(4)	359
French Polynesia	57	3	1	284
Singapore	93	(143)	17	232
Taiwan	7	2		18
Thailand		1		184
Vanuatu	13	2		139
Vietnam	3			54
GROUP TOTAL	22,540	2,988	(1,045)	98,790

(1) Corresponding to profit or loss before income tax and before taxes other than on income recognized as operating income.

(2) Corresponding to tax payable and deferred tax, excluding taxes other than on income recognized as operating income.

(3) Number of FTE employees working at the reporting date.

(4) Including Martinique, Guadeloupe, Reunion and Saint-Pierre-et-Miquelon.

12.6.2 ENTITY LOCATIONS BY COUNTRY

Country of operation	Business	Country of operation	Business
ALGERIA		PRAMEX INTERNATIONAL CO LTD – SHANGHAI	International development and consulting services
NATIXIS ALGÉRIE	Credit institution	VERMILION (BEIJING) ADVISORY COMPANY LIMITED	M&A advisory services
GERMANY		SOUTH KOREA	
AEW INVEST GmbH	Distribution	NATIXIS INVESTMENT MANAGERS KOREA LIMITED	Distribution
FIDOR BANK AG	Digital loan institution	DENMARK	
NATIXIS INVESTMENT MANAGERS SA, ZWEIGNIEDERLAASUNG DEUTSCHLAND	Distribution	MIDT FACTORING A/S	Factoring
NATIXIS PFANDBRIEFBANK AG	Credit institution	DJIBOUTI	
NATIXIS ZWEIGNIEDERLASSUNG DEUTSCHLAND	Financial institution	BCI MER ROUGE	Credit institution
ONEY GmbH	Services, commercial development consulting	UNITED ARAB EMIRATES	
PRAMEX INTERNATIONAL GmbH – FRANKFURT	International development and consulting	NATIXIS DUBAI	Financial institution
SAUDI ARABIA		NATIXIS INVESTMENT MANAGERS MIDDLE EAST	Distribution
SAUDI ARABIA INVESTMENT COMPANY	Financial institution	SPAIN	
AUSTRALIA		AEW EUROPE LLP (BRANCH IN SPAIN)	Distribution
NATIXIS AUSTRALIA PTY LTD	Financial institution	BANCO PRIMUS Spain	Credit institution
INVESTORS MUTUAL LIMITED	Asset Management		Non-real estate and real estate leasing
NATIXIS INVESTMENT MANAGERS AUSTRALIA PTY LIMITED	Distribution	BPCE LEASE Spain branch	
AEW ASIA LIMITED AUSTRALIAN BRANCH	Asset Management	ES ONEY SPAIN	Brokerage
AZURE CAPITAL HOLDINGS PTY LTD	M&A advisory services	NATIXIS INVESTMENT MANAGERS, BRANCH IN SPAIN	Distribution
	Fund management and Equity capital markets	NATIXIS MADRID	Financial institution
AZURE CAPITAL SECURITIES PTY LTD		NATIXIS PARTNERS IBERIA, SA	M&A advisory services
THE AZURE CAPITAL TRUST	Holding company	PRAMEX INTERNATIONAL SA – MADRID	International development and consulting services
AZURE CAPITAL LIMITED	Holding company	UNITED STATES	
BELGIUM		AEW CAPITAL MANAGEMENT, INC.	Asset Management
CAISSE D'ÉPARGNE HAUTS DE FRANCE Belgium branch	Credit institution	AEW CAPITAL MANAGEMENT, LP	Asset Management
CRÉDIT FONCIER DE FRANCE Belgium branch	Credit institution	AEW PARTNERS REAL ESTATE FUND IX, LLC	Asset Management
DALENYS SA	Holding company	AEW PARTNERS REAL ESTATE FUND VIII, LLC	Asset Management
EPBF	Payment institution	AEW PARTNERS V, INC.	Asset Management
IRR INVEST	Private equity	AEW PARTNERS VI, INC.	Asset Management
NATIXIS BELGIQUE INVESTISSEMENTS	Investment company	AEW PARTNERS VII, INC.	Asset Management
NATIXIS INVESTMENT MANAGERS SA, BELGIAN BRANCH	Distribution	AEW REAL ESTATE ADVISORS, INC.	Asset Management
NJR INVEST	Private equity	AEW SENIOR HOUSING INVESTORS II INC	Asset Management
BRAZIL		AEW SENIOR HOUSING INVESTORS III LLC	Asset Management
PRAMEX INTERNATIONAL DO BRAZIL CONSULTARIA LTDA – SAO PAULO	International development and consulting services	AEW SENIOR HOUSING INVESTORS INC	Asset Management
CAMBODIA		AEW SENIOR HOUSING INVESTORS IV LLC	Asset Management
BRED BANK CAMBODIA PLC	Financial company	ALPHASIMPLEX GROUP LLC	Asset Management
CANADA		AURORA INVESTMENT MANAGEMENT LLC	Asset Management
NATIXIS CANADA	Financial institution	BLEACHERS FINANCE	Securitization vehicle
NATIXIS IM CANADA HOLDINGS LTD	Holding company	CASPIAN CAPITAL MANAGEMENT, LLC	Asset Management
CHINA		CM REO HOLDINGS TRUST	Secondary markets finance
BRD CHINA LTD	Private equity	CM REO TRUST	Secondary markets finance
CN Rep office China	Brokerage	EPI SLP LLC	Asset Management
NATIXIS BEIJING	Financial institution	EPI SO SLP LLC	Asset Management
NATIXIS SHANGHAI	Financial institution	FLEXSTONE PARTNERS LLC (FORMERLY CASPIAN PRIVATE EQUITY, LLC)	Asset Management

Country of operation	Business
GATEWAY INVESTMENT ADVISERS, LLC	Asset Management
HARRIS ALTERNATIVES HOLDING INC	Holding company
HARRIS ASSOCIATES LP	Asset Management
HARRIS ASSOCIATES SECURITIES, LP	Distribution
HARRIS ASSOCIATES, INC.	Asset Management
LOOMIS SAYLES & COMPANY, INC.	Asset Management
LOOMIS SAYLES & COMPANY, LP	Asset Management
LOOMIS SAYLES ALPHA, LLC.	Asset Management
LOOMIS SAYLES DISTRIBUTORS, INC.	Distribution
LOOMIS SAYLES DISTRIBUTORS, LP	Distribution
LOOMIS SAYLES OPERATING SERVICES, LLC	Asset Management
LOOMIS SAYLES TRUST COMPANY, LLC	Asset Management
MIROVA US LLC	Asset Management
MSR TRUST	Real estate finance
NATIXIS ADVISORS, LP	Distribution
NATIXIS ASG HOLDINGS, INC	Distribution
NATIXIS DISTRIBUTION CORPORATION	Distribution
NATIXIS DISTRIBUTION, LP	Distribution
NATIXIS FINANCIAL PRODUCTS LLC	Derivatives transactions
NATIXIS FUNDING CORP	Other financial company
NATIXIS INVESTMENT MANAGERS INTERNATIONAL, LLC	Distribution
NATIXIS INVESTMENT MANAGERS US HOLDINGS, LLC (EX NATIXIS US HOLDINGS INC)	Holding company
NATIXIS INVESTMENT MANAGERS, LLC (EX NATIXIS INVESTMENT MANAGERS, LP)	Holding company
NATIXIS NEW YORK	Financial institution
NATIXIS NORTH AMERICA LLC	Holding company
NATIXIS REAL ESTATE CAPITAL LLC	Real estate finance
NATIXIS REAL ESTATE HOLDINGS LLC	Real estate finance
NATIXIS SECURITIES AMERICAS LLC	Brokerage
NATIXIS US MTN PROGRAM LLC	Issuing vehicle
OSTRUM AM US LLC (EX NAM US)	Asset Management
PETER J. SOLOMON COMPANY LP	M&A advisory services
PETER J. SOLOMON SECURITIES COMPANY LLC	Brokerage
PRAMEX INTERNATIONAL CORP – NEW YORK	International development and consulting services
SEAPORT STRATEGIC PROPERTY PROGRAM I CO-INVESTORS, LLC	Asset Management
VAUGHAN NELSON INVESTMENT MANAGEMENT, INC.	Asset Management
VAUGHAN NELSON INVESTMENT MANAGEMENT, LP	Asset Management
VERSAILLES	Securitization vehicle
FIJI	
BRED BANK FIJI LTD	Credit institution
FRANCE	
1818 IMMOBILIER	Real estate operations
189 LOCAL SAVINGS COMPANIES (LSCs)	Cooperative shareholders
32 MUTUAL GUARANTEE COMPANIES	Guarantee companies
339 UNITED STATES	Real estate operations
AAA ACTIONS AGRO ALIMENTAIRE	Insurance investment mutual fund

Country of operation	Business
ADOUR SERVICES COMMUNS	Real estate operations
ADRAXTRA CAPITAL	Private equity
AEW CILOGER	Real estate management
AEW SA	Asset Management
AFOPEA	Real estate operations
ALBIANT-IT	IT systems and software consulting
ALLIANCE ENTREPRENDRE	Asset Management
ALLOCATION PILOTEE EQUILIBRE C	Insurance investment mutual fund
ALTER CE (COMITEO)	Online service for central works councils
APOUTICAYRE LOGEMENTS	Real estate operations
ARIES ASSURANCES	Insurance brokerage
BANK BCP SAS	Credit institution
BANQUE DE SAVOIE	Credit institution
BANQUE PALATINE	Credit institution
BANQUE POPULAIRE ALSACE LORRAINE CHAMPAGNE	Credit institution
BANQUE POPULAIRE AQUITAINE CENTRE ATLANTIQUE	Credit institution
BANQUE POPULAIRE AUVERGNE RHÔNE ALPES	Credit institution
BANQUE POPULAIRE BOURGOGNE FRANCHE-COMTÉ	Credit institution
BANQUE POPULAIRE DU NORD	Credit institution
BANQUE POPULAIRE DU SUD	Credit institution
BANQUE POPULAIRE GRAND OUEST	Credit institution
BANQUE POPULAIRE MÉDITERRANÉE	Credit institution
BANQUE POPULAIRE OCCITANE	Credit institution
BANQUE POPULAIRE RIVES DE PARIS	Credit institution
BANQUE POPULAIRE VAL DE FRANCE	Credit institution
BATILEASE	Real estate leasing
BATIMAP	Non-real estate leasing
BATIMUR	Non-real estate leasing
BATIROC BRETAGNE PAYS DE LOIRE	Non-real estate and real estate leasing
BCEF 64	Real estate operations
BDR IMMO 1	Real estate operations
BEAULIEU IMMO	Real estate operations
BIC BRED	Credit institution
BLEU RÉSIDENCE LORMONT	Real estate operations
BORDELONGUE GODEAS	Real estate operations
BP DÉVELOPPEMENT	Private equity
BPA ATOUTS PARTICIPATIONS	Private equity
BPCE ACHATS	Services company
BPCE APS	Service providers
BPCE ASSURANCES	Insurance company
BPCE BAIL	Real estate leasing
BPCE CAR LEASE	Operational vehicle leasing
BPCE ENERGECO	Non-real estate leasing
BPCE EXPERTISE IMMOBILIER (FORMERLY CREDIT FONCIER EXPERTISE)	Real estate expertise
BPCE FACTOR	Factoring
BPCE FINANCEMENT	Consumer finance
BPCE OUTSOURCING AND TECHNOLOGY	IT services
BPCE INTERNATIONAL	Specialized credit institution
BPCE LEASE	Non-real estate leasing

Country of operation	Business
BPCE LEASE IMMO	Real estate leasing
BPCE LEASE RÉUNION	Non-real estate leasing
BPCE MASTER HOME LOANS FCT/BPCE CONSUMER LOANS FCT	French securitization fund (FCT)
BPCE PERSONAL CAR LEASE	Operational vehicle leasing
BPCE PRÉVOYANCE (EX ABP PRÉVOYANCE)	Personal protection insurance
BPCE RELATION ASSURANCES	Services company
BPCE SA	Credit institution
BPCE SERVICES FINANCIERS (EX CSF-GCE)	Services company
BPCE SFH	Funding
BPCE SOLUTIONS CRÉDIT (EX GIE ECUREUIL CRÉDIT)	Services company
BPCE SOLUTIONS IMMOBILIERES (EX CREDIT FONCIER IMMOBILIER)	Real estate operations
BPCE VIE (EX –ABP VIE)	Insurance
BRED BANQUE POPULAIRE	Credit institution
BRED COFILEASE	Non-real estate leasing
BRED GESTION	Credit institution
BRETAGNE PARTICIPATIONS	Private equity
BTP BANQUE	Credit institution
BTP CAPITAL CONSEIL	Financial investment advisory services
BTP CAPITAL INVESTISSEMENT	Private equity
BURODIN	Real estate operations
CAISSE D'EPARGNE AQUITAINE POITOU-CHARENTES	Credit institution
CAISSE D'EPARGNE BRETAGNE PAYS DE LOIRE	Credit institution
CAISSE D'EPARGNE CÔTE D'AZUR	Credit institution
CAISSE D'EPARGNE D'Auvergne ET DU LIMOUSIN	Credit institution
CAISSE D'EPARGNE DE BOURGOGNE FRANCHE-COMTÉ	Credit institution
CAISSE D'EPARGNE DE MIDI-PYRÉNÉES	Credit institution
CAISSE D'EPARGNE GRAND EST EUROPE	Credit institution
CAISSE D'EPARGNE HAUTS DE FRANCE	Credit institution
CAISSE D'EPARGNE ILE-DE-FRANCE	Credit institution
CAISSE D'EPARGNE LANGUEDOC-ROUSSILLON	Credit institution
CAISSE D'EPARGNE LOIRE DRÔME ARDÈCHE	Credit institution
CAISSE D'EPARGNE LOIRE CENTRE	Credit institution
CAISSE D'EPARGNE NORMANDIE	Credit institution
CAISSE D'EPARGNE PROVENCE-ALPES-CORSE	Credit institution
CAISSE D'EPARGNE RHÔNE ALPES	Credit institution
CAISSE SOLIDAIRE	Financial company
CAPITOLE FINANCE	Non-real estate leasing
CASDEN BANQUE POPULAIRE	Credit institution
CE CAPITAL	Holding company
CE DÉVELOPPEMENT	Private equity
CE DÉVELOPPEMENT II	Private equity
CE HOLDING PARTICIPATIONS	Holding company
CEBIM	Holding company
CEPAC FONCIERE	Real estate operations

Country of operation	Business
CEPAC INVESTISSEMENT ET DÉVELOPPEMENT	Private equity
CEPAIM SA	Real estate operations
CFG COMPTOIR FINANCIER DE GARANTIE	Guarantee company
CICOBAIL SA	Real estate leasing
CLICK AND TRUST	Data processing
CO ASSUR CONSEIL ASSURANCE SA (BROKERAGE)	Insurance brokerage advisory
COFEG	Consulting
COFIBRED	Holding company
COFIMAB	Real estate agent
COMPAGNIE DE FINANCEMENT FONCIER	Financial company
COMPAGNIE EUROPÉENNE DE GARANTIES ET DE CAUTIONS	Insurance
CONTANGO TRADING SA	Brokerage company
CRÉDIT COOPÉRATIF	Credit institution
CRÉDIT FONCIER DE FRANCE	Credit institution
CREPONORD	Non-real estate and real estate leasing
CRISTAL IMMO	Real estate operations
DALENYS MARKETING (FORMERLY RENTABILIWEB MARKETING)	Online service
DALENYS PAYMENT	Payment services
DALENYS SERVICES (EX RENTABILIWEB SERVICES)	Financial investment advisory services
DALENYS TECHNOLOGIES (EX RENTABILIWEB TECHNOLOGIES)	Online services
DARIUS CAPITAL CONSEIL	Financial investment advisory services
DNCA FINANCE	Asset Management
DORVAL MANAGEMENT	Asset Management
ECOFI INVESTISSEMENT	Portfolio management
EOLE COLLATERAL	Securitization vehicle
ESFIN GESTION	Portfolio management
ESNI	Securitization company
EURO CAPITAL	Private equity
EUROTERTIA	Real estate operations
EXPANSINVEST	Private equity
FCC ELIDE	French securitization fund (FCT)
FCT LIQUIDITÉ SHORT 1	Securitization vehicle
FCT NA FINANCEMENT DE L'ÉCONOMIE – COMPARTIMENT IMMOCORP II	Insurance investments (Securitization funds)
FCT PUMACC	Consumer credit securitization vehicle
FERIA PAULMY	Real estate operations
FINANCIÈRE DE LA BP OCCITANE	Holding company
FINANCIÈRE IMMOBILIÈRE DERUELLE	Real estate investment
FINANCIÈRE PARTICIPATION BPS	Holding company
FLANDRE INVESTMENT SAS	Credit institution, electronic payment systems, new technologies and holding company
FLEXSTONE PARTNERS SAS	Asset Management
FONCIER PARTICIPATIONS	Holding company
FONCIÈRE BFCA	Real estate development, management, investments
FONCIÈRE D'ÉVREUX	Real estate operations
FONCIÈRE INVEST	Real estate operations

Country of operation	Business
FONCIERE KUPKA	Real estate operations
FONCIÈRE VICTOR HUGO	Holding company
FONDS TULIP	Insurance investments (Securitization funds)
FRUCTIFONCIER	Insurance real estate investments
G IMMO	Real estate operations
G102	Real estate operations
GARIBALDI CAPITAL DÉVELOPPEMENT	Private equity
GARIBALDI PIERRE	Real estate operations
GCE PARTICIPATIONS	Holding company
GEFIRUS SAS	Credit institution, electronic payment systems, new technologies and holding company
GESSINORD	Real estate operations
GIE CE SYNDICATION RISQUES	Guarantee company
GRAMAT BALARD	Real estate operations
GROUPEMENT DE FAIT	Services company
H2O AM EUROPE	Asset Management
HABITAT EN RÉGION SERVICES	Holding company
HIGHLIGHT 92	Real estate operations
I-BP INVESTISSEMENT	Real estate operations
IMMOCARSO SNC	Investment property
IMMOCEAL	Investment property
IN CONFIDENCE INSURANCE SAS	Credit institution, electronic payment systems, new technologies and holding company
INCITY	Real estate operations
INFORMATIQUE BANQUES POPULAIRES	IT services
INGEPAR	Financial investment advisory services
INTER-COOP SA	Real estate leasing
INVESTIMA 77	Holding company
IT-CE	IT services
LABEGE LAKE H1	Real estate operations
LAKOOZ	Payment services
LANGLADE SERVICES	Real estate operations
LANTA PRODUCTION	Real estate operations
L'AUSSONNELLE DE C	Real estate operations
LEASE EXPANSION SA	IT operational leasing
LEVISEO	Real estate operations
MASSENA PARTNERS – BRANCH	Asset manager and investment advisory firm
MIDI COMMERCE	Real estate operations
MIDI FONCIÈRE	Real estate operations
MIDI MIXT	Real estate operations
MIFCOS	Investment property
MIROVA	Management of venture capital mutual funds
MIROVA EUROPE ENVIRONNEMENT C	Insurance investment mutual fund
MIROVA NATURAL CAPITAL LIMITED, – (FRANCE BRANCH) (EX MIROVA-ALTHELIA LIMITED, FRANCE BRANCH)	Asset Management
MONTAUDRAN PLS	Real estate operations
MULTICROISSANCE SAS	Portfolio management
MURACEF	Mutual insurance
MURET ACTIVITÉS	Real estate operations

Country of operation	Business
MV CREDIT FRANCE	Holding company
NALÉA	Securitization vehicle
NAMI INVESTMENT	Insurance real estate investments
NATIXIS ASSURANCES	Insurance company holding company
NATIXIS COFICINÉ	Finance company (audiovisual)
NATIXIS FONCIERE SA (EX SPAFICA)	Real estate investment
NATIXIS FORMATION EPARGNE FINANCIÈRE	Holding company
NATIXIS FUNDING	Market making on secondary debt market
NATIXIS IM INNOVATION (EX AEW CO-INVEST)	Asset & Wealth Management
NATIXIS IMMO DÉVELOPPEMENT	Housing real estate development
NATIXIS IMMO EXPLOITATION	Real estate operations
NATIXIS INNOV	Holding company
NATIXIS INTEREPARGNE	Employee savings plan management
NATIXIS INTERTITRES	Service vouchers
NATIXIS INVESTMENT MANAGERS	Holding company
NATIXIS INVESTMENT MANAGERS INTERNATIONAL	Distribution
NATIXIS INVESTMENT MANAGERS PARTICIPATIONS 1	Holding company
NATIXIS INVESTMENT MANAGERS PARTICIPATIONS 3	Holding company
NATIXIS LIFE	Life insurance
NATIXIS MARCO	Investment company (extension of activity)
NATIXIS PAIEMENT HOLDING	Holding company
NATIXIS PARTNERS	M&A advisory services
NATIXIS PAYMENT SOLUTIONS	Banking services
NATIXIS PRIVATE EQUITY	Private equity
NATIXIS SA	Credit institution
NATIXIS TRADEX SOLUTIONS (EX NATIXIS ASSET MANAGEMENT FINANCE)	Holding company
NATIXIS WEALTH MANAGEMENT	Credit institution
NAXICAP PARTNERS	Management of venture capital mutual funds
NAXICAP RENDEMENT 2018	Private equity
NAXICAP RENDEMENT 2022	Private equity
NAXICAP RENDEMENT 2024	Private equity
NOVA IMMO	Real estate operations
OCÉORANE	Financial investment advisory services
ONEY BANK	Holding company
ONEYTRUST SAS	Credit institution, electronic payment systems, new technologies and holding company
OPCI FRANCEUROPE IMMO	Insurance investment mutual fund
OSSIAM	Asset Management
OSTRUM AM (NEW)	Asset Management
OUEST CROISSANCE SCR	Private equity
PALATINE ASSET MANAGEMENT	Asset Management
PARTICIPATIONS BP ACA	Holding company
PAYPLUG	Payment services
PERSPECTIVES ENTREPRISES	Holding company
PHILAE SAS	Real estate operations
PLUSEXPANSION	Holding company

Country of operation	Business
PRAMEX INTERNATIONAL	International development and consulting services
PRÉPAR COURTAGE	Insurance brokerage
PRÉPAR-IARD	Non-life insurance
PRÉPAR-VIE	Life insurance and endowment
PROMÉPAR GESTION	Portfolio management
REAUMUR ACTIONS (EX-ABP DIVERSIFIE)	Insurance investment mutual fund
RECOMMERCE	Online service
RIOU	Real estate operations
RIVES CROISSANCE	Holding company
ROISSY COLONNADIA	Real estate operations
S.C.I. ALTAIR 1	Real estate operations
S.C.I. ALTAIR 2	Real estate operations
SAS ALPES DÉVELOPPEMENT DURABLE INVESTISSEMENT	Private equity
SAS FINANCIÈRE IMMOBILIÈRE 15	Housing real estate development
SAS FONCIÈRE DES CAISSES D'ÉPARGNE	Investment property
SAS FONCIÈRE ECUREUIL II	Investment property
SAS GARIBALDI PARTICIPATIONS	Real estate operations
SAS LOIRE CENTRE IMMO	Real estate investments
SAS NSAVADE	Investment property
SAS SOCIÉTÉ IMMOBILIÈRE DE LA RÉGION RHONE-ALPES	Real estate operations
SAS SUD CROISSANCE	Private equity
SAS TASTA	Services company
SASU BFC CROISSANCE	Private equity
SAVOISIENNE	Holding company
SBE	Credit institution
SCI AVENUE WILLY BRANDT	Real estate operations
SCI BPSO	Real estate operations
SCI BPSO BASTIDE	Real estate operations
SCI BPSO MÉRIGNAC 4 CHEMINS	Real estate operations
SCI BPSO TALENCE	Real estate operations
SCI DANS LA VILLE	Real estate operations
SCI DU CRÉDIT COOPÉRATIF DE SAINT-DENIS	Real estate operations
SCI FAIDHERBE	Real estate operations
SCI FONCIÈRE 1	Investment property
SCI GARIBALDI OFFICE	Real estate operations
SCI LA FAYETTE BUREAUX	Investment property
SCI LE CIEL	Real estate operations
SCI LE RELAIS	Real estate operations
SCI LOIRE CENTRE MONTESPAAN	Real estate operations
SCI POLARIS	Real estate operations
SCI PYTHÉAS PRADO 1	Real estate operations
SCI PYTHÉAS PRADO 2	Real estate operations
SCI SAINT-DENIS	Real estate operations
SCI SHAKE HDF	Real estate operations
SCI TOURNON	Real estate operations
SCPI IMMOB EVOLUTIF (EX FRUCTIFONDS IMMOBILIER)	Insurance real estate investments
SEELYOND	Asset Management
SEGIMLOR	Real estate operations
SELECTIZ	Insurance investment mutual fund

Country of operation	Business
SELECTIZ PLUS FCP 4DEC	Insurance investment mutual fund
SEREXIM	Real estate valuation
SEVENTURE PARTNERS	Asset Management
SI ÉQUINOXE	Holding company
SIPMÉA	Real estate development/management, real estate investment
S-MONEY	Payment services
SNC ECUREUIL 5 RUE MASSERAN	Investment property
SOCFIM	Credit institution
SOCFIM PARTICIPATIONS IMMOBILIÈRES	Holding company
SOCIÉTÉ CENTRALE DU CRÉDIT MARITIME MUTUEL	Services company
SOCIÉTÉ D'EXPANSION BOURGOGNE FRANCHE-COMTE	Holding company
SOCIÉTÉ D'INVESTISSEMENT ET DE PARTICIPATION IMMOBILIÈRE (SIPARI)	Holding company
SOCIÉTÉ IMMOBILIÈRE PROVENÇALE ET CORSE	Holding company
SODERO PARTICIPATIONS	Private equity
SOFIAG	Financial company
SOFIDER	Financial company
SPG	Mutual fund
SPIG	Property leasing
SPORTS IMAGINE	Services company
SPICAV AEW FONCIÈRE ECUREUIL	Real estate operations
SUD OUEST BAIL SA	Real estate leasing
TECHNOCITÉ TERTIA	Real estate operations
TEORA	Insurance brokerage company
TÉTRIS	Real estate operations
THEMATICS ASSET MANAGEMENT	Asset Management
TITRES CADEAUX	Service vouchers
TRANSIMMO	Real estate agent
UNION DES SOCIÉTÉS DU CRÉDIT COOPÉRATIF (GIE)	Services company
VAL DE FRANCE TRANSACTIONS	Services company
VAUBAN INFRASTRUCTURE PARTNERS	Asset Management
VEGA INVESTMENT MANAGERS	Mutual fund holding company
VIALINK	Data processing
VIVALIS INVESTISSEMENTS	Real estate operations
GREAT BRITAIN	
AEW EUROPE ADVISORY LTD	Asset Management
AEW EUROPE CC LTD	Asset Management
AEW EUROPE HOLDING LTD	Asset Management
AEW EUROPE INVESTMENT LTD	Asset Management
AEW EUROPE LLP	Asset Management
AEW EUROPE PARTNERSHIP	Asset Management
AEW GLOBAL ADVISORS (EUROPE) LTD	Asset Management
AEW GLOBAL LTD	Asset Management
AEW GLOBAL UK LTD	Asset Management
AEW PROMOTE LP LTD	Asset Management
FENCHURCH PARTNERS LLP	M&A advisory services
H2O ASSET MANAGEMENT CORPORATE MEMBER	Asset Management
H2O ASSET MANAGEMENT LLP	Asset Management

Country of operation	Business
LOOMIS SAYLES INVESTMENTS LTD (UK)	Asset Management
MIROVA NATURAL CAPITAL LIMITED (EX MIROVA-ALTHELIA LIMITED)	Asset Management
MV CRÉDIT LIMITED	Asset Management
MV CRÉDIT LLP	Asset Management
NATIXIS ALTERNATIVE HOLDING LIMITED	Holding company
NATIXIS INVESTMENT MANAGERS UK LTD	Distribution
NATIXIS LONDON	Financial institution
PRAMEX INTERNATIONAL LTD – LONDON	International development and consulting services
VERMILION PARTNERS (UK) LIMITED	Holding company
VERMILION PARTNERS LLP	M&A advisory services
HONG KONG	
AEW ASIA LIMITED	Asset Management
NATIXIS ASIA LTD	Other financial company
NATIXIS HOLDINGS (HONG KONG) LIMITED	Holding company
NATIXIS HONG KONG	Financial institution
NATIXIS INVESTMENT MANAGERS HONG KONG LIMITED	Asset Management
NATIXIS INVESTMENT MANAGERS INTERNATIONAL HONG KONG LIMITED (EX OSTRUM AM HONG KONG LTD)	Asset Management
POINCARÉ CAPITAL MANAGEMENT LTD	Asset Management
POINCARÉ HOLDINGS LTD	Asset Management
PRAMEX INTERNATIONAL AP LTD – HONG KONG	International development and consulting services
VERMILION PARTNERS (HOLDINGS) LIMITED	Holding company
VERMILION PARTNERS LIMITED	Holding company
HUNGARY	
ONEY MAGYARORSZAG ZRT	Financial institution
ONEY PENZFORGALMI SZOLGALTATO KFT.	Financial institution
CAYMAN ISLANDS	
AEW VIA INVESTORS, LTD	Asset Management
DF EFG3 LIMITED	Holding company
INDIA	
PRAMEX INTERNATIONAL CONSULTING PRIVATE LTD – MUMBAI	International development and consulting services
IRELAND	
NATINIUM FINANCIAL PRODUCTS	Securitization vehicle
PURPLE FINANCE CLO 1	Securitization vehicle
PURPLE FINANCE CLO 2	Securitization vehicle
ITALY	
AEW CILOGER ITALIAN BRANCH	Distribution
BPCE LEASE MILAN BRANCH	Non-real estate and real estate leasing
DNCA FINANCE MILAN BRANCH	Asset Management
IT SPA	Brokerage
NATIXIS INVESTMENT MANAGERS S.A, ITALY BRANCH	Distribution

Country of operation	Business
NATIXIS MILAN	Financial institution
PRAMEX INTERNATIONAL SRL – MILAN	International development and consulting services
JAPAN	
AEW JAPAN CORPORATION	Asset Management
NATIXIS INVESTMENT MANAGERS JAPAN CO, LTD	Asset Management
NATIXIS JAPAN SECURITIES CO, LTD	Financial institution
NATIXIS TOKYO	Financial institution
JERSEY	
AEW VALUE INVESTORS ASIA II GP LIMITED	Asset Management
AEW VALUE INVESTORS ASIA III GP LIMITED	Asset Management
NATIXIS STRUCTURED PRODUCTS LTD	Issuing vehicle
LAOS	
BANQUE FRANCO LAO	Credit institution
LUXEMBOURG	
AEW EUROPE GLOBAL LUX	Asset Management
AEW EUROPE SARL (FORMERLY AEW LUXEMBOURG)	Asset Management
BCP LUXEMBOURG	Credit institution
DAHLIA A SICAR SCA	Private equity
DNCA FINANCE BRANCH LUXEMBOURG	Asset Management
H2O ASSET MANAGEMENT HOLDING	Asset Management
KENNEDY FINANCEMENT LUXEMBOURG	Investment company – Asset management
KENNEDY FINANCEMENT LUXEMBOURG 2	Central corporate treasury – Asset management
LOOMIS SAYLES ALPHA LUXEMBOURG, LLC	Asset Management
MASSENA PARTNERS SA	Asset manager and investment advisory firm
MASSENA WEALTH MANAGEMENT SARL	Asset manager and investment advisory firm
MV CREDIT SARL	Asset Management
NATIXIS ALTERNATIVE ASSETS	Holding company
NATIXIS INVESTMENT MANAGERS S.A	Distribution
NATIXIS LIFE	Life insurance
NATIXIS REAL ESTATE FEEDER SARL	Investment company
NATIXIS STRUCTURED INSSUANCE	Issuing vehicle
NATIXIS TRUST	Holding company
NATIXIS WEALTH MANAGEMENT LUXEMBOURG	Bank
SURASSUR	Reinsurance
THEMATICS SUBSCRIPTION ECONOMY FUND	Asset Management
MALAYSIA	
NATIXIS LABUAN	Financial institution
MALTA	
ONEY HOLDING LIMITED (MALTA)	Holding company
ONEY INSURANCE (PCC) LIMITED (MALTA)	Insurance
ONEY LIFE (PCC) LIMITED (MALTA)	Insurance

Country of operation	Business
MOROCCO	
BPCE MAROC	Real estate development
PRAMEX INTERNATIONAL AU CASABLANCA	International development and consulting services
MEXICO	
NATIXIS IM MEXICO, S. DE R.L DE C.V.	Asset Management
MONACO	
BANQUE POPULAIRE MÉDITERRANÉE – (MONACO BRANCH)	Credit institution
CAISSE D'ÉPARGNE CÔTE D'AZUR – (MONACO BRANCH)	Credit institution
H2O AM MONACO SAM	Asset Management
PROMETHEUS WEALTH MANAGEMENT SAM	Asset Management
NEW CALEDONIA	
BANQUE DE NOUVELLE-CALÉDONIE	Credit institution
BPCE LEASE NOUMÉA	Non-real estate leasing
SOCIÉTÉ HAVRAISE CALÉDONIENNE	Real estate operations
NETHERLANDS	
DALENYS FINANCE (EX RENTABILWEB FINANCE)	Holding company
DALENYS INTERNATIONAL (EX RENTABILWEB INTERNATIONAL)	Holding company
LOOMIS SAYLES & COMPANY, LP, DUTCH BRANCH	Distribution
NATIXIS INVESTMENT MANAGERS, NEDERLANDS	Distribution
POLAND	
AEW CENTRAL EUROPE	Asset Management
ONEY POLSKA	Brokerage, financial institution
ONEY SERVICES SP ZOO	Brokerage, financial institution
PRAMEX INTERNATIONAL SP. ZOO – WARSAW	International development and consulting services
SMARTNEY	Brokerage, financial institution
TISE	Private equity
FRENCH POLYNESIA	
BANQUE DE TAHITI	Credit institution
BPCE LEASE TAHITI	Non-real estate leasing
PORTUGAL	
BANCO PRIMUS	Credit institution
NATIXIS PORTO	Financial institution
ONEY - BRANCH PORTUGAL Branch	Brokerage
CZECH REPUBLIC	
AEW CENTRAL EUROPE CZECH	Distribution
ROMANIA	
ONEY FINANCES (ROMANIA)	Brokerage
RUSSIA	
BA FINANS (RUSSIA)	Brokerage and banking
NATIXIS BANK JSC, MOSCOW	Banking
SOLOMON ISLANDS	
BRED SOLOMON ISLANDS	Credit institution

Country of operation	Business
SINGAPORE	
AEW ASIA PTE LTD	Asset Management
H2O AM ASIA PTE LTD	Asset Management
LOOMIS SAYLES INVESTMENTS ASIA PTE LTD	Asset Management
NATIXIS INVESTMENT MANAGERS SINGAPORE LIMITED (EX-OSTRUM AM ASIA LTD)	Asset Management
NATIXIS SINGAPOUR	Financial institution
PRAMEX INTERNATIONAL PTE LTD – SINGAPORE	International development and consulting services
SWEDEN	
NATIXIS INVESTMENT MANAGERS, NORDICS SUBSIDIARY	Distribution
SWITZERLAND	
BANQUE DU LÉMAN	Credit institution
BIC BRED (Suisse) SA	Credit institution
FLEXSTONE PARTNERS SARL (EX EURO PRIVATE EQUITY)	Asset Management
NATIXIS INVESTMENT MANAGERS SWITZERLAND SARL	Asset Management
TAIWAN	
NATIXIS INVESTMENT MANAGERS SECURITIES INVESTMENT CONSULTING CO. LTD	Asset Management
NATIXIS TAIWAN	Financial institution
THAILAND	
BRED IT	IT services
TUNISIA	
ARAB INTERNATIONAL LEASE	Non-real estate and real estate leasing
BANQUE TUNISO KOWEÏTIENNE	Credit institution
EL ISTIFA	Debt collection
MEDAI SA	Real estate development
PRAMEX INTERNATIONAL SARL – TUNIS	International development and consulting services
SOCIÉTÉ DU CONSEIL ET DE L'INTERMÉDIATION FINANCIÈRE	Financial investment advisory services
TUNIS CENTER	Real estate development
UNIVERS INVEST (SICAR)	Private equity
UNIVERS PARTICIPATIONS (SICAF)	Private equity
UKRAINE	
ONEY UKRAINE	Brokerage
URUGUAY	
NATIXIS INVESTMENT MANAGERS URUGUAY SA	Distribution
VANUATU	
BRED VANUATU	Credit institution
FONCIÈRE DU VANUATU	Real estate investment
VIETNAM	
BPCE INTERNATIONAL HO CHI MINH CITY Vietnam branch	Specialized credit institution

12.7 STATUTORY AUDITORS' FEES

Fees in respect of duties performed by the Statutory Auditors for the whole of Groupe BPCE (including Statutory Auditors not belonging to the same network as those responsible for auditing BPCE's financial statements) in respect of the 2019 and 2020 fiscal years were as follows:

	Statutory Auditors responsible for auditing BPCE's financial statements												Other Statutory Auditors					
	PwC				Mazars				Deloitte				KPMG Audit ⁽²⁾		Other		Total	
	Amount		%		Amount		%		Amount		%		2020	2019	2020	2019	2020	2019
	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019
<i>in thousands of euros⁽¹⁾</i>																		
Certification of financial statements	13,839	13,108	78%	77%	6,069	5,296	78%	67%	8,255	10,152	77%	67%	5,236	5,200	1,494	1,650	34,893	35,406
Services other than financial statement certification ⁽³⁾	3,946	3,819	22%	23%	1,753	2,605	22%	33%	2,423	4,892	23%	33%	453	940	105	366	8,679	12,622
TOTAL	17,785	16,927	100%	100%	7,822	7,901	100%	100%	10,678	15,044	100%	100%	5,688	6,140	1,599	2,016	43,572	48,028
<i>o/w fees paid to the commissioned Statutory Auditor/consolidating entities for certification of financial statements</i>	9,352	12,112			5,066	4,748			4,286	4,868			5,236	5,200	1,494	1,650	25,433	28,578
<i>o/w fees paid to the commissioned Statutory Auditor/consolidating entities for services other than certification of financial statements</i>	1,005	827			669	1,994			930	1,952			453	935	105	366	3,161	6,075
% Change	5%				(1%)				(29%)				(7%)		(21%)		(9%)	

(1) Amounts relating to services provided appear on the income statement for the fiscal year, notably including unrecoverable VAT.

(2) For the KPMG audit network, amounts include fees paid to the network when it signs the financial statements of shareholder institutions (and their subsidiaries) or direct subsidiaries of BPCE SA.

(3) In 2020, "services other than the certification of the financial statements" mainly concerned assignments carried out at the request of BPCE, in particular for work relating to appraisal contributions (€1.3 million) and letters of comfort relating to issues (€0.4 million) as well as missions carried out at the request of Natixis SA and its subsidiaries (€4.2 million), in particular support missions on the compliance of systems set up (€1.7 million), tax missions outside the European Union (€0.7 million), technical assistance missions (€0.6 million), other assignments (€0.8 million) including a GIPS - Global Investment Performance Standard assignment on NIM entities (€0.2 million), and an RRP - Réglementation et Ratios Prudentiels project assignment on Natixis Paris (€0.15 million) and for comfort letters relating to issues (€0.23 million).

Note 13 Details of the scope of consolidation

13.1 SECURITIZATION TRANSACTIONS

Accounting principles

Securitization is a financial engineering technique that aims to enhance balance sheet liquidity. From a technical perspective, assets to be securitized are grouped according to the quality of the associated collateral or guarantees, and sold to special purpose entities that finance their acquisition by issuing securities underwritten by investors.

Entities created specifically for this purpose are consolidated if the Group exercises control over them. Control is assessed according to the criteria provided in IFRS 10.

The following statement lists the securitization transactions carried out by the Retail Banking and Insurance entities without (full or partial) derecognition:

<i>in millions of euros</i>	Type of assets	Inception date	Expected maturity	Nominal at inception	12/31/2020
Elide 2011	Residential home loans	04/06/2011	January 2036	1,089	117
Elide 2012	Residential home loans	06/26/2012	April 2037	1,190	156
Elide 2014	Residential home loans	11/18/2014	October 2039	915	231
Elide 2017-1	Residential home loans	02/02/2017	December 2037	1,842	738
Elide 2017-2	Residential home loans	04/27/2017	October 2041	1,051	500
Elide 2018	Residential home loans	05/29/2018	September 2046	1,390	922
Elide sub-total				7,477	2,664
BPCE Master Home Loans/BPCE Master Home Demut	Residential home loans	05/26/2014	April 2032	44,068	39,725
BPCE Consumer Loans	Personal loans	05/27/2016	May 2032	5,000	4,814
BPCE Home Loans FCT 2017_5	Residential home loans	05/29/2017	May 2054	10,500	6,140
BPCE Home Loans 2018	Residential home loans	10/29/2018	October 2053 (call 2023)	1,125	602
BPCE Home Loans 2019	Residential home loans	10/29/2019	October 2054	1,100	803
BPCE Home Loans 2020	Residential home loans	10/28/2020	October 2054	1,090	1,059
Other sub-total				62,883	53,145
TOTAL				70,360	55,809

SECURITIZATION TRANSACTIONS WITHIN GROUPE BPCE

In 2020, Groupe BPCE consolidated several new special purpose entities (securitization funds):

- BPCE Home Loans FCT 2020 and BPCE Home Loans FCT 2020 Demut, both resulting from an internal securitization transaction carried out by the Banques Populaire and the Caisses d'Epargne on October 28, 2020. Under this transaction, €1.08 billion in home loans were transferred to BPCE Home Loans FCT 2020, and external investors subscribed for senior securities issued by the FCT (€1 billion). It follows previous transactions: BPCE Master Home Loans, BPCE Consumer Loans 2016 (personal loan securitization), BPCE Home Loans FCT 2017_5 (real estate loan securitization), BPCE Home Loans FCT 2018 (real estate loan securitization) and BPCE Home Loans FCT 2019 (real estate loan securitization). It was the third transaction with a placement of senior securities on the markets;
- BPCE Financement Purple Master Credit Cards (PuMaCC), resulting from a Group securitization by BPCE Financement for BPCE SA group on October 26, 2020. Under this transaction €768 million of renewable loans were ceded to FCT PuMaCC 2020 and third-party investors subscribed for €550 million of senior debt issued by the FCT;

- BCL transaction on the BPCE Financement personal loan, resulting from an internal securitization transaction carried out by the Banques Populaire and the Caisses d'Epargne on May 25, 2020. Under this self-subscribed deal €5 billion of personal loans were ceded to the FCT BCL2020 and subscribed for by the Banques Populaires and Caisses d'Epargne.

Despite the placement in the market, these transactions do not allow deconsolidation since the entities that transferred the loans subscribed for subordinated securities and residual shares. They therefore retain control within the meaning of IFRS 10.

SECURITIZATION TRANSACTIONS CARRIED OUT WITH FULL OR PARTIAL DERECOGNITION

Note: Crédit Foncier has entered into two public securitizations backed by home loans (Crédit Foncier Home Loans No. 1 in May 2014 and Crédit Foncier Home Loans No. 2 in August 2015).

As a receivables manager, Crédit Foncier does not have the ability to use its power to influence the variability of returns. Therefore, it does not control the securitization funds within the meaning of IFRS 10, and the funds are not consolidated.

However, given its ongoing ties with CFHL-2, the criteria needed to establish full derecognition of assets under IFRS 9 are not entirely met. As a result, the transaction is deconsolidating in accordance with IFRS 10, and partially derecognized in accordance with IFRS 9.

The CFHL-2 transferred assets are recognized in proportion to Crédit Foncier's continued involvement. As a result, the Group continues to recognize the maximum loss associated with each of the residual ties to the fund (swaps, clean-up calls, management fees) in balance sheet assets.

These adjustments led to the recognition of total assets of €89 million and total liabilities of €5 million at December 31, 2020.

The fair value of these residual ties is remeasured at each reporting date.

At December 31, 2020, the net impact of the CFHL-2 transactions was +€7 million.

13.2 GUARANTEED UCITS

Guaranteed UCITS are funds designed to reach a specific amount at the end of a given period, determined by applying a predefined calculation formula based on financial market indicators and, where appropriate, to distribute revenues derived from the investments as determined using the same methods. The portfolio management targets of these funds are guaranteed by a credit institution.

Based on an analysis of the substance of these funds in accordance with IFRS 10, the Group does not control relevant activities (as management flexibility is limited) and is not exposed to variable returns (as a solid risk monitoring system has been implemented) and therefore does not consolidate these structures.

13.3 OTHER INTERESTS IN CONSOLIDATED SUBSIDIARIES AND STRUCTURED ENTITIES

MAJOR RESTRICTIONS

The Group has not been faced with any major restrictions relating to stakes held in its structured or non-structured subsidiaries.

SUPPORT OF CONSOLIDATED STRUCTURED ENTITIES

The Group did not grant any financial support to consolidated structured entities.

13.4 SCOPE OF CONSOLIDATION AT DECEMBER 31, 2020

Only those entities providing a material contribution are consolidated. For entities meeting the definition of financial sector entities given in Regulation (EU) 575/2013 of the European Parliament and of the Council of June 26, 2013 (the CRR), the accounting consolidation thresholds have been aligned, from December 31, 2017, with those applied for the prudential scope of consolidation. Article 19 of the CRR sets a threshold of €10 million in total balance sheet and off-balance sheet assets. For non-financial sector entities, materiality is assessed at the level of the consolidated entities. Based on the principle of ascending materiality, any entity included at a sub-consolidation level is included at all higher consolidation levels, even if it is not material at those levels.

The percentage interest is specified for each entity in the scope of consolidation. The percentage of interest describes the share of equity held by the Group, either directly or indirectly, in companies within the scope. The percentage of interest can be used to determine the share attributable to equity holders of the parent in the net assets of the company held.

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
I) CONSOLIDATING ENTITY				
I-1 Banque Populaire banks				
BANQUE POPULAIRE ALSACE LORRAINE CHAMPAGNE	Credit institution	FR	100%	FC
BANQUE POPULAIRE AQUITAINE CENTRE ATLANTIQUE	Credit institution	FR	100%	FC
BANQUE POPULAIRE AUVERGNE RHÔNE ALPES	Credit institution	FR	100%	FC
BANQUE POPULAIRE BOURGOGNE FRANCHE-COMTÉ	Credit institution	FR	100%	FC
BANQUE POPULAIRE DU NORD	Credit institution	FR	100%	FC
BANQUE POPULAIRE DU SUD	Credit institution	FR	100%	FC
BANQUE POPULAIRE GRAND OUEST	Credit institution	FR	100%	FC
BANQUE POPULAIRE MÉDITERRANÉE	Credit institution	FR	100%	FC
<i>Banque Populaire Méditerranée Monaco branch</i>	<i>Credit institution</i>	<i>MC</i>	<i>100%</i>	<i>FC</i>
BANQUE POPULAIRE OCCITANE	Credit institution	FR	100%	FC
BANQUE POPULAIRE RIVES DE PARIS	Credit institution	FR	100%	FC
BANQUE POPULAIRE VAL DE FRANCE	Credit institution	FR	100%	FC
BRED BANQUE POPULAIRE	Credit institution	FR	100%	FC
CASDEN BANQUE POPULAIRE	Credit institution	FR	100%	FC
CRÉDIT COOPÉRATIF	Credit institution	FR	100%	FC
I-2 Caisses d'Épargne				
CAISSE D'ÉPARGNE AQUITAINE POITOU-CHARENTES	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE BRETAGNE PAYS DE LOIRE	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE CÔTE D'AZUR	Credit institution	FR	100%	FC
<i>Caisse d'Épargne Côte d'Azur Monaco branch</i>	<i>Credit institution</i>	<i>MC</i>	<i>100%</i>	<i>FC</i>
CAISSE D'ÉPARGNE D'Auvergne ET DU LIMOUSIN	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE DE BOURGOGNE FRANCHE-COMTÉ	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE DE MIDI-PYRÉNÉES	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE HAUTS DE FRANCE	Credit institution	FR	100%	FC
<i>Caisse d'Épargne Hauts de France Belgium branch</i>	<i>Credit institution</i>	<i>BE</i>	<i>100%</i>	<i>FC</i>
CAISSE D'ÉPARGNE ILE-DE-FRANCE	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE LANGUEDOC-ROUSSILLON	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE LOIRE-CENTRE	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE LOIRE DRÔME ARDÈCHE	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE GRAND EST EUROPE	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE NORMANDIE	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE PROVENCE-ALPES-CORSE	Credit institution	FR	100%	FC
CAISSE D'ÉPARGNE RHÔNE ALPES	Credit institution	FR	100%	FC
I-3 BPCE SA				
BPCE SA	Credit institution	FR	100%	FC
I-4 Mutual Guarantee Companies				
32 MUTUAL GUARANTEE COMPANIES	Guarantee companies	FR	100%	FC
II) "ASSOCIATE" INSTITUTIONS				
EDEL	Credit institution	FR	34%	EQ
III) SUBSIDIARIES, JOINT VENTURES AND ASSOCIATES				
III-1 – Banque Populaire subsidiaries				
ACLEDA	Credit institution	KH	12%	EQ
ADRAXTRA CAPITAL	Private equity	FR	100%	FC
AURORA	Holding company	BE	100%	EQ
BANQUE CALÉDONIENNE D'INVESTISSEMENT	Credit institution	NC	50%	EQ
BANQUE DE SAVOIE	Credit institution	FR	100%	FC
BANQUE FRANCO LAO	Credit institution	LA	70%	FC
BCEL	Credit institution	LA	10%	EQ
BCI MER ROUGE	Credit institution	DJ	51%	FC

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
BCP LUXEMBOURG	Credit institution	LU	100%	FC
BIC BRED	Credit institution	FR	100%	FC
BIC BRED (Suisse) SA	Credit institution	CH	100%	FC
BP DÉVELOPPEMENT	Private equity	FR	90%	FC
BPA ATOUTS PARTICIPATIONS	Private equity	FR	100%	FC
BRD CHINA LTD	Private equity	CN	100%	FC
BRED BANK CAMBODIA PLC	Financial company	KH	100%	FC
BRED BANK FIJI LTD	Credit institution	FJ	100%	FC
BRED COFILEASE	Non-real estate leasing	FR	100%	FC
BRED GESTION	Credit institution	FR	100%	FC
BRED IT	IT services	TH	100%	FC
BRED SALOMON ISLAND	Credit institution	SB	85%	FC
BRED VANUATU	Credit institution	VU	85%	FC
BTP BANQUE	Credit institution	FR	90%	FC
BTP CAPITAL CONSEIL	Financial investment advisory services	FR	90%	FC
BTP CAPITAL INVESTISSEMENT	Private equity	FR	53%	FC
CADEC	Private equity	FR	40%	EQ
CAISSE DE GARANTIE IMMOBILIÈRE DU BÂTIMENT	Insurance	FR	30%	EQ
CAISSE SOLIDAIRE	Financial company	FR	81%	FC
CLICK AND TRUST	Data processing	FR	100%	FC
COFEG	Consulting	FR	100%	FC
COFIBRED	Holding company	FR	100%	FC
COOPEST	Private equity	BE	32%	EQ
CREPONORD	Non-real estate and real estate leasing	FR	100%	FC
ECOFI INVESTISSEMENT	Portfolio management	FR	100%	FC
EPBF	Payment institution	BE	100%	FC
ESFIN	Private equity	FR	38%	EQ
ESFIN GESTION	Portfolio management	FR	100%	FC
EURO CAPITAL	Private equity	FR	86%	FC
EXPANSINVEST	Private equity	FR	100%	FC
FCC ELIDE	French securitization fund (FCT)	FR	100%	FC
FINANCIÈRE DE LA BP OCCITANE	Holding company	FR	100%	FC
FINANCIÈRE IMMOBILIÈRE DERUELLE	Real estate investment	FR	100%	FC
FINANCIÈRE PARTICIPATION BPS	Holding company	FR	100%	FC
FONCIÈRE DU VANUATU	Real estate investment	VU	100%	FC
FONCIÈRE BFCA	Real estate development/management, real estate investment	FR	100%	FC
FONCIÈRE VICTOR HUGO	Holding company	FR	100%	FC
GARIBALDI CAPITAL DÉVELOPPEMENT	Private equity	FR	100%	FC
GARIBALDI PIERRE	Real estate operations	FR	100%	FC
GESSINORD	Real estate operations	FR	100%	FC
GROUPEMENT DE FAIT	Services company	FR	100%	FC
I-BP INVESTISSEMENT	Real estate operations	FR	100%	FC
IMMOCARSO SNC	Investment property	FR	100%	FC
INGEPAR	Financial investment advisory services	FR	100%	FC
INFORMATIQUE BANQUES POPULAIRES	IT services	FR	100%	FC
IRD NORD PAS DE CALAIS	Private equity	FR	17%	EQ
IRR INVEST	Private equity	BE	100%	FC
MULTICROISSANCE SAS	Portfolio management	FR	100%	FC
NAXICAP RENDEMENT 2018	Private equity	FR	90%	FC
NAXICAP RENDEMENT 2022	Private equity	FR	90%	FC
NAXICAP RENDEMENT 2024	Private equity	FR	90%	FC
NJR INVEST	Private equity	BE	100%	FC

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
OUEST CROISSANCE SCR	Private equity	FR	100%	FC
PARNASSE GARANTIES	Insurance	FR	80%	EQ
PARTICIPATIONS BP ACA	Holding company	FR	100%	FC
PERSPECTIVES ENTREPRISES	Holding company	FR	100%	FC
PLUSEXPANSION	Holding company	FR	100%	FC
PRÉPAR COURTAGE	Insurance brokerage	FR	100%	FC
PRÉPAR-IARD	Non-life insurance	FR	100%	FC
PRÉPAR-VIE	Life insurance and endowment	FR	100%	FC
PROMÉPAR GESTION	Portfolio management	FR	100%	FC
RIVES CROISSANCE	Holding company	FR	100%	FC
SAS ALPES DÉVELOPPEMENT DURABLE INVESTISSEMENT	Private equity	FR	100%	FC
SAS FINANCIÈRE IMMOBILIÈRE 15	Housing real estate development	FR	100%	FC
SAS GARIBALDI PARTICIPATIONS	Real estate operations	FR	100%	FC
SAS SOCIÉTÉ IMMOBILIÈRE DE LA RÉGION RHÔNE ALPES	Real estate operations	FR	100%	FC
SAS SUD CROISSANCE	Private equity	FR	100%	FC
SAS TASTA	Services company	FR	63%	FC
SASU BFC CROISSANCE	Private equity	FR	100%	FC
SAVOISIENNE	Holding company	FR	100%	FC
SBE	Credit institution	FR	100%	FC
SCI BPSO	Real estate operations	FR	100%	FC
SCI BPSO BASTIDE	Real estate operations	FR	100%	FC
SCI BPSO MÉRIGNAC 4 CHEMINS	Real estate operations	FR	100%	FC
SCI BPSO TALENCE	Real estate operations	FR	100%	FC
SCI DU CRÉDIT COOPÉRATIF DE SAINT-DENIS	Real estate operations	FR	100%	FC
SCI FAIDHERBE	Real estate operations	FR	100%	FC
SCI POLARIS	Real estate operations	FR	100%	FC
SCI PYTHÉAS PRADO 1	Real estate operations	FR	100%	FC
SCI PYTHÉAS PRADO 2	Real estate operations	FR	100%	FC
SCI SAINT-DENIS	Real estate operations	FR	99%	FC
SEGIMLOR	Real estate operations	FR	100%	FC
SI ÉQUINOXE	Holding company	FR	100%	FC
SIPMÉA	Real estate development/management, real estate investment	FR	100%	FC
SOCIÉTÉ CENTRALE DU CRÉDIT MARITIME MUTUEL	Services company	FR	100%	FC
SOCIÉTÉ D'EXPANSION BOURGOGNE FRANCHE-COMTÉ	Holding company	FR	100%	FC
SOCIÉTÉ IMMOBILIÈRE PROVENÇALE ET CORSE	Holding company	FR	100%	FC
SOCREDO	Credit institution	PF	15%	EQ
SOFIAG	Financial company	FR	100%	FC
SOFIDER	Financial company	RE	100%	FC
SPIG	Property leasing	FR	100%	FC
TISE	Private equity	PL	100%	FC
TRANSIMMO	Real estate agent	FR	100%	FC
UNION DES SOCIÉTÉS DU CRÉDIT COOPÉRATIF (GIE)	Services company	FR	98%	FC
VAL DE FRANCE TRANSACTIONS	Services company	FR	100%	FC
VIALINK	Data processing	FR	100%	FC
III-2 – Caisses d'Épargne subsidiaries				
339 UNITED STATES	Real estate operations	FR	100%	FC
ADOIR SERVICES COMMUNS	Real estate operations	FR	100%	FC
AFOPEA	Real estate operations	FR	100%	FC
APOUTICAYRE LOGEMENTS	Real estate operations	FR	100%	FC
BANQUE BCP SAS	Credit institution	FR	80%	FC
BANQUE DE NOUVELLE-CALÉDONIE	Credit institution	NC	97%	FC
BANQUE DE TAHITI	Credit institution	PF	97%	FC

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
BANQUE DU LÉMAN	Credit institution	CH	100%	FC
BATIMAP	Non-real estate leasing	FR	100%	FC
BATIMUR	Non-real estate leasing	FR	100%	FC
BATIROC BRETAGNE PAYS DE LOIRE	Non-real estate and real estate leasing	FR	100%	FC
BCEF 64	Real estate operations	FR	100%	FC
BDR IMMO 1	Real estate operations	FR	100%	FC
BEAULIEU IMMO	Real estate operations	FR	100%	FC
BLEU RÉSIDENCE LORMONT	Real estate operations	FR	66%	FC
BORDELONGUE GODEAS	Real estate operations	FR	100%	FC
BRETAGNE PARTICIPATIONS	Private equity	FR	50%	FC
BURODIN	Real estate operations	FR	100%	FC
CAPITOLE FINANCE	Non-real estate leasing	FR	100%	FC
CE DÉVELOPPEMENT	Private equity	FR	96%	FC
CE DÉVELOPPEMENT II	Private equity	FR	96%	FC
CEBIM	Holding company	FR	100%	FC
CEPAC FONCIÈRE	Real estate operations	FR	100%	FC
CEPAC INVESTISSEMENT ET DÉVELOPPEMENT	Private equity	FR	100%	FC
CEPAIM SA	Real estate operations	FR	100%	FC
CRISTAL IMMO	Real estate operations	FR	100%	FC
EUROTERTIA	Real estate operations	FR	100%	FC
FERIA PAULMY	Real estate operations	FR	100%	FC
FONCIÈRE INVEST	Real estate operations	FR	50%	FC
G IMMO	Real estate operations	FR	100%	FC
G102	Real estate operations	FR	100%	FC
GIE CE SYNDICATION RISQUES	Guarantee company	FR	100%	FC
HIGHLIGHT 92	Real estate operations	FR	100%	FC
IMMOCEAL	Investment property	FR	100%	FC
INCITY	Real estate operations	FR	100%	FC
IT-CE	IT services	FR	100%	FC
LABEGE LAKE H1	Real estate operations	FR	50%	FC
LANGLADE SERVICES	Real estate operations	FR	51%	FC
LANTA PRODUCTION	Real estate operations	FR	100%	FC
L'AUSSONNELLE DE C	Real estate operations	FR	100%	FC
LEVISEO	Real estate operations	FR	50%	FC
MIDI COMMERCE	Real estate operations	FR	100%	FC
MIDI FONCIÈRE	Real estate operations	FR	100%	FC
MIDI MIXT	Real estate operations	FR	100%	FC
MONTAUDRAN PLS	Real estate operations	FR	100%	FC
MURACEF	Mutual insurance	FR	100%	FC
MURET ACTIVITÉS	Real estate operations	FR	100%	FC
NOVA IMMO	Real estate operations	FR	100%	FC
PHILAE SAS	Real estate operations	FR	100%	FC
RIOU	Real estate operations	FR	100%	FC
ROISSY COLONNADIA	Real estate operations	FR	50%	FC
SAS FONCIÈRE DES CAISSES D'ÉPARGNE	Investment property	FR	100%	FC
SAS FONCIÈRE ECUREUIL II	Investment property	FR	78%	FC
SAS LOIRE CENTRE IMMO	Real estate investment	FR	100%	FC
SAS NSAVADE	Investment property	FR	100%	FC
SC RES. AILES D'ICARE	Real estate operations	FR	50%	EQ
SC RES. CARRÉ DES PIONNIERS	Real estate operations	FR	50%	EQ
SC RES. ILOT J	Real estate operations	FR	50%	EQ
SC RES. LATECOERE	Real estate operations	FR	50%	EQ

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
SC RES. MERMOZ	Real estate operations	FR	50%	EQ
SC RES. SAINT EXUPERY	Real estate operations	FR	50%	EQ
SCI AVENUE WILLY BRANDT	Real estate operations	FR	100%	FC
SCI DANS LA VILLE	Real estate operations	FR	100%	FC
SCI FONCIÈRE 1	Investment property	FR	100%	FC
SCI GARIBALDI OFFICE	Real estate operations	FR	100%	FC
SCI LA FAYETTE BUREAUX	Investment property	FR	100%	FC
SCI LE CIEL	Real estate operations	FR	100%	FC
SCI LE RELAIS	Real estate operations	FR	100%	FC
SCI LOIRE CENTRE MONTESPAN	Real estate operations	FR	100%	FC
SCI SHAKE HDF	Real estate operations	FR	100%	FC
SCI TOURNON	Real estate operations	FR	100%	FC
SNC ECUREUIL 5 RUE MASSERAN	Investment property	FR	100%	FC
SOCIÉTÉ HAVRAISE CALÉDONIENNE	Real estate operations	NC	90%	FC
SODERO PARTICIPATIONS	Private equity	FR	67%	FC
SPPICAV AEW FONCIÈRE ECUREUIL	Real estate operations	FR	100%	FC
TECHNOCITÉ TERTIA	Real estate operations	FR	100%	FC
TÉTRIS	Real estate operations	FR	50%	FC
VIVALIS INVESTISSEMENTS	Real estate operations	FR	100%	FC
III-3 – BPCE subsidiaries				
ALBIANT-IT	IT systems and software consulting	FR	100%	FC
BATILEASE	Real estate leasing	FR	100%	FC
BPCE ACHATS	Services company	FR	98%	FC
BPCE BAIL	Real estate leasing	FR	100%	FC
BPCE CAR LEASE	Operational vehicle leasing	FR	100%	FC
BPCE ENERGECO	Non-real estate leasing	FR	100%	FC
BPCE EXPERTISE IMMOBILIER (ex CRÉDIT FONCIER EXPERTISE)	Real estate valuation	FR	100%	FC
BPCE FACTOR	Factoring	FR	100%	FC
BPCE FINANCEMENT	Consumer finance	FR	100%	FC
BPCE INFOGÉRANCE ET TECHNOLOGIE	IT services	FR	100%	FC
BPCE LEASE	Non-real estate leasing	FR	100%	FC
BPCE LEASE IMMO	Real estate leasing	FR	100%	FC
BPCE LEASE MADRID – Branch	Non-real estate and real estate leasing	ES	100%	FC
BPCE LEASE MILAN – Branch	Non-real estate and real estate leasing	IT	100%	FC
BPCE LEASE NOUMÉA	Non-real estate leasing	NC	99%	FC
BPCE LEASE RÉUNION	Non-real estate leasing	RE	100%	FC
BPCE LEASE TAHITI	Non-real estate leasing	PF	100%	FC
BPCE MASTER HOME LOANS FCT/BPCE CONSUMER LOANS FCT	French securitization fund (FCT)	FR	100%	FC
BPCE PERSONAL CAR LEASE	Operational vehicle leasing	FR	100%	FC
BPCE SERVICES FINANCIERS (ex CSF-GCE)	Services company	FR	98%	FC
BPCE SFH	Funding	FR	100%	FC
BPCE SOLUTIONS CRÉDIT (EX GIE ECUREUIL CRÉDIT)	Services company	FR	100%	FC
BPCE SOLUTIONS IMMOBILIÈRES (ex CRÉDIT FONCIER IMMOBILIER)	Real estate operations	FR	100%	FC
CNP ASSURANCES (GROUP)	Insurance	FR	16%	EQ
CICOBAIL SA	Real estate leasing	FR	100%	FC
CO ASSUR CONSEIL ASSURANCE SA (BROKERAGE)	Insurance brokerage advisory	FR	100%	FC
COMPAGNIE EUROPÉENNE DE GARANTIES ET DE CAUTIONS	Insurance	FR	100%	FC
ESNI	Securitization company	FR	100%	FC
FCT PUMACC	Consumer credit securitization vehicle	FR	100%	FC
FIDOR BANK AG ⁽⁴⁾	Digital loan institution	DE	100%	FC
GCE PARTICIPATIONS	Holding company	FR	100%	FC
NATIXIS GROUP ⁽³⁾		FR	71%	FC

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
INTER-COOP SA	Real estate leasing	FR	100%	FC
LEASE EXPANSION SA	IT operational leasing	FR	100%	FC
MAISON FRANCE CONFORT PROU INVESTISSEMENTS	Real estate development	FR	49%	EQ
MIDT FACTORING A/S	Factoring	DK	100%	FC
MIFCOS	Investment property	FR	100%	FC
SEREXIM	Real estate valuation	FR	100%	FC
SOCFIM	Credit institution	FR	100%	FC
SOCFIM PARTICIPATIONS IMMOBILIÈRES	Holding company	FR	100%	FC
SOCRAM BANQUE	Credit institution	FR	33%	EQ
SPORTS IMAGINE	Services company	FR	100%	FC
SUD OUEST BAIL SA	Real estate leasing	FR	100%	FC
SURASSUR	Reinsurance	LU	100%	FC
ONEY Group				
ONEY BANK	Holding company	FR	50%	FC
FLANDRE INVESTMENT SAS	Credit institution, electronic payment systems, new technologies and holding company	FR	50%	FC
ONEY SERVICIOS FINANCIEROS EFC SAU (SPAIN)	Brokerage	ES	50%	FC
BA FINANS (RUSSIA)	Brokerage and banking	RU	50%	FC
ONEY PENZFORGALMI SZOLGALTATO KFT	Financial institution	HU	50%	FC
ONEY MAGYARORSZAG ZRT	Financial institution	HU	50%	FC
GEFIRUS SAS	Credit institution, electronic payment systems, new technologies and holding company	FR	50%	FC
IN CONFIDENCE INSURANCE SAS	Credit institution, electronic payment systems, new technologies and holding company	FR	50%	FC
ONEY HOLDING LIMITED (MALTA)	Holding company	MT	50%	FC
ONEY LIFE (PCC) LIMITED (MALTA)	Insurance	MT	50%	FC
ONEY INSURANCE (PCC) LIMITED (MALTA)	Insurance	MT	50%	FC
ONEY POLSKA	Brokerage, financial institution	PL	50%	FC
ONEY SERVICES SP ZOO	Brokerage, financial institution	PL	50%	FC
ONEY FINANCES (ROMANIA)	Brokerage	RO	50%	FC
SMARTNEY	Brokerage and banking	PL	50%	FC
ONEY Portugal branch	Brokerage	PT	50%	FC
ONEYTRUST SAS	Credit institution, electronic payment systems, new technologies and holding company	FR	50%	FC
ONEY SPA (ITALY)	Brokerage	IT	50%	FC
ONEY UKRAINE (UKRAINE)	Brokerage	UA	50%	FC
REP OFFICE CHINA	Brokerage	CN	50%	FC
ONEY GmbH	Services, business development consulting	DE	50%	FC
Groupe BPCE International				
ARAB INTERNATIONAL LEASE ⁽⁴⁾	Non-real estate and real estate leasing	TN	57%	FC
BANQUE TUNISO KOWEÏTIENNE ⁽⁴⁾	Credit institution	TN	60%	FC
BPCE INTERNATIONAL	Specialized credit institution	FR	100%	FC
BPCE INTERNATIONAL HO CHI MINH CITY Vietnam branch	Specialized credit institution	VN	100%	FC
BPCE MAROC	Real estate development	MA	100%	FC
EL ISTIFA ⁽⁴⁾	Debt collection	TN	60%	FC
FRANSA BANK	Credit institution	FR	21%	EQ
MEDAI SA ⁽⁴⁾	Real estate development	TN	67%	FC
OCÉORANE	Financial investment advisory services	MQ	100%	FC
PRAMEX INTERNATIONAL	International development and consulting services	FR	100%	FC
PRAMEX INTERNATIONAL AP LTD – HONG KONG	International development and consulting services	HK	100%	FC
PRAMEX INTERNATIONAL AU CASABLANCA	International development and consulting services	MA	100%	FC
PRAMEX INTERNATIONAL CO LTD – SHANGHAI	International development and consulting services	CN	100%	FC

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
PRAMEX INTERNATIONAL CONSULTING PRIVATE LTD – MUMBAI	International development and consulting services	IN	100%	FC
PRAMEX INTERNATIONAL CORP – NEW YORK	International development and consulting services	US	100%	FC
PRAMEX INTERNATIONAL DO BRAZIL CONSULTARIA LTDA – SAO PAULO	International development and consulting services	BR	100%	FC
PRAMEX INTERNATIONAL GmbH – FRANKFURT	International development and consulting services	DE	100%	FC
PRAMEX INTERNATIONAL LTD – LONDON	International development and consulting services	GB	100%	FC
PRAMEX INTERNATIONAL PTE LTD – SINGAPORE	International development and consulting services	SG	100%	FC
PRAMEX INTERNATIONAL SRL – MILAN	International development and consulting services	IT	100%	FC
PRAMEX INTERNATIONAL SA – MADRID	International development and consulting services	ES	100%	FC
PRAMEX INTERNATIONAL SARL – TUNIS	International development and consulting services	TN	100%	FC
PRAMEX INTERNATIONAL SP. ZOO – WARSAW	International development and consulting services	PL	100%	FC
SOCIÉTÉ DU CONSEIL ET DE L'INTERMÉDIATION FINANCIÈRE ⁽⁴⁾	Financial investment advisory services	TN	48%	FC
SOCIÉTÉ TUNISIENNE DE PROMOTION DES PÔLES IMMOBILIERS ET INDUSTRIELS ⁽⁴⁾	Real estate development	TN	18%	EQ
TUNIS CENTER ⁽⁴⁾	Real estate development	TN	14%	FC
UNIVERS INVEST (SICAR) ⁽⁴⁾	Private equity	TN	52%	FC
UNIVERS PARTICIPATIONS (SICAF) ⁽⁴⁾	Private equity	TN	60%	FC
Crédit Foncier group				
BANCO PRIMUS	Credit institution	PT	100%	FC
BANCO PRIMUS Spain	Credit institution	ES	100%	FC
CFG COMPTOIR FINANCIER DE GARANTIE	Guarantee company	FR	100%	FC
COFIMAB	Real estate agent	FR	100%	FC
COMPAGNIE DE FINANCEMENT FONCIER	Financial company	FR	100%	FC
CRÉDIT FONCIER DE FRANCE	Credit institution	FR	100%	FC
CRÉDIT FONCIER DE FRANCE – Belgium branch	Credit institution	BE	100%	FC
FONCIER PARTICIPATIONS	Holding company	FR	100%	FC
FONCIÈRE D'ÉVREUX	Real estate operations	FR	100%	FC
GRAMAT BALARD	Real estate operations	FR	100%	FC
SOCIÉTÉ D'INVESTISSEMENT ET DE PARTICIPATION IMMOBILIÈRE (SIPARI)	Holding company	FR	100%	FC
Banque Palatine group				
ARIES ASSURANCES	Insurance brokerage	FR	100%	FC
BANQUE PALATINE	Credit institution	FR	100%	FC
CONSERVATEUR FINANCE	Fund management	FR	20%	EQ
PALATINE ASSET MANAGEMENT	Asset Management	FR	100%	FC
III-4 – CE Holding Participations subsidiaries				
CE HOLDING PARTICIPATIONS	Holding company	FR	100%	FC
CE CAPITAL	Holding company	FR	100%	FC
HABITAT EN RÉGION SERVICES	Holding company	FR	100%	FC
III-5 Local savings companies				
189 local savings companies (LSCs)	Cooperative shareholders	FR	100%	FC

(1) Country of location: BE: Belgium – BR: Brazil – CH: Switzerland – CN: China – DE: Germany – DJ: Djibouti – DK: Denmark – ES: Spain – FJ: Fiji – FR: France – GB: United Kingdom of Great Britain and Northern Ireland – HK: Hong Kong – HU: Hungary – IN: India – IT: Italy – KH: Cambodia – LA: Laos – LU: Luxembourg – MA: Morocco – MC: Principality of Monaco – MQ: Martinique – MT: Malta – NC: New Caledonia – PF: French Polynesia – PL: Poland – PT: Portugal – RE: Reunion – RO: Romania – RU: Russia – SB: Solomon Islands – SG: Singapore – TH: Thailand – TN: Tunisia – UA: Ukraine – US: United States – VN: Vietnam – VU: Vanuatu.

(2) Consolidation method: FC Full consolidation, EQ Equity method, JA Joint activities.

(3) Natixis group comprises 258 fully-consolidated entities and 79 entities consolidated using the equity method. Its main subsidiaries are: Coface (72 entities consolidated using the equity method), Natixis Investment Managers, Natixis North America LLC, Natixis Private Equity.

(4) Entities treated under IFRS 5 at December 31, 2020.

13.5 NON-CONSOLIDATED COMPANIES AT DECEMBER 31, 2020

ANC Regulation No. 2016-09 of December 2, 2016 requires companies that prepare their consolidated financial statements in accordance with international standards as adopted by the European Union to publish additional information relating to companies not included in their scope of consolidation as well as significant equity interests.

Non-consolidated companies include:

- significant interests that do not fall within the scope of consolidation; and
- companies excluded from the scope of consolidation owing to their non-material nature.

Company	Location	Share of equity held	Reason for non-consolidation	Amount of shareholders' equity ⁽¹⁾ (in millions of euros)	Amount of income (in millions of euros)
BATIGÈRE	France	16.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	683	20
CILOGER 2 OPC	France	10.00%	Holding not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	81	10
ECM GROUP	France	10.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	36	4
ERILIA	France	12.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	1,101	33
FDI HABITAT SA D HLM	France	10.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	1	3
FIDEPPP 2	France	13.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	104	(1)
HABITAT DU NORD SA	France	15.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	192	11
HABITATION MODERNE	France	15.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	-	3
HLM COUTANCES GRANVILLE	France	16.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	79	2
IRDI/SORIDEC	France	20.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	120	17
LE COTTAGE SOCIAL DES FLANDRES	France	10.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	112	6
LE TOIT FOREZIEN	France	20.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	34	1
MEDUANE HABITAT (ex SA HLM Laval)	France	11.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	48	(2)
PATRIMOINE SA LANGUEDOCIENNE	France	14.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	237	13
PLUZIX	France	15.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	269	(9)
S3V	France	12.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	132	69
SA HLM Harmonie Habitat ex CIF HABITAT (ex Home Atlantique)	France	12.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	146	4
SA HLM VENDÉE LOGEMENT ESH (ex Le Foyer Vendéen)	France	13.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	109	6
SAIEM GRENOBLE HABITAT	France	11.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	128	30

Company	Location	Share of equity held	Reason for non-consolidation	Amount of shareholders' equity ⁽¹⁾ (in millions of euros)	Amount of income (in millions of euros)
SDH	France	13.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	352	114
SEDIA	France	18.00%	Holding of an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	16	-
SIP	France	17.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	172	7
SOLIHA "BATISSEUR DE LOGEMENT D'INSERTION" HAUTS DE FRANCE	France	19.00%	Holding qualifying as a related party (social housing companies, modest income housing public limited companies, etc.)	59	-
SYSTEME TECHNOLOGIQUE ECHGE ET TRAIT	France	15.00%	Holding not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	108	8
TANDEM	France	11.00%	Holding in an entity not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	63	3

(1) Amount of shareholders' equity and income for the last fiscal year known at the balance sheet date and based on applicable accounting standards according to the country of location.

Information relating to companies excluded from the scope of consolidation owing to their non-material nature is available on the website of Groupe BPCE at the following address: <https://groupebpce.com/en/investors/regulated-information>.

5.2 Statutory Auditors' report on the consolidated financial statements

This is a free translation into English of the Statutory Auditors' report issued in French and is provided solely for the convenience of English speaking readers. This report includes information specifically required by European regulations or French law, such as information about the appointment of Statutory Auditors. This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

(For the year ended December 31, 2020)

To the Annual General Shareholders' Meeting,

Groupe BPCE

50 avenue Pierre Mendès France

75201 Paris cedex 13

I. OPINION

In compliance with the engagement entrusted to us by your Annual General Meeting, we have audited the accompanying consolidated financial statements of Groupe BPCE for the year ended December 31, 2020.

In our opinion, the consolidated financial statements give a true and fair view of the assets and liabilities and of the financial position of the Group as at December 31, 2020 and of the results of its operations for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union.

The audit opinion expressed above is consistent with our report to the Audit Committee.

II. BASIS FOR OPINION

AUDIT FRAMEWORK

We conducted our audit in accordance with professional standards applicable in France. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under those standards are further described in the "Statutory Auditors' Responsibilities for the Audit of the Consolidated Financial Statements" section of our report.

INDEPENDENCE

We conducted our audit engagement in compliance with independence requirements of the French Commercial Code (*Code de commerce*) and the French Code of Ethics (*Code de déontologie*) for statutory auditors, for the period from January 1st, 2020 to the date of our report and specifically we did not provide any prohibited non-audit services referred to in Article 5(1) of Regulation (EU) No 537/2014.

Furthermore, the non-audit services that we provided to your Company and its controlled undertakings during the financial year that are not disclosed in the management report or in the notes to the consolidated financial statements are as follows:

- Deloitte & Associés: the main engagements conducted in fiscal year 2020 concerned certification, specified procedures, comfort letters issued in connection with issuance programs, reviews of compliance procedures and the achievement of attestations and missions of independent third party on the CSR information of the management report.
- Mazars: the main assignments carried out in the 2020 financial year concerned methodological review missions in support of the Risk Department and the Natixis MRM department, on the one hand and comfort letters issued in connection with issuance programs and CSR missions on the other hand.
- PricewaterhouseCoopers Audit: the main engagements conducted in fiscal year 2020 concerned certification, reviews of compliance procedures, services provided as part of restructuring measures, comfort letters issued in connection with issuance programs, tax consultations and CSR missions.

III. EMPHASIS OF MATTER

Without qualifying the opinion expressed above, we draw your attention to the matter described in Note 5.2.3 to the consolidated statements regarding the change in presentation of option premiums.

JUSTIFICATION OF ASSESSMENTS - KEY AUDIT MATTERS

Due to the global crisis related to the Covid-19 pandemic, the financial statements of this period have been prepared and audited under specific conditions. Indeed, this crisis and the exceptional measures taken in the context of the state of sanitary emergency have had numerous consequences for companies, particularly on their operations and their financing, and have led to greater uncertainties on their future prospects. Those measures, such as travel restrictions and remote working, have also had an impact on the companies' internal organization and the performance of the audits.

In this complex and evolving context and in accordance with the requirements of Articles L. 823-9 and R. 823-7 of the French Commercial Code (*Code de commerce*) relating to the justification of our assessments, we inform you of the key audit matters relating to risks of material misstatement that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period, as well as how we addressed those risks.

These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on specific items of the consolidated financial statements.

Impairment of loans and receivables (stages 1, 2 and 3)



Risk identified and main judgements

The Groupe BPCE is exposed to credit risk. This risk results from the inability of one of its clients or counterparties to honor their financial commitments, in particular, covering their loan activities.

In accordance with the "impairment" aspect of IFRS 9, your Group records impairments and provisions intended to cover expected (Stages 1 and 2 loans) or proven (Stage 3 loan) losses.

Impairment for expected losses (Stages 1 and 2) is mainly determined based on models developed by BPCE integrating different inputs (probability of default, loss rate in the event of default, PD, LGD forward-looking information...), in addition to, if necessary, sectoral-based charges based on local specificities.

The Covid-19 pandemic led to health and economic crisis which affect the ability of borrowers to reimburse their loans, with contrasted situations depending on geographic zones and lines of business. In response to this crisis, government measures specific to each country have been deployed (partial unemployment, state-guaranteed loans, moratoriums, etc.).

In this context of strong uncertainty due to the evolving nature of the pandemic and the lack of historical comparatives, the modalities of the impairment for expected losses calculation have known some adjustments, presented in Note 1.5.2.1 to the consolidated statements. These expected credit losses are supplemented when needed with sector- based impairments, taking into account local particularities.

Loan outstandings having a proven counterparty risk (Stage 3) are mainly impaired on an individual basis. These impairments are assessed by Management depending on estimated future recoverable cash flows for each loan concerned.

We considered the identification and assessment of credit risk to be a key audit matter for the fiscal year 2020, in the context of the Covid-19 crisis, given that the provisions resulting therefrom represent significant estimates for the preparation of the accounts and requires Management to exercise judgement with respect to classifying the loan outstandings in the different stages, determining the Stage 1 and 2 impairment calculation inputs and methods and the assessment of the amount of provisioning for Stage 3 loan outstandings on an individual basis.

Exposures to credit and counterparty risk on which IFRS 9 impairments are calculated represent approximately 64% of total assets of Groupe BPCE at December 31, 2019 (59% and €850 billion of gross outstandings only for loans and receivables).

The impairment on outstanding and related loans amounts to €13.6 billion of which €1.4 billion for Stage 1, €2.7 billion for Stage 2, €9.3 billion for Stage 3. The cost of risk for fiscal year 2020 amounts to €3 billion.

For more information on accounting principles and exposures, please see Notes 5.5 and 7.1 to the consolidated financial statements.

The impacts of the Covid-19 crisis on credit risk are mentioned in Note 1.5.2.1 to the consolidated financial statements.



Our response

Our work has been reinforced to take into account the evolution of risks and an increased level of uncertainty. In this context, we have assessed the adequacy of the coverage of credit risk and the overall level of cost of risk, as well as the appropriateness of the internal control framework, in particular the adjustments made in response to the crisis context.

Impairment of Stage 1 and Stage 2 outstanding loans

Our work mainly consisted in:

- verifying the existence of an internal control governing the validation of internal models and the definition of the inputs used in the calculation of impairment and analyzing the impairment evolutions;
- controlling methodological evolutions and adjustments to the expected credit losses calculations in the context of the Covid-19 crisis;
- assessing the relevance of the inputs used for the impairment calculations at December 31;
- redoing the calculations on the main loan portfolios;
- evaluate the internal control system governing the validation of internal models and the definition of the inputs used in the calculation of impairment;
- realizing controls on the Groupe BPCE IT framework, including the review of IT General Controls, interfaces and embedded controls regarding specific data used in processing IFRS9 information;
- reviewing the updating measures for local sectoral provisions, when necessary.

Impairment of Stage 3 loans outstanding

As part of our audit procedures, we generally reviewed the internal controls related to identifying exposures, monitoring credit and counterparty risk, assessing non-recovery risk and determining related impairment and provisions on an individual basis.

Our procedures consisted in assessing the quality of the measures for monitoring sensitive, doubtful and litigious counterparties; the loan review process. Furthermore, based on a sampling of files selected using materiality and risk criteria, we redid the calculations for the provision amounts.

We have also assessed the relevance of the disclosures set forth in the notes required with respect to credit risk in the evolving context of the pandemic, in particular disclosures required by the IFRS 7 standard.

Level 2 and 3 financial instruments under IFRS 13



Risk identified and main judgements

The Groupe BPCE holds a substantive part of financial instruments which are recognized in the balance sheet at fair value. They are allocated to three levels defined by IFRS 13 depending on the fair value measurement method used.

Market value is determined according to different approaches depending on the nature and complexity of the instruments: use of listed prices observable on the market (level 1 financial instruments in the fair value hierarchy), use of valuation models based on significant inputs observable on the market (level 2 financial instruments) and use of valuation models based on significant inputs unobservable in the market (level 3 financial instruments).

The valuation of levels 2 and 3 financial instruments at fair value relies on valuation techniques that use significant judgement regarding the choice of methodologies used:

- determination of valuation inputs unobservable on the market;
- use of internal valuation models;
- additional valuation adjustments made, to reflect certain market, counterparty or liquidity risks.

We deemed the valuation of complex financial instruments, especially financial instruments classified in levels 2 and 3 to be a key audit matter due to significant expositions and judgment in the determination of fair value, especially for certain typologies of financial instruments in the evolving economic context linked to the health crisis.

For more details on accounting principles and fair value hierarchy of financial instruments, see note 10 to the consolidated financial statements.

The impacts of the Covid-19 crisis on the fair value of financial assets are mentioned in note 1.5.2.2 to the consolidated financial statements.



Our response

We reviewed the internal control procedures relating to the determination, valuation and recording of complex financial instruments classified at fair value in levels 2 and 3.

We interviewed the Risk, Compliance and Permanent Control division and we acknowledge reporting and memos of Committees from this department (in conjunction with our Audit team at Natixis, contributor to this topic).

We tested the controls that we deemed relevant to our audit, including those relating to:

- the approval and regular review by Management of the risks of the valuation models;
- the independent verification of the valuation inputs;
- the determination of value adjustments as well as corrections added in the value;
- the approval and regular review of observability criteria used in the classification of each operation as observable/unobservable;
- the classification of financial instruments according to the fair value hierarchy.

We performed these procedures with the assistance of our valuation experts, with whom we also made counter valuation work. Based on sampling, our experts analyzed the relevance of the assumptions; inputs and models used to determine the main adjustments to valuation as at December 31, 2020.

We also analyzed the differences on existing collateral calls and gain or losses in case of sale of instruments allowing to contribute to the review of appropriateness of valuations.

Finally, we examined the disclosures relating to the valuation of financial instruments published in the notes to the consolidated financial statements, including disclosures relating to the impacts of the health crisis on the fair value of financial instruments.

Valuation of goodwill and intangible assets with infinite lives



Risk identified and main judgements

Groupe BPCE recognizes goodwill in its consolidated financial statements. External growth operations made by Groupe BPCE drive it to (i) appreciate the modalities of the exercise of control over the acquired entity in accordance with IFRS 10 'Consolidated Financial Statements' and (ii) allocate the purchase price in accordance with IFRS 3 'Business Combinations'. Following this purchase price allocation, the 'surplus' remaining unallocated, corresponding to the residual identifiable net asset, accounted for in 'goodwill'.

These goodwills and the intangible assets acquired for which useful life is indefinite are subject to impairment tests at least each year, based on the appreciation of recoverable value of cash generating units (CGU) to which they are related, or as soon as an indication of an impairment loss appears. The determination of recoverable value relies on the discount of future cash flows of the CGU resulting from medium term plans established by entities and challenged by Groupe BPCE.

We deemed that the treatment of business combinations and, goodwill and limited-life intangible assets impairment tests to be a key audit matter by their very nature as they require the exercise of judgment regarding the structuring assumptions used especially for the determination of economic scenarios, financial trajectories or discount levels, especially in the unfavorable economic context of the health crisis.

At December 31, 2020, the gross value of goodwill amounted to €4,775 million and accumulated impairment losses stood at €468 million.

The terms of the impairment test implemented by BPCE as well as the key assumptions used to determine the recoverable value and sensitivities of the recoverable amounts are described in Note 3.5.2 to the consolidated financial statements.



Our response

We have examined the main business combination operations of the fiscal year and their impact on the value of goodwill (including business combinations mentioned in the significant events in the notes to the consolidated financial statements).

With the help of our experts, we evaluated the procedure implemented by the Group to identify signs of potential impairment loss and carried out a critical review of the method used for implementing impairment tests. In particular, our work includes:

- comparison of assumptions and inputs with external sources;
- review of the reasonableness of the medium-term plans retained for each concerned CGU involving, in particular in the economic context of the health crisis:
 - the confrontation with the strategic plan of the Group approved by the governing bodies (supervisory or administrative) of the entities,
 - the assessment of the consistency and reliability of the main assumptions used to prepare the plans, particularly regarding the financial trajectories developed during past financial years and actually carried out,
 - the analysis of the sensitivity to different valuation inputs (equity, discount rate...);
- verification of the consistency of the disclosures published on the results of these impairment tests.

Insurance Technical Reserves



Risk identified and main judgements

Within the scope of its insurance activities, Groupe BPCE records technical reserves related to the commitments toward insured persons.

We deemed that the valuation of reserves to be a key audit matter as it represents a significant amount in the consolidated financial statements and that some of these reserves requires the exercise of judgment in the determination of underlying assumptions (actual mortality rates and behavior) or the use of calculation models, in particular in the context of public health crisis linked to the Covid-19 pandemic.

The technical reserves of the insurance contracts amount to €103.8 billion at December 31, 2020.

Please see Note 9.1.2 to the consolidated financial statements for further details.



Our response

We used our experts, the actuaries, to assist us in performing our audit procedures on these items.

The main audit procedures implemented include, depending on the nature of the risks provisioned to:

- obtain an understanding of the general conditions relating to insurance contracts marketed by the group;
- evaluate the methods and assumptions used to calculate the reserves, specifically their compliance with applicable regulations, market practices and the economic and financial context;
- test, on the basis of accounting reconciliations, recurrence tests, or surveys, the reliability of information relating to insurance contracts recorded in the management systems and used for the valuation of technical reserves;
- carry out an independent recalculation of specific reserves, when necessary on the basis of a sampling of contracts;
- assess the methods of calculation and the result of the adequacy of liabilities test, as required by IFRS 4.

We also examined the disclosures published in the notes to Groupe BPCE's consolidated financial statements relating to insurance liabilities and took note of the conclusions of CNP Assurances' statutory auditors, consolidated by Groupe BPCE using the equity method.

IV. SPECIFIC VERIFICATIONS

As required by law, we have also verified in accordance with professional standards applicable in France the information pertaining to the Group presented in the management report of the Group.

We have no matters to report as to its fair presentation and its consistency with the consolidated financial statements.

We attest that the consolidated non-financial statement required by Article L.225-102-1 of the French Commercial Code (*Code de commerce*) is included in Group management report, being specified that, in accordance with the provisions of Article L.823-10 of the code, we have not verified the fair presentation and the consistency with the consolidated financial statements of the information contained and should be reported on by an independent assurance services provider.

V. OTHER LEGAL AND REGULATORY INFORMATION

FORMAT OF THE ANNUAL FINANCIAL STATEMENTS FOR INCLUSION IN THE ANNUAL FINANCIAL REPORT

In accordance with Article 222-3, III of the AMF General Regulation, the Company's management informed us of its decision to postpone the presentation of the consolidated financial statements in compliance with the European single electronic format as defined in the European Delegated Regulation No 2019/815 of 17 December 2018 to years beginning on or after January 1st, 2021. Therefore, this report does not include a conclusion on the compliance with this format of the presentation of the consolidated financial statements intended to be included in the annual financial report mentioned in Article L. 451-1-2, I of the French Monetary and Financial Code (*Code monétaire et financier*).

APPOINTMENT OF THE STATUTORY AUDITORS

We were appointed as statutory auditors of BPCE by the annual general meeting of BPCE held on May 22, 2015 for Deloitte & Associés and on July 2, 2009 for PricewaterhouseCoopers Audit. As at 31st December 2020, Deloitte & Associés was in the sixth year of total uninterrupted engagement, PricewaterhouseCoopers Audit in the twelfth.

Mazars was appointed as statutory auditors in the first statutes dated December 19, 2006 of GCE Nao (whose corporate name became BPCE in July 2009), upon its incorporation. As at 31st December 2020, Mazars was in the fourteenth year of total uninterrupted engagement, including 12 years since the company became a public-interest entity.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the European Union, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless it is expected to liquidate the Company or to cease operations.

The Audit Committee is responsible for monitoring the financial reporting process and the effectiveness of internal control and risk management systems and where applicable, its internal audit, regarding the accounting and financial reporting procedures.

The consolidated financial statements were approved by the Management Board.

VI. STATUTORY AUDITORS' RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Objectives and audit approach

Our role is to issue a report on the consolidated financial statements. Our objective is to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with professional standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As specified in Article L. 823-10-1 of the French Commercial Code (*Code de commerce*), our statutory audit does not include assurance on the viability of the Company or the quality of management of the affairs of the Company.

As part of an audit conducted in accordance with professional standards applicable in France, the statutory auditor exercises professional judgment throughout the audit and furthermore:

- identifies and assesses the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, designs and performs audit procedures responsive to those risks, and obtains audit evidence considered to be sufficient and appropriate to provide a basis for his opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- obtains an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control;
- evaluates the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management in the consolidated financial statement;
- assesses the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. This assessment is based on the audit evidence obtained up to the date of his audit report. However, future events or conditions may cause the Company to cease to continue as a going concern. If the statutory auditor concludes that a material uncertainty exists, there is a requirement to draw attention in the audit report to the related disclosures in the consolidated financial statements or, if such disclosures are not provided or inadequate, to modify the opinion expressed therein;
- evaluates the overall presentation of the consolidated financial statements and assesses whether these statements represent the underlying transactions and events in a manner that achieves fair presentation;
- obtains sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. The statutory auditor is responsible for the direction, supervision and performance of the audit of the consolidated financial statements and for the opinion expressed on these consolidated financial statements.

Report to the Audit Committee

We submit a report to the Audit Committee which includes in particular a description of the scope of the audit and the audit program implemented, as well as the results of our audit. We also report, if any, significant deficiencies in internal control regarding the accounting and financial reporting procedures that we have identified.

Our report to the Audit Committee includes the risks of material misstatement that, in our professional judgment, were of most significance in the audit of the consolidated financial statements of the current period and which are therefore the key audit matters, that we are required to describe in this report.

We also provide the Audit Committee with the declaration provided for in Article 6 of Regulation (EU) N° 537/2014, confirming our independence within the meaning of the rules applicable in France such as they are set in particular by Articles L.822-10 to L.822-14 of the French Commercial Code (*Code de commerce*) and in the French Code of Ethics (*Code de déontologie*) for statutory auditors. Where appropriate, we discuss with the Audit Committee the risks that may reasonably be thought to bear on our independence, and the related safeguards.

Paris La Défense and Neuilly-sur-Seine, March 5, 2021

The Statutory Auditors

Deloitte & Associés

Marjorie Blanc Lourme

Mazars

Charles de Boisriou

PricewaterhouseCoopers Audit

Nicolas Montillot

Emmanuel Benoist

5.3 IFRS Consolidated Financial Statements of BPCE SA group as at December 31, 2020

5.3.1 Consolidated income statement

<i>in millions of euros</i>	<i>Notes</i>	Fiscal year 2020	Fiscal year 2019
Interest and similar income	4.1	10,912	11,647
Interest and similar expenses	4.1	(9,141)	(10,230)
Commission income	4.2	5,758	6,342
Commission expenses	4.2	(2,066)	(2,305)
Net gains or losses on financial instruments at fair value through profit or loss	4.3	1,099	1,854
Net gains or losses on financial instruments at fair value through other comprehensive income	4.4	85	103
Net gains or losses arising from the derecognition of financial assets at amortized cost	4.5	10	9
Net income from insurance businesses	9.2.1	2,350	3,132
Income from other activities	4.6	1,333	1,308
Expenses from other activities	4.6	(524)	(714)
Net banking income		9,816	11,145
Operating expenses	4.7	(7,344)	(8,181)
Depreciation, amortization and impairment for property, plant and equipment and intangible assets		(618)	(678)
Gross operating income		1,854	2,286
Cost of credit risk	7.1.1	(1,204)	(503)
Operating income		649	1,782
Share in net income of associates and joint ventures	12.4.2	159	231
Gains or losses on other assets	4.8	(308)	(7)
Change in the value of goodwill			(84)
Income before tax		500	1,923
Income tax	11.1	(189)	(594)
Net income		311	1,329
Non-controlling interests	5.16.1	(136)	(698)
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT		176	631

5.3.2 Comprehensive income

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Net income	311	1,329
Items recyclable to net income	(230)	760
Translation adjustments	(402)	177
Revaluation of financial assets at fair value through other comprehensive income recyclable to profit or loss	26	38
Revaluation of available-for-sale financial assets of insurance businesses	253	472
Revaluation of derivatives hedging items that can be recycled to profit or loss	(32)	63
Share of gains and losses of associates recognized directly in other comprehensive income	7	177
Related taxes	(82)	(167)
Items not recyclable to net income	48	(190)
Revaluation (or actuarial gains and losses) in respect of defined-benefit plans	21	(107)
Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss	(23)	(235)
Revaluation of equity financial assets recognized at fair value through other comprehensive income	108	90
Share of gains and losses of associates recognized directly in other comprehensive income	(2)	(5)
Other items recognized through other comprehensive income on items not recyclable to profit or loss		(1)
Related taxes	(56)	68
GAINS AND LOSSES RECOGNIZED DIRECTLY IN OTHER COMPREHENSIVE INCOME	(182)	570
COMPREHENSIVE INCOME	129	1,898
Attributable to equity holders of the parent	32	1,069
Non-controlling interests	97	830

For information, items not recyclable to profit or loss transferred to retained earnings amounted to -€28 million for 2020 and -€7 million for 2019.

5.3.3 Consolidated balance sheet

ASSETS

<i>in millions of euros</i>	<i>Notes</i>	12/31/2020	12/31/2019
Cash and amounts due from central banks	5.1	148,709	72,602
Financial assets at fair value through profit or loss ⁽¹⁾	5.2.1	190,815	204,759
Hedging derivatives	5.3	7,907	7,873
Financial assets at fair value through other comprehensive income	5.4	17,797	17,116
Securities at amortized cost	5.5.1	13,904	15,045
Loans and receivables due from banks and similar at amortized cost	5.5.2	149,862	129,373
Loans and receivables due from customers at amortized cost	5.5.3	171,211	177,277
Revaluation differences on interest rate risk-hedged portfolios		6,835	6,020
Insurance business investments	9.1.1	117,104	111,787
Current tax assets		715	761
Deferred tax assets	11.2	1,775	1,971
Accrued income and other assets ⁽¹⁾	5.6	8,753	8 548
Non-current assets held for sale	5.7	2,599	578
Investments in associates	12.4.1	4,102	3,769
Investment property	5.8	65	73
Property, plant and equipment	5.9	2,157	2,294
Intangible assets	5.9	901	958
Goodwill	3.4.1	3,730	4,088
TOTAL ASSETS		848,941	764,892

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

LIABILITIES

<i>in millions of euros</i>	<i>Notes</i>	12/31/2020	12/31/2019
Financial liabilities at fair value through profit or loss ⁽¹⁾	5.2.2	199,582	200,051
Hedging derivatives	5.3	10,039	10,113
Debt securities	5.10	212,196	224,611
Amounts due to banks and similar	5.11.1	208,259	113,073
Amounts due to customers	5.11.2	50,705	50,156
Revaluation differences on interest rate risk-hedged portfolios		199	184
Current tax liabilities		645	904
Deferred tax liabilities	11.2	1,187	1,339
Accrued expenses and other liabilities ⁽¹⁾	5.12	12,566	13,255
Liabilities associated with non-current assets held for sale	5.7	1,945	528
Liabilities related to insurance policies	9.1.2	106,918	102,982
Provisions	5.13	2,637	2,659
Subordinated debt	5.14	16,243	17,346
Equity		25,820	27,692
Equity attributable to equity holders of the parent		20,246	20,420
Share capital and additional paid-in capital	5.15.1	14,506	14,185
Retained earnings		4,855	4,731
Gains and losses recognized directly in other comprehensive income		709	873
Income for the period		176	631
Non-controlling interests	5.16	5,573	7,272
TOTAL LIABILITIES AND EQUITY		848,941	764,892

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

5.3.4 Statement of changes in equity

	Share capital and additional paid-in capital			
	Share capital (Note 5.15.1)	Additional paid-in capital (Note 5.15.1)	Perpetual deeply subordinated notes	Retained earnings
<i>in millions of euros</i>				
SHAREHOLDERS' EQUITY AT JANUARY 1, 2019	158	12,625	1,383	5,000
Dividend payments				(407)
Capital increase (Note 5.15.1)	12	1,390		
Issuance & redemption of deeply subordinated notes (Note 5.15.2)			(683)	(65)
Interest on deeply subordinated notes				(110)
Impact of acquisitions and disposals on non-controlling interests (Note 5.16.2)				(355)
Total activity arising from relations with shareholders	12	1,390	(683)	(937)
Gains and losses recognized directly in shareholders' equity (Note 5.17)				
Capital gains and losses reclassified to retained earnings				(7)
Net income for the period				
Comprehensive income				(7)
Other changes ⁽¹⁾				(26)
SHAREHOLDERS' EQUITY AT DECEMBER 31, 2019	170	14,015	700	4,030
Allocation of net income for 2019				631
SHAREHOLDERS' EQUITY AT JANUARY 1, 2020	170	14,015	700	4,661
Dividend payments				(914)
Capital increase (Note 5.15.1)	3	318		
Issuance & redemption of deeply subordinated notes (Note 5.15.2)				
Interest on deeply subordinated notes				(37)
Impact of acquisitions and disposals on non-controlling interests (Note 5.16.2)				449
Total activity arising from relations with shareholders	3	318		(502)
Gains and losses recognized directly in shareholders' equity (Note 5.17)				
Capital gains and losses reclassified to retained earnings				(24)
Net income for the period				
Comprehensive income				(24)
Other changes ⁽¹⁾				21
SHAREHOLDERS' EQUITY AT DECEMBER 31, 2020	173	14,333	700	4,156

(1) Other changes also include interest on perpetual deeply subordinated notes for the portion subscribed for by non-controlling interests.

Gains and losses recognized directly in other comprehensive income								Total equity attributable to equity holders of the parent	Non-controlling interests	Total consolidated equity
Recyclable				Non-recyclable						
Foreign exchange rate adjustments	Debt financial assets recognized at fair value through other comprehensive income	Available-for-sale financial assets of insurance businesses	Change in fair value of hedging derivatives	Equity financial assets recognized at fair value through other comprehensive income	Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss	Revaluation differences on employee benefits	Net income attributable to equity holders of the parent			
198	(3)	716	(266)	(155)	46	(97)		19,604	7,048	26,652
								(407)	(1,023)	(1,430)
								1,402		1,402
								(748)		(748)
								(110)		(110)
		20	(31)					(366)	413	48
		20	(31)					(229)	(610)	(838)
101	23	405	46	57	(122)	(71)		439	131	570
				7						
							631	631	698	1,329
101	23	405	46	64	(122)	(71)	631	1,070	829	1,899
								(26)	5	(21)
299	20	1,141	(251)	(91)	(76)	(169)	631	20,419	7,272	27,692
							(631)			
299	20	1,141	(251)	(91)	(76)	(169)		20,419	7,272	27,692
								(914)	(167)	(1,081)
								321		321
								(37)		(37)
2		(55)				8		404	(1,585)	(1,181)
2		(55)				8		(226)	(1,752)	(1,978)
(377)	22	223	(32)	22	(12)	10		(144)	(38)	(182)
				24						
							176	176	135	311
(377)	22	223	(32)	46	(12)	10	176	32	97	129
								21	(44)	(23)
(76)	42	1,309	(283)	(45)	(88)	(151)	176	20,246	5,573	25,820

5.3.5 Consolidated cash flow statement

in millions of euros

	Fiscal year 2020	Fiscal year 2019
Income before tax	500	1,923
Net depreciation and amortization of property, plant and equipment, and intangible assets	689	781
Goodwill impairment	0	84
Net charge to provisions and provisions for impairment (including insurance companies' technical reserves)	4,761	8,858
Share in net income of associates	(217)	(122)
Net cash flows generated by investing activities	(263)	(1,237)
Other changes	(866)	611
Total non-monetary items included in net income before tax	4,104	8,974
Net increase (decrease) arising from transactions with banks	44,651	(10,716)
Net increase (decrease) arising from transactions with customers	5,400	(4,191)
Net increase (decrease) arising from transactions involving financial assets and liabilities	(6,649)	(2,104)
Net increase (decrease) arising from transactions involving non-financial assets and liabilities	516	630
Income taxes paid	(394)	(626)
Net increase (decrease) in assets and liabilities resulting from operating activities	43,524	(17,007)
Net cash flows generated by operating activities (A)⁽³⁾	48,128	(6,111)
Net increase (decrease) related to financial assets and equity investments	1,424	4,157
Net increase (decrease) related to investment property	(50)	(160)
Net increase (decrease) related to property, plant and equipment, and intangible assets	(571)	(496)
Net cash flows generated by investing activities (B)⁽³⁾	803	3,705
Net increase (decrease) arising from transactions with shareholders ⁽¹⁾	(1,081)	(138)
Other increases (decreases) generated by financing activities ⁽²⁾	(449)	(576)
Net cash flows generated by financing activities (C)⁽³⁾	(1,530)	(714)
Impact of changes in exchange rates (D)⁽³⁾	(1,708)	279
Cash flow on assets and liabilities held for sale (E)⁽³⁾	(1,025)	0
TOTAL NET CASH FLOWS (A+B+C+D+E)	44,667	(3,045)
Cash and net balance of accounts with central banks	72,602	66,647
Cash and net balance of accounts with central banks (assets)	72,602	66,656
Balance of accounts with central banks (liabilities)	(0)	(9)
Net balance of demand transactions with banks	(26,392)	(17,391)
Current accounts with overdrafts ⁽⁴⁾	6,185	7,278
Demand accounts and loans	56	170
Demand accounts in credit	(30,187)	(22,650)
Demand repurchase agreements	(2,446)	(2,188)
Opening cash and cash equivalents	46,211	49,256
Cash and net balance of accounts with central banks	148,709	72,602
Cash and net balance of accounts with central banks (assets)	148,709	72,602
Net balance of demand transactions with banks	(57,831)	(26,392)
Current accounts with overdrafts ⁽⁴⁾	5,197	6,185
Demand accounts and loans	31	56
Demand accounts in credit	(60,348)	(30,187)
Demand repurchase agreements	(2,710)	(2,446)
Closing cash and cash equivalents	90,878	46,211
NET CHANGE IN CASH AND CASH EQUIVALENTS	44,667	(3,045)

(1) Cash flows from or to the shareholders mainly include:

- dividend payouts amounting to -€1,081 million (-€1,216 million in 2019);
- BPCE SA's capital increase and additional paid-in capital totaling +€321 million.

(2) Cash flows from financing activities mainly include the impact of redemptions of subordinated notes and loans for -€449 million (-€576 million in 2019).

(3) In 2020, a change in presentation was made to improve the readability of cash flow on assets and liabilities held for sale, by reporting these as a separate item.

(4) Current accounts with overdrafts do not include Livret A, LDD and LEP savings accounts centralized with the Caisse des Dépôts et Consignations.

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Note 1 General framework

1.1 GROUPE BPCE

Groupe BPCE comprises the Banque Populaire network, the Caisse d'Epargne network, the BPCE central institution and its subsidiaries.

TWO BANKING NETWORKS: THE BANQUES POPULAIRES AND THE CAISSES D'EPARGNE

Groupe BPCE is a cooperative group whose shareholders own the two retail banking networks: the 14 Banques Populaires and the 15 Caisses d'Epargne. Each of the two networks owns an equal share in BPCE, the Group's central institution.

The Banque Populaire network consists of the Banques Populaires and the Mutual Guarantee Companies which grant them the exclusive benefit of their guarantees.

The Caisse d'Epargne network consists of the Caisses d'Epargne and the local savings companies (LSCs).

The Banques Populaires are wholly-owned by their cooperative shareholders.

The capital of the Caisses d'Epargne is wholly-owned by the LSCs. Local savings companies are cooperative structures with open-ended share capital owned by cooperative shareholders. The LSCs are tasked with coordinating the cooperative shareholder base, in line with the general objectives defined by the individual Caisse d'Epargne with which they are affiliated, and cannot perform banking transactions.

BPCE

BPCE, a central institution as defined by the French Banking Law and a credit institution licensed to operate as a bank, was created pursuant to Act No. 2009-715 of June 18, 2009. BPCE was incorporated as a French limited liability company governed by a Management Board and a Supervisory Board, whose share capital is owned jointly and equally by the 14 Banques Populaires and the 15 Caisses d'Epargne.

BPCE's corporate mission embodies the continuity of the cooperative principles underlying the Banques Populaires and the Caisses d'Epargne.

Specifically, BPCE represents the interests of its various affiliates in dealings with the supervisory authorities, defines the range of products and services offered by them, organizes depositor protection, approves key appointments of company directors and oversees the smooth operation of the Group's institutions.

As a holding company, BPCE is the head entity of the Group and holds the joint ventures between the two networks in Retail Banking and Insurance, corporate banking and financial services, and their production units. It defines the Group's corporate strategy and growth and expansion policies.

The network and BPCE's main subsidiaries, including Natixis, a 70.662%-owned list company, are organized around three core business lines:

- Retail Banking and Insurance, which includes the Banque Populaire network, the Caisse d'Epargne network, the Financial Solutions & Expertise business line (including factoring, consumer finance, leasing, sureties & financial guarantees, and "retail securities"), the Natixis' Payments and Insurance business lines and Other networks (primarily Banque Palatine) and the Oney group;
- Asset & Wealth Management; and
- Corporate & Investment Banking.

In respect of the Group's financial functions, BPCE is responsible, in particular, for the centralized management of surplus funds, for the execution of any financial transactions required to develop and fund the Group, and for choosing the most appropriate counterparty for these transactions in the broader interests of the Group. BPCE also provides banking services to the other Group entities.

1.2 GUARANTEE MECHANISM

Pursuant to Articles L. 511-31 and L. 512-107-6 of the French Monetary and Financial Code, the guarantee and solidarity mechanism was set up to ensure the liquidity and capital adequacy of the Group and its associates, and to organize financial support within the Group.

BPCE is tasked with taking all measures necessary to guarantee the capital adequacy of the Group and each of the networks, including implementing the appropriate internal financing mechanisms within the Group and establishing a Mutual Guarantee Fund common to both networks, for which it determines the operating rules, the conditions for the provision of financial support to the existing funds of the two networks, as well as the contributions of associates to the fund's initial capital endowment and reconstitution.

BPCE manages the Banque Populaire network Fund and the Caisse d'Epargne network Fund and has established the Mutual Guarantee Fund.

The **Banque Populaire Network Fund** was formed by a deposit made by the Banques Populaires of €450 million that was booked by BPCE in the form of a 10-year term account which is indefinitely renewable.

The deposit made to the **Caisse d'Epargne Network Fund** by the Caisses d'Epargne of €450 million was booked by BPCE in the form of a 10-year term account which is indefinitely renewable.

The **Mutual Guarantee Fund** was formed by deposits made by the Banques Populaires and the Caisses d'Epargne. These deposits were booked by BPCE in the form of 10-year term accounts which are indefinitely renewable. The amount of the deposits by network was €176 million at December 31, 2020.

The total amount of deposits made to BPCE in respect of the Banque Populaire network Fund, the Caisse d'Epargne network Fund and the Mutual Guarantee Fund may not be less than 0.15% and may not exceed 0.3% of the Group's total risk-weighted assets.

The booking of deposits in the institutions' individual accounts under the guarantee and solidarity system results in the recording of an item of an equivalent amount under a dedicated capital heading.

The Mutual Guarantee Companies (*sociétés de caution mutuelle*), whose sole corporate purpose is to guarantee loans issued by Banques Populaires, are covered by the liquidity and capital adequacy guarantee in their quality as affiliates of the central institution.

The liquidity and capital adequacy of the local savings companies are secured, firstly, at the level of each individual local savings company by the Caisse d'Epargne of which the local savings company in question is a shareholder.

BPCE's Management Board holds all the requisite powers to mobilize the resources of the various contributors without delay and in accordance with the agreed order, on the basis of prior authorizations given to BPCE by the contributors.

1.3 SIGNIFICANT EVENTS

COVID-19

2020 was marked by the Covid-19 health crisis. The rapid spread of the virus, which the World Health Organization qualified as a pandemic on March 11, 2020, caused a slump in the global economy, affecting many business sectors and having major repercussions on economic activity in many countries. Restrictions on mobility in the affected regions and the disruption to supply chains caused by the closure of industrial and commercial companies had considerable effects on economic value chains in the regions and business sectors that were impacted (tourist revenue, air transport, local sales, etc.).

To support their economies during the public health crisis, national governments announced measures to provide financial and non-financial assistance to affected sectors.

The Covid-19 crisis also spread to the world of finance, with extremely high levels of volatility and erratic fluctuations on the financial markets. Against a backdrop of high uncertainty, BPCE SA group took into account the effects of the crisis – as they could be understood at the reporting date – when measuring its financial assets and liabilities and the impairment and provisions recorded in its accounts at December 31, 2020.

The impact of the crisis on the financial statements at December 31, 2020 is described in Note 1.5.

DISPOSAL OF COFACE GROUP

On February 25, 2020, Natixis announced it had signed an agreement with Arch Capital Group (a listed insurer and reinsurer in the United States) for the sale of 29.5% of the capital and voting rights in Coface, for a price of €10.70 per share. This price was revised on August 28, 2020 to €9.95 per share, which increased the loss on disposal recognized to €146 million. Completion of the transaction is contingent on regulatory approval.

The signing of this agreement led Natixis to review the nature of its control of Coface. As the criteria for exclusive control under IFRS 10 are no longer met, Natixis, and hence the BPCE SA group, decided that as of February 25, 2020, it no longer exercised exclusive control over Coface and should therefore no longer apply the full consolidation method.

However, it does continue to exercise significant influence. Accordingly, the residual 12.7% holding in Coface was consolidated under the equity method from January 1, 2020, to simplify calculations and better reflect the impact of this transaction in the consolidated financial statements.

The transaction comprised two parts: first, the full disposal of shares in the subsidiary, and second, a new investment corresponding to the interest retained by the Group.

At December 31, 2020, the loss of exclusive control led the Group to recognize in its financial statements:

- the gain or loss on disposal at the date of loss of control (i.e. January 1, 2020), plus the impact of the price adjustment described above, which amounts to -€146 million presented on the line "Gains or losses on other assets" of the consolidated income statement;

- the 29.5% interest sold to Arch Capital Group, measured at the sale price less disposal costs directly related to the sale, recorded in a separate line on the balance sheet under "Non-current assets held for sale", for €446 million;
- the residual 12.7% interest, which is not covered by the sale agreement, continues to be consolidated under the equity method and is shown in the balance sheet under "Investments in associates", in the amount of €159 million at December 31, 2020, after a -€57 million impairment charge based on Coface's closing price of €8.21 per share. This impairment is recorded on the line "Share in net income of companies accounted for by the equity method" in the consolidated income statement.

H2O

In Q4 2020, the Group entered negotiations on the sale of its entire stake in H2O, i.e. 50.01% of the share capital, via an own share buyback.

At December 31, 2020, H2O remained fully consolidated within the Group. In accordance with IFRS 5 "Non-current assets held for sale and discontinued operations", all assets and liabilities belonging to H2O were reclassified as, respectively, "Non-current assets held for sale" for €282 million and "Liabilities associated with non-current assets held for sale" for €55 million.

The sale was suspended pending regulatory approval. At December 31, 2020, the net loss on disposal was estimated at -€48 million. This loss is booked under "Gains or losses on other assets" excluding tax effects.

NATIXIS-BANQUE POSTALE PARTNERSHIP

On October 31, 2020, following the granting of regulatory approval, Natixis and La Banque Postale (LBP) completed the merger of the fixed-income and insurance asset management activities of Ostrum Asset Management and La Banque Postale Asset Management (LBP AM) announced in 2019. The deal took the form of a transfer of LBP AM's assets to Ostrum.

Following the transfer, Natixis holds a 55% stake in Ostrum and La Banque Postale the other 45%. Before the merger, Ostrum's activities unrelated to fixed-income and insurance asset management were transferred to other companies in the Natixis IM group.

Regarding IFRS 10, the Group exercises exclusive control over the company which is therefore fully consolidated in its financial statements.

The deal is treated in two stages for accounting purposes:

- a takeover of LBP AM booked as an acquisition giving rise to goodwill of €52 million at December 31, 2020;
- a reduction in Ostrum AM's percentage interest without loss of control due to the dilution of its holding, booked in "Equity attributable to equity holders of the parent" for +€12 million.

Furthermore, LBP AM has a put option granted by Natixis on all the shares it holds. An €80 million non-controlling shareholder put option was therefore booked under liabilities at December 31, 2020.

DISPOSAL OF FIDOR SOLUTIONS AND PROPOSED DISPOSAL OF FIDOR BANK

In the first half of 2020, BPCE SA group performed an in-depth strategic review of its holding in Fidor group.

As of June 30, 2020, insofar as pursuing Fidor's activity no longer seemed feasible within BPCE SA group, it was deemed that the conditions required to apply IFRS 5 were met.

As a result, all the assets and liabilities of Fidor Bank AG and Fidor Solutions were reclassified to "Non-current assets held for sale" and "Liabilities associated with non-current assets held for sale" on the consolidated balance sheet. In accordance with IFRS 5, these assets were measured at the lower of their book value and fair value net of selling costs, and a loss on disposal estimated at €141 million was provisioned, with a balancing entry in "Gains or losses on other assets".

On August 3, 2020, BPCE SA group announced it had was entering into exclusive negotiations with Ripplewood Advisors LLC for the sale of the entire share capital of Fidor Bank AG. Closure of this deal is planned for the first half of 2021, pending regulatory authorizations.

On December 31, 2020, BPCE SA group finalized the sale of its subsidiary Fidor Solutions to Sopra Banking Software, a subsidiary of the Sopra Steria group, with no additional impact on consolidated income.

1.4 POST-BALANCE SHEET EVENTS

FILING OF A SIMPLIFIED PUBLIC TENDER OFFER FOR NATIXIS SHARES

On February 9, 2021, BPCE SA announced its intention to acquire the share capital of Natixis SA that it did not hold, i.e. approximately 29.3% at December 31, 2020, and to file a simplified tender offer with the French Financial Markets Authority (AMF).

This proposed takeover bid, at a price of €4 per share (*cum* dividend), will be submitted to the AMF for review and will, if necessary, be followed by a squeeze-out if the conditions for its implementation are met.

The takeover, done with Natixis's non-controlling shareholders has no impact on the control already exercised by BPCE SA and should lead to an overall reduction in equity, under IFRS 3. This transaction has no impact on BPCE SA group's consolidated financial statements at December 31, 2020.

NATIXIS AND ARCH CAPITAL GROUP LTD. ANNOUNCE THE SALE OF 29.5% OF COFACE

On February 10, 2021, following approval by the competent competition and regulatory authorities, Natixis and Arch Capital Group Ltd. announced the sale by Natixis of a 29.5% stake in Coface to Arch Financial Holdings Europe IV Limited, a subsidiary of Arch Capital Group Ltd. for €9.95 per share (*cum* dividend).

Natixis will no longer sit on Coface's Board of Directors as Arch takes over its four former seats. Natixis retains a residual 12.7% stake in Coface as an equity interest.

This transaction has no impact on the Group's consolidated financial statements at December 31, 2020.

1.5 IMPACT OF THE PUBLIC HEALTH CRISIS ON THE FINANCIAL STATEMENTS

The impact of the health crisis on BPCE SA group's consolidated financial statements is described in the following paragraphs and in the Credit Risk section of Pillar 3.

1.5.1 ECONOMIC SUPPORT MEASURES

On March 15, 2020, before the announcement of the lockdown in France, the French Banking Federation (FBF), confirmed that French banks were fully committed to supporting customers – in particular retailers, self-employed professionals, and SMEs – facing difficulties due to the spread of the Covid-19 epidemic, which could impact their business.

Accordingly, the BPCE SA group helped its professional and business customers who were facing cash flow problems by actively implementing the economic support measures set up by the government:

- granting moratoria on loan repayments for businesses, without penalties or additional fees;
- issuing State-guaranteed loans.

The measures taken to support the economy in fiscal year 2020 are described below. Information on loans and advances subject to moratoria is presented in Pillar 3.

1.5.1.1 State-guaranteed loans

The State-guaranteed loan (SGL) is a support scheme set up under Article 6 of the amended French Finance Act for 2020 (Act No. 2020-289 of March 23, 2020) and the ministerial order issued by the Minister of the Economy and Finance on March 23, 2020 establishing a state guarantee for credit institutions and financing companies from March 16, 2020, to meet the cash flow requirements of companies impacted by the Covid-19 health crisis. The measure was extended until June 30, 2021 by the 2021 French Finance Act. The state-guaranteed loan is subject to common eligibility criteria applicable by all institutions issuing the loan, as set out by law.

The SGL is a one-year loan with capital repayments deferred for this period. The beneficiary companies may decide, at the end of the first year, to repay the SGLs over one to five additional years or to start repaying the capital only from the second year of the repayment period, paying only the interest and the cost of the State guarantee in the meantime.

For eligible companies, the amount of the SGL is generally capped at 25% of the company's turnover (excluding innovative and recently created companies, and excluding the Seasonal SGL for clients in the Tourism/Hotels/Catering sector, for example). The government provides a guarantee covering between 70% and 90% of the loan, depending on the size of the company. The issuing bank incurs the residual risk. The state guarantee covers a portion of the total amount due on the loan (principal, interest and incidental expenses) until it becomes due. The State guarantee may be enforced before the loan is due if a credit event should occur.

The prepayment penalty is set in the contract, at a reasonable level (2% of the principal amount outstanding during the initial loan period, then 3%-6% of the principal amount outstanding during the repayment period). The terms and conditions for extending the loan are not set in advance but are established two to three months before the extension option expires, in line with market conditions.

A State-guaranteed loan may not be covered by another collateral security or guarantee besides the state guarantee, with the exception of those granted pursuant to a ministerial order by the Minister of the Economy and Finance. The self-employed professional or business leader may request or be offered loan repayment insurance, but such insurance is not mandatory.

In view of these features, the State-guaranteed loan meets the criteria of a basic lending arrangement (see Note 2.5.1). These loans are therefore recognized at amortized cost, because they are managed in a hold to collect business model (see Note 2.5.1). On subsequent balance sheet dates, they will be measured at amortized cost using the effective interest method.

The state guarantee is considered to be an integral part of the terms of the loan and is taken into account when calculating impairment for expected credit losses. The guarantee fee paid to the government by the BPCE SA group on granting the loan is recorded in income over the initial term of the loan, using the effective interest method. The impact is recognized in net interest income.

A State-guaranteed loan granted to a borrower considered to be non-performing on inception (Stage 3) is classified as a POCI (purchased or originated credit-impaired) asset.

However, the grant of a State-guaranteed loan to a given counterparty is not in itself evidence of deterioration in risk, requiring a downgrade to Stage 2 or 3 of the other outstandings of this counterparty.

At December 31, 2020, BPCE SA group had issued 1,697 State-guaranteed loans totaling €4 billion (1,664 of which had been disbursed as of December 31, for approximately €4 billion).

Information on the segmentation of state-guaranteed loans under the scheme launched in response to the Covid-19 crisis is presented in the Credit risk section of Pillar 3.

1.5.1.2 Loan repayment moratoria and other loan restructuring

Due to the Covid-19 crisis, the BPCE SA group offered to grant a range of concessions to its retailer, professional, SME and large corporate clients (including temporarily suspending repayments, revising repayment schedules or renegotiating loan terms), to help them address temporary cash flow difficulties caused by the crisis.

GENERAL MEASURES

When the lockdown was announced in France, the Group's entities offered all their professional and SME customers in certain business sectors the possibility of postponing their loan repayments (principal and interest), for six months. Other general measures were subsequently applied in specific sectors, for example, a moratorium of up to twelve months on loan repayments for SMEs in the tourism, hotel and catering sectors.

The terms of these moratoria observed the general moratorium provisions described in Article 10 of the EBA guidelines (EBA/GL/2020/02) published on April 2, 2020 and amended on December 2, 2020 (EBA/GL/2020/15).

In France, the market protocol has not been updated for the new EBA guidelines.

In accordance with these guidelines, the widespread granting of moratoria to counterparties not experiencing financial difficulties before the Covid-19 crisis, without applying any specific conditions, is not in itself an indicator of a material increase in credit risk. As such, the implementation of a general moratorium to address temporary liquidity problems arising from the Covid-19 crisis does not automatically lead to loans classified as Stage 1 pre-crisis being downgraded to Stage 2 (or Stage 3 where the loss is more than 1% of the difference between net present value before and after restructuring).

As of December 31, 2020, BPCE SA group had granted six-month moratoria for 126,105 loans representing €10,191 million (including €1,460 million granted to small and medium-sized enterprises). The moratorium may be extended to twelve months for businesses in the tourism, hotel and catering sectors.

In addition, €162 million of loans that benefited from a moratorium are classified as Stage 3.

More detailed information on the moratoria in the context of State-guaranteed schemes in response to the Covid-19 crisis is presented in the Credit Risk section of Pillar III.

INDIVIDUAL MEASURES

BPCE SA group also individually support its customers by granting various types of concessions (moratoria, rescheduling or other amendments to loan terms), with the terms and conditions established according to each customer's individual situation. When granting such a concession, a specific analysis is performed to verify whether the borrower shows evidence of financial difficulties on that date. In the presence of such an indicator, the outstandings are downgraded to Stage 2 (or Stage 3 when the loss is greater than 1% of the difference between the net present value before restructuring and the net present value after restructuring), which results in an adjustment to its provisioning level.

Moratoria granted by the Group's banks are generally charged at the loan's initial interest rate, meaning that interest continues to accrue during the moratorium. At the end of the moratorium, this interest is added to the loan principal and repaid over the remaining term of the loan (which is extended due to the moratorium). In this case, the moratorium does not imply a loss of cash flow for the bank. No income statement impact is therefore to be recognized. In practice, the granting of a moratorium does not lead to the loan's derecognition insofar as it does not significantly affect the net economic value of the loan.

1.5.2 IMPACT ON THE USE OF ESTIMATES

1.5.2.1 Credit risk impairment

For 2020, BPCE SA group's cost of credit risk amounted to €1,204 million, a significant increase compared to 2019, mainly due to the increase in expected credit losses in the year due to the Covid-19 crisis.

The health crisis has heavily impacted the economy, with major repercussions for many sectors. Owing to the exceptional circumstances and uncertainties, Groupe BPCE used various communications from ESMA, the EBA, the ECB and the IASB as guidance when determining expected credit losses in the context of the Covid-19 crisis.

Accordingly, Groupe BPCE revised its forward-looking economic forecasts to take account of the Covid-19 situation and the economic support measures taken in response. The Group applied three main scenarios to calculate its IFRS 9 provisions with projections to 2023:

- the core scenario was updated based on the scenarios determined by the Group's economists in September 2020;
- a pessimistic scenario, corresponding to a more severe deterioration in the macro-economic variables defined in relation to the core scenario;

- an optimistic scenario, corresponding to an improvement in the macro-economic variables defined in relation to the core scenario;

Following the historic economic shock from Covid-19 in 2020, the core scenario sees a sharp recovery in GDP as from 2021, returning gradually to a more normal long-term economic growth trend over the years that follow. Economic activity should get back to pre-crisis (2019) levels by 2023.

We show below the 4-year projections for key economic variables used, based on the scenario of the Group's economists for each range limit:

	Optimistic			Core			Pessimistic		
	GDP	Unemp.	10Y yld.	GDP	Unemp.	10Y yld.	GDP	Unemp.	10Y yld.
2020	(5.8%)	7.4%	0.30%	(9.6%)	8.5%	(0.11%)	(12.3%)	11.5%	(0.60%)
2021	10.0%	8.7%	0.70%	7.2%	10.0%	0.01%	4.0%	12.5%	(0.40%)
2022	4.3%	7.9%	0.82%	2.6%	9.3%	0.13%	0.9%	11.7%	(0.28%)
2023	2.8%	7.6%	0.94%	1.6%	9.0%	0.25%	0.4%	11.4%	(0.16%)

In addition, BPCE SA group has extended and adapted this approach by adjusting for a number of factors specific to certain scopes or significant markets: Each scenario is therefore weighted based on how close it is to the consensus forecast for the main economic variables in each scope or significant market of the Group.

For Retail Banking, projections are calculated using the main economic variables such as GDP, unemployment and interest rates on 10-year French sovereign debt. For Corporate & Investment Banking, the economic variables applied relate to the international situation and make greater use of financial and market data.

For Retail Banking, economic scenarios have been adapted to take account of uncertainties surrounding economic forecasts and economic support measures (SGL, partial furlough, tax breaks). The result of these adaptations is to:

- mitigate the suddenness and intensity of the crisis with a 60% moderating factor applied to GDP impacts under the scenarios. For instance, in the central scenario, the GDP figure projected is a weighted average of the scenario's starting value (-9.6%, weighted 40%) and long-term growth in France (+1.4%, weighted 60%). This adjustment is consistent with the ECB's communications on accounting for the Covid-19 under IFRS 9 and the EBA's guidance on moratoria: and
- spread the effects of the crisis over a longer period, pushing back the scenario by nine months, which means it takes an additional nine months for the worsening of GDP and other variables to feed through to probabilities of default.

These adjustments reflect the positive impacts of the various measures taken by the government to prop up the economy: most notably defaults are reduced and delayed.

In summary, the main changes made in 2020 to the calculation of expected credit loss were as following:

- updating of economic scenarios in September to better reflect changes in forecasts (pre-crisis, scenarios were only updated annually, in June);

- adaptation of the method for weighting economic scenarios to reflect the high levels of uncertainty in current circumstances, which translate as widely disparate upper and lower limits for each scenario;
- adaptation of economic variables to take into account economic uncertainties and the impact of government support measures;
- for Corporate & Investment Banking, the sector-based adjustment of the probabilities of default replaces the use of the change in the rating of the sector as a criterion for monitoring the deterioration of the risk. This more granular approach better captures the influence of the sector on credit risk by making counterparty ratings more important as a discriminatory factor. It also helps mitigate the pro-cyclical effects of the previous methodology, which systematically downgraded to Stage 2 all counterparty contracts in a sector whose rating had fallen below a given threshold;
- in consumer finance, the introduction of a model that translates the new economic assumptions into a more granular segmentation of portfolios.

Based on the scenarios mentioned above and after taking into account the methodological adjustments and support measures, the calculation of expected credit losses led the BPCE SA group to recognize a cost of credit risk of €234 million in 2020, an increase of €243 million euros compared to 2019.

ECL SENSITIVITY ANALYSIS

The sensitivity of Retail Banking's expected credit loss to uncertainty about the level of the moderating factor and a 3-month delay to the economic scenario has been estimated:

- a variation of the moderating factor of +/- 10% around the scenario value of 60% has an impact of approximately +/- €4 million;

- an additional three-month delay, to twelve months, would result in an additional allocation of around €11 million;
- an increase in the probability of occurrence of the pessimistic scenario by 5%, at the expense of the central scenario, would result in the recognition of an additional allocation of €1 million.

1.5.2.2 Fair value of financial assets impacted by the public health crisis

In view of the impact of the Covid-19 health emergency on the financial markets, the value of some products was affected by illiquid markets during financial year 2020.

Given the context, Natixis' Corporate & Investment Banking activities were exposed to significant adjustments on certain valuation inputs, for example the "dividend" component:

- the suspension of dividend payments by many companies practically wiped out most short-term dividends and was also reflected in the consensus values used to revalue this component;
- as the stressed market environment generated wide fluctuations, the "volatility" input was also revalued for all transactions concerned.

Equity interests in unlisted private equity funds are valued according to the International Private Equity and Venture Capital Valuation (IPEV) Guidelines, which are also recommended by Invest Europe. The value of BPCE SA group's holdings in unlisted funds (around €673 million) was subject to an in-depth review at December 31, 2020. Where no recent net asset value (NAV) was provided by the asset management company or when it did not include the effects of the crisis (even partially), a haircut was applied to the latest NAV, using a sector-based approach.

The value of investments in real estate funds was also reviewed at December 31, 2020 and, where applicable, a haircut was applied to reflect the impact of the crisis on the value of the underlying assets. Any property discounts are based on estimates by BPCE Solutions Immobilières which are calculated using macro-economic and property indicators (GDP per region, household disposable income per department, rent forecasts, rate of return forecasts, risk premium forecasts).

Note 2 Applicable accounting standards and comparability

2.1 REGULATORY FRAMEWORK

The consolidated financial statements of the BPCE SA group were prepared under International Financial Reporting Standards (IFRS) as adopted by the European Union and applicable at the reporting date, excluding certain provisions of IAS 39 relating to hedge accounting.

2.2 ACCOUNTING STANDARDS

The standards and interpretations used and detailed in the annual financial statements as at December 31, 2019 were complemented by standards, amendments and interpretations whose application is mandatory for reporting periods starting from January 1, 2020.

IFRS 9 replaced IAS 39 on January 1, 2018. It defines the new rules for classifying and measuring financial assets and liabilities, the new impairment methodology for the credit risk of financial assets, and hedge accounting, except for macro-hedging, which the International Accounting Standards Board (IASB) is currently studying in a separate draft standard.

BPCE SA group used the option available in IFRS 9 not to apply the provisions of the standard relative to hedge accounting, and to continue to apply IAS 39 as adopted by the European Union for the recognition of these transactions, i.e. excluding certain provisions relating to macro-hedging. In view of the limited volume of asset reclassifications, most transactions recognized using hedge accounting under IAS 39 continue to be disclosed in the same way from January 1, 2018. However, IFRS 7 amended by IFRS 9 requires additional information on hedge accounting to be provided in the Notes.

On November 3, 2017, the European Commission adopted the amendment to IFRS 4 applying IFRS 9 "Financial instruments" with IFRS 4 "Insurance contracts" with specific provisions for financial conglomerates, applicable from January 1, 2018. European regulations therefore allow European financial conglomerates to opt to defer application of IFRS 9 for their insurance activities until January 1, 2021 (effective date of first-time application of the new IFRS 17, Insurance contracts), provided they:

- do not transfer financial instruments between the insurance sector and other sectors of the conglomerate (with the exception of financial instruments designated at fair value through profit or loss for the two sectors affected by the transfer);
- indicate the insurance entities that apply IAS 39;
- disclose specific additional information in the notes to the financial statements.

At its meeting on March 17, 2020, the IASB decided to defer application of the standard by two years, as clarifications still need to be given regarding key aspects of it. It also decided to defer the expiry of insurance companies' temporary exemption from IFRS 9 to January 1, 2023, to align it with the application of IFRS 17. An amendment was published on June 25, 2020. This amendment improves the application of IFRS 17.

As BPCE SA group is a financial conglomerate, it elected to apply this provision to its insurance businesses, which continue to be covered by IAS 39. The main entities affected by this measure are CEGC, the insurance subsidiaries of COFACE, Natixis Assurances, BPCE Vie and its consolidated funds, Natixis Life, BPCE Prévoyance, BPCE Assurances, BPCE IARD, Surassur, Oney Insurance and Oney Life.

In accordance with the Implementing Regulation of November 3, 2017, the Group took the necessary steps to prohibit any transfer of financial instruments between its insurance sector and the rest of the Group that would lead to derecognition for the transferring entity; this restriction is not, however, required for transfers of financial instruments measured at fair value through profit or loss by the two sectors involved.

Regulation (EU) 2017/2395 dated December 12, 2017 relating to transitional arrangements for mitigating the impact of the introduction of IFRS 9 on capital and for the large exposures treatment of certain public-sector exposures was published in the Official Journal on December 27, 2017. BPCE SA group has decided not to opt to neutralize IFRS 9 transitional impacts at the prudential level due to the limited impact when applying the standard.

IFRS 16

IFRS 16 “Leases” replaced IAS 17 “Leases” and its interpretations from January 1, 2019.

At its meeting of November 26, 2019, the IFRS Interpretation Committee (IFRS IC) issued clarifications on the application of IFRS 16 pertaining to lease terms. On July 3, 2020, the *Autorité des normes comptables* published a summary of conclusions on the application of IFRS 16, replacing that published on February 16, 2018.

As a result, the Group reviewed the way it applied accounting principles to determine the terms of French law commercial leases with automatic renewal. The changes made had no material impact on the financial statements.

Amendments to IAS 39 and IFRS 9: interest rate benchmark reform (phase 1 and phase 2)

Note that in September 2019, the IASB published amendments to IFRS 9 and IAS 39 to provide relief for instruments eligible for hedge accounting in the lead up to the interest rate benchmark reform (phase 1). The amendments were adopted by the European Commission on January 16, 2020. Their application date is January 1, 2020 and they may be applied early. Groupe BPCE chose to apply the amendment early as of December 31, 2019.

On August 27, 2020, the IASB published amendments dealing with issues related to the replacement of benchmark rates by their alternative benchmark rate (phase 2). These amendments involved IFRS 9, IAS 39, IFRS 7, IFRS 4, and IFRS 16 regarding modifications of financial assets and financial liabilities (including lease liabilities), whether or not these are related to the enforcement of existing contractual clauses (i.e. fallback clauses), hedge accounting, and disclosures. These amendments were adopted by the European Commission on January 13, 2021. Their application date is January 1, 2021 and they may be applied early. Groupe BPCE chose to apply the amendment early as of December 31, 2020.

Uncertainty arising from the benchmark rate reform and the organization set up at the BPCE SA group to address this matter are described in Note 5.20.

New definition of default

Guidelines issued by the European Banking Authority (EBA) on the application of the definition of default under Article 178 of European Regulation 575/2013, effective from January 1, 2021, and Regulation (EU) 2018/1845 of the European Central Bank on the threshold for assessing the materiality of credit obligations past due, effective by December 31, 2020 at the latest, will make European banks more consistent in the way they identify loans in default.

The definition of loans in default is tightened up by the introduction of relative and an absolute thresholds for past due payments to identify defaults, clearer criteria for returning to performing status with the introduction of a probationary period and explicit criteria for classifying restructured loans as in default.

Groupe BPCE applied these new methods for identifying loans in default from October 22, 2020.

The new method for identifying loans in default is consistent with the criteria used to classify non-performing loans in Stage 3 under IFRS 9 rules for recognizing expected loss due to credit risk. Changes resulting from the new rules on loans in default have no material impact on the consolidated financial statements.

The other standards, amendments and interpretations adopted by the European Union did not have a material impact on the Group's financial statements.

NEW STANDARDS PUBLISHED AND NOT YET APPLICABLE**IFRS 17**

IFRS 17 “Insurance contracts” was published by the IASB on May 18, 2017 and will replace IFRS 4 “Insurance contracts”. Initially applicable on January 1, 2021, with a comparison at January 1, 2020, this standard is only expected to come into force from January 1, 2023. At its meeting on March 17, 2020, the IASB decided to defer its application by two years, as clarifications still need to be given regarding key aspects of the standard. It also decided to defer the expiry of insurance companies' temporary exemption from IFRS 9 to January 1, 2023, to align it with the application of IFRS 17. An amendment was published on June 25, 2020. This amendment improves the application of IFRS 17. Regulation (EU) 2020/2097, of December 15, 2020 adopts the amendments made to IFRS 4 to extend the exemption from applying IFRS 9 for insurers.

IFRS 17 establishes the principles of recognition, measurement, presentation and disclosure for the insurance contracts and investment contracts with discretionary profit sharing provisions that fall within its scope.

Currently measured at historic cost, contract obligations shall be recognized at present value, in accordance with IFRS 17. To that end, insurance contracts will be measured based on their future cash flows, including a risk margin in order to factor in the uncertainty relating to these cash flows. IFRS 17 also introduces the concept of contractual service margin. This represents the insurer's unearned profit and will be released over time as the services are rendered to the policyholder. The standard demands a more detailed level of granularity in calculations as it requires estimates by group of contracts.

These accounting changes could modify the profile of insurance income (in particular for life insurance) and also introduce greater volatility in income.

BPCE SA group's insurance entities have set up project teams to address the changes brought about by the standard and are continuing their preparatory work. This work includes making decisions and documenting the choices made pertaining to the standard, modeling, adapting systems and organizations, producing financial statements and the switchover strategy, financial disclosures and change management.

2.3 USE OF ESTIMATES AND JUDGMENTS

Preparation of the financial statements requires Management to make estimates and assumptions in certain areas with regard to uncertain future events.

These estimates are based on the judgment of the individuals preparing these financial statements and the information available at the balance sheet date.

Actual future results may differ from these estimates.

With respect to the financial statements for the period ended December 31, 2020 in particular, accounting estimates requiring assumptions were mainly used for the following measurements:

- the fair value of financial instruments determined on the basis of valuation models (Note 10);
- the amount of expected credit losses on financial instruments as well as on loan and guarantee commitments (Note 7.1);
- the results of hedge effectiveness tests (note 5.3);
- provisions recorded under liabilities in the balance sheet and more specifically the provision for regulated home savings products (Note 5.13) and provisions for insurance policies (Note 9);
- calculations related to the cost of pensions and future employee benefits (Note 8.2);
- uncertainties relating to the tax treatment of income taxes (Note 11);
- deferred tax assets and liabilities (Note 11);
- uncertainties related to the application of certain provisions related to benchmarks (Note 5.20);
- goodwill impairment tests (Note 3.4.2).

Judgment must also be exercised to assess the business model and the basic characteristics of a financial instrument. The procedures are described in the relevant paragraphs (Note 2.5.1).

The adoption of IFRS 16 led the BPCE SA group to extend its use of judgment to estimate the term of leases in order to recognize the right of use of lease assets and to record lease liabilities (Note 12.2.2).

Uncertainties arising from the Covid-19 crisis are described in Note 1.5.

BREXIT

On June 23, 2016, the UK decided to leave the European Union (Brexit) following a referendum. After the triggering of Article 50 of the treaty on European Union on March 29, 2017, the United Kingdom and the 27 other member countries of the European Union gave themselves two years to prepare for the country's effective withdrawal. The Brexit date was postponed three times and finally set at January 31, 2020. A transition period followed until December 2020, during which the future deal on goods and services was negotiated while existing European rules remained in force.

On December 24, 2020, the United Kingdom and European Union reached an exit deal, which set out a framework for future trade once the transition period ended. However, the deal does not cover financial services. BPCE SA group therefore applied, as from January 1, 2021, the measures prepared for a no-deal Brexit, which had no material impact on its business. The two parties (UK and EU) gave themselves 3 months, until March 31, 2021, to negotiate specific rules for the financial sector. BPCE SA group is keeping a close eye on the outcome of these negotiations, in order to incorporate them, where necessary, in the assumptions and estimates used in preparing the consolidated financial statements. Lastly, the risk of European regulations not recognizing UK clearing houses is no longer a short-term risk. On September 21, 2020 ESMA announced an extension of the temporary equivalence period to June 30, 2022.

2.4 PRESENTATION OF THE CONSOLIDATED FINANCIAL STATEMENTS AND BALANCE SHEET DATE

As no specific format is required under IFRS, the presentation used by the Group for summarized statements follows Recommendation No. 2017-02 issued by the *Autorité des normes comptables* (ANC – French national accounting standards authority) on June 2, 2017.

The consolidated financial statements are based on the financial statements at December 31, 2020. The Group's consolidated financial statements for the period ended December 31, 2020 were approved by the Management Board on February 9, 2021. They will be presented to the Annual General Shareholders' Meeting on May 27, 2021.

The amounts presented in the financial statements and in the notes are shown in millions of euros, unless otherwise indicated. Rounding may lead to differences between the amounts shown in the financial statements and those referred to in the notes.

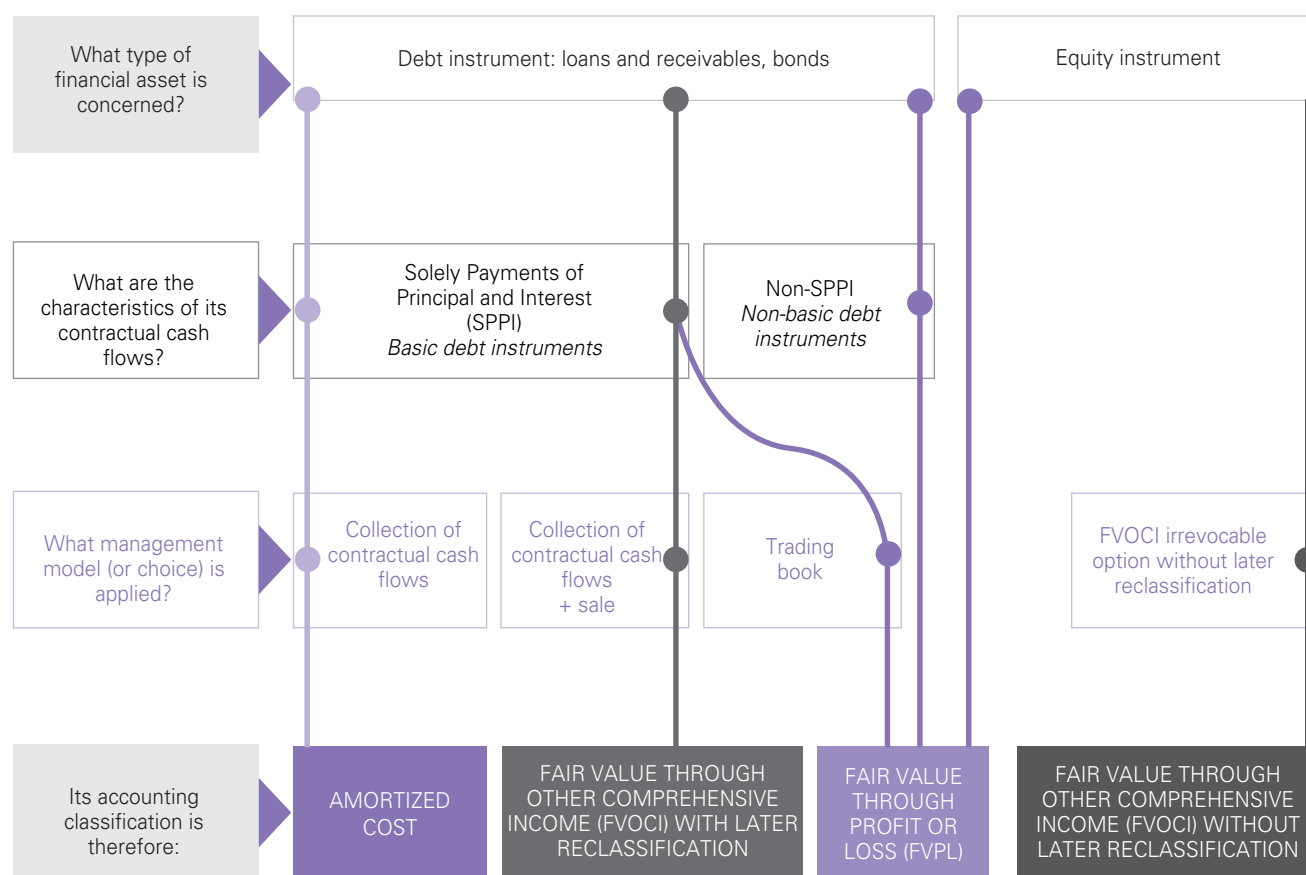
2.5 GENERAL ACCOUNTING PRINCIPLES AND MEASUREMENT METHODS

The general accounting principles set out below apply to the main items of the financial statements. Specific accounting principles are presented in the Notes to which they refer.

2.5.1 CLASSIFICATION AND MEASUREMENT OF FINANCIAL ASSETS

IFRS 9 is applicable to BPCE SA group excluding the insurance subsidiaries, which continue to apply IAS 39.

On initial recognition, financial assets are classified at amortized cost, at fair value through other comprehensive income, or at fair value through profit or loss, according to the type of instrument (debt or equity), the characteristics of their contractual cash flows and how the entity manages its financial instruments (its business model).



Business model

The entity's business model represents the way in which it manages its financial assets to produce cash flow. Judgment is exercised to ascertain the business model.

The choice of business model must take into account all information regarding the manner in which cash flows were generated in the past, along with all other relevant information.

For example:

- the way in which the performance of financial assets is assessed and presented to the main company directors;
- risks having an impact on the business model's performance, in particular the way in which these risks are managed;
- the way in which directors are paid (for example, if pay is based on the fair value of assets under management or on the contractual cash flows received);
- the frequency of, volume of and reason for sales.

Moreover, the choice of business model must be made at a level which reflects the way in which groups of financial assets are managed collectively with a view to achieving a given economic objective. The business model is therefore not decided on an instrument by instrument basis, but rather at a higher level of aggregation, by portfolio.

The standard provides for three business models:

- a business model whose objective is to hold financial assets in order to receive contractual cash flows ("hold to collect model"). This model, under which the concept of "holding" is relatively similar to holding to maturity, remains valid if disposals occur under the following conditions:
 - the disposals are due to an increase in credit risk,
 - the disposals occur just before maturity and at a price that reflects the contractual cash flows that are still owed,
 - other disposals may also be compatible with the "hold to collect" model's objectives if they are infrequent (even if their value is significant) or if their value is insignificant when considered both individually and overall (even if they are frequent).

For BPCE SA group, the "hold to collect" model applies to financing activities (excluding the loan syndication activity) carried out by Retail Banking, Corporate & Investment Banking and Financial Solutions & Expertise;

- a mixed business model under which assets are managed with the objective of both receiving contractual cash flows and disposing of financial assets ("hold to collect and sell model").

BPCE SA group applies the hold to collect and sell model primarily to the portion of portfolio management activities for securities in the liquidity reserve that is not managed solely under a hold to collect;

- a model intended for other financial assets, especially those held for trading, for which the collection of contractual cash

flows is incidental. This business model applies to the loan syndication activity (for the portion of outstandings to be sold that was identified at the outset) and to the capital market activities carried out primarily by Corporate & Investment Banking.

Types of contractual cash flows: the SPPI (Solely Payments of Principal and Interest) test

A financial asset is classified as generating solely payments of principal and interest if, on specific dates, it gives rise to cash flows that are solely payments of principal and interest on the outstanding amount due. The SPPI test should be performed for each financial asset on initial recognition.

The principal amount is defined as the financial asset's fair value at its acquisition date. Interest is the consideration for the time value of money and the credit risk incurred on the principal amount, as well as other risks such as liquidity risk, administrative costs and the profit margin.

The instrument's contractual terms must be taken into account to assess whether contractual cash flows are solely payments of principal and interest. All elements that may cast doubt as to whether only the time value of money and credit risk are represented must therefore be analyzed. For example:

- events that would change the amount and date of the cash flows. Any contractual option that creates risk exposure or cash flow volatility that is not consistent with a basic lending arrangement, such as exposure to fluctuations in the price of stocks or of a market index, or the introduction of leverage, would make it impossible to categorize contractual cash flows as SPPI;
- the applicable interest rate features (for example, consistency between the rate fixing period and the interest calculation period. If a clear determination cannot be made through qualitative analysis, a quantitative analysis (a benchmark test) is carried out. This test involves comparing the contractual cash flows for the asset in question with the contractual cash flows of a benchmark asset;
- early redemption and extension conditions. For the borrower or lender, a contractual option permitting prepayment of financial instruments does not violate the SPPI test for contractual cash flows if the prepayment amount mainly represents the unpaid amounts of principal and interest and, if applicable, a reasonable additional compensation for the early termination of the contract.

Furthermore, although they do not strictly meet the criteria for compensation of the time value of money, certain assets with a regulated interest rate are classified SPPI if this regulated rate provides consideration that corresponds substantially to the passage of time and presents no exposure to a risk that would be inconsistent with a basic lending arrangement. This is the case in particular for financial assets representing the portion of Livret A passbook savings account inflows that is centralized with Caisse des Dépôts et Consignations.

Financial assets that generate SPPI are debt instruments such as fixed-rate loans, floating-rate loans without an interest rate tenor mismatch or that are not linked to a security or to a market index, and fixed-rate or floating-rate debt securities.

Non-SPPI financial assets include UCITS units and convertible bonds and mandatory convertible bonds with a fixed conversion ratio and structured loans to local authorities.

To qualify as SPPI assets, the securities held in a securitization vehicle must meet specific conditions. The contractual terms of the tranche must meet the SPPI criterion. The pool of underlying assets must meet the SPPI conditions. The risk inherent in the tranche must be lower than or equal to the exposure to the vehicle's underlying assets.

A non-recourse loan (e.g. infrastructure financing-type project financing) is a loan secured only by physical collateral. If there is no possible recourse to the borrower, the structure of other possible recourses or protection mechanisms for the lender in the event of default must be examined in order to categorize these loans as SPPI assets: acquisition of the underlying asset, collateral provided (security deposits, margin call, etc.), enhancements provided.

Accounting categories

Debt instruments (loans, receivables or debt securities) may be measured at amortized cost, at fair value through other comprehensive income recyclable to profit or loss or at fair value through profit or loss.

A debt instrument is valued at amortized cost if it meets the following two conditions:

- the asset is held under a hold to collect business model; and
- the contractual terms of the financial asset define it as generating SPPI within the meaning of the standard.

A debt instrument is valued at fair value through other comprehensive income if it meets the following two conditions:

- the asset is held under a hold to collect and sell business model; and
- the contractual terms of the financial asset define it as generating SPPI within the meaning of the standard.

Equity instruments are, by default, recorded at fair value through profit or loss unless they qualify for an irrevocable option for valuation at fair value through other comprehensive income not recyclable to profit or loss (provided they are not held for trading purposes and accordingly classified as financial assets at fair value through profit or loss), without subsequently being reclassified through profit or loss. If opting for the latter category, dividends continue to be recognized in income.

All other financial assets are recorded at fair value through profit or loss. These financial assets include financial assets held for trading, financial assets at fair value through profit or loss and non-SPPI assets. Financial assets may only be designated at fair value through profit or loss in order to eliminate or significantly reduce an accounting mismatch. This option enables the elimination of accounting mismatches stemming from the

application of different valuation rules to instruments managed under a single strategy.

Embedded derivatives are no longer recognized separately to their host contract when these are financial assets, such that the entire hybrid instrument must now be recognized at fair value through profit or loss when it does not meet the SPPI criterion.

For financial liabilities, the classification and measurement rules set out in IAS 39 are carried forward to IFRS 9 unchanged, with the exception of those applicable to financial liabilities that the entity chooses to record at fair value through profit or loss (fair value option), for which revaluation adjustments related to changes in own credit risk are recorded under gains and losses recognized directly in other comprehensive income, without being subsequently reclassified through profit or loss.

The provisions of IAS 39 on the derecognition of financial assets and liabilities remain unchanged in IFRS 9. The amendment to IFRS 9 of October 12, 2017 clarified the treatment under IFRS 9 of modifications of liabilities recognized at amortized cost if the modification does not result in derecognition: the profit or loss resulting from the difference between the original cash flows and the modified cash flows discounted at the original effective interest rate must be recognized in profit or loss.

2.5.2 TRANSACTIONS IN FOREIGN CURRENCIES

The method used to account for assets and liabilities relating to foreign currency transactions entered into by the Group depends upon whether the asset or liability in question is classified as a monetary or a non-monetary item.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency of the Group entity on whose balance sheet they are recognized, at the exchange rate prevailing at the balance sheet date. All resulting foreign exchange gains and losses are recognized in income. However, there are two exceptions to this rule:

- only the portion of the foreign exchange gains and losses calculated based on the amortized cost of financial assets at fair value through other comprehensive income is recognized in income, with any additional gains and losses being recognized in "Gains and losses recognized directly in other comprehensive income";
- foreign exchange gains and losses arising on monetary items designated as cash flow hedges or as part of a net investment in a foreign operation are recognized in "Gains and losses recognized directly in other comprehensive income".

Non-monetary assets carried at historic cost are translated using the exchange rate prevailing at the transaction date. Non-monetary assets carried at fair value are translated using the exchange rate in effect at the date on which the fair value was determined. Foreign exchange gains and losses on non-monetary items are recognized in profit or loss if gains and losses relating to the items are recorded in profit or loss, and in "Gains and losses recognized directly in other comprehensive income" if gains and losses relating to the items are recorded in "Gains and losses recognized directly in other comprehensive income".

Note 3 Consolidation

3.1 SCOPE OF CONSOLIDATION – CONSOLIDATION AND VALUATION METHODS

The Group's financial statements include the financial statements of all the entities over which it exercises control or significant influence, whose consolidation had a material impact on the aforementioned financial statements.

The scope of entities consolidated by BPCE SA group is described in Note 13 – Details of the scope of consolidation.

3.1.1 ENTITIES CONTROLLED BY THE GROUP

The subsidiaries controlled by BPCE SA group are fully consolidated.

Definition of control

Control exists when the Group has the power to govern an entity's relevant activities, when it is exposed to or is entitled to variable returns due to its links with the entity and has the ability to exercise its power over the entity to influence the amount of returns it obtains.

The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing the control exercised. These potential voting rights may result, for example, from share call options traded on the market, debt or equity instruments that are convertible into ordinary shares, or equity warrants attached to other financial instruments. However, potential voting rights are not taken into account to calculate the percentage of ownership.

Exclusive control is presumed to exist when the Group holds directly or indirectly either the majority of the subsidiary's voting rights, or at least half of an entity's voting rights and a majority within the management bodies, or is in a position to exercise significant influence.

Special case: structured entities

Entities described as structured entities are those organized in such a way that voting rights are not a key criterion when determining who has control. This is the case in particular when voting rights only apply to administrative duties and relevant activities are managed through contractual agreements.

A structured entity frequently exhibits some or all of the following characteristics:

- (a) well-defined activities;
- (b) a specific and well-defined aim, for example: implementing a lease eligible for specific tax treatment, carrying out research and development, providing an entity with a source of capital or funding, or providing investors with investment options by transferring associated risk and advantages to the structured entity's assets;
- (c) insufficient equity for the structured entity to finance its activities without subordinated financial support; and
- (d) financing through the issue, to investors, of multiple instruments inter-related by contract and which create concentrations of credit risk or other risks ("tranches").

The Group therefore considers, among others, collective investment undertakings within the meaning of the French Monetary and Financial Code and equivalent bodies governed by foreign law as structured entities.

Full consolidation method

The full consolidation of a subsidiary in the Group's consolidated financial statements begins at the date on which the Group takes control and ends on the day on which the Group loses control of this entity.

The portion of interest which is not directly or indirectly attributable to the Group corresponds to a non-controlling interest.

Income and all components of other comprehensive income (gains and losses recognized directly in other comprehensive income) are divided between the Group and non-controlling interests. The comprehensive income of subsidiaries is divided between the Group and non-controlling interests, including when this division results in the allocation of a loss to non-controlling interests.

Changes to the percentage interest in subsidiaries that do not lead to a change in control are recognized as transactions affecting equity.

The effects of these transactions are recognized in equity at their after-tax amount and therefore do not impact consolidated income attributable to equity holders of the parent.

Exclusion from the scope of consolidation

Non-material controlled entities are excluded from the scope in accordance with the principle set out in Note 13.5.

Employee pension funds and supplementary health insurance plans are excluded from the scope of consolidation insofar as IFRS 10 does not apply to either post-employment benefit funds or other long-term employee benefit plans, to which IAS 19, "Employee Benefits", applies.

Likewise, interests acquired with a view to their subsequent short-term disposal are recorded as available for sale and recognized in accordance with the provisions of IFRS 5 "Non-Current Assets Held for sale and Discontinued Operations".

3.1.2 INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

Definition

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of an entity, without exercising control or joint control over those policies. It is presumed to exist if the Group holds, directly or indirectly, 20% or more of the voting rights of an entity.

A joint venture is a partnership in which the parties which exercise joint control over the entity have rights over its net assets.

Joint control is the contractually agreed sharing of control over a company, which exists only when the strategic decisions require the unanimous consent of the parties sharing control.

Equity method

Income, assets and liabilities of investments in associates and joint ventures are accounted for in the Group's consolidated financial statements using the equity method.

An investment in an associate or a joint venture is initially recognized at its acquisition cost and subsequently adjusted for the Group share in the income and other comprehensive income of the associate or joint venture.

The equity method is applied from the date on which the entity becomes an associate or a joint venture. On the acquisition of an associate or a joint venture, the difference between the cost of investment and the Group's share in the net fair value of the entity's identifiable assets and liabilities is recognized in goodwill. When the net fair value of the entity's identifiable assets and liabilities is higher than the cost of investment, the difference is recognized in income.

The share of net income of entities accounted for under the equity method is included in the Group's consolidated income.

When a Group entity carries out a transaction with a Group joint venture or associate, the profit or loss resulting from this transaction is recognized in interests held by third parties in the associate or joint venture.

The net investment in an associate or joint venture is subject to impairment testing if there is objective evidence of impairment arising from one or more events occurring after the initial recognition of the net investment and if the events have an impact on estimated cash flows, provided this impact can be reliably calculated.

In such cases, the total carrying amount of the investment (including goodwill) is subject to impairment testing in accordance with the provisions of IAS 36 "Impairment of Assets".

Exception to the equity method

When the investment is held by a venture capital organization, an investment fund, an investment company with variable share capital or a similar entity such as an insurance asset investment fund, the investor may choose not to recognize the investment using the equity method. In this case, revised IAS 28 "Investments in Associates and Joint Ventures" authorizes the investor to recognize the investment at its fair value (with changes in fair value recognized in income) in accordance with IFRS 9.

These investments are therefore recognized as "Financial assets at fair value through profit or loss".

The Natixis group's private equity subsidiaries have chosen to measure their investments in this way, considering that this valuation method provides more relevant information.

3.1.3 INVESTMENTS IN JOINT ACTIVITIES

Definition

A joint activity is a partnership where parties that have joint control over an entity have direct rights over the entity's assets, and obligations for its liabilities.

Accounting treatment of joint activities

An investment in a joint enterprise is accounted for by integrating all interests held in the joint activity, *i.e.* the entitled share in each asset and liability and item of income. These interests are allocated by nature to the various lines of the consolidated balance sheet, consolidated income statement and the statement of net income and gains and losses recognized directly in other comprehensive income.

3.2 CONSOLIDATION RULES

The consolidated financial statements are prepared using uniform accounting policies for reporting similar transactions in comparable circumstances. Where material, consolidation adjustments are made to ensure the consistency of the measurement methods applied by consolidated entities.

3.2.1 FOREIGN CURRENCY TRANSLATION

The consolidated financial statements are expressed in euros.

Balance sheet items of foreign subsidiaries and branches whose functional currency is not the euro are translated using the exchange rate in force at the balance sheet date. Income and expense items are translated at the average exchange rate for the period, which is the approximate value of the transaction price if there are no significant fluctuations.

Translation adjustments arise from a difference in:

- net income for the period translated at the average rate and at the closing rate;
- equity (excluding net income for the period) translated at the historic exchange rate and at the year-end rate.

The portion attributable to equity holders of the parent is recorded in equity under "Foreign exchange rate adjustments" and the portion attributable to minority shareholders under "Non-controlling interests".

3.2.2 ELIMINATION OF INTRA-GROUP TRANSACTIONS

The impact of intercompany transactions on the consolidated balance sheet and consolidated income statement is eliminated. Dividends, as well as gains and losses on intercompany asset disposals, are also eliminated. Where appropriate, capital losses from asset disposals resulting in impairment are maintained.

3.2.3 BUSINESS COMBINATIONS

In accordance with revised IFRS 3, "Business Combinations" and IAS 27, "Consolidated and Separate Financial Statements":

- combinations between mutual insurers are included within the scope of IFRS 3;
- costs directly linked to business combinations are recognized in net income for the period;
- contingent considerations payable are included in the acquisition cost at their fair value at the date of acquisition of a controlling interest in an entity, even if they are only potential. Depending on the settlement method, transferred considerations are recognized against:
 - capital and later price revisions will not be booked,
 - or debts and later adjustments are recognized against income (financial debts) or according to the appropriate standards (other debts outside the scope of IFRS 9);

- on an entity's acquisition date, non-controlling interests may be valued:
 - either at fair value (method resulting in the allocation of a share of the goodwill to non-controlling interests),
 - or at the share in the fair value of the identifiable assets and liabilities of the entity acquired (method similar to that applicable to transactions prior to December 31, 2009).

The choice between these two methods must be made for each business combination.

Whatever method is chosen when the acquisition is made, increases in the percentage of interest in an entity already controlled are systematically recognized in capital:

- when an entity is acquired, any share previously held by the Group must be revalued at fair value through profit or loss. Consequently, in the event of a step acquisition, goodwill is determined by referring to the fair value at the acquisition date; and
- when the Group loses control of a consolidated company, any share previously held by the Group must be revalued at fair value through profit or loss.

All business combinations that occurred prior to the revisions of IFRS 3 and IAS 27 are accounted for by applying the purchase method, except business combinations involving two or more mutual insurers or entities under joint control, as these transactions were explicitly excluded from the scope of application.

3.2.4 PURCHASE COMMITMENTS GRANTED TO MINORITY SHAREHOLDERS OF FULLY CONSOLIDATED SUBSIDIARIES

The Group has entered into commitments with minority shareholders of certain fully consolidated Group subsidiaries to buy out their shares. These buyback commitments are optional commitments (sales of put options). The exercise price for these options may be an amount fixed contractually, or may be established according to a calculation formula defined upon the acquisition of the subsidiary's securities and taking into account its future activity, or may be set as the fair value of the subsidiary's securities on the day on which the options are exercised.

For accounting purposes, these commitments are treated as follows:

- pursuant to the provisions of IAS 32, the Group recognizes a financial liability with respect to the put options sold to minority shareholders in fully-consolidated entities. This liability is initially recognized at the discounted value of the put option exercise price under "Other liabilities";
- the obligation to record a liability even though the put options are not exercised means, for purposes of consistency, that the same accounting treatment as that for transactions related to non-controlling interests must be applied. As a result, the corresponding entry for this liability is deducted from "Non-controlling interests" underlying the options and the balance is deducted from "Retained earnings attributable to equity holders of the parent";
- subsequent changes in this liability relating to any change in the estimated exercise price of the options and the carrying amount of "Non-controlling interests" are fully booked as "Retained earnings attributable to equity holders of the parent";
- in the event of a buyback, the liability is settled by the cash payment related to the acquisition of minority shareholders' stakes in the subsidiary in question. However, when the commitment expires, if the buyback does not take place, the liability is written off against non-controlling interests and

"Retained earnings attributable to equity holders of the parent" according to their respective amounts; and

- as long as the options have not been exercised, results from non-controlling interests subject to put options are included in the consolidated income statement as "Non-controlling interests".

3.2.5 FISCAL YEAR CLOSING DATE OF CONSOLIDATED ENTITIES

The entities included in the scope of consolidation close their accounts on December 31.

3.3 CHANGES IN THE SCOPE OF CONSOLIDATION DURING FISCAL YEAR 2020

The main changes in the scope of consolidation in the 2020 fiscal year are presented below:

CHANGES IN THE OWNERSHIP INTEREST IN SUBSIDIARIES (WITH NO IMPACT ON CONTROL)

Change in the Group's ownership interest in Natixis

Following a number of transactions in its own shares, the Group's stake in Natixis stood at 70.66% at December 31, 2020 (*versus* 70.68% at December 31, 2019). The impact of this change on Equity attributable to equity holders of the parent was not material.

LOSS OF CONTROL

Change in the method of consolidation of Coface by Natixis

Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3).

OTHER CHANGES IN SCOPE

Newly consolidated entities

Creation of the entity Loomis Sayles Operating Services LLC by Natixis in the second quarter of 2020. This entity provides operational support for Asset Management activities (services, IT infrastructure).

During the fourth quarter, consolidation of Oney GmbH and Teora.

In the fourth quarter 2020, AEW Capital Management set up the vehicle Seaport Strategic Property Program I Co-Investors, LLC, as part of the creation of a new US real estate investment fund. The new entity is 100% owned by AEW Capital Management and consolidated from December 31, 2020.

Deconsolidated entities

SALE OF ONEY BANK RUSSIA IN THE FOURTH QUARTER 2020.

Sale of FIDOR Solution AG on December 31, 2020. This holding has been reported under IFRS 5 since the second quarter 2020.

LIQUIDATION OF ONEY CHINA.

Dissolution of Sopassure: pending the creation of a new bancassurance entity incorporating CNP Assurances and La Banque Postale, at the end of 2019, BPCE and La Banque Postale signed a new agreement in their capacity as shareholders of CNP Assurances (with stakes of 16.11% and 62.13% respectively). The new agreement, which expires in 2030, led to the winding up in January 2020 of their joint holding company, Sopassure, without this having any impact on Groupe BPCE's percentage holding in CNP Assurances or its significant influence over this group.

Deconsolidation after they fell below the threshold for consolidation of Société d'Exploitation MAB (SEMAB), the Thematics Meta Fund, the Thematics AI and Robotics Fund and the Selection Protection 85 fund.

MERGERS AND FULL TRANSFERS OF ASSETS AND LIABILITIES

Merger of Holassure into BPCE SA on December 14, 2020, making BPCE a direct shareholder in CNP.

Absorption of Oney Service, Oney Invest, FR FNP and NAT SEC by Oney Bank, and ID Expert by Oney Trust.

Restructuring

Natixis Investment Managers (NIM) simplified the organizational structure of its asset management holding companies in the United States.

As of January 1, 2020, Natixis US Holdings, Inc. absorbed Natixis Investment Managers LLC, a holding company with a non-material interest (1%) in Natixis Investment Managers LP, a company whose remaining capital (99%) was wholly owned by Natixis US Holdings Inc.

As part of this transaction, Natixis US Holdings Inc. was transformed into a Limited Liability Company (LLC) and then renamed Natixis Investment Managers US Holdings LLC.

On January 1, 2020, Natixis Investment Managers LP absorbed Natixis Investment Managers Holdings LLC, a holding company with a non-material indirect interest (1% to 2%) in various US affiliates (including Loomis, Harris, AEW Capital Management, Vaughan Nelson). The remaining capital in these affiliates was wholly owned by Natixis Investment Managers LP.

As part of this transaction, Natixis Investment Managers LP was transformed into a Limited Liability Company (LLC) and renamed Natixis Investment Managers LLC.

In the first quarter of 2020, Natixis ASG Holdings Inc. absorbed Alternative Strategies Group LLC, a wholly owned subsidiary. Alternative Strategies Group LLC was previously the holding company of AlphaSimplex Group LLC, of which it held all the capital.

3.4 GOODWILL

3.4.1 VALUE OF GOODWILL

in millions of euros

	12/31/2020	12/31/2019
Opening net value	4,088	3,906
Acquisitions ⁽¹⁾	52	233
Disposals ⁽²⁾	(282)	(2)
Impairment		(82)
Translation adjustments	(128)	33
CLOSING NET VALUE	3,730	4,088

(1) Acquisition of a 55% stake in La Banque Postale AM following the merger of Natixis IM's fixed-income and insurance asset management activities with the latter.

(2) The Disposals line includes the goodwill booked following the loss of control of Coface (see Note 1.3).

At December 31, 2020, gross goodwill stood at €4,041 million and total impairment came to -€311 million.

Certain goodwill items recognized in the United States give rise to tax amortization over 15 years leading to a difference

between the carrying amount of the goodwill and its tax base. This difference in treatment generated a deferred tax liability of €321 million at December 31, 2020, compared with €347 million at December 31, 2019.

Breakdown of goodwill

in millions of euros	Carrying amount	
	12/31/2020	12/31/2019
Oney Bank ⁽¹⁾	170	170
Other networks	170	170
Financial Solutions & Expertise	27	27
Insurance	93	93
Equity interests (Coface) ⁽²⁾		282
Payments	137	137
Retail Banking and Insurance	427	709
Asset & Wealth Management⁽³⁾	3,168	3,235
Corporate & Investment Banking	135	144
TOTAL GOODWILL	3,730	4,088

(1) Including +€138 million recognized on the acquisition of Oney Bank by BPCE in 2019 and +€32 million in goodwill recorded on the books of Oney Bank.

(2) Including -€282 million corresponding to the cancellation of goodwill following the loss of control of Coface (see Note 1.3).

(3) Including +€52 million following the acquisition of a 55% stake in La Banque Postale AM following the merger of Natixis IM's fixed-income and insurance asset management activities with the latter (see Note 1.3).

3.4.2 GOODWILL IMPAIRMENT TESTS

All items of goodwill are impaired, based on the value in use of the cash-generating units (CGUs) to which they have been allocated.

Key assumptions used to calculate recoverable value

Value in use was primarily calculated based on the discounting of the estimate of each CGU's future cash flows (i.e. the discounted cash flow method (DCF)) as they result from the

business lines' latest results forecasts reassessed for the health crisis. For Corporate & Investment Banking, in an extremely uncertain environment (impact of the crisis on market and credit activities, regulatory changes, etc.), in which a DCF valuation was deemed insufficient for this CGU at December 31, 2020, the impairment test was rounded out by the use of a number of criteria (DCF, multiples) for the scope of the M&A activity (which bears all goodwill at December 31, 2020), as this approach is more meaningful.

The following assumptions were used:

	Discount rate	Long-term growth rate
Retail Banking & Insurance		
Insurance	7.6%	2.5%
Payments	6.7%	2.5%
Financial Solutions and Expertise	8.0%	2.0%
Asset & Wealth Management	7.6%	2.0%
Corporate & Investment Banking	9.5%	2.5%

- estimated future cash flows: data from the most recent multi-year earnings projections for each business line, drawn up in the course of preparing Natixis's strategic plan;
- perpetual growth rate: set at 2.5% for the Insurance and Payments CGUs and for Corporate & Investment Banking's M&A activity, based on the growth outlook supported by their level of activity and resilience in the face of the crisis. The perpetual growth rate is unchanged at +2% for the Asset & Wealth Management CGU in a context still marked by intense stock market volatility. The perpetual interest rate was set at +2% for all CGUs for the June 30, 2020 test;
- discount rate: a different rate was applied to each CGU: 7.6% for Asset & Wealth Management (versus 9.1% at December 31, 2019), 9.5% for Corporate & Investment Banking (versus 11.4% at December 31, 2019), 7.6% for Insurance (versus 10.6% at December 31, 2019) and 6.7% for Payments (versus 6.9% at December 31, 2019).

Market data are now calculated on a 5-year historical basis (vs 10 years previously) to reflect a period more representative of current trading conditions for the CGUs, notably the constant fall in interest rates since the euro zone crisis. This change in

methodology is the main reason for the reduction in discount rates this year.

In addition, in more detail, the discount rates were determined by taking into account:

- for the Insurance and Payments CGUs, the 10-year OAT risk-free rate of return averaged over a depth of five years;
- for the Asset & Wealth Management and Corporate & Investment Banking CGUs, the average of the 10-year OAT and the US 10-year, averaged over a depth of five years. This is then increased by a risk premium based on a sample of representative companies in the CGU, averaged over a depth of 5 years;
- for the Financial Solutions & Expertise CGU, a risk-free rate (10-year OAT) over a depth of nine years, plus a risk premium calculated based on a sample of listed European banks with a similar banking business, while factoring in the specific characteristics of these institutions.

These tests did not lead to the recognition of any impairment at December 31, 2020.

Sensitivity of recoverable values

A 50 bp increase in discount rates (assumption based on the historical annual variability observed over one year using 2012-2020 historical data) combined with a 50 bp reduction in perpetual growth rates would reduce the value in use of CGUs by:

- -13% for the Asset & Wealth Management CGU;
- -12% for the Corporate & Investment Banking CGU (M&A activity);
- -14% for the Insurance CGU;
- -17% for the Payments CGU;
- -6.3% for the Financial Solutions & Expertise CGU;
- and would not lead to the recognition of any impairment losses for these CGUs.

Similarly, the sensitivity of these CGUs' future cash flows, as forecast in the business plan, to changes in the main assumptions would not significantly affect their recoverable value:

- for Asset & Wealth Management, a 10% decline in the equity markets (a uniform decline across all years) would have a -10% negative impact on the CGU's recoverable value and would not lead to the recognition of impairment.
- for Corporate & Investment Banking, sensitivity to the dollar or to higher liquidity costs would have a limited impact on net banking income and would not result in the recognition of impairment; a 10% decline in the equity markets (a uniform decline across all years) would have a -5% negative impact on

the CGU's recoverable value and would not lead to the recognition of impairment;

- for Insurance :
the main vector of sensitivity for life insurance is interest rates and the financial markets but various steps are being taken to reduce their impact (diversification of investments, reserves, hedging of equity positions, etc.). Accordingly, the impact on the income statement is limited and would not significantly affect the CGU's value.
For non-life insurance, the main vector of sensitivity is the loss ratio, which is notably measured *via* the combined ratio. Natixis' strategic plan, New Dimension, sets this ratio at below 94%. A one-point deterioration in this ratio over all years would lead to a limited decline of 3% in the value of the CGU, with no impact on impairment;
- for the payments, in terms of business activity, the division's business model is diversified, with i) a historic payments business line for the Groupe BPCE networks, posting a highly recurring business volume over the years (and strong momentum in electronic payments) and ii) a portfolio of fintechs offering multiple products to Group and external customers (book entry securities, merchant solutions, e-commerce, solutions for Works Councils, etc.). This business model generates lower volatility in earnings trends;
- for Financial Solutions & Expertise, the sensitivity of future cash flows, as forecast in the business plan, to a 5%-point fall in recurring net income combined with an increase in the target prudential ratio of 25 basis points would have a negative impact on the CGU's value of -5.3% and would have no impact in terms of impairment.

Note 4 Notes to the income statement

Key points

Net banking income (NBI) includes:

- interest income and expenses;
- fees and commissions;
- net gains or losses on financial instruments at fair value through profit or loss;
- net gains or losses on financial instruments at fair value through other comprehensive income;
- net gains or losses resulting from the derecognition of financial assets at amortized cost;
- net income from insurance businesses;
- income and expenses from other activities.

4.1 INTEREST AND SIMILAR INCOME AND EXPENSES

Accounting principles

Interest income and expenses are recognized in the income statement for all financial instruments measured at amortized cost using the Effective Interest Method, which include interbank and customer items, the portfolio of securities at amortized cost, subordinated debt and lease liabilities. This item also includes interest receivable on fixed income securities classified as financial assets at fair value through other comprehensive income and hedging derivatives, it being specified that accrued interest on cash flow hedging derivatives is taken to income in the same manner and period as the accrued interest on the hedged item.

Interest income also consists of interest on non-SPPI debt instruments not held under a trading model as well as interest on the related economic hedges (classified by default as instruments at fair value through profit or loss).

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to the net carrying amount of the financial asset or financial liability.

The effective interest rate calculation takes account of all transaction fees paid or received as well as premiums and discounts. Transaction fees paid or received that are an integral part of the effective interest rate of the contract, such as loan set-up fees and commissions paid to financial partners, are treated as additional interest.

For 2020, negative interests are presented as follows:

- a negative interest on an asset is presented as an interest expense in NBI;
- a negative interest on a liability is presented as interest income in NBI.

For the year 2019, negative interest was presented net of positive interest on financial assets and liabilities, respectively.

	Fiscal year 2020			Fiscal year 2019		
	Interest income	Interest expenses	Net	Interest income	Interest expenses	Net
<i>in millions of euros</i>						
Loans to/borrowings from banks	1,662	(1,334)	328	955	(558)	397
Loans to/borrowings from customers	4,275	(475)	3,800	5,292	(971)	4,321
Bonds and other debt securities held/issued	623	(3,232)	(2,609)	617	(4,210)	(3,593)
Subordinated debt		(624)	(624)		(663)	(663)
Lease liabilities		(15)	(15)		(24)	(24)
Financial assets and liabilities at amortized cost (excluding finance leases)	6,560	(5,680)	880	6,864	(6,426)	438
Finance leases	341		341	343	///	343
Debt securities	88		88	129		129
Financial assets at fair value through other comprehensive income	88		88	129		129
TOTAL FINANCIAL ASSETS AND LIABILITIES AT AMORTIZED COST AND AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME⁽¹⁾	6,989	(5,680)	1,309	7,336	(6,426)	910
Non-standard financial assets not held for trading	104		104	91		91
Hedging derivatives	3,585	(3,300)	285	3,736	(3,626)	110
Economic hedging derivatives	234	(67)	167	484	(178)	306
Other interest income and expenses		(94)	(94)			
TOTAL INTEREST INCOME AND EXPENSES	10,912	(9,141)	1,771	11,647	(10,230)	1,417

(1) Interest income related to financial assets with a known credit risk (S3) amounted to €241 million (€255 million in 2019), of which €240 million on financial assets at amortized cost (€255 million in 2019).

4.2 FEE AND COMMISSION INCOME AND EXPENSES

Accounting principles

Under IFRS 15 "Revenue from contracts with customers", recognition of revenue from ordinary activities reflects the transfer of control of goods and services promised to customers in an amount corresponding to the consideration that the entity expects to receive in exchange for these goods and services. The recognition of this revenue calls for a five-step approach:

- identification of contracts with customers;
- identification of specific performance obligations (or items) to be recognized separately from one another;
- determination of the overall transaction price;
- allocation of the transaction price to the various specific performance obligations;
- recognition of revenue when performance obligations are met.

This approach applies to contracts entered into by an entity with its customers, with the exception of leases (covered by IFRS 16), insurance contracts (covered by IFRS 4) and financial instruments (covered by IFRS 9). If specific stipulations relating to revenue or contract costs are given under a different standard, these will first be applied.

This method primarily applies to the following Group activities:

- fee and commission income, notably that relating to banking services when this income is not included in the effective interest rate, or that relating to asset management or financial engineering services;
- income from other activities (see Note 4.6), in particular for services included in leases.

As a result, fees and commissions are recorded based on the type of service rendered and on the method of accounting for the financial instruments to which the service relates.

This line includes mainly fees and commissions receivable or payable on recurring services (payment processing, custody fees, etc.) and occasional services (fund transfers, late payment penalties, etc.), fees and commissions receivable or payable on execution of significant transactions, and fees and commissions receivable or payable on trust assets held or managed on behalf of the Group's customers.

However, fees and commissions that form an integral part of the effective yield on a contract are recorded under "Net interest income".

Commissions on services

Commissions on services are analyzed to separately identify their different items (or performance obligations) and to assign the appropriate share of revenues to each item. Each item is then recorded in the income statement by type of service provided, and according to the method used to recognize the associated financial instrument:

- commissions payable or receivable on recurring services are deferred over the period in which the service is provided (payment processing, custody fees, etc.);
- commissions payable or receivable on occasional services are recognized in full in income when the service is provided (fund transfers, payment penalties, etc.);
- commissions payable or receivable on execution of a significant transaction are recognized in full in income on completion of the transaction.

When there is some uncertainty about the amount of a commission (incentive fees in asset management, variable financial engineering commissions, etc.), only the amount that the Group is already certain to receive, given the information available at the closing date, is recognized.

Fees and commissions that form an integral part of the effective yield on an instrument, such as fees on loan commitments given or loan set-up fees, are recognized and amortized as an adjustment to the effective interest rate over the estimated term of the applicable loan. These fees and commissions are recognized as "Interest income" rather than "Fee and commission income".

Fiduciary and similar fees and commissions are those that result in assets being held or invested on behalf of individual customers, pension schemes or other institutions. Trust-management services mainly cover asset management business and custody services on behalf of third parties.

	Fiscal year 2020			Fiscal year 2019		
	Income	Expense	Net	Income	Expense	Net
<i>in millions of euros</i>						
Cash and interbank transactions	46	(71)	(25)	11	(63)	(52)
Customer transactions	865	(13)	852	902	(23)	879
Financial services	233	(132)	101	320	(619)	(299)
Sales of life insurance products	155	///	155	149	///	149
Payment services	512	(75)	437	485	(79)	406
Securities transactions	181	(180)	1	158	(133)	25
Trust management services ⁽¹⁾	3,444		3,444	4,038		4,038
Financial instruments and off-balance sheet transactions	203	(514)	(311)	148	(119)	29
Other fee and commission income/(expense)	119	(1,081)	(962)	131	(1,270)	(1,139)
TOTAL FEE AND COMMISSION INCOME AND EXPENSES⁽²⁾	5,758	(2,066)	3,692	6,342	(2,305)	4,036

(1) Of which performance fees in the amount of €314 million (€286 million for Europe) in 2020, compared with €627 million (€537 million for Europe) in 2019.

(2) At December 31, 2019, Coface contributed net fees and commissions of -€127 million (+€59 million in income and -€186 million in expenses, primarily recorded under Other).

4.3 NET GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

This item includes gains and losses (including the related interest) from financial assets and liabilities classified as held for trading or designated at fair value through profit or loss.

“Gains and losses on hedging transactions” include gains and losses arising from the revaluation of derivatives used as fair value hedges, as well as gains and losses from the revaluation of the hedged item in the same manner, the revaluation at fair value of the macro-hedged portfolio and the ineffective portion of cash flow hedges.

in millions of euros

	Fiscal year 2020	Fiscal year 2019
Gains and losses on financial instruments mandatorily recognized at fair value through profit or loss⁽¹⁾	1,753	5,701
Gains and losses on financial instruments designated at fair value through profit or loss	(693)	(3,743)
• Gains and losses on financial assets designated at fair value through profit or loss	(16)	(10)
• Gains and losses on financial liabilities designated at fair value through profit or loss	(677)	(3,733)
Gains and losses on hedging transactions	(72)	(297)
• Ineffective portion of cash flow hedges (CFH)	(8)	(2)
• Ineffective portion of fair value hedges (FVH)	(64)	(295)
<i>Changes in fair value hedges</i>	<i>141</i>	<i>(205)</i>
<i>Changes in hedged items</i>	<i>(205)</i>	<i>(90)</i>
Gains and losses on foreign exchange transactions	111	192
TOTAL NET GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	1,099	1,854

(1) In 2020, “Gains and losses on financial instruments mandatorily recognized at fair value through profit or loss” included:

- impairments taken against the fair value of CDS entered into with monoline insurers: an increase of €5 million was recorded in 2020 versus €2 million (expense) in 2019 (excluding currency effects), taking cumulative impairment to €30 million at December 31, 2020 compared to €25 million at December 31, 2019;
- changes in the fair value of derivatives, in the amount of -€42 million, arising from the increase in impairment for counterparty risk (Credit Valuation Adjustment – CVA), in the amount of -€58 million due to the consideration of non-performance risk in the valuation of derivative financial liabilities (Debit Valuation Adjustment – DVA), and in the amount of -€2 million due to the inclusion of an adjustment for funding costs (Funding Valuation Adjustment – FVA).

DAY ONE PROFIT

in millions of euros

	Fiscal year 2020	Fiscal year 2019
Day one profit at the start of the year	122	87
Deferred profit on new transactions	137	118
Profit recognized in income during the year	(95)	(84)
DAY ONE PROFIT AT YEAR-END	164	122

4.4 NET GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Accounting principles

Financial assets at fair value through other comprehensive income include:

- SPPI debt instruments managed under a hold to collect and sell business model at fair value through other comprehensive income recyclable to profit or loss. If they are sold, changes in fair value are taken to income;
- equity instruments at fair value through other comprehensive income not recyclable to profit or loss. In the event of disposal, changes in fair value are not transferred to profit or loss but are taken directly to retained earnings. Only dividends affect income when they correspond to a return on investment.

Changes in the value of SPPI debt instruments managed under a hold to collect and sell business model recognized at fair value through other comprehensive income recyclable to profit or loss include:

- income and expenses recognized in net interest income;
- net gains or losses on derecognized debt financial assets at fair value through other comprehensive income;
- impairment/reversals recognized in "Cost of credit risk";
- gains and losses recognized directly in other comprehensive income.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Net gains or losses on debt instruments	26	9
Net gains or losses on equity instruments (dividends)	59	94
TOTAL GAINS OR LOSSES ON FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	85	103

4.5 NET GAINS OR LOSSES ARISING FROM THE DERECOGNITION OF FINANCIAL ASSETS AT AMORTIZED COST

Accounting principles

This item includes net gains or losses on financial assets at amortized cost arising from the derecognition of financial assets at amortized cost (loans and receivables, debt securities) and financial liabilities at amortized cost.

<i>in millions of euros</i>	Fiscal year 2020			Fiscal year 2019		
	Gains	Losses	Net	Gains	Losses	Net
Loans or receivables due from banks	16		16	109	(60)	49
Loans or receivables due from customers		(16)	(16)		(8)	(8)
Debt securities	51	(54)	(3)	171	(161)	10
Gains and losses on financial assets at amortized cost	67	(70)	(3)	280	(229)	51
Amounts due to banks	1	(5)	(4)	66	(105)	(39)
Debt securities	21	(3)	18		(3)	(3)
Gains and losses on financial liabilities at amortized cost	22	(8)	14	66	(108)	(42)
TOTAL GAINS OR LOSSES ON FINANCIAL INSTRUMENTS AT AMORTIZED COST	89	(79)	10	346	(337)	9

4.6 INCOME AND EXPENSES FROM OTHER ACTIVITIES

Accounting principles

Income and expenses from other activities mainly include:

- income and expenses on investment property (rental income and expense, gains and losses on disposals, depreciation, amortization and impairment);
- income and expenses on operating leases;
- income and expenses on real estate development activities (revenues, purchases used).

<i>in millions of euros</i>	Fiscal year 2020			Fiscal year 2019		
	Income	Expense	Net	Income	Expense	Net
Income and expenses from real estate activities	5	(1)	4	3		3
Income and expenses from leasing transactions	198	(164)	34	343	(294)	49
Income and expenses from investment property	18	(8)	10	55	(6)	49
Share of joint ventures	120	(93)	27	138	(92)	46
Transfers of expenses and income	2	(7)	(5)	1	(4)	(3)
Other operating income and expenses	990	(238)	751	766	(318)	447
Net additions to/reversals from provisions to other operating income and expenses		(13)	(13)	3		3
Other income and expenses	1,112	(351)	760	908	(414)	493
TOTAL INCOME AND EXPENSES FROM OTHER ACTIVITIES	1,333	(524)	808	1,308	(714)	594

Income and expenses from insurance businesses are presented in Note 9.

4.7 OPERATING EXPENSES

Accounting principles

Operating expenses include mainly payroll costs (wages and salaries net of rebilled amounts), social security charges, and employee benefit expenses such as pension costs. Operating expenses also include the full amount of administrative expenses and external service costs.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Payroll costs	(4,690)	(5,194)
Taxes other than on income ⁽¹⁾	(452)	(475)
External services and other operating expenses	(2,203)	(2,512)
Other administrative costs⁽²⁾	(2,655)	(2,987)
TOTAL GENERAL OPERATING EXPENSES	(7,344)	(8,181)

(1) Taxes other than on income included, in particular, the contribution to the SRF (Single Resolution Fund) for an amount of €254 million in 2020 (compared to €259 million in 2019) and the TSC (Tax for the Support of Local Authorities) for an amount of €8 million in 2020 (compared to €8 million in 2019).

(2) In 2020, re-invoicing of "central institution" activities are now presented in NBI and re-invoicing of Group assignments is still presented as operating expenses. NBI contributions amounted to €297 million and management fees to €516 million in 2020.

The breakdown of payroll costs is provided in Note 8.1.

Contributions to banking resolution mechanisms

The procedure for financing the deposit and resolution guarantee fund was changed by a Ministerial Order dated October 27, 2015. For the Deposit Guarantee Fund, the cumulative amount of contributions made to the fund by the Group for deposit, collateral and securities guarantee mechanisms amounts to €21 million. Contributions (which are non-refundable in the event of a voluntary withdrawal of approval to operate) represent €3 million. Contributions paid in the form of partner or association certificates and cash security deposits recognized as assets on the balance sheet total €18 million.

European directive 2014/59/EU, known as the BRRD (the Bank Recovery and Resolution directive), which sets out a framework for the recovery and resolution of banks and investment firms, and European Regulation 806/2014 (the Single Resolution Mechanism (SRM) Regulation) set up a resolution fund from 2015. In 2016, this fund became a Single Resolution Fund (SRF) between the Member States participating in the Single Supervisory Mechanism (SSM). The SRF is a resolution funding mechanism at the disposal of the resolution authority (Single Resolution Board). The latter may draw on this fund in the context of the implementation of the resolution procedures.

The Single Resolution Board set the level of contributions for 2020 in accordance with Delegated Regulation 2015/63 and Implementing Regulation 2015/81 supplementing the BRRD on *ex-ante* contributions to bank resolution financing mechanisms. The amount of contributions paid by the Group totaled €299 million, of which €254 million recognized as an expense and €45 million in cash security deposits recognized as assets on the balance sheet (15% of funds in cash security deposits). The cumulative amount of contributions recognized as assets on the balance sheet totaled €224 million at December 31, 2020.

4.8 GAINS OR LOSSES ON OTHER ASSETS

Accounting principles

This item includes gains and losses on disposals of property, plant and equipment and intangible assets, as well as gains and losses on disposals of consolidated investments in associates.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Gains or losses on disposals of property, plant and equipment and intangible assets used in operations	(1)	8
Gains or losses on disposals of consolidated investments	(307)	(15)
TOTAL GAINS OR LOSSES ON OTHER ASSETS	(308)	(7)

In 2020, gains or losses on disposals of consolidated investments mainly reflect the sale of Coface and H2O and the transactions in the Fidor group (see Note 1.3).

Note 5 Notes to the balance sheet

5.1 CASH AND CENTRAL BANKS

Accounting principles

This item mainly includes cash and assets held with central banks at amortized cost.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Cash	45	51
Central banks	148,664	72,551
TOTAL CASH AND CENTRAL BANKS	148,709	72,602

5.2 FINANCIAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

Financial assets and liabilities at fair value through profit or loss comprise instruments held for trading, including derivatives; certain assets and liabilities that the Group chose to recognize at fair value at their date of acquisition or issue using the fair value option available under IFRS 9; and non-SPPI assets.

Date of recognition

Securities are recorded in the balance sheet on the settlement-delivery date.

Temporary sales of securities are also recorded on the settlement/delivery date.

When such transactions are recorded under "Assets and liabilities at fair value through profit or loss", the commitment is recorded as an interest rate derivative.

The first-in, first-out (FIFO) method is applied to any partial disposals of securities, except in special cases.

5.2.1 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

Financial assets at fair value through profit or loss are:

- financial assets held for trading, *i.e.* securities acquired or issued principally for the purpose of selling them in the near term;
- financial assets that the Group has chosen to recognize at fair value through profit or loss at inception using the fair value option available under IFRS 9. The qualifying criteria used when applying this option are described above;
- non-SPPI debt instruments;
- equity instruments measured by default at fair value through profit or loss (which are not held for trading purposes).

These assets are measured at fair value at the date of initial recognition and at each balance sheet date. Changes in fair value over the period, interest, dividends, and gains or losses on disposals on these instruments are recognized in "Net gains or losses on financial instruments at fair value through profit or loss", with the exception of non-SPPI debt financial assets whose interest is recorded in "Interest income".

Financial assets in the trading book mainly include proprietary securities transactions, repurchase agreements and derivative instruments contracted by the Group to manage its risk exposure.

Assets designated at fair value through profit or loss

IFRS 9 allows entities to designate financial assets at fair value through profit or loss on initial recognition. However, an entity's decision to do so may not be reversed.

Compliance with the criteria stipulated by the standard must be verified prior to any recognition of an instrument using the fair value option.

This option may only be applied to eliminate or significantly reduce an accounting mismatch. Applying the option eliminates accounting mismatches stemming from the application of different valuation rules to instruments managed under a single strategy.

Financial assets in the trading book mainly include proprietary securities transactions, repurchase agreements and derivative instruments contracted by the Group to manage its risk exposure.

	12/31/2020				12/31/2019			
	Financial assets mandatorily recognized at fair value through profit or loss			Total	Financial assets mandatorily recognized at fair value through profit or loss			Total
	Financial assets considered part of a trading activity	Other financial assets ⁽²⁾⁽³⁾	Financial assets designated at fair value through profit or loss ⁽¹⁾		Financial assets considered part of a trading activity	Other financial assets ⁽²⁾⁽³⁾	Financial assets designated at fair value through profit or loss ⁽¹⁾	
<i>in millions of euros</i>								
Treasury bills and equivalent	10,087			10,087	6,451	2		6,452
Bonds and other debt securities	8,683	5,011	21	13,715	8,470	3,732	43	12,246
Debt securities	18,770	5,011	21	23,802	14,921	3,734	43	18,698
Loans to banks (excluding repurchase agreements)		966	2	968	13	1,003	2	1,019
Customer loans (excluding repurchase agreements)	2,932	2,049		4,981	4,599	1,853		6,452
Repurchase agreements ⁽⁴⁾	67,019			67,019	83,002			83,002
Loans	69,951	3,015	2	72,968	87,614	2,856	2	90,473
Equity instruments	32,733	1,055	///	33,788	36,160	880	///	37,040
Trading derivatives^{(4) (5)}	44,863	///	///	44,863	43,594	///	///	43,594
Security deposits paid	15,394	///	///	15,394	14,953	///	///	14,953
TOTAL FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	181,711	9,081	23	190,815	197,243	7,470	45	204,759

(1) Only in case of an "accounting mismatch".

(2) Consisting of non-SPPI assets that fall outside the scope of a trading activity including units of UCITS and private equity investment funds presented in bonds and other debt securities (€4,578 million at December 31, 2020 versus €3,031 million at December 31, 2019). Loans to customers include, among others, certain structured loans to local authorities. This category also includes equity instruments the Group decided not to recognize through other comprehensive income for a total of €1,055 million at December 31, 2020 versus €880 million at December 31, 2019.

(3) The criteria used by the group to categorize financial assets at fair value through profit or loss if they do not meet the SPPI criterion are provided in Note 2.5.1.

(4) This information is presented in consideration of netting effects, in accordance with IAS 32 (see Note 5.18.1).

(5) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

5.2.2 FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting principles

These are financial liabilities held for trading or classified in this category on a voluntary basis at initial recognition using the fair value option available under IFRS 9. The trading book includes liabilities arising from short-selling transactions, repurchase agreements and derivative instruments. The qualifying criteria used when applying this option are described above.

These liabilities are measured at fair value at the date of initial recognition and at each balance sheet date.

Fair value fluctuations over the period, interest, and gains or losses related to these instruments are booked as "Net gains or losses on financial instruments at fair value through profit or loss", except for fair value fluctuations attributable to the change in own credit risk for financial liabilities at fair value through profit or loss, which have been booked, since January 1, 2016, in "Revaluation of own credit risk of financial liabilities designated at fair value through profit or loss" within "Gains and losses recognized directly in other comprehensive income". If the liability is derecognized before its maturity (early redemption, for example), fair value gains or losses attributable to own credit risk are directly transferred to retained earnings.

Financial liabilities designated at fair value through profit or loss

IFRS 9 allows entities to designate financial liabilities at fair value through profit or loss on initial recognition. However, an entity's decision to do so may not be reversed.

Compliance with the criteria stipulated by the standard must be verified prior to any recognition of an instrument using the fair value option.

In practice, this option may be applied only under the specific circumstances described below:

Elimination of or significant reduction in an accounting mismatch

Applying the option eliminates accounting mismatches stemming from the application of different valuation rules to instruments managed under a single strategy.

Harmonization of accounting treatment for management and performance measurement

The option applies for liabilities managed and measured at fair value, provided that such management is based on a formally documented risk management policy or investment strategy, and that internal monitoring also relies on a fair value measurement.

Hybrid financial instruments containing one or more embedded derivatives

An embedded derivative is a component of a financial or non-financial hybrid (combined) instrument that qualifies as a derivative. It must be separated from the host contract and accounted for as a derivative if the hybrid instrument is not measured at fair value through profit or loss, and if the economic characteristics and risks associated with the derivative are not closely related to those of the host contract.

The fair value option may be applied to a financial liability when the embedded derivative substantially modifies the cash flows of the host contract and when the separate recognition of the embedded derivative is not specifically prohibited by IFRS 9 (e.g. an early redemption option embedded in a debt instrument). The option allows the entire instrument to be measured at fair value, and therefore avoids the need to extract, recognize or separately measure the embedded derivative.

This accounting treatment applies in particular to some structured debt issues containing material embedded derivatives.

Financial liabilities in the trading book include liabilities arising from short-selling transactions, repurchase agreements and derivative instruments.

	12/31/2020			12/31/2019		
	Financial liabilities issued for trading	Financial liabilities designated at fair value through profit or loss	Total	Financial liabilities issued for trading	Financial liabilities designated at fair value through profit or loss	Total
<i>in millions of euros</i>						
Short sales	20,595	///	20,595	18,555	///	18,555
Trading derivatives ^{(1) (2)}	41,405	///	41,405	42,197	///	42,197
Interbank term accounts and loans		173	173		144	143
Customer term accounts and loans		120	120		139	139
Non-subordinated debt securities	295	23,856	24,151	297	26,254	26,550
Subordinated debt	///	99	99	///	100	100
Repurchase agreements ⁽¹⁾	95,262	///	95,262	95,548	///	95,548
Guarantee deposits received	14,252	///	14,252	13,119	///	13,119
Other	///	3,525	3,525	///	3,699	3,699
TOTAL FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	171,810	27,772	199,582	169,716	30,335	200,051

(1) This information is presented after netting effects, in accordance with IAS 32 (see Note 5.18.2).

(2) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

These liabilities are measured at fair value on the reporting date with changes in value, including coupon, recorded in the "Net gains or losses on financial instruments at fair value through profit or loss" line on the income statement, with the exception of changes in fair value attributable to own credit risk associated with financial liabilities designated at fair value through profit or loss, which are recognized in "Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss" in accordance with IFRS 9.

Conditions for designating financial liabilities at fair value through profit or loss

At Group level, financial liabilities designated at fair value through profit or loss are mostly held by Natixis. They mainly comprise issues originated and structured for customers and for which the risks and hedges are managed collectively. These issues include significant embedded derivatives for which changes in value are offset by those of the derivative instruments hedging them.

Financial liabilities accounted for under the fair value option, excluding Natixis, also include some structured debt issues and structured deposits containing embedded derivatives (e.g. structured medium-term notes and equities for personal savings plans).

	12/31/2020				12/31/2019			
	Accounting mismatches	Fair value measurement	Embedded derivatives	Financial liabilities designated at fair value through profit or loss	Accounting mismatches	Fair value measurement	Embedded derivatives	Financial liabilities designated at fair value through profit or loss
<i>in millions of euros</i>								
Interbank term accounts and loans	27		146	173	54		90	144
Customer term accounts and loans			120	120			139	139
Non-subordinated debt securities	19,030		4,826	23,856	20,570		5,684	26,254
Subordinated debt			99	99			100	100
Other	3,525			3,525	3,699			3,699
TOTAL	22,581		5,191	27,772	24,322		6,013	30,335

Financial liabilities designated at fair value through profit or loss and credit risk

	12/31/2020			12/31/2019		
	Carrying amount	Contractual amount due at maturity	Difference between the carrying amount and the contractual amount due at maturity	Carrying amount	Contractual amount due at maturity	Difference between the carrying amount and the contractual amount due at maturity
<i>in millions of euros</i>						
Interbank term accounts and loans	173	161	12	144	132	12
Customer term accounts and loans	119	119		139	140	(1)
Non-subordinated debt securities	23,856	23,335	521	26,254	25,327	927
Subordinated debt	99	100	(1)	100	100	
Other	3,525	3,525		3,699	3,699	
TOTAL	27,772	27,240	532	30,335	29,397	938

In 2020, the Group did not reclassify any change in fair value of instruments carried as "Financial liabilities designated at fair value through profit or loss" to the "Retained earnings" component.

The amount contractually due on loans at maturity comprises the outstanding principal amount at the balance sheet date plus

accrued interest not yet due. In the case of securities, the redemption value is generally used.

At December 31, 2020, revaluations attributable to own credit risk amounted to +€159 million (of which +€160 million for debt securities).

5.2.3 TRADING DERIVATIVES**Accounting principles**

A derivative is a financial instrument or other contract with all three of the following characteristics:

- its value changes in response to the change in a specific interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, this variable may not be specific to one of the parties to the contract;
- it requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors;
- it is settled at a future date.

All derivative financial instruments are recognized on the balance sheet at the trade date and are measured at fair value at inception. They are remeasured at their fair value at each balance sheet date regardless of whether they were acquired for trading or hedging purposes.

Trading derivatives are recognized on the balance sheet under "Financial assets at fair value through profit or loss" and "Financial liabilities at fair value through profit or loss". Realized and unrealized gains and losses are taken to income on the "Net gains or losses on financial instruments at fair value through profit or loss" line.

The notional amounts of derivative instruments are merely an indication of the volume of the Group's business in financial instruments and do not reflect the market risks associated with such instruments. Positive or negative fair values represent the replacement value of these instruments. These values may vary significantly depending on changes in market parameters.

Change in presentation of option premiums

As of December 31, 2020, the Group changed the way it presented option instruments bought or sold with a premium paid in stages or on expiry.

Before this change, premiums receivable or payable were presented on the balance sheet, respectively, under accrual accounts and other assets or accrual accounts and other liabilities, separately from the financial asset and liability items where the associated derivatives were reported.

As these premiums are in fact inseparable from the derivatives, the way they are presented was changed: premiums payable or receivable are now included in the value of the bought or sold options to which they relate (under Financial assets and liabilities at fair value through profit or loss).

These instruments are mainly currency and interest rate options. The change had no impact on the income statement.

This affected a number of items, as follows:

	12/31/2020			12/31/2019		
	Before modification	Modification	After modification	Before modification	Modification	After modification
<i>in billions of euros</i>						
ASSETS						
Financial assets at fair value through profit or loss	198.4	(7.6)	190.8	212.8	(8.1)	204.8
Accrued income and other assets	16.7	(7.9)	8.8	16.9	(8.3)	8.5
TOTAL	215.1	(15.5)	199.6	229.7	(16.4)	213.3
LIABILITIES						
Financial liabilities at fair value through profit or loss	207.5	(7.9)	199.6	208.4	(8.3)	200.1
Accrued expenses and other liabilities	20.2	(7.6)	12.6	21.3	(8.1)	13.3
TOTAL	227.6	(15.5)	212.1	229.7	(16.4)	213.3

At December 31, 2020:

- the amount of premiums payable included in the value of options reported under "Financial assets at fair value through profit or loss" was €7.6 billion (€8.1 billion at December 31, 2019);
- the amount of premiums receivable included in the value of options reported under "Financial liabilities at fair value through profit or loss" was €7.9 billion (€8.3 billion at December 31, 2020).

	12/31/2020			12/31/2019		
	Notional amount	Positive fair value	Negative fair value	Notional amount	Positive fair value	Negative fair value
<i>in millions of euros</i>						
Interest rate derivatives ⁽¹⁾	4,335,335	23,669	18,488	3,197,581	29,104	25,661
Equity derivatives	105,731	2,248	2,734	131,223	1,701	3,078
Currency derivatives ⁽¹⁾	670,450	8,615	9,144	663,250	12,159	11,404
Other instruments	51,097	738	589	46,970	193	227
Forward transactions⁽¹⁾	5,162,613	35,270	30,955	4,039,024	43,157	40,371
Interest rate derivatives	529,959	6,946	6,830	541,624	10,031	11,246
Equity derivatives	69,764	1,245	1,515	110,874	1,648	1,746
Currency derivatives	211,046	120	645	253,014	4,030	4,299
Other instruments	31,032	451	398	46,021	302	374
Options	841,801	8,762	9,388	951,533	16,011	17,665
Credit derivatives	45,084	831	1,062	30,043	602	818
TOTAL TRADING DERIVATIVES⁽¹⁾	6,049,498	44,863	41,405	5,020,600	59,770	58,853
<i>o/w on organized markets</i>	<i>347,303</i>	<i>1,147</i>	<i>606</i>	<i>447,359</i>	<i>1,458</i>	<i>917</i>
<i>o/w over-the-counter transactions</i>	<i>5,702,195</i>	<i>43,716</i>	<i>40,799</i>	<i>4,573,241</i>	<i>50,224</i>	<i>49,608</i>

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received.

5.3 HEDGING DERIVATIVES

Accounting principles

A derivative is a financial instrument or other contract with all three of the following characteristics:

- its value changes in response to the change in a specific interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, this variable may not be specific to one of the parties to the contract;
- it requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors;

- it is settled at a future date.

All derivative financial instruments are recognized on the balance sheet at the trade date and are measured at fair value at inception. They are remeasured at their fair value at each reporting period regardless of whether they were acquired for trading or hedging purposes.

Changes in the fair value of derivatives are recognized in income for the period, except for derivatives qualifying as cash flow hedges or as hedges of net investments in foreign operations for accounting purposes.

Derivatives may only be designated as hedges if they meet the criteria set out in IAS 39 at inception and throughout the term of the hedge. These criteria include formal documentation that the hedging relationship between the derivatives and the hedged items is both prospectively and retrospectively effective.

Fair value hedges mainly consist of interest rate swaps that protect fixed-rate financial instruments against changes in fair value attributable to changes in market rates of interest. They transform fixed-rate assets or liabilities into floating-rate instruments. Fair value hedges include, in particular, hedges of loans, securities, deposits and fixed-rate subordinated debt.

Fair value hedging is also used to manage the overall interest rate risk position.

Cash flow hedges fix or control the variability of cash flows arising from floating-rate instruments. Cash flow hedging is also used to manage the overall interest rate risk position.

The notional amounts of derivative instruments are merely an indication of the volume of the Group's business in financial instruments and do not reflect the market risks associated with such instruments.

The hedging relationship qualifies for hedge accounting if, at the inception of the hedge, there is formal documentation of the hedging relationship identifying the hedging strategy, the type of risk hedged, the designation and characteristics of the hedged item and the hedging instrument. In addition, the effectiveness of the hedge must be demonstrated at inception and subsequently verified.

Derivatives contracted as part of a hedging relationship are designated according to the purpose of the hedge.

Groupe BPCE used the option available in IFRS 9 not to apply the provisions of the standard relative to hedge accounting, and to continue to apply IAS 39 as adopted by the European Union for the recognition of these transactions, *i.e.* excluding certain provisions relating to macro-hedging.

Fair value hedges

Fair value hedges are intended to reduce exposure to changes in the fair value of an asset or liability carried on the balance sheet, or of a firm commitment, in particular the interest rate risk on fixed-rate assets and liabilities.

The gain or loss on the revaluation of hedging instruments attributable to the risk being hedged is recognized in income in the same manner as the gain or loss on the hedged item. The ineffective portion of the hedge, if any, is recorded in the income statement under "Net gains or losses on financial instruments at fair value through profit or loss".

Accrued interest on the hedging instrument is taken to income in the same manner as the accrued interest on the hedged item.

Where identified assets or liabilities are hedged, the revaluation of the hedged component is recognized on the same line of the balance sheet as the hedged item.

The ineffective portion relating to the dual-curve valuation of collateralized derivatives is taken into account when calculating the effectiveness of a hedge.

If a hedging relationship ceases (investment decision, failure to fulfill effectiveness criteria, or because the hedged item is sold before maturity), the hedging instrument is transferred to the trading book. The revaluation difference recorded in the balance sheet in respect of the hedged item is amortized over

the residual life of the initial hedge. If the hedged item is sold before maturity or redeemed early, the cumulative amount of the revaluation gain or loss is recognized in income for the period.

Cash flow hedges

The purpose of cash flow hedges is to hedge the exposure to the variability of cash flow that is attributable to a particular risk associated with a recognized asset or liability or with a future transaction (hedge of interest rate risk on floating-rate assets or liabilities, hedge of conditions relating to future transactions such as future fixed interest rates, future prices, exchange rates, *etc.*).

The portion of the gain or loss on the hedging instrument that is deemed to be an effective hedge is recognized on a separate line of "Gains and losses recognized directly in other comprehensive income". The ineffective portion of the gain or loss on the hedging instrument is recorded in the income statement under "Net gains or losses on financial instruments at fair value through profit or loss".

Accrued interest on the hedging instrument is taken to income under interest income in the same manner as the accrued interest on the hedged item.

The hedged items are accounted for using the treatment applicable to their specific asset category.

If a hedging relationship ceases (because the hedge no longer meets the effectiveness criteria, the derivative is sold or the hedged item ceases to exist), the cumulative amounts recognized in other comprehensive income are transferred to the income statement as and when the hedged item impacts profit or loss, or immediately if the hedged item ceases to exist.

Special case: portfolio hedging (macro-hedging)

Documentation as cash flow hedges

Some Group institutions document their macro-hedging of interest rate risk as cash flow hedges (hedging of portfolios of loans or borrowings).

In this case, the portfolios of assets or liabilities that may be hedged are, for each maturity band:

- floating-rate assets and liabilities; the entity incurs a risk of variability in future cash flows from floating-rate assets or liabilities insofar as future interest rate levels are not known in advance;
- future transactions deemed to be highly probable (forecasts): assuming total outstandings remain constant, the entity is exposed to the risk of variability in future cash flows on future fixed-rate loans insofar as the interest rate at which the loan will be granted is not yet known. Similarly, the Group may be exposed to the risk of variability in future cash flows on the funding that it will need to raise in the market.

Under IAS 39, hedges of an overall net position of fixed-rate assets and fixed-rate liabilities with similar maturities do not qualify for hedge accounting. The hedged item is therefore deemed to be equivalent to a share of one or more portfolios of identified floating-rate instruments (portion of deposit outstandings or floating-rate loans); the effectiveness of the hedges is measured by creating a hypothetical instrument for each maturity band and comparing its changes in fair value from inception to those for the documented hedging derivatives.

The characteristics of this instrument model those of the hedged item. Effectiveness is then assessed by comparing the changes in value of the hypothetical instrument with the actual hedging instrument. This method requires the preparation of a maturity schedule.

The effectiveness of the hedge must be shown prospectively and retrospectively.

The hedge is effective prospectively if, for each target maturity band, the nominal amount of items to be hedged is higher than the notional amount of the hedging instruments.

The retrospective test calculates the retrospective effectiveness of a hedge initiated at various balance sheet dates.

At each balance sheet date, changes in the fair value of hedging instruments, excluding accrued interest, are compared with those of hypothetical instruments. The ratio of their respective changes should be between 80% and 125%.

If the hedged item is sold or the future transaction is no longer highly probable, the cumulative unrealized gain or loss recognized in other comprehensive income is transferred immediately to profit or loss.

When the hedging relationship ceases, if the hedged item is still shown on the balance sheet, or if it is still highly probable, unrealized cumulative gains and loss in comprehensive income are amortized on a straight-line basis. If the derivative has not been canceled, it is reclassified as a trading derivative, and subsequent changes in its fair value are recognized in income.

Documentation as fair value hedges

Some of the Group's institutions document their macro-hedging of interest rate risk as fair value hedges by applying the carve-out arrangements under IAS 39 as adopted by the European Union.

The version of IAS 39 adopted for use by the European Union does not include certain hedge accounting provisions that appear incompatible with the strategies implemented by European banks to reduce their overall exposure to interest rate risk. In particular, this carve-out allows the Group to make use of hedge accounting for interbank interest rate risk on customer transactions at fixed rates (loans, savings accounts and demand deposits). The Group mainly uses plain vanilla interest rate swaps designated at inception as fair value hedges of fixed-rate deposits or loans.

Macro-hedging derivatives are accounted for in the same manner as derivatives used to hedge the fair value of specific transactions (micro-hedging).

In a macro-hedging relationship, gains and losses on the revaluation of the hedged item are recorded in "Revaluation differences on interest rate risk-hedged portfolios", under balance sheet assets for hedges of a portfolio of financial assets and under balance sheet liabilities for hedges of a portfolio of financial liabilities.

The hedges are deemed effective if the derivatives offset the interest rate risk on the underlying fixed-rate portfolio. The ineffective portion relating to the dual-curve valuation of collateralized derivatives is taken into account.

Effectiveness is tested in two ways:

- asset-based testing: for plain vanilla swaps designated as hedging instruments at inception, the Group verifies that no over-hedging exists both prospectively at the date the hedging relationship is designated and retrospectively at each balance sheet date; and
- quantitative testing: for other swaps, the change in the fair value of the actual swap must offset the changes in the fair value of a hypothetical instrument that exactly reflects the underlying hedged item. These tests are conducted prospectively at the date the instrument is designated as a hedge and retrospectively at each balance sheet date.

If a hedging relationship ceases, the revaluation adjustment is amortized on a straight-line basis over the remaining term of the initial hedge, if the hedged item has not been derecognized. It is taken directly to income if the hedged item is no longer recorded in the balance sheet. In particular, derivatives used for macro-hedging may be disqualified for hedge accounting purposes when the nominal amount of the hedged items falls below the notional amount of the hedging instruments, for example in the case of the prepayment of loans or the withdrawal of deposits observed and modeled.

Hedges of net investments in foreign operations

A net investment in a foreign operation is the amount of the investment held by the consolidating entity in the net assets of the operation.

The purpose of a hedge of a net investment in a foreign operation is to minimize the foreign exchange effect for a consolidating entity of an investment in an entity whose functional currency is different from the presentation currency of the consolidating entity's financial statements. Net investment hedges are accounted for in the same manner as cash flow hedges.

Unrealized gains and losses initially recognized in other comprehensive income are taken to income when the net investment is sold in full or in part (or when partially sold with loss of control).

Fair value hedges mainly consist of interest rate swaps that protect fixed-rate financial instruments against changes in fair value attributable to changes in market interest rates. They transform fixed-rate assets or liabilities into floating-rate instruments.

Fair value macro-hedges are used to manage the overall interest rate risk position, in particular to hedge:

- fixed-rate loan portfolios;
- demand deposits;
- PEL home savings deposits;
- the inflation component of Livret A passbook savings accounts.

Fair value micro-hedges are notably used to hedge:

- fixed-rate liabilities;
- fixed-rate liquidity reserve securities and inflation-indexed securities.

Cash flow hedges fix or control the variability of cash flows arising from floating-rate instruments. Cash flow hedging is also used to manage the overall interest rate risk position.

Cash flow hedges are mainly used to:

- hedge floating-rate liabilities;

- hedge the risk of changes in value of future cash flows on liabilities; and
- provide macro-hedging of floating-rate assets.

The main causes of ineffective hedging are related to:

- inefficiency due to dual-curve valuations: the value of collateralized derivatives (with margin calls yielding EONIA) is based on the EONIA discount curve, while the fair value of the hedged component of item hedged is calculated using a EURIBOR discount curve;
- the time value of options;
- over-hedging for asset-based testing of macro-hedges (notional amounts of hedging derivatives higher than the nominal amount of the hedged items, in particular where prepayments on the hedged items were higher than expected);
- credit value adjustments and debit value adjustments linked to credit risk and own credit risk on derivatives;
- differences in interest rate fixing dates between the hedged item and the hedge.

The notional amounts of derivative instruments are merely an indication of the volume of the Group's business in financial instruments and do not reflect the market risks associated with such instruments.

	12/31/2020			12/31/2019		
	Notional amount	Positive fair value	Negative fair value	Notional amount	Positive fair value	Negative fair value
<i>in millions of euros</i>						
Interest rate derivatives	301,444	6,849	7,604	361,134	6,450	7,246
Currency derivatives	70	369	797	85	354	1,009
Forward transactions	301,514	7,219	8,401	361,219	6,804	8,255
Interest rate derivatives	1,869	1	1	2,896	2	1
Options	1,869	1	1	2,896	2	1
Fair value hedges	303,383	7,220	8,402	364,115	6,806	8,257
Interest rate derivatives	19,581	60	323	21,361	63	325
Currency derivatives	18,975	627	1,315	20,539	1,004	1,531
Forward transactions	38,556	687	1,638	41,900	1,067	1,856
Cash flow hedges	38,556	687	1,638	41,900	1,067	1,856
TOTAL HEDGING INSTRUMENTS	341,939	7,907	10,039	406,014	7,873	10,113

All hedging derivatives are included in "Hedging derivatives" in balance sheet assets and liabilities.

Currency swaps are documented both as interest rate fair value hedges and as currency cash flow hedges. Total fair value is nevertheless recorded under currency derivatives. These

derivatives were mainly recorded under currency fair value hedges and are recorded under currency cash flow hedges in order to better reflect the weight of the currency component (associated with the cash flow hedge) in total fair value.

MATURITY OF THE NOTIONAL AMOUNT OF HEDGING DERIVATIVES AS AT DECEMBER 31, 2020

	12/31/2020				12/31/2019			
	< 1 year	1 to 5 years	6 to 10 years	> 10 years	< 1 year	1 to 5 years	6 to 10 years	> 10 years
<i>in millions of euros</i>								
Interest rate risk hedging	35,021	126,581	79,621	81,671	49,070	153,928	93,903	88,489
Cash flow hedges	1,666	(445)	11,311	7,049	745	4,551	6,810	9,255
Fair value hedges	33,355	127,026	68,311	74,622	48,325	149,377	87,094	79,233
Currency risk hedging	870	9,450	5,992	2,733	1,130	10,248	6,016	3,230
Cash flow hedges	870	9,450	5,992	2,663	1,118	10,248	6,016	3,157
Fair value hedges				70	12			73
TOTAL	35,891	136,031	85,613	84,403	50,200	164,177	99,920	91,718

Currency swaps are documented both as interest rate fair value hedges and as currency cash flow hedges. Total fair value is nevertheless recorded under currency derivatives. These derivatives are mainly recorded under currency cash flow

hedges in order to better reflect the weight of the currency component (associated with the cash flow hedge) in total fair value.

HEDGED ITEMS

Fair value hedges

	Fair value hedges				
	12/31/2020				
	Interest rate risk hedging			Currency risk hedging	
	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾	Hedged component remaining to be recognized ⁽²⁾	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾
<i>in millions of euros</i>					
ASSETS					
Financial assets at fair value through other comprehensive income	12,818	252			
Debt securities	12,818	252			
Shares and other equity instruments					
Financial assets at amortized cost	90,313	8,587	246	4,147	806
Loans and receivables due from banks	23,723	545		555	
Loans and receivables due from customers	62,064	6,752	(1)	86	17
Debt securities at amortized cost	4,526	1,290	247	3,507	789
LIABILITIES					
Financial liabilities at amortized cost	127,917	8,130	46	7,147	447
Amounts due to banks	14,096	160			
Amounts due to customers	2,866	199	(200)		
Debt securities	96,527	6,691	246	6,442	442
Subordinated debt	14,428	1,080		705	5
TOTAL – FAIR VALUE HEDGES	231,048	16,969	293	11,294	1,253

(1) Excluding accrued interest.

(2) Declassification, end of hedging relationship.

The ineffective portion of hedging for the period is presented in Note 4.3 “Net gains or losses on financial instruments at fair value through profit or loss” or in Note 4.4 “Net gains or losses on financial instruments at fair value through other comprehensive income” for non-recyclable own equity instruments at fair value through other comprehensive income.

	Fair value hedges				
	12/31/2019				
	Interest rate risk hedging			Currency risk hedging	
	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾	Hedged component remaining to be recognized ⁽²⁾	Carrying amount	o/w revaluation of the hedged component ⁽¹⁾
<i>in millions of euros</i>					
ASSETS					
Financial assets at fair value through other comprehensive income	12,679	97		8	
Debt securities	12,471	97			
Shares and other equity instruments	209			8	
Financial assets at amortized cost	100,359	7,592	299	5,177	979
Loans or receivables due from banks	27,768	462		552	
Loans or receivables due from customers	67,959	5,933		91	17
Debt securities	4,632	1,197	299	4,533	962
LIABILITIES					
Financial liabilities at amortized cost	133,719	6,589	309	7,734	424
Amounts due to banks	20,343	212			
Amounts due to customers	2,132	(1)			
Debt securities	96,448	5,584	309	6,710	424
Subordinated debt	14,796	794		1,024	6
TOTAL – FAIR VALUE HEDGES	246,757	14,278	608	12,918	1,403

Cash flow hedges

	12/31/2020				12/31/2019			
	Fair value of the hedging derivative	o/w effective portion of hedges not due ⁽²⁾	o/w ineffective portion	Balance of hedges due and remaining to be recognized ⁽¹⁾	Fair value of the hedging derivative	O/w effective portion of hedges not due ⁽²⁾	O/w ineffective portion	Balance of hedges due and remaining to be recognized ⁽¹⁾
<i>in millions of euros</i>								
Interest rate risk hedging	(263)	(256)	(6)	0	(263)	(249)	(13)	0
Currency risk hedging	(688)	(703)	15	0	(526)	(538)	12	0
TOTAL – CASH FLOW HEDGES	(951)	(960)	9	0	(789)	(786)	(1)	0

(1) Declassification, end of hedging relationship.

(2) Booked to other items recognized in other comprehensive income or to profit or loss for the recycled portion with a corresponding entry to hedged items.

The ineffective portion of the hedge is recorded in the income statement under “Net gains or losses on financial instruments at fair value through profit or loss”, see Note 4.3.

The “Cash flow hedges” reserve corresponds to the effective portion of hedges not due and the balance of hedges that are due and remaining to be recognized, before tax, including the portion attributable to non-controlling interests.

Recycling from “Cash flow hedges” to profit or loss is included either in net interest income or in income on derecognition of the hedged item in the same way as the line impacted by the hedged item.

Cash flow hedges – Details of other items recognized in other comprehensive income

<i>in millions of euros</i>	01/01/2020	Change in the effective portion	Reclassification of the effective portion in income	Hedged item partially or fully extinguished	12/31/2020
Amount of equity for cash flow hedging	(352)	(42)	4	7	(383)
TOTAL	(352)	(42)	4	7	(383)

<i>in millions of euros</i>	01/01/2019	Change in the effective portion	Reclassification of the effective portion in income	Hedged item partially or fully extinguished	12/31/2019
Amount of equity for cash flow hedging	(414)	38	18	6	(352)
TOTAL	(414)	38	18	6	(352)

5.4 FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME**Accounting principles**

Financial assets at fair value through other comprehensive income are initially recognized at fair value, plus any transaction costs.

Debt instruments measured at fair value through other comprehensive income recyclable to profit or loss

For each reporting period, these instruments are carried at their fair value and changes in fair value (excluding accrued interest) are recorded under "Gains and losses recognized directly in other comprehensive income recyclable to profit or loss" (as the foreign currency assets are monetary assets, changes in the fair value of the foreign currency component affect income). The principles used to determine fair value are described in Note 10.

These instruments are subject to IFRS 9 impairment requirements. Information about credit risk is provided in Note 7.1. If they are sold, these changes in fair value are taken to income.

Interest income accrued or received on debt instruments is recorded under "Interest and similar income" based on the effective interest method. This method is described in Note 5.3 – Assets at amortized cost.

Equity instruments measured at fair value through other comprehensive income not recyclable to profit or loss

For each reporting period, these instruments are carried at their fair value and changes in fair value are recorded under "Gains and losses recognized directly in other comprehensive income not recyclable to profit or loss" (as the foreign currency assets are not monetary assets, changes in the fair value of the foreign currency component do not affect income). The principles used to determine fair value are described in Note 10.

The designation at fair value through other comprehensive income not recyclable to profit or loss is an irrevocable option that is applied on an instrument-by-instrument basis only to equity instruments not held for trading purposes. Realized and unrealized losses continue to be recorded in other comprehensive income with no impact on income. These financial assets are not impaired.

In the event of disposal, changes in fair value are not transferred to profit or loss but are taken directly to retained earnings.

Only dividends affect income when they correspond to a return on investment. They are recorded in "Net gains or losses on financial instruments at fair value through other comprehensive income" (Note 4.4).

<i>in millions of euros</i>	12/31/2020	12/31/2019
Loans and receivables	19	41
Debt securities	16,104	15,545
Shares and other equity securities ⁽¹⁾	1,674	1,530
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	17,797	17,116
O/w impairment for expected credit losses ⁽²⁾	(1)	
O/w gains and losses recognized directly in other comprehensive income (before tax) ⁽³⁾	130	(33)
• Debt instruments	56	29
• Equity instruments	74	(62)

(1) Shares and other equity securities include strategic equity interests and certain long-term private equity securities. As these securities are not held for sale, their classification as equity instruments designated at fair value through other comprehensive income is appropriate.

(2) Details are provided in Note 7.1.1.

(3) Including the portion attributable to non-controlling interests (+€55 million at December 31, 2020, compared with +€7 million at December 31, 2019).

EQUITY INSTRUMENTS DESIGNATED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Accounting principles

Equity instruments designated at fair value through other comprehensive income can include:

- investments in associates;
- shares and other equity securities.

On initial recognition, equity instruments designated at fair value through other comprehensive income are carried at fair value plus any transaction costs.

On following accounting dates, changes in the fair value of the instrument are recognized in other comprehensive income (OCI).

These changes in fair value that accrue to other comprehensive income will not be reclassified to profit or loss in subsequent years (other comprehensive income not recyclable to profit or loss).

Dividends are only taken to income when they meet the required conditions.

	12/31/2020				12/31/2019			
		Dividends recognized over the period	Derecognition over the period			Dividends recognized over the period	Derecognition over the period	
		Equity instruments held at the end of the period	Fair value at the disposal date	Total profit or loss at the disposal date		Equity instruments held at the end of the period	Fair value at the disposal date	Total profit or loss at the disposal date
<i>in millions of euros</i>	Fair value				Fair value			
Investments in associates	1,642	58	17	(28)	1,495	94	14	2
Shares and other equity securities	32				35			(9)
TOTAL	1,674	58	17	(28)	1,529	94	14	(7)

Investments in associates include strategic investments, "tool" entities (IT for example) and certain long-term private equity securities. As these equity investments are not held for sale, their classification as equity instruments designated at fair value through other comprehensive income is appropriate.

The cumulative amount of changes in fair value reclassified to the "Retained earnings" component during the period mainly concerns the liquidation of non-consolidated securities and amounts to €28 million in 2020.

5.5 ASSETS AT AMORTIZED COST

Accounting principles

Assets at amortized cost are SPPI financial assets managed under a hold to collect business model. Most loans originated by the Group are classified in this category. Information about credit risk is provided in Note 7.1.

Financial assets at amortized cost include loans and receivables due from banks and customers as well as securities at amortized cost such as treasury bills and bonds.

Loans and receivables are initially recorded at fair value plus any costs and less any income directly related to the arrangement of the loan or to the issue.

When loans are extended under conditions that are less favorable than market conditions, a discount corresponding to the difference between the nominal value of the loan and the sum of future cash flows discounted at the market interest rate is deducted from the nominal value of the loan. The market interest rate is the rate applied by the vast majority of local financial institutions at a given time for instruments and counterparties with similar characteristics.

On subsequent balance sheet dates, these financial assets are measured at amortized cost using the effective interest method.

The effective interest rate is the rate that exactly discounts estimated future cash flows (payments or receipts) to the carrying amount of the loan at inception. This rate includes any discounts recorded in respect of loans granted at below-market rates, as well as any external transaction income or costs directly related to the implementation of the loans, which are treated as an adjustment to the effective yield on the loan. No internal cost is included in the calculation of amortized cost.

Loan renegotiations and restructuring

When contracts are modified, IFRS 9 requires the identification of financial assets that are renegotiated, restructured or otherwise modified (whether or not as a result of financial hardship), but not subsequently derecognized. Any profit or loss arising from the modification of a contract is recognized in income. The gross carrying amount of the financial asset must be recalculated so it is equal to the present value of the renegotiated or amended contractual cash flows at the initial effective interest rate. The materiality of the modifications is, however, analyzed on a case by case basis.

"Restructured" amounts correspond to loans where an arrangement has been reached that represents a concession to debtors in financial hardship or in danger of being so. "Restructured" amounts therefore require a combination of two elements: a concession and financial difficulties.

To qualify as a "restructuring", an arrangement must result in a more favorable situation for the debtor (e.g. suspended payments of interest or principle, extension of maturities, etc.) and take the form of additional clauses to an existing contract or the full or partial refinancing of an existing loan.

Financial difficulty is measured by a number of criteria, such as payments more than 30 days past due or an at-risk classification. The arrangement of a restructuring does not necessarily mean the counterparty in question is classed as in default by Basel standards. Whether they are classed as in default depends on the viability test carried out during the counterparty's restructuring.

Under IFRS 9, the treatment of loans restructured due to financial hardship is similar to that applied under IAS 39: a discount is applied to loans restructured following a credit loss event (impaired, Stage 3) to reflect the difference between the present value of the contractual cash flows expected at inception and the present value of expected principal and interest repayments after restructuring. The discount rate used is the original effective interest rate. This discount is expensed to "Cost of credit risk" in the income statement and offset against the corresponding item on the balance sheet. It is written back to net interest income in the income statement over the life of the loan using an actuarial method. If the discount is immaterial, the effective interest rate on the restructured loan is adjusted and no discount is recognized.

The restructured loan is reclassified as performing (not impaired, Stage 1 or Stage 2) when no uncertainty remains as to the borrower's capacity to honor the commitment.

For substantially restructured loans (for example, the conversion of all or part of a loan into an equity instrument), the new instruments are booked at fair value. The difference between the carrying amount of the derecognized loan (or portion of the loan) and the fair value of the assets received in exchange is taken to income under "Cost of credit risk". Any previously established impairment loss on the loan is adjusted. It is fully reversed in the event of full conversion of the loan into new assets.

The widespread moratoria granted to business customers in response to temporary cash flow difficulties arising from the Covid-19 crisis modified these loans' repayment schedules without substantially modifying their features. These loans were therefore amended without being derecognized. In addition, the granting of the moratorium is not in itself an indication of financial distress for the companies in question (see Note 1.5).

Fees and commissions

Costs directly attributable to the arrangement of loans are external costs which consist primarily of commissions paid to third parties such as business provider fees.

Income directly attributable to the issuance of new loans principally comprises set-up fees charged to customers, rebilled costs and commitment fees (if it is more probable than improbable that the loan will be drawn down). Commitment fees received that will not result in any drawdowns are apportioned on a straight-line basis over the life of the commitment.

Expenses and income arising on loans with a term of less than one year at inception are deferred on a *pro rata* basis with no recalculation of the effective interest rate. For floating or adjustable-rate loans, the effective interest rate is adjusted at each rate refixing date.

Date of recognition

Securities are recorded in the balance sheet on the settlement-delivery date.

Temporary sales of securities are also recorded on the settlement/delivery date.

The first-in, first-out (FIFO) method is applied to any partial disposals of securities, except in special cases.

For repurchase transactions, a loan commitment given is recorded between the transaction date and the settlement-delivery date.

5.5.1 SECURITIES AT AMORTIZED COST

<i>in millions of euros</i>	12/31/2020	12/31/2019
Treasury bills and equivalent	4,887	4,365
Bonds and other debt securities	9,194	10,862
Impairment for expected credit losses	(177)	(182)
TOTAL SECURITIES AT AMORTIZED COST	13,904	15,045

The fair value of securities at amortized cost is presented in Note 10.

The classification of outstanding loans and impairment for credit losses by impairment Stage is detailed in Note 7.1.

5.5.2 LOANS AND RECEIVABLES DUE FROM BANKS AND SIMILAR AT AMORTIZED COST

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts with overdrafts	5,197	6,185
Repurchase agreements	1,508	2,008
Accounts and loans ⁽¹⁾	138,325	116,599
Other loans or receivables due from banks and similar	534	631
Security deposits paid	4,333	4,002
Impairment for expected credit losses	(35)	(52)
TOTAL LOANS AND RECEIVABLES DUE FROM BANKS	149,862	129,373

(1) Livret A, LDD and LEP savings accounts centralized with Caisse des Dépôts et Consignations and recorded under "Accounts and loans" amounted to €243 million at December 31, 2020 versus €239 million at December 31, 2019.

Receivables arising from transactions with the networks came in at €141,296 million at December 31, 2020 (compared to €116,380 million at December 31, 2019).

The fair value of loans and receivables due from banks and similar is presented in Note 10.

The classification of outstanding loans and impairment for credit losses by impairment Stage is detailed in Note 7.1.

5.5.3 LOANS AND RECEIVABLES DUE FROM CUSTOMERS AT AMORTIZED COST

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts with overdrafts	3,836	3,630
Other facilities granted to customers	165,241	168,350
Loans to financial sector customers	9,795	9,738
Short-term credit facilities ⁽¹⁾	40,658	37,742
Equipment loans	25,657	25,034
Home loans	49,454	54,884
Export loans	2,379	3,523
Repurchase agreements	6,527	5,953
Finance leases	14,019	12,902
Subordinated loans	123	108
Other loans	16,630	18,466
Other loans or receivables due from customers	5,328	8,476
Security deposits paid	138	165
Gross loans and receivables due from customers	174,543	180,620
Impairment for expected credit losses	(3,333)	(3,343)
TOTAL LOANS AND RECEIVABLES DUE FROM CUSTOMERS	171,211	177,277

(1) State-guaranteed loans are included in short-term credit facilities and totaled €4 billion at December 31, 2020 (see Note 1.5).

The fair value of loans and receivables due from customers is presented in Note 10.

The classification of outstanding loans and impairment for credit losses by impairment Stage is detailed in Note 7.1.

5.6 ACCRUED INCOME AND OTHER ASSETS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Collection accounts	74	482
Prepaid expenses	343	336
Accrued income	293	293
Other accruals	2,640	1,667
Accrued income and prepaid expenses	3,350	2,778
Settlement accounts in debit on securities transactions	15	132
Other accounts receivable ⁽¹⁾	5,388	5,638
Other assets	5,403	5,770
TOTAL ACCRUED INCOME AND OTHER ASSETS	8,753	8,548

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

5.7 NON-CURRENT ASSETS HELD FOR SALE AND ASSOCIATED LIABILITIES

Accounting principles

Where a decision is made to sell non-current assets and it is highly probable that the sale will occur within 12 months, these assets are shown separately on the balance sheet on the "Non-current assets held for sale" line. Any liabilities associated with these assets are also shown separately on the balance sheet on the "Liabilities associated with non-current assets held for sale" line.

Once classified in this category, non-current assets are no longer depreciated/amortized and are measured at the lowest of their carrying amount or fair value less sales costs. Financial instruments continue to be measured in accordance with IFRS 9.

A non-current asset (or group of assets) is held for sale when its carrying amount is recovered by its sale. The asset (or group of assets) must be immediately available for sale and it must be highly likely that the sale will be completed within the next twelve months.

At December 31, 2019, "Non-current assets held for sale" and "Liabilities associated with non-current assets held for sale" included the assets and liabilities of Banque Tuniso-Koweïtienne, which are in the process of being sold.

At December 31, 2020, the assets and liabilities of Banque Tuniso-Koweïtienne were maintained in the lines "Non-current

assets held for sale" and "Liabilities associated with non-current assets held for sale".

In addition, the assets and liabilities of Fidor Bank AG, Coface and H2O are classified in accordance with IFRS 5, in the context of the disposal described in paragraph 1.3.

Figures relating to the entities held for sale are shown below:

<i>in millions of euros</i>	12/31/2020	12/31/2019
Cash and amounts due from central banks	1,310	15
Financial assets at fair value through income	141	
Financial assets at fair value through other comprehensive income	54	47
Loans and receivables due from banks and similar at amortized cost	141	72
Loans and receivables due from customers at amortized cost	389	403
Current tax assets	1	1
Deferred tax assets	18	10
Accrued income and other assets	79	10
Investments in associates	446	
Investment property	13	12
Property, plant and equipment	3	6
Intangible assets	3	2
NON-CURRENT ASSETS HELD FOR SALE	2,599	578
Debt securities	44	29
Amounts due to banks and similar	63	161
Amounts due to customers	1,601	282
Current tax liabilities	(1)	0
Deferred tax liabilities	15	12
Accrued expenses and other liabilities	109	28
Provisions	108	12
Subordinated debt	7	4
LIABILITIES ASSOCIATED WITH NON-CURRENT ASSETS HELD FOR SALE	1,945	528

5.8 INVESTMENT PROPERTY

Accounting principles

In accordance with IAS 40, investment property is property held to earn rent or for capital appreciation, or both.

The accounting treatment for investment property is identical to that used for property, plant and equipment for all Group entities except for certain insurance entities, which recognize the property they hold as insurance investments at fair value, with any adjustment to fair value recorded in income. Fair value is calculated using a multi-criteria approach, by capitalizing rent at market rates and through comparisons with market transactions.

The fair value of the Group's investment property is based on regular expert valuations, except in special cases significantly affecting the value of the relevant asset.

Investment property leased under an operating lease may have a residual value that will reduce the depreciable amount of the asset.

Gains or losses on the disposal of investment property are recognized in income on the "Net income or expenses on other activities" line, with the exception of insurance businesses, which are recognized in "Income from insurance businesses".

	12/31/2020			12/31/2019		
	Gross amount	Accumulated depreciation and impairment	Net amount	Gross amount	Accumulated depreciation and impairment	Net amount
<i>in millions of euros</i>						
Property recognized at historic cost	194	(129)	65	215	(142)	73
TOTAL INVESTMENT PROPERTY			65			73

Investment property held by the insurance subsidiaries is reported with insurance investments (see Note 9).

The fair value of investment property came to €105 million at December 31, 2020 (€112 million at December 31, 2019).

The fair value of investment property is classified in Level 3 of the fair value hierarchy in accordance with IFRS 13.

5.9 PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS

Accounting principles

This item includes property owned and used in the business, equipment acquired under operating leases, property acquired under finance leases and temporarily unleased assets held under finance leases. Interests in non-trading real estate companies (SCIs) are accounted for as property, plant and equipment.

In accordance with IAS 16 and IAS 38, property, plant and equipment and intangible assets are recognized as assets only if they meet the following conditions:

- it is probable that the company will enjoy future economic benefits associated with the asset;
- the cost of the asset can be measured reliably.

Property, plant and equipment and intangible assets used in operations are initially recognized at cost plus any directly attributable acquisition costs. Software developed internally that fulfills the criteria for recognition as a non-current asset is recognized at its production cost, which includes external charges and the payroll costs of employees directly assigned to the project.

The component-based approach is applied to all buildings.

After initial recognition, property, plant and equipment and intangible assets are measured at cost less any accumulated depreciation, amortization or impairment. The depreciable amount of the asset takes account of its residual value where this is material and can be measured reliably.

Property, plant and equipment and intangible assets are depreciated or amortized in order to reflect the pattern in which the asset's future economic benefits are expected to be consumed by the entity, which generally corresponds to the asset's useful life. Where an asset consists of a number of

components that have different uses or economic benefit patterns, each component is recognized separately and depreciated over a period that reflects the useful life of that component.

The depreciation and amortization periods used by the Group are as follows:

- buildings: 20 to 60 years;
- internal fixtures and fittings: 5 to 20 years;
- furniture and special equipment: 4 to 10 years;
- computer equipment: 3 to 5 years;
- software: not more than 5 years.

Other items of property, plant and equipment are depreciated over their estimated useful life, which generally ranges from five to ten years.

Property, plant and equipment and intangible assets are tested for impairment whenever there is any evidence that they may be impaired at the balance sheet date. If this is the case, the revised recoverable amount of the asset is compared to its carrying amount. If the revised recoverable amount of the asset is lower than its carrying amount, an impairment loss is recognized in income.

This loss is reversed in the event of a change in the estimated recoverable amount or if there is no longer any evidence of impairment.

Equipment leased under operating leases (Group as lessor) is recognized as an asset on the balance sheet under property, plant and equipment.

	12/31/2020			12/31/2019		
	Gross amount	Accumulated depreciation and impairment	Net amount	Gross amount	Accumulated depreciation and impairment	Net amount
<i>in millions of euros</i>						
Property, plant and equipment	1,806	(1,237)	570	1,892	(1,285)	607
Real estate assets	421	(287)	134	505	(335)	169
Movable assets	1,386	(950)	436	1,387	(950)	438
Property, plant & equipment leased under operating leases	709	(203)	506	643	(178)	465
Movable assets	709	(203)	506	643	(178)	465
Right-of-use assets for lease contracts	1,541	(459)	1,081	1,542	(320)	1,222
Real estate assets	1,518	(446)	1,072	1,505	(308)	1,198
<i>o/w contracted during the period</i>				75	(17)	58
Movable assets	23	(13)	10	36	(12)	24
<i>o/w contracted during the period</i>				6	(1)	5
TOTAL PROPERTY, PLANT & EQUIPMENT	4,056	(1,898)	2,157	4,077	(1,783)	2,294
Intangible assets	2,806	(1,905)	901	2,954	(1,996)	958
Software	2,172	(1,676)	496	2,180	(1,617)	563
Other intangible fixed assets	634	(230)	405	774	(379)	395
TOTAL INTANGIBLE ASSETS	2,806	(1,905)	901	2,954	(1,996)	958

5.10 DEBT SECURITIES

Accounting principles

Issues of debt securities not classified as financial liabilities at fair value through profit or loss or through other comprehensive income are initially recognized at fair value less any transaction costs. They are subsequently measured at amortized cost at each balance sheet date using the effective interest method.

These instruments are recognized on the balance sheet under "Amounts due to banks", "Amounts due to customers" or "Debt securities".

Debt securities are classified based on the nature of the underlying, with the exception of subordinated notes presented under "Subordinated debt".

Securities are recorded in the balance sheet on the settlement-delivery date.

The first-in, first-out (FIFO) method is applied to any partial disposals of securities, except in special cases.

A new category of liabilities eligible for the numerator in the TLAC (Total Loss Absorbing Capacity) calculation has been introduced by French law and is commonly referred to as "senior non-preferred debt". These liabilities rank between own funds and other senior preferred debt.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Bonds	123,525	122,808
Interbank market instruments and negotiable debt securities	64,171	79,683
Other debt securities that are neither preferred nor subordinated	1,247	2,266
Senior non-preferred debt	22,065	18,297
Total	211,008	223,055
Accrued interest	1,188	1,557
TOTAL DEBT SECURITIES	212,196	224,611

The fair value of debt securities is presented in Note 10.

5.11 AMOUNTS DUE TO BANKS AND SIMILAR AND CUSTOMERS

Accounting principles

These liabilities, which are not classified as financial liabilities at fair value through profit or loss, are carried at amortized cost under "Amounts due to banks" or "Amounts due to customers".

Issues of debt securities (which are not classified as financial liabilities at fair value through profit or loss or through other comprehensive income) are initially recognized at fair value less any transaction costs. They are subsequently measured at amortized cost at each balance sheet date using the effective interest method.

These instruments are recognized on the balance sheet under "Amounts due to banks", "Amounts due to customers" or "Debt securities" (see Note 5.11).

Temporary sales of securities are recorded on the settlement/delivery date.

For repurchase transactions, a loan commitment received is recorded between the transaction date and the settlement-delivery date when such transactions are recorded as "Liabilities".

Use of the ECB's long-term refinancing facility (TLTRO3) was booked at amortized cost in accordance with IFRS 9. Interest is recognized in the income statement by the effective interest rate method estimated based on the assumption that the eligible loan targets fixed by the ECB are met. As these loans are remunerated via an adjustable rate, the effective interest rate used may change from one period to another. This means the -0.50% interest bonus has been booked as income for the 12-month period concerned.

5.11.1 AMOUNTS DUE TO BANKS AND SIMILAR

<i>in millions of euros</i>	12/31/2020	12/31/2019
Demand deposits	60,348	30,187
Repurchase agreements	2,710	2,446
Accrued interest	(17)	1
Amounts due to banks and similar – repayable on demand	63,041	32,634
Term deposits and loans ⁽¹⁾	138,112	75,051
Repurchase agreements	6,498	4,572
Accrued interest	(369)	(65)
Amounts due to banks and similar – repayable at agreed maturity dates	144,241	79,558
Guarantee deposits received	977	881
TOTAL AMOUNTS DUE TO BANKS AND SIMILAR	208,259	113,073

(1) The liability related to the TLTRO3 long-term refinancing with the ECB amounted to €82 billion at December 31, 2020 and resulted in the recognition of interest income in interest and similar income on the basis a bonus rate of -1% over the period, as the Group considers it highly probable that it will achieve the target of stable loans outstanding set by the ECB.

The fair value of amounts due to banks and similar is presented in Note 10.

Payables arising from transactions with the networks stood at €87,130 million at December 31, 2020 (*versus* €51,174 million at December 31, 2019).

5.11.2 AMOUNTS DUE TO CUSTOMERS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts	26,681	25,029
Livret A savings accounts	202	185
Regulated home savings products	205	207
Other regulated savings accounts	1,197	1,147
Regulated savings accounts	1,604	1,539
Demand deposits and loans	6,745	5,461
Term accounts and loans	8,433	11,883
Accrued interest	13	24
Other customer accounts	15,191	17,368
Repurchase agreements	4,766	5,029
Other amounts due to customers	2,453	1,180
Guarantee deposits received	11	10
TOTAL AMOUNTS DUE TO CUSTOMERS	50,705	50,156

The fair value of amounts due to customers is presented in Note 10.

5.12 ACCRUED EXPENSES AND OTHER LIABILITIES

<i>in millions of euros</i>	12/31/2020	12/31/2019
Collection accounts	305	972
Prepaid income	385	364
Accounts payable	1,126	1,251
Other accruals	3,334	3,449
Accrued expenses - liabilities	5,150	6,036
Settlement accounts in credit on securities transactions	1,282	67
Other accounts payable ⁽¹⁾	4,955	5,799
Lease liabilities	1,179	1,353
Other liabilities	7,416	7,219
TOTAL ACCRUED EXPENSES AND OTHER LIABILITIES	12,566	13,255

(1) Amounts restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

5.13 PROVISIONS

Accounting principles

Provisions other than those relating to employee benefit commitments and similar, regulated home savings products, off-balance sheet commitments, and insurance policies mainly consist of provisions for restructuring, claims and litigation, fines and penalties, and tax risks (excluding income tax).

Provisions are liabilities for which the timing or amount is uncertain, but can be reliably estimated. They correspond to current obligations (legal or implicit), resulting from a past event, and for which an outflow of funds will probably be necessary to settle them.

The amount recognized in provisions is the best estimate of the expense required to extinguish the present commitment at the balance sheet date.

Provisions are discounted when the impact of discounting is material.

Changes in provisions are recognized in the income statement on the lines corresponding to the nature of the future expenditure.

Provisions on regulated home savings products

Regulated home savings accounts (Comptes d'Épargne Logement – CEL) and regulated home savings plans (Plans d'Épargne Logement – PEL) are retail products marketed in France governed by the 1965 law on home savings plans and accounts, and subsequent implementing decrees.

Regulated home savings products generate two types of commitments for establishments selling them:

- a commitment to provide a loan to the customer in the future at a rate set on inception of the contract (for PEL products) or at a rate contingent upon the savings phase (for CEL products);
- a commitment to pay interest on the savings in the future at a rate set on inception of the contract for an indefinite period (for PEL products) or at a rate set on a half-yearly basis according to an indexing formula regulated by law (for CEL products).

Commitments with potentially unfavorable consequences are measured for each generation of regulated home savings plans and for all regulated home savings accounts.

A provision is recognized for the associated risks by discounting future potential earnings from at-risk outstandings:

- at-risk saving deposit outstandings correspond to the uncertain future level of savings for plans in existence at the date the provision is calculated. This is estimated on a statistical basis for each future period taking account of historical investor behavior patterns, and corresponds to the difference between the probable outstandings and the minimum expected outstandings;

- at-risk loans correspond to the loan outstandings granted but not yet due at the calculation date plus statistically probable loan outstandings based on historical customer behavior patterns as well as earned and future rights relating to regulated home savings accounts and plans.

The commitments are estimated using the Monte Carlo method in order to reflect the uncertainty of future interest rate trends and their impact on customer behavior models and at-risk outstandings. On this basis, a provision is recorded for a given generation of contracts in the event of a situation liable to be detrimental for the Group, with no netting between generations.

The provision is recognized under liabilities in the balance sheet and changes are recorded in net interest income and expenses.

<i>in millions of euros</i>	12/31/2019	Increase	Used	Reversals unused	Other changes ⁽¹⁾	12/31/2020
Provisions for employee benefits ⁽²⁾	775	109	(76)	(56)	2	753
Provisions for restructuring costs ⁽³⁾	235	46	(135)	(3)	(11)	132
Legal and tax risks ⁽⁴⁾	906	24	(14)	(16)	(79)	820
Loan and guarantee commitments ⁽⁵⁾	230	470		(362)	(38)	299
Provisions for regulated home savings products	2					3
Other operating provisions	511	259	(22)	(62)	(56)	630
TOTAL PROVISIONS	2,659	908	(247)	(500)	(182)	2,637

(1) Other changes notably include the revaluation differences of post-employment defined-benefit plans (-€16 million before tax) and the currency translation adjustments (-€70 million).

(2) Including €720 million for post-employment defined-benefit plans and other long-term employee benefits.

(3) At December 31, 2020, provisions for restructuring costs notably included:

- €120 million for the voluntary redundancy plan initiated at Crédit Foncier (compared to €191 million at December 31, 2019);
- €7 million for the employment protection plan for BPCE International (compared to €20 million at December 31, 2019).

(4) Provisions for legal and tax risks include €503 million for the net exposure on the Madoff fraud.

(5) Provisions for loan and guarantee commitments are detailed in Note 7.1.3.

5.14 SUBORDINATED DEBT

Accounting principles

Subordinated debt differs from other debt and bonds in that it will be repaid only after all the senior and unsecured creditors, but before the repayment of participating loans and securities and deeply subordinated notes.

Subordinated debt which the issuer is obliged to repay is classified as debt and initially recognized at fair value less any transaction costs. It is subsequently measured at amortized cost at each balance sheet date using the effective interest method.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Subordinated debt designated at fair value through profit or loss	100	100
SUBORDINATED DEBT AT FAIR VALUE THROUGH PROFIT OR LOSS	100	100
Term subordinated debt	14,462	15,864
Perpetual subordinated debt	287	287
Subordinated debt and similar	14,749	16,151
Accrued interest	409	396
Revaluation of the hedged component	1,085	799
SUBORDINATED DEBT AT AMORTIZED COST	16,243	17,346
TOTAL SUBORDINATED DEBT⁽¹⁾	16,343	17,446

(1) Including €251 million for the insurance entities at December 31, 2020, versus €672 million at December 31, 2019. Coface contributed -€389 million at December 31, 2019 (see Note 1.3).

The fair value of subordinated debt is presented in Note 10.

CHANGES IN SUBORDINATED DEBT AND SIMILAR DURING THE YEAR

<i>in millions of euros</i>	12/31/2019	Issuance	Redemption ⁽¹⁾	Change in consolidation scope ⁽²⁾	Other changes ⁽³⁾	12/31/2020
Subordinated debt designated at fair value through profit or loss	100					100
SUBORDINATED DEBT AT FAIR VALUE THROUGH PROFIT OR LOSS	100					100
Term subordinated debt	15,864	350	(449)	(392)	(911)	14,462
Perpetual subordinated debt	287					287
SUBORDINATED DEBT AT AMORTIZED COST⁽⁴⁾	16,151	350	(449)	(392)	(911)	14,749
SUBORDINATED DEBT AND SIMILAR	16,251	350	(449)	(392)	(911)	14,849

(1) Redemptions of subordinated loans and notes were due to the maturing of such borrowings.

(2) Relates on the one hand to the Fidor group, reported under IFRS 5, and on the other to the Coface group, which is now accounted for by the equity method (see Note 5.7).

(3) Other changes mainly included the revaluation of debts subject to hedging, foreign exchange fluctuations and variations in intra-group securities held by Natixis Funding for the purposes of market-making on Natixis' debt on the secondary market.

(4) Excluding accrued interest and revaluation of the hedged component.

Deeply subordinated notes qualifying as equity instruments are presented in Note 5.15.2.

5.15 ORDINARY SHARES AND EQUITY INSTRUMENTS ISSUED

Accounting principles

Financial instruments issued by the Group qualify as debt or equity instruments depending on whether or not the issuer has a contractual obligation to deliver cash or another financial asset to the holder of the instrument, or to exchange the instrument under conditions that are potentially unfavorable to the Group. This obligation must arise from specific contractual terms and conditions, not merely economic constraints.

In addition, when an instrument qualifies as equity:

- Its remuneration impacts equity. However, in accordance with the amendment to IAS 12 of December 2017, which applies from January 1, 2019, the tax consequences of dividend payments can be recognized in retained earnings, gains and losses recognized directly in other comprehensive income, or in income, depending on the source of the amounts paid. Accordingly, when the payment corresponds to the notion of a dividend within the meaning of IFRS 9, the tax consequence is taken to

income. This rule applies to interest on perpetual deeply subordinated notes, which is treated as a dividend for accounting purposes;

- it cannot be an underlying instrument eligible for hedge accounting;
- if the issue is in a foreign currency, the instrument is fixed at its historical value resulting from its conversion to euros at its initial date of transfer to equity.

Finally, when these instruments are issued by a subsidiary, they are included in "Non-controlling interests". When their remuneration is of a cumulative nature, it is charged to "Income attributable to equity holders of the parent" and increases the income of "Non-controlling interests". However, when their remuneration is not of a cumulative nature, it is drawn from retained earnings attributable to equity holders of the parent.

5.15.1 SHARE CAPITAL

BPCE SA's share capital amounted to €174 million at December 31, 2020 (€170 million at December 31, 2019), *i.e.* 34,722,740 shares with a par value of €5 per share, and can be broken down as follows:

- 17,361,370 ordinary shares held by the Banques Populaires for €87 million;

- 17,361,370 ordinary shares held by the Caisses d'Epargne for €87 million.

At December 31, 2020, additional paid-in capital amounted to €14,333 million *versus* €14,015 million at December 31, 2019.

5.15.2 PERPETUAL DEEPLY SUBORDINATED NOTES CLASSIFIED AS EQUITY

Issuing entity	Issue date	Currency	Amount (in original currency)	Call date	Interest step-up date ⁽²⁾	Rate	Nominal (in millions of euros) ⁽¹⁾	
							12/31/2020	12/31/2019
BPCE	November 30, 2018	EUR	700 million	September 30, 2023	September 30, 2023	5.35%	700	700
TOTAL							700	700

(1) Nominal amount translated into euros at the exchange rate in force at the date of classification as equity.

(2) Interest step-up date or date of transition from fixed to variable rate.

Issues of perpetual deeply subordinated notes are recognized in equity due to the discretionary nature of their remuneration.

5.16 NON-CONTROLLING INTERESTS

5.16.1 MATERIAL NON-CONTROLLING INTERESTS

At December 31, 2020, material non-controlling interests with regard to the Group's equity mainly comprised the share of non-controlling interests in Natixis group, non-controlling interests within Natixis group (including H20) and the share of non-controlling interests in Oney Bank.

		Fiscal year 2020						
		Non-controlling interests			Financial data summarized at 100%			
Entity name	Percentage ownership of non-controlling interests	Income attributed to holders of non-controlling interests during the period	Amount of non-controlling interests in the subsidiary	Dividends paid to holders of non-controlling interests	Assets	Liabilities	Net income attributable to equity holders of the parent	Comprehensive income attributable to equity holders of the parent
Natixis group	29.34%	118	5,319	167	495,320	475,924	101	(81)
o/w H20 ⁽¹⁾	49.99%	30	122	124	282	55	60	38
Oney Bank	49.90%	22	243		4,363	3,748	70	70
Other entities		(5)	12					
TOTAL AT DECEMBER 31, 2020		136	5,573	167				

(1) Non-controlling interests in Natixis.

		Fiscal year 2019						
		Equity interests not giving no control			Financial data summarized at 100%			
Entity name	Percentage ownership of non-controlling interests	Income attributed to holders of non-controlling interests during the period	Amount of non-controlling interests in the subsidiary	Dividends paid to holders of non-controlling interests	Assets	Liabilities	Net income attributable to equity holders of the parent	Comprehensive income attributable to equity holders of the parent
Natixis group	29.32%	698	7,028	1,017	513,169	492,343	1,897	2,127
o/w Coface ⁽¹⁾	57.52%	118	1,174	68	7,387	5,462	147	241
o/w H20 ⁽¹⁾	49.99%	211	229	186	675	225	423	454
Oney Bank⁽²⁾	50.10%	(8)	225		3,713	3,261	12	10
Other entities		8	19	6				
TOTAL AT DECEMBER 31, 2019		698	7,272	1,023				

(1) Non-controlling interests in Natixis.

(2) Income since the takeover in October 2019.

5.16.2 TRANSACTIONS MODIFYING THE SHARE OF NON-CONTROLLING INTERESTS IN RETAINED EARNINGS

	Fiscal year 2020		Fiscal year 2019	
	Attributable to equity holders of the parent	Attributable to non-controlling interests	Attributable to equity holders of the parent	Attributable to non-controlling interests
<i>in millions of euros</i>				
Put options on non-controlling interests				
Acquisitions/Disposals ⁽¹⁾	(13)	(5)	(31)	(13)
Revaluations and other	16	10	9	4
Change in ownership interests with no change of control	5	7	(273)	189
Loss of control of Coface⁽²⁾	(53)	(1,196)		
Acquisition of Oney Bank				233
Other⁽³⁾	449	(401)	(71)	-
TOTAL IMPACT OF ACQUISITIONS AND DISPOSALS ON NON-CONTROLLING INTERESTS	404	(1,585)	(366)	413

- (1) Sale by Natixis of 45% of Ostrum's securities to La Banque Postale in 2020 and acquisition of Thematics Asset Management, Azure Capital and Flextone Partners in 2019.
- (2) The loss of control of Coface meant the deconsolidation of -€1,174 million of reserves attributable to non-controlling interests and the recycling to income of unrealized reserves on available-for-sale assets (-€55 million attributable to equity holders of the parent and -€23 million attributable to non-controlling interests) and currency translation adjustments (+€2 million attributable to equity holders of the parent and +€1 million attributable to non-controlling interests).
- (3) The revision of reserves attributable to non-controlling interests resulted in 2020 in a +€409 million transfer between reserves attributable to holders of the parent and those attributable to non-controlling interests.

5.17 CHANGES IN GAINS AND LOSSES RECOGNIZED DIRECTLY IN OTHER COMPREHENSIVE INCOME

Accounting principles

In the event of disposal of equity financial assets recognized in other comprehensive income, changes in fair value are not transferred to profit or loss. These items are described as being not recyclable to profit or loss.

	Fiscal year 2020			Fiscal year 2019		
	Gross	Tax	Net	Gross	Tax	Net
<i>in millions of euros</i>						
Foreign exchange rate adjustments	(402)	///	(402)	177	///	177
Revaluation of financial assets at fair value through other comprehensive income recyclable to profit or loss	26	(3)	23	38	(11)	27
Revaluation of available-for-sale financial assets of insurance businesses	253	(62)	190	472	(94)	378
Revaluation of derivative hedging items that can be recycled to profit or loss	(32)	7	(24)	63	(21)	43
Items of the share of gains and losses of associates recognized directly in other comprehensive income	7	(24)	(17)	177	(42)	135
Items recyclable to profit or loss	(148)	(82)	(230)	926	(167)	759
Revaluation (or actuarial gains and losses) in respect of defined-benefit plans	21	(6)	15	(107)	26	(81)
Revaluation of own credit risk on financial liabilities designated at fair value through profit or loss	(23)	6	(17)	(235)	63	(172)
Revaluation of equity financial assets recognized at fair value through other comprehensive income	108	(56)	52	90	(22)	68
Items of the share of gains and losses of associates recognized directly in other comprehensive income	(2)		(2)	(5)	1	(3)
Other items recognized through other comprehensive income not recyclable to profit or loss				(1)	(1)	(2)
Items not recyclable to profit or loss	104	(56)	48	(258)	68	(190)
TOTAL GAINS AND LOSSES RECOGNIZED DIRECTLY IN SHAREHOLDERS' EQUITY	(44)	(138)	(182)	669	(100)	569
Attributable to equity holders of the parent			(144)			438
Non-controlling interests			(38)			131

5.18 OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Accounting principles

Financial assets and liabilities were offset on the balance sheet in accordance with IAS 32. Under this standard, a financial asset and financial liability are offset and a net balance is recorded in the balance sheet if and only if:

- BPCE SA group has the legally enforceable right to offset the recorded amounts; and
- it has the intention either to settle the net amount or to simultaneously realize the asset and settle the liability.

Within BPCE SA group, most offset amounts are the result of repurchase agreements and derivatives transactions largely carried out by Natixis with clearing houses, which meet the requirements of IAS 32:

- for listed derivatives, the positions recorded under the respective asset and liability items for:
 - index options and futures options are offset by maturity and by currency,
 - equity options are offset by ISIN code and maturity date;
 - for OTC derivatives, this comprises the netting, by currency, of the asset valuations and liability valuations of the derivatives;
- for repurchase agreements, the amount recorded in the balance sheet corresponds to the net value of repurchase and reverse repurchase agreements:
 - entered into with the same clearing house and that,
 - have the same maturity date,
 - have the same depository (unless the depository uses the T2S platform),
 - are denominated in the same currency,
 - for which the settlement/delivery is carried out by the same depository, whose services make it possible to ensure the link, at the settlement date, between contracts concluded with the same counterparty and whose maturity and currency are identical,
 - represent asset switch transactions that have similar nominal amounts and identical maturities and currencies,

the Group presents these as a single financial asset or liability.

At December 31, 2020, OTC derivatives traded by Natixis with the clearing houses LCH Clearnet Ltd, Eurex Clearing AG and CME Clearing are not subject to netting within the meaning of IAS 32, but are settled daily (application of the Settlement to Market principle as provided for by these three clearing houses, which treats margin calls as daily settlement for derivatives instead of collateral).

Financial assets and liabilities under netting agreements may only be offset if they meet the restrictive netting criteria set by IAS 32.

Offsetting may not be performed for derivatives or OTC repurchase agreements subject to master agreements that do not meet the net settlement criteria or where the realization of a simultaneous settlement of the asset and liability cannot be demonstrated or for which the offsetting right can only be exercised in the event of default, insolvency or bankruptcy by one of the parties to the agreement. However, the impact of such agreements in terms of reducing the exposure is presented in the second table.

For these instruments, the “Related financial assets and financial instruments received as collateral” and “Related financial liabilities and financial instruments pledged as collateral” columns include in particular:

- for repurchase agreements:
 - loans or borrowings resulting from reverse repurchase agreements with the same counterparty, and securities pledged or received as collateral (for the fair value of said securities),
 - margin calls in the form of securities (for the fair value of said securities);
- for derivatives, the fair values of reverse transactions with the same counterparty, as well as margin calls in the form of securities.

Margin calls received or paid in cash are shown in “Margin calls received (cash collateral)” and “Margin calls paid (cash collateral)”.

5.18.1 FINANCIAL ASSETS

Impact of offsetting on financial assets under netting agreements in the balance sheet

	12/31/2020			12/31/2019 ⁽²⁾		
	Gross amount of financial assets ⁽¹⁾	Gross amount of financial liabilities offset in the balance sheet	Net amount of financial assets recognized in the balance sheet	Gross amount of financial assets	Gross amount of financial liabilities offset in the balance sheet	Net amount of financial assets recognized in the balance sheet
<i>in millions of euros</i>						
Derivatives (trading and hedging)	57,648	4,878	52,770	90,909	31,354	59,555
Repurchase agreements	82,168	15,149	67,019	103,612	20,610	83,002
Financial assets at fair value	139,816	20,027	119,789	194,521	51,964	142,557
Repurchase agreements (loans and receivables portfolio)	13,091	5,057	8,034	9,061	1,100	7,961
TOTAL	152,907	25,085	127,823	203,582	53,064	150,518

(1) Includes the gross amount of financial assets subject to netting or an enforceable master netting agreement or similar and financial assets not subject to any agreement.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

Impact of netting agreements on financial assets not recognized in the financial statements

	12/31/2020				12/31/2019 ⁽²⁾			
	Net amount of financial assets recognized in the balance sheet	Related financial liabilities and financial instruments received as collateral ⁽¹⁾	Margin calls received (cash collateral)	Net exposure	Net amount of financial assets recognized in the balance sheet	Related financial liabilities and financial instruments received as collateral	Margin calls received (cash collateral)	Net exposure
<i>in millions of euros</i>								
Derivatives (trading and hedging)	52,770	33,326	10,541	8,903	59,555	39,121	9,271	11,163
Repurchase agreements	75,053	71,810	5	3,238	90,963	87,239	93	3,631
TOTAL	127,823	105,137	10,546	12,140	150,519	126,360	9,364	14,794

(1) Including collateral received in the form of securities.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

The net exposure does not reflect the accounting position, because it takes into account the reduced exposure arising from agreements that do not meet the restrictive netting criteria set by IAS 32.

5.18.2 FINANCIAL LIABILITIES

Impact of offsetting on financial liabilities under netting agreements in the balance sheet

	12/31/2020			12/31/2019 ⁽²⁾		
	Gross amount of financial liabilities ⁽¹⁾	Gross amount of financial assets offset in the balance sheet	Net amount of financial liabilities recognized in the balance sheet	Gross amount of financial liabilities	Gross amount of financial assets offset in the balance sheet	Net amount of financial liabilities recognized in the balance sheet
<i>in millions of euros</i>						
Derivatives (trading and hedging)	55,862	4,418	51,444	91,992	31,354	60,638
Repurchase agreements	110,411	15,149	95,262	116,158	20,610	95,548
Financial liabilities at fair value	166,274	19,567	146,707	208,150	51,964	156,186
Repurchase agreements (debt portfolio)	19,039	5,057	13,982	13,146	1,100	12,046
TOTAL	185,774	25,085	160,689	221,296	53,064	168,232

(1) Includes the gross amount of financial liabilities subject to netting or an enforceable master netting agreement or similar and financial liabilities not subject to any agreement.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

Impact of netting agreements on financial liabilities not recognized in the financial statements

	12/31/2020				12/31/2019 ⁽²⁾			
<i>in millions of euros</i>	Net amount of financial liabilities recognized in the balance sheet	Related financial assets and financial instruments pledged as collateral ⁽¹⁾	Margin calls paid (cash collateral)	Net exposure	Net amount of financial liabilities recognized in the balance sheet	Related financial assets and financial instruments pledged as collateral	Margin calls paid (cash collateral)	Net exposure
Derivatives (trading and hedging)	51,444	35,101	14,488	1,855	60,638	39,625	11,319	9,694
Repurchase agreements	109,245	108,981		264	107,594	101,969	8	5,617
TOTAL	160,689	144,082	14,488	2,119	168,232	141,594	11,327	15,311

(1) Including collateral received in the form of securities.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

The net exposure does not reflect the accounting position, because it takes into account the reduced exposure arising from agreements that do not meet the restrictive netting criteria set by IAS 32.

5.19 TRANSFERRED FINANCIAL ASSETS, OTHER FINANCIAL ASSETS PLEDGED AS COLLATERAL AND ASSETS RECEIVED AS COLLATERAL THAT CAN BE SOLD OR REPLEDGED

Accounting principles

A financial asset (or group of similar financial assets) is derecognized when the contractual rights to the asset's future cash flows have expired or when such rights are transferred to a third party, together with virtually all of the risks and rewards associated with ownership of the asset. In such case, rights and obligations created or retained as a result of the transfer are recorded in a separate line under financial assets and liabilities.

When a financial asset is derecognized, a gain or loss on disposal is recorded in the income statement reflecting the difference between the carrying amount of the asset and the consideration received.

In the event that the Group has neither transferred nor retained virtually all of the risks and rewards, but has retained control of the asset, the asset continues to be recognized on the balance sheet to the extent of the Group's continuing involvement.

In the event that the Group has neither transferred nor retained virtually all of the risks and rewards and has not retained control of the asset, the asset is derecognized and all of the rights and obligations created or retained as a result of the transfer are recorded in a separate line under financial assets and liabilities.

If all the conditions for derecognizing a financial asset are not met, the Group keeps the asset in the balance sheet and records a liability representing the obligations arising when the asset is transferred.

The Group derecognizes a financial liability (or a part of a financial liability) only when it is extinguished, i.e. when the obligation specified in the contract is discharged, terminated or expires.

Repurchase agreements

Securities sold under repurchase agreements are not derecognized in the vendor's accounts. A liability representing the commitment to return the funds received is identified and

recognized under "Securities sold under repurchase agreements". This debt is a financial liability recorded at amortized cost or at fair value through profit or loss when this liability is considered part of a trading business model.

The assets received are not recognized in the purchaser's books, but a receivable is recorded with respect to the vendor representing the funds loaned. The amount disbursed in respect of the asset is recognized under "Securities purchased under resale agreements". On subsequent balance sheet dates, the securities continue to be accounted for by the vendor in accordance with the rules applicable to the category in which they were initially classified. The receivable is valued according to methods specific to its category: at amortized cost when classified in "Loans and receivables", or at fair value through profit or loss when it is considered part of a trading business model.

Outright securities lending

Securities loaned under outright securities lending transactions are not derecognized in the vendor's accounts. They continue to be recognized in their original accounting category and are valued accordingly. For the borrower, the securities borrowed are not recognized.

Transactions leading to substantial changes in financial assets

When an asset is subject to substantial changes (in particular following renegotiation or remodeling due to financial hardship) there is derecognition, since the rights to the initial cash flows have essentially expired. The Group considers that this is the case for:

- changes leading to a change of counterparty, especially if the new counterparty has a very different credit quality than the previous counterparty;
- changes intended to move from a very structured to basic indexing, as the two assets are not exposed to the same risks.

Transactions leading to substantial changes in financial liabilities

A substantial change to the terms of a lending instrument must be recorded as the extinguishment of the existing debt and its replacement with a new debt. The amendment to IFRS 9 of October 12, 2017 clarified the treatment under IFRS 9 of modifications of liabilities recognized at amortized cost if the modification does not result in derecognition: the profit or loss resulting from the difference between the original cash flows and the modified cash flows discounted at

the original effective interest rate must be recognized in profit or loss. To assess the substantial nature of the change, IFRS 9 includes a threshold of 10% based on discounted cash flows, integrating potential costs and fees: when the difference is greater than or equal to 10%, all of the costs or fees incurred are recognized as profit or loss on debt extinguishment.

The Group may consider other changes to be substantial, such as a change of issuer (even within the same group) or a change in currency.

5.19.1 TRANSFERRED FINANCIAL ASSETS NOT FULLY DERECOGNIZED AND OTHER FINANCIAL ASSETS PLEDGED AS COLLATERAL

in millions of euros	Carrying amount				12/31/2020
	Outright securities lending	Repurchase agreements	Assets transferred or pledged as collateral	Securitizations	
Financial assets at fair value through profit or loss – Held for trading	3,089	8,898		373	12,360
Financial assets at fair value through profit or loss – Non-SPPI			9		9
Financial assets at fair value through other comprehensive income					
Financial assets at amortized cost	355	250	10,436	3,799	14,840
TOTAL FINANCIAL ASSETS PLEDGED AS COLLATERAL	3,444	9,148	10,445	4,172	27,209
<i>o/w transferred financial assets not fully derecognized</i>	<i>3,444</i>	<i>9,148</i>	<i>9,176</i>	<i>4,172</i>	<i>25,940</i>

The amount of liabilities associated with financial assets pledged as collateral for repurchase agreements came to €8,927 million at December 31, 2020 (€8,989 million at December 31, 2019).

The fair value of assets pledged as collateral for non-deconsolidating securitization transactions was

€4,172 million at December 31, 2020 (€4,809 million at December 31, 2019) and the amount of related liabilities came to €4,412 million at December 31, 2020 (€4,214 million at December 31, 2019).

Transferred financial assets not fully derecognized and other financial assets pledged as collateral at December 31, 2019

in millions of euros	Carrying amount				12/31/2019
	Outright securities lending	Repurchase agreements	Assets transferred or pledged as collateral	Securitizations	
Financial assets at fair value through profit or loss – Held for trading	4,255	9,208	3,790	448	17,701
Financial assets at fair value through profit or loss – Non-SPPI			10		10
Financial assets at fair value through other comprehensive income			414		414
Financial assets at amortized cost	158		14,539	4,360	19,057
TOTAL FINANCIAL ASSETS PLEDGED AS COLLATERAL	4,413	9,208	18,753	4,808	37,182
<i>o/w transferred financial assets not fully derecognized</i>	<i>4,413</i>	<i>9,208</i>	<i>11,119</i>	<i>4,808</i>	<i>29,548</i>

5.19.1.1 Comments on transferred financial assets**SECURITIES REPURCHASING AND LENDING**

BPCE SA group repurchases and loans securities.

Under the terms of the agreements, the securities may be sold on by the purchaser throughout the duration of the repurchase or lending agreement. The purchaser must nevertheless return them to the vendor at the end of the agreement. Cash flows generated by the securities are also transferred to the vendor.

The Group believes that it retains almost all of the risks and benefits of securities under repurchase or loan agreements. They are therefore not derecognized. Financing has been recorded in liabilities for the repurchasing or lending of financed securities.

SALES OF RECEIVABLES

BPCE SA group sells receivables as security (Articles L. 211-38 or L. 313-23 *et seq.* of the French Monetary and Financial Code) under guaranteed refinancing operations, notably with the central bank. This type of disposal for security involves the legal transfer of the associated contractual rights, and therefore a “transfer of assets” within the meaning of the amendment to IFRS 7. The Group nevertheless remains exposed to virtually all the risks and benefits, and as such the receivables are maintained on the balance sheet.

CONSOLIDATED SECURITIZATIONS

Securitizations consolidated with outside investors constitute an asset transfer according to the amendment to IFRS 7.

The Group has an indirect contractual obligation to transfer to outside investors the cash flow from assets transferred to the securitization fund (although these assets are included in the Group's balance sheet through the consolidation of the fund).

In the interest of transparency, for consolidated securitization transactions:

- the share of receivables sold attributable to external investors is considered to be pledged as collateral to third parties;
- the share of receivables sold attributable to units and bonds subscribed for by the Group, and eliminated on consolidation, is not considered to be pledged as collateral unless these securities were brought to the BPCE SA group's single treasury and central bank collateral management pool and used as part of a refinancing mechanism.

The senior units of the BPCE Financement Purple Master Credit Cards securitization transactions are subscribed by external investors.

5.19.1.2 Comments on financial assets pledged as collateral but not transferred

Financial assets provided as collateral but not transferred are generally pledged. The main mechanisms involved are the CRH (Caisse de Refinancement de l'Habitat), the ESNI industry-wide funding mechanism and securities pledged as collateral for European Central Bank (ECB) refinancing operations.

Moreover, in accordance with French law, the intrinsic guarantees attached to issues of covered bonds are not recognized under guarantee commitments given. The covered

bonds issued by BPCE SFH and Compagnie de Financement Foncier benefit from a legal privilege comprised of eligible assets.

5.19.1.3 Financial assets received as collateral that can be sold or repledged

This heading covers financial assets received as security under financial guarantee agreements with the right to reuse the assets in the absence of any default on the part of the owner of the guarantee.

The fair value of the financial assets received as collateral that BPCE SA group may sell or repledge amounted to €198 billion at December 31, 2020, compared to €211 billion at December 31, 2019.

The fair value of the financial assets received as collateral that were actually sold or repledged amounted to €150 billion at December 31, 2020, compared with €166 billion at December 31, 2019.

5.19.2 FULLY DERECOGNIZED FINANCIAL ASSETS FOR WHICH THE GROUP RETAINS AN ONGOING COMMITMENT

Fully derecognized transferred financial assets for which the Group retains an ongoing commitment consist of asset transfers to a deconsolidated securitization vehicle in which BPCE SA group has an interest or an obligation, although this does not call into question the transfer of almost all of the benefits and risks relating to the assets transferred.

Ongoing commitments retained by the Group in relation to securitization vehicles were not significant on December 31, 2020.

5.20 FINANCIAL INSTRUMENTS SUBJECT TO BENCHMARK INDEX REFORM

Accounting principles

In accordance with the amendments to IFRS 9 and IAS 39 relating to the reform of the benchmark rates, (phase 1), until the uncertainties relating to the reform disappear, it is considered that:

- transactions designated as cash flow hedges are considered "highly probable", as it is assumed that the cash flows will not change as a result of the reform;
- prospective effectiveness tests of fair value hedges and cash flow hedges are not affected by the reform, and in particular hedge accounting can continue if retrospective assessment results are outside the 80%-125% range during the transition period, while the ineffective portion of hedging relationships shall continue to be recognized in the income statement;
- hedged risk components determined using a benchmark rate are considered to be separately identifiable.

BPCE SA group considers that all its hedging agreements with a BOR or EONIA component are concerned by the reform and therefore qualify for the amendments for as long as there is uncertainty as to the contractual changes required by

regulations or regarding the replacement benchmark to be used or the application period of temporary rates. BPCE SA group's exposure primarily lies with its derivatives contracts and lending and borrowing contracts that use the EURIBOR, EONIA or US LIBOR interest rates. Hedging transactions are presented in Note 5.3.

The amendments of phase 2, after implementation of the alternative rates, introduce a practical expedient, which consists of modifying the effective interest rate prospectively without impact on net income in cases where the changes in flows of financial instruments are exclusively related to the reform and make it possible to maintain an economic equivalence between the old flows and the new ones.

They also introduce, if these conditions are met, relaxations in the eligibility criteria for hedge accounting in order to be able to maintain the hedging relationships concerned by the reform. These provisions relate in particular to the impacts related to hedge redocumentation, portfolio hedging, treatment of the OCI reserve for the CFH hedging, identification of an identifiable risk component, retrospective effectiveness tests.

European Regulation (EU) 2016/1011 of June 8, 2016 on the indexes used as benchmarks ("the Benchmark Regulation" or "BMR") introduces a common framework aimed at guaranteeing the accuracy and integrity of the indexes used as benchmarks for financial instruments and contracts, or to measure the performance of investment funds within the European Union.

The purpose of the Benchmark Regulation is to regulate the provision of benchmarks, the provision of data underlying benchmarks, and the use of benchmarks, within the European Union. It provides for a transition period for administrators, which have until January 1, 2022 to be approved or registered. After this date, the use by entities supervised by the EU of benchmarks whose administrators are not approved or registered (or, if they are not located in the EU, are not subject to equivalent or otherwise recognized or approved regulations) will be prohibited.

Under the BMR, the interest rate benchmarks EURIBOR, LIBOR and EONIA have been declared critical.

Uncertainties relating to the definition of new benchmark rates in the euro zone were partially resolved in the first half of 2019. Work to propose new indexes has been completed for the EONIA, which became an €STR tracker from October 1, 2019 to December 31, 2021. The €STR will replace the "recalibrated" EONIA beginning on January 1, 2022.

The introduction of a new calculation approach aimed at transitioning to a hybrid methodology for the EURIBOR, which has been recognized by the Belgian regulator as being consistent with the requirements laid down by the Benchmark Regulation, was finalized in November 2019. Currently, modest doubts persist as to the continuation of the EURIBOR, given the limited number of banks which contribute to setting the index. Two consultations were launched in November 2020 by the European working group on alternative benchmark rates, to help

banks with drafting fallback clauses. These consultations deal with identifying trigger events for the permanent closure of EURIBOR and the best methods for determining rates based on the €STR, which would then replace it.

The degree of uncertainty regarding derivatives or hedged items indexed to the EURIBOR or EONIA rates, which account for most of Groupe BPCE's hedging activities, is less pronounced than the uncertainty surrounding those indexed to the LIBOR.

Regarding LIBOR, at the moment alternative "risk-free" rates have been defined for GBP, USD, CHF and JPY LIBOR.

However, work is ongoing to define the way to transition to these rates. Legislative solutions are also on the cards at European, UK and US levels, for contracts benchmarked to LIBOR, which would not have to be renegotiated at the end of the transition period.

In the first half of 2018, Groupe BPCE established a project team tasked with anticipating the impacts of the benchmark reform, from a legal, commercial, financial, risk, systemic and accounting viewpoint.

During 2019, work focused on the reform of the Euribor and the transition from the EONIA to the €STR and the strengthening of contractual clauses regarding the termination of indices. In 2020, a more operational phase began, focused on the transition and reducing exposures to the benchmark rates that are likely to disappear. This includes the use of new indexes, addressing existing exposures and more active communications with the Bank's clients. However, the vast majority of contracts affected by the reform will only be amended to include alternative rates in 2021.

Information on non-derivative financial assets, non-derivative financial liabilities and derivatives outstanding that will need to be transitioned is presented in the section on "Liquidity, Interest Rate and Exchange Rate Risks" in chapter 6 "Risk Management"

Note 6 Commitments

Accounting principles

Commitments are materialized by the existence of a contractual obligation and are binding.

It must not be possible for commitments included in this item to be deemed financial instruments falling within the scope of IFRS 9 for classification and measurement purposes. However, loan commitments and guarantees given are covered by IFRS 9 provisioning rules, as set out in Note 7.

The effects of the rights and obligations covered by such commitments must be subject to the occurrence of conditions or subsequent transactions. Commitments are broken down into:

- loan commitments (confirmed credit facilities or refinancing agreements);
- guarantee commitments (off-balance sheet commitments or assets received as collateral).

The amounts shown correspond to the nominal value of commitments given.

6.1 LOAN COMMITMENTS

in millions of euros

	12/31/2020	12/31/2019
Loan commitments given to:		
• banks	571	1,005
• customers	78,666	76,191
<i>Credit facilities granted</i>	<i>69,698</i>	<i>67,329</i>
<i>Other commitments</i>	<i>8,968</i>	<i>8,862</i>
TOTAL LOAN COMMITMENTS GIVEN	79,236	77,196
Loan commitments received from:		
• banks	33,587	52,318
• customers	10	117
TOTAL LOAN COMMITMENTS RECEIVED	33,597	52,436

6.2 GUARANTEE COMMITMENTS

in millions of euros

	12/31/2020	12/31/2019
Guarantee commitments given to:		
• banks	7,745	6,629
• customers ⁽¹⁾	22,087	22,635
TOTAL GUARANTEE COMMITMENTS GIVEN	29,832	29,264
Guarantee commitments received from:		
• banks	20,439	21,738
• customers	90,268	91,066
TOTAL GUARANTEE COMMITMENTS RECEIVED	110,708	112,804

(1) Guarantees given by CEGC in connection with its activity are treated as insurance policies for accounting purposes, in accordance with IFRS 4 "Insurance contracts". They are recorded on the liabilities side of the balance sheet and are not included in guarantees given to customers shown in the table above.

Guarantee commitments are off-balance sheet commitments.

GUARANTEES ISSUED TO UCITS BY NATIXIS

Natixis guarantees the capital and/or returns on units in certain UCITS. The guarantees are only enforced if, on the maturity date, the net asset value of each unit is below the guaranteed net asset value.

The capital and/or performance guarantees provided by Natixis to certain UCITS are recognized as derivatives and are subject to measurement at fair value in accordance with the provisions of IFRS 13.

Note 7 Exposure to risks

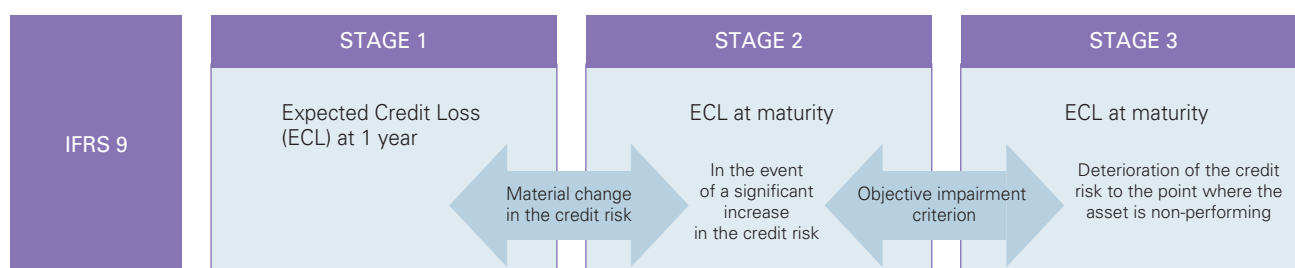
The risk exposures reported below include credit risk, market risk, overall interest rate risk, foreign exchange risk and liquidity risk.

The information on risk management required by IFRS 7 and presented in the risk management report (Chapter 3 of the registration document) only pertains to Groupe BPCE.

7.1 CREDIT RISK

Key points

Credit risk is the risk that one party to a financial transaction fails to fulfill its obligations, causing the other party to incur a financial loss.



Certain disclosures relating to risk management required by IFRS 7 are also provided in the risk management report. They include:

- the breakdown of gross exposures by category and approach (separation of credit and counterparty risk);
- the breakdown of gross exposure by geographic region;

- concentration of credit risk by borrower;
- the breakdown of exposure by credit rating.

This information forms an integral part of the financial statements certified by the Statutory Auditors.

7.1.1 COST OF CREDIT RISK

Accounting principles

Cost of risk applies to debt instruments classified as financial assets at amortized cost or at fair value through other comprehensive income recyclable to profit or loss as well as to loan commitments and financial guarantees given that are not recognized at fair value through profit or loss. It also applies to receivables relating to leasing contracts, business loans and contract assets.

This item therefore covers net impairment and provision charges for credit risk.

Credit losses related to other types of instruments (derivatives or securities designated at fair value through profit or loss) recorded as a result of credit institution counterparty default are also included under this item.

Irrecoverable loans not covered by provisions for impairment are loans that have acquired the character of permanent loss before being provisioned in Stage 3.

Cost of credit risk for the period

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Net charge to provisions and provisions for impairment	(1,202)	(476)
Recoveries of bad debts written off	32	30
Irrecoverable loans not covered by provisions for impairment	(34)	(57)
TOTAL COST OF CREDIT RISK	(1,204)	(503)

Cost of credit risk for the period by type of asset

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Interbank transactions	(67)	3
Customer transactions	(1,111)	(475)
Other financial assets	(26)	(31)
TOTAL COST OF CREDIT RISK	(1,204)	(503)

This item also includes impairment charges potentially recognized when there is a known risk of counterparty default on financial instruments traded over-the-counter and recorded as financial assets at fair value through profit or loss, for €33 million in 2020.

7.1.2 CHANGE IN GROSS CARRYING AMOUNTS AND EXPECTED CREDIT LOSSES ON FINANCIAL ASSETS AND COMMITMENTS

Accounting principles

General principles

Expected credit losses are represented by impairments of assets classified at amortized cost and at fair value through other comprehensive income, and by provisions for loan and guarantee commitments.

The financial instruments concerned (see Note 7.1.1) are impaired or covered by a provision for expected credit losses (ECL) as of the date of initial recognition.

When the financial instruments do not individually show objective evidence of loss, impairment or provisions for expected credit losses are measured based on past losses and reasonable and justifiable discounted future cash flow forecasts.

Financial instruments are divided into three categories (Stages) depending on the increase in credit risk observed since initial recognition. A specific credit risk measurement method applies to each category of instrument:

Stage 1 (S1)

- these are performing loans for which credit risk has not increased materially since the initial recognition of the financial instrument;
- the impairment or the provision for credit risk corresponds to 12-month expected credit losses;
- interest income is recognized in income using the effective interest method applied to the gross carrying amount of the instrument before impairment.

Stage 2 (S2)

- performing loans for which credit risk has increased materially since the initial recognition of the financial instrument are transferred to this category;
- the impairment or the provision for credit risk is determined on the basis of the financial instrument's lifetime expected credit losses;

- interest income is recognized in income, as for Stage 1 assets, using the effective interest method applied to the gross carrying amount of the instrument before impairment.

Stage 3 (S3)

- these are loans for which there is objective evidence of impairment loss due to an event which represents a known credit risk occurring after the initial recognition of the instrument in question. As was the case under IAS 39, this category covers receivables for which a default event has been identified as defined in Article 178 of the EU Regulation no. 575/2013 of June 26, 2013 on prudential requirements for credit institutions. Default situations are now more tightly identified for significant amounts outstandings (introduction of relative and an absolute thresholds for past due payments) and the criteria for a return to non-defaulted status have been clarified with the introduction of a probation period and of explicit criteria for a classification as default of restructured loans;
- the impairment or the provision for credit risk is calculated based on the financial instrument's lifetime expected credit losses on the basis of the recoverable amount of the receivable, *i.e.* the present value of estimated recoverable future cash flows;
- interest income is recognized through profit or loss using the effective interest method applied to the net carrying amount of the instrument after impairment;
- the financial assets purchased or originated and impaired for credit risk on their initial recognition because the entity does not expect to recover all the contractual cash flows (Purchased or Originated Credit-Impaired financial instruments or POCI) also belong to Stage 3. These assets may be transferred to Stage 2 if their credit risk improves.

For operating or finance lease receivables (which fall within the scope of IFRS 16) the Group has elected not to make use of the option of applying the simplified approach as set out in IFRS 9 paragraph 5.5.15.

Method for measuring the increase in credit risk and expected credit losses

The principles for measuring the increase in credit risk and expected credit losses applicable to most of the Group's exposures are described below. Only a few portfolios held by Group entities – representing a limited volume of exposures – cannot be treated according to the methods described below and are subject to appropriate valuation techniques.

Significant increase in credit risk

A significant increase in credit risk is measured on an individual basis for each instrument by taking into account all reasonable and supportable information and by comparing the default risk on the financial instrument at the reporting date with the default risk on the financial instrument at the date of initial recognition. A counterparty-based approach (applying the contagion principle to all outstanding loans to the counterparty in question) is also possible, in particular with regard to the watchlist criterion.

In accordance with IFRS 9, a counterparty with a significant deterioration in credit risk (Stage 2) that has just been originated will be classified as Stage 1.

Assessment of increases in credit risk involves comparing the probability of default or ratings on the initial recognition date with those applicable at the reporting date. The same principles as those used to classify an exposure in Stage 2 are applied in case of a decline in the material deterioration in credit risk.

The standard also includes a rebuttable presumption that credit risk has significantly increased since initial recognition if contractual payments are more than 30 days past due.

In particular, the moratoria granted as a general measure to support businesses facing cash flow problems, and the granting of State-guaranteed loans, do not in themselves constitute evidence of financial hardship calling into question the counterparty's capacity to honor its contractual agreements on maturity. As a result, the principles described above apply in full depending on each counterparty's specific situation.

In most cases, a measurement showing an increase in risk leads to the asset's transfer to Stage 2 before it is individually impaired (Stage 3).

Assessment of a material increase in credit risk is made at the level of each instrument, based on indicators and thresholds that vary according to the type of exposure and counterparty.

More specifically, the change in credit risk is measured on the basis of the following criteria:

- for loans to Individual Customers, Professional Customers, SMEs, Public Sector entities and Social Housing entities, measurement of the increase in credit risk relies on a combination of quantitative and qualitative criteria. The quantitative criterion is based on the change in the probability of default over one year (mid-cycle average) from initial recognition. Additional qualitative criteria are used to classify as Stage 2 all contracts with payments more than 30 days past due (the presumption that amounts are past-due after 30 days is therefore not rebutted), rated at-risk or undergoing adjustments or financial hardship if the downgrade to default criteria are not met;
- for loans to Large Corporates, Banks and Sovereigns, the quantitative criterion is based on changes in the credit rating since initial recognition. The same qualitative criteria apply as for Individual Customers, Professional Customers and small and medium-sized enterprises, along with additional criteria based on the evolution of the sector rating and of the level of country risk;
- for Specialized Financing, the criteria applied vary according to the characteristics of the exposures and the related ratings system. The exposures noted under the engine dedicated to large exposures are treated in the same way as Large Corporates; other exposures are treated in the same way as small and medium-sized enterprises.

For all these loan books, the ratings on which the increase in risk is measured using the ratings produced by internal systems when they are available, as well as external ratings, particularly when an internal rating is not available.

The standard provides that the credit risk of a financial instrument has not increased materially since its initial recognition if this risk is considered to be low at the end of the fiscal year. This provision is applied to certain investment-grade debt securities that are managed as part of BPCE's liquidity reserve, as required by Basel III regulations. Investment grade ratings are those equal to or above BBB- or its equivalent by Standard and Poor's, Moody's or Fitch.

In accordance with IFRS 9, the recognition of guarantees and collateral does not influence the assessment of a material increase in credit risk, which depends on changes in credit risk relating to the debtor without taking into account such guarantees.

Measurement of expected credit losses

Expected credit losses are defined as being an estimate of credit losses (i.e. the present value of cash flow shortfalls) weighted by the probability of occurrence of these losses over the expected lifetime of the financial instrument in question. They are calculated individually for each exposure.

In practice, for Stage 1 and Stage 2 financial instruments, expected credit losses are calculated as the product of a number of inputs:

- cash flows expected over the lifetime of the financial instrument, discounted at the valuation date – these flows are determined according to the characteristics of the contract, its effective interest rate and, for home loans, the level of prepayment expected on the contract;
- loss given default (LGD);
- the probability of default (PD) over the coming year for Stage 1 financial instruments and to maturity for Stage 2 financial instruments.

The Group's methodology draws on existing concepts and mechanisms to define these inputs, and in particular on internal models developed to calculate regulatory capital requirements (Basel framework) and projection models used in the stress test system. Certain adjustments are made to comply with the specifics of IFRS 9:

- IFRS 9 inputs aim to provide an accurate estimate of expected credit losses for accounting provision purposes, whereas prudential inputs are more cautious for regulatory framework purposes. Several of the safety buffers applied to prudential inputs are therefore restated;
- IFRS 9 inputs must allow expected credit losses to be estimated until the contract's maturity, whereas prudential inputs are defined to estimate 12-month expected losses. 12-month inputs are thus projected over long periods;

- IFRS 9 parameters must be forward-looking and take into account the expected economic environment over the projection period, whereas prudential parameters correspond to mid-cycle estimates (for PD) or bottom-of-the-cycle estimates (for LGD and the cash flows expected over the lifetime of the financial instrument). Prudential PD and LGD inputs are therefore also adjusted to reflect forecasts of future economic conditions.

Expected credit loss calculations take into account assets pledged as collateral and other credit enhancements that form an integral part of the instrument's contractual conditions and that the entity does not recognize separately. The estimate of expected cash flow shortfalls on a financial instrument reflects the amount and schedule for enforcing collateral.

Recognition of forward-looking information

BPCE SA group uses forward-looking data to estimate any material increase in credit risk and to measure expected credit losses.

The amount of expected credit losses is calculated using an average ECL by scenario, weighted by probability of occurrence, taking into consideration past events, current circumstances and reasonable and justifiable forecasts of the economic environment.

To determine a significant increase in credit risk, as well as applying rules based on the comparison of risk parameters between the initial recognition date and the reporting date, the calculation is supplemented by forward-looking information such as sector or geographical macro-economic scenarios, which may increase the amount of expected credit losses on certain exposures. Group entities therefore assess the exposures in question in terms of the local and sector characteristics of their portfolio.

Methodology for calculating expected losses

The parameters used to measure expected credit losses, are adjusted to economic conditions by defining three economic scenarios over a three-year period:

- the core scenario was updated based on the scenarios determined by the Group's economists in September;
- a pessimistic scenario, corresponding to a deterioration in macro-economic variables defined in relation to the core scenario;
- an optimistic scenario, corresponding to an improvement in macro-economic variables defined in relation to the core scenario.

The variables defined in each of these scenarios allow for the distortion of the PD and LGD inputs and the calculation of an expected credit loss for each economic scenario. Inputs for periods longer than three years are projected using the mean reversion principle over the medium-long term. The models used to distort the PD and LGD inputs are based on those developed for the stress test system for consistency reasons. The economic scenarios are associated with probabilities of occurrence, making it possible to calculate the average probable loss, which is used as the amount of the IFRS 9 expected credit loss.

BPCE SA group has extended and adapted this approach by adjusting for a number of factors specific to certain scopes or significant markets. Each scenario is therefore weighted based on how close it is to the consensus forecast for the main economic variables in each scope or significant market of the Group.

For Retail Banking, projections are calculated using the main economic variables such as GDP, unemployment and interest rates on 10-year French sovereign debt. For Corporate & Investment Banking, the macro-economic variables applied relate to the international situation and make greater use of financial and market data.

These scenarios and their review are defined using the same organization and governance as those used for the budget process, requiring a quarterly review since the Covid-19 crisis based on proposals from the Economic Research department and approval by the Executive Management Committee. The probability of occurrence of each scenario is reviewed on a quarterly basis by the Group Watchlist and Provisions Committee. The inputs thus defined allow expected credit losses for all exposures to be valued, regardless of whether they belong to a scope approved using an internal method or are processed using the standardized method for the calculation of risk-weighted assets.

The IFRS 9 model validation process is fully aligned with the Group's existing model validation process. Models are reviewed by an independent unit responsible for internal validation and the unit's conclusions are then examined by the Group Models Committee. Subsequent recommendations are monitored up by the validation unit.

Method for measuring assets classified as Stage 3

Exposures for which there is objective evidence of impairment loss due to an event representing a counterparty risk and occurring after initial recognition are classified as Stage 3. The criteria for identifying assets are in line with the definition of default under Article 178 of European Regulation 575/2013, of June 26, 2013, on prudential requirements for credit institutions, consistent with EBA guidelines (EBA/GL/2016/07) on the application of the definition of default, and Delegated Regulation (EU) 2018/1845 of the European Central Bank on the threshold for assessing the materiality of credit obligations past due, effective by December 31, 2020.

Loans and receivables are considered as impaired and are classified as Stage 3 if the following two conditions are met:

- there is objective evidence of impairment on an individual or portfolio basis: there are "triggering events" or "loss events" identifying counterparty risk occurring after the initial recognition of the loans in question. Objective evidence of impairment includes:
 - any payments that are past due by at least three consecutive months (at least six consecutive months for receivables from local authorities) for which the amount is above the absolute threshold (of €100 for a retail exposure, otherwise €500) and relative threshold of 1% of counterparty exposures;
 - or the restructuring of loans if certain criteria are met, or regardless of whether any payment has been missed, the observation of financial hardship experienced by the counterparty leading to the expectation that some or all of the amounts owed may not be recovered. Restructured loans are classed as Stage 3 when the loss is greater than 1% of the difference between the net present value before restructuring and the net present value after restructuring;
 - or the launch of legal proceedings.
- these events are liable to lead to the recognition of incurred credit losses, that is, expected credit losses for which the probability of occurrence has become certain.

Debt instruments such as bonds or securitized transactions (ABS, CMBS, RMBS, cash CDOs) are considered impaired and are classified as Stage 3 when there is a known counterparty risk.

The Group uses the same impairment indicators for Stage 3 debt securities as those used for individually assessing the impairment risk on loans and receivables, irrespective of the portfolio to which the debt securities are ultimately designated. For perpetual deeply subordinated notes (TSSDI) that meet the definition of financial liabilities within the meaning of IAS 32, particular attention is also paid if, under certain conditions, the issuer may be unable to pay the coupon or extend the issue beyond the scheduled redemption date.

Impairment for expected credit losses on Stage 3 financial assets is determined as the difference between the amortized cost and the recoverable amount of the receivable, *i.e.* the present value of estimated recoverable future cash flows, whether these cash flows come from the counterparty's activity or from the potential activation of guarantees. For short-term assets (maturity of less than one year), there is no discounting of future cash flows. Impairment is determined globally, without distinguishing between interest and principal. Expected credit losses arising from Stage 3 off-balance sheet commitments are taken into account through provisions recognized on the liability side of the balance sheet. They are calculated on the basis of the maturity schedules determined based on historic recoveries for each category of receivable.

For the purposes of measuring expected credit losses, pledged assets and other credit enhancements that form an integral part of the contractual conditions of the instrument and that the entity does not recognize separately are taken into account in the estimate of expected cash flow shortfalls.

Recognition of impairment of assets classified at amortized cost and at fair value through other comprehensive income, and of provisions for loan and guarantee commitments

For debt instruments recognized on the balance sheet in the financial assets at amortized cost category, impairment is recorded against the line on which the asset was initially shown for its net amount (regardless of whether the asset is S1, S2, S3 or POCI). Impairment charges and reversals are recognized in the income statement under "Cost of credit risk".

For debt instruments recognized as financial assets at fair value through other comprehensive income on the balance sheet, impairment is carried on the liabilities side of the balance sheet at the level of other comprehensive income recyclable to profit or loss, with a corresponding entry on the income statement under "Cost of credit risk" (regardless of whether the asset is classified S1, S2, S3 or POCI).

For loan and financial guarantee commitments given, provisions are recorded on the liabilities side of the balance sheet under "Provisions" (irrespective of whether the commitment given is classified S1, S2, S3 or POCI). Additions to/reversals from provisions are recognized in the income statement under "Cost of credit risk".

7.1.3 CHANGE IN EXPECTED CREDIT LOSSES ON FINANCIAL ASSETS AND COMMITMENTS

As of December 31, 2020 the POCI are presented by segmentation S2 POCI and S3 POCI.

7.1.3.1 Change in impairment for credit losses on financial assets through other comprehensive income

	Stage 1		Stage 2		TOTAL	
	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
<i>in millions of euros</i>						
BALANCE AT 12/31/2019	15,532		53		15,586	
Origination and acquisitions	1,875				1,875	
Derecognition (redemptions, disposals and debt forgiveness)	(1,724)		(1)		(1,725)	
Transfers of financial assets	46		(46)			
Transfers to S1	52		(52)			
Transfers to S2	(6)		6			
Other changes ⁽¹⁾	389	(1)			389	(1)
BALANCE AT 12/31/2020	16,118	(1)	6		16,124	(1)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments), exchange rate fluctuations and IFRS 5 impacts.

7.1.3.2 Change in impairment for credit losses on debt securities at amortized cost

	Stage 1		Stage 2		Stage 3		Purchased or Originated Credit-Impaired (S3 POCI) assets		TOTAL	
	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
<i>in millions of euros</i>										
BALANCE AT 12/31/2019	14,251	(6)	780	(7)	134	(115)	63	(54)	15,227	(182)
Origination and acquisitions	722		516		///	///	40		1,278	
Derecognition (redemptions, disposals and debt forgiveness)	(1,193)		(141)	1	(8)	3			(1,342)	4
Impairment (write-off)					(8)	8			(8)	8
Transfers of financial assets	12	1	(38)		3				(23)	1
Transfers to S1	451		(454)	2					(3)	2
Transfers to S2	(439)	1	419	(2)					(20)	(1)
Transfers to S3			(3)		3					
Other changes ⁽¹⁾	(1,000)	(7)	(59)		3	(3)	5	(1)	(1,051)	(9)
BALANCE AT 12/31/2020	12,792	(11)	1,058	(5)	124	(106)	108	(55)	14,081	(177)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments) and exchange rate fluctuations.

7.1.3.3 Change in impairment for credit losses on loans and receivables due from banks at amortized cost

Loans and receivables to credit institutions registered in Stage 1 include funds centralized at the Caisse des Dépôts et Consignations; €243 million at December 31, 2020, compared to €239 million at December 31, 2019.

	Stage 1		Stage 2		Stage 3		TOTAL	
	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
<i>in millions of euros</i>								
BALANCE AT 12/31/2019	129,925	(1)	(548)	(3)	49	(49)	129,425	(52)
Origination and acquisitions	21,539	(1)	3		///	///	21,542	(1)
Derecognition (redemptions, disposals and debt forgiveness)	(3,036)		(24)		(1)	1	(3,061)	1
Impairment (write-off)	///	///	///	///	(18)	17	(18)	17
Transfers of financial assets	117		(117)					
Transfers to S1	182		(182)					
Transfers to S2	(65)		65					
Transfers to S3								
Other changes ⁽¹⁾	874		1,133	(1)	1	1	2,009	
BALANCE AT 12/31/2020	149,420	(1)	447	(5)	31	(29)	149,897	(35)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments), exchange rate fluctuations and IFRS 5 impacts.

7.1.3.4 Change in impairment for credit losses on loans and receivables due from customers at amortized cost

Financial instruments are divided into three categories (Stages) depending on the increase in credit risk observed since initial recognition. This increased risk is measured by ratings at the

closing date, including if ratings have been automatically improved by government support measures (positive impact of the moratoria and SGLs described below and in Note 1.5.2).

	Stage 1		Stage 2		Stage 3		Purchased or Originated Credit-Impaired (S2 POCI)		Purchased or Originated Credit-Impaired (S3 POCI)		TOTAL	
<i>in millions of euros</i>	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
BALANCE AT 12/31/2019	140,294	(181)	32,198	(334)	7,418	(2,471)	85	(1)	626	(356)	180,620	(3,343)
Origination and acquisitions	30,186	(92)	4,442	(33)	///	///			188	(43)	34,817	(168)
Derecognition (redemptions, disposals and debt forgiveness)	(25,628)	57	(3,307)	44	(927)	90	(2)		(422)	282	(30,287)	473
Impairment (write-off)	///	///	///	///	(968)	942			(33)	33	(1,001)	975
Transfers of financial assets	(1,413)	(1)	(797)	32	2,122	(43)	8		(8)		(88)	(11)
Transfers to S1 ⁽¹⁾	6,580	(66)	(6,468)	67	(148)	5					(36)	6
Transfers to S2	(6,655)	51	7,078	(117)	(470)	53	8		(8)		(47)	(14)
Transfers to S3	(1,338)	14	(1,407)	82	2,740	(100)					(5)	(4)
Other changes ⁽²⁾	(7,285)	(24)	(2,514)	(144)	325	(1,091)	(30)		(14)	2	(9,518)	(1,257)
BALANCE AT 12/31/2020	136,153	(242)	30,023	(435)	7,969	(2,572)	62	(1)	337	(83)	174,543	(3,333)

(1) Including a reclassification of €3.7 billion of outstandings at Corporate & Investment Banking and certain Retail Banking and Insurance business lines from Stage 2 to Stage 1 by Natixis group, due to the decision no longer to reclassify an asset to Stage 2 when a business sector rating is downgraded.

(2) Other changes include amortization of receivables, changes in credit risk parameters (including partial repayments), currency fluctuations and IFRS 5 impacts (particularly -€2 billion related to Coface, now reported by the equity method).

The increase in outstanding loans and receivables due from customers includes State-guaranteed loans totaling €4 billion in 2020 (see Note 1.5.1.1).

7.1.3.5 Change in credit losses on loan commitments given

	Stage 1		Stage 2		Stage 3		Purchased or Originated Credit-Impaired (S2 POCI)		Purchased or Originated Credit-Impaired (S3 POCI)		TOTAL	
<i>in millions of euros</i>	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
BALANCE AT 12/31/2019	70,918	(33)	6,152	(82)	117	(22)	9				77,196	(138)
Origination and acquisitions	9,153	(17)	1,517	(10)	///	///	1		2		10,673	(26)
Derecognition (redemptions, disposals and debt forgiveness)	(7,768)	3	(453)	2	(36)		(4)				(8,261)	5
Transfers of financial assets	(1,723)	1	1,634	(1)	74	(3)					(14)	(4)
Transfers to S1	1,207	(4)	(1,196)	4	(13)						(2)	
Transfers to S2	(2,900)	5	2,894	(6)	(2)						(9)	(1)
Transfers to S3	(29)		(63)		89	(3)					(3)	(3)
Other changes ⁽¹⁾	1,825	(7)	(2,166)	6	(22)	15	1		6		(357)	13
BALANCE AT 12/31/2020	72,404	(54)	6,684	(85)	134	(10)	6		8		79,236	(149)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments), exchange rate fluctuations and IFRS 5 impacts.

7.1.3.6 Change in credit losses on guarantee commitments given

	Stage 1		Stage 2		Stage 3		Purchased or Originated Credit-Impaired (S2 POCI)		Purchased or Originated Credit-Impaired (S3 POCI)		TOTAL	
<i>in millions of euros</i>	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses	Gross carrying amount	Impairment for expected credit losses
BALANCE AT 12/31/2019	21,635	(11)	3,418	(16)	175	(65)	2		1		25,231	(92)
Origination and acquisitions	3,884	(4)	305	(2)	///	///					4,190	(6)
Derecognition (redemptions, disposals and debt forgiveness)	(3,345)	2	(501)	2	(14)	7					(3,860)	11
Transfers of financial assets	(463)	1	373	(2)	90	(4)					(2)	(5)
Transfers to S1	434	(1)	(432)	1	(2)	1						1
Transfers to S2	(882)	2	881	(3)	(1)						(2)	(1)
Transfers to S3	(15)		(76)		91	(5)						(5)
Other changes ⁽¹⁾	(441)	(4)	(867)	(3)	343	(51)			(1)		(967)	(58)
BALANCE AT 12/31/2020	21,270	(16)	2,728	(21)	592	(113)	2				24,591	(150)

(1) Including amortization of receivables, changes in credit risk parameters (including partial repayments), exchange rate fluctuations and IFRS 5 impacts.

7.1.4 MEASUREMENT AND MANAGEMENT OF CREDIT RISK

Credit risk arises whenever a counterparty is unable to meet its payment obligations and may result from a reduction in credit quality or default by the counterparty.

Commitments exposed to credit risk consist of existing or potential receivables and particularly loans, debt securities, equities, performance swaps, performance bonds, or confirmed or undrawn facilities.

Credit risk management procedures and assessment methods, risk concentration, the quality of performing financial assets, and the analysis and breakdown of outstandings are described in the risk management report.

7.1.5 GUARANTEES RECEIVED ON IFRS 9 IMPAIRED INSTRUMENTS

The statement below shows the credit and counterparty risk exposure for all BPCE SA group's financial assets. This exposure to credit risk (determined without taking into account the impact of any unrecognized netting or collateral agreements) and to counterparty risk is based on the carrying amount of the financial assets.

<i>in millions of euros</i>	Maximum risk exposure	Impairment	Maximum exposure net of impairment	Guarantees
Debt securities at amortized cost	232	(161)	71	
Loans and receivables due from banks at amortized cost	31	(29)	2	
Loans and receivables due from customers at amortized cost	8,306	(2,655)	5,650	4,542
Loan commitments	142	(10)	132	32
Guarantee commitments	593	(113)	480	329
TOTAL IMPAIRED FINANCIAL INSTRUMENTS (\$3)	9,302	(2,968)	6,334	4,903

7.1.6 CREDIT RISK MITIGATION MECHANISMS: ASSETS OBTAINED BY TAKING POSSESSION OF COLLATERAL

The policy followed by BPCE SA group entities is to sell assets obtained by taking possession of collateral as soon as possible. The amount of these assets was non-material at December 31, 2020.

7.2 MARKET RISK

Market risk refers to the possibility of financial loss due to market trends, such as:

- interest rates: interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market rates of interest;
- exchange rates;
- prices: market price risk is the risk of a potential loss resulting from changes in market prices, whether they are caused by factors specific to the instrument or its issuer, or by factors affecting all market traded instruments. Variable-income securities, equity derivatives and commodity derivatives are exposed to this type of risk;
- and more generally, any market parameter involved in the valuation of portfolios.

Systems for the measurement and monitoring of market risks are presented in the risk management report.

The information provided in the risk management report required under IFRS 7 and relating to the management of market risk comprises:

- VaR for the Groupe BPCE scope;
- the conclusions of the global stress tests.

7.3 INTEREST RATE RISK AND EXCHANGE RATE RISK

Interest rate risk is the risk that unfavorable changes in interest rates will adversely impact the Group's annual results and net worth. Exchange rate risk is the risk of losses resulting from changes in exchange rates.

The Group's approach to the management of overall interest rate risk and foreign exchange risk is discussed in Chapter 6 "Risk Management – Liquidity, Interest Rate and Exchange Rate Risks".

7.4 LIQUIDITY RISK

Liquidity risk is the risk that the Group will be unable to honor its payment commitments as they fall due and replace funds when they are withdrawn.

The funding procedures and liquidity risk management arrangements are disclosed in the risk management report.

Note 8 Employee benefits and similar

Accounting principles

There are four categories of employee benefits:

- short-term employee benefits such as wages, salaries, paid annual leave, bonuses, and profit sharing and incentive schemes which are expected to be paid within 12 months of the end of the period in which the employee renders the service are recognized in expenses;
- post-employment benefits paid to retired staff break down into two categories: defined-contribution plans and defined-benefit plans.

Defined-contribution plans such as French national plans are those for which Groupe BPCE's obligation is limited to payment of a contribution; there is no obligation for the employer regarding a certain level of benefits. Contributions paid into these plans are recognized as an expense for the period.

Defined-benefit plans are those for which Groupe BPCE has undertaken to provide a given amount or level of benefits.

Defined-benefit plans are subject to provisions calculated based on an actuarial assessment of the amount of the obligation, taking into account demographic and financial assumptions. When these plans are funded by external funds meeting the definition of plan assets, the amount of the provision is reduced by the fair value of these assets.

The cost of defined-benefit plans recorded in expenses for the period includes: the service cost (representing the rights acquired by beneficiaries over the period), the past service cost (revaluation differences on actuarial liabilities following an amendment or reduction in the plan), the net financial cost (effect of unwinding the discount on the net obligation for interest income generated by plan assets) and the effect of pension drawdowns.

Revaluation differences on actuarial liabilities caused by changes in demographic and financial assumptions and past-experience effects are recorded in gains and losses recognized directly in other comprehensive income not recyclable to profit or loss.

Other long-term employee benefits include awards accruing to current employees and payable 12 months or more after the end of the period in which the employee renders the related service. They mainly include long-service awards and deferred variable remuneration payable in cash and not indexed to the share price.

These benefits are calculated using the same actuarial method as that applied for defined-benefit pension plans. The accounting method differs in terms of revaluation differences on actuarial liabilities, which are recorded under expenses.

Termination benefits are granted to employees on termination of their employment contract before the normal retirement date, either as a result of a decision by the Group to terminate a contract or a decision by an employee to terminate a contract in exchange for a severance package. They are covered by a provision. Termination benefits that are not expected to be paid within the 12 months following the balance sheet date are discounted to present value.

Share-based payments include payments in equity instruments or cash where the amount of the cash payment is indexed to the share price.

A personnel expense is systematically recorded for an amount equal to the fair value of the benefit awarded, spread over the period over which the rights are acquired.

8.1 PAYROLL COSTS

Payroll costs include all personnel expenses and the associated social security contributions and taxes.

They include expenses for employee benefits and share-based payments.

Information on employees by category is presented in Chapter 2, "Non-financial performance disclosures."

in millions of euros

	Fiscal year 2020	Fiscal year 2019
Wages and salaries	(3,299)	(3,675)
Expenses for defined-benefit and defined-contribution pension plans and other long-term employee benefits	(216)	(162)
Other social security costs and payroll-based taxes	(991)	(1,150)
Profit sharing and incentive schemes	(184)	(207)
TOTAL PAYROLL COSTS	(4,690)	(5,194)

8.2 EMPLOYEE BENEFITS

BPCE SA group grants its staff a variety of employee benefits:

- pensions and other post-employment benefits such as end-of-career awards and other benefits granted to retirees;
- other benefits such as long-service awards and other long-term employee benefits.

8.2.1 ANALYSIS OF EMPLOYEE-RELATED ASSETS AND LIABILITIES RECORDED IN THE BALANCE SHEET

	Post-employment defined-benefit plans		Other long-term employee benefits		12/31/2020	12/31/2019
	Supplementary pension benefits and other	End-of-career awards	Long-service awards	Other		
<i>in millions of euros</i>						
Actuarial liabilities	1,021	341	71	232	1,665	1,638
Fair value of plan assets	(793)	(169)			(962)	(944)
Fair value of reimbursement rights	(50)	(29)			(79)	(71)
Effect of ceiling on plan assets	17				17	18
Net amount reported on the balance sheet	195	143	71	232	641	641
Employee benefit commitments recorded in the balance sheet	245	172	71	232	720	712
Plan assets recorded in the balance sheet ⁽¹⁾	50	29			79	71

(1) Mostly recorded on the assets side of the balance sheet under "Accrued income and other assets".

Actuarial liabilities represent the Group's obligation in respect of beneficiaries. They are calculated by independent actuaries using the projected unit credit method based on demographic and financial assumptions that are reviewed on a regular basis and at least once a year.

When these plans are funded by assets meeting the definition of plan assets, the amount of the provision corresponds to actuarial liabilities less the fair value of these assets.

Plan assets no longer meeting the definition of plan assets are recorded under assets.

8.2.2 CHANGES IN AMOUNTS RECOGNIZED ON THE BALANCE SHEET

Changes in actuarial liabilities

	Post-employment defined-benefit plans		Other long-term employee benefits		Fiscal year 2020	Fiscal year 2019
	Supplementary pension benefits and other	End-of-career awards	Long-service awards	Other		
<i>in millions of euros</i>						
Actuarial liabilities at start of year	1,072	349	76	141	1,638	1,478
Service cost	11	21	6	18	56	68
Past service cost	(13)		1		(12)	(30)
Interest cost	15	2			17	27
Benefits paid	(43)	(12)	(3)	(39)	(97)	(105)
Other items recorded in income		4		1	5	1
Changes recorded in income	(30)	15	4	(20)	(31)	(39)
Revaluation adjustments – Demographic assumptions	(7)	(1)			(8)	(2)
Revaluation adjustments – Financial assumptions	30	12			42	170
Revaluation adjustments – Past-experience effect	8	(5)			3	12
Changes recognized directly in other comprehensive income not recyclable to profit or loss	31	6			37	180
Foreign exchange rate adjustments	(28)			(3)	(31)	4
Variations related to non-current assets held for sale ⁽¹⁾	(21)	(36)	(9)	(3)	(69)	
Other changes ⁽²⁾	(3)	7		117	121	15
ACTUARIAL LIABILITIES AT END OF YEAR	1,021	341	71	232	1,665	1,638

(1) Deconsolidation of Coface, recognized under IFRS 5 using the equity method.

(2) Including €115 million in term savings accounts reclassified as long-term benefits.

Change in plan assets

	Post-employment defined-benefit plans		Fiscal year 2020	Fiscal year 2019
	Supplementary pension benefits and other	End-of-career awards		
<i>in millions of euros</i>				
Fair value of plan assets at start of year	833	182	1,015	938
Interest income	12	1	13	20
Plan participant contributions	14		14	20
Benefits paid	(38)	1	(37)	(36)
Other items recorded in income	(3)	1	(2)	
Changes recorded in income	(15)	3	(12)	4
Revaluation adjustments – Return on plan assets	53	4	57	68
Changes recognized directly in other comprehensive income not recyclable to profit or loss	53	4	57	68
Foreign exchange rate adjustments	(24)		(24)	4
Variations related to non-current assets held for sale⁽¹⁾	(1)	(1)	(2)	
Other changes	(3)	10	7	1
FAIR VALUE OF PLAN ASSETS AT END OF YEAR⁽¹⁾	843	198	1,041	1,015

(1) Deconsolidation of Coface, recognized under IFRS 5 using the equity method.

(2) o/w €50 million in reimbursement rights included in supplementary retirement benefits and €29 million included in end-of-career benefits.

Amounts paid in cash to beneficiaries reduce the amount of provisions recorded to this end by an equivalent amount. A total of €37 million was charged against pension plan assets.

Interest income on plan assets is calculated by applying the same discount rate as that used to discount commitments. The difference between the actual return at the balance sheet date and this interest income is a revaluation difference recorded in equity not recyclable to profit or loss for post-employment benefits.

8.2.3 EXPENSES FOR DEFINED-BENEFIT PENSION PLANS AND OTHER LONG-TERM EMPLOYEE BENEFITS

Expenses for defined-benefit pension plans and other long-term employee benefits

The various components of the expense recognized for defined-benefit plans and other long-term employee benefits are included under "Payroll costs".

	Post-employment defined-benefit plans	Other long-term employee benefits	Fiscal year 2020	Fiscal year 2019
<i>in millions of euros</i>				
Service cost	(19)	(25)	(44)	(38)
Net interest cost	(4)		(4)	(7)
Other (o/w asset ceiling)	(6)	(1)	(7)	(1)
Expense for the period	(29)	(26)	(55)	(46)
Benefits paid	18	42	60	69
Plan participant contributions	14		14	20
Change in provisions due to contributions	32	42	74	89
TOTAL	3	16	19	43

Gains and losses on defined-benefit plans recorded directly in other comprehensive income

<i>in millions of euros</i>	Supplementary pension benefits and other	End-of-career awards	Fiscal year 2020	Fiscal year 2019
Revaluation adjustments at start of period	258	18	276	166
Revaluation adjustments over the period	(24)	2	(22)	114
Variations related to non-current assets held for sale ⁽¹⁾	(16)	(19)	(35)	
Adjustments to asset ceiling				(4)
REVALUATION ADJUSTMENTS AT END OF PERIOD	218	1	219	276

(1) Deconsolidation of Coface, recognized under IFRS 5 using the equity method.

8.3 SHARE-BASED PAYMENTS**Accounting principles**

Share-based payments are those based on shares issued by the Group, regardless of whether the transactions are settled in the form of equity or cash indexed to the share price.

The cost to the Group is calculated on the basis of the fair value at the grant date of the share purchase or subscription options granted by certain subsidiaries. The total cost of the plan is determined by multiplying the unit value of the option by the estimated number of options that will have vested at the end of the vesting period, taking account of the likelihood that the beneficiaries will still be employed by the Group, and of any non-market performance conditions that may affect the plan.

The cost to the Group is recognized in income from the date the employees are notified of the plan, without waiting for the vesting conditions, if any, to be satisfied (for example, in the case of a subsequent approval process), or for the beneficiaries to exercise their options.

The corresponding adjustment for the expense recorded under equity-settled plans is an increase in equity.

The Group recognizes a liability for cash-settled plans. The related cost is taken to income over the vesting period and a corresponding fair value adjustment is booked to a liability account.

The main plans settled in the form of shares are presented below.

LOYALTY AND PERFORMANCE PLANS WITH SHARE-BASED PAYMENTS

Each year since 2010, a share-based payment plan has been awarded to certain categories of Natixis group staff, in compliance with regulations.

Regarding the plans approved at February 11, 2021, as the allocations had not been formally completed on the balance sheet date, the cost assessment was based on the best possible estimate of the inputs on the balance sheet date, both in terms of the share value and dividend assumptions.

Natixis subsidiaries may also establish their own share-based payment plans. The impacts of these plans, taken individually, are not material at the Natixis consolidated level. The features of these plans are thus not detailed in the section below.

LONG-TERM CASH-SETTLED PAYMENT PLANS INDEXED TO NATIXIS SHARES

Payments under these plans are subject to presence and performance criteria.

Year of plan	Grant date	Number of units granted at inception ⁽¹⁾	Vesting date	Number of units vested by beneficiaries	Fair value of indexed cash unit at valuation date (in euros)
2015 plan	02/10/2016	6,084,435	March 2018 March 2019	1,081,907 1,787,527	6.11
2016 plan	04/10/2017	2,835,311	March 2019 March 2020	868,417 2,124,062	5.47
2017 plan	04/13/2018	2,660,487	March 2020 March 2021	1,154,437	2.79
2018 plan	04/12/2019	3,260,945	March 2021 March 2022		2.68
2019 plan	04/10/2020	5,867,435	March 2022 March 2023		2.50
2020 plan	01/20/2021	1,353,434	March 2023 March 2024		2.73

(1) The expected number of units at the vesting date is funded by equity swaps.

SHORT-TERM CASH-SETTLED PAYMENT PLAN INDEXED TO NATIXIS SHARES

Year of plan	Grant date	Vesting date	Value of indexed cash unit (in euros)	Number of indexed cash units granted at inception	Number of probable indexed cash units at vesting date	Fair value of indexed cash unit at valuation date (in euros)
2020 plan	1/20/2021	3/1/2021	3.17	3,504,747	3,504,747	3.17

The expense associated with the short-term plan is fully recognized in the 2020 financial statements in the amount of €11 million, versus €28 million at December 31, 2019.

SHARE-BASED PAYMENT PLANS

Payments under these plans are subject to presence and performance criteria.

Year of plan	Grant date	Number of shares granted at inception	Vesting date	Number of units vested by beneficiaries	Bonus share price on the grant date (in euros)	Fair value of bonus share at valuation date (in euros)
2014 plan	2/18/2015	95,144	February 2019		6.18	3.45
2015 plan	7/28/2016	3,081,642	March 2018 March 2019		3.43	2.80
2016 plan	7/28/2016	151,283	July 2020		3.43	1.62
2016 plan	04/10/2017	3,012,307	March 2019 March 2020		5.70	4.28
2017 plan	5/23/2017	79,369	May 2021		6.44	3.32
2017 plan	4/13/2018	2,943,516	March 2020 March 2021		6.65	5.04
2018 plan	4/12/2019	2,600,406	March 2021 March 2022		4.99	3.41
2019 plan	4/10/2020	3,598,382	March 2022 March 2023		2.24	1.35
2020 plan	1/20/2021	1,562,732	March 2023 March 2024		2.79	2.40

EXPENSE FOR THE YEAR REPRESENTED BY LOYALTY AND PERFORMANCE PLANS

<i>in millions of euros</i>	Fiscal year 2020			Fiscal year 2019
	Plans settled in shares	Plans settled in cash indexed to Natixis shares	Total	
Previous loyalty plans	(7)	1	(6)	(24)
Loyalty plans from the fiscal year		(5)	(5)	(3)
TOTAL	(7)	(4)	(11)	(27)

VALUATION PARAMETERS USED FOR THE COST ESTIMATE FOR THESE PLANS

	12/31/2020	12/31/2019
Share price	2.79	3.96
Risk-free interest rates	(0.56%)	(0.66%)
Dividend payout ratio	7.17%	12.83%
Loss of rights rate	4.55%	4.72%

LOYALTY AND PERFORMANCE PLANS SETTLED IN CASH

Some employees are awarded deferred cash-settled loyalty and performance bonus benefits. These bonuses are subject to presence and performance conditions. In terms of accounting treatment, they are accounted for under "Other long-term

employee benefits". The estimated expense takes into account an actuarial estimate of these conditions being met. It is spread over the rights vesting period. The amount recognized in respect of fiscal year 2020 was:

Year of plan	Grant date	Vesting date	Fiscal year 2020 <i>(in millions of euros)</i>	Fiscal year 2019 <i>(in millions of euros)</i>
2016 plan	04/10/2017	March 2018 March 2019		(1)
2017 plan	02/23/2018	March 2019 March 2020	(1)	(9)
2018 plan	02/26/2019	March 2020 March 2021	(5)	1
2019 plan	01/22/2020	March 2021 March 2022	(3)	(12)
2020 plan	01/20/2021	March 2022 March 2023	(8)	
TOTAL			(17)	(21)

Note 9 Insurance businesses

Key points

Insurance businesses cover life insurance and non-life insurance activities. In Groupe BPCE these activities are performed by dedicated subsidiaries subject to the specific regulations applicable to the insurance sector.

On November 3, 2017, the European Commission adopted the amendment to IFRS 4 applying IFRS 9 "Financial instruments" with IFRS 4 "Insurance contracts" with specific provisions for financial conglomerates, applicable as of January 1, 2018.

European regulations therefore allow European financial conglomerates to opt to defer application of IFRS 9 for their insurance activities until January 1, 2021 (effective date of the new IFRS 17, Insurance contracts). At its meeting on March 17, 2020, the IASB decided to defer its application by two years, as clarifications still need to be given regarding key

aspects of the standard. It also decided to defer the expiry of insurance companies' temporary exemption from IFRS 9 to January 1, 2023, to align it with the application of IFRS 17. An amendment was published on June 25, 2020. This amendment improves the application of IFRS 17.

As Groupe BPCE is a financial conglomerate, it elected to apply this provision to its insurance businesses, which continue to be covered by IAS 39. The entities concerned are listed in Note 14.4 on the scope of consolidation.

Financial assets and liabilities of insurance businesses are therefore recognized in accordance with the provisions of IAS 39. They are classified into categories defined by this standard, which calls for specific approaches to measurement and accounting treatment.

Pending amendments to IFRS 4, insurance liabilities continue to be measured broadly in line with French GAAP.

In accordance with Phase I of IFRS 4, insurance contracts are classified into three categories:

- policies that expose the insurer to a significant insurance risk within the meaning of IFRS 4: this category comprises policies covering provident insurance, pensions, property and casualty and unit-linked savings carrying a minimum guarantee. These policies continue to be measured under the rules provided under local GAAP for measuring technical reserves;
- financial contracts such as savings contracts that do not expose the insurer to a significant insurance risk are recognized in accordance with IFRS 4 if they contain a discretionary profit sharing feature, and continue to be measured in accordance with the rules for measuring technical reserves provided under local GAAP;
- financial contracts without a discretionary profit sharing feature, such as unit-linked policies without a non-unit-linked component and without a minimum guarantee, are accounted for in accordance with IAS 39.

Most financial contracts issued by Group entities contain discretionary profit sharing features.

The discretionary profit sharing feature grants life insurance policyholders the right to receive a share of the financial

income generated, in addition to guaranteed benefits. For these contracts, in accordance with shadow accounting principles defined by IFRS 4, the provision for deferred profit sharing is adjusted to include the policyholders' share in the unrealized capital gains or losses on financial instruments measured at fair value in application of IAS 39. The share of the gains or losses attributable to policyholders is determined on the basis of the characteristics of contracts likely to generate such gains or losses.

Any change in deferred profit sharing is taken to other comprehensive income where it results from changes in the value of available-for-sale financial assets and to profit or loss where it arises from changes in the value of financial assets at fair value through profit or loss.

At each balance sheet date, the Group tests the adequacy of its recognized insurance liabilities based on the estimated present value of future cash flows from its insurance policies and investment contracts containing a discretionary profit sharing feature. The liability adequacy test shows the economic value of the liabilities corresponding to the average derived from stochastic analyses. If the sum of the surrender value and deferred profit sharing is lower than the fair value of the technical reserves, the shortfall is recognized in income.

Groupe BPCE has decided to apply the option available under ANC recommendation No.2017-02 of presenting the insurance businesses separately on the balance sheet and income statement.

9.1 NOTES TO THE BALANCE SHEET

Accounting principles

The "Insurance business investments" line on the assets side of the balance sheet includes insurance business assets representative of:

- financial investments (*i.e.* in financial instruments) including advances to policyholders;
- financial investments in unit-linked products;
- derivatives;
- revaluation differences on interest rate risk-hedged portfolios.

Other balances related to the insurance business are aggregated with the balances related to the other balance sheet items by type.

On the liabilities side of the balance sheet, the "Liabilities related to insurance policies" line consists of:

- the technical reserves of insurance companies (as defined in Appendix A to IFRS 4);
- insurance and reinsurance liabilities, including amounts due to policyholders;
- insurance-related derivatives;
- shares of the revaluation of interest rate risk-hedged portfolios;
- the deferred profit sharing liability.

9.1.1 INSURANCE BUSINESS INVESTMENTS

Accounting principles

Loans and receivables due from banks and customers and certain securities not listed in an active market are recorded in "Insurance business investments".

Loans and receivables are initially recorded at fair value plus any costs directly related to their issuance, less any proceeds directly attributable to issuance. On subsequent balance sheet dates, they are measured at amortized cost using the effective interest method.

The effective interest rate is the rate that exactly discounts estimated future cash flows (payments or receipts) to the value of the loan at inception. This rate includes any discounts recorded in respect of loans granted at below-market rates, as well as any external transaction income or costs directly related to the issue of the loans, which are treated as an adjustment to the effective yield on the loan. No internal cost is included in the calculation of amortized cost.

When loans are extended under conditions that are less favorable than market conditions, a discount corresponding to the difference between the nominal value of the loan and the sum of future cash flows discounted at the market interest rate is deducted from the nominal value of the loan. The market interest rate is the rate applied by the vast majority of local financial institutions at a given time for instruments and counterparties with similar characteristics.

A discount is applied to loans restructured following a loss event as defined by IAS 39, to reflect the difference between the present value of the contractual cash flows at inception and the present value of expected principal and interest repayments after restructuring. The discount rate used is the original effective interest rate. This discount is expensed to "Cost of credit risk" (for the insurer's net share) in the income statement and offset against the corresponding outstanding on the balance sheet. It is written back to net interest income in the income statement over the life of the loan using an actuarial method. The restructured loan is reclassified as performing based on expert opinion when no uncertainty remains as to the borrower's capacity to honor the commitment.

External costs consist primarily of commissions paid to third parties in connection with the arrangement of loans. They essentially comprise commissions paid to business providers.

Income directly attributable to the issuance of new loans principally comprises set-up fees charged to customers, rebilled costs and commitment fees (if it is more probable than improbable that the loan will be drawn down). Commitment fees received that will not result in any drawdowns are apportioned on a straight-line basis over the life of the commitment.

Expenses and income arising on loans with a term of less than one year at inception are deferred on a *pro rata* basis with no recalculation of the effective interest rate. For floating or adjustable rate loans, the effective interest rate is adjusted at each rate refixing date.

Securities recorded as assets are classified into four categories as defined by IAS 39:

- financial assets at fair value through profit or loss;
- held-to-maturity financial assets;
- loans and receivables;
- available-for-sale financial assets.

Impairment of securities

An impairment loss is recognized on an individual basis against securities, with the exception of securities classified as financial assets at fair value through profit or loss, when there is objective evidence of impairment resulting from one or more loss events having occurred since the initial recognition of the asset and where the impact of these events on estimated future cash flows can be reliably measured.

Different rules are used for the impairment of equity instruments and debt instruments.

For equity instruments, a lasting decline or a significant decrease in value are objective indicators of impairment.

A decline of over 50% or lasting for over 36 months in the value of a security by comparison with its historic cost is an objective indicator of permanent impairment, leading to the recognition of an impairment loss in income.

In addition, these impairment criteria are also supplemented by a line-by-line review of the assets that have recorded a decline of over 30% or for more than six months in their value by comparison with their historic cost or if events occur that are liable to represent a material or prolonged decline. An impairment charge is recorded in the income statement if the Group determines that the value of the asset will not be recovered in its entirety.

For unlisted equity instruments, a qualitative analysis of their situation is carried out.

Impairment losses recognized on equity instruments may not be reversed and nor may they be written back to income. Losses are recorded under "Net income from insurance businesses". A subsequent increase in value is taken to "Gains and losses recognized directly in other comprehensive income" until disposal of the securities.

Impairment losses are recognized on debt instruments such as bonds or securitized transactions (ABS, CMBS, RMBS, cash CDOs) when there is a known counterparty risk.

The Group uses the same impairment indicators for debt securities as those used for individually assessing the impairment risk on loans and receivables, irrespective of the portfolio to which the debt securities are ultimately designated. For perpetual deeply subordinated notes (TSSDI), particular attention is also paid if, under certain conditions, the issuer may be unable to pay the coupon or extend the issue beyond the scheduled redemption date.

In the event of an improvement in the issuer's financial position, impairment losses taken on debt instruments must be written back to the income statement. Impairment losses and write-backs are recorded in "Cost of credit risk" (for the insurer's net share).

Impairment of loans and receivables

IAS 39 defines the methods for calculating and recognizing the impairment of loans.

A loan or receivable is deemed to be impaired if the following two conditions are met:

- there is objective evidence of impairment on an individual or portfolio basis: there are "triggering events" or "loss events" identifying counterparty risk occurring after the initial recognition of the loans in question. On an individual level, the criteria for deciding whether or not a credit risk

has been incurred include the existence of past due payments; and

- these events are likely to lead to the recognition of incurred losses.

Impairment is determined as the difference between the amortized cost and the recoverable amount of the receivable, i.e. the present value of estimated recoverable future cash flows taking into account the impact of any collateral.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Investment property	1,441	1,502
Financial assets at fair value through profit or loss	27,905	23,267
Available-for-sale financial assets	54,858	53,740
Loans and receivables due from banks	393	747
Loans and receivables due from customers	12,700	13,312
Held-to-maturity financial assets	764	918
Share held by cedents and retrocessionaires in liabilities relating to insurance policies and financial contracts	16,538	15,254
Receivables arising from insurance and assumed reinsurance activities	1,751	2,232
Receivables arising from ceded reinsurance activities	26	86
Deferred acquisition costs	728	731
TOTAL INSURANCE BUSINESS INVESTMENTS⁽¹⁾	117,104	111,787

(1) At December 31, 2019, Coface contributed €3,987 million to Insurance business investments.

9.1.1.1 Investment property

<i>in millions of euros</i>	12/31/2020			12/31/2019		
	Gross amount	Accumulated depreciation and impairment	Net amount	Gross amount	Accumulated depreciation and impairment	Net amount
Investment property recognized at historic cost	44	(15)	29	44	(14)	30
Investment property recognized at fair value ⁽¹⁾	1,018		1,018	1,070		1,070
Investment property (unit-linked vehicles)	394		394	402		402
TOTAL INVESTMENT PROPERTY	1,456	(15)	1,441	1,516	(14)	1,502

(1) Changes in fair value give rise to symmetrical recognition of a provision for deferred profit-sharing averaging, at December 31, 2020, 87% of the calculation base in question versus 89% at December 31, 2019.

The fair value of investment property came to €1,472 million at December 31, 2020 versus €1,530 million at December 31, 2019.

The fair value of investment property is classified in Level 3 of the fair value hierarchy in accordance with IFRS 13.

9.1.1.2 Financial assets at fair value through profit or loss

Accounting principles

This asset category includes:

- financial assets held for trading, *i.e.* securities acquired or issued principally for the purpose of selling them in the near term; and
- financial assets that the Group has chosen to recognize at fair value through profit or loss at inception using the fair value option available under IAS 39.

These assets are measured at fair value at the date of initial recognition and at each balance sheet date. Changes in fair value over the period, interest, dividends, gains or losses on disposals on these instruments are recognized in "Net income from insurance businesses".

Financial assets and liabilities designated at fair value through profit or loss

The amendment to IAS 39 adopted by the European Union on November 15, 2005 allows entities to designate financial assets and liabilities at fair value through profit or loss on initial recognition. However, an entity's decision to designate a financial asset or liability at fair value through profit or loss may not be reversed.

Compliance with the criteria stipulated by the standard must be verified prior to any recognition of an instrument using the fair value option.

In practice, this option may be applied only under the specific circumstances described below:

Elimination of or significant reduction in an accounting mismatch

Applying the option eliminates accounting mismatches stemming from the application of different valuation rules to

instruments managed under a single strategy. This treatment applies in particular to unit-linked policy assets and liabilities.

Harmonization of accounting treatment for management and performance measurement

The option applies for a group of assets and/or liabilities managed and measured at fair value, provided that it is based on a formally documented risk management or investment strategy, and information about the Group is also reported internally on a fair value basis.

Hybrid financial instruments containing one or more embedded derivatives

An embedded derivative is a component of a financial or non-financial hybrid (combined) instrument that qualifies as a derivative. It must be separated from the host contract and accounted for as a derivative if the hybrid instrument is not measured at fair value through profit or loss, and if the economic characteristics and risks associated with the derivative are not closely related to those of the host contract.

The fair value option may be applied when the embedded derivative(s) substantially modify the cash flows of the host contract and when the separate recognition of the embedded derivative(s) is not specifically prohibited by IAS 39 (*e.g.* an early redemption option at cost embedded in a debt instrument). The option allows the entire instrument to be measured at fair value, and therefore avoids the need to extract, recognize or separately measure the embedded derivative.

This treatment applies in particular to certain financial instruments containing material embedded derivatives (convertible bonds, indexed bonds and structured securities).

<i>in millions of euros</i>	12/31/2020	12/31/2019
UCITS	5,668	2,286
Financial assets held for trading	5,668	2,286
Trading derivatives	17	19
Hedging derivatives	29	
Bonds	1,684	2,026
Equities	500	507
UCITS	3,512	277
Investments backed by unit-linked policies	16,495	18,152
Financial assets designated at fair value	22,191	20,962
TOTAL FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	27,905	23,267

CONDITIONS FOR DESIGNATING INVESTMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

in millions of euros	12/31/2020				12/31/2019			
	Accounting mismatches	Fair value measurement	Embedded derivatives	Financial assets designated at fair value	Accounting mismatches	Fair value measurement	Embedded derivatives	Financial assets designated at fair value
Bonds	553		1,131	1,684	645		1,381	2,026
Equities	499			499	507			507
UCITS	3,512			3,512			277	277
Investments backed by unit-linked policies	15,922		573	16,495	17,762		390	18,152
TOTAL	20,486		1,704	22,190	18,915		2,048	20,962

9.1.1.3 Available-for-sale financial assets

Accounting principles

Available-for-sale financial assets are all securities not classified in the previous three categories.

Available-for-sale financial assets are initially recognized at fair value, plus any transaction costs.

On the balance sheet date, they are carried at their fair value and changes in fair value are recorded under "Gains and losses recognized directly in other comprehensive income" (except for foreign currency monetary assets, for which changes in the fair value of the foreign currency component affect income).

If they are sold, these changes in fair value are taken to income.

Interest income accrued or received on fixed income securities is recorded under "Net income from insurance businesses". Income from variable-income securities is recorded under "Net income from insurance businesses".

in millions of euros	12/31/2020	12/31/2019
Bonds	45,425	44,592
Equities	2,671	2,889
UCITS	7,003	6,476
Available-for-sale financial assets, gross	55,099	53,957
Impairment of debt instruments	(57)	(49)
Impairment of equity instruments ⁽¹⁾	(184)	(168)
TOTAL AVAILABLE-FOR-SALE FINANCIAL ASSETS⁽²⁾	54,858	53,740

(1) In 2020, permanent impairment of variable-income securities came to €171 million (€63 million at December 31, 2019). This expense was 87% offset by the profit sharing mechanism (89% in 2019). The 2020 expense can be broken down into an additional impairment loss on previously impaired securities for €144 million (€16 million in 2019) and an allowance for newly impaired securities for €27 million (€47 million in 2019).

(2) Coface contributed €2,911 million to Available-for-sale financial assets at December 31, 2019.

9.1.1.4 Loans and receivables

Accounting principles

The portfolio of loans and receivables included in "Insurance business investments" comprises non-derivative financial assets with fixed or determinable payments and which are not quoted in an active market. In addition, these assets must not be exposed to a risk of material losses unrelated to a deterioration in their credit quality.

Some securities not quoted in an active market may be classified in this portfolio. These are initially recognized at fair value, plus any transaction costs and less any transaction income. Securities classified in this category comply with the rules for recognition, measurement and impairment applicable to loans and receivables.

When a financial asset recorded under loans and receivables is sold before its maturity, the income from the disposal is recorded under "Net income from insurance businesses".

<i>in millions of euros</i>	12/31/2020	12/31/2019
Loans and receivables due from banks ⁽¹⁾	393	747
Loans and receivables due from customers ⁽²⁾⁽³⁾	12,700	13,312
TOTAL LOANS AND RECEIVABLES	13,093	14,059

(1) Coface contributed €17 million to Loans and receivables due from banks at December 31, 2019.

(2) Including €11,089 million for guarantee deposits made for the acceptance of reinsurance treaties versus €11,602 million at December 31, 2019.

(3) Coface contributed €59 million to Loans and receivables due from customers at December 31, 2019.

9.1.1.5 Held-to-maturity financial assets

Accounting principles

Held-to-maturity (HTM) financial assets are securities with fixed or determinable payments and fixed maturity dates that the Group has the intention and ability to hold until maturity.

IAS 39 does not permit the sale or transfer of these securities before maturity except in certain specific circumstances. In the event that the securities are sold before maturity, all held-to-maturity assets must be reclassified and the held-to-maturity category cannot be used during the current year or the following two years. Exceptions to the rule apply in the following cases:

- a material deterioration in the issuer's credit quality;
- a change in tax regulations canceling or significantly reducing the tax exemption on interest earned on investments held-to-maturity;
- a major business combination or significant withdrawal of activity (sale of a sector, for example) requiring the sale or transfer of held-to-maturity investments in order to maintain the entity's existing situation in terms of interest rate risk or its credit risk policy;
- a change in legal or regulatory provisions significantly modifying either the definition of an eligible investment or

the maximum amount of certain types of investment, requiring that the entity dispose of a held-to-maturity asset;

- a significant increase in capital requirements forcing the entity to restructure by selling held-to-maturity assets; and
- a significant increase in the risk weighting of held-to-maturity assets in terms of prudential capital regulations.

In the exceptional cases described above, the income from the disposal is recorded under "Net income from insurance businesses".

The hedging of these securities against interest rate risk is not permitted. However, hedges against exchange rate risk or the inflation component of certain held-to-maturity financial assets are allowed.

Held-to-maturity financial assets are recognized at fair value at inception, plus any transaction costs directly attributable to their acquisition. They are subsequently measured at amortized cost using the effective interest method, including any premiums, discounts and acquisition fees, where material.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Treasury bills and equivalent	507	636
Bonds and other fixed-income securities	258	283
Gross amount of held-to-maturity investments	765	919
Impairment	(1)	(1)
TOTAL HELD-TO-MATURITY FINANCIAL ASSETS	764	918

9.1.1.6 Fair value hierarchy of financial assets at fair value

The principles used to assess fair value are described in Note 10.

in millions of euros	12/31/2020				12/31/2019			
	Level 1	Level 2	Level 3	TOTAL	Level 1	Level 2	Level 3	Total
ASSETS								
Assets held for trading (equities and UCITS)	5,668			5,668	2,202	84		2,286
Financial assets held for trading	5,668			5,668	2,202	84		2,286
Currency derivatives	2	2		4	6	5		11
Equity derivatives	13			13	8			8
Derivatives excl. hedging derivatives (positive fair value)	15	2		17	14	5		19
Securities designated at fair value through profit or loss	3,124	1,054	1,517	5,695	224	1,301	1,285	2,810
<i>Bonds</i>	89	77	1,517	1,684	98	642	1,286	2,026
<i>Equities and UCITS</i>	3,035	977		4,011	125	659		785
Investments backed by unit-linked policies	13,508	2,986	1	16,495	15,065	3,087		18,152
Financial assets designated at fair value through profit or loss	16,631	4,040	1,519	22,190	15,289	4,388	1,286	20,962
Currency derivatives		29		29				
Hedging derivatives		29		29				
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	22,314	4,072	1,519	27,905	17,505	4,477	1,286	23,267
Investments in associates			151	151			288	287
Other available-for-sale securities	45,911	5,763	3,033	54,707	45,974	4,751	2,728	53,452
<i>Bonds</i>	39,307	3,231	2,830	45,368	39,349	2,660	2,534	44,543
<i>Equities and UCITS</i>	6,604	2,532	204	9,339	6,625	2,091	194	8,910
AVAILABLE-FOR-SALE FINANCIAL ASSETS	45,911	5,763	3,184	54,858	45,974	4,749	3,015	53,740

BREAKDOWN OF FINANCIAL ASSETS AT FAIR VALUE CLASSIFIED IN LEVEL 3 OF THE FAIR VALUE HIERARCHY

in millions of euros	01/01/2020	Gains and losses recognized during the period			Transactions carried out during the period		Transfers during the period			Other changes	12/31/2020
		In the income statement			Purchases/ Issues	Sales/ Redemptions	To another reporting category	From and to another level	Deconsolidated entities		
		On transactions in progress at the reporting date	On transactions removed from the balance sheet at the reporting date	In other comprehensive income							
ASSETS											
Securities designated at fair value through profit or loss	1,286	(12)	(2)		60	(167)		352			1,517
<i>Bonds</i>	1,286	(12)	(2)		60	(167)		352			1,517
Investments backed by unit-linked policies								1			1
Financial assets designated at fair value through profit or loss	1,286	(12)	(2)		60	(167)		353			1,519
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	1,286	(12)	(2)		60	(167)		353			1,519
Investments in associates	288			(5)	19	(2)			(142)	(5)	151
Other available-for-sale securities	2,728	(4)	(4)	(8)	523	(214)		34		(21)	3,033
<i>Bonds</i>	2,534	(4)	(4)	(8)	484	(206)		34			2,830
<i>Equities and UCITS</i>	194			(1)	39	(8)				(21)	204
AVAILABLE-FOR-SALE FINANCIAL ASSETS	3,015	(4)	(4)	(13)	541	(217)		34	(142)	(26)	3,184

BREAKDOWN OF FAIR VALUE HIERARCHY TRANSFERS

	Fiscal year 2020					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
ASSETS						
Securities designated at fair value through profit or loss					513	160
<i>Bonds</i>					513	160
Financial assets designated at fair value through profit or loss					513	160
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS					513	160
Other available-for-sale securities		279			351	317
<i>Bonds</i>		279			351	317
<i>Equities and UCITS</i>						
AVAILABLE-FOR-SALE INVESTMENTS		279			351	317

	Fiscal year 2019					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
ASSETS						
Securities designated at fair value through profit or loss						31
<i>Bonds</i>						31
Financial assets designated at fair value through profit or loss						31
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS						31
Other available-for-sale securities		401		825	685	572
<i>Bonds</i>		99		544	685	572
<i>Equities and UCITS</i>		302		280		
AVAILABLE-FOR-SALE FINANCIAL ASSETS		401		825	685	572

9.1.1.7 Fair value of investments from insurance activities carried in the balance sheet at amortized cost

The principles used to assess fair value are described in Note 10.

	12/31/2020				12/31/2019			
	Fair value	Level 1	Level 2	Level 3	Fair value	Level 1	Level 2	Level 3
<i>in millions of euros</i>								
Investments of loans and receivables due from banks	393	5	388		747	68	679	
Investments of loans and receivables due from customers	12,700		12,700		13,312	51	13,259	2
Held-to-maturity investments	963	820	140	3	1,124	1,051	71	2
INSURANCE BUSINESS INVESTMENTS AT AMORTIZED COST	14,056	825	13,228	3	15,183	1,171	14,009	4

9.1.2 LIABILITIES RELATED TO INSURANCE POLICIES

in millions of euros

	12/31/2020	12/31/2019
Technical reserves relating to insurance policies	52,524	51,065
Technical reserves relating to unit-linked policies	14,035	12,164
Technical reserves relating to insurance policies	66,559	63,229
Technical reserves relating to financial contracts with a discretionary profit sharing feature	19,561	20,162
Technical reserves relating to unit-linked financial contracts	5,213	4,930
Technical reserves relating to financial contracts	24,774	25,092
Deferred profit sharing liabilities ⁽¹⁾	4,692	4,039
Liabilities arising from insurance and assumed reinsurance activities, and liabilities arising from ceded reinsurance activities	10,883	10,572
Trading derivatives	5	39
Hedging derivatives	5	-
Other liabilities		11
TOTAL LIABILITIES RELATED TO INSURANCE POLICIES⁽²⁾	106,918	102,982

(1) O/w €4,609 million in deferred profit sharing recognized in other comprehensive income including the share attributable to non-controlling interests (€3,899 million at December 31, 2019).

(2) At December 31, 2019, Coface contributed €2,022 million to liabilities related to insurance policies.

The information required by IFRS 7 is presented for:

- financial liabilities at fair value through profit or loss in Note 5.2.2;
- debt securities in Note 5.10;
- amounts due to banks and customers in Note 5.11;
- subordinated debt in Note 5.14.

9.2 NOTES TO THE INCOME STATEMENT

9.2.1 NET INCOME FROM INSURANCE BUSINESSES

Accounting principles

Net income from insurance businesses includes:

- revenues from the insurance businesses, which consist of premiums written and the change in unearned premium reserves for insurance policies and investment contracts containing a discretionary profit sharing feature within the meaning of IFRS 4;
- investment income net of expenses:
 - investment income including income from investment property,
 - investment expenses and other financial expenses excluding financing expenses,
 - gains and losses on the sale of investments including on investment property,
 - depreciation, amortization and impairment reversals on investments (including investment properties) and other assets (including assets provided under operating leases), recognized at amortized cost,
 - the change in fair value of investments (including investment property) recognized at fair value through profit or loss;
- amortization of acquisition costs;
- the external costs of benefits and claims paid on policies which include paid benefits and claims on insurance policies and on investment contracts containing a discretionary profit sharing feature (paid benefits and claims, changes in technical reserves), including policyholder compensation (deferred profit sharing), as well as changes in the value of investment contracts, particularly for unit-linked policies;
- income from reinsurance cessions, defined as the sum of ceded premiums, net of ceded claims and benefits paid and commissions;
- where applicable:
 - net gains or losses resulting from the derecognition of financial assets at amortized cost,
 - net gains or losses resulting from the reclassification of financial assets at fair value through other comprehensive income to financial assets at fair value through profit or loss.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Premiums written	11,411	14,481
Change in unearned premiums	(296)	(213)
Earned premiums	11,115	14,268
Revenues and other income from insurance businesses	40	186
Income from investments	1,588	1,832
Expenses on investments	(297)	(281)
Gains or losses on disposals of investments less reversals of impairment and amortization	140	214
Change in fair value of investments recognized at fair value through profit or loss	306	1,833
Change in impairment for investments	(178)	(77)
Income from investments net of expenses	1,559	3,521
Amortization of acquisition costs	(48)	(3)
Claims and benefits expenses	(10,452)	(14,769)
Income from reinsurance cessions	3,023	3,496
Expenses on reinsurance cessions	(2,886)	(3,566)
Net income or expenses on reinsurance cessions	137	(71)
NET INCOME FROM INSURANCE BUSINESSES⁽¹⁾	2,350	3,132

(1) During 2019, Coface contributed €850 million to Net income from insurance businesses.

9.2.2 TRANSITION BETWEEN THE PRESENTATION APPLICABLE TO INSURANCE COMPANIES AND TO BANKS

The statement shown below provides a transition between the financial statements of insurance companies included in the scope of consolidation and their translation into the financial statements of BPCE SA group in accordance with the presentation applicable to banks.

	2020 Banking Format						2019 Insurance format
	NBI		Operating expenses	Gross operating income	Other items	2020 Insurance format	
	Net income from insurance businesses ⁽¹⁾	Other items of net banking income (excluding net income from insurance businesses)					
<i>in millions of euros</i>							
Earned premiums	11,062	48	(1)	11,109	(64)	11,045	14,185
Revenues or income from other activities	27	1		28	(25)	4	170
Other operating income		2	11	13	11	24	78
Net financial income before finance costs	1,559	89	(12)	1,636	13	1,649	3,610
TOTAL REVENUE FROM ORDINARY ACTIVITIES	12,648	140	(2)	12,786	(65)	12,721	18,044
Claims and benefits expenses	(10,417)	6	(102)	(10,513)	2	(10,511)	(14,869)
Expenses from other activities		(37)		(37)		(37)	(15)
Net income from reinsurance cessions	137	5		142	7	149	(58)
Policy acquisition costs	(48)	(597)	(131)	(776)	(1)	(777)	(1,032)
Administrative expenses		(542)	(145)	(687)		(687)	(869)
Other recurring operating income and expenses		(55)	(173)	(228)		(228)	(367)
TOTAL OTHER RECURRING INCOME AND EXPENSES	(10,328)	(1,220)	(551)	(12,099)	8	(12,091)	(17,209)
OPERATING INCOME	2,320	(1,080)	(553)	687	(57)	630	835

(1) Net income from insurance businesses does not include income from the Prêt Viager Hypothécaire, a reverse mortgage for seniors offered by Crédit Foncier.

9.3 INFORMATION TO BE PROVIDED ON THE TEMPORARY EXEMPTION OF INSURANCE BUSINESSES FROM IFRS 9

in millions of euros	12/31/2020		12/31/2019	
	Fair value	Change in fair value over the period	Fair value	Change in fair value over the period
SPPI financial assets	44,792	1,062	45,600	2,400
Other financial assets	3,911	27	3,191	55
TOTAL INSURANCE BUSINESS INVESTMENTS⁽¹⁾	48,703	1,089	48,791	2,455

(1) Excluding UCITS classified as available-for-sale assets for €6,312 million at December 31, 2020 versus €5,994 million at December 31, 2019. Coface contributed €2,447 million to the total fair value at December 31, 2019.

This table does not include financial assets recognized at fair value through profit of loss or reinsurance activities.

Credit risk associated with insurance businesses is presented in Chapter 6, Risk Management – Insurance Risks – Asset Management and Financial Conglomerate.

Note 10 Fair value of financial assets and liabilities

Key points

This section sets out the principles for measuring the fair value of financial instruments as defined in IFRS 13 “Fair value measurement” and the methods used by Groupe BPCE entities to measure the value of their financial instruments.”

Financial assets and liabilities are recorded in the balance sheet either at fair value or at amortized cost. An indication of the fair value of items measured at amortized cost is provided in the notes.

For instruments traded on an active market with a quoted price, the fair value is equal to the quoted price, corresponding to Level 1 in the fair value hierarchy.

The fair value of other financial instruments not traded on an active market, including in particular loans, borrowings and derivatives traded over the counter, is calculated using valuation techniques that rely on widely used models and observable data, corresponding to Level 2 in the fair value hierarchy. When internal data or proprietary models are used (Level 3 in the fair value hierarchy), independent controls are used to validate the value obtained.

DETERMINATION OF FAIR VALUE

General principles

The fair value of an instrument is the price that would be received to sell an asset or paid to transfer a liability in a standard arm's length transaction between market participants at the measurement date.

Fair value is therefore determined using the exit price.

On first recognition, fair value is usually the transaction price and is thus the price paid to purchase the asset or the price received to assume the liability.

In subsequent measurements, the estimated fair value of assets and liabilities must be based primarily on observable market data, while ensuring that all inputs used in the fair value calculation are consistent with the price that market participants would use in a transaction.

In this case, fair value consists of a mid-market price and additional valuation adjustments determined according to the instruments in question and the associated risks.

The mid-market price is obtained based on:

- the instrument's quoted price, if the instrument is quoted on an active market. A financial instrument is regarded as quoted

on an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and these prices represent actual and regularly occurring transactions on the principal market or, failing that, on the most favorable market, on an arm's length basis;

- if the market for a financial instrument is not active, fair value is established using valuation techniques. The techniques used must maximize the use of relevant observable entry data and minimize the use of non-observable entry data. They may refer to observable data from recent transactions, the fair value of similar instruments, discounted cash flow analysis and option pricing models, proprietary models in the case of hybrid instruments or non-observable data when no pricing or market data are available.

Additional valuation adjustments include factors related to valuation uncertainties, such as market and credit risk premiums, in order to recognize the costs incurred by a divestment transaction on the principal market. Likewise, an adjustment (Funding Valuation Adjustment – FVA) for using assumptions to recognize costs related to the financing costs of future cash flows on uncollateralized or partially collateralized derivatives is also taken into account.

The main additional adjustments are as follows:

BID/ASK ADJUSTMENT – LIQUIDITY RISK

This adjustment is the difference between the bid price and the ask price corresponding to the selling costs. It reflects the cost requested by a market player in respect of the risk of acquiring a position or of selling at a price proposed by another market player.

MODEL UNCERTAINTY ADJUSTMENT

This adjustment takes into account imperfections in the valuation techniques used, and in particular risk factors not considered even though observable market inputs are available. This is the case when the risks inherent in the instruments differ from those incurred by the observable market data used to determine their valuation.

INPUT UNCERTAINTY ADJUSTMENT

Observing certain prices or inputs used in valuation techniques may be difficult or the price or input may not be available on a sufficiently regular basis to determine the selling price. Under these circumstances, an adjustment may be necessary to reflect the probability of different values being used by market participants for the same inputs when measuring the fair value of the financial instrument in question.

CREDIT VALUATION ADJUSTMENT (CVA)

This adjustment applies to valuations that do not account for the counterparty's credit quality. It corresponds to the risk of loss linked to the risk of default by a counterparty and aims to take into account the fact that the Group may not recover the full market value of the transactions.

The method for determining the CVA is primarily based on the use of market inputs in connection with professional market practices, for all segments of counterparties subject to this calculation. In the absence of liquid market inputs, proxies by type of counterparty, rating and geographic area are used.

DEBIT VALUATION ADJUSTMENT (DVA)

The DVA is symmetrical to the CVA and represents the risk of loss, from the counterparty's perspective, on liability valuations of derivatives. It reflects the impact of the Group's credit quality on the valuation of these instruments. The DVA is assessed by observing the Group's "credit" market input. At Natixis, the main contributor for the Group, this involves observing the credit spreads of a sample of comparable banking institutions, taking into account the liquidity of the spread on Natixis' CDS during the period. The DVA adjustment is established after taking into account the funding valuation adjustment (FVA).

DETERMINATION OF AN ACTIVE MARKET

The following criteria are used to determine whether or not a market is active:

- the level of activity and trend of the market (including the level of activity on the primary market);
- the length of historical data on prices observed in similar market transactions;
- scarcity of prices recovered by a service provider;
- wide bid-ask price spread; and

- steep price volatility over time or between different market participants.

Valuation control systems are presented in section 6.8, "Market risks."

Fair value hierarchy

For financial reporting purposes, IFRS 13 requires fair value measurements applied to financial and non-financial instruments to be allocated to one of three fair value levels:

LEVEL 1: VALUATION USING PRICES QUOTED ON A LIQUID MARKET

Level 1 comprises instruments whose fair value is determined based on directly usable prices quoted on active markets.

This mainly includes securities listed on a stock exchange or traded continuously on other active markets, derivatives traded on organized markets (futures, options, etc.) whose liquidity can be demonstrated, and units of UCITS that calculate and report their net asset value on a daily basis.

LEVEL 2: VALUATION USING OBSERVABLE MARKET INPUTS

Level 2 fair value comprises instruments other than those mentioned in Level 1 fair value and instruments measured using a valuation technique incorporating inputs that are either directly observable (prices) or indirectly observable (derived from prices) through to maturity. This mainly includes:

Simple instruments

Most over-the-counter derivatives, swaps, credit derivatives, forward rate agreements, caps, floors and plain vanilla options are traded in active markets, *i.e.* liquid markets in which trades occur regularly.

These instruments are valued using generally accepted models (discounted cash flow method, Black & Scholes model, interpolation techniques), and on the basis of directly observable inputs.

For these instruments, the extent to which models are used and the observability of inputs has been documented.

Instruments measured using Level 2 inputs also include:

- securities that are less liquid than those classified as Level 1, whose fair value is determined based on external prices put forward by a reasonable number of active market makers and which are regularly observable without necessarily being directly executable (prices mainly taken from contribution and consensus databases); where these criteria are not met, the securities are classified as Level 3 fair value;
- securities not quoted on an active market whose fair value is determined based on observable market data (for example, using market data for listed peers or the earnings multiple method based on techniques widely used in the market);
- Greek sovereign securities, whose fair value is recorded under Level 2;
- shares of UCITS that do not calculate and report their net asset value on a daily basis but which are subject to regular reporting or which offer observable data from recent transactions;

- issued debt instruments designated at fair value are classified as Level 2 when the underlying derivatives are classified as Level 2;
- “issuer credit risk” is also considered to be observable. It is measured using the discounted future cash flow method, using parameters such as the yield curve and revaluation spreads. For each issue, this valuation represents the sum of the notional amount outstanding and its sensitivity, taking into account the existence of calls and the difference between the revaluation spread (based on the BPCE cash reoffer curve at December 31, 2020, as for previous closing dates) and the average issue spread. Changes in revaluation of own debt are generally not material for issues with an initial maturity of less than one year.

Complex instruments

Certain hybrid and/or long-maturity financial instruments are measured using a recognized model on the basis of market inputs derived from observable data such as yield curves, implied volatility layers of options, market consensus data or active over-the-counter markets.

The main models for determining the fair value of these instruments are described below by type of product:

- **equity products:** complex products are valued using:
 - market data,
 - a payoff, *i.e.* the formula of positive or negative flows attached to the product at maturity,
 - a model of changes in the underlying asset.

These products can have single or multiple underlyings or be hybrids (fixed income/equity for example).

The main models used for equity products are local volatility models, which combine local volatility with a Hull & White 1 factor (H&W1F) model, and Local Stochastic Volatility (LSV).

The local volatility model treats volatility as a function of time and the price of the underlying. Its main property is that it considers the implied volatility of the option (derived from market data) relative to its exercise price.

The local volatility hybrid model, paired with the H&W1F, consists of pairing the local volatility model described above with a Hull & White 1 factor type fixed income model, described below (see fixed income products).

The LSV model is based on the joint diffusion of the underlying asset and its volatility (two factors in total), with a local volatility function (known as a decorator), to ensure consistency with all vanilla options;

- **fixed income products:** fixed income products generally have specific characteristics which justify the choice of model. Underlying risk factors associated with the payoff are taken into account.

The main models used to value and manage fixed income products are Hull & White models (one-factor (HW1F) and two-factor (HW2F) models or a one-factor Hull & White stochastic volatility model (HW1FVS).

The HW1F model is used to model the yield curve with a single Gaussian factor, calibrated on vanilla interest rate options.

The HW2F model is used to model the yield curve with two factors, calibrated on vanilla interest rate options and spread-option type instruments.

The HW1VS model is used to model both the Gaussian factor representing the yield curve and its volatility (like the LSV model for Equity);

- **foreign exchange products:** foreign exchange products generally have specific characteristics which justify the choice of model.

The main models used to value and manage foreign exchange products are local and stochastic volatility models (like the LSV model for Equity), as well as hybrid models, which combine modeling of the underlying foreign exchange transaction with two Hull & White 1-factor models of the yield curves of domestic and foreign economies.

Inputs relating to all such Level 2 instruments were demonstrated to be observable and documented. From a methodology perspective, observability is based on four inseparable criteria:

- inputs are derived from external sources (primarily a recognized contributor, for example);
- they are updated periodically;
- they are representative of recent transactions;
- their characteristics parameters are identical to the characteristics of the transaction. If necessary, a proxy may be used, provided that the relevance of such an arrangement is demonstrated and documented.

The fair value of instruments obtained using valuation models is adjusted to take account of liquidity risk (bid-ask), counterparty risk, the risk relating to the cost of financing uncollateralized or partially collateralized derivatives, own credit risk (measurement of liability derivative positions), and modeling and input risk.

The margin generated when these instruments begin trading is immediately taken to profit or loss.

LEVEL 3: VALUATION USING UNOBSERVABLE MARKET INPUTS

Level 3 comprises instruments measured using unrecognized models and/or models based on unobservable market data, where they are liable to materially impact the valuation. This mainly includes:

- unlisted shares whose fair value could not be determined using observable inputs;
- private equity securities not listed on an active market, measured at fair value with models commonly used by market participants, in accordance with International Private Equity Valuation (IPEV) standards, but which are sensitive to market fluctuations and whose fair value determination necessarily involves a judgment call.
- structured securities or securities representative of private placements, held by the Insurance business line;
- hybrid interest rate and currency derivatives and credit derivatives that are not classified in Level 2;
- loans to be syndicated for which there is no secondary market price;
- loans in the securitization process for which fair value is determined based on an expert appraisal;
- investment property whose fair value is calculated using a multi-criteria approach, by capitalizing rent at market rates and through comparisons with market transactions;
- instruments with a deferred day one margin;

- units of UCITS for which the fund has not published a recent NAV at the valuation date, or for which there is a lock-up period or any other constraint calling for a significant adjustment to available market prices (NAV, etc.) in respect of the low liquidity observed for such shares;
- issued debt instruments designated at fair value are classified as Level 3 when the underlying derivatives are classified as Level 3. The associated "issuer credit risk" is regarded as observable and it is therefore classified as Level 2;
- CDS contracted with credit enhancers (monoline insurers), for which the valuation model used to measure write-downs is similar to the Credit Valuation Adjustment (CVA) used for counterparty risk. The model also takes into account the expected amortization of exposures and the counterparty spread implicit in market data;

Plain vanilla derivatives are also classified as Level 3 fair value when exposure is beyond the liquidity horizon determined by underlying currencies or by volatility surface (e.g. certain foreign currency options and volatility caps/floors).

In accordance with the Ministerial Order of February 20, 2007, as amended by the Order of November 23, 2011 on capital requirements for credit institutions and investment companies and pursuant to the European Regulation of June 26, 2013 (CRR) on the Basel III requirements, for each of the models used, a description of crisis simulations applied is provided in Chapter 3 "Risk Management".

Under IFRS 9, day one profit should be recognized only if it is generated by a change in the factors that market participants would consider in setting a price, *i.e.* only if the model and parameters input into the valuation are observable.

If the selected valuation model is not recognized by current market practices, or if one of the inputs significantly affecting the instrument's valuation is not observable, the trading profit on the trade date cannot be recognized immediately in the income statement. It is taken to income on a straight-line basis over the life of the transaction or until the date the inputs become observable. Any losses incurred at the trade date are immediately recognized in income.

Given the health crisis, BPCE carried out an exhaustive review of its portfolio on December 31, 2020.

At December 31, 2020, instruments for which the recognition of day one profit/loss has been deferred mainly included:

- multi-underlying structured equity and index products;
- mono-underlying structured products indexed to sponsored indexes;
- synthetic loans;
- options on funds (multi-assets and mutual funds);
- structured fixed income products;
- securitization swaps.

These instruments are almost all located at Natixis.

The table below provides the main unobservable inputs and the value ranges for these instruments at December 31, 2020:

Instrument class	Main types of products	Valuation techniques used	Main unobservable data	Unobservable data ranges min - max (DEC20)
Interest rate derivatives	Sticky CMS/Volatility Bonds	Interest rate options valuation models	Mean reversion inputs	[1.75%; 5%]
Interest rate derivatives	Callable Spread Options and Corridor Callable Spread Options	Model representing several yield curve factors	Mean reversion spread	[0%; 30%]
Interest rate derivatives	Bermuda Accreting		Accreting factor	[69.5%; 94%]
Interest rate derivatives	Volatility caps/floors	Interest rate option valuation models	Interest rate volatility	[5.46%; 87.46%]
Equity	Simple and complex equity, equity basket or fund derivatives	Different valuation models for equity, equity basket or fund options	Equity volatility	[1.00%; 171.79%]
			Fund volatility	[1.5%; 40.27%]
			Stock/stock correlation	[18.50%; 96.28%]
			Repo of general baskets	[-0.76%; 0.91%]
Forex	Exchange rate derivatives	Exchange rate option valuation models	Currency volatility	[7.3% ; 12.739%]
Forex	Long-term PRDC/PRDKO/TARN	Hybrid currency/interest rate option valuation model	Correlation between foreign exchange rates and interest rates as well as long-term volatility levels	[11.5%; 32.8%]
				[7.3% ; 12.739%]
Forex	Helvetix: Strip of long-term options, Strip of quanto options, Strip of digital options	Black & Scholes model	Correl EURCHF/EURUSD	[23.46%; 38.90%]
	Helvetix: Option spread and digital option spread	Gaussian copula	Long-term USD/CHF & EUR/CHF volatility	USDCHF volatility: [8.0701%; 11.0529%] EURCHF volatility: [7.3352%; 8.8223%]
Credit	CDO	The default rates are based on the market prices of the underlying PFI bonds and the recovery rates are based on historical ratings agency data	Correlation between the asset base spread between the cash asset and derivative asset, recovery rate	80%
Credit	Securitization swaps	Discounted expected cash flows based on early redemption assumptions on the underlying portfolio	Prepayment rate	[3.3%; 40.0%]
Hybrids	Hybrid equity/fixed income/forex (FX) derivatives	Hybrid models coupled with equity, forex and interest rate diffusion	Equity-FX correlations	[-63.23%; 59.54%]
			Equity/FI correlations	[-40%; 45%]
			FI-FX correlations	[-35%; 35%]

Policy concerning fair value hierarchy transfers

Transfers between fair value levels are reviewed and validated by *ad hoc* committees at Natixis comprising representatives of various functions, particularly Finance, Risk and Business Lines. The committees consider various indicators of market activity and liquidity as described in the General Principles.

A review is undertaken for any instrument that ceases to meet these criteria or once again complies with the criteria. Transfers to and from Level 3 must be approved in advance.

Main reclassifications at December 31, 2020 were as follows:

- Bermudan accreters (in AUD), with residual maturities between 10 and 20 years were transferred to fair value Level 2, due to the immateriality of the accreting factor variable (see table above);
- mono underlying equity indices were transferred to fair value Level 3 following a review of the observability of the underlyings.

In fiscal year 2019, the main reclassifications involved accreting Bermudan swaptions (in euros and in Australian dollars), specific complex derivatives with single or multiple underlyings

structured on indexes and the associated liabilities designated at fair value. These instruments were reclassified from Level 2 to Level 3 of the fair value hierarchy due to an examination of observability during the period which demonstrated an absence of observable prices for the corresponding inputs and products, leading to their reclassification to Level 3 of the fair value hierarchy.

Instruments affected by the financial crisis

Instruments affected by the financial crisis and carried at fair value on the balance sheet are essentially held by Natixis, which calculates their fair value using the models described below:

CDS CONTRACTED WITH CREDIT ENHANCERS (MONOLINE INSURERS AND CDPCS)

Since December 31, 2015, the valuation model used to measure write-downs on CDSs contracted with monoline insurers has been similar to the Credit Valuation Adjustment (CVA) used for counterparty risk. The model also takes into account the expected amortization of exposures and the counterparty spread implicit in market data.

TRUST PREFERRED SECURITIES (TRUPS) CDOs

In 2018, Trups CDOs were valued using a valuation model. The latter was based on projections of future cash flows and default rates determined using a statistical approach that deduced the probability of default of banking institutions on the basis of their financial ratios. For other sectors, default rates were estimated considering the current ratings of assets.

As the number of contributions was sufficient, Trups CDOs were marked-to-market at December 31, 2019.

Instruments not carried at fair value on the balance sheet

IFRS 13 requires disclosure in the notes to the financial statements of the fair value, and the associated fair value levels, of all financial instruments carried at amortized cost, including loans. The valuation methods used to determine the fair value disclosed in the notes to the financial statements are described below.

ASSETS AND LIABILITIES OF NATIXIS BUSINESS LINES, THE BPCE CASH MANAGEMENT POOL, AND THE CAISSES D'EPARGNE FINANCIAL PORTFOLIOS

Credit and loans recognized at amortized cost and amounts payable under finance leases

The fair value of these instruments is determined by discounting future cash flows. The discount rate applied for a given loan is the rate at which the Group would grant a loan with similar characteristics to a similar counterparty at the reporting date. The interest rate and counterparty risk components are re-assessed.

The fair value of repurchase agreements is calculated by discounting expected cash flows at the market rate on the closing date and adding a liquidity spread.

If there is a quoted price that meets the criteria of IFRS 13, the quoted price is used.

The fair value of loans with an initial term of less than one year is generally considered to be their carrying amount. This is also the case for financial assets with a term of one year or less and current accounts. The corresponding receivables are classified in Level 2 of the fair value hierarchy. Loans and receivables granted to affiliates are also classified in Level 2.

BORROWINGS AND SAVINGS

At Natixis, the assessment of the fair value of securities borrowings and debts is based on the method of discounting future cash flows using inputs on the reporting date such as the interest rate curve of the underlyings and the spread at which Natixis lends or borrows.

The fair value of debts maturing in less than one year is considered to be the book value. In this case, the debts are classified in Level 2 of the fair value hierarchy, as are debts payable to affiliates.

The fair value of other amounts due to banks and customers with a term of over one year is deemed to be equal to the present value of future cash flows discounted at the interest rate observed at the balance sheet date, plus the own credit risk of Groupe BPCE.

INVESTMENT PROPERTY RECOGNIZED AT COST

The fair value of investment property (excluding investment property held by insurance companies) is determined using

the rent capitalization method, which is widely used by real estate professionals. The capitalization rate applied to the property depends on a number of factors such as location, the quality and type of building, use, type of ownership, quality of lessee and characteristics of the lease, the interest rate and competition in the real estate market.

Financial instruments of the retail banking business lines

For financial instruments not measured at fair value on the balance sheet, fair value calculations are provided for information purposes and must only be interpreted as estimates.

In most cases, the values indicated are not liable to be realized and generally may not be realized in practice.

These fair values are thus only provided for information purposes in the notes to the financial statements. They are not indicators used in the interest of overseeing retail banking activities, for which the business model is mainly based on the collection of contractual cash flows.

Consequently, the following simplified assumptions were used:

The carrying amount of the assets and liabilities is deemed to be their fair value in certain cases.

These notably include:

- short-term financial assets and liabilities (whose initial term is one year or less) provided that sensitivity to interest-rate risk and credit risk is not material during the period;
- demand liabilities;
- floating rate loans and borrowings;
- transactions in a regulated market (particularly regulated savings products), whose prices are set by the public authorities.

FAIR VALUE OF LOANS TO RETAIL CUSTOMERS

The fair value of loans is measured using internal valuation models that discount future payments of recoverable capital and interest over the remaining loan term. Except in special cases, only the interest rate component is remeasured, as the credit margin is established at the outset and not subsequently remeasured. Prepayment options are factored into the model *via* an adjustment to loan repayment schedules.

FAIR VALUE OF LOANS TO LARGE CORPORATES, LOCAL AUTHORITIES AND BANKS

The fair value of loans is measured using internal valuation models that discount future payments of recoverable capital and interest over the remaining loan term. The interest rate component is remeasured, as is the credit risk component (where it is an observable piece of data used by customer relationship managers). Failing that, the credit risk component is established at the outset and not subsequently remeasured, as with loans to retail customers. Prepayment options are factored into the model *via* an adjustment to loan repayment schedules.

FAIR VALUE OF DEBT

The fair value of fixed-rate debt owed to banks and customers with a term of over one year is deemed to be equal to the present value of future cash flows discounted at the interest rate observed at the balance sheet date. Own credit risk is not generally taken into account.

10.1 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

10.1.1 FAIR VALUE HIERARCHY OF FINANCIAL ASSETS AND LIABILITIES

The following statement provides a breakdown of financial instruments by type of price and valuation model:

<i>in millions of euros</i>	12/31/2020			
	Level 1	Level 2	Level 3	Total
FINANCIAL ASSETS				
Debt instruments	15,802	86,373	1,940	104,116
Loans due from banks and customers		83,503	1,842	85,345
Debt securities	15,802	2,870	98	18,770
Equity instruments	32,295	438		32,733
Shares and other equity securities	32,295	438		32,733
Derivatives	1,047	41,588	1,781	44,416
Interest rate derivatives	28	29,617	624	30,268
Equity derivatives	445	2,503	544	3,492
Currency derivatives		8,205	429	8,634
Credit derivatives		647	184	831
Other derivatives	574	616		1,190
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾	49,145	128,398	3,721	181,264
Derivatives		438	9	447
Interest rate derivatives		337	9	346
Currency derivatives		101		101
Financial assets at fair value through profit or loss – Economic hedges		438	9	447
Debt instruments		2	21	23
Loans due from banks and customers		2		2
Debt securities			21	21
Financial assets designated at fair value through profit or loss		2	21	3
Debt instruments	3,972	2,013	2,041	8,026
Loans due from banks and customers		1,875	1,139	3,014
Debt securities	3,972	138	902	5,011
Financial assets at fair value through profit or loss – Non-standard	3,972	2,013	2,041	8,026
Equity instruments	439	10	607	1,055
Shares and other equity securities	439	10	607	1,055
Financial assets at fair value through profit or loss – Excluding assets held for trading	439	10	607	1,055
Debt instruments	15,284	823	16	16,123
Loans due from banks and customers		3	16	19
Debt securities	15,284	820		16,104
Equity instruments	155	191	1,328	1,674
Shares and other equity securities	155	191	1,328	1,674
Financial assets at fair value through other comprehensive income	15,438	1,015	1,344	17,797
Interest rate derivatives		6,910		6,910
Currency derivatives		997		997
Hedging derivatives		7,907		7,907
TOTAL FINANCIAL ASSETS AT FAIR VALUE	68,994	139,783	7,742	216,519

(1) Excluding economic hedging.

in millions of euros	12/31/2020			
	Level 1	Level 2	Level 3	Total
FINANCIAL LIABILITIES				
Debt securities	20,567	95,011	574	116,152
Derivatives	713	38,397	1,426	40,536
• Interest rate derivatives	4	24,432	327	24,763
• Equity derivatives	258	3,364	601	4,223
• Currency derivatives		9,273	227	9,500
• Credit derivatives		799	263	1,062
• Other derivatives	451	529	8	988
Other financial liabilities		14,252		14,252
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾	21,280	147,661	2,001	170,941
Derivatives	1	442	426	869
Interest rate derivatives		154	401	555
Equity derivatives	1		25	26
Currency derivatives		288		288
Financial liabilities at fair value through profit or loss – Economic hedges	1	442	426	869
Debt securities		15,494	8,754	24,248
Other financial liabilities	3,045	475	4	3,525
Financial liabilities designated at fair value through profit or loss	3,045	15,969	8,758	27,772
Interest rate derivatives		7,928		7,928
Currency derivatives		2,111		2,111
Hedging derivatives		10,039		10,039
TOTAL FINANCIAL LIABILITIES AT FAIR VALUE	24,326	174,111	11,184	209,621

(1) Excluding economic hedging.

<i>in millions of euros</i>	12/31/2019			
	Level 1	Level 2	Level 3	Total
FINANCIAL ASSETS				
Debt instruments	11,859	102,588	3,042	117,489
Loans due from banks and customers		99,867	2,701	102,568
Debt securities	11,859	2,721	341	14,921
Equity instruments	35,915	185	60	36,160
Shares and other equity securities	35,915	185	60	36,160
Derivatives	924	48,143	2,088	51,156
Interest rate derivatives ⁽²⁾	2	34,474	819	35,294
Equity derivatives	679	2,408	262	3,349
Currency derivatives ⁽²⁾		10,637	778	11,415
Credit derivatives		373	230	602
Other derivatives	243	251		495
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾	48,698	150,916	5,190	204,805
Derivatives		515	12	527
Interest rate derivatives		316	12	328
Currency derivatives		199		199
Financial assets at fair value through profit or loss – Economic hedges		515	12	527
Debt instruments		45		45
Loans due from banks and customers		2		2
Debt securities		43		43
Financial assets designated at fair value through profit or loss		45		45
Debt instruments	2,397	1,763	2,430	6,590
Loans due from banks and customers		1,622	1,235	2,856
Debt securities	2,397	141	1,195	3,734
Financial assets at fair value through profit or loss – Non-standard	2,397	1,763	2,430	6,590
Equity instruments	230	10	641	880
Shares and other equity securities	230	10	641	880
Financial assets at fair value through profit or loss – Excluding assets held for trading	230	10	641	880
Debt instruments	14,853	680	52	15,585
Loans due from banks and customers		1	39	41
Debt securities	14,853	679	12	15,544
Equity instruments	185	167	1,178	1,531
Shares and other equity securities	185	167	1,178	1,531
Financial assets at fair value through other comprehensive income	15,038	848	1,230	17,116
Interest rate derivatives		6,511		6,512
Currency derivatives		1,358		1,359
Hedging derivatives		7,870		7,870
TOTAL FINANCIAL ASSETS AT FAIR VALUE	66,363	161,966	9,504	237,832

(1) Excluding economic hedging.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

in millions of euros	12/31/2019			
	Level 1	Level 2	Level 3	Total
FINANCIAL LIABILITIES				
Debt securities	18,534	95,057	809	114,398
Derivatives	674	47,494	1,709	49,877
• Interest rate derivatives ⁽²⁾		31,825	551	32,375
• Equity derivatives	437	4,073	315	4,825
• Currency derivatives ⁽²⁾		10,733	526	11,259
• Credit derivatives		502	316	818
• Other derivatives	238	361	1	600
Other financial liabilities		13,119		13,119
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾	19,208	155,670	2,518	177,396
Derivatives		253	393	648
Interest rate derivatives		110	393	502
Currency derivatives		145		146
Financial liabilities at fair value through profit or loss – Economic hedges		253	393	648
Debt securities		17,270	9,366	26,636
Other financial liabilities	3,696		2	3,699
Financial liabilities designated at fair value through profit or loss	3,696	17,270	9,368	30,335
Interest rate derivatives		7,572		7,572
Currency derivatives		2,540		2,540
Hedging derivatives		10,112		10,113
TOTAL FINANCIAL LIABILITIES AT FAIR VALUE	22,905	183,306	12,280	218,491

(1) Excluding economic hedging.

(2) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

10.1.2 BREAKDOWN OF FINANCIAL ASSETS AND LIABILITIES CLASSIFIED IN LEVEL 3 OF THE FAIR VALUE HIERARCHY

in millions of euros	01/01/2020	Gains and losses recognized during the period			Transactions carried out during the period		Transfers during the period			12/31/2020
		In the income statement ⁽¹⁾			Purchases/Issues	Sales/Redemptions	To another reporting category	From and to another level ⁽²⁾	Other changes ⁽³⁾	
		On transactions in progress at the reporting date	On transactions removed from the balance sheet at the reporting date	In other comprehensive income						
FINANCIAL ASSETS										
Debt instruments	3,042	(55)	432		9,342	(11,211)		474	(84)	1,940
Loans due from banks and customers	2,701	55	21		5,276	(6,585)		433	(59)	1,842
Debt securities	341	(110)	410		4,066	(4,626)		41	(24)	98
Equity instruments	60								(60)	
Shares and other equity securities	60								(60)	
Derivatives	2,088	18	28		516	(361)		(285)	(223)	1,781
Interest rate derivatives	819	213	(271)		25	(51)		(108)	(3)	624
Equity derivatives	262	(179)	316		489	(254)		(10)	(80)	544
Currency derivatives	778	11	(15)			(40)		(176)	(130)	429
Credit derivatives	230	(27)	(2)		2	(16)		9	(11)	184
Financial assets at fair value through profit or loss – Held for trading ⁽⁴⁾	5,190	(37)	460		9,858	(11,571)		189	(367)	3,721
Derivatives	12	1							(4)	9
Interest rate derivatives	12	1							(4)	9
Financial assets at fair value through profit or loss – Economic hedges	12	1							(4)	9
Debt instruments	2,430	(104)	169		196	(587)			(63)	2,041
Loans due from banks and customers	1,235	46			192	(287)			(47)	1,139
Debt securities	1,195	(151)	169		4	(300)			(17)	902
Financial assets at fair value through profit or loss – Non-standard	2 430	(104)	169		196	(587)			(63)	2,041
Equity instruments	641	(5)	(4)		12	(71)			34	607
Shares and other equity securities	641	(5)	(4)		12	(71)			34	607
Financial assets at fair value through profit or loss – Excluding assets held for trading	641	(5)	(4)		12	(71)			34	607
Debt instruments	52	1		9	3	(40)			(8)	16
Loans due from banks and customers	39	1		9	3	(36)				16
Debt securities	12					(4)			(8)	
Equity instruments	1,178	89	5	110	106	(102)	6		(63)	1,328
Shares and other equity securities	1,178	89	5	110	106	(102)	6		(63)	1,328
Financial assets at fair value through other comprehensive income	1,230	90	5	118	109	(142)	6		(71)	1,344

		Gains and losses recognized during the period		Transactions carried out during the period		Transfers during the period			
		In the income statement ⁽¹⁾							
		On trans- actions in progress at the reporting date	On trans- actions removed from the balance sheet at the reporting date	Purchases/ Issues	Sales/ Redemp- tions	To another reporting category	From and to another level ⁽²⁾	Other changes ⁽³⁾	
<i>in millions of euros</i>	01/01/2020								12/31/2020
FINANCIAL LIABILITIES									
Debt securities	809	16	(26)	524	(748)				574
Derivatives	1,709	189	(242)	297	(200)		(76)	(250)	1,426
• Interest rate derivatives	551	41	(179)	5	(29)		(55)	(5)	327
• Equity derivatives	315	167	(30)	289	(164)		45	(20)	601
• Currency derivatives	526	(2)	(14)		(2)		(71)	(211)	227
• Credit derivatives	316	(20)	(20)	4	(4)		1	(13)	263
• Other derivatives	1	3			(1)		4		8
Financial liabilities at fair value through profit or loss – Held for trading ⁽⁴⁾									
	2,518	205	(269)	821	(948)		(76)	(250)	2,001
Derivatives	393	89			(56)				426
Interest rate derivatives	392	8							401
Equity derivatives		81			(56)				25
Financial liabilities at fair value through profit or loss – Economic hedges									
	393	89			(56)				426
Debt securities	9,366	(21)	422	4,627	(5,376)		(53)	(212)	8,754
Other financial liabilities	2						2		4
Financial liabilities designated at fair value through profit or loss									
	9,368	(21)	422	4,627	(5,376)		(51)	(212)	8,758

(1) The main impacts recognized in the income statement are mentioned in Note 4.3.

(2) The main transfers to and from Level 3 are described in Note 10.1.3.

(3) Other changes mainly include the impact of changes in the consolidation scope and foreign exchange gains and losses.

(4) Excluding economic hedging.

		Gains and losses recognized during the period			Transactions carried out during the period		Transfers during the period			
		In the income statement ⁽¹⁾								
		On trans- actions in progress at the reporting date	On trans- actions removed from the balance sheet at the reporting date	In other compre- hensive income	Purchases/ Issues	Sales/ Redem- tions	To another reporting category	From and to another level ⁽²⁾	Other changes ⁽³⁾	
in millions of euros	01/01/2019									12/31/2019 ⁽⁵⁾
FINANCIAL ASSETS										
Debt instruments	2,889	65	148		8,575	(8,431)	(122)	(110)	27	3,042
Loans due from banks and customers	2,814	92	169		7,225	(7,386)	(122)	(116)	25	2,701
Debt securities	75	(27)	(21)		1,350	(1,045)		6	3	341
Equity instruments					60					60
Shares and other equity securities					60					60
Derivatives	1,759	928	(355)		418	(910)		147	101	2,088
Interest rate derivatives	193	330	(10)		10	(80)		376	1	819
Equity derivatives	402	643	(251)		155	(768)		85	(5)	262
Currency derivatives	1,007	(89)	(91)		231	(61)		(315)	96	778
Credit derivatives	156	44	(2)		22			1	9	230
Financial assets at fair value through profit or loss – Held for trading ⁽⁴⁾	4,648	992	(207)		9,053	(9,341)	(121)	37	129	5,190
Derivatives	79	(1)	(17)			(23)			(26)	12
Interest rate derivatives	70	(2)	(17)			(23)			(17)	12
Currency derivatives	9								(9)	
Financial assets at fair value through profit or loss – Economic hedges	79	(1)	(17)			(23)			(26)	12
Debt instruments	2,612	200	29		5	(316)		(59)	(41)	2,430
Loans due from banks and customers	1,366	15			2	(41)		(59)	(48)	1,235
Debt securities	1,246	185	29		4	(276)			8	1,195
Financial assets at fair value through profit or loss – Non-standard	2,612	200	29		5	(316)		(59)	(41)	2,430
Equity instruments	611	36	7		32	(29)	(3)		(13)	641
Shares and other equity securities	611	36	7		32	(29)	(3)		(13)	641
Financial assets at fair value through profit or loss – Excluding assets held for trading	611	36	7		32	(29)	(3)		(13)	641
Debt instruments	33				28	(12)	2			52
Loans due from banks and customers	21	1			28	(12)	2			39
Debt securities	12								1	12
Equity instruments	812	49		88	401	(180)	(27)		34	1,178
Shares and other equity securities	812	49		88	401	(180)	(27)		34	1,178
Financial assets at fair value through other comprehensive income	846	49		88	429	(192)	(25)		34	1,230

		Gains and losses recognized during the period		Transactions carried out during the period		Transfers during the period				
		In the income statement ⁽¹⁾								
		On trans- actions in progress at the reporting date	On trans- actions removed from the balance sheet at the reporting date	Purchases/ Issues	Sales/ Redemp- tions	To another reporting category	From and to another level ⁽²⁾	Other changes ⁽³⁾		
<i>in millions of euros</i>	01/01/2019									12/31/2019 ⁽⁵⁾
FINANCIAL LIABILITIES										
Debt securities	1,176	37	(37)	1,161	(1,526)		(2)			809
Derivatives	1,782	(90)	(232)	202	(297)	63	197	85		1,709
• Interest rate derivatives	218	63	(22)	45	(41)		286	1		551
• Equity derivatives	569	(249)	(218)	114	(188)		277	9		315
• Currency derivatives	751	50	5	41	(17)		(368)	64		526
• Credit derivatives	244	44	3	2	(52)	63	1	11		316
• Other derivatives		1								1
Financial liabilities at fair value through profit or loss – Held for trading⁽⁴⁾										
	2,957	(53)	(269)	1 364	(1,823)	63	195	85		2,518
Derivatives	522	128	(26)		(209)			(22)		393
Interest rate derivatives	499	(20)	(26)		(38)			(22)		392
Equity derivatives	23	148			(171)					
Financial liabilities at fair value through profit or loss – Economic hedges										
	522	128	(26)		(209)			(22)		393
Debt securities	244	475	(2)	3,339	(1,905)	2	4,975	2,238		9,366
Other financial liabilities	3	(1)								2
Financial liabilities designated at fair value through profit or loss										
	247	475	(2)	3,339	(1,905)	2	4,975	2,238		9,368

(1) The main impacts recognized in the income statement are mentioned in Note 4.3.

(2) The main transfers to and from Level 3 are described in Note 10.1.3.

(3) Other changes mainly include the impact of changes in the consolidation scope and foreign exchange gains and losses.

(4) Excluding economic coverage.

(5) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of option premiums to be paid or received.

10.1.3 BREAKDOWN OF FAIR VALUE HIERARCHY TRANSFERS

The amounts of transfers indicated in this statement are those of the last valuation preceding the transfer.

	Fiscal year 2020					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
FINANCIAL ASSETS						
Debt instruments		903		74	485	12
Loans due from banks and customers					433	
Debt securities		903		74	52	12
Equity instruments		3				
Shares and other equity securities		3				
Derivatives		113		27	26	312
Interest rate derivatives						108
Equity derivatives		111		12	16	26
Currency derivatives						176
Credit derivatives					10	1
Other derivatives		2		15		
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾		1,019		101	512	323
Debt instruments					40	
Debt securities					40	
Financial assets designated at fair value through profit or loss					40	
Debt instruments		263		470		
Debt securities		263		470		
Financial assets at fair value through other comprehensive income		263		470		

	Fiscal year 2020					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
FINANCIAL LIABILITIES						
Debt securities		4				
Derivatives		40			162	238
• Interest rate derivatives						55
• Equity derivatives		37			57	12
• Currency derivatives					94	165
• Credit derivatives					1	
• Other derivatives		3			10	5
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾		44			162	238
Debt securities					503	556
Other financial liabilities					2	
Financial liabilities designated at fair value through profit or loss					505	556

(1) Excluding economic hedging.

	Fiscal year 2019					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
FINANCIAL ASSETS						
Debt instruments		287		119	6	116
Loans due from banks and customers		54				116
Debt securities		233		119	6	
Derivatives		16		111	486	339
Interest rate derivatives					381	5
Equity derivatives		16		109	90	5
Currency derivatives					13	328
Credit derivatives					1	
Other derivatives				2		
Financial assets at fair value through profit or loss – Held for trading⁽¹⁾		306		230	492	455
Debt instruments					(59)	
Loans due from banks and customers					(59)	
Financial assets at fair value through profit or loss – Non-standard					(59)	
Equity instruments			(1)			
Shares and other equity securities			(1)			
Financial assets at fair value through profit or loss – Excluding assets held for trading			(1)			
Debt instruments		273		588		
Debt securities		273		588		
Financial assets at fair value through other comprehensive income		273		588		

	Fiscal year 2019					
	From	Level 1	Level 1	Level 2	Level 2	Level 3
	To	Level 2	Level 3	Level 1	Level 3	Level 1
<i>in millions of euros</i>						
FINANCIAL LIABILITIES						
Debt securities				83		2
Derivatives		12		116	598	401
• Interest rate derivatives					302	15
• Equity derivatives		12		115	287	10
• Currency derivatives					8	376
• Credit derivatives					1	
• Other derivatives				1		
Financial liabilities at fair value through profit or loss – Held for trading⁽¹⁾		12		199	598	403
Derivatives					(1)	
Interest rate derivatives					(1)	
Financial liabilities at fair value through profit or loss – Economic hedges					(1)	
Debt securities					4,975	
Financial liabilities designated at fair value through profit or loss					4,975	

(1) Excluding economic hedging.

10.1.4 SENSITIVITY OF LEVEL 3 ASSETS AND LIABILITIES TO CHANGES IN THE PRINCIPAL ASSUMPTIONS

At December 31, 2020, Natixis calculated the sensitivity of the fair value of its financial instruments measured using unobservable inputs. With the aid of probable assumptions, this sensitivity was used to estimate the impacts of market fluctuations in uncertain economic environments. This estimate was made using assumptions of additional valuation adjustments for fixed-income, currency and equity instruments; *i.e.* a potential impact of €48 million on the income statement, including €21 million in equity instruments and derivatives.

10.2 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES AT AMORTIZED COST

For financial instruments not measured at fair value on the balance sheet, fair value calculations are provided for information purposes and must only be interpreted as estimates.

In most cases, the values indicated are not liable to be realized and generally may not be realized in practice.

These fair values are thus only provided for information purposes in the notes to the financial statements. They are not indicators used in the interest of overseeing retail banking activities, for which the management model is based on the collection of expected cash flows.

The simplified assumptions used to measure the fair value of instruments at amortized costs are presented in Note 10.1.

<i>in millions of euros</i>	12/31/2020			
	Fair value	Level 1	Level 2	Level 3
FINANCIAL ASSETS AT AMORTIZED COST				
Loans and receivables due from banks	151,511	36	93,793	57,682
Loans and receivables due from customers	177,639	428	75,865	101,346
Debt securities	13,266	4,243	4,607	4,417
FINANCIAL LIABILITIES AT AMORTIZED COST				
Amounts due to banks	208,282		119,691	88,591
Amounts due to customers	51,941		44,942	7,000
Debt securities	212,732	78,672	129,917	4,176
Subordinated debt	16,940	10,810	5,426	703

<i>in millions of euros</i>	12/31/2019			
	Fair value	Level 1	Level 2	Level 3
FINANCIAL ASSETS AT AMORTIZED COST				
Loans and receivables due from banks	131,050	80	125,798	5,171
Loans and receivables due from customers	181,985	128	75,466	106,392
Debt securities	14,000	3,809	4,969	5,222
FINANCIAL LIABILITIES AT AMORTIZED COST				
Amounts due to banks	114,427		100,525	13,902
Amounts due to customers	50,166		44,356	5,810
Debt securities	225,742	71,529	148,662	5,552
Subordinated debt	18,459	10,765	7,036	657

Note 11 Income taxes

11.1 INCOME TAX

Accounting principles

Income tax includes all domestic and foreign taxes payable on the basis of taxable profits. Income tax also includes taxes, such as withholding taxes, which are payable by a subsidiary, an associate or a joint arrangement on distributions of dividends to the entity that draws up financial statements. The CVAE (Business Added Value Tax) is not considered an income tax.

Income tax includes:

- current taxes, which are the amount of income taxes payable on taxable profit or recoverable on a tax loss over a given period. They are calculated on the taxable income for the period for each fiscal entity in the tax consolidation scope by applying the applicable tax rates and rules set by the tax authorities and on the basis of which tax shall be paid (received);
- deferred taxes (see Note 11.2).

Where it is probable that one of the Group's tax positions will not be accepted by the tax authorities, this situation is reflected in the financial statements when calculating current tax (due or recoverable) and deferred tax (asset or liability).

IAS 12 "Income taxes" gave no particular details on how to account for uncertainties in income taxes, and was clarified by IFRIC 23 "Uncertainty over income tax treatments", which was adopted by the European Commission on October 23, 2018 with effect from January 1, 2019.

This interpretation clarifies how to apply the deferred income tax recognition and measurement requirements when there is uncertainty over income tax treatments. If there is doubt as to the acceptability of the income tax treatment by the tax authority under tax law, then this tax treatment is an uncertain

tax treatment. Assuming it is likely that the tax authority will not accept the income tax treatment used, IFRIC 23 states that the amount of the uncertainty to be reflected in the financial statements shall be estimated using the method that will better predict the resolution of the uncertainty. To determine this amount, two approaches may be used: the most likely amount or the expected value of the tax treatment (that is, the weighted average of the different scenarios possible). Furthermore, IFRIC 23 requires the measurement of tax uncertainties to be reassessed if facts and circumstances change or new information arises.

The Group reflects uncertainties regarding its tax treatment for income tax in its financial statements when it deems it probable that the tax authority will not accept its treatment. To ascertain whether a tax position is uncertain and to assess its effect on the amount of tax, the Group assumes that the tax authority will examine all amounts reported and have full knowledge of all related information. It bases its judgment on administrative policy, case-law and on the existence of any corrections made by the administration relating to similar tax uncertainties. The Group revises the estimate of the amount it expects to pay or recover from the tax authority due to tax uncertainties in the event of changes in the associated facts and circumstances, as these changes may result from (including, but not limited to) changes in tax law, the expiry of a statutory limitation period, or the outcome of audits and measures conducted by the tax authorities.

Tax uncertainties are reported as assets or liabilities and according to whether they relate to a current or deferred tax under the balance sheet headings "Deferred tax assets", "Current tax assets", "Deferred tax liabilities" and "Current tax liabilities".

in millions of euros

	Fiscal year 2020	Fiscal year 2019
Current income tax expense	(202)	(567)
Deferred tax assets and liabilities	14	(27)
INCOME TAX	(189)	(594)

RECONCILIATION BETWEEN THE TAX CHARGE IN THE FINANCIAL STATEMENTS AND THE THEORETICAL TAX CHARGE

	Fiscal year 2020		Fiscal year 2019	
	<i>in millions of euros</i>	Tax rate	<i>in millions of euros</i>	Tax rate
Net income attributable to equity holders of the parent	176		631	
Change in the value of goodwill			84	
Non-controlling interests	136		698	
Share in net income of associates	(159)		(231)	
Income taxes	189		594	
INCOME BEFORE TAX AND CHANGES IN THE VALUE OF GOODWILL	341		1,775	
Effects of permanent differences ⁽¹⁾⁽²⁾	448		619	
Consolidated taxable income (A)	789		2,394	
Standard income tax rate in France (B)		32.02%		34.43%
Theoretical income tax expense (income) at the tax rate applicable in France (AxB)	(253)		(824)	
Impact of the change in unrecognized deferred tax assets and liabilities	(11)		(87)	
Reduced rate of tax and tax-exempt activities	(1)		4	
Difference in tax rates on income taxed outside France	(3)		209	
Tax on prior periods, tax credits and other tax ⁽³⁾	80		92	
Other items ⁽⁴⁾	(1)		7	
INCOME TAX EXPENSE (INCOME) RECOGNIZED	(189)		(594)	
EFFECTIVE TAX RATE (INCOME TAX EXPENSE DIVIDED BY TAXABLE INCOME)		23.95%		24.81%

- (1) They are, for the first time at December 31, 2020, presented at base and restated with for the consolidated fiscal result. As a result, the impact of the permanent differences is now excluded from the difference between the effective tax rate and the theoretical tax rate. The 2019 data have been adjusted for comparability purposes.
- (2) Permanent differences primarily consist of the impact of the contribution to the SRF (Single Resolution Fund), which is a non-deductible expense (see Note 4.7), and the impact of the consolidation of the share of costs and expenses on dividends received. This removes the effect of permanent differences from the difference between effective and theoretical tax rates.
- (3) Tax on prior periods, tax credits and other tax mainly includes tax credits and the impact of tax audits and the resolution of ongoing disputes.
- (4) Other items mainly include the impacts of the tax consolidations of BPCE and Natixis in the amount of €38 million, provisions for tax adjustments in the amount of -€18 million and tax effects related to changes in tax rates related to the valuation of the Group's deferred tax assets and liabilities in the amount of -€24 million.

11.2 DEFERRED TAX ASSETS AND LIABILITIES

Accounting principles

Deferred tax assets and liabilities are recognized when temporary differences arise between the carrying amount of assets and liabilities on the balance sheet and their tax base, irrespective of when the tax is expected to be recovered or settled.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability settled based on tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax liabilities and assets are offset at the level of each tax entity. The tax entity may either be a single entity or a tax consolidation group. Deferred tax assets are recognized only to the extent that it is probable that the entity will be able to recover them in the foreseeable future.

Deferred tax assets and liabilities are recognized as tax income or expense in the income statement, except for those related to:

- revaluation differences on post-employment benefits;
- unrealized gains and losses on financial assets at fair value through other comprehensive income; and
- changes in the fair value of derivatives used as cash flow hedges.

for which the corresponding deferred tax assets and liabilities are recognized as unrealized gains and losses directly in other comprehensive income.

Deferred tax assets and liabilities are not discounted to their present value.

Deferred tax assets and liabilities on temporary differences arise from the recognition of the items listed in the statement below (positive figures indicate deferred tax assets, while negative figures in brackets represent deferred tax liabilities):

<i>in millions of euros</i>	12/31/2020	12/31/2019
Unrealized capital gains on UCITS	23	23
Fiscal EIGs	(39)	(85)
Provisions for employee-related liabilities	21	40
Provisions for regulated home savings products	1	1
Provisions on a portfolio basis	34	60
Other non-deductible provisions	4	75
Changes in fair value of financial instruments recorded in equity	11	(12)
Other sources of temporary differences ⁽¹⁾	(295)	(337)
Deferred tax related to timing differences	(241)	(235)
Deferred tax assets and liabilities arising on the capitalization of tax loss carryforwards	1,954	1,704
Unrecognized deferred tax assets and liabilities	(1,126)	(837)
NET DEFERRED TAX ASSETS AND LIABILITIES	587	632
Recognized		
As assets in the balance sheet	1,775	1,971
As liabilities in the balance sheet	(1,187)	(1,339)

(1) A deferred tax liability of €316 million at December 31, 2020 (compared to €347 million at December 31, 2019) was recognized on certain goodwill items recorded in the United States, giving rise to tax amortization over 15 years.

The 2019 Finance Act in France led BPCE SA group to revalue its net deferred tax position:

Deferred tax assets and liabilities of French companies are calculated by applying the tax rate that will be in force when the temporary difference is reversed. Tax rates will be gradually lowered through to 2022 (including the social security

contribution on profits), from 28.41% in 2021 to 25.83% in 2022 and thereafter for taxable profit taxed at the normal rate.

At December 31, 2020, deductible temporary differences, tax losses and unused tax credits for which no deferred tax asset has been recorded in the balance sheet amounted to €1,126 million.

Note 12 Other information

12.1 SEGMENT REPORTING

BPCE SA group has three core businesses:

Retail Banking and Insurance, which is central to the transformation, includes:

- Financial Solutions & Expertise, a sub-division encompassing the specialized financing activities: factoring, leasing, consumer finance, sureties & financial guarantees, and "retail securities services", in addition to Socfim, BPCE Solutions Immobilières and Pramex;
- Insurance, a Natixis business line serving the Groupe BPCE networks and their customers;
- Payments, which offers a full range of payment and prepaid solutions to local businesses, online and via mobile devices.
- Other networks, which include Oney Bank and Banque Palatine.

Asset & Wealth Management, a Natixis business line consisting of:

- Asset Management, which operates on several international markets, combining expertise in investment management and distribution;

- Wealth Management, with Natixis Wealth Management, which offers wealth management and financing solutions for large private-sector investors;

- employee savings, Natixis Interépargne is a top-tier player in employee savings plan management in France;

Corporate & Investment Banking, a division of Natixis:

- Corporate & Investment Banking advises and supports corporates, institutional investors, insurance companies, banks, public sector entities and film and audiovisual financing.

The Corporate center, which primarily includes:

- the Group's central institution and holding companies;
- run-off activities of Crédit Foncier and BPCE International;
- cross-business activities;
- items related to goodwill impairment and the amortization of valuation differences, as these items form part of the Group's acquisition and investment strategy;
- the contribution to the Single Resolution Fund.

Segment reporting for BPCE SA group has been restated from the first quarter of 2019 and takes account of the transfer of the subsidiaries Banque de Tahiti, Banque de Nouvelle Calédonie, Société Havraise de Calédonie following their transfer from Groupe BPCE International to the Caisse d'Epargne network.

The segment information also takes into account changes during the fourth quarter of 2020 to the rules for BPCE SA's re-invoicing of expenses recognized in respect of its duties as a central institution. As a result, the quarterly 2019 and 2020 income statements for the Retail Banking & Insurance and Corporate Center divisions were restated for comparison purposes.

12.1.1 SEGMENT ANALYSIS OF THE CONSOLIDATED INCOME STATEMENT

Results by division⁽¹⁾⁽²⁾⁽³⁾

	Retail Banking and Insurance*		Asset Management		Corporate & Investment Banking		Corporate center		Groupe BPCE	
<i>in millions of euros</i>	2020	2019 pf	2020	2019	2020	2019	2020	2019 pf	2020	2019 pf
Net banking income	3,175	2,780	3,225	3,760	2,803	3,337	563	724	9,766	10,600
Operating expenses	(2,013)	(1,810)	(2,387)	(2,492)	(2,099)	(2,235)	(1,548)	(1,888)	(8,047)	(8,425)
Gross operating income	1,162	969	838	1,268	704	1,102	(985)	(1,164)	1,719	2,175
Cost/income ratio	63.4%	65.1%	74.0%	66.3%	74.9%	67.0%	ns	ns	82.4%	79.5%
Cost of risk	(250)	(149)	(27)	(8)	(819)	(312)	(108)	(20)	(1,204)	(489)
Share in income of equity-accounted associates	(17)	11	1	1	10	10	212	209	206	231
Gains or losses on other assets	(7)	7	(45)	13	(0)	(15)	(111)	(15)	(163)	(10)
Change in the value of goodwill								(82)		(82)
Income before tax	889	839	768	1,273	(105)	786	(993)	(1,073)	558	1,825
Income tax	(263)	(275)	(226)	(353)	33	(212)	314	277	(142)	(563)
Non-controlling interests (minority interests)	(110)	(78)	(209)	(447)	14	(176)	113	106	(193)	(595)
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT – Excl. Net contribution by Coface	515	486	332	473	(57)	397	(567)	(690)	223	667
Net contribution by Coface							(136)	44	(136)	44
Transition from pro forma to reportable net income attributable to equity holders of the parent ⁽²⁾⁽³⁾	(1)	16					90	(97)	89	(81)
REPORTABLE NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT	514	502	332	473	(57)	397	(612)	(741)	176	631

* Excluding Banques Populaires, Caisses d'Epargne and their consolidated subsidiaries.

Results of the Retail Banking and Insurance sub-divisions

	Financial Solutions & Expertise		Insurance		Payments		Other networks		Retail Banking and Insurance	
<i>in millions of euros</i>	2020	2019 pf	2020	2019	2020	2019	2020	2019 pf	2020	2019 pf
Net banking income	1,084	1,064	901	846	431	423	760	448	3,175	2,780
Operating expenses	(604)	(625)	(491)	(478)	(391)	(370)	(527)	(336)	(2,013)	(1,810)
Gross operating income	480	438	410	368	39	52	233	111	1,162	969
Cost/income ratio	55.7%	58.8%	54.5%	56.5%	90.9%	87.6%	69.3%	75.2%	63.4%	65.1%
Cost of risk	(67)	(36)			2	(2)	(185)	(111)	(250)	(149)
Share in income of equity-accounted associates			(17)	10			0	1	(17)	11
Gains or losses on other assets	(1)	0				0	(6)	7	(7)	7
Income before tax	412	402	393	378	42	50	41	8	889	839

(1) Segment information is restated for the impact of the net contribution by Coface on net income attributable to equity holders of the parent of +€136 million in 2020 and -€44 million in 2019.

(2) Segment information for 2019 is pro forma for the deconsolidation of the Banque de Tahiti, Banque de Nouvelle Calédonie and Société Havraise de Calédonie subsidiaries with an impact on net income attributable to equity holders of the parent of -€8 million, of which -€91 million on net banking income and +€40 million on management fees.

(3)

12.1.2 SEGMENT ANALYSIS OF THE BALANCE SHEET

	Retail Banking & Insurance		Asset Management		Corporate & Investment Banking ⁽¹⁾		Corporate Center		Groupe BPCE SA	
<i>in millions of euros</i>	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019	12/31/2020	12/31/2019
Segment assets	167,167	153,685	2,203	2,940	296,328	338,679	383,243	286,004	848,941	781,308
Segment liabilities	167,167	153,685	2,203	2,940	296,328	338,679	383,243	286,004	848,941	781,308

(1) Amounts not restated compared to the financial statements published in 2019, following a change in the presentation of premiums on options to be paid or received (see Note 5.2.3).

12.1.3 SEGMENT REPORTING BY GEOGRAPHIC REGION

The geographic analysis of segment assets and results is based on the location where business activities are recognized.

Net banking income

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
France	5,975	5,547
Rest of Europe	1,037	1,970
North America	2,251	2,678
Rest of world	553	950
TOTAL	9,816	11,145

Note: the net banking income by geography for 2020 and 2019 is presented without restatement for Coface's contribution and the change in re-invoicing for central services.

Total segment assets

<i>in millions of euros</i>	12/31/2020	12/31/2019
France	737,361	656,970
Rest of Europe	28,881	30,730
North America	44,443	60,060
Rest of world	38,257	33,547
TOTAL	848,941	781,307

12.2 INFORMATION ON LEASES

12.2.1 LEASES AS LESSOR

Accounting principles

Leases are analyzed to determine whether in substance and economic reality they are operating leases or finance leases.

Finance leases

A finance lease is a lease that transfers to the lessee most of the risks and rewards incidental to ownership of an asset.

IFRS 16 gives five examples of situations that (individually or collectively) lead to a lease being classified as a finance lease:

- the lease transfers ownership of the asset to the lessee at the end of the lease term;
- the lease provides the lessee with the option to purchase the asset at a price that is expected to be sufficiently below the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- the lease term covers most of the economic life of the asset even if there is no transfer of ownership;
- at the inception of the lease, the present value of lease payments amounts to at least virtually all of the fair value of the leased asset;
- the leased assets are of such a specialized nature that only the lessee can use them without major modifications.

IFRS 16 also describes three indicators that may also individually or collectively lead to a lease being classified as a finance lease:

- if the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the change in the fair value of the residual value accrue to the lessee;
- the lessee has the ability to extend the lease at a rent that is substantially lower than the market rent.

At the start of the contract, assets under finance leases are recorded in the lessor's balance sheet in the form of a receivable equal to the net investment in the lease contract.

The net investment corresponds to the amount of lease payments receivable from the lessee, discounted at the interest rate implicit in the lease plus any unguaranteed residual value of the asset accruing to the lessor.

More specifically, the lease payments used to calculate the net investment include fixed payments less any lease incentives payable and variable payments that depend on an index or rate.

IFRS 16 requires unguaranteed residual values to be reviewed on a regular basis. A reduction in the estimated unguaranteed residual value modifies the income allocation over the lease term. In this case, a new payment schedule is drawn up and a charge is recorded to adjust the amount of financial income already recorded.

Any impairment recorded for counterparty risk on receivables in respect of finance leases is calculated in accordance with IFRS 9 using the same method as for financial assets at amortized cost (Note 5.5). This impairment is recorded on the income statement under "Cost of credit risk".

Finance lease income is considered to be interest and is recognized in the income statement under "Interest and similar income". This income is recognized using the interest rate implicit in the lease, which reflects a constant periodic rate of return on the lessor's net investment. The rate of return implicit in the lease is the discount rate that makes the following two items equal:

- the net investment;
- the initial value of the asset (the fair value at the inception of the lease, plus any direct initial costs comprising expenses incurred specifically by the lessor to set up the lease).

Operating leases

A lease which is not considered to be a finance lease is classified as an operating lease.

Assets provided under operating leases are shown in the balance sheet under property, plant and equipment or intangible assets in the case of equipment leases, and investment property in the case of property leases. Lease income from operating leases is recognized in the income statement on a straight-line basis over the lease term, under "Income or expenses from other activities".

Schedule of finance lease receivables

in millions of euros

	12/31/2020	12/31/2019
FINANCE LEASES		
Non-discounted lease payments (amount of gross investments)	12,409	12,489
< 1 year	2,855	2,755
1-5 years	6,528	6,443
> 5 years	3,025	3,291
Discounted lease payments (amount of net investments)	11,071	11,118
< 1 year	2,757	2,673
1-5 years	5,976	5,970
> 5 years	2,338	2,475
Financial income not received	1,338	1,371
OPERATING LEASES		
	234	311
< 1 year	47	64
1-5 years	123	154
> 5 years	64	94

12.2.2 LEASES AS LESSEE

Accounting principles

IFRS 16 applies to contracts that, irrespective of their legal form, meet the definition of a lease as laid down by the standard. The standard requires the identification of an asset and that the lessee controls the right to use this asset for a period of time. Control is established if the lessee holds the following two rights throughout the period of use:

- the right to obtain almost all of the economic benefits arising from use of the asset;
- the right to decide how the asset is used.

The existence of an identified asset requires that the lessor has no substantive rights to substitute alternative assets, with this requirement being assessed according to facts and circumstances in place at the start of the contract. If the lessor can freely substitute the leased asset, the contract becomes a non-lease contract whose purpose is to provide capacity rather than an asset.

The asset can be comprised of a portion of a larger asset, such as a floor within a building. However, a portion of an asset that is not physically distinct within a grouping without a pre-determined location is not an identified asset.

With certain exceptions, lessees are required under IFRS 16 to record leases in the balance sheet as a right-of-use asset under "Property, plant and equipment" or "Investment property", and as lease liabilities under "Other liabilities".

On the date of initial recognition, no deferred tax is reported if the value of the asset is equal to the value of the liability. Deferred tax is recorded for subsequent net temporary differences arising from changes in amounts recognized as right-of-use assets and lease liabilities.

At the commencement date, the lessee measures the lease liability at the present value of the lease payments that are not paid at that date.

These payments include fixed lease payments and in-substance fixed lease payments, variable lease payments based on an index or a rate calculated using the latest index or rate in force, any residual value guarantees and, where appropriate, any amount to be paid to the lessor under options that are reasonably certain to be exercised.

Lease payments used to determine the lease liability exclude variable payments that are not based on an index or a rate, taxes such as VAT, whether recoverable or not, and the housing tax.

Right-of-use is recognized as an asset on the commencement date of the lease for an amount equal to the lease liability on that date, adjusted for any payments made to the lessor at or before that date and not taken into account for the measurement of the lease liability, less any lease incentives

received. If appropriate, this amount is adjusted for initial direct costs incurred by the lessee and an estimate of costs to be incurred in dismantling or restoring the asset if required by the terms and conditions of the lease, as long as the outflow of cash is probable and can be determined in a reliable manner.

The right-of-use asset is amortized on a straight-line basis and the lease liability is calculated on an actuarial basis over the term of the lease using the lessees' incremental borrowing rate mid-way through the contract.

The amount of lease liabilities is subsequently readjusted to take into account variations in the indices or rates to which the leases are indexed. As this adjustment reflects the right of use, it has no impact on the income statement.

For entities that are part of the financial solidarity mechanism that centralize their funding with the Group Treasury, the rate is calculated at Group level and adjusted, as applicable, to the currency applicable to the lessee.

The lease term is the non-cancellable period for which a lessee has the right to use an underlying asset, together with the periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option; and the periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option.

For French "3/6/9" commercial leases, the term used is usually nine years. The reasonable certainty of whether the options relating to the lease term will be exercised is assessed by considering Group entities' real estate management strategy.

At the end of the lease, the contract is no longer enforceable and the lessee and the lessor each has the right to terminate the lease without permission from the other party with no more than an insignificant penalty.

The term of leases that are not extended or canceled at the end of the term (leases with automatic renewal) is determined by expert appraisal and, in the absence of specific information, assigned a reasonable term of three years.

For leases recognized in the balance sheet, the expense relating to the lease liability is reported as an interest expense under net banking income while the depreciation expense on the right-of-use asset is recognized as a depreciation expense under gross operating income.

Lease contracts not recognized in the balance sheet and variable payments that are excluded from lease liabilities are recorded as an expense for the period under operating expenses.

Impact of lease contracts on the income statement – lessee*in millions of euros*

	12/31/2020	12/31/2019
EXPENSES FROM LEASE TRANSACTIONS	(276)	(308)
Interest expenses on lease liabilities	(15)	(23)
Depreciation of right-of-use assets	(248)	(276)
Variable lease expenses not included in measurement of lease liabilities	(5)	(1)
Expenses on short-term leases ⁽¹⁾	(7)	(7)
Expenses on underlying assets of low value ⁽¹⁾	(1)	(1)
INCOME FROM SUB-LEASING/OPERATING LEASES	29	13

(1) Related to leases not recognized in the balance sheet.

When the Group sub-lets all or part of an asset it leases, the sub-letting contract is analyzed in substance using the same approach as that applied by lessors who distinguish between operating and finance leases.

Income from such leases is presented using the same approach as lessors: as income from other activities for operating leases and as interest income for finance leases.

Schedule of lease liabilities*in millions of euros*

	12/31/2020	12/31/2019
Amounts of non-discounted future payments	1,210	1,365
< 1 year	258	290
1-5 years	592	720
> 5 years	359	354

Commitments on leases not yet recognized in the balance sheet

In accordance with IFRS 16, future minimum payments relating to leases to which the Group is committed but whose underlying assets have not yet been made available are not recognized on the balance sheet prior to their commencement date. The following table shows the minimum payments expected on these contracts.

in millions of euros

	12/31/2020	12/31/2019
Amounts of non-discounted future payments	361	378
< 1 year		3
1-5 years	104	63
> 5 years	257	312

12.3 RELATED-PARTY TRANSACTIONS

For BPCE SA group, related parties are considered to be all consolidated companies, including companies carried under the equity method, and the Group's key management personnel.

The Social Housing Companies in which the Group is the sole major shareholder are also covered.

12.3.1 TRANSACTIONS WITH CONSOLIDATED COMPANIES

All intercompany transactions carried out during the period and balances outstanding at the end of the period with fully consolidated companies are eliminated in full on consolidation.

The statement below only provides data on intercompany transactions concerning:

- companies over which the Group exercises joint control (joint operations) in respect of the non-eliminated portion: no significant transactions were identified in this category;

- entities over which the Group exercises significant influence and which are equity-accounted (associates). The significant transactions that have been identified were carried out with CNP Assurances group:

- under a sales agreement, the Group received commission income amounting to €1,039 million in 2020 (€1,100 million in 2019),
- for the management of the Group's pension plans, reimbursement rights of €50 million were recorded to cover post-employment benefits (see Note 8.2.2),
- under a partnership agreement that took effect on January 1, 2016, a cash deposit of €11 billion was recorded under "Loans and receivables due from customers" (see Note 9.1.1.4). This cash deposit is backed by technical reserves recognized for an identical amount under liabilities in the balance sheet representing commitments to insured parties. Insurance expenses and income relating to reinsured policies are recorded as "Income and expenses from other activities" (see Note 4.6).

A list of fully consolidated subsidiaries is presented in Note 13, "Scope of consolidation".

12.3.2 TRANSACTIONS WITH COMPANY DIRECTORS

The Group's company directors are the members of the Management Board and Supervisory Board of BPCE. The short-term benefits, post-employment benefits, long-term benefits and termination benefits of BPCE's company directors are described in the "Pay, benefits in kind, loans, guarantees and attendance fees received by BPCE company directors" section of Chapter 3 of the registration document, on Corporate Governance.

Short-term employee benefits

Short-term benefits paid out to the Group's company directors amounted to €7 million in 2020 (vs. €7 million in 2019).

These include remuneration, directors' attendance fees and benefits paid to members of the Management Board and Supervisory Board.

Post-employment benefit commitments, long-term benefits and termination benefits

Post-employment benefit commitments, long-term benefits and termination benefits of the Group's company directors are described in the Chapter 3 on Corporate Governance. The amount provisioned by BPCE SA group in respect of retirement bonuses came to €3 million at December 31, 2020 (€3 million at December 31, 2019).

12.4 PARTNERSHIPS AND ASSOCIATES

Accounting principles: See Note 3

12.4.1 INVESTMENTS IN ASSOCIATES

12.4.1.1 Partnerships and other associates

The Group's main investments in joint ventures and associates are as follows:

<i>in millions of euros</i>	12/31/2020	12/31/2019
CNP Assurances (group) ⁽¹⁾	3,028	2,821
EDF Investments Group (EIG)	521	520
Coface ⁽²⁾	158	///
Socram Banque	40	49
Other	221	252
Financial sector companies	3,969	3,642
Other	133	127
Non-financial companies	133	127
SHARE IN NET INCOME OF ASSOCIATES	4,102	3,769

(1) Application of IFRS 9 (IFRS 4 amendment) postponed to January 1, 2022 (see Note 9 on Insurance activities).

(2) Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3).

12.4.1.2 Financial data for the main joint arrangements and associates

Summarized financial data for material joint ventures and/or companies under notable influence are as follows (based on the last available data published by the entities in question):

<i>in millions of euros</i>	Associates			
	CNP Assurances (group)	Socram Banque	Coface ⁽²⁾	EDF Investment Group (EIG)
DIVIDENDS RECEIVED				11
MAIN AGGREGATES				
Total assets	442,540	1,608	7,553	6,969
Total liabilities	421,860	1,376	5,554	41
Income statement				
Operating income or net banking income	2,307	3	128	202
Income tax	(689)	(1)	(45)	(50)
Net income	1,618	2	83	152
CARRYING VALUE OF INVESTMENTS IN ASSOCIATES				
Equity of associates ⁽¹⁾	20,680	232	1,701	6,927
Percentage ownership	16.11%	12.70%	12.70%	7.54%
VALUE OF INVESTMENTS IN ASSOCIATES	3,028	40	158	521
MARKET VALUE OF INVESTMENTS IN ASSOCIATES	1,458	///	158	521

(1) The equity used by Groupe BPCE to consolidate CNP Assurances (group) via the equity method is subject to restatement (deeply subordinated notes).

(2) Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3). In addition, Coface's equity value was written down by €57 million.

BPCE SA group has no interest in any joint venture that has a material impact on the consolidated financial statements.

Summarized financial data for non-material joint ventures and companies under significant influence at December 31, 2020 is as follows:

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Value of investments in associates	354	779
Total amount of share in:		
Net income	(12)	(17)
Gains and losses recognized directly in other comprehensive income		(9)
COMPREHENSIVE INCOME	(12)	(26)

12.4.1.3 Nature and scope of major restrictions

BPCE SA group has not encountered any major restrictions relating to interests held in associates and joint ventures.

12.4.2 SHARE IN NET INCOME OF ASSOCIATES

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
CNP Assurances (group)	217	227
EDF Investments Group (EIG)	10	10
Coface ⁽¹⁾⁽²⁾	(47)	///
Socram Banque ⁽³⁾	(9)	(25)
Other ⁽⁴⁾	(16)	15
Financial sector companies	155	227
Other	4	4
Non-financial companies	4	4
SHARE IN NET INCOME OF ASSOCIATES	159	231

(1) Coface has been consolidated under the equity method since January 1, 2020 (see Note 1.3).

(2) Net income shown for Coface includes an impairment of -€57 million representing the Group's equity value.

(3) Net income shown for Socram Banque includes the impairment of -€10 million representing the Group's equity value.

(4) Net income from other entities includes an impairment of -€16 million on Adir.

12.4.3 IMPAIRMENT TESTS ON ASSOCIATES

At December 31, 2020, CNP Assurances group was consolidated using the equity method based on the Group's 16.11% holding.

Value in use applied when testing for impairment is based mainly on Market Consistent Embedded Value (MCEV), i.e. the sum of restated net asset value, present value of future profits on existing insurance policies, less cost of capital, without taking new business into account. BPCE's share is based on the latest available MCEV published by CNP at the reporting date.

At December 31, 2020, this test led to no impairment of CNP's equity accounted value.

12.5 INTERESTS IN NON-CONSOLIDATED STRUCTURED ENTITIES

12.5.1 NATURE OF INTERESTS IN NON-CONSOLIDATED STRUCTURED ENTITIES

A non-consolidated structured entity is a structured entity that is not controlled and is therefore not accounted for using the full consolidation method. As a result, the interests held in a joint venture or associate which is classed as a structured entity falls within the scope of this note.

The same is true of controlled structured entities that are not consolidated due to holding threshold reasons.

This includes all structured entities in which BPCE SA group holds an interest and intervenes in one or more of the following capacities:

- originator/structurer/arranger;
- placement agent;
- manager; and
- in any other capacity that has a major impact on the structuring or management of the transaction (e.g. provision of financing, guarantees or structuring derivatives, tax investor, major investor, etc.).

An interest in an entity corresponds to all types of relationships, contractual or not, that expose BPCE SA group to a risk of fluctuations in returns relating to the entity's performance. Interests in another entity may be evidenced by, among others, the holding of equity instruments or debt securities, as well as, by other types of relationships, such as financing, short-term credit facilities, credit enhancement, the provision of guarantees or structured derivatives.

As a result, the following are not included in the scope of this note:

- structured entities which are associated with BPCE SA group through a current transaction alone. This corresponds to an unstructured financial instrument which generally does not have a material impact on the variability of the structured entity's returns and which could be concluded by BPCE SA group with structured entities or classically governed entities alike. The main kinds of current transactions are:
 - plain vanilla fixed income, foreign exchange and other underlying derivatives, as well as securities lending/borrowing and repurchase transactions;
 - plain vanilla guarantees and financing granted to family non-trading real estate companies (SCI) or to certain holdings;

- external structured entities in which BPCE SA group simply acts as an investor.

These consist of:

- investments in external UCITS that the Group does not manage, except for those in which the Group owns almost all the shares;
- a limited scope of interests held in securitization vehicles (exposures on these funds are included in the information published in Chapter 6 "Risk Management – Securitizations"); and
- interests held in external real estate funds or private equity funds in which BPCE SA group acts as a simple minority investor.

The structured entities with which the Group has a relationship can be divided into four categories: entities involved in asset management, securitization vehicles, entities created for structured financing purposes, and entities created for other types of transactions.

Asset Management

Financial asset management (also known as portfolio management) consists of managing equity or funds entrusted by investors by investing in equities, bonds, cash SICAV or hedge funds, etc.

The Asset Management line of business which uses structured entities is represented by collective investment management or fund management. More specifically, it encompasses collective investment vehicles within the meaning of the French Monetary and Financial Code (other than securitization structures) as well as equivalent bodies governed by foreign law. These notably include entities such as UCITS, real estate funds and private equity funds.

Securitization

Securitization transactions are generally established as structured entities in which assets or derivatives representing credit risk are isolated.

These entities serve to diversify the underlying credit risks and to split them into various levels of subordination (tranches) with a view, generally, to sell them to investors seeking a certain level of return, according to the degree of risk accepted.

These vehicles' assets and the liabilities that they issue are rated by the rating agencies, which monitor that the level of risk associated with each tranche of risk sold is commensurate with the attributed rating.

The kind of securitization transactions used and which require the intervention of structured entities are as follows:

- transactions where the Group (or a subsidiary) sells on its own behalf to a dedicated vehicle, in cash or synthetic form, the credit risk associated with one of its asset portfolios;
- securitization transactions performed on behalf of third parties. These transactions consist of housing in a dedicated structure (generally a Special Purpose Entity (SPE)) the assets belonging to another company. The SPE issues shares that can, in certain cases, be subscribed for directly by investors, or subscribed for by a multi-seller conduit which refinances the acquisition of these shares through the issue of short-term notes (commercial paper).

Structured financing (of assets)

Structured financing covers the range of activities and products set up to provide financing to economic players while reducing risks through the use of complex structures. These include the financing of movable assets (pertaining to aeronautic, marine or terrestrial transport, telecommunications, etc.), real estate assets and the acquisition of targeted companies (LBO financing).

The Group may need to create a structured entity that houses a specific financing transaction on behalf of a customer. This is a contractual and structural organization. The particularities of these types of financing are related to risk management, with the use of notions such as limited recourse or waivers of recourse, standard and/or structural subordination and the use of dedicated legal vehicles used in particular to carry a single-contract finance lease representing the financing granted.

Other activities

This comprises all remaining activities.

12.5.2 NATURE OF RISKS ASSOCIATED WITH INTERESTS HELD IN NON-CONSOLIDATED STRUCTURED ENTITIES

Assets and liabilities recognized in the Group's various balance sheet accounts relating to interests in non-consolidated structured entities contribute to determining the risks associated with these entities.

The values recorded under the balance sheet assets, along with financing and guarantee commitments given less guarantee commitments received and provisions recorded in liabilities, are used to assess the maximum exposure to risk of losses.

The "notional amounts" line corresponds to the notional amount of options sold to structured entities.

The data are presented below, aggregated based on their activity classification.

At December 31, 2020

Excluding insurance business investments
in millions of euros

	Securitization	Asset Management	Structured Financing	Other activities
Financial assets at fair value through profit or loss	214	1,762	1,309	592
Trading derivatives	112	42	455	517
Trading financial instruments (excluding derivatives)	48	29	640	63
Financial assets at fair value through profit or loss – Non-SPPI	49	1,408	209	
Financial instruments designated at fair value through profit or loss		13		
Equity instruments not held for trading	5	270	4	12
Financial assets at fair value through other comprehensive income			3	
Financial assets at amortized cost	6,255	984	11,645	824
Other assets	15	37	19	6
TOTAL ASSETS	6,484	2,783	12,976	1,422
Financial liabilities at fair value through profit or loss	10	82	140	249
Provisions	5	1	15	2
TOTAL LIABILITIES	15	82	155	252
Loan commitments given	7,089	274	2,064	418
Guarantee commitments given⁽¹⁾	161	160	3,098	84
Guarantees received	233		4,127	27
Notional amount of derivatives	1,200		6,556	281
MAXIMUM LOSS EXPOSURE	14,696	3,216	20,553	2,176

(1) For the Asset Management activity, Natixis guarantees the capital and/or returns on units in certain UCITS. These guarantees were recognized as derivatives at December 31, 2020 (see Note 6.2, Guarantee commitments).

At December 31, 2019

Excluding insurance business investments

in millions of euros

	Securitization	Asset Management	Structured Financing	Other activities
Financial assets at fair value through profit or loss	711	1,632	1,224	598
Trading derivatives	131	109	312	456
Trading financial instruments (excluding derivatives)	497	445	689	128
Financial assets at fair value through profit or loss – Non-SPPI	78	1,016	216	
Financial instruments designated at fair value through profit or loss				
Equity instruments not held for trading	4	63	7	14
Financial assets at fair value through other comprehensive income			3	0
Financial assets at amortized cost	6,384	1,254	11,761	708
Other assets	18	43	7	6
TOTAL ASSETS	7,113	2,929	12,996	1,313
Financial liabilities at fair value through profit or loss	54	90	903	182
Provisions	2		15	2
TOTAL LIABILITIES	56	91	918	184
Loan commitments given	5,554	246	2,792	394
Guarantee commitments given	225	205	3,400	11
Guarantees received	243		3,899	28
Notional amount of derivatives	1,190		5,043	377
MAXIMUM LOSS EXPOSURE	13,835	3,380	20,316	2,065

At December 31, 2020

Insurance business investments

in millions of euros

	Securitization	Asset Management	Other activities
Financial assets at fair value through profit or loss		12,641	
Trading financial instruments (excluding derivatives)		5,334	
Financial instruments designated at fair value through profit or loss		7,307	
Available-for-sale financial assets	498	4,975	
TOTAL ASSETS	498	17,616	
TOTAL LIABILITIES			
Loan commitments given	55	510	
MAXIMUM LOSS EXPOSURE	553	18,126	

At December 31, 2019

Insurance business investments

in millions of euros

	Securitization	Asset Management	Other activities
Financial assets at fair value through profit or loss		8,594	
Trading financial instruments (excluding derivatives)		2,202	
Financial instruments designated at fair value through profit or loss		6,392	
Available-for-sale financial assets	557	3,809	
TOTAL ASSETS	557	12,403	
TOTAL LIABILITIES			
Loan commitments given	53	297	
MAXIMUM LOSS EXPOSURE	611	12,700	

At December 31, 2020*in millions of euros*

	Securitization	Asset Management	Structured Financing	Other activities
Size of structured entities	79,652	304,778	82,673	952

At December 31, 2019*in millions of euros*

	Securitization	Asset Management	Structured Financing	Other activities
Size of structured entities	66,590	289,721	83,507	792

Securitization transactions in which BPCE SA group is simply an investor are listed in the Risk Management – Securitizations section of Chapter 6.

The size criterion used varies according to the types of structured entities:

- securitization, the total amount of issues recorded in the entities' liabilities;
- Asset Management: the net assets of collective investment vehicles (other than securitization);
- structured financing: the total amount of financing outstandings remaining due by the entities to all banks;
- other activities, total assets.

12.5.3 INCOME AND CARRYING AMOUNT OF ASSETS TRANSFERRED TO SPONSORED NON-CONSOLIDATED STRUCTURED ENTITIES

A structured entity is sponsored by a Group entity when the following two indicators are both satisfied:

- it is involved in the creation and structuring of the structured entity;

- it contributes to the success of the entity by transferring assets to it or by managing relevant activities.

When the Group entity's role is limited to one of advisor, arranger, custodian or placement agent, the structured entity is not considered to be sponsored.

BPCE SA group plays the role of sponsor for:

- UCITS initiated by an investment management company belonging to BPCE SA group and in which BPCE SA group holds no investment or any other interest. Reported income includes management and incentive fees charged by BPCE SA group entities, as well as profit or loss from ordinary business with these funds;
- a US activity involving the origination and disposal of portfolios of home loans to securitization vehicles created by the Natixis group with third parties and in which Natixis group holds no interests. Reported income includes structuring fees as well as gains or losses on the disposal of receivables.

For the non-consolidated structured entities that the Group sponsors without holding any interests, the impact on the financial statements is presented below:

Fiscal year 2020*in millions of euros*

	Securitization	Asset Management
Income from entities	18	126
Net interest income	3	
Net fee and commission income	1	139
Net gains or losses on financial instruments at fair value through profit or loss	14	(13)
Carrying amount of assets transferred to the entity during the fiscal year	252	

Fiscal year 2019*in millions of euros*

	Securitization	Asset Management
Income from entities	32	185
Net interest income	1	
Net fee and commission income	(1)	142
Net gains or losses on financial instruments at fair value through profit or loss	31	43
Carrying amount of assets transferred to the entity during the year	948	

12.6 STATUTORY AUDITORS' FEES

Fees in respect of duties carried out by the Statutory Auditors, and by their networks, responsible for auditing BPCE SA group's financial statements in respect of the 2019 and 2020 fiscal years were as follows:

	PwC				Mazars				Deloitte				Total			
	Amount		%		Amount		%		Amount		%		Amount		%	
<i>in thousands of euros⁽¹⁾</i>	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019
Certification of financial statements	11,619	10,652	76%	74%	3,610	2,868	73%	59%	7,072	8,946	78%	70%	22,300	22,466	76%	70%
Issuer	638	604			633	589			625	582			1,896	1,775		
Fully consolidated subsidiaries	10,981	10,048			2,977	2,279			6,447	8,364			20,404	20,691		
Services other than financial statement certification⁽²⁾	3,736	3,648	24%	26%	1,332	2,028	27%	41%	1,986	3,781	22%	30%	7,054	9,457	24%	30%
Issuer	852	202			201	164			374	971			1,427	1,337		
Fully consolidated subsidiaries	2,884	3,446			1,131	1,864			1,612	2,810			5,627	8,120		
TOTAL	15,355	14,300	100%	100%	4,942	4,896	100%	100%	9,057	12,727	100%	100%	29,354	31,923	100%	100%
<i>o/w fees paid to commissioned Statutory Auditor for certification of financial statements of consolidating entities</i>	7,237	9,739			2,607	2,320			3,229	1,730			13,072	13,789		
<i>o/w fees paid to commissioned Statutory Auditor for services other than certification of financial statements of consolidating entities</i>	852	675			309	1,417			769	3,019			1,930	5,111		
Change (as a %)	7%				1%				(29%)				(8%)			

(1) Amounts relating to services provided appear on the income statement for the fiscal year, notably including unrecoverable VAT.

(2) In 2020, "services other than certification of the financial statements" mainly concerned assignments carried out at the request of BPCE, in particular for work relating to appraisal contributions (€1.3 million) and letters of comfort relating to issuances (€0.4 million) as well as assignments carried out at the request of Natixis SA and its subsidiaries (€4.2 million), in particular support assignments on the compliance of systems set up (€1.7 million), tax assignments outside the European Union (€0.7 million), technical assistance assignments (€0.6 million), other assignments (€0.8 million) including a GIPS - Global Investment Performance Standard assignment on NIM entities (€0.2 million), and an RRP - Regulation and Prudential Ratios - project assignment on Natixis Paris (€0.15 million) and comfort letters relating to issuances (€0.23 million).

Note 13 Details of the scope of consolidation

13.1 SECURITIZATION TRANSACTIONS

Accounting principles

Securitization is a financial engineering technique that aims to enhance balance sheet liquidity. From a technical perspective, assets to be securitized are grouped according to the quality of the associated collateral or guarantees, and sold to special purpose entities that finance their acquisition by issuing securities underwritten by investors.

Entities created specifically for this purpose are consolidated if the Group exercises control over them. Control is assessed according to the criteria provided in IFRS 10.

SECURITIZATION TRANSACTIONS WITHIN GROUPE BPCE

In 2020, a new ad hoc entity (Fonds Communs de Titrisation or "FCT") was consolidated within the BPCE SA group:

- BPCE Financement Purple Master Credit Cards (PuMaCC), resulting from a Group securitization operation by BPCE Financement for BPCE SA group on October 26, 2020. Under this transaction €768 million of renewable loans were ceded to FCT PuMaCC 2020 and third-party investors subscribed for €550 million of senior debt issued by the FCT.

Despite the placement in the market, this transaction does not lead to deconsolidation since the entities that transferred the loans subscribed for subordinated securities and residual shares. They therefore retain control within the meaning of IFRS 10.

SECURITIZATION TRANSACTIONS CARRIED OUT WITH FULL OR PARTIAL DERECOGNITION

Note: Crédit Foncier has entered into two public securitizations backed by home loans (Crédit Foncier Home Loans No. 1 in May 2014 and Crédit Foncier Home Loans No. 2 in August 2015).

As a receivables manager, Crédit Foncier does not have the ability to use its power to influence the variability of returns. Therefore, it does not control the securitization funds within the meaning of IFRS 10, and the funds are not consolidated.

However, given its ongoing ties with CFHL-2, the criteria needed to establish full derecognition of assets under IFRS 9 are not entirely met. As a result, the transaction leads to deconsolidation in accordance with IFRS 10, and to partial derecognition in accordance with IFRS 9.

The CFHL-2 assets transferred are recognized in proportion to Crédit Foncier's continued involvement. As a result, the Group continues to recognize the maximum loss associated with each of the residual ties to the fund (swaps, clean-up calls, management fees) in balance sheet assets.

These adjustments led to the recognition of total assets of €89 million and total liabilities of €5 million at December 31, 2020.

The fair value of these residual ties is remeasured at each reporting date.

At December 31, 2020, the net impact of the CFHL-2 transactions was +€7 million.

13.2 GUARANTEED UCITS

Guaranteed UCITS are funds designed to reach a specific amount at the end of a given period, determined by applying a predefined calculation formula based on financial market indicators and, where appropriate, to distribute revenues derived from the investments as determined using the same methods. The portfolio management targets of these funds are guaranteed by a credit institution.

Based on an analysis of the substance of these funds in accordance with IFRS 10, the Group does not control relevant activities (as management flexibility is limited) and is not exposed to variable returns (as a solid risk monitoring system has been implemented) and therefore does not consolidate these structures.

13.3 OTHER INTERESTS IN CONSOLIDATED SUBSIDIARIES AND STRUCTURED ENTITIES

MAJOR RESTRICTIONS

The Group has not been faced with any major restrictions relating to stakes held in its structured or non-structured subsidiaries.

SUPPORT OF CONSOLIDATED STRUCTURED ENTITIES

The Group did not grant any financial support to consolidated structured entities.

13.4 SCOPE OF CONSOLIDATION AT DECEMBER 31, 2020

Only those entities providing a material contribution are consolidated. For entities meeting the definition of financial sector entities given in Regulation (EU) No. 575/2013 of the European Parliament and of the Council of June 26, 2013 (the CRR), the accounting consolidation thresholds have been aligned, since December 31, 2017, with those applied for the prudential scope of consolidation. Article 19 of the CRR sets a threshold of €10 million in total balance sheet and off-balance sheet assets. For non-financial sector entities, materiality is assessed at the level of the consolidated entities. Based on the principle of ascending materiality, any entity included at a sub-consolidation level is included at all higher consolidation levels, even if it is not material at those levels.

The percentage interest is specified for each entity in the scope of consolidation. The percentage of interest describes the share of equity held by the Group, either directly or indirectly, in companies within the scope. The percentage of interest can be used to determine the share attributable to equity holders of the parent in the net assets of the company held.

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
I) CONSOLIDATING ENTITY				
BPCE SA	Credit institution	FR	100%	FC
II) SUBSIDIARIES OF BPCE SA				
ALBIANT-IT	IT systems and software consulting	FR	98%	FC
BATILEASE	Real estate leasing	FR	100%	FC
BPCE ACHATS	Services company	FR	56%	FC
BPCE BAIL	Real estate leasing	FR	100%	FC
BPCE CAR LEASE	Operational vehicle leasing	FR	100%	FC
BPCE ENERGECO	Non-real estate leasing	FR	100%	FC
BPCE EXPERTISE IMMOBILIER (ex CRÉDIT FONCIER EXPERTISE)	Real estate valuation	FR	100%	FC
BPCE FACTOR	Factoring	FR	100%	FC
BPCE FINANCEMENT	Consumer finance	FR	100%	FC
BPCE INFOGÉRANCE ET TECHNOLOGIE	IT services	FR	55%	FC
BPCE LEASE	Non-real estate leasing	FR	100%	FC
BPCE LEASE IMMO	Real estate leasing	FR	100%	FC
BPCE LEASE MADRID – Branch	Non-real estate and real estate leasing	ES	100%	FC
BPCE LEASE MILAN – Branch	Non-real estate and real estate leasing	IT	100%	FC
BPCE LEASE NOUMÉA	Non-real estate leasing	NC	99%	FC
BPCE LEASE RÉUNION	Non-real estate leasing	RE	100%	FC
BPCE LEASE TAHITI	Non-real estate leasing	PF	100%	FC
BPCE MASTER HOME LOANS FCT/BPCE CONSUMER LOANS FCT	French securitization fund (FCT)	FR	100%	FC
BPCE PERSONAL CAR LEASE	Operational vehicle leasing	FR	100%	FC
BPCE SERVICES FINANCIERS (ex CSF-GCE)	Services company	FR	38%	EQ
BPCE SFH	Funding	FR	100%	FC
BPCE SOLUTIONS CRÉDIT (EX GIE ÉCUREUIL CRÉDIT)	Services company	FR	82%	FC
BPCE SOLUTIONS IMMOBILIÈRES (ex CRÉDIT FONCIER IMMOBILIER)	Real estate operations	FR	100%	FC
CNP ASSURANCES (GROUP)	Insurance	FR	16%	EQ
CICOBAIL SA	Real estate leasing	FR	100%	FC
CLICK AND TRUST	Data processing	FR	34%	EQ
CO ASSUR CONSEIL ASSURANCE SA (BROKERAGE)	Insurance brokerage advisory	FR	100%	FC
COMPAGNIE EUROPÉENNE DE GARANTIES ET DE CAUTIONS	Insurance	FR	100%	FC
ESNI	Securitization company	FR	100%	FC
FCT PUMACC	Consumer credit securitization vehicle	FR	100%	FC
FIDOR BANK AG ⁽⁴⁾	Digital loan institution	DE	100%	FC
GCE PARTICIPATIONS	Holding company	FR	100%	FC
GIE CE SYNDICATION RISQUES	Guarantee company	FR	41%	EQ
NATIXIS GROUP ⁽³⁾		FR	71%	FC
INFORMATIQUE BANQUES POPULAIRES	IT services	FR	30%	EQ
INTER-COOP SA	Real estate leasing	FR	100%	FC
IT-CE	IT services	FR	34%	EQ
LEASE EXPANSION SA	IT operational leasing	FR	100%	FC
MAISON FRANCE CONFORT PROU INVESTISSEMENTS	Real estate development	FR	49%	EQ
MIDT FACTORING A/S	Factoring	DK	100%	FC
MIFCOS	Investment property	FR	100%	FC
SEREXIM	Real estate valuation	FR	100%	FC
SOCFIM	Credit institution	FR	100%	FC
SOCFIM PARTICIPATIONS IMMOBILIÈRES	Holding company	FR	100%	FC
SOCRAM BANQUE	Credit institution	FR	33%	EQ

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
SPORTS IMAGINE	Services company	FR	100%	FC
SUD OUEST BAIL SA	Real estate leasing	FR	100%	FC
SURASSUR	Reinsurance	LU	99%	FC
ONEY Group				
ONEY BANK	Holding company	FR	50%	FC
	Credit institution, electronic payment systems, new technologies and holding company			
FLANDRE INVESTMENT SAS		FR	50%	FC
ONEY SERVICIOS FINANCIEROS EFC SAU (SPAIN)	Brokerage	ES	50%	FC
BA FINANS (RUSSIA)	Brokerage and banking	RU	50%	FC
ONEY PENZFORGALMI SZOLGALTATO KFT.	Financial institution	HU	50%	FC
ONEY MAGYARORSZAG ZRT	Financial institution	HU	50%	FC
	Credit institution, electronic payment systems, new technologies and holding company			
GEFIRUS SAS		FR	50%	FC
	Credit institution, electronic payment systems, new technologies and holding company			
IN CONFIDENCE INSURANCE SAS		FR	50%	FC
ONEY HOLDING LIMITED (MALTA)	Holding company	MT	50%	FC
ONEY LIFE (PCC) LIMITED (MALTA)	Insurance	MT	50%	FC
ONEY INSURANCE (PCC) LIMITED (MALTA)	Insurance	MT	50%	FC
ONEY POLSKA	Brokerage, financial institution	PL	50%	FC
ONEY SERVICES SP ZOO	Brokerage, financial institution	PL	50%	FC
ONEY FINANCES (ROMANIA)	Brokerage	RO	50%	FC
SMARTNEY	Brokerage and banking	PL	50%	FC
ONEY BRANCH (PORTUGAL)	Brokerage	PT	50%	FC
	Credit institution, electronic payment systems, new technologies and holding company			
ONEYTRUST SAS		FR	50%	FC
ONEY SPA (ITALY)	Brokerage	IT	50%	FC
ONEY UKRAINE (UKRAINE)	Brokerage	UA	50%	FC
REP OFFICE CHINA	Brokerage	CN	50%	FC
	Services, business development consulting			
ONEY GmbH		DE	50%	FC
Groupe BPCE International				
	Non-real estate and real estate leasing			
ARAB INTERNATIONAL LEASE ⁽⁴⁾		TN	57%	FC
BANQUE TUNISO KOWEÏTIENNE ⁽⁴⁾	Credit institution	TN	60%	FC
BPCE INTERNATIONAL	Specialized credit institution	FR	100%	FC
BPCE INTERNATIONAL HO CHI MINH CITY (Vietnam branch)	Specialized credit institution	VN	100%	FC
BPCE MAROC	Real estate development	MA	100%	FC
EL ISTIFA ⁽⁴⁾	Debt collection	TN	60%	FC
FRANSA BANK	Credit institution	FR	21%	EQ
MEDAI SA ⁽⁴⁾	Real estate development	TN	67%	FC
	Financial investment advisory services			
OCÉORANE		MQ	100%	FC
	International development and consulting services			
PRAMEX INTERNATIONAL		FR	100%	FC
	International development and consulting services			
PRAMEX INTERNATIONAL AP LTD – HONG KONG		HK	100%	FC
	International development and consulting services			
PRAMEX INTERNATIONAL AU CASABLANCA		MA	100%	FC

Company	Activity	Location ⁽¹⁾	Ownership interest	Statutory method of consolidation ⁽²⁾
PRAMEX INTERNATIONAL CO LTD – SHANGHAI	International development and consulting services	CN	100%	FC
PRAMEX INTERNATIONAL CONSULTING PRIVATE LTD – MUMBAI	International development and consulting services	IN	100%	FC
PRAMEX INTERNATIONAL CORP – NEW YORK	International development and consulting services	US	100%	FC
PRAMEX INTERNATIONAL DO BRAZIL CONSULTARIA LTDA – SAO PAULO	International development and consulting services	BR	100%	FC
PRAMEX INTERNATIONAL GmbH – FRANKFURT	International development and consulting services	DE	100%	FC
PRAMEX INTERNATIONAL LTD – LONDON	International development and consulting services	GB	100%	FC
PRAMEX INTERNATIONAL PTE LTD – SINGAPORE	International development and consulting services	SG	100%	FC
PRAMEX INTERNATIONAL SRL – MILAN	International development and consulting services	IT	100%	FC
PRAMEX INTERNATIONAL SA – MADRID	International development and consulting services	ES	100%	FC
PRAMEX INTERNATIONAL SARL – TUNIS	International development and consulting services	TN	100%	FC
PRAMEX INTERNATIONAL SP. ZOO – WARSAW	International development and consulting services	PL	100%	FC
SOCIÉTÉ DU CONSEIL ET DE L'INTERMÉDIATION FINANCIÈRE ⁽⁴⁾	Financial investment advisory services	TN	48%	FC
SOCIÉTÉ TUNISIENNE DE PROMOTION DES PÔLES IMMOBILIERS ET INDUSTRIELS ⁽⁴⁾	Real estate development	TN	18%	EQ
TUNIS CENTER ⁽⁴⁾	Real estate development	TN	14%	FC
UNIVERS INVEST (SICAR) ⁽⁴⁾	Private equity	TN	52%	FC
UNIVERS PARTICIPATIONS (SICAF) ⁽⁴⁾	Private equity	TN	60%	FC
Crédit Foncier group				
BANCO PRIMUS	Credit institution	PT	100%	FC
BANCO PRIMUS Spain	Credit institution	ES	100%	FC
CFG COMPTOIR FINANCIER DE GARANTIE	Guarantee company	FR	100%	FC
COFIMAB	Real estate agent	FR	100%	FC
COMPAGNIE DE FINANCEMENT FONCIER	Financial company	FR	100%	FC
CRÉDIT FONCIER DE FRANCE	Credit institution	FR	100%	FC
Crédit Foncier de France – Belgium branch	Credit institution	BE	100%	FC
FONCIER PARTICIPATIONS	Holding company	FR	100%	FC
FONCIÈRE D'ÉVREUX	Real estate operations	FR	100%	FC
GRAMAT BALARD	Real estate operations	FR	100%	FC
SOCIÉTÉ D'INVESTISSEMENT ET DE PARTICIPATION IMMOBILIÈRE (SIPARI)	Holding company	FR	100%	FC
Banque Palatine group				
ARIES ASSURANCES	Insurance brokerage	FR	100%	FC
BANQUE PALATINE	Credit institution	FR	100%	FC
CONSERVATEUR FINANCE	Fund management	FR	20%	EQ
PALATINE ASSET MANAGEMENT	Asset Management	FR	100%	FC

(1) Country of location: BE: Belgium – BR: Brazil – CN: China – DE: Germany – DK: Denmark – ES: Spain – FR: France – GB: United Kingdom of Great Britain and Northern Ireland – HK: Hong Kong – HU: Hungary – IN: India – IT: Italy – LU: Luxembourg – MA: Morocco – MT: Malta – MQ: Martinique – NC: New Caledonia – PF: French Polynesia – PL: Poland – PT: Portugal – RE: Reunion – SG: Singapore – RO: Romania – TN: Tunisia – RU: Russian Federation – UA: Ukraine – US: United States – VN: Vietnam.

(2) Consolidation method: FC Full consolidation, EQ Equity method, JA Joint activities.

(3) Naxis group comprises 258 fully-consolidated entities and 79 entities consolidated using the equity method. Its main subsidiaries are: Coface (72 entities consolidated using the full consolidation method), Natixis Investment Managers, Natixis North America LLC, Natixis Private Equity.

(4) Entities recognized under IFRS 5 at December 31, 2020.

13.5 NON-CONSOLIDATED COMPANIES AT DECEMBER 31, 2020

ANC Regulation No. 2016-09 of December 2, 2016 requires companies that prepare their consolidated financial statements in accordance with international standards as adopted by the European Union to publish additional information relating to companies not included in their scope of consolidation as well as significant equity interests.

Non-consolidated companies include:

- significant interests that do not fall within the scope of consolidation; and
- companies excluded from the scope of consolidation owing to their non-material nature.

The main significant interests that do not fall within the scope of consolidation, and details of the share of equity held either directly or indirectly by the Group, are as follows:

Company	Location	Share of equity held	Reason for non-consolidation	Amount of shareholders' equity ⁽¹⁾ (in millions of euros)	Amount of the result (in millions of euros)
CILOGER 2 OPCl	France	10.21%	Holding not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	81	10
FIDEPPP 2	France	12.50%	Holding not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	104	(1)
SYSTEME TECHNOLOGIQUE ECHGE ET TRAIT	France	15.04%	Holding not consolidated because the Group does not exercise control, joint control or significant influence (including tax optimization structures)	108	8

(1) Amount of shareholders' equity and income for the last fiscal year known at the balance sheet date and based on applicable accounting standards according to the country of location.

Information relating to companies excluded from the scope of consolidation owing to their non-material nature is available on the website of Groupe BPCE at the following address: <https://groupebpce.com/en/investors/regulated-information>.

5.4 Statutory Auditors' report on the consolidated financial statements

This is a free translation into English of the Statutory Auditors' report issued in French and is provided solely for the convenience of English speaking readers. This report includes information specifically required by European regulations or French law, such as information about the appointment of Statutory Auditors. This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

(For the year ended December 31, 2020)

To the Annual General Shareholders' Meeting,

Groupe BPCE SA

50 avenue Pierre Mendès France

75201 Paris cedex 13

I. OPINION

In compliance with the engagement entrusted to us by your Annual General Meeting, we have audited the accompanying consolidated financial statements of Groupe BPCE SA for the year ended December 31, 2020.

In our opinion, the consolidated financial statements give a true and fair view of the assets and liabilities and of the financial position of the Group as at December 31, 2020 and of the results of its operations for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union.

The audit opinion expressed above is consistent with our report to the Audit Committee.

II. BASIS FOR OPINION

AUDIT FRAMEWORK

We conducted our audit in accordance with professional standards applicable in France. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under those standards are further described in the "Statutory Auditors' Responsibilities for the Audit of the Consolidated Financial Statements" section of our report.

INDEPENDENCE

We conducted our audit engagement in compliance with independence requirements of the French Commercial Code (*Code de commerce*) and the French Code of Ethics (*Code de déontologie*) for statutory auditors, for the period from January 1st, 2020 to the date of our report and specifically we did not provide any prohibited non-audit services referred to in Article 5(1) of Regulation (EU) No 537/2014.

Furthermore, the non-audit services that we provided to your Company and its controlled undertakings during the financial year that are not disclosed in the management report or in the notes to the consolidated financial statements are as follows:

- Deloitte & Associés: the main engagements conducted in fiscal year 2020 concerned certification, specified procedures, comfort letters issued in connection with issuance programs, reviews of compliance procedures and the achievement of attestations and missions of independent third party on the CSR information of the management report.
- Mazars: the main assignments carried out in the 2020 financial year concerned methodological review missions in support of the Risk Department and the Natixis MRM department, on the one hand and comfort letters issued in connection with issuance programs and CSR missions on the other hand.
- PricewaterhouseCoopers Audit: the main engagements conducted in fiscal year 2020 concerned certification, reviews of compliance procedures, services provided as part of restructuring measures, comfort letters issued in connection with issuance programs, tax consultations and CSR missions.

III. EMPHASIS OF MATTER

Without qualifying the opinion expressed above, we draw your attention to the matter described in Note 5.2.3 to the consolidated statements regarding the change in presentation of option premiums.

JUSTIFICATION OF ASSESSMENTS - KEY AUDIT MATTERS

Due to the global crisis related to the Covid-19 pandemic, the financial statements of this period have been prepared and audited under specific conditions. Indeed, this crisis and the exceptional measures taken in the context of the state of sanitary emergency have had numerous consequences for companies, particularly on their operations and their financing, and have led to greater uncertainties on their future prospects. Those measures, such as travel restrictions and remote working, have also had an impact on the companies' internal organization and the performance of the audits.

In this complex and evolving context and in accordance with the requirements of Articles L. 823-9 and R. 823-7 of the French Commercial Code (*Code de commerce*) relating to the justification of our assessments, we inform you of the key audit matters relating to risks of material misstatement that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period, as well as how we addressed those risks.

These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on specific items of the consolidated financial statements.

Impairment of loans and receivables (stages 1, 2 and 3)



Risk identified and main judgements

The Groupe BPCE SA is exposed to credit risk. This risk results from the inability of one of its clients or counterparties to honor their financial commitments, in particular, covering their loan activities.

In accordance with the "impairment" aspect of IFRS 9, your Group records impairments and provisions intended to cover expected (Stages 1 and 2 loans) or proven (Stage 3 loan) losses.

Impairment for expected losses (Stages 1 and 2) is mainly determined based on models developed by BPCE integrating different inputs (probability of default, loss rate in the event of default, PD, LGD forward-looking information...), in addition to, if necessary, sectoral-based charges based on local specificities.

The Covid-19 pandemic led to health and economic crisis which affect the ability of borrowers to reimburse their loans, with contrasted situations depending on geographic zones and lines of business. In response to this crisis, government measures specific to each country have been deployed (partial unemployment, state-guaranteed loans, moratoriums, etc.).

In this context of strong uncertainty due to the evolving nature of the pandemic and the lack of historical comparatives, the modalities of the impairment for expected losses calculation have known some adjustments, presented in Note 1.5.2.1 to the consolidated statements. These expected credit losses are supplemented when needed with sector-based impairments, taking into account local particularities.

Loan outstandings having a proven counterparty risk (Stage 3) are mainly impaired on an individual basis. These impairments are assessed by Management depending on estimated future recoverable cash flows for each loan concerned.

We considered the identification and assessment of credit risk to be a key audit matter for the fiscal year 2020, in the context of the Covid-19 crisis, given that the provisions resulting therefrom represent significant estimates for the preparation of the accounts and requires Management to exercise judgement with respect to classifying the loan outstandings in the different stages, determining the Stage 1 and 2 impairment calculation inputs and methods and the assessment of the amount of provisioning for Stage 3 loan outstandings on an individual basis.

Exposures to credit and counterparty risk on which IFRS 9 impairments are calculated represent approximately 42% of total assets of Groupe BPCE SA at December 31, 2020 (438% and €324 billion of gross outstandings only for loans and receivables).

The impairment on outstanding and related loans amounts to €3.3 billion of which €0.2 billion for Stage 1, €0.4 billion for Stage 2, €2.6 billion for Stage 3. The cost of risk for fiscal year 2020 amounts to €1.2 billion.

For more information on accounting principles and exposures, please see Notes 5.5 and 7.1 to the consolidated financial statements.

The impacts of the Covid-19 crisis on credit risk are mentioned in Note 1.5.2.1 to the consolidated financial statements.



Our response

Our work has been reinforced to take into account the evolution of risks and an increased level of uncertainty. In this context, we have assessed the adequation of the coverage of credit risk and the overall level of cost of risk, as well as the appropriateness of the internal control framework, in particular the adjustments made in response to the crisis context.

Impairment of Stage 1 and Stage 2 outstanding loans

Our work mainly consisted in:

- verifying the existence of an internal control governing the validation of internal models and the definition of the inputs used in the calculation of impairment and analyzing the impairment evolutions;
- controlling methodological evolutions and adjustments to the expected credit losses calculations in the context of the Covid-19 crisis;
- assessing the relevance of the inputs used for the impairment calculations at December 31;
- redoing the calculations on the main loan portfolios;
- evaluate the internal control system governing the validation of internal models and the definition of the inputs used in the calculation of impairment;
- realizing controls on the Groupe BPCE IT framework, including the review of IT General Controls, interfaces and embedded controls regarding specific data used in processing IFRS9 information;
- reviewing the updating measures for local sectoral provisions, when necessary.

Impairment of Stage 3 loans outstanding

As part of our audit procedures, we generally reviewed the internal controls related to identifying exposures, monitoring credit and counterparty risk, assessing non-recovery risk and determining related impairment and provisions on an individual basis.

Our procedures consisted in assessing the quality of the measures for monitoring sensitive, doubtful and litigious counterparties; the loan review process. Furthermore, based on a sampling of files selected using materiality and risk criteria, we redid the calculations for the provision amounts.

We have also assessed the relevance of the disclosures set forth in the notes required by the IFRS 9 standard with respect to credit risk in the evolving context of the pandemic, in particular disclosures required by the IFRS 7 standard.

Level 2 and 3 financial instruments under IFRS 13



Risk identified and main judgements

The Groupe BPCE SA holds a substantive part of financial instruments which are recognized in the balance sheet at fair value. They are allocated to three levels defined by IFRS 13 depending on the fair value measurement method used.

Market value is determined according to different approaches depending on the nature and complexity of the instruments: use of listed prices observable on the market (level 1 financial instruments in the fair value hierarchy), use of valuation models based on significant inputs observable on the market (level 2 financial instruments) and use of valuation models based on significant inputs unobservable in the market (level 3 financial instruments).

The valuation of levels 2 and 3 financial instruments at fair value relies on valuation techniques that use significant judgement regarding the choice of methodologies used:

- determination of valuation inputs unobservable on the market;

- use of internal valuation models;
- additional valuation adjustments made, to reflect certain market, counterparty or liquidity risks.

We deemed the valuation of complex financial instruments, especially financial instruments classified in levels 2 and 3 to be a key audit matter due to significant expositions and judgment in the determination of fair value, especially for certain typologies of financial instruments in the evolving economic context linked to the health crisis.

For more details on accounting principles and fair value hierarchy of financial instruments, see note 10 to the consolidated financial statements.

The impacts of the Covid-19 crisis on the fair value of financial assets are mentioned in Note 1.5.2.2 to the consolidated financial statements.



Our response

We reviewed the internal control procedures relating to the determination, valuation and recording of complex financial instruments classified at fair value in levels 2 and 3.

We interviewed the Risk, Compliance and Permanent Control division and we acknowledge reporting and memos of Committees from this department (in conjunction with our Audit team at Natixis, contributor to this topic).

We tested the controls that we deemed relevant to our audit, including those relating to:

- the approval and regular review by Management of the risks of the valuation models;
- the independent verification of the valuation inputs;
- the determination of value adjustments as well as corrections added in the value;
- the approval and regular review of observability criteria used in the classification of each operation as observable/unobservable;

- the classification of financial instruments according to the fair value hierarchy.

We performed these procedures with the assistance of our valuation experts, with whom we also made counter valuation work. Based on sampling, our experts analyzed the relevance of the assumptions; inputs and models used to determine the main adjustments to valuation as at December 31, 2020.

We also analyzed the differences on existing collateral calls and gain or losses in case of sale of instruments allowing to contribute to the review of appropriateness of valuations.

Finally, we examined the disclosures relating to the valuation of financial instruments published in the notes to the consolidated financial statements, including disclosures relating to the impacts of the health crisis on the fair value of financial instruments.

Valuation of goodwill and intangible assets with infinite lives



Risk identified and main judgements

Groupe BPCE SA recognizes goodwill in its consolidated financial statements. External growth operations made by Groupe BPCE SA drive it to (i) appreciate the modalities of the exercise of control over the acquired entity in accordance with IFRS 10 'Consolidated Financial Statements' and (ii) allocate the purchase price in accordance with IFRS 3 'Business Combinations'. Following this purchase price allocation, the 'surplus' remaining unallocated, corresponding to the residual identifiable net asset, accounted for in 'goodwill'.

These goodwills and the intangible assets acquired for which useful life is indefinite are subject to impairment tests at least each year, based on the appreciation of recoverable value of cash generating units (CGU) to which they are related, or as soon as an indication of an impairment loss appears. The determination of recoverable value relies on the discount of future cash flows of the CGU resulting from medium term plans established by entities and challenged by Groupe BPCE SA.

We deemed that the treatment of business combinations and goodwill and limited-life intangible assets impairment tests to be a key audit matter by their very nature as they require the exercise of judgment regarding the structuring assumptions used especially for the determination of economic scenarios, financial trajectories or discount levels, especially in the unfavorable economic context of the health crisis.

At December 31, 2020, the gross value of goodwill amounted to €4,041 million and accumulated impairment losses stood at €311 million.

The terms of the impairment test implemented by BPCE as well as the key assumptions used to determine the recoverable value and sensitivities of the recoverable amounts are described in Note 3.4.2 to the consolidated financial statements.



Our response

We have examined the main business combination operations of the fiscal year and their impact on the value of goodwill (including business combinations mentioned in the significant events in the notes to the consolidated financial statements).

With the help of our experts, we evaluated the procedure implemented by the Group to identify signs of potential impairment loss and carried out a critical review of the method used for implementing impairment tests. In particular, our work includes:

- comparison of assumptions and inputs with external sources;
- review of the reasonableness of the medium-term plans retained for each concerned CGU involving, in particular in the economic context of the health crisis:

- the confrontation with the strategic plan of the Group approved by the governing bodies (supervisory or administrative) of the entities,
- the assessment of the consistency and reliability of the main assumptions used to prepare the plans, particularly regarding the financial trajectories developed during past financial years and actually carried out,
- the analysis of the sensitivity to different valuation inputs (equity, discount rate...);
- verification of the consistency of the disclosures published on the results of these impairment tests.

Review of the assumptions underlying the purchase price allocation of external growth operations of the period and review of related accounted schemes.

Regarding the purchase price allocation of external growth operations made in 2020, we reviewed the related underlying assumptions.

Insurance Technical Reserves



Risk identified and main judgements

Within the scope of its insurance activities, Groupe BPCE SA records technical reserves related to the commitments toward insured persons.

We deemed that the valuation of reserves to be a key audit matter as it represents a significant amount in the consolidated financial statements and that some of these reserves requires the exercise of judgment in the determination of underlying assumptions (actual mortality rates and behavior) or the use of calculation models, in particular in the context of public health crisis linked to the Covid-19 pandemic.

The technical reserves of the insurance contracts amount to €96 billion at December 31, 2020.

Please see Note 9.1.2 to the consolidated financial statements for further details.



Our response

We used our experts, the actuaries, to assist us in performing our audit procedures on these items.

The main audit procedures implemented include, depending on the nature of the risks provisioned to:

- obtain an understanding of the general conditions relating to insurance contracts marketed by the group;
- evaluate the methods and assumptions used to calculate the reserves, specifically their compliance with applicable regulations, market practices and the economic and financial context;
- test, on the basis of accounting reconciliations, recurrence tests, or surveys, the reliability of information relating to insurance contracts recorded in the management systems and used for the valuation of technical reserves;
- carry out an independent recalculation of specific reserves, when necessary on the basis of a sampling of contracts;
- assess the methods of calculation and the result of the adequacy of liabilities test, as required by IFRS 4.

We also examined the disclosures published in the notes to Groupe BPCE SA's consolidated financial statements relating to insurance liabilities and took note of the conclusions of CNP Assurances' statutory auditors, consolidated by Groupe BPCE using the equity method.

IV. SPECIFIC VERIFICATIONS

As required by law, we have also verified in accordance with professional standards applicable in France the information pertaining to the Group presented in the management report of the Group.

We have no matters to report as to its fair presentation and its consistency with the consolidated financial statements.

V. OTHER LEGAL AND REGULATORY INFORMATION

FORMAT OF THE ANNUAL FINANCIAL STATEMENTS FOR INCLUSION IN THE ANNUAL FINANCIAL REPORT

In accordance with Article 222-3, III of the AMF General Regulation, the Company's management informed us of its decision to postpone the presentation of the consolidated financial statements in compliance with the European single electronic format as defined in the European Delegated Regulation No 2019/815 of 17 December 2018 to years beginning on or after January 1st, 2021. Therefore, this report does not include a conclusion on the compliance with this format of the presentation of the consolidated financial statements intended to be included in the annual financial report mentioned in Article L. 451-1-2, I of the French Monetary and Financial Code (*Code monétaire et financier*).

APPOINTMENT OF THE STATUTORY AUDITORS

We were appointed as statutory auditors of BPCE by the annual general meeting of BPCE held on May 22, 2015 for Deloitte & Associés and on July 2, 2009 for PricewaterhouseCoopers Audit.

As at 31st December 2020, Deloitte & Associés was in the sixth year of total uninterrupted engagement, PricewaterhouseCoopers Audit in the twelfth. Mazars was appointed as statutory auditors in the first statutes dated December 19, 2006 of GCE Nao (whose corporate name became BPCE in July 2009), upon its incorporation.

As at 31st December 2020, Mazars was in the fourteenth year of total uninterrupted engagement, including 12 years since the company became a public-interest entity.

VI. RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the European Union, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless it is expected to liquidate the Company or to cease operations.

The Audit Committee is responsible for monitoring the financial reporting process and the effectiveness of internal control and risk management systems and where applicable, its internal audit, regarding the accounting and financial reporting procedures.

The consolidated financial statements were approved by the Management Board.

VII. STATUTORY AUDITORS' RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Objectives and audit approach

Our role is to issue a report on the consolidated financial statements. Our objective is to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with professional standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As specified in Article L. 823-10-1 of the French Commercial Code (*Code de commerce*), our statutory audit does not include assurance on the viability of the Company or the quality of management of the affairs of the Company.

As part of an audit conducted in accordance with professional standards applicable in France, the statutory auditor exercises professional judgment throughout the audit and furthermore:

- identifies and assesses the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, designs and performs audit procedures responsive to those risks, and obtains audit evidence considered to be sufficient and appropriate to provide a basis for his opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- obtains an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control;

- evaluates the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management in the consolidated financial statement;
- assesses the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. This assessment is based on the audit evidence obtained up to the date of his audit report. However, future events or conditions may cause the Company to cease to continue as a going concern. If the statutory auditor concludes that a material uncertainty exists, there is a requirement to draw attention in the audit report to the related disclosures in the consolidated financial statements or, if such disclosures are not provided or inadequate, to modify the opinion expressed therein;
- evaluates the overall presentation of the consolidated financial statements and assesses whether these statements represent the underlying transactions and events in a manner that achieves fair presentation;
- obtains sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. The statutory auditor is responsible for the direction, supervision and performance of the audit of the consolidated financial statements and for the opinion expressed on these consolidated financial statements.

Report to the Audit Committee

We submit a report to the Audit Committee which includes in particular a description of the scope of the audit and the audit program implemented, as well as the results of our audit. We also report, if any, significant deficiencies in internal control regarding the accounting and financial reporting procedures that we have identified.

Our report to the Audit Committee includes the risks of material misstatement that, in our professional judgment, were of most significance in the audit of the consolidated financial statements of the current period and which are therefore the key audit matters, that we are required to describe in this report.

We also provide the Audit Committee with the declaration provided for in Article 6 of Regulation (EU) N° 537/2014, confirming our independence within the meaning of the rules applicable in France such as they are set in particular by Articles L.822-10 to L.822-14 of the French Commercial Code (*Code de commerce*) and in the French Code of Ethics (*Code de déontologie*) for statutory auditors. Where appropriate, we discuss with the Audit Committee the risks that may reasonably be thought to bear on our independence, and the related safeguards.

Paris La Défense and Neuilly-sur-Seine, March 5, 2021

The Statutory Auditors

Deloitte & Associés

Marjorie Blanc Lourme

Mazars

Charles de Boisriou

PricewaterhouseCoopers Audit

Nicolas Montillot

Emmanuel Benoist

5.5 BPCE management report

Significant events of 2020

- 2020 was marked by the Covid-19 health crisis. Groupe BPCE entered the crisis with extremely solid fundamentals in terms of its solvency, liquidity and risks, and it took several initiatives to address the consequences of the crisis. It did better than withstand the crisis and its expected prolongation, in particular thanks to the very good level of activity in the two major Banque Populaire and Caisse d'Épargne networks. All its teams mobilized to support customers as closely as possible and work with them to find the best financial solutions to face this crisis. The business continuity plan was implemented to protect employees' health and safety, facilitate operations for customers (branch opening, ATMs, customer communications, and the application of the new health protection measures), and maintain internal processes (funding, accounting, compliance with regulations, etc.). Massive use of digital technology became necessary, and the rollout of digital solutions was ramped up. The consequences of the health crisis on BPCE's financial statements are presented in Note 1.5 of Chapter 5.6.2.
- To support the economy and its customers, Groupe BPCE announced an automatic six-month deferral, with effect from March 20, 2020, of investment loans to companies and professionals most affected by the health crisis: more than 425,000 repayment moratoria were signed in 2020. The initial repayment moratoria for the tourism, hotel and catering sector have been extended for six months. The retail networks ensured that eligible business and professional customers could benefit from the State-guaranteed loan scheme by undertaking to review all applications rapidly. As a result, 193,000 loans were disbursed in 2020 totaling €30 billion. Groupe BPCE was the first player in France to extensively rollout the Sign'it electronic signature service for State-guaranteed loans issued by the Banques Populaires and the Caisses d'Épargne. To support the recovery of businesses, Banque Populaire and Caisse d'Épargne signed an agreement with the European Investment Fund (EIF) to finance loans amounting to €75 million. This agreement aims to facilitate access to financing for SMEs, mid-cap companies, and start-ups with fewer than 3,000 employees that invest in projects of an innovative, adaptive, or transformational nature in relation to the current health crisis.
- In terms of organization and in preparation for its future strategic plan, Groupe BPCE strengthened its digital system, setting a new course for Innovation, Data and Digital combining its digital, data and artificial intelligence activities.
- On March 31, 2020, BPCE SA finalized the acquisition of Crédit Foncier's stake in Crédit Foncier Immobilier (CFI), which provides real estate services (appraisal/valuation and sales), joined BPCE's Financial Solutions & Expertise business line, becoming BPCE Solutions Immobilières, to boost its business relations with the Banque Populaire and Caisse d'Épargne networks. In addition, on December 31, 2020, Fidor Bank AG finalized the sale of its subsidiary Fidor Solutions AG to Sopra Banking Software. Finally, in August 2020, BPCE entered into exclusive negotiations with Ripplewood Advisors LLC for the sale of the entire share capital of Fidor Bank AG.
- In 2020, BPCE absorbed the Holassure entity through a simplified merger. BPCE now directly holds the Group's stake in CNP Assurances.
- Groupe BPCE continued efforts to firmly embed its commitment to society and the environment into its business lines and decision-making processes. For example, it launched "Ambition Durable", a green bond for individual customers of the Banques Populaire and Caisses d'Épargne. The funds raised are used to finance the construction and renovation of buildings with a low environmental footprint.
- By signing the Responsible Digital Charter, Groupe BPCE has also affirmed its commitment to an ethical and environmentally friendly digital transition. In particular, it is committed to reducing its digital environmental footprint and developing service offerings that are at once accessible to all, inclusive and sustainable.
- As a reflection of these advances in CSR, MSCI raised Groupe BPCE's rating to AA, in recognition of the Group's integration of environmental, social and governance (ESG) issues into its policies (development, human resources, risks, business ethics, cyber security, etc.) and Vigeo Eiris raised the Group's non-financial rating from "Robust" to "Advanced" with, in particular, an increase in its environmental strategy rating (+13 points), a reduction in the impact of its businesses on the climate (+9 points) and a reduction in its direct footprint thanks to its mobility policy (+20 points).
- In 2020, rebilling of the "central institution" activities (listed in the French Monetary and Financial Code) are now presented in NBI and re-invoicing of group assignments is still presented as a reduction in management fees. In 2020, the amount of contributions in NBI amounted to €356 million and the amount of contributions less operating expenses amounted to €516 million.
- In 2020, BPCE SA's balance sheet base increased by €39 billion. This increase is in line with the context of the Covid-19 crisis, with the implementation of the funding required for the distribution of State-guaranteed loans by the Group and the significant increase in ordinary accounts in credit. Borrowed securities are now presented on the balance sheet as a deduction from the debt representing the value of securities borrowed pursuant to ANC Regulation 2020-10. The impact is a reduction in the size of the balance sheet of approximately €66 billion for BPCE SA.
- BPCE issued €4 billion of senior non-preferred debt. These issues contribute to strengthening Groupe BPCE's capital and the TLAC (Total Loss-Absorbing Capacity) and MREL ratios.

Company situation and activity in 2020

CHANGES IN THE BPCE BALANCE SHEET

<i>in billions of euros</i>	12/31/2020	12/31/2019	Change 2020/2019	
			<i>(in billions of euros)</i>	<i>(in %)</i>
Amounts due from banks	326.0	219.1	+106.9	+49%
Amounts due from customers	3.7	3.4	+0.3	+9%
Securities transactions*	8.9	7.9	+1.0	+13%
Associates, equity interests and long-term investments	23.8	25.4	(1.6)	(6%)
Other assets	3.4	3.9	(0.5)	(13%)
TOTAL ASSETS	365.8	259.7	+106.1	+41%
Amounts due to banks	238.3	131.3	+107.0	+81%
Customer deposits	6.3	7.1	(0.8)	(11%)
Debt securities and subordinated debt	99.0	98.6	+0.4	+
Other liabilities*	5.9	4.8	+1.1	+23%
Shareholders' equity and fund for general banking risks	16.3	17.9	(1.6)	(9%)
TOTAL LIABILITIES	365.8	259.7	+106.1	+41%

* The balance sheet as at December 31, 2019 has been restated following the application of ANC Regulation No. 2020-10 5 (decrease in assets and liabilities of €67.2 billion to present securities borrowings as a deduction from debt on borrowed securities).

Total assets under French GAAP amounted to €365.8 billion at December 31, 2020, an increase of €106.1 billion compared with December 31, 2019.

On the assets side, the increase of €106.9 billion in the "Amounts due from banks" item is mainly due to an increase in the balance of the Central Bank account and an increase in term intra-group receivables. This change follows the funding required for the distribution of EMPs by the Group and the significant increase in ordinary accounts in credit.

The "Securities transactions" item was up by €1 billion, mainly due to the investment by BPCE in the OSTRUM Trésorerie + fund for €1,649 million.

"Associates, equity interests and long-term investments" recorded the following major changes:

- the exit of the securities of the entity Holassure following the simplified merger with BPCE for -€1,768 million, followed by the addition of the shares of CNP Assurances, now held directly, for +€1,606 million;
- the conversion of 50% of Visa Inc. class C shares into Class A preferred shares generated a decrease of €91.4 million. Converted securities are classified under "Securities transactions";

- the disposal of securities by universal transfer of assets from the GCE ASAP entity for -€11 million and a reversal of provisions of €11 million. A merger loss of €11 million was recorded;

- additional provisions for impairment of €1,893 million (of which Natixis, CEGC, BPCE Factor and BPCE International) and reversals of impairment losses of €552 million (on Crédit Foncier and Banque Palatine).

On the liabilities side, in the context of the Covid-19 crisis, the increase of €107 billion in the "Amounts due to banks" item is explained by the implementation of the funding required to support the financing of economic activity and by the significant increase in deposits from the Group's institutions

The item "Debt securities and subordinated debt" increased by €400 million, in particular following the issue of €4 billion of senior non-preferred debt, offset by the decline in interbank market securities and negotiable debt securities of -€3.7 billion.

The decrease in shareholders' equity is mainly related to the result for 2020 for -€1,073 million, and to the interim dividend of €579 million paid in December 2020.

BPCE INCOME STATEMENT

in millions of euros	2020	2019	Change 2020/2019	
			(in millions of euros)	(in %)
Net banking income	433	930	(497)	(53%)
Operating expenses	(432)	(356)	(76)	+21%
Gross operating income	1	574	(573)	(100%)
Cost of risk	0	(2)	+2	(100%)
Net gains or losses on long-term investments	(1,341)	(341)	(1,000)	+293%
Income before tax	(1,340)	231	(1,571)	(680%)
Income tax	267	146	+121	+83%
Funding/reversal of fund for general banking risks and regulated provisions	0	65	(65)	(1)
NET INCOME	(1,073)	442	(1,515)	(343%)

The result for 2020 amounted to -€1,073 million, down by €1,515 million compared to 2019, mainly due to the impairment of consolidated investments. Gross operating income of €1 million, losses on fixed assets of -€1,341 million and tax income of €267 million.

NET BANKING INCOME

in millions of euros	2020	2019	Change 2020/2019	
			(in millions of euros)	(in %)
Financial Management	(292)	(40)	(252)	+630%
Financial Solutions & Expertise	321	210	+111	+53%
Holding company	154	760	(606)	(80%)
Central institution	250	0	+250	NA
NET BANKING INCOME	433	930	(497)	(53%)

In 2020, BPCE's net banking income totaled €433 million, down by €497 million compared with 2019.

BPCE is responsible for ensuring the Group's liquidity and capital adequacy by guaranteeing that the regulatory ratios are met. These activities are part of the Financial Management business line, which delivered net banking income of -€292 million in 2020, a decrease of €252 million compared with 2019. This change is due to an income of €345 million recorded in 2019 in respect of the Natixis CIB exposures run-off activity (formerly GAPCE). In 2020, an income of €106 million was recorded in NBI, following the rebilling of financial management expenses for the Group's institutions.

The net banking income of the Financial Solutions & Expertise business was €321 million. It includes dividends received from

the subsidiaries BPCE Factor, BPCE Lease, BPCE Financement, CEGC, Socfim and the net banking income from the securities custody activity. This activity has been housed within BPCE since the end of March 2019.

Net banking income from the holding company totaled €154 million, down €606 million over the period. As part of the health crisis and the ECB's recommendations, the amount of dividends received by BPCE in 2020 was significantly reduced.

The net banking income of the central institution business amounted to €250 million. It follows the rebilling of "central institution" activities (listed in the French Monetary and Financial Code), now presented in NBI.

OPERATING EXPENSES

in millions of euros	2020	2019	Change 2020/2019	
			(in millions of euros)	(in %)
Payroll costs	(381)	(351)	(30)	+9%
Other expenses	(256)	(293)	+37	(13%)
Gross operating expenses	(637)	(644)	+7	(1%)
Rebilled expenses	516	519	(3)	(1%)
Net operating expenses	(121)	(125)	+4	(3%)
Charges from exceptional projects	(311)	(231)	(80)	+35%
OPERATING EXPENSES	(432)	(356)	(76)	+21%

Operating expenses amounted to -€432 million in 2020, an increase of €76 million compared to 2019, mainly due to the continuation of the Group's transformation projects.

COST OF RISK

Loans and advances due from banks mainly relate to institutions benefiting from the guarantee and solidarity system, which explains the non-materiality of the cost of risk in BPCE SA parent company financial statements.

NET GAINS OR LOSSES ON LONG-TERM INVESTMENTS

Net gains or losses on long-term investments amounted to -€1,341 million in 2020. They consist of provisions and reversals of impairments on equity investments, in particular Natixis (-€1,521 million), BPCE International (-€106 million), Crédit Foncier (+€453 million), Banque Palatine (+€87 million), CEGC (-€164 million) and BPCE Factor (-€102 million).

INCOME TAX

In 2020, as a result of tax consolidation income, the gain in income tax after taking into account changes in provisions and other adjustments was €267 million, up €121 million *versus* 2019.

The change is mainly due to the contribution of a larger deficit by BPCE SA and BPCE International, the reversal of the provision covering the GIE Musica Lease ended early, and the recording as tax income of a tax loss claim concerning foreign tax credits following changes in case law.

NON-TAX DEDUCTIBLE EXPENSES

Disclosure of luxury expenditures

In accordance with the provisions of Article 223 *quater* and *quinquies* of the French General Tax Code, the financial statements for the past fiscal year include €362,011 in non-deductible expenses pursuant to Article 39.4 of said Code. The resulting additional tax was €115,916.

No other luxury non-tax deductible expenses were incurred during the fiscal year.

FUND FOR GENERAL BANKING RISKS AND NET INCOME

No movement was made to the fund for general banking risks.

Net income came to -€1,073 million.

PROPOSED ALLOCATION OF NET INCOME

It is proposed to the General Shareholders' Meeting:

- to allocate the net loss of -€1,073,022,522.84 to the item "Retained earnings". As a result of this allocation, the balance of the "Retained earnings" item is €2,331,310,315.31;
- to distribute dividends of €1,297,374,005.20 to shareholders (including €321,499,125.48 in shares), by deduction from the "Retained earnings" item. As a result of this allocation, the balance of the "Retained earnings" item is €1,033,936,310.11.

As an interim dividend of €579,307,742.00, equal to €17 per share, was paid on December 31, 2020, as decided by the Management Board at its meeting of December 17, 2020, a residual dividend of €718,066,263.20 remains to be paid to the shareholders, equal to €20.68 per share.

In accordance with the provisions of Article L. 243 *bis* of the French General Tax Code, the table below shows the dividends paid out in respect of the three previous fiscal years:

Balance sheet date		Dividend per share	Fraction of the dividend eligible for the 40% tax deduction	Fraction of the dividend ineligible for the 40% tax deduction
12/31/2017	Class "A" and "B" shares	€12,9382	€403,005,056.92	/
12/31/2018	Class "A" and "B" shares	€12,3720	€403,040,426.36	/
12/31/2019	Class "A" and "B" shares	€15,7340	€536,166,353.68	/

INFORMATION ON SUBSIDIARIES, EQUITY INVESTMENTS AND BRANCHES

Activity and results of the main subsidiaries

The activity and results of the main subsidiaries are described in Chapter 1 of this document. A list of subsidiaries and equity investments is available in Chapter 5 "BPCE parent company financial statements".

Investments and controlling interests

In March 2020, BPCE acquired a stake in the share capital of Meniga LTD in the form of convertible bonds for an amount of €4 million.

In March, BPCE acquired from Crédit Foncier 100% of the shares in Crédit Foncier Immobilier (CFI) for an amount of €6.7 million. CFI was renamed BPCE Solutions Immobilières in November 2020.

In June, buyback of Caisse de Refinancement de l'Habitat shares from three French banks for an amount of €20.8 million. The shareholding rate stands at 9.09%.

In December, the share capital of Société d'Exploitation MAB was reduced by €3 million, bringing the share capital to €7.5 million and issue premium repayment of €3 million.

In September, participation by BPCE in the creation of the European company EPI Interim company with an initial payment of €0.4 million out of a total subscription of €1.6 million (the balance has not yet been called).

In November, capital increase of SURASSUR SA fully subscribed by BPCE for an amount of €17.2 million.

BPCE subscribed to two capital increases of Fidor Bank of €20.4 million in September and €47 million in November (through contributions to the "Reserve capital").

Also during fiscal year 2020, BPCE increased its asset financing capital by €12.6 million.

Branches

BPCE owns no branches.

EMPLOYEE PROFIT-SHARING SCHEME

Information concerning employee share ownership is provided in Chapter 7.

INFORMATION CONCERNING COMPANY DIRECTORS

Information concerning company directors is provided in Chapter 3.

List of directorships and offices

Information concerning the list of directorships and offices of company directors is provided in Chapter 3.

Remuneration and benefits

Information concerning remuneration and benefits granted by BPCE to the company directors is provided in Chapter 3.

Related-party agreements

No corporate officer or shareholder holding more than 10% of the voting rights signed any agreement in 2020 with a company in which BPCE holds, either directly or indirectly, more than half of the share capital or with a company controlled by BPCE within the meaning of Article L. 233-3 of the French Commercial Code.

Information concerning commitments and related-party agreements is provided in Chapter 7.

INFORMATION REGARDING OWNERSHIP OF SHARE CAPITAL

Information concerning the ownership of the share capital is provided in Chapter 7.

TRADING BY BPCE IN ITS OWN SHARES

In 2020, BPCE did not trade in its own shares.

INFORMATION ON INACTIVE ACCOUNTS (ARTICLES L. 312-19, L. 312-20 AND R. 312-21 OF THE FRENCH MONETARY AND FINANCIAL CODE).

As BPCE holds no individual current accounts, it is not affected by these articles.

TRANSFERS AND SALES OF SHARES

In November, the stake in GCP ASAP was absorbed via a total transfer of assets and liabilities, resulting in the recognition of a loss of €11 million, which was offset by a provision reversal for the same amount.

In December, merger by absorption of the company Holassurance following the favorable agreement of the ACPR to the crossing of the 10% threshold in the share capital of CNP Assurances by BPCE.

RESEARCH AND DEVELOPMENT ACTIVITIES

BPCE's research and development activities chiefly focus on modeling credit risks.

MANAGEMENT OF FINANCIAL RISKS

Information relating to the management of financial risks is provided in Chapter 6.

MAIN RISKS

Information relating to the main risks and uncertainties facing BPCE is provided in Chapter 6.

HARDSHIPS

The hardships encountered in 2020 were linked to the economic and financial environment described in point 4.2.1 of Chapter 4.

SOCIAL, ENVIRONMENTAL AND SOCIETAL INFORMATION

This information is provided in Chapter 2.

INFORMATION CONCERNING THE CONTROLS OF ACCOUNTING AND FINANCIAL REPORTING QUALITY

This information is provided in Chapter 5.8.

EVENT AFTER THE REPORTING PERIOD

Filing of a simplified public tender offer for Natixis shares

On February 9, 2021, BPCE SA announced its intention to acquire the share capital of Natixis SA that it did not hold, *i.e.* approximately 29.3% at December 31, 2020, and to file a simplified tender offer with the French Financial Markets Authority (AMF).

This proposed takeover bid, at a price of €4.00 per share (*cum* dividend), will be submitted to the AMF for review and will, if necessary, be followed by a squeeze-out if the conditions for its implementation are met. This proposed bid will have no impact on the control already exercised by BPCE over Natixis.

In accordance with the principles presented in Note 4.4 to the annual financial statements, BPCE examined the impact of this proposed offer on the determination of the value in use of Natixis used in the financial statements at December 31, 2020 and considered that this transaction did not call into question the value retained.

BPCE's equity investments are measured at value in use. The value in use takes into account the specific situation of BPCE, the fact that these investments belong to the Groupe BPCE and their integration within the solidarity mechanism, their strategic interest for BPCE and the fact that they are held with a long-term objective.

They are based in particular on technical parameters based on a vision of long-term ownership and Group affiliation and not on valuation parameters.

RECENT DEVELOPMENTS AND OUTLOOK

The outlook for the economic environment and recent and forthcoming regulatory changes are described in point 4.7 of Chapter 4.

STATEMENT OF RESULTS FOR THE FIVE PREVIOUS YEARS

<i>in euros</i>	2016	2017	2018	2019	2020
Share capital at period-end					
Share capital	155,742,320	155,742,320	157,697,890	170,384,630	173,613,700
Number of shares ⁽¹⁾	31,148,464	31,148,464	31,539,578	34,076,926	34,722,740
Operations and income for the fiscal year					
Revenue	5,183,625,973	4,776,794,649	3,817,697,023	4,424,898,255	2,023,188,873
Income before tax, employee profit-sharing, depreciation, amortization and impairment	1,169,741,533	226,090,867	213,879,738	1,284,276,000	241,756,532
Income tax	247,155,791	223,677,484	450,787,127	145,922,016	267,056,984
Income after tax, employee profit-sharing, depreciation, amortization and impairment	461,435,583	728,462,840	390,468,286	441,581,094	(1,073,022,523)
Dividend paid to shareholders ⁽²⁾	383,499,888	403,005,057	403,040,426	536,166,354	1,297,374,005
Earnings per share					
Revenue	166.42	153.36	121.04	129.85	58.27
Income after tax, employee profit-sharing, but before depreciation, amortization and impairment	45.49	14.44	21.07	41.97	14.65
Income tax	7.93	7.18	14.29	4.28	7.69
Income after tax, employee profit-sharing, depreciation, amortization and impairment	14.81	23.39	12.38	12.96	(30.90)
Dividend per share ⁽²⁾	12.3120	12.9382	12.3715	15.7340	37.6800
Employee data					
Average number of employees:	1,507	1,511	1,563	2,186	2,505
o/w managerial staff	1,385	1,404	1,465	1,918	2,187
o/w non-managerial staff	122	107	98	268	318
Total wage bill for the year	128,093,857	132,639,879	138,048,129	181,998,599	208,148,610
Amounts paid for employee benefits during the period	77,474,090	79,998,902	74,092,881	120,239,562	118,717,325

(1) Earnings per share are calculated based on the number of shares outstanding at the date of the General Shareholders' Meeting.

(2) Subject to approval by the General Shareholders' Meeting.

AUTHORIZATIONS GRANTED TO THE MANAGEMENT BOARD

Type and purpose of authorization	Amount (in euros)	Duration	Date of AGM	Use of authorization
None				

PAYMENT TERMS GRANTED TO CUSTOMERS AND SUPPLIERS

Pursuant to Article L. 441-6-1 of the French Commercial Code, all French companies for which annual financial statements are certified by Statutory Auditors shall disclose information in their management report on the payment terms granted to their customers and suppliers, in accordance with the provisions of

Article D. 441-4 of the French Commercial Code as amended by Decrees No. 2015-1553 dated November 27, 2015, and No. 2017-350 dated March 20, 2017. This information does not include banking transactions and related operations.

Invoices received and due but not settled at the reporting date						
<i>in euros</i>	0 day (indicative)	1 to 30 days	31 to 60 days	61 to 90 days	91 days and more	Total (1 day and more)
(A) Categories of overdue payments						
Number of invoices concerned	215	-	-	-	-	431
Total amount of invoices concerned incl. tax ⁽¹⁾	17,692,371	782,885	775,010	690,194	(32,235)	2,215,854
Percentage of total purchases (incl. tax) for the fiscal year	The percentage of unpaid invoices received, at the balance sheet date, was less than 1% of the total amount of purchases including taxes during the fiscal year.					
Percentage of revenue before taxes for the fiscal year	-	-	-	-	-	-
(B) Invoices excluded from (A) relating to disputed or unrecognized receivables and payables						
Number of invoices excluded	-	-	-	-	-	None
Total amount of invoices excluded	-	-	-	-	-	None
(C) Benchmark payment terms used (contractual or legal term – Article L. 441-6 or Article L. 443-1 of the French Commercial Code)						
Payment terms used to calculate overdue payments	Legal term: Within 30 days of invoice date					

(1) Accounts receivable correspond to accounts in credit or advances.

Invoices issued and due but not settled at the balance sheet date						
<i>in euros</i>	0 day (indicative)	1 to 30 days	31 to 60 days	61 to 90 days	91 days and more	Total (1 day and more)
(A) Categories of overdue payments						
Number of invoices concerned	31	-	-	-	-	255
Total amount of invoices concerned incl. tax	4,613,154	4,896,114	340,893	540,210	1,926,361	7,703,578
Percentage of total sales (incl. tax) for the fiscal year	The percentage of unpaid invoices issued, at the reporting date, was less than 1% of the total amount of sales including taxes during the fiscal year.					
Percentage of revenue before taxes for the fiscal year	-	-	-	-	-	-
(B) Invoices excluded from (A) relating to disputed or unrecognized receivables and payables						
Number of invoices excluded	-	-	-	-	-	None
Total amount of invoices excluded	-	-	-	-	-	None
(C) Benchmark payment terms used (contractual or legal term – Article L. 441-6 or Article L. 443-1 of the French Commercial Code)						
(C) Benchmark payment terms used (contractual or legal term – Article L. 441-6 or Article L. 443-1 of the French Commercial Code)	Legal term: Within 30 days of invoice date					

5.6 BPCE parent company annual financial statements

<i>in millions of euros</i>	<i>Notes</i>	Fiscal year 2020	Fiscal year 2019
Interest and similar income	3.1	2,793	2,163
Interest and similar expenses	3.1	(3,285)	(2,731)
Income from variable-income securities	3.2	720	1,118
Commission income	3.3	104	228
Commission expenses	3.3	(32)	(170)
Net gains or losses on trading book transactions	3.4	(7)	345
Net gains or losses on available-for-sale securities and equivalent	3.5	(159)	(21)
Other banking income	3.6	368	16
Other banking expenses	3.6	(69)	(18)
Net banking income		433	930
Operating expenses	3.7	(416)	(343)
Depreciation, amortization and impairment of property, plant and equipment and intangible assets		(16)	(13)
Gross operating income		1	574
Cost of risk	3.8	0	(2)
Operating income		1	572
Gains or losses on long-term investments	3.9	(1,341)	(341)
Income before tax		(1,340)	231
Non-recurring income	3.10	0	0
Income tax	3.11	267	146
Funding/reversal of the fund for general banking risks and regulated provisions		0	65
NET INCOME		(1,073)	442

5.6.1 Balance sheet and off-balance sheet items

ASSETS

<i>in millions of euros</i>	<i>Notes</i>	12/31/2020	12/31/2019
Cash and amounts due from central banks		115,406	48,423
Treasury bills and equivalent*	4.3	756	986
Loans and advances due from banks	4.1	210,587	170,649
Customer transactions	4.2	3,660	3,377
Bonds and other fixed-income securities*	4.3	5,017	5,609
Equities and other variable-income securities	4.3	3,158	1,333
Equity interests and other long-term investments	4.4	5,064	3,608
Investments in affiliates	4.4	18,706	21,813
Intangible assets	4.5	112	115
Property, plant and equipment	4.5	22	29
Other assets	4.7	1,789	1,505
Accrual accounts	4.8	1,495	2,235
TOTAL ASSETS		365,772	259,682

Off-balance sheet items

<i>in millions of euros</i>	<i>Notes</i>	12/31/2020	12/31/2019
Commitments given			
Loan commitments	5.1	10,499	4,824
Guarantee commitments	5.1	7,853	10,471
Securities commitments		0	0

* The balance sheet as of December 31, 2019 has been restated following the application of ANC Regulation No. 2020-10 5 (see Note 2.2). Details are presented in Notes 4.2, 4.3.1, 4.7 and 5.3.

LIABILITIES

<i>in millions of euros</i>	<i>Notes</i>	12/31/2020	12/31/2019
Central banks		0	0
Amounts due to banks	4.1	238,346	131,263
Customer transactions	4.2	6,283	7,112
Debt securities	4.6	83,986	82,565
Other liabilities*	4.7	4,402	3,441
Accrual accounts	4.8	919	853
Provisions	4.9	557	497
Subordinated debt	4.10	15,001	16,008
Fund for general banking risks (FGBR)	4.11	65	65
Equity excluding fund for general banking risks	4.12	16,213	17,878
<i>Subscribed capital</i>		174	170
<i>Additional paid-in capital</i>		14,252	13,934
<i>Reserves</i>		35	35
<i>Revaluation difference</i>		0	0
<i>Regulated provisions and investment subsidies</i>		0	0
<i>Retained earnings</i>		3,404	3,499
<i>Interim dividend</i>		(579)	(202)
Net income for the fiscal year (+/-)		(1,073)	442
TOTAL LIABILITIES AND EQUITY		365,772	259,682

Off-balance sheet items

<i>in millions of euros</i>	<i>Notes</i>	12/31/2020	12/31/2019
Commitments received			
Loan commitments	5.1	56,836	55,021
Guarantee commitments	5.1	3,914	4,918
Securities commitments		120	308

* The balance sheet as of December 31, 2019 has been restated following the application of ANC Regulation No. 2020-10 5 (see Note 2.2). Details are presented in Notes 4.2, 4.3.1, 4.7 and 5.3.

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Note 1 General framework

1.1 GROUPE BPCE

Groupe BPCE comprises the Banque Populaire network, the Caisse d'Épargne network, the BPCE central institution and its subsidiaries.

TWO BANKING NETWORKS: THE BANQUES POPULAIRES AND THE CAISSES D'ÉPARGNE

Groupe BPCE is a cooperative group whose shareholders own the two retail banking networks: the 14 Banques Populaires and the 15 Caisses d'Épargne. Each of the two networks owns an equal share in BPCE, the Group's central institution.

The Banque Populaire network consists of the Banques Populaires and the Mutual Guarantee Companies which grant them the exclusive benefit of their guarantees.

The Caisse d'Épargne network consists of the Caisses d'Épargne and the local savings companies (LSCs).

The Banques Populaires are wholly-owned by their cooperative shareholders.

The capital of the Caisses d'Épargne is wholly-owned by the LSCs. Local savings companies are cooperative structures with open-ended share capital owned by cooperative shareholders. The LSCs are tasked with coordinating the cooperative shareholder base, in line with the general objectives defined by the individual Caisse d'Épargne with which they are affiliated, and cannot perform banking transactions.

BPCE

A central institution as defined by the French Banking Law and a credit institution licensed to operate as a bank, BPCE was created pursuant to Act No. 2009-715 of June 18, 2009. BPCE was incorporated as a French limited liability company governed by a Management Board and a Supervisory Board, whose share capital is owned jointly and equally by the 14 Banques Populaires and the 15 Caisses d'Épargne.

BPCE's corporate mission embodies the continuity of the cooperative principles underlying the Banques Populaires and the Caisses d'Épargne.

Specifically, BPCE represents the interests of its various affiliates in dealings with the supervisory authorities, defines the range of products and services offered by them, organizes depositor protection, approves key appointments of company directors and oversees the smooth operation of the Group's institutions.

As a holding company, BPCE is the head entity of the Group and holds the joint ventures between the two networks in Retail Banking and Insurance, corporate banking and financial services, and their production units. It defines the Group's corporate strategy and growth and expansion policies.

BPCE's main subsidiaries, including Natixis, a 70.662%-owned listed company⁽¹⁾, are organized around three main business lines:

- Retail Banking and Insurance, which includes the Banque Populaire network, the Caisse d'Épargne network, the Financial Solutions & Expertise business line (including factoring, consumer finance, leasing, sureties & financial guarantees, and "retail securities" activities), the Natixis Payments and Insurance business lines and Other networks (primarily Banque Palatine);
- Asset & Wealth Management;
- Corporate & Investment Banking.

In respect of the Group's financial functions, BPCE is responsible, in particular, for the centralized management of surplus funds, for the execution of any financial transactions required to develop and fund the Group, and for choosing the most appropriate counterparty for these transactions in the broader interests of the Group. BPCE also provides banking services to the other Group entities.

1.2 GUARANTEE MECHANISM

Pursuant to Articles L. 511-31 and L. 512-107-6 of the French Monetary and Financial Code, the guarantee and solidarity mechanism was set up to ensure the liquidity and capital adequacy of the Group and its associates, and to organize financial support within the Group.

BPCE is tasked with taking all measures necessary to guarantee the capital adequacy of the Group and each of the networks, including implementing the appropriate internal financing mechanisms within the Group and establishing a Mutual Guarantee Fund common to both networks, for which it determines the operating rules, the conditions for the provision of financial support to the existing funds of the two networks, as well as the contributions of associates to the fund's initial capital endowment and reconstitution.

BPCE manages the Banque Populaire Network Fund and the Caisse d'Épargne Network Fund and has established the Mutual Guarantee Fund.

The Banque Populaire Network Fund was formed by a deposit made by the Banques Populaires of €450 million that was booked by BPCE in the form of a 10-year term account which is indefinitely renewable.

The deposit made to the Caisse d'Épargne Network Fund by the Caisses d'Épargne of €450 million was booked by BPCE in the form of a 10-year term account which is indefinitely renewable.

The Mutual Guarantee Fund was formed by deposits made by the Banques Populaires and the Caisses d'Épargne. These deposits were booked by BPCE in the form of 10-year term accounts which are indefinitely renewable. The amount of the deposits by network was €176 million at December 31, 2020.

The total amount of deposits made to BPCE in respect of the Banque Populaire Network Fund, the Caisse d'Épargne et de Prévoyance Network Fund and the Mutual Guarantee Fund may not be less than 0.15% and may not exceed 0.3% of the Group's total risk-weighted assets.

The booking of deposits in the institutions' individual accounts under the guarantee and solidarity system results in the recording of an item of an equivalent amount under a dedicated capital heading.

Mutual guarantee companies granting the exclusivity of their guarantees to a Banque Populaire benefit from a liquidity and capital adequacy guarantee in their capacity as affiliates of the central institution.

The liquidity and capital adequacy of the local savings companies are secured, firstly, at the level of each individual local savings company by the Caisse d'Épargne et de Prévoyance of which the local savings company in question is a shareholder.

BPCE's Management Board holds all the requisite powers to mobilize the resources of the various contributors without delay and in accordance with the agreed order, on the basis of prior authorizations given to BPCE by the contributors.

[1] The percentage holding is 70.64% including treasury shares held by Natixis.

1.3 SIGNIFICANT EVENTS

- 2020 was marked by the Covid-19 health crisis. Groupe BPCE entered the crisis with extremely solid fundamentals in terms of its capital adequacy, liquidity and risks, and it took several initiatives to address the consequences of the crisis. It did better than withstand the crisis and its expected prolongation, in particular thanks to the very good level of activity in the two major Banque Populaire and Caisse d'Épargne networks. All its teams mobilized to support customers as closely as possible and work with them to find the best financial solutions to face this crisis. The business continuity plan was implemented to protect employees' health and safety, facilitate operations for customers (branch opening, ATMs, communications, and the application of the new health protection measures), and maintain internal processes (funding, accounting, compliance with regulations, etc.). Massive use of digital technology became necessary, and the rollout of digital solutions was ramped up. The consequences of the health crisis on BPCE's financial statements are presented in Note 1.5.
- To support the economy and its customers, Groupe BPCE announced an automatic six-month deferral, with effect from March 20, 2020, of investment loans to companies and professionals most affected by the health crisis: more than 425,000 repayment moratoria were signed in 2020. The initial repayment moratoria for the tourism, hotel and catering sector have been extended for six months. The retail networks ensured that eligible business and professional customers could benefit from the State-guaranteed loan scheme by undertaking to review all applications rapidly. As a result, 193,000 loans totaling €30 billion were disbursed in 2020. Groupe BPCE was the first player in France to extensively rollout the Sign'it electronic signature service for State-guaranteed loans issued by the Banques Populaires and the Caisses d'Épargne. To support the recovery of businesses, Banque Populaire and Caisse d'Épargne signed an agreement with the European Investment Fund (EIF) to finance loans amounting to €75 million. This agreement aims to facilitate access to financing for SMEs, mid-cap companies, and start-ups with fewer than 3,000 employees that invest in projects of an innovative, adaptive, or transformational nature in relation to the current health crisis.
- In terms of organization and in preparation for its future strategic plan, Groupe BPCE strengthened its digital system, setting a new course for Innovation, Data and Digital combining its digital, data and artificial intelligence activities.
- On March 31, 2020, BPCE SA finalized the acquisition of Crédit Foncier's stake in Crédit Foncier Immobilier (CFI). CFI, which provides real estate services (appraisal/valuation and sales), joined BPCE's Financial Solutions & Expertise business line, becoming BPCE Solutions Immobilières, to boost its business relations with the Banque Populaire and Caisse d'Épargne networks. In addition, on December 31, 2020, Fidor Bank AG finalized the sale of its subsidiary Fidor Solutions AG to Sopra Banking Software. Finally, BPCE entered into exclusive negotiations with Ripplewood Advisors LLC for the sale of the entire share capital of Fidor Bank AG.
- In 2020, BPCE absorbed the Holassurance entity through a simplified merger. BPCE now directly holds the Group's stake in CNP Assurances.
- Groupe BPCE continued efforts to firmly embed its commitment to society and the environment into its business

lines and decision-making processes. For example, it launched "*Ambition Durable*", a green bond for individual customers of the Banques Populaire and Caisses d'Épargne. The funds raised are used to finance the construction and renovation of buildings with a low environmental footprint.

- By signing the Responsible Digital Charter, Groupe BPCE has also affirmed its commitment to an ethical and environmentally friendly digital transition. In particular, it is committed to reducing its digital environmental footprint and developing service offerings that are at once accessible to all, inclusive and sustainable.
- As a reflection of these advances in CSR, MSCI raised Groupe BPCE's rating to AA, in recognition of the Group's integration of environmental, social and governance (ESG) issues into its policies (development, human resources, risks, business ethics, cyber security, etc.) and Vigeo Eiris raised the Group's non-financial rating from "Robust" to "Advanced" with, in particular, an increase in its environmental strategy rating (+13 points), a reduction in the impact of its businesses on the climate (+9 points) and a reduction in its direct footprint thanks to its mobility policy (+20 points).
- In 2020, rebilling of the "central institution" activities (listed in the French Monetary and Financial Code) are now presented in NBI and re-invoicing of group assignments is still presented as a reduction in management fees. In 2020, the amount of contributions in NBI amounted to €356 million and the amount of contributions less operating expenses was €516 million.
- In 2020, BPCE SA's balance sheet base increased by €39 billion. This increase is in line with the context of the Covid-19 crisis, with the implementation of the funding required for the distribution of State-guaranteed loans by the Group and the significant increase in ordinary accounts in credit. Borrowed securities are now presented on the balance sheet as a deduction from the debt representing the value of securities borrowed pursuant to ANC Regulation 2020-10. The impact is a reduction in the size of the balance sheet of approximately €66 billion for BPCE SA.
- BPCE issued €4 billion of senior non-preferred debt. These issues contribute to strengthening Groupe BPCE's capital and the TLAC (Total Loss-Absorbing Capacity) and MREL ratios.

1.4 EVENT AFTER THE REPORTING PERIOD

FILING OF A SIMPLIFIED PUBLIC TENDER OFFER FOR NATIXIS SHARES

On February 9, 2021, BPCE SA announced its intention to acquire the share capital of Natixis SA that it did not hold, *i.e.* approximately 29.3% at December 31, 2020, and to file a simplified tender offer with the French Financial Markets Authority (AMF).

This proposed takeover bid, at a price of €4.00 per share (*cum* dividend), will be submitted to the AMF for review and will, if necessary, be followed by a squeeze-out if the conditions for its implementation are met. This proposed bid will have no impact on the control already exercised by BPCE over Natixis.

In accordance with the principles presented in Note 4.4 to the annual financial statements, BPCE examined the impact of this proposed offer on the determination of the value in use of Natixis used in the financial statements at December 31, 2020 and considered that this transaction did not call into question the value retained.

BPCE's equity investments are measured at value in use. The value in use takes into account the specific situation of BPCE, the fact that these investments belong to Groupe BPCE and their integration within the solidarity mechanism, their strategic interest for BPCE and the fact that they are held with a long-term objective.

They are based in particular on technical parameters based on a vision of long-term ownership and Group affiliation and not on valuation parameters.

1.5 IMPACT OF THE PUBLIC HEALTH CRISIS ON THE FINANCIAL STATEMENTS

The effects of the health crisis on BPCE's financial statements are described in the following paragraphs.

1.5.1 ECONOMIC SUPPORT MEASURES

The rapid spread of the Covid-19 pandemic caused a slump in the global economy, affecting many business sectors.

On March 15, 2020, before the announcement of the lockdown in France, the French Banking Federation (FBF), confirmed that French banks were fully committed to supporting customers – in particular retailers, self-employed professionals, and SMEs – facing difficulties due to the spread of the Covid-19 epidemic, which could impact their business.

Accordingly, Groupe BPCE helped its professional and business customers who were facing cash flow problems by actively implementing the economic support measures set up by the government:

- granting moratoria on loan repayments for businesses, without penalties or additional fees;
- issuing State-guaranteed loans (see below).

1.5.2 STATE-GUARANTEED LOANS (SGL)

The State-guaranteed loan (SGL) is a support scheme set up under Article 6 of the amended French Finance Act for 2020 (Act No. 2020-289 of March 23, 2020) and the ministerial order issued by the Minister of the Economy and Finance on March 23, 2020 establishing a state guarantee for credit institutions and financing companies from March 16, 2020, to meet the cash flow requirements of companies impacted by the Covid-19 health crisis. The State-guaranteed loan is subject to common eligibility criteria applicable by all institutions issuing the loan, as set out by law.

It is a one-year loan with capital repayments deferred for this period. At the end of the first year, companies that take out such a loan can decide to repay it over a period of between one or five years.

BPCE SA funded the Group companies that granted these SGLs to companies affected by the financial crisis. This resulted in an increase in the "Loans and advances due from banks" item.

1.5.3 ECB RECOMMENDATIONS REGARDING THE PAYMENT OF DIVIDENDS

As part of the health crisis and the recommendations of the ECB (suspension of cash dividends), the amount of dividends received in 2020 by BPCE and presented in "Income from variable-income securities" has been significantly reduced (€720 million in 2020 compared to €1,118 million in 2019). As a holding company, BPCE received dividends in the amount of €557 million, including €317 million from Holassure and €223 million from subsidiaries of the Financial Solutions & Expertise division.

1.5.4 IMPAIRMENT OF INVESTMENTS

The health crisis also led to a decrease in the value in use of certain BPCE investments, resulting in additional net impairments recognized in "Gains or losses on long-term investments", as mentioned in Note 3.9.

Note 2 Accounting policies

2.1 VALUATION METHODS, PRESENTATION OF INDIVIDUAL FINANCIAL STATEMENTS AND REPORTING DATE

The format of the summary statements used complies with the format proposed by regulation No. 2014-07 of the French Accounting Standards Authority.

The parent company annual financial statements for the fiscal year ended on December 31, 2020 were approved by the Management Board on February 9, 2021. They will be presented to the General Shareholders' Meeting on May 27, 2021.

The amounts presented in the financial statements and in the notes are shown in millions of euros, unless otherwise indicated. Rounding may lead to differences between the amounts shown in the financial statements and those referred to in the notes.

2.2 CHANGES IN ACCOUNTING METHODS

The texts adopted by the ANC that had mandatory application in 2020 did not have a significant impact on the parent company financial statements.

On the other hand, BPCE applies regulation No. 2020-10 of December 22, 2020 amending ANC Regulation No. 2014-07 of November 26, 2014 relating to the accounts of companies in the banking sector, which modifies the presentation of securities borrowings. Assets are presented as a deduction from liabilities in Notes 4.3.1, 4.7, 5.3 and in the balance sheet.

Unless otherwise stated, BPCE did not elect to apply in advance the texts adopted by the ANC for which application is optional.

2.3 ACCOUNTING POLICIES AND VALUATION METHODS

The financial statements for the fiscal year are presented in identical format to those for the previous fiscal year. Generally accepted accounting principles have been applied in compliance with the principle of prudence based on the following principles:

- the going-concern principle;
 - consistency of accounting methods from one period to the next;
 - independence of fiscal years;
- and observance of the general rules governing the preparation and presentation of annual financial statements.

The basic method for valuing accounting entries is the historical cost method and all balance sheet items are presented, as appropriate, net of amortization, provisions and allowances for impairment.

Specific accounting principles are presented in the Notes to which they refer.

2.4 USE OF ESTIMATES AND JUDGMENTS

Preparation of the financial statements requires to make estimates and assumptions in certain areas with regard to uncertain future events.

These estimates are based on the judgment of the individuals preparing these financial statements and the information available at the balance sheet date.

Actual future results may differ from these estimates.

With respect to the financial statements for the period ended December 31, 2020 in particular, accounting estimates requiring assumptions were mainly used for the following measurements:

- the value of financial instruments determined on the basis of valuation techniques, including the value in use of investments in associates;
- provisions recognized as liabilities on the balance sheet;
- calculations related to the cost of pensions and future employee benefits.

Uncertainties arising from the Covid-19 crisis are described in Note 1.5.

2.5 PRINCIPLES APPLICABLE TO BANKING RESOLUTION MECHANISMS

The terms and conditions governing the establishment of the deposit and resolution guarantee fund were amended by the Ministerial Order of October 27, 2015.

For the Guarantee Fund in respect of cash, collateral and securities deposits, the cumulative amount of contributions made by the Group represented a non-material amount. Contributions (which are non-refundable in the event of a voluntary withdrawal of authorization) had no material impact on BPCE's financial statements. Contributions paid in the form of partner or association certificates and cash security deposits recognized as assets in the balance sheet were not material.

The resolution fund was set up in 2015 in accordance with European directive 2014/59/EU (Bank Recovery and Resolution directive), which established a framework for the recovery and resolution of banks and investment firms, *i.e.* European Regulation 806/2014 (Single Resolution Mechanism (SRM) Regulation). As of 2016, it became the Single Resolution Fund (SRF), formed by the Member States participating in the Single Supervisory Mechanism (SSM). The SRF is a financing mechanism available to the resolution authority (Single Resolution Board) for the implementation of resolution procedures.

The Single Resolution Board set the level of contributions for 2020 in accordance with Delegated Regulation 2015/63 and Implementing Regulation 2015/81 supplementing the BRRD on *ex-ante* contributions to bank resolution financing mechanisms. The amount of contributions made available for the fiscal year totaled €60.5 million, of which €51.4 million recognized as an expense and €9.1 million in cash security deposits recognized as assets in the balance sheet (15% of funds in cash security deposits). The cumulative amount of contributions recognized as assets on the balance sheet totaled €41 million at December 31, 2020.

Note 3 Information on the income statement

3.1 INTEREST AND SIMILAR INCOME AND EXPENSES

Accounting principles

Interest and similar commission income is recognized on a *pro rata* basis.

For the fiscal year 2020, the negative interest is presented as follows:

- a negative interest on an asset is presented as an interest expense in NBI;
- a negative interest on a liability is presented as interest income in NBI.

For the fiscal year December 31, 2019, negative interest was presented net of positive interest on financial assets and liabilities, respectively.

Commissions and fees related to granting or acquiring a loan are treated as additional interest amortized over the effective life of the loan, on a *pro rata* basis according to the outstanding amount due.

The portion of income received during the year from bonds or negotiable debt securities is also recognized. The same applies to perpetual deeply subordinated notes that meet the definition of a Tier 1 regulatory capital instrument. The Group considers that these revenues are effectively similar in nature to interest.

in millions of euros	Fiscal year 2020			Fiscal year 2019		
	Income	Expense	Net	Income	Expense	Net
Transactions with banks ⁽¹⁾⁽³⁾	1,951	(1,541)	410	1,140	(308)	832
Customer transactions ⁽¹⁾	8	(2)	6	12	(1)	11
Bonds and other fixed-income securities	823	(1,467)	(644)	895	(1,828)	(933)
Subordinated debt	0	(275)	(275)	0	(511)	(511)
Macro-hedging transactions ⁽²⁾	11	0	11	116	(83)	33
TOTAL	2,793	(3,285)	(492)	2,163	(2,731)	(568)

(1) At December 31, 2020, negative interest income on transactions with banks and customers amounted to €940 million and expenses amounted to €916 million.

(2) As of December 31, 2020, macro-hedging transactions are presented net.

(3) Interest income and similar expenses on transactions with banks include interest on TLTRO3 funding mentioned in Note 4.1. and those of associated loans granted to Group institutions.

3.2 INCOME FROM VARIABLE-INCOME SECURITIES

Accounting principles

Income from variable-income securities includes dividends and other income from equities and other variable-income securities, equity interests, other long-term investments and investments in affiliates.

Dividends are recognized when the right to receive payment has been decided by the competent body. They are recognized under "Income from variable-income securities".

in millions of euros	Fiscal year 2020	Fiscal year 2019
Equities and other variable-income securities	0	0
Equity interests and other long-term investments	163	211
Investments in affiliates*	557	907
TOTAL	720	1,118

* As mentioned in Note 1.5.3. the amount of dividends fell sharply in 2020 following the recommendations of the ECB.

3.3 COMMISSIONS

Accounting principles

Fees and commissions that are similar in nature to interest are recognized under "Interest and similar income and expenses" (see Note 3.1).

- Other commission income is recognized according to the type of service provided as follows:
- commissions received for an *ad hoc* service are recognized on completion of the service;
- commissions received for an ongoing or discontinued service paid for in several installments are recognized over the period in which the service is provided.

in millions of euros	Fiscal year 2020			Fiscal year 2019		
	Income	Expense	Net	Income	Expense	Net
Cash and interbank transactions	5	(2)	3	8	(2)	6
Customer transactions	1	(1)	0	1	(1)	0
Securities transactions	0	(2)	(2)	0	(1)	(1)
Payment services	0	(19)	(19)	150	(159)	(9)
Foreign exchange transactions	0	0	0	0	0	0
Off-balance sheet commitments	1	0	1	1	0	1
Financial services*	97	(8)	89	68	(7)	61
Consulting services	0	0	0	0	0	0
Other fee and commission income/(expense)	0	0	0	0	0	0
TOTAL	104	(32)	72	228	(170)	58

* The increase is mainly due to the integration of four quarters of Eurotitres results in 2020, compared to three in 2019 (acquisition on March 31, 2019).

3.4 NET GAINS OR LOSSES ON TRADING BOOK TRANSACTIONS

Accounting principles

Net gains or losses on trading book transactions include:

- net gains or losses on balance sheet and off-balance sheet securities transactions;
- net gains or losses on outright forward foreign exchange transactions, arising from currency purchases and sales and the periodic valuation of currency and precious metal transactions;
- net gains or losses from transactions in futures or options instruments, including hedging of trading book transactions.

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Trading securities	0	0
Foreign exchange transactions	(1)	(2)
Forward transactions*	(6)	347
TOTAL	(7)	345

* The gain recorded in 2019 was due to the recognition in the income statement, in the amount of €345 million, of an option premium not recognized before maturity, in accordance with French GAAP (winding-up of the Natixis CIB exposures guarantee run-off activity).

3.5 NET GAINS OR LOSSES ON AVAILABLE-FOR-SALE SECURITIES AND EQUIVALENT

Accounting principles

This item comprises the net gains or losses on available-for-sale securities arising from the difference between a) provision reversals and capital gains on disposals and b) provision charges and losses on disposals.

<i>in millions of euros</i>	Fiscal year 2020		Fiscal year 2019	
	Available-for-sale securities	Total	Available-for-sale securities	Total
Impairment				
Charges*	(163)	(163)	(34)	(34)
Reversals	3	3	23	23
Net gain/(loss) on disposal	1	1	(10)	(10)
Other items	0	0	0	0
TOTAL	(159)	(159)	(21)	(21)

* The charges recorded in 2020 mainly relate to FIDOR for an amount of €132 million.

3.6 OTHER BANKING INCOME AND EXPENSES

Accounting principles

Other banking income and expenses cover primarily the share in joint operations, the rebilling of banking income and expenses, income and expenses from real estate business and IT services.

in millions of euros	Fiscal year 2020			Fiscal year 2019		
	Income	Expense	Net	Income	Expense	Net
Share in joint operations	0	0	0	0	0	0
Rebiling of banking income and expenses*	356	0	356	0	0	0
Electronic payment terminal business	0	0	0	0	0	0
Amortization and rebiling of issuance costs	0	(21)	(21)	0	(13)	(13)
Real estate business	0	0	0	3	0	3
Custody	7	0	7	4	0	4
IT services	0	0	0	0	0	0
Other activities	5	(48)	(43)	9	(5)	4
Other related income and expenses	0	0	0	0	0	0
TOTAL	368	(69)	299	16	(18)	(2)

* In 2020, rebiling of the "central institution" activities (listed in the French Monetary and Financial Code) are now presented in NBI and amount to €356 million. In 2019, they were presented as a reduction of operating expenses.

3.7 OPERATING EXPENSES

Accounting principles

Operating expenses include payroll costs (wages and salaries), employee profit-sharing and incentive schemes, social security charges and payroll taxes. Other administrative costs are also recorded, including other taxes and fees paid for external services.

in millions of euros	Fiscal year 2020	Fiscal year 2019
Wages and salaries	(217)	(187)
Pension costs and similar obligations ⁽¹⁾	(43)	(44)
Other social security charges	(76)	(81)
Employee incentive scheme	(19)	(20)
Employee profit-sharing scheme	0	0
Payroll taxes	(36)	(34)
Total payroll costs	(391)	(366)
Taxes other than on income	1	(6)
Other operating expenses	(640)	(558)
Rebilled expenses ⁽²⁾	614	587
Total other operating expenses	(25)	23
TOTAL	(416)	(343)

(1) Including additions, utilizations, and reversals of provisions for employee benefit obligations (see Note 3.9.3).

(2) In 2020, rebiling of the "central institution" activities (listed in the French Monetary and Financial Code) are now presented in NBI (see Note 3.6) and amount to €356 million. In 2019, they were presented as a reduction of operating expenses (not restated in the table). The 2020 amount also includes a catch-up effect from 2019.

Operating expenses were up by €73 million compared to 2019, mainly due to the operating expenses of €43 million, mainly related to the ongoing Groupe BPCE transformation projects.

The average headcount during the year, broken down by professional category, was as follows at December 31, 2020: 2,187 managerial staff and 318 non-managerial staff, making a total of 2,505 employees, compared with 1,918 managerial staff and 268 non-managerial staff at December 31, 2019.

3.8 COST OF RISK

Accounting principles

"Cost of risk" includes only the cost related to credit risk (or counterparty risk). Credit risk is the existence of a potential loss related to the possibility of the counterparty defaulting on its obligations. The term "counterparty" refers to any legal entity that receives a loan or an off-balance sheet commitment, is party to a forward financial instrument or the issuer of a debt security.

Cost of credit risk is calculated when the loan is classified as non-performing, *i.e.* when it is probable that the Group will not collect all or part of the sums owed under the terms of the commitments made by the counterparty in accordance with the initial contractual provisions, notwithstanding any guarantees or collateral.

The credit risk is also measured when a credit risk is identified on performing loans showing a significant increase in credit risk since their initial recognition (see Notes 4.1, 4.2.1, and 4.3.1).

Cost of credit risk therefore consists of all the impairment charges and reversals related to receivables due from customers and banks, fixed-income securities held to maturity (if there is known to be a risk of default by the issuer), provisions for off-balance sheet commitments (excluding off-balance sheet financial instruments) as well as losses on irrecoverable loans and recoveries of bad debts written off.

However, allocations to and reversals of provisions, losses on irrecoverable loans or recoveries of impaired loans relating to interest on non-performing loans and receivables for which provisioning is mandatory are classified under "Interest and similar income" and "Other banking income" in the income statement. For trading securities, available-for-sale securities, equity securities available for sale in the medium term and forward financial instruments, cost of counterparty risk is recognized directly in the items recording the gains and losses on these portfolios, except where there is a known risk of default by the counterparty that may effectively be isolated and where changes in counterparty risk provisions are therefore recorded in "cost of risk".

	Fiscal year 2020					Fiscal year 2019				
	Charges	Reversals and uses of funds	Losses	Recoveries of bad debts written off	Total	Charges	Reversals and uses of funds	Losses	Recoveries of bad debts written off	Total
<i>in millions of euros</i>										
Impairment of assets										
Interbank								(1)		(1)
Customers	(1)				(1)			(2)		(2)
Provisions										
Off-balance sheet commitments		1			1		1			1
TOTAL	(1)	1	0	0	0	0	1	(3)	0	(2)
<i>o/w: reversals of obsolete provisions</i>		1			1		1			1
NET AMOUNT OF REVERSALS		1			1		1			1

As mentioned in Note 4.1, loans and advances due from banks mainly relate to institutions benefiting from the guarantee and solidarity system presented in Note 1.2, which explains the non-materiality of the cost of risk in the BPCE SA parent company financial statements.

3.9 GAINS OR LOSSES ON LONG-TERM INVESTMENTS

Accounting principles

Gains or losses on long-term investments include:

- gains or losses on disposals of property, plant and equipment and intangible assets used for the bank's operations, arising from the difference between a) capital gains and losses on disposals and b) allocations and reversals of provisions;
- gains or losses on investments in associates, other long-term investments, equity interests, affiliates and held-to-maturity securities, arising from the difference between a) provision reversals and capital gains on disposals and b) provision charges and losses on disposals.

	Fiscal year 2020				Fiscal year 2019			
	Equity interests and other long-term investments	Held-to-maturity securities	Property, plant and equipment and intangible assets	Total	Equity interests and other long-term investments	Held-to-maturity securities	Property, plant and equipment and intangible assets	Total
<i>in millions of euros</i>								
Impairment								
Charges	(1,910)	0	0	(1,910)	(1,142)	0	0	(1,142)
Reversals	564	0	0	564	1,181	0	0	1,181
Net gain/(loss) on disposal	5	0	0	5	(380)	0	0	(380)
TOTAL	(1,341)	0	0	(1,341)	(341)	0	0	(341)

Gains or losses on investments in associates, equity interests, affiliates and other long-term investments included specifically:

- provisions for impairment of investments in associates:
 - Natixis (€1,521 million),
 - Compagnie Européenne de Garanties et de Cautions (€164 million),
 - BPCE International (€106 million),
 - BPCE Factor (€102 million);
- reversals of provisions for impairment on investments in associates:
 - Crédit Foncier (€453 million),

– Banque Palatine (€87 million);

- gains or losses on the sale of investments in associates and other long-term securities:
 - conversion of Visa Inc. Class C preferred shares into Visa Inc. class A preferred shares for an income of €17 million (net impact of the TRS recorded in micro-hedging),
 - loss of €11 million on the universal transfer of assets (TUP) of GCE Asap, fully offset by a reversal of a provision.

The valuation of investments in associates carried out in 2020 is described in Note 4.4.

3.10 NON-RECURRING INCOME

Accounting principles

This item only includes income and expenses before tax, which are generated or occur on an exceptional basis and are not related to the Group's regular activities.

No non-recurring income was recorded in the 2020 and 2019 fiscal years.

3.11 INCOME TAX

Accounting principles

As of 2010, BPCE opted to apply the provisions of Article 91 of the amended French Finance Act for 2008 which extended the tax consolidation regime to networks of mutual banks. This option is modeled on the tax consolidation for mutual insurers and takes into account consolidation criteria not based on ownership interest (the scheme is usually available if at least 95% of the share capital of a subsidiary is owned by a parent company).

As head of the Group, BPCE signed a tax consolidation agreement with members of its group (including the 14 Banques Populaires, the 15 Caisses d'Epargne, and BPCE subsidiaries, including BPCE International, Crédit Foncier, Banque Palatine and BPCE SFH).

In accordance with the terms of this agreement, BPCE recognizes a receivable for the tax to be paid to it by the other members of the tax consolidation group along with a payable corresponding to the tax to be paid to the tax authorities on behalf of the consolidation group.

The income tax expense for the period corresponds to the tax expense of BPCE in respect of 2020, corrected to reflect the impact of tax consolidation upon the Group.

3.11.1 INCOME TAX FOR 2020

Income tax breaks down as follows:

<i>in millions of euros</i>	Fiscal year 2020		
	31%	19%	15%
Taxable bases at the following rates:			
Tax on current income	2,507		2
Tax on non-recurring income	0		
Taxable bases	2,507	0	2
Applicable tax	(777)		
+ 3.3% supplementary corporate tax	(26)		
+ Extraordinary contributions	0		
- Deductions in respect of tax credits	53		
Reported income tax	(750)	0	0
Tax consolidation effect	1,015		
Adjustments to previous periods	2		
Impact of tax reassessments	1		
Provisions for the return to profitability of subsidiaries	(80)		
Provisions for taxes	79		
TOTAL	267	0	0

In 2020, as a result of tax consolidation income, the gain in income tax after taking into account changes in provisions and other adjustments was €267 million, up €121 million relative to 2019.

The change is mainly due to the contribution of a larger deficit by BPCE SA and BPCE International, the reversal of the provision covering the GIE Musica Lease ended early, and the recording as tax income of a tax loss claim concerning foreign tax credits following changes in case law.

3.11.2 TAXABLE INCOME – CHANGE FROM ACCOUNTING TO TAXABLE INCOME

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Net accounting income (A)	(1,073)	442
Corporate tax (B)*	(265)	(162)
Add-backs (C)	1,864	1,564
Impairments and provisions	136	69
UCITS	0	6
Long-term capital losses under exemptions	1,348	1,062
Share of profit from partnerships or joint ventures	159	15
Other items	221	412
Deductions (D)	872	2,081
Long-term capital gains under exemptions	0	0
Reversals of impairment and provisions	122	194
Dividends	239	1,906
Share of profit from partnerships or joint ventures	0	0
UCITS	1	0
Other items	510	(19)
Tax base at normal rate (A)+(B)+(C)-(D)	(346)	(237)

* Income tax is funded by the tax consolidation expense or income of BPCE SA group recognized in the parent company financial statements.

3.12 BREAKDOWN OF ACTIVITY

<i>in millions of euros</i>	Fiscal year 2020	Fiscal year 2019
Financial management	(292)	(40)
Financial Solutions & Expertise	321	210
Holding company	154	760
Central institution	250	0
Net banking income	433	930
Operating expenses	(432)	(356)
Gross operating income	1	574
Cost of risk	0	(2)
Operating income	1	572
Holding company	(1,331)	(341)
Financial management	(10)	0
Gains or losses on long-term investments	(1,341)	(341)
Income before tax	1,340	231

The various activities are detailed in the management report (Chapter 5.5).

Note 4 Balance sheet information

Unless otherwise indicated, explanatory notes for balance sheet items are presented net of depreciation, amortization, impairment and provisions.

4.1 INTERBANK TRANSACTIONS

Accounting principles

Loans and advances to banks cover all loans and advances made in connection with banking transactions with the exception of those represented by a security. They also include securities purchased under resale agreements, regardless of the type of underlying asset, and loans and

advances relating to securities repurchase agreements. They are broken down between demand loans and advances and term loans and advances. Loans to banks are recorded in the balance sheet at their nominal value, with the exception of buybacks of customer loans which are recorded at acquisition

cost, plus accrued interest and net of any impairment charges recognized for credit risk.

Amounts due to banks are recorded under demand deposits and current accounts or term deposits and borrowings. Amounts due to customers are classified into regulated savings accounts and other deposits for customers. Depending on the counterparty involved, these items include securities and other assets sold under repurchase agreements. Accrued interest is recorded under related payables.

Guarantees received are booked as off-balance sheet items. They are remeasured on a regular basis. The total carrying amount of all guarantees received for a single loan is limited to the principal amount outstanding on the loan.

Restructured loans

Within the meaning of ANC Regulation No. 2014-07, restructured loans are non-performing loans and receivables whose initial characteristics (term, interest rate) are modified to allow the counterparties to repay the amounts due.

A discount is taken on restructured loans to reflect the difference between the present value of the contractual cash flows at inception and the present value of expected principal and interest repayments after restructuring. The discount rate used for fixed-rate loans is the initial effective interest rate and the discount rate used for variable-rate loans is the most recent effective interest rate prior to the restructuring date. The effective rate is the contractual rate. This discount is expensed to "Cost of risk" in income and offset against the corresponding outstanding in the balance sheet. It is written back to net interest income in the income statement over the life of the loan using an actuarial method.

A restructured loan may be reclassified as performing when the new repayment dates are observed. When a loan that has been reclassified becomes overdue, regardless of the restructuring terms agreed, the loan is downgraded to non-performing.

Non-performing loans and receivables

Non-performing loans and receivables consist of all outstanding amounts (whether or not they are due, guaranteed or other), where at least one commitment made by the obligor has involved a known credit risk, classified as such on an individual basis. Loans are considered "at risk" when it is probable that the Group will not collect all or part of the sums due under the terms of the commitments made by the counterparty, notwithstanding any guarantees or collateral.

Non-performing loans are identified in compliance with ANC Regulation No. 2014-07, particularly in the case of loans with payments more than three months past due (more than six months past due for real estate loans and more than nine months past due for loans to local authorities).

Non-performing loans are considered to be irrecoverable when full or partial collection is deemed to be highly unlikely and a write-off is considered. Loans and receivables whose terms have lapsed, terminated lease financing arrangements and perpetual loans which have been rescinded, are considered as irrecoverable. The existence of guarantees covering nearly all risks, along with the conditions for classification as

non-performing loans and receivables, shall be taken into consideration in order to qualify a non-performing loan as irrecoverable and to assess the associated impairment provision. A debt that has been classified as non-performing for more than one year is assumed to be irrecoverable, unless a write-off is not foreseen. Reclassification of a debt from non-performing to irrecoverable does not automatically entail the reclassification of the counterparty's other non-performing loans and commitments to irrecoverable.

For non-performing loans and receivables, accrued interest or interest due but not yet received is recognized in banking income and impaired accordingly. For irrecoverable loans and receivables, accrued interest due but not yet received is not recognized.

Non-performing loans and receivables are reclassified as performing once the obligor resumes regular payments in accordance with the original repayment schedule, provided that the counterparty is no longer considered to be at risk of default.

Repurchase agreements

Securities repurchase agreements are recognized in accordance with ANC Regulation No. 2014-07, supplemented by FBF Instruction No. 94-06, as amended.

The assets sold continue to be recorded in the vendor's balance sheet of the vendor, with a corresponding entry for the amount collected, representing its debt to the purchaser, under liabilities. The buyer records the amount paid under assets, representing the amount owed to the vendor. At each balance sheet date, the assets, as well as the liability towards the buyer or the amount owed to the vendor, are measured in accordance with the rules specific to these transactions.

Impairment

Loans for which recovery is uncertain result in the recognition of an impairment loss on the asset to cover the risk of loss. Impairment losses are calculated on a case-by-case basis, taking into account the present value of guarantees received. They are determined at least quarterly and are calculated in reference to available guarantees and a risk analysis. At a minimum, impairment losses cover the interest not received on non-performing loans.

Impairment for probable losses includes all impairment charges, calculated as the difference between the principal amount outstanding and the projected cash flows discounted at the initial effective interest rate. Projected cash flows are determined by category of receivables, based on past losses and/or expert analysis, and are positioned over time using debt schedules based on past collection records.

Impairment charges and reversals recognized for non-recovery risk are recorded under "Cost of risk" except for the impairment of interest on non-performing loans and receivables, which is recorded as impaired interest under "Interest and similar income".

The reversal of the impairment related to the passage of time alone is recorded under "Cost of risk".

Irrecoverable loans and receivables are written off as losses and the corresponding impairment allowances are reversed.

LOANS AND ADVANCES DUE FROM BANKS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts	1,538	1,831
Overnight loans	6,008	1,881
Securities purchased under demand repurchase agreements	0	0
Unallocated items	26	29
Accrued interest on demand accounts	0	1
Demand accounts	7,572	3,742
Term accounts and loans	196,528	159,463
Subordinated and participating loans	3,873	3,623
Securities purchased under term repurchase agreements	2,877	3,855
Accrued interest on term accounts	(263)	(34)
Term accounts	203,015	166,907
Non-performing loans and receivables	0	0
<i>o/w irrecoverable non-performing loans and receivables</i>	<i>0</i>	<i>0</i>
Impairment of interbank loans and receivables	0	0
<i>o/w impairment of irrecoverable non-performing loans and receivables</i>	<i>0</i>	<i>0</i>
TOTAL	210,587	170,649

At December 31, 2020, receivables arising from transactions with the networks can be broken down into €7,449 million in demand accounts, and €189,038 million in term accounts. At December 31, 2019, receivables arising from transactions with the networks can be broken down into €3,415 million in demand accounts, and €155,980 million in term accounts.

Loans and advances due from banks therefore mainly relate to institutions benefiting from the guarantee and solidarity system presented in Note 1.2, which explains the absence of impairment.

The increase in Term accounts and loans is mainly due to the funding granted to Group institutions that have granted State-guaranteed loans (SGL) (see Note 1.5.2).

AMOUNTS DUE TO BANKS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts	48,955	19,740
Overnight deposits	8,335	8,966
Securities sold under demand repurchase agreements	0	0
Other amounts due	64	24
Accrued interest on demand accounts	(16)	(4)
Demand accounts	57,338	28,726
Term accounts and loans	164,031	92,245
Securities sold under term repurchase agreements	17,343	10,396
Accrued interest payable on term loans	(366)	(104)
Term accounts	181,008	102,537
TOTAL	238,346	131,263

At December 31, 2020, amounts payable arising from transactions with the networks can be broken down into €55,282 million in demand accounts, and €88,561 million in term accounts. At December 31, 2019, amounts payable arising from transactions with the networks can be broken down into €26,923 million in demand accounts, and €69,013 million in term accounts.

The increase in the Term accounts and borrowings item is mainly due to the participation in long-term funding operations (TLTRO3) with the ECB, which amounted to €81,496 million at December 31, 2020. This debt has given rise to the recognition of interest income in the item "Interest and similar income" on the basis of a subsidized rate of -1% applicable over the period insofar as the Group considers it highly probable that it will achieve the stability objectives of outstanding loans defined by the ECB.

4.2 CUSTOMER TRANSACTIONS

Accounting principles

Amounts due from customers include loans to entities other than banks, with the exception of debt securities issued by customers, assets purchased under resale agreements, and receivables corresponding to securities sold under repurchase agreements. They are broken down between business loans, current accounts with overdrafts and other facilities granted to customers. Loans granted to customers are recorded in the balance sheet at their nominal value, with the exception of repurchases of customer loans which are recorded at acquisition cost, plus accrued interest and net of any impairment charges recognized for credit risk. Fees and marginal transaction costs are added to the principal amount outstanding on the loan in question.

Guarantees received are booked as off-balance sheet items. They are remeasured on a regular basis. The total carrying amount of all guarantees received for a single loan is limited to the principal amount outstanding on the loan.

Restructured loans

Within the meaning of ANC Regulation No. 2014-07, restructured loans are non-performing loans and receivables whose initial characteristics (term, interest rate) are modified to allow the counterparties to repay the amounts due.

A discount is taken on restructured loans to reflect the difference between the present value of the contractual cash flows at inception and the present value of expected principal and interest repayments after restructuring. The discount rate used for fixed-rate loans is the initial effective interest rate and the discount rate used for variable-rate loans is the most recent effective interest rate prior to the restructuring date. The effective rate is the contractual rate. This discount is expensed to "Cost of risk" in income and offset against the corresponding outstanding in the balance sheet. It is written back to net interest income in the income statement over the life of the loan using an actuarial method.

A restructured loan may be reclassified as performing when the new repayment dates are observed. When a loan that has been reclassified becomes overdue, regardless of the restructuring terms agreed, the loan is downgraded to non-performing.

Non-performing loans and receivables

Non-performing loans and receivables consist of all outstanding amounts (whether or not they are due, guaranteed or other), where at least one commitment made by the obligor has involved a known credit risk, classified as such on an individual basis. Loans are considered "at risk" when it is probable that the Group will not collect all or part of the sums due under the terms of the commitments made by the counterparty, notwithstanding any guarantees or collateral.

Non-performing loans are identified in compliance with ANC Regulation No. 2014-07, particularly in the case of loans with payments more than three months past due (more than six months past due for real estate loans and more than nine months past due for loans to local authorities).

Non-performing loans are considered to be irrecoverable when full or partial collection is deemed to be highly unlikely and a write-off is considered. Loans and receivables whose terms have lapsed, terminated lease financing arrangements and perpetual loans which have been rescinded, are considered as irrecoverable. The existence of guarantees covering nearly all

risks, along with the conditions for classification as non-performing loans and receivables, shall be taken into consideration in order to qualify a non-performing loan as irrecoverable and to assess the associated impairment provision. A debt that has been classified as non-performing for more than one year is assumed to be irrecoverable, unless a write-off is not foreseen. Reclassification of a debt from non-performing to irrecoverable does not automatically entail the reclassification of the counterparty's other non-performing loans and commitments to irrecoverable.

For non-performing loans and receivables, accrued interest or interest due but not yet received is recognized in banking income and impaired accordingly. For irrecoverable loans and receivables, accrued interest due but not yet received is not recognized.

Non-performing loans and receivables are reclassified as performing once the obligor resumes regular payments in accordance with the original repayment schedule, provided that the counterparty is no longer considered to be at risk of default.

Repurchase agreements

Securities repurchase agreements are recognized in accordance with ANC Regulation No. 2014-07, supplemented by FBF Instruction No. 94-06, as amended.

The assets sold continue to be recorded in the vendor's balance sheet of the vendor, with a corresponding entry for the amount collected, representing its debt to the purchaser, under liabilities. The buyer records the amount paid under assets, representing the amount owed to the vendor. At each balance sheet date, the assets, as well as the liability towards the buyer or the amount owed to the vendor, are measured in accordance with the rules specific to these transactions.

Impairment

Loans for which recovery is uncertain result in the recognition of an impairment loss on the asset to cover the risk of loss. Impairment losses are calculated on a case-by-case basis, taking into account the present value of guarantees received. They are determined at least quarterly and are calculated in reference to available guarantees and a risk analysis. At a minimum, impairment losses cover the interest not received on non-performing loans.

Impairment for probable losses includes all impairment charges, calculated as the difference between the principal amount outstanding and the projected cash flows discounted at the initial effective interest rate. Projected cash flows are determined by category of receivables, based on past losses and/or expert analysis, and are positioned over time using debt schedules based on past collection records.

Impairment charges and reversals recognized for non-recovery risk are recorded under "Cost of risk" except for the impairment of interest on non-performing loans and receivables, which is recorded as impaired interest under "Interest and similar income".

The reversal of the impairment related to the passage of time alone is recorded under "Cost of risk".

Irrecoverable loans and receivables are written off as losses and the corresponding impairment allowances are reversed.

4.2.1 CUSTOMER TRANSACTIONS

RECEIVABLES DUE FROM CUSTOMERS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Current accounts with overdrafts	45	16
Business loans	0	0
Export loans	0	0
Short-term credit facilities and consumer loans	80	81
Equipment loans	603	465
Overnight loans	0	0
Home loans	0	0
Other customer loans	0	0
Securities purchased under resale agreements	2,397	2,420
Subordinated loans	420	270
Other	121	131
Other facilities granted to customers	3,621	3,367
Accrued interest	(8)	(6)
Non-performing loans and receivables	3	0
Impairment of customer loans and advances	(1)	0
TOTAL	3,660	3,377

AMOUNTS DUE TO CUSTOMERS

	12/31/2020			12/31/2019		
<i>in millions of euros</i>	Demand	Term	Total	Demand	Term	Total
Current accounts	1,534	0	1,534	2,001	0	2,001
Loans from financial sector customers	0	0	0	0	203	203
Securities sold under repurchase agreements	0	4,754	4,754	0	4,910	4,910
Other accounts and loans	0	0	0	0	0	0
Accrued interest	0	(5)	(5)	0	(2)	(2)
TOTAL	1,534	4,749	6,283	2,001	5,111	7,112

4.2.2 BREAKDOWN OF OUTSTANDING LOANS BY TYPE OF CUSTOMER

	Performing loans and receivables	Non-performing loans and receivables		O/w irrecoverable non-performing loans and receivables	
<i>in millions of euros</i>	Gross	Gross	Individual impairment	Gross	Individual impairment
Non-financial companies	693	3	(1)	3	(1)
Self-employed customers					
Insurance companies	2,807				
Non-profit institutions					
Government and social security institutions	36				
Other	121				
TOTAL AT DECEMBER 31, 2020	3,657	3	(1)	3	(1)
TOTAL AT DECEMBER 31, 2019	3,377	0	0	0	0

4.3 TREASURY BILLS, BONDS, EQUITIES AND OTHER FIXED/VARIABLE-INCOME SECURITIES

Accounting principles

The term “securities” covers interbank market securities, treasury bills and other negotiable debt securities, bonds and other fixed-income instruments (i.e. whose returns do not change), equities and other variable-income instruments.

For accounting purposes, securities transactions are governed by ANC Regulation No. 2014-07, which sets out the general accounting and measurement rules applicable to securities and the rules governing specific transactions such as temporary sales of securities.

Securities are classified in the following categories: investments in associates and affiliates, other long-term investments, debt securities held to maturity, equity securities available for sale in the medium term, securities available for sale, and trading securities.

With respect to trading securities, securities available for sale, debt securities held to maturity, and equity securities available for sale in the medium term, provisions for counterparties with known default risks whose impact can be separately identified are recognized in the form of impairment charges. Changes in impairment are recorded under “Cost of risk”.

In the event of a securities lending transaction, the securities loaned cease to appear on the balance sheet and a receivable representing the book value of the securities loaned is recognized as an asset.

In the case of a securities borrowed transaction, the borrowed securities are recorded in the trading securities category with a corresponding liability to the securities debt to the lender for an amount equal to the market price of the securities borrowed on the date of borrowing. Securities borrowed are presented in the balance sheet as a deduction from the debt representing the value of the securities borrowed.

Trading securities

These are securities acquired or sold with the intention to resell or repurchase them after a short holding period. In order to be eligible for this category, the securities must be tradable on an active market at the date of their initial recognition and their market prices must be accessible, representing actual transactions regularly occurring in the market under normal trading conditions. They may be either fixed-or variable-income instruments.

Trading securities are recorded in the accounts at cost on their acquisition date, less transaction costs and including accrued interest, where applicable. In the event of short selling, the debt is recorded under liabilities in the amount of the selling price of the securities, less transaction costs.

They are marked to market at the end of the fiscal year based on the market price on the most recent trading day. The overall balance of differences resulting from fluctuations in prices is taken to the income statement. For UCITS and investment funds, market value corresponds to net asset values reflecting available market information at the balance sheet date.

Securities classified as trading securities may not be transferred to another accounting category (except in exceptional market situations requiring a change of strategy or in the absence of an active market for fixed-income securities), and the rules for their presentation and measurement continue to apply until they are sold, redeemed in full or written off.

Available-for-sale securities

Securities that do not qualify for recognition in any other category are considered as available-for-sale securities.

Available-for-sale securities are recorded in the accounts at cost on their acquisition date, less transaction costs.

Where applicable, for fixed-income securities, accrued interest is recognized as a balancing entry in the income statement under “Interest and similar income”.

Any difference between the acquisition price and the redemption value (premium or discount) for fixed-income instruments is recorded in the income statement over the remaining term of the security using the actuarial method.

Available-for-sale securities are measured at the lower of acquisition cost or market price. For UCITS and investment funds, market value corresponds to net asset values reflecting available market information at the balance sheet date.

Unrealized capital losses are subject to an impairment charge that can be estimated for each group of similar securities, with no offsetting against capital gains recorded on other categories of securities.

Gains generated by hedging instruments, if any, as defined by Article 2514-1 of ANC Regulation No. 2014-07, are taken into account for the calculation of impairment. Unrealized capital gains are not recognized.

Gains and losses on disposal of available-for-sale securities, as well as impairment charges and reversals are recorded under “Net gains or losses on available-for-sale securities and equivalent”.

Held-to-maturity securities

These include fixed-income securities with fixed maturity that were acquired or have been reclassified from “Trading securities” or “Available-for-sale securities” and which the company intends and is able to hold to maturity. The securities should not be subject to an existing restriction, legal or otherwise, liable to have an adverse effect on the company’s intention to hold the securities to maturity. Classification as held-to-maturity securities is not incompatible with their designation as items hedged against interest rate risk.

Securities held to maturity are recorded in the accounts at cost as of their acquisition date, less transaction costs. When previously classified as available for sale, they are recorded at cost and the previously recognized impairment charges are reversed over the residual life of the relevant securities.

The difference between the acquisition cost and the redemption value of the securities, and the corresponding interest, are recognized in accordance with the same rules as those applicable to fixed-income securities available for sale.

An impairment loss may be recognized if there is a strong probability that the institution will not hold the securities to maturity due to new circumstances or if there is a risk of default by the issuer. Unrealized capital gains are not recognized.

Debt securities held to maturity cannot be sold or transferred to another category of securities, with certain exceptions.

However, pursuant to the provisions of ANC Regulation No. 2014-07, fixed-income trading or available-for-sale securities reclassified to the category of debt securities held to maturity as a result of market illiquidity may be sold when the market on which they are traded becomes active again.

4.3.1 SECURITIES PORTFOLIO

	12/31/2020				12/31/2019			
	Securities held for trading ⁽²⁾	Available-for-sale securities	Securities held to maturity	Total	Securities held for trading ⁽²⁾	Available-for-sale securities	Securities held to maturity	Total
<i>in millions of euros</i>								
Gross amount ⁽²⁾	0	733	0	733	0	964		964
Accrued interest		23	0	23		22		22
Impairment ⁽¹⁾		0		0		0		0
Treasury bills and equivalent	0	756	0	756	0	986	0	986
Gross amount ⁽²⁾	0	2,318	2,728	5,046	0	2,467	3,138	5,605
Accrued interest		7	16	23		8	20	28
Impairment ⁽¹⁾		(51)	(1)	(52)		(24)	0	(24)
Bonds and other fixed-income securities	0	2,274	2,743	5,017	0	2,451	3,158	5,609
Gross amount		3,372		3,372		1,414		1,414
Accrued interest				0				0
Impairment ⁽¹⁾		(214)		(214)		(81)		(81)
Equities and other variable-income securities	0	3,158		3,158	0	1,333	0	1,333
TOTAL	0	6,188	2,743	8,931	0	4,770	3,158	7,928

(1) After taking into account any associated micro-hedging.

(2) In accordance with ANC Regulation No. 2020-10, the value of trading securities presented in the balance sheet, as a deduction from debt on securities borrowed, was €63,572 million compared to €67,196 million at December 31, 2019. This amount breaks down into:

- €14,732 million for treasury bills and equivalent compared to €16,194 million at December 31, 2019.
- €48,350 million for bonds and other fixed-income securities, compared to €48,930 million at December 31, 2019.

In addition, among these trading securities, the value of those that were loaned out was €490 million, compared to €2,072 million at December 31, 2019.

Other changes in available-for-sale and investment securities

The change in bonds and other fixed-income securities classified as available-for-sale securities mainly reflects the amortization of shares in a portfolio of mortgage loan or public asset securitizations for a nominal amount of €131 million.

The change in bonds and other fixed-income securities classified as held-to-maturity securities mainly reflects the amortization of shares in a portfolio of mortgage loan or public asset securitizations for a nominal amount of €611 million and an acquisition of "senior non-preferred" Natixis shares for €251 million.

The change in variable-income securities, classified under available-for-sale securities, is mainly due to the acquisition of a UCITS cash fund for €1,650 million and the acquisition of Visa Inc. Class A preference shares following the conversion of VISA Inc. Class C preference shares for €240 million as mentioned in Note 4.4.1.

The market value of held-to-maturity securities stood at €2,667 million.

At December 31, 2020, unrealized capital gains totaled €245 million, and capital losses €402 million.

TREASURY BILLS, BONDS AND OTHER FIXED-INCOME SECURITIES: BREAKDOWN BY TYPE OF LISTING

<i>in millions of euros</i>	12/31/2020				12/31/2019			
	Transaction*	Available-for-sale securities	Securities held to maturity	Total	Transaction*	Available-for-sale securities	Securities held to maturity	Total
Listed securities		2,346		2,346		2,574		2,574
Unlisted securities		654	2,727	3,381		833	3,138	3,971
Securities loaned	0	0	0	0	0	0	0	0
Non-performing loans and receivables				0				0
Accrued interest		30	16	46		30	20	50
TOTAL	0	3,030	2,743	5,773	0	3,437	3,158	6,595
<i>o/w subordinated notes</i>				0				0

* See Note 4.3.1.

Unrealized losses on impaired available-for-sale securities totaled €49 million at December 31, 2020 compared with €21 million at December 31, 2019.

Unrealized gains on available-for-sale securities totaled €74 million at December 31, 2020 compared with €50 million at December 31, 2019.

Unrealized gains on held-to-maturity securities amounted to €71 million at December 31, 2020 compared with €103 million at December 31, 2019.

Unrealized capital losses on held-to-maturity securities, whether or not they are subject to an impairment charge for counterparty risk, totaled €131 million at December 31, 2020 compared with €96 million at December 31, 2019.

At December 31, 2020, bonds and other fixed-income securities issued by public-sector organizations amounted to €734 million compared with €964 million at December 31, 2019.

EQUITIES AND OTHER VARIABLE-INCOME SECURITIES: BREAKDOWN BY TYPE OF LISTING

<i>in millions of euros</i>	12/31/2020			12/31/2019		
	Securities held for trading	Available-for-sale securities	Total	Securities held for trading	Available-for-sale securities	Total
Listed securities		3,114	3,114		1,224	1,224
Unlisted securities		44	44		109	109
Accrued interest			0			0
TOTAL	0	3,158	3,158	0	1,333	1,333

The change in variable-income securities, classified under available-for-sale securities, is mainly due to the acquisition of a UCITS cash fund for €1,650 million and the acquisition of Visa Inc. Class A preference shares following the conversion of VISA Inc. Class C preference shares for €240 million as mentioned in Note 4.4.1.

At December 31, 2020, equities and other variable-income securities included €2,911 million in UCITS, with accumulation funds accounting for €2,862 million of that total (compared with €1,263 million in UCITS at December 31, 2019, including €1,213 million in accumulation funds).

Unrealized losses on impaired available-for-sale securities totaled €222 million at December 31, 2020. As at December 31, 2019, unrealized losses subject to an impairment charge amounted to €87 million.

Unrealized gains on available-for-sale securities totaled €100 million at December 31, 2020. As of December 31, 2019, unrealized gains on available-for-sale securities amounted to €70 million.

4.3.2 CHANGES IN HELD-TO-MATURITY SECURITIES

<i>in millions of euros</i>	12/31/2019	Purchases	Disposals and redemptions	Transfers between categories	Conversion	Discount/premium	Other changes	12/31/2020
Treasury bills	0		0			0	0	0
Bonds and other fixed-income securities	3,158	251	(611)		(76)	25	(4)	2,743
TOTAL	3,158	251	(611)	0	(76)	25	(4)	2,743

The changes mainly reflected the amortization of shares in a portfolio of mortgage loan and public asset securitizations for a nominal value of €611 million and the acquisition of Natixis "Senior not-preferred" shares for €251 million.

4.3.3 RECLASSIFICATION OF ASSETS

Accounting principles

In the interest of harmonizing accounting practices and ensuring consistency with IFRS, ANC Regulation No. 2014-07 reiterates the provisions of Opinion No. 2008-19 of December 8, 2008 on the reclassification of securities out of the "Trading securities" and "Available-for-sale securities" categories.

Reclassification from the "trading securities" category to the "Available-for-sale" and "Held-to-maturity" categories is now allowed in the following two cases:

- under exceptional market circumstances calling for a change of strategy;
- where fixed-income securities are no longer, after their acquisition, tradable on active markets, and provided that the company has the intention and ability to hold them in the foreseeable future or until they reach maturity.

Reclassifications from the "available-for-sale" category to the "Held-to-maturity" category are effective as from the reclassification date in either of the following conditions:

- under exceptional market circumstances calling for a change of strategy;

- where fixed-income securities are no longer tradable on an active market.

In its March 23, 2009 press release, the *Conseil national de la comptabilité* (CNC – French National Accounting Board) specified that "the possibility of portfolio transfers, in particular from available-for-sale securities portfolios to held-to-maturity securities portfolios as specified under Article 19 of CRB Regulation No. 90-01 before it was updated by CRC Regulation No. 2008-17, remains in force and is not repealed by ANC Regulation No. 2014-07. As CRC Regulation No. 2008-17, replaced by ANC Regulation No. 2014-07, provided for additional possibilities of transfers between portfolios, these new transfer possibilities are added, as of the regulation's effective date of July 1, 2008, to those previously defined".

Consequently, reclassification from the available-for-sale securities portfolio to the held-to-maturity portfolio remains possible through a simple change of intention if, at the transfer date, all the criteria for a held-to-maturity portfolio are met.

Reclassification due to a change of intention [provisions of CRB Regulation No. 90-01 prior to CRC Regulation No. 2008-17, replaced by ANC Regulation No. 2014-07]

BPCE has not reclassified any assets in the last two fiscal years.

In fiscal year 2020, the amortization of held-to-maturity securities reclassified in 2015 as available-for-sale securities represented a nominal amount of €131 million.

4.4 EQUITY INTERESTS, AFFILIATES AND OTHER LONG-TERM INVESTMENTS

Accounting principles

Investments in associates and affiliates

Securities falling into this category are securities which, if held over the long term, are deemed useful for the company's operations, mainly by allowing the company to exercise significant influence or control over the administrative bodies of the issuing companies.

Investments in associates and affiliates are recorded at cost, including transaction costs, if the amounts are significant.

They are individually measured at the balance sheet date at the lower of acquisition cost or value in use. Value in use is determined, in particular, on the basis of criteria such as the strategic nature of the investment, the intention to support the business or retain the investment, share price performance, net assets or restated net assets, and forecasts. Impairment is recognized for any unrealized capital losses, calculated for each line of securities, and is not offset with unrealized capital gains. Unrealized capital gains are not recognized.

Securities recorded under investments in associates and affiliates cannot be transferred to any other accounting category.

Other long-term investments

Other long-term investments are securities acquired with the intention of promoting the development of lasting business relationships, by creating special ties with the issuer, without taking an active part in its management due to the small percentage of voting rights that the investment represents.

Other long-term investments are recognized at acquisition cost, less transaction costs.

They are included in the balance sheet at the lower of historical cost or value in use. Value in use is determined for listed and unlisted securities based on the amount the company would agree to pay to obtain the securities, given its investment objective, if it were to acquire them. An impairment charge is recognized for any unrealized capital losses. Unrealized capital gains are not recognized.

Securities classified as other long-term investments may not be transferred to any other accounting category.

4.4.1 CHANGES IN EQUITY INTERESTS, INVESTMENTS IN AFFILIATES AND LONG-TERM INVESTMENTS

<i>in millions of euros</i>	12/31/2019	Increase	Decrease	Conversion	Other changes	12/31/2020
Equity interests and other long-term investments	4,038	37	(91)	(100)	1,615	5,499
Investments in affiliates	27,639	24	(1)	0	(1,789)	25,873
<i>o/w current account advances & perpetual deeply subordinated notes</i>	2,821	0	(1)	(93)	0	2,727
Gross amount	31,677	61	(92)	(100)	(174)	31,372
Equity interests and other long-term investments	(430)	(17)	22	0	(10)	(435)
Investments in affiliates	(5,826)	(1,892)	541	0	10	(7,167)
<i>o/w current account advances & perpetual deeply subordinated notes</i>	(5)	0	2	0	0	(3)
Impairment	(6,256)	(1,909)	563	0	0	(7,602)
TOTAL	25,421	(1,848)	471	(100)	(174)	23,770

Equity interests and other long-term investments

Shares in real estate companies are non-material.

Other long-term investments include partner and association certificates for the Deposit Guarantee Fund (for an insignificant amount).

The principal investments in associates acquired in 2020 included:

- acquisition of BPCE Solutions Immobilières from Crédit Foncier (€7 million);
- subscription to the capital increase of the Caisse de Refinancement de l'Habitat (€21 million);
- subscription to the Surassur capital increase (€17 million).

The main decreases in shares in 2020 are related to the conversion of 50% of Visa Inc. class C securities (€84 million).

Other movements mainly relate to:

- the simplified merger of Holassure (decrease of the shares in affiliated companies by €1,768 million and increase of €1,606 million in the CNP Assurances equity interests). This simplified merger generated a technical loss of €678 million representing part of the unrealized capital gain on these securities. This loss has been fully allocated to CNP securities and will be subject to a valuation test at least annually;
- the GCE Asap universal transmission of assets (decrease of €11 million) fully offset by a reversal of provisions.

There were no subscriptions or redemptions of TSSDI in 2020.

Investments in affiliates

As mentioned above, the simplified merger of Holassure reduces the investments in affiliates by €1,768 million.

Work on the valuation of investments in associates at December 31, 2020

The valuation of BPCE's major subsidiaries is based on multi-year forecasts discounted for expected dividend flows (Dividend Discount Model). Forecasts of expected dividend flows are based on the medium-term financial projections prepared by the entities concerned as part of Groupe BPCE's annual budgetary procedure and prepared for the purposes of the Group's management.

These valuations are based on the concept of value in use. As a result, they take into account the specific situation of BPCE, the fact that these investments belong to Groupe BPCE and their integration within the solidarity mechanism, their strategic interest for BPCE and the fact that they are held with a long-term objective.

These valuations are based on technical parameters based on a vision of long-term ownership and Group affiliation and not on valuation parameters. In particular:

- discount rate:
 - the determination of the discount rates at December 31, 2020 for all entities reflects (i) the continued decline in

long-term interest rates observed in the euro zone and more particularly in France and (ii) an assumption of equity risk premium stable compared to last year (historical long-term premium of 5%),

- these changes are reflected in a reduction of around 50 basis points in the discount rates used compared with the end of 2019,
- for Natixis, the discount rate used is 9.5%; it reflects Groupe BPCE's membership and therefore lags behind the rate used by the market (in particular by research analysts covering the security;
- prudential requirements:
 - the valuation work carried out by DDM is based on the capital requirements (CET1 capital) applicable to the various entities concerned, reflecting their affiliation with the BPCE SA central institution. These are below the levels observed or targeted on the market in a context where banking players operate, at their level, with a capital buffer compared to the requirements set by the European Central Bank,
 - the lowering of prudential requirements, in particular the lowering or even the cancellation-in the case of French exposures-of counter-cyclical buffers as well as the decision of the ECB of April 2020 to amend the composition of regulatory Pillar II (P2R), have also led to a reduction in the capital requirements of the various entities used for the valuations.

These various parameters will be subject to an annual review, according to the evolution of the prospects of the various entities, but also of the macro-economic and regulatory environment. More specifically, the criteria used to determine the valuation of Natixis will be enhanced to take into account the completion of the proposed public offer described in Note 1.4.

The valuation work carried out in connection with the closing of the accounts for 2020 mainly resulted in the recognition of the following impairment movements:

- recognition of impairment of €1,521 million on Natixis shares, decreasing the carrying amount to €11,794 million at December 31, 2020. This impairment is in addition to the impairment of €1,954 million recognized at December 31, 2019;
- an impairment of €164 million on Compagnie Européenne de Garanties et de Cautions shares, thus reducing the net value to €929 million at December 31, 2020;
- an impairment of €106 million on BPCE International shares, thus reducing the carrying amount to €720 million at December 31, 2020;
- an impairment of €102 million on BPCE Factor shares, thus reducing the carrying amount to €76 million at December 31, 2020;
- recognition of a provision reversal of €453 million for Crédit Foncier shares, increasing the carrying amount to €1,807 million at December 31, 2020;
- a provision reversal of €87 million on Banque Palatine shares, thus increasing the carrying amount to €754 million at December 31, 2020.

A sensitivity analysis based on a 50 basis point increase in the discount rate was carried out and would contribute to a decrease of 4.5% in the value in use of the shares in affiliated companies and other long-term securities.

A sensitivity analysis based on a 50 basis point increase in the discount rate and a 50 basis point increase in the capital adequacy requirement was also carried out and would contribute to a decrease of 7.2% in the value in use of the shares in affiliated companies and other long-term securities.

A sensitivity analysis based on a 50 basis point increase in the discount rate and a 50 basis point decrease in the perpetual growth rate has been carried out and would contribute to a

reduction of 6.0% in the value in use of the shares in affiliated companies and other long-term securities.

In the specific case of Natixis, by way of illustration, taking into account a cost of capital of 11.5% and a capital adequacy requirement of 11.0% (CET1 ratio) would reduce the value of the investment to €8,173 million for 70.6% (*i.e.* €3.66 per share). In addition, for information purposes, the fair value of BPCE shares as used in the IFRS consolidated financial statements of its shareholders was established by using a fair value of Natixis shares of €3.77 per share. This fair value is based on the share price at December 31, 2020 and on the price targets (after taking into account a control premium).

4.4.2 STATEMENT OF SUBSIDIARIES AND EQUITY INVESTMENTS

Subsidiaries and ownership interests <i>in millions of euros</i>	Share capital at 12/31/2019	Shareholders' equity other than share capital (incl. fund for general banking risks, as appropriate) at 12/31/2019	% interest held at 12/31/2020	Carrying amount of shares held at 12/31/2020	
				Gross	Net
A. Detailed information concerning holdings whose gross value exceeds 1% of the parent company's share capital					
1. Subsidiaries (more than 50%-owned)					
Natixis (SA) – 30, avenue Pierre-Mendès-France – 75013 Paris	5,045	10,176	70.64%	15,269	11,794
Crédit Foncier – 19, rue des Capucines – 75001 Paris	1,331	1,460	100.00%	3,682	1,807
BPCE International – 88, avenue de France – 75013 Paris	648	21	100.00%	1,728	720
Banque Palatine – 42, rue d'Anjou – 75008 Paris	689	316	100.00%	1,269	754
Compagnie Européenne de Garanties et de Cautions – 16, rue Hoche – 92919 La Défense	161	251	100.00%	1,093	929
BPCE Lease – 50, avenue Pierre-Mendès-France – 75013 Paris	354	138	100.00%	991	991
BPCE SFH – 50, avenue Pierre-Mendès-France – 75013 Paris	600	42	100.00%	600	600
Oney Bank – 40, avenue de Flandre – 59170 Croix	51	357	50.10%	370	370
BPCE Financement – 50, avenue Pierre-Mendès-France – 75013 Paris	74	37	100.00%	370	370
BPCE Factor – 50, avenue Pierre-Mendès-France – 75013 Paris	20	199	100.00%	178	76
SOCFIM – 10, boulevard de Grenelle – 75015 Paris	47	66	100.00%	135	135
ISSORIA (SAS) – 88, avenue de France – 75013 Paris	43	13	100.00%	99	64
SPORT IMAGINE – 50, avenue Pierre-Mendès-France – 75013 Paris	0	55	100.00%	55	55
Albiant-IT – 50, avenue Pierre-Mendès-France – 75013 PARIS	50	(13)	97.00%	49	49
GCE Participations – 50, avenue Pierre-Mendès-France – 75013 Paris	12	(6)	100.00%	34	7
Société d'Exploitation MAB – 50, avenue Pierre-Mendès-France – 75013 Paris	10	0	99.99%	15	5
Surassur – 534, rue de Neudorf – L2220 Luxembourg	14	6	96.33%	37	37
Turbo – 86, rue du Dôme – 92100 Boulogne-Billancourt	0	3	100.00%	12	12
BPCE Solutions Immobilières -19, rue des Capucines – 75001 Paris	1	0	100.00%	7	7
Basak 1 – 50, avenue Pierre-Mendès-France – 75013 Paris	4	(15)	100.00%	4	1
Basak 2 – 50, avenue Pierre-Mendès-France – 75013 Paris	4	(15)	100.00%	4	1
Basak 3 – 50, avenue Pierre-Mendès-France – 75013 Paris	4	(15)	100.00%	4	1
Basak 4 – 50, avenue Pierre-Mendès-France – 75013 Paris	4	(13)	100.00%	4	1
Behanzin – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(24)	100.00%	2	1
Berra 1 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(9)	100.00%	2	1
Berra 2 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(9)	100.00%	2	1
Berra 3 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(9)	100.00%	2	1
Berra 4 – 50, avenue Pierre-Mendès-France – 75013 Paris	6	(19)	100.00%	6	3
Berra 5 – 50, avenue Pierre-Mendès-France – 75013 Paris	6	(19)	100.00%	6	3
Kami – 50, avenue Pierre Mendès France – 75013 Paris	0	0	100.00%	3	3
Kanji1 – 50 avenue Pierre Mendès France – 75013 Paris	0	0	100.00%	2	2
Kendo – 50, avenue Pierre Mendès France – 75013 Paris	0	0	100.00%	2	2
Lotus 1 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(6)	100.00%	2	1
Lotus 2 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(6)	100.00%	2	1
Lotus 3 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(6)	100.00%	2	1
Mihos – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(26)	100.00%	2	1
Muge 1 – 50, avenue Pierre-Mendès-France – 75013 Paris	4	(9)	100.00%	4	1
Muge 2 – 50, avenue Pierre-Mendès-France – 75013 Paris	4	(10)	100.00%	4	1
Nara – 50, avenue Pierre Mendès France – 75013 Paris	0	0	100.00%	3	2
Olokun – 50, avenue Pierre Mendès France – 75013 Paris	0	0	100.00%	3	2

Loans and advances granted by the company and not yet repaid (incl. perpetual deeply subordinated notes) in 2020	Guarantees and endorsements given by the parent company in 2020	Net revenue before tax or NBI for the year ended 12/31/2019	Net profit/(loss) for the year ended 12/31/2019	Dividends received by the company during fiscal year 2020
64,192	12,942	3,930	2,242	-
16,553	210	296	190	-
508	-	20	(31)	-
3,038	-	317	23	18
401	-	97	70	70
4,899	-	91	37	35
-	-	9	-	-
2,725	-	319	23	-
1,494	600	272	64	64
3,079	-	145	31	31
1,258	-	59	24	24
5	8	1	-	-
-	-	10	(12)	-
76	-	218	(4)	-
-	-	-	1	-
-	-	-	-	-
-	-	19	-	-
-	-	4	1	-
-	-	27	(10)	-
1	-	8	2	-
1	-	8	2	-
1	-	8	1	-
1	-	7	1	-
7	-	9	(5)	-
3	-	4	-	-
3	-	4	-	-
3	-	4	-	-
7	-	9	(1)	-
6	-	9	(1)	-
16	-	-	-	-
10	-	-	-	-
11	-	-	-	-
-	-	3	-	-
-	-	3	-	-
-	-	3	-	-
2	-	5	(3)	-
2	-	7	2	-
2	-	7	2	-
10	-	-	-	-
10	-	-	-	-

Subsidiaries and ownership interests <i>in millions of euros</i>	Share capital at 12/31/2019	Shareholders' equity other than share capital (incl. fund for general banking risks, as appropriate) at 12/31/2019	% interest held at 12/31/2020	Carrying amount of shares held at 12/31/2020	
				Gross	Net
Orion – 50, avenue Pierre-Mendès-France – 75013 Paris	3	0	100.00%	4	3
Panda 1 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(3)	100.00%	2	0
Panda 2 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(3)	100.00%	2	0
Panda 3 – 50, avenue Pierre-Mendès-France – 75013 Paris	2	(3)	100.00%	2	0
Panda 4 – 50, avenue Pierre-Mendès-France – 75013 Paris	3	(4)	100.00%	3	0
Panda 5 – 50, avenue Pierre-Mendès-France – 75013 Paris	3	(4)	100.00%	3	0
Panda 6 – 50, avenue Pierre-Mendès-France – 75013 Paris	3	(5)	100.00%	3	0
Panda 7 – 50, avenue Pierre-Mendès-France – 75013 Paris	3	(5)	100.00%	3	0
Panda 8 – 50, avenue Pierre-Mendès-France – 75013 Paris	3	(6)	100.00%	3	1
Panda 9 – 50, avenue Pierre-Mendès-France – 75013 Paris	3	(6)	100.00%	3	1
Panda 10 – 50, avenue Pierre-Mendès-France – 75013 Paris	3	(6)	100.00%	3	1
Perle 1 – 50, avenue Pierre Mendès-France – 75013 Paris	4	(11)	100.00%	4	1
Perle 2 – 50, avenue Pierre Mendès-France – 75013 Paris	2	(3)	100.00%	2	0
Perle 3 – 50, avenue Pierre Mendès-France – 75013 Paris	2	(3)	100.00%	2	0
Perle 4 – 50, avenue Pierre Mendès-France – 75013 Paris	2	(3)	100.00%	2	0
Ramses – 50, avenue Pierre Mendès-France – 75013 Paris	3	(21)	100.00%	3	1
Rémus – 50, avenue Pierre Mendès France – 75013 Paris	2	0	100.00%	2	2
Satis – 50, avenue Pierre Mendès-France – 75013 Paris	2	(13)	100.00%	2	1
Seth – 50, avenue Pierre Mendès-France – 75013 Paris	5	(40)	100.00%	5	3
Siamon – 50, avenue Pierre Mendès-France – 75013 Paris	2	(13)	100.00%	2	1
Thara Raj – 50, avenue Pierre Mendès-France – 75013 Paris	2	(26)	100.00%	2	1
2. Affiliates (between 10%- and 50%-owned)					
CNP Assurances – 4 Place Raoul Dautry – 75015 Paris	687	10,769	16.11%	1,606	1,606
VBI Beteiligungs GmbH – Peregringasse 3 – 1090 Vienna – Austria	0	0	24.50%	299	0
MFC Prou-Investissements – 4, route d'Ancinnes – 61000 Alençon	37	20	49.00%	100	100
Socram Banque – 2, rue du 24 février – 79000 Niort	70	155	33.42%	44	41
Informatique Banque Populaire – 23, place de Wicklow – 78180 Montigny le Bretonneux	16	0	29.52%	5	5
Click and Trust – 18, quai de la Rapée – 75012 Paris	4	1	34.00%	3	1
France Active Garantie – Tour 9, 3 rue Franklin – 93100 Montreuil	11	15	14.00%	3	3
Systèmes Technologiques d'Échanges et de Traitement – 100, esplanade du Général de Gaulle – 92400 Courbevoie	20	79	15.04%	3	3
Nefer – Hameau de Caer – 27930 Normanville	8	0	34.00%	3	3
B. General information concerning other instruments whose gross value is less than 1% of the parent company's share capital					
French subsidiaries (all)				29	21
Foreign subsidiaries (all)				0	0
Association certificates				0	0
French companies				245	216
Foreign companies				189	280
<i>o/w investments in listed companies</i>				15,269	11,794

Loans and advances granted by the company and not yet repaid (incl. perpetual deeply subordinated notes) in 2020	Guarantees and endorsements given by the parent company in 2020	Net revenue before tax or NBI for the year ended 12/31/2019	Net profit/(loss) for the year ended 12/31/2019	Dividends received by the company during fiscal year 2020
9	-	8	(11)	-
-	-	4	1	-
-	-	3	1	-
-	-	4	1	-
-	-	4	1	-
-	-	4	1	-
-	-	4	1	-
-	-	5	1	-
-	-	5	1	-
-	-	5	1	-
-	-	4	1	-
3	-	7	1	-
-	-	3	1	-
1	-	3	1	-
1	-	3	1	-
4	-	7	(2)	-
4	-	-	(1)	-
2	-	4	(2)	-
11	-	13	(6)	-
3	-	4	(2)	-
2	-	5	(3)	-
917	156	33,546	1,343	-
-	-	-	1	-
-	-	-	5	-
-	50	53	5	-
-	-	373	26	-
-	-	-	(1)	-
-	-	5	(1)	-
-	-	94	8	-
-	-	-	-	-
64	-	-	-	-
-	-	-	-	-
-	-	-	-	-
3	9	-	-	-
-	-	-	-	3

4.4.3 COMPANIES ESTABLISHED WITH UNLIMITED LIABILITY

Corporate name	Head Office	Legal form
GIE BPCE Achats	12/20, rue Fernand-Braudel – 75013 Paris	EIG
GIE CE Syndication Risque	50, avenue Pierre-Mendès-France – 75201 Paris Cedex 13	EIG
GIE Ecolocale	50, avenue Pierre-Mendès-France – 75201 Paris Cedex 13	EIG
GIE BPCE Solutions Crédit	50, avenue Pierre-Mendès-France – 75201 Paris Cedex 13	EIG
GIE GCE Mobiliz	50, avenue Pierre-Mendès-France – 75201 Paris Cedex 13	EIG
GIE BPCE Infogérance & Technologies	110, avenue de France – 75013 Paris	EIG
GIE IT-CE	182, avenue de France – 75013 Paris	EIG
GIE BPCE Trade	50, avenue Pierre-Mendès-France – 75201 Paris Cedex 13	EIG
GIE BPCE Services Financiers	50, avenue Pierre-Mendès-France – 75201 Paris Cedex 13	EIG
SCI de la vision	48/56, rue Jacques-Hillairet – 75012 Paris	SCI
SNC Menes	50, avenue Pierre-Mendès-France – 75201 Paris Cedex 13	SNC
SNC Société Alsacienne de Locations Ferroviaires 1	116, cours Lafayette – 69003 Lyon	SNC
SNC Société Alsacienne de Locations Ferroviaires 2	116, cours Lafayette – 69003 Lyon	SNC
SNC Terrae	116, cours Lafayette – 69003 Lyon	SNC

4.4.4 RELATED-PARTY TRANSACTIONS

in millions of euros	12/31/2020			12/31/2019
	Banks	Other companies	Total	Total
Receivables	94,439	477	94,916	78,989
o/w subordinated items	3,389	401	3,790	3,288
Liabilities	53,745	108	53,853	45,665
o/w subordinated items	0	0	0	0
Loan commitments	0	0	0	0
Guarantee commitments	5,416	7	5,423	6,997
Other commitments given	21,407	0	21,407	6,389
Commitments given	26,823	7	26,830	13,386
Loan commitments	26,413	0	26,413	6,824
Guarantee commitments	0	0	0	0
Other commitments received	6,238	0	6,238	8,909
Commitments received	32,651	0	32,651	15,733

No material transactions were concluded under non-market conditions with a related party.

4.5 PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS

Accounting rules for intangible assets and property, plant and equipment are defined by ANC Regulation No. 2014-03.

4.5.1 INTANGIBLE ASSETS

Accounting principles

An intangible asset is an identifiable non-monetary asset without physical substance. Intangible assets are recorded at acquisition cost (purchase price including costs). These assets are amortized over their estimated useful lives.

In particular, software is amortized over a maximum period of five years. Any additional amortization that may be applied to software using the accelerated method permitted for tax purposes is recorded, where applicable, under accelerated amortization.

Goodwill is not amortized but is subject, as appropriate, to impairment testing.

Leasehold rights are amortized on a straight-line basis over the residual term of the lease and, if necessary, are tested for impairment relative to market value.

<i>in millions of euros</i>	12/31/2019	Increase	Decrease	Other changes	12/31/2020
Lease rights and business assets	78				78
Software	87	10	(5)	0	92
Other	0				0
Operating intangible assets	165	10	(5)	0	170
Non-operating property, plant and equipment	2				2
Gross amount	167	10	(5)	0	172
Lease rights and business assets	0				0
Software	(50)	(8)	0		(58)
Other	0				0
Impairment	0				0
Operating intangible assets	(50)	(8)	0	0	(58)
Impairment excluding operating intangible assets	(2)				(2)
Depreciation and impairment	(52)	(8)	0	0	(60)
NET AMOUNT	115	2	(5)	0	112

4.5.2 PROPERTY, PLANT AND EQUIPMENT

Accounting principles

Property, plant and equipment consist of tangible assets held for use in the production or supply of goods and services, for lease to third parties or for administrative purposes and which are expected to be used during more than one fiscal year.

Insofar as buildings are assets consisting of a number of components that have different uses at the outset, each component is recognized separately at cost and a depreciation schedule specific to each component is used.

The depreciable amount is the gross value less the residual value where the latter is material, lasting and can be measured reliably.

Other property, plant and equipment is recorded at acquisition cost, production cost or restated cost. The cost of fixed assets denominated in foreign currencies is translated into euros at the exchange rate prevailing on the transaction date. These assets are depreciated according to the period over which the asset's future economic benefits are expected to be consumed by the entity, which generally corresponds to the asset's useful life.

Where applicable, assets may be subject to impairment.

Investment property consists of non-operating assets.

<i>in millions of euros</i>	12/31/2019	Increase	Decrease	Other changes	12/31/2020
Land	0				0
Buildings	2				2
Shares in non-trading real estate companies	0				0
Other	66	8	(7)		67
Operating property, plant and equipment	68	8	(7)	0	69
Non-operating property, plant and equipment	2	0	0		2
Gross amount	70	8	(7)	0	71
Land	0				0
Buildings	0				0
Shares in non-trading real estate companies	0				0
Other	(39)	(8)			(47)
Operating property, plant and equipment	(39)	(8)	0	0	(47)
Non-operating property, plant and equipment	(2)				(2)
Depreciation and impairment	(41)	(8)	0	0	(49)
NET AMOUNT	29	0	(7)	0	22

4.6 DEBT SECURITIES

Accounting principles

Debt securities are presented according to the type of underlying: retail certificates of deposit, interbank and negotiable debt securities, bonds and other debt securities, apart from subordinated debt, which is recorded separately under liabilities.

Accrued interest on these instruments is disclosed separately as a related payable, as a balancing entry to the income statement entry.

Issue premiums are recognized in full during the period or are recognized on a straight-line basis over the life of the debt. Issue and redemption premiums are spread over the life of the loan via a deferred expenses account.

For structured debt, applying the principle of conservatism, only the certain portion of remuneration or principal is recognized. Unrealized gains are not recorded. Unrealized losses are subject to a provision.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Certificates of deposit and savings bonds	0	0
Interbank market instruments and negotiable debt securities	28,859	32,525
Bonds	33,167	31,315
Other debt securities*	21,552	18,066
Accrued interest	408	659
TOTAL	83,986	82,565

* Other debt securities are a category of liabilities eligible for the numerator in the TLAC (Total Loss Absorbing Capacity) calculation, which has been introduced by French law and is commonly referred to as "senior non-preferred debt". These liabilities rank between own funds and other senior preferred debt.

The amount of bond issue and redemption premiums remaining to be amortized totaled €161 million.

The unamortized balance is the difference between the amount initially received and the redemption price for debt securities.

4.7 OTHER ASSETS, OTHER LIABILITIES

<i>in millions of euros</i>	12/31/2020		12/31/2019	
	Assets	Liabilities	Assets	Liabilities
Remaining payments due on investments in associates	0	28	0	34
Securities settlement accounts ⁽³⁾	95	1,337	124	63
Premiums on options bought and sold	0	0	1	0
Amounts payable on borrowed securities and other securities debt ⁽¹⁾	0	0	0	0
Tax and social security receivables and liabilities	448	462	383	372
Security deposits paid and received	350	0	91	0
Other accounts receivable, other accounts payable ⁽²⁾	896	2,575	906	2,972
TOTAL	1,789	4,402	1,505	3,441

(1) In accordance with ANC Regulation No. 2020-10, the amount of liabilities for 2019 has been restated for debt on borrowed securities and reduced by the value of identical securities classified by the institution as trading securities and concurrent with the amount of debt. (see Note 4.3.1).

(2) Other accounts receivable include notably €374 million in security deposits paid, including €153 million paid to securitization funds for the Group's securitization activities, and €214 million in margin calls paid.

Other accounts payable include €2,347 million in margin calls received, including €2,287 million from Natixis.

(3) This line concerns the securities custody activity.

4.8 ACCRUAL ACCOUNTS

	12/31/2020		12/31/2019	
	Assets	Liabilities	Assets	Liabilities
<i>in millions of euros</i>				
Foreign exchange commitments	0	224	468	0
Deferred gains and losses on hedging forward financial instruments	187	230	309	230
Issue premiums and expenses	245	19	259	15
Prepaid expenses and unearned income	18	20	19	21
Accrued income/expenses*	822	288	1,118	406
Items in process of collection	0	27	0	13
Other	223	111	62	168
TOTAL	1,495	919	2,235	853

* Including €770 million in accrued interest receivable on interest rate swaps and €163 million in accrued interest payable on interest rate swaps.

4.9 PROVISIONS

Accounting principles

This item includes provisions set up to cover contingencies and losses that are clearly identifiable but of uncertain timing or amount, that are either directly related or unrelated to banking transactions as defined under Article L. 311-1 of the French Monetary and Financial Code or related transactions defined under Article L. 311-2 of the same Code. Unless covered by a specific text, such provisions may only be recognized if the company has an obligation to a third party at the end of the fiscal year and no equivalent consideration is expected in return, in accordance with ANC Regulation No. 2014-03.

In particular, this item includes a provision for employee benefits and a provision for counterparty risk on guarantee and loan commitments given.

Employee benefits

Short-term employee benefits mainly include wages, paid annual leave, incentive schemes, profit-sharing, and bonuses payable within 12 months of the end of the period in which the employee renders the service. They are recognized as an expense for the period, including amounts remaining due at the balance sheet date.

Long-term employee benefits

Long-term employee benefits are generally linked to seniority accruing to current employees and payable 12 months or more after the end of the period in which the employee renders the related service. These consist mainly of long-service awards. A provision is set aside for the amount of these obligations at the balance sheet date.

The obligations are valued using an actuarial method that takes account of demographic and financial assumptions such as age, length of service, the likelihood of the employee being employed by the Group at retirement and the discount rate. The valuation also allocates costs over the working life of each employee (projected unit credit method).

Termination benefits

Termination benefits are granted to employees on termination of their employment contract before the normal retirement date, either as a result of a decision by the Group to terminate a contract or a decision by an employee to accept voluntary redundancy. A provision is set aside for termination benefits. Termination benefits payable more than 12 months after the balance sheet date are discounted to present value.

Post-employment benefits

Post-employment benefits include lump-sum retirement bonuses, pensions and other post-employment benefits.

These benefits can be broken down into two categories: defined-contribution plans, which do not give rise to an obligation for the Group, and defined-benefit plans, which give rise to an obligation for the Group and are therefore measured and recognized by means of a provision.

The Group records a provision in liabilities for employee benefit obligations that are not funded by contributions charged to income and paid out to pension funds or insurance companies.

Post-employment benefits are measured in the same way as long-term employee benefits.

The measurement of these obligations takes into consideration the value of plan assets as well as unrecognized actuarial gains and losses.

Actuarial gains and losses on post-employment benefits, arising from changes in actuarial assumptions (early retirement, discount rate, etc.) or experience adjustments (return on plan assets, etc.), are amortized under the corridor method, i.e. for the portion exceeding a variation of +/-10% of the defined-benefit obligation or the fair value of plan assets.

The annual expense recognized in respect of defined-benefit plans includes the current service cost, net interest cost (the effect of discounting the obligation) less hedging assets, and the amortization of any unrecognized items that are actuarial gains or losses.

4.9.1 STATEMENT OF CHANGES IN PROVISIONS

<i>in millions of euros</i>	12/31/2019	Charges	Reversals	Used	Other changes	12/31/2020
Provisions for counterparty risks	1		(1)			0
Provisions for employee benefits	105	11	(5)	(2)		109
Provisions for litigation	16	3	(6)	(2)		11
Provisions for restructuring costs	10		(2)	(3)		5
Securities portfolio and financial futures	0	1				1
Long-term investments	6	45		(5)		46
Real estate development	0					0
Provisions for taxes	348	102	(32)	(67)		351
Other*	11	23				34
Other provisions	365	171	(32)	(72)		432
TOTAL	497	185	(46)	(79)	0	557

*The charges mainly concern the provisioning of renovation costs and double rents in connection with the project to review the Real Estate Master Plan.

4.9.2 PROVISIONS AND IMPAIRMENT FOR COUNTERPARTY RISKS

<i>in millions of euros</i>	12/31/2019	Charges	Reversals	Used	Other changes	12/31/2020
Impairment of loans and advances to customers (individual basis)	0	1	-	-	-	1
Impairment of assets	0	1	0	0	0	1
Provisions for performance risk on signature commitments	1	-	(1)	-	-	0
Provisions for counterparty risk recognized as liabilities	1	0	(1)	0	0	0
TOTAL	1	1	(1)	0	0	1

4.9.3 PROVISIONS FOR EMPLOYEE BENEFITS

Post-employment benefits related to defined-contribution plans

Defined-contribution plans refer to mandatory social security pension schemes, as well as those managed by the pension funds AGIRC and ARRCO, and the supplementary pension schemes to which the Caisses d'Epargne and the Banques Populaires belong. BPCE's obligations under these schemes are limited to the payment of contributions (€33 million in 2020).

Post-employment benefits related to defined-benefit plans and long-term employee benefits

BPCE's obligations in this regard relate to the following schemes:

- the Caisse d'Epargne private supplementary pension plan, previously managed by Caisse Générale de Retraite des Caisses d'Epargne (CGRCE), but now incorporated within

Caisse Générale de Prévoyance des Caisses d'Epargne (CGPCE), which is a retained-benefit plan. The plan was closed on December 31, 1999, and beneficiary entitlements were crystallized at this date. The retained-benefits plan is considered as a fund providing long-term employee benefits;

- the Banque Populaire private supplementary pension plan, managed by Caisse Autonome de Retraite des Banques Populaires (CAR-BP), covers the pension benefits deriving from the closure of the former banking pension scheme at December 31, 1993;
- pensions and other post-employment benefits such as end-of-career awards and other benefits granted to retirees;
- other benefits such as long-service awards and other long-term employee benefits.

These commitments are calculated in accordance with ANC Recommendation No. 2013-R-02.

Analysis of assets and liabilities included in the balance sheet

<i>in millions of euros</i>	Post-employment defined-benefit plans					12/31/2020	Post-employment defined-benefit plans					12/31/2019
	CGPCE plan	CARBP plan	Supplementary pensions and other plans	End-of-career awards	Long-service awards		CGPCE plan	CARBP plan	Supplementary pensions and other plans	End-of-career awards	Long-service awards	
Actuarial liabilities	119	20	285	71	9	504	117	20	288	69	10	504
Fair value of plan assets	(135)	(11)	(233)	(34)		(413)	(135)	(11)	(223)	(29)		(398)
Effect of ceiling on plan assets	7					7	7					7
Unrecognized actuarial gains/(losses)	9	(2)	(32)	3		(22)	11	(2)	(45)	(1)		(37)
Unrecognized past service cost						0						0
NET AMOUNT REPORTED ON THE BALANCE SHEET	0	7	20	40	9	76	0	7	20	39	10	76
Employee benefit commitments recorded in the balance sheet	0	7	20	40	9	76	0	7	20	39	10	76
Plan assets recorded in the balance sheet			0			0			0			0

At December 31, 2020, pension plan assets were allocated as follows:

- for Banque Populaire's CARBP pension plan: 51.7% in bonds, 37.7% in equities, and 1.3% in money-market assets, 9.3% in investment funds.

In 2020, of the +€0.4 million in actuarial gains generated on CARBP's actuarial liabilities, +€0.6 million can be attributed to gains related to updated financial assumptions, and +€0.2 million to experience adjustments;

- for Caisse d'Epargne's CGPCE pension plan: 88.4% in bonds, 8.4% in equities, 2.2% in real estate assets and 1% in money-market assets.

In 2020, of the +€3.8 million in actuarial gains generated on CGPCE's actuarial liabilities, +€4.6 million can be attributed to gains related to updated financial assumptions, and -€0.8 million to experience adjustments.

Analysis of expenses for the year

in millions of euros	12/31/2020					12/31/2019				
	Post-employment defined-benefit plans		Other long-term employee benefits			Post-employment defined-benefit plans		Other long-term employee benefits		
	CGPCE plan	CARBP plan	Supplementary pensions and other plans	End-of-career awards	Long-service awards	CGPCE plan	CARBP plan	Supplementary pensions and other plans	End-of-career awards	Long-service awards
Service cost			5	6	1			6	5	1
Past service cost			0					(4)		(4)
Interest cost	1		2			2		4		
Interest income	(1)		(2)			(2)		(4)		
Actuarial gains recognized in income			8							
Other			0	2	(1)			1	4	2
TOTAL	0	0	13	8	0	0	0	3	9	3

Main actuarial assumptions

as a %	12/31/2020					12/31/2019				
	Post-employment defined-benefit plans				Other long-term employee benefits	Post-employment defined-benefit plans				Other long-term employee benefits
	CGPCE plan	CARBP plan	Supplementary pensions and other plans	End-of-career awards	Long-service awards	CGPCE plan	CARBP plan	Supplementary pensions and other plans	End-of-career awards	Long-service awards
Discount rate	0.61%	0.38%	(0.14%) to 0.51%	(0.34%) to 0.85%	(0.23%) to 1.05%	0.86%	0.62%	0.48% to 0.83%	(0.13%) to 0.64%	(0.04%) to 0.30%
Inflation rate	1.60%	1.60%	1.60%	1.60%	1.60%	1.60%	1.60%	1.60%	1.60%	1.60%
Wage growth rate	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
AGIRC – ARRCO revaluation rate	NA	inflation (0.50%)	inflation (0.50%)	NA	NA	NA	inflation (0.50%)	inflation (0.50%)	NA	NA
Life tables used	TGH05-TGF05	TGH05-TGF05	TGH05/TGF05	TGH05/TGF05	TGH05/TGF05	TGH05-TGF05	TGH05-TGF05	TGH05/TGF05	TGH05/TGF05	TGH05/TGF05
Duration	17.99	14.17	5.8 to 18.9	2.16 to 32.04	4.6 to 9.15	18.2	14.3	12.2 to 19.2	3.3 to 14.8	4.6 to 9.4

The life tables used are:

- TGH05/TGF05 for termination benefits, long service awards and other benefits, as well as for CGPCE and CARBP.

The discount rate used is based on the prime borrower curve (EUR Composite AA curve).

Stock option purchase plans

Since the formation of BPCE, company directors have neither received share subscription or purchase options, nor been awarded bonus shares.

4.10 SUBORDINATED DEBT

Accounting principles

Subordinated debt comprises proceeds from issues of both term and perpetual subordinated debt securities, and mutual guarantee deposits. In the event of the obligor's liquidation, the repayment of subordinated debt is only possible after all other creditors have been satisfied.

Accrued interest payable on subordinated debt is disclosed separately as a related payable, as a balancing entry to the income statement entry.

<i>in millions of euros</i>	12/31/2020	12/31/2019
Term subordinated debt	13,892	14,924
Perpetual subordinated debt	0	0
Perpetual deeply subordinated debt	700	700
Accrued interest	409	384
TOTAL	15,001	16,008

Bond issue and redemption premiums remaining to be amortized at December 31, 2020 totaled €65 million.

Perpetual deeply subordinated debt has the following characteristics:

Currency	Issue date	Outstanding at 12/31/2019 (in millions of euros)	Amount (in original currency)	Rate	Interest rate after initial redemption option date	Interest rate after step-up date	Next redemption option date	Date of interest step-up
EUR	11/30/2018	700	700	5.35%	Euribor 3 months +5.04%	Euribor 3 months +5.04%	11/30/2023	11/30/2023
TOTAL		700						

4.11 FUND FOR GENERAL BANKING RISKS

Accounting principles

This fund is intended to cover risks inherent in the company's banking activities, in accordance with the provisions of Article 3 of CRBF Regulation No. 90-02.

It also includes the amounts allocated to the funds set up as part of the guarantee mechanism (see Note 1.2).

<i>in millions of euros</i>	12/31/2019	Increase	Decrease	12/31/2020
Fund for general banking risks	65	-	-	65
TOTAL	65	-	-	65

4.12 EQUITY

<i>in millions of euros</i>	Share capital	Additional paid-in capital	Reserves/ other	Retained earnings	Interim dividend	Income	Total equity (excl. FGBR)
TOTAL AT DECEMBER 31, 2018	158	12,545	35	3,511	(202)	391	16,438
Changes during the period	12	1,389	0	(12)	0	51	1,440
TOTAL AT DECEMBER 31, 2019	170	13,934	35	3,499	(202)	442	17,878
2019 income allocation				240	202	(442)	0
Capital increase							0
Dividend paid	4	318		(335)	(579)		(592)
Other changes							0
Income for the period						(1,073)	(1,073)
TOTAL AT DECEMBER 31, 2020	174	14,252	35	3,404	(579)	(1,073)	16,213

BPCE's share capital amounted to €174 million at December 31, 2020 (€170 million at December 31, 2019), *i.e.* 34,722,740 shares with a par value of €5 per share, and can be broken down as follows:

- 17,361,370 ordinary shares held by the Banques Populaires for €87 million;
- 17,361,370 ordinary shares held by the Caisses d'Épargne for €87 million.

At the Ordinary General Shareholders' Meeting of May 29, 2020, BPCE resolved to pay dividends to its shareholders in the amount of €536 million, or €15,734 per share, to be charged in full against net income for fiscal year 2019, with the rest taken from retained earnings in the amount of €94,585,259.50.

The dividend was paid as follows:

- an interim dividend was paid on December 20, 2019 for a total amount of €201,530,940.36, or €5,914 per share, as resolved by the Management Board on December 19, 2019;
- the balance of the dividend was paid to shareholders on June 1, 2020 for a total amount of €334,635,413.32, or €9.82 per share.

On December 17, 2020, BPCE's Management Board decided to distribute an interim dividend to its shareholders of €579,307,742 *i.e.* €17 per share.

On December 31, 2020, this deposit was paid as follows:

- by a cash payment of €257,808,616.52;
- and by a payment in shares for an amount of €321,499,125.48.

4.13 ASSETS AND LIABILITIES BY RESIDUAL MATURITY

Assets and liabilities with fixed due dates are presented by residual maturity and include accrued interest.

<i>in millions of euros</i>	12/31/2020						Total
	Less than 1 month	1 month to 3 months	3 months to 1 year	1 to 5 years	More than 5 years	No fixed maturity	
Treasury bills and equivalent	0	0	0	538	218	0	756
Loans and advances due from banks	19,539	18,583	68,561	81,700	22,204	0	210,587
Customer transactions	666	1,000	941	413	640	0	3,660
Bonds and other fixed-income securities	94	13	351	1,326	3,233	0	5,017
Total assets	20,299	19,596	69,853	83,977	26,295	0	220,020
Amounts due to banks	92,273	11,631	60,519	58,111	15,812	0	238,346
Customer transactions	2,030	1,042	1,810	1,401	0	0	6,283
Debt securities	6,066	10,214	16,534	34,349	16,823	0	83,986
Subordinated debt	0	0	0	6,583	7,718	700	15,001
Total liabilities	100,369	22,887	78,863	100,444	40,353	700	343,616

Note 5 Information on off-balance sheet and similar transactions

5.1 COMMITMENTS GIVEN AND RECEIVED

Accounting principles

Loan commitments

Loan commitments given to banks and similar entities include in particular funding agreements, agreements to pay or commitments to pay, documentary credit confirmations and other commitments given to banks.

Loan commitments granted to customers include credit facilities granted, back-up credit lines for commercial paper, commitments on securities issuance and other commitments to customers other than banks and similar entities.

Loan commitments received mostly include funding agreements and other commitments received from banks and similar entities.

Guarantee commitments

Guarantee commitments to banks mostly include sureties and financial guarantees issued to banks and similar entities.

Guarantee commitments to customers mostly include sureties and financial guarantees issued to customers other than banks and similar entities.

Guarantee commitments received mostly include sureties and financial guarantees received from banks and similar entities.

5.1.1 LOAN COMMITMENTS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Loan commitments given		
To banks	10,491	4,795
Documentary credit	0	0
Other credit facilities granted	8	29
Other commitments	0	0
To customers	8	29
TOTAL LOAN COMMITMENTS GIVEN	10,499	4,824
Loan commitments received		
From banks	56,835	55,021
From customers	1	0
TOTAL LOAN COMMITMENTS RECEIVED	56,836	55,021

5.1.2 GUARANTEE COMMITMENTS

<i>in millions of euros</i>	12/31/2020	12/31/2019
Guarantee commitments given		
Documentary credit confirmations	0	0
Other bonds and endorsements	0	0
Other guarantees	7,564	10,265
To banks	7,564	10,265
Real estate guarantees	0	0
Government and tax guarantees	0	0
Other bonds and endorsements	184	206
Other guarantees given	105	0
To customers	289	206
TOTAL GUARANTEE COMMITMENTS GIVEN	7,853	10,471
Guarantee commitments received from banks	3,898	4,918
Guarantee commitments received from customers	16	0
TOTAL GUARANTEE COMMITMENTS RECEIVED	3,914	4,918

5.1.3 OTHER COMMITMENTS NOT RECOGNIZED OFF-BALANCE SHEET

	12/31/2020		12/31/2019	
	Commitments given	Commitments received	Commitments given	Commitments received
Other securities pledged as collateral provided to banks	65,175	11,815	53,955	14,574
Other securities pledged as collateral received from customers	0	0	0	0
TOTAL	65,175	11,815	53,955	14,574

At December 31, 2020, receivables pledged as collateral under funding arrangements included in particular:

- €31,952 million in negotiable debt securities pledged to Banque de France under the TRICP system, compared with €34,276 million at December 31, 2019;
- €5,082 million in loans pledged as collateral for funding received from the European Investment Bank (EIB) versus €5,658 million at December 31, 2019.

No other major commitments were given by BPCE as collateral for its own commitments or for those of third parties.

BPCE did not receive a significant amount of assets as collateral from customers.

5.2 FORWARD FINANCIAL INSTRUMENTS

Accounting principles

Trading and hedging transactions in interest rate, currency or equity futures are recognized in accordance with the provisions of ANC Regulation No. 2014-07.

Commitments on these instruments are recorded as off-balance sheet items at the nominal value of the contracts. The amount recognized for these commitments represents the volume of unwound forward transactions at the balance sheet date.

The accounting policies applied vary depending on the type of instrument and the original purpose of the transaction.

Forward transactions

Interest rate swaps and similar contracts (forward rate agreements, collars, etc.) are classified as follows according to their initial purpose:

- micro-hedging (assigned hedges);
- macro-hedging (overall Asset and Liability management);
- speculative positions/isolated open positions;
- for use with a trading book.

Amounts received or paid in respect of the first two categories are recognized in income on a *pro rata* basis.

Income and expenses related to instruments used for hedging an asset or a group of similar assets are recognized in income symmetrically with the income and expenses on the hedged item. Gains and losses on hedging instruments are recognized on the same line as the income and expenses on the hedged item, under "Interest and similar income" and "Interest and similar expenses". The "Net gains or losses on trading book transactions" line is used when the hedged items are in the trading book.

In the event of overhedging, a provision may be made for the hedging instrument, in the amount of the overhedged portion,

if the instrument shows an unrealized loss. In such case, the charge to provisions will affect "Net gains or losses on trading book transactions".

Income and expenses related to futures used for hedging purposes or for managing overall interest rate risk are recognized in the income statement on a *pro rata* basis under "Interest and similar income" and "Interest and similar expenses". Unrealized gains and losses are *not* recognized.

Income and expense related to certain contracts, qualifying as isolated open positions, are recorded in the income statement either when the contracts are settled or on a *pro rata* basis, depending on the type of instrument.

Recognition of unrealized gains or losses is determined based on the type of market involved (organized, other markets considered as organized, or over the counter).

On over-the-counter markets (including transactions processed by a clearing house), a provision is recorded for any unrealized losses (relative to the instrument's mark-to-market). Unrealized capital gains are not recognized.

Instruments traded on organized markets or other markets considered as organized are continuously quoted and liquid enough to justify being marked to market.

Contracts classified as specialized asset management contracts are measured after applying a discount to reflect counterparty risk and taking into account the net present value of future management costs, if these valuation adjustments are material. Derivatives traded with a counterparty that is a member of Groupe BPCE's share support mechanism (see Note 1.2.) are not subject to these valuation adjustments. Changes in value from one accounting period to another are recognized immediately in the income statement under "Net gains or losses on trading book transactions".

Balances on terminations or transfers are recognized as follows:

- balances on transactions classified under specialized asset management contracts or isolated open positions are immediately recognized in the income statement;
- for micro-hedging and macro-hedging transactions, balances are amortized over the remaining term of the initially hedged item or immediately recognized in the income statement.

Options

The notional amount of the underlying asset of an option or forward contract is recognized by distinguishing between hedging contracts and contracts traded for the purposes of capital market transactions.

For transactions involving interest rate, foreign exchange or equity options, the premiums paid or received are recognized

in a temporary account. At the end of the fiscal year, any options traded in an organized or similar market are measured and recognized in the income statement. For over-the-counter (OTC) options, provisions are recognized for capital losses but unrealized capital gains are not recognized. When an option is sold, repurchased, or exercised, or when an option expires, the corresponding premium is recognized immediately in the income statement.

Income and expenses for hedging instruments are recognized symmetrically with those from the hedged item. Seller options are not eligible for classification as macro-hedging instruments.

Over-the-counter markets may be treated as organized markets when market makers ensure continuous quotations within a range that reflect market practices when the underlying financial instrument is itself quoted on an organized market.

5.2.1 FINANCIAL INSTRUMENTS AND FOREIGN EXCHANGE FUTURES

in millions of euros	12/31/2020				12/31/2019			
	Hedging transactions	Other transactions	Total	Fair value	Hedging transactions	Other transactions	Total	Fair value
Forward transactions								
Interest rate contracts			0				0	0
Foreign currency contracts			0				0	0
Other contracts			0				0	0
Transactions on organized markets	0	0	0	0	0	0	0	0
Forward rate agreements (FRA)							0	
Interest rate swaps	152,698	0	152,698	2,578	138,975	350	139,325	2,178
Foreign exchange swaps	10,404		10,404	(255)	15,754		15,754	22
Currency swaps	15,009		15,009	15	14,291		14,291	527
Other foreign currency contracts	698		698	0	395		395	0
Other forward and futures contracts	487	0	487	(24)	518	0	518	1
Over-the-counter transactions	179,296	0	179,296	2,314	169,933	350	170,283	2,728
TOTAL FORWARD TRANSACTIONS	179,296	0	179,296	2,314	169,933	350	170,283	2,728
Options								
Interest rate options			0				0	0
Foreign currency options		0	0			0	0	0
Other options			0				0	
Transactions on organized markets	0	0	0	0	0	0	0	0
Interest rate options	32		32	(1)	154		154	(1)
Foreign currency options			0				0	0
Other options		0	0			0	0	0
Over-the-counter transactions	32	0	32	(1)	154	0	154	(1)
TOTAL OPTIONS	32	0	32	(1)	154	0	154	(1)
TOTAL FINANCIAL AND FOREIGN CURRENCY FUTURES	179,328	0	179,328	2,313	170,087	350	170,437	2,727

The notional amounts of contracts listed in this table are solely intended to provide an indication of the volume of BPCE's activities involving financial instruments at the balance sheet date and do not reflect the market risk associated with these instruments.

Commitments on interest rate derivatives traded over the counter mainly consisted of interest rate swaps for futures and interest rate guarantees for options.

Commitments on foreign exchange instruments traded over the counter mainly consisted of currency swaps.

5.2.2 BREAKDOWN BY TYPE OF PORTFOLIO OF INTEREST RATE FINANCIAL INSTRUMENTS TRADED ON AN OVER-THE-COUNTER MARKET

	12/31/2020				12/31/2019			
	Micro-hedging	Macro-hedging	Isolated open positions	Total	Micro-hedging	Macro-hedging	Isolated open positions	Total
<i>in millions of euros</i>								
Forward rate agreements (FRA)				0				0
Interest rate swaps	75,735	76,964	0	152,699	76,624	62,351	350	139,325
Currency swaps	15,009			15,009	14,291			14,291
Other interest rate futures contracts				0				0
Forward transactions	90,744	76,964	0	167,708	90,915	62,351	350	153,616
Interest rate options	32			32	154			154
Options	32	0	0	32	154	0	0	154
TOTAL	90,776	76,964	0	167,740	91,069	62,351	350	153,770

	12/31/2020				12/31/2018			
	Micro-hedging	Macro-hedging	Isolated open positions	Total	Micro-hedging	Macro-hedging	Isolated open positions	Total
<i>in millions of euros</i>								
Fair value	2,596	(3)	0	2,593	2,682	22	0	2,704

No transactions were transferred from one portfolio to another during the period.

5.2.3 COMMITMENTS ON FORWARD FINANCIAL INSTRUMENTS BY TERM OUTSTANDING

	12/31/2020			
	Less than 1 year	1 to 5 years	More than 5 years	Total
<i>in millions of euros</i>				
Transactions on organized markets				0
Over-the-counter transactions	98,607	53,649	27,040	179,296
Forward transactions	98,607	53,649	27,040	179,296
Transactions on organized markets				0
Over-the-counter transactions	2	24	6	32
Options	2	24	6	32
TOTAL	98,609	53,673	27,046	179,328

5.3 BREAKDOWN OF ASSETS AND LIABILITIES BY CURRENCY

	12/31/2020		12/31/2019	
	Assets	Liabilities	Assets	Liabilities
<i>in millions of euros</i>				
Euro*	334,852	313,779	233,199	207,166
Dollar	25,548	34,286	20,807	34,990
Pound sterling	1,025	5,045	261	3,466
Swiss franc	1,785	597	2,113	742
Yen	1,886	8,685	2,349	9,678
Other	676	3,380	953	3,640
TOTAL	365,772	365,772	259,682	259,682

* The balance sheet as of December 31, 2019 has been restated following the application of ANC Regulation No. 2020-10 5 (see Note 2.2). Details are presented in Notes 4.3.1 and 4.7.

5.4 TRANSACTIONS IN FOREIGN CURRENCIES

Accounting principles

Gains and losses on foreign currency transactions are determined in accordance with ANC Regulation No. 2014-07.

Receivables, liabilities, and off-balance sheet commitments denominated in foreign currencies are measured at the exchange rate prevailing at the balance sheet date. Realized and unrealized foreign exchange gains and losses are recognized in the income statement. Income and expenses paid or received in foreign currencies are recognized at the exchange rate prevailing at the transaction date.

Fixed assets and investments in associates denominated in foreign currencies but financed in euros are recognized at acquisition cost.

Non-settled spot foreign exchange transactions are measured at the exchange rate prevailing at the balance sheet date.

Discounts or premiums on foreign exchange forward contracts used for hedging purposes are recognized in the income statement on a *pro rata* basis. Other foreign exchange contracts and forward and futures instruments denominated in foreign currencies are marked to market. Outright foreign exchange forward contracts, and those hedged by forward and futures instruments, are restated over the remaining term. Foreign exchange swaps are recognized as pairs of spot purchase/forward sale transactions. Currency swaps are subject to the provisions of ANC Regulation No. 2014-07.

in millions of euros

	12/31/2020	12/31/2019
Spot foreign exchange transactions		
Currencies receivable not received	14	116
Currencies deliverable not delivered	14	116
TOTAL	28	232

Note 6 Other information

6.1 CONSOLIDATION

In reference to Article 4111-1 of ANC Regulation No. 2014-07, and in accordance with Article 1 of CRC Regulation No. 99-07, BPCE prepares its consolidated financial statements under international accounting standards.

Its individual company financial statements are incorporated in the consolidated financial statements of Groupe BPCE and BPCE SA group.

6.2 REMUNERATION, RECEIVABLES, LOANS AND COMMITMENTS

Total remuneration paid in 2020 to members of the Management Board amounted to €4.7 million and €0.3 million was paid to members of the Supervisory Board.

Provisions for retirement bonuses for fiscal year 2020 amounted to €3.4 million for members of the Management Board.

6.3 OPERATIONS IN NON-COOPERATIVE COUNTRIES

The provisions of Article L. 511-45 of the French Monetary and Financial Code and the Order of October 6, 2009, issued by the French Economy Minister, require credit institutions to disclose, in the notes to their annual financial statements, information on their presence and activities in countries and territories that

have not entered into an administrative assistance agreement with France for the exchange of information with the aim of combating tax fraud and tax evasion.

These obligations are part of the broader worldwide goal of combating non-cooperative tax havens, which were defined at OECD meetings and summits, and are also designed to prevent money laundering and terrorist financing.

Since its foundation, Groupe BPCE has adopted a prudent approach. It ensures that entities belonging to its networks are regularly informed about updates to the OECD list of territories that are considered as non-cooperative when it comes to exchanging information for tax purposes, and about the potential consequences of maintaining operations in non-cooperative territories. In addition, lists of non-cooperative territories have been integrated, in part, into software packages used to prevent money laundering with the objective of ensuring appropriate due diligence for transactions with non-cooperative countries and territories (implementation of Ministerial Decree No. 2009-874 of July 16, 2009). A central inventory of the Group's locations and activities in non-cooperative territories has been drawn up for the information of executive bodies.

This statement is based on the list of countries given in the January 6, 2020 Ministerial Decree, taken in accordance with Article 238-0-A of the French General Tax Code.

At December 31, 2020, BPCE had no offices or activities in non-cooperative tax havens.

5.7 Statutory Auditors' report on the annual financial statements

This is a free translation into English of the statutory auditors' report on the financial statements of the Company issued in French and it is provided solely for the convenience of English speaking users.

This report includes information specifically required by European regulation and French law, such as information about the appointment of the statutory auditors or verification of the management report and other documents provided to shareholders.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

(For the year ended December 31, 2020)

To the Annual General Shareholders' Meeting,

BPCE SA

50, avenue Pierre-Mendès-France

75201 Paris cedex 13

I. OPINION

In compliance with the engagement entrusted to us by your annual general meeting, we have audited the accompanying financial statements of BPCE SA for the year ended December 31, 2020.

In our opinion, the financial statements give a true and fair view of the assets and liabilities and of the financial position of the Company as at December 31, 2020 and of the results of its operations for the year then ended in accordance with French accounting principles.

The audit opinion expressed above is consistent with our report to the Audit Committee.

II. BASIS FOR OPINION

AUDIT FRAMEWORK

We conducted our audit in accordance with professional standards applicable in France. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under those standards are further described in the *Statutory Auditors' Responsibilities for the Audit of the Financial Statements* section of our report.

INDEPENDENCE

We conducted our audit engagement in compliance with independence requirements of the French Commercial Code (*Code de commerce*) and the French Code of Ethics (*Code de déontologie*) for statutory auditors, for the period from January 1st, 2020 to the date of our report and specifically we did not provide any prohibited non-audit services referred to in Article 5(1) of Regulation (EU) No 537/2014.

Furthermore, the non-audit services that we provided to your Company and its controlled undertakings during the financial year that are not disclosed in the management report or in the notes to the consolidated financial statements are as follows:

- Deloitte & Associés: the main engagements conducted in fiscal year 2020 concerned certification, specified procedures, comfort letters issued in connection with issuance programs, reviews of compliance procedures and the achievement of attestations and missions of independent third party on the CSR information of the management report.
- Mazars: the main assignments carried out in the 2020 financial year concerned methodological review missions in support of the Risk Department and the Natixis MRM department, on the one hand and comfort letters issued in connection with issuance programs and CSR missions on the other hand.
- PricewaterhouseCoopers Audit: the main engagements conducted in fiscal year 2020 concerned certification, reviews of compliance procedures, services provided as part of restructuring measures, comfort letters issued in connection with issuance programs, tax consultations and CSR missions.

III. EMPHASIS OF MATTER

We draw attention to the following matter described in note 2.2 to the financial statements relating to the change in accounting method resulting from the application of regulation 2020-10 of the French Accounting Standards Authority (*Autorité des normes comptables*) regarding the presentation of securities borrowings. Our opinion is not modified in respect of this matter.

JUSTIFICATION OF ASSESSMENTS - KEY AUDIT MATTERS

Due to the global crisis related to the Covid-19 pandemic, the financial statements of this period have been prepared and audited under specific conditions. Indeed, this crisis and the exceptional measures taken in the context of the state of sanitary emergency have had numerous consequences for companies, particularly on their operations and their financing, and have led to greater uncertainties on their future prospects. Those measures, such as travel restrictions and remote working, have also had an impact on the companies' internal organization and the performance of the audits.

In this complex and evolving context and in accordance with the requirements of Articles L. 823-9 and R. 823-7 of the French Commercial Code (*Code de commerce*) relating to the justification of our assessments, we inform you of the key audit matters relating to risks of material misstatement that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period, as well as how we addressed those risks.

These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on specific items of the financial statements.

Valuation of associates, equity interests and long-term investments



Risk identified and main judgments

As of December 31, 2020, associates, equity interests and long-term investments recognized in BPCE SA's financial statements amounted to €23,770 million, including €7,602 million in impairment losses. Net impairment of investments in subsidiaries and affiliates and other long-term investments in 2020 amounted to €1,346 million.

As indicated in note 4.4 to the financial statements, they are recognized at their acquisition cost and impaired on the basis of their value in use.

BPCE's main banking subsidiaries are measured on the basis of discounted multi-year forecasts of expected dividend flows (Dividend Discount Model). The forecasts of expected dividend flows are based on the medium-term financial projections prepared by the entities concerned as part of Groupe BPCE's annual budgeting process and established for the Group's management purposes.

We deemed the correct measurement of equity interests, shares in related companies and other long-term equity holdings to be a key audit matter, given the areas of judgment inherent to structuring assumptions used, in particular for determining economic scenarios, financial forecasts, valuation parameters, especially in the unfavorable economic context induced by the health crisis.



Our response

To assess the reasonableness of the estimated value in use of equity interests, shares in related companies and other long-term equity holdings with the guidance of our experts we verified that the estimated values determined by management were based on reasonable assumptions and an appropriate measurement method applied to correctly documented quantified data.

Depending on the securities in question, our audit work consisted in:

- analyzing the relevance of the methods retained;
- examining the assumptions and inputs used by comparing them to external sources;
- performing an arithmetic check of the calculation of the values of the main subsidiaries examining the reasonableness -especially in the financial and economic context of the health crisis- of the medium-term plans used for each entity in question, which entailed:
 - comparing these plans with the Group's strategic plans validated by the entities' management bodies (Supervisory Board or Board of Directors),
 - evaluating the consistency and reliability of the main assumptions used to develop the plans, particularly with regard to past years' financial projections and actual past performance,
 - analyzing sensitivity to different valuation inputs (shareholders' equity, discount rates, etc.).

IV. SPECIFIC VERIFICATIONS

We have also performed, in accordance with professional standards applicable in France, the specific verifications required by laws and regulations.

INFORMATION GIVEN IN THE MANAGEMENT REPORT AND IN THE OTHER DOCUMENTS WITH RESPECT TO THE FINANCIAL POSITION AND THE FINANCIAL STATEMENTS PROVIDED TO THE SHAREHOLDERS

We have no matters to report as to the fair presentation and the consistency with the financial statements of the information given in the management report of the Management Board and in the other documents with respect to the financial position and the financial statements provided to the Shareholders, besides the following point:

With respect to the fair presentation and the consistency with the financial statements of the information relating to the payment terms required by Article D.441-6 of the French Commercial Code, we have the following observation: as indicated in the management report, the information does not include banking operations and related operations, as the Company considers these are not within the scope of the information to be produced.

REPORT ON CORPORATE GOVERNANCE

We attest that the Supervisory Board's report on corporate governance sets out the information required by Articles L. 225-37-3 and L. 22-10-10 of the French Commercial Code.

OTHER INFORMATION

In accordance with French law, we have verified that the required information concerning the purchase of investments and controlling interests and the identity of the shareholders and holders of the voting rights has been properly disclosed in the management report.

V. OTHER LEGAL AND REGULATORY INFORMATION

Format of the annual financial statements for inclusion in the annual financial report

In accordance with Article 222-3, III of the AMF General Regulation, the Company's management informed us of its decision to postpone the presentation of the financial statements in compliance with the European single Electronic format as defined in the European Delegated Regulation No 2019/815 of 17 December 2018 to years beginning on or after January 1st, 2021. Therefore, this report does not include a conclusion on the compliance with this format of the presentation of the financial statements intended to be included in the annual financial report mentioned in Article L. 451-1-2, I of the French Monetary and Financial Code (*Code monétaire et financier*).

Appointment of the Statutory Auditors

Mazars was appointed as statutory auditors in the first statutes dated December 19, 2006 of GCE Nao (whose corporate name became BPCE in July 2009), throughout its inception.

We were appointed as statutory auditors of BPCE by the annual general meeting of BPCE held on May 22, 2015 for Deloitte & Associés and on July 2, 2009 for PricewaterhouseCoopers Audit.

As at December 31, 2020, Mazars was in the fourteenth year of total uninterrupted engagement, including 12 years since the company became a public-interest entity, Deloitte & Associés was in the sixth year of total uninterrupted engagement, PricewaterhouseCoopers Audit in the twelfth.

VI. RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management is responsible for the preparation and fair presentation of the financial statements in accordance with French accounting principles and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless it is expected to liquidate the Company or to cease operations.

The Audit Committee is responsible for monitoring the financial reporting process and the effectiveness of internal control and risks management systems and where applicable, its internal audit, regarding the accounting and financial reporting procedures.

The financial statements were approved by the Management Board.

VII. STATUTORY AUDITORS' RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Objectives and audit approach

Our role is to issue a report on the financial statements. Our objective is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with professional standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As specified in Article L.823-10-1 of the French Commercial Code (*code de commerce*), our statutory audit does not include assurance on the viability of the Company or the quality of management of the affairs of the Company.

As part of an audit conducted in accordance with professional standards applicable in France, the statutory auditor exercises professional judgment throughout the audit and furthermore:

- identifies and assesses the risks of material misstatement of the financial statements, whether due to fraud or error, designs and performs audit procedures responsive to those risks, and obtains audit evidence considered to be sufficient and appropriate to provide a basis for his opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- obtains an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control;
- evaluates the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management in the financial statements;
- assesses the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. This assessment is based on the audit evidence obtained up to the date of his audit report. However, future events or conditions may cause the Company to cease to continue as a going concern. If the statutory auditor concludes that a material uncertainty exists, there is a requirement to draw attention in the audit report to the related disclosures in the financial statements or, if such disclosures are not provided or inadequate, to modify the opinion expressed therein;
- evaluates the overall presentation of the financial statements and assesses whether these statements represent the underlying transactions and events in a manner that achieves fair presentation.

Report to the Audit Committee

We submit to the Audit Committee a report which includes in particular a description of the scope of the audit and the audit program implemented, as well as the results of our audit. We also report, if any, significant deficiencies in internal control regarding the accounting and financial reporting procedures that we have identified.

Our report to the Audit Committee includes the risks of material misstatement that, in our professional judgment, were of most significance in the audit of the financial statements of the current period and which are therefore the key audit matters that we are required to describe in this report.

We also provide the Audit Committee with the declaration provided for in Article 6 of Regulation (EU) N° 537/2014, confirming our independence within the meaning of the rules applicable in France such as they are set in particular by Articles L.822-10 to L.822-14 of the French Commercial Code (*Code de commerce*) and in the French Code of Ethics (*Code de déontologie*) for statutory auditors. Where appropriate, we discuss with the Audit Committee the risks that may reasonably be thought to bear on our independence, and the related safeguards.

Paris La Défense and Neuilly-sur-Seine, March 5, 2021

The Statutory Auditors

Deloitte & Associés

Marjorie Blanc Lourme

Mazars

Charles de Boisriou

PricewaterhouseCoopers Audit

Nicolas Montillot

Emmanuel Benoist

5.8 Controls of accounting and financial reporting quality

5.8.1 Roles and responsibilities in preparing and processing accounting and financial information

GENERAL PRINCIPLES OF RESPONSIBILITY WITHIN GROUPE BPCE

The production of accounting and financial information and verifications to ensure its accuracy are performed by the Finance functions of the entities included in the scope of consolidation.

Each entity has the resources to ensure the quality of accounting and financial data, in particular by seeing that regulations and Group standards are being properly implemented, and reconciling accounting and operating results, where applicable.

Each entity prepares, on a monthly or quarterly basis, financial statements and regulatory information required at the local level, along with reporting documents for the Finance and Strategy division.

At Groupe BPCE, the preparation and processing of financial and accounting information falls under the responsibility of the Finance function. At the central institution, this function includes five departments of the Finance and Strategy division:

- the Financial Management department;
- the Performance Oversight department;
- the Accounting department;
- the Tax department;
- the Architecture and Reporting department.

The Finance and Strategy division collects the accounting and financial data produced by the entities within the Group's scope of consolidation. It is also responsible for consolidating and verifying these data for use in Group oversight and communication to third parties (auditors, investors, etc.).

In addition to consolidating accounting and financial information, the Finance and Strategy division has broad control duties:

- it coordinates Asset and Liability management by defining the Group's ALM rules and standards and ensuring they are properly applied;
- it manages and checks Groupe BPCE's balance sheet ratios and structural risks;
- it defines accounting standards and principles applicable to the Group and ensures they are properly applied;
- it coordinates the steering and reporting of the Group's financial performance in accordance with strategic plan objectives;
- it manages the Pillar II approach and related matters within the Group;
- it monitors the financial planning of Group entities and capital transactions;
- it ensures the reliability of accounting and financial information shared outside Groupe BPCE;

- it steers planning and strategic operations;
- it manages emergency financial plans in the event of idiosyncratic or systemic crises and coordinates the resolution plan.

MAIN FUNCTIONS, WITHIN THE CENTRAL INSTITUTION, CONTRIBUTING TO THE PREPARATION AND COMMUNICATION OF ACCOUNTING AND FINANCIAL DATA AND THEIR RESPONSIBILITIES

The main functions involved in preparing and publishing accounting and financial information are Accounting, Finance Control, Architecture and Reporting and Investor Relations.

ACCOUNTING

The Accounting function is responsible for producing the individual and consolidated financial statements (Groupe BPCE and BPCE SA group) and the corresponding regulatory filings (particularly COREP and FINREP).

Within the Group, each entity's Accounting function is responsible for its individual financial statements (and, if applicable, the consolidated financial statements), its regulatory reports and disclosures to the central institution.

Within BPCE, this function is performed by the Group Accounting department, whose Director reports to the Chief Executive Officer in charge of the Finance and Strategy division.

In this area, the main duties are:

- preparing the consolidated financial statements of Groupe BPCE and BPCE SA group, calculating the regulatory ratios and preparing the corresponding reports;
- coordinating the accounting process within the Group;
- providing a regulatory watch on French and IFRS accounting standards applied by Groupe BPCE in coordination with shareholder institutions, BPCE subsidiaries and the Statutory Auditors;
- acting as the interface between the regulatory authorities (the European Central Bank and the ACPR) and affiliated institutions, in accordance with Article L. 512-107 of the French Monetary and Financial Code and ensuring that the affiliated institutions comply with regulatory standards and management ratios;
- representing the Group in its dealings with industry bodies (*Autorité des normes comptables*, European Banking Federation, etc.);
- performing accounting services and preparing regulatory reports for BPCE SA group and the entities under its authority.

FINANCE CONTROL

The Finance Control function is responsible for preparing management information.

Within Groupe BPCE, each entity's Finance Control office is in charge of operational oversight and for producing such information for the entity and for the central institution.

At BPCE, this role is assigned to the Group Performance Oversight division, the head of which reports to the Chief Executive Officer in charge of Group Finance and Strategy. In this area, its main duties are:

- coordinating oversight of the financial planning, budget and multi-year rolling forecast process;
- coordinating the oversight of business performance in support of the Retail Banking and Insurance division;
- coordinating solvency matters (capital adequacy and leverage ratios, TLAC, MREL, *etc.*) and the Pillar II approach within the Group (stress tests, ICAAP, solvency ratios, Business Model Assessment);
- coordinating and monitoring the management of scarce resources within the Group (cost-effectiveness, capital/solvency, liquidity);
- analyzing the performance of Groupe BPCE, its business lines and entities, especially for the publication of each quarter's results;
- steering and challenging the subsidiaries' financial performances to safeguard the Group's financial ratios;
- coordinating and steering approaches for the analysis of the Group's operating costs;
- helping prepare the Group's strategic and financial plans;
- manage the expenses of the central institution;
- coordinating the Finance Control process within Groupe BPCE.

ARCHITECTURE AND REPORTING

The Architecture and Reporting function is responsible for securing key IS Finance & Risk applications, ensuring the reliability of complex production processes (regulatory and management) and regulatory compliance (Basel Committee Recommendation No. BCBS 239 on the Principles for the integration of risk data and risk reporting, *etc.*).

At BPCE, this role is assigned to the Architecture and Reporting division, the head of which reports to the Chief Executive Officer in charge of Group Finance and Strategy. In this area, its main duties are:

- make strategic architectural choices and coordinate all projects concerning the main Group risk and financial calculators as well as the risk and financial data base in normal or crisis situations;
- operate, through its technological fiber, complex production systems (Production Finance and Risks, treasury systems and banking activities) and pool project efforts for other business lines (CSP);
- guarantee a centralized and consistent vision across the entire IS Finance and Risk chain;
- simplify, harmonize, integrate and pool in a logic of operational efficiency and process security by relying on technological levers;
- implement innovative tools (simulations, proactive exercises, data analysis, *etc.*) and promote an open innovation approach (Artificial Intelligence, Green Finance, *etc.*) directly linked to the ongoing search for operational efficiency;
- accelerate the implementation of responses to regulatory recommendations and requirements (*e.g.* BCBS 239 and the ECB Data Finance/Risk dialogue).

INVESTOR RELATIONS

The Investor Relations function is responsible for information published through presentations to financial analysts and institutional investors on the BPCE website and for registration documents and their updates filed with the AMF and also available on the BPCE website.

Within BPCE, the function is performed by the Group Funding and Investor Relations division within the Group Finance division, the head of which reports to the Head of Finance and Strategy. Its duties in respect of accounting and financial information are:

- coordinating and preparing presentations of Groupe BPCE's quarterly results, financial structure and business development, to enable third parties to form an opinion on its financial strength, profitability and outlook;
- coordinating and preparing the presentation of regulated financial information (registration document and its quarterly updates) filed with the AMF while including contributions from other BPCE functions;
- organizing relations with rating agencies by coordinating with the other rated entities of the Group;
- organizing and maintaining relationships with credit investors likely to hold and/or acquire debt instruments (short, medium or long term) issued by BPCE or Natixis.

5.8.2 Production processes for accounting and financial data

GENERAL SYSTEM AND PROCESS FOR PREPARING CONSOLIDATED ACCOUNTING AND FINANCIAL DATA

The central institution prepares the consolidated financial statements of Groupe BPCE and its individual company financial statements. It also produces and oversees Groupe BPCE's regulatory ratios on a consolidated basis and those of affiliated institutions in the regulatory financial reports.

It also ensures the proper application by the institutions affiliated to the BPCE Group of the accounting and prudential rules and verifies the compliance of the reports with the applicable regulatory requirements.

To ensure the reliability of the production processes, the Finance and Strategy division uses:

- an appropriate body of standards distributed to all Group entities;

- a single consolidated IT system that guarantees consistent treatment and analysis;
- a comprehensive body of documents respecting regulatory requirements;
- a standardized control mechanism, the structure of which is described in Section 5.8.3 below.

Groupe BPCE institutions publishing financial statements on a consolidated basis under IFRS are all of the Banques Populaires and Caisses d'Épargne and the Group's main subsidiaries, essentially Natixis, Crédit Foncier, Banque Palatine and Oney Bank.

BODY OF STANDARDS

Within the central institution, the Finance and Strategy division has designed and deployed a set of standards to all Group entities to ensure the reliability of the production of accounting and financial information in compliance with accounting and prudential rules or requirements defined by intra-or supra-national regulations for the publication of regulatory reports. This body is mainly based on:

- the definition and dissemination of accounting policies for the Group, both for French GAAP and international (IFRS) accounting standards;
- the deployment of a consolidation framework intended to ensure the reliability of the process of preparing consolidated data, whether accounting, tax or prudential.

This standard also includes the analysis and interpretation of new texts issued during a given period. The policies are regularly circulated *via*:

- Group instructions for affiliated institutions that set out the common rules relating to the production of accounting and tax information or regulatory reports, in particular those relating to capital adequacy and liquidity (change in the scope of consolidation, schedule of the various works to meet deadlines, any changes in information systems, reminder of regulatory changes, *etc.*);
- presentations at national days on accounting, taxation, capital adequacy and liquidity (Accounting and Tax Days, Asset/Liability management Days, *etc.*) with a focus on regulatory changes;
- a training and facilitation system aimed in particular at the accounting and financial information production teams within the consolidated entities.

A SINGLE CONSOLIDATED INFORMATION SYSTEM

To ensure the production of its accounting and financial information, the Group uses market software packages or develops internal solutions in compliance with the rules defined by its IT Master Plan (in particular in terms of security, sustainability, quality, *etc.*).

As part of this IT Master Plan, the Group has developed an architecture to organize a data model shared between the Risk and Finance divisions, both locally and centrally: the Standardized Exchange Zone (ZEN). This is one of the main sources of information for the central risk and finance information systems, thus ensuring the consistency of the common data used in the main central reporting systems as well as between local and central reporting (scope, date, production, *etc.*)

To ensure the consolidation of accounting and prudential information and to produce the reports intended for the effective management, the supervisory body, the supervisory

and control authorities or intended for publication, the consolidation is carried out on a quarterly basis on the basis of the financial statements of each Group entity. Data from the entities are entered into a central database where consolidation procedures are then carried out and which is based on a mixed solution in the Group's business lines:

- for the majority of Group entities and in particular the Caisses d'Épargne and Banques Populaires, information is communicated on an individual basis to ensure a more detailed view of each entity's contribution to the Group's financial statements and ratios. The system, managed by the central institution, is based on a single central consolidation tool used by all entities for the consolidation of the Group and the sub-consolidations that need to be produced. This ensures internal consistency as regards scopes, accounting treatment and analysis;
- for some entities, and in particular the Natixis sub-group, the consolidation is carried out by their own consolidation tool and then communicated to the central institution on the basis of a consolidation package representative of their financial statements and their ratios to ensure consistency, production of the Group's financial statements and ratios. Natixis is equipped with a consolidation tool enabling the production of its consolidated financial statements and ratios, guaranteeing the consistency of the data and providing a transparent overview of its subsidiaries.

These consolidation tools have archiving and security procedures including the daily back-up of the consolidation database. System restoration tests are regularly carried out.

BODY OF DOCUMENTS

To ensure the reliability of the production processes for accounting and financial information, the central institution has drawn up and deployed a comprehensive body of documents in line with requirements set out in Articles 3 e), 11 e), 255 and 256 of the Ministerial Order of November 3, 2014 on Internal Control.

In accordance with the requirements defined by the Group, this documentary database comprises three levels of information:

- level 1: a mapping (or inventory) listing the reports containing information intended for "[...] the effective management or the supervisory body, sent to the supervisory and control authorities" or appearing "in the documents intended to be published", within the meaning of Article 11c) of the Order of November 3, 2014 on internal control;
- level 2: operating methods or procedures that formalize the sequencing of operations to implement the production, publication or control processes;
- level 3: a description of the main stages of production, control and publication of reports presenting, for the most complex processes, the end-to-end activities by identifying the players and tools.

CHANGES IN 2020

In 2020, the Group continued its efforts to standardize its processes and streamline working methods for the production of consolidated accounting and financial data, while adapting them to internal and regulatory changes, in particular by:

- the adaptation of FINREP and COREP reports to comply with the DPM 2.9 taxonomy, which aims to strengthen the information to be provided, in particular on non-performing exposures, which are one of the regulator's priorities;

- the implementation of Covid-19 reports, requested by the regulator through the FINREP reports, as well as by the supervisory authority (ECB) and which are the subject of a Pillar III publication under the annual and half-yearly financial statements;
- the continuation of the work that enabled the consolidation of Oney;
- the implementation, for Groupe BPCE's insurance entities, of project structures in line with the changes brought about by IFRS 17 and the continuation of preparatory work for the application of this standard: examination and documentation of normative choices, modeling, adaptation of systems and organizations, production of financial statements and changeover strategy, financial communication and change management;
- the adaptation of Groupe BPCE's systems to enable the implementation of the systems put in place in the context of the Covid-19 crisis, in particular the State-guaranteed loans (SGL) and the moratoriums granted to its customers;
- the finalization of the implementation of the target IS architecture (Normalized Exchange Zone (ZEN)) in compliance with the IT Master Plan to ensure the consistency of the common data used in the main central and local reports;
- the implementation of a transversal project focused on Finance and Risk data, intended to finalize the operational implementation of BCBS 239 requirements and integrate these requirements into the daily life of the business lines.

5.8.3 Accounting and financial data control process

GENERAL SYSTEM

The Group's internal control system contributes to the management of all types of risk and enhances the quality of accounting and financial information.

It is organized in accordance with legal and regulatory requirements, including those arising from the Ministerial Order of November 3, 2014 on internal control and texts governing BPCE. It concerns all Group companies, which are monitored on a consolidated basis.

The system is governed by an Umbrella Charter addressing the organization of Group internal control, which sets out the main principles, defines the scope of application, and lists all contributors along with their role, with the aim of ensuring that the internal control system of each company and the Group works effectively. This charter is supplemented by frameworks, including the framework on controls of accounting and financial information.

DEPLOYMENT OF THE CONTROL SYSTEM FOR ACCOUNTING AND FINANCIAL DATA

The Group has established and implemented a system for verifying the quality of accounting and financial information in accordance with the requirements of the Ministerial Order of November 3, 2014 on internal control, and particularly Article 11c), which requires the "verification of accounting and financial reporting quality, related to information addressed to either the executive managers or the supervisory body, whether submitted to the supervisory and control authorities or appearing in documents intended for publication."

This system is implemented by various participants at three levels, ensuring a strict separation between the different lines of defense:

- level one controls are performed by all persons involved in the production and publication of accounting and financial information (controls of accounting information are coordinated by the Accounting division);
- level two controls are carried out by a specialized function (the Financial Control function), working with other level two control participants, as applicable;
- level three controls are primarily conducted by the Statutory Auditors as part of their regulatory audit assignments (financial audit).

The Group Secretary General ensures, with the support of a functional Financial Control unit led by the Group Financial

Control department, the implementation of this system based on the rules and principles that it has defined around three standards:

- the framework for quality control of accounting and financial information, updated and validated by the Group Internal Control Coordination Committee on June 17, 2020. This Framework defines the rules and principles of controls and responsibilities relating, on the one hand, to the production and publication of information sent "to the supervisory and control authorities or included in the documents intended to be published" (so-called regulatory reports: accounting, tax or regulatory) and on the other hand on the reports intended for the effective management or the supervisory body (management or internal deferrals);
- the Framework for the preparation and publication of reports and management indicators approved by the Standards and Methods, Risks, Compliance and Permanent Control Committee on December 12, 2018. This Framework defines the rules and principles relating to the information transmitted to the effective management or the supervisory body (so-called steering or internal reports) and provides operational details to ensure the implementation of regulatory requirements relating to reports (in particular those defined by the Order of November 3, 2014 on internal control and BCBS requirements 239);
- the Framework for Statutory Auditor Assignments at Groupe BPCE, approved by the BPCE Supervisory Board on November 7, 2017, which sets out the rules and principles governing statutory audits in the Group.

AT INDIVIDUAL INSTITUTIONS

Internal control procedures are decentralized by nature owing to the Group's unique organizational structure and are adapted to the particular requirements of each consolidated entity, in compliance with the general rules and principles set by the Group.

AT THE CENTRAL INSTITUTION

Level one controls

In addition to the level one self-checking and control procedures performed in the entities responsible for preparing individual or consolidated financial statements, the quality of accounting and financial controls is also verified by the Accounting division, which oversees the production of accounting and financial information.

To this end, the Accounting division:

- sets accounting and prudential standards at the Group level for the production of individual and consolidated financial statements that meet French and IFRS accounting standards, and the production of regulatory reports for national or supranational oversight and control authorities;
- coordinates the accounting process, thereby increasing the quality of level one controls;
- examines the reports covering accounting and regulatory data that it receives by conducting multiple controls using data contained in the consolidation packages sent by the entities in the Group's scope of consolidation for the purposes of preparing the parent company and regulatory consolidated financial statements;
- conducts, as part of the duties of the central institution that fall under Article L. 511-31 of the French Monetary and Financial Code, a routine review of the regulatory reports of affiliates before they are submitted to the ACPR and in accordance with the rules agreed-upon with the ACPR (multiple consistency checks and analyses);
- controls, as part of the tax consolidation regime for mutual banking groups (Article 223 A *et seq.* of the French General Tax Code), the tax consolidation packages sent to the central institution by the entities falling within the scope of this regime.

Level two controls

Within the Group, the system is managed by the Group Financial Control department. The Head of this department is a standing guest member of the Group Internal Control Coordination Committee and has been granted powers to set standards for the function. In conjunction with the shareholder institutions and Group subsidiaries, the department maintains functional ties between local Financial Control departments and the central institution to ensure the quality of the entire control system.

Under its groupwide duties, the department's primary activities are to:

- facilitate the sharing of best practices *via* a special-purpose committee (Financial Controller Committee) and working groups;
- draft and distribute the body of standards and documentation for the sector and ensuring its implementation;
- coordinate each entity's system for reporting to the central institution so that it can assess their system for producing and verifying accounting and financial information;
- carry out visits to entities and in particular those with financial control systems that are less stringent than those of others;
- implement accounting controls to prevent and detect fraud, corruption or influence peddling;
- verify, on behalf of the Audit Committee, the Group's regulatory audit system and in particular services other than certification of financial statements.

In addition to its groupwide duties, the department performs operational audits of the central institution, as it does for each Group entity. These audits cover the processes and publication of reports by the central institution (regulatory and oversight reports), in conjunction with other level two control teams.

Level three controls

These controls are implemented by:

- the Group's Statutory Auditors, which work on a panel basis and base their opinions partly on the conclusions of each consolidated entity's Statutory Auditors, particularly regarding compliance with the Group's standards as laid down by BPCE and partly on the effectiveness of local internal control procedures. To make the certification process as efficient as possible, the Framework for Statutory Auditor Assignments at Groupe BPCE recommends that each Group entity has at least one representative of the Group's Statutory Auditors certifying BPCE's financial statements;
- BPCE's Group Inspection Générale division, which notably ensures compliance in audits of the Group's institutions and internal control procedures, including accounting and financial audits.

CHANGES IN 2020

In 2020, efforts to enhance the accounting and financial information control system continued, with

- the update of the framework for the quality control of accounting and financial information approved by the Group Internal Control Coordination Committee on June 17, 2020 intended to strengthen the independence of Financial Control and its missions in order to ensure better coverage of the scope in compliance with regulatory requirements (in particular on the control of reports and the control of fraud and corruption);
- the publication of a standard which, on the one hand, specifies the areas of risk and the most sensitive headings as well as the accounting controls to be implemented to help prevent and detect fraud and corruption or influence peddling (in compliance, in particular, with the requirements defined by the Sapin 2 Act) and, on the other hand, organizes its implementation within the Group;
- the drafting of a set of standard controls intended to verify the content as well as the production, control and publication environment of the reports (management or regulatory), regardless of the regulations;
- in the context of the Covid-19 crisis and in particular in the first half of the year, the adaptation of the second-level accounting control system to support accounting production during the health crisis while maintaining controls on the areas deemed to be the most at risk;
- the integration of Oney Bank into the direct scope of management and supervision of the Financial Control division;
- lastly, the continuation of support or training for the permanent controllers of each Group entity with, in particular, the introduction of a new training course dedicated to strengthening the independent review of reports.

BODIES RESPONSIBLE FOR ACCOUNTING AND FINANCIAL INFORMATION

Once per quarter, the BPCE Management Board finalizes the consolidated financial statements and presents them to the Supervisory Board for verification and control.

Individual financial statements are prepared once per year, in accordance with regulations in force.

The Supervisory Board of BPCE checks and controls the individual and consolidated financial statements prepared by the BPCE Management Board and presents its observations about the financial statements for the fiscal year at the Ordinary General Shareholders' Meeting. For this purpose, the Supervisory Board has set up a specialist committee in charge of preparing its decisions and formulating recommendations: the Audit Committee.

Details on this committee's duties, including oversight of the accounting and financial information production process, the statutory audit of the annual and consolidated financial statements and the Statutory Auditors' independence, are provided in the section relating to "Corporate governance".

The Finance Committee brings together executives from each of the two networks and is tasked with examining all financial matters relating to the shareholder community. It examines these matters in accordance with the Group committees in these areas and issues an advisory opinion.

In addition, BPCE's Management Board has tasked the Finance and Strategy division with organizing the coordination, information and decision-making process on financial and accounting matters through the Finance function's supervisory committees, organized around three categories:

- permanent committees;
- coordination and reporting committees: these comprise key managers from the Finance function or key managers from each business line department with finance duties (financial control, accounting, cash management, asset/liability management and tax);
- temporary committees that manage and coordinate projects with fixed deadlines.

In order to ensure the transparency and security of the system, these committees are formally governed by regulations that define the operation, organization, composition and role of each committee, along with the rules for reporting on their discussions. The Finance and Strategy division's committees always involve representatives from the shareholder institutions and, if applicable, Group subsidiaries.

5.9 Persons responsible for auditing the financial statements

5.9.1 Statutory Audit system

Within the Group, the main rules that govern the Statutory Audit system and aim to guarantee Statutory Auditor independence in Groupe BPCE companies are defined in the "Framework for Statutory Auditor Assignments at Groupe BPCE," (the "Framework") updated and validated by BPCE's Supervisory Board on November 5, 2020.

Applicable to all Group businesses, the "Framework" primarily defines:

- the rules governing the selection of Statutory Auditors for the Group and its entities;
- the rules governing the services that may be provided by Statutory Auditors (or their networks);
- the role of Audit Committees with respect to monitoring the system.

On the appointment of Group Statutory Auditors: in line with the regulations in force, the Group recommends that each Group company continues to designate at least one network of Statutory Auditors that certify BPCE's consolidated and individual financial statements to ensure there is a consistent, harmonized financial audit system available across the Group. However, each company's Audit Committee retains the authority to select Statutory Auditors subject to the approval of the company's Annual General Shareholders' Meeting.

On the prior approval of services other than financial statement certification: in line with the opinion provided by the *Haut Conseil du Commissariat aux Comptes* (H3C) on July 26, 2017, BPCE's Audit Committee introduced a prior approval procedure, for a one year period, of an exhaustive list of categories of services other than financial statement certification. These provisions are stated in the appendices to the "Framework" and were subject to an annual review validated by BPCE's Audit Committee on November 3, 2020. They have been distributed to all Group entities.

In terms of system oversight: each company's Audit Committee:

- examines the services rendered by the Statutory Auditors. Aside from the prior approval of services other than financial statement certification in compliance with provisions that have been defined in the "Framework", the committee examines the fees and types of services rendered as recorded in each company's income statement;
- ensures compliance with the principles laid out in the "Framework", rules governing the rotation of Statutory Auditors and the rotation of signatory partners and the implementation of a Statutory Auditor selection procedure at the end of each maximum term of office;
- this approach relies on the permanent control system (Financial Control function). A Group standard on the verification of the independence of Statutory Auditors, which was updated and approved by the Standards and Methods Committee on December 12, 2018, sets out this function's role in this respect and the main due diligence review it must complete. The work carried out within this framework is presented to each company's Audit Committee and, on a consolidated basis, to the Group Audit Committee.

In 2020, the central institution launched a Group call for tenders concerning, on the one hand, the renewal of the Statutory Auditors who signed the BPCE financial statements and the forthcoming renewal at Natixis and also updated the list of Statutory Auditors' networks referenced by the central institution. The work resulted in the referencing (starting in the 2021 fiscal year and for the next six years) of six audit firms and the formalization of 20 general qualitative and financial commitments intended to strengthen the rationalization of the audit system in the Group.

5.9.2 Statutory Auditors of BPCE

BPCE's Statutory Auditors are responsible for auditing the individual financial statements of BPCE and the consolidated financial statements of Groupe BPCE and BPCE SA group. At December 31, 2020, the Statutory Auditors were:

PricewaterhouseCoopers Audit	Deloitte & Associés	Mazars
63, rue de Villiers 92208 Neuilly-sur-Seine Cedex	6, place de la Pyramide 92908 Paris-La Défense Cedex	61, rue Henri-Regnault 92075 Paris-La Défense Cedex

PricewaterhouseCoopers Audit (672006483 RCS Nanterre), Deloitte et Associés (572028041 RCS Nanterre) and Mazars (784824153 RCS Nanterre) are registered as Statutory Auditors, members of the *Compagnie Régionale des Commissaires aux Comptes de Versailles* and under the authority of the *Haut Conseil du Commissariat aux Comptes*.

PRICEWATERHOUSECOOPERS AUDIT

The Annual General Shareholders' Meeting of BPCE of May 22, 2015, voting under the conditions of quorum and majority applicable to Ordinary General Shareholders' Meetings, resolved to renew the term of PricewaterhouseCoopers Audit for a period of six fiscal years, *i.e.* until the Ordinary General Shareholders' Meeting to be held in 2021, convened to approve the financial statements for the year ending December 31, 2020.

PricewaterhouseCoopers Audit is represented by Nicolas Montillot and Emmanuel Benoist.

Substitute: Jean-Baptiste Deschryver, of 63, rue de Villiers, 92208 Neuilly-sur-Seine Cedex, appointed for a period of six fiscal years, *i.e.* until the Ordinary General Shareholders' Meeting to be held in 2021, convened to approve the financial statements for the year ending December 31, 2020.

DELOITTE & ASSOCIÉS

The Annual General Shareholders' Meeting of BPCE of May 22, 2015, voting under the conditions of quorum and majority applicable to Ordinary General Shareholders' Meetings, resolved to appoint Deloitte & Associés for a period of six fiscal years, *i.e.* until the Ordinary General Shareholders' Meeting to be held in 2021, convened to approve the financial statements for the year ending December 31, 2020.

Deloitte & Associés is represented by Marjorie Blanc Lourme.

Substitute: BEAS, represented by Damien Leurent, of 6, place de la Pyramide, 92908 Paris-La Défense, appointed for a period of six fiscal years, *i.e.* until the Ordinary General Shareholders' Meeting to be held in 2021, convened to approve the financial statements for the year ending December 31, 2020.

MAZARS

Following a proposal made by the Supervisory Board and the opinion of the Audit Committee, the Annual General Shareholders' Meeting of BPCE of May 24, 2019, voting under the conditions of quorum and majority applicable to Ordinary General Shareholders' Meetings, resolved to renew the term of Mazars for a period of six fiscal years, *i.e.* until the Ordinary General Shareholders' Meeting to be held in 2025, convened to approve the financial statements for the year ending December 31, 2024.

Mazars is represented by Charles De Boisriou.

Substitute: Anne Veaute, of 61, rue Henri-Regnault, 92075 Paris-La Défense Cedex, appointed for a period of six fiscal years, *i.e.* until the Ordinary General Shareholders' Meeting held in 2025, convened to approve the financial statements for the year ended December 31, 2024.

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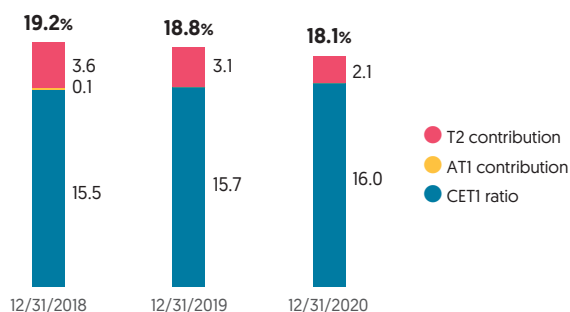
Some disclosures required under IFRS 7 on the nature and the extent of various risks are presented in this report and covered by the Statutory Auditor's opinion on the consolidated financial statements. Such disclosures are flagged by the statement "Information provided in the respect of IFRS 7" and should be interpreted as an integral part of the notes to the consolidated financial statements.

The Pillar III report is available in the "Results and publications" section of Groupe BPCE website (www.groupebpce.com), under "Pillar III".

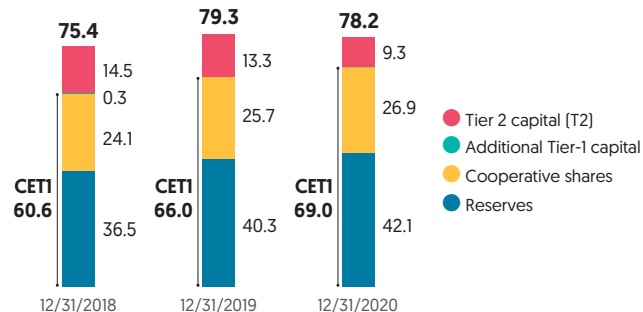
6.1 Key figures

KEY FIGURES

FULLY-LOADED CAPITAL RATIOS⁽¹⁾
[as a %]



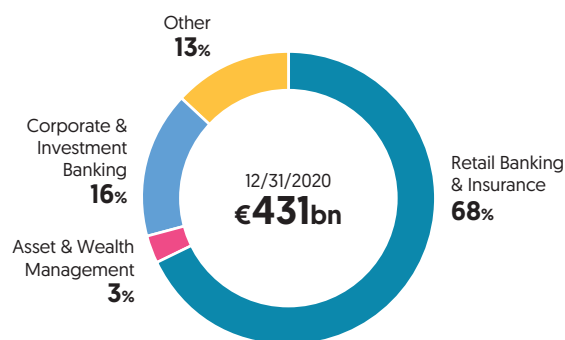
TOTAL FULLY LOADED REGULATORY CAPITAL⁽¹⁾
[in billions of euros]



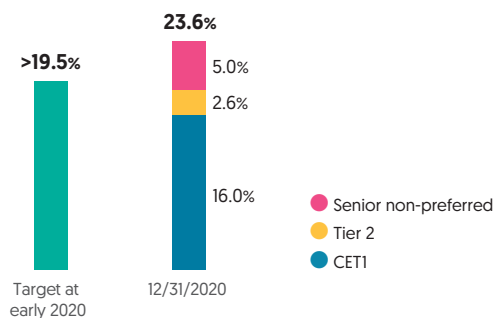
BREAKDOWN OF RISK-WEIGHTED ASSETS
BY TYPE OF RISK



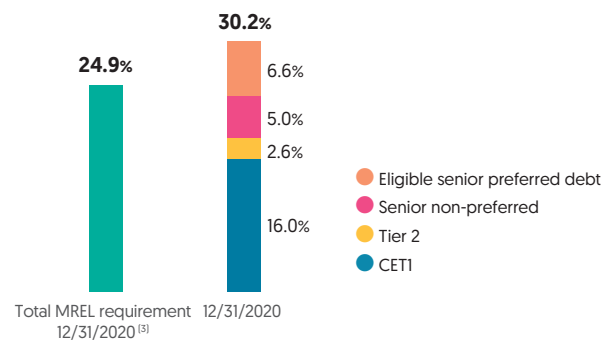
BREAKDOWN OF RISK-WEIGHTED ASSETS
BY BUSINESS LINE



TLAC RATIO [as a % of RWAs]



MREL RATIO [as a % of RWAs]



[1] CRR/CRD IV without transitional measures; additional Tier 1 capital takes into account subordinated issues that have become ineligible at the phase-out rate in force.

[2] Including settlement-delivery risk.

[3] Based on the ACPR notification of 01/20/2020.

ADDITIONAL INDICATORS

	12/31/2020	12/31/2019
Cost of risk <i>(in basis points)</i> ⁽¹⁾	41	19
Non-performing/gross outstanding loans	2.5%	2.7%
Impairment recognized/non-performing loans	43.9%	45.9%
Groupe BPCE's consolidated VaR <i>(in millions of euros)</i>	12.1	8.5
LCR ⁽²⁾	156%	141%
Liquidity reserves <i>(in billions of euros)</i>	307	231

(1) Excluding non-recurring items.

(2) One-month average LCR over 12 months.

6.1.1 Types of risk

Risk macro-categories	Definition
Credit and counterparty risks	The risk of loss resulting from the inability of clients, issuers or other counterparties to honor their financial commitments. It includes counterparty risk related to market transactions (replacement risk) and securitization activities. It can be exacerbated by concentration risk.
Financial risks	
• Market risks	The risk of loss of value on financial instruments resulting from changes in market inputs, from the volatility of these inputs or from the correlations between these inputs. Inputs include exchange rates, interest rates and prices of securities (equities, bonds), commodities, derivatives or any other assets, such as real estate assets.
• Liquidity risk	Risk that the Group cannot meet its cash requirements or collateral requirements when they fall due and at a reasonable cost.
• Structural interest rate risk	Risk of loss in interest income or in the value of a fixed-rate structural position in the event of changes in interest rates. Structural interest rate risks are associated with commercial activities and proprietary transactions.
• Credit spread risk	Risk associated with a decline in the creditworthiness of a specific issuer or a specific category of issuers.
• Foreign exchange risk	The risk of loss in interest income or in the value of a fixed-rate structural position in the event of changes in exchange rates. Structural interest rate and foreign exchange risks are associated with commercial activities and proprietary transactions.
Non-Financial Risks	
• Non-compliance risk	The risk of a legal, administrative or disciplinary penalty, material financial loss or reputational risk arising from a failure to comply with the provisions specific to banking and financial activities (whether these are stipulated by directly applicable national or European laws or regulations), with professional or ethical standards, or instructions from the executive body, notably issued in accordance with the policies of the supervisory body.
• Operational risk	The risk of loss resulting from inadequacies or malfunctions attributable to procedures, employees and internal systems (including in particular information systems) or external events, including events with a low probability of occurrence, but with a risk of high loss.
Insurance underwriting risks	In addition to asset/liability risk management (interest rate, valuation, counterparty and foreign exchange risks), these risks include pricing risk in respect of mortality risk premiums and structural risks related to life and non-life insurance activities, including pandemics, accidents and disasters (earthquakes, hurricanes, industrial accidents, terrorist acts and military conflicts).
Strategic business and ecosystem risks	
• Solvency risk	The risk that the company will be unable to honor its long-term commitments and/or ensure the continuity of its ordinary operations in the future.
• Climate risk	Vulnerability of banking activities to climate change, where a distinction can be made between physical risk directly relating to climate change and transition risk associated with efforts to combat climate change.

6.1.2 Regulatory changes

6.1.2.1 2020 : A FLEXIBLE REGULATORY FRAMEWORK AND RESILIENT BANKS DESPITE THE CRISIS

The **regulatory relaxations (legislative “quick fixes” and supervisory practices)** in response to the Covid-19 crisis focused in particular on expanding the capital eligible for the P2R add-on, neutralizing central bank reserves when determining the leverage ratio, temporary tolerance for non-compliance with certain requirements (P2G; leverage ratio buffers for G-SIBs; LCR), and tolerance for “market” moratoria (by the EBA) without automatic reclassification of the exposures concerned under default. The full effect of these relaxations was felt in the second half of 2020 in a context of uncertainty, where banks have shown their capacity to withstand shocks.

In addition, the proposals made by the EBA as part of the European Commission’s **quick-fix securitization** (Capital Markets Recovery Package, July 2020) to recognize synthetic securitization in the STS label as well as the securitization of non-performing loans aimed at reducing banks’ balance sheets. The European Commission, Parliament and Council are currently in discussions to finalize a text by the end of the year.

On December 2, the EBA reactivated its guidelines on legislative and non-legislative **moratoria** that expired last September, with effect until March 31, 2021, by introducing new restrictions to ensure that the support provided by the moratoria is limited to addressing liquidity shortages.

As the support measures may lead to the financing of insolvent companies, the authorities are seeking to prevent this economic crisis from turning into a financial crisis, given the lack of visibility over the length of this second epidemic wave.

6.1.2.2 2021 : A YEAR OF TRANSITION

2021 will be a year of regulatory transition in which the flexibility granted by the authorities during the first wave will no longer necessarily apply, especially since the CRR2 quick fix has already set the expiry dates of the **temporary measures** and those of the provisions set out in the CRR2/CRD5 package.

The Commission is expected to publish its proposal for the transposition of the Basel Accord in the first half of 2021. The main challenges regarding the **Basel III transposition** for French banks, and for Groupe BPCE in particular, are to apply the output floor at the highest level of consolidation, to preserve the risk sensitivity of the regulatory framework and maintain fair competition between institutions and jurisdictions, with a focus on the relaxations “offered” by CRR2 and from which certain institutions could benefit (calculation and reporting of a simplified NSFR).

As the Governor of the Banque de France, François Villeroy de Galhau, stressed at the ACPR annual conference on November 27, the appeal of French banks and, more broadly, European banks must be protected. While the solvency of the main French banks is higher than that of their European or American counterparts (14.6% on average, +56 basis points), the cost of risk has doubled during this crisis.

6.1.2.3 IS THE BANKING UNION BEING CHALLENGED?

The Covid crisis has accentuated banking fragmentation in the European Union. The proliferation of frameworks in terms of moratoriums and state-guaranteed loans illustrates this.

In this context, the French authorities’ advocacy for a single resolution regime, regardless of the systemic nature of the banks, is a priority. The demand from “small banks” for a separate liquidation regime, without any MREL requirement, would increase the fragmentation of the banking union and constitute an obvious obstacle to banking consolidation in Europe, which is, however, called for by supervisors. It will nevertheless be difficult to counter. Forging ahead with the third pillar of the Banking Union (European Deposit Insurance Scheme, EDIS) must be clearly conditional on the preservation of the second pillar (Resolution).

Finalizing Pillar III of the Banking Union now seems risky when Pillar II seems to lead to a “renationalization” of the management of deposit protection schemes. Creating a European fund that would potentially be able to intervene as a preventive measure to safeguard banks that have remained under national supervision would constitute a major moral hazard.

6.2 Risk factors

The banking and financial environment in which Groupe BPCE operates is exposed to numerous risks which obliges it to implement an increasingly demanding and strict policy to control and manage these risks.

Some of the risks to which Groupe BPCE is exposed are set out below. However, this is not a comprehensive list of all of the risks incurred by Groupe BPCE in the course of conducting its business or given the environment in which it operates. The risks presented below are those identified to date as significant and specific to Groupe BPCE, and liable to have a material adverse impact on its business, financial position and/or results. For each of the risk sub-classes listed below, the risk factor considered to date by Groupe BPCE as the most significant is listed first.

The risks presented below are those identified to date as liable to have an adverse impact on the businesses of BPCE SA group and BPCE SA.

The risk factors described below are presented as of the date of this document and the situation described may change, even significantly, at any time.

STRATEGIC, BUSINESS AND ECOSYSTEM RISKS

The ongoing coronavirus (Covid-19) pandemic and its economic consequences may continue to adversely impact the Group's operations, results and financial position.

The emergence of Covid-19 in late 2019 and rapid spread of the pandemic across the globe have adversely impacted economic conditions in multiple business sectors, sparked a decline in the financial position of economic agents, while also disrupting the financial markets. In response, many affected countries have been forced to implement preventive health measures (closed borders, lockdown measures, restrictions on certain economic activities, etc.). In particular, the sudden recession gripping affected countries and the drop in global trade have had and will continue to have negative effects on global economic conditions for as long as global production, investments, supply chains and consumer spending are impacted, in turn impacting the business operations of the Group, its customers and its counterparties.

The resurgence of the virus in the autumn of 2020 led to new restrictions (in particular, another lockdown in France and a number of European countries) and, following a rebound during the summer, the economic environment may take another hit. A virus that is still active, with variants that are more contagious or more resistant to vaccines, could trigger the extension or repetition of restrictive measures, which could last several months, and thus continue to adversely affect the Group's business, financial performance and results.

In response, massive fiscal measures and monetary policy initiatives have been undertaken to stimulate activity. The French government, for example, has instituted a state-guaranteed loan program for businesses and professionals, as well as many other tax and social security measures for employees and their employers (short-time working measures).

For its part, the European Central Bank has made access to highly substantial refinancing operations more abundant and less expensive. Groupe BPCE has actively participated in the French state-guaranteed loan program in the interest of financially supporting its customers and helping them overcome the effects of this crisis on their activities and income (e.g. automatic six-month deferral on loans for certain professional customers and micro-enterprises/SMEs). Such measures may be insufficient to offset the negative impacts of the pandemic on the economy or to fully stabilize the financial markets over the long-term. The economic environment may get worse before it starts to get better.

In France, the Group's maincountry of operation (76% of net exposures were located in France on December 31, 2020), the lockdown and curfew measures and temporary administrative closure of certain activities have taken a major toll on the business of economic agents. The Group's results and financial position have been impacted by such measures, as a result of the decline in revenues and the significant increase in credit risk provisioning (cost of risk) to deal with the proven and, for the most part, future deterioration in asset quality in general and in certain specific sectors that have been particularly affected. Within the Corporate and Professional portfolios, the sectors most likely to be affected at present are mainly the Wholesale and non-food retail sectors (gross exposure on December 31, 2020 of €16.4 billion), Tourism-Hotels-Catering (gross exposure on December 31, 2020 of €14.1 billion), Automotive (gross exposure on December 31, 2020 of €9.6 billion), Consumer goods excluding cosmetics and personal care (gross exposure on December 31, 2020 of €5.8 billion) and Real Estate Professionals excluding residential exposure (gross exposure on December 31, 2020 of €5.4 billion). The Oil & Gas sector has been very significantly impacted by a sharp drop in demand brought on by the pandemic and by the initially uncoordinated supply-side action taken by certain oil-producing countries (e.g. OPEC countries, Russia), causing the price of the barrel to plummet and sparking major price volatility (net EAD of €10.0 billion on December 31, 2020 within the scope of Natixis). Finally, the aviation sector has been and continues to be particularly affected by this crisis (net EAD of €3.8 billion on airlines and companies specializing in aircraft leasing as of December 31, 2020 within the scope of Natixis).

For 2020, the cost of risk, the impact of which was however mitigated by the support measures for businesses and individuals put in place by the French government, amounted to €2,998 million, corresponding to 41 basis points (compared to 19 basis points for 2019) when compared to gross customer loans outstanding at the beginning of the period. The significant increase in the cost of risk is mainly related to the impact of the Covid-19 crisis in forward-looking information when assessing expected losses (future risk), but also to a lesser extent the increase in individual provisions (proven risk) concentrated on the Energy and Natural Resources sector, and more particularly Oil and Gas, in Corporate & Investment Banking. The method applied to impairment of credit risk and the assumptions made in the scenarios are described in § 1.5.2.1 "Impairment of credit risk" in the consolidated financial statements of Groupe BPCE included in the 2020 universal registration document.

This ongoing crisis could lead to a significant increase in the Group's cost of risk (provisions for actual or future credit risk) in 2021.

The Group's results and financial position may continue to be affected by adverse financial market developments (extreme volatility, equity market and index slump, spread tensions, steep and unforeseen decline in dividends, etc.). Accordingly, the valuation of certain products was affected during the period by illiquid markets, particularly in Natixis' Corporate & Investment Banking operations, which were exposed to the effects of the significant adjustment of valuation inputs, such as the "dividend" component.

The deterioration of economic conditions and its impacts on the Group increased the risk that the Group's ratings, like those of other banks, will be downgraded by the financial rating agencies. Furthermore, the French government's ratings may end up being downgraded, due in large part to an increase in public deficits and indebtedness. These factors could have a negative impact on the Group's funding cost on the financial markets.

More generally, the Covid-19 pandemic poses a risk to Groupe BPCE, insofar as it (i) causes organizational changes (teleworking, for example) that may generate an operational risk; (ii) has triggered and could again trigger a slowdown in trade, or even requests for early repayment, in money market transactions and could have an impact on the supply of liquidity; (iii) increases the liquidity needs of customers and, therefore, the amounts loaned to these customers to enable them to withstand the crisis; (iv) could lead to an increase in business failures, particularly among the most vulnerable companies or those in the most exposed sectors; and (v) causes sudden movements in the valuation of market assets, which could have an impact on the market activities or investments of institutions.

Developments in the Covid-19 crisis (uncertainty over the duration, magnitude and future trajectory of the pandemic, especially given the uncertainties about the rate of vaccination of the population to achieve herd immunity and because of the emergence of variants that are more contagious or more resistant to vaccines, the implementation of new lockdown or restriction measures in the event of additional epidemic waves) are a major source of uncertainty, making it difficult to predict the overall impact on the Group's main markets and on the global economy in general. At the date of filing this universal registration document, the impact of this situation, factoring in the aforementioned support measures, on Groupe BPCE's businesses (retail banking, insurance, Asset Management, Corporate & Investment Banking), income (mainly net banking income and cost of risk) and financial position (liquidity and solvency) is difficult to quantify.

The physical and transition components of climate risk, together with their repercussions for economic players, could adversely affect the activities, income and financial position of Groupe BPCE.

The risks associated with climate change are factors that exacerbate existing risks, including credit risk, operational risk and market risk. In particular, BPCE is exposed to physical and transition climate risk.

Physical risk leads to increased economic costs and financial losses resulting from the severity and increased frequency of extreme weather events related to climate change (such as heat waves, landslides, floods, fires and storms), as well as long-term gradual changes in climate (such as changes in rainfall patterns, extreme weather variability, and rising sea levels and average temperatures). It could have an extensive impact in terms of scope and magnitude, that may affect a wide variety of geographic areas and economic sectors relevant to Groupe BPCE. For example, the *Cévennes* episodes that affect the south-east of France every year can cause the flooding of buildings, factories and offices, slowing down or even making it impossible for some of the Group's customers to carry out their activities. For example, a corporate customer of the Group producing a component essential to the opening of buildings was flooded at the end of 2019, causing it to file for bankruptcy. This company was supplying a real estate project whose construction had to stop while a new supplier was found. The real estate project was delayed, which induced a credit risk on the operation for the bank financing it and led to penalties for late opening, late rental, etc. Thus, physical climate risk can spread along the value chain of Groupe BPCE's corporate customers, which can lead to default and thus generate financial losses for Groupe BPCE. These physical climate risks are likely to increase and could lead to significant losses for Groupe BPCE.

The transition risk is connected to the process of adjusting to a low-carbon economy. The process of reducing emissions is likely to have a significant impact on all sectors of the economy by affecting the value of financial assets and the profitability of companies. The increase in costs related to this energy transition for economic players, whether corporates or individual customers, could lead to an increase in defaults and thus significantly increase Groupe BPCE's losses. For example, the French law "*Energie-Climat*" of November 8, 2019 is expected to limit from 2028 the sale and rental of real estate with very low energy performances. Some of Groupe BPCE's customers will therefore have to plan renovation work for a possible future sale or lease of such type of properties. The risk consists in the impossibility for the Group's customers to carry out this costly work and consequently not being able to carry out the financial transaction necessary to balance their budget. These customers of Groupe BPCE could therefore become insolvent, which would result in significant financial losses for Groupe BPCE.

A persistently low interest rate environment may have an adverse impact on Groupe BPCE's profitability and financial position.

The global markets have been subject to low interest rates in recent years, and it appears this situation will not be changing anytime soon. When interest rates are low, credit spreads tend to tighten, meaning Groupe BPCE may not be able to sufficiently lower interest rates paid on deposits to offset the drop in revenues associated with issuing loans at lower market rates. Groupe BPCE's efforts to reduce the cost of deposits may be restricted by the high volumes of regulated products, especially on the French market, including in particular Livret A passbook savings accounts and PEL home savings plans, which earn interest above the current market rate. In addition, Groupe BPCE may incur an increase in prepayments and renegotiations of home loans and other fixed-rate loans to individuals and businesses, as customers seek to take advantage of lower borrowing costs. Combined with the issuance of new loans at low interest rates prevailing on the markets, Groupe BPCE may see an overall decrease in the average interest rate in the loan book.

Reduced credit spreads and weaker retail banking revenues stemming from this decrease may undermine the profitability of the retail banking activities and overall financial position of Groupe BPCE. Furthermore, if market rates begin climbing again and Groupe BPCE's hedging strategies prove ineffective or only partially offset this fluctuation in value, its profitability may be affected. An environment of persistently low interest rates may also cause the market yield curve to flatten more generally, which in turn may lower the premium generated by Groupe BPCE's financing activities and have an adverse impact on its profitability and financial position. The flattening of the yield curve may also encourage financial institutions to enter into higher-risk activities in an effort to obtain the targeted level of return, which may heighten risk and volatility on the market.

The stress tests conducted by Groupe BPCE on capital markets activities showed that, on December 31, 2020, the highest-impact hypothetical stress test was the "rate increase" scenario, and the highest-impact historical stress test was the "2011 sovereign crisis" scenario.

For information purposes, the change in Groupe BPCE's projected one-year net interest income calculated under four scenarios ("rate increase," "rate decrease," "steepening of the curve," "flattening of the curve") compared to the central scenario showed the "rate decrease" to be the most adverse scenario.

Groupe BPCE may be vulnerable to political, macro-economic and financial environments or to specific circumstances in its countries of operation.

Some Groupe BPCE entities are exposed to country risk, which is the risk that economic, financial, political or social conditions in a foreign country (particularly in countries where the Group conducts business) may affect their financial interests. Groupe BPCE predominantly does business in France (82% of net banking income for the fiscal year ended December 31, 2020) and North America (10% of net banking income for the fiscal year ended December 31, 2020), with other European countries and the rest of the world accounting for 5% and 3%, respectively, of net banking income for the fiscal year ended December 31, 2020. Note 12.6 to the consolidated financial statements of Groupe BPCE "Locations by country," contained in the 2020 universal registration document lists the entities established in each country and gives a breakdown of net banking income and income before tax by country of establishment.

A significant change in the political or macro-economic environment of such countries or regions may generate additional expenses or reduce profits earned by Groupe BPCE.

A major economic disruption, such as the 2008 financial crisis, the 2011 sovereign debt crisis in Europe or the development of a new epidemic like the coronavirus (the magnitude and length of which are still unknown), may have a material adverse impact on all Groupe BPCE activities, particularly if the disruption encompasses a lack of liquidity on the market, making it difficult for Groupe BPCE to obtain funding. In particular, some risks do not occur in the normal economic cycle because they are externally generated. Examples include the very short-term consequences of Brexit, the increase in credit risk associated with corporate debt around the world (leveraged loans market) and the threat of the Covid-19 epidemic growing even worse, or the longer-term impacts of climate change. During the last two major financial crises in 2008 and 2011, the financial markets

were subject to strong volatility in response to various events, including but not limited to the decline in oil and commodity prices, the slowdown in emerging economies and turbulence on the equity markets, which have directly or indirectly impacted several Groupe BPCE businesses (primarily securities transactions and financial services).

For more detailed information, see Chapters 4.2.1 "Economic and financial environment" and 4.7 "Outlook for Groupe BPCE" of the 2020 universal registration document.

Groupe BPCE may encounter difficulties in adapting, implementing and incorporating its policy governing acquisitions or joint ventures.

Although acquisitions are not a major part of Groupe BPCE's current strategy, the Group may nonetheless consider acquisition or partnership opportunities in the future. Although Groupe BPCE carries out an in-depth analysis of any potential acquisitions or joint ventures, in general it is impossible to carry out an exhaustive appraisal in every respect. As a result, Groupe BPCE may have to manage initially unforeseen liabilities. Similarly, the results of the acquired company or joint venture may prove disappointing and the expected synergies may not be realized in whole or in part, or the transaction may give rise to higher-than-expected costs. Groupe BPCE may also encounter difficulties with the consolidation of new entities. The failure of an announced acquisition or failure to consolidate a new entity or joint venture may place a strain on Groupe BPCE's profitability. This situation may also lead to the departure of key personnel. In the event that Groupe BPCE is obliged to offer financial incentives to its employees in order to retain them, this situation may also lead to an increase in costs and a decline in profitability. Joint ventures expose Groupe BPCE to additional risks and uncertainties in that it may depend on systems, controls and persons that are outside its control and may, in this respect, see its liability incurred, suffer losses or incur damage to its reputation. Moreover, conflicts or disagreements between Groupe BPCE and its joint venture partners may have a negative impact on the targeted benefits of the joint venture. On December 31, 2020, investments in associates totaled €4.6 billion, including €2.9 billion for CNP Assurances group (for more detailed information see Note 12.4 ("Partnerships and associates" to the consolidated financial statements of Groupe BPCE in the 2020 universal registration document).

Intense competition in France, Groupe BPCE's main market, or internationally, may cause its net income and profitability to decline.

Groupe BPCE's main business lines operate in a very competitive environment both in France and other parts of the world where it does substantial business. This competition is heightened by consolidation, either through mergers and acquisitions or cooperation and arrangements. Consolidation has created a certain number of companies which, like Groupe BPCE, can offer a wide range of products and services ranging from insurance, loans and deposits to brokerage, investment banking and asset management. Groupe BPCE is in competition with other entities based on a number of factors, including the execution of transactions, products and services offered, innovation, reputation and price. If Groupe BPCE is unable to maintain its competitiveness in France or in its other major markets by offering a range of attractive and profitable products and services, it may lose market share in certain key business lines or incur losses in some or all of its activities.

For example, as of December 31, 2020, in France, Groupe BPCE is the leading bank for SMEs⁽¹⁾, and the second-largest bank for individuals and professionals⁽²⁾. It has a 26.1% market share in home loans⁽³⁾. In Retail Banking and Insurance, loan outstandings totaled €613 billion and deposits and savings⁽⁴⁾ €816 billion (for more information on the contribution of each business line, and each network, see Chapter 1.5 “Groupe BPCE’s business lines” of the 2020 universal registration document). Moreover, a slowdown in the global economy or the economic environment of Groupe BPCE’s main markets is likely to increase competitive pressure, in particular through greater pricing pressure and a slowdown in business volume for Groupe BPCE and its competitors. New and more competitive rivals could also enter the market. Subject to separate or more flexible regulation, or to other requirements governing prudential ratios, these new market participants would be able to offer more competitive products and services. Advances in technology and the growth of e-commerce have made it possible for institutions other than custodians to offer products and services that were traditionally considered as banking products, and for financial institutions and other companies to provide electronic and internet-based financial solutions, including electronic securities trading. These new entrants may put downward pressure on the price of Groupe BPCE’s products and services or affect Groupe BPCE’s market share. Advances in technology could lead to rapid and unexpected changes on Groupe BPCE’s markets of operation. Groupe BPCE’s competitive position, net earnings and profitability may be adversely affected should it prove unable to adequately adapt its activities or strategy in response to such changes.

Groupe BPCE’s ability to attract and retain skilled employees is paramount to the success of its business and failing to do so may affect its performance.

The employees of Groupe BPCE entities are the Group’s most valuable resource. Competition to attract qualified employees is fierce in many areas of the financial services sector. Groupe BPCE’s earnings and performance depend on its ability to attract new employees and retain and motivate existing employees. Changes in the economic environment (in particular tax and other measures aimed at limiting the pay of banking sector employees) may compel Groupe BPCE to transfer its employees from one unit to another, or reduce the workforce in certain business lines, which may cause temporary disruptions due to the time required for employees to adapt to their new duties, and may limit Groupe BPCE’s ability to benefit from improvements in the economic environment. This may prevent Groupe BPCE from taking advantage of potential opportunities in terms of sales or efficiency, which could in turn affect its performance.

Groupe BPCE had a headcount of 100,344 employees on December 31, 2020. 11,605 permanent and fixed-term contract employees were hired in the year (for more information, please see Chapter 2.4.6 “Pay close attention to employees by developing their commitment” of the 2020 universal registration document).

CREDIT AND COUNTERPARTY RISKS

Groupe BPCE is exposed to credit and counterparty risks that could have a material adverse effect on the Group’s business, financial position and income.

Groupe BPCE is significantly exposed to credit and counterparty risk through its financing or market activities. The Group could thus incur losses in the event of default by one or more counterparties, in particular if the Group encounters legal or other difficulties in exercising its collateral or if the value of the collateral does not allow it to fully cover the exposure in the event of a default. Despite the due diligence carried out by the Group, aimed at limiting the effects of having a concentrated credit portfolio, counterparty defaults may be amplified within a specific economic sector or world region by the effects of interdependence between these counterparties. Default by one or more major counterparties could thus have a material adverse effect on the Group’s cost of risk, income and financial position.

For information, on December 31, 2020, Groupe BPCE’s gross exposure to credit risk amounted to €1,353 billion, with the following breakdown for the main types of counterparty: 38% for retail customers, 27% for corporates, 17% for central banks and other sovereign exposures, and 7% for the public sector and similar entities. Credit risk-weighted assets amounted to €376.5 billion (including counterparty risk).

With regard to counterparty risks arising from capital market activities, gross exposure amounted to €62.2 billion as of December 31, 2020, mainly to financial institutions (49%). Risk-weighted counterparty risk amounted to €12.1 billion.

The main economic sectors to which the Group is exposed in its Corporate portfolio are Real Estate (17% of gross exposures on December 31, 2020), Energy (10%), Finance/Insurance (9%), Real Estate Leasing (7%) and Distribution/Retail (7%).

Groupe BPCE develops its activities mainly in France. The Group’s net exposure to France is €967 billion, representing 76% of its total net exposure. The remaining exposures focus mainly on European institutions for 11%, and Europe (excluding France) for 6%, with the United States accounting for 4% of total net exposures.

For further information, please see Chapters 6.5 “Credit risks” and 6.6 “Counterparty risk” in the 2020 universal registration document.

[1] 53% [rank 1] total penetration rate [Kantar-TNS 2019 survey].

[2] Retail market share: 22.2% in household savings and 26.1% in mortgage loans to households [Banque de France Q3-2020]. Overall penetration rate of 29.6% [rank 2] among retail customers [SOFIA Kantar study, March 2020]. For professionals: 39.9% [rank 2] penetration rate among professionals and individual entrepreneurs [Pépites CSA 2019-2020 survey].

[3] Banque de France Q3-20 – Quarterly SURFI statements – Outstanding housing loans to households.

[4] Balance sheet and financial savings.

A substantial increase in impairments or provisions for expected credit losses recognized in respect of Groupe BPCE's portfolio of loans and receivables could have a material adverse effect on its income and financial position.

In the course of its lending activities, Groupe BPCE regularly recognizes charges for asset impairments in order to reflect, if necessary, actual or potential losses on its portfolio of loans and receivables. Such impairments are expensed under "Cost of risk." Groupe BPCE's total charges for asset impairments are based on the Group's measurement of past losses on loans, volumes and types of loans granted, industry standards, loans in arrears, economic conditions and other factors associated with the recoverability of various types of loans. While Groupe BPCE makes every effort to set aside a sufficient level of provisions for asset impairment expenses, its lending activities may cause it in the future to have to increase its expenses for losses on loans, due to a rise in non-performing loans or for other reasons such as the deterioration of market conditions or factors affecting certain countries. Any substantial increase in charges for losses on loans, material change in Groupe BPCE's estimate of the risk of loss associated with its portfolio of loans, or any loss on loans exceeding past impairment expenses, could have an adverse impact on Groupe BPCE's results and financial position.

The increase in cost of risk can be attributed to the effect of the Covid-19 crisis considered in forward-looking information to estimate expected credit losses. The method applied to impairment of credit risk and the assumptions made in the scenarios are described in § 1.5.2.1 "Impairment of credit risk" in the consolidated financial statements of Groupe BPCE included in the 2020 universal registration document.

Note: Groupe BPCE's cost of risk amounted to €2,998 million in 2020, with credit risks accounting for 87% of Groupe BPCE's risk-weighted assets. On the basis of gross exposures, 38% relate to retail customers and 27% to corporate customers (of which 71% of exposures are located in France).

Consequently, the risk associated with a significant increase in impairment expenses on assets booked to Groupe BPCE's loans and receivables portfolio is significant for Groupe BPCE in terms of impact and probability, and is therefore monitored carefully and proactively.

A decline in the financial strength and performance of other financial institutions and market players may have an unfavorable impact on Groupe BPCE.

Groupe BPCE's ability to execute transactions may be affected by a decline in the financial strength of other financial institutions and market players. Institutions are closely interconnected owing to their trading, clearing, counterparty and financing operations. A default by a sector player, or even mere rumors or concerns regarding one or more financial institutions or the financial industry in general, may lead to a general contraction in market liquidity and subsequently to losses or further defaults in the future. Groupe BPCE is directly or indirectly exposed to various financial counterparties, such as investment service providers, commercial or investment banks,

clearing houses and CCPs, mutual funds, hedge funds, and other institutional clients, with which it regularly conducts transactions. The default or failure of any such counterparties may have an adverse impact on Groupe BPCE's financial position. Moreover, Groupe BPCE may be exposed to the risk associated with the growing involvement of operators subject to little or no regulation in its business sector and to the emergence of new products subject to little or no regulation (including in particular crowdfunding and trading platforms). This risk would be exacerbated if the assets held as collateral by Groupe BPCE could not be sold or if their selling price would not cover all of Groupe BPCE's exposure to defaulted loans or derivatives, or in the event of fraud, embezzlement or other misappropriation of funds committed by financial sector participants in general to which Groupe BPCE is exposed, or if a key market operator such as a CCP defaults.

Exposures to "financial institutions" represent 4% of Groupe BPCE's total gross exposures (€1,353 billion) on December 31, 2020. In geographic terms, 73% of gross exposures to "institutions" are located in France.

FINANCIAL RISKS

Groupe BPCE is dependent on its access to funding and other sources of liquidity, which may be limited for reasons outside its control, thus potentially having a material adverse impact on its results.

Access to short-term and long-term funding is critical for the conduct of Groupe BPCE's business. Non-collateralised sources of funding for Groupe BPCE include deposits, issues of long-term debt and short/medium-term negotiable debt securities, banks loans and credit lines. Groupe BPCE also uses funding secured in particular by reverse repurchase agreements. If Groupe BPCE were unable to access the secured and/or unsecured debt market at conditions deemed acceptable, or incurred an unexpected outflow of cash or collateral, including a significant decline in customer deposits, its liquidity may be negatively affected. Furthermore, if Groupe BPCE were unable to maintain a satisfactory level of customer deposits (e.g. in the event its competitors offer higher rates of return on deposits), it may be forced to obtain funding at higher rates, which would reduce its net interest income and results.

Groupe BPCE's liquidity, and therefore its results, may also be affected by unforeseen events outside its control, such as general market disruptions, operational hardships affecting third parties, negative opinions on financial services in general or on the short/long-term outlook for Groupe BPCE, changes in Groupe BPCE's credit rating, or even the perception of the position of Groupe BPCE or other financial institutions among market operators.

Groupe BPCE's access to the capital markets, and the cost of long-term unsecured funding, are directly related to changes in its credit spreads on the bond and credit derivatives markets, which it can neither predict nor control. Liquidity constraints may have a material adverse impact on Groupe BPCE's financial position, results and ability to meet its obligations to its counterparties.

Groupe BPCE's liquidity reserves include cash placed with central banks and securities and receivables eligible for central bank funding. Groupe BPCE's liquidity reserve amounted to €307 billion on December 31, 2020, covering 246% short-term funding and short-term maturities of MLT debt. The one-month LCR (Liquidity Coverage Ratio) averaged 156% over 12 months on December 31, 2020 *versus* 141% on December 31, 2019. Any restriction on Groupe BPCE's access to funding and other sources of liquidity could have a material adverse impact on its results. Given the significance these risks hold for Groupe BPCE in terms of impact and probability, they are carefully and proactively monitored.

Significant changes in interest rates may have a material adverse impact on Groupe BPCE's net banking income and profitability.

Net interest income earned by Groupe BPCE during a given period has a material influence on net banking income and profitability for the period. In addition, material changes in credit spreads may influence Groupe BPCE's earnings. Interest rates are highly sensitive to various factors that may be outside the control of Groupe BPCE. In the last decade, interest rates have tended to be low but may increase, and Groupe BPCE may not be able to immediately pass on the impacts of this change. Changes in market interest rates may have an impact on the interest rate applied to interest-bearing assets, different from those of interest rates paid on interest-bearing liabilities. Any adverse change in the yield curve may reduce net interest income from associated lending and funding activities and thus have a material adverse impact on Groupe BPCE's net banking income and profitability.

The sensitivity of the net present value of Groupe BPCE's balance sheet to a +/-200 bp variation in interest rates is much lower than the 20% regulatory limit. Groupe BPCE's sensitivity to interest rate rises stood at -5.3% on December 31, 2020 *versus* -5.7% on December 31, 2019). The change in Groupe BPCE's projected one-year net interest income calculated under four scenarios ("rate increase," "rate decrease," "steepening of the curve," "flattening of the curve") compared to the central scenario showed, on September 30, 2020, the "rate decrease" to be the most adverse scenario, with expected losses of €41 million year-on-year.

Market fluctuations and volatility expose Groupe BPCE (in particular Natixis) to losses in its trading and investment activities, which may adversely impact Group's BPCE's results and financial position.

In the course of its third-party trading or investment activities, Groupe BPCE may carry positions in the bond, currency, commodity and equity markets, and in unlisted securities, real estate assets and other asset classes. These positions may be affected by volatility on the markets (especially the financial markets), *i.e.* the degree of price fluctuations over a given period on a given market, regardless of the levels on the market in question. Certain market configurations and fluctuations may also generate losses on a broad range of trading and hedging products used, including swaps, futures, options and structured products, which could adversely impact Groupe BPCE's results and financial position. Similarly, extended market declines and/or major crises may reduce the liquidity of certain asset classes, making it difficult to sell certain assets and in turn generating material losses.

Market risk-weighted assets totaled €14.4 billion, *i.e.* around 3% of Groupe BPCE's total risk-weighted assets, on December 31, 2020. For information, the weight of Corporate & Investment Banking activities in the Group's net banking income was 12% for the year 2020. For more detailed information and examples, see Note 9.1.2 ("Analysis of financial assets and liabilities classified in Level 3 of the fair value hierarchy") to the consolidated financial statements of Groupe BPCE, included in the 2020 universal registration document.

Changes in the fair value of Groupe BPCE's portfolios of securities and derivative products, and its own debt, are liable to have an adverse impact on the carrying amount of these assets and liabilities, and as a result on Groupe BPCE's net income and equity.

The carrying amount of Groupe BPCE's securities, derivative products and other types of assets at fair value, and of its own debt, is adjusted (at balance sheet level) at the date of each new financial statement. These adjustments are predominantly based on changes in the fair value of assets and liabilities during an accounting period, *i.e.* changes taken to profit or loss or recognized directly in other comprehensive income. Changes recorded in the income statement, but not offset by corresponding changes in the fair value of other assets, have an impact on net banking income and thus on net income. All fair value adjustments have an impact on equity and thus on Groupe BPCE's capital adequacy ratios. Such adjustments are also liable to have an adverse impact on the carrying amount of Groupe BPCE's assets and liabilities, and thus on its net income and equity. The fact that fair value adjustments are recorded over an accounting period does not mean that additional adjustments will not be necessary in subsequent periods.

On December 31, 2020, financial assets at fair value totaled €246 billion (with approximately €183 billion in financial assets at fair value held for trading purposes) and financial liabilities at fair value totaled €191 billion (with €164 billion in financial liabilities at fair value held for trading purposes). For more detailed information, see also Note 4.3 ("Net gains or losses on financial instruments at fair value through profit or loss"), Note 4.4 ("Net gains or losses on financial instruments at fair value through other comprehensive income"), Note 5.2 ("Financial assets and liabilities at fair value through profit or loss") and Note 5.4 ("Financial assets and liabilities at fair value through other comprehensive income") to the consolidated financial statements of Groupe BPCE in the 2020 universal registration document.

Groupe BPCE's revenues from brokerage and other activities associated with fee and commission income may decrease in the event of market downturns.

A market downturn is liable to lower the volume of transactions (particularly financial services and securities transactions) executed by Groupe BPCE entities for their customers and as a market maker, thus reducing net banking income from these activities. In particular, in the event of a decline in market conditions, Groupe BPCE may record a lower volume of customer transactions and a drop in the corresponding fees, thus reducing revenues earned from this activity. Furthermore, as management fees invoiced by Groupe BPCE entities to their customers are generally based on the value or performance of portfolios, any decline in the markets causing the value of these portfolios to decrease or generating an increase in the amount of redemptions would reduce the revenues earned by these entities through the distribution of mutual funds or other investment products (for the Caisses d'Épargne and the Banques Populaires) or through Asset Management activities (for Natixis).

Even where there is no market decline, if funds managed for third parties throughout Groupe BPCE and other Groupe BPCE products underperform the market, redemptions may increase and/or inflows decrease as a result, with a potential corresponding impact on revenues from the Asset Management business.

In 2020, the total net amount of fees and commissions received was €9,187 million, representing 41% Groupe BPCE's net banking income. Revenues earned from fees and commissions for financial services came to €407 million and revenues earned from fees for securities transactions €270 million. For more detailed information on the amounts of fees and commissions received by Groupe BPCE, see Note 4.2 ("Fee and commission income and expenses") to the consolidated financial statements of Groupe BPCE in the 2020 universal registration document.

Downgraded credit ratings could have an adverse impact on BPCE's funding cost, profitability and business continuity.

Groupe BPCE's long-term ratings on December 31, 2020 were A+ for Fitch Ratings, A1 for Moody's, A+ for R&I and A+ for Standard & Poor's. The decision to downgrade these credit ratings may have a negative impact on the funding of BPCE and its affiliates active in the financial markets (including Natixis). A ratings downgrade may affect Groupe BPCE's liquidity and competitive position, increase funding costs, limit access to financial markets and trigger obligations under some bilateral contracts governing trading, derivative and collateralized funding transactions, thus adversely impacting its profitability and business continuity.

Furthermore, BPCE and Natixis' unsecured long-term funding cost is directly linked to their respective credit spreads (the yield spread over and above the yield on government issues with the same maturity that is paid to bond investors), which in turn are heavily dependent on their ratings. An increase in credit spreads may materially raise BPCE and Natixis' funding cost. Shifts in credit spreads are correlated to the market and sometimes subject to unforeseen and highly volatile changes. Credit spreads are also influenced by market perception of issuer solvency and are associated with changes in the purchase price of Credit Default Swaps backed by certain BPCE or Natixis debt securities. Accordingly, a change in perception of an issuer solvency due to a rating downgrade could have an adverse impact on that issuer's profitability and business continuity.

INSURANCE RISKS

Groupe BPCE generates 11.3% of its net banking income from its insurance businesses. Net banking income from life and non-life insurance activities amounted to €2,550 million for the year 2020, compared to €3,306 million for 2019.

A deterioration in market conditions, and in particular excessive interest rate increases or decreases, could have a material adverse impact on the personal insurance business and income of Natixis.

The main risk to which Groupe BPCE insurance subsidiaries (predominantly Natixis) are exposed in their personal insurance business is market risk. Exposure to market risk is mainly related to the capital guarantee as applicable to euro-denominated savings products.

Among market risks, interest rate risk is structurally significant for Natixis Assurances, as its general funds consist primarily of bonds. Interest rate fluctuations may:

- in the case of higher rates: reduce the competitiveness of the euro-denominated offer (by making new investments more attractive) and trigger waves of redemptions on unfavorable terms with unrealized capital losses on outstanding bonds;
- in the case of lower rates: in the long-term, make the return on general funds too low to enable them to honor their capital guarantees.

Due to the allocation of general funds, the widening of spreads and the decline in the equity markets could also have a significant negative impact on the results of Natixis' personal insurance business.

A mismatch between the loss experience expected by the insurer and the amounts actually paid by Groupe BPCE to policyholders could have a significant adverse impact on its non-life insurance business and on the personal risk insurance portion of its insurance business, as well as its results and its financial position.

The main risk to which Groupe BPCE's insurance subsidiaries, mainly Natixis, are exposed in connection with these latter activities is underwriting risk. This risk results from a mismatch between i) claims actually recorded and benefits actually paid as compensation for these claims and ii) the assumptions used by the subsidiaries to set the prices for their insurance products and to establish technical reserves for potential compensation.

Groupe BPCE uses both its own experience and industry data to develop estimates of future policy benefits, including information used in pricing insurance products and establishing the related actuarial liabilities. However, actual experience may not match these estimates, and unforeseen risks such as pandemics or natural disasters could result in higher-than-expected payments to policyholders.

In the event that the amounts actually paid by the Group to policyholders are greater than the underlying assumptions initially used to establish provisions, or if events or trends lead the Group to modify the underlying assumptions, the Group may be exposed to more significant liabilities than expected, which could have a negative impact on the non-life insurance business for the personal protection portion, as well as on the results and financial position of Groupe BPCE.

In the context of the Covid-19 pandemic, the insurance business was significantly impacted by the crisis and has adapted by taking appropriate measures to maintain its business and continue to be operational for its customers.

The pandemic has resulted in a slowdown in commercial activity. The closure of bank branches due to the first lockdown weighed on the level of activity in the first half of the year, in particular that of savings activities. The results for the year 2020 were also marked by the economic consequences of the health crisis, in particular the decline in the equity markets. The latter was largely mitigated by the hedges put in place for the euro savings business in personal insurance, which was the most impacted by the market downturn.

Natixis Assurances kept track of its various risk exposures during the crisis, and especially market and credit risks. To that end, Natixis Assurances implemented greater oversight of its investments, subject to an equity hedging strategy.

Impacts in terms of underwriting risk were contained:

- non-life insurance: automobile claims are expected to decrease because of reduced risk as a consequence of the lockdown period. Conversely, in business interruption insurance, a negative impact is expected. However, this activity is covered by reinsurance;
- in personal insurance: with regard to personal risk insurance risks, the loss ratio for death risks (the main risk covered) has decreased slightly, and an increase can also be seen in the work stoppage cover.

Excluding non-recurring items, the gross operating income of the insurance business therefore remained very resilient and delivered positive growth.

In addition, the deterioration of the economic and financial environment, in particular the decline in the equity markets and the level of very low interest rates, also impacted Natixis Assurances' solvency, negatively impacting future margins. However, the coverage of the SCR (Solvency Capital Requirement) remains assured as of December 31, 2020. The various actions taken over the last few years, particularly in terms of financial coverage, reinsurance, business diversification or management of investments, have contributed to the solidity and resilience of the solvency of Natixis Assurances.

Nevertheless, in order to support its growth and take advantage of favorable market conditions, in October 2020 Natixis Assurances issued a subordinated debt issue of €350 million subscribed by Natixis (eligible as Tier 2 capital).

NON-FINANCIAL RISKS

In the event of non-compliance with applicable laws and regulations, Groupe BPCE could be exposed to significant fines and other administrative and criminal penalties that could have a material adverse effect on its financial position, activities and reputation.

The risk of non-compliance is defined as the risk of sanction—judicial, administrative or disciplinary—but also of financial loss or damage to reputation, resulting from non-compliance with laws and regulations, professional standards and practices, and ethical standards specific to banking and insurance activities, whether national or international.

The banking and insurance sectors are subject to increased regulatory oversight, both in France and internationally. Recent years have seen a particularly substantial increase in the volume of new regulations that have introduced significant changes affecting both the financial markets and the relationships between investment service providers and customers or investors (e.g. MIFID II, PRIIPS, the directive on the Insurance Distribution, Market Abuse Regulation, Fourth Anti-Money Laundering and Terrorism Financing directive, Personal Data Protection Regulation, Benchmark Index Regulation, etc.). These new regulations have major impacts on the company's operational processes.

The realization of the risk of non-compliance could result, for example, in the use of inappropriate means to promote and market the bank's products and services, inadequate management of potential conflicts of interest, the disclosure of confidential information, or privileged, failure to comply with due diligence on entering into relations with suppliers and customers, particularly in terms of financial security (particularly the fight against money laundering and the financing of terrorism, compliance with embargoes, the fight against fraud or corruption).

Within BPCE, the Compliance function is responsible for overseeing the system for preventing and managing non-compliance risks. Despite this system, Groupe BPCE remains exposed to the risk of fines or other significant sanctions from the regulatory and supervisory authorities, as well as civil or criminal legal proceedings that could have a significant adverse impact on its financial position, activities and reputation.

Any interruption or failure of the information systems belonging to Groupe BPCE or third parties may generate losses (including commercial losses) and may have a material adverse impact on Groupe BPCE's results.

As is the case for the majority of its competitors, Groupe BPCE is highly dependent on information and communication systems, as a large number of increasingly complex transactions are processed in the course of its activities. Any failure, interruption or malfunction in these systems may cause errors or interruptions in the systems used to manage customer accounts, general ledgers, deposits, transactions and/or to process loans. For example, if Groupe BPCE's information systems were to malfunction, even for a short period, the affected entities would be unable to meet their customers' needs in time and could thus lose transaction opportunities. Similarly, a temporary failure in Groupe BPCE's information systems despite back-up systems and contingency plans could also generate substantial information recovery and verification costs, or even a decline in its proprietary activities if, for example, such a failure were to occur during the implementation of a hedging transaction. The inability of Groupe BPCE's systems to adapt to an increasing volume of transactions may also limit its ability to develop its activities and generate losses, particularly losses in sales, and may therefore have a material adverse impact on Groupe BPCE's results.

Groupe BPCE is also exposed to the risk of malfunction or operational failure by one of its clearing agents, foreign exchange markets, clearing houses, custodians or other financial intermediaries or external service providers that it uses to carry out or facilitate its securities transactions.

As interconnectivity with its customers continues to grow, Groupe BPCE may also become increasingly exposed to the risk of the operational malfunction of customer information systems. Groupe BPCE's communication and information systems, and those of its customers, service providers and counterparties, may also be subject to failures or interruptions resulting from cybercriminal or cyberterrorist acts. For example, as a result of its digital transformation, Groupe BPCE's information systems are becoming increasingly open to the outside (cloud computing, big data, etc.) and many of its processes are gradually going digital. Use of the internet and connected devices (tablets, smartphones, apps used on tablets and mobiles, etc.) by employees and customers is on the rise, increasing the number of channels serving as potential vectors for attacks and disruptions, and the number of devices and applications vulnerable to attacks and disruptions. Consequently, the software and hardware used by Groupe BPCE's employees and external agents are constantly and increasingly subject to cyberthreats. As a result of any such attacks, Groupe BPCE may face malfunctions or interruptions in its own systems or in third-party systems that may not be adequately resolved. Any interruption or failure of the information systems belonging to Groupe BPCE or third parties may generate losses (including commercial losses) due to the disruption of its operations and the possibility that its customers may turn to other financial institutions during and/or after any such interruptions or failures.

The risk associated with any interruption or failure of the information systems belonging to Groupe BPCE or third parties is significant for Groupe BPCE in terms of impact and probability, and is therefore carefully and proactively monitored.

Reputational and legal risks could unfavorably impact Groupe BPCE's profitability and business outlook.

Groupe BPCE's reputation is of paramount importance when it comes to attracting and retaining customers. Use of inappropriate means to promote and market Group products and services, inadequate management of potential conflicts of interest, legal and regulatory requirements, ethical issues, money laundering laws, economic sanctions, data policies and sales and trading practices could adversely affect Groupe BPCE's reputation. Its reputation could also be harmed by inappropriate employee behavior, fraud, cybercrime or cyberterrorist attacks on Groupe BPCE's information and communication systems, or any fraud, embezzlement or other misappropriation of funds committed by financial sector participants to which Groupe BPCE is exposed, any decrease, restatement or correction of financial results, or any legal ruling or regulatory action with a potentially unfavorable outcome. Any such harm to Groupe BPCE's reputation may have a negative impact on its profitability and business outlook.

Ineffective management of reputational risk could also increase Groupe BPCE's legal risk, the number of legal disputes in which it is involved and the amount of damages claimed, or may expose the Group to regulatory sanctions. As an example, regarding the legal disputes and arbitration proceedings involving Groupe BPCE, a fine of €4.07 million was charged to the Caisse d'Épargne for the check imaging exchange commissions case. On January 29, 2020, the Court of Cassation rendered its verdict and overturned the appeal for lack of legal grounds on the demonstration of collusion. The ruling referred the case back to the Court of Appeal, with the banks returning to their position subsequent to the ADLC (anti-competition authority) ruling. Consequently, the Court of Appeal will have to

issue a ruling in favor of Caisse d'Épargne before the fine will be reimbursed. For more information, please refer to Chapter 6.10 "Legal risks" in the 2020 universal registration document. The financial consequences of these disputes may have an impact on the financial position of the Group, in which case they may also adversely impact Groupe BPCE's profitability and business outlook.

As of December 31, 2020, total provisions for legal and tax risks amounted to €1,208 million.

Unforeseen events may interrupt Groupe BPCE's operations and cause losses and additional costs.

Unforeseen events, such as a serious natural disaster, events related to climate risk (physical risk directly associated with climate change), pandemics, attacks or any other emergency situation can cause an abrupt interruption in the operations of Groupe BPCE entities, affecting in particular the Group's core business lines (liquidity, payment instruments, securities services, loans to individual and corporate customers, and fiduciary services) and trigger material losses, if the Group is not covered or not sufficiently covered by an insurance policy. These losses could relate to material assets, financial assets, market positions or key personnel, and have a direct and potentially material impact on Groupe BPCE's net income. Moreover, such events may also disrupt Groupe BPCE's infrastructure, or that of a third party with which Groupe BPCE does business, and generate additional costs (relating in particular to the cost of re-housing the affected personnel) and increase Groupe BPCE's costs (such as insurance premiums). Such events may invalidate insurance coverage of certain risks and thus increase Groupe BPCE's overall level of risk.

On December 31, 2020, operational risks accounted for 9% of Groupe BPCE's risk-weighted assets, as on December 31, 2019. On December 31, 2020, Groupe BPCE's losses in respect of operational risk can be primarily attributed to the "Corporate items" business line (59%). 34% of losses in respect of operational risk were recorded under the Basel classification "Clients, products and business practices."

The failure or inadequacy of Groupe BPCE's risk management and hedging policies, procedures and strategies may expose it to unidentified or unexpected risks which may trigger unforeseen losses.

Groupe BPCE's risk management and hedging policies, procedures and strategies may not succeed in effectively limiting its exposure to all types of market environments or all kinds of risks, and may even prove ineffective for some risks that the Group was unable to identify or anticipate. Furthermore, the risk management techniques and strategies employed by Groupe BPCE may not effectively limit its exposure to risk and do not guarantee that overall risk will actually be lowered. These techniques and strategies may prove ineffective against certain types of risk, in particular risks that Groupe BPCE had not already identified or anticipated, given that the tools used by Groupe BPCE to develop risk management procedures are based on assessments, analyses and assumptions that may prove inaccurate. Some of the indicators and qualitative tools used by Groupe BPCE to manage risk are based on the observation of past market performance. To measure risk exposures, the heads of risk management carry out a statistical analysis of these observations.

These tools or indicators may not be capable of predicting future exposure to risk. For example, these risk exposures may be due to factors that Groupe BPCE may not have anticipated or correctly assessed in its statistical models or due to unexpected or unprecedented shifts in the market. This would limit Groupe BPCE's risk management capability. As a result, losses incurred by Groupe BPCE may be higher than those anticipated on the basis of past measurements. Moreover, the Group's quantitative models cannot factor in all risks. While no significant problem has been identified to date, the risk management systems are subject to the risk of operational failure, including fraud. Some risks are subject to a more qualitative analysis, which may prove inadequate and thus expose Groupe BPCE to unexpected losses.

Actual results may vary compared to assumptions used to prepare Groupe BPCE's financial statements, which may expose it to unexpected losses.

In accordance with current IFRS standards and interpretations, Groupe BPCE must base its financial statements on certain estimates, in particular accounting estimates relating to the determination of provisions for non-performing loans and receivables, provisions for potential claims and litigation, and the fair value of certain assets and liabilities. If the values used for the estimates by Groupe BPCE prove to be materially inaccurate, in particular in the event of major and/or unexpected market trends, or if the methods used to calculate these values are modified due to future changes in IFRS standards or interpretations, Groupe BPCE may be exposed to unexpected losses.

Information on the use of estimates and judgments is provided in Note 2.3 ("Use of estimates") to the consolidated financial statements of Groupe BPCE in the 2020 universal registration document.

REGULATORY RISKS

Groupe BPCE is subject to significant regulation in France and in several other countries around the world where it operates; regulatory measures and changes could have a material adverse impact on Groupe BPCE's business and results.

The business and results of Group entities may be materially impacted by the policies and actions of various regulatory authorities in France, other governments of the European Union, the United States, foreign governments and international organizations. Such constraints may limit the ability of Groupe BPCE entities to expand their businesses or conduct certain activities. The nature and impact of future changes in such policies and regulatory measures are unpredictable and are beyond Groupe BPCE's control. Moreover, the general political environment has evolved unfavorably for banks and the financial industry, resulting in additional pressure on the part of legislative and regulatory bodies to adopt more stringent regulatory measures, despite the fact that these measures may have adverse consequences on lending and other financial activities, and on the economy. Because of the continuing uncertainty surrounding the new legislative and regulatory measures, it is not possible to predict what impact they will have on Groupe BPCE; however, this impact may be highly adverse.

For example, legislation and regulations have recently been enacted or proposed with a view to introducing a number of changes, some permanent, in the global financial environment. While the objective of these new measures is to avoid a recurrence of the global financial crisis, the impact of the new measures could substantially change, and may continue to change, the environment in which Groupe BPCE and other financial institutions operate.

As a result of some of these measures, Groupe BPCE has reduced, and may further reduce, the size of certain activities in order to comply with the new requirements. These measures are also liable to increase the cost of compliance with new regulations. This could cause revenues and consolidated profit to decline in the relevant business lines, sales to decline in certain activities and asset portfolios, and asset impairment expenses.

The purpose of the 2019 adoption of the final versions of the Banking Package was to align prudential requirements for banks with Basel III standards. The implementation of these reforms may result in higher capital and liquidity requirements, which could impact Groupe BPCE funding costs.

On November 11, 2020, the Financial Stability Board (FSB), in consultation with the Basel Committee on Banking Supervision and national authorities, reported the 2020 list of global systemically important banks (G-SIBs). Groupe BPCE is classified as a G-SIB by the FSB. Groupe BPCE also appears on the list of global systemically important financial institutions (G-SIFIs).

These regulatory measures, which may apply to various Groupe BPCE entities, and any changes in such measures may have a material adverse impact on Groupe BPCE's business and results.

Legislation and regulations have recently been enacted or proposed with a view to introducing a number of changes, some permanent, in the global financial environment. These new measures, aimed at avoiding a new global financial crisis, have significantly altered the operating environment of Groupe BPCE and other financial institutions, and may continue to alter this environment in the future. Groupe BPCE is exposed to the risk associated with changes in legislation and regulations.

In today's evolving legislative and regulatory environment, it is impossible to foresee the impact of these new measures on Groupe BPCE. The development of programs aimed at complying with these new legislative and regulatory measures (and updates to existing programs), and changes to the Group's information systems in response to or in preparation for new measures generates significant costs for the Group, and may continue to do so in the future. Despite its best efforts, Groupe BPCE may also be unable to fully comply with all applicable laws and regulations and may thus be subject to financial or administrative penalties. Furthermore, new legislative and regulatory measures may require the Group to adapt its operations and/or may affect its results and financial position. Lastly, new regulations may require Groupe BPCE to strengthen its capital or increase its total funding costs.

The risk associated with regulatory measures and subsequent changes to such measures is significant for Groupe BPCE in terms of impact and probability, and is therefore carefully and proactively monitored.

BPCE may have to help entities belonging to the financial solidarity mechanism in the event they experience financial difficulties, including entities in which BPCE holds no economic interest.

As the central institution of Groupe BPCE, BPCE is responsible for ensuring the liquidity and solvency of each regional bank (Banques Populaires and Caisses d'Épargne) and the other members of the group of affiliates which are credit institutions subject to French regulations. The group of affiliates includes BPCE subsidiaries, such as Natixis, Crédit Foncier de France and Banque Palatine. While the regional banks (the "contributing entities") are required to provide BPCE with similar support, the benefits of the financial solidarity mechanism may be outweighed by the costs supported by Groupe BPCE.

The three guarantee funds created to cover Groupe BPCE's liquidity and insolvency risks are described in Note 1.2 "Guarantee mechanism" to the consolidated financial statements of Groupe BPCE included in the 2020 universal registration document. On December 31, 2020, the Banque Populaire and Caisse d'Épargne funds each contained €450 million. The Mutual Guarantee Fund holds €176 million per network. The regional banks are obligated to make additional contributions to the guarantee fund on their future profits. While the guarantee fund represents a substantial source of resources to fund the solidarity mechanism, there is no guarantee these revenues will be sufficient. If the guarantee fund proves inadequate, BPCE, in accordance with its duties as central institution, will be required to offset the deficit by mobilizing its own resources and, where applicable, those of the contributing entities.

In light of this obligation, if a member of the Group (including one of the non-contributing affiliates) were to encounter a major financial hardship, the circumstances underlying said hardship may adversely impact the financial position of BPCE and the other contributing entities called upon for support in respect of the financial solidarity mechanism.

Investors in BPCE's securities could suffer losses if BPCE were to be subject to liquidation or resolution procedures.

The EU regulation on the Single Resolution Mechanism No. 806/214 and the EU directive for the recovery and resolution of banks No. 2014/59, as amended by the EU directive No. 2019/879 (the "BRRD"), as transposed into French law in Book VI of the French Monetary and Financial Code, give the resolution authorities the power to write down BPCE securities or, in the case of debt securities, to convert them to equity.

Resolution authorities may write down or convert capital instruments, such as BPCE's Tier 2 subordinated debt securities, if the issuing institution or the group to which it belongs is failing or likely to fail (and there is no reasonable prospect that another measure would avoid such failure within a reasonable time period), becomes non-viable, or requires extraordinary public support (subject to certain exceptions). They shall write down or convert capital instruments before opening a resolution proceeding, or if doing so is necessary to maintain the viability of an institution. Any write-down or conversion of capital instruments shall be effected in order of seniority, so that Common Equity Tier 1 instruments are to be written down first, then additional Tier 1 instruments are to be written down or converted to equity, followed by Tier 2 instruments. If the

write-down or conversion of capital instruments is not sufficient to restore the financial health of the institution, the bail-in power held by the resolution authorities may be applied to write down or convert eligible liabilities, such as BPCE's senior non-preferred and senior preferred securities.

On December 31, 2020, total Tier 1 capital amounted to €69.0 billion and Tier 2 prudential capital to €9.3 billion. Senior non-preferred debt instruments totaled €22 billion at end-December 2020.

For Groupe BPCE, all entities affiliated with the central institution of Groupe BPCE benefit from a guarantee and solidarity mechanism, the aim of which, in accordance with Articles L. 511-31 and L. 512.107-6 of the French Monetary and Financial Code, is to ensure the liquidity and solvency of all affiliated entities and to organize financial solidarity throughout the Group.

This financial solidarity is rooted in legislative provisions instituting a legal solidarity system requiring the central institution to restore the liquidity or solvency of struggling affiliates and/or of all Group affiliates, by mobilizing if necessary up to all cash and cash equivalents and capital available to all contributing affiliates. As a result of this complete legal solidarity, and in the extreme case of a liquidation or resolution proceeding, one or more affiliates may not find itself subject to court-ordered liquidation, or be affected by resolution measures within the meaning of the "BRRD," without all affiliates also being affected. In accordance with Article L. 613-29 of the French Monetary and Financial Code, court-ordered liquidation proceedings are therefore brought in a coordinated manner with regard to the central institution and all of its affiliates.

The same article provides that, in the event of court-ordered liquidation proceedings being brought against all affiliates, the external creditors (of the same rank or enjoying identical rights) of all affiliates would be treated equally according to the ranking of the creditors and regardless of whether they are attached to a particular affiliated entity. As a result, investors in AT1 instruments and other *pari passu* securities would be more affected than investors in Tier 2 instruments and other *pari passu* securities, which in turn would be more affected than investors in external senior non-preferred debt, which in turn would be more affected than investors in external senior preferred debt. In the event of resolution, identical impairment and/or conversion rates would be applied to debts and securities of a given rank, irrespective of their ties with any specific entity, in the order of the ranking referred to above.

A resolution proceeding may be initiated against an institution, such as Groupe BPCE, if (i) it is failing or likely to fail, (ii) there is no reasonable prospect that another measure would avoid such failure within a reasonable time period, and (iii) a resolution measure is required, to achieve the objectives of the resolution: (a) to ensure the continuity of critical functions, (b) to avoid a significant adverse effect on the financial system, (c) to protect public funds by minimizing reliance on extraordinary public financial support, and (d) to protect customer funds and assets, in particular those of depositors. Failure of an institution means that it does not respect requirements for continuing authorization, it is unable to pay its debts or other liabilities when they fall due, it requires extraordinary public financial support (subject to limited exceptions), or the value of its liabilities exceeds the value of its assets.

In addition to bail-in power, resolution authorities are provided with broad powers to implement other resolution measures with respect to failing institutions or, under certain circumstances, their groups, which may include (without limitation): the total or partial sale of the institution's business to a third party or a bridge institution, the separation of assets, the replacement or substitution of the institution as obligor in respect of debt instruments, modifications to the terms of debt instruments (including altering the maturity and/or the amount of interest payable and/or imposing a temporary suspension on payments), discontinuing the listing and admission to trading of financial instruments, dismissal of managers or appointment of a temporary administrator (*administrateur spécial*) and issuance of new equity or own funds.

The exercise of the powers described above by resolution authorities could result in the partial or total write-down or conversion to equity of the capital instruments and the debt instruments issued by BPCE, or may substantially affect the amount of resources available to BPCE to make payments on such instruments, potentially causing BPCE investors to incur losses.

Tax legislation and its application in France and in countries where Groupe BPCE operates are likely to have an adverse impact on Groupe BPCE's profits.

As a multinational banking group that carries out large and complex international transactions, Groupe BPCE (particularly Natixis) is subject to tax legislation in a large number of countries throughout the world, and structures its activity in compliance with applicable tax rules. Changes in tax schemes by the competent authorities in these countries could materially impact Groupe BPCE's profits. Groupe BPCE manages its activities with a view to creating value from the synergies and sales capabilities of its various constituent entities. It also works to structure financial products sold to its customers from a tax efficiency standpoint. The structure of intra-group transactions and financial products sold by entities of Groupe BPCE are based on its own interpretations of applicable tax regulations and laws, generally based on opinions given by independent tax experts, and, as needed, on decisions or specific interpretations by the competent tax authorities. It is possible that in the future tax authorities may challenge some of these interpretations, as a result of which the tax positions of Groupe BPCE entities may be disputed by the tax authorities, potentially resulting in tax re-assessments, which may in turn have an adverse impact on Groupe BPCE's results.

6.3 Risk management system

6.3.1 Adequacy of risk management systems

The Group Risk and Compliance Committee, chaired by the Chairman of the Management Board, met five times in 2020 to review the adequacy of Groupe BPCE's risk management systems, and validated the annual review of the Group's risk policies. These systems cover all risks, as described in the Ministerial Order of November 3, 2014 on internal control.

Coverage of risks was found to be adequate, consistent with the risk appetite system validated by the BPCE Management Board and Supervisory Board, and related closely to the Group's strategy and budget oversight.

6.3.2 Risk appetite

All risks are covered by mechanisms (centrally and at each institution) which, in line with the Group's risk appetite and strategy, ensure the adequacy of its risk management systems.

Groupe BPCE's Supervisory Board unanimously approved the Group's risk appetite framework: quantitative indicators, resilience threshold for each indicator and associated governance. During its annual review, the Supervisory Board examined the Group's risk appetite in September 2020 and December 2020 and its deliberation was unanimously approved.

RISK APPETITE GUIDELINES

As a decentralized and united cooperative group, Groupe BPCE structures its activity around share capital, held predominantly by the regional institutions, and centralized market funding, optimizing the resources allocated to the entities.

Groupe BPCE:

- through its cooperative nature, is firmly committed to generating recurring and resilient income for its cooperative shareholders and investors by offering the best service to its customers;
- must preserve the solvency, liquidity and reputation of each Group entity – a duty assumed by the central institution through the oversight of consolidated risks, a risk policy and shared tools;
- consists of regional banks, which own the Group and its subsidiaries. In addition to normal management operations, in the event of a crisis, solidarity mechanisms between Group entities ensure the circulation of capital and prevent the entities or the central institution from defaulting;
- focuses on the structural risks of its full-service banking model, with a predominant retail banking component in France, while incorporating other business lines necessary to provide quality service to all of its customers;
- diversifies its exposures by developing certain activities in line with its strategic plan:
 - development of the Corporate & Investment Banking, bancassurance and Asset Management businesses,
 - international expansion (predominantly Corporate & Investment Banking and Asset Management, with a more targeted approach for retail banking customers).

Groupe BPCE's risk appetite is defined as the level of risk it is willing to accept with the goal of increasing its profitability while maintaining solvency. This risk appetite must be aligned with the institution's operating environment, strategy and business model, while making customer interests the top priority. In determining its risk appetite, Groupe BPCE aims to steer clear of any major pockets of concentration and to optimize capital allocation.

In terms of risk profile, Groupe BPCE incurs risks intrinsically associated with its retail banking and Corporate & Investment Banking activities. Changes to its business model are increasing exposure to some types of risks, particularly risks related to Asset Management and international businesses.

Groupe BPCE does not conduct business unless it has the associated risks sufficiently under control, nor does it exercise proprietary trading activities. Activities with high risk-reward profiles are strictly controlled.

In all activities, entities and regions of operation, the Group undertakes to meet the highest standards of ethics, conduct, best execution and transaction security.

RISK APPETITE FRAMEWORK AND GROUPWIDE IMPLEMENTATION

The risk appetite framework is based on a master document providing a qualitative and quantitative description of the risks that Groupe BPCE is willing to assume, and describing the governance and operating guidelines in effect.

The implementation of the risk appetite framework is centered on four key components: (i) the definition of groupwide standards, (ii) the existence of a set of limits in line with those defined by regulations, (iii) the distribution of expertise and responsibilities between the entities and the central institution and (iv) the operation of the governance process within the Group and the different entities, enabling the efficient and resilient application of the risk appetite framework.

The Group's risk appetite framework is regularly updated and is centered on a series of successive limits associated with separate respective authorization levels, *i.e.*:

- an observation limit which, if breached, calls for BPCE Management Board members to decide either to require the breach to be corrected or to allow the transaction to go ahead on an exceptional basis;

- a resilience limit which, if breached, exposes the Group to a potential business continuity and/or stability risk. Any such breach must be reported to the BPCE Supervisory Board and addressed by a specific action plan validated by the Board;
- an extreme limit in conjunction with the Group's resolution and recovery plan which, if breached, could jeopardize the Group's very survival. This extreme limit concerns certain indicators adopted in respect of the Group's risk appetite.

A quarterly dashboard is prepared by the Group's Risk division, for the purpose of regularly and extensively monitoring all risk indicators and reporting to the supervisory body or/and any committee thereof.

The risk appetite framework is adapted by the entities for consistent group-wide implementation.

ROBUST FINANCIAL STRENGTH

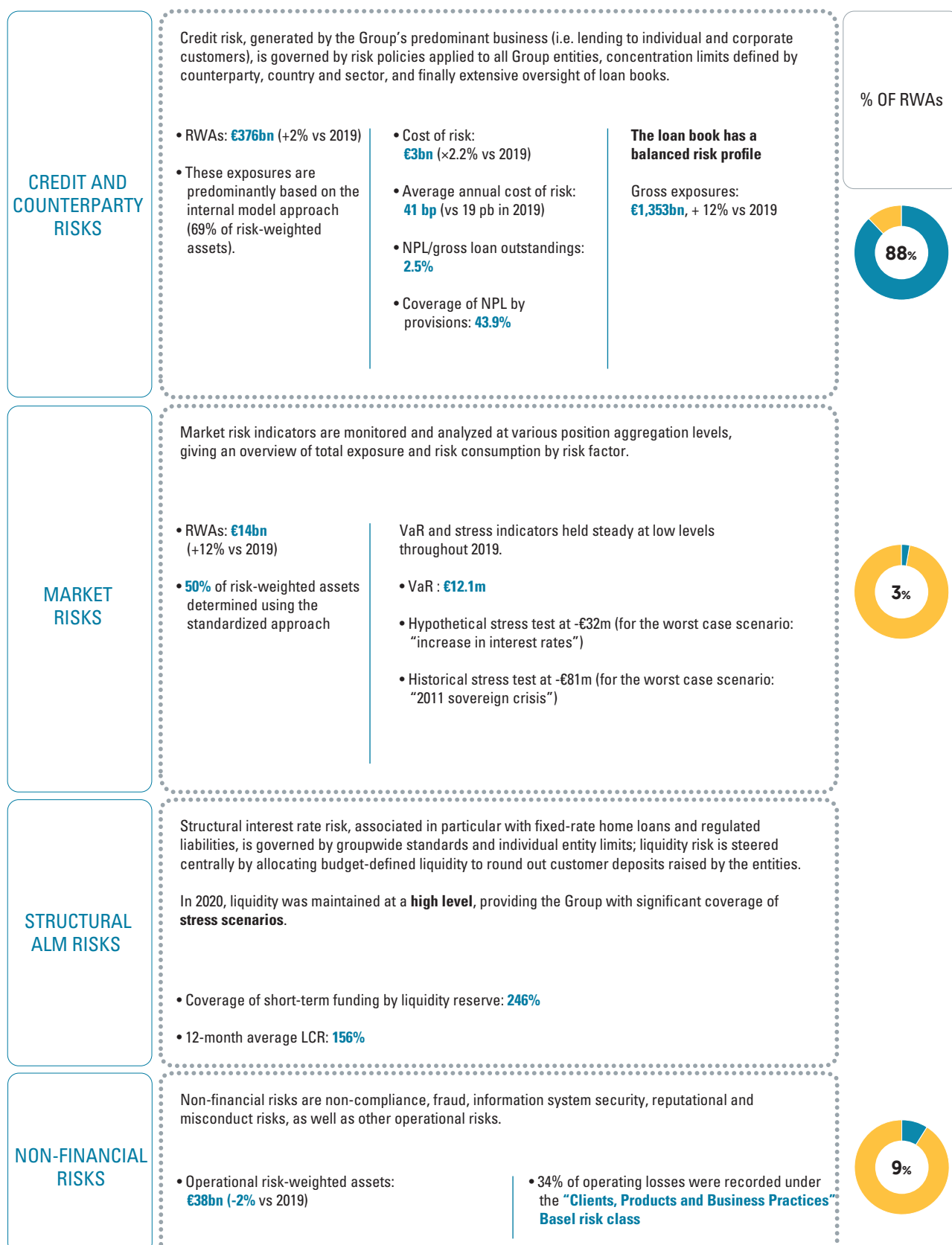
Groupe BPCE enjoys high liquidity and solvency levels:

- in terms of solvency, the Group is able to absorb, if need be, the occurrence of a risk at entity or Group level;
- in terms of liquidity, the Group has a significant reserve consisting of cash and securities enabling it meet regulatory requirements, pass stress tests and access central bank unconventional financing mechanisms. It also has a sufficient amount of high-quality liquid assets eligible for market funding mechanisms and those offered by the European Central Bank.

The Group ensures the robustness of this system by implementing global stress tests carried out regularly. They are intended to verify the Group's resilience, particularly in the event of a serious crisis.

Summary of Groupe BPCE's risk profile in 2020

The following risks are incurred by the Group because of its business model:



EMERGING RISKS

Groupe BPCE places great importance on anticipating and managing emerging risks in today's constantly changing environment. To this end, a prospective analysis identifying the risks that could impact the Group is carried out every six months and presented to the Risk and Compliance Committee, followed by the Board's Risk Committee.

The global Covid-19 pandemic and the lockdowns implemented in most countries in the spring and autumn led to a violent and sudden contraction of the economies. This crisis, whose duration and intensity are still very uncertain, has profoundly changed the environment in which the Group's activities are carried out. It has greatly increased the intensity of the shocks caused by the various types of risk affecting our businesses lines. A massive vaccination campaign is being implemented to cover this pandemic risk.

There now appears to be a predominant risk of future deterioration in the Group's credit portfolios. The impact of the health crisis, which is particularly strong in certain sectors, the increase in corporate debt to cope with it, in particular through state-guaranteed loans, as well as the expected rise in unemployment despite furlough schemes, appear to drive the future deterioration in the Group's exposure and an inevitable and potentially significant increase in the cost of risk.

Low-to-negative interest rates have had a continuous adverse impact on the profitability of commercial banking activities, due to the predominance of fixed-rate home loans and life insurance activities.

The international geopolitical environment is an ongoing source of concern, with various geopolitical tensions continuing to weigh on general economic conditions and fueling uncertainties.

As the economy and financial services have grown increasingly digitized, banks have had to remain constantly vigilant against cyber threats. The sophistication of cyber attacks and potential vulnerability of their IS systems are both major risks for Groupe BPCE, in conjunction with the expectations of the regulatory authority.

Groupe BPCE is acutely aware of the changes in the regulatory environment, particularly in terms of new standards on provisions and guidelines on non-performing loans, and particularly the new definition of default and the finalization of Basel III.

Climate change and social responsibility are increasingly covered in the risk management policy.

Lastly, operational risks are receiving close attention, notably with the application of crisis management systems when necessary.

6.3.3 Risk management

GOVERNANCE OF RISK MANAGEMENT

Risk management is governed by two main bodies at Group level: the Supervisory Board, which is supported by the Board's Risk Committee, and the Executive Management Committee, of which the Head of Risk Management is a member.

Chaired by the Chairman of the Management Board, the Group Risk and Compliance Committee, an umbrella committee, sets the broad outlines of the risk policy and examines issues related to non-financial risks (specifically those related to banking, insurance and investment service compliance, and to financial security), annually reviews the risk appetite system, and approves a prospective risk analysis twice a year.

ORGANIZATION OF RISK MANAGEMENT

Groupe BPCE's Risk division and Corporate Secretary's Office – in charge of compliance and permanent control – measure,

monitor and manage risks, pursuant to the Ministerial Order of November 3, 2014 on internal control.

They ensure that the risk management system is effective, complete and consistent, and that risk-taking is consistent with the guidelines for the business (particularly targets and resources of the Group and its institutions).

These duties are formalized in Groupe BPCE's Internal Control Charter, an umbrella charter. It is based on the two charters of the control functions, namely the Internal Audit Charter and the Group Risk, Compliance and Permanent Control Charter.

The various departments of the Group Risk division are involved in all risks (credit, financial, operational, climate and non-banking investments) by acting on:

- the risk policy and the resulting standards;
- permanent monitoring and control;
- coordination.

These activities are described in more detail below:

Group policy and standards	Monitoring and control	Coordination
• present the Management Board and Supervisory Board with a risk appetite framework for the Group and ensure its implementation and roll-out at each major entity; • help draw up risk policies on a consolidated basis, inform overall risk limits, contribute to discussions on capital allocation and ensure that portfolios are managed in accordance with these limits and allocations; • define and implement standards and methods for consolidated risk measurement, risk-taking approval, risk control and reporting, and compliance with risk regulations; • oversee the risk information system, working closely with the IS departments, while defining the standards to be applied for the measurement, control, reporting and management of risks.	• carry out the annual macro-level risk mapping exercise, factoring in the overall risk policy, risk appetite and annual permanent control plan, which is part of the internal control system; • assess and control the level of risk across the Group; • conduct permanent monitoring of limit breaches and their resolution, centralize risk data and prepare forward-looking risk reports on a consolidated basis; • help the Groupe BPCE Management Board to identify emerging risks, concentration of risk and other various developments, and to devise strategy and adjust risk appetite; • perform stress tests with the goal of identifying areas of risk and the Group's resilience under various predetermined shock scenarios; • conduct controls to ensure that the operations and internal procedures of Group companies comply with legal, professional, or internal standards applicable to banking, financial and insurance activities; • perform Level 2 controls of certain processes used to prepare financial information, and implement a Group Level 2 permanent risk control system.	• are functionally subordinate to the Risk and Compliance functions, participating in the work of local Risk Committees or receiving the results of their work, coordinating the departments and approving the appointment or dismissal of all new Heads of Risk Management, Heads of Compliance, or Heads of Risk and Compliance meeting with the relevant managers and/or teams during national or local meetings and during checks on site or at BPCE; • help disseminate risk and compliance awareness and promote the sharing of best practices throughout the Group.

SPECIAL COMMITTEES

Several committees are responsible either for defining Groupwide methodology standards for measuring, managing, reporting and consolidating all risks throughout the Group, or for making decisions about risk projects with an IS component.

Group Risk and Compliance Committee	• The Group Risk and Compliance Committee is a decision-making and supervisory committee. It is an umbrella committee for all the Group's risks, set up in accordance with regulatory provisions, in particular Articles 223 to 232 of the French Ministerial Order of November 3, 2014.
Group Counterparty and Credit Risk Committees	• Several types of committees have been established to manage credit risk for the entire Group, meeting at varying frequencies depending on their roles (<i>ex-post</i> or decision-making analysis) and their scope of authority.
Group Market Risk Committees	• The Group has also established decision-making and supervisory committees for both market and structural ALM risks. The frequency of their meetings is tailored to the needs of the Group and its institutions.
Non-Financial Risk Committee	• This committee meets quarterly and includes the various Groupe BPCE business lines affected by non-compliance and operational risks. It examines information system security, business continuity and accounting review issues. Its objective is to validate action plans targeting these risks, which are included in the Groupe BPCE macro-level risk map. • It also performs consolidated supervision of losses, incidents and alerts, including reports made to the ACPR under Article 98 of Ministerial Order A-2014-11-03 in respect of non-financial risks.
ALM Committee	• The Asset and Liability Management Committee is a decision-making and supervisory committee for asset and liability management, interest rate risk and liquidity management.

At the same time, several committees are responsible either for defining Groupwide methodology standards for measuring, managing, reporting and consolidating all risks throughout the Group, or for making decisions about risk projects with an IS component.

RISK GOVERNANCE AT GROUP INSTITUTIONS

BPCE's Risk division and the Group Corporate Secretary's Office oversee the Group's Risk Management, Compliance and Permanent Control functions, focusing on the management of credit, financial, operational and non-compliance risks, extended to business continuity, Financial Control and Information System Security functions. They ensure that the risk policies of the affiliates and subsidiaries comply with those of Groupe BPCE.

The Risk and/or Compliance departments of subsidiaries not subject to the banking supervision regulatory framework are functionally subordinate to Groupe BPCE's Risk division and Corporate Secretary's Office.

The strong functional authority is exercised by the Head of Risk Management and by the Corporate Secretary, both members of Groupe BPCE's Executive Management Committee. It enables risk controls to be performed objectively, as each Group entity's operational functions are independent from its Risk and Compliance functions. It also promotes a risk management and compliance culture and the application of shared risk

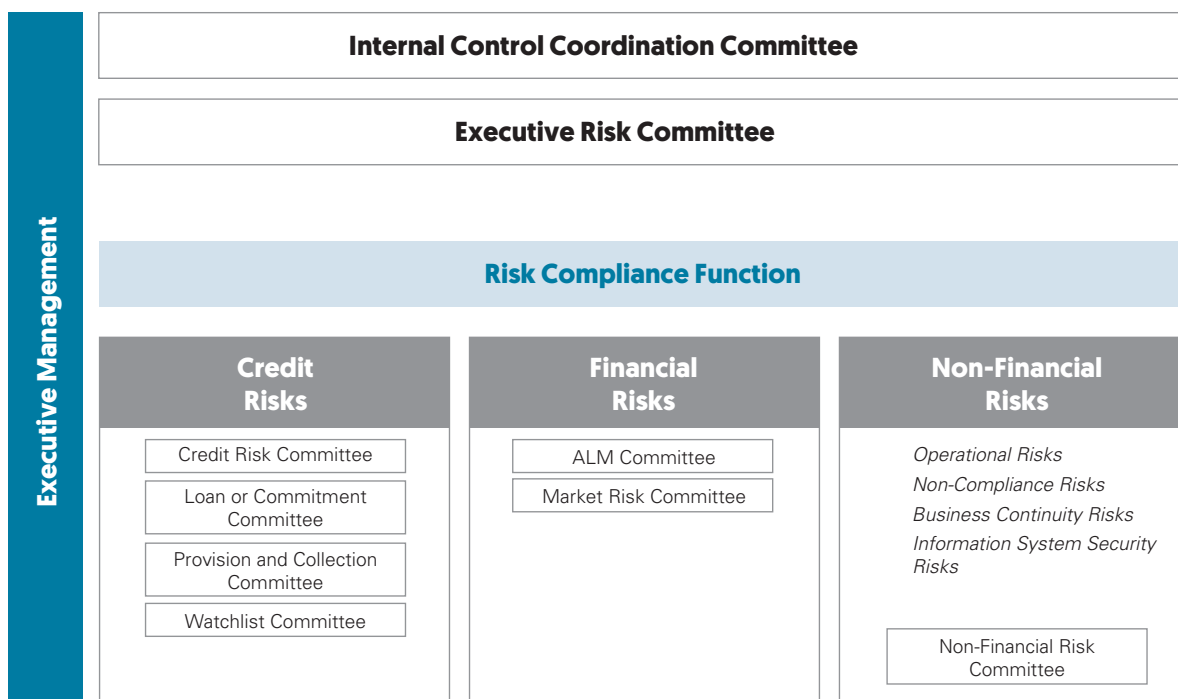
management standards, and ensures that managers are given independent, objective and detailed information on the Group's risk exposures and any possible deterioration in its risk profile.

Group institutions are responsible for defining, monitoring and managing their risk levels, as well as producing reports and data for submission to the central institution's Risk division and Corporate Secretary's Office. They ensure the quality, reliability and completeness of the data used to control and monitor risks at the company level and on a consolidated basis, in line with Group risk standards and policies.

In the course of their work, the Group's institutions rely on the Group Risk, Compliance and Permanent Control Charter. The charter specifies that each institution's supervisory body and executive managers promote the risk management culture at all levels of their organization.

A twofold assessment of a) Risk Management functions and b) Compliance functions is conducted every six months by the Risk Committee of the Groupe BPCE Supervisory Board.

STANDARD RISK GOVERNANCE STRUCTURE AT A GROUP INSTITUTION



RISK GOVERNANCE

STRUCTURE

The Risk Governance department is responsible for managing and coordinating the Risk and Compliance departments within Groupe BPCE. The Risk, Compliance and Permanent Control Charter calls for the Group Risk division and Corporate Secretary's Office to participate, at their own initiative, in the annual performance assessment of the Heads of the Permanent Control functions, particularly risk and/or compliance, in consultation with the Chairman of the Management Board or the Chief Executive Officer.

The Risk Governance department deploys the entire system on a daily basis and contributes to the overall supervision of Group risks, primarily through:

- oversight and updates of key Risk and Compliance function documents such as charters and standards;
- analysis of the work done by the Executive Committees on the risks incurred by the Banques Populaires, the Caisses d'Epargne and the subsidiaries;
- coordination of Risk Management and Compliance function events through a series of national Risk Management and Compliance Days, including discussions and exchanges on risk- and compliance-related issues, presentations on the work done by the functions, training and sharing of best practices in the credit, financial, operational and compliance fields between all Group institutions. Risk Management and Compliance Days also provide opportunities to strengthen group-wide solidarity in the risk management and/or compliance professions in today's ever-changing regulatory environment. In addition, audio conferences and regional meetings are attended by the Heads of Risk Management and Compliance of the networks and subsidiaries to address current topics and events;
- a document library dedicated to the Risk, Compliance and Permanent Control functions;
- measuring the level of risk and compliance culture in the Group's institutions via a dedicated self-assessment;
- operational efficiency initiatives (headcount benchmark standards, risk and compliance half-year reports, risk appetite framework, etc.);

- oversight of all recommendations issued by the supervisory authorities and by the Group's *Inspection Générale* division covering Risks, Compliance and Permanent Control;
- a twofold assessment of a) Risk Management functions and b) Compliance functions is conducted every year and presented to the Risk Committee of the Groupe BPCE Supervisory Board.
- managing the institutions' risk appetite framework: definition in line with the Group framework, consolidation and reporting to the bodies;
- support for new Heads of Risk Management and/or Compliance via a dedicated program and the annual training plan for Risk and Compliance departments;
- frequent on-site meetings with the Heads of Risk Management and/or Compliance and teams of the Banques Populaires, Caisses d'Epargne and subsidiaries;
- in addition to the Operational Committee meetings attended by the Risk division, General Meetings held with each of the main BPCE subsidiaries: Natixis, Crédit Foncier, Banque Palatine, BPCE International, the subsidiaries of the Financial Solutions & Expertise division, FIDOR Bank and Oney for a comprehensive review with the Head of Risk Management and/or Compliance;
- distribution of a newsletter ("Mag R&C") to the heads of Group institutions, the heads of the various functions, including Sales, and the employees of the Risk, Compliance and Permanent Control functions as well as all Group employees;

For coordination purposes, the Risk Governance department relies on a half-yearly report drawn up by the institutions, aimed at ensuring that the various components of the local systems are properly implemented and operate under satisfactory conditions, particularly with respect to banking regulations and Group charters. The findings of this report improve operational efficiency and optimize best practices throughout Groupe BPCE.

Activities specifically focused on the Lagarde report are being monitored in conjunction with the Group's institutions. There is also a system in place to monitor anomalies observed at Group institutions, aimed at ensuring that business is conducted properly and the rules of ethics are applied.

HIGHLIGHTS

Incorporation of the Financial Solutions & Expertise subsidiaries in the Group risk and compliance coordination system:

- definition of a risk appetite system dedicated to financial solutions & expertise activities;
- review and validation of subsidiary risk policies;
- deployment and adaption of interim risk and compliance questionnaires to their activity.

Oney Bank: incorporation in the Group's risk management systems by establishing a risk appetite framework validated by the governance bodies.

Strengthened department coordination during the lockdown: near-daily discussions with all players of the Risk, Compliance and Commitments departments.

RISK AND COMPLIANCE CULTURE

To promote and strengthen the risk and compliance culture at all levels, the Risk and Compliance department of the Risk Governance division is focused on developing risk and compliance training and awareness programs at all Group levels,

establishing regular communication on risk and compliance issues throughout the Group, and disseminating and measuring the risk and compliance culture.

Share	System	
Training	• Risk & Compliance Academy	• 77 training courses, including: • a compliance program (Risk, Compliance and Audit functions); • a specific program for the <i>Inspection Générale</i> division. A certification program dedicated to the Risk and Compliance departments set up in Paris Dauphine.
	• Risk Pursuit	• A banking risk awareness quiz: 200 questions/4 topics (credit risks, financial risks, non-financial risks and banking environment risks) targeting the employees of the Banques Populaires, the Caisses d'Epargne and the subsidiaries.
	• Climate Risk Pursuit	• Climate risk awareness quiz: 200 questions targeting the employees of the Banques Populaires, the Caisses d'Epargne and the subsidiaries.
	• Training for members of the supervisory bodies and Risk Committees of the BPs and CEs	• Annual training provided for Fédération Nationale des Banques Populaires and Fédération Nationale des Caisses d'Epargne.
Communication	• The R&C Hour	• Targeting the Risk and Compliance departments of the Group institutions and the employees of BPCE SA (live and replay).
	• Regulatory workbook included in the Mag R&C	• Examination of regulatory issues (regulatory outlook, response from regulators and supervisors on Covid-19, etc.)
	• Regulatory communication	• Coordination of the risk and compliance chapters of regulatory reports (universal registration document, Pillar III, annual report on internal control, ICAAP).
Sharing of best practices	• Sharing of best practices and cross-analyses between operational entities and control functions	• Coordination of Commitment managers of the BPs, CEs and subsidiaries. • Risk assessment of sales functions at Group institutions (New Product Committee, implementation and updating of sales processes).
Measurement of the risk and compliance culture	• Self-assessment of the level of risk and compliance culture: R&C EVAL system	• Questionnaire of 138 questions on risk and compliance culture, based on the recommendations of the FSB 2014, AFA 2017 and the EBA guidelines for 2018.

MACRO-LEVEL RISK MAPPING - GROUP INSTITUTIONS

Macro-level risk mapping plays a central role in an institution's overall risk management system. By identifying and rating its risks, each Group institution establishes its own risk profile and priority risks. This risk-based approach serves to update the risk appetite and the permanent/periodic control plans of Group institutions on a yearly basis.

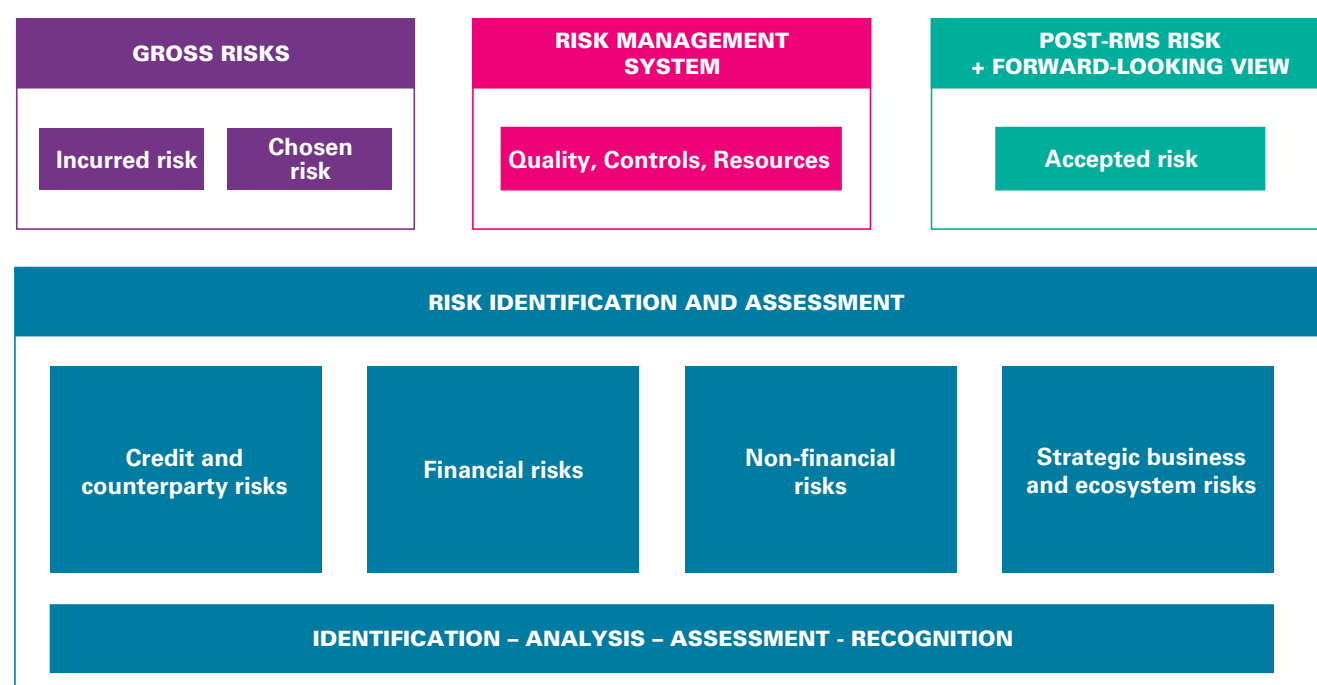
Action plans targeting high-priority risks are defined with the goal of reducing and/or managing risks.

The results of the macro-level risk mapping process contribute to the Group's Supervisory Review and Evaluation Process (SREP), by identifying the main risks under the risk management and prudential approach, included in the annual report on internal control, the ICAAP report and the universal registration document (risk factors section).

In 2020, a macro-level risk mapping consolidation process was completed for each network. Each institution is able to compare the results of its own macro-level risk mapping with those of its network. Action plans set up by the institutions to address their priority risks were also consolidated.

The integration in 2020 of the macro-level risk mapping process in the Priscop permanent control management tool has made it possible to automate links between risks and the controls performed in the risk management system.

Macro-level risk mapping was performed at Group level in 2020 by consolidating the macro-level risk maps of the parent company institutions and subsidiaries.



Lastly, the Risk Governance division is responsible for approving the models and managing model risk and climate risk, as well as the Corporate Secretary's Office (human resources and budget) of the Risk division.

CONSOLIDATED RISK OVERSIGHT

ORGANIZATION

In addition to the risk supervision conducted both individually and by type of risk, Groupe BPCE's Risk division also performs consolidated monitoring of the Group's risks. It produces a quarterly Group risk dashboard, which is used to monitor the risk appetite defined by the Group as well as for comprehensive monitoring of risks based on an analysis of the Group's risk profile in each area (mapping of risk-weighted assets, credit risks and counterparty risks – by customer segment –, market risks, structural ALM risks, non-financial risks and risks related to insurance businesses). In addition to the dashboard, a monthly flash report provides the Group with a more responsive and updated overview of Group risks.

The Risk division also conducts or coordinates cross-business risk analyses and specific stress tests on the Group's main portfolios or activities and, if needed, for the entities. It has also developed half-year forward-looking risk analyses aimed at identifying economic risk factors (known and emerging; international, national and regional), circumstantial threats (regulations, etc.) and their potential impact on the Group. These forward-looking analyses are presented at meetings of the Group Supervisory Board Risk Committee.

In addition, it performs specific analyses of counterparties, as well as risk measurements on a portfolio basis. It reviews and validates risk models developed internally. Finally, it contributes to efforts to define internal capital requirements as well as internal and external solvency stress tests aimed at measuring the Group's sensitivity to a series of risk factors and its resilience in the event of a severe shock, by determining impacts in terms of cost of risk and RWA.

STRESS TESTING SYSTEM

Groupe BPCE has been developing stress tests since 2011 that can be performed using the risk modules for Group strategic analysis purposes and regulatory purposes.

There are two types of stress tests:

- internal stress tests;
- regulatory stress tests (including in particular the EBA's 2018 stress test published on November 2, 2018).

Governance of the Group's stress testing system is based on a comprehensive approach covering all Group entities, taking into consideration their specific characteristics, and covering the following risks:

- credit risk: change in cost of risk and risk-weighted assets;
- securitization portfolio and counterparty risk: change in impairment and risk-weighted assets;
- market risks: market shocks, change in securities portfolios and risk-weighted assets;
- operational risks;
- insurance risk.

Risks associated with sovereign exposures are addressed according to their accounting classification in market risk or credit risk.

The methodologies used to determine the projections are based on:

- the methodology stipulated by the ECB and the EBA for regulatory stress tests.

Internal methodologies facilitating the use of stress tests for risk oversight and management purposes, and in budget exercises.

Several scenarios are tested in order to assess all impacts:

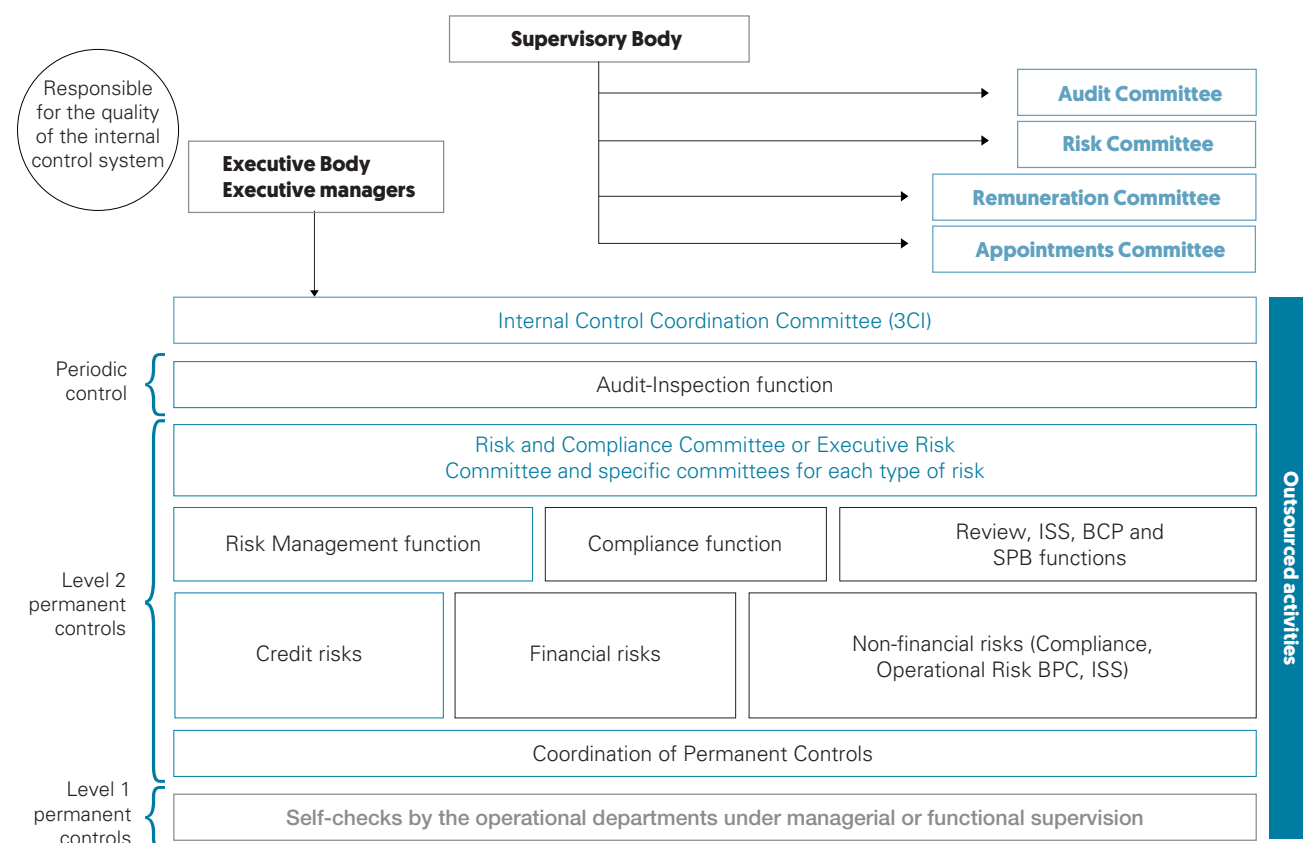
Scenario 1	Baseline scenario comprising the budget scenario
Scenario 2	Two severe yet plausible scenarios generating relevant information on the Group's resilience capacity
Scenario 3	Two reverse scenarios: one for ICAAP and the other for the Recovery Plan (RP), based on areas of vulnerability and serving to investigate highly adverse conditions for the Group
Scenario 4	Specific scenarios for the Recovery Plan (RP) and the recovery and resolution options

Models are used for each risk category to determine the impacts of scenarios on the various income statement items and capital requirements.

6.3.4 Internal control

The Group control system relies on three levels of controls, in accordance with banking regulations and sound management practices (two levels of permanent controls and one level of periodic control), as well as the establishment of consolidated control processes in accordance with provisions approved by BPCE's Management Board.

STRUCTURE OF GROUPE BPCE'S INTERNAL CONTROL SYSTEM



PERMANENT CONTROL SYSTEM

LEVEL 1: PERMANENT CONTROL BY LINE MANAGEMENT

Level 1 permanent control is the first link in internal control and is primarily performed by operational or support departments under the supervision of their line management.

These departments are responsible for:

- implementing formalized, documented and reportable self-checks;
- documenting and verifying compliance with transaction processing procedures, detailing the responsibility of those involved and the types of checks carried out;
- verifying the compliance of transactions;
- implementing recommendations drawn up by Level 2 control functions on the Level 1 control system;
- reporting to and alerting Level 2 control functions.

Depending on the situation and activity(ies) in question, Level 1 controls are performed, jointly if applicable, by a special-purpose Middle Office-type control unit or accounting control entity, by the operational staff themselves, or by line managers.

Level 1 controls are formally reported to the relevant Permanent Control divisions or functions.

LEVEL 2: PERMANENT CONTROL BY DEDICATED ENTITIES

Level 2 permanent controls, within the meaning of Article 13 of Ministerial Order A-2014-11-03 on internal control, are performed by entities dedicated to this duty as part of the Group's Risk division and Corporate Secretary's Office in charge of Compliance and Permanent Control for Groupe BPCE.

Both divisions perform Level 2 supervision of certain processes used to prepare financial information and implement a Group Level 2 permanent risk control system covering matters of governance, risk, organization, the work of the Risk and Compliance functions, and the implementation of standards, norms and charters.

In the Corporate Secretary's Office, the main role of the Permanent Control Coordination department is to coordinate the Group's Level 1 and 2 permanent control system. To that end, it:

- proposes standards and methodological guides for the exercise of permanent control in Groupe BPCE;

- monitors the application of control standards, *i.e.* the framework document governing the Group's permanent control system – operational adaptation of the Internal Control Charter – and the control sampling standard, which is based on random, representative samples. To that end, all annual control plans of retail banking institutions are centralized and analyzed each year;
- assists the business lines in the review of controls and to ensure their risk coverage is complete. The various permanent control standards are overseen and constantly updated and expanded in the tool;
- performs consolidated reporting of control results for the Group Internal Control Committee;

- ensures the management of the system and the central functional administration of the permanent repositories of controls/users/entities.

The first mapping exercises and the input of action plans were carried out this year in the modules deployed. Developments increasing the reliability of first-level controls have enabled institutions to improve the quality of their system. The project to automate the annual control plans began in Q4 2020.

The project of integrating new subsidiaries into the Group's permanent control system was also finalized during this year.

Other central functions also contribute to the permanent control system, such as the Legal Affairs division and the Group Human Resources division for certain issues affecting the pay policy.

HIGHLIGHTS

The management of the Covid-19 crisis required an organization adapted to health restrictions, in particular in points of sale receiving customers. The Group's local banking control plan was adapted to this exceptional situation to factor in the availability of teams working in the institutions. During the lockdown, permanent controls were prioritized in the high-risk areas defined by the risk business lines concerned, in particular in financial security, internal and external fraud, LCR and collateral. Efforts were also made to complete the first-quarter checks on the compliance of customer regulatory files. New credit risk controls have been defined for controls on state-guaranteed loans.

PERIODIC CONTROL (LEVEL 3)

STRUCTURE AND ROLE OF THE GROUP INSPECTION GÉNÉRALE DIVISION

Duties

In accordance with the duties incumbent on the central institution, and pursuant to the rules of collective solidarity, the Group *Inspection Générale* division is responsible for periodically verifying the operation of all Group institutions and providing their executive managers with reasonable assurance of their financial strength.

In that role, it ensures the quality, effectiveness, consistency and efficiency of their permanent control system as well as their risk management. The division's scope of authority covers all risks, all institutions and all activities, including those that are outsourced.

Its top priorities are to assess and to report to the executive and decision-making bodies of the entities and the Group as a whole on:

- the quality of its financial position;
- the level of risks actually incurred;
- the quality of its organizational structure and management;
- the consistency, adequacy and operation of risk assessment and management systems;
- the reliability and integrity of accounting and management information;
- compliance with the laws, regulations and rules applicable to Groupe BPCE or each company;
- the effective implementation of recommendations from previous audits and issued by the regulatory authorities.

Reporting to the Chairman of the Management Board, the Group *Inspection Générale* division performs its duties independently of the Operational and Permanent Control divisions.

Representation on Group governance bodies and Risk Management Committees

In the interest of exercising its duties and contributing effectively to the promotion of an auditing culture, the Head of the Group *Inspection Générale* division takes part, without voting rights, in the central institution's key Risk Management Committees.

As indicated above, the Head of the Group *Inspection Générale* division is a member of the Group Internal Control Coordination Committee and has a standing invitation to participate in the Supervisory Board's Risk Committee and the Audit Committee of BPCE, the Risk Committee and Audit Committee of Natixis, and the Risk Committee and Audit Committee of the Group's main subsidiaries (BPCE International, Crédit Foncier, Banque Palatine).

Scope of authority

To fulfill its duties, the Group *Inspection Générale* division establishes and maintains an inventory of the Group's auditing scope, which is defined in coordination with the Internal Audit departments of the Group institutions.

It makes sure that all institutions, activities and corresponding risks are covered by comprehensive audits, performed at frequencies defined according to the overall risk level of each institution or activity, and at least every four years on average for banking activities.

In so doing, it takes into account not only its own audits, but also those conducted by the supervisory authorities and the Internal Audit divisions.

The annual audit plan is defined with the Chairman of the BPCE Management Board, and presented to the Group Internal Control Coordination Committee and the Supervisory Board's Risk Management Committee. It is also transmitted to the national and European supervisors.

Reporting

Group *Inspection Générale* division audits contain recommendations prioritized by order of importance, which are regularly monitored (at least once every six months).

The division reports the findings of its work to the executive managers of the audited companies and to their supervisory body. It also reports to the Chairman of the Management Board, the Supervisory Board's Risk Committee and the Supervisory Board of BPCE. It provides them with a report on the implementation of its major recommendations, as well as those of the ACPR and the Single Supervisory Mechanism (SSM). It sees to the expedient execution of any corrective measures to the internal control system, in accordance with Article 26 of the Ministerial Order of November 3, 2014 on internal control, and may call on the Supervisory Board Risk Committee to address any measures that have not been executed.

Relations with the Permanent Control divisions of the central institution

In the central institution, the Head of the Group *Inspection Générale* division maintains regular relations and shares information with the heads of the units in the scope of inspection, and more specifically with the divisions in charge of Level 2 controls.

The heads of these divisions are responsible for notifying the Head of the Group *Inspection Générale* division in a timely manner of any disruption or major incident that comes to their attention. The Head of Groupe BPCE's *Inspection Générale* division and the Heads of Group Risk Management and Group Compliance and Security notify each other in a timely manner of any inspection or disciplinary procedure initiated by the supervisory authorities and in general of any external audits brought to their attention.

Activities in 2020

As part of the full cycle of investigations that it carries out over an average of four years, and based on a risk assessment that it regularly updates for each institution, the *Inspection Générale* division carried out its audit plan mainly in accordance with forecasts, with adjustments related to the public health crisis and lockdown in the first half of the year.

It also monitored the implementation of the recommendations issued by itself, the French Prudential Supervisory and Resolution Authority (ACPR) and the Single Supervisory Mechanism (SSM) on a half-yearly basis, with a whistleblowing system that was ceased on June 30 – a system for reporting delays in implementing these recommendations to the Supervisory Board's Risk Committee. However, the monitoring of recommendations on June 30 led to a report to the Supervisory Board's Risk Committee in accordance with Article 26 of Ministerial Order A-2014-11-03 on internal control. Lastly, the whistleblowing system at the Group's *Inspection Générale* division was reactivated for the period ending December 31, 2020.

AUDIT FUNCTION

Structure of the audit function

The Group *Inspection Générale* division carries out its duties within the framework of business line operations. Its methods of operation – for the purposes of consolidated supervision and optimal use of resources – are set out in a charter approved by BPCE on December 7, 2009, which was last updated in July 2018.

The aim of this structure is to cover all of the Group's operational or functional units over a reasonable number of fiscal years, according to the associated risk, and to achieve efficiency

between the various complementary audits conducted by the Internal Audits teams of Group entities.

The Internal Audit divisions of the direct affiliates and subsidiaries are functionally subordinate to the Group *Inspection Générale* division and report to the executive branch of their entity.

These ties are strictly replicated at the level of each company in the Group, which is itself a parent company.

This strong functional subordination is also based on operating rules and the Group Internal Audit Standards applicable by the entire function. It is reflected as follows:

- the existence of a single group-wide Audit Charter. It defines the end purpose, powers, responsibilities and general structure of the Internal Audit function in the overall internal control system, and applies to all Group companies supervised on a consolidated basis. This charter is implemented via thematic standards (audit resources, audit of the sales network, audit assignments, follow-up of recommendations, etc.);
- the appointment and dismissal of the Heads of Internal Audit of affiliates or direct subsidiaries are subject to the prior approval of the Head of the BPCE Group *Inspection Générale* division;
- the annual evaluations of Heads of Internal Audit are transmitted to the Head of the BPCE Group *Inspection Générale* division;
- the Group *Inspection Générale* division ensures that each entity's Internal Audit division holds the necessary resources to perform its duties and adequately cover the multi-year audit plan;
- the multi-year and annual audit programs carried out by the Internal Audit divisions of the Group institutions are approved in conjunction with the Group *Inspection Générale* division; the Group *Inspection Générale* division is kept regularly informed of their completion or of any change in scope;
- the Group *Inspection Générale* division issues a formal letter of opinion and, where applicable, any reservations on the multi-year audit plan, the quality of work performed and the audit reports submitted to the Group *Inspection Générale* division, and the resources allocated both in terms of number of employees and expertise;
- the Internal Audit division applies the standards and methods defined and distributed by the BPCE Group *Inspection Générale* division, and refers to the audit guides which are, as a matter of principle, common to all Internal Audit function auditors;
- in the course of conducting on-site audits, the Group *Inspection Générale* division periodically verifies that Group companies comply with the Group Internal Audit standards.

The following items are transmitted to the Group *Inspection Générale* division:

- the Internal Audit reports of the Group institutions, as they are produced;
- the annual reports of the entities, prepared in accordance with Articles 258 to 264 of Ministerial Order A-2014-11-03 on internal control, are submitted to the Group *Inspection Générale* division, which forwards them to the supervisory authorities;
- the presentations made by the Heads of Internal Audit to the Risk Management Committees, and the minutes of these meetings;
- the presentations made to the supervisory body on internal control activities and findings, and extracts of the minutes of the meetings where they were examined;

- the rules governing oversight of the Inspection business line between Natixis and the central institution fall within the framework of the Group audit function.

Work performed in 2020

Following the restructuring of the Group *Inspection Générale* division, carried out in 2020 as part of the OPAL project, the scope of intervention of the Coordination, Methods and Data department has been broadened. This expansion went together with a gradual strengthening of the teams in charge and a redeployment of the MOA support functions.

In addition to its traditional duties as point of contact for methodology issues and maintenance of the normative and regulatory corpus, the Methods unit is now gradually participating in the work of closing the recommendations in support of the Principal Inspectors in order to optimize their tasks. After hiring a third employee, it has also worked to develop and strengthen close cooperation with the Data teams, notably through dedicated methodological projects. In addition, it has revamped the “customer protection” matrix to include key questions from audit guides covering the area. It prepared and coordinated the MAG 2020 (Group Audit Assignment) on the security of the private information system and GDPR. Moreover, it has drafted several methodological notes for IGG and Group Audit inspectors on the support system for vulnerable customers (relating to inclusion and bank fees) and on the use of the PRISCOP tool (the Group’s permanent controls centralization tool). It also helped to create a white paper defining a new audit methodology for the Group’s retail activities.

In order to better meet the data usage requirements with respect to assignments carried out by the *Inspection Générale* division, the Data team has seen its workforce practically double and now has six employees, three inspectors on secondment, a work-study employee and an intern. This strengthening of resources, which aims to achieve a balanced mix of skills (between data scientist and data analyst profiles), broadens the area of investigation covered and improves the quality of analyses, with greater support throughout the audit process. It also aims to upskill the workforce regarding data science techniques (OCR, web scraping, sampling). With this in mind, it has joined and participates in Groupe BPCE’s Data Science community, notably through webinars. In addition, in its role of supporting the Group’s audit function, the Data team has initiated a Data support process separate from the institutions’ Internal Audits, based on the identification of their levels and needs. Lastly, it revamped and launched the Group’s Retail risk assessment tool previously used by the IGG. The purpose of this work is to improve the process of supplying and reporting analysis results (by switching to a quarterly frequency). The system is now based on a combination of more than 130 risk indicators, with a view to a comparative assessment of the Group’s Retail institutions according to nine areas of macro-risk. It is intended to become a pre-diagnostic tool for an early-stage IGG audit assignment, as well as a component of the development (and adaptation) of the IGG’s multi-year audit plan (PPA) and of analyses of this plan specific to the Group’s institutions.

In addition, following the reorganization of the support functions, part of the project management unit joined the Coordination, Methods and Data department with a view to streamlining and optimizing tasks and creating synergies with the other functions of the department. In addition to its responsibilities of supporting Groupe BPCE’s dedicated recommendations management tool (SAIG-RECO), the new team in place (comprising two employees) pressed on with its duties of assisting in the management and monitoring of the two major projects undertaken the previous year. As such, the Data team, as part of its activity of supporting audit assignments and the parallel development of R&D projects, is working to increase the capacity for data storing and processing in a more independent manner. The second project concerns the deployment of an Audit Management Solution (AMS) to increase efficiency (preparation of the multi-year audit plan, audit assignment, etc.) and to replace the current SAIG-RECO tool. Lastly, it worked on implementing a solution to remotely access the Group Retail Information Systems (BP and CEP) for IGG employees.

STRUCTURE OF INTEGRATED CONTROL FUNCTIONS

The Risk division and the Corporate Secretary’s Office are responsible for permanent controls at Group level, and the Group *Inspection Générale* division for periodic control.

The permanent and periodic control functions of affiliates and subsidiaries, subject to banking supervision, are functionally subordinate, as Consolidated Control departments, to BPCE’s corresponding Central Control divisions and report to their entity’s executive body.

These ties have been formally defined in charters for each function, covering:

- a standardized opinion on the appointments and dismissals of Heads of permanent/periodic control functions at direct affiliates and subsidiaries;
- reporting, information and whistleblowing obligations;
- drafting of standard practices by the central institution set out in Group standards, definition or approval of control plans.

The entire system was approved by the Management Board on December 7, 2009, and presented to the Audit Committee on December 16, 2009 and to the BPCE Supervision Board. The Risk Charter was reviewed in 2017 and the body of standards consists of three Group charters covering all activities:

- the Group Internal Control Charter:
 - an umbrella charter drawing on the following two individual charters:
 - the Internal Audit Charter, and
 - the Risk, Compliance and Permanent Control Charter.

INTERNAL CONTROL COORDINATION COMMITTEE

The Chairman of the BPCE Management Board is responsible for ensuring the consistency and effectiveness of the internal control system. A Group Internal Control Coordination Committee, chaired by the Chairman of the Management Board, meets periodically.

This committee is responsible for dealing with all issues relating to the consistency and effectiveness of the Group internal control system, as well as the results of risk management and internal control work and follow-up work.

The committee's main responsibilities include:

- validating the Group Internal Control Charter, the Group Risk, Compliance and Permanent Control Charter and the Group Internal Audit Charter;
- reviewing dashboards and reports on Group control results, and presenting permanent control coordination initiatives and results;
- validating action plans to be implemented in order to achieve a consistent and efficient Group permanent control system, and assessing progress made on corrective measures adopted subsequent to recommendations issued by the Group *Inspection Générale* division, the national or European supervisory authorities, and the Permanent Control functions;

- reviewing the Group's internal control system, identifying any shortcomings, and suggesting appropriate solutions to further secure the institutions and the Group;
- reviewing the allocation of resources with respect to risks incurred;
- presenting the results of institution controls or benchmarks;
- deciding on any cross-business initiatives or measures aimed at strengthening the Group's internal control system;
- ensuring consistency between measures taken to strengthen permanent control and risk areas identified during the consolidated macro-level risk mapping exercise.

The members of the Executive Management Committee in charge of Risk Management (Risk division) and Compliance and Permanent Controls (Corporate Secretary's Office), and the Head of the Group *Inspection Générale* division, are members of this committee. Where applicable, the Internal Control Coordination Committee may hear reports from operational managers about measures they have taken to apply recommendations made by internal and external control bodies.

6.3.5 Recovery Plan

BPCE's Supervisory Board approved the Group's Recovery Plan (RP) for 2020.

The plan is in line with European regulatory measures on the recovery and resolution of banks and investment firms, and with the provisions of the French Monetary and Financial Code.

The objective of the Recovery Plan is to identify measures to restore the Group's financial solidity in the event it deteriorates significantly.

The plan presents the options available to the Group to launch a crisis management system. It assesses the relevance of the different options in various crisis scenarios and the methods and resources available for their implementation.

The Recovery Plan is mainly based on the:

- Group's organizational structure and the specific implications of its cooperative status;
- identification of the Group's critical responsibilities;

- capital and liquidity management systems;
- analysis of financial crisis scenarios;
- identification of options impacting the restoration of the Group's financial position and their impacts on the Group's business model;
- preventative oversight of leading indicators on financial and economic conditions;
- establishment of the organizational structures needed to implement the recovery.

This system is monitored and coordinated by a permanent office at BPCE.

The Recovery Plan is kept up to date and approved by the Supervisory Board, aided by its Risk Management Committee for these purposes.

The Recovery Plan is updated annually; this year, the analysis of financial crises focused on the current Covid crisis.

6.4 Capital management and capital adequacy

6.4.1 Regulatory framework

Credit institutions' capital is regularly monitored in accordance with regulations defined by the Basel Committee.

These regulations were reinforced following the introduction of Basel III, with an increase in the level of regulatory capital requirements and the introduction of new risk categories.

Basel III recommendations were incorporated in EU directive 2013/36/EU (Capital Requirements Directive – CRD IV) and regulation No. 575/2013 (Capital Requirements Regulation – CRR) of the European Parliament and of the Council. As of January 1, 2014, all EU credit institutions are subject to compliance with the prudential requirements set out in these texts.

Credit institutions subject to CRD and CRR are thus required to continuously observe:

- the Common Equity Tier 1 (CET1) ratio;
- the Tier 1 ratio, i.e. CET1 plus Additional Tier 1 (AT1) capital;
- the total capital ratio, i.e. Tier 1 plus Tier 2 capital;
- and, as of January 1, 2016, the capital buffers which can be used to absorb losses in the event of tensions.

These buffers include:

- a capital conservation buffer, comprised of Common Equity Tier 1, aimed at absorbing losses in times of serious economic stress,
- a countercyclical buffer, aimed at protecting the banking sector from periods of excess aggregate credit growth. This Common Equity Tier 1 surcharge is supposed to be adjusted over time in order to increase capital requirements during periods in which credit growth exceeds its normal trend and to relax them during slowdown phases,
- a systemic risk buffer for each Member State aimed at preventing and mitigating the systemic risks that are not covered by regulations (low for Groupe BPCE given its countries of operation),
- the different systemic risk buffers aimed at reducing the risk of failure of systemically important financial institutions. These buffers are specific to each bank. Groupe BPCE is on the list of other systemically important institutions (O-SIIs) and global systemically important banks (G-SIBs). As these buffers are not cumulative, the highest buffer applies.

The capital ratios are equal in terms of the relationship between capital and the sum of:

- credit and dilution risk-weighted assets;
- capital requirements for the prudential supervision of market risk and operational risk, multiplied by 12.5.

Through December 31, 2019, these ratios were subject to a phase-in calculation aimed at gradually transitioning from Basel 2.5 to Basel III.

In 2020, Groupe BPCE is required to observe a minimum Common Equity Tier 1 ratio of 4.5% under Pillar I, a minimum Tier 1 capital ratio of 6% and a minimum total capital ratio of 8%.

Alongside Pillar 1 minimum capital requirements, Groupe BPCE is subject to additional Tier 1 capital requirements (buffers no longer subject to phase-in measures as of December 31, 2018 at the latest):

- as of January 1, 2019, the Tier 1 capital conservation buffer is 2.5% of the total amount of risk exposures,
- Groupe BPCE's countercyclical buffer equals the EAD-weighted average of the buffers defined for each of the Group's countries of operation. Groupe BPCE's maximum countercyclical buffer as from January 1, 2019 is 2.5%. As most of Groupe BPCE's exposures are located in countries whose countercyclical buffer has been set at 0%, the Group considers that this rate will be very close to 0%,
- the G-SIB buffer has been set at 1% for the Group.

Hybrid debt instruments eligible for inclusion in own funds under Basel II are still subject to phase-in measures in 2020. This applies to instruments that are no longer eligible under the new regulation, which under certain conditions may be eligible for the grandfathering clause. In accordance with this clause, they are gradually excluded over an eight-year period, with a 10% decrease each year. Since January 1, 2020, 20% of all such instruments reported on December 31, 2013 have been recognized, then 10% in 2021 and 0% in 2022. The unrecognized share may be included in the lower equity tier if it meets the relevant criteria.

Credit institutions must comply with prudential requirements, which are based on three pillars that form an indivisible whole:

PILLAR I

Pillar I sets minimum requirements for capital. It aims to ensure that banking institutions hold sufficient capital to provide a minimum level of coverage for their credit risk, market risk and operational risk. The bank can use standardized or advanced methods to calculate its capital requirement.

REVIEW OF MINIMUM CAPITAL REQUIREMENTS UNDER PILLAR I

	2019	2020
Minimum regulatory capital requirements		
Common Equity Tier 1 (CET1)	4.5%	4.5%
Total Tier 1 capital (T1 = CET1 + AT1)	6.0%	6.0%
Regulatory capital (T1 + T2)	8.0%	8.0%
Additional requirements		
Capital conservation buffer	2.5%	2.5%
G-SIB buffer applicable to Groupe BPCE ⁽¹⁾	1.0%	1.0%
Maximum countercyclical buffer applicable to Groupe BPCE ⁽²⁾	2.5%	2.5%
Maximum total capital requirements for Groupe BPCE		
Common Equity Tier 1 (CET1)	10.5%	10.5%
Total Tier 1 capital (T1 = CET1 + AT1)	12.0%	12.0%
Regulatory capital (T1 + T2)	14.0%	14.0%

(1) G-SIB buffer: buffer for global systemically important banks.

(2) The countercyclical buffer requirement is calculated quarterly.

PILLAR II

Pillar II establishes a process of prudential supervision that complements and strengthens Pillar I.

It consists of:

- an analysis by the bank of all of its risks, including those already covered by Pillar I;
- an estimate by the bank of the capital requirement for these risks;
- a comparison by the banking supervisor of its own analysis of the bank's risk profile with the analysis conducted by the bank, in order to adapt its choice of prudential measures where applicable, which may take the form of capital requirements exceeding the minimum requirements or any other appropriate technique.

For fiscal year 2020, the total capital ratio in force for Groupe BPCE under Pillar II (P2R) was 9.75%, plus a 2.50% capital conservation buffer and a 1% G-SIB buffer.

PILLAR III

The purpose of Pillar III is to establish market discipline through a series of reporting requirements. These requirements – both qualitative and quantitative – are intended to improve financial transparency in the assessment of risk exposure, risk assessment procedures and capital adequacy.

6.4.2 Scope of application

REGULATORY SCOPE

Groupe BPCE is required to submit consolidated regulatory reports to the European Central Bank (ECB), the supervisory authority for euro zone banks. Pillar III is therefore prepared on a consolidated basis.

The regulatory scope of consolidation is established based on the statutory scope of consolidation. The main difference between these two scopes lies in the consolidation method for insurance companies, which are accounted for by the equity method within the regulatory scope, regardless of the statutory consolidation method.

The following insurance companies are accounted for by the equity method within the regulatory scope of consolidation:

- Surassur;
- Muracef;
- Natixis Assurances;
- Compagnie Européenne de Garanties et de Cautions;
- Prépar-Vie;
- Prépar-IARD;
- Oney Insurance;
- Oney Life.

The following insurance companies are accounted for by the equity method within both the statutory and regulatory scopes of consolidation:

- CNP Assurances;
- Caisse de Garantie Immobilière du Bâtiment;
- Coface;
- Parnasse Garanties.

In addition, since the second quarter of 2020, the Versailles entity is consolidated using the equity method. This change, which concerns only the regulatory scope, since the entity is still considered to be under control within the meaning of IFRS, follows a detailed analysis of the regulatory texts. The latter stipulate that non-financial entities that do not constitute ancillary services within the meaning of the standard are accounted for using the equity method for the purposes of regulatory reporting and the calculation of the various ratios. This decision, approved by the Group's bodies, allows for an alignment of the scopes used to calculate liquidity and solvency.

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES OF CONSOLIDATION

The table below shows the transition from an accounting balance sheet to a regulatory balance sheet for Groupe BPCE on December 31, 2020.

Assets on 12/31/2020 <i>in millions of euros</i>	BPCE statutory scope	Prudential restatements	Regulatory scope BPCE
Cash and amounts due from central banks	153,403	282	153,685
Financial assets at fair value through profit or loss	196,260	102	196,362
• o/w debt instruments	30,055	(250)	29,805
• o/w equity instruments	38,529		38,529
• o/w loans (excluding repurchase agreements)	6,154	(20)	6,134
• o/w repurchase agreements	65,947	308	66,255
• o/w trading derivatives	40,233	59	40,292
• o/w security deposits paid	15,340	6	15,347
Hedging derivatives	9,608		9,608
Financial assets at fair value through other comprehensive income	49,630	156	49,786
Securities at amortized cost	26,732	(3)	26,729
Loans and receivables due from banks at amortized cost	90,018	(361)	89,656
Loans and receivables due from customers at amortized cost	746,809	852	747,661
Revaluation differences on interest rate risk-hedged portfolios	8,941		8,941
Insurance business investments	124,566	(123,851)	715
Current tax assets	747	(36)	711
Deferred tax assets	3,667	45	3,712
Accrued income and other assets	16,366	(9)	16,357
Non-current assets held for sale	2,599		2,599
Investments in associates	4,586	3,634	8,220
Investment property	770		770
Property, plant and equipment	6,222	(6)	6,215
Intangible assets	1,038	(196)	841
Goodwill	4,307	(51)	4,256
TOTAL ASSETS	1,446,269	(119,443)	1,326,826

Liabilities on 12/31/2020 <i>in millions of euros</i>	BPCE statutory scope	Prudential restatements	Regulatory scope BPCE
Amount due to central banks			
Financial liabilities at fair value through profit or loss	191,371	(665)	190,706
• o/w securities sold short	22,474	1	22,475
• o/w other liabilities issued for trading purposes	93,528		93,528
• o/w trading derivatives	37,276	17	37,294
• o/w security deposits received	10,312		10,312
• o/w financial liabilities designated at fair value through profit or loss	27,782	(684)	27,098
Hedging derivatives	15,262		15,262
Debt securities	228,201	(1,938)	226,263
Amounts due to banks	138,416	(4,409)	134,007
Amounts due to customers	630,837	2,550	633,387
Revaluation differences on interest rate risk-hedged portfolios	243		243
Current tax liabilities	485	(18)	466
Deferred tax liabilities	1,239	(216)	1,024
Accrued expenses and other liabilities	22,662	(111)	22,551
Liabilities associated with non-current assets held for sale	1,945		1,945
Liabilities related to insurance contracts	114,608	(114,608)	
Provisions	6,213	(43)	6,171
Subordinated debt	16,375	(214)	16,162
Equity attributable to equity holders of the parent	72,683	(11)	72,672
<i>Share capital and additional paid-in capital</i>	<i>27,481</i>		<i>27,481</i>
<i>Retained earnings</i>	<i>42,547</i>	<i>(8)</i>	<i>42,540</i>
<i>Gains and losses recognized directly in other comprehensive income</i>	<i>1,045</i>	<i>(3)</i>	<i>1,042</i>
<i>Income for the period</i>	<i>1,610</i>		<i>1,610</i>
Non-controlling interests	5,728	240	5,968
TOTAL LIABILITIES AND EQUITY	1,446,269	(119,443)	1,326,826

6.4.3 Composition of regulatory capital

REGULATORY CAPITAL

Regulatory capital is determined in accordance with regulation No. 575/2013 of the European Parliament and of the Council of June 26, 2013 on prudential requirements for credit institutions and investment firms.

It is divided into three categories: Common Equity Tier 1, Additional Tier 1 capital and Tier 2 capital. Deductions are made from these categories.

These categories are broken down according to decreasing degrees of solidity and stability, duration and degree of subordination.

PHASED-IN REGULATORY CAPITAL

<i>in millions of euros</i>	12/31/2020 Basel III phased-in⁽¹⁾	12/31/2019 Basel III phased-in⁽¹⁾
Share capital and additional paid-in capital	27,481	26,740
Retained earnings	42,540	38,981
Income for the period	1,610	3,030
Gains and losses recognized directly in other comprehensive income	1,042	1,168
Consolidated equity attributable to equity holders of the parent	72,672	69,918
Perpetual deeply subordinated notes classified as other comprehensive income	-	-
Consolidated equity attributable to equity holders of the parent excluding perpetual deeply subordinated notes classified as other comprehensive income	72,672	69,918
Non-controlling interests	4,229	5,059
• o/w prudential filters	-	-
Deductions	(4,835)	(5,768)
• o/w goodwill ⁽²⁾	(4,095)	(4,278)
• o/w intangible assets ⁽²⁾	(740)	(823)
• o/w irrevocable payment commitments	-	(667)
Prudential restatements	(3,097)	(3,217)
• o/w shortfall of credit risk adjustments to expected losses	(391)	(387)
• o/w prudent valuation	(512)	(561)
Common Equity Tier 1⁽³⁾	68,969	65,992
Additional Tier 1 capital	8	23
Tier 1 capital	68,977	66,015
Tier 2 capital	9,257	13,309
TOTAL REGULATORY CAPITAL	78,234	79,325

(1) Phased-in: after taking phase-in arrangements into account.

(2) Including non-current assets and entities held for sale classified as held for sale.

(3) Common Equity Tier 1 included €26,851 million in cooperative shares (after taking allowances into account) on December 31, 2020 and €25,674 million on December 31, 2019.

A detailed breakdown of prudential capital by accounting classification, as required by Implementing regulation No. 1423/2013, is published at the following address: <https://groupebpce.com/en/investors/results-and-publications/pillar-iii>

A detailed breakdown of debt instruments recognized as AT1 and T2 capital, as required by implementing regulation No. 1423/2013, is published at the following address: <https://groupebpce.com/en/investors/results-and-publications/pillar-iii>

COMMON EQUITY TIER 1 (CET1)

CORE CAPITAL AND DEDUCTIONS

Common Equity Tier 1 consists of:

- share capital;
- additional paid-in capital or merger premiums;
- reserves, including revaluation differences and gains or losses recognized directly in other comprehensive income;
- retained earnings;
- net income attributable to equity holders of the parent;
- non-controlling interests in banking or related subsidiaries for the share after CET1 eligibility caps.

The following deductions are made:

- treasury shares held and measured at their carrying amount;

- intangible assets (except software covered by the “quick fix” regulation), including set-up costs and goodwill;
- deferred tax assets and liabilities that rely on future profitability;
- prudential filters resulting from CRR Articles 32, 33, 34 and 35: gains or losses on cash flow hedges, gains on transactions in securitized assets, own credit risk;
- negative amounts arising from the comparison between provisions and expected losses (in this calculation, performing loans are clearly separated from loans in default);
- equity interests in eligible banking, financial and insurance institutions, according to the rules on allowances for these holdings and the phase-in period;
- value adjustments arising from the prudent valuation of assets and liabilities measured at fair value according to a prudential method, deducting any value adjustments.

CHANGES IN CET1 CAPITAL

in millions of euros

	CET1 capital
12/31/2019	65,992
Cooperative share issues	1,190
Income net of proposed dividend payout	1,264
Other items	524
12/31/2020	68,969

BREAKDOWN OF NON-CONTROLLING INTERESTS (MINORITY INTERESTS)

in millions of euros

	Non-controlling interests
CARRYING AMOUNT (REGULATORY SCOPE) – 12/31/2020	5,968
Perpetual deeply subordinated notes classified as non-controlling interests	(152)
Ineligible non-controlling interests	(562)
Proposed dividend payout	(55)
Caps on eligible non-controlling interests	(762)
NON-CONTROLLING INTERESTS (EXCLUDING OTHER ITEMS)	4,438
Other items	(209)
PRUDENTIAL AMOUNT – 12/31/2020	4,229

ADDITIONAL TIER 1 (AT1) CAPITAL

Additional Tier 1 capital includes:

- subordinated instruments issued in compliance with the restrictive eligibility criteria set forth by CRR Article 52;

- additional paid-in capital related to these instruments.

Deductions comprise equity interests in eligible banking, financial and insurance institutions, according to the rules on allowances for these holdings.

CHANGES IN AT1 CAPITAL

in millions of euros

	AT1 capital
12/31/2019	23
Redemptions	-
Issues	-
Foreign exchange effect	-
Phase-in adjustments	(15)
12/31/2020	8

TIER 2 CAPITAL

Tier 2 capital consists of:

- subordinated instruments issued in compliance with the restrictive eligibility criteria set forth by CRR Article 63;
- additional paid-in capital related to Tier 2 items;

- the amount arising from provisions in excess of expected losses (in this calculation, performing loans are clearly separated from loans in default).

Deductions comprise equity interests in eligible banking, financial and insurance institutions, according to the rules on allowances for these holdings.

CHANGES IN TIER 2 CAPITAL

in millions of euros

	Tier 2 capital
12/31/2019	13,309
Redemption of subordinated notes	(1,741)
Prudential haircut	(1,275)
New subordinated note issues	-
Phase-in deductions and adjustments	(447)
Foreign exchange effect	(589)
12/31/2020	9,257

6.4.4 Regulatory capital requirements and risk-weighted assets

In accordance with regulation No. 575/2013 (CRR) of the European Parliament, credit risk exposure can be measured using two approaches:

- the “standardized” approach, based on external credit ratings and specific risk weightings according to Basel exposure classes;
- the “internal ratings based” (IRB) approach, based on the financial institution’s internal ratings system, broken down into two categories:
 - the Foundation IRB approach – banks use only their probability of default estimates for this approach,

- the Advanced IRB approach – banks use all their internal component estimates for this approach, *i.e.* probability of default, loss given default, exposure at default and maturity.

The methodology applied for IRB approaches is described in greater detail in section 5 “Credit risk.”

In addition to requirements related to counterparty risk in market transactions, the regulation of June 26, 2013 provides for the calculation of an additional charge to hedge against the risk of loss associated with counterparty credit risk (CCR). Capital requirements for the Credit Valuation Adjustment (CVA) are determined using the Standardized Approach.

OVERVIEW OF RISK-WEIGHTED ASSETS

The table below complies with the CRR format, presenting capital requirements for credit and counterparty risks, before the CVA and after the application of risk mitigation techniques.

	12/31/2020		12/31/2019
	RWAs	Capital requirements	RWAs
<i>in millions of euros</i>			
Credit risk (excl. counterparty credit risk) (CCR)	350,196	28,016	343,548
• o/w standardized approach (SA)	137,115	10,969	139,762
• o/w foundation IRB (F-IRB) approach	62,138	4,971	57,854
• o/w advanced IRB (A-IRB) approach	106,585	8,527	103,511
• o/w equity IRB under the simple risk-weighted approach	44,358	3,549	42,420
Counterparty risk	12,052	964	10,687
• o/w mark-to-market	9,829	786	8,638
• o/w original exposure	-	-	-
• o/w standardized approach	-	-	-
• o/w internal model method (IMM)	-	-	-
• o/w risk exposure amount for contributions to the default fund of a CCP	253	20	399
• o/w CVA	1,969	158	1,650
Settlement risk	6	-	35
Securitization exposures in banking book (after the cap)	4,880	390	4,526
• o/w securitisation approach based on internal ratings (SEC-IRBA)	788	63	1,350
• o/w external rating-based approach to securitisation (SEC-ERBA)	2,885	231	-
• o/w standardized approach (SEC-SA)	1,206	97	3,176
Market risks	14,439	1,155	12,888
• o/w standardized approach (SA)	7,292	583	7,062
• o/w internal models approach (IMA)	7,147	572	5,826
Operational risk	38,318	3,065	39,298
• o/w basic indicator approach	-	-	252
• o/w standardized approach	38,318	3,065	39,046
• o/w advanced measurement approach	-	-	-
Amounts below the thresholds for deduction (subject to 250% risk weight)	11,333	907	10,618
Floor adjustment	-	-	-
TOTAL	431,222	34,498	421,599

Note: risk-weighted assets and capital requirements for counterparty credit risk are presented in accordance with the template recommended by the EBA in its final report dated December 14, 2016 (counterparty credit risk aside and including CVA and risk associated with the contribution to the default fund)

RWAS BY TYPE OF RISK AND BY BUSINESS LINE

		Basel III phased-in				
		Credit risk*	CVA	Market risks	Operational risk	Total
<i>in millions of euros</i>						
Retail Banking	December 31, 2019	258,345	66	1,584	23,961	283,957
	December 31, 2020	265,889	27	1,209	24,517	291,643
Asset & Wealth Management	December 31, 2019	9,277	-	-	4,644	13,922
	December 31, 2020	9,404	-	181	4,425	14,010
Corporate & Investment Banking	December 31, 2019	45,183	1,335	8,654	6,879	62,051
	December 31, 2020	51,062	1,822	10,018	6,232	69,134
Other	December 31, 2019	54,957	249	2,650	3,813	61,669
	December 31, 2020	50,141	119	3,031	3,144	56,435
	December 31, 2019	367,762	1,650	12,888	39,298	421,599
TOTAL RISK-WEIGHTED ASSETS	DECEMBER 31, 2020	376,496	1,969	14,439	38,318	431,222

* Including settlement-delivery risk.

NON-DEDUCTED PARTICIPATIONS IN INSURANCE UNDERTAKINGS

in millions of euros

	Value
Holdings of own funds instruments of a financial sector entity where the institution has a significant investment not deducted from own funds (before risk-weighting)	6,775
TOTAL RISK-WEIGHTED ASSETS	22,259

6.4.5 Management of capital adequacy

The methods used by Groupe BPCE to calculate risk-weighted assets are described in section 4.4 "Regulatory capital requirements and risk-weighted assets."

REGULATORY CAPITAL AND CAPITAL RATIOS

REGULATORY CAPITAL AND BASEL III PHASED-IN CAPITAL RATIOS

in millions of euros	12/31/2020 Basel III phased-in	12/31/2019 Basel III phased-in
Common Equity Tier 1 (CET1)	68,969	65,992
Additional Tier 1 (AT1) capital	8	23
TOTAL TIER 1 (T1) CAPITAL	68,977	66,015
Tier 2 (T2) capital	9,257	13,309
TOTAL REGULATORY CAPITAL	78,234	79,324
Credit risk exposure	376,490	367,728
Settlement/delivery risk exposure	6	35
CVA risk exposure	1,969	1,650
Market risk exposure	14,439	12,888
Operational risk exposure	38,318	39,298
TOTAL RISK EXPOSURE	431,222	421,599
Capital adequacy ratios		
Common Equity Tier 1 ratio	16.0%	15.7%
Tier 1 ratio	16.0%	15.7%
Total capital ratio	18.1%	18.8%

CHANGES IN GROUPE BPCE'S CAPITAL ADEQUACY IN 2020

The Common Equity Tier 1 ratio was 16.0% on December 31, 2020 versus 15.7% on December 31, 2019.

The change in the Common Equity Tier 1 ratio in 2020 can also be attributed to:

- the increase in Common Equity Tier 1 capital, driven in particular by earnings taken to reserves (+30 basis points) and cooperative share inflows (+28 basis points);
- the increase in risk-weighted assets (-35 basis points), with the impact of the early implementation of CRR2 allowing a lower weighting of SME exposures (+17 basis points), and the impact of TRIM Corporate at Natixis (-21 basis points)

On December 31, 2020, the Tier 1 ratio came out at 16.0% and the total capital ratio at 18.1%, compared to 15.7% and 18.8%, respectively, on December 31, 2019.

GROUPE BPCE CAPITAL ADEQUACY MANAGEMENT POLICY

Capital and total loss absorbing capacity (TLAC) targets are determined according to Groupe BPCE's target ratings, in line with prudential constraints.

Capital adequacy management is therefore subject to a high management buffer which not only greatly exceeds prudential constraints on capital adequacy ratios, but is also well below the trigger for the Maximum Distributable Amount.

Capital and TLAC management is thus less sensitive to prudential changes (e.g. not dependent on G-SIB classification). As a result, the Group very predominantly builds its total loss absorbing capacity from CET1 and additionally from subordinated MREL-eligible and TLAC-eligible debt (mainly Tier 2 capital and senior non-preferred debt). The issues of these eligible debts are carried out by BPCE.

Finally, in addition to TLAC, Groupe BPCE carries bail-inable debt, the majority of which is accepted for the calculation of MREL: accordingly, senior preferred debt issued by BPCE is eligible for MREL, with Groupe BPCE leaving the possibility of meeting MREL requirements open, beyond its total loss absorbing capacity, with any bail-inable debt instrument.

The Single Resolution Board set the Group's MREL requirement in January 2020 (equivalent to 24.2% of risk-weighted assets at end-2017), which has now been met with room to spare. As a result, the Group does not need to modify or increase its issuance program. This requirement will be updated in the first half of 2021 by the Single Resolution Board and ACPR's Resolution department on the basis of the BRRD2 directive.

CAPITAL ALLOCATION EQUITY AND SOLVENCY MANAGEMENT

The Group implemented action plans over the course of 2020 aimed specifically at ensuring the capital adequacy of its networks and its subsidiaries. BPCE subscribed for a Tier 2 issue by Natixis (€350 million) and CEGC (€150 million).

LEVERAGE RATIO

The main purpose of the leverage ratio is to serve as an additional risk measurement for determining regulatory capital requirements. CRR Article 429, which sets forth the calculation method for the leverage ratio, was amended by Commission Delegated Regulation (EU) 2015/62 of October 10, 2014.

The leverage ratio has been subject to mandatory disclosure since January 1, 2015. The ratio has been under review by the supervisory authority since 2014 and will not be officially implemented until CRR II comes into force, *i.e.* not before June 2021.

The leverage ratio is determined by dividing Tier 1 capital by exposures, which consist of assets and off-balance sheet items, restated to account for derivatives, securities financing transactions and items deducted from capital.

The minimum leverage ratio requirement is currently set at 3%.

Groupe BPCE's leverage ratio, as calculated under the rules of Commission Delegated Regulation No. 2015/62 of October 10, 2014, was 5.57% on December 31, 2020 based on phased-in Tier 1 capital and with the application of the Quick Fix regulation allowing the exclusion of central bank exposures.

TRANSITION FROM THE STATUTORY BALANCE SHEET TO LEVERAGE RATIO EXPOSURE

in millions of euros

	12/31/2020	12/31/2019
TOTAL CONSOLIDATED ASSETS AS PER PUBLISHED FINANCIAL STATEMENTS	1,446,269	1,338,064
Adjustment related to investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes, but outside of the scope of consolidation	(119,443)	(112,925)
Adjustment for fiduciary assets recognized on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure		
Adjustments for derivative financial instruments	(32,459)	(38,028)
Adjustment for securities financing transactions (<i>i.e.</i> repos and similar secured lending)	(5,098)	(15,071)
Adjustment for off-balance sheet items (<i>i.e.</i> conversion to credit equivalent amounts of off-balance sheet exposures)	85,085	79,830
Other adjustments ⁽¹⁾	(136,211)	(6,722)
LEVERAGE RATIO EXPOSURE	1,238,143	1,245,148

(1) Application of the Quick Fix regulation allowing the deduction of central bank outstandings (€130,523m).

Without applying the phase-in measures (in particular the application of the Quick Fix allowing the exclusion of central banks) and without taking into account subordinated debt issues not eligible as additional Tier 1 capital, Groupe BPCE's leverage ratio came to 5.04% on December 31, 2020.

FINANCIAL CONGLOMERATE RATIO

As an institution exercising banking and insurance activities, Groupe BPCE is also required to comply with a financial conglomerate ratio. This ratio is determined by comparing the financial conglomerate's total capital against all the regulatory capital requirements for its banking and insurance activities.

The financial conglomerate ratio demonstrates that the institution's prudential capital sufficiently covers the total regulatory capital requirements for its banking activities (in accordance with CRR) and insurance sector activities, in accordance with the Solvency 2 regulation.

The calculation of surplus capital is based on the statutory scope. Insurance company capital requirements, determined for the banking capital adequacy ratio by weighting the equity-method value, are replaced with capital requirements based on the solvency margin. Capital requirements within the banking scope are determined by multiplying risk-weighted assets by the rate in force under Pillar II, *i.e.* 14.26% on December 31, 2020 *versus* 13.48% on December 31, 2019.

On December 31, 2020, Groupe BPCE's surplus capital amounted to €16 billion.

SUPERVISORY REVIEW AND EVALUATION PROCESS

SREP-ICAAP PROCESS

As the supervisory authority under Pillar II, the ECB conducts an annual assessment of banking institutions. This assessment, referred to as the Supervisory Review and Evaluation Process (SREP), is primarily based on:

- an evaluation based on information taken from prudential reports;
- documentation established by each banking institution, including in particular the Internal Capital Adequacy Assessment Process (ICAAP) and the Internal Liquidity Adequacy Assessment Process (ILAAP);
- an assessment of the institution's governance, business model and information system.

Based on the conclusions of the SREP carried out by the ECB in 2020, Groupe BPCE shall maintain a consolidated Common Equity Tier 1 ratio of 9.32% on January 1, 2021, including:

- 1.31% in respect of Pillar II requirements (excluding Pillar II guidance);
- 2.50% in respect of the capital conservation buffer;
- 1.00% in respect of the buffer for global systemically important banks (G-SIB buffer);
- 0.01% in respect of the countercyclical buffer.

The corresponding total capital requirement will be 13.26% (excluding Pillar II guidance).

- With a Common Equity Tier 1 ratio of 16.0% at end-2020, Groupe BPCE has exceeded the specific capital requirements set by the ECB.
- As regards the internal capital adequacy assessment under Pillar II, the principles defined in the ICAAP/LAAP guidelines published by the ECB in February 2018 were applied in Groupe BPCE's ICAAP. The assessment is thus carried out using two different approaches:
 - a “normative” approach aimed at measuring the impact of internal stress tests within three years of the initial Pillar I regulatory position,
 - an “economic” approach aimed at identifying, quantifying and hedging risks using internal capital over the short-term (one year) and using internal methodologies. The methodologies developed by Groupe BPCE provide a better assessment of risks that are already covered under Pillar I, and also an additional assessment of risks that are not covered by Pillar I.

The results obtained using these two approaches confirmed the Group's financial soundness and no capital buffer is necessary in addition to the existing regulatory buffers.

OUTLOOK

On December 31, 2020, Groupe BPCE had achieved the targets set for the Common Equity Tier 1 ratio (>15.5%) and the TLAC ratio (>21.5%) in the 2018-2020 strategic plan. Even so, the Groupe BPCE as a whole will remain focused on continuously improving its financial strength in 2021.

The Group remained on the list of G-SIBs (Global Systemically Important Banks) in November 2020.

MREL – TLAC

In addition to capital adequacy ratios, ratios aimed at verifying the Group's capacity to carry out a bail-in in the event of default are implemented *via* the Minimum Requirement for own funds and Eligible Liabilities (MREL) and Total Loss Absorbing Capacity. This second ratio is known as TLAC, according to the terminology of the Financial Stability Board, and in Europe it is defined in the BRRD directive and the CRR regulation as subordinated MREL. Groupe BPCE has established internal oversight of these indicators.

The MREL (Minimum Requirement for own funds and Eligible Liabilities) ratio was introduced by BRRD 1. Senior unsecured debt with a maturity of more than one year and the Group's own funds make up the numerator of the MREL ratio. The Group's current MREL requirement was received in January 2020.

The updated total MREL requirement was set at a level equivalent to 24.2% of the Group's RWA at the end of December 2017.

For subordinated MREL, the numerator only includes junior liabilities through senior non-preferred debt.

A new MREL requirement is expected from the resolution authorities in the first half of 2021, based on the revision of the BRRD of 2019, called BRRD2.

The TLAC ratio serves the same purpose as subordinated MREL and only applies to GSIB. CRR2, published at the same time as BRRD2, transcribed TLAC into positive law in the form of a minimum subordinated MREL requirement applicable to GSIBs. As indicated above, the Group has set its own TLAC target above the regulatory requirement, which is 19.51% of RWAs in 2021, *i.e.* 16% plus the 3.51% solvency buffer. In 2022, this requirement will increase to 18% plus the solvency buffers.

TLAC (Total Loss Absorbing Capacity) amounted to €101.8 billion at end-December 2020. The subordinated MREL ratio was 23.6% on December 31, 2020 compared to 23.3% on December 31, 2019.

TLAC

in millions of euros

	12/31/2020	12/31/2019
Regulatory capital elements of TLAC and adjustments		
Common Equity Tier 1 capital (CET1)	68,969	65,992
Additional Tier 1 capital (AT1) before TLAC adjustments	8	23
Other adjustments	0	0
TLAC-eligible Tier 1 instruments	68,977	66,015
Tier 2 capital	9,257	13,309
Amortized fraction of Tier 2 instruments with residual maturity of at least 1 year	2,008	817
TLAC-eligible Tier 2 instruments	11,265	14,126
TLAC arising from regulatory capital	80,242	80,141
Non-regulatory capital elements of TLAC		
Senior non-preferred debt instruments	21,586	18,066
TLAC arising from non-regulatory capital instruments before adjustments	21,586	18,066
Total loss absorbing capacity (elements of TLAC)	101,828	98,207
Risk-weighted assets and leverage exposure measure for TLAC purposes		
Total risk-weighted assets adjusted as permitted under the TLAC regime	431,222	421,599
Leverage exposure measure	1,238,142	1,245,148
TLAC ratios		
TLAC (as a percentage of risk-weighted assets adjusted as permitted under the TLAC regime)	23.6%	23.3%
TLAC (as a percentage of leverage exposure)	8.2%	7.9%

The ranking of creditors for TLAC capital elements is as follows by order of repayment priority: senior non-preferred debt, subordinated debt eligible as Tier 2 capital on issuance and subordinated debt eligible as Tier 1 capital on issuance.

Eligible liabilities and their features are published at the following address:

<https://groupebpce.com/en/investors/results-and-publications/pillar-iii>

6.5 Credit risks

Foreword

The Credit Risk division established special measures in response to the health crisis and its economic consequences. This section covers the main measures implemented.

BACKGROUND INFORMATION

French marketplace institutions managed the crisis with two primary measures to support Corporate and Professional customers:

- general or specific moratoria;
- state-guaranteed loans.

These measures are governed by forbearance and default management standards. In a guideline dated April 2, 2020, the European Banking Authority (EBA) clarified the definition of a "general moratorium" to help avoid the classification of exposures under the definition of forbearance. However, customers benefiting from such moratoria shall continue to be assessed by banks, which may, depending on the presence of risk indicators, declassify a customer as defaulted.

Pursuant to EBA recommendations, Groupe BPCE has elected to carry out a forbearance analysis based on expert opinion, while prioritizing the most at-risk customers.

CREDIT RISK MEASURES IMPLEMENTED SINCE THE START OF THE CRISIS

Main measures taken since the start of the crisis:

- groupwide instructions applicable to the Sales and Risk functions of BPCE institutions, addressing the following subjects:
 - proactive repayment deferrals for Corporate and Professional customers in selected sectors and related subjects (e.g. payment protection insurance),
 - state-guaranteed loans (how SGLs work, authorization diagram, content of credit application, map of Fiben and internal ratings),
 - guidelines on certain asset classes (real estate development, hospitals, semi-public companies, LBOs, etc.),
 - forbearance management in accordance with EBA guidelines and impacts on default,
 - management of short-term authorization renewal;

- support *via* regular audio sessions with Agents, Operations division, Finance, Commitments, Disputes, Collections, Compliance and Risk functions co-organized by the Sales and Risk functions;
- establishment of a weekly Covid-19 crisis risk dashboard, oversight of potentially leveraged exposures;
- portfolio analyses conducted with the establishment of four sector watch committees in three months;
- baseline/stressed/adverse stress scenarios on the impact of the crisis on cost of risk;
- additional instructions on various issues related to the supervision system: watchlist, revised through-the-cycle rating (rating over a complete cycle as compared to current conditions), with general enhancement of the supervision system;
- BPCE and Natixis implemented a geo-sector review (sector rating) aimed at providing data for an initial stress test and at identifying additional cost of risk generated by the developing crisis. This stress test will be regularly observed and potentially amended.

In addition to this sector review, a detailed review of each geographic area was initiated by portfolio in order to identify the main counterparties liable to be vulnerable to the current crisis, spanning several areas deemed at-risk.

The following information should be noted for rating models:

- the segmentation standard for professional customers' revenues was changed in light of Covid-19. This change aims to smooth out the effects of the Covid crisis and to avoid unwanted segment changes;
- assessing the impact of measures to support the economy (state-guaranteed loans, moratoria) on all risk parameters (PD, EAD, LGD) used to calculate the minimum capital requirements for credit risk and actions planned in terms of PD rating;
- analyses aimed at incorporating government support measures in the estimation of IFRS 9 provisions for quarterly reporting purposes.

6.5.1 Credit risk management

CREDIT POLICY

The overall credit risk policy is governed in particular by the risk appetite system, structured around the definition of the level of risk and risk appetite indicators.

The balance between profitability and risk tolerance is reflected in Groupe BPCE's risk profile and is written into the Group's risk management policies.

Groupe BPCE does not conduct business unless it has the associated risks sufficiently under control. Activities with high risk-reward profiles are identified and strictly controlled.

From a structural standpoint, Groupe BPCE's business model incurs a lower-than-average cost of risk for the French market.

In general, Groupe BPCE's credit approval process is based first and foremost on the customer's ability to repay the loan, *i.e.* future cash flows, with clearly identified sources and channels and a reasonably realistic probability of occurrence.

RATING POLICY

Credit risk measurement relies on internal rating systems tailored to each category of customer and transaction. The Risk division is responsible for defining and verifying the performance of these rating systems.

An internal rating methodology common to all Groupe BPCE institutions (specific to each customer segment) is applied for "individual and professional retail customers", as well as for "corporate customers", "real estate professionals", "project financing", "central banks and other sovereign exposures", "central governments", "public-sector and similar entities" and "financial institutions segments".

The measures put in place by the public authorities to address the 2020 health crisis have generated an abundance of liquidity, which has neutralized some of the surveillance tools when it comes to the customer base affected by this crisis. An additional system, called a summary indicator, has been defined, developed and implemented across the networks to identify the hardships customers are likely to be facing. In the short-term, Natixis is less affected by this system.

In addition, in order to take into account discrepancies between the 2019 accounting documents submitted in 2020 and the immediate effects of the 2020 crisis, a specific rating override system was defined, tested and implemented for the networks. The purpose of this system is to rate customers with more than €10 million in revenues "throughout the crisis."

CREDIT RISK GOVERNANCE

The systems in place to govern credit approval and to manage and classify credit risks are all based on the following governance:

Each standard, policy, system or method is the focus of workshops, organized and led by the Risk division teams, made up of Group representatives. The purpose of these workshops is to define the rules and expectations for each topic addressed, as it relates to the Group's risk appetite and regulatory constraints. These topics are then decided by a Group committee made up of executive managers.

The Risk function is structured according to the principle of subsidiarity:

- each Groupe BPCE institution has a Risk Management department covering all types of risks, including credit and counterparty risks. Each institution manages its risks in accordance with Group standards and prepares a risk report every six months;
- each Head of Risk Management is functionally subordinate to the Group Head of Risk Management, who reports to the Chairman of the Groupe BPCE Management Board and is a member of the Executive Management Committee;
- the Risk division has a department in charge of coordinating Level 1 and 2 permanent controls at the institutions. The Credit Risk function helps ensure that each institution's permanent control system is complete.

The credit approval process is based on Group risk policies, which in turn draw on internal rating systems tailored to each type of customer and transaction.

The Groupe BPCE Risk division is responsible for:	• overseeing and proposing guidelines for risk management policies, in accordance with the Group's risk appetite; • defining, deploying and verifying the performance of internal rating systems; • producing reports containing the relevant information on these measures.
For credit risk oversight purposes, Groupe BPCE manages and regularly reviews the following risks:	• the creditworthiness of the main portfolios or activities (home loans, consumer loans, loans to professional customers, SMEs/ISEs) at Group level, on an in-depth basis; • concentration risks, defining individual limits for major counterparties; • consolidated amounts and changes in loan outstandings by counterparty; • average risk-weighted assets by entity and by asset class; • counterparty risk consolidated at Group level; • in response to the health crisis, Group institutions were given instructions to grant state-guaranteed loans and moratoria; various management tools have been provided in this context, aimed at facilitating the management of measures authorized by the French government and the EBA (Forbearance).
Credit approval decisions deployed or adapted at each Group institution are supervised within a system made up of:	• Group risk policies on asset classes, Group sector policies; • regulatory caps, Group internal caps, internal caps for institutions in the Banque Populaire and Caisses d'Epargne networks and all BPCE subsidiaries; • a set of Group internal limits covering the major categories of counterparties (a company made up of a parent and its subsidiaries) on a consolidated basis, for the main asset classes excluding retail, supplemented as needed by local limits; predominantly based on the internal rating approach, these methodologies are used to define the maximum risk that Groupe BPCE is willing to take; • at each Group institution, a pro-con analysis or counter-analysis procedure involving the Risk function, which holds the right to veto decisions, calling on the higher-level Credit Committee for arbitration where necessary, or the duly authorized representative; • a permanent control system.

As part of managing the health crisis, a sectoral classification of business sub-sectors in Green – Orange – Red (GOR) according to their estimated vulnerability was defined and reported each month, allowing on the one hand to identify the sectors most affected by the crisis, and on the other hand to identify the effects of this crisis *via* stress tests by downgrading the ratings of the sectors concerned, combined with the impact of the quotas to be downgraded on the exposures of the sectors concerned. This method made it possible to compare the effects obtained with the effects of the IFRS 9 method in force for Q2 2020 and Q4 2020.

The GOR, which has been updated monthly since April 2020, is accompanied by recommendations on the approach to adopt in terms of granting loans to professionals and corporates in the various sectors.

Furthermore, sector and portfolio reviews are carried out at Group level to obtain a consolidated view of their credit quality and, where applicable, to be able to propose changes to risk policies or the corresponding management procedures.

Compliance with regulatory and internal caps and limits is regularly checked by the Group Risk and Compliance Committee and the Audit and Risk Committees of the Supervisory Board. Each institution is responsible for ensuring compliance with internal limits.

The Risk division also defines the credit risk Level 2 permanent control framework for all institutions. The Group Internal Coordination and Control Committee (3CIG) is informed of the action plan for year N+1, based on the results observed during the fiscal year.

Each institution determines its priority risks *via* the macro-level risk mapping process, which serves as a guide for its annual permanent control plan.

The Level 2 permanent control system forms an auditable base available to the periodic control teams.

The results of these management initiatives are presented to the Group Risk and Compliance Committee, the Group Credit and Counterparty Risk Committee and the Group Credit Risk and Permanent Control Committee.

Finally, the Risk division coordinates the credit risk process, particularly through monthly audio conferences, national credit risk days, regional platforms or through theme-based working groups. It also oversees change management with respect to standards to ensure the operational adoption of Group rules at the local level and to harmonize practices within the Group's institutions.

HIGHLIGHTS

With regulations undergoing significant changes, all institutions are required to implement applicable standards, rules and policies in their operations, in order to ensure consistent implementation throughout the Group.

The fiscal year 2020 was mainly marked by the management and effects of the health crisis, but several fundamental developments were furthered and implemented:

- the home loan risk policy was reviewed in the context of the recommendations of the High Council for Financial Stability: it was being rolled out at the end of 2020. The policy introduces a new indicator not previously used by the networks and not present in the information systems: DTI (Debt to income).

The following standards have been implemented:

- the standard concerning forbearance, a subset of the new default, was clarified in order to be implemented in the information systems in early 2021;

- the high-risk and new default standards were rolled out in the institutions and received change support.

Groupe BPCE has set up a system called “loan pricing” in order to take into account the ECB’s recommendation asking it to:

- 1) have a homogeneous group standard covering the four dimensions – TCI, Operating expenses, Cost of risk, Cost of equity, with an ROE vision;
- 2) have an IT tool for pricing and monitoring loan profitability;
- 3) Investigate and manage exceptions in loan pricing.

This loan pricing system enables the quarterly monitoring of pricing by institution and at Group level.

CREDIT RISK SUPERVISION SYSTEM

CAPS AND LIMITS

The system of internal caps used across the Group, which are lower than the regulatory caps, is aimed at increasing the division of risks and is applied to all Group entities.

The internal caps system used by the institutions is lower than or equal to the Group internal caps, and is applied to the Banque Populaire and Caisse d’Epargne networks and the subsidiaries.

A Groupwide set of individual limits has also been established for the major counterparties as well as exposure levels for countries and industries. These limits apply to all Group institutions. The individual limits system in place, aimed at dividing up risks and making them individually acceptable in terms of each institution’s profits and capital position, *i.e.* without including the value of collateral, to define the maximum amount of acceptable risk for a given counterparty. The aim of this position is to neutralize the operational risk associated with the recognition of collateral and with execution in the event the institution is required to call in the collateral.

Risk supervision is adapted to each sector *via* a monthly sector watch, which is a responsibility shared with all Group institutions. Sector policies and limits have been established for that purpose.

On behalf of the Group Risk and Compliance Committee, the Risk division measures and verifies that these risk supervision mechanisms (individual and topical limits) are correctly implemented at each institution.

The Group Supervisory Board is kept informed as Group internal caps are monitored, and is notified of any breaches of limits defined in accordance with the risk appetite framework.

METHOD USED TO ASSIGN OPERATIONAL LIMITS ON INTERNAL CAPITAL

The quarterly Group risk dashboard is used to monitor consumption of risk-weighted assets in the Group’s main asset classes: it compares any differentials in terms of changes between gross exposures and consumption of RWA.

By using these systems, the Group is able to accurately monitor the change in capital needed to cover risks in each asset class, while also observing any changes in the quality of the asset classes in question.

CORRELATION RISK POLICY

Correlation risk is governed by a special decision-making process, where a counterparty offers its own shares as collateral. A top-up clause is systematically required on such transactions.

For wrong-way risk, usually associated with collateral swaps between credit institutions, BPCE’s liquidity reserve procedure defines this criterion as follows: “the counterparty to the repo and the securities received as collateral for that repo shall not be included in the same regulatory group.”

However, these transactions may be reviewed on a case-by-case basis, under a special decision-making process, where the collateral consists exclusively of retail loans serving to finance residential real estate.

CREDIT RISK SUPERVISION

Within its remit as applied to credit risk supervision, the Risk division:

- presents the Management Board and Supervisory Board with a risk appetite framework for the Group and ensures its implementation and roll-out at each major entity;
- helps draw up credit risk policies on a consolidated basis, examines overall risk limits, takes part in discussions on capital allocation and ensures that portfolios are managed in accordance with these limits and allocations;
- helps the Groupe BPCE Management Board to identify emerging risks, the concentration of risk and other adverse developments, and to devise strategy and adjust risk appetite; performs any specific analyzes and stress tests with the goal of identifying areas of risk and the Group's resilience under various predetermined shock scenarios;
- defines and implements risk taking and management standards and methods for consolidated risk measurement, risk mapping, risk-taking approval, risk control and reporting, and compliance with laws and regulations;
- assesses and controls the level of credit risk across the Group;
- conducts permanent supervision, including detecting and resolving limit breaches and centralized forward-looking risk reporting on a consolidated basis;
- conducts controls – or ensures through the principle of subsidiarity that controls are conducted – to verify that the operations and internal procedures of companies comply with legal, professional, or internal standards applicable to banking, financial and insurance activities;
- performs Level 2 controls of certain processes used to prepare financial information and implements a Group Level 2 permanent risk control system;
- manages risk information systems in accordance with an annual IT plan, working closely with the IT departments, while defining the standards to be applied for the measurement, control, reporting and management of credit risks.

The different levels of control at Groupe BPCE operate under the supervision of the Risk division, which is also responsible for consolidated summary reporting to the various decision-making bodies and committees, in particular the Group Watchlist and Provisions Committee.

The aim of risk supervision is to:

- Improve the identification of various degrees of situations that are stressed or becoming stressed, which may worsen and veer into default. A set of indicators used to identify incidents on customer accounts (past due payments, irregular payments, etc.) or external events (rejected notes, external ratings, customer life events) contributes to this supervisory system. This system is currently being strengthened with the addition of new supervision triggers under the "Bad Loans" project;
- Enhance the quality of customer data through a data quality supervision and improvement system, in addition to seeking out high-quality exposures;
- Use observed results to adjust the framework of permanent controls performed by each institution, based on its own macro-level risk mapping. The business line heads in charge of the content of the Level 2 permanent control framework and the heads of periodic control can then work together to cross-check the risk areas identified from the results of their own investigations, and complete:
- the self-assessments of Groupe BPCE institutions;
 - decisions on how to change the control systems within their remit.

The Credit Risk business line, which is in charge of the content of the Level 2 permanent control framework, receives summaries of the audit reports from the periodic control teams, and can also determine whether the Level 2 periodic control framework needs to be adjusted for the institutions.

Risk prevention and monitoring at Groupe BPCE focuses on the quality of information, which is a heightened concern under the requirements of regulation BCBS 239 and is necessary for proper risk assessment, as well as the amount of risk taken and changes in these risks.

The application of the "gross leverage ratio" to non-investment grade corporate counterparties (revenues >€50 million) strengthens oversight of potential over indebtedness.

The supervision teams are responsible for ensuring that the sector-based watch is updated by focusing on sectors of activity identified as high-risk and for analyzing portfolios to help identify the main concentrations of risk. This system is enhanced with a set of industry-based limits.

High-risk loans and counterparties (on the watchlist) and the provisioning policy for the main risks shared by several entities (including Natixis) are regularly examined by the Group Watchlist and Provisions Committee.

Groupe BPCE performs three main types of stress test on credit risk:

- the EBA stress test produced every two years, which is aimed at testing the resilience of credit institutions to simulated shocks, and comparing their results. The outcome of the EBA stress test may result in stronger capital requirements or other mandatory measures imposed by the supervisor, which has not been the case for Groupe BPCE to date;
- Groupe BPCE's internal stress test. This test is carried out annually and feeds into the ICAAP and the PPR. It covers several more scenarios than the EBA stress test, and includes changes in projections on the entire balance sheet. The baseline scenario is also used to challenge Groupe BPCE's medium-term plan. For the purposes of the Recovery Plan, an additional test is conducted on the real estate portfolio;
- specific stress tests. These tests can be run at an external request (supervisor) or internal request; there is a stress test for the real estate professionals portfolio, on leveraged buyouts and, at a later stage, a stress test will be performed on renewable energy project financing operations.

The results of these stress tests have always demonstrated Groupe BPCE's resilience to the shocks simulated in the test scenarios. They are consistently used with the aim of learning as much as possible from crisis simulations.

A specific Covid crisis stress test was defined and implemented, and the findings of the Watchlist Committee and Group Provisions took its findings into account.

Action plan for strengthened monitoring and risk anticipation:

A Covid summary indicator to identify customers who may be affected by the health crisis was introduced as at 12/31/20. This system makes it possible to identify and deal with risk situations and to quickly address any unfavorable developments on the basis of diverse information, particularly on PRO/VSE customer segments where data is more accessible.

QUALITY ASSESSMENT OF LOAN OUTSTANDINGS AND IMPAIRMENT POLICY**SYSTEM GOVERNANCE**

From a regulatory standpoint, Article 118 of the Ministerial Order of November 3, 2014 on internal control specifies that "at least once each quarter, supervised companies must perform an analysis of changes in the quality of their loan commitments." In particular, this review should determine, for material transactions, whether any reclassifications need to be conducted among the internal risk credit risk assessment categories and, if necessary, the appropriate allocations to non-performing loans and charges to provisions.

When a counterparty is placed on either a local Watchlist (WL) or the Group WL, supervision of the counterparty in question is enhanced (Performing WL) or the decision is made to record an appropriate provision (Default WL).

The contagion principle was automatically applied to the Group watchlist at the end of 2020.

It will also apply automatically to the local watchlist of referenced institutions regarding non-referenced institutions in early 2021.

Statistical provisions for performing loans, calculated at Group level for the networks in accordance with IFRS 9 requirements, are measured using a methodology validated by Group committees (reviewed by an independent unit and validated by the Group Models Committee and the RCCP Standards & Methods Committee). These provisions include scenarios of changes in the economic environment determined each year by the Group's Economic Research team, coupled with probabilities of occurrence reviewed quarterly by the Group Watchlist and Provisions Committee.

Provisions for loans in default are calculated at the individual institution level, with the exception of shared loans in default exceeding €20 million and subject to central coordination as

decided by the Group Watchlist and Provisions Committee on a quarterly basis. The amount of the provision is calculated by incorporating the present value of collateral (prudent valuation), without systematically applying a haircut at this point: a methodology aimed at deploying a haircut policy was defined in late 2019 and rolled out as NPL guidance was implemented.

Any defaulted exposures not covered by provisions shall be subject to enhanced justification requirements to explain why no provision has been recorded.

NETTING OF ON-BALANCE SHEET AND OFF-BALANCE SHEET TRANSACTIONS

For credit transactions, Groupe BPCE is not required to carry out netting of on-balance sheet and off-balance sheet transactions.

RECOGNITION OF PROVISIONS AND IMPAIRMENT UNDER IFRS 9

As soon as the health crisis emerged, Groupe BPCE adapted its IFRS 9 system to avoid countercyclical effects, of which European banks were warned by the ECB in April. The particularities of the Covid crisis and government support for economies required adjustments to the pre-existing IFRS 9 methodology.

In the second and third quarters of 2020, the valuation of the amount of provisions for performing loans was based on a detailed sector approach and on the corresponding projected cost of risk over two years.

In the fourth quarter, various adjustments were made to pre-crisis IFRS 9 calculation methods. For retail and SME portfolios, the macroeconomic variables taken into account were adapted to the specific nature of the Covid crisis:

To moderate the pro-cyclical nature of IFRS 9 and incorporate massive support measures (in particular state-guaranteed loans and moratoria), it was estimated that the government would bear around 60% of the cost of the crisis. This mitigating factor was applied to net banking income projections for 2020, 2021, and 2022. It was determined by an expert and confirmed by two independent studies (a note from the OFCE of July 2020 estimating that the government could absorb 55% of the cost of the crisis, and one from the Banque de France published in December 2020 and raising the level to 62%).

To reflect the delay observed in the impact of the crisis on the expected increase in credit risk, a lag of nine months was introduced in the NBI parameters used to calculate the IFRS 9 provisions, in line with the duration of the state-guaranteed loans and moratoria.

The high level of uncertainty in the economic forecasts has also widened the gap between the baseline scenario and the optimistic and pessimistic scenarios. This change was approved by the Group Model Committee.

In addition, the rating of customers having benefited from state-guaranteed loans and moratoria included in the calculation of provisions for performing loans was reviewed. The partly artificial improvement in ratings brought about by state-guaranteed loans and moratoria does not reflect either the current situation or expectations of the level of credit risk. It was therefore decided, for each customer having benefited from a state-guaranteed loan or a moratorium, to use the lowest of their scores in January 2020 and September 2020 to calculate the IFRS 9 provisions.

Provisioning methods

Debt instruments classified as financial assets at amortized cost or at fair value through other comprehensive income, loan

commitments and financial guarantees given that are not recognized at fair value through profit or loss, as well as lease receivables and trade receivables, shall be systematically impaired or covered by a provision for expected credit losses (ECL).

Impairment is recorded, for financial assets which have not been individually subject to ECL, based on observed past losses but also on reasonable and supportable DCF forecasts.

Financial instruments are divided into three categories (Stages) depending on the increase in credit risk observed since initial recognition. A specific credit risk measurement method applies to each category of instrument:

1. Stage 1 (S1)	2. Stage 2 (S2)	3. Stage 3 (S3)
Loan outstandings for which credit risk has not increased materially since the initial recognition of the financial instrument. The impairment or the provision for credit risk corresponds to 12-month expected credit losses.	Performing loans for which credit risk has increased materially since the initial recognition of the financial instrument are transferred to this category. The impairment or the provision for credit risk is determined on the basis of the financial instrument's lifetime expected credit losses.	Impaired exposures, within the meaning of IFRS 9, for which there is objective evidence of impairment loss due to an event which represents a known credit risk occurring (e.g. non-repayment of the loan at its normal term, collective proceeding, past due payments recorded by the customer, customer unable to finance an investment in new equipment, etc.) after the initial recognition of the instrument in question. This category covers receivables for which a default event has been identified, as defined in Article 178 of the EU regulation of June 26, 2013 on prudential requirements for credit institutions.

The Group implements a provisioning policy for its corporate customers. This policy lays the foundations for the calculation of loan impairment and defines the methodology for determining individual impairment based on expert opinion. It also defines the components (credit risk measurement, accounting principles on the impairment of customer receivables under IFRS and French GAAP) and data to include in a non-performing loan or disputed loan assessment, as well as essential items to include in a provisioning record.

A corporate provisioning policy for Group exposures of less than €15 million has been defined and implemented.

The methodology section for determining individual impairment based on expert opinion defines impairment approaches: going concern, gone concern, combined approach.

Groupe BPCE applies the contagion principle when identifying groups of customer counterparties, through the ties binding the groups together.

A methodology concerning the practice of applying haircuts to the value of collateral, taking into account inevitable contingencies, has been defined and implemented.

Impairment under IFRS 9

Impairment for credit risk amounts to 12-month expected credit losses or lifetime expected credit losses, depending on the level of increase in credit risk since initial recognition (Stage 1 or Stage 2 asset). A set of qualitative and quantitative criteria is used to assess the increase in credit risk.

A significant increase in credit risk is measured on an individual basis by taking into account all reasonable and supportable information and by comparing the default risk on the financial instrument at the reporting date with the default risk on the financial instrument at the date of initial recognition. Any significant increase in credit risk shall be recognized before the transaction is impaired (Stage 3).

In order to assess a significant increase in credit risk, the Group implemented a process based on rules and criteria which apply to all Group entities:

- for the individual customer, professional customer and SME loan books, the quantitative criterion is based on the measurement of the change in the 12-month probability of default since initial recognition (probability of default measured as a cycle average);
- for the large corporate, bank and specialized financing loan books, it is based on the change in rating since initial recognition;

- these quantitative criteria are accompanied by a set of qualitative criteria, including the existence of a payment more than 30 days past due, the classification of the contract as at-risk, the identification of forbearance exposure or the inclusion of the portfolio on a Watchlist;
- exposures rated by the large corporates, banks and specialized financing software tool are also downgraded to Stage 2 depending on the sector rating and the level of country risk.

Exposures for which there is objective evidence of impairment loss due to an event representing a counterparty risk and occurring after initial recognition will be considered as impaired and classified as Stage 3. Identification criteria for impaired assets are similar to those under IAS 39 and are aligned with the default criterion. The accounting treatment of restructuring operations due to financial hardships is similar to their treatment under IAS 39.

Expected credit losses on Stage 1 or Stage 2 financial instruments are measured as the product of several inputs:

- cash flows expected over the lifetime of the financial instrument, discounted at the valuation date – these flows are determined according to the characteristics of the contract, its effective interest rate and the level of prepayment expected on the contract;
- loss given default (LGD);
- probabilities of default (PD), for the coming year in the case of Stage 1 financial instruments and until the contract's maturity in the case of Stage 2 financial instruments.

The Group draws on existing concepts and mechanisms to define these inputs, and in particular on internal models developed to calculate regulatory capital requirements and on projection models used in the stress test system. Certain adjustments are made to comply with the specifics of IFRS 9.

IFRS 9 inputs:

- aim to provide an accurate estimate of expected credit losses for accounting provision purposes, whereas prudential inputs are more cautious for regulatory framework purposes. Several of the safety buffers applied to prudential inputs are therefore restated;
- shall allow expected credit losses to be estimated until the contract's maturity, whereas prudential inputs are defined to estimate 12-month expected losses. 12-month inputs are thus projected over long periods;
- shall be forward-looking and take into account the expected economic environment over the projection period, whereas prudential inputs correspond to through-the-cycle estimates (for PD) or downturn estimates (for LGD and the flows expected over the lifetime of the financial instrument). Prudential PD and LGD inputs are therefore also adjusted to reflect forecasts of future economic conditions.

Inputs are adjusted to economic conditions by defining three economic scenarios over a three-year period. The variables defined in each of these scenarios allow for the distortion of the PD and LGD inputs and the calculation of an expected credit loss for each economic scenario. Projections of inputs for periods longer than three years are based on the mean reversion principle. The models used to distort the PD and LGD inputs are based on those developed for the stress test system for consistency reasons. The economic scenarios are associated with probabilities of occurrence, making it possible to calculate the average probable loss, which is used as the IFRS 9 impairment amount.

These scenarios are defined using the same organization and governance as those defined for the budget process, requiring an annual review based on proposals from the Economic Research department. For consistency purposes, the baseline

scenario serves as the budget scenario. Two variants – an optimistic view and a pessimistic view – are also developed around this scenario. The probability of occurrence of each scenario is reviewed on a quarterly basis by the Group's Watchlist and Provisions Committee. The inputs thus defined are used to measure expected credit losses for all rated exposures, whether they were subject to the IRB or the standardized approach for the calculation of risk-weighted assets. For unrated exposures (insignificant for Groupe BPCE), prudent valuation rules are applied by default.

The IFRS 9 input validation process is fully aligned with the Group's existing model validation process. Inputs are reviewed by an independent unit responsible for internal model validation, the unit's conclusions are then examined by the Group Models Committee, and subsequent recommendations followed up by the validation unit.

FORBEARANCE, PERFORMING AND NON-PERFORMING EXPOSURES

Forbearance results from the combination of a concession and financial hardships, and may involve performing or non-performing loans.

The decision to downgrade a loan from the “performing forborne exposure” to the “non-performing forborne exposure” category is subject to a different set of rules than the rules for default (new concession or payment more than 30 days past due) and, like the decision to move a loan out of the “forborne” category, is subject to probationary periods.

Forced restructuring, over indebtedness proceedings, or any kind of default as defined by the Group standard, which involves a forbearance measure as previously defined, results in classification as a non-performing forborne exposure.

Disclosures on “forbearance, performing and non-performing exposures” are being added to those already provided on default and impairment.

Probationary periods for customers no longer in forbearance were implemented as part of the new default project. A forbearance qualification guide was rolled out as part of crisis management. Moreover, since the end of 2020, this guide also specifies the criteria enabling institutions to refer to these practices.

6.5.2 Risk measurement and internal ratings

CURRENT SITUATION

SCOPE OF STANDARDIZED AND IRB METHODS USED BY THE GROUP

Customer segment	Banque Populaire network	Caisse d'Epargne network	Crédit Foncier/Banque Palatine/BPCE International	Natixis	BPCE SA
Central banks and other sovereign exposures	IRBF	Standardized	Standardized	IRBA	IRBF
Central governments	IRBF	Standardized	Standardized	IRBA	IRBF
Public sector, similar entities	Standardized	Standardized	Standardized	Standardized	Standardized
Institutions	IRBF	Standardized	Standardized	IRBA/Standard	IRBF
Corporates (Rev.* > €3m)	F-IRB/Standardized	F-IRB/Standardized	Standardized	IRBA/Standard	Standardized
Retail	IRBA	IRBA	Standardized	Standardized	

* Rev.: revenues.

The Oney subsidiary is approved for credit models applicable to retail customers in France. The Portugal, Spain, Russia, Hungary and Poland scopes use the standardized approach.

BREAKDOWN OF EAD BY APPROACH FOR THE MAIN CUSTOMER SEGMENTS

in %	12/31/2020			12/31/2019		
	EAD			EAD		
	Standardized	IRBF	IRBA	Standardized	IRBF	IRBA
Central banks and other sovereign exposures	32%	57%	12%	40%	48%	12%
Central governments	39%	34%	27%	43%	35%	23%
Public sector and similar entities	98%	0%	1%	99%	0%	1%
Institutions	51%	9%	40%	54%	10%	36%
Corporates	39%	23%	38%	39%	20%	41%
Retail	11%	0%	89%	13%	0%	87%
TOTAL	31%	19%	51%	34%	14%	52%

RATING SYSTEM

Information provided in the respect of IFRS 7.

Internal rating system models are developed based on historical data for observed defaults and losses. They are used to measure the credit risks to which Groupe BPCE is exposed, expressed as a one-year probability of default (PD), as a Loss Given Default (LGD) and as Credit Conversion Factors (CCF), depending on the characteristics of the transactions.

These internal rating systems are also applied to risk supervision, authorization systems, internal limits on counterparties, etc., and may also serve as a basis for other processes, such as statistical provisioning.

The resulting risk metrics are then used to calculate capital requirements, once they have been validated by the supervisory authority in compliance with regulatory requirements.

INTERNAL RATING SYSTEM GOVERNANCE

The internal governance of rating systems is centered on the development, validation, monitoring and modification of these systems. The Groupe BPCE Risk division is completely independent from the rest of the Group (Banque Populaire and Caisse d'Épargne networks, Natixis and the other subsidiaries) in conducting performance and adequacy reviews of models for credit risks, counterparty risks, and structural ALM and market risks. In performing this duty, the Risk division relies on robust governance defined as part of the Model Risk Management (MRM) system.

The Group has defined and launched a Model Risk Management (MRM) system to assess, reduce, monitor and communicate on model risk. Implementation of the new system is subject to an independent control presenting a high level of consistency. The principles of the system deal with the documentation, design, development, implementation, review, approval, ongoing supervision and use of models, all in the interest of ensuring their dependability. An MRM risk management policy has been defined to that end, aimed at promoting a clear understanding of how each model works, when and why it is used, and its strengths, weaknesses and limits. The policy is being gradually rolled out for each category of models in 2020, while expanding the scope of models subject to independent review. The policy is supplemented by a body of procedures defining the tools for monitoring the performance of the models, in particular the validation review, the monitoring of recommendations and the associated escalation processes, and the monitoring of the model portfolio through an inventory. The system is based on a specific tool that manages the life cycle of the models. A Model Risk Management Committee is dedicated to the governance of the models.

The Group's validation process encompasses all types of quantitative models, and defines and specifies the duties and responsibilities of contributors involved throughout each model's life cycle. A specific procedure defines the conditions for delegating validation, within a specific scope, to another entity besides the Risk division validation team: the entity in question must have the necessary expertise, be independent of the team developing the model, and have appropriate validation governance. The delegation is subject to the approval of the Model Risk Management Committee. Under these rules, the validation of certain specific PD and LGD models, IMM models for counterparty risk, IMA and standard models for market risk and prudent valuation models has been delegated to the independent validation team at Natixis. The validation of certain market valuation models has been delegated to the independent validation team at BRED.

The internal validation process for new models or for changes to existing models is broken down into three steps:

- a review of the model and its adequacy, conducted independently of the entities having worked on the development of the model; The Risk division's model validation team reports to the Risk Governance department, which is independent of the Modeling department;
- a review by the Group Models Committee, comprised of quantitative experts (modeling specialists and validators) and business line experts who issue a technical opinion on the model. This committee is chaired by the Head of Risk Management, Deputy Chief Executive Officer and member of the Executive Management Committee;

- validation by the Group RCCP Standards and Methods Committee, based on the technical opinion issued by the Group Models Committee, which decides to implement the necessary changes, particularly in terms of processes and operational adaptation. These changes are submitted, where applicable, to the European supervisory authority for prior approval, in accordance with Commission Delegated regulation No. 529/2014 on changes of the Internal Ratings Based Approach used in determining capital requirements.

After the completion of this governance process, internal control reports and statements of decisions are made available to Group management (and supervisory authorities for internal models used to determine capital requirements). Each year, a summary of the performances and adequacy of internal models is presented to the Risk Management Committee of the Group Supervisory Board.

The Risk division's validation team was strengthened in 2020 to support the increase in the number of models.

MODEL DEVELOPMENT PROCESS

The Risk division relies on a formalized process describing the main steps taken in developing any new model. This document, which serves as a guide for the entire documentation and validation process, is based on:

- a literary and general description of the model, indicating its scope of application (counterparty type, product type, business line, etc.), the main assumptions on which it is based, and any aspects not covered;
- a descriptive diagram summarizing how the ultimately chosen model works, indicating the various inputs, processes and outputs;
- a detailed description of the modeling steps and approach;
- a literary description of the model's main risk factors.

Internally developed models are required to meet strict risk discrimination and qualification criteria.

These models will ultimately (as from January 1, 2022) incorporate the regulatory changes enacted by the European Banking Authority under its IRB Repair program, aimed at improving the comparability of risk parameters input to the models.

REVIEW OF INTERNAL RATINGS-BASED MODELS

The Groupe BPCE Risk division is responsible for reviewing the Group's internal models whenever a new model is being developed or an existing model changed. It also performs the annual review of backtests on credit, market and ALM risk models.

The validation team conducts independent analyses in compliance with a charter and procedures that describe interactions with the modeling entities and the steps of the review. This review is based on a set of qualitative and quantitative criteria, and mainly addresses the following points:

- documentation;
- methodology, including the validity of assumptions;
- performance;
- robustness;
- compliance with regulations.

The level of detail in the review is adjusted for the type of work examined. In any event, it must at least include a document review focusing on the quantitative aspects of rating systems. For a new model or a major change to an existing model, in addition to this review, the computer codes are checked and additional tests are run (comparative calculations).

The scope of the Validation division's involvement may be expanded before and after an investigation of data quality, system implementation and operational integration.

In conclusion, the review generates an opinion on the validity of the models and the associated inputs for credit and counterparty risks, and for models authorized for use in determining capital requirements. It also generates an opinion on compliance with prudential regulations. Where necessary, the review is accompanied by recommendations.

MODEL MAPPING

The Risk division maps out all Group internal rating models, clearly indicating their scope in terms of Group segments and entities, as well as their main features, including a general score derived from the annual model review characterizing the performance and freshness of each model (age/year of development). This is now part of the Model Risk Management system.

New models were recently added and are in the process of being approved by the ECB. The models in question are PD rating models for "individual retail" customers and LGD estimation

models for "individual retail" and "professional retail" customers. The new methodology for PD rating models aims to improve predictive power over customers without payment incidents. The new LGD calculation methodology aims to distinguish losses in the event a customer is downgraded to "disputed" (material loss) from losses in the event a customer is quickly restored to "performing" status (non-material loss stemming primarily from admin costs). These models will be added to the inventory once they have been approved by the ECB.

Efforts were also focused on overhauling the models used to rate "professional retail" customers and to estimate exposure at default (EAD) for the both the "individual and professional retail" customer segments. These new models, developed in 2018, were approved by the ECB in 2019. In 2020, the supervisor confirmed the use of the new models on small business customers (revenues between €3 million and €10 million) by authorizing the 25% add-on. The supervisor also approved two new rating grids for large companies in the commodities trading and regulated funds sector.

The Oney subsidiary is approved for credit models applicable to retail customers in France. The Portugal, Spain, Russia, Hungary and Poland scopes use the standardized approach.

The following table lists the internal credit models used by the Group for risk management purposes and, where authorized by the supervisor, to calculate capital requirements for the Banque Populaire and Caisse d'Épargne networks, Natixis and its subsidiaries, Crédit Foncier and Banque Palatine.

Exposure class	Portfolio	Number of PD (Probability of Default) models	Description/ Methodology	Portfolio	Number of LGD (Loss Given Default) models	Description/ Methodology	Number of CCF/EAD (Exposure At Default) models	Description/ Methodology
Sovereigns, central governments and central banks	Sovereigns and affiliates	1	Expert criteria including quantitative and qualitative variables/economic and descriptive variables Portfolio with low default risk	Sovereigns and affiliates	1	Expert criteria including quantitative and qualitative variables	1	Application of regulatory inputs
	Multilateral development banks	1	Expert criteria Portfolio with low default risk					
Public sector	Municipalities (communes), departments, regions, social housing agencies, hospitals, etc.	10(NA*)	Expert criteria/statistical modeling (logistic regression) Portfolio with low default risk					
Institutions	OECD or non-OECD banks, brokers/dealers	3	Expert criteria Portfolio with low default risk	Banks	1	Expert criteria including quantitative and qualitative variables	1	Application of regulatory inputs
Corporates	Large corporates (Rev, > €1bn)	5	Expert criteria including quantitative and qualitative variables, depending on the business sector Portfolio with low default risk					
	Corporates SMEs (Rev > €3)	11(o/w 2 NA)	Statistical models (logistic regression) or flat scores, on companies publishing parent company or consolidated financial statements, mainly based on balance sheet data depending on the business sector, and banking behavior/history	Other contracts (general, property investment companies, etc.)	7(o/w 3 NA)	Models based on estimated losses, segmented by type of contract and guarantee, or expert criteria	2(o/w 1 NA)	Conversion factors, segmented by type of contract
	Non-profits and Insurance companies	2	Expert criteria including quantitative and qualitative variables Portfolio with low default risk	Lease financing	1	Models based on estimates of asset resale conditions, segmented by type of asset financed		
	Specialized lending (real estate, asset pool, aircraft, etc.)	8 (o/w 1 NA)	Expert criteria based on features of financed goods/projects Portfolio with low default risk	Specialized lending (real estate, asset pool, aircraft, etc.)	5	Models based on estimates of asset resale conditions or future cash flows		
	Individual customers	7	Statistical models (logistic regression) including behavioral and socioeconomic variables, differentiated by customer profile					
Retail	Professional customers (socioeconomic category differentiated according to certain sectors)	10	Statistical models (logistic regression) including balance sheet and behavioral variables	Residential real estate	3(o/w 1 NA)	Models based on estimated losses, segmented by type of contract and guarantee	3(o/w 1 NA)	Conversion factors, segmented by type of contract
	Residential real estate	5(o/w 2 NA)	Statistical models (logistic regression) including behavioral and socioeconomic variables (quota, etc.), differentiated by customer profile	Other individual and professional customers	2	Models based on estimated losses, segmented by type of contract and guarantee	2	Conversion factors and flat-rate values, segmented by type of contract
				Lease financing	2	Models based on estimates of asset resale conditions, segmented by type of asset financed		
	Revolving loans	2	Statistical models (logistic regression) including behavioral and socioeconomic variables	Revolving loans	2	Models based on estimated losses, segmented by type of contract	2	Conversion factors, segmented by type of contract

* NA refers to models not yet approved for the determination of capital requirements.

**INTERNAL RATINGS-BASED APPROACHES –
RETAIL CUSTOMERS**

For retail customers, Groupe BPCE has established standardized internal ratings-based methods and centralized ratings applications used to assess the credit quality of its loan books for better risk supervision. For the Banque Populaire and Caisse d'Épargne networks, they are also used to determine capital requirements under the Advanced IRB method.

The probability of default of retail customers is modeled by the Risk division, based in large part on the banking behavior of the counterparties. The models are segmented by type of customer, distinguishing between individual and professional customers (with or without balance sheets) and according to products owned. The counterparties in each segment are automatically classified using statistical models (usually logistic regression models) into similar and statistically separate risk categories. Probability of default is estimated for each of these categories, based on the observation of average default rates over the longest period possible so as to obtain a period representative of the possible variability of the observed default rates. These estimates are systematically adjusted by applying margins of conservatism to cover any uncertainties. For comparison purposes, risk reconciliation is carried out between internal ratings and agency ratings.

Loss given default (LGD) is an economic loss measured by incorporating all inherent factors in a transaction as well as the costs incurred during the collection process. LGD estimation models for retail customers are applied specifically to each network. LGD values are first estimated by product, and based on whether or not any collateral has been provided. Other factors may also be considered secondarily, where they can be used to statistically distinguish between degrees of loss. The estimation method employed is based on the observation of marginal collection rates, depending on how long the customer has been in default. The advantage of this method is that it can be directly used to estimate LGD rates applied to performing loans and ELBE rates applied to loans in default. Estimates are based on internal collection histories for exposures at default over an extended period. Two margins of conservatism are then systematically added: the first to cover estimate uncertainties and the second to mitigate any economic slowdown effect.

Groupe BPCE uses two models to estimate EAD. The first estimates a Credit Conversion Factor (CCF) for off-balance sheet exposures. This model is automatically applied when off-balance sheet exposures are deemed material (*i.e.* exceeding the limits set for each type of product). The second estimates a flat increase in the balance sheet for non-material off-balance sheet exposures.

**INTERNAL RATINGS-BASED APPROACHES – NON-RETAIL
CUSTOMERS**

Groupe BPCE has comprehensive systems for measuring non-retail customer risks, using either the Foundation IRB or Advanced IRB approach depending on the network and the customer segment. These systems can also be used to assess the credit quality of its loan books for better risk supervision.

The rating system consists in assigning a score to each counterparty. Given the Group's cooperative structure, a network of officers is responsible for determining the customer's rating for the Group based on the uniqueness of the score. The score assigned to a counterparty is usually suggested by a model, then adjusted and validated by risk function experts after they perform an individual analysis. This process is applied to the entire Non-Retail portfolio, except the new models reserved for Small Enterprises (SEs), which are automatically rated (as with the Retail portfolio). The counterparty rating models are mainly structured according to the type of counterparty (corporates, institutions, public sector entities, etc.) and size of the company (measured by its annual revenues). When volumes are sufficient (SMEs, ISEs, etc.), the models rely on statistical modeling (logistic regression methods) of customer defaults, combined with qualitative questionnaires. Otherwise, expert criteria are used, consisting of quantitative factors (financial ratios, solvency, etc.) derived from financial data, and qualitative factors assessing the customer's economic and strategic components. With respect to country risk, the system is based on sovereign ratings and country ratings that limit the ratings that can be given to non-sovereign counterparties. The Non-Retail rating scale is built using past Standard & Poor's ratings to ensure the direct comparability in terms of risks with the rating agencies. For the new SE models, specific scales were defined for each model used to perform regulatory calculations. These scales are connected with the Non-Retail rating scale for internal risk management. For statistical models, the calibration of probabilities of default on the scales defined for regulatory calculations is based on the same principles as those set out for retail customers (in particular the historic representation of default rates, as well as the estimation of uncertainty margins).

LGD models (excluding retail customers) are predominantly applied by type of counterparty, type of asset, and whether or not any collateral has been provided. Similar risk categories are then defined, particularly in terms of collections, procedures and type of environment. LGD estimates are assessed on a statistical basis if the number of defaults is high enough (*e.g.* for the Corporate customers asset class). Past internal data on collections covering the longest possible period are used. If the number of defaults is not high enough, external databases and benchmarks are used to determine expert rates (*e.g.* for banks and sovereigns). Finally, some values are based on stochastic model, for loans in collection. Downturn LGD is checked and margins of conservatism are added if necessary.

Groupe BPCE uses two models to estimate EAD for corporates. The first estimates a Credit Conversion Factor (CCF) for off-balance sheet exposures. This model is automatically applied when off-balance sheet exposures are deemed material (*i.e.* exceeding the limits set for each type of product). The second estimates a flat increase in the balance sheet for non-material off-balance sheet exposures.

Rating methodologies for low-default loan books are based on expert judgement. Qualitative and quantitative criteria (on the features of the counterparty being rated) to determine a score and rating for the counterparty. The rating is then associated with a PD, whose calibration is based on the observation of external default data and internal rating data. A PD range cannot be quantified due to the low number of internal defaults.

STANDARDIZED APPROACH

The “risk measurement and internal ratings” section describes the various approved models used by Groupe BPCE for the different exposures classes. Where the Group does not have an internal model authorized for use in determining capital requirements for a given exposure class, they have to be estimated based on corresponding inputs under the standardized approach. These inputs are based in particular on the credit assessments (ratings) performed by rating agencies recognized by the supervisory authority as meeting ECAI (External Credit Assessment Institutions) requirements, such as Moody's, Standard & Poor's, Fitch Ratings and Banque de France for Groupe BPCE.

In accordance with Article 138 of regulation No. 575/2013 (Capital Requirements Regulation or CRR) on prudential requirements for credit institutions and investment firms, where a counterparty has been rated by several rating agencies, the counterparty's rating is determined on the basis of the second highest rating.

When an external credit rating directly applicable to a given exposure is required and exists for the issuer or for a specific issuance program, the procedures used to determine the weighting are applied in accordance with CRR Article 139.

For fixed-income securities (bonds), short-term external ratings of the bond take precedence over external ratings of the issuer. If there are no external ratings for the bond, the issuer's long-term external rating is taken into account for senior debt only, except in the specific case of exposure to institutions whose risk weight is derived from the credit rating of the sovereign country in which it is established.

BACKTESTING

All three credit risk inputs are subject to yearly backtesting in order to verify the performance of the rating system. More specifically, backtesting is aimed at measuring the overall performance of models used, primarily to ensure that the model's discriminating power has not declined significantly relative to the modeling period.

Observed default rates are then compared with estimated default rates for each rating. Ratings are checked for through-the-cycle applicability. More specifically, for portfolios with low default rates (large corporates, banks, sovereigns and specialized lending), a detailed analysis is carried out using additional indicators, including more qualitative analyses among other things.

The scope of LGD default values is consistent with the values observed, *i.e.* limited exclusively to exposures at default. Estimated values therefore cannot be directly compared with LGD values measured in the outstanding portfolio. Downturn LGDs are also verified.

Backtesting results may call for the implementation of action plans if the system is deemed not sufficiently prudent or effective. Backtesting results and the associated action plans are discussed by the Group Models Committee, then reviewed by the RCCP Standards & Methods Committee (see governance of the internal rating system).

On the basis of these exercises, the rating system has been deemed satisfactory overall in terms of effective risk management. Moreover, the calibrations of risk parameters remain conservative on the whole, relative to actual risk observations.

REPORTS ON CREDIT RISK MODELS

Since the Single Supervisory Mechanism (SSM) was implemented in 2014, the European Central Bank (ECB) has been working to strengthen governance of internal model supervision through various investigations.

These include the TRIM (Targeted Review of Internal Models), aimed at assessing the regulatory compliance of internal models specifically targeted by the ECB. To that end, TRIM investigations are based on a set of standardized inspection methodologies and techniques, which the teams mandated by the ECB use on-site. BPCE was subject to TRIM reviews covering several scopes of operation from December 2016 to May 2018, giving rise to reports prepared by the ECB: a TRIM General Topics, then three specific reviews targeting internal credit risk models (one on the Corporate portfolio and two on the Retail portfolios). As a result, several new initiatives were launched with the aim of further improving the existing system.

The European Central Bank is continuing its work by applying a similar methodology *via* the Internal Model Investigation (IMI) process. Two reviews were carried out during the last quarter of 2019 (one on the retail – individual customers PD model and the retail LGD model, and the other on the corporate PD models for small businesses). These two reviews also gave rise to reports by the supervisor.

The additional work generated by these reports largely involves the implementation of regulatory changes made by the European Banking Authority as part of its “IRB Repair” program.

IMPACTS ON THE AMOUNT OF GUARANTEES THE INSTITUTION IS REQUIRED TO GIVE IN THE EVENT ITS CREDIT RATING IS DOWNGRADED

The CRR2 and the Delegated Act require institutions to report to the competent authorities any contracts the conditions of which lead to additional liquidity outflows following a material deterioration of the credit quality of the institution (*e.g.* a downgrade in its external credit assessment by three notches). The institution shall regularly review the extent of this deterioration in light of what is relevant under the contracts it has entered into and shall notify the result of its review to the competent authorities (CRR 423.2/AD 30.2).

The competent authorities decide the weighting to be assigned to contracts deemed to have a material impact.

For contracts containing early exit clauses on master agreements (framework agreements between the bank and a counterparty for OTC derivative transactions without collateral), the early termination clause allows one counterparty to terminate the contract early following the deterioration of the credit quality of the other counterparty. Accordingly, the number of early terminations generated by credit quality deterioration shall be estimated.

It was agreed that the Group would measure outflows generated by reviewing all the Group's master agreements or credit support annexes on the OTC market, in order to assess the amount of the deposit/collateral required following a downgrade of three notches in the institution's long-term credit rating by three rating agencies (Moody's, S&P, Fitch). The calculation also includes the amount of the deposit/collateral required following a downgrade of one notch in the institution's short-term credit rating, with the Group considering such a downgrade inevitable if the institution's LT credit rating is downgraded three notches.

At Groupe BPCE level, the calculation covers BPCE SA, Natixis, Crédit Foncier and their funding vehicles: BP CB, GCE CB, BPCE SFH, FCT HL, SCF and VMG. Some intragroup contracts generate outflows at the individual institution level, but are neutralized at the Groupe BPCE consolidated level.

The Group uses a conservative approach in its calculation:

- the impact for each contract is the maximum amount between the three rating agencies between a 1-notch downgrade in the ST rating and a 3-notch downgrade in the LT rating;
- the amount of ratings triggers reported is the sum of all impacts of a one-notch downgrade in the ST rating and a three-notch downgrade in the MLT rating;
- the assumption is made that all external ratings are downgraded simultaneously by the three agencies and for all rated entities;
- as the national competent authority has not issued a recommendation, a weighting of 100% is applied to reported outflows for the calculation of the LCR.

6.5.3 Credit risk mitigation techniques

Information provided in the respect of IFRS 7.

Credit risk mitigation techniques are widely used within the Group and are divided into real guarantees and personal guarantees.

A distinction is made between guarantees having an actual impact on collections in the event of hardships and guarantees recognized by the supervisory authority in the weighting of exposures used to reduce capital consumption. For example, a personal and joint guarantee provided in due form by a company director who is a customer of the Group, and collected in accordance with regulations, may be effective without being eligible as a statistical risk mitigation factor.

In some cases, the Group's institutions choose, in addition to employing risk mitigation techniques, to take opportunities to sell portfolios of disputed loans, particularly when the techniques used are less effective or non-existent.

Credit derivatives are also used to reduce risks, and apply almost exclusively to the Corporate customers asset class (and mainly Natixis).

DEFINITION OF GUARANTEES

A real guarantee involves one or more solidly measured movable or immovable assets that belong to the debtor or a third party. This guarantee consists of granting the creditor a real right to said asset (mortgage, pledge of real property, pledge of listed liquid securities, pledge of listed liquid merchandise with or without divestiture, pledge, third party guarantee, etc.).

The effect of this collateral is to:

- reduce the credit risk incurred on an exposure, given the rights of the institution subject to exposure, in the event of default or other specific credit events affecting the counterparty;
- obtain the transfer of ownership of certain amounts or assets.

A personal guarantee is collateral that reduces the credit risk on an exposure, due to the commitment provided by a third party to pay a set amount if the counterparty defaults or due to any other specific event.

ACCOUNTING RECOGNITION UNDER THE STANDARDIZED OR IRB APPROACH

Under the standardized approach:

Personal guarantees and real guarantees are accounted for, subject to eligibility, using an enhanced weighting of the guarantee portion of the exposure. Real guarantees such as cash or liquid collateral are deducted from the gross exposure.

Under the IRB approach:

Excluding retail customers, real guarantees are taken into account, subject to eligibility, by decreasing the Loss Given Default applicable to the transactions. Personal guarantees are recognized, subject to eligibility, by substituting a third party's PD with that of a guarantor.

For retail customers under IRBA:

Personal and real guarantees are taken into account, subject to eligibility, by decreasing the Loss Given Default applicable to the transactions.

CONDITIONS FOR THE RECOGNITION OF GUARANTEES

Articles 207 to 210 of regulation (EU) 2019/876 of May 20, 2019 amending regulation (EU) 575/2013 set out the conditions for the recognition of guarantees, in particular:

- the credit quality of the obligor and the value of the collateral shall not have a material positive correlation. Securities issued by the obligor shall not qualify as eligible collateral;
- the institution shall properly document the collateral arrangements and have in place clear and robust procedures for the timely liquidation of collateral;
- the institution shall have in place documented policies and practices concerning the types and amounts of collateral accepted;
- the institution shall calculate the market value of the collateral, and revalue it accordingly, whenever it has reason to believe that a significant decrease in the market value of the collateral has occurred.

The division of risks is a credit risk mitigation technique. In practice, individual or topical caps and limits are defined, thus reducing the bank's sensitivity to risks deemed excessive, either individually or industry-wide, in the event of a major incident.

Risk supervision activities may be implemented to reduce exposure to a given risk if it is deemed too high. They also contribute to effective division of risks.

DIVISION OF RISKS

The division of risks is a credit risk mitigation technique. It is reflected in the individual or topical limit systems and helps reduce each institution's sensitivity to risks considered either individually or sectorally to be too significant to carry in the event of major incidents.

Risk supervision activities may be implemented to reduce exposure to a given risk if it is deemed too high. They also contribute to effective division of risks.

GUARANTORS

The Banque Populaire network has historically used professionals and Mutual Guarantee Companies (such as SOCAMAs, which guarantee loans to craftsmen) to secure its loans, in addition to the real guarantees used.

For loans to individual customers, it also turns to CASDEN Banque Populaire (and primarily its Parnasse Garanties structure) to back loans to all civil servants, to Crédit Logement and increasingly to Compagnie Européenne de Garanties et de Cautions (CEGC, a subsidiary of BPCE SA).

For home loans, the Caisse d'Épargne network mainly calls on CEGC, FGAS (*Fonds de garantie à l'accession sociale à la propriété*) and, to a lesser extent, Crédit Logement (a financial institution and a subsidiary of most of the main French banking networks). These institutions specialize in the provision of guarantees for bank loans (predominantly home loans).

FGAS offers guarantees from the French government for secured loans. Loans covered by FGAS guarantees granted before December 31, 2006 are given a 0% risk weight, and loans covered by guarantees granted after that date have a risk weight of 15%.

Crédit Logement has a long-term rating in 2020 of Aa3 from Moody's, with a stable outlook.

For their home loans, the Banque Populaire and Caisse d'Épargne networks also use several mutual insurers, such as MGEN, Mutuelle de la Gendarmerie, etc.

For professional and corporate customers, the entire Group still uses Banque Publique d'Investissement, while calling on the European Investment Fund or European Investment Bank for guarantee packages in order to substantially reduce credit risk.

In some cases, organizations such as Auxiga are used for the seizure of inventory and the transfer of its ownership to the bank as collateral for commitments made in the event of financial hardships.

Finally, on an occasional basis, Natixis purchases credit insurance for certain transactions and in some circumstances, from private (SCOR) or public (Coface, Hermes, other sovereign agencies) reinsurance companies, while also making use of Credit Default Swaps (CDS).

In light of the Covid crisis, the French government allowed its guarantee to be used within the scope of the State-guaranteed loans granted. Groupe BPCE used this option.

Credit derivatives serving as currency or interest rate hedges are entrusted to approved clearing houses in Europe or the US for Natixis operations in this country.

CONCENTRATION OF COLLATERAL VOLUMES

By type of guarantor:	- for home loan exposures, most collateral takes the form of mortgages (risk diversified by definition, bank better protected by basing credit approval decisions on customer income), insurance-oriented guarantees such as those provided by CEGC (a subsidiary of Groupe BPCE, subject to regular stress testing), Crédit Logement (providing guarantees to multiple banks subject to the same constraints), FGAS (controlled by the French State, considered equivalent to sovereign risk). The CASDEN guarantee, issued to government employees, currently offers solid resilience according to a model based on the robust income of this particular customer base; - for professional customer exposures, the most common guarantees are those provided by the Banque Publique d'investissement (BPI), subject to strict formal constraints, and mortgages. Guarantees provided by institutions such as SOCAMAs, whose solvency depends on the credit institutions of Groupe BPCE, are also used; - for corporate customers, the main guarantees used are Banque Publique d'investissement mortgages and guarantees.
By credit derivative providers:	- the regulations require the use of clearing houses for interest rate risk on the new flow. This security does not, however, cover the counterparty default risk, which is a granular risk. Volumes of collateral provided by clearing houses are gradually on the rise, generating a regulated and supervised risk; - currency risk is hedged for each contract by setting up margin calls at a frequency appropriate to the risk in question: these transactions are secured by using specialist interbank counterparties, subject to individual limits authorized by the Group Credit and Counterparties Committee.
By business sector:	Groupe BPCE has established sector-specific mechanisms to guide the guarantee policy based on the business sector in question. Appropriate recommendations are issued to the institutions.
By geographic area:	Groupe BPCE is mainly exposed to France and, <i>via</i> Natixis, to other countries to a lesser extent. As a result, most guarantees are located in France.

VALUATION AND MANAGEMENT OF COLLATERAL COMPRISING REAL GUARANTEES

Groupe BPCE has an automatic valuation tool for real-estate guarantees available to all its networks.

Across the Banque Populaire network, in addition to real guarantees, the valuation tool also takes into account pledges of vehicles, equipment and tools, pleasure craft, and business assets.

The Caisse d'Epargne network uses the appraisal tool in all risk segments.

At Groupe BPCE, guarantees from Mutual Guarantee Companies recognized as providers of sureties considered equivalent to mortgages by the supervisory body are subject to a credit insurance valuation.

An enhanced Group valuation process was established to measure real estate guarantees above certain amounts. The certification obtained by BPCE Solutions immobilières (formerly Crédit Foncier Expertise), a subsidiary of BPCE since the decision was made to place CFF under run-off management, strengthens the Group's synergies.

Guarantees other than those referred to above are assessed and validated on the basis of a systematic valuation, either according to market value where the guarantees are quoted on liquid markets (*e.g.* listed securities), or based on expert opinion demonstrating the value of the guarantee used to hedge risks (*e.g.* the value of recent transactions on aircraft or ships according to their characteristics, the value of commodity holdings, the value of a pledge given on merchandise, or the value of a business based on its location, etc.).

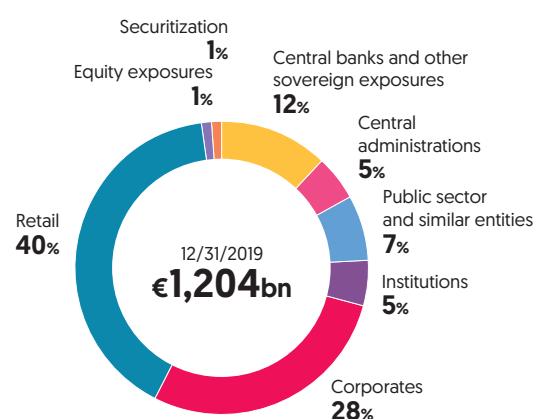
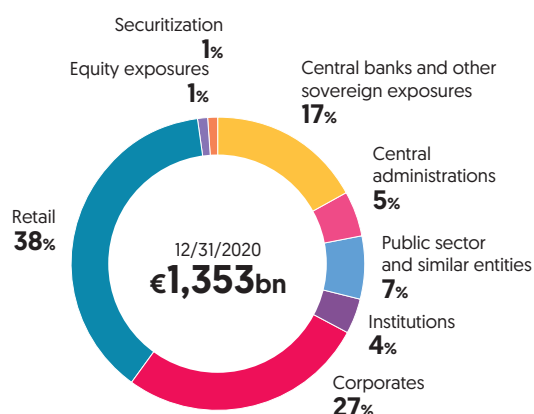
6.5.4 Quantitative disclosures

CREDIT RISK EXPOSURE

PORTFOLIO BREAKDOWN BY EXPOSURE CLASS (EXCLUDING OTHER ASSETS)

12/31/2020

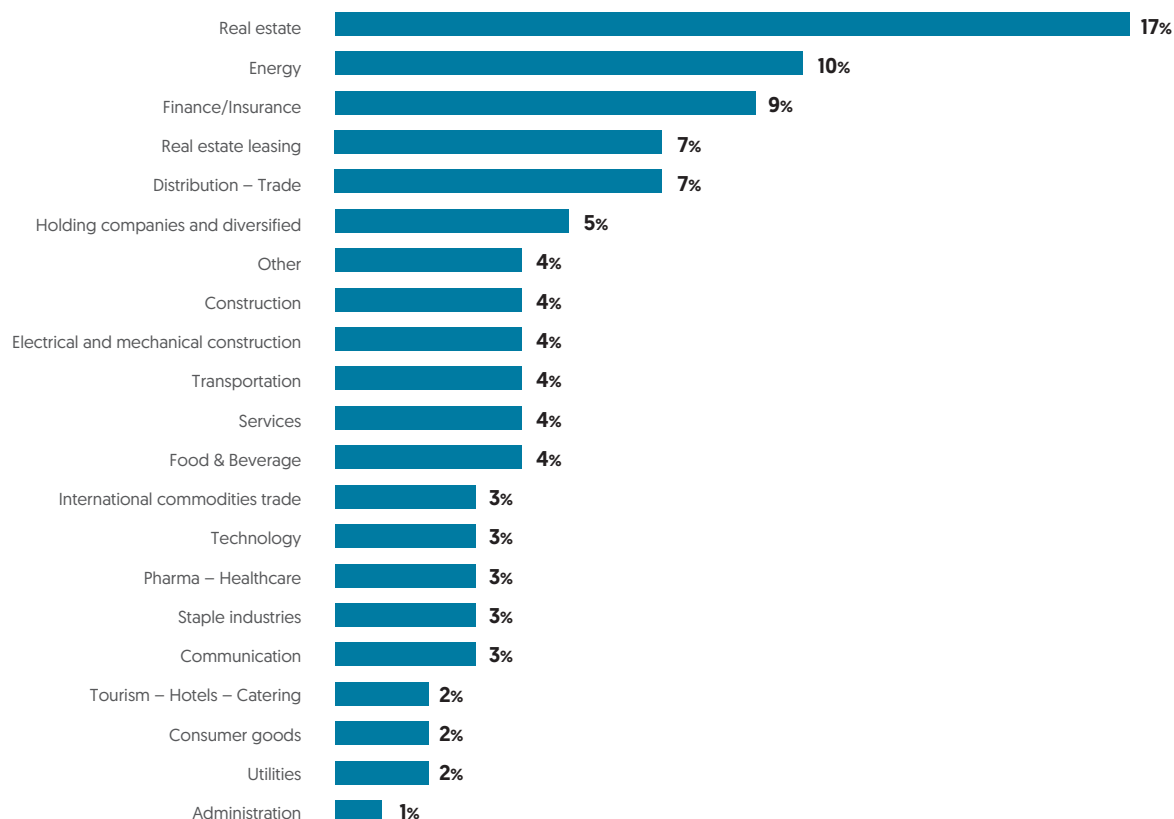
12/31/2019



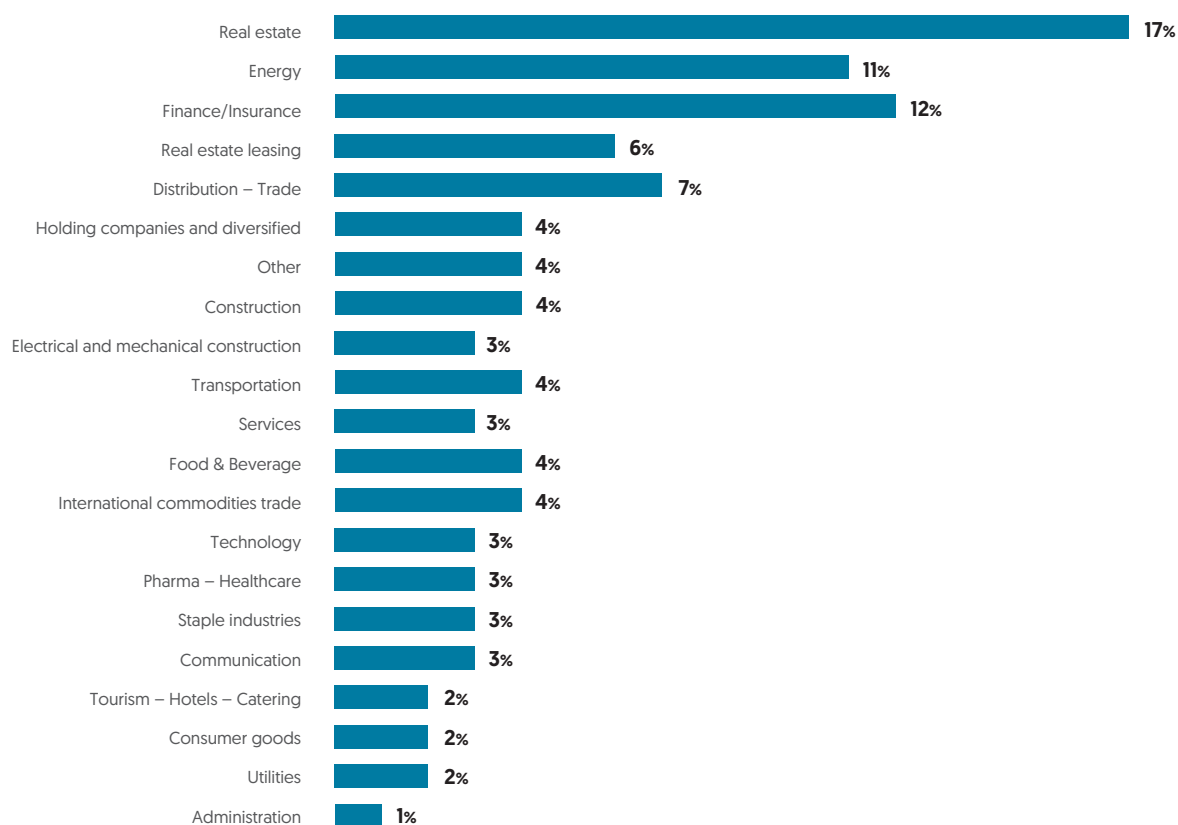
Groupe BPCE's total gross exposures amounted to more than €1,353 billion on December 31, 2020, up €149 billion.

BREAKDOWN OF GROSS EXPOSURES TO CORPORATE CUSTOMERS BY ECONOMIC SECTOR

12/31/2020



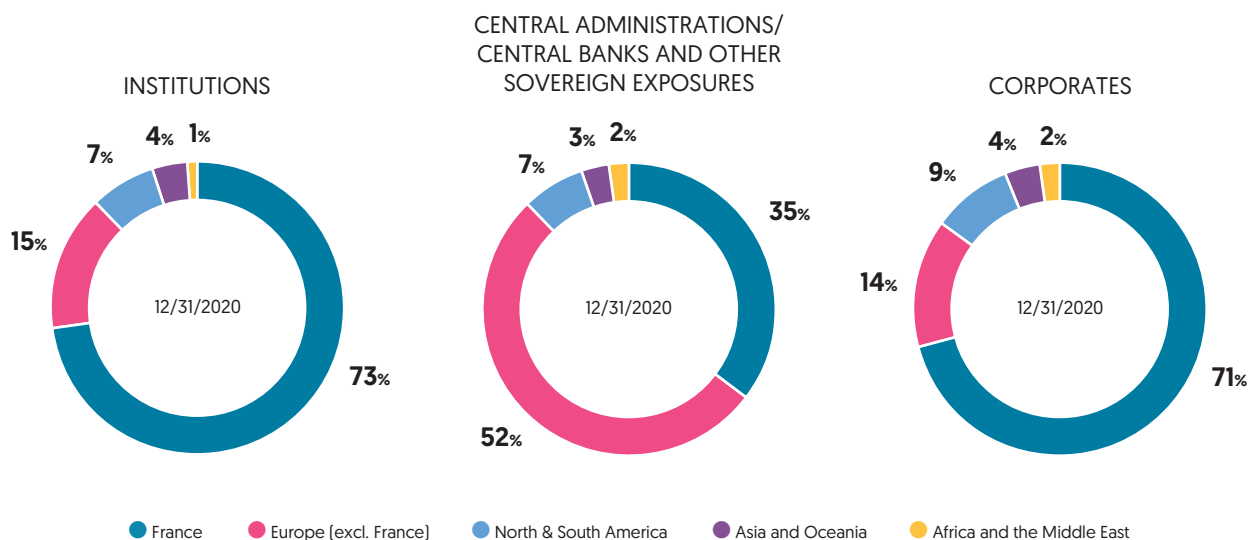
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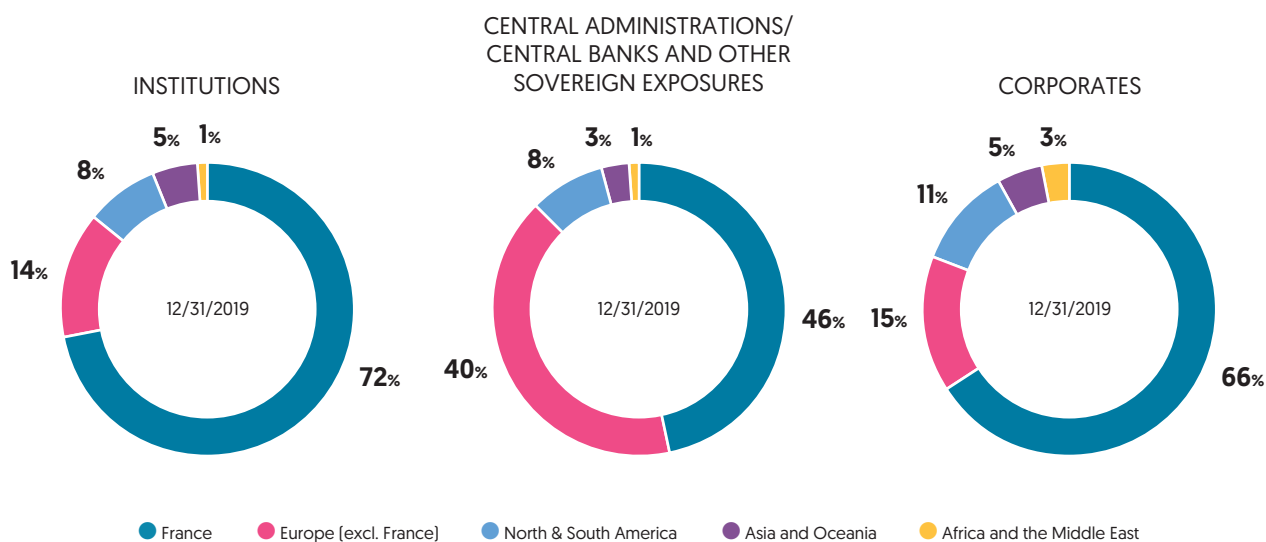
The top three sectors are real estate, finance/insurance and energy. Concentration of exposures in the three top sectors remains moderate.

GEOGRAPHIC BREAKDOWN OF GROSS EXPOSURES

12/31/2020



12/31/2019



Gross exposures are very predominantly located in Europe, especially in France, for all asset classes (66% of corporates).

CONCENTRATION

CONCENTRATION BY BORROWER

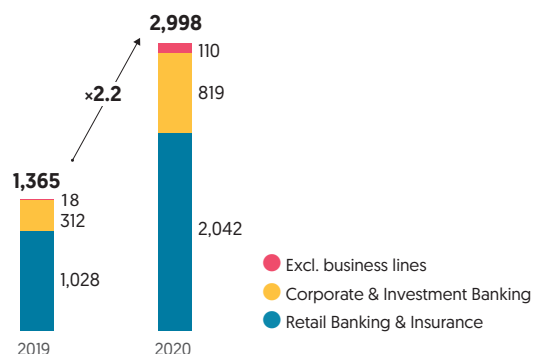
Concentration by borrower	12/31/2020		12/31/2019	
	Breakdown gross amount/Total large risk exposures ⁽¹⁾	Percentage of capital gross amount/Capital ⁽²⁾	Breakdown gross amount/Total large risk exposures ⁽¹⁾	Percentage of capital gross amount/Capital ⁽²⁾
No. 1 borrower	2.9%	6.2%	2.6%	6.0%
Top 10 borrowers	20.5%	43.6%	20.2%	45.9%
Top 50 borrowers	52.8%	112.2%	51.8%	117.8%
Top 100 borrowers	74.8%	159.1%	72.0%	163.7%

(1) Total large risks excluding Groupe BPCE sovereign exposures (€166.2 billion at 12/31/2020).

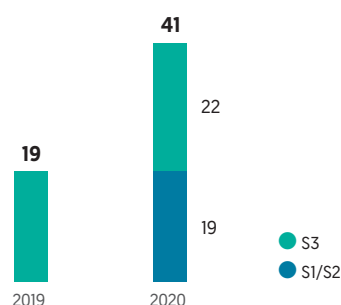
(2) Groupe BPCE regulatory capital (Corep CA4 row 11 at 12/31/2020): €78.2 billion.

The percentage of the Top 100 borrowers was slightly up in 2020 and did not show any particular concentration.

PROVISIONS AND IMPAIRMENTS

CHANGE IN GROUP COST OF RISK *(in millions of euros)*

Groupe BPCE's cost of risk amounted to €3 billion in 2020, more than double the figure for 2019. The increase in cost of risk is due to the downturn in the economic environment in 2020 and a prudent provisioning policy for performing loans to take into account the worsened economic outlook.

COST OF RISK IN BP⁽¹⁾ [GROUPE BPCE]

The cost of risk in relation to gross customer loan outstandings stood at an annual average of 41 bp (up 22 points compared to the 2019 average); around 45% relate to the provisioning of performing loans, classified in Stage 1 or Stage 2.

The ratio of non-performing loans to gross loan outstandings stood at 2.5% on December 31, 2020, slightly down compared to end-2019.

COVERAGE OF NON-PERFORMING LOANS

In millions of euros

	12/31/2020	12/31/2019
Gross loan outstandings – customers and banks	851.0	798.2
o/w S3 exposures	21.6	21.7
Non-performing/gross outstanding loans	2.5%	2.7%
Total S3 impairments	9.5	9.9
Impairments recognized/non-performing loans	43.9%	45.9%

[1] Excluding non-recurring items

NON-IMPAIRED LOANS SHOWING PAST DUE BALANCES

Assets with past due payments are performing exposures on which a payment incident has been recorded.

For example:

- a debt instrument is considered past due if the bond issuer is no longer making interest payments;
- a loan is considered past due if a payment or installment has been missed and recorded as such on the books;
- a current account overdraft carried in "Loans and advances" is considered past due if the overdraft period or authorized limit has been exceeded at the reporting date.

The amounts disclosed in the statement below do not include past due payments resulting from the time difference between the settlement date and the recognition date.

Past due loans and receivables (past due principal and accrued interest in the case of loans and total overdrawn balance in the case of current accounts) can be broken down by due date as follows:

QUALITY OF EXPOSURES BY MATURITY

in millions of euros	12/31/2020			12/31/2019		
	Gross carrying amount – Performing exposures			Gross carrying amount – Performing exposures		
	Total	Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days	TOTAL	Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days
Loans and advances	827,244	824,734	2,510	855,265	852,873	2,393
Central banks	12	12		77,435	77,435	
General governments	131,052	130,976	76	122,181	122,066	115
Banks	6,299	6,296	4	17,392	17,377	14
Other financial corporations	17,282	17,270	12	19,230	19,225	4
Non-financial corporations	281,863	280,457	1,406	250,929	249,032	1,897
o/w SMEs	129,941	129,280	661	105,921	105,347	574
Households	390,736	389,723	1,013	368,099	367,737	362
Debt securities	81,176	81,176		77,224	77,224	
Central banks	209	209		827	827	
General governments	51,576	51,576		47,174	47,174	
Banks	7,495	7,495		6,416	6,416	
Other financial corporations	11,720	11,720		12,524	12,524	
Non-financial corporations	10,177	10,177		10,282	10,282	
Off-balance sheet exposures	199,985	///	///	187,825	///	///
Central banks	5,331	///	///	260	///	///
General governments	11,157	///	///	9,483	///	///
Banks	5,144	///	///	4,993	///	///
Other financial corporations	22,531	///	///	21,721	///	///
Non-financial corporations	110,839	///	///	106,630	///	///
Households	44,983	///	///	44,738	///	///
TOTAL	1,108,406	905,910	2,510	1,120,314	930,096	2,393

As of December 31, 2020, loans and advances exclude deposits with central banks and other demand deposits.

RESTRUCTURED LOANS

ADJUSTMENTS DUE TO FINANCIAL HARDSHIPS

	12/31/2020			12/31/2019		
	Loans and receivables	Off-balance sheet commitments	Total	Loans and receivables	Off-balance sheet commitments	Total
<i>in millions of euros</i>						
Impaired restructured loans	6,306	17	6,323	6,161	15	6,176
Performing restructured loans	5,186	31	5,217	2,320	4	2,324
TOTAL RESTRUCTURED LOANS	11,492	48	11,540	8,481	19	8,500
Impairment	(2,189)	2	(2,187)	(1,849)	2	(1,847)
Collateral received	7,352	19	7,371	5,749	9	5,758

BREAKDOWN OF GROSS LOAN OUTSTANDINGS

	12/31/2020			12/31/2019		
	Loans and receivables	Off-balance sheet commitments	Total	Loans and receivables	Off-balance sheet commitments	Total
<i>in millions of euros</i>						
Restructuring: amendments to terms and conditions	7,945	34	7,979	4,816	15	4,831
Restructuring: refinancing	3,547	14	3,561	3,666	4	3,671
TOTAL RESTRUCTURED LOANS	11,492	48	11,540	8,481	19	8,500

COUNTERPARTIES BY GEOGRAPHIC AREA

	12/31/2020			12/31/2019		
	Loans and receivables	Off-balance sheet commitments	Total	Loans and receivables	Off-balance sheet commitments	Total
<i>in millions of euros</i>						
France	10,010	28	10,038	7,108	11	7,119
Other countries	1,482	20	1,502	1,373	8	1,381
TOTAL RESTRUCTURED LOANS	11,492	48	11,540	8,481	19	8,500

NON-PERFORMING AND FORBORNE EXPOSURES

CREDIT QUALITY OF FORBORNE EXPOSURES

12/31/2020								
in millions of euros	Gross carrying amount of performing and non-performing exposures				Accumulated impairment, or accumulated negative fair value adjustments due to credit risk, and provisions		Collateral received and financial guarantees received on forborne exposures	
	Non-performing forborne exposures				Performing forborne exposures	Non-performing forborne exposures		o/w collateral received and financial guarantees received on non-performing forborne exposures
	Performing forborne exposures	o/w defaulted		o/w impaired				
Loans and advances	5,186	6,230	6,230	6,224	(292)	(1,842)	7,353	3,547
Central banks		4	4	4		(4)		
General governments	31	17	17	17		(7)	3	1
Banks								
Other financial corporations		65	65	65		(40)	16	16
Non-financial corporations	2,100	3,106	3,106	3,100	(157)	(1,044)	2,943	1,467
Households	3,055	3,037	3,037	3,037	(134)	(748)	4,390	2,063
Debt securities		76	76	76		(55)		
Loan commitments given	31	17	17	17	1	2	18	11
TOTAL	5,218	6,323	6,323	6,317	(291)	(1,896)	7,371	3,558

12/31/2019								
in millions of euros	Gross carrying amount of performing and non-performing exposures				Accumulated impairment, or accumulated negative fair value adjustments due to credit risk, and provisions		Collateral received and financial guarantees received on forborne exposures	
	Non-performing forborne exposures				Performing forborne exposures	Non-performing forborne exposures		o/w collateral received and financial guarantees received on non-performing forborne exposures
	Performing forborne exposures	o/w defaulted		o/w impaired				
Loans and advances	2,320	6,098	6,098	6,084	(117)	(1,678)	5,749	
Central banks		4	4	4		(4)		
General governments	52	20	20	20		(5)	1	
Banks								
Other financial corporations		79	79	79		(42)	27	
Non-financial corporations	873	2,367	2,367	2,353	(45)	(870)	1,527	
Households	1,395	3,628	3,628	3,628	(71)	(758)	4,195	
Debt securities		63	63	63		(54)		
Loan commitments given	4	15	15	15		2	9	
TOTAL	2,324	6,176	6,176	6,162	(117)	(1,730)	5,758	

PERFORMING AND NON-PERFORMING EXPOSURES AND RELATED PROVISIONS

	12/31/2020													
	Gross carrying amount						Accumulated impairment, or accumulated negative fair value adjustments due to credit risk, and provisions						Collateral and financial guarantees received	
	Performing exposures			Non-performing exposures			Performing exposures – accumulated impairment and provisions			Non-performing exposures – accumulated impairment, or accumulated negative changes in fair value due to credit risk, and provisions			On performing exposures	On non-performing exposures
<i>in millions of euros</i>	Total	o/w: Stage 1	o/w: Stage 2	Total	o/w: Stage 2	o/w: Stage 3	Total	o/w: Stage 1	o/w: Stage 2	Total	o/w: Stage 2	o/w: Stage 3		
Loans and advances	827,244	760,756	63,308	21,614		21,593	(4,230)	(1,441)	(2,789)	(9,470)		(9,470)	479,131	9,424
Central banks	12		12	19		19				(19)		(19)		
General governments	131,052	124,149	5,064	159		144	(48)	(9)	(39)	(49)		(49)	2,896	28
Banks	6,299	5,974	258	16		16	(15)	(8)	(7)	(15)		(15)	407	
Other financial corporations	17,282	15,590	1,425	205		205	(30)	(12)	(18)	(95)		(95)	4,024	18
Non-financial corporations	281,863	240,954	39,901	13,033		13,027	(2,824)	(1,040)	(1,784)	(6,211)		(6,211)	146,918	4,767
o/w SMEs	129,941	115,639	14,264	5,391		5,391	(1,605)	(567)	(1,038)	(2,602)		(2,602)	83,903	2,458
Households	390,736	374,089	16,647	8,182		8,182	(1,312)	(372)	(940)	(3,081)		(3,081)	324,886	4,611
Debt securities	81,176	72,098	942	333		330	(28)	(21)	(7)	(240)		(239)	1,119	
Central banks	209	209												
General governments	51,576	50,145	186				(9)	(6)	(3)				180	
Banks	7,495	7,391	22										268	
Other financial corporations	11,720	5,534	691	102		101	(6)	(4)	(2)	(87)		(87)	54	
Non-financial corporations	10,177	8,819	44	231		229	(12)	(10)	(2)	(153)		(153)	617	
Off-balance sheet exposures	199,985	173,402	13,160	1,689	6	1,683	501	257	243	351	1	351	44,544	429
Central banks	5,331	182												
General governments	11,157	9,326	516				4	1	3				332	
Banks	5,144	3,160	377	34		34	16	7	9	18		18	6	
Other financial corporations	22,531	20,223	1,521	25		25	39	11	27	1		1	7,842	
Non-financial corporations	110,839	96,110	10,188	1,569	6	1,563	394	204	190	326	1	326	21,472	411
Households	44,983	44,402	557	61		61	49	34	15	6		6	14,892	18
TOTAL	1,108,406	1,006,256	77,410	23,636	6	23,605	(3,757)	(1,204)	(2,552)	(9,358)	1	(9,358)	524,794	9,854

As of December 31, 2020, loans and advances exclude deposits with central banks and other demand deposits.

12/31/2019

	Gross carrying amount		Accumulated impairment, or accumulated negative fair value adjustments due to credit risk, and provisions		Collateral and financial guarantees received
<i>in millions of euros</i>	Performing exposures	Non-performing exposures	Performing exposures – accumulated impairment and provisions	Non-performing exposures – accumulated impairment, or accumulated negative changes in fair value due to credit risk, and provisions	On non-performing exposures
Loans and advances	855,265	23,554	(2,923)	(10,041)	11,851
Central banks	77,435	19	(3)	(17)	
General governments	122,181	197	(45)	(51)	38
Banks	17,392	60	(4)	(36)	
Other financial corporations	19,230	122	(14)	(82)	28
Non-financial corporations	250,929	12,802	(1,780)	(6,454)	4,833
o/w SMEs	105,921	6,028	(1,099)	(2,905)	3,012
Households	368,099	10,355	(1,076)	(3,402)	6,953
Debt securities	77,224	295	(21)	(247)	
Central banks	827				
General governments	47,174	2	(5)	(2)	
Banks	6,416				
Other financial corporations	12,524	108	(8)	(89)	
Non-financial corporations	10,282	185	(7)	(156)	
Off-balance sheet exposures	187,825	1,678	398	335	78
Central banks	260				
General governments	9,483	2	2		
Banks	4,993	50	8		
Other financial corporations	21,721	12	5	1	
Non-financial corporations	106,630	1,518	301	280	78
Households	44,738	96	82	54	
TOTAL	1,120,314	25,527	(2,546)	(9,953)	11,930

QUALITY OF NON-PERFORMING EXPOSURES BY MATURITY

	12/31/2020								
	Gross carrying amount – Non-performing exposures								
		Unlikely to pay that are not past due or are past due ≤ 90 days	Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 1 years ≤ 2 years	Past due > 2 years ≤ 5 years	Past due > 5 years ≤ 7 years	Past due > 7 years	o/w defaulted
<i>in millions of euros</i>	Total								
Loans and advances	21,614	17,157	831	962	1,017	921	319	408	21,614
Central banks	19	1			4			13	19
General governments	159	97	1	4	2	29		26	159
Banks	16	11				4			16
Other financial corporations	205	173			1	2		30	205
Non-financial corporations	13,033	10,897	303	465	510	423	201	235	13,033
o/w SMEs	5,391	4,579	144	156	189	155	50	119	5,391
Households	8,182	5,978	527	492	500	463	118	103	8,182
Debt securities	333	332							333
Central banks									
General governments									
Banks									
Other financial corporations	102	102							102
Non-financial corporations	231	231							231
Off-balance sheet exposures	1,689	///	///	///	///	///	///	///	1,683
Central banks		///	///	///	///	///	///	///	
General governments		///	///	///	///	///	///	///	
Banks	34	///	///	///	///	///	///	///	34
Other financial corporations	25	///	///	///	///	///	///	///	25
Non-financial corporations	1,569	///	///	///	///	///	///	///	1,563
Households	61	///	///	///	///	///	///	///	61
TOTAL	23,636	17,489	831	962	1,017	921	319	408	23,630

12/31/2019

Gross carrying amount – Non-performing exposures

	Total	Unlikely to pay that are not past due or are past due ≤ 90 days	Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 2 years ≤ 5 years	Past due > 5 years ≤ 7 years	o/w defaulted
Loans and advances	23,554	17,858	1,000	1,157	2,804	736	21,943
Central banks	19	5				13	19
General governments	197	110	6	16	40	26	185
Banks	60	54			5		34
Other financial corporations	122	82		2	8	30	122
Non-financial corporations	12,802	10,232	297	451	1,369	453	12,390
o/w SMEs	6,028	5,137	193	182	311	205	5,543
Households	10,355	7,374	697	688	1,383	213	9,194
Debt securities	295	293	1		1		292
Central banks							
General governments	2	2					
Banks							
Other financial corporations	108	108					108
Non-financial corporations	185	183	1		1		184
Off-balance sheet exposures	1,678	///	///	///	///	///	1,468
Central banks		///	///	///	///	///	
General governments	2	///	///	///	///	///	2
Banks	50	///	///	///	///	///	1
Other financial corporations	12	///	///	///	///	///	11
Non-financial corporations	1,518	///	///	///	///	///	1,387
Households	96	///	///	///	///	///	69
TOTAL	25,527	18,151	1,001	1,157	2,805	736	23,704

CHANGES IN THE STOCK OF GENERAL AND SPECIFIC CREDIT RISK ADJUSTMENTS

	12/31/2020		12/31/2019	
	Accumulated specific credit risk adjustment	Accumulated general credit risk adjustment ⁽²⁾	Accumulated specific credit risk adjustment	Accumulated general credit risk adjustment ⁽²⁾
<i>in millions of euros</i>				
Opening balance	13,232		13,003	
Increases due to amounts set aside for estimated loan losses during the period	658		419	
Decreases due to amounts reversed for estimated loan losses during the period	(565)		(1,737)	
Decreases due to amounts taken against accumulated credit risk adjustments	(1,731)		(1,261)	
Transfers between credit risk adjustments	1,232		1,803	
Impact of exchange rate differences	15		(9)	
Business combinations, including acquisitions and disposals of subsidiaries	75		(365)	
Other adjustments	1,051		1,379	
Closing balance⁽¹⁾	13,967		13,232	
Recoveries on credit risk adjustments recorded directly to the statement of profit or loss	(32)		(72)	
Specific credit risk adjustments directly recorded to the statement of profit or loss	121		139	

(1) The differences in the total amount of provisions between the above table and tables CRB-B (asset credit quality by exposure class) and CRB-C (asset credit quality by industry) are mainly due to differences in scope. Not included in this table are impairments on equity and provisions for guarantees given.

(2) The general credit risk adjustment (GCRA) category cannot be used under current IFRS.

6.6 Counterparty risk

6.6.1 Counterparty risk management

Information provided in the respect of IFRS 7.

Counterparty risk is the credit risk generated on market, investment and/or settlement transactions. It is the risk of the counterparty not being able to meet its obligations to Group institutions.

It is also related to the cost of replacing a derivative instrument if the counterparty defaults, and is similar to market risk given default.

Counterparty risk also arises on cash management and market activities conducted with customers, and on clearing activities via a clearing house or external clearing agent.

Exposure to counterparty risk is measured using the internal ratings-based approach and standardized approach. BPCE manages counterparty risk daily using a standardized approach, given the nature of vanilla transactions.

MEASURING COUNTERPARTY RISK

Information provided in the respect of IFRS 7.

In economic terms, Groupe BPCE and its subsidiaries measure counterparty risk for derivative instruments (swaps or structured products, for instance) using the IRB method for Natixis, or the mark-to-market method for other institutions. In order to perfect the economic measurement of the current and potential risk inherent in derivatives, a tracking mechanism based on a

standardized economic measurement is currently being instituted throughout Groupe BPCE.

Natixis uses an internal model to measure and manage its own counterparty risk. Using Monte Carlo simulations for the main risk factors, this model measures the positions on each counterparty and for the entire lifespan of the exposure, taking netting and collateralization criteria into account.

The model thus determines the EPE (Expected Positive Exposure) profile and the PFE (Potential Future Exposure) profile, the latter being the main indicator used by Natixis for assessing counterparty risk exposure. This indicator is calculated as the 97.7% percentile of the distribution of exposures for each counterparty.

With respect to the Group's other entities, the counterparty risk base for market transactions is calculated using a mark-to-market approach.

COUNTERPARTY RISK MITIGATION TECHNIQUES

Information provided in the respect of IFRS 7.

Counterparty risk is subject to groupwide caps and limits, which are validated by the Group Credit and Counterparty Committee.

Use of clearing houses and futures contracts (daily margin calls under ISDA agreements, for example) govern relations with the main customers (mainly Natixis). Accordingly, the Group has implemented EMIR requirements.

The principles of counterparty risk management are based on:

- a risk measurement determined according to the type of instrument in question, the term of the transactions, and whether or not any netting and collateralization agreements are in place;
- counterparty risk limits and allocation procedures;
- a value adjustment in respect of counterparty risk: the CVA (Credit Value Adjustment) represents the market value of a counterparty's default risk (see CVA section below);
- incorporation of wrong-way risk: wrong-way risk refers to the risk that a given counterparty exposure is heavily correlated with the counterparty's probability of default.

From a regulatory standpoint, counterparty risk is represented by:

- specific wrong-way risk, *i.e.* the risk generated when, due to the nature of the transactions entered into with a counterparty, there is a direct link between its credit quality and the amount of the exposure;
- general wrong-way risk, *i.e.* the risk generated when there is a correlation between the counterparty's credit quality and general market factors.

Natixis complies with Article 291.6 of the European regulation of June 26, 2013, including the obligation to report wrong-way risk (WWR). The article states that "institutions shall provide senior management and the appropriate committee of the management body with regular reports on both Specific and General Wrong-Way risks and the steps being taken to manage those risks." The goal is to enable the bank to better understand the exposure to counterparty credit risk and thus improve the management of such exposure.

Specific wrong-way risk is subject to a specific capital requirement (Article 291.5 of the European regulation of June 26, 2013 on prudential requirements for credit institutions

and investment firms), while general wrong-way risk is assessed using the WWR stress scenarios defined for each asset class.

In the event the Bank's external credit rating is downgraded, it may be required to provide additional cash or collateral to investors under agreements that include rating triggers. In particular, in calculating the liquidity coverage ratio (LCR), the amounts of these additional cash outflows and additional collateral requirements are measured. These amounts comprise the payment the bank would have to make within 30 calendar days in the event its credit rating were downgraded by as much as three notches.

CVA

The valuation of financial instruments traded over-the-counter by Groupe BPCE with external counterparties in its capital markets businesses (mainly Natixis) and ALM activities include credit valuation adjustments. The CVA is an adjustment to the valuation of the trading book aimed at factoring in counterparty credit risks. It thus reflects the expectation of loss in fair value

terms on the existing exposure to a counterparty due to the potential positive value of the contract, the counterparty's probability of default and the estimated collection rate.

The level of the CVA varies according to changes in exposure to existing counterparty risk and in the counterparty's credit rating, which may trigger changes in the CDS spread used to determine probability of default.

6.6.2 Quantitative disclosures

BREAKDOWN OF GROSS COUNTERPARTY RISK EXPOSURES BY ASSET CLASS (EXCLUDING OTHER ASSETS) AND METHOD

in millions of euros	12/31/2020							12/31/2019		
	Standardized			IRB			Total	Total		
	Exposure	EAD	RWA	Exposure	EAD	RWA	Exposure	Exposure	EAD	RWA
Central banks and other sovereign exposures	-	-	-	1,874	1,874	118	1,874	1,006	1,006	76
Central governments	75	75	-	6,799	6,763	117	6,874	2,791	2,756	28
Public sector and similar entities	1,596	1,485	332	95	95	7	1,691	1,297	1,292	358
Institutions	14,195	12,890	588	16,387	16,387	3,230	30,582	33,630	32,424	3,728
Corporates	1,045	1,046	862	18,442	18,442	6,313	19,488	20,220	20,217	5,856
Retail	4	4	3	3	3	2	7	5	5	4
Equity exposures	-	-	-	-	-	-	-	-	-	-
Securitization	248	248	40	1,472	1,472	302	1,720	1,733	1,726	287
TOTAL	17,163	15,748	1,825	45,071	45,036	10,089	62,234	60,682	59,426	10,336

BREAKDOWN BY EXPOSURE CLASS OF RISK-WEIGHTED ASSETS FOR THE CREDIT VALUATION ADJUSTMENT (CVA)

in millions of euros	12/31/2020	12/31/2019
Central banks and other sovereign exposures	-	-
Central governments	77	-
Public sector and similar entities	-	-
Institutions	1,505	1,310
Corporates	388	340
Retail	-	-
Equity exposures	-	-
Securitization	-	-
Other assets	-	-
TOTAL	1,969	1,650

COUNTERPARTY RISK RELATED TO DERIVATIVE AND REPURCHASE AGREEMENT EXPOSURES

<i>in millions of euros</i>	12/31/2020			12/31/2019		
	Standardized	IRB	Total	Standardized	IRB	Total
Derivatives						
Central banks and other sovereign exposures	-	278	278	-	222	222
Central governments	75	2,680	2,755	43	1,155	1,198
Public sector and similar entities	1,584	95	1,679	1,153	134	1,287
Institutions	10,691	6,673	17,364	13,920	6,340	20,260
Corporates	680	9,677	10,356	626	9,032	9,658
Retail	4	3	7	3	2	5
Securitization	248	1,472	1,720	88	1,645	1,733
TOTAL	13,282	20,878	34,159	15,833	18,530	34,363
Repurchase agreements						
Central banks and other sovereign exposures	-	1,596	1,596	-	784	784
Central governments	-	4,118	4,118	195	1,398	1,593
Public sector and similar entities	12	-	12	10	-	10
Institutions	3,504	9,713	13,218	4,220	9,150	13,370
Corporates	366	8,766	9,131	254	10,308	10,562
Retail	-	-	-	-	-	-
Securitization	-	-	-	-	-	-
TOTAL	3,882	24,193	28,075	4,679	21,640	26,319

6.7 Securitization transactions

6.7.1 Regulatory framework and accounting methods

REGULATORY FRAMEWORK

Two European regulations aimed at facilitating the development of the securitization market, preventing risks and ensuring the stability of the financial system, were published in the Official Journal of the European Union on December 28, 2017. The objective of both regulations is to govern securitization transactions in the European Union.

REGULATION (EU) NO. 2017/2402

Sets a general framework for securitization (the previous rules were spread out in three different directives and two regulations). Establishes appropriate due diligence, risk retention and transparency requirements for parties to securitization transactions, sets loan approval criteria, lays down requirements for selling securitizations to retail clients, and prohibits resecuritization.

Also establishes a specific framework for STS (simple, transparent and standardized) securitization, by defining the criteria for transactions to meet in order to qualify as securitizations and the obligations arising from such qualification, such as the obligation to notify ESMA of securitization programs.

REGULATION (EU) NO. 2017/2401

Amends the provisions of regulation (EU) No. 575/2013 pertaining to securitization, including in particular the prudential requirements applicable to credit institutions and investment firms acting as originators, sponsors or investors in securitization transactions. Deals in particular with:

- STS securitizations, and the method for calculating the associated risk-weighted exposure amounts;
- the hierarchy of methods for calculating RWAs and determining the related parameters;
- external credit assessments (performed by external rating agencies).

REGULATORY CAPITAL REQUIREMENTS

Hierarchy of methods: securitization capital requirements are calculated in accordance with a hierarchy of methods applied in the order of priority set by the European Commission:

- SEC-IRBA (Securitization Internal Ratings Based Approach): uses the bank's internal rating models, which shall have been approved beforehand by the supervisor. SEC-IRBA calculates regulatory capital requirements in relation to underlying exposures as if these had not been securitized, and then applies certain pre-defined inputs;
- SEC-SA (Securitization Standardized Approach): this method is the last chance to use a formula defined by the supervisor, using as an input the capital requirements that would be calculated under the current Standardized Approach

(calculates regulatory capital requirements in relation to underlying exposures – based on their class – and then applies the ratio of defaulted underlying exposures to the total amount of underlying exposures);

- SEC-ERBA (Securitization External Ratings Based Approach): based on the credit ratings of securitization tranches determined by external rating agencies.

If none of these three methods is applicable (SEC-IRBA, SEC-ERBA, SEC-SA), then the risk weight applied to the securitization is 1250%.

Note:

- introduction of new risk inputs: maturity and thickness of the tranche;
- higher risk weight floor: 15% (*versus* 7% previously);
- preferential regulatory treatment for STS securitization exposures:
 - risk weight floor lowered to 10% (*versus* 15%),
 - SEC-ERBA: STS differentiated risk weight table.

The European regulation defining the new general framework for securitization and creating a clear set of criteria for Simple, Transparent and Standardized (STS) securitizations, as well as the related amendments to the CRR, were published in the Official Journal of the European Union on December 28, 2017, with an effective date of January 2019. However, the methods used to determine capital requirements in force in 2018 will continue to apply to pre-January 1, 2019 issues throughout 2019. They will apply to all issues as from January 1, 2020.

ACCOUNTING METHODS

Securitization transactions in which Groupe BPCE is an investor (*i.e.* the Group invests directly in some securitization positions, provides liquidity, and is a counterparty for derivatives exposures or guarantees) are recognized in accordance with the Group's accounting principles, as referred to in the notes to the consolidated financial statements.

Securitization positions are predominantly recorded under "Securities at amortized cost" and "Financial assets at fair value through other comprehensive income."

Securitization positions classified as "Securities at amortized cost" are measured after their initial recognition at amortized cost based on the effective interest rate. Any position booked to "Securities at amortized cost" is impaired under "Cost of credit risk" in respect of Stage 1 or Stage 2 expected credit losses following a significant increase in credit risk.

Where a position booked to "Securities at amortized cost" is transferred to Stage 3 (defaulted exposures), the impairment is recorded under "Cost of credit risk" (Note 7.1.2 to the financial statements – "Change in gross carrying amounts and expected credit losses on financial assets and commitments").

If a position is sold, the Group recognizes capital gains or losses on disposal in profit or loss under "Net gains or losses resulting from derecognition of financial assets at amortized cost," unless the debt is in default: in such case, it is booked to "Cost of credit risk."

Securitization positions classified as "Financial assets at fair value through other comprehensive income" are remeasured at their fair value at the closing date.

Interest income accrued or received on debt instruments is recognized in income based on the effective interest rate under "Interest and similar income" in net banking income (NBI), while changes in fair value (excluding revenues) are recorded on a separate line in other comprehensive income under "Gains and losses recognized directly in other comprehensive income." They are impaired in respect of Stage 1, 2 or 3 expected credit losses, in accordance with the same methodology used for positions classified as "Securities at amortized cost." This impairment is recorded on the liabilities side of the balance sheet under other comprehensive income recyclable to profit or loss, with a corresponding entry to "Cost of credit risk" in the income statement (Note 7.1.2 to the financial statements – "Change in gross carrying amounts and expected credit losses on financial assets and commitments").

If the position is sold, the Group recognizes the capital gains or losses on disposal in profit or loss under "Net gains or losses on financial instruments at fair value through other comprehensive income" unless the position is in Stage 3. In such case, the loss is recognized in "Cost of credit risk."

Securitization positions classified as "Financial assets at fair value through profit or loss" are measured at fair value, at both the initial recognition date and the reporting date. Changes in fair value over the period, interest, and gains or losses on disposals related to securitization positions are recognized in "Net gains or losses on financial instruments at fair value through profit or loss."

Synthetic securitizations such as Credit Default Swaps are subject to accounting recognition rules specific to trading derivatives (Note 5.2 to the financial statements – "Financial assets and liabilities at fair value through profit or loss").

In accordance with IFRS 9, securitized assets are derecognized when Groupe BPCE has transferred substantially all of the risks and rewards of ownership of the asset.

If the Group transfers the cash flows of a financial asset but neither transfers nor retains substantially all the risks and rewards of ownership of the financial asset, and has not retained control of the financial asset, the Group derecognizes the financial asset and then recognizes separately, if necessary, as assets or liabilities any rights and obligations created or retained in the transfer. If the Group retains control of the financial asset, it continues to recognize the financial asset to the extent of its continuing involvement in the financial asset.

When a financial asset at amortized cost or at fair value through other comprehensive income is fully derecognized, a gain or loss on disposal is recorded in the income statement. The

amount is equal to the difference between the carrying amount of the asset and the value of the consideration received, corrected for impairment, and where applicable for any unrealized profit or loss previously recognized directly in other comprehensive income.

Given the relatively low value of the assets in question and relative infrequency of securitization transactions, assets pending securitization continue to be recognized in their original portfolio. Specifically, they continue to be recognized under "Loans and receivables due from customers at amortized cost" when that is their original classification. For synthetic securitization transactions, assets are not derecognized as long as the institution retains control over them. The assets continue to be recognized in accordance with their original classification and valuation method. Consolidation or non-consolidation of securitization vehicles is analyzed in accordance with IFRS 10 based on the institution's ties with the vehicle. These principles are reiterated in Note 3.2.1 to the financial statements – "Entities controlled by the Group."

TERMINOLOGY

Traditional securitization: the economic transfer to investors of financial assets such as loans or receivables, transforming these loans into financial securities issued on the capital market via SSPEs (securitization special purpose entities).

Synthetic securitization: in a synthetic transaction, ownership of the asset is not transferred but the risk is transferred through a financial instrument, *i.e.* the credit derivative.

Resecuritization: a securitization in which the credit risk associated with a portfolio of underlying assets is divided into tranches and for which at least one of the underlying asset exposures is a securitization position.

Tranche: a contractually established segment of the credit risk associated with an exposure or number of exposures.

Securitization position: an exposure to a securitization.

Liquidity facility: the securitization position arising from a contractual agreement to provide funding to ensure timeliness of cash flows to investors.

Originator: either an entity which, on its own or through affiliates, was directly or indirectly involved in the original agreement which created the obligations (or contingent obligations) of the obligor, giving rise to the securitization transaction or arrangement; or an entity that purchases a third party's on-balance sheet exposures and then securitizes them.

Sponsor: an institution other than an originator institution that establishes and manages an asset-backed commercial paper program or other securitization scheme that purchases exposures from third-party entities.

Investor: the Group's position when it holds securitization positions in which it has invested, but in which it does not act as originator or sponsor. These are mainly tranches acquired in programs initiated or managed by external banks.

6.7.2 Securitization management at Groupe BPCE

Banking book EAD (final securitization) amounted to €18.0 billion on December 31, 2020 (up €2.8 billion year-on-year).

The positions were mainly carried by Natixis (€13.8 billion), BPCE SA (€2.5 billion, positions arising from the transfer of a portfolio of home loan and public asset securitizations from Crédit Foncier in September 2014) and BRED (€1.6 billion).

The EAD increase can primarily be attributed to:

- the business lines comprising Natixis' roll-out plan (+€3.1 billion), and particularly sponsoring (+€2.4 billion), investment (+€1 billion) and origination (-€0.3 billion);
- the decrease in exposures comprising BPCE SA group's workout portfolio (-€397 million);
- the workout portfolio exposures of the Corporate & Investment Banking division (formerly GAPC – workout portfolio management, i.e. -€111 million) and BPCE are managed under a run-off method, whereby positions are gradually amortized but still managed (including disposals) in order to safeguard the Group's interests by actively reducing positions under acceptable pricing conditions.
- note:
 - Crédit Foncier's securitization positions, which boast solid credit quality, were sold to BPCE at their balance sheet value, with no impact on the Group's consolidated financial statements (over 90% of the securitization portfolio was transferred to BPCE on September 25, 2014). These exposures are recognized in loans and receivables ("L&R") and do not present a significant risk of loss on completion, as confirmed by the external audit carried out at the time of the transfer. This audit confirmed the robustness of the quarterly internal stress test carried out and the credit quality of the securitization portfolio, consisting predominantly of European Investment Grade RMBS,
 - residual Natixis workout portfolio positions, transferred at end-June 2014 to the Corporate & Investment Banking division, are managed on a run-off basis,

- BRED also holds investments in securitization vehicles outside Groupe BPCE in the form of debt securities amounting to €1.6 billion (+€216 million), mostly in the Consolidated Management of Investments (GCI) business line. This portfolio's investment objective is to generate recurring income or unrealized capital. NJR is a GCI subsidiary that invests mainly in securitized assets eligible for Central Bank refinancing and in real estate.

The various relevant portfolios are specially monitored by the entities and subsidiaries, and by the central institution. Depending on the scope involved, special management or steering committees regularly review the main positions and management strategies.

The central institution's Risk division regularly reviews securitization exposures (quarterly mapping), changes in portfolio structure, risk-weighted assets and potential losses. Regular assessments of potential losses are discussed by the Umbrella Committee, as are disposal opportunities.

At the same time, special purpose surveys are conducted by the teams on potential losses and changes in risk-weighted assets through internal stress scenarios (risk-weighted assets and loss on completion).

Risk-weighted assets are monitored according to changes in ratings and impacts associated with methodology adjustments made by the rating agencies. In addition, performance is also monitored with the aim of anticipating rating changes and credit risk. RWA is calculated on the basis of ratings issued by authorized agencies, which rate the transactions in which the Group invests.

Finally, the Risk division controls risks associated with at-risk securitization positions by identifying ratings downgrades and monitoring changes in exposures (valuation, detailed analysis). Major exposures are systematically submitted to the Group Watchlist and Provisions Committee, which meets quarterly to determine the appropriate level of provisioning.

6.7.3 Quantitative disclosures

BREAKDOWN OF EXPOSURES AND RISK-WEIGHTED ASSETS

BREAKDOWN OF EXPOSURES BY TYPE OF SECURITIZATION

	12/31/2020		12/31/2019	
	Exposures	EAD	Exposures	EAD
<i>in millions of euros</i>				
Banking book	19,390	18,038	16,800	15,274
Traditional securitization	16,797	15,666	13,958	12,594
Synthetic securitization	2,593	2,372	2,842	2,680
Trading book	695	695	931	931
TOTAL	20,085	18,734	17,731	16,205

BREAKDOWN OF EAD AND RWA BY TYPE OF PORTFOLIO

	12/31/2020		12/31/2019		Change	
	EAD	RWAs	EAD	RWAs	EAD	RWAs
<i>in millions of euros</i>						
Banking book	18,038	4,880	15,274	4,526	2,764	354
Investor	6,501	2,232	5,763	2,277	738	(45)
Originator	2,771	1,265	3,101	1,132	(330)	133
Sponsor	8,766	1,382	6,410	1,117	2,356	265
Trading book	695	187	931	280	(236)	(93)
Investor	695	187	931	280	(236)	(93)
Sponsor	-	-	-	-	-	-
TOTAL	18,734	5,067	16,205	4,806	2,529	261

BREAKDOWN BY RATING

BREAKDOWN OF INVESTOR SECURITIZATION EXPOSURES IN THE BANKING BOOK BY RATING

	12/31/2020		12/31/2019	
	Standard & Poor's equivalent rating	Banking book	Standard & Poor's equivalent rating	Banking book
<i>as a %</i>				
Investment grade	AAA	39%	AAA	47%
	AA+	8%	AA+	4%
	AA	11%	AA	9%
	AA-	3%	AA-	9%
	A+	10%	A+	8%
	A	4%	A	3%
	A-	0%	A-	4%
	BBB+	7%	BBB+	9%
	BBB	1%	BBB	0%
	BBB-	0%	BBB-	0%
	BB+	0%	BB+	0%
	BB	0%	BB	0%
	BB-	0%	BB-	0%
	B+	0%	B+	0%
	B	0%	B	0%
	B-	0%	B-	0%
	CCC+	0%	CCC+	0%
	CCC	0%	CCC	0%
	CCC-	0%	CCC-	0%
Non-investment grade	CC	0%	CC	0%
	C	0%	C	0%
Not rated	Not rated	17%	Not rated	6%
Default	D	0%	D	0%
TOTAL		100%		100%

BREAKDOWN OF INVESTOR AND SPONSOR SECURITIZATION EXPOSURES IN THE TRADING BOOK BY RATING

as a %	12/31/2020		12/31/2019	
	Standard & Poor's equivalent rating	Banking book	Standard & Poor's equivalent rating	Banking book
Investment grade	AAA	77%	AAA	71%
	AA+	2%	AA+	5%
	AA	4%	AA	11%
	AA-	1%	AA-	6%
	A+	2%	A+	1%
	A	1%	A	3%
	A-	0%	A-	0%
	BBB+	0%	BBB+	0%
	BBB	0%	BBB	1%
	BBB-	0%	BBB-	0%
	BB+	0%	BB+	0%
	BB	1%	BB	1%
	BB-	0%	BB-	0%
	B+	0%	B+	0%
	B	0%	B	0%
	B-	0%	B-	0%
	CCC+	0%	CCC+	0%
	CCC	0%	CCC	0%
	CCC-	0%	CCC-	0%
	CC	0%	CC	0%
Non-investment grade	C	0%	C	0%
Not rated	Not rated	11%	Not rated	0%
Default	D	0%	D	0%
TOTAL		100%		100%

6.8 Market risks

6.8.1 Market risk policy

Risk policies governing market transactions are defined by the Risk divisions of institutions with trading activities. These policies are based on a qualitative and forward-looking perspective.

For banking book activities, investment policies at Group level are defined and reviewed centrally for Group institutions with market risk activities. The risk management framework related to this activity is defined in accordance with investment policies and is reviewed annually.

6.8.2 Market risk management

The Risk division works in the areas of risk measurement, definition and oversight of limits, and supervision of market risks. It is tasked with the following duties:

Risk measurement:

- establishing the principles of market risk measurement, which are then validated by the various appropriate Risk Committees;
- implementing the tools needed to measure risk on a consolidated basis;
- producing risk measurements, including those corresponding to operational market limits, or ensuring that they are produced as part of the risk management process;
- determining policies for adjusting values or delegating them to the Risk divisions of the relevant institutions and centralizing the information;
- performing Level 2 validation of operating results and cash valuation methods.

Definition and oversight of limits:

- examining the limit framework and setting limits (global caps and, where necessary, operational limits) adopted by the various appropriate Risk Committees, as part of the comprehensive risk management process;
- examining the list of authorized products for the relevant institutions and the conditions to be observed, and submitting them for approval to the appropriate Market Risk Committee;
- examining requests for investments in financial products, or in new capital market products or activities, by the relevant banking institutions;
- harmonizing processes used to manage trading book allocations and medium- to long-term portfolios of the Banque Populaire and Caisse d'Épargne networks (indicators, definition of indicator limits, oversight and control process, and reporting standards).

Market risk supervision:

- consolidating the mapping of Group market risks and contributing to the macro-level mapping of Group and institution risks;
- performing or overseeing daily supervision of positions and risks with respect to allocated limits (overall and operational limits) and established resilience thresholds, organizing the decision-making framework for limit breaches and performing or overseeing permanent supervision of limit breaches and their resolution;
- preparing the consolidated dashboard for the various decision-making bodies.

In addition, the Risk division coordinates the market risk management process by organizing national market risk days, regular audio sessions or theme-based working groups.

In the ever-changing regulatory environment, the Risk division carried out several major operational projects for the Group:

- performance of internal and regulatory stress tests (ICAAP and climate); the EBA 2020 exercise launched until the end of March 2020 was postponed to early 2021 in light of the Covid-19 crisis.

Finalization of the Group system for allocating fair value levels in order to standardize the process at Group level;

- continuation of the implementation of XVA and counterparty risk calculations for the Group scope using a uniform methodology in a single tool;
- completion of the Base of Positions project, which provided the Group with a centralized tool for all of the Group's financial transactions for monitoring financial risks;
- launch of work to ensure compliance with BCBS 239 at departmental level with the aim of applying the principles to all financial risk processes.

HIGHLIGHTS

As part of the Covid-19 health crisis, the Risk division carried out for the Group: a valuation exercise of the Group's private equity and real estate positions, aiming to anticipate the effects of the Covid-19 crisis on investment portfolios.

Risk monitoring

Information provided in the respect of IFRS 7.

The Risk division is responsible for monitoring the risks associated with all Groupe BPCE capital market activities, subject to regular review by the Group Market Risk Committee.

Within the scope of the trading book, market risk is monitored daily by measuring Group Value at Risk (VaR) and performing global and historical stress tests. The proprietary VaR calculation system developed by Natixis is used by the Group. This system provides a tool for the measurement, monitoring and control of market risk at the consolidated level and for each institution, on a daily basis and taking account of correlations between the various portfolios. There are certain distinctive characteristics of Groupe BPCE that must be considered, in particular:

- for Natixis: given the size of its capital markets business, Natixis' risk management system is specifically tailored to this entity;
- for the Banque Populaire network: only BRED Banque Populaire has a capital markets business. It monitors the financial transactions carried out by the Banque Populaire network trading floor and Finance division daily, using 99% 1-day Value at Risk, sensitivity, volume and stress scenario indicators;
- for Banque Palatine: daily monitoring of trading book activities is based on the Risk division's supervision of 99% 1-day Value at Risk, stress tests and compliance with regulatory limits.

All limits (operational indicators, VaR, and stress tests) are monitored daily by each institution's Risk division. Any limit breaches must be reported and, where applicable, are subject to a Management decision concerning the position in question (close, hedge, hold, etc.).

These supervisory mechanisms also have operational limits and resilience thresholds that determine the Group's risk appetite for trading operations.

Banking book risk is supervised and monitored by activity: liquidity reserves, illiquid assets (private equity, non-operational real estate), securitizations and liquid assets excluding liquidity reserves. Liquidity reserves and liquid assets excluding liquidity reserves are monitored monthly, mainly *via* stress test indicators. Illiquid assets and securitizations are monitored quarterly.

The Group's single treasury and central bank collateral management pool is subject to daily monitoring of risks and economic results for all of its activities, which are mainly related to the banking book.

6.8.3 Market risk measurement methods

Information provided in the respect of IFRS 7.

From a prudential standpoint, Groupe BPCE uses the standardized approach to measure market risk. The risk monitoring system relies on three types of indicators used to manage activity, on an overall basis and by similar activity, by focusing on directly observable criteria, including:

- sensitivity to variations in the underlying instrument, variations in volatility or to correlation, nominal amounts, and diversification indicators. The limits corresponding to these qualitative and quantitative operational indicators thus complement the VaR limits and stress tests;
- daily assessment of global market risk measurement through a 99% 1-day VaR;
- stress tests to measure potential losses on portfolios in extreme market conditions. The Group system relies on comprehensive stress tests and specific stress tests for each activity.

Special reports on each business line are sent daily to the relevant operational staff and managers. The Risk division also provides a weekly report summarizing all of the Group's market risk, with a detailed breakdown for Natixis, BRED Banque Populaire and Banque Palatine.

In addition, for Natixis, global market risk reports are sent to the central institution on a daily basis. The latter produces a weekly summary of market risk indicators and results for the Group's executive management.

Finally, a global review of Groupe BPCE's consolidated market risks (covering VaR measures and hypothetical/historic stress

scenarios) is presented to the Group Market Risk Committee, in addition to risk reports prepared for the entities.

In response to the Revised Pillar III Disclosure Requirements (Table MRB: Qualitative disclosures for banks using the Internal Models Approach), the main characteristics of the various models used for market risk are presented in the Natixis Registration Document.

SENSITIVITIES

Each institution's Risk division monitors and verifies compliance with sensitivity limits on a daily basis. If a limit is breached, an alert procedure is triggered in order to define the measures required to return within operational limits.

VAR

Market risk is also monitored and assessed *via* synthetic VaR calculations, which determine potential losses generated by each business line at a given confidence level (99%) and over a given holding period (one day). For calculation purposes, changes in market inputs used to determine portfolio values are modeled using statistical data.

All decisions relating to risk factors using the internal calculation tool are revised regularly by committees involving all of the relevant participants (Risk division, Front Office and Results department). Quantitative and objective tools are also used to measure the relevance of risk factors.

VaR is based on numerical simulations, using a Monte Carlo method which takes into account possible non-linear portfolio returns based on the different risk factors. It is calculated and monitored daily for all Group trading books, and a VaR limit is defined on a global level and per business line. The calculation tool generates 10,000 scenarios, which provides satisfactory precision levels. For certain complex products, which account for a minor share of the trading books, their inclusion in the VaR calculation is obtained by using sensitivities. VaR backtesting is carried out on approved scopes and confirms the overall robustness of the model used. Extreme risks, which are not included in VaR, are accounted for using stress tests throughout the Group.

This internal VaR model used by Natixis was approved by the ACPR in January 2009. Natixis thus uses VaR to calculate capital requirements for market risks in approved scopes.

STRESS TESTS

Stress tests are calibrated according to severity and occurrence levels, which are consistent with portfolio management objectives:

Trading book stress tests are calibrated over a 10-day period and a 10-year probability of occurrence. They are based on:

- historical scenarios, which reproduce changes in market conditions observed during past crises, their impacts on current positions and P&Ls. They can be used to assess the exposure of the Group's activities to known scenarios. Twelve historical stresses are implemented on the trading book;
- hypothetical scenarios, which involve simulating changes in market conditions in all activities based on plausible assumptions concerning the dissemination of an initial shock. These shocks are based on scenarios defined according to economic criteria (real estate crisis, economic crisis, etc.), geopolitical considerations (terrorist attacks in Europe, toppling of a regime in the Middle East, etc.) or other factors (bird flu, etc.). The Group has implemented seven hypothetical stress tests since 2010.

Banking book stress tests are calibrated over a longer period in line with the banking book's management periods:

- a bond stress test calibrated using a mixed hypothetical-historical approach that reproduces a stress on European sovereigns (similar to the 2011 crisis);
- a bond stress test calibrated using a mixed hypothetical-historical approach that reproduces a stress on corporates (similar to the 2008 crisis);
- an equity stress test calibrated over the 2011 historical period, applied to equity investments for the purpose of the liquidity reserve;
- a private equity and real estate stress test, calibrated over the 2008 historical period, applied to the private equity and real estate portfolios.

The various stress tests are subject to limits adapted by each institution, which are monitored through recurring controls and regular reports.

INDEPENDENT PRICE VERIFICATION

The Group has established an organizational structure tasked with independent price verification (IPV) through:

- creation of a Group valuation team in the Market Risk division;
- Group governance covering the IPV system.

The Valuation Team is responsible for:

- meeting regulatory requirements and implementing said requirements while assessing their impacts on the production and verification of new indicators;
- standardizing and harmonizing the production, certification and communication of market inputs used in valuation processes;
- coordinating and overseeing valuation processes group-wide, in order to guarantee the convergence of IPV methods and principles;
- harmonizing fair value level processes across the Group.

Group governance is based in particular on:

- a supervision system centered on the Group Valuation Committee and the Group Fair Value Level Committee;
- a body of procedures, including the Group IPV procedure, which explains the validation and escalation system.

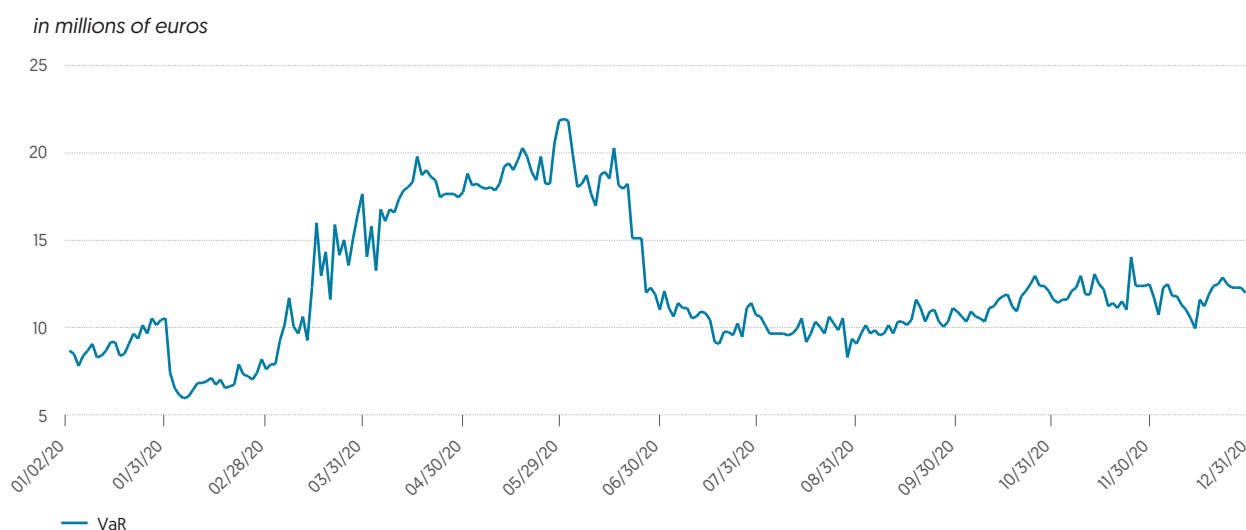
6.8.4 Quantitative disclosures

GROUPE BPCE VAR

BREAKDOWN BY RISK CLASS

<i>in millions of euros</i>	Monte Carlo VaR 99%				12/31/2019
	12/31/2020	Average – 2020	Min – 2020	Max – 2020	
Equity risk	10.9	10.5	4.6	18.5	4.8
Foreign exchange risk	3	2.9	1.2	5.2	1.5
Commodity risk	1.2	1.3	0.5	2.7	0.8
Credit risk	1.7	3.0	0.8	11.3	0.8
Interest rate risk	3.4	5.1	2.6	12.5	6.1
TOTAL	20.2				14
Compensation effect	(8.1)				(5.5)
Consolidated VaR	12.1	9.5	5.9	22.3	8.5

CHANGE *(in millions of euros)*



Consolidated VaR for Groupe BPCE's trading operations (99% one-day Monte-Carlo VaR) amounted to €12.1 million on December 31, 2020, up €3.6 million over the fiscal year. Group VaR ranged from €5.9 million to €22.3 million over the year.

TRADING BOOK STRESS TEST RESULTS

MAIN HYPOTHETICAL STRESS TESTS

	Liquidity crisis	Increase in interest rates	Default by a bank	Commodities	Emerging crisis	Default by an influential corporation
Natixis	100	(27)	20	31	21	8
BRED	4.5	(4.9)	(2.9)	(10.6)	0.6	(1.4)
BPCE subsidiaries	0	0	0	0	0	0
BPCE	104.5	(31.9)	17.1	20.4	21.6	6.6

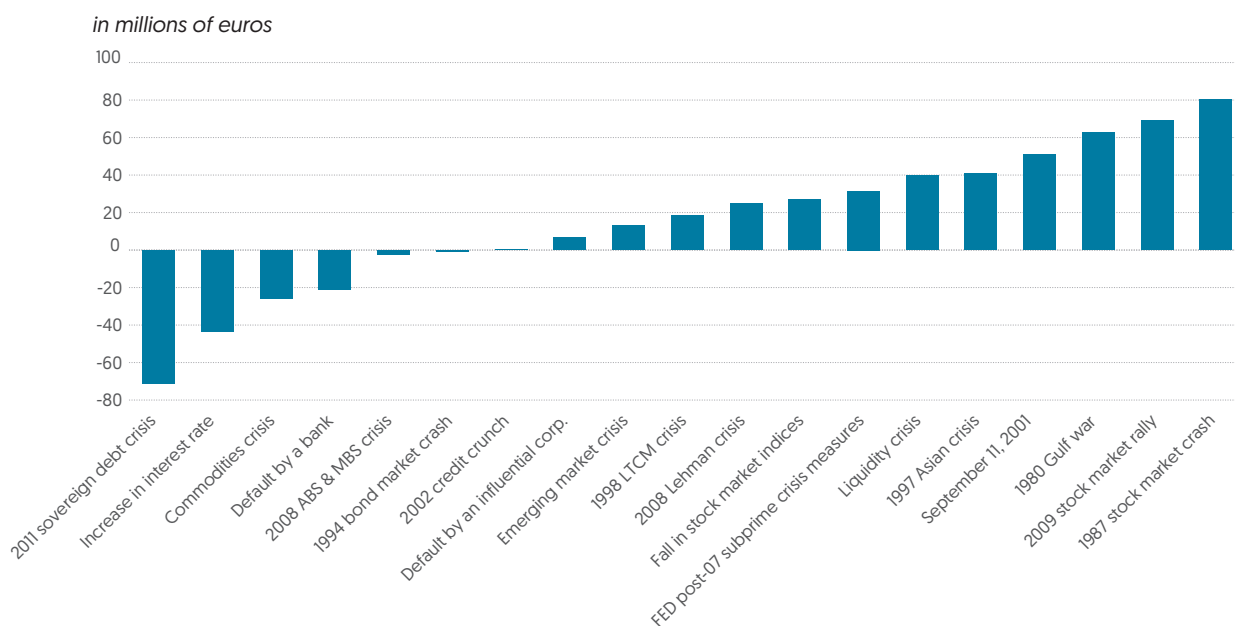
The most sensitive hypothetical stress test is the “Increase in interest rates” scenario.

MAIN HISTORICAL STRESS TESTS

<i>in millions of euros</i>	2011 sovereign debt crisis	Subprime 07	ABS & MBS 08	08 Lehman	11 Sep 01
Natixis	(82)	48	25	(26)	64
BRED	0.8	4.4	1.2	7.3	14.8
BPCE subsidiaries	0	0	0	0	0
BPCE	(81.2)	52.4	26.2	(18.7)	78.8

The historical scenario generating the highest impact for the Group and for Natixis Corporate & Investment Banking is the 2011 sovereign crisis.

GROUP STRESS TEST AVERAGE FOR 2020



RISK-WEIGHTED ASSETS AND CAPITAL REQUIREMENTS

RWA AND CAPITAL REQUIREMENTS BY TYPE OF RISK

	12/31/2020		12/31/2019	
	RWAs	Capital requirements	RWAs	Capital requirements
<i>in millions of euros</i>				
Interest rate risk	1,923	154	2,355	188
Equity risk	558	45	490	39
UCI position risk	32	3	22	2
Foreign exchange risk	3,413	273	3,206	257
Commodity risk	1,179	94	708	57
Settlement/delivery risk	6	0	35	3
Major trading book risks	-	-	-	-
Specific risk on securitization positions	187	15	171	14
IMA Risk	7,147	572	5,826	466
TOTAL	14,445	1,155	12,815	1,025

CHANGE IN RISK-WEIGHTED ASSETS BY IMPACT

in billions of euros

Market risks – 12/31/2019 adjusted amount	12.7
Standard	7.2
Internal model	7.1
VaR	2.2
SVaR	4.5
IRC	0.4
MARKET RISKS – 12/31/2020	14.3

6.9 Liquidity, interest rate and foreign exchange risks

6.9.1 Governance and structure

Information provided in the respect of IFRS 7.

Like all credit institutions, Groupe BPCE is exposed to structural liquidity, interest rate and foreign exchange risks.

These risks are closely monitored by the Group and its institutions to secure immediate and future income, balance the balance sheets and promote the Group's development.

Groupe BPCE's Audit Committee and Supervisory Board are consulted on general ALM policy and are informed of major decisions taken regarding liquidity, interest rate and foreign exchange risk management. The implementation of the chosen policy is entrusted to the Group Asset and Liability Management Committee.

Each year, Groupe BPCE's Supervisory Board validates the main lines of the ALM policy, *i.e.* the principles of market risk measurements and levels of risk tolerance. It also reviews the risk limit system each year.

Each quarter, Groupe BPCE's Audit Committee is informed of the Group's position through management reports containing the main risk indicators.

The Group Asset and Liability Management Committee, chaired by the Chairman of the BPCE Management Board, is responsible for the operational implementation of the defined policy. It meets every two months and its main duties are as follows:

- determine the Group's general policy on liquidity and transformation risk;
- examine the consolidated view of the structural risks of the Group and its various entities, as well as changes in the balance sheet;

- define the structural risk limits of the Group and the liquidity pools and monitor them (with approval by the DRCCP);
- approve the allocation to liquidity pools and the limits;
- monitor liquidity consumption at Group and liquidity pool level;
- approve the Groupe BPCE's global MLT and ST annual refinancing program and monitor it overall;
- approve the investment and allocation criteria as well as the desired overall profile of the Group's liquidity reserve.

The structural liquidity, interest rate and foreign exchange risk management policy is also jointly implemented by the Asset/Liability management division (oversight of funding plan implementation, management of liquidity reserves, cash management, calculation and monitoring of the various risk indicators) and the Risk division (validation of the control framework, validation of models and agreements, controls of compliance with rules and limits). The Group Financial Management division and the Group Risk division are responsible for adapting this framework to their respective functions.

The adaptation of the operational management framework within each institution is subject to validation by the Board of Directors, the Steering Board and/or the Supervisory Board. Each institution has a special operational committee that oversees implementation of the funding strategy, Asset and Liability management and management of liquidity, interest rate and foreign exchange risks for the institution, in line with rules and limits set at Group level. The Banque Populaire and Caisse d'Epargne networks implement the risk management system using a shared Asset/Liability management tool.

6.9.2 Liquidity risk management policy

Liquidity risk is defined as the risk of the Group being unable to meet its commitments or to settle or offset a position, due to market conditions factors specific to Groupe BPCE, within a specified period and at a reasonable cost. It reflects the risk of not being able to meet net cash outflows over short- to long-term horizons.

Liquidity risk is assessed differently over the short, medium- and long-term:

- in the short-term, it involves assessing an institution's ability to withstand a crisis;
- in the medium-term, liquidity is measured in terms of cash requirements;
- in the long-term, it involves monitoring the institution's maturity transformation level.

Liquidity risk is likely to materialize in the event of a decline in sources of financing that could be caused by a massive withdrawal of customer deposits or by problems in executing the annual financing plan following a widespread crisis of confidence on the markets or events specific to the Group. It could also be triggered by an increase in financing requirements due to an increase in drawdowns on loan commitments, an increase in margin calls or a higher collateral requirement.

All liquidity risk factors are accurately mapped, updated annually and presented to the Group Asset Liability Management Committee. This mapping identifies the various risks as well as their level of materiality, assessed according to various criteria shared between the Asset and Liability and Risk divisions.

OBJECTIVES AND POLICIES

The liquidity management policy aims mainly to refinance all of the Group's business lines in an optimal and sustainable manner.

This mandate involves the following duties:

- ensure a sustainable refinancing plan at the best possible price, making it possible to finance the Group's various activities over a period consistent with the assets created;
- distribute this liquidity between the various business lines and monitor its use and changes in liquidity levels;
- comply with regulatory ratios and internal constraints resulting in particular from stress tests guaranteeing the sustainability of the Group's business model refinancing plan, even in the event of a crisis.

To this end, the Group relies on three mechanisms:

- centralized funding management aimed primarily at supervising the use of short-term funding, spreading out the maturity dates of medium- and long-term funds and diversifying sources of liquidity;
- supervision of each business line's liquidity consumption, predominantly by maintaining a balance between growth in the credit segment and customer deposit inflows;
- the creation of liquidity reserves, both in cash and collateral, in line with future liabilities and the targets set for securing the Group's liquidity.

These systems are managed and overseen by way of a consistent set of indicators, limits and management rules are combined in a centralized framework of standards and rules for the Group's institutions, so as to ensure the measurement and consolidated management of liquidity risk.

OVERSIGHT AND MONITORING OF LIQUIDITY RISK

OPERATIONAL LIQUIDITY RISK MANAGEMENT

To keep track of its liquidity risks and define appropriate management and/or corrective actions, the Group has established a reliable, comprehensive and effective internal liquidity management and oversight system including a set of associated indicators and limits. Liquidity risk management and monitoring are carried out at the consolidated Group level and within each of its entities. The definition of these indicators, the calculation methodology and any associated limits are covered in a body of consolidated standards that is reviewed and validated by the decision-making bodies of the Group and its institutions.

Liquidity consumption of the business lines

The liquidity consumption of the Group's various business lines and within the entities is governed by an internal liquidity allocation system based, on the one hand, on the setting of a target level of short-term, medium-term and long-term market footprint for the Group and, on the other hand, on its distribution among the Group's various entities via a liquidity budget system. The Group's market footprint measures its overall dependence to date on bond and money market funding. The sustainability of the Group's market access is measured on a regular basis. The structure of the Group's market footprint (schedule, type of vehicles, currencies, geographic area, investor categories, etc.) is thus closely monitored to ensure that it is not overly dependent on short-term financing and that sources of funds are diversified.

Each entity is required to meet the liquidity budget allocated to it both in terms of actual liquidity consumption and in terms of the projected vision as part of the budget process and the multi-year forecast. This helps to ensure that the market footprint target set by the Group is adequate and to adapt the business line activity projections, if necessary. Moreover, this also makes it possible to adjust the implementation rate of the multi-year funding plan if necessary, based on the needs expressed by the business lines and the Group's capacity to carry out public issues on the market.

The financing needs of the business lines are closely correlated with changes in commercial assets and liabilities (customer loans and deposits) both in terms of the liquidity gap between the average assets and liabilities under management and due to the need for liquidity reserves that it can generate through compliance with the LCR (Liquidity Coverage Ratio).

The liquidity gap resulting from commercial activity is measured using the Customer loan-to-deposit ratio (LTD) at both the consolidated and entity level. This indicator allows a relative measure of the Group's autonomy with regard to the financial markets and monitors changes in the structure of the commercial balance sheet.

Risk indicators

The liquidity risk of the Group and its entities is measured based on regulatory ratios as defined by European regulations, with the LCR (liquidity coverage ratio for short-term liquidity) and the NSFR (Net Stable Funding Ratio for long-term liquidity).

This regulatory approach is complemented by an internal "economic" approach that measures projected liquidity gaps over different periods:

- one-day and one-week liquidity gap indicators measure the Group's very short-term funding requirements. These gaps are subject to Group and individual entity limits;
- the liquidity gap, which compares the amount of remaining liabilities with remaining assets over a ten-year period, enables the Group to manage the schedule of medium- and long-term debt maturities and anticipate its funding requirements. It is governed by Group and individual entity limits;

These liquidity gaps are measured using a so-called static approach, which only takes into account on-balance sheet and off-balance sheet positions to date, and incorporates outflow assumptions for many products. These assumptions are based either on internal modeling (early repayment of loans, closing and deposits on home savings plans or PELs, etc.) or on agreements established for all Group entities (notably for customer deposits with no fixed maturity date, demand deposits and passbook savings accounts). The validation of the models and agreements is based on a process shared between the Asset/Liability management function and the Risk function, which ensures a cross-examination of the relevance of the assumptions used and their suitability with respect to the current limit system.

Stress simulation and liquidity reserve

Liquidity crisis simulations are regularly carried out to test the Group's ability to meet its commitments and continue its day-to-day business in a context of crisis. This stress test system aims to become a tool to support management decisions and to measure the Group's resilience over a defined period of time, as well as the relevance of its management system.

Under normal circumstances, these simulations aim to regularly measure exposure to liquidity risks by playing out a set of determined stress scenarios. They make it possible to ensure the correct balance between the Group's liquidity reserve and changes in the net liquidity position under stress, as well as the ability to comply with regulatory requirements.

In a crisis situation, they make it possible to simulate possible changes in the instantaneous liquidity position on the basis of tailor-made scenarios, to identify potential impacts and to define the actions to be taken in the short-term.

The stress calculation methodology is based on the projection of the Group's on-balance sheet and off-balance sheet flows with stressed assumptions defined in the context of stress scenarios and on changes in the liquidity reserve taking into account securities transactions and different valuations (Market, ECB haircuts) according to different scenarios. Thus, for example, we assume that we will only be able to partially renew all maturing refinancing operations, will have to cope with requests for early repayment of deposits or unexpected disbursements on off-balance sheet financing commitments, and will incur a loss of customer deposits or a substantial change in their structure, or a loss of liquidity in certain market assets.

Liquidity stressors are based on different scenarios: idiosyncratic (Group-specific), a systemic crisis affecting all market players, and a combined crisis. Different intensity levels are also used to allow sensitivity analyses.

Contingent Funding System (CFP)

The Group's Contingency Funding Plan (CFP) summarizes the work implemented by the Group to facilitate its management of liquidity crisis situations. The document is updated annually. It is based on a monitoring and alert system *via* a dashboard listing Early Warning Indicators (EWI) likely to enlighten the Group as to whether or not the CFP should be activated. These EWIs are produced on a daily basis and mainly concern funding, liquidity gap and liquidity reserve indicators. Market indicators (interest rates, exchange rates, equities, CDS, etc.) are also monitored in this daily dashboard. In addition to these quantitative approaches, a qualitative assessment in the form of a confidence index is provided by the functions responsible for issues, the Treasury and Central Bank Collateral Management team, and the Asset/Liability management and financial risk management teams. The CFP can thus be triggered by a specific market environment that may expose the Group's future liquidity position to increased risks.

During the health crisis of March 2020, and while the Group's liquidity position was solid both from a cash and regulatory perspective, the Group activated its CFP in a preventive manner, in order to ensure that all business lines within the Group were aligned if actions were to be implemented.

The triggering of the CFP generates the establishment of a specific Crisis Management Committee with an escalation process based on the perceived magnitude of the crisis. In addition to this committee, which meets frequently, the CFP centralizes certain financial activities normally located at Natixis with the head of the Treasury and Central Bank Collateral Management team.

The CFP also includes an inventory and an analysis ahead of the financial and business lines that the Group can implement, including potential liquidity gains and the associated costs (loss

of profitability) and possible obstacles to their implementation. These levers can be grouped into three categories:

1. liquidity collection. The Group comprises many entities, which allows it to collect liquidity on an *ad hoc* basis;
2. reduction in liquidity consumption. In light of its activities, the Group could, if necessary, reduce the financing it grants to the economy should its liquidity position be stressed;
3. monetization of liquid assets. The Group has significant collateral reserves that can be transformed into cash if necessary.

The knowledge gained from the crisis in the first half of 2020 and the subsequent activation of the CFP were used to update the system in all of these components, namely the EWI system, the committee procedure and the related escalation process, together with the assessment of the various levers.

CENTRALIZED FUNDING MANAGEMENT

The Financial Management division organizes, coordinates and supervises the funding of Groupe BPCE on the markets.

The short-term funding of Groupe BPCE is carried out by the Single Treasury and Central Bank Collateral Management team, created following the merger of BPCE and Natixis' cash management teams. This integrated treasury team is capable of managing the Group's cash position more efficiently, particularly during a credit crunch.

The Group has access to short-term market funding through its two main issuers: BPCE and its subsidiary Natixis.

For medium- and long-term funding requirements (more than one year), in addition to deposits from customers of the Banque Populaire and Caisse d'Épargne networks, which are the primary source of funding, the Group also issues bonds on the financial markets with BPCE as principal operator, offering the broadest range of bonds to investors:

- directly as BPCE for subordinated debt issues (Additional Tier 1 and Tier 2), senior non-preferred debt and vanilla senior preferred debt issues, in multiple currencies, with the main currencies being the EUR, USD, JPY, AUD and GBP;
- or as BPCE SFH, the Group's main issuer of covered bonds; this issuer, operated by BPCE, specializes in *obligations de financement de l'habitat* (OH), a category of secured bond guaranteed by French legislation (backed by residential home loans in France).

Groupe BPCE works with two other highly specialized operators to round out its MLT funding sources:

- Natixis for structured senior preferred debt issues (private placements only) under the Natixis name, and for covered bonds under German law (backed by commercial real estate loans) under the Natixis Pfandbriefbank AG name;
- Crédit Foncier for covered bonds, known as *obligations foncières* (OF), under the Compagnie de Financement Foncier (a subsidiary of Crédit Foncier) name; OFs are a category of covered bond based on French legislation (backed by public sector loans and assets, in line with the new positioning decided in 2018 for this Group issuer, bearing in mind that the collateral still includes residential home loans in France previously manufactured by Crédit Foncier).

It should be noted that BPCE is also responsible for the MLT funding activities of Natixis (in addition to the aforementioned structured private placements), which no longer carries out public issues on the markets.

BPCE has short-term funding programs governed by French law (NEU CP), UK law (Euro Commercial Paper) and New York State law (US Commercial Paper), and MLT funding programs governed by French law (EMTN and Neu MTN), New York State law (US MTN), Japanese law (Samurai) and New South Wales law (AUD MTN).

Lastly, the Group is also able to conduct market securitization transactions (ABS), primarily via RMBS with residential home loans issued by the Banque Populaire and Caisse d'Épargne networks.

Internal liquidity pricing

The centralization of the Group's refinancing involves the implementation of liquidity circulation principles within the Group and the rules for pricing this liquidity so that liquidity can circulate in the best possible way between the Group's entities. The principles are validated by the Group's Asset and Liability Management Committee and implemented by the Group's Treasury and Central Bank Collateral Management team. The system is designed to ensure the transparency and consistency of internal prices, guaranteeing fluid liquidity management between the Group's institutions.

In addition to this internal liquidity pricing system, an internal disposal rate system has been developed so that each of the Group's assets and liabilities can be assigned an internal liquidity price. Here again, the principles are decided by the Group's Asset and Liability Management Committee. The respective changes in the liquidity costs of customer deposits and market resources are taken into account in order to ensure the balanced and profitable development of all activities in the Group's various business lines.

CENTRALIZED COLLATERAL MANAGEMENT

In its liquidity management policy, Groupe BPCE attaches great importance to the management and optimization of its collateral. Non-negotiable debt securities (in particular loans originated by the networks) and negotiable debt securities (financial securities, etc.) that are eligible for a funding arrangement, whether central bank funding (via the 3G pool) or Group funding (covered bonds, securitization, etc.) are classified as collateral.

Three key principles are implemented:

- centralized management of the entities' collateral by the central institution in order to improve oversight and operationality of collateral management. For entities with a 3G Pool (Natixis, Compagnie de Financement Foncier, BRED, Crédit Coopératif, Banque Palatine), each entity is responsible for its own collateral. Nonetheless, these entities cannot directly participate in ECB refinancing operations without prior approval from the central institution;
- a definition of investment and management rules by the central institution, with the entities enjoying autonomy in their decision-making in accordance with Group standards;
- a set of indicators relating to the monitoring of collateral determined at Group level and monitored by the Group's Asset and Liability Management Committee.

Collateral management with respect to non-negotiable debt securities is based on a dedicated information system that makes it possible to identify the receivables and identify their eligibility for the various existing arrangements. A significant portion of these receivables is intended to be secured in order to meet the liquidity reserve requirements as set by the Group, particularly with regard to the stress tests conducted periodically.

The unsecured portion is available to carry out funding operations in the market, either in the form of sales of receivables or in the form of mobilization of receivables. Groupe BPCE has developed a strong expertise in this area, which has enabled it to structure innovative refinancing mechanisms, thus increasing its ability to diversify its sources of fund-raising from investors.

6.9.3 Quantitative disclosures

The liquidity reserve includes deposits with central banks, LCR securities, which are securities recognized as eligible for the liquidity buffer within the meaning of European prudential regulations, and available securities and receivables eligible for central bank refinancing. For this last item, the securitization of loans is one of the means to increase eligible assets by transforming illiquid assets into securities that can be mobilized with the Central Bank.

The liquidity reserve thus created guarantees compliance with the LCR (HQLA – see details below) and hedges the liquidity risk measured under the stress approach described above.

The table below presents changes in the liquidity reserve:

LIQUIDITY RESERVES

<i>in billions of euros</i>	12/31/2020	12/31/2019
Cash placed with central banks	146	69
LCR securities	56	66
Assets eligible for central bank funding	105	96
TOTAL	307	231

On December 31, 2020, liquidity reserves covered 246% of the Group's short-term funding and the short-term maturities of MLT debt (€125 billion on December 31, 2020 compared with €148 billion on December 31, 2019).

The coverage ratio was 155% on December 31, 2019.

The very significant increase in the liquidity reserve in 2020 reflects the change in Groupe BPCE's liquidity situation against the very particular background of the health crisis and the impact generated both on customer behavior and in terms of the ECB's response regarding monetary policy. Accordingly, the amount of customer deposits, particularly households, increased significantly during the fiscal year (see change in the Customer loan-to-deposit ratio) at a faster pace than the production of loans, thus generating an increase in available liquidity. At the same time, the European Central Bank eased the conditions for access to its refinancing by broadening the eligibility criteria for assets that can be used as collateral. Adopted by the Board of Governors on April 7, 2020, all of the collateral easing measures broadened the scope of this mechanism, both by reducing the levels of haircuts applied to eligible receivables and by

increasing the scope of eligible receivables. This is notably the case for state-guaranteed loans (SGLs), whose eligibility as a mobilizable asset with the Central Bank has been recognized, thus enabling Groupe BPCE – one of the main distributors of SGLs on the French banking market – to declare these loans as eligible central bank assets. The various expansion measures thus contributed to increasing the amount of central bank eligible assets, even when the amount mobilized with the central bank increased significantly in 2020 following the Group's use of TLTRO3 operations.

A liquidity gap arises from a mismatch between assets and liabilities with different maturity dates, as viewed at a static point in time. It measures the projection of the Group's liquidity position over a given period of time on the basis of contractual maturities supplemented by customer behavioral modeling to define an "economic" repayment schedule for deposits without contractual maturities (sight deposits, savings accounts, etc.) and to complete the contractual approach by estimating the volume of future early repayments for loans and deposits with a maturity agreed by contract.

LIQUIDITY GAPS

in billions of euros

	01/01/2021 to 12/31/2021	01/01/2022 to 12/31/2024	01/01/2025 to 12/31/2028
Liquidity gap	85.0	64.2	29.5

The projected liquidity position shows a structural liquidity surplus over the analysis horizon, with a clear increase compared to the same measure carried out at the end of 2019.

This change is partly due to the increase in customer deposits, which, although mainly consisting of products without a contractual maturity date, benefit from a medium-term outflow rule.

CUSTOMER LOAN-TO-DEPOSIT RATIO

The Group's customer loan/deposit ratio⁽¹⁾ was 120% on December 31, 2020 (*versus* 124% on December 31, 2019).

SOURCES AND USES OF FUNDS BY MATURITY

<i>in millions of euros</i>	Less than 1 month	From 1 month to 3 months	From 3 months to 1 year	From 1 year to 5 years	More than 5 years	No fixed maturity	Total on 12/31/2020
Cash and amounts due from central banks	122,495	62				30,845	153,403
Financial assets at fair value through profit or loss						196,260	196,260
Financial assets at fair value through other comprehensive income	1,459	1,835	8,380	16,520	16,668	4,768	49,630
Hedging derivatives						9,608	9,608
Securities at amortized cost	1,469	481	2,648	7,754	11,555	2,826	26,732
Loans and receivables due from banks and similar at amortized cost	77,883	7,120	2,215	384	878	1,537	90,018
Loans and receivables due from customers at amortized cost	44,091	20,730	86,714	233,156	353,691	8,427	746,809
Revaluation differences on interest rate risk-hedged portfolios						8,941	8,941
Financial assets by maturity	247,397	30,228	99,957	257,814	382,792	263,212	1,281,400
Central banks							
Financial liabilities at fair value through profit or loss	9,076	38	313	2,142	12,716	167,087	191,371
Hedging derivatives						15,262	15,262
Debt securities	24,297	25,217	37,405	74,909	58,599	7,774	228,201
Amounts due to banks and similar	27,936	7,700	38,575	50,743	9,184	4,278	138,416
Amounts due to customers	510,003	14,172	20,564	63,302	9,464	13,333	630,837
Subordinated debt	1,055	14	6	6,496	7,403	1,402	16,375
Revaluation difference on interest rate risk-hedged portfolios						243	243
Financial liabilities by maturity	572,366	47,140	96,864	197,592	97,365	209,377	1,220,705
Loan commitments given to banks	177	19	160	493	145		994
Loan commitments given to customers	33,168	6,829	26,125	51,024	19,809	5,837	142,792
TOTAL LOAN COMMITMENTS GIVEN	33,345	6,848	26,284	51,517	19,955	5,837	143,786
Guarantee commitments given to banks	845	243	818	315	4,020	1,412	7,653
Guarantee commitments given to customers	4,129	4,638	8,496	6,424	7,234	4,547	35,468
TOTAL GUARANTEE COMMITMENTS GIVEN	4,974	4,881	9,314	6,739	11,254	5,959	43,121

Financial instruments marked to market on the income statement and held in the trading book, variable-income available-for-sale financial assets, non-performing loans, hedging derivatives and revaluation differences on interest rate risk-hedged portfolios are placed in the "No fixed maturity" column. These financial instruments are:

- either held for sale or redeemed prior to their contractual maturity;
- or held for sale or redeemed at an indeterminable date (particularly where they have no contractual maturity);

- or measured on the balance sheet for an amount impacted by revaluation effects.

Accrued interest not yet due is shown in the "Less than 1 month" column.

The amounts shown are contractual amounts excluding projected interest.

Technical provisions of insurance companies, which, for the most part are equivalent to demand deposits, are not shown in the Table above.

[1] Excluding SCF [Compagnie de Financement Foncier, the Group's société de crédit foncier, a French covered bond issuer].

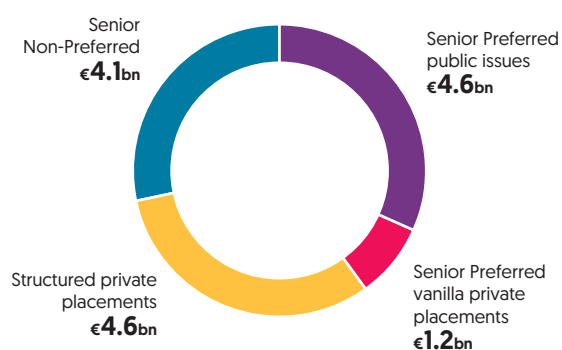
FUNDING STRATEGY AND CONDITIONS IN 2020

One of the Group's priorities in terms of medium- and long-term funding in the financial markets is to ensure that sources of funding are properly diversified, in terms of types of investors, types of debt instruments, countries and currencies.

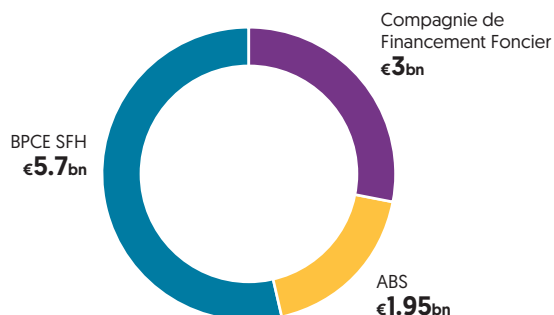
Another priority is extending the average maturity of its liabilities to help strengthen Groupe BPCE's financial structure.

Under the 2020 wholesale MLT funding plan, Groupe BPCE raised a total of €23.3 billion in the bond market, of which €18.7 billion excluding structured private placements; public issues made up 70% of this amount and private placements 30%. In addition, the Group raised €1.95 billion in ABS in the financial market.

UNSECURED BOND SEGMENT: €14.6BN



COVERED BOND SEGMENT: €10.7BN



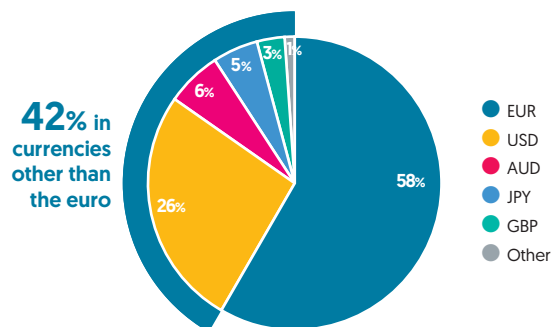
In 2020, the amount raised in the unsecured bond segment, excluding structured private placements, was €9.9 billion, of which €4.1 billion in the form of senior non-preferred and €5.8 billion in the form of senior preferred. In addition, €4.6 billion were raised in structured private placements.

In the covered bond segment excluding ABS, the amount raised was €8.8 billion in covered bonds. In addition, €1.95 billion was raised in the form of ABS (mainly RMBS backed by residential real estate loans granted by the Banque Populaire and Caisse d'Epargne networks).

The unsecured bond segment (senior non-preferred + senior preferred) accounted for 58% of funding raised, and the covered bond segment 42% (35% covered bonds and 8% ABS).

The breakdown by currency of unsecured issues is a good indicator of the diversification of the Group's medium- and long-term funding sources. In all, 42% were issued in currencies other than the euro in 2020; the four largest currencies were USD (26%), AUD (6%), JPY (5%), and GBP (3%). The breakdown of these 2020 bond issues by currency is as follows:

DIVERSIFICATION OF INVESTOR BASE



The average maturity at issuance (including ABS) for Groupe BPCE as a whole was 7.4 years in 2020, compared with an average maturity of 7.4 years in 2019.

The vast majority of medium- and long-term funding raised in 2020 was at a fixed rate, as in previous years. In general, fixed rate is swapped into floating rate in accordance with the Group's interest rate risk management policy.

NEW SOLUTIONS TO MEET NEW INVESTOR PRIORITIES: “SUSTAINABLE DEVELOPMENT” BONDS

Groupe BPCE issued two social/green public bond issues in 2020, totaling €1.5 billion:

- public issue by BPCE SFH of ten year green covered bonds (Energy Efficient Housing type) in EUR in May 2020 for an amount of €1,250 million;
- public issue by BPCE of 6NC5 social bonds (senior non-preferred, Local Economic Development type with a Covid-19 focus) in JPY (Samurai format) in December 2020 for JPY 32 billion, *i.e.* the equivalent of approximately €254 million.

In addition, in December 2020 BPCE carried out the Group's first transition bond issue in the form of a private placement of €100 million (10NC9; senior non-preferred), taking it to the forefront of innovation in the area of sustainable development bonds.

Natixis also issued €0.6 billion in green structured private placements in 2020, bringing the total outstanding amount of sustainable development bonds issued by the Group that year to €2.2 billion.

At the end of December 2020, Groupe BPCE (with issues by BPCE, BPCE SFH and Natixis) had a total amount of €6.6 billion in sustainable development bonds.

6.9.4 Management of structural interest rate risk

OBJECTIVES AND POLICIES

Structural interest rate risk (or overall interest rate risk) is defined as the risk incurred in the event of a change in interest rates due to all balance sheet and off-balance sheet transactions, except for – if applicable – transactions subject to market risks. Structural interest rate risk is an intrinsic component of the business and profitability of credit institutions.

The objective of the Group's interest rate risk management system is to monitor each institution's maturity transformation level in order to contribute to the growth of the Group and the business lines while evening out the impact of any unfavorable interest rate changes on the value of the Group's banking books and future income.

INTEREST RATE RISK OVERSIGHT AND MANAGEMENT SYSTEM

Structural interest rate risk is controlled by a system of indicators and limits set by the Group Asset and Liability Management Committee. It measures structural interest rate risk on the balance sheet, excluding any kind of independent risk (trading, own accounts, etc.). The indicators used are divided into two approaches: a static approach that only takes into account on-balance sheet and off-balance sheet positions at a set date and a dynamic approach which includes commercial and financial forecasts. They can be classified into two sets:

- gap indicators, which compare the amount of liability exposures against asset exposures on the same interest rate index and over different maturities. These indicators are used to validate the main balance sheet aggregates to ensure the sustainability of the financial results achieved. Gaps are calculated on the basis of contractual maturities, the results of common behavioral models for different credit or collection products, outflow agreements for products with no maturity date, and specific agreements for regulated rates;
- sensitivity indicators, both in terms of value and revenues. Value-based indicators measure the change in the net present

value of equity in the light of interest rate shocks applied to the static balance sheet. In addition to the Basel II regulatory indicator (SOT: standard outlier test), which measures sensitivity to interest rate shocks of +/-200 basis points, the Group has introduced an internal Economic Value of Equity (EVE) indicator. Revenue-based indicators measure the sensitivity of the projected net interest income where there are differences between the change in the market interest rate and the central scenario established quarterly by the Group's economists. This net interest income sensitivity indicator covers all commercial banking activities and aims to estimate the sensitivity of the institutions' results to interest rate fluctuations.

The dynamic approach in terms of sensitivity of future income has been strengthened by a multi-scenario vision allowing a broader approach by taking into account uncertainties related to business forecasts (new activity and changes in customer behavior), possible changes in the commercial margin, etc. Internal stress tests are carried out periodically to measure changes in the bank's income trajectory in adverse scenarios.

The interest rate position of the Group's institutions is managed in compliance with the Group's standards, which formalize both the indicators monitored and the associated limits, as well as the instruments authorized for hedging interest rate risk. These are strictly “vanilla” (unstructured), option sales are excluded and accounting methods with no impact on the Group's consolidated income are preferred.

QUANTITATIVE DISCLOSURES

The interest rate position is mainly driven by Retail Banking and Insurance, and primarily by the networks. Measured using a static approach to interest rate gaps, it shows a structural risk exposure to an increase in interest rates with a surplus of fixed-rate assets compared to fixed-rate resources. This structural surplus is due in particular to the percentage of customer deposits at regulated or similar rates (in particular the Livret A rate).

The interest rate gaps at the end of 2020, presented below, show a significant change compared to the previous year with an increase in the application surplus over a one-year period and a decrease in the same surplus over the periods beyond one year. This change is linked to the distortion of the customer balance sheet with a sharp increase in sight deposits (resources considered fixed-rate with a conventional medium-term outflow) and a significant increase in short-term fixed-rate loans linked to

the dividend payments of state-guaranteed loans (SGLs) by the Group's institutions. These loans comprise two phases: the first with a known interest rate for one year, and the second with characteristics unknown at present, with customers benefiting from several options to extend or repay their loan at the end of the first phase. The exercise of this option is not modeled in the interest rate gap projection, which leads to a significant decline in fixed-rate assets in 2021.

INTEREST RATE GAP

<i>in billions of euros</i>	01/01/2021 to 12/31/2021	1/1/2022 to 12/31/2024	1/1/2025 to 12/31/2028
Interest rate gap (fixed-rate)*	(19.9)	3.5	(6.4)

* The indicator takes into account all asset and liability positions and floating-rate positions until the next interest rate reset date.

SENSITIVITY INDICATORS

The sensitivity of the net present value of the Group's balance sheet to a +/-200 bp variation in interest rates remained significantly lower than the 20% regulatory limit. On December 31, 2020, Groupe BPCE's sensitivity to interest rate rises stood at -5.3% versus -5.7% on December 31, 2019. This measure is closely correlated with the measurement of interest rate gaps detailed above.

The analysis of the change in the Group's projected one-year net interest income according to four interest rate development scenarios compared to the central scenario (interest rate increase, interest rate decrease, steepening of the curve, flattening of the curve) indicates exposure to falling interest rates. Unlike the static approach used in the measurement of interest rate gaps or the sensitivity of the Group's net present balance sheet value, the sensitivity of the projected net interest income is based on a dynamic approach that incorporates the outlook of new business outlook, in particular the production of loans and changes in customer deposits. Under this approach, future revenues depend in part on the rate of replacement of available liquidity via either new loans or financial investments. As of September 30, 2020, the decrease in interest rates scenario would have a negative impact of €41 million on the projected net interest margin from year to year.

FINANCIAL INSTRUMENTS SUBJECT TO THE INDEX REFORM

The table below presents the financial instruments for each index that must transition within the framework of the index reform. The data presented in the table were taken from the management data bases at September 30, 2020, after the removal of internal Groupe BPCE transactions, and cover financial instruments whose maturity extends beyond December 31, 2021 (excluding EURIBOR), taking into account the following conventions:

- financial assets and liabilities excluding derivatives are presented based on their nominal amount (past due principal), excluding provisions;
- pension transactions are broken down by EONIA, EURIBOR and LIBOR before any accounting offsets;
- derivatives are presented based on their notional amount at September 30, 2020;
- for derivatives with a receiving and a paying leg exposed to a reference rate, both legs were reported in the table below to accurately reflect Groupe BPCE's exposure to the reference rate for those two legs.

OUTSTANDING AMOUNTS OF FINANCIAL INSTRUMENTS SUBJECT TO THE INDEX REFORM

<i>in millions of euros</i>	Financial assets	Financial liabilities	Derivates (notional)
EONIA	1,134	2,025	128,652
EURIBOR	97,159	27,041	2,139,925
LIBOR - USD	16,175	4,182	771,130
LIBOR - GDP	740	229	35,987
LIBOR - OTHERS	1,577	589	126,948
TOTAL	116,784	34,067	3,202,642

6.9.5 Management of structural foreign exchange risk

Structural foreign exchange risk is defined as the risk of a realized or unrealized loss due to an unfavorable fluctuation in foreign currency exchange rates. The management system distinguishes between the structural exchange risk policy and the management of operational foreign exchange risk.

FOREIGN EXCHANGE RISK OVERSIGHT AND MANAGEMENT SYSTEM

For Groupe BPCE (excluding Natixis), foreign exchange risk is monitored using regulatory indicators (measuring corresponding capital adequacy requirements by entity). The residual foreign exchange positions held by the Group (excluding Natixis) are not material because virtually all foreign currency assets and liabilities are match-funded in the same currency.

As regards international trade financing transactions, risk-taking is limited to counterparties in countries with freely-translatable currencies, provided that translation can be technically carried out by the technically managed by the entity's information system.

Natixis' structural exchange rate positions on net investments in foreign operations funded with currency forwards are tracked on a quarterly basis by its Asset and Liability Management Committee in terms of sensitivity as well as solvency. The resulting risk indicators are submitted to the Group Asset and Liability Management Committee on a quarterly basis.

QUANTITATIVE DISCLOSURES

As of December 31, 2020, Groupe BPCE, subject to regulatory capital requirements for foreign exchange risk, recorded a stable foreign exchange position of €3,413 million *versus* €3,206 million at end-2019, with €273 million for foreign exchange risk. The foreign exchange position is mainly carried by Natixis.

6.10 Legal risks

6.10.1 Legal and arbitration proceedings – BPCE

CHECK IMAGING EXCHANGE (ÉCHANGE IMAGE CHÈQUES) COMMISSIONS

Marketplace antitrust case initially involving Banques Populaires Participations (BP Participations) and Caisses d'Épargne Participations (CE Participations) and BPCE since it merged with and absorbed BP Participations and CE Participations.

On March 18, 2008, BFBP and CNCE received, as was the case for other banks on the marketplace, a notice of grievance from the French anti-trust authority. The banks are accused of having established and mutually agreed on the amount of the check imaging exchange commission, as well as related check commissions.

The anti-trust authority delivered its decision on September 20, 2010 to fine the banks found guilty (€90.9 million for BPCE). These banks (except for the Banque de France) lodged an appeal.

On February 23, 2012, the Paris Court of Appeals overruled the anti-trust authority's decision and the €90.9 million fine paid by BPCE was refunded.

On March 23, 2012, the anti-trust authority launched an appeal of the Court of Appeals' ruling.

On the referral of the anti-trust authority, on April 14, 2015, the Court of Cassation overturned the Court of Appeals' 2012 ruling due to breach of procedure. The banks were once again required to pay the fine.

BPCE, along with the other accused banks, referred this ruling to the Paris Court of Appeals, requesting that it purge this breach of procedure and uphold its 2012 decision, ensuring that BPCE will ultimately be reimbursed.

The Second Court of Appeals ruled on December 21, 2017 and confirmed the 2010 analysis of the anti-trust authority, thus contradicting the initial decision by the Paris Court of Appeals in 2012.

The Court considered that the introduction of the EIC commission and CSCs constitute anti-competitive practice in its nature and upheld the conviction to pay the fine set by the ADLC. However, the Court reduced the amount of Caisse d'Épargne's fine by €4.07 million, by canceling the 10% increase to the fine imposed by ADLC on certain banks for their key roles in negotiations. BPCE, standing in for CE Participations, should retrieve this amount of €4.07 million from the Treasury.

On January 22, 2018, the banks filed an appeal with the Court of Cassation.

On January 29, 2020, the Court of Cassation rendered its verdict and overturned the appeal for lack of legal grounds on the demonstration of collusion. The ruling referred the case back to the Court of Appeal, with the banks returning to their position subsequent to the ADLC (anti-competition authority) ruling. Consequently, the Court of Appeal will have to issue a ruling in favor of Caisse d'Épargne before the fine will be reimbursed.

6.10.2 Legal and arbitration proceedings – Natixis

Only proceedings subject to updates or new proceedings are presented in this section.

MADOFF FRAUD

Outstanding assets exposed to the Madoff affair as expressed in euros were estimated at €503.4 million at December 31, 2020 and were fully provisioned for at that date. The actual impact of this exposure will depend on both the extent of recovery of assets invested in Natixis' name and the outcome of the measures taken by the bank, notably in terms of legal procedures. Furthermore, in 2011 a dispute emerged over the application of the insurance policy for professional liability in this case, which had been taken out with successive insurers for a total amount of €123 million. In November 2016, the Paris Court of Appeal vindicated the Commercial Court's prior ruling that primary insurers were liable for covering the losses incurred by Natixis due to the Madoff fraud, up to the amount for which the bank was insured. On September 19, 2018, the Court of Cassation subsequently annulled the judgment under appeal and referred the case back to the Paris Court of Appeal with a differently constituted bench. On September 24, 2019, the Court issued a ruling against Natixis, overturning the ruling of the Paris Commercial Court. Natixis filed an appeal in December 2019.

Irving H. Picard, the court-appointed trustee for Bernard L. Madoff Investment Securities LLC (BMIS), submitted a restitution claim concerning the liquidation of amounts received prior to the discovery of the fraud through a complaint filed with the United States Bankruptcy Court for the Southern District of New York against several banking institutions, including a \$400 million claim against Natixis. Natixis denies the allegations made against it and has taken the necessary steps to defend its position and protect its rights. Natixis has launched appeals, including a motion to dismiss the case on a preliminary basis, or prior to any ruling on the merits, and a motion to withdraw the reference to transfer certain matters to the United States district court. These proceedings have been subject to numerous rulings and appeals and are still ongoing. A November 2016 ruling by the bankruptcy court dismissed a number of restitution claims initiated by the trustee on the grounds of extraterritoriality. In September 2017, the Second Circuit Court granted the BMIS liquidator and the defendants the right to appeal the bankruptcy court's ruling on the grounds of extraterritoriality directly through the Second Circuit, thereby avoiding the need to file an intermediary appeal with the district court. In February 2019, the Court of Appeals for the Second Circuit overturned the bankruptcy court's extraterritoriality ruling.

In August 2019, Natixis joined the defendants having filed a motion for permission to appeal the ruling of the Second Circuit Court to the Supreme Court. In June 2020, the Supreme Court refused to hear the case. The case will be referred back to the Second Circuit Court of the bankruptcy court. The liquidator of BMS seeks the suspension of outstanding actions for restitution pending the settlement of specific actions on the concept of good faith in the restitution request.

Furthermore, the trustees of Fairfield Sentry Limited and Fairfield Sigma Limited have initiated a large number of proceedings against investors having previously received payments from these funds for redemptions of shares (over 200 proceedings have been filed in New York). Some Natixis entities have been named as defendants in some of these proceedings. Natixis deems these proceedings to be entirely unfounded and is vigorously defending its position. These proceedings have been suspended for several years, and in October 2016 the bankruptcy court authorized the trustees to modify their initial claim. The defendants filed joint responses in May and June 2017. In August 2018, the bankruptcy court ruled on a motion to dismiss filed by the defendants (requesting that the case be dismissed on a preliminary basis and prior to any ruling on the merits). The judge only gave a ruling on one of the merits (that of personal jurisdiction), having found that the latter was missing from the claim made against the defendants. In December 2018, the judge ruled on the motion to dismiss, rejecting the claims brought by trustees founded on common law (unjust enrichment, money had and received, mistaken payment and constructive trust) as well as contractual claims. However, it overturned the motion to dismiss in respect of claims founded on British Virgin Islands law, while reserving the right to file a plea for the application of the Section 546(e) Safe Harbor provision. In May 2019, the liquidators appealed the ruling of the Bankruptcy Court to the District Court. The defendants, including Natixis, submitted on March 9, 2020 a motion to dismiss this appeal and renewed this initial motion on March 16, 2020. The bankruptcy court asked the defendants to limit the motion to dismiss to arguments that can lead to the dismissal of all the actions of the liquidators (as per Section(e) 546 of the safe harbor provision or impropriety of the initial petition). In December 2020, the bankruptcy court dismissed the claims based on the law of the British Virgin Islands, considering that the defendants, including Natixis, benefit from the 546(e) Safe Harbor provision. This ruling, which could result in the rejection of clawback requests, is subject to appeal.

The case is ongoing.

CRIMINAL COMPLAINT COORDINATED BY ADAM

In March 2009, the Paris public prosecutor's office (Parquet de Paris) launched a preliminary investigation into a complaint filed by Natixis minority shareholders and coordinated by the *Association de Défense des Actionnaires Minoritaires* (ADAM – Association for the Defense of Minority Shareholders). As the plaintiffs have initiated civil proceedings, a judicial investigation opened in 2010. On February 14, 2017, Natixis came under investigation for false and misleading information on account of two messages sent in the second half of 2007, at the beginning of the subprime crisis.

After judicial investigation, a committal for trial was ordered on June 28, 2019.

The committal concerns only one of the messages, disseminated on November 25, 2007, explaining the risks to which Natixis was exposed at the time as a result of the subprime crisis. The second message was dismissed. Maintaining that no offense was committed, Natixis will present its defense, and the Criminal Court will render its judgment.

MMR CLAIM

In 2007, Ixis Corporate & Investment Bank (the predecessor of Natixis) issued EMTNs (Euro Medium Term Notes) indexed to a fund that invested in the Bernard Madoff Investment Securities fund. Renstone Investments Ltd (the apparent predecessor of MMR Investment Ltd) is alleged to have subscribed, *via* a financial intermediary acting as the placement agent, for these bonds in the amount of \$50 million.

In April 2012, MMR Investment Ltd filed a joint claim against Natixis and the financial intermediary before the Commercial Court of Paris, claiming not to have received the bonds, despite having paid the subscription price to the financial intermediary. The claim mainly concerns the reimbursement of the subscription price of the bonds and, as an alternative, the annulment of the subscription on the grounds of defect in consent.

On February 6, 2017, the Commercial Court of Paris dismissed all of MMR Investment Ltd.'s claims. This ruling was upheld by the Paris Court of Appeal on October 22, 2018. MMR Investment Ltd. submitted an appeal. The case is ongoing.

SECURITIZATION IN THE UNITED STATES

Since 2012, five separate legal proceedings regarding residential mortgage-backed security (RMBS) transactions executed between 2001 and mid-2007 have been initiated against Natixis Real Estate Holdings LLC before the New York Supreme Court.

Two of these proceedings relate to accusations of fraud. One was dismissed in 2015 as time-barred. Some of the claims relating to the second case were also dismissed as time-barred and, in 2018, Natixis settled the outstanding claims before the court issued a final ruling on the merits of the case.

Three of these five proceedings have been brought against Natixis, purportedly on behalf of certificate holders, alleging that Natixis failed to repurchase defective mortgages from certain securitization transactions. Two of them were dismissed as time-barred, and the plaintiffs' appeals were also dismissed. As for the only proceedings currently in progress, Natixis considers for multiple reasons that the claims against it are unfounded, in particular as they are time-barred (and because the plaintiffs do not have standing to act).

EDA SELCODIS

Through two complaints filed on November 20, 2013, Selcodis and EDA brought claims before the Paris Commercial Court against Natixis and two other banks for unlawful agreements, alleging that such actions led to the refusal to grant a guarantee to EDA and to the termination of various loans.

Selcodis is asking for compensation for the losses purportedly suffered as a result of the court-ordered liquidation of its subsidiary EDA, and is requesting that the defendants be ordered to pay damages and interest, which it assesses to be €32 million. For its part, EDA is requesting that the defendants be ordered to bear the asset shortfall in its entirety, with its amount being calculated by the court-appointed receiver.

Natixis considers all of these claims to be unfounded.

On December 6, 2018, after consolidating these claims, the Paris Commercial Court found that the statute of limitations had been reached and the cases are now closed. The plaintiffs filed an appeal against this ruling in January 2019.

The judgment was delivered on June 24, 2020. The Court of Appeal ruled out the expiry of the current proceedings.

This judgment is subject to appeal.

MPS FOUNDATION

In June 2014, MPS Foundation (Fondazione Monte dei Paschi di Siena), an Italian foundation, filed a claim against eleven banks, including Natixis, which granted it financing in 2011 at the request of its previous executive officers, on the grounds that the financing thus granted was in violation of its bylaws, which state that MPS Foundation cannot hold debt exceeding 20% of its total balance sheet. The damages claimed by MPS Foundation against the banks and its former directors amount to €285 million.

Natixis considers these accusations to be unfounded.

Following an objection as to jurisdiction, the Siena Court referred the case to the Florence Court on February 23, 2016. The case is ongoing.

FORMULA FUNDS

Following an inspection by the AMF (French Financial Markets Authority) in February 2015 with regard to Natixis Asset Management's compliance with its professional obligations, particularly the management of its formula funds, the AMF's Enforcement Committee delivered its decision on July 25, 2017, issuing a warning and a fine of €35 million. The Enforcement Committee found a number of failings concerning the redemption fees charged to funds and structuring margins.

Natixis IM International has filed an appeal against this ruling with the Council of State. In its decree of November 6, 2019, the Council of State modified the ruling of the Enforcement Committee, reducing the fine to €20 million. The warning was upheld.

In addition, UFC-QUE CHOISIR, in its capacity as a consumer rights non-profit, brought claims before the Paris District Court (Tribunal de Grande Instance de Paris) on March 5, 2018 against the asset management company to obtain compensation for the financial losses suffered by the holders of the formula funds in question. The case is ongoing.

SOCIÉTÉ WALLONNE DU LOGEMENT

On May 17, 2013, Société Wallonne du Logement (SWL) filed a complaint against Natixis before the Charleroi Commercial Court (Belgium), contesting the legality of a swap agreement entered into between SWL and Natixis in March 2006 and requesting that it be annulled.

All of SWL's claims were dismissed in a ruling by the Charleroi Commercial Court on November 28, 2014. On September 12, 2016, the Mons Court of Appeal annulled the contested swap agreement and ordered Natixis to repay to SWL the amounts paid by SWL as part of the swap agreement, less any amounts paid by Natixis to SWL under the same agreement and taking into account any amounts that would have been paid had the previous swap agreement not been terminated. The *Cour de Cassation* of Belgium overturned this ruling on June 22, 2018. In February 2019, SWL lodged an appeal with a Court of Appeal.

On April 22, 2020, the Court of Appeal of Liège annulled the contested swap agreement and ordered Natixis to repay to SWL an amount corresponding to the difference between the execution cost of the contested swap agreement and the many amounts that would have been paid had the previous swap agreement not been terminated, in addition to interest at the legal rate.

Natixis filed an appeal against this decision.

SFF/CONTANGO TRADING SA

In December 2015 the South African Strategic Fuel Fund (SFF) entered into agreements to sell certain oil reserves to several international oil traders. Contango Trading SA (a subsidiary of Natixis) provided funding for the deal.

In March 2018, SFF filed a lawsuit before the High Court of Cape Town (Western Cape division, South Africa), primarily against Natixis and Contango Trading SA, with a view to having the agreements invalidated, declared null and void, and to obtain fair and equitable compensation.

A ruling was issued on November 20, 2020 declaring the transactions null and void and awarding Contango Trading SA refunds and reparations in the amount of \$208,702,648. On December 22, 2020, the judge authorized SFF and Vitol to appeal this ruling and, at the same time, SFF paid Contango Trading SA \$123,865,600 in performance of the undisputed part of the ruling.

This ruling was partially appealed.

LUCCHINI SPA

In March 2018, Natixis SA was summoned, jointly and severally with other banks, by Lucchini Spa (under extraordinary administration) to appear before the Court of Milan, with Lucchini Spa's receiver alleging improprieties in the implementation of the loan restructuring agreement granted to Lucchini Spa. The case is ongoing.

In its decision on July 21, 2020, the Court of Milan dismissed all Lucchini Spa's claims and sentenced it to pay cost of proceedings for a total amount of €1.2 million, of which €174 thousand for each bank or group of banks. This decision is subject to appeal.

Lucchini Spa appealed against the judgment. The case is ongoing.

COMPETITION AUTHORITY – NATIXIS INTERTITRES ET NATIXIS

On October 9, 2015, a company in the restaurant voucher sector lodged a complaint with the Competition Authority to contest sector practices with respect to the issuance and acceptance of restaurant vouchers. The complaint named several French companies in the restaurant voucher sector, including Natixis Intertitres.

In its decision of December 17, 2019, the Competition Authority ruled that Natixis had participated in two practices designed to keep new entrants out of the meal voucher market: the exchange of confidential information and the adoption of a series of agreements intended to lock up the market.

Natixis Intertitres was fined €4,360,000, and was issued two additional fines totaling €78,962,000, jointly and severally with Natixis.

This ruling was published in a press release by the Competition Authority on December 18, 2019.

Natixis and Natixis Intertitres are appealing this decision.

BUCEPHALUS CAPITAL LIMITED – DARIUS CAPITAL PARTNERS

On June 7, 2019, the company Bucephalus Capital Limited (a UK law firm), together with other firms, brought claims against Darius Capital Partners (a French law firm, now operating under the name Darius Capital Conseil, and 70%-held subsidiary of Natixis Investment Managers) before the Paris Commercial Court, to contest the breach of various contractual obligations, particularly with respect to a framework agreement dated September 5, 2013 setting out their contractual relations and various subsequent agreements. Bucephalus Capital Limited claims a total of €178,487,500.

Darius Capital Partners considers these claims to be unfounded. The case is ongoing.

EUROPEAN GOVERNMENT BONDS ANTITRUST LITIGATION

At the end of December 2019, Natixis was added as a defendant in a class action brought to the US District Court, SD

New York, on allegations of competition violations between January 1, 2007 and December 31, 2012 in the market for European Government Bonds (EGBs). The class action was initially brought against several identified banks and banks of unknown identity ("John Doe") in March 2019.

Natixis, like the other defendants in this case, requested the dismissal of the action on a preliminary basis and prior to any decision on the merits on several grounds; the request was dismissed at this stage.

Natixis intends to continue to defend itself vigorously, both on the merits and procedurally, against these allegations that it considers unfounded.

DISPUTES INVOLVING THE SET-OFF OF RECEIVABLES

On July 17, 2020, an action was brought against Natixis and another defendant before the English courts in order to request a declaration recognizing the merits of a set-off made on a transaction financed by Natixis. The plaintiff is also disputing the transfer to Natixis of the payment rights under the transaction. Natixis counterclaimed for payment in the amount of \$55,396,323.46.

The case is ongoing.

In March 2020, proceedings were brought before the courts of the State of New York following a set-off made by Natixis during the payment of a standby letter of credit; this set-off took into account a debt of the beneficiary of the standby letter of credit. Natixis asked the Court to confirm the merits of the set-off and to dismiss the application for payment made against the bank in the amount of \$46,076,165.15.

The hearing was held on November 29, 2020 and a ruling is expected in the coming months.

6.10.3 Dependency

BPCE is not dependent upon any specific patents, licenses, industrial procurement contracts, or commercial or financial agreements.

6.11 Non-compliance and security risks

In accordance with the legal and regulatory requirements mentioned above, and with the professional standards and control charters governing Groupe BPCE, the functions managing compliance risk are organized as part of the internal control system of all Groupe BPCE institutions and subsidiaries as a whole.

The Group Compliance division, which reports to the Groupe BPCE Corporate Secretary's Office, performs its duties independently of the operational departments and the other Internal Control departments with which it collaborates. It includes the following divisions:

- bancassurance compliance;
- off-balance Sheet D&S Ethics compliance;
- Financial Security responsible for AML/CFT (anti-money laundering and counter financing of terrorism) with BPCE's Tracfin correspondents, the fight against corruption, compliance with embargo sanctions and internal fraud;
- cross-functional oversight and Coordination of Compliance functions;
- compliance and permanent control of Eurotitres;
- compliance and operational risks of BPCE SA.

The Compliance function, defined by the EBA as a "compliance verification function," is in charge of preventing, detecting, measuring and monitoring compliance risks in order to ensure their control.

The Group Compliance division carries out its duties within the framework of business line operations.

It helps guide, motivate, manage and control the Heads of the Compliance function of the affiliates and subsidiaries. The Compliance Officers appointed within the different Group entities, including the Banque Populaire and Caisse d'Epargne banks and direct subsidiaries covered by the regulatory system of banking and financial supervision, are functionally subordinate to the Compliance division.

The Group Compliance division conducts any necessary initiatives to strengthen the compliance of products, services and marketing processes, customer protection, compliance with rules of ethics, the fight against market abuse, monitoring of operations and compliance with sanctions and embargoes. It monitors compliance risks throughout the Group. As such, it builds and revises the standards proposed for the governance of Groupe BPCE, shares best practices and coordinates working groups consisting of departmental representatives.

The dissemination of a compliance culture and consideration of the legitimate interests of customers is also reflected in the training of employees in the sector and the awareness-raising of other departments, including RB&I and 89C3.

Accordingly, the Group Compliance division:

- collaborates and validates the content for the training materials used for the Compliance function in coordination with the Group Human Resources division and the Risk Governance department of the Risk division, which coordinates the annual work schedule for the Risk and Compliance functions;
- helps train Compliance staff, mainly through specialized annual seminars (financial security, compliance, ethics, coordination of permanent compliance controls, etc.);
- coordinates the training of Directors or Heads of Compliance through a dedicated system in conjunction with the Risk culture and Compliance division of the Risk division;
- coordinates and checks the Compliance function of the Group institutions, notably by holding national compliance days, and *via* a system of permanent controls coordinated at Group level;
- draws on the expertise of the Compliance functions of Group institutions *via* theme-based working groups, in particular to develop and implement compliance standards.

Moreover, BPCE's corporate compliance as well as the compliance of the Financial Solutions & Expertise division and other subsidiaries reporting to BPCE, including BPCE International, have also been handled and overseen by the Group Compliance division since the beginning of 2020.

6.11.1 Compliance

ORGANIZATION

As part of its new structure, the Group Compliance division brings together three main business lines, one cross-functional entity dedicated to the management and coordination of Compliance, and three specialized business lines in dedicated entities. It is organized as follows:

Compliance is organized as follows:

Bancassurance Compliance contributes to the prevention of risks of non-compliance with regulations and professional standards in the scope of banking and non-life insurance activities.

As such, it supports the operational sectors in the development and dissemination of standards (including ACPR recommendations and EBA guidelines) and in bringing their processes into compliance with regulatory changes. Bancassurance Compliance also studies the launch of new products and participates in the validation of commercial processes and documents.

Lastly, it supports and leads the Compliance department on all these subjects, and contributes to the development of training modules for Group employees.

Financial Savings Compliance and Ethics covers the compliance and ethics of financial activities as defined by the General Regulation of the French Financial Markets Authority (AMF), as well as the prevention of risks of non-compliance in legislative and regulatory areas in the life insurance and foresight scope.

Within the aforementioned scope, this division is responsible for implementing the applicable regulations and carries out missions related in particular to the approval of products and services, the validation of commercial materials, the training of employees and the prevention of conflicts of interest, while safeguarding the customer's interests and ensuring compliance with market rules and professional standards in banking and finance, together with internal rules and regulations on ethics.

It also includes oversight of investment services and the operating procedures of investment services Compliance Officers (RCSIs).

Since the end of 2016, investment services compliance has also included SRAB commitments (Separation and Regulation of Banking Activities) – Volcker office.

Lastly, it supports, coordinates and supervises the Group entities' Compliance function in this area.

Financial Security covers activities related to anti-money laundering and counter-terrorism financing (AML/CFT), international financial sanctions, embargoes and asset freezes, and anti-corruption measures.

It supports and coordinates the Compliance function on all these topics, updating the reference documentation in compliance with regulatory changes in AML/CFT, national and international financial embargoes, and anti-corruption measures.

Steering and Cross-functional Coordination covers the coordination of Compliance functions, and the centralization of relations with regulators, supervisors and the Group General Inspection in compliance matters. Drawing on the expertise of the Compliance divisions in Bancassurance and Off-balance sheet D&S, it manages the mapping of compliance risks by Groupe BPCE institutions.

1. Measurement and supervision of non-compliance risk

- Non-compliance risks are analyzed, measured, monitored and managed in accordance with the Ministerial Order of November 3, 2014, with the aim of:
 - ensuring a permanent overview of these risks and the associated risk prevention and mitigation system, including updated identification under the new non-compliance risk-mapping exercise;
 - ensuring that the largest risks, if necessary, are subject to controls and action plans aimed at supervising them more effectively.
- Groupe BPCE manages non-compliance risk by mapping out its non-compliance risks and implementing mandatory Level 1 and 2 compliance controls common to all Group retail banking institutions.
- The impact of non-compliance risk was calibrated and measured with the Group's operational risk teams, using the methodology of operational risk tool OSIRISK, covering the risk management systems established by the institutions aimed at reducing gross risk levels.

2. Product governance and supervision

- All new products and services, regardless of their distribution channels, as well as sales materials that fall within the Compliance function's remit, are reviewed by Compliance beforehand. The purpose of this review is to ensure that applicable regulatory requirements are met and that targeted customers – and the public at large – receive clear and fair information. Product supervision is carefully conducted over the entire product life cycle.
- Compliance also coordinates the approval of national sales challenges, ensures that conflicts of interest are managed properly and guarantees that customer interests always come first.
- Compliance is careful to ensure that sales procedures, processes and policies guarantee that the rules of compliance and ethics are observed at all times for all customer segments, and in particular that the advice given to customers is appropriate to their needs.

In 2020, the Group Compliance division continued the program established to strengthen the completeness and compliance of regulatory Know Your Customer files. The aim of the program, in conjunction with the IS platforms, is to prevent accounts from being opened if a customer's tax self-certification form has not

been provided or regulatory records are not complete. Actions have also been taken to support Group institutions in correcting incomplete files (targeting customers, communication kits, reports). Lastly, efforts are under way to roll out a regulatory KYC update system.

BPCE continued working on the remediation plan for the marketing of financial savings products in accordance with the European Markets in Financial Instruments Directive (MiFID 2), the Insurance Distribution Directive (IDD) and PRIIPs.

BPCE has also implemented a remediation plan to bring Group entities into compliance with EMIR regulatory obligations concerning the reporting of SFTR (Securities Financing Transaction Regulation). This reporting has been implemented since July 13, 2020.

CUSTOMER PROTECTION

The Group's reputation and the trust of its customers are strengthened when the products and services it sells comply with regulations and the information it supplies is reliable. To maintain this trust, the Compliance division makes customer protection a top priority.

To that end, Group employees regularly receive training on customer protection issues to maintain the required level of customer service quality. These training sessions are aimed at promoting awareness of compliance and customer protection among new hires and/or sales team employees. Ethics and compliance training, entitled "Fundamentals of professional ethics," has been set up for all Group employees. BPCE has also established a code of good conduct and ethics, rolled out to all Groupe BPCE institutions.

The new Markets in Financial Instruments Directive (MiFID 2) and PRIIPs regulation (Packaged Retail Investment and Insurance-based Products) strengthen investor protection and

market transparency. They have an impact on the Group in its role as a distributor of financial instruments by enhancing the quality of the customer experience in terms of financial savings and insurance products:

- adjustments to customer and KYC data collection (customer profile, characteristics of customer plans in terms of objectives, risks and investment horizons), an updated questionnaire on each customer's financial investment knowledge and experience, and an updated questionnaire on customer risk appetite and loss tolerance, to ensure that suitable advisory services are provided;
- adaptation of offers associated with the financial services and products sold;
- formalization of customer advice (suitability report) and the customer's acceptance of said advice (issuance of customer alerts where necessary);
- organization of relations between the Group's manufacturers and distributors;
- inclusion of provisions related to the transparency of fees and charges at the required level of detail;
- production of periodic suitability reports and value-added reports for customers and recording of conversations for customer relations and advisory purposes;
- disclosure of transaction reports to regulators and the market, best-execution and best-selection requirements;
- Participation in the development of employee training and the change management program related to these new provisions.

HIGHLIGHTS

In terms of banking inclusion, Groupe BPCE has strengthened its support system for financially vulnerable customers, in accordance with the French decree of July 20, 2020.

Lastly, due to an exceptional health crisis, the year 2020 was marked by the validation of exceptional marketing processes as well as specific products (e.g. state-guaranteed loans (SGLs), student loans, extension of the maturity of professional and property loans).

FRENCH BANKING SEPARATION AND REGULATION ACT (SRAB)

Groupe BPCE's market risk map is regularly updated, calling for the creation of internal units subject to an exemption within the meaning of act No. 2013-672 of July 26, 2013 on the separation and regulation of banking activities.

Quarterly indicators are calculated by Natixis, Palatine and BRED in accordance with Article 6 of the Ministerial Order of September 9, 2015 (amended by the Ministerial Order of March 18, 2019); these quarterly indicators are supplemented by an annual indicator as well as quantitative metrics such as NBI or the VaR of the said internal units.

Based on the work carried out by the Group, it has not been necessary to create a ring-fenced subsidiary, and mandates have been implemented at the different subsidiaries in order to supervise the various activities.

In conjunction with the calculations and other work done in accordance with this act, a compliance program was adopted and implemented as from July 2015 in response to the Volcker Rule (section 619 of the US Dodd-Frank Act) within the scope of BPCE SA and its subsidiaries. Taking a broader approach than that of the French Banking Separation and Regulation Act, this program aims to map out all the financial and commercial activities of BPCE SA group, notably to ensure that they comply with the two major bans imposed by the Volcker Rule: the ban on proprietary trading and on certain activities related to covered funds. The Volcker Rule was amended in 2020, giving rise to new Volcker 2.0 and 2.1 provisions that relax the existing system.

As every year since July 2015, the Group has certified its compliance with the Volcker system. Note: in early 2017, Groupe BPCE appointed a SRAB-Volcker officer responsible for the security of the banking segregation mechanisms.

6.11.2 Financial security

ORGANIZATION

Financial security covers anti-money laundering and terrorist financing (AML-TF) measures as well as adherence to international sanctions aimed at individual persons, entities or countries.

BPCE'S INVOLVEMENT IN THE PREVENTION OF MONEY LAUNDERING AND TERRORIST FINANCING

Groupe BPCE works to prevent money laundering and terrorist financing through:

Corporate culture

Promoted across all levels of the company, corporate culture is built on:

- customer relations principles aimed at preventing risks, which are formalized and regularly communicated to the employees;
- a harmonized, biannual training program for Group employees, and specialized training for the Financial Security function.

Organizational structure

In accordance with Groupe BPCE's charters, each institution has its own financial security unit. The Corporate Secretary's Office has a special department that oversees anti-money laundering and terrorist financing procedures, defines the financial security policy for the entire Group, prepares the various related standards and procedures (and has them validated), and ensures that anti-money laundering and terrorist financing risks are incorporated in BPCE's new products and services approval procedure.

Specialized processes

In accordance with regulations, banks have methods for detecting unusual transactions that are specific to their risk classification. These can be used, if needed, to conduct closer analyses and to submit the required reports to Tracfin (French financial intelligence agency) as promptly as possible. The Group's risk classification system incorporates the "at-risk countries" factor when addressing money laundering, terrorism, tax fraud and bribery. The system was also reinforced with the establishment of a database and automated scenarios specifically targeting terrorist financing. With respect to compliance with restrictive measures related to international sanctions, Group institutions are equipped with screening tools that generate alerts on customers (asset freezes on certain individuals or entities) and international flows (asset freezes and countries subject to European and/or US embargoes).

Supervision of operations

Internal reports on the prevention of money laundering and terrorist financing are submitted to company directors and governing bodies, as well as to the central institution.

6.11.3 Business continuity

The management of business interruption risk is handled from a cross-business perspective. This includes the analysis of the Group's main critical business lines, notably liquidity, payment instruments, securities, individual and corporate loans, and fiduciary activities.

ORGANIZATION

The Group Business Continuity department, which reports to the Group Security division, performs its tasks independently of operational divisions. These include:

- managing Group business continuity and coordinating the Group Business Continuity function;
- coordinating the Group's crisis management;
- managing the implementation of the Group Contingency and Business Continuity Plans (CBCPs) and keeping them operational;
- ensuring compliance with regulatory provisions governing business continuity;
- participating in Groupe BPCE's internal and external bodies.

The treatment of the situation resulting from the Covid-19 pandemic confirmed the relevance of the crisis management guidelines adopted, both in terms of the measures and the tools deployed; However, the Group remains aware that these provisions cannot be reproduced for all types of crisis and has therefore developed other responses adapted to the various possible contexts.

Although fully mobilized by the fight against the effects of the health crisis, the teams continued the usual activities to improve the resilience of the systems:

- risk analyzes, using a mapping tool (ArcGIS), in order to check the consistency of the systems with an acceptable level of risk;
- the validation of a Group BCP management tool (Drive) by client establishments, future beneficiaries;
- continued qualification of the criticality of services within the framework of the framework of contracts in progress;
- the creation of a working group and the proposal of a cyber resilience routing sheet to better address the risk of extreme chaos.

6.11.4 Information System Security (ISS)

ORGANIZATION

The Group Security department (DS-G) is in charge of Information System Security (ISS) and the fight against cybercrime. It defines, implements and develops Group ISS policies. It provides continuous and consolidated oversight of information system security, along with technical and regulatory oversight. It initiates and coordinates Group projects aimed at reducing risks in its field. It also represents Groupe BPCE vis-à-vis banking industry groups and public authorities.

Groupe BPCE has established a groupwide Information System Security function comprising the Head of Group Information System Security (RSSI-G), who coordinates the function, and the Heads of IS System Security for all Group entities.

As such, the ISS managers of the parent company affiliates, direct subsidiaries and IS EIGs are functionally attached to the RSSI-G. This functional link takes the form of leadership and coordination actions. This means that:

- the RSSI-G is notified of the appointment of any heads of information system security;
- the Group information system security policy is adopted by individual entities in accordance with application procedures subject to validation by the Head of Group ISS;

- a report on the institutions' compliance with the Group's information system security policy, permanent controls, risk level, primary incidents and actions is submitted to the Group Head of IS System Security.

The project to develop an exhaustive ISS map of the Group's information systems, including the establishments' private information systems, continued.

Two major projects were undertaken:

- development of a Group security framework based on the NIST reference system to regularly assess the Group's maturity on the five pillars of Detect, Identify, Protect, Respond and Recover, to set quantified objectives and to manage actions;
- group Identity and Rights Management (IAM) program with the following objectives:
 - establishing a Group database of individuals, applications and organizations,
 - implementing Group IAM governance,
 - including, if possible, all Group applications in the IAM roadmap, with automatic provisioning and an overview of authorizations.

ANTI-CYBERCRIME SYSTEMS

As a result of its digital transformation, the Group's information systems are becoming increasingly open to the outside world (cloud computing, big data, etc.) and many of its processes are gradually going digital. Employees and customers are also increasingly using the internet and interconnected technologies such as tablets, smartphones and applications on tablets and mobile devices.

Consequently, the Group's assets are constantly more exposed to cyber threats. The targets of these attacks are much broader than the information systems alone. They aim to exploit the potential vulnerabilities and weaknesses of customers, employees, business processes, information systems and security mechanisms at Group buildings and data centers.

A unified Group Security Operation Center (SOC) integrating a level 1, operating in 24x7 is operational.

Several actions have been carried out to strengthen the measures taken to combat cybercrime:

- work to secure websites hosted externally;
- improved website and application security testing capabilities;
- implementation of a Responsible Vulnerability Disclosure program by Groupe BPCE CERT.

Raising employee awareness of cybersecurity

In addition to maintaining the Group's common foundation for raising awareness of ISS, the year 2020 was marked by the industrialization of phishing awareness campaigns and by the renewal of participation in "European Cybersecurity Month."

Within the scope of BPCE SA, in addition to the recurring reviews of application authorizations and rights to IS resources (mailing lists, shared mailboxes, shared files, etc.), the process of mapping all websites published and the monitoring of vulnerability treatment plans have been strengthened.

Moreover, new employee awareness-raising and training campaigns were launched:

- phishing test and phishing awareness-raising campaign;
- participation in new employee acclimation meetings.

Permanent controls on IT security were stepped up during the crisis. The IT supervision teams (*via* the SOC and CERT) were expanded and Groupe BPCE employee awareness-raising initiatives were strengthened in terms of fraud risks.

6.12 Operational risks

ORGANIZATION

The Group Operational Risk division (DROG) – part of the Group Risk division – is in charge of identifying, measuring, monitoring and managing the operational risks incurred in all activities and functions undertaken by Group institutions and subsidiaries.

The operational risk system consists of:

- central organization and a network of operational risk managers and officers, working in all activities, entities and subsidiaries of Group institutions and subsidiaries;
- a methodology based on a set of standards and an OR tool used throughout the Group.

The Operational Risk function operates:

- in all structures consolidated or controlled by the institution or the subsidiary (banking, financial, insurance, etc.);
- in all activities exposed to operational risks, including outsourced activities, within the meaning of Article 10 q and Article 10 r of the Ministerial Order of November 3, 2014 “outsourced activities and services or other critical or essential operational tasks.”

The Group Non-Financial Risk Committee (CRNFG) defines the risk policy rolled out to the institutions and subsidiaries, and the DROG ensures that the policy is applied throughout the Group.

METHODOLOGY

The operational risk management system is part of the Risk Assessment Statement (RAS) and Risk Assessment Framework (RAF) systems defined by the Group. These systems and indicators are adapted at the level of each Group institution and subsidiary.

The mapping methodology is part of the Group’s permanent control system and includes the operational risk, compliance, information system security, personal and property safety and Permanent Control functions.

Measurement of risk exposure is based on a forward-looking model, which quantifies and classes risk scenarios and thus provides the Non-Financial Risk Committees with the necessary elements to define their risk tolerance.

Risk-predictive indicators are produced from the main risks identified in the non-financial risk map.

Risk supervision and monitoring were improved through the drafting of reports aimed at providing a uniform measurement to the Group as a whole of its risk exposure and cost of risk.

The OR function’s production staff perform two types of Level 2 controls on operational risks:

- comprehensive automated controls;
- sample-based manual controls.

BPCE’s Operational Risk function ensures that the structure and systems in place at the institutions and subsidiaries allow them to achieve their objectives and fulfill their duties. To that end, it:

- coordinates the function and performs risk supervision and controls at the institutions/subsidiaries and their subsidiaries;
- centralizes and analyzes the Group’s exposure to non-financial risks, verifies the implementation of corrective actions decided by the Operational Risk Committee, and reports any excessive implementation times to senior management;
- performs controls to ensure that Group standards and methods are observed by the institutions and subsidiaries;
- performs a regulatory watch, distributes and relays operational risk alerts due to incidents with the potential to spread to the appropriate institutions/subsidiaries;
- prepares reports, by institution or subsidiary, for the Group and the regulatory authorities (COREP OR), analyzes the reports and content of the OR committees of the institutions and subsidiaries, and notifies the Group Non-Financial Risk Committee of any inadequate systems and/or excessive risk exposure, which in turn notifies the institution in question.

OPERATIONAL RISK OVERSIGHT

Operational risk oversight within the Group is coordinated at two levels:

1. At the level of each Group institution

- The Operational Risk Committee is responsible for adapting the operational risk management policy and ensuring the relevance and effectiveness of the operational risk management system. Accordingly, it:
 - examines major and recurring incidents, and validates the associated corrective actions;
 - examines indicator breaches, decides on associated corrective actions, and tracks progress on risk mitigation initiatives;
 - examines permanent controls carried out by the Operational Risk function and in particular any excessive delays in implementing corrective actions;
 - helps organize and train the network of OR officers;
 - determines if any changes need to be made in local insurance policies.
- The frequency of meetings depends on the intensity of the institution's risks, in accordance with three operational schemes reviewed once a year by the Group Non-Financial Risk Committee (CRNFG) and communicated to the entities.

2. At Groupe BPCE level

- The CRNFG meets quarterly and is chaired by a member of the Executive Management Committee.
- Its main duties are to define the OR standard, ensure that the OR system is deployed at the Group entities, and define the Group OR policy. Accordingly, it:
 - examines major risks incurred by the Group and defines its tolerance level, decides on the implementation of corrective actions affecting the Group and monitors their progress;
 - assesses the level of resources to be allocated;
 - reviews major incidents within its remit, validates the aggregated map of operational risks at Group level, which is used for the macro-level risk mapping campaign;
 - monitors major risk positions across all Group businesses, including risks relating to non-compliance, financial audits, personal and property safety, contingency and business continuity planning, financial security and information system security (ISS);
 - lastly, validates Group RAF indicators related to non-financial risks as well as their thresholds.

INCIDENT AND LOSS DATA COLLECTION

Incident data are collected to build knowledge of the cost of risks, continuously improve management systems, and meet regulatory objectives.

An incident log (incident database) was created to:

- broaden risk analysis and gain the knowledge needed to adjust action plans and assess their relevance;
- produce COREP regulatory half-year operational risk statements;
- produce reports for the executive and governing bodies and for non-management personnel;
- establish a record that can be used for operational risk modeling.

Incidents are reported as they occur, as soon as they are detected, in accordance with Group procedure. A whistleblowing procedure has been set up for major incidents and internal limit breaches to round out the incident data collection system.

OPERATIONAL RISK OVERSIGHT

MAPPING

The operational risk management system relies on a mapping process which is updated annually by all Group entities.

Mapping enables the forward-looking identification and measurement of high-risk processes. For a given scope, it allows the Group to measure its exposure to risks for the year ahead. This exposure is then assessed and validated by the relevant committees in order to launch action plans aimed at reducing exposure. The mapping scope includes emerging risks, risks related to information and communication technologies and security, including cyber risks, risks related to service providers and risks of non-compliance.

This same mapping mechanism is used during the Group's ICAAP to identify and measure its main operational risks. The operational risk map also serves as a basis for the macro-level risk mapping campaign covering the institutions, and thus for the Group overall.

ACTION PLANS AND MONITORING OF CORRECTIVE ACTIONS

Corrective actions are implemented to reduce the frequency, impact or spread of operational risks. They may be introduced following operational risk mapping, breaches of risk indicator thresholds or specific incidents.

Progress on key actions is monitored by each entity's Operational Risk Management Committee.

At Group level, progress on action plans for the principal risk areas is also specifically monitored by the Non-Financial Risk Management Committee.

INCIDENT ALERT PROCEDURE

The alert procedure for serious incidents has been extended to the entire scope of Groupe BPCE. The aim of this system is to enhance and reinforce the system for collecting loss data across the Group.

An operational risk incident is deemed to be serious when the potential financial impact at the time of detection is over €300,000, or over €1 million for Natixis. Operational risk incidents with a material impact on the image and reputation of the Group or its subsidiaries are also deemed to be serious.

There is also a procedure in place covering material operational risks, within the meaning of Article 98 of the Ministerial Order of November 3, 2014, for which the minimum threshold is set at 0.5% of Common Equity Tier 1.

OPERATIONAL RISK MEASUREMENT

Groupe BPCE applies the standardized approach to calculate its capital requirements. Moreover, elements of internal control are considered in the assessment of the Group's net risk exposures.

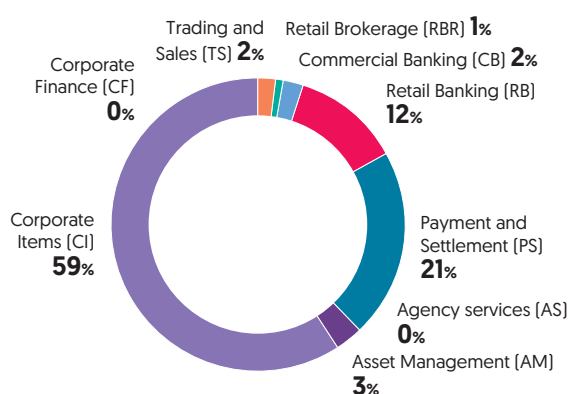
HIGHLIGHTS

The following special measures were applied to oversight of operational risks:

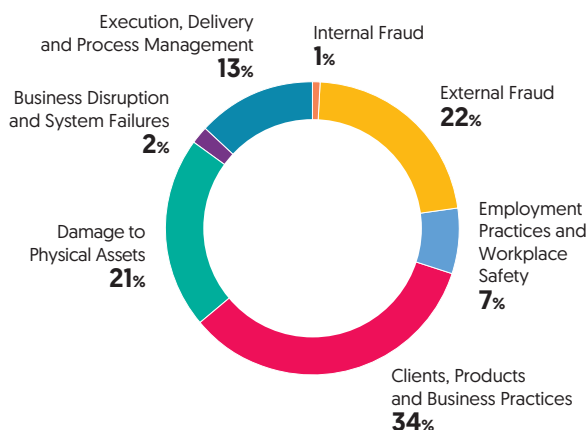
- measurement of impact completeness: joint oversight between CBCP (Contingency and Business Continuity Plan) functions and operational risks, with exchange of information and recognition of operating losses due to Covid-19 (during monthly videoconferencing sessions of institutions' operational risk functions);
- verification of completeness and quality of data input to the information system: weekly check of all operational risk incidents entered by all Group entities to ensure that Covid-19 related losses are clearly flagged as such (control carried out by Operational Risk Function team);
- new incidents and monthly increases/decreases are reported for operational risk events related directly or indirectly to the health crisis (COREP view) as of March 1 (external fraud; execution, delivery and process management; damage to physical assets; employment practices and workplace safety; business disruption and systems failures; clients, products and business practice; internal fraud);
- establishment of monthly reporting on Covid-19 losses for submission to the ECB, Group executive managers and the operational risk function (under the responsibility of the consolidated operational risks team).

BREAKDOWN OF LOSSES

BREAKDOWN OF LOSSES BY BASEL BUSINESS LINE



BREAKDOWN OF LOSSES BY BASEL LOSS EVENT CATEGORY



OPERATIONAL RISK MITIGATION TECHNIQUES

In terms of Insurance, the networks and subsidiaries benefit from coverage of their insurable operational risks under group Insurance policies contracted from leading Insurance companies. In addition, the Group has set up its own captive insurance company.

COVERAGE OF INSURABLE RISKS

On January 1, 2020, BPCE SA had taken out (for itself):

- that of its subsidiaries, including Natixis;
- and for the Banque Populaire and Caisse d'Epargne networks, except for Caisse d'Epargne Rhône Alpes, covering:
 - the "Fraud" component of the Insurance coverage described in point A.a) below;
 - the "Global Banking" Insurance coverage described in point A.b) below;
 - the "Global Banking" component of the Insurance coverage described in point A.d) below;
 - and the Insurance coverage for "Property Damage" to "Registered Offices & Similar" and to their contents (including IS equipment) and the consecutive losses in banking activities described in point E below.

The following main Insurance policies to cover its insurable operational risks and protect its balance sheet and income statement:

- A/ combined "Global Banking (Damages to Valuables and Fraud)" & "Professional Civil Liability" policy with a total maximum payout of €215.5 million per year of insurance, of which:
 - a) €72.5 million per year, combined "Fraud/Professional Third Party Liability" and underlying the guaranteed amounts indicated in b) and/or c) and/or d) below;

- b)** €48 million per claim and per year, solely reserved for "Global Banking" risk,
- c)** €25 million per claim and per year, solely reserved for "Professional Civil Liability" risk,
- d)** €70 million per claim and per year, combined "Global Banking/Professional Civil Liability" insurance available in addition to or after use of the amounts guaranteed set out in b) and/or c) above.

The maximum amount that can be paid out for any one claim under this arrangement is €118.5 million under "Professional Civil Liability" coverage and €119 million under "Fraud" coverage in excess of the applicable deductibles.

- B/** "Regulated Intermediation Liability" (in three areas: Financial Intermediation, Insurance Intermediation, Real Estate Transactions/Management) with a total maximum payout of €10 million per claim and per year.
- C/** "Operating Civil Liability" covering €100 million per claim, as well as a "Subsidiary Owner Civil Liability"/"Post Delivery-Reception Civil Liability" coverage extension for up to €35 million per claim and per year of insurance.

D/ "Company Directors Civil Liability" for up to €200 million per claim and per year of insurance.

E/ "Property Damage" to "Registered Offices & Similar" and to their content (including IS equipment) and the consecutive "losses in banking activities," for up to €400 million per claim.

F/ "Protection of Digital Assets against Cyber-Risks" & the consecutive "losses in banking activities," for up to €140 million per claim and per year of insurance.

This coverage extends worldwide for initial risk or umbrella risk, subject to certain exceptions, mainly in terms of "Professional Civil Liability" where the policy does not cover permanent institutions based in the United States (where coverage is obtained locally by Natixis' US operations). All the insurance policies mentioned above were taken out with reputable, creditworthy insurance companies and in excess of the deductibles and Groupe BPCE's risk-retention capacity.

All the insurance policies mentioned above were taken out with reputable, creditworthy insurance companies and in excess of the deductibles and Groupe BPCE's risk-retention capacity.

6.13 Insurance, asset management, financial conglomerate risks

Organization

The Non-Banking Participations Risk department comprises the Insurance Risk, Asset Management Risk and Additional Supervision of Financial Conglomerates divisions.

Insurance risks

Insurance risk is the risk of any mismatch between expected losses and actual losses. Depending on the insurance products concerned, the risk varies according to changes in macroeconomic factors, changes in customer behavior, changes in public health policy, pandemics, accidents and natural disasters (e.g. such as earthquakes, industrial accidents or acts of terrorism or war). The credit insurance business is also exposed to credit risk.

The management of insurance risks requires a good understanding of the technical insurance risks in order to be able to meet its commitments to policyholders and contract beneficiaries; this is accompanied by special attention to the financial risks borne by assets under representation.

In addition to protecting the balance sheet and income statement of insurance companies, the aim is to guarantee the solvency and liquidity of insurance companies.

To this end, the Group's companies have put in place effective systems for measuring, reporting and managing risks. The important preparatory phase enabled the implementation of the systems to comply with the new regulatory requirements required since January 1, 2016 with the implementation of the Solvency II directive (Pillar I Quantitative Solvency Requirements, Pillar II Governance & ORSA, Pillar III Prudential reporting and public information).

In addition, since 2011 the Group has deployed an insurance risk unit. It meets the requirements of the Financial Conglomerate Directive 2002/87/EC (FICOD) and its transposition in France by the decree of November 3, 2014 on the additional supervision of

financial conglomerates, through the cross-functional risk monitoring system. Group insurance, and by ensuring, at the same time, the functional and regulatory interoperability between the banking and insurance sectors.

Groupe BPCE's Risk division, in coordination with the Natixis Insurance division, ensures the effective implementation and functioning of insurance risk monitoring systems (including technical ones) within the main insurance organizations, of which the Group is the reference shareholder, namely: the Compagnie Européenne de Garanties et de Cautions (CEGC), Prepar-Vie and Natixis Assurances including its subsidiary BPCE Assurances.

Following the agreement to sell 29.5% share capital by Natixis to Arch Capital, Coface is consolidated on the basis of IAS 28 applicable to non-controlled companies. This investment no longer falls within the scope of the Group Insurance and Financial Conglomerate Risk divisions.

Insurance Risk Monitoring Committees (CSRAs) have been formally set up for each company, which meet on a quarterly basis.

In this context, the principle of subsidiarity applies, with checks carried out firstly by the insurance companies, then at the level of the Risk divisions of the parent banking companies of the companies (Natixis and BRED Banque Populaire), and finally by the Risk division of the parent companies of the companies (Natixis and BRED Banque Populaire). Groupe BPCE's Risk division, which informs the Group Risks and Compliance Committee (CRCG) every six months.

Asset Management risks

Like the system adopted for the Insurance business line, the operation of this system is based on subsidiarity with the Risk divisions of the parent banks and business lines; in particular, Natixis Investment Managers, which consolidates most of the Group's assets under management.

By setting up an Asset Management Risk System, the Risk division pursues the following main objectives:

1. identify the major risks that could impact the Group's solvency trajectory as a Financial Conglomerate to cover its banking or Conglomerate prudential ratios;
2. be associated with the contributions of the sector during Group exercises (ICAAP, PPR, stress test, etc.) so as to identify the risks of the business model on the contribution to results and equity, quantify them and prioritize them;
3. organize the management of the system by specifying a risk review and setting up a formal quarterly meeting;
4. inform General Management by presenting a summary of the review of the risks of our Asset Management activities to the CRCG.

In the Asset Management business line, the Risk division formally ensures: the coordination of the risk system (cross-functional workshops or focus); running cross-functional projects related to the banking sector; information to General Management with a summary report for the members of the CRCG.

The system is based on contributions from asset management companies and their work on risks.

Due to its large majority, the system relies mainly on Natixis Investment Managers. The re-use of existing work and

methodologies locally is favored to establish supervision at the Group level. Key risk monitoring indicators are determined with Natixis IM in coordination with Natixis.

The Risk division, together with Natixis and/or Natixis IM, anticipates the impacts of consultations and regulatory changes.

The system also provides for the implementation of an annual review for asset management companies that are not significant at the Group level but significant for their parent banking company for the following entities: EcoFi Investissements, Palatine AM and Promepar AM.

Additional monitoring of the financial conglomerate

Groupe BPCE, identified by the ACPR/ECB as a financial conglomerate due to the absolute and relative size of its banking and insurance activities, is subject to the related additional monitoring requirements⁽¹⁾. Since the entry into force of the Single Supervisory Mechanism (SSM), the ECB has coordinated the supervision of predominantly banking financial conglomerates.

As regards the financial conglomerate, CNP Assurances, in which BPCE is a minority shareholder, is subject to Group supervision because of its significance. This is done through a dedicated mechanism (CNP complementary monitoring committee) set up between the two groups. This committee is governed by internal rules, which set out the procedures for exchanging information necessary for the organization of this monitoring, and the rules of confidentiality applicable to its members.

Additional monitoring of the Financial Conglomerate

Engagement letter	Additional quarterly Supervisory Committee dedicated to CNP [CSC CNP]	Conglomerate Financial Committee
Approved by the Executive Board in December 2017 Identifies the work and players	Review of all risks, Focus on thematic risks, Coordination of cross-functional issues (Stress Tests, IFRS 17, etc.)	3/4 times a year depending on the themes & subjects reported in CRCG

The regulation related to the conglomerate requires an overview of the entire accounting consolidation scope (banking, insurance, Asset Management and non-financial sector). Additional monitoring focuses on:

- capital adequacy of the “financial conglomerate;”
- monitoring of intra-group transactions between the various entities of the conglomerate;
- monitoring the concentration of risks;
- risk management procedures and internal control system.

In terms of risk monitoring:

- the financial conglomerate approach aims to capture the main interactions between the banking, insurance and Asset Management sectors that could, due to an exogenous or endogenous event, impact the Group’s risk profile and its main trajectories (results, results, etc. solvency, liquidity);
- it makes it possible to consolidate the banking and insurance sector metrics, in particular capital requirements;

- complementary supervision is based mainly on the banking system as a whole, and on the insurance and Asset Management risks.

In order to provide a forward-looking view of the Group’s solvency through the financial conglomerate’s reading grid, Groupe BPCE projects the excess equity over several years under different scenarios. The conglomerate’s excess equity is monitored in the Group’s RAF (Risk Appetite Framework) first-rate indicators.

The entire system, in its main dimensions – insurance, Asset Management, banking, financial conglomerate – is the subject of presentations and discussions with the joint ECB/ACPR supervision team, in particular at meetings. dedicated to the JST (Joint Supervisory Team). In particular, the organization of the risk management system, as well as the main analyzes and points of attention brought to the attention of BPCE’s General Management during the year, are reviewed.

[1] Directive 2002/87/EC of December 16, 2002 [as amended] on the additional supervision of credit institutions, insurance companies and banks belonging to a financial conglomerate, transposed into French law by the French law Order No. 2004-1201 of November 12, 2004, and the order of November 3, 2014 on the additional supervision of financial conglomerates.

STRESS TESTS & METHODOLOGIES

In a conglomerate approach, a global and integrated system of trajectories and stress tests has been developed. This system encompasses and is based on the three regulations Solvency II, Basel III and Financial Conglomerate. The application of common assumptions in these three dimensions provides a holistic view of the Group's solvency.

The Risk division is mainly responsible for:

- coordinating the Group's approach to insurance sector stress tests, in particular the Solvency II ORSAs; from the determination of the detailed financial assumptions common to the companies, to the analysis at Group level of the results and the formulation of recommendations;
- analysis of contagion mechanisms and regulatory interactions (Solvency II⁽¹⁾, Basel III, Financial Conglomerate).

The Group's insurance companies are included in the banking STI (Internal Stress Tests) as part of the ICAAP (Internal Capital Adequacy Assessment Process) normative approach. The modeling includes:

- stressed insurance parameters (based on ORSA, Own Risk and Solvency Assessment) in addition to the economic and financial parameters used by the Group;

- the simulation of the SCR and MCR Solvency II ratios on the basis of the ICAAP scenarios in order to objectify any stress capital requirements;
- the simulation of IFRS variables (Net income retained or distributed, OCI, value and difference in equity method, etc.) impacting the bank solvency ratio in accordance with prudential specifications;
- fees and commissions paid by companies to distribution payment networks, as well as those payable to the Group's Asset Management players.

CNP Assurances has been part of the Group's ICAAP approach since the establishment of the Complementary Supervisory Committee (CSC CNP).

As part of the ICAAP Economic Approach, the Risk division has developed an Economic Capital model for Participations Assurance risk (carry and step-in risk). Designed in coordination with the BPCE/Natixis Financial departments and the Risk division of the companies, the objective of this model is to reassess the bank capital consumed by insurance on an economic basis. It aims to enhance the joint management of the risk/profitability ratio.

In addition, the Risk division contributes to the Group's work, and coordinates or supervises the work of insurance companies, which have a quantitative or methodological dimension relating to bancassurance (actuarial methods, linking of insurance to EBA stress tests, etc.).

Activities in 2020

Insurance	Asset Management	Financial Conglomerate	Stress Tests & Methodologies
CEGC risk profile analysis	Production of Natixis IM risk monitoring indicators	CNP Complementary Monitoring Committee - Coordination and analysis (risk monitoring; focus on Covid-19, climate risks, non-compliance risks, ORSA)	Group approach to stress tests Insurance - ORSA coordination + SII, BIII and Conglomerate dimensions
Analysis of solvency ratios in view of the deteriorated market context	Studies on the use of liquidity tools by money market funds	Conglomerate equity surplus - Workshops to review the calculation methods at the various levels	Group approach to stress tests Insurance - Analysis of major solvency risks and contagion mechanisms
Review of Risk Appetite Framework indicators	Estimates of the impact of Covid-19 market shocks on NIM results (Stress Tests)	Group Liquidity dependence on real estate risk (including surety / mortgage) - Coordination of the analysis	Economic risk capital of Insurance Investments - Objective study of the insurance / banking correlation

[1] The Risk division remains vigilant to changes in Solvency II regulations. A second revision covering a large part of directive 2009/138/EC (including Pillar I) is currently under discussion between the European Commission, EIOPA and the profession.

Natixis Assurances

Natixis Assurances is the Insurance division of Natixis and is divided into two business lines:

- the personal insurance business, focused on developing portfolios of life insurance and endowment policies for investment and retirement purposes, as well as personal protection insurance portfolios;
- the non-life insurance business, focused on developing portfolios for auto and multi-risk home insurance, personal accident insurance, legal protection, healthcare and property & casualty insurance.

Given the predominance of the investment solutions activity, the main risks to which Natixis Assurances is exposed are financial. The company is also exposed to underwriting risks (life and non-life), as well as counterparty risk.

MARKET RISKS

Market risk is in large part borne by subsidiary BPCE Vie on the financial assets that underpin its commitments with guaranteed principal and returns (euro-denominated policies: €59.8 billion on the main fund balance sheet). The company is exposed to asset impairment risk (fall in the equity or real estate market, widening spreads, interest rate hikes) as well as the risk of lower interest rates which would generate insufficient income to meet its guaranteed principal and returns. To deal with this risk, BPCE Vie has only sold policies with a minimum guaranteed return in recent years: more than 95% of the policies have a zero minimum guaranteed return. The minimum guaranteed return averages 0.12%.

To manage market risk, the sources of return have been diversified, namely via investments in new asset classes (funding the economy, infrastructure, etc.). This diversification is managed by a strategic allocation, defined on a yearly basis, that takes into account regulatory constraints, commitments to policyholders and commercial requirements.

CREDIT RISKS

Credit risk is monitored and managed in compliance with Natixis Assurances' internal standards and limits. On December 31, 2020, 63% of the fixed-income portfolio is invested in securities rated A- or higher.

LIFE INSURANCE UNDERWRITING RISK

The main risk to which life insurance underwriting is exposed is associated with the investment solutions activity. In an especially low interest-rate environment, the biggest risk is that of fewer redemptions and/or excessive inflows in euro-denominated vehicles, as reinvestments in securities dilute the main fund's return. To prioritize inflows in unit-linked policies, measures have been taken, such as the creation of unit-linked products and communication campaigns, and a communication campaign targeting customers and the network.

NON-LIFE INSURANCE UNDERWRITING RISK

The non-life insurance underwriting risk to which Natixis Assurances is exposed is borne by its subsidiary BPCE Assurances:

- premium risk: to ensure that the premiums paid by the policyholders match the transferred risk, BPCE Assurances implemented a portfolio monitoring policy whereby each policy is given a score based on its track record over three years. The score factors in types of claims, number of claims, their cost and other variables specific to the activity in question (degree of liability and bonuses/penalties for auto insurance, for instance). This supervision policy also helps to detect potential risks arising from large claims, and to arrange adequate reinsurance coverage;
- risk of loss: each time inventory is taken, an actuarial assessment of the provisions for claims payable is conducted based on methods widely recognized by the profession and required by the regulator;
- catastrophe risk: catastrophe risk is the exposure to an event of significant magnitude generating a multitude of claims (storm, risk of civil liability, etc.). This risk is therefore reinsured either through the government in the event of a natural disaster or an attack, for example, or through private reinsurers, specifically in the event of a storm or a civil liability claim, or through reinsurance pools.

COUNTERPARTY RISK

The counterparty risk to which Natixis Assurances is exposed mainly concerns reinsurance counterparties. The selection of reinsurers is a key component of managing this risk:

- Natixis Assurances deals with reinsurers that are subject to a financial rating by at least one of the three internationally recognized rating agencies, and that have a Standard & Poor's equivalent rating of A- or higher;
- using several reinsurers ensures counterparty diversification and limits counterparty risk.

Coface

Through its activities, Coface is exposed to five main types of risk (strategic risk, credit risk, financial risk, operational and non-compliance risk, and reinsurance risk), of which the two principal risks are credit risk and financial risk.

CREDIT RISKS

Credit risk is defined as the risk of loss, due to non-payment by an obligor, of a receivable owed to a policyholder of the Group. Coface manages credit risk through a number of procedures, whose scope includes the approval of the terms of product policies, pricing, monitoring of credit risk hedges and portfolio diversification. Credit risk can be exacerbated due to the concentration of exposures (countries, sectors, obligors, etc.). Traditionally, Coface makes a distinction between frequency risk and event risk:

- frequency risk is the risk of a sudden material increase in delinquency by a large number of obligors. This risk is measured for each region and country by monitoring the instantaneous loss ratio^[1]. As regards exposure and portfolio monitoring, the Group has set up detailed risk oversight. Accordingly, delinquent payments are analyzed weekly by the Senior Management Committee and monthly by Coface's Underwriting Committee. Loss ratios for the different underwriting regions are also monitored at the consolidated Coface level;
- event risk is the risk of abnormally high losses recorded for the same obligor or group of obligors, or of an accumulation of losses for the same country. Event risk is covered by Coface Re SA reinsurance.

In addition to weekly and monthly monitoring of each region and country, Coface has implemented a system based on:

- the centralization of provisions for claims exceeding a certain amount per obligor, which are then analyzed ex-post to improve the performance of the information, underwriting and collection business;
- a Debtor Risk Assessment (DRA) system covering all debtors;
- oversight of underwriting risk, which, above a given level of Debtor Risk Assessment (DRA)-based outstandings, generates an approval and the establishment of an overall budget by Coface's Underwriting department.

DIVERSIFICATION OF THE CREDIT RISK PORTFOLIO

Coface maintains a diversified credit risk portfolio, in order to minimize the risk of debtor default, a slowdown in a given business sector, or an adverse event in a given country having a disproportionate impact on its overall loss ratio. The insurance policies also include clauses to modify credit limits during the contract: the credit insurer may reduce or cancel its credit insurance cover for new sales to the debtor concerned. As an exception to this rule, and depending on the policyholder's expertise, Coface may grant certain policyholders a degree of autonomy in setting credit limits for outstandings not exceeding an amount set in the contract.

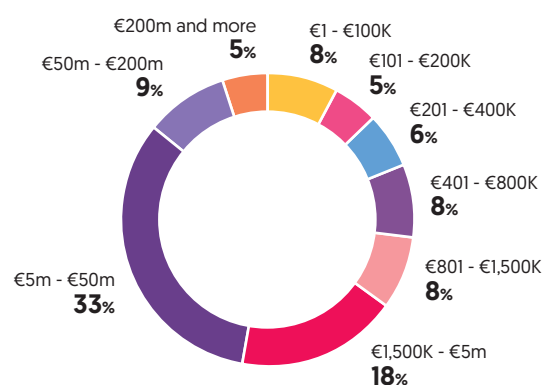
Underwriting decisions are made by groups of arbitrators in various underwriting centers, who work in real time and networked through the advanced ATLAS arbitration system. These underwriting decisions are part of the overall risk underwriting policy placed under the responsibility of the Group Arbitration department.

The overall quality of the insured receivables portfolio is monitored by an indicator comparing the volume of exposure weighted by the risk assessment to the estimated volume of premiums. This indicator is broken down by geographical area.

Furthermore, the fact that the great majority of Coface's risks is short-term (95% of total outstandings) allows it to reduce the risk covered for an obligor or group of obligors relatively quickly and to anticipate a decrease in their solvency.

Level 2 controls are set up to ensure that the Group's credit risk standards are observed.

The following chart analyzes the breakdown of obligors by total credit risk exposure incurred by Coface on December 31, 2020:



FINANCIAL RISK

Coface has implemented an investment policy that incorporates the management of financial risk through the definition of its strategic allocation, regulations governing insurance companies and constraints related to the management of its liabilities. The investment strategy implemented must make it possible to meet the Group's commitments to its policyholders while optimizing investments and performance within a defined risk framework.

[1] The instantaneous loss ratio is a weekly indicator used to reconstruct changes in the loss ratio. It is monitored for each region and each country and is the subject of weekly reports within Coface, allowing the arbitrators to monitor the evolution of their portfolio and detect any possible deterioration in order to implement corrective actions at a later date.

Management of financial risks is thus based on a rigorous system of standards and controls which is regularly reviewed:

- interest rate risk and credit risk: the majority of Coface's allocations are in fixed-income products, ensuring stable and recurring revenues. The modified duration of the bond portfolio has been deliberately capped at 5 and stood at 4.17 on December 31, 2020. Exposures to Greek sovereign debt were once again nil. As part of the strategic allocation and in line with the health crisis, Coface implemented actions aimed at reducing the risk of the investment portfolio from the start of the crisis. The risk was controlled thanks to the review of all the counterparties in the portfolio, starting at the end of February, and the reduction in exposure to Italian and Spanish government debt, emerging market debt and high -end debt. yield, investment grade BBB corporate bonds and equities, in favor of money market;
- foreign exchange risk: the majority of Coface's investment instruments are denominated in euros. Subsidiaries and branches using other currencies must observe the same principles of congruence. In addition, for the majority of the portfolio, which includes all of the Group's European entities, foreign exchange risk is systematically hedged for investments in currencies that do not comply with the principle of matching. As a result, as of December 31, 2020, investments in bonds denominated in US dollars, pounds sterling, yen, Norwegian krone and Swedish krona in this portfolio were systematically hedged against euros by the managers in charge of the portfolios concerned. Foreign currency transactions carried out by the subsidiaries are

monitored by the Group in order to decide on the need to take out the associated hedges on a case-by-case basis;

- equity risk: exposure is capped at less than 10% of the portfolio and is concentrated in the euro zone, in connection with its core business. On December 31, 2020, equities represented 5.3% of the investment portfolio, including 5% of equities listed on a market in the euro zone. These investments were partially hedged on the Eurostoxx 50 index. These hedges can be adjusted in line with investments and the amount of unrealized capital gains or losses on equity holdings;
- counterparty risk: maximum exposure to any given counterparty is set at 5% of assets under management, with exceptional exemptions for short-term exposures. On December 31, 2020, more than 95% of the bonds held by the Group had a median rating of BBB- or higher and no exposure rated CCC, attributed by at least one internationally recognized rating agency;
- liquidity risk: short-term exposure decreased slightly to 38.8% (compared to 48% in 2019) of securities in the bond portfolio with a duration of less than three years as on December 31, 2020 and an increase in securities with a duration of duration. more than five years (39.8% compared to 31.6% in 2019) due to the increase in the duration of the bond portfolio. The vast majority of the portfolio is listed on OECD markets and carries a liquidity risk that is currently considered as low.

Level 2 controls on compliance with Coface's investment policy are also carried out.

CEGC

Compagnie Européenne de Garanties et Cautions is the Group's Security and Guarantee insurance platform. It is exposed to underwriting risk, market risk, reinsurer default risk and operational risk.

Against an economic backdrop significantly impacted by the health crisis, home loan origination has remained very robust. In 2020 there was strong resistance to the underwriting risk, reflected by a loss ratio of 27% of earned premiums (gross reinsurance ratio). Provisions were adapted to take into account increased risk expectations and the extended duration of certain collateral.

Under the Solvency II prudential regime, which came into force on January 1, 2016, CEGC uses a partial internal model approved by the ACPR. CEGC therefore meets the specific requirement applicable to mortgage loan guarantors to improve the robustness of the French banking system for home loans.

In 2020, CEGC issued €150 million in subordinated debt, bringing the level of capital classified as Tier 2 to €400 million, to bolster eligible equity capital for the Solvency Capital Requirement (the solvency ratio in the fourth quarter of 2020 was 140%).

UNDERWRITING RISK

Underwriting risk is the main risk incurred by CEGC. It is essentially a counterparty risk, as the commitments given by CEGC to beneficiaries of guarantees result in direct exposure to individual or corporate insured parties. These regulated commitments, provisioned under liabilities in the balance sheet, amounted to €2.52 billion on December 31, 2020 (up 16% compared to end-2019).

AMOUNT OF CEGC REGULATED COMMITMENTS *(in millions of euros)*

CEGC activities	December 2020	Change December 2020 versus December 2019
Individual customers	2,264	14.2%
Single-family home builders	35	46.2%
Property administrators – Realtors	16	1.6%
Corporates	43	23.7%
Real estate developers	22	25.3%
Professional customers	86	10.2%
Social economy – Social housing	51	2.8%
Structured collateral	7	(20.4%)
TOTAL	2,524	15.6%

MARKET RISKS

CEGC's short-term investment portfolio totaled around €3 billion on its balance sheet on December 31, 2020 hedging underwriting provisions. After a sharp fall in the first quarter of 2021, the market value of assets recovered and the amount of unrealized capital gains at December 31, 2020 was €242 million (up €35 million compared with December 31, 2019).

Market risk associated with the short-term investment portfolio is limited by the company's investment choices.

The company's risk limits are set out in the financial management charter and the asset management agreement established with Ostrum. As an insurance company, CEGC does not require funding, since insurance premiums are collected before the disbursement of claims. Nor does CEGC carry transformation risk: the investment portfolio is entirely backed by own funds and technical reserves.

CEGC INVESTMENT PORTFOLIO

	12/31/2020			12/31/2019		
	Balance sheet value, net of provision	In %	Mark to market	Balance sheet value, net of provision	In %	Mark to market
<i>in millions of euros</i>						
Equity exposures	272	9.1%	2,324	194	7.7%	213
Bonds	2,126	71.1%	286	1,771	70.2%	1,934
Diversified	197	6.6%	204	159	6.3%	162
Cash	163	5.4%	163	194	7.7%	194
Real estate	192	6.4%	208	187	7.4%	202
FCPR	18	0.6%	26	16	0.6%	23
Private debt	19	0.6%	19			
Other	2	0.1%	2	2	0.1%	2
TOTAL	2,989	100%	3,231	2,523	100%	2,730

REINSURANCE RISK

CEGC hedges its liability portfolio by implementing a reinsurance program tailored to its activities.

In loan guarantees, reinsurance is used as a tool for regulatory capital management. It protects guarantee beneficiaries in the event of an economic recession leading to a loss of up to 2% of outstanding guaranteed loans.

In the corporate segments, the program is used to protect CEGC's capital by hedging against high-intensity risks. It has been calibrated to cover three major individual loss events (loss related to a counterparty or a group of counterparties) with the potential to significantly impact CEGC's income statement.

Reinsurer default risk is governed by counterparty concentration and rating limits. CEGC's reinsurance programs are underwritten by a broad panel of international reinsurers with a minimum rating of A on the S&P scale.

6.14 Climate risks

6.14.1 Governance and structure

Since January 1, 2019, Groupe BPCE has had a Climate Risks division within the Risk Governance department of the BPCE Risk division. Following the creation of this division, climate risk correspondents were appointed in the establishments of the Banque Populaire and Caisse d'Epargne networks, as well as in the Group's subsidiaries in the summer of 2020. The Climate Risks division has carried out numerous works relating to the governance, strategy and management of climate and environmental risks.

The creation of a Climate Risk Committee, chaired by the Chairman of Groupe BPCE and bringing together three members of BPCE's General Management Committee, demonstrates the Group's interest in these issues. This biannual Committee met for the first time on December 5, 2020 and provides an opportunity to address climate issues from a cross-functional perspective for the Group and its various business lines.

6.14.2 Acceleration of the integration of a section dedicated to climate risks and Environmental, Social and Governance (ESG) criteria

CREDIT RISKS

The ESG criteria are included in the Group's overall risk policy and applied in sectoral policies. Since 2019, the consideration of climate risks has been updated with each review of the Group's sectoral policies by the Credit Risk division.

A sector review of ESG risks was carried out by the CoREFI (Committee for Non-Financial Risks, composed of the CSR and Climate Risk teams) in the first quarter of 2020 and each sector will be reviewed at least every two years and at a rate closer according to needs and circumstances. CoREFI has prepared a sector rating based on ESG criteria, in accordance with the ESG methodology specified below. This rating and the analysis methodology were validated by the Standards and Methods Committee on June 12, 2020. The CoREFI rating enabled a sector classification to be validated by the Sector Monitoring Committee, which was communicated to the institutions and subsidiaries.

The Climate Risk division is adding a non-financial note, from end of 2020 forward, from the counterparty and a reminder of the ESG issues in its business sector to the corporate customers' analysis sheets. The rating of the corporate under review is calculated by a non-financial rating agency. The reminder of the ESG issues is based on the analyzes of CoREFI's sector policies mentioned above. These elements will be used for credit committees and the granting of credit.

The ESG methodology has been developed with the aim of integrating Environmental, Social and Governance criteria into risk analysis in granting credit and monitoring risks. It is suitable for sector policy analysis and can also be used for individual analyzes.

The ESG analyzes are broken down into five components:

- 1) a background note in terms of current and future challenges and regulations, enabling the assessment of climate and ESG risks related to the sector;
- 2) recommendations and points of attention: provision of a table summarizing the vulnerabilities of the sector with regard to ESG criteria: physical climate risks, transition climate risks,

risks related to the loss of biodiversity or resulting in a decrease in the biodiversity, social and societal risks, as well as governance risks;

- 3) any adherence to national or international conventions and standards: this section includes the indicators, standards, labels and standards in force in the sector analyzed;
- 4) a non-financial rating: after identifying the three main counterparties in the sector financed by the institutions and subsidiaries, an explanation of the non-financial ratings assigned by major rating agencies is proposed;
- 5) taking into account the European taxonomy: The European taxonomy specifies specific criteria to determine the sustainability of economic activities with a European carbon emission target reduced by 60% by 2030 and carbon neutrality by 2050.

In order to increase the incorporation of ESG criteria, an ESG questionnaire was drawn up in 2019 and shared in 2020 with the Group's institutions. Composed of ten questions, this interview guide enables customer service managers to gather information on the maturity of customers on ESG subjects. It thus makes it possible to engage in a dialogue on the company's strategy and to position the banker as a partner of choice to support the client in the transition to a sustainable economy. The objective is to use this data in financing decisions and risk monitoring. The operational implementation is currently being prepared with the Commitments and Risk divisions as well as the Climate Correspondents of the Banque Populaire and Caisse d'Epargne networks and Banque Palatine. Lastly, this ESG questionnaire is also a tool to raise awareness of climate and environmental issues for the Group's employees in the Sales and Marketing departments as well as in the commitments and Risk divisions, as well as professional and corporate clients.

Natixis also has a tool developed in parallel with the ESG Questionnaire and adapted to the profile of its counterparties: the ESR Screening Tool. This system, which was gradually introduced in all regions in 2020, has two levels of assessment integrated into existing risk management systems:

The first level classifies customers in the duty of care category according to their operating context, the maturity of their non-financial risk management system, the controversies to which they may be subject and the business relationship they interview with Natixis.

The second level allows for an in-depth analysis of the most material ESG risks. Focused on counterparties identified as the most sensitive, it is usually accompanied by a direct discussion with the client.

In addition, in order to accelerate its transition to green finance, Natixis uses the Green Weighting Factor, a tool to gradually align its financing activities with the objectives of the Paris Agreement. on the climate.

FINANCIAL RISKS

An analysis of bond portfolios has been offered by the Climate Risk division to institutions since early 2020. The purpose of these analyzes is to provide institutions with reliable information, based on the ratings assigned by a non-financial rating agency. This information enables institutions to manage their liquidity portfolios in relation to the environmental, social and governance elements provided by the agency and to be able to communicate on their incorporation of ESG criteria. At the end of 2020, all investments were supplemented by this ESG information, for the institutions that wanted this analysis in 2020 (the generalization is for 2021). As institutions become familiar with these tools, it will be necessary to develop an investment policy based on these ESG criteria in addition to the financial criteria. Exploratory work was carried out during the year in order to assess the alignment of these portfolios with the +2°C objective of the Paris Agreement.

MACRO-RISK MAPPING

Since 2019, the macro-risk mapping includes climate risks in the “strategic, business and ecosystem risks” category. Initial indicators have been defined and are being monitored in order to assess their relevance: the sum of “brown” assets under the ACPR definition dating from 2017, renewable energy assets and sectoral climate provisions are measured.

These indicators, which may be subject to change, enable an initial identification of outstandings and raise employee awareness of the climate risk of transition.

In line with the mapping of ACPR and ECB risks, climate risks are clearly identified in the forward-looking risk analysis.

CREATION OF A TOOL FOR IDENTIFYING ASSET EXPOSURE TO PHYSICAL CLIMATE RISKS

A tool for identifying asset exposure to physical climate risks has been developed by the Climate Risks division. Several data sources are used, offering granular visibility of the exposure to physical climate risks. More generally, the tool will enable customer managers and the Risk division of Groupe BPCE's regional institutions to have an overview of their clients' exposure to the climate hazard in question, thus facilitating risk management but also identifying potential risks. adaptation opportunities for our clients and projects to be financed for the banker.

6.14.3 Awareness and training

AWARENESS/TRAINING

DEPLOYMENT OF A THEMATIC VERSION OF THE RISK PURSUIT ON CLIMATE RISKS

The Climate Risk Pursuit is an interactive training tool developed by the Risk division in close collaboration with the CSR/Sustainable Development department. This tool aims to raise awareness among all Group employees about climate risks, their impacts and environmental, social and governance issues. This interactive training module, accessible on the Group's training platform, is a fun quiz.

DISTANCE LEARNING IN THE FORM OF MOOCS

The Climate Risks division is developing online training on climate risks and their challenges for bankers and insurers on a suitable platform. This training will take place in one-hour chapters, combining video, interview, presentation and accessible to all Group employees. The purpose of this online training is to:

- understanding the challenges of climate change and the risks involved;
- identify the climate risks weighing on customers and their financial impacts;
- analyze climate risks using associated tools;
- formalize opportunities and action levers for the banker and the insurer.

Its deployment began at the end of 2020 and will continue in 2021.

REFLECTION AND AWARENESS-RAISING WORKSHOPS ON CLIMATE RISKS

Reflection workshops were held quarterly for the whole of 2020 bringing together the Group's sectors (Risks, Commitments, CSR, Commercial, Legal, Insurance, etc.). These moments of exchange are based on proven cases of physical climate risks such as floods, drought or hailstorms. Proven cases of transition risks will be developed in the course of 2021. The purpose of these scenarios is to identify the main consequences and opportunities related to the case study for the banker and the insurer, as well as to draw up an action plan with the main preventive measures (reducing risk, exposure to the incident) and possibly protection (reduction of impacts during the incident). The participants, brought together for their complementarity, thus appreciate the multiple facets of climate risks and each bring their skills and experience.

CREATION OF A SECTOR AND ITS COORDINATION

In June 2020 the Climate Correspondents division was created, as recommended by the ACPR in its report "Governance and management of climate risks by banking institutions: some best practices" of May 2020. A correspondent is present within the Risk division of each Group entity. Their roles and missions are as follows:

- keeping up to date with the work of the Climate Risks division in order to be able to mention it to the risk management and compliance director of the institution, or even to its governing bodies;
- be the local relay for the work to the teams concerned in order to raise awareness and promote internal discussions on these topics;
- be informed of regulatory changes and market exchanges that may impact the activity of establishments;
- respond to requests from working groups dedicated to certain projects.

In this respect, the launch day of this sector was held on Friday, September 11, which presented all the systems deployed or being deployed in terms of climate risks.

The Climate Risks division organizes a breakfast conference each quarter involving internal and external experts. This involves presenting the latest news but also discussing and discussing climate risk tools and projects. This constitutes an additional communication mechanism.

A discussion group on the intranet is also dedicated to climate risks and sustainable finance. This channel is used to communicate the latest news on the subject within the Group.

A monthly newsletter has been published by the Climate Risks division since October 2020. It presents the major projects of the month, recent and upcoming events, as well as the main climate news.

PARTICIPATION IN MARKET MEETINGS AND COMMITMENTS

The Group participates in:

- the AMF's Climate and Sustainable Finance Commission, created on July 2, 2019, whose role is to develop practices, increase transparency and facilitate the incorporation of sustainability and funding in favor of more sustainable activities;
- the ACPR's Climate Commission, which regularly monitors and assesses the commitments undertaken by banks and insurers, and ensures that such commitments are consistent with the strategic guidelines of institutions. It also coordinates with the NGFS (Network for Greening the Financial System) created by France, which now totals nearly 50 central bank and international organizations among its supervisors;
- the Climate Committee of the FBF, chaired by the Chairman of the Management Board of Groupe BPCE. The FBF encourages its members to adopt a carbon strategy and to work with the supervisory authorities to develop methodologies to assess the exposure of their portfolios to climate risks and to align investment portfolios with a 2°C scenario.

On September 23, 2019, Natixis and Groupe BPCE signed the Principles for Responsible Banking, which define the role and responsibility of the banking industry in building a sustainable future, in keeping with the UN Sustainable Development Goals and the 2015 Paris climate agreement. By joining, Groupe BPCE and Natixis are committed to being transparent about their positive and negative impacts on people and the planet. Groupe BPCE and Natixis will focus on where they will have the greatest impact, in their core business. They will set and then publish and implement ambitious targets to reinforce their positive effects and address any negative aspects in line with global and local targets.

Groupe BPCE also contributes to the work of the European banking associations on the Net Zero Initiative, with the goal of making progress on its climate risk management policy and expanding its environmental expertise.

6.14.4 Regulatory environment

RESISTANCE TEST

ACPR CLIMATE PILOT EXERCISE

Groupe BPCE is participating in the ACPR climate pilot exercise, which began in May 2020 with the publication of the preliminary scenarios and assumptions for the exercise as well as the analytical framework by the Banque de France. It covers insurance and banking, for credit and market risks, for transition and physical risks, but does not cover the solvency of financial institutions. The analysis is carried out with reference to France's National Low Carbon Strategy (SNBC) and for at least 80-85% of sensitive exposures in France, Europe excluding France and the United States, on a sectoral basis. It is based on projections of macroeconomic and financial variables up to 2050 with steps of five years, first with a static balance sheet in 2025, then dynamic from 2030 until 2050. This exercise is based on three carbon emissions and price scenarios selected by the ACPR: orderly, delayed and accelerated transition, as well as the scenario without transition.

Its purpose is to:

- test the resilience of the French financial system and institutions to a transition to a zero-carbon economy in order to meet the international objectives of the Paris Climate Agreement or to an increase in extreme climate events;

- raise awareness among financial institutions of the challenges of climate risks, in order to integrate them into long-term strategic decisions;
- provide an assessment of the costs of the various transition scenarios;
- identify the limitations and shortcomings of current measurement tools, data, methodologies and indicators;
- enable supervisors to acquire tools to analyze and assess the challenges of climate risks on the stability of financial institutions.

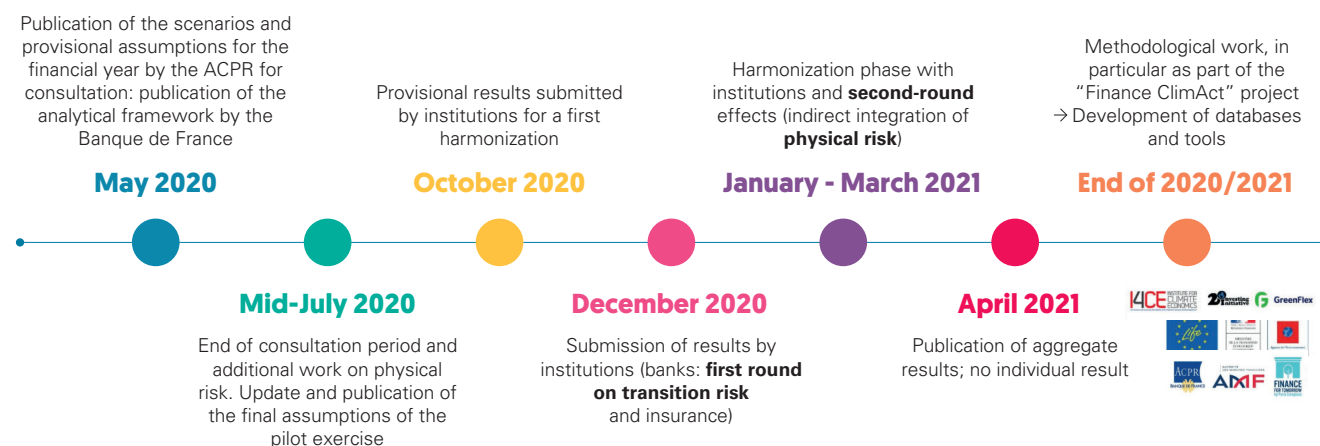
To this end, the Risk divisions of BPCE SA and Natixis have worked closely with other departments to:

- identify the data that can be used for the exercise;
- build and run the projection models;
- establish strategic sector changes in line with Groupe BPCE's commercial ambitions.

The exercise will end in the first half of 2021 with the integration of a second round that will take into account the physical climate risk based on contributions from French insurers.

This pilot exercise enabled Groupe BPCE to develop internal skills on these climate modeling topics and will reuse this exercise by going further in the assumptions and detail of the projections.

The calendar for the ACPR and internal publications for this fiscal year is as follows:



OBJECTIVE OF THE EUROPEAN BANKING AUTHORITY (EBA)

The EBA aims to develop a dedicated climate change stress test whose main objective is to identify the vulnerabilities of banks to climate-related risk and to quantify the relevance of exposures that could be potentially affected by it. physical risk and transition risk. As climate stress testing frameworks are under development, there are multiple constraints in designing a robust framework.

In the short-term, as part of the regular risk assessment of EU banks, a climate risk sensitivity analysis is undertaken in the second half of 2020 for a sample of voluntary banks. The exercise is focused on transition risks and could cover a longer horizon than the horizon of the exercises usually carried out by EBA.

The objective of the sensitivity analysis will be to better understand the vulnerabilities of banks to climate change risks and to provide, based on the work of the voluntary banks, a first estimate of the amount of green exposures held by banks according to the Taxonomy European.

USE OF EUROPEAN TAXONOMY

Groupe BPCE is preparing to use the European taxonomy, which is still under construction, and is attempting to integrate it into these various analyzes. The criteria of the European taxonomy are recalled in the sectoral credit granting policies and

are used as a basis for reflection in strategic work for integration into information systems and customer monitoring.

BPCE and Natixis voluntarily participated in the market work carried out by UNEP FL and the European Banking Federation (FBE) during the summer of 2020 on the method for applying the European taxonomy to banking assets.

Several counterparties from different sectors were therefore analyzed according to the principles of taxonomy. The analysis methodologies, the assumptions used to arrive at a conclusive indication, and the difficulties encountered were shared between European banks in order to collectively better control the exercise. The main conclusions of the exercise are (i) a better knowledge of our customers thanks to this analysis process but (ii) a low availability of the information required for the analyzes. Indeed, companies rarely and imprecisely publish the indicators referenced in the European taxonomy, forcing them to make assumptions or to ignore certain entire sections of the analyzes making the results imperfect.

BPCE and Natixis also voluntarily participate in the sensitivity exercise conducted by the European Banking Authority (EBA), which aims to collect the green portion of asset portfolios. At the end of 2020, the EBA is continuing its own analysis while at the same time analyzes are carried out internally in the voluntary banks. The exercise raised the same difficulties as that carried out by the UNEP FL and the FBE, namely the lack of availability of information and the lack of uniformity of publications.

6.15 Remuneration policy

Information on the policies and practices on pay granted to members of the executive body and persons whose professional activities have a material impact on the corporate risk profile are available at the following address:

<https://groupebpce.com/en/investors/results-and-publications/pillar-iii>

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7.1 Charter of incorporation and articles of association

7.1.1 General information

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A French limited liability company (*société anonyme*) with a Management Board and a Supervisory Board, governed by its articles of association, the regulations applicable to commercial companies, and the French Monetary and Financial Code (*Code monétaire et financier*).

The company was incorporated on January 22, 2007, the date on which BPCE, a non-trading company, was formed to hold the assets contributed by the Banque Populaire and Caisse d'Épargne groups. The company's duration is 99 years.

Paris Trade and Companies Register Number 493455042 (this number is listed on Page 1 of BPCE's articles of association).

NAF (business activity) code: 6419Z – LEI number: 9695005MSX10YEMGDF46

The company's fiscal year runs from January 1 to December 31.

BPCE, founded by the French act of June 18, 2009, is the central institution of Groupe BPCE, a cooperative banking group.

As such, it represents the credit institutions affiliated with it. The affiliated institutions, within the meaning of Article L. 511-31 of the French Monetary and Financial Code, are:

- the 14 Banques Populaires and their 32 mutual guarantee companies, whose sole corporate purpose is to guarantee loans issued by the Banques Populaires;
- the 15 Caisses d'Épargne, whose share capital is held by 189 local savings companies (LSCs);
- Natixis; Banque BCP SAS (France); Banque de Tahiti; Banque de Nouvelle-Calédonie; Banque Palatine; Crédit Foncier de France; Compagnie de Financement Foncier; Cicobail; Société Centrale pour le Financement de l'Immobilier (SOCFIM); BPCE International; Batimap; Batiroc Bretagne Pays de Loire; Capitoile Finance-Tofinso; Comptoir Financier de Garantie; BPCE Lease Nouméa; BPCE Lease Réunion; BPCE Lease Tahiti; Sud-Ouest Bail, Oney Bank.

The company's role is to guide and promote the business and expansion of the cooperative banking group comprising the Banque Populaire network, Caisse d'Épargne network, the affiliated entities and, in general, the other entities under its control.

The purpose of the company is:

- to be the central institution for the Banque Populaire network, the Caisse d'Épargne network and the affiliated entities, as provided for by the French Monetary and Financial Code. Pursuant to Articles L. 511-31 *et seq.* and Article L. 512-107 of the French Monetary and Financial Code, it is responsible for:
 - defining the Group's policy and strategic guidelines as well as those of each of its constituent networks,
 - coordinating the sales policies of each of its networks and taking all measures necessary for the Group's development, including acquiring or holding strategic equity interests,

- representing the Group and each of its networks to assert its shared rights and interests, including before the banking sector institutions, as well as negotiating and entering into national and international agreements,
- representing the Group and each of its networks as an employer to assert its shared rights and interests, as well as negotiating and entering into collective industry-wide agreements,
- taking all measures necessary to guarantee the liquidity of the Group and each of its networks and, to that end, determining rules for managing the Group's liquidity, including by defining the principles and terms and conditions of investment and management of the cash flows of its constituent entities and the conditions under which these entities may carry out transactions with other credit institutions or investment companies and carry out securitization transactions or issue financial instruments, and performing any financial transaction necessary for liquidity management purposes,
- taking all measures necessary to guarantee the solvency of the Group and each of its networks, including implementing the appropriate Group internal financing mechanisms and setting up a Mutual Guarantee Fund shared by both networks, for which it determines the rules of operation, the terms and conditions of use in addition to the funds provided for in Articles L. 512-12 and L. 512-86-1, as well as the contributions of affiliated entities for its initial allocation and reconstitution,
- defining the principles and conditions for organizing the internal control system of Groupe BPCE and each of its networks, as well as controlling the organization, management and quality of the financial position of affiliated entities, including through on-site checks within the scope defined in paragraph 4 of Article L. 511-31,
- defining risk management policies and principles and the limits thereof for the Group and each of its networks, and ensuring permanent risk supervision on a consolidated basis,
- approving the articles of association of affiliated entities and local savings companies and any changes thereto,
- approving the persons called upon, in accordance with Article L. 511-13, to determine the business orientation of its affiliated entities,
- calling for the financial contributions required to perform its duties as a central institution,
- ensuring that the Caisses d'Épargne duly fulfill the duties provided for in Article L. 512-85;
- to be a credit institution, officially approved to operate as a bank. On this basis, it exercises, both in France and other countries, the prerogatives granted to banks by the French Monetary and Financial Code, and provides the investment services described in Articles L. 321-1 and L. 321-2 of said Code; it also oversees the central banking, financial and technical organization of the network and the Group as a whole;
- to act as an insurance intermediary, and particularly as an insurance broker, in accordance with the regulations in force;

- to act as an intermediary for real estate transactions, in accordance with the regulations in force;
- to acquire stakes, both in France and abroad, in any French or foreign companies, groups or associations with similar purposes to those listed above or with a view to the Group's expansion, and more generally, to undertake any transactions relating directly or indirectly to these purposes that are liable to facilitate the achievement of the company's purposes or its expansion.

The information presented on Groupe BPCE's institutional website is not included in the Groupe BPCE universal registration document, unless explicitly incorporated for reference purposes.

7.1.2 Appropriation of earnings

Distributable income is comprised of the income for the fiscal year, less any losses brought forward and any sums allocated to the legal reserve, plus any retained earnings.

The sums distributed are comprised of the distributable income plus any reserves available to the company.

If the full amount of a preferred dividend for a given year has not been distributed, no dividend may be paid to shareholders of category "A" or "B" shares during the incorporation period, or to any shareholders after the end of the incorporation period.

The Ordinary General Shareholders' Meeting, upon a proposal by the Management Board, is entitled to deduct any sums it deems suitable to be carried forward to the following year or to be allocated to one or more extraordinary, general, or special reserve funds. Any sums decided on by the Annual General Shareholders' Meeting upon a proposal by the Management Board may be allocated to these funds. In addition, the Annual General Shareholders' Meeting may decide, upon a proposal by the Management Board, to pay a dividend from all or part of the sums available for distribution, under the terms and conditions set forth in the company's articles of association.

The Ordinary General Shareholders' Meeting, upon a proposal by the Management Board, may opt to grant shareholders the option of receiving some or all of their dividend in cash or in shares. This option may also be offered for interim dividends.

DIVIDEND POLICY

IN 2020

The Ordinary General Shareholders' Meeting of BPCE, which met on May 29, 2020, resolved that a dividend of €536,166,353.68 would be paid out in respect of fiscal year 2019 to category A and B shareholders, equal to €15.73 per share.

At its meeting of December 17, 2020, the Management Board of BPCE resolved to pay an interim dividend totaling €579,307,742.00 in respect of fiscal year 2020, to the 34,076,926 category A and B shares comprising BPCE's share capital, amounting to €17 per share. The Supervisory Board had approved this payment in principle at its meeting of December 17, 2020.

In accordance with the resolution of the Ordinary General Shareholders' Meeting of May 29, 2020 authorizing the Management Board to propose an option for the payment of interim dividends in shares for fiscal year 2020, the Management Board decided that the payment of this interim dividend payment would consist of a cash portion in the amount of €257,808,616.52, and a portion with the option of payment in cash or securities, in the amount of €321,499,125.48.

The Management Board of December 31, 2020 noted that 15 category A shareholders and 14 category B shareholders had opted for payment in shares of the portion of the proposed 2020 interim dividend with the option of payment in cash or securities, i.e. the subscription of 645,814 shares with a par value of €5.

The amount of the capital increase resulting from the exercise of the option to receive part of the dividend in shares amounted to €3,229,070, increasing the share capital from €170,384,630 to €173,613,700 as of December 31, 2020.

The classification of category A and B shares is defined in point 7.2.2 of this universal registration document.

IN 2019

The Ordinary General Shareholders' Meeting of BPCE, which met on May 24, 2019, resolved that a dividend of €403,040,426.36 would be paid out in respect of fiscal year 2018 to category A and B shareholders, equal to €12.3715 per share.

At its meeting of December 19, 2019, the Management Board of BPCE resolved to pay an interim dividend totaling €201,530,940.36 in respect of fiscal year 2019 to the 34,076,926 category A and B shares comprising BPCE's share capital, amounting to €5.91 per share. The Supervisory Board had approved this payment in principle at its meeting of December 19, 2019.

The classification as class A and B shares is defined in section 7.2.2 of this document.

IN 2018

The Ordinary General Shareholders' Meeting of BPCE, which met on May 25, 2018, resolved that a dividend of €403,005,056.92 would be paid out in respect of fiscal year 2017 to category A and B shareholders, equal to €12.9382 per share.

At its meeting of December 20, 2018, the Management Board of BPCE resolved to pay an interim dividend totaling €201,537,903.42 in respect of fiscal year 2018 to the 31,539,578 category A and B shares comprising BPCE's share capital, amounting to €6.39 per share. The Supervisory Board had approved this payment in principle at its meeting of December 20, 2018.

The classification as class A and B shares is defined in section 7.2.2 of this document.

IN 2017

The Ordinary General Shareholders' Meeting of BPCE, which met on May 19, 2017, resolved that a dividend of €383,499,888.77 would be paid out in respect of fiscal year 2016 to category A and B shareholders, equal to €12.312 per share.

At its meeting of December 21, 2017, the Management Board of BPCE resolved to pay an interim dividend totaling €201,502,528.46 in respect of fiscal year 2017 to the 31,148,464 category A and B shares comprising BPCE's share capital, amounting to €6.4691 per share. The Supervisory Board had approved this payment in principle at its meeting of December 21, 2017.

7.1.3 Company documents

Documents relating to the company, such as its articles of association, financial statements and the Management Board and Statutory Auditor reports presented at Annual General

Shareholders' Meetings may be viewed at the company's registered office and are also available on BPCE's website: www.BPCE.fr.

7.2 Share capital

7.2.1 Share capital at December 31, 2020

The share capital is set at one hundred and seventy-three million, six hundred and thirteen thousand, seven hundred euros (€173,613,700). It is divided into 34,722,740 fully paid-up shares with a nominal value of five euros (€5) each, divided into two categories:

- 17,361,370 category A shares;
- 17,361,370 category B shares.

Regulation (EC) No. 809/2004 requires the following disclosures for each share category:

The 17,361,370 category A shares are authorized and fully paid up, they were issued at a nominal value of €5 each, and there was no reconciliation of the number of category A shares outstanding at the beginning and end of the fiscal year.

The 17,361,370 category B shares are authorized and fully paid up, they were issued at a nominal value of €5 each, and there was no reconciliation of the number of category B shares outstanding at the beginning and end of the fiscal year.

There are no shares not representing capital, no shares held as treasury shares by BPCE and no convertible securities, exchangeable securities or securities with warrants.

Shares in BPCE are neither listed nor traded on any market.

The company did not pledge its own shares over the course of 2020.

In the absence of a BPCE stock option plan within the meaning of Article R. 225-138 of the French Commercial Code (*Code de commerce*) and in the absence of any share buyback transactions referenced in Articles R. 228-90 and R. 228-91 of the French Commercial Code, the disclosures arising thereunder are not applicable to BPCE.

As a reminder, the Management Board meeting of December 17, 2020 decided to propose payment of a portion of the interim dividend in respect of fiscal year 2020 with the option of payment in cash or securities, in the amount of €321,499,125.48. At its meeting of December 31, 2020, BPCE's Management Board noted that 15 category A shareholders and 14 category B shareholders had opted for the payment of the balance of the 2020 dividend in shares, equivalent to subscribing for 645,814 shares with a nominal value of €5, and that the amount of the capital increase resulting from the exercise of the option of a dividend payment in shares totaled €3,229,070, thus increasing the share capital from €170,384,630 to €173,613,700 on December 31, 2020.

In accordance with Regulation (EC) No. 809/2004, it should be noted that BPCE's articles of association do not have any specific provisions governing changes in share capital that are more stringent than is required by law.

7.2.2 Category A and B shares

DEFINITION

Category A shares are shares held by category A shareholders, which are the Caisses d'Épargne, and issued by the company in accordance with Articles L. 228-11 *et seq.* of the French Commercial Code.

Category B shares are shares held by category B shareholders, which are the Banques Populaires and minority shareholders, and issued in accordance with the above-mentioned articles of the French Commercial Code.

LEGAL FORM AND REGISTRATION OF SHARES

The shares issued by the company may only be held in registered form. They are recorded in a register and shareholder accounts and are held by either the company or an approved intermediary.

RIGHTS OF CATEGORY A AND B SHARES

Category A and B shares have the same rights, with the exception of the special rights attributed during the incorporation period, as set forth in the company's articles of association.

These special rights are attached to each share category and can be exercised at Ordinary General Shareholders' Meetings.

The special rights expire at the end of the incorporation period. Consequently, at the end of that period, category A and B shares will be automatically converted into ordinary shares bearing equivalent rights.

Each category A and B share entitles its holder to one vote at Annual General Shareholders' Meetings.

The rights of category A and B shareholders may not be changed without the approval of a General Shareholders' Meeting convened specifically for this purpose, in accordance with applicable laws.

INCORPORATION PERIOD

When BPCE was first established on July 31, 2009, two distinct share categories were created – one for former CNCE shareholders and one for former BFBP shareholders – in order to guarantee parity for the shareholders of the two companies owning BPCE during the five-year incorporation period. After the incorporation period, category A and B shares would be automatically converted into ordinary shares.

The company's General Shareholders' Meeting of December 20, 2012 decided to abolish the incorporation period, which was scheduled to end on the date of the Annual General Shareholders' Meeting in May 2015.

The Annual General Shareholders' Meeting decided to preserve the equal ownership structure of BPCE's share capital and to maintain the Supervisory Board's current composition of seven members proposed by category A shareholders, seven members proposed by category B shareholders and four external members.

An equal split will also be maintained in the appointment of non-voting directors, with three appointed from candidates proposed by category A shareholders and three appointed from

candidates proposed by category B shareholders, plus Natixis, which is a non-voting director by operation of the law.

The Combined General Shareholders' Meeting of July 11, 2013 reduced the number of non-voting directors proposed by category A and category B shareholders to two, and decided that the Chairman of the Fédération Nationale des Caisses d'Épargne and the Chairman of the Fédération Nationale des Banques Populaires, who cannot be members of the Supervisory Board, be non-voting directors as of right.

The Annual General Shareholders' Meeting of December 20, 2012 also decided to introduce a 10-year period of non-transferability from July 31, 2009 to July 31, 2019. During this period, only free conveyance within the same network is possible.

The new articles of association have already defined the system for the period commencing August 1, 2019: free conveyance of shares within the same network will remain possible and transfers other than free conveyance (*i.e.* to shareholders of another category or to third parties) will also become possible.

Transfers of shares will be subject to a pre-emptive right that may be exercised by shareholders of the same category. The transfer of any shares that are not covered by the pre-emptive right will require the prior approval of the Supervisory Board deliberating with a qualified majority (12 out of 18 members). In the event approval is not obtained, the Management Board will have to find a solution.

The Annual General Shareholders' Meeting also decided to shift Groupe BPCE's solidarity mechanism towards a greater pooling of resources by changing the order of priority in terms of coverage (network funds and the Mutual Guarantee Fund ahead of capacity-based contributions).

Finally, the Annual General Shareholders' Meeting decided to improve the Group's solvency support mechanism by establishing a bonus and netting system that encourages shareholder institutions to contribute to the achievement of the Group target.

7.3 Ownership structure and distribution of voting rights

7.3.1 Ownership structure over the past three years

Shareholders	Share capital at 03/24/2021			Share capital at 12/31/2019			Share capital at 12/31/2018		
	No. of shares	% share capital	% voting rights	No. of shares	% share capital	% voting rights	No. of shares	% share capital	% voting rights
CEP Aquitaine Poitou-Charentes	1,311,514	3.78%	3.78%	1,287,121	3.78%	3.78%	1,191,283	3.78%	3.78%
CEP d'Auvergne et du Limousin	682,398	1.97%	1.97%	669,706	1.97%	1.97%	619,840	1.97%	1.97%
CEP Bourgogne Franche-Comté	908,140	2.62%	2.62%	891,249	2.62%	2.62%	824,887	2.62%	2.62%
CEP Bretagne Pays de Loire	1,209,138	3.48%	3.48%	1,186,649	3.48%	3.48%	1,098,292	3.48%	3.48%
CEP Côte d'Azur	697,107	2.01%	2.01%	684,141	2.01%	2.01%	633,200	2.01%	2.01%
CEP Grand Est Europe	1,601,108	4.61%	4.61%	1,571,329	4.61%	4.61%	1,454,329	4.61%	4.61%
CEP Hauts de France	1,956,167	5.63%	5.63%	1,919,784	5.63%	5.63%	1,776,838	5.63%	5.63%
CEP Ile-de-France	2,415,700	6.96%	6.96%	2,370,796	6.96%	6.96%	2,194,243	6.96%	6.96%
CEP Languedoc-Roussillon	740,186	2.13%	2.13%	726,419	2.13%	2.13%	672,330	2.13%	2.13%
CEP Loire Centre	805,512	2.32%	2.32%	790,530	2.32%	2.32%	731,668	2.32%	2.32%
CEP Loire-Drôme-Ardèche	553,020	1.59%	1.59%	542,735	1.59%	1.59%	502,323	1.59%	1.59%
CEP Midi Pyrénées	843,378	2.43%	2.43%	827,692	2.43%	2.43%	766,062	2.43%	2.43%
CEP Normandie	878,181	2.53%	2.53%	861,848	2.53%	2.53%	797,675	2.53%	2.53%
CEPAC Caisse d'Epargne	1,336,264	3.85%	3.85%	1,311,411	3.85%	3.85%	1,213,764	3.85%	3.85%
CEP Rhône-Alpes	1,423,557	4.10%	4.10%	1,397,080	4.10%	4.10%	1,293,055	4.10%	4.10%
Total category A shares	17,361,370	50.00%	50.00%	17,038,463	50.00%	50.00%	15,769,789	50.00%	50.00%
BPR Alsace Lorraine Champagne	1,949,444	5.61%	5.61%	1,913,186	5.61%	5.61%	1,770,731	5.61%	5.61%
BPR Aquitaine Centre Atlantique	1,093,284	3.15%	3.15%	1,072,950	3.15%	3.15%	993,059	3.15%	3.15%
BPR Auvergne Rhône Alpes	1,925,719	5.55%	5.55%	1,889,902	5.55%	5.55%	1,749,181	5.55%	5.55%
BPR Bourgogne Franche-Comté	1,202,921	3.46%	3.46%	1,180,548	3.46%	3.46%	1,092,645	3.46%	3.46%
BRED BP	1,717,420	4.95%	4.95%	1,685,477	4.95%	4.95%	1,559,922	4.95%	4.95%
BPR Grand Ouest	1,597,489	4.60%	4.60%	1,567,777	4.60%	4.60%	1,451,042	4.60%	4.60%
BPR Méditerranée	702,993	2.02%	2.02%	689,918	2.02%	2.02%	638,547	2.02%	2.02%
BPR Nord	485,041	1.40%	1.40%	476,020	1.40%	1.40%	440,576	1.40%	1.40%
BPR Occitane	1,382,731	3.98%	3.98%	1,357,013	3.98%	3.98%	1,255,970	3.98%	3.98%
BPR Rives de Paris	1,550,951	4.47%	4.47%	1,522,105	4.47%	4.47%	1,408,770	4.47%	4.47%
BPR Sud	912,924	2.63%	2.63%	895,944	2.63%	2.63%	829,233	2.63%	2.63%
BPR Val de France	1,496,501	4.31%	4.31%	1,468,667	4.31%	4.31%	1,359,311	4.31%	4.31%
CASDEN	993,935	2.86%	2.86%	975,449	2.86%	2.86%	902,817	2.86%	2.86%
Crédit Coopératif	349,991	1.01%	1.01%	343,481	1.01%	1.01%	317,906	1.01%	1.01%
Mr. Guy Bruno	N/A	N/A	N/A	N/A	N/A	N/A	55	0.00%	0.00%
Mr. Jacques Galiegue	17	0.00%	0.00%	17	0.00%	0.00%	17	0.00%	0.00%
Mr. Jean-Michel Laty	8	0.00%	0.00%	8	0.00%	0.00%	7	0.00%	0.00%
Unallocated shares	1	0.00%	0.00%	1	0.00%	0.00%	1	0.00%	0.00%
Total category B shares	17,361,370	50.00%	50.00%	17,038,463	50.00%	50.00%	15,769,789	50.00%	50.00%
TOTAL	34,722,740	100.00%	100.00%	34,076,926	100.00%	100.00%	31,539,578	100.00%	100.00%

Changes in BPCE's share capital are set out under section 7.2.1 (above).

SHAREHOLDERS WITH OVER 5% OF THE ISSUER'S CAPITAL OR VOTING RIGHTS

Shareholders	No. of shares	% share capital	% voting rights
CE Ile-de-France	2,370,769	6.96%	6.96%
CE Hauts de France	1,919,784	5.63%	5.63%
BP Alsace Lorraine Champagne	1,913,186	5.61%	5.61%
BP Auvergne Rhône Alpes	1,889,902	5.55%	5.55%

BPCE currently has no employee share ownership agreements in place.

7.3.2 Improper control

The company is controlled as described in section 7.3.1; however, the company believes there is no risk of said control being exercised improperly.

7.3.3 Changes of control

To BPCE's knowledge, and in accordance with European regulations, there are no agreements that could lead to a change in control of the company at a subsequent date.

In accordance with Article L. 512-106 of the French Monetary and Financial Code, "the central institution of the Caisses

d'Épargne and the Banques Populaires (...) is incorporated as a public limited company in which the Banques Populaires and the Caisses d'Épargne together hold the absolute majority of the share capital and voting rights."

7.4 Material contracts

As of the date of publication of this financial information, with the exception of the agreements referred to in Chapter 7.6 (related-party agreements), BPCE has not entered into any material contracts other than those entered into in the normal course of business.

7.5 Material changes

The financial statements of BPCE SA, BPCE SA group and Groupe BPCE for the 2020 fiscal year were approved by the Management Board on February 9, 2021. Since that date, there has been no significant change in the financial or commercial situation of BPCE SA, BPCE SA group or Groupe BPCE.

With the exception of the items mentioned in this 2020 universal registration document, in paragraph 6.2 Risk factors in Chapter 6, including the impact that the health crisis resulting

from the coronavirus (Covid-19) could have, there has been no significant change in the financial performance of Groupe BPCE, nor in its financial and commercial position, since December 31, 2020, nor since the end of the last period for which audited financial statements have been published, and in particular since the signature of the Statutory Auditors' report on the consolidated financial statements on March 5, 2021.

7.6 Statutory Auditors' special report on related-party agreements and commitments

Annual General Shareholders' Meeting called to approve the financial statements for the fiscal year ended December 31, 2020

BPCE

Registered office: 50, avenue Pierre-Mendès-France – 75013 Paris

To the BPCE General Shareholders' Meeting

In our capacity as Statutory Auditors of your company, we hereby present our report on related-party agreements.

We are required to inform you, on the basis of the information provided to us, of the key features, terms and conditions and purpose of the contractual agreements indicated to us or that we may have identified in the performance of our assignment. It is not our role to comment as to whether they are beneficial or to ascertain whether any other agreements exist. It is your responsibility, in accordance with Article R. 225-58 of the French Commercial Code, to assess the benefits resulting from these agreements prior to their approval.

In addition, we are required to inform you in accordance with Article R. 225-58 of the French Commercial Code concerning the execution during the year of the agreements already approved by the Annual General Shareholders' Meeting.

We performed the procedures we considered necessary to comply with the Professional Code of the *Compagnie nationale des commissaires aux comptes* (France's National Association of Statutory Auditors) relating to this assignment. Our work consisted in verifying that the information provided to us is consistent with the underlying documents from which it was extracted.

For the purposes of this report:

- "BPCE" designates the central institution resulting from the combination of the networks of Caisse d'Epargne and Banque Populaire, a French limited liability company (*société anonyme*) with a Management Board and a Supervisory Board since July 31, 2009;
- "CE Participations" designates the former Caisse Nationale des Caisses d'Epargne (CNCE), a French limited liability company (*société anonyme*) with a Management Board and a Supervisory Board, renamed CE Participations on July 31, 2009 in the modified form of a French limited liability company (*société anonyme*) with a Board of Directors, as the holding company for all of the Caisse d'Epargne network's equity interests not transferred to BPCE in 2009, and which was merged with BPCE through absorption on August 5, 2010;
- "BP Participations" designates the former Banque Fédérale des Banques Populaires (BFBP), a French limited liability company (*société anonyme*) with a Board of Directors, renamed BP Participations on July 31, 2009 as the holding company for all of the Banque Populaire network's equity interests not transferred to BPCE in 2009 and which was merged with BPCE through absorption on August 5, 2010.

7.6.1 Agreements to be submitted for the approval of the Annual General Shareholders' Meeting

AGREEMENTS AUTHORIZED AND ENTERED INTO DURING THE FISCAL YEAR

In accordance with Article L. 225-88 of the French Commercial Code, we were informed of the following agreements approved by the Supervisory Board.

AGREEMENTS WITH SHAREHOLDERS

Tripartite memorandum of understanding between BRED, BPCE I, and BPCE

Joint directors on the applicable date: Olivier Klein, member of the BPCE Supervisory Board and Chairman of the Board of Directors of BRED.

At its meeting of December 17, 2020, the Supervisory Board authorized the signing of a memorandum of understanding between BRED, BPCE I, and BPCE concerning the transfer of the activities of BPCE I with regard to the financial conditions attached thereto and BPCE's corporate interest.

This agreement had no impact on BPCE's 2020 financial statements.

AGREEMENTS WITH NATIXIS AND ITS SUBSIDIARIES

Partnership agreement between Natixis Investment Managers, Ostrum Asset Management, Topco, and LBP Asset Management, in the presence of Naxitis, BPCE, and La Banque Postale

Joint directors on the applicable date: Laurent Mignon, Chairman of the Management Board of BPCE and Chairman of the Board of Directors of Natixis; Christine Fabresse, member of the Management Board of BPCE and Permanent Representative of BPCE on the Board of Directors of Natixis Investment Managers; Catherine Halberstadt, member of the Management Board of BPCE and Permanent Representative of BPCE on the Board of Directors of Natixis; François Riahi, member of the Management Board of BPCE, CEO of Natixis and Chairman of the Board of Directors of Natixis Investment Managers; Gérard Bellemon, member of the Supervisory Board of BPCE and member of the Board of Directors of Natixis Investment Managers; and Didier Patault, member of the Supervisory Board of BPCE and member of the Board of Directors of Natixis Investment Managers.

The purpose of this agreement is to formalize a partnership aimed at creating a leading European player in Asset Management by combining, within Ostrum Asset Management, euro fixed-income and credit strategies, as well as insurance strategies for Ostrum Asset Management and LBP Asset Management.

The Supervisory Board of BPCE considered that this memorandum was justified in terms of corporate interest, given that it aims to implement the overall project between Natixis and La Banque Postale to create a major player in insurance management through the grouping of some of their asset management activities in a joint venture.

At the meeting of June 16, 2020, the Supervisory Board authorized the implementation of the partnership project and approved the terms and conditions of the agreement between Natixis Investment Managers, Ostrum Asset Management, Topco, and LBP Asset Management, in the presence of Naxitis, BPCE and La Banque Postale.

This agreement had no impact on BPCE's 2020 financial statements.

AGREEMENTS WITH COMPANY DIRECTORS

Employment contract between BPCE and a member of the Management Board

Director concerned on the applicable date (December 17, 2020): Jean-François Lequoy, member of the BPCE Management Board.

It appeared in BPCE's interest to enter into this employment contract enabling Jean-François Lequoy to act as CEO in charge of Finance and Group Strategy in a relationship of subordination to BPCE, as part of BPCE's strategic plans, and given the related financial conditions.

At its meeting of September 7, 2020, the Supervisory Board approved and authorized BPCE's entry into an employment contract between BPCE and Jean-François Lequoy.

Commitments maturing or likely to mature because of a termination or change of position

COMMITMENTS RELATED TO THE CHAIRMAN OF THE MANAGEMENT BOARD

Director concerned on the applicable date (February 11, 2021): Laurent Mignon, Chairman of the Management Board of BPCE.

Retirement bonus

Upon a decision made by the Supervisory Board, the Chairman of the Management Board of BPCE may receive a retirement bonus under the following conditions.

a) Conditions for receiving a retirement bonus

Payment of the retirement bonus is subject to the same performance conditions as those applicable to the involuntary-termination severance pay mentioned above, *i.e.*:

- the Group must have generated positive net income in the fiscal year preceding the termination of the corporate office; and
- beneficiaries must have been awarded a minimum percentage of variable pay on average during the last three years of the current term of office.

The retirement bonus may only be paid when the social security pension is drawn, provided that the beneficiary falls within the applicable scope (defined below) at the time the pension is drawn.

Payment of the retirement bonus is at the discretion of the Supervisory Board after consultation with the Remuneration Committee.

Payment of the retirement bonus is excluded from payment of any other departure bonus. As such, if involuntary-termination severance is paid, the company director will not be entitled to the retirement bonus.

b) Amount of the retirement bonus

The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding benefits and any special increase) granted for the last calendar year of work preceding the termination of the position and the average of the variable pay (whether paid immediately or deferred) for the last three calendar years of work preceding the termination of the position.

The amount of the bonus is equal to the **monthly benchmark pay x (6 + 0.6 A)**:

- where A is the number, which may be a fraction, of years served in a corporate office within the relevant scope (*i.e.* terms of office served as CEO of Banque Populaire, Chairman of the Management Board of Caisse d'Épargne, CEO of CFF until November 6, 2019, CEO of BPCE I until December 31, 2018, Chairman of the Management Board of Banque Palatine, and member of the Management Board of BPCE SA). For an executive benefiting from this scheme who is then appointed to the Executive Management Committee of Natixis or who, following a transfer to BPCE SA, holds the position of CEO or Deputy CEO at BPCE SA, the terms during which these offices are held will be taken into account when determining A. Conversely, the terms during which these offices are held before the executive becomes a beneficiary of this scheme will not be taken into account. Should the offices included in the calculation of A be held simultaneously, these terms will be counted only once (no double-counting);
- the amount is capped at 12 times the monthly benchmark pay corresponding to a total term of office of 10 years;
- regardless, any compensation paid for termination of an employment contract is deducted from the retirement bonus.

The Supervisory Board noted that this change is of real interest for BPCE since it is a means of involving Laurent Mignon in the company's performance by requiring him to meet certain performance conditions over a period of several years.

COMMITMENTS RELATED TO MEMBERS OF THE MANAGEMENT BOARD

Involuntary-termination severance pay

Director concerned on the applicable date (December 17, 2020): Jean-François Lequoy, member of the BPCE Management Board.

Jean-François Lequoy will be entitled to involuntary-termination severance pay under the following conditions.

a) Conditions for receiving involuntary-termination severance pay

The severance may not be paid unless termination of the duties of Chairman of the Management Board of BPCE is involuntary (involuntary end to term of office due to removal by the Annual General Shareholders' Meeting, withdrawal of approval, involuntary resignation, or non-renewal by the Supervisory Board), other than for serious misconduct or a change of position within Groupe BPCE. This severance is not paid if Jean-François Lequoy leaves the Group at his own initiative.

Payment of involuntary-termination severance causes Jean-François Lequoy to lose any entitlement to the retirement bonus he otherwise may have claimed (it being specified that he does not benefit from a defined-benefit pension plan).

If he is re-assigned to another position with Groupe BPCE under an employment contract, the termination of said employment contract, with notification given more than 12 months after he is forcibly removed from his corporate office, entitles him – barring gross negligence or willful misconduct – to receive the severance pay provided for in the applicable collective bargaining agreement. Conversely, if the employment contract is terminated with notification given less than 12 months after he is forcibly removed from corporate office, he is entitled – barring gross negligence or willful misconduct – to receive involuntary-termination severance pay, minus any compensation required by law and provided for in the applicable collective bargaining agreement liable to be paid in respect of the termination of the employment contract.

b) Performance conditions

Involuntary-termination severance pay is only due if Groupe BPCE generated positive net income in the last fiscal year preceding the termination of the corporate office.

Moreover, in compliance with the rules for determining involuntary-termination severance pay, payment is subject to the condition of Jean-François Lequoy having been awarded on average at least 33.33% of the maximum variable component during the last three years of the current term of office. This variable portion is that which may be granted to Jean-François Lequoy in respect of his corporate office but also in respect of his employment contract.

c) Determination of involuntary-termination severance pay

The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding any special increase and benefits) granted for the last calendar year of work preceding the termination of the corporate office or the employment contract and the average of the variable pay (whether paid immediately or deferred) for the last three calendar years of work preceding the termination of the corporate office or the employment contract. Payments in respect of the relevant corporate office and employment contract are taken into account.

The amount of severance pay is equal to the monthly benchmark pay x (12 months + 1 month per year of seniority within the Group):

- seniority within the Group is calculated in years and fractions of a year;
- the amount of involuntary-termination severance pay is capped at 24 times the monthly benchmark pay, which corresponds to a period of 12 years' seniority with the Group;
- where at least 50% of the maximum variable component is awarded on average during the last three years of the corporate office in progress (or during the term of office served, plus the previous term of office served if the term was renewed), the involuntary-termination severance pay will be paid in full;
- where at least 33.33% of the maximum variable component is not awarded on average over this period, no involuntary-termination severance pay is granted. Between 33.33% and 50%, the amount of involuntary-termination severance pay is calculated on a straight-line basis, at the discretion of the Supervisory Board;
- regardless, any compensation paid for termination of the employment contract is deducted from the amount of involuntary-termination severance pay.

Retirement bonus

Director concerned on the applicable date (December 17, 2020): Jean-François Lequoy, member of the BPCE Management Board.

Directors concerned on the applicable date (February 11, 2021): Christine Fabresse, Catherine Halberstadt, and Jean-François Lequoy, members of the BPCE Management Board.

Upon a decision made by the Supervisory Board, the members of the Management Board of BPCE may receive a retirement bonus under the following conditions.

a) Conditions for receiving a retirement bonus

Payment of the retirement bonus is subject to the same performance conditions as those applicable to the involuntary-termination severance pay mentioned above, *i.e.*:

- the Group must have generated positive net income in the fiscal year preceding the termination of the corporate office, and
- beneficiaries must have been awarded a minimum percentage of variable pay on average during the last three years of the current term of office.

The retirement bonus may only be paid when the social security pension is drawn, provided that the beneficiary falls within the applicable scope (defined below) at the time the pension is drawn.

Payment of the retirement bonus is at the discretion of the Supervisory Board after consultation with the Remuneration Committee.

Payment of the retirement bonus is excluded from payment of any other departure bonus. As such, if involuntary-termination severance is paid, the company director will not be entitled to the retirement bonus.

b) Amount of the retirement bonus

The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding benefits and any special increase) granted for the last calendar year of work preceding the termination of the corporate office or the employment contract and the average of the three highest variable payments allocated (whether paid immediately or deferred) for the last five calendar years of work preceding the termination of the corporate office or the employment contract. Payments in respect of the relevant corporate office and employment contract are taken into account.

The amount of the bonus is equal to the monthly benchmark pay $\times (6 + 0.6 A)$:

- where A is the number, which may be a fraction, of years served in a corporate office within the relevant scope (*i.e.* terms of office served as CEO of Banque Populaire, Chairman of the Management Board of Caisse d'Epargne, CEO of CFF until November 6, 2019, CEO of BPCE I until December 31, 2018, Chairman of the Management Board of Banque Palatine, and member of the Management Board of BPCE SA). For an executive benefiting from this scheme who is then appointed to the Executive Management Committee of Natixis or who, following a transfer to BPCE SA, holds the position of CEO or Deputy CEO at BPCE SA, the terms during which these offices are held will be taken into account when determining A. Conversely, the terms during which these offices are held before the executive becomes a beneficiary of this scheme will not be taken into account. Should the offices included in the calculation of A be held simultaneously, these terms will be counted only once (no double-counting);

- the amount is capped at 12 times the monthly benchmark pay corresponding to a total term of office of 10 years;
- regardless, any compensation paid for termination of an employment contract is deducted from the retirement bonus.

The Supervisory Board finds that this change is of real interest for BPCE SA since it is a means of involving Christine Fabresse, Catherine Halberstadt, and Jean-François Lequoy in the company's performance by requiring them to meet certain performance conditions over a period of several years.

The amount provisioned at the end of the 2020 fiscal year in respect of retirement bonuses came to €3,366,578.

SOCIAL PROTECTION PLANS APPLICABLE TO ALL EMPLOYEES AND IN FAVOR OF CERTAIN CATEGORIES OF EMPLOYEES

Director concerned on the applicable date (December 17, 2020): Jean-François Lequoy, member of the BPCE Management Board.

Jean-François Lequoy will benefit, under the same conditions as BPCE employees, from the application of the social protection measures implemented within BPCE for all employees and for certain categories of employees:

- CGP Article 83 supplementary pension plan: the contribution rate is 6% from Bracket A and 4% from the pensionable portion of pay in excess of Bracket A; 70% of this contribution is paid by the company and 30% by the employee;
- Retraite Epargne Expertise (R2E): the contribution rate is 3.5% on total contributory remuneration; this contribution is fully payable by the company;
- IPBP supplementary protection plan;
- CNP TD supplementary protection plan;
- BPCE MUTUELLE supplementary health plan.

Jean-François Lequoy may benefit from the rules governing the maintenance of rights to receive pay for a period of 12 months in the case of temporary work disability applicable to executive directors of Groupe BPCE companies.

The Supervisory Board has found that implementing these plans is of genuine interest for BPCE SA since it is a means of incentivizing and retaining this member of the Management Board.

7.6.2 Agreements already approved by the Annual General Shareholders' Meeting

AGREEMENTS APPROVED IN PREVIOUS YEARS THAT WERE STILL BEING EXECUTED IN THE PAST FISCAL YEAR

In accordance with Article R. 225-57 of the French Commercial Code, we were informed that the execution of the following agreements, already approved by the Annual General Shareholders' Meeting in previous fiscal years, was continued in 2020.

Employment contracts entered into between BPCE and three members of the Management Board

Director concerned on the applicable date (February 13, 2018): Catherine Halberstadt, member of the Management Board of BPCE.

Director concerned on the applicable date (May 17, 2018): Nicolas Namias, member of the Management Board of BPCE.

Director concerned on the applicable date (October 4, 2018): Christine Fabresse, member of the Management Board of BPCE.

It was determined that it would be in BPCE's best interest to enter into employment contracts with three members of the Management Board in the context of the rollout of Groupe BPCE's TEC 2020 strategic plan, which requires the development of the technical skills needed to implement projects in a more complex, more digital environment, with a strengthened regulatory framework, and given the financial conditions attached to these contracts.

At its meeting of February 13, 2018, the Supervisory Board, having examined the main provisions of the employment contract (pay, eligibility for mechanisms provided for in the collective bargaining agreement, continued payment of compensation for a period of 12 months in the event of medical leave, continuation of Groupe BPCE seniority, entry into force of contracts after approval by the Annual General Shareholders' Meeting of the new pay policy), approved and authorized BPCE's entry into an employment contract with Catherine Halberstadt.

At its meeting of May 17, 2018, the Supervisory Board, having examined the main provisions of the employment contract (pay, eligibility for mechanisms provided for in the collective bargaining agreement, continued payment of compensation for a period of 12 months in the event of medical leave, seniority, paid vacation, etc.), approved and authorized BPCE's entry into an employment contract with Nicolas Namias.

At its meeting of October 4, 2018, the Supervisory Board, having examined the main provisions of the employment contract (pay, eligibility for mechanisms provided for in the collective bargaining agreement, pension and benefits, continued payment of compensation for a period of 12 months in the event of medical leave, seniority and paid vacation), approved and authorized BPCE's entry into an employment contract with Christine Fabresse.

The Supervisory Board also noted that, in accordance with the rules of the Group health, benefits and pension plans (Articles 83 and 39 of the French General Tax Code (*Code général des impôts*)), the pay used to calculate these Group benefits is that which is subject to social security charges (*i.e.*, received under the employment contract and for holding a corporate office).

Amendments to the employment contracts entered into between BPCE and two members of the Management Board

Directors concerned on the applicable date (October 4, 2018): Catherine Halberstadt and Nicolas Namias, members of the Management Board of BPCE.

It was determined that it would be in BPCE's best interest to enter into these amendments to the employment contracts with these members of the Management Board in the context of the rollout of Groupe BPCE's TEC 2020 strategic plan, which requires the development of the technical skills needed to implement projects in a more complex, more digital environment, with a strengthened regulatory framework, and given the financial conditions.

At its meeting of October 4, 2018, the Supervisory Board approved and authorized BPCE's entry into an amendment to the employment contract entered into between BPCE and Catherine Halberstadt on May 14, 2018 and Nicolas Namias on May 25, 2018.

Amendments to the employment contracts entered into between BPCE and three members of the Management Board

Directors concerned on the applicable date (December 19, 2019): Christine Fabresse, Catherine Halberstadt and Nicolas Namias, members of the Management Board of BPCE.

It was determined that it would be in BPCE's best interest to enter into these amendments to employment contracts governing payment of CGP/R2E compensation, insofar as they would harmonize the payment practices for members of the Management Board.

At its meeting of December 19, 2019, the Supervisory Board approved and authorized the signing of amendments to the employment contracts entered into between BPCE and Christine Fabresse, BPCE and Catherine Halberstadt, and BPCE and Nicolas Namias.

Commitments maturing or likely to mature because of a termination or change of position

COMMITMENTS RELATED TO THE CHAIRMAN OF THE MANAGEMENT BOARD

Director concerned on the applicable date (May 17, 2018): Laurent Mignon, Chairman of the Management Board of BPCE.

Director concerned on the applicable date (October 4, 2018): Laurent Mignon, Chairman of the Management Board of BPCE.

INVOLUNTARY-TERMINATION SEVERANCE PAY

The Chairman of the Management Board of BPCE will be entitled to involuntary-termination severance pay under the following conditions.

a) Conditions for receiving involuntary-termination severance pay

The severance may not be paid unless termination of the duties of Chairman of the Management Board of BPCE SA is involuntary (involuntary end to term of office due to removal by the Annual General Shareholders' Meeting, withdrawal of approval, involuntary resignation, or non-renewal by the Supervisory Board), other than for serious misconduct or a change of position within Groupe BPCE.

This severance is not paid if the Chairman of the Management Board leaves the Group at his own initiative.

Payment of involuntary-termination severance causes the Chairman of the Management Board to lose any entitlement to the retirement bonus he otherwise may have claimed (it being specified that he does not benefit from a defined-benefit pension plan).

If he is re-assigned to another position with Groupe BPCE under an employment contract, the termination of said employment contract, with notification given more than 12 months after he is forcibly removed from his corporate office, entitles him – barring gross negligence or willful misconduct – to receive the severance pay provided for in the applicable collective bargaining agreement. Conversely, if the employment contract is terminated with notification given less than 12 months after he is forcibly removed from corporate office, he is entitled – barring gross negligence or willful misconduct – to receive involuntary-termination severance pay, minus any compensation required by law and provided for in the applicable collective bargaining agreement liable to be paid in respect of the termination of the employment contract.

b) Performance conditions

Involuntary-termination severance pay is only due if the Group generated positive net income in the last fiscal year preceding the termination of the corporate office.

Moreover, in compliance with the rules for determining involuntary-termination severance pay, payment is subject to the condition of the Chairman of the Management Board having been awarded on average at least 33.33% of the maximum variable component during the last three years of the current term of office.

c) Determination of involuntary-termination severance pay

The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding any special increase and benefits) granted for the last calendar year of work preceding the termination of the position and the average of the variable pay (whether paid immediately or deferred) for the last three calendar years of work preceding the termination of the position. Amounts paid in respect of the relevant corporate office are taken into account.

The amount of the severance pay is equal to the monthly benchmark pay x (12 months + 1 month per year of seniority within the Group). Seniority is calculated in years and fractions of a year.

The amount of involuntary-termination severance pay is capped at 24 times the monthly benchmark pay, which corresponds to a period of 12 years' seniority with the Group.

Where at least 50% of the maximum variable component is awarded on average during the last three years of the corporate office in progress (or during the term of office served, plus the previous term of office served if the term was renewed), the involuntary-termination severance pay will be paid in full.

Where at least 33.33% of the maximum variable component is not awarded on average over this period, no involuntary-termination severance pay is granted. Between 33.33% and 50%, the amount of involuntary-termination severance pay is calculated on a straight-line basis, at the discretion of the Supervisory Board.

Regardless, any compensation paid for an employment contract is deducted from the amount of involuntary-termination severance pay.

COMMITMENTS RELATED TO MEMBERS OF THE MANAGEMENT BOARD

Directors concerned on the applicable date (March 29, 2018): Catherine Halberstadt, François Riahi, and Laurent Roubin, members of the Management Board of BPCE.

Director concerned on the applicable date (May 17, 2018): Nicolas Namias, member of the Management Board of BPCE.

Directors concerned on the applicable date (October 4, 2018): Christine Fabresse, Catherine Halberstadt and Nicolas Namias, members of the Management Board of BPCE.

INVOLUNTARY-TERMINATION SEVERANCE PAY

Members of the Management Board of BPCE will be entitled to involuntary-termination severance pay under the following conditions.

a) Conditions for receiving involuntary-termination severance pay

The severance may not be paid unless termination is involuntary (involuntary end to term of office due to removal by the Annual General Shareholders' Meeting, withdrawal of approval, involuntary resignation, or non-renewal by the Supervisory Board), other than for serious misconduct or a change of position within Groupe BPCE.

This severance is not paid if the member of the Management Board concerned leaves the Group at his or her own initiative.

Persons receiving involuntary-termination severance pay lose any entitlement under the defined-benefit plan, subject to employment by the company at the time of retirement, provided for under Article L. 137-11 of the French Social Security Code (*Code de la sécurité sociale*), and/or to any retirement bonus they may claim.

The termination of the employment contract, with notification given more than 12 months after they are forcibly removed from their corporate office, entitles them – barring gross negligence or willful misconduct – to receive the severance pay provided for in the applicable collective bargaining agreement. Conversely, if the employment contract is terminated with notification given less than 12 months after they are forcibly removed from corporate office, they are entitled – barring gross negligence or willful misconduct – to receive involuntary-termination severance pay, minus any compensation liable to be paid in respect of the termination of the employment contract.

b) Performance conditions

Involuntary-termination severance pay is only due if the Group generated positive net income in the last fiscal year preceding the termination of the corporate office.

Moreover, in compliance with the rules for determining involuntary-termination severance pay, payment is subject to the condition of the member of the Management Board concerned having been awarded on average at least 33.33% of the maximum variable component during the last three years of the current term of office. This variable component is the amount that may be received by the member of the Management Board concerned in respect of his or her corporate office and employment contract.

c) Determination of involuntary-termination severance pay

The monthly benchmark pay used in the calculation is equal to one-twelfth of the sum of the fixed pay (excluding any special increase and benefits) granted for the last calendar year of work preceding the termination of the corporate office or the employment contract and the average of the variable pay (whether paid immediately or deferred) for the last three calendar years of work preceding the termination of the corporate office or the employment contract. Amounts paid in respect of the relevant corporate office and employment contract are taken into account.

The amount of the indemnity is equal to the monthly benchmark pay x (12 months +1 month per year of seniority within the Group).

Seniority is calculated in years and fractions of a year.

The amount of involuntary-termination severance pay is capped at 24 times the monthly benchmark pay, which corresponds to a period of 12 years' seniority with the Group.

Where at least 50% of the maximum variable component is awarded on average during the last three years of the corporate office in progress (or during the term of office served, plus the previous term of office served if the term was renewed), the involuntary-termination severance pay will be paid in full.

Where at least 33.33% of the maximum variable component is not awarded on average over this period, no involuntary-termination severance pay is granted. Between 33.33% and 50%, the amount of involuntary-termination severance pay is calculated on a straight-line basis, at the discretion of the Supervisory Board.

This variable component is the amount that may be received by the member of the Management Board concerned in respect of his or her corporate office and employment contract.

Regardless, any compensation paid for termination of the employment contract is deducted from the amount of involuntary-termination severance pay.

SOCIAL PROTECTION PLANS APPLICABLE TO ALL EMPLOYEES AND IN FAVOR OF CERTAIN CATEGORIES OF EMPLOYEES

Directors concerned on the transaction date (October 4, 2018): Laurent Mignon, Christine Fabresse, Catherine Halberstadt and Nicolas Namias, members of the Management Board of BPCE.

Members of the Management Board of BPCE may, under the same conditions as employees of BPCE SA, benefit from the implementation of the social protection plans applied within BPCE SA in favor of all employees and certain categories of employees:

- CGP Article 83 supplementary pension plan: the contribution rate is 6% from Bracket A and 4% from the pensionable portion of pay in excess of Bracket A; 70% of this contribution is paid by the company and 30% by the employee;
- IPRICAS Article 83 supplementary pension plan: the contribution rate is 3.5% of total pensionable pay. This contribution is paid entirely by the company;
- IPBP supplementary protection plan;
- CNP TD supplementary protection plan;
- BPCE MUTUELLE supplementary health plan.

Members of the Management Board may benefit from the rules governing the maintenance of rights to receive pay for a period of 12 months in the case of temporary work disability applicable to executive directors of Groupe BPCE companies.

The Supervisory Board has found that implementing these plans is of genuine interest for BPCE SA since it is a means of incentivizing and retaining these members of the Management Board.

PENSION PLAN FOR EXECUTIVE DIRECTORS OF GROUPE BPCE

Director concerned on the applicable date (October 4, 2018): Christine Fabresse, member of the Management Board of BPCE.

Beneficiaries' eligibility for the plan is subject to meeting the following conditions on the day of their departure:

- they must end their career with Groupe BPCE. This condition is met when beneficiaries are Group employees on the day before their social security pension is drawn following voluntary retirement;
- they must have served in an eligible position as identified in the rules for at least the required minimum period (seven years) at the date on which their social security pension is drawn.

Beneficiaries who meet the above conditions are entitled to an annuity set at 15% of benchmark pay, *i.e.* their average annual pay earned in the three highest-paid years during the five calendar years before the date on which their social security pension is drawn.

Annual pay refers to the sum of the following types of pay received for the year in question:

- fixed pay, excluding benefits in kind or duty-related bonuses;
- variable pay – not exceeding 100% of fixed pay – and defined as the total variable amount paid, including the portion that may have been deferred over several years and subject to attendance and performance requirements, in accordance with regulations on variable pay granted by credit institutions.

The annuity is capped at four times the annual ceiling for social security annuities.

Once drawn, this supplementary pension may be paid to a spouse or former non-remarried spouse, at a rate of 60%.

This plan is governed by the provisions of the AFEP-MEDEF Code. It complies with the principles governing the capacity of beneficiaries, overall establishment of base pay, seniority conditions, the progressive increase in potential entitlements depending on seniority, the reference period used to calculate benefits and the prevention of artificially inflated pay.

The Supervisory Board has given the authorization to maintain the Pension Plan for Executive Directors of Groupe BPCE dated July 1, 2014, governed by Article L. 137-11 of the French Social Security Code and has decided to subordinate the benefit of the conditional rights provided for by that plan to the attainment by Groupe BPCE of positive net income for the applicable period.

The Supervisory Board duly noted the compliance with the provisions of paragraph 8 of Article L. 225-90-1 of the French Commercial Code which provides that conditional rights may not increase, year on year, by an amount in excess of 3% of the annual benchmark pay for the calculation of plan benefits, since the Pension Plan for Executive Directors of Groupe BPCE of which Christine Fabresse has the benefit enables the acquisition of a pension equal to 15% of the benchmark pay, assuming membership of the plan for a minimum of 7 years.

The Supervisory Board believes that maintaining this commitment helps incentivize and retain this member of the Management Board.

AGREEMENTS WITH SHAREHOLDERS

Subsidy granted by BPCE to the Banques Populaires

Joint directors on the applicable date: Michel Grass, Chairman of the Supervisory Board of BPCE and Chairman of the Board of Directors of BP Bourgogne Franche-Comté, Gérard Bellemon, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of BP Val de France, Thierry Cahn, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of BP Alsace Lorraine Champagne, Bernard Dupouy, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of BP Aquitaine Centre Atlantique, Yves Gevin, a member of the Supervisory Board of BPCE and CEO of BP Rives de Paris, Catherine Mallet, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of BP Occitane and Olivier Klein, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of BRED.

The Supervisory Board decided to implement an equity mechanism as part of the plan to integrate Crédit Foncier's operations into Groupe BPCE, consisting of the payment of a commercial subsidy by BPCE in order to support the rollout of specific new loans at the Banques Populaires.

At its meeting of March 28, 2019, the Supervisory Board of BPCE authorized the payment of a commercial subsidy by BPCE to all Banques Populaires (except CASDEN).

This subsidy resulted in the recognition of an expense of €8,920,026.07 on BPCE's 2020 financial statements.

Subsidy granted by BPCE to the Caisses d'Épargne

Joint directors concerned on the applicable date: Catherine Amin-Garde, a member of the Supervisory Board of BPCE and Chairman of the SSB of CE Loire Drôme Ardèche; Alain Denizot, a member of the Supervisory Board of BPCE and Chairman of the Management Board of CE Rhône Alpes; Dominique Goursolle-Nouhaud, a member of the Supervisory Board of BPCE and Chairman of the SSB of CE Aquitaine Poitou-Charentes; Françoise Lemalle, a member of the Supervisory Board of BPCE and Chairman of the SSB of CE Côte d'Azur; Didier Patault, a member of the Supervisory Board of BPCE and Chairman of the Management Board of CE Ile-de-France; Nicolas Plantrou, a member of the Supervisory Board of BPCE and Chairman of the SSB of CE Normandie; and Pierre Valentin, a member of the Supervisory Board of BPCE and Chairman of the SSB of CE Languedoc-Roussillon.

The Supervisory Board decided to implement an equity mechanism as part of the plan to integrate Crédit Foncier's operations into Groupe BPCE, consisting of the payment of a commercial subsidy by BPCE in order to support the rollout of specific new loans at the Caisses d'Épargne.

At its meeting of March 28, 2019, the Supervisory Board of BPCE authorized the payment of a commercial subsidy by BPCE to all Caisses d'Épargne (except Caisse d'Épargne d'Auvergne et du Limousin).

This subsidy resulted in the recognition of an expense of €7,974,822.66 on BPCE's 2020 financial statements.

Collateral remuneration agreement between BPCE and the Caisses d'Épargne

Joint directors concerned on the applicable date: Yves Toubanc, Chairman of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Rhône Alpes, Jean Arondel, a member of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Loire-Centre, Jean-Charles Boulanger, a member of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Aquitaine Poitou-Charentes, Jean-Claude Cette, a member of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Provence-Alpes-Corse, Francis Henry, a member of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Lorraine Champagne-Ardenne, Philippe Lamblin, a member of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Nord France Europe, Pierre Mackiewicz, a member of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Côte d'Azur, Bernard Roux, a member of the Supervisory Board of CNCE and Chairman of the Steering and Supervisory Board of CE Midi-Pyrénées, Pierre Valentin, a member of the Supervisory Board and Chairman of the Steering and Supervisory Board of CE Languedoc-Roussillon, Maurice Bourrigaud, a member of the Supervisory Board of CNCE and Chairman of the Management Board of CE d'Auvergne et du Limousin, Joël Chassard, a member of the Supervisory Board of CNCE and Chairman of the Management Board of CE Normandie, Bernard Comolet, Vice-Chairman of the Supervisory Board of CNCE and Chairman of the Management Board of CE Ile-de-France, Alain Denizot, a member of the Supervisory Board of CNCE and Chairman of the Management Board of CE Picardie, Jean-Pierre Deramecourt, a member of the Supervisory Board of CNCE and Chairman of the Management Board of CE d'Alsace, Alain Maire, a member of the Supervisory Board of CNCE and Chairman of the Management Board of CE Bourgogne Franche-Comté, Philippe Monéta, a member of the Supervisory Board of CNCE and Chairman of CE Loire Drôme Ardèche and Didier Patault, a member of the Supervisory Board of CNCE and Chairman of the Management Board of CE Bretagne Pays de Loire.

CNCE and the Caisses d'Épargne have implemented, and may continue to implement in the future, with the Banque de France, GCE group refinancing arrangements involving the direct or indirect use of assets belonging to the Caisses d'Épargne.

CNCE and the Caisses d'Épargne wished to define the terms and conditions under which the Caisses d'Épargne will receive a minimum financial commission in exchange for transferring assets eligible for ECB Monetary Policy Operations and not otherwise eligible for specific remuneration as securities lending or repo transactions.

The agreement is entered into for three years and is renewable automatically for another three-year period, unless terminated in advance.

At its meeting of June 24, 2009, the CNCE Supervisory Board authorized CNCE to sign this collateral remuneration agreement with each of the Caisses d'Épargne.

This transaction resulted in the recognition of an expense of €2,925,380.61 on BPCE's 2020 financial statements.

Collateral remuneration agreement between BPCE and the Banques Populaires

Joint directors concerned on the applicable date: Gérard Bellemon, a member of the Supervisory Board of BPCE and

Chairman of the Board of Directors of Banque Populaire Val de France, Thierry Cahn, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of Banque Populaire d'Alsace, Pierre Desvergnès, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of CASDEN Banque Populaire, Stève Gentili, a member of the Supervisory Board of BPCE and Chairman of the Board of Directors of BRED, Jean Criton, a member of the Supervisory Board of BPCE and Managing Director of Banque Populaire Rives de Paris and Bernard Jeannin, a member of the Supervisory Board of BPCE and Managing Director of Banque Populaire Bourgogne Franche-Comté.

BPCE and the Banques Populaires have implemented, and may continue to implement in the future, with the Banque de France, Groupe BPCE refinancing arrangements involving the direct or indirect use of assets belonging to the Banques Populaires.

BPCE and the Banques Populaires wished to define the terms and conditions under which the Banques Populaires will receive a minimum financial commission in exchange for transferring assets eligible for ECB Monetary Policy Operations and not otherwise eligible for specific remuneration as securities lending or repo transactions.

The purpose of the collateral remuneration agreement is to determine the bases for calculation and payment under which the Banque Populaire will receive a payment from BPCE in return for directly or indirectly transferring assets that are eligible for ECB Monetary Policy Operations.

At its meeting of February 24, 2010, the Supervisory Board authorized BPCE to sign this collateral remuneration agreement with each of the Banques Populaires.

It was entered into on July 15, 2010 for an indefinite period.

This transaction resulted in the recognition of an expense of €1,459,566.83 on BPCE's 2020 financial statements.

AGREEMENTS WITH NATIXIS AND ITS SUBSIDIARIES

Framework partnership agreement between BPCE, Natixis Assurances, BPCE Assurances, Covéa Coopérations, MAAF Assurances, Covéa Protection Juridique and BPCE IARD

Joint directors concerned on the applicable date: François Riahi, member of the Management Board of BPCE, Chief Executive Officer of Natixis and Chairman of the Board of Directors of Natixis Assurances.

This framework agreement focuses on insurance of professional risks for customers of the Caisses d'Épargne and Banques Populaires.

This agreement was entered into for five years from January 1, 2020 and can be renewed for successive five-year periods.

The Supervisory Board of BPCE believed that entering into this framework partnership agreement was in BPCE's interest, specifically in light of the strategic rationale behind planned operations and the financial terms proposed.

At its meeting of March 28, 2019, the Supervisory Board authorized the signing of the framework partnership agreement (and its appendices) between BPCE, Natixis Assurances, BPCE Assurances, Covéa Coopérations, MAAF Assurances, Covéa Protection Juridique and BPCE IARD.

This agreement had no impact on BPCE's 2020 financial statements.

Agreements between CNP Assurances and Groupe BPCE

Joint directors concerned on the applicable date: Françoise Lemalle, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Thierry Cahn, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Bernard Dupouy, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis and Gérard Bellemon, a member of the Supervisory Board of BPCE and a member of the Board of Directors of BPCE Vie.

The purpose of these agreements was to extend the agreements signed in 2015 between BPCE, Natixis and CNP Assurances from December 31, 2022 to December 31, 2030, and thereby reinforce CNP Assurances' multi-partnership model.

These agreements provide for the transition to a 50-50 coinsurance split between Natixis Assurances (BPCE Vie and BPCE Prévoyance) and CNP Assurances for collective payment protection insurance and for CNP Assurances to underwrite 34% of individual payment protection insurance policies subscribed for by BPCE Vie.

The Supervisory Board of BPCE deemed that these agreements were justified in terms of the corporate interest given that they are integrated within the Group's overall bancassurance business model while at the same time preserving the interests of customers, the level of fees and commissions, and service quality during the period covered by said agreements.

At its meeting of December 19, 2019, the Supervisory Board authorized the signing of agreements between CNP Assurances and Groupe BPCE.

These agreements had no impact on BPCE's 2020 financial statements.

Negotiation Agreement for the Smith transaction

Joint directors concerned on the applicable date: Laurent Mignon, Chairman of the Board of Directors of Natixis and Chairman of the Management Board of BPCE, Catherine Halberstadt, permanent representative of BPCE on the Board of Directors of Natixis and a member of the Management Board of BPCE, François Riahi, Chief Executive Officer of Natixis and a member of the Management Board of BPCE, Thierry Cahn, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Françoise Lemalle, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Stéphanie Paix, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Alain Condaminas, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, and Bernard Dupouy, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE.

This project involves BPCE's acquisition from Natixis of the specialized financing activities of Natixis' SFS business line, namely factoring (Natixis Factor), sureties and guarantees (CEGC), leasing (Natixis Lease), consumer finance (Natixis Financement) and the custodial services activities (Natixis' Eurotitres department).

It has multiple objectives: simplify the structure of the Group's local banking activities; reposition BPCE SA as the lead operational subsidiary and expert in local banking activities; increase the value that BPCE SA brings to the Group's clients; and more effectively structure the Group's capital by positioning the Group's various entities – and the BPCE SA group in particular – at satisfactory and sustainable capital adequacy levels.

First, Natixis would see approximately €2 billion in capital freed up in connection with the asset sale and would pay out to its shareholders a special dividend calibrated to position Natixis at a CET1 ratio of about 11%.

BPCE would also carry out a €2 billion capital increase, of which €1.2 billion would be freed up when the transaction is completed, to finance the acquisition of the targeted assets and provide capital support for any external growth transactions Natixis might wish to make in its asset-light business lines (up to €1.5 billion), in addition to the €1 billion currently anticipated and financed in the New Dimension plan.

At its meeting of September 12, 2018, the Supervisory Board authorized the entry into the Negotiation Agreement between BPCE and Natixis.

This agreement had no impact on BPCE's 2020 financial statements.

Purchase agreements in connection with the Smith transaction

Joint directors concerned on the applicable date: Laurent Mignon, Chairman of the Board of Directors of Natixis and Chairman of the Management Board of BPCE, Catherine Halberstadt, permanent representative of BPCE on the Board of Directors of Natixis and a member of the Management Board of BPCE, François Riahi, Chief Executive Officer of Natixis and a member of the Management Board of BPCE, Thierry Cahn, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Françoise Lemalle, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, and Bernard Dupouy, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE.

The Supervisory Board was called upon, in connection with the Smith transaction, to authorize BPCE's acquisition of the shares of Natixis Lease, Natixis Factor, Natixis Financement and CEGC, known as the "SFS Subsidiaries," and the acquisition of the Eurotitres customer base.

- The purchase price for the SFS Subsidiaries is €2.6 billion, which breaks down into €351 million for Natixis Financement, €178 million for Natixis Factor, €953 million for Natixis Lease and about €1.1 billion for CEGC.

An adjustment to the estimated price of the subsidiaries sold is provided for in the agreements, in proportion to any upward or downward difference between the final 2018 IFRS capital of the subsidiaries sold and the estimated 2018 IFRS capital used to set the initial price.

This transaction will be finalized subject to the condition precedent that BPCE complete the capital increase in an amount equal to at least €1.2 billion and that the ECB recognize it as CET1.

- The purchase price for the Eurotitres customer base is €87 million. An adjustment to the estimated price is provided for in proportion to the increase or decrease in the amount corresponding to Eurotitres' net tangible assets (*i.e.* the value of the customer base less the value of liabilities and the value of intangible assets).
- To ensure business continuity, transitional service agreements (TSAs) and service-level agreements (SLAs) will also be implemented at the closing, under which Natixis will provide transitional and long-term services to BPCE. These TSAs and SLAs cover about 500 identified services, mainly concerning the Risk, Finance, Compliance and HR functions.

These agreements, which are characterized as “related,” take the form of:

- three cost-sharing and service agreements appended to the sale agreement for the SFS Subsidiaries (“Reverse TSA/SLA,” “IT,” and “TSA”);
- one custody agreement, the “extended mandate,” appended to the sale agreement for the Eurotitres customer base.

At its meeting of February 12, 2019, the Supervisory Board of BPCE authorized BPCE to sign the agreement for the sale of the shares of the SFS Subsidiaries and the sale of the Eurotitres customer base, as well as the “related” agreements.

At its meeting of December 17, 2020, the Supervisory Board of BPCE decided to declassify the three service contracts, “Reverse TSA/SLA,” “IT,” and “TSA,” as well as the custody agreement known as the “extended mandate” contract linked to the Smith transaction.

These agreements had no impact on BPCE’s 2020 financial statements.

Framework and specific agreements covering the new partnership arrangements between the CNP and BPCE groups

At its meeting of August 6, 2013, the Supervisory Board authorized François Pérol to constitute an Insurance division at the level of Natixis and engage in negotiations with CNP Assurances with a view to allocating the responsibility for the Group’s future life insurance business to Natixis Assurances.

The negotiations with CNP undertaken between October 2013 and July 2014 resulted in the definition of the fundamental principles applicable to the future partnership between BPCE, Natixis and CNP which were duly approved by the Supervisory Board at its meeting of July 31, 2014.

The discussions with CNP continued and resulted, first, in an agreement of principle between CNP Assurances, BPCE and Natixis authorized by the Supervisory Board on November 4, 2014 and then in a Final Framework Agreement complemented by specific application contracts (the “New Partnership Agreements”) authorized by the Supervisory Board on February 18, 2015 and approved by the Annual General Shareholders’ Meeting held on May 22, 2015.

The new partnership agreements with CNP Assurances represent a major strategic development for BPCE that is perfectly integrated within the Group’s overall bancassurance business model while at the same time preserving the interests of customers, the level of fees and commissions, and service quality during the transitional period.

These agreements had no impact on BPCE’s 2020 financial statements.

Final Framework Agreement and its addendum

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE, a member of the Board of Directors of CNP Assurances and Chairman of the Board of Directors of Natixis, Jean-Yves Forel, a member of the Management Board of BPCE and a member of the Board of Directors of CNP Assurances, Laurent Mignon, a member of the Management Board of BPCE and Chief Executive Officer of Natixis, Pierre Valentin, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Didier Patault, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Thierry Cahn, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Catherine Halberstadt, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Alain Condaminas, a member of the Board of Directors of Natixis and a member of the Supervisory Board of BPCE, Gérard Bellemon, a member of the Board of

Directors of Natixis Assurances and a member of the Supervisory Board of BPCE.

The Final Framework Agreement was executed between CNP Assurances (acting in its name and on behalf of itself and in the name and on behalf of its subsidiaries), BPCE (acting in its name and on behalf of itself and/or, as the case may be, in the name and on behalf of the members of the Caisse d’Epargne network as central institution of the Caisse d’Epargne network, and/or in the name and on behalf of the members of the Banque Populaire network as central institution of the Banque Populaire network, and/or in the name and on behalf of its subsidiaries), Natixis (acting in its name and on behalf of itself and/or, as the case may be, in the name and on behalf of its subsidiaries), Natixis Assurances, ABP Vie and ABP Prévoyance.

The purpose of the final framework agreement is:

- to note the non-renewal of the Existing Agreements;
- to define, organize and delimit the contractual whole formed by the New Partnership Agreements of which it is the umbrella agreement;
- to determine the term of the New Partnership Agreements, namely seven years as from January 1, 2016. At the end of this seven-year period, BPCE will be able to either extend the New Partnership Agreements for a period of three years as from January 1, 2023 or purchase CNP’s insurance deposit inventory. BPCE will have the option of acquiring the existing portfolio on December 31, 2020, and CNP the option, in 2020 and 2022, of notifying BPCE of its desire to initiate discussions with a view to such sale;
- to define and organize the functioning of the Partnership Committee and any sub-committees subsequently formed by the Partnership Committee; and
- more generally, to organize and monitor the relationships between the Parties for the purposes of the Renewed Partnership.

An addendum to the Final Framework Agreement was signed on December 30, 2015 between BPCE, CNP Assurances and Natixis in order to determine a new time limit for the signature of certain of the intended New Partnership Agreements not already signed before December 31, 2015.

The addendum was equally designed to amend certain agreements to reflect regulatory or operating developments requiring the modification of certain appendices, and also provides for the deferral to January 1, 2016 of the constitution of the Partnership Committee.

These agreements had no impact on BPCE’s 2020 financial statements.

Agreements between CNP Assurances, BPCE, Natixis and ABP Vie (a subsidiary of Natixis Assurances)

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE, Chairman of the Board of Directors of Natixis and a member of the Board of Directors of CNP Assurances, Jean-Yves Forel, a member of the Management Board of BPCE and a member of the Board of Directors of CNP Assurances, Daniel Karyotis, a member of the Management Board of BPCE and permanent representative of BPCE at Natixis, Alain Condaminas, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Catherine Halberstadt, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Didier Patault, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Thierry Cahn, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Pierre Valentin, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis and Gérard Bellemon, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis Assurances.

- Tranche 2 new business reinsurance treaty between ABP Vie and CNP Assurances in the presence of BPCE and Natixis: 90% reinsurance by CNP Assurances for new business involving ex-CNP customers.
- Tranche 2 reinsurance administration contract between ABP Vie, CNP Assurances and BPCE in the presence of Natixis, designed to define administrative arrangements:
 - the supply by BPCE to CNP Assurances of the list of customers insured, in accordance with the periodicity and other provisions of the contract, in the event of the observance of any interest rate or behavioral market shock; and
 - deployment of the necessary tests to ensure the proper functioning of the procedures (including the exchange of information) provided for by the contract.
- EuroCroissance administration contract between CNP Assurances, BPCE and ABP Vie in the presence of Natixis, designed to define administrative arrangements on similar bases to those applying to the Tranche 2 reinsurance administration contract.

These agreements had no impact on BPCE's 2020 financial statements.

EuroCroissance contract between CNP Assurances and ABP Vie in the presence of BPCE

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE, Chairman of the Board of Directors of Natixis and a member of the Board of Directors of CNP Assurances, and Jean-Yves Forel, a member of the Management Board of BPCE and a member of the Board of Directors of CNP Assurances.

The EuroCroissance contract has been executed between CNP Assurances (acting in its name and on behalf of itself and in the name and on behalf of its subsidiaries), BPCE (acting in its name and on behalf of itself and/or, as the case may be, in the name and on behalf of the members of the Caisse d'Épargne network as central institution of the Caisse d'Épargne network, and/or in the name and on behalf of the members of the Banque Populaire network as central institution of the Banque Populaire network, and/or in the name and on behalf of its subsidiaries) and ABP Vie, in the presence of Natixis.

The EuroCroissance contract provides for compensation for the technical commitments arising as a result of payments by insured customers into EuroCroissance funds (an investment vehicle providing for the constitution of a Technical Provision for Diversification) with effect from January 1 of the calendar year of observance of any interest rate or behavioral market shock, independently of the date of subscription of the corresponding policy with ABP Vie.

These agreements had no impact on BPCE's 2020 financial statements.

Pension Savings agreements between CNP Assurances and BPCE

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE, Chairman of the Board of Directors of Natixis and a member of the Board of Directors of CNP Assurances and Jean-Yves Forel, a member of the Management Board of BPCE and a member of the Board of Directors of CNP Assurances.

- **Retirement savings plan partnership agreement** between CNP Assurances and BPCE mentioning in particular the termination of the distribution of the life insurance and capitalization products of CNP Assurances by the Caisse d'Épargne network with effect from January 1, 2016 (subject to certain contractual exceptions).

The agreement has been signed between CNP Assurances (acting in its name and on behalf of itself and of its subsidiaries) and BPCE (acting in its name and on behalf of itself and, as central institution, in the name and on behalf of the members of the Caisse d'Épargne network and of Banque Palatine, Banque BCP, Banque des Antilles Françaises, Banque de la Réunion, Banque de Nouvelle Calédonie, Banque de Saint-Pierre et Miquelon and Banque de Tahiti).

- Implementation of a **Savings Mechanism** between CNP Assurances and BPCE involving two contracts: a contract providing the assurance of a stable portfolio level for CNP Assurances, acting in the event of additional redemptions, or reduced subsequent payments, compared to the anticipated amounts and conversely, a contract providing for remuneration of BPCE's outperformance if the reverse applies. Both contracts will apply to all retirement savings plan life insurance and capitalization policies issued by CNP Assurances; they will be deactivated in the event of any interest rate or behavioral market shock and would then be renegotiated. BPCE has guaranteed CNP Assurances against any additional tax burden induced by the Savings Mechanism which is intended to be fiscally neutral for CNP Assurances.
- **Addendum to the retirement savings plan life insurance commissioning agreement** designed to extend the agreement until maturity of the last such policy issued by CNP Assurances. Distributors are remunerated on the basis of a contractual percentage applied to movements and outstandings subject eventually to increase based on the type of policy involved.

The agreement has been signed between CNP Assurances and BPCE acting, as central institution, in the name and on behalf of the members of the Caisse d'Épargne network and of Banque Palatine, Banque BCP, Banque des Antilles Françaises, Banque de la Réunion, Banque de Nouvelle Calédonie, Banque de Saint-Pierre et Miquelon and Banque de Tahiti.

This transaction resulted in the recognition of an expense of €1,579,321.81 on BPCE's 2020 financial statements.

Agreements relating to payment protection, providence and health insurance policies

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE, Chairman of the Board of Directors of Natixis and a member of the Board of Directors of CNP Assurances and Jean-Yves Forel, a member of the Management Board of BPCE and a member of the Board of Directors of CNP Assurances.

In respect of individual providence policies:

- **individual providence policies commissioning agreement** between CNP Assurances and BPCE acting in its name and on behalf of itself, in the name and on behalf of the members of the Caisse d'Épargne network as central institution of the Caisse d'Épargne network, and on behalf of Banque Palatine, Banque BCP, Banque des Antilles Françaises, Banque de la Réunion, Banque de Nouvelle Calédonie, Banque de Saint-Pierre et Miquelon and Banque de Tahiti. Distributors are remunerated on the basis of the premiums paid by policyholders or on the technical results for each distributing institution and type of policy.

In respect of collective payment protection insurance:

- **an exclusive partnership** for seven years between CNP Assurances, BPCE, ABP Vie and ABP Prévoyance subject to coinsurance by CNP Assurances and two subsidiaries of Natixis Assurances (ABP Vie and ABP Prévoyance) amounting respectively to 66% and 34% for all policies distributed by the networks of Banque Populaire (with the exception of BRED, Crédit Coopératif and CASDEN), Caisse d'Épargne, Banque Palatine and Crédit Foncier. In the event of renewal of the agreement, the coinsurance ratio would be adjusted to an equal balance for CNP Assurances (50%) and the two subsidiaries of Natixis Assurances (50%);
- **management and service-level agreement** between CNP Assurances and BPCE defining the relationships between the beneficiaries (namely the networks of Banque Populaire (with the exception of BRED, Crédit Coopératif and CASDEN), Caisse d'Épargne, Banque Palatine and Crédit Foncier) and the insurer (CNP Assurances) and setting out the duties of each party with regard to the management of insurance requests, claims and the associated financial flows. The applicable financial terms and conditions will be defined by type of policy and for each institution;
- **remuneration agreement** between BPCE, CNP Assurances (acting in its name and in the name and on behalf of CNP IAM), ABP Vie and ABP Prévoyance defining the financial terms and conditions prevailing between the insurer and the lending institutions (namely the networks of Banque Populaire (with the exception of BRED, Crédit Coopératif and CASDEN), Caisse d'Épargne, Banque Palatine and Crédit Foncier) with regard to the distribution of payment protection insurance policies with effect from January 1, 2016 and for the duration of the Agreement. The applicable financial terms and conditions will be defined by type of policy and for each institution.

Shareholders' agreement for Ecureuil Vie Développement ("EVD") entered into by and between CNP Assurances, Natixis Assurances and BPCE in the presence of Ecureuil Vie Développement

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE, Chairman of the Board of Directors of Natixis and a member of the Board of Directors of CNP Assurances, Jean-Yves Forel, a member of the Management Board of BPCE and a member of the Board of Directors of CNP Assurances and Gérard Bellemon, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis Assurances.

The shareholders' agreement for Ecureuil Vie Développement (EVD) has been executed between CNP Assurances, Natixis Assurances and BPCE in the presence of Ecureuil Vie Développement. It stipulates that:

EVD's mission is to provide proper interfacing between the Caisse d'Épargne network, Natixis Assurances and CNP.

On March 23, 2015 but taking effect on January 1, 2016, CNP sold to Natixis Assurances 2% of the share capital and voting rights of EVD thereby providing Natixis Assurances with 51% of the share capital of EVD. The sale was performed on the basis of a price of €48 per share or a total of €3,552 for the 74 shares representing 2% of the share capital.

These agreements had no impact on BPCE's 2020 financial statements.

Amendment to the agreement governing BPCE's 3(a) (2) US MTN Program

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE, Chairman of the Board of Directors of Natixis, Daniel Karyotis, a member of the Management Board of BPCE, permanent representative of BPCE and a member of the Board of Directors of Natixis, Alain Condaminas, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Thierry Cahn, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Catherine Halberstadt, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Didier Patault, a member of the Supervisory Board of BPCE and a Board Member of Natixis and Pierre Valentin, a member of the Supervisory Board of BPCE and a Board Member of Natixis.

On April 9, 2013, BPCE established a medium-term notes ("Notes") program in the United States within the framework of a scheme defined in Section 3(a)(2) of the Securities Act of 1933 (the "3(a) (2) Program"). The maximum total nominal amount of the program is \$10 billion.

It was proposed to change the limits of the Agreement concerning the guarantee:

- Notes issued under the 3(a) (2) Program cannot exceed a total nominal amount of \$6 billion per year;
- of which a maximum of \$3 billion may not be loaned by BPCE to Natixis (so where applicable, based on Natixis' funding needs, the proceeds from the Notes issued can be loaned by BPCE to Natixis at shorter maturities than those of the Notes).

On February 19, 2014, the Supervisory Board approved the signing of an amendment to the Agreement aimed at changing the sub-limits called for in Article 4 of the Agreement. Furthermore, the proceeds loaned to Natixis can be made available by BPCE for shorter maturities than those of the notes issued, depending on Natixis' funding needs.

This agreement resulted in the recognition of an expense of €778,759.57 on BPCE's 2020 financial statements.

Invoicing agreement related to the affiliation of Natixis

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE and Chairman of the Board of Directors of Natixis, Jean Criton, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Stève Gentili, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Bernard Jeannin, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Didier Patault, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Olivier Klein, a member of the Management Board of BPCE and a member of the Board of Directors of Natixis, Philippe Queuille, a member of the Management Board of BPCE and a member of the Board of Directors of Natixis, Nicolas Duhamel, a member of the Management Board of BPCE and permanent representative of BPCE, a member of the Board of Directors of Natixis.

CNCE, central institution of the former Groupe Caisse d'Épargne, and BFBP, central institution of the former Groupe Banque Populaire, authorized the affiliation of Natixis with CNCE and BFBP, which, in that capacity, were responsible for ensuring the smooth functioning of Natixis and received in consideration remuneration calculated in accordance with the invoicing agreement executed on May 31, 2007.

As BPCE replaced CNCE and BFBP as the central institution, effective from July 31, 2009, and decided to revise the amount of the contribution remunerating the services provided by BPCE in connection with the affiliation of Natixis, a further agreement was executed on December 21, 2010, triggering the termination of the invoicing agreement executed in 2007 (the latter was in force until March 31, 2010), effective from April 1, 2010, providing for an annual flat-rate amount of €22,000,000 with an indexation clause effective from 2011.

When the 2012 budget was set, in order to take the overall context into account, a decision was made to revise the amount of the contribution based on the actual cost of the policy assignments carried out by BPCE on behalf of Natixis.

The parties decided to enter into a new invoicing agreement for that purpose, which outright replaced the agreement of December 21, 2010. The new agreement became effective from January 1, 2012.

At its meeting of February 22, 2012, the Supervisory Board approved the terms and conditions of the new invoicing agreement with Natixis and authorized the execution thereof.

The agreement resulted in the recognition of income of €39,800,000.00 on BPCE's 2020 financial statements.

Joint and several guarantee agreement between CNCE and Natixis

Directors concerned on the applicable date: Charles Milhaud, Chairman of the Management Board of CNCE, Nicolas Mérimond, a member of the Management Board of CNCE, Anthony Orsatelli, a member of the Management Board of CNCE, Pierre Servant, a member of the Management Board of CNCE and Francis Meyer, a member of the Supervisory Board of CNCE (representing CDC).

On October 1, 2004, CNCE and CDC IXIS Capital Markets entered into an agreement by which CNCE provides a joint and several guarantee on the debts of CDC IXIS Capital Markets to third parties.

The guarantee was granted for an indefinite period. CNCE may unilaterally terminate this agreement provided that it announces its intention six months before the termination becomes effective.

The agreement was granted prior approval by the Supervisory Board during its September 30, 2004 meeting.

Following the merger of IXIS Corporate & Investment Bank with Natixis, this guarantee was renewed in favor of Natixis.

The agreement resulted in the recognition of income of €886.34 on BPCE's 2020 financial statements. The debts guaranteed amounted to €100,934,011.00 as of December 31, 2020.

Two agreements entered into within the scope of the new guarantee granted by CNCE (representing the rights of CDC IXIS following the Refondation project of December 31, 2004) to Natixis Structured Products to create a special purpose vehicle (SPV)

These agreements were signed following the sale of Labouchère Bank to allow Natixis Capital Markets (formerly IXIS Corporate & Investment Bank) to carry out transactions on the secondary market, and particularly for Japan, as part of a

€10 billion EMTN program. The creation of this SPV, which is located in Jersey, required the following guarantee:

- an amendment to the commitment letter signed on May 28, 2003 by CNCE and Natixis Capital Markets to include the SPV within the scope of the letter;
- a joint and several guarantee between CNCE and Natixis Structured Products enabling the guarantee provided by CNCE to be transferred to Natixis Structured Products.

These agreements had no impact on BPCE's 2020 financial statements.

AGREEMENTS WITH OTHER SUBSIDIARIES

Invoicing agreement related to the affiliation of Crédit Foncier de France

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE and Chairman of the Board of Directors of Crédit Foncier de France, Nicolas Duhamel, a member of the Management Board of BPCE and permanent representative of BPCE, a member of the Board of Crédit Foncier de France, Olivier Klein, a member of the Management Board of BPCE and a member of the Board of Crédit Foncier de France, Pierre Desvergnès, a member of the Supervisory Board of BPCE and a member of the Board of Crédit Foncier de France and Francis Henry, a member of the Supervisory Board of BPCE and a member of the Board of Crédit Foncier de France.

CNCE, central institution of the former Groupe Caisse d'Épargne, authorized the affiliation of Crédit Foncier de France with CNCE which, in said capacity, was responsible for ensuring the smooth functioning of its subsidiary and received in consideration remuneration calculated in accordance with the invoicing agreement executed on December 11, 2007.

As BPCE replaced CNCE as central institution, effective from July 31, 2009, and decided to revise the amount of the contribution remunerating the services supplied by CNCE in connection with the affiliation of Crédit Foncier de France, a further agreement was executed on August 5, 2011 (effective retroactively from January 1, 2011) for an annual flat-rate amount of €6,700,000 with an indexation clause effective from 2012.

When the 2012 budget was set, in order to take the overall context into account, a decision was made to revise the amount of the contribution based on the actual cost of the policy assignments carried out by BPCE on behalf of Crédit Foncier de France.

The parties decided to enter into a new invoicing agreement for that purpose, which outright replaced the agreement of August 5, 2011. The new agreement became effective from January 1, 2012.

At its meeting of February 22, 2012, the Supervisory Board approved the terms and conditions of the new invoicing agreement with Crédit Foncier de France and authorized the execution thereof.

The agreement resulted in the recognition of income of €11,400,000.00 on BPCE's 2020 financial statements.

Amendment 6 to the CNP Assurances shareholders' agreement

Joint director concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE and member of the Board of Directors of CNP Assurances.

The French government, Caisse des Dépôts et Consignations, CNCE and La Banque Postale, as shareholders together owning the majority of CNP Assurances' shares and voting rights, entered into a shareholders' agreement on September 2, 1998.

The agreement was concluded in the framework of the intended sale by the French government of the major part of its shareholding in CNP Assurances, of the transfer of part of the company's share capital to the private sector and of the company's initial public offering (IPO). The parties wished to show their intention to remain invested in the capital in the long-term and to set certain share-transfer rules between themselves as well as to express their shared intention to reinforce the business development of CNP in France and abroad.

On February 8, 2017, the parties signed Amendment 6 to the shareholders' agreement, as successively amended, as they wished, first, to comply with the legislative provisions on appointing two directors representing employees and thereby eliminate the power to appoint one director for employee shareholders and, second, to maintain some measure of flexibility in the operation of the Board of Directors and to terminate the appointment of three non-voting directors.

Amendment 6 to the shareholders' agreement with CNP Assurances, signed at a late date (on February 8, 2017), was authorized by the Annual General Shareholders' Meeting on May 19, 2017.

The shareholders' agreement, initially entered into on September 2, 1998, has been tacitly renewed for two years, in accordance with the mechanism provided for by the parties, *i.e.*, until the next expiration date on December 31, 2019.

In a letter dated June 25, 2019, LBP terminated the shareholders' agreement due to the planned project to set up a major public financial division with La Poste, the French State, and CDC, following the contribution to La Poste of all CNP Assurances shares held by CDC and the French State.

This termination resulted in the expiry of the CNP Assurances shareholders' agreement effective December 31, 2019.

At its meeting of December 17, 2020, the BPCE Supervisory Board noted that there was no longer any need to monitor Amendment 6 to the CNP Assurances shareholders' agreement, which had lapsed.

This agreement had no impact on BPCE's 2020 financial statements.

Amendment to MiFID agreement

Joint directors concerned on the applicable date: François Pérol, Chairman of the Management Board of BPCE and Chairman of the Board of Directors of Natixis, Alain Lemaire, a member of the Management Board of BPCE and a member of the Board of Directors of Natixis, Yvan de la Porte du Theil, a member of the Management Board of BPCE and a member of the Board of Directors of Natixis, Stève Gentili, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Francis Henry, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Bernard Jeannin, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis, Didier Patault, a member of the Supervisory Board of BPCE and a member of the Board of Directors of Natixis and Jean-Marc Carcéles, a member of the Supervisory Board of CNCE and a member of the Board of Crédit Foncier de France.

The CNCE lending activity managed in 2005 was sold to various Groupe Caisse d'Épargne subsidiaries. To this end, CNCE sold to IXIS Corporate & Investment Bank on November 18, 2005 its mid- and long-term French regional public-sector financing activities, under a partial transfer of business assets.

On December 14, 2006, the Supervisory Board approved the execution of a memorandum of understanding between CNCE, IXIS CIB and Crédit Foncier de France regarding the transfer of outstanding "regional public-sector" loans from IXIS CIB. This agreement was entered into on February 19, 2007.

On November 20, 2009, BPCE (taking over the rights of CNCE), Natixis (taking over the rights of IXIS CIB) and Crédit Foncier de France signed an amendment to the agreement specifying the obligations resulting from MiFID for derivatives activities and concerning the categorization of Natixis' counterparties and the notification of their category.

This agreement had no impact on BPCE's 2020 financial statements.

Amendment to the "PLS Package – PLI Package" agreement with Crédit Foncier de France

Joint directors concerned on the applicable date: Alain Lemaire, a member of the Management Board of CNCE and a member of the Board of Crédit Foncier de France, Guy Cotret, a member of the Management Board of CNCE and a member of the Board of Crédit Foncier de France and Jean-Marc Carcéles, a member of the Supervisory Board of CNCE and a member of the Board of Crédit Foncier de France.

On December 14, 2005, CNCE and Crédit Foncier de France entered into a PLS Package (state-sponsored rental accommodation loans) and PLI Package (intermediate rental loans) partnership agreement to implement a new regulated loan distribution strategy.

After four years of trials, it became desirable to simplify the agreement in response to the evolution in the financial markets, given that it appeared possible to simplify the basis of remuneration of the loan distribution networks and recognize the additional funding in the balance sheet of Crédit Foncier de France.

The agreement was thus amended as follows with effect from July 31, 2009: the scope of the loans in question was extended to PLSs, PLIs, PSLAs (social lease ownership loans), and open-ended loans for new flows and similar transactions, as were the fee calculation rules.

This agreement had no impact on BPCE's 2020 financial statements.

Financial intermediary agreement for Local Authorities and Institutions

Joint directors concerned on the applicable date: Alain Lemaire, a member of the Management Board of CNCE and a member of the Board of Crédit Foncier de France, Guy Cotret, a member of the Management Board of CNCE and a member of the Board of Crédit Foncier de France and Jean-Marc Carcéles, a member of the Supervisory Board of CNCE and a member of the Board of Crédit Foncier de France.

On June 19, 2008, CNCE, Crédit Foncier de France and Compagnie de Financement Foncier signed a financial intermediary agreement for local authorities and institutions which took effect on January 1, 2007. The main aim of this agreement was to define the terms of fees and commissions paid to the Caisses d'Épargne in their role as financial intermediaries for Groupe Crédit Foncier which holds the loans granted to local authorities and institutions on its balance sheet.

Given the banking and financial context of the prevailing absence, with effect from September 2008, of market references for medium- and long-term bond issues, the parties met to assess the implications for fees and commissions.

To re-establish an economic balance between the parties, they have agreed, in their respective interests, on the amounts and distribution of commission payments. This exemption of an exceptional nature in view of the financial context would be valid

only for the primary commissioning of business introducers on new flows due for 2008.

An amendment was signed in fiscal year 2011. This agreement was renewed in fiscal year 2016.

This agreement had no impact on BPCE's 2020 financial statements.

Paris La Défense and Neuilly-sur-Seine, March 5, 2021

Deloitte & Associés

Marjorie Blanc Lourme

The Statutory Auditors

Mazars

Charles de Boisriou

PricewaterhouseCoopers Audit

Nicolas Montillot

Emmanuel Benoist

ADDITIONAL INFORMATION

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				Cross-reference table for the management report	739
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8.1 Statement by the person responsible for the universal registration document and for the annual financial report

I certify that all of the information contained in the universal registration document is, to the best of my knowledge, in accordance with the facts and contains no omission likely to affect its import.

To the best of my knowledge, I certify that the financial statements have been prepared in accordance with applicable accounting standards and give a true and fair view of the assets, financial position, and profit or loss of the company and all affiliated companies, and that the management report (whose contents are listed in the Table of Concordance on page 739) gives a true and fair picture of the development of the business, results, and financial position of the company and all affiliated companies, along with a description of the main risks and uncertainties to which they are exposed.

Paris, March 24, 2021

Laurent Mignon

Chairman of the BPCE Management Board

8.2 Documents on display

This document is available on the “Investors” Section of the Group’s website (www.bpce.com), or from the French Financial Markets Authority website (www.amf-france.org).

All regulated information published in the last 12 months is available online at <https://www.groupebpce.fr/Investisseur/Information-reglementee>.

Any person wanting further information about Groupe BPCE may, with no commitment and free of charge, request documents by mail at the following address:

BPCE

Département Émissions et Communication Financière

50, avenue Pierre-Mendès-France

75013 Paris

8.3 Cross-reference table for the universal registration document

Universal registration
document filed on
March 24, 2021
Page No.

Category referenced in Annexes 1 and 2 of Delegated Regulation No. 2019/2020

1	Persons responsible	
1.1; 1.2	Statement by the person responsible	734
1.3; 1.4	Information from third parties, expert statements and declaration of any interest	N/A
1.5	Approval of the competent authority	N/A
2	Statutory Auditors	584-585
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4	Information about the issuer	
4.1	Company name and Commercial name	712
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8.2	Sources and amounts of issuer's cash flows	244; 394
8.3	Information on the issuer's borrowing requirements and funding structure	218; 291; 441-442; 567; 676-681
8.4	Information regarding any restrictions on the use of capital resources that have affected or could affect the issuer's operations	N/A
8.5	Information regarding the expected sources of funds needed to fulfill commitments referred to in point 5.7	N/A
9	Regulatory environment	49; 252-254; 402-404; 536-537; 592; 620-621
10	Trend information	234-235; 527
11	Profit forecasts and estimates	N/A
12	Administrative, management and supervisory bodies and executive management	
12.1	Administrative bodies	8-9; 136-186
12.2	Conflicts of interest involving the administrative, management and supervisory bodies and executive management	139; 208-209

Category referenced in Annexes 1 and 2 of Delegated Regulation No. 2019/2020		Universal registration document filed on March 24, 2021 Page No.
13	Pay and benefits	
13.1	Amount of pay and benefits in kind	198-207; 354; 504; 573; 719-724
13.2	Total amount set aside or accrued by the issuer to provide pension, retirement or similar benefits	198-207; 354; 504; 573; 719-724
14	Board practices	
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14.3	Information about the issuer's Audit Committee and Remuneration Committee	8-9; 143-144; 180-181; 183; 187; 583-584
14.4	Compliance with the country of incorporation's corporate governance regime	134-135
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15	Employees	
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16	Major shareholders	
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17	Related party transactions	354; 503-504
18	Financial information concerning the issuer's assets and liabilities, financial position and profits and losses	
18.1	Historical financial information, accounting standards and changes in accounting standards, financial statements and date of most recent financial information	6-7; 217-218; 228-230; 239-380; 389-515; 523-573
18.2	Interim financial information and other information	N/A
18.3	Auditing of historical annual financial information	381-388; 516-522; 574-577
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In accordance with Article 19 of Regulation (EU) No. 2017/1129 of the European Parliament and of the Council of June 14, 2017, the following information is incorporated by reference in this universal registration document:

- Groupe BPCE's consolidated financial statements for the fiscal year ended December 31, 2019 and the Statutory Auditors' report, presented on pages 219 to 366 of the universal registration document filed with the French Financial Markets Authority on March 25, 2020 under number D. 20-0174;
- BPCE SA group's consolidated financial statements for the fiscal year ended December 31, 2019 and the Statutory Auditors' report, presented on pages 367 to 494 of the universal registration document filed with the French Financial Markets Authority on March 25, 2020 under number D. 20-0174;

- BPCE's annual financial statements for the fiscal year ended December 31, 2019 and the Statutory Auditors' report, presented on pages 502 to 546 of the universal registration document filed with the French Financial Markets Authority on March 25, 2020 under number D. 20-0174;
- Groupe BPCE's consolidated financial statements for the fiscal year ended December 31, 2018 and the Statutory Auditors' report, presented on pages 397 to 406 of the registration document filed with the French Financial Markets Authority on April 2, 2019 under number D. 19-0252;
- BPCE SA group's consolidated financial statements for the fiscal year ended December 31, 2018 and the Statutory Auditors' report, presented on pages 532 to 541 of the registration document filed with the French Financial Markets Authority on April 2, 2019 under number D. 19-0252;

- BPCE's annual financial statements for the fiscal year ended December 31, 2018 and the Statutory Auditors' report, presented on pages 585 to 588 of the registration document filed with the French Financial Markets Authority on April 2, 2019 under number D. 19-0252.

The 2019 registration document filed with the French Financial Markets Authority on March 25, 2020 under the number D. 20-0174 and the 2018 registration document filed with the French Financial Markets Authority on 2 April 2019 under number D. 19-0252 are available at the following link:

<https://groupebpce.com/en/investors/results-and-publications/registration-document>

All the documents incorporated in this universal registration document were filed with the French Financial Markets Authority and are available on the issuer's website (<https://groupebpce.com/en/investors/results-and-publications/registration-document>) and on the French Financial Markets Authority website (<https://www.amf-france.org/fr>).

The information incorporated by reference should be read in accordance with the table below. Any information not referred to in this table but which is part of the documents incorporated by reference is provided for information purposes only.

The information incorporated by reference for previous financial years should be read in accordance with the table below.

Category referenced in Annexes 1 and 2 of Delegated Regulation No. 2019/2020		2018 registration document filed on April 2, 2019 Page No.	2019 universal registration document filed on March 25, 2020 Page No.
7.1	Financial condition	226-227	198-199
7.2	Operating income	226; 248; 407; 543; 551	198; 219; 367; 497; 502
8	Cash flow and capital resources		
			211-212; 221-223; 271-274; 369-371;
		240; 254-255; 308-309; 412-413; 465-467; 575-576	418-420; 504; 536-537; 589-592
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8.2	Sources and amounts of issuer's cash flows		
12	Administrative, management and supervisory bodies and executive management		
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	Conflicts of interest involving the administrative, management and supervisory bodies and executive management	131; 218-219	119; 191-192
13	Pay and benefits		
			169-190; 331; 476; 499; 542; 668-671
13.1	Amount of pay and benefits in kind	190-217	
		212-217; 368; 520; 545; 584; 712-715	171-173; 175-183; 331; 476; 499; 542; 668-671
13.2	Total amount set aside or accrued by the issuer to provide pension, retirement or similar benefits		
14	Board practices		
14.1	Date of expiration of the current term of office	133; 135-136	122-123; 125
14.2	Service contracts with members of the administrative bodies	130-132; 218-219; 712	191-192; 668
14.3	Information about the issuer's Audit Committee and Remuneration Committee	134-135; 183-186	9; 121-125; 161-165; 552
18	Financial information concerning the issuer's assets and liabilities, financial position and profits and losses		
			6-7; 198-199; 219-358; 367-485; 500-542
18.1	Historical financial information, accounting standards and changes in accounting standards, financial statements and date of most recent financial information	11-13; 248-588	
18.2	Interim financial information and other information	N/A	N/A
		397-406; 532-541; 585-588	359-366; 486-494; 543-546
18.3	Auditing of historical annual financial information		
		228-236; 364-365; 516-517	198-199; 326-327; 471-472
18.4	Pro forma financial information		
19.2	Charter of incorporation and articles of association	702-703	660-661

The information presented on Groupe BPCE's institutional website is not included in the Groupe BPCE universal registration document, unless explicitly incorporated for reference purposes.

8.4 Cross-reference table for the annual financial report and the management report

Cross-reference table for the annual financial report

In order to facilitate the reading of this document, the cross-reference table below makes it possible to identify, in this universal registration document, the information that constitutes the annual financial report to be published by listed companies in accordance with Articles L. 451-1-2 of the French Monetary and Financial Code and 222-3 of the French Financial Markets Authority General Regulation.

Required Items	Chapter/Pages
Annual accounts	Chapter 5/p. 530-573
Consolidated financial statements	Chapter 5/p. 239-380; 389-515
Management report (minimum information within the meaning of Article 222-3 of the French Financial Markets Authority (AMF) General Regulation)	See cross-reference table for the management report on p. 743
Declaration by the persons responsible for the annual financial report	Chapter 8/p. 734
Statutory Auditors' reports on the parent company and consolidated financial statements	Chapter 5/p. 381-388; 516-522; 574-577

Cross-reference table for the management report

To facilitate the reading of this document, the cross-reference table below shows the information to be included in the management report, in accordance with the provisions of the French Commercial Code applicable to public limited companies with a Board of Directors.

Required Items	Reference texts	Chapter/Pages
Group position and activity		
Situation of the company during the past fiscal year, and objective and thorough analysis of the evolution of the business, results, and financial position of the company and the Group, in particular its debt position, with regard to volume and business complexity	Articles L. 225-100-1, L. 232-1, L. 233-6, and L. 233-26 of the French Commercial Code	Chapter 4/p. 211-236; Chapter 5/p. 239-380; 389-515; 530-573
Key financial performance indicators	Article L. 225-100-1	Chapter 4/p. 211-236; Chapter 5/p. 239-380; 389-515; 530-573
Key non-financial performance indicators relating to the specific activity of the company and the Group, specifically information relating to environmental and personnel issues	Article L. 225-100-1	Chapitre 2/p. 45-132
Significant events occurring between the closing date of the fiscal year and the date on which the Management Report was prepared	Articles L. 232-1 and L. 233-26 of the French Commercial Code	Chapter 4/p. 233; Chapter 5/p. 249; 401; 535-536
Identity of the main shareholders and holders of voting rights at General Shareholders' Meetings, and changes made during the fiscal year	Article L. 233-13 of the French Commercial Code	Chapter 7/p. 716
Existing branches	Article L. 232-1 of the French Commercial Code	Chapter 5/p. 362-368
Significant equity investments in companies with their registered office in France	Article L. 233-6 of the French Commercial Code	Chapter 4/p. 233; Chapter 5/p. 260-261; 410-411
Foreseeable changes in the situation of the company and the Group and outlook	Articles L. 232-1 and L. 233-26 of the French Commercial Code	Chapter 4/p. 234-235
Research & Development activities	Articles L. 232-1 and L. 233-26 of the French Commercial Code	Chapter 5/p. 527
Table showing the company's results for each of the last five fiscal years	Article R. 225-102 of the French Commercial Code	Chapter 5/p. 528
Information on supplier and customer payment terms	Article D. 441-4 of the French Commercial Code	Chapter 5/p. 529

Required Items	Reference texts	Chapter/Pages
Internal control and risk management		
Description of the main risks and uncertainties facing the company	Article L. 225-100-1	Chapter 2/p. 49; Chapter 6/p. 593-604
Information on the financial risks related to the effects of climate change, and presentation of the measures taken by the company to reduce them by implementing a low-carbon strategy in all aspects of its activity	Article L. 22-10-35	Chapter 2/p. 65-68; Chapter 6/p. 601; 704-708
Main characteristics of the internal control and risk management procedures implemented by the company and the Group as regards preparing and processing accounting and financial information	Article L. 22-10-35	Chapter 5/p. 578-583
Information on the objectives and policy concerning the hedging of each main category of transactions and on exposure to price, credit, liquidity and cash risks, including the use of financial instruments	Article L. 225-100-1 of the French Commercial Code	Chapter 6/p. 587-709
System for the prevention of corruption	Act No. 2016-1691 of December 9, 2016 known as "Sapin 2"	Chapter 2/p. 99
Due diligence action plan and report on its effective implementation	Article L. 225-102-4 of the French Commercial Code	Chapter 2/p. 107-109
Report on corporate governance		
Compensation information		
Compensation policy for company directors	Article L. 22-10-8 of the French Commercial Code	Chapter 3/p. 187-197
Compensation and benefits of any kind paid during the fiscal year or awarded to each company director during the fiscal year	Article L. 22-10-9 of the French Commercial Code	Chapter 3/p. 198-207
Relative proportion of fixed and variable compensation	Article L. 22-10-9 of the French Commercial Code	Chapter 3/p. 200
Commitments of any kind made by the company for the benefit of its company directors, namely, contingent compensation and benefits due or likely to be due as a result of the assumption, termination, or change of their duties, or subsequent to the performance of these latter	Article L. 22-10-9 of the French Commercial Code	Chapter 3/p. 198-207; Chapter 6/p. 719-724
Compensation paid or allocated by a company included in the scope of consolidation, within the meaning of Article L. 233-16 of the French Commercial Code	Article L. 22-10-9 of the French Commercial Code	Chapter 3/p. 202-204
Explanation of how total compensation complies with the adopted compensation policy, including how it contributes to the company's long-term performance and how performance criteria were applied	Article L. 22-10-9 of the French Commercial Code	Chapter 3/p. 195; 198
Allocation and retention of options by company directors	Article L. 225-185 of the French Commercial Code	Chapter 3/p. 205
Allocation and retention of free shares to executive corporate officers	Articles L. 225-197-1 and L. 22-10-59 of the French Commercial Code	Chapter 3/p. 206
Governance information		
List of all mandates and functions exercised in any company by each of the corporate officers during the fiscal year	Article L. 225-37-4 of the French Commercial Code	Chapter 3/p. 146-175
Procedures for exercising executive management	Article L. 225-37-4 of the French Commercial Code	Chapter 3/p. 145-146
Composition of the Board, and terms for the preparation and organization of its work	Article L. 22-10-10 of the French Commercial Code	Chapter 3/p. 138-140; 176-183
Application of the principle of balanced representation of women and men on the Board	Article L. 22-10-10 of the French Commercial Code	Chapter 3/p. 138-139
Reference to a Corporate Governance Code and application of the "comply or explain" principle	Article L. 22-10-10 of the French Commercial Code	Chapter 3/p. 134-135
Specific procedures for participation of shareholders in the General Shareholders' Meeting	Article L. 22-10-10 of the French Commercial Code	Chapter 3/p. 185-186
For public limited companies with a Supervisory Board: Observations of the Supervisory Board on the Management Board's report and the financial statements for the year.	Article L. 225-68 of the French Commercial Code	Chapter 3/p. 178-179
Shareholding and capital		
Structure of and changes in the company's share capital, and crossing of thresholds	Article L. 233-13 of the French Commercial Code	Chapter 3/p. 714-717
Amounts of dividends distributed in respect of the three previous fiscal years	Article 243 <i>bis</i> of the French General Tax Code	Chapter 3/p. 713

Required Items	Reference texts	Chapter/Pages
Non-financial performance statement (DPEF)		
Business model	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 48-51
Description of the main risks related to the business of the company or group, including, where relevant and proportionate, risks created by business relationships, products or services	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 49; 65
Information on the way in which the company or group takes into account the social and environmental consequences of its activity, and the effects of this activity on respect for human rights and the prevention of corruption (description of the policies applied and due diligence procedures implemented to prevent, identify and mitigate the main risks related to the business of the company or group)	Articles L. 225-102-1, R. 225-104 and R. 225-105 of the French Commercial Code	Chapter 2/p. 72-84; 93-125
Results of policies applied by the company or group, including key performance indicators	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 63
Social information (employment, work organization, health and safety, labor relations, training, equal treatment)	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 117-125
Environmental information (general environmental policy, pollution, circular economy, climate change)	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 71-92
Societal information (societal commitments in favor of sustainable development, subcontracting and suppliers, fair practices)	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 73-110
Information on the prevention of corruption	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 99
Information on human rights actions	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 107-111
Specific information: - the company's policy to prevent the risk of technological accidents; - the company's ability to cover its civil liability in respect of property and persons as a result of the operation of such facilities; - the means provided by the company to ensure the management of compensation for victims in the event of a technological accident for which it is liable.	Article L. 225-102-2 of the French Commercial Code	Chapter 2/p. 119
Collective agreements concluded within the company and their impact on the company's economic performance and on the working conditions of employees	Articles L. 225-102-1 and R. 225-105 of the French Commercial Code	Chapter 2/p. 119
Statement by the independent third party on the information contained in the DPEF	Articles L. 225-102-1 and R. 225-105-2 of the French Commercial Code	Chapter 2/p. 130-131
Other information		
Additional tax information	Articles 223 <i>quater</i> and 223 <i>quinquies</i> of the French General Tax Code	Chapter 2/p. 105-106; Chapter 5/p.346-348; 496-498; 543-544
Injunctions or financial penalties for anti-competitive practices	Article L. 464-2 of the French Commercial Code	Chapter 6/p. 686-687

8.5 Glossary

Acronyms

ABS	See securitization
ACPR	<i>Autorité de contrôle prudentiel et de résolution</i> , the French prudential supervisory authority for the banking and Insurance sector (formerly the CECEI, or <i>Comité des établissements de crédit et des entreprises d'investissement</i> /Credit Institutions and Investment Firms Committee)
AFEP-MEDEF	<i>Association française des entreprises privées – Mouvement des entreprises de France</i> /French Association of Private Sector Companies – French Business Confederation
AFS	Available For Sale
ALM	Asset and Liability Management
AMF	French Financial Markets Authority
AML-CTF	Anti-Money Laundering and Counter Terrorism Financing
AT1	Additional Tier 1
BCBS	Basel Committee on Banking Supervision, an organization comprised of the central bank governors of the G20 countries, tasked with strengthening the global financial system and improving the efficacy of prudential supervision and cooperation among bank regulators.
BCP	Business Continuity Plan
BRR	Bank Recovery and Resolution directive
CCF	Credit Conversion Factor
CDO	See securitization
CDPC	Credit Derivatives Products Company, <i>i.e.</i> a business specializing in providing protection against credit default through credit derivatives
CDS	Credit Default Swap, a credit derivative contract under which the party wishing to buy protection against a credit event (<i>e.g.</i> counterparty default) makes regular payments to a third party and receives a pre-determined payment from this third party should the credit event occur.
CEGC	Compagnie Européenne de Garanties et de Cautions
CET1	Common Equity Tier 1
CFP	Contingency Funding Plan
CLO	See securitization
CMBS	See securitization
CNCE	Caisse Nationale des Caisses d'Épargne
CPM	Credit Portfolio Management
CRD	Capital Requirements directive
CRR	Capital Requirements Regulation
CVA	Credit Valuation Adjustment, <i>i.e.</i> the expected loss related to the risk of default by a counterparty. The CVA aims to take into account the fact that the fullmarket value of the transactions may not be recovered. The method for determining the CVA is primarily based on the use of market inputs in connection with the practices of market professionals.
CVaR	Credit Value at Risk, <i>i.e.</i> the worst loss expected to be suffered after eliminating the 1% worst-case scenarios, used to determine individual counterparty limits.
DVA	Debit Valuation Adjustment, symmetrical to the CVA. Represents the expected loss, from the counterparty's perspective, on valuations of derivative liabilities. It reflects the impact of the entity's own credit quality on the valuation of these instruments.
EAD	Exposure at Default, <i>i.e.</i> the amount owed by the customer at the effective default date. It is the sum of the remaining principal, past due payments, accrued interest not yet due, fees and penalties
EBA	The European Banking Authority, established by EU Regulation on November 24, 2010. It came into being on January 1, 2011 in London, superseding the Committee of European Banking Supervisors (CEBS). This new body has an expanded mandate. It is in charge of harmonizing prudential standards, ensuring coordination among the various national supervisory authorities and performing the role of mediator. The goal is to establish a Europe-wide supervision mechanism without compromising the ability of the national authorities to conduct the day-to-day supervision of credit institutions.
ECB	European Central Bank
EIB	European Investment Bank
EL	Expected Loss, <i>i.e.</i> the value of the loss likely to be incurred given the quality of the structure of the transaction and any measures taken to mitigate risk, such as collateral. It is calculated by multiplying exposure at risk (EAD) by Probability of Default (PD) and by Loss Given Default (LGD).
EURIBOR	Euro Interbank Offered Rate, the benchmark interest rate on the eurozone's money market
FBF	<i>Fédération bancaire française</i> (French Banking Federation), a professional body representing all banking institutions in France
FCPR	<i>Fonds commun de placement à risque</i> /Venture capital investment fund
FGAS	<i>Fonds de garantie à l'accession sociale</i> /French state guarantee fund for subsidized loans
FINREP	FINancial REPorting
FSB	The Financial Stability Board, whose mandate is to identify vulnerabilities in the global financial system and to implement principles for regulation and supervision in the interest of financial stability. Its members are central bank governors, finance ministers and supervisors from the G20 countries.

Acronyms

G-SIBs	Global Systemically Important Banks are financial institutions whose distress or failure, because of their size, complexity and systemic inter-dependence, would cause significant disruption to the financial system and economic activity. These institutions meet the criteria established by the Basel Committee and are identified in a list published in November 2011 and updated every year. The constraints applicable to G-SIBs increase with their level of capital.
HQLA	High-Quality Liquid Assets
IARD	<i>Incendie, accidents et risques divers</i> /property and casualty Insurance
IASB	International Accounting Standards Board
ICAAP	Internal Capital Adequacy Assessment Process: a process required under Pillar II of the Basel Accords to ensure that firms have sufficient capital to cover all their risks.
IFRS	International Financial Reporting Standards
ILAAP	Internal Liquidity Adequacy Assessment Process: Process provided for in Pillar II of the Basel Accords through which the Group ensures the adequacy of its liquidity level and its management with regard to all its liquidity risks
IRB	Internal-Ratings Based, an approach to capital requirements based on the financial institution's internal rating systems
IRBA	Advanced IRB approach
IRBF	Foundation IRB approach
IRC	Incremental Risk Charge: the capital requirement for an issuer's credit migration and default risks, covering a period of one year for fixed income and loan instruments in the trading book (bonds and CDSs). The IRC is a 99.9% Value at Risk measurement; <i>i.e.</i> the greatest risk obtained after eliminating the 0.1% worst-case scenarios.
IS	Information System
L&R	Loans and Receivables
LBO	Leveraged Buyout
LCR	Liquidity Coverage Ratio: a measurement introduced to improve the short-term resilience of banks' liquidity risk profiles. The LCR requires banks to maintain a reserve of risk-free assets that can be converted easily into cash on the market in order to cover its cash outflows minus cash inflows over a 30-day stress period without the support of central banks.
LGD	Loss Given Default, a Basel II credit risk indicator corresponding to loss in the event of default
LTD	Loan-to-Deposit ratio, <i>i.e.</i> a liquidity indicator that enables a credit institution to measure its autonomy with respect to the financial markets
MDA	Maximum Distributable Amount, a new provision for banks placing restrictions on their dividend, AT1 coupon and bonus payments (under a rule that tightens restrictions as banks deviate from their requirements), if the capital buffers are not met. As these buffers are on top of Pillars I and II, they apply immediately if the bank fails to comply with the combined requirements.
MREL	Minimum Requirement for own funds and Eligible Liabilities
MTN	Medium Term Note
NPE	Non-Performing Exposure
NPL	Non-Performing Loan
NSFR	Net Stable Funding Ratio: this ratio is intended to strengthen the longer-term resilience of banks through additional incentives meant to encourage banks to finance their operations using more structurally stable resources. This long-term structural liquidity ratio, applicable to a one-year period, was formulated to provide a viable structure for asset and liability maturities.
OFR	Own Funds Requirements: <i>i.e.</i> 8% of risk-weighted assets (RWA)
OH	<i>Obligations de financement de l'habitat</i> /Housing financing bond
PD	Probability of Default, <i>i.e.</i> the likelihood that a counterparty of the bank will default within a one-year period
RMBS	See securitization
RSSI	<i>Responsable de la sécurité des systèmes d'information</i> /Head of Information System Security
RWA	Risk-Weighted Assets. The calculation of credit risks is further refined using a more detailed risk weighting that incorporates counterparty default risk and debt default risk
S&P	Standard & Poor's
SCF	Société de crédit foncier/a French covered bond issuer
SEC	US Securities and Exchange Commission
SFH	Housing Finance Company
SREP	Supervisory Review and Evaluation Process: Methodology for assessing and measuring the risks faced by each bank. SREP gives the prudential authorities a set of harmonized tools to analyze a bank's risk profile from four different angles: business model, governance and risk management, risk to capital, and risk to liquidity and funding. The supervisor sends the bank the SREP decisions at the end of the process and sets key objectives. The bank must then "correct" these within a specific time.
SRF	Single Resolution Fund
SRM	Single Resolution Mechanism: an EU-level system to ensure an orderly resolution of non-viable banks with a minimal impact on taxpayers and the real economy. The SRM is one of the pillars of the European Banking Union and consists of an EU-level resolution authority (Single Resolution Board – SRB) and a common resolution fund financed by the banking sector (Single Resolution Fund – SRF).
SSM	Single Supervisory Mechanism

Acronyms

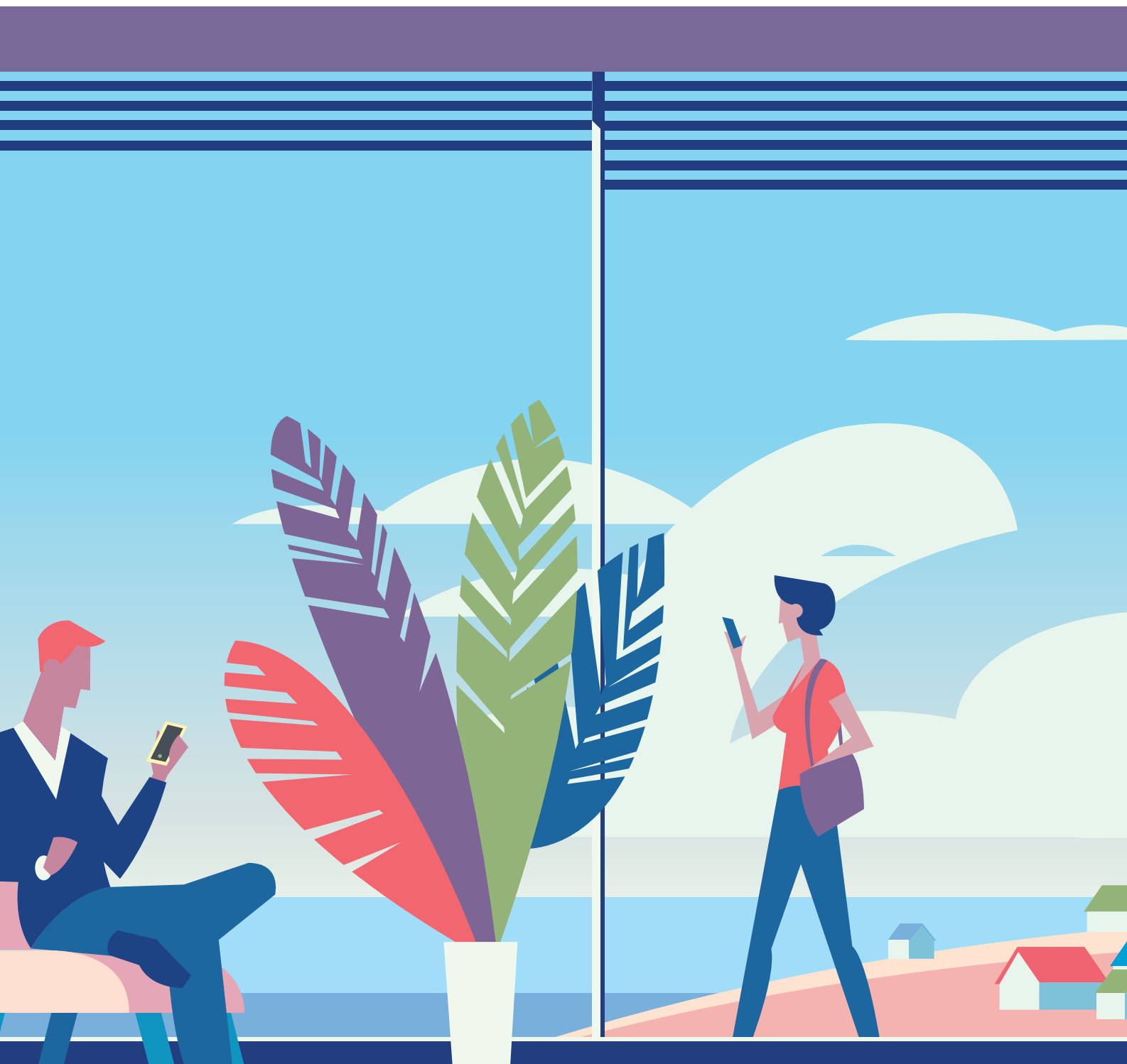
	Stressed Value at Risk: the SVaR calculation method is identical to the VaR approach (historical or Monte Carlo method, scope – position, risk factors – choices and modeling – model approximations and numerical methods identical to those used for VaR) and involves a historical simulation (with “one-day” shocks) calculated over a one-year stressed period, at a 99% confidence level scaled up to 10 days. The goal is to assess the impacts of stressed scenarios on the portfolio and current market levels.
SVaR	
T1/T2	Tier 1/Tier 2 capital
	Total Loss Absorbing Capacity: a ratio applicable to G-SIBs that aims to ensure that each G-SIB has the capacity to continue its essential operations for the economy even after a loss has consumed all of its capital. In November 2015, the FSB published the final TLAC calibration: all TLAC-eligible instruments will have to be equivalent to at least 16% of risk-weighted assets at January 1, 2019 and at least 6% of the leverage ratio denominator. TLAC will subsequently have to be equivalent to 18% of risk-weighted assets and 6.75% of the leverage ratio denominator from January 1, 2022.
TLAC	
	Total Return Swap, <i>i.e.</i> a transaction whereby two parties exchange the income generated and any change in value on two different assets over a given time period.
TRS	
	<i>Titres supersubordonnés</i> /deeply subordinated notes, <i>i.e.</i> perpetual bonds with no contractual redemption commitment that pay interest in perpetuity. In the event of liquidation, they are repaid after other creditors (subordinated loans). These securities pay annual interest contingent on the payment of a dividend or the achievement of a specific result.
TSS	
	Value at Risk: a measurement of market risk on a bank's trading book expressed as a monetary value. It allows the entity performing the calculation to appraise the maximum losses liable to be incurred on its trading book. A statistical variable, VaR is always associated with a confidence interval (generally 95% or 99%) and a specific time frame (in practice, one day or 10 days, as the trading positions involved are meant to be unwound within a few days).
VaR	

Key technical terms

"Bank acting as investor"	See securitization
"Bank acting as originator"	See securitization
"Bank acting as sponsor"	See securitization
Basel II (the Basel Accords)	A supervisory framework aimed at better anticipating and limiting the risks borne by credit institutions. It focuses on banks' credit risk, market risk and operational risk. The terms drafted by the Basel Committee were adopted in Europe through a European directive and have been applicable in France since January 1, 2008.
Basel III (the Basel Accords)	Changes in the supervisory framework for banks, incorporating the lessons drawn from the 2007-2008 financial crisis, meant to complement the Basel II Accords by reinforcing the quality and quantity of the minimum capital requirements applicable to financial institutions. Basel III also establishes minimum requirements for liquidity risk management (quantitative ratios), defines measures aimed at limiting procyclicality in the financial system (capital buffers that vary according to the economic cycle) and reinforces requirements for financial institutions deemed to be systemically important.
Bond	A portion of a loan issued in the form of an exchangeable security. For a given issue, a bond grants the same debt claims on the issuer for the same nominal value, the issuer being a company, a public sector entity or a government.
Collateral	A transferable asset or guarantee pledged to secure reimbursement on a loan in the event the borrower fails to meet its payment obligations.
Common Equity Tier 1 ratio	Ratio of Common Equity Tier 1 (CET1) capital to risk-weighted assets. The CET1 ratio is a solvency indicator used in the Basel III prudential accords.
Cost/income ratio	A ratio indicating the portion of net banking income used to cover operating expenses (the company's operating costs). It is calculated by dividing operating costs by net banking income.
CRD IV/CRR	(see Acronyms) Directive No. 2013/36/EU (CRD IV) and Regulation (EU) No. 575/2013 (CRR), which transpose Basel II in Europe. In conjunction with the EBA's (European Banking Authority) technical standards, they define European regulations for the capital, major risk, leverage and liquidity ratios.
Credit and counterparty risk	The risk of loss from the inability of clients, issuers or other counterparties to honor their financial commitments. Credit risk includes counterparty risk related to market transactions and securitization.
Credit derivative	A financial product whose underlying asset is a credit obligation or debt security (bond). The purpose of the credit derivative is to transfer credit risk without transferring the asset itself for hedging purposes. One of the most common forms of credit derivatives is the credit default swap (CDS).
Derivative	A financial security or financial contract whose value changes based on the value of an underlying asset, which may be either financial (equities, bonds, currencies, etc.) or non-financial (commodities, agricultural products, etc.) in nature. This change may coincide with a multiplier effect (leverage effect). Derivatives can take the form of either securities (warrants, certificates, structured EMTNs, etc.) or contracts (forwards, options, swaps, etc.). Exchange-traded derivatives contracts are called futures.
Fair value	The price that would be received to sell an asset or paid to transfer a liability in a standard arm's length transaction between market participants at the measurement date. Fair value is therefore based on the exit price.
Gross exposure	Exposure before the impact of provisions, adjustments and risk mitigation techniques
Haircut	The percentage by which a security's market value is reduced to reflect its value in a stressed environment (counterparty risk or market stress).
Leverage ratio	Tier 1 capital divided by exposures, which consist of assets and off-balance sheet items, after restatements of derivatives, funding transactions and items deducted from capital. Its main goal is to serve as a supplementary risk measurement for capital requirements.
Liquidity	In a banking context, liquidity refers to a bank's ability to cover its short-term commitments. Liquidity also refers to the degree to which an asset can be quickly bought or sold on a market without a substantial reduction in value.
Liquidity risk	The risk that a bank will be unable to honor its payment commitments as they fall due and replace funds when they are withdrawn.
Market risks	The risk of loss of value on financial instruments resulting from changes in market inputs, from the volatility of these inputs or from the correlations between these inputs
Net value	Total gross value less allowances/impairments
Netting agreement	A contract whereby two parties to a forward financial instrument (financial contract, securities loan or repurchase agreement) agree to settle their reciprocal claims under these contracts through a single consolidated net payment, particularly in the event of default or contract termination. A master netting agreement extends this mechanism to different transactions through one all-encompassing contract.
Operational risk	Risks of losses or penalties due in particular to failures of internal procedures and systems, human error or external events
Pillar I	Pillar I sets minimum requirements for capital. It aims to ensure that banking institutions hold sufficient capital to provide a minimum level of coverage for their credit risk, market risk and operational risk. The bank can use standardized or advanced methods to calculate its capital requirement.
Pillar II	Pillar II establishes a process of prudential supervision that complements and strengthens Pillar I. It consists of: • an analysis by the bank of all of its risks, including those already covered by Pillar I; • an estimate by the bank of the capital requirement for these risks; • a comparison by the banking supervisor of its own analysis of the bank's risk profile with the analysis conducted by the bank, in order to adapt its choice of prudential measures where applicable, which may take the form of capital requirements exceeding the minimum requirements or any other appropriate technique.
Pillar III	Pillar III is concerned with establishing market discipline through a series of reporting requirements. These requirements – both qualitative and quantitative – are intended to improve financial transparency in the assessment of risk exposure, risk assessment procedures and capital adequacy.

Key technical terms

Preferred senior debt	Preferred senior debt is a category of securities, receivables, instruments or rights that, in the event of the insolvency of the credit institution, rank higher than other securities, receivables, instruments or rights considered as senior and subordinated (including senior non-preferred debt).
Rating	An appraisal by a financial rating agency (Fitch Ratings, Moody's, Standard & Poor's) of the creditworthiness of an issuer (company, government or other public entity) or a transaction (bond issue, securitization, covered bond). The rating has a direct impact on the cost of raising capital.
Rating agency	An organization that specializes in assessing the creditworthiness of issuers of debt securities, <i>i.e.</i> their ability to honor their commitments (repayment of capital and interest within the contractual period).
Resecuritization	The securitization of an exposure that is already securitized where the risk associated with an underlying pool of exposures is tranching and at least one of the underlying exposures is a securitization position.
Risk appetite	Level of risk, expressed through quantitative or qualitative criteria, by type of risk and business line, that the Group is prepared to accept given its strategy. The risk appetite exercise is one of the key strategic oversight tools available to the Group's management team.
Securitization	A transaction whereby credit risk on loan receivables is transferred to investors by an entity through the issuance of negotiable securities. This may involve the transfer of receivables (physical securitization) or the transfer of risks only (credit derivatives). Some securitization transactions are subordinated through the creation of tranches: ABS – Asset-Backed Securities, <i>i.e.</i> instruments representing a pool of financial assets (excluding mortgage loans), whose performance is linked to that of the underlying asset or pool of assets; CDOs – Collateralized Debt Obligations, <i>i.e.</i> debt securities backed by a pool of assets which can be either bank loans (mortgages) or corporate bonds. Interest and principal payments may be subject to subordination (<i>i.e.</i> through the creation of tranches); CLOs – Collateralized Loan Obligations, <i>i.e.</i> credit derivatives backed by a homogeneous pool of commercial loans; CMBS – Commercial Mortgage-Backed Securities; RMBS – Residential Mortgage-Backed Securities, <i>i.e.</i> debt securities backed by a pool of assets consisting of residential mortgage loans; Bank acting as originator: the securitization exposures are the retained positions, even where not eligible for the securitization framework due to the absence of significant and effective risk transfer; Bank acting as investor: investment positions purchased in third-party deals; Bank acting as sponsor: a bank is considered a "sponsor" if it, in fact or in substance, manages or advises the program, places securities into the market, or provides liquidity and/or credit enhancements. The program may include, for example, asset-backed commercial paper (ABCP) conduit programs and structured investment vehicles. The securitization exposures include exposures to ABCP conduits to which the bank provides program-wide enhancements, liquidity and other facilities.
Senior non-preferred debt	Senior non-preferred debt is a category of securities, receivables, instruments or rights introduced by Directive (EU) No. 2017/2399 amending Directive No. 2014/59/EU (BRRD) that, in the event of the insolvency of the credit institution, rank higher than the securities, receivables, instruments or rights considered as subordinated, but lower than that of the other securities, receivables, instruments or rights considered as senior (including preferred senior debt).
Share	An equity security issued by a corporation, representing a certificate of ownership and entitling the holder (the "shareholder") to a proportional share in the distribution of any profits or net assets, as well as a voting right at the Annual General Shareholders' Meeting.
Standardized approach	An approach used to determine capital requirements relative to credit risk, pursuant to Pillar I of Basel II. Under this approach, the risk weightings used when calculating capital requirements are determined by the regulator.
Structural interest rate and exchange rate risk	The risk of losses or impairment on assets arising from changes in interest rates or exchange rates. Structural interest rate and foreign exchange risks are associated with commercial activities and proprietary transactions.
Swap	An agreement between two counterparties to exchange different assets, or revenues from different assets, until a given date
Tier 1 capital	Core capital including the financial institution's consolidated shareholders' equity minus regulatory deductions
Tier 2 capital	Supplementary capital mainly consisting of subordinated securities minus regulatory deductions
Total capital ratio	Ratio of total capital (Tier 1 and 2) to risk-weighted assets (RWA)
Volatility	A measurement of the magnitude of an asset's price fluctuation and thus a measurement of its risk. Volatility corresponds to the standard deviation of the asset's immediate returns over a given period.



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BPCE

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